



PRINCIPLES & PRACTICES OF BANKING



INDIAN INSTITUTE OF BANKING & FINANCE



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PRINCIPLES & PRACTICES OF BANKING



INDIAN INSTITUTE OF BANKING & FINANCE

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MISSION

- To develop professionally qualified and competent bankers and finance professionals primarily through a process of education, training, examination, consultancy/counselling and continuing professional development programs.

VISION

- To be the premier Institute for developing and nurturing competent professionals in banking and finance field.

OBJECTIVES

- To facilitate study of theory and practice of banking and finance.
- To test and certify attainment of competence in the profession of banking and finance.
- To collect, analyse and provide information needed by the professionals in banking and finance.
- To promote continuous professional development.
- To promote and undertake research relating to Operations, Products, Instruments, Processes, etc., in banking and finance and to encourage innovation and creativity among finance professionals so that they could face competition and succeed.

COMMITTED TO PROFESSIONAL EXCELLENCE

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PRINCIPLES & PRACTICES OF BANKING

(For JAIIB/Diploma in Banking &
Finance Examination)



Indian Institute of Banking & Finance





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PRINCIPLES & PRACTICES OF BANKING

First Edition (2023)

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FOREWORD

Formal education will make you a living; self-education will make you a fortune.

–Jim Rohn

The banking sector, currently, is experiencing a transformation catalysed by digitalization and information explosion with the customer as the focal point. Besides, competition from NBFCs, FinTechs, changing business models, growing importance of risk and compliance have contributed to this radical shift. Such an ever-evolving ecosystem requires strategic agility and constant upgradation of skill levels on the part of the Banking & Finance professionals to chart a clear pathway for their professional development.

The mission of the Indian Institute of Banking & Finance is to develop professionally qualified and competent bankers and finance executives primarily through a process of education, training, examination, counseling and continuing professional development programs. In line with the Mission, the Institute has been offering a bouquet of courses and certifications for capacity building of the banking personnel.

The flagship courses/examinations offered by the Institute are the JAIIB, CAIIB and the Diploma in Banking & Finance (DB&F) which have gained wide recognition among banks and financial institutions. With banking witnessing tectonic shifts, there was an imperative need to revisit the existing syllabi for the flagship courses.

The pivotal point for revising the syllabi was to ensure that, in addition to acquiring basic knowledge, the candidates develop concept-based skills for keeping pace with the developments happening in the financial ecosystem and to ensure greater value addition to the flagship courses and to make them more practical and contemporary. This will culminate in creating a rich pool of knowledgeable and competent banking & finance professionals who are capable of contributing to the sustainable growth of their organizations.

Keeping in view the above objectives, the Institute had constituted a high-level Syllabi Revision Committee comprising of members from public sector banks, private sector banks, co-operative banks and academicians. On the basis of the feedback received from various banks and changes suggested by the Committee, the syllabi of JAIIB & CAIIB have since been finalized.

The revised JAIIB syllabi will now have four compulsory subjects as under:

1. Indian Economy & Indian Financial System
2. Principles & Practices of Banking
3. Accounting & Financial Management for Bankers
4. Retail Banking & Wealth Management

The new subject on Indian Economy & Indian Financial System will cover the basics of economics and financial system prevalent in India. This will familiarise the candidates with the evolving financial ecosystem of the country.

Insofar as the book on Accounting & Financial Management is concerned, two new modules viz Financial Management and Taxation & Fundamentals of Costing have been introduced. With bankers having to cater to the requirements of varied industries, it is imperative that they have an underlying understanding

of the relationships between cost accounting, financial accounting, management accounting and financial management. Some of the other topics that have been covered are Cost of Capital, Equipment Leasing, GST, Standard Costing, Marginal Costing, Budgetary Control system etc.

The books on Principles & Practices of Banking and Retail Banking & Wealth Management have been thoroughly revised and updated.

As is the practice followed by the Institute, a dedicated courseware for every paper/subject is published. The present courseware on Principles and Practices of Banking has now been authored in line with the revised syllabus for the subject. The book follows the same modular approach adopted by the Institute in the earlier editions/publications.

While the Institute is committed to revise and update the courseware from time to time, the book should, however, not be considered as the only source of information / reading material while preparing for the examinations due to rapid changes witnessed in all the areas affecting banking & finance. The students have to keep themselves abreast with the current developments by referring to economic newspapers/ journals, articles, books and Government / Regulators' publications / websites etc. Questions will be based on the recent developments related to the syllabus.

Considering that the courseware cannot be published frequently, the Institute will continue the practice of keeping candidates informed about the latest developments by placing important updates/Master Circulars/ Master Directions on its website and through publications like IIBF Vision, Bank Quest, etc.

The courseware has been updated with the help of Subject Matter Experts (SMEs) drawn from respective fields and vetted by practitioners to ensure accuracy and correctness. The Institute acknowledges with gratitude the valuable contributions rendered by the SMEs in updating/vetting the courseware.

We welcome suggestions for improvement of the courseware.

Mumbai
2023

Biswa Ketan Das
Chief Executive Officer

RECOMMENDED READING

The Institute has prepared comprehensive courseware in the form of study kits to facilitate preparation for the examination without intervention of the teacher. An attempt has been made to cover fully the syllabus prescribed for each module/subject and the presentation of topics may not always be in the same sequence as given in the syllabus.

Candidates are also expected to take note of all the latest developments relating to the subject covered in the syllabus by referring to Financial Papers, Economic Journals, Latest Books and Publications in the subjects concerned.

PRINCIPLES & PRACTICES OF BANKING SYLLABUS

MODULE A: GENERAL BANKING OPERATIONS

Banker-Customer Relationship

Requirements to be Called a Bank, Banker-Customer Relationship, Bank as a Trustee, Bailee-Bailor Relationship, Agent-Principal Relationship, Lessor and Lessee, Indemnifier and Indemnified, Different Deposit Products or Services, Services to Customers and Investors

AML-KYC Guidelines

Money Laundering & Financing of Terrorism Risks, AML Framework in India, Know Your Customer Policy, Organisational Set-up for AML, Obligations under PMLA, Risk Management, Obligations under International Agreements, FATF Identified Jurisdictions, Correspondent Banks, Reporting Under FATCA/ CRS, Reporting Obligations, Implications of Non-compliance of PMLA Obligations, Secrecy Obligations

Operational Aspects of KYC

Know Your Customers (KYC) Norms, Wire Transfers, Other Operations - Regulations, Central KYC Records Registry (CKYCR), Monitoring of Transactions

Opening Accounts of Various Types of Customers

Personal Accounts, Accounts of Other Customers, Norms for Opening Current Accounts, Obtaining Photographs of Account Holders, Legal Entity Identifier

Operational Aspects of Deposit Accounts

Salient Feature of Deposit Accounts, Interest on Deposit Accounts, Prohibitions & Exemptions, Inoperative Accounts & Unclaimed Deposits, Operational Instructions in Joint Accounts, Nomination Facility, Other Operational Guidelines, Attachment Orders, Procedure for Submission of Records to Statutory Authorities

Operational Aspects of Handling Clearing/Collection/Cash

Cheque Truncation System (CTS), RBI Guidelines on Collection of Instruments, Cash and its Custody, Security Arrangements at Branches and ATMs

Banker's Special Relationship

Mandate – Definition, Power of Attorney (POA) – Definition, Banker's Lien, Right of Set-off, Right of Appropriation

Foreign Exchange Remittance Facilities for Individuals

Evolution of FEMA, Definitions, Bringing in and Taking out Foreign Exchange, Inward Remittances, Outward Remittances, Indo - Nepal Remittance Scheme

Operational Aspects of NRI Business

Permitted Accounts in India for NRIs and PIOs, Accounts in India of Foreign Nationals Visiting India, Special Non-Resident Rupee Account – SNRR Account, Remittance of Assets Held by NRIs/ PIOs, Acquisition and Transfer of Immovable Property in India by a Non-Resident Indian (NRI), Creation of Charge on Immovable Property in India, Repatriation of Income and Sale Proceeds of Assets Held Abroad by NRIs, Investments by NRIs/ PIOs

Foreign Currency Accounts for Residents and Other Aspects

Types of Accounts Permitted, Foreign Currency Denominated Accounts in India, Permitted Foreign Currency Accounts Outside India, Remittance of Assets by Foreign Nationals not Being PIOs, Modes of Acquiring Property Outside India by a Resident, Foreign Contribution (Regulation) Act 2010

Cash Management Services and Its Importance

Developments in CMS, Importance of Cash Management System, Types of Cash Management Services, Challenges and Issues

Payment and Collection of Cheques and Other Negotiable Instruments

Negotiable Instruments Act, Payment of a Cheque, Payment in due course – Section 10, Liability of the Paying Bank – Section 31, Collection of Cheques – Duties of a Collecting Bank, Endorsement of Cheques, Crossing of Cheques, Forged Instruments, Bouncing (Dishonour) of Cheques, Cheque Truncation System

Responsibility of Paying Bank

Negotiable Instruments Act and Paying Banks, Liability of Paying Banker when Customer's Signature on the Cheque is Forged, Payment to be in Due Course for Bank to Seek Protection, Payment in Good Faith without Negligence of an Instrument on which Alteration is not Apparent, Payment by Bank Under Mistake Whether Recoverable, Cheque Truncation

Responsibility of Collecting Bank

Statutory Protection to Collecting Bank, Duties of the Collecting Bank

Ancillary Services

Remittances: Introduction, Demand Drafts (DD) and Banker's Cheques (BC), Mail Transfer (MT), Telegraphic Transfer (TT), National Electronic Funds Transfer System (NEFT), Real Time Gross Settlement System (RTGS), Electronic Benefit Transfer (EBT) Scheme, Mobile Banking in India, Electronic/Digital Payments, Safe Deposit Lockers, Portfolio Management Services, Merchant Banking, Government Business, Levying of Service Charges

Financial Inclusion & Financial Literacy

Financial Inclusion by Extension of Banking Services, Use of Mobiles/Tablets in Financial Inclusion Drive, Financial Literacy, Rural Self Employment Training Institutes (RSETI)

Customer Service Guidelines

Customer Service in Banks, Policy for General Management of the Branches, ATM Operations, Security Issues and Risk Mitigation Measures, Service at the Counters, Information to the Customers, Special Arrangements at Branches, Other Provisions

Duties & Rights of a Banker and Customer Rights

Duty of Secrecy & Confidentiality, Duty of Reasonable Care, Garnishee or Attachment Order, Bank's Rights, Customer Awareness, Banking Codes and Standards Board of India, Obligations on the Customer

Grievance Redressal & RBI Integrated Ombudsman Scheme 2021

Model Policy on Grievance Redressal, Internal Machinery to Handle Customer Complaints/ Grievances, The RBI - Integrated Ombudsman Scheme

The Consumer Protection Act, 2019: Preamble, Extent and Definitions

Purpose of The Act, Preamble and Extent, Act not Overriding on Any Other Law, Salient New Aspects of CPA 2019, Definitions, Various Fora, Consumer Protection Councils, Central Consumer Protection Authority, Consumer Disputes Redressal Commissions, Jurisdictions of Commissions, Complaints to District

Commissions, Complaints to State Commissions/ National Commission, Appeals Against Orders of District/ State Commission, Other Aspects, Mediation Process, Product Liability, Unfair Contracts, Data Protection, The CPA 2019 and Banking Services

The Right to Information Act, 2005

Applicability, Definitions, Right to Information, Obligations of Public Authorities, Designation of Public Information Officers, Procedure for Obtaining Information, Disposal of Request, Appeal, Orders in Appeal, Central Information Commission, State Information Commission, Penalties, Act to Have Overriding Effect

MODULE B: FUNCTIONS OF BANKS

Principles of Lending, Different Types of Borrowers, and Types of Credit Facilities

Principles of Lending, Types of Borrowers, Types of Credit Facilities, Fund Based Working Capital Facilities, Term/ Demand Loans, Non-fund Based Facilities, Other Credit Facilities

Appraisal and Assessment of Credit Facilities

Credit Appraisal, Credit Appraisal techniques, Methods of Assessment of Loans, Assessment of Working Capital, Assessment of Term Loan

Operational Aspects of Loan Accounts

Interest Rates on Loans, Credit Management, Credit Monitoring, Common Operational Terms/Aspects in Loan Functions, Operational Process of Handling Loans, Accounting Aspects of Loan Products, Basic Operating Instructions on Loan Products, Operating Manual for Loans and Advances, Sample Operating Instructions, Operational Aspects of a Few Common Loan Products, Guidelines on Recovery Agents Engaged by Banks, Fair Practices Code for Lenders

Types of Collaterals and Their Characteristics

Effectiveness of Securities, What are 'Secured Loans' and 'Unsecured Loans'?, Types of Securities, Land and Buildings, Goods, Documents of Title to Goods, Advances against Life Insurance Policies, Advance Against Shares, Advance Against Debentures, Loan against Book Debts, Loan against Term Deposits, Loan against Gold Ornaments, Supply Bills, Vehicle Finance

Different Modes of Charging Securities

Meaning and Essentials of a Contract, Contract of Agency, Contract of Bailment, Types of Charges, Registration of Charges

Documentation

Different Types of Documents, Documentation Procedure

Non-Performing Assets/ Stressed Assets

Definition, Income Recognition, Computation of Gross Advances, Gross NPA, Net Advances, and Net NPA, Asset Classification, Provisioning Norms, Writing Off of NPAs, NPA Management – Requirement of Effective Mechanism and Granular Data, Framework for Resolution of Stressed Assets, Prudential Norms Applicable to Restructuring, Other Aspects

Important Laws Relating to Recovery Of Dues

Introduction to Recovery of Debts and Bankruptcy Act, 1993 (DRB), Introduction To SARFAESI Act, Introduction To The Insolvency and Bankruptcy Code, 2016, Introduction To The Legal Services Authorities Act, 2007, Introduction To The Law of Limitation

Contracts of Indemnity

Contract of Indemnity Defined, Distinctive Features of Indemnity Contract and Guarantee, Rights of an Indemnity Holder, Implied Indemnity, Enforceability of Contract of Indemnity, Scope and Application of Indemnity Contracts to Banks

Contracts of Guarantee & Bank Guarantee

Parties to the Contract, Basic Principles of Contract to be Complied, Consideration, The Liability of the Surety, Continuing Guarantee, Revocation of a Continuing Guarantee, Death of Surety, Variance in Terms of the Contract, Discharge of Principal Debtor, Forbearance to Sue, Surety can Claim His Dues from the Principal Debtor, Security, Implied Promise by the Principal Debtor to Indemnify the Surety, Misrepresentation Made by the Creditor, Co-sureties for the Same Debt, Release of One Co-surety does not Discharge Other, Bank Guarantees, Various Types of Bank Guarantees, Banker's Duty to Honour Guarantee, Issuance of Bank Guarantee – Precautions to be Taken, Payment Under Bank Guarantee – Precautions to be Taken

Letters of Credit

Letters of Credit – General Consideration, Parties to a Letter of Credit, Types of Letters of Credit, Documents Under a Letter of Credit, Uniform Customs and Practices for Documentary Credits – UCPDC 600, Payment Under Letter of Credit – Banks Obligation Primary

Deferred Payment Guarantee

Purpose of Deferred Payment Guarantee, Method of Payment

Laws Relating to Bill Finance

Class of Bills and Laws Governing Bills, Classification of Bills, Various Types of Bill Finance, Bill Finance and Legal Position of a Banker

Personal Finance

Credit Card, Home Loans, Personal Loans, Consumer Loans

Priority Sector Advances

Applicability, Targets/Sub-Targets for Priority Sector, Categories of Priority Sector, Non-Achievement of Priority Sector Targets, Common guidelines for Priority Sector Loans, Other Modes of Lending to Priority Sectors, Other Aspects Related to Priority Sector Lending

Agricultural Finance

Short-Term Loans, Medium/Long-Term Loans, Crop Loan, Revised Scheme for Issue of Kisan Credit Card (KCC), Selected Activities Under Agricultural Financing, Minimum Support Prices Scheme, Prime Minister Fasal Bima Yojana (PMFBY)

Finance to MFIs/Co-Lending Arrangements With NBFCs

Background, Bank Borrowings - Source Of Finance for NBFCs, Bank Finance to NBFCs, Bank Loans to NBFCs for On-Lending, Bank Loans to NBFCs-MFIs, NBFC-MFI – Channelising Agent for Special Government Schemes, Co-Lending by Banks and NBFCs to Priority Sector, Framework for Scale Based Regulation (SBR) for Non-Banking Financial Companies

Micro, Small and Medium Enterprises in India

Aim of MSMEs, Micro, Small and Medium Enterprises Development (MSMED) Act, 1980, Policy Package for MSMEs – Credit/Finance, Measures for Promotion, Development and Enhancement of Competitiveness of Micro, Small and Medium Enterprises, Delayed Payments, Trade Receivables Discounting System (TReDS), Performance and Credit Rating Scheme, Credit Guarantee Fund Scheme for Micro and Small Enterprises, Cluster Based Approach in Financing MSMEs, Common Guidelines / Instructions for Lending to MSME Sector

Government Sponsored Schemes

Deendayal Antyodaya Yojana – National Rural Livelihoods Mission (DAY-NRLM), Deendayal Antyodaya Yojana – National Urban Livelihoods Mission (DAY-NULM), Pradhan Mantri Jan Dhan Yojana (PMJDY), MUDRA Loans, Khadi Village Industries Commission (KVIC)

Self-Help Groups

SHG – Definition, Need for SHGs, Forming SHGs, SHGs Under DAY-NRLM/ DAY-NULM Schemes, SHG-Bank Linkage Programme

MODULE C: BANKING TECHNOLOGY**Essentials of Bank Computerisation**

Bank Computerisation, Networking Technologies in Banks, Uninterrupted Power System (UPS), Core Banking, Data Warehousing and Data Mining

Operational Aspects of CBS Environment

Functions Performed by CBS, Flow of Transactions in CBS, The Accounting of Transactions in CBS, End of Day (EOD) And Begin of Day (BOD) Operations, End of Day (EOD) Operations, Password Control, Parameter/Master File, Logical Access Control, Operational Aspects of Security Control in CBS, Role and Responsibilities of the Bank Under CBS

Alternate Delivery Channels – Digital Banking

Alternate Delivery Channels, Automated Teller Machines (ATMs), Electromagnetic Cards, Electronic Banking, Customer Protection–Limiting Liability of Customers in Unauthorised Electronic Banking Transactions, Harmonization of Turn Around Time (TAT) and Customer Compensation for Failed Transactions Using Authorised Payment Systems

Data Communication Network and EFT Systems

Data Communications Networks, Network Scenario in India: Major Networks, Emerging Trends in Communications Networks for Banking, Evolution of EFT Systems, Structured Message Transfer System Using SWIFT, Automated Clearing Systems, Two-Level Funds Transfer System, Emergence of Electronic Payment Systems in India

Digital Payment Systems – NPCI

Electronic Clearing Systems in India, National Payment Corporation of India (NPCI), Digital Initiatives by the Government of India

Impact of Technology Adoption and Trends in Banking Technology

Trends in Technology Developments, Role and Uses of Technology Upgradation, Global Trends in Banking Systems, Impact of Information Technology on Banks, Some emerging technology trends in Banking

Security Considerations and Mitigation Measures in Banks

Risk Concern Areas, Different Types of Threats, Control Mechanism, Computer Audit, Information System Audit (IS Audit), Information System Security (IS Security), Modus Operandi of Online Frauds and Cyber Security Awareness, IT Resources Evaluation Requirements, Disaster Recovery Management Objective, Legal Framework for Electronic Transactions Information Technology Act, G. Gopalakrishana Committee Report, Cyber Security Framework in Banks, Integrated Ombudsman Scheme, 2021 by RBI

Operational Aspects of Cyber Crimes/Fraud Risk Management in Cyber Tech

Fraud vs Crime, Phases of an Effective Incident Response Plan

Technology Trends in Banking, e-RUPI, Fintech - RegTech, SupTech, Hashtag Banking etc.

e-RUPI, Fintech/Reg Tech/Sup Tech, Social Media Banking, Hashtag Banking, Account Aggregators, Open Banking

MODULE D: ETHICS IN BANKS AND FINANCIAL INSTITUTIONS**Ethics, Business Ethics & Banking: An Integrated Perspective**

Values and Ethics, Ethics and Business Values, Business Ethics – Definition, Principles and Practice, An Ethical Crisis: Is Business Ethics an Oxymoron?, Ethical Foundation of Banking: Finance Depends on Trust, Ethical Foundation of Being a Professional, Banking Ethics in Global Context: Enron and Its Lesson, Global Financial Crisis, Ethics in Indian Context: Satyam and Its Lessons, An Indian Bank Case Study

Ethics at the Individual Level

Values, Norms, Beliefs and Their Role, Core Values: The Value of a Value, Morality and Personal Values, Value – Conflicts: How Should I Live?, Personal Ethics and Business Ethics: Individual Integrity and Responsibility, The Golden Rule, Understanding Right and Wrong: Doing the Right Thing, Ethical Reasoning and Real-World Application, Ethical Dilemmas: Resolving Ethical Dilemmas, A Framework of Ethical Decision-Making

Ethical Dimensions: Employees

Abuse of Official Position: Insider Trading, Proprietary Data, Bribes, etc., Obligations to Third Parties, Job Discrimination, Sexual Harassment, Managing Conflict of Interests, Fair Accounting Practices: Related Party Transactions, HRM Ethics, Principles of Representation and Work Environment, Employees as Ethics Ambassadors & Managers as Ethical Leaders

Work Ethics and the Workplace

What Is Work Ethics? Something Bigger Than the Self, Ethical Behaviour at The Workplace: Benefits, Recognising Ethical Workplaces, Unethical Behaviours: Causes and Remedies, Conducting Personal Business During Office Time, Taking Credit for Others' Work, Ethical Lapses and Organizational Culture, Ethics of a Banker, Whistleblowing in Banks, Whistleblowing Law in India

Banking Ethics: Changing Dynamics

Ethics and Technology, Data Security and Privacy, Intellectual Property Rights, Patents and Proprietary Rights, Ethics of Information Security

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MODULE A

GENERAL BANKING OPERATIONS

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- Unit 2.** AML- KYC Guidelines
- Unit 3.** Operational Aspects of KYC
- Unit 4.** Opening Accounts of Various Types of Customers
- Unit 5.** Operational Aspects of Deposit Accounts
- Unit 6.** Operational Aspects of Handling Clearing/Collection/ Cash
- Unit 7.** Banker's Special Relationship
- Unit 8.** Foreign Exchange Remittance Facilities for Individuals
- Unit 9.** Operational Aspects of NRI Business
- Unit 10.** Foreign Currency Accounts for Residents and Other Aspects
- Unit 11.** Cash Management Services and its Importance
- Unit 12.** Payment and Collection of Cheques and Other Negotiable Instruments
- Unit 13.** Responsibility of Paying Bank
- Unit 14.** Responsibility of Collecting Bank
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- Unit 16.** Financial Inclusion & Financial Literacy
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- Unit 18.** Duties & Rights of a Banker and Customer Rights
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- Unit 20.** The Consumer Protection Act, 2019: Preamble, Extent and Definitions
- Unit 21.** The Right to Information Act, 2005

UNIT 1

BANKER-CUSTOMER RELATIONSHIP

STRUCTURE

- 1.0 Objectives**
- 1.1 Introduction**
- 1.2 Requirements to be Called a Bank**
- 1.3 Banker-Customer Relationship**
 - 1.3.1 Introduction
 - 1.3.2 Who is a Customer?
 - 1.3.3 Debtor-Creditor
 - 1.3.4 Creditor-Debtor
- 1.4 Bank as a Trustee**
- 1.5 Bailee-Bailor Relationship**
- 1.6 Agent-Principal Relationship**
- 1.7 Lessor and Lessee**
- 1.8 Indemnifier and Indemnified**
 - 1.8.1 Banker Customer Relationship Summarised
- 1.9 Different Deposit Products or Services**
 - 1.9.1 Deposit Products
 - 1.9.2 Demand Deposits
 - 1.9.3 Time Deposits
 - 1.9.4 Hybrid Deposits or Flexi Deposits
 - 1.9.5 Deposit Products for Non Resident Indians
- 1.10 Services to Customers and Investors**
 - 1.10.1 Merchant Banking
 - 1.10.2 Lease Financing
 - 1.10.3 Plastic Money
 - 1.10.4 Electronic Cards/ Payment Services
 - 1.10.5 Remittance Services
 - 1.10.6 Government Schemes
 - 1.10.7 Third Party Products Sale
 - 1.10.8 Safe Custody or Trusteeship Services
- 1.11 Let Us Sum Up**
- 1.12 Keywords**
- 1.13 Check Your Progress**
- 1.14 Answers to 'Check Your Progress'**

4 | PRINCIPLES & PRACTICES OF BANKING

1.0 OBJECTIVES

After reading this Unit, you will:

- Know the requirements of a bank
- Understand various types of relationship between a bank and its customer
- Know different types of deposit products and services
- Know various types of services banks offer to customers and investors

1.1 INTRODUCTION

The basic function of a banker is accepting money from the public by way of deposits and deploying the same by means of loans and investments. Besides, bankers render a variety of services, like providing lockers, keeping articles in safe custody, collecting bills, cheques, etc. Different types of relationships are created between the banker and the customers, depending upon the nature of service rendered.

1.2 REQUIREMENTS TO BE CALLED A BANK

As per Sec. 5(b) of 'the Banking Regulation Act, 1949 (BR Act)', the term 'Banking' means accepting for the purpose of lending or investment, deposits of money from the public, repayable on demand or otherwise and withdrawable by cheque, draft, order or otherwise. Hence, the banker is in the business of accepting deposits from the public and utilising these for the purpose of lending or investment.

Thus essentials to satisfy the requirements of the definition are:

- (a) Deposits should be only for lending and investment. Companies accepting deposits for trading or manufacturing are not considered as a bank.
- (b) The deposit should be from the public. So, 'Nidhis' multi-benefit societies, co-operative societies that accept deposit from their members are not covered as a bank.
- (c) Acceptance of deposit should be in the form of money.

A company incorporated under Indian Companies Act, 1956 or Companies Act, 2013 can be a bank, a banker or a banking company. Under Sec. 5(c) of BR Act, 'Banking Company' means any company that transacts the business of banking in India. Sec. 7(1) of BR Act prohibits use of the words 'banker' or 'banking' or 'banking company' by a company other than a banking company. Sec. 7(2) further prohibits the use of such words by an individual or a group of individuals or a firm.

- (a) *Moneylenders are not bankers*: The definition of banker does not include the moneylenders or *mahajans*, *Sahukars* or *Shettys*, because they run their business as individuals or groups of individuals and not as a company registered under the provisions of the Companies Act and BR Act. In the case of *Kadiresan Chettiar vs. Ramanathan Chettiar* (AIR 1927, Madras 438), it was held that while a moneylender lends his own money, a banker lends money of his customers/depositors.
- (b) *Accepting deposits of money from the public*: Every institution carrying out the business of banking must accept the deposits of money from the public and should not confine to the deposits from its members only. In the case entitled *Mahalaxmi Bank Limited vs. Registrar of Companies*, it was decided that if a company gave loan to the public but did not accept deposits from the public, it could not be considered as a banking company under Sec. 5 of BR Act.
- (c) *Acceptance for the purpose of lending or investment*: An institution accepting deposits of money without any purpose or with a purpose other than lending or investment cannot be termed as a bank.
- (d) *Deposit repayable to depositors on demand or otherwise*: Deposits of money may be repayable either on demand or if they are term deposits, on the expiry of the stipulated term or period.

(e) The deposits may be withdrawable by the customers by cheque, draft, order or otherwise.

Banks are also authorised to carry out certain other transactions as provided under Sec.6 of BR Act, 1949, mainly:

(a) Discounting of bills; (b) Collection of cheques and bills; (c) Remittances; (d) Safe custody of articles; (e) Hiring safe deposit lockers; (f) Conducting foreign exchange transactions; (g) Conducting (Central/ State) government transactions; (h) Issuing letters of credit and guarantees.

Besides, banks now a days also undertake following activities:

(i) Wealth Management services; (ii) Project appraisal; (iii) Sale of third party products such as Mutual funds, Life insurance, General insurance; (iv) Executor Trustee services; (v) Acceptance of Central and State Govt. Taxes; (vi) Franking of Stamp duty on documents; (vii) Securities Trading; (viii) Factoring; (ix) Venture Capital financing; (x) Demat services.

1.3 BANKER-CUSTOMER RELATIONSHIP

1.3.1 Introduction

The relationship between a banker and a customer depends upon the nature of services provided by the banker.

1.3.2 Who is a Customer?

Before we understand the banker customer relationship it is necessary to know who is called as a customer. The term ‘customer’ of a bank is not defined by law. Ordinarily, a person who has an account in a bank is considered as a customer. The legal judgments in the past, however, used to qualify this statement by laying emphasis on the period for which an account had actually been maintained with the bank.

In Sir John Paget’s view “to constitute a customer there must be some recognizable course or habit of dealing in the nature of regular banking business.” This definition of a customer of a bank lays emphasis on the duration of the dealings between the banker and the customer and is, therefore, called the ‘duration theory’. According to this viewpoint a person does not become a customer of the bank on the opening of an account; he must have been accustomed to deal with the banker before he is designated as a customer. The emphasis on the duration of the bank account is now discarded. According to Dr. Hart, “a customer is one who has an account with a banker or for whom a banker habitually undertakes to act as such.” Kerala High Court observed in the case of *Central Bank of India Ltd. Bombay vs. V.Gopinathan Nair and others* (A.I.R., 1979, Kerala 74): “Broadly speaking, a customer is a person who has the habit of resorting to the same place or person to do business. So far as banking transactions are concerned he is a person whose money has been accepted on the footing that banker will honour up to the amount standing to his credit, irrespective of his connection being of short or long standing.”

For the purpose of KYC requirements, a ‘Customer’ is defined as:

- A person or entity that maintains an account and/or has a business relationship with the bank or conducts a transaction with the bank
- One on whose behalf the account is maintained or a transaction is conducted (i.e. the beneficial owner). [Ref: Prevention of Money Laundering Act, 2002 Sec. 2(fa) – “‘Beneficial Owner’ means an individual who ultimately owns or controls a client of a reporting entity or the person on whose behalf a transaction is being conducted and includes a person who exercises ultimate effective control over a juridical person”]

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- Beneficiaries of transactions conducted by professional intermediaries, such as Stock Brokers, Chartered Accountants, Solicitors etc. as permitted under the law, and
- Any person or entity connected with a financial transaction which can pose significant reputational or other risks to the bank, say, a wire transfer or issue of a high value demand draft as a single transaction.

As per the Prevention of Money Laundering Act, 2022, “client” means a person who is engaged in a financial transaction or activity with a reporting entity and includes a person on whose behalf the person who engaged in the transaction or activity, is acting. A customer of a bank need not necessarily be a natural person. A firm, joint stock company, a society or any separate legal entity (like a partnership firm or an association of persons) may be a customer. Explanation to Sec. 45-Z of BR Act clarifies that “customer” includes a Government department and a corporation incorporated by or under any law.

Since the banker-customer relationship is contractual, it follows that any person who is competent to contract can open a deposit account with a bank branch of his/her choice and convenience.

1.3.3 Debtor-Creditor (Bank is a Debtor and Customer is a Creditor)

When a customer deposits money with his bank, the customer becomes a lender and the bank becomes a borrower. The money handed over to the bank is a debt. The relationship between the banker and the customer is that of a debtor and a creditor. The main features of this relationship are:

- (a) The bank is free to use the money in a way most beneficial to it.
- (b) The customer should make a demand of payment. The banker is not required to pay voluntarily.
- (c) The demand should be made in specified manner, in writing by cheque, draft, withdrawal form, order or otherwise, during working hours.
- (d) The creditor (customer) does not have any security from the debtor (bank).
- (e) The law of limitation does not begin to run until a demand has been made for repayment, in case of both demand and fixed deposits.

1.3.4 Creditor-Debtor (Bank is a Creditor and Customer is a Debtor)

When the bank lends money to the customer, the customer is the borrower (i.e. a debtor) and the bank is the lender (i.e. a creditor). Lending money is the most important activity of a bank. The resources mobilized by banks are utilized for lending operations. Customer, who borrows money from the bank, owes money to the bank. In the case of any loan/advance account, the banker is the creditor and the customer is the debtor or the borrower. The borrower executes documents and offers security to the bank before utilizing the credit facility.

In addition to these two activities, banks also undertake other activities mentioned in Sec.6 of the Banking Regulation Act. Depending upon the type of services rendered and the nature of the transaction, the banker acts as a bailee, trustee, principal, agent, lessor, custodian, etc.

1.4 BANK AS A TRUSTEE

A trustee is a person or firm that holds and administers property or assets for the benefit of a third party. Trustees are required to make decisions in the beneficiary’s best interests and have a fiduciary responsibility to them, meaning they act in the best interests of the beneficiaries to manage their assets. If a customer keeps certain valuables or securities with the bank for safe-keeping or deposits a certain

amount of money for a specific purpose, the banker, besides becoming a bailee, is also a trustee. In the case of *Subramanyan Pillai and Others vs. Palai Central Bank Ltd.* (AIR 1962 Ker. 210), certain persons deposited ₹2,000 each in the bank as guarantee money to purchase cars. The bank failed before they could get the vehicle. The court was of the view that the bank acted as a trustee and the money should be refunded as preferential debts.

In one case, a customer remitted money for purchase of shares of a company. The bank bought shares in parts, but before completing the rest of the purchase, it failed. It was held that the bank stood in the position of a trustee, and the remitter was entitled to the refund of the unspent amount.

1.5 BAILEE-BAILOR RELATIONSHIP (BANK-BAILEE AND CUSTOMER-BAILOR)

When a customer deposits certain valuables, bonds, securities or other documents with the bank, for their safe custody, the bank, besides becoming a trustee as discussed earlier, also becomes a bailee and the customer is the bailor. According to the terms of Sec. 148 of the Indian Contract Act, 1872, the bank becomes custodian of the securities of the customer and hence as a bailee is liable for any loss caused to the bailor due to its negligence. The finder of lost goods (Sec. 71 Indian Contract Act) should return any increase in goods/animals to the true owner. Under Section 164 (Indian Contract Act), the finder has to take care of such goods as an ordinary prudent man. These are examples of bailee-bailor relationship.

1.6 AGENT-PRINCIPAL RELATIONSHIP (BANK IS AGENT AND CUSTOMER IS PRINCIPAL)

According to Section 182, of the Indian Contract Act, 1872, a principal is a person who delegates authority to another person namely, the agent. Among the ancillary services rendered by the bank are remittance, collection of cheques, bills, to pay regularly, electricity bills, telephone bills, insurance premium, club fees, etc. on behalf of the customers. In these cases, the bank acts as an agent, his principal being the customer. The relationship of agency, terminates on the death, insolvency and lunacy of the customer or on completion of the work assigned. In case of remittances, though the relation is of agency in the case of *Traders Bank Ltd vs. S. Kalyan Singh* (AIR 1953), Punb p. 195, the High Court has held the relation to be that of debtor-creditor.

1.7 LESSOR AND LESSEE (BANK AS A LESSOR AND CUSTOMER AS A LESSEE)

Section 105 of 'Transfer of Property Act' deals with lease, lesser, lessee. The banks provide safe deposit lockers to the customers for use on lease basis. The relationship here is that of lessor and lessee or of licensor and licensee. The bank shall not be liable for any damage and/or loss of contents of locker arising from natural calamities or Acts of God like earthquake, floods, lightning and thunderstorm or any act that is attributable to the sole fault or negligence of the customer. Banks shall, exercise appropriate care for protection of their locker systems and premises. It has the responsibility to ensure that incidents like fire, theft/burglary/ robbery, dacoity, building collapse do not occur in the bank's premises due to its own shortcomings, negligence and by any act of omission/commission. In instances where loss of contents of locker is due to such incidents or attributable to fraud committed by its employee(s), the banks' liability shall be for an amount equivalent to one hundred times the prevailing annual rent of the safe deposit locker.

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1.8 INDEMNIFIER AND INDEMNIFIED (BANK IS INDEMNIFIED OR INDEMNITY HOLDER AND CUSTOMER IS INDEMNIFIER)

A contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself or the conduct of any other person is a contract of indemnity – Sec. 124 (Indian Contract Act, 1872). In banking, such relationship occurs in transactions of issue of duplicate demand draft, fixed deposit receipt etc. In these cases the person availing the facility will compensate the other for any loss arising from the wrong/excess payment.

1.8.1 Banker Customer Relationship Summarised

The banker – customer relationships are summarized below for different types of transactions.

Transaction	Bank	Customer
Deposit in the bank	Debtor	Creditor
Loan from bank	Creditor	Debtor
Safe custody	Bailee	Bailor
Locker	Lessor	Lessee
Collection of Cheque	Agent	Principal
Purchase of a draft*	Debtor	Creditor
Payee of a draft	Trustee	Beneficiary
Pledge	Pawner (Pledgee)	Pawnee (Pledger)
Mortgage	Mortgagee	Mortgagor
Standing instruction	Agent	Principal
Sale/purchase of securities on behalf of a customer	Agent	Principal
Money deposited but instructions not given for its disposal	Trustee	Beneficiary
Articles left by mistake	Trustee	Beneficiary
Shares given for sale	Agent	Principal
Hypothecation	Hypothecatee	Hypothecator

*As per Haryana and Punjab High court judgment in the case of Traders Banks vs. Kalyan Singh- 1953

1.9 DIFFERENT DEPOSIT PRODUCTS OR SERVICES

1.9.1 Deposit Products

Deposit products consist of a wide variety of financial products whereby, clients deliver (deposit) funds (in cash or digitally) with a financial institution and may earn a financial return depending on the deposit type and duration. Let us know the different types of deposit products offered by banks. Detailed features of various deposit products are discussed in Unit 5.

Types of Deposits

Deposits are normally classified as demand deposits and time deposits.

Demand Deposits	Time Deposits
1. Payable on Demand. 2. Low interest rates or no interest. 3. It includes current, savings, overdue deposits and unclaimed deposits.	1. Repaid after expiry of the Deposit Period. 2. High interest rates, which vary according to period. 3. Time deposits are for a period ranging from 7 days to 120 months period with or without reinvestment plans.

1.9.2 Demand Deposits

Demand deposits are classified into current accounts and savings accounts.

Current Deposits: The deposits in current account are working funds of businesses or enter; rises, and fluctuate widely and are not paid any interest.

Saving Deposits: Savings accounts are to inculcate savings habit and facilitate regular transactions through banking system, and attract interest. These fluctuate, albeit are less volatile.

1.9.3 Time Deposits

Term deposits (TD) are for investing surplus funds for short to long term. TD can have distinguishing features for following parameters:

- (i) Mode of interest payment – Periodical or cumulative.
- (ii) Mode of investment – in lump sum or in instalment.
- (iii) Mode of return of principal – on maturity or in instalment.

TDs are of several types as indicated below:

- (i) Fixed Deposits (periodical interest payment)
- (ii) Short-term Deposits (of less than a year)
- (iii) Reinvestment Deposit Scheme (cumulative interest paid on maturity)
- (iv) Recurring Deposit Scheme (periodical deposits made)
- (v) Flexi Recurring Deposit (special type of recurring deposit)

1.9.4 Hybrid Deposits or Flexi Deposits

These are a combination of demand and fixed deposits, introduced giving flexibility to customer.

1.9.5 Deposit Products for Non-Resident Indians

Banks also offer special deposit accounts/ schemes for Non Resident Indians, Persons of Indian Origins, and Overseas Citizens of India.

- Non-Resident Ordinary Rupee Account (NRO Account)
- Non-Resident (External) Rupee Account (NRE Account)
- Foreign Currency Non Resident (Bank) Account – FCNR (B) Account

1.10 SERVICES TO CUSTOMERS AND INVESTORS

Banks also provide certain other financial services to meet other needs of customers and investors. These services help in augmenting revenue earnings for the banks.

1.10.1 Merchant Banking

Merchant bankers are financial intermediaries facilitating transfer of capital from those who own it (Investor or Bond Subscriber) to those who use it (Corporates or Governments). They help a corporate in Initial Public Offering (IPO) or a Follow-up Public Offer (FPO), popularly called a Public issue or Private Placement of Debt or Equity.

Merchant bankers assist in introducing or selecting or appointing outside technical consultants in addition to in-house technical personnel for preparation of a detailed project report, market survey report, feasibility studies etc. It also assists in:

- (a) Obtaining regulatory clearances from Securities Exchange Board of India (SEBI), the stock exchanges (BSE, NSE), Registrar of Companies etc.
- (b) Specifically obtaining clearances from SEBI for the prospectus of the IPO or the FPO.
- (c) Planning and timing of the IPO/FPO.
- (d) Underwriting of public issue by financial institutions or brokers.
- (e) Selection of Principal Broker(s) and Sub-Brokers, lead-book-runners and sub-book runners.
- (f) Selecting the Registrar to the issue and fixing their remuneration.
- (g) Selecting bankers to the issue that will maintain the bank account for collecting and holding the funds to be raised till successful closure of the issue.
- (h) Selecting advertising consultants or agencies for publicity campaigns, investor conferences, analyst conferences and road shows.
- (i) Printing and distribution of prospectus/ application forms to brokers/ sub-brokers/book runners.
- (j) Making application to stock exchanges for listing of the security.
- (k) Monitoring and reporting the progress of the offering to the company and regulatory bodies.

1.10.2 Lease Financing

This means leasing out the capital assets owned by an institution to another company against payment of monthly rents for asset's consumption or use. Here, the finance is provided by the institution (may be a bank too), called Lessor, which does not enjoy the use of asset but is its owner. The lessor is entitled to write off a certain amount of capital cost (i.e. in the form of depreciation charge on the capital asset) against its taxable profits until it is fully written off. While the lessee is benefited by not investing funds in capital cost, the lease charges are permitted to account as revenue expenses in its books of accounts. The lease can also be arranged on any existing freehold asset(s) or long leasehold property by either mortgaging it or by selling it at market price to a leasing company; this leasing company in turn would lease it back to the seller of the asset on lease thus benefiting both the entities. In a lease, the lessee of the equipment does not become the owner thereof.

Advantages to Lessee

- (a) Use of asset without incurring the capital cost, thus saving on cost of capital.
- (b) Lease rentals are business revenue expense, contracting profits and reducing taxation.
- (c) Since there is no capital cost, this does not impact the liability side of the balance sheet.
- (d) Credit worthiness of the lessee is maintained at a higher level facilitating it to borrow further.

Disadvantages to Lessee

- (a) Ownership of the asset is held with the lessor and not with the lessee.
- (b) The asset is permitted to be used for agreed business purposes only; preventing from utilising the asset for alternative business purposes, if any.

- (c) Confiscation or repossession of the asset by the lessor on breach of terms and conditions.
- (d) If the lessor/owner becomes insolvent or goes into liquidation the asset may be attached by the liquidator.

1.10.3 Plastic Money

Plastic money in the form of credit cards and other types of cards has become a preferred mode of payments. Increasing use of the plastic money, has reduced the need of cash to a significant extent.

(i) Charge Cards

A charge card is an electronic payment card, where the cardholder is not charged interest but needs the user to pay the balance due in full upon receipt of the statement, usually every month. Holders of these cards may have to pay a high annual fee. There are very few issuers of charge cards. Charge cards usually do not have a preset spending limit and the amount allowed to be drawn varies depending on the usage and payment record built up. There are no charges levied on the amount spent apart from the annual fee. Late fee is charged on delayed payments.

(ii) Credit Cards

Credit card facilitates the card holder to utilize sanctioned credit limit primarily for making purchases of goods and services. The difference between a credit card and a charge card is that in case of charge card, the entire outstanding amount is to be paid within the specified period. In case of credit cards, the cardholder has the option to pay only part amount on due date.

(iii) Debit Cards

Debit cards are similar to credit cards in functionalities, except that the transaction amount is debited to the cardholder's account as soon as it is notified to the issuer. Hence it is an instrument facilitating debit to a savings or current account.

(iv) ATM Cards

These are cards issued to the savings/ current account holders for drawing cash from Automated Teller Machines (ATMs) located in the branch or off site. Usually debit cards are also used as ATM cards.

(v) Prepaid Cards

Prepaid cards are loaded with the amount paid by the persons purchasing the cards. These cards can be given to third persons who can use these for making purchases from merchants. Some cards can also be used for withdrawing cash from ATMs.

(vi) Co-branded Cards

A co-branded card is a credit card that a retailer of consumer goods or services issues in partnership with a particular credit card issuer or network. Often bearing the logos of both the credit card company and the retailer, co-branded cards earn merchandise discounts, points, or other rewards when used with the sponsoring merchant, but they can also be used anywhere the cards from that network are accepted.

1.10.4 Electronic Cards/Payment services

As the financial services sector has become technology based and smart phones have become widely prevalent, electronic payment instruments have been introduced. These instruments can be loaded on the smartphones of the customers, like mobile wallet, etc. Various cards are now issued in electronic form also.

1.10.5 Remittance Services

For facilitating funds transfers between two persons, banks were providing services in the form of Demand Drafts (DD), Banker's Cheques (BC)/ Pay Orders (PO), Mail Transfers (MT) and Telegraphic Transfers (TT). With adoption of core banking system for bank operations, these products have become redundant. Transfer products have become technology as stated below:

- National Electronic Funds Transfer (NEFT)
- Real Time Gross Settlement (RTGS)
- Immediate Payment Service (IMPS)
- Unified Payment Interface (UPI) Transfers
- Aadhaar Enabled Payment System (AePS)
- National Automated Clearing House (NACH)

1.10.6 Government Schemes

Banks also serve as the distribution points for several Government Schemes that are aimed at financial inclusion and also providing safe avenues of investment to the common man. Some of the prominent schemes are mentioned below. These products provide commission income to banks, apart from facilitating them to cater to various needs of their customers under one roof.

- Public Provident Fund (PPF)
- National Pension Scheme (NPS)
- Capital Gains Account Scheme 1988 (CGAS)
- Senior Citizens Savings Scheme (SCSS)
- Sukanya Samriddhi Account Scheme, 2019
- RBI Bonds
- Gold Monetisation Scheme, 2015
- Sovereign Gold Bond Scheme (SGB)
- Nominated Agency for Gold Imports
- Atal Pension Yojana
- Pradhan Mantri Vaya Vandana Yojana (PMVVY)
- Pradhan Mantri Suraksha Bima Yojana (PMSBY)
- Stand Up India Scheme
- Pradhan Mantri Jan Dhan Yojana

1.10.7 Third Party Products Sale

With a view to providing one-stop-services to their customers, banks have tapped the opportunity made available through regulatory relaxations for banks to sell third party financial products pertaining mainly to the capital market and insurance sectors. For banks, it is an additional source of revenue. Customers, get financial services at one place. For capital market and insurance sector, it adds to their depth. Some of the major third party products are:

- (i) **Demat Accounts:** Tie-up with a Depository Participant (DP). Some banks register as a DP.
- (ii) **Trading Account:** Tie-up with a Stock Broker.
- (iii) **Three-in-One Account:** Linked Demat Account - Trading Account - Savings/ Current Account.
- (iv) **Mutual Funds:** Tie-up with various mutual fund companies.
- (v) **Life Insurance Policy:** Tie-up with a life insurance company.

- (vi) **Health Insurance Policy:** Tie-up with a health insurance company.
- (vii) **Vehicle Insurance, House Insurance, etc.:** Tie-up with a general insurance company.

1.10.8 Safe Custody or Trusteeship Services

Banks and bankers enjoy tremendous public trust. Banks have therefore offered certain services that leverages on this public confidence. Certain services that banks provide in this context are as follows:

- (i) **Safe Custody of articles, documents, etc.:** Valuable articles/ documents are left in the custody of banks for safekeeping.
- (ii) **Hiring out safe deposit lockers:** Banks hire out safe deposit lockers for safe keeping of valuables (ornaments, gold, documents, etc).
- (iii) **Escrow account:** Such accounts are used when a party wants to exercise some control on the use of the funds received in the account in the name of another party.
- (iv) **Escrow services for document:** There are situations when certain parties to a transaction want to have joint control of a document until certain conditions are fulfilled.
- (v) **Trusteeship:** Banks offer trusteeship services for handling of certain funds or assets.
- (vi) **Executorship:** Banks offer the services of executorship for the wills made by their customers.

1.11 LET US SUM UP

The term 'Banking' has been comprehensively defined under BR Act. The banker is engaged in the business of accepting the deposits from the public and utilizing such deposits for lending or investment. The Act specifies the criteria to be fulfilled for being termed as 'Bank'.

The term 'customer' of a bank is not defined by law. Ordinarily, a person who has an account in a bank is considered as a customer. For the purpose of KYC policy, a 'Customer' is defined as a person or entity that maintains an account and/or has a business relationship with the bank.

Banks are also authorised to carry out other transactions as provided under Sec. 6 of BR Act. These services provided by banks to customers give rise to certain relationship between them. The general view is that the banker's relationship with the depositor is that of a debtor and a creditor. Other relationships are of: creditor - debtor, bailee - bailor, and trustee - beneficiary.

Deposits are either demand deposits or time deposits. Demand deposits are made up of current accounts and saving accounts, while time deposits include fixed deposits, short-term deposits, recurring deposits, MIDS/QIDS/reinvestment deposits, etc.

Other services provided by banks are merchant banking, lease financing, plastic money like credit or debit cards, etc.

Remittance services have been a major activity of banks since their inception. New-age remittance products are NEFT, RTGS, IMPS, and AEPS that are available on 24 x 7 basis.

Banks also administer and manage accounts under certain Government Schemes, especially those under Small Savings Schemes.

Banks also support Central Government measures to mobilise stock of gold with public through various schemes.

Banks are offering third party financial products like insurance products, mutual funds, stock trading account, demat account, and three-in-one accounts.

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Banks also offer safe custody services and safe deposit vaults for safekeeping of valuable articles and documents. Banks also act as escrow agent (for funds and documents), trustee for assets, executors for estate.

1.12 KEYWORDS

Creditor, Debtor, Bailor, Bailee, Lessor, Lessee, Trustee, Principal, Indemnifier, Indemnified, Demand Deposits, Time Deposits, Hybrid Deposits, Tax Deduction at Source (TDS), Recurring Deposits, Merchant Banking, Initial Public Offering (IPO), Public Issue, Underwriting, Listing of Shares, Lease Financing, Credit Card, Debit Card, ATM Card, Pre-paid card, NEFT, RTGS, IMPS, AePS, NPS, SCSS, Gold Monetisation Scheme, Sovereign Gold Bond, Three-in-one account.

1.13 CHECK YOUR PROGRESS

1. Principal function(s) of banks is/are _____.
(a) accepting deposits (b) lending and investing
(c) non-fund business and remittance services (d) all of above (a) to (c)
(e) only (a) and (b).
2. When a bank lends money to the corporate person the relationship between them is of _____.
(a) borrower and lender (b) creditor-debtor
(c) debtor-creditor (d) customer and client
3. What relationship is created when the bank collects a cheque in clearing?
(a) holder for value (b) clearing member and principal
(c) agent and principal (d) collecting bank and holder
(e) none of above
4. Demand deposits are those which can be withdrawn _____.
(a) on request (b) on sanction by Manager
(c) on demand (d) on persuasion
5. Merchant bankers are _____.
(a) financial brokers (b) financial intermediaries
(c) credit appraisers (d) underwriters
(e) All of the above.

1.14 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (b), 3. (c), 4. (c), 5. (b).

(Sources: Banking Regulation Act, RBI Circulars, Websites of various banks and NPCI)



AML-KYC GUIDELINES

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2.0 OBJECTIVES

After studying this Unit, you will:

- Understand the 'Money Laundering' and 'Financing of Terrorism' concepts
- Know about the purpose of KYC Policy and its elements
- Know about the obligations of banks under the Prevention of Money Laundering Act

2.1 MONEY LAUNDERING & FINANCING OF TERRORISM RISKS

2.1.1 Introduction

Money laundering (ML) is a process whereby the origin of funds generated from criminal activities (drug trafficking, gun smuggling, corruption etc.) is concealed and these funds are infused in the financial system appearing as if these originated from legitimate sources. Often such funds are deployed in legal activities or in legitimate assets.

Corruption, tax evasion, Ponzi schemes, other financial crimes, cybercrimes are closely connected with money laundering. Funds from these crimes now form a substantial portion of money laundering funds. Financial crimes (FC) now constitute a significant part of criminal activities.

Third component of the triad today is Terrorist financing (TF). With growth of several terrorist organisations, big and small, Terrorist financing has assumed large proportions. Terrorist financing has developed linkages with money laundering as for both purposes similar modalities are used.

Thus ML, TF and FC are interconnected. Another aspect is that certain criminals have organized into Organised Crime Groups (OCGs) and Professional Money Launderers (PMLs). OCGs and PMLs together form the network that propagates criminal activities and launders the funds generated from such activities.

Financial Action Task Force (FATF), a global organization, was set up for evolving measures to be taken by financial sector businesses and certain non-financial businesses and professions for prevention of money laundering. FATF issued certain recommendations that serve as anti-money laundering (AML) and combating financing of terrorism (CFT), and are known as FATF Standards 2012. Money laundering and terrorism financing are considered as criminal activities across the world.

2.1.2 Stages of Money Laundering

Funds from criminal activities are typically generated outside the financial system, and are placed in it to give them legal form. This money laundering cycle comprises three stages stated below.

- (a) **Placement:** In this stage the funds from criminal activity are introduced into the financial system. Typically, this is done through deposits in multiple bank accounts.
- (b) **Layering:** Next, those funds are passed through numerous financial transactions in these accounts creating several layers of funds transfers. This helps in hiding the source of these funds.
- (c) **Integration:** Next step is collecting the funds lying in multiple accounts in one or few accounts that are then deployed for investing in some legal business activity or for acquiring some asset in legitimate manner.

2.1.3 Stages of Financing of Terrorism

There are numerous terrorist outfits, in the world. These have financial cycles similar to commercial entities, and use banks and financial institutions. Financing of Terrorism comprises following stages:

- (a) **Raising:** Terrorist organisations source funds from their sympathisers both individuals and organisations. Sometimes, terrorist outfits also engage in various income generating activities, legal or criminal. Channeling funds from both such sources is done in a clandestine manner so that the purpose for which these are collected is not known.
- (b) **Moving:** Contributors to the terrorist organisations can be located anywhere not only in their home country but across the world. These funds are therefore required to be moved to the places of their establishments of the terrorist organisations.
- (c) **Storing:** As the funds raised may be deployed for terrorism related activities including the regular activities for running the outfits with a gap of time and spread over a period, these are parked in the interim in bank accounts or any other financial investment.
- (d) **Using:** Finally, the raised funds are used for the purposes of carrying out the terrorism act or for various organisational related activities.

2.1.4 Objectives of Prevention of Money Laundering

The main objectives of measures for prevention of money laundering are:

- (a) To prevent criminal elements from using the financial system for money laundering activities.
- (b) To prevent spread of criminal activities in society.
- (c) To safeguard the economy from financial crimes.
- (d) To prevent terrorists from gaining access to financial resources.

2.2 AML FRAMEWORK IN INDIA

Based on FATF Recommendations, in India Prevention of Money Laundering Act, 2002 (PMLA) was enacted under which, inter alia, few obligations for all financial sector players and certain non-finance businesses have also been stipulated. These entities in the financial sector and the designated businesses in non-financial sector are termed as Reporting Entities (RE). Detailed legal provisions for REs, have been included in Prevention of Money Laundering (Maintenance of Records) Rules (PMLR).

Besides, specific institutional framework has also been put in place for dealing with money laundering crime.

- (i) Financial Intelligence Unit-India (FIU-Ind) has been set up for receiving information about various financial transactions from certain businesses, including banks and financial institutions. FIU-India also has supervisory powers over the business entities that are subject to PMLA.
- (ii) Enforcement Directorate (ED) is the investigation and prosecuting authority for money laundering crime. The powers of ED include tracking and attaching assets related to money laundering.
- (iii) Special Courts are set up for adjudication of cases pertaining to money laundering crime. The adjudicating authority has powers to freeze the assets and even confiscate the assets proved to be related to money laundering.
- (iv) The Regulators of various business activities, covered under PMLA, issue operating instructions and guidelines for the businesses regulated by them for discharging their obligations under the PMLA and PMLR.

2.2.1 Money Laundering Offence

The offence of money laundering has been defined in Sec. 3 of the PMLA as:

“whosoever directly or indirectly attempts to indulge or knowingly assists or knowingly is a party or is actually involved in any process or activity connected with the proceeds of crime including its concealment, possession, acquisition or use and projecting or claiming it as untainted property shall be guilty of offence of money laundering.”

Sec. 45 of PMLA stipulates that all offences under the PMLA are to be deemed to be cognizable and non-bailable offences.

Sec. 4 of PMLA stipulates the punishment for money laundering offence, which is rigorous imprisonment for not less than 3 years but up to 7 years and fine as per the gravity of the offence. In cases connected with offences under the Narcotics Drugs and Psychotropic Substances Act the imprisonment may extend up to maximum 10 years.

2.2.2 Money Laundering – Risk Perception

Financial products and services are designed to provide quick, convenient and efficient modes for dealing with funds for different purposes. These are abused by the criminals for money laundering and financing of terrorism, by disguising or misrepresenting their true identities, profiles and purposes.

For example, for a salaried executive a savings account is a basic banking product that is used by her for managing her regular inflows and outflows of funds related to her livelihood and living needs. A criminal engaged in running a gambling racket, on the other hand, opens a savings account for dealing with betting money received from the customers. However, the criminal poses as a freelancer photographer to disguise the inflows as earnings from this occupation.

Thus the primary source of ML/FT risks is the customers. These are also affected by:

- (i) Nature of products and services
- (ii) Country of incorporation of the bank
- (iii) Place of the bank branch
- (iv) Place(s) with which the transaction is connected.
- (v) Nature and value of transaction

2.2.3 Measures to Mitigate Money Laundering Risk

The obligations under PMLA require the banks to mitigate ML/FT risks. Banks are required to take appropriate measures for the following purposes:

- (a) To know/understand the customers and their financial dealings better.
- (b) To detect and report suspicious activities to FIU-Ind as per the laid down procedures.
- (c) To comply with applicable laws and regulatory guidelines.
- (d) To adequately train the staff in KYC/AML procedures.

These make it difficult for criminals to abuse banks for ML/FT as their activities are closely monitored. They mitigate ML/FT risks as criminals would avoid vigilant banks.

2.3 KNOW YOUR CUSTOMER POLICY

2.3.1 Practice of Introduction

Prior to the introduction of “Know Your Customer (KYC)” guidelines by the RBI in 2002, the banking practice was to obtain introduction for a new customer from an existing account holder of satisfactory standing and for certain period or from a staff member who knows the customer properly. The purpose of this practice was for getting protection provided under the Negotiable Instruments Act to a collecting banker. After RBI guidelines on KYC the banks have been advised not to obtain introduction.

Every bank is required to have a KYC Policy laying down the KYC/ AML norms.

2.3.2 ‘Customer’ Definition: KYC Norms

Sec. 2(ha) of the PMLA defines customer as ‘client’ as follows:

“‘client’ means a person who is engaged in a financial transaction or activity with a reporting entity and includes a person on whose behalf the person who engaged in the transaction or activity, is acting;”

This definition has been adopted by RBI in Master Direction - Know Your Customer (KYC) Direction, 2016 for defining ‘Customer’.

A ‘customer’ from KYC norms perspective differs in from the traditional meaning of ‘customer’:

- (i) It includes not just the person in whose name the dealings are carried out with the bank, but also those who actually act for such person.
- (ii) It covers not only the account holders and those having continued relationship, but also those who avail of any service on one-off basis.

For the purpose of KYC requirements, a bank needs to include a wide range of persons availing various services, like:

- A bank account including fixed deposits
- Credit facilities (fund-based or non-fund based)
- Remittance facility on stand-alone basis even once or multiple times
- Demat account (Bank is a Depository Participant)
- PPF account or Pension Fund account
- Third party product (e.g. insurance, mutual fund)
- Safe custody services or safe deposit locker services
- Receiving remittances for payouts

Besides, the following persons are also considered ‘customer’:

- In case of entities availing services – their beneficial owners
- In case of accounts maintained by Professional Intermediaries for their clients – beneficiaries of the transactions

2.3.3 Key Elements of Know Your Customer (KYC) Policy

KYC Policy is a major policy for managing a bank in prudent and compliant manner mitigating ML/TF risks effectively and efficiently. Key requirements for KYC Policy are:

- (i) It is to be approved by the Board of Directors or any committee of the Board (if delegated).

- (ii) It should be reviewed regularly, at least once in a year, besides based on any event impacting it, viz. changes in PMLA/ PMLR/ Regulations of RBI, etc., entering new business line, entering a new jurisdiction, etc.
- (iii) Usually, the Principal Officer is responsible for keeping the KYC Policy updated and relevant.

KYC Policy is a comprehensive document that contains norms related to handling of the customer's business, organization set-up for various responsibilities, creating awareness among customers and staff. The key elements of KYC Policy are:

- (a) Customer Acceptance Policy,
- (b) Customer Identification Procedures,
- (c) Risk Management, and
- (d) Monitoring of Transactions.

Some banks may have two distinct documents covering KYC Policy (pertaining to Customer Identification and Customer Due Diligence) and AML/CFT Policy (pertaining to Monitoring of Transactions and Reporting to FIU).

2.4 ORGANISATIONAL SET-UP FOR AML

PMLR stipulate that banks must designate following functionaries for meeting PMLA obligations:

- (a) Designated Director, and
- (b) Principal Officer.

Besides, each bank has a distinct function to discharge responsibilities of monitoring and reporting under PMLA. Other functional units have to discharge respective functions pertaining to KYC/AML obligations.

- (a) *Designated Director*:

A Designated Director (DD) is responsible for overall compliance with the obligations of the bank as spelt out in the PMLA (Sec. 11A, 12, 12A and 12AA), PMLR and the regulatory guidelines of regulators concerned. DD shall be a functionary, who is:

- i) the Managing Director or a whole-time Director, duly authorized by the Board of Directors, if the RE is a company.
- ii) the Managing Partner, if the RE is a partnership firm.
- iii) the Proprietor, if the RE is a proprietorship concern.
- iv) the Managing Trustee, if the RE is a trust.
- v) a person or individual, as the case may be, who controls and manages the affairs of the RE, if the RE is an unincorporated association or a body of individuals.
- vi) a person who holds the position of senior management or equivalent designated as a 'Designated Director' in respect of Cooperative Banks and Regional Rural Banks.

DD is responsible to ensure that the bank:

- (i) Has appropriate functional set-up, systems and processes for KYC/ AML requirements.
- (ii) Keeps the KYC Policy duly updated.
- (iii) Has skilled staff at all levels.
- (iv) Takes suitable measures with changing complexion of ML/TF risks.

(b) *Principal Officer (Money Laundering Reporting Officer) (PO):*

Banks must designate a senior officer as Principal Officer in terms of PMLA. The main functions of PO are as follows:

- (i) Monitoring implementation of the bank's KYC/AML Policy.
- (ii) Reporting of Transactions to and sharing of information with FIU-Ind.
- (iii) Maintaining liaison with law enforcement agencies.
- (iv) Ensuring submission of periodical reports to the top Management/Board.
- (v) Keeping the AML monitoring systems updated.

(c) *AML Team:*

A distinct functional unit is put in place for taking necessary measures for compliance with legal and regulatory AML and CFT stipulations. The main functions of this unit are:

- (i) To review and update KYC Policy regularly
- (ii) To guide the business/ operations functions in respect of customer identification/ due diligence
- (iii) To undertake ML/TF risk assessment of the bank and review it periodically
- (iv) To assist business/ operations units in customer risk categorisation
- (v) To monitor transactions for detection of suspicious transactions
- (vi) To submit various prescribed reports and any information sought to FIU-India

2.5 OBLIGATIONS UNDER PMLA

PMLA lays down the following primary obligations for RE's, including banks:

- (i) To verify the identity of customers and their beneficial owners through any of the specified modes. These include authentication/ offline verification of Aadhaar, or passport, or any of the specified officially valid documents.
- (ii) To maintain records of all transactions as specified, furnish the information of prescribed transactions, including attempted transactions. These records shall be kept for a period of 5 years from the date of transaction.
- (iii) To maintain records of identity documents (of clients and beneficial owners), and account files and business correspondence of clients. These are to be maintained for a period of 5 years from the date of closure of accounts or end of relationship, whichever is later.
- (iv) Keep all information maintained and furnished confidential.
- (v) Before commencement of the specified transactions, bank shall carry out the following:
 - verify the identity of clients by Aadhaar authentication or any other prescribed mode,
 - examined ownership, financial position and sources of funds of the customer, and
 - record the purpose behind the transaction and nature of relationship between the transaction parties.

The specified transactions are cash withdrawals/ deposits and foreign exchange transactions above specified threshold value, high value imports and remittances, and other transactions of ML/TF risk and in the interest of revenue.

- (vi) Not to carry out any specified transaction if unable to take the aforesaid measures.
- (vii) If any of such transactions are considered suspicious, the business relationship should be put under enhanced monitoring, with greater scrutiny of such transactions.

2.6 RISK MANAGEMENT

(a) *Risk Based Approach*

Banks shall apply a Risk Based Approach (RBA) for mitigation and management of the identified risk and should have Board approved policies, controls and procedures in this regard. They shall monitor the implementation of the controls and enhance them if necessary.

The objective is to adopt customer due diligence and transaction monitoring measures depending on the risk levels, so that the AML/CFT measures are effectively implemented.

(b) *Risk Assessment*

Banks should undertake assessment of and take effective measures to mitigate the ML/TF risks from customers, products/ services, regions/ countries where its offices are located, delivery channels, and the transactions undertaken by their customers.

This exercise should be proportionate to the nature, size, geographical presence, complexity of activities/ structure, etc. of the bank, and should be done at least annually.

(c) *Customer Risk Categorisation*

Customers are classified into three risk categories namely high, medium and low, based on the risk perception of the bank. Parameters of risk perception are clearly defined in terms of the nature of business activity, location of customer and his clients, mode of payments, volume of turnover, social and financial status etc. to enable categorization of customers into low, medium and high risk; customers requiring very high level of monitoring, e.g. Politically Exposed Persons may, if considered necessary, be categorised even higher.

Individuals (other than High Net Worth Individuals) and entities whose identities and sources of wealth can be easily identified and transactions in whose accounts by and large conform to the known profile may be categorized as low risk. Customers who are likely to pose a higher than average risk to the bank should be categorized as medium or high risk. These could be customers engaged in cash intensive businesses with high turnover, say jewellers, petrol pumps, etc.

Review of risk categorisation of customers is carried out at least every six months, based on the transactions carried out by the customer. Besides, risk category may be reviewed whenever any additional information of the customer comes to knowledge or any change in conduct of business noticed.

(d) *Role of Other Functions*

For effective risk management, an appropriate framework covering proper management oversight, systems, controls and other related matters is required.

The bank's internal audit team undertakes independent evaluation of the compliance with KYC/ AML Policy, including legal and regulatory requirements. Concurrent/ internal auditors shall specifically check and verify the application of KYC/AML procedures at the branches. The findings and compliance in this regard will be placed before the Audit Committee of the Board at quarterly intervals.

(e) *Introduction of New Technologies*

Continuing development of Information and Communication Technology leads to new technology based products, like Smart Cards/Mobile Wallet/ Net Banking/ Mobile Banking/RTGS/ NEFT/IMPS etc. They have different and often new features that may pose new ML/FT risks. Banks should build in appropriate KYC procedures before introducing new products/services/technologies.

(f) *Staff Hiring and Training*

Bank staff, are potentially of high inherent risk by virtue of their access to the bank's systems, their role in conducting the bank's business and the powers exercised by them. Hence, banks should have adequate screening mechanism as a part of their recruitment process.

Banks should also carry out due diligence and KYC in respect of third parties used for business activities, like Business Correspondents, Direct Sales Agents, Recovery Agents,, etc.

Banks should equip its audit function with persons adequately trained and well-versed in AML/CFT policies, regulations and related issues.

All employees need to be appropriately trained in KYC/AML procedures and sensitized about the significance of ML/FT risks. The training programs should be role-based for creating better understanding among the staff about their own responsibilities in this regard. Ongoing training is required to keep staff updated with the latest regulatory norms and the emerging modalities adopted by criminals.

2.7 OBLIGATIONS UNDER INTERNATIONAL AGREEMENTS

Banks are not permitted to open or maintain accounts of the individuals/ entities that appear in the following two lists, of individuals/ entities suspected to have terrorist links, circulated and periodically updated by the United Nations Security Council (UNSC):

- (i) The "ISIL (Da'esh) & Al-Qaida Sanctions List", which includes names of individuals and entities associated with the Al-Qaida.
- (ii) The "1988 Sanctions List", consisting of individuals (Section A of the consolidated list) and entities (Section B) associated with the Taliban.

Following measures are required to be taken if any match is found with any of the listed individuals/ entities:

- (i) To advise FIU-IND and Ministry of Home Affairs details of such accounts as per UAPA notification dated 2nd February, 2021.
- (ii) To follow the procedure of freezing of assets of such individuals/ entities with the order of the Ministry of Home Affairs, in accordance with the procedure laid down in the aforesaid Notification.

Any other Resolution of UNSCR circulated by RBI shall also be taken note of by the banks.

2.8 FATF IDENTIFIED JURISDICTIONS

FATF issues Statements of countries that do not or insufficiently apply the FATF Recommendations, once in every four months. Banks should take into account risks arising from the deficiencies in AML/ CFT regime of the jurisdictions included in the FATF Statement. Specifically following measures need to be taken:

- (i) Special attention shall be given to business relationships and transactions with persons (including legal persons and other financial institutions) from or in these countries. However, banks are not prohibited from having legitimate trade and business transactions with these countries.
- (ii) The background and purpose of transactions with persons (including legal persons and other financial institutions) from these countries should be examined, and written findings together with all documents should be retained and should be made available to RBI/other relevant authorities, on request.

2.9 CORRESPONDENT BANKS

Correspondent banking can be defined, in general terms as an arrangement under which one bank (correspondent) holds deposits owned by other banks (respondents) and provides payment and other services to those respondent banks. Correspondent banking is the lifeline of global financial transactions and hence crucial for international trade, travel and tourism. At the same time it also has inherent in its activity and nature risk of abuse by criminals for money laundering and terrorism financing. Due to different level and nature of AML/ CFT regimes in various countries correspondent banks are exposed to the ML/FT risks to each other. Banks are therefore required to follow certain norms in establishing and maintaining ‘correspondent relationships’.

- (i) Banks should have a Policy for establishing correspondent relationships.
- (ii) The Policy should spell out the conditions for establishing such relationships.
- (iii) Due Diligence of the correspondent banks should include information on the nature of business of the bank, management, major business activities, level of AML/CFT compliance, purpose of opening the account, identity of any third party entities that will use the correspondent banking services, and regulatory/supervisory framework in the bank’s home country.
- (iv) No correspondent relationship should be established with a shell bank. Also, to ensure that the respondent bank do not allow the account to be used by shell banks.
- (v) Banks shall be cautious with correspondent banks located in jurisdictions which have strategic deficiencies or have not made sufficient progress in implementation of FATF Recommendations.

2.10 REPORTING UNDER FATCA/CRS

The Foreign Account Tax Compliance Act (FATCA) is tax information reporting regime, which requires Financial Institutions (FIs) to identify their U.S. accounts through enhanced due diligence reviews and report them periodically to the U.S. Internal Revenue Service (IRS) or in case of Inter-Governmental agreement(IGA), to appropriate government authority. The purpose of FATCA is to prevent U.S. persons from using banks and other financial institutions outside the USA to park their wealth outside U.S. and consequently avoid U.S. taxation on income generated from such wealth. In pursuance of Foreign Account Tax Compliance Act (FATCA) of the USA, and Common Reporting Standards (CRS) of OECD Council, in response to G20 request, Income Tax Rules 114F, 114G, and 114 H have been put in place that require banks and financial institutions to declare if they are a Reporting Financial Institution, in terms of these Rules.

These Rules require banks and financial institutions to submit prescribed reports to the Income Tax Dept. in respect of the accounts of such customers who are taxable in the USA (for FATCA) and any other foreign country (for CRS).

2.11 REPORTING OBLIGATIONS

Banks are required to furnish to FIU-IND reports pertaining to transactions of prescribed type and value at prescribed frequency.

(a) *Monthly Reports*

Following four reports are required to be submitted for each calendar month by the 15th of the following month.

S.No.	Report	Nature of Transactions
1	Cash Transactions Report (CTR)	(a) Cash transactions of ₹10 lakh or more or equivalent (b) Series of cash transactions in a month integrally connected to each other (i.e. all deposits or all withdrawals taken separately) aggregating ₹10 lakh or more or equivalent
2	Cross Border Wire Transfer Report (CBWTR)	Cross border wire transfers of more than ₹5 lakh or equivalent where either the origin or destination of fund is in India
3	Non-Profit Organisation Report (NTR)	Receipts by non-profit organisations of more than ₹10 lakh or equivalent
4	Counterfeit Currency Report (CCR)	All counterfeit currency notes received

(b) **Suspicious Transactions Report (STR)**

Banks are required to report to FIU-IND any suspicious transaction noticed by them, within 7 days of establishing suspicion. This is the key report for FIU-IND to enable it to provide useful intelligence to the law enforcement agencies. A transaction is considered as suspicious if to a person acting in good faith, it appears to satisfy any of the following:

- A reasonable doubt that it may involve proceeds of an offence specified in the Schedule to PMLA, i.e. likely to be for money laundering.
- Appears to be made in circumstances of unusual or unjustified complexity.
- Appears to have no economic rationale or bonafide purpose.
- A reasonable doubt that it may involve financing of the activities relating to terrorism.

For reporting suspicious transactions the value of transactions is not relevant. Even non-monetary transactions are to be reported, for instance unusual operations of the locker. Even attempted transactions are to be reported, for example a customer not proceeding with opening an account on being asked for certain documents or information.

2.12 IMPLICATIONS OF NON-COMPLIANCE OF PMLA OBLIGATIONS

Banks face risk of penal actions by RBI and Director, FIU-IND for non-compliance with obligations cast on them under PMLA and PMLR.

PMLA has empowered the Director, FIU to take any of the following punitive measures, against a bank, any of its employees, managers, or directors:

- Issue a written warning.
- Direct to take specific remedial measures and to submit the action taken report on these.
- Impose monetary penalty with a minimum of ₹10,000/- to maximum of ₹1 lakh per violation.

Each day of delay in submission of some information or a transaction or a report or in rectification of information/ report is reckoned as one violation.

2.13 SECRECY OBLIGATIONS

Banks are required to maintain secrecy regarding the information obtained from the customer that arises from contractual obligations. Details of customer information shall not be divulged for the purpose

of cross selling, or for any other purpose without the express permission of the customer. Also, when responding to the requests for data/information from Government and other agencies, banks shall satisfy themselves that the information being sought is not of such a nature as will violate the provisions of the laws relating to secrecy in the banking transactions.

There are a few exceptions to this basic rule:

- (i) Where disclosure is under compulsion of law
- (ii) Where there is a duty to the public to disclose,
- (iii) The interest of bank requires disclosure, and
- (iv) Where the disclosure is made with the express or implied consent of the customer.

2.14 LET US SUM UP

Banks are exposed to abuse of their services by criminals for the purpose of Money Laundering, Financing of Terrorism, and Financial Crimes. The criminals have organised themselves in groups engaged in criminal activities (Organised Criminal Groups) and those engaged in money laundering (Professional Money Laundering Groups). In India, PMLA pertains to money laundering crime. UAPA has been amended to cover terrorism and terrorism financing crimes.

FIU-Ind has been set up for collecting, analyzing and disseminating information about suspicious financial transactions to the law enforcement agencies. ED is responsible for investigation and prosecution of criminals, and Special Courts adjudicate on the money laundering related cases.

All financial sector businesses and certain non-financial sector businesses are required to comply with the obligations under PMLA. These pertain to customer identification, due diligence, reporting of specified transactions (including suspicious transactions) to FIU-Ind, and maintaining records.

The reports to FIU-Ind are Cash Transaction Reports(CTR), Cross Border Wire Transfer Report (CBWTR), Non-Profit Organisation Transaction Report (NTR), Counterfeit Currency Report (CCR), and Suspicious Transactions Report (STR).

Banks need to assess at least once a year ML/FT risks from various sources, undertake risk categorisation of customers, products/ services, delivery channels, regions/ countries of operations and transactions handled, and adopt risk based approach in both customer due diligence and transaction monitoring.

Banks need to exercise appropriate diligence in handling transactions or customers connected with FATF identified high risk and weak countries. Banks also need to conduct adequate due diligence when providing or availing correspondent banking services with banks in other countries.

2.15 KEYWORDS

Money Laundering, Financing of Terrorism, Designated Director, Principal Officer, Officially Valid Document, Customer Due Diligence, Know Your Customer, Suspicious Transaction, Money Laundering Offence, FATCA, CRS, Financial Intelligence Unit-India.

2.16 CHECK YOUR PROGRESS

1. Objective(s) of KYC is/ are _____.
 - (a) to ensure appropriate customer identification
 - (b) to monitor transactions of suspicious nature
 - (c) to ensure that the customer would not deceive the bank.
 - (d) to ensure if loan is given it would not become a NPA
 - (e) Only (a) and (b)
2. Banks appoint a _____ who is responsible for submission of reports to FIU-Ind.
 - (a) Designated Director
 - (b) Company Secretary
 - (c) Principal Officer
 - (d) Compliance Officer
3. Customers are typically categorized in _____ risk categories.
 - (a) four
 - (b) three
 - (c) two
 - (d) five
4. Director, FIU-India can take action against _____ for violation of PMLA obligations.
 - (a) the bank
 - (b) any employee
 - (c) the Principal Officer
 - (d) all of the above
5. Non Profit Organisations Transactions Report pertains to _____ in the accounts of NPOs.
 - (a) cash transactions
 - (b) all transactions
 - (c) receipts above a threshold value
 - (d) cash receipts

2.17 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (e), 2. (c), 3. (b), 4. (d), 5. (c).

(Sources: Various literature on AML, PMLA and PMLR, KYC Direction, Website of FATF, Website of FIU.),

UNIT 3

OPERATIONAL ASPECTS OF KYC

STRUCTURE

- 3.0 Objectives**
- 3.1 Introduction**
- 3.2 Know Your Customers (KYC) Norms**
 - 3.2.1 Customer Acceptance Policy
 - 3.2.2 Customer Identification Procedures (CIP)
 - 3.2.3 Customer Due Diligence Procedure
 - 3.2.4 Alternate Modes of CDD Procedure
- 3.3 Wire Transfers**
- 3.4 Other Operations - Regulations**
- 3.5 Central KYC Records Registry (CKYCR)**
- 3.6 Monitoring of Transactions**
 - 3.6.1 Transactions & Suspicious Transactions
 - 3.6.2 Record Management
- 3.7 Let Us Sum Up**
- 3.8 Keywords**
- 3.9 Check Your Progress**
- 3.10 Answers to 'Check Your Progress'**

3.0 OBJECTIVES

After studying this Unit, you will:

- Understand KYC requirements for various types of customers
- Know the requirements for using Aadhaar
- Learn the CKYCR requirements
- Know the periodical updation modalities

3.1 INTRODUCTION

PMLA and PMLR lay down the legal requirements for measures to be taken by various types of Reporting Entities stipulated under PMLA. RBI has laid down certain operational norms for banks and other entities regulated by it, in Master Directions – ‘Know Your Customer (KYC) Directions 2016.

The provisions of these Directions also apply to the branches and majority owned subsidiaries located abroad, to the extent they are not contradictory to the local laws in the host country. In case there is a variance in KYC/AML standards prescribed by the RBI and the host country regulators, branches/subsidiaries of banks are required to adopt the more stringent regulation of the two. Branches/subsidiaries in India of foreign incorporated banks may adopt the more stringent regulation of the two i.e. standards prescribed by the RBI and their home country regulators.

3.2 KNOW YOUR CUSTOMERS (KYC) NORMS

RBI instructions cover the requirements for customer acceptance and customer identification.

3.2.1 Customer Acceptance Policy

The customer acceptance policy of a bank lays down the criteria for accepting a customer from the perspective of ML/TF risks. Customer acceptance policy should include the following norms:

- (a) No account is opened in anonymous or fictitious/benami name.
- (b) No account is opened where appropriate customer due diligence measures cannot be applied either due to non-cooperation of the customer or non-reliability of the documents/information furnished by the customer.
- (c) No transaction or account-based relationship is undertaken without following the CDD procedure.
- (d) Circumstances in which, a customer is permitted to act on behalf of another person/entity, is clearly spelt out.
- (e) To ensure that the identity of the customer does not match with any person or entity, whose name appears in the sanction lists circulated by RBI.
- (f) To verify Permanent Account Number (PAN) obtained through the facility of the issuing authority.
- (g) To verify the digital signature of an e-document given by the customer,
- (h) The mandatory information to be obtained for KYC purpose during on-boarding/ periodic updation should be specified in the KYC Policy. Any optional/ additional information should be obtained with prior consent of the customer, and after the account is opened.
- (i) In case of joint accounts, CDD procedure is to be carried out for all joint account holders.

Customer Acceptance Policy should not result in denial of banking/financial facility to members of the general public, especially those, who are financially or socially disadvantaged.

In case of non-compliance of the KYC guidelines by an existing customer, banks may decide to close the account after giving due notice to the customer.

3.2.2 Customer Identification Procedures (CIP)

Customer identification includes identifying and verifying the identity by using reliable, independent source documents, data or information. Customer identification is required to be done in following cases:

- (i) While opening an account or establishing account based relationship.
- (ii) Undertaking international transfer for non-account holders.
- (iii) If a doubt arises about authenticity of an existing customer or adequacy or correctness of information about the customer.
- (iv) Selling any product including third party products, loading/ reloading of prepaid/ travel cards for value of over Rs.50,000/-.
- (v) Carrying out a transaction or series of connected transactions valuing over Rs.50,000/- for a walk-in-customer.
- (vi) When there is a doubt that a customer (account based or walk-in) is intentionally structuring transactions below the threshold of Rs.50,000/-.

While establishing customer identity verification of documents with the issuing authority, through any mode provided by it, should also be factored in. If a bank relies on third party for customer identification process, it has to adopt suitable precautionary measures. The ultimate responsibility is on the bank onboarding the customer.

3.2.3 Customer Due Diligence Procedure

Customer due diligence includes customer identification, and also obtaining information about the customer's location, activity and purpose for which banking services will be used. Depending on the risk perceived from the customer, information on the nature or business activity, location, mode of payments, volume of turnover, social and financial status, etc., is collected for completing the profile of the customer. Let us look at the basic documentary requirements for various types of customer entities. Banks can ask for additional documents, if considered necessary.

3.2.3.1 For Individuals

(i) *Individuals Requiring CDD:*

Documents to be obtained from an individual associated with the bank in any of the under mentioned capacities are listed here.

- A person entering in an account based relationship,
- A beneficial owner of a legal entity customer
- An authorised signatory of a legal entity customer
- A power of attorney holder of a legal entity customer

(ii) *Documents requirements:*

- (a) Aadhaar Number – if any benefit or subsidy from the Central Govt. is to be received in the account or the customer is voluntarily providing Aadhaar number, or
 - A certified copy of any Officially Valid Document (OVD) containing details of identity and address or an equivalent e-document of any OVD. For certified copies, the original documents are to be verified, and self-certified copy duly authenticated by the officer of the bank stating 'verified with the original' is to be obtained.

- In case of Non-Resident Indians or Persons of Indian Origin a copy of the document certified by any of the specified authorities as listed below should be obtained, in original:

Authorised officials of overseas branches of scheduled commercial banks registered in India; Branches of overseas banks with whom Indian banks have relationships; Notary Public abroad; Court Magistrate; Judge; Indian Embassy/Consulate General in the country where the non-resident customer

- For e-document, digital signature is to be verified,

- (b) One recent photograph where an equivalent e-document is not submitted,
- (c) Permanent Account Number or Form No. 60 as defined in Income-tax Rules, 1962, or its equivalent e-document, and
- (d) Such other documents including in respect of the nature of business and financial status of the customer, or the equivalent e-documents thereof as may be required by the RE

(iii) **Officially Valid Documents:**

Following documents have been notified as OVDs for KYC purposes:

- i) Passport;
- ii) Driving Licence;
- iii) Proof of possession of Aadhaar number;
- iv) Voter's Identity Card issued by the Election Commission of India;
- v) Job card issued by NREGA duly signed by an officer of the State Government; and
- vi) Letter issued by the National Population Register (NPR) containing details of name and address.

(iv) **Updated Address:**

In case any of the aforesaid documents does not have updated address of a customer, for the limited purpose of address following are considered as OVD:

- i) Utility bill which is not more than two months old of any service provider (electricity, telephone, post-paid mobile phone, piped gas, water bill);
- ii) Property or Municipal tax receipt;
- iii) Pension or family pension payment orders (PPOs) issued to retired employees by Government Departments or Public Sector Undertakings, if they contain the address; and
- iv) Letter of allotment of accommodation from employer issued by State Government or Central Government Departments, statutory or regulatory bodies, public sector undertakings, scheduled commercial banks, financial institutions and listed companies and leave and licence agreements with such employers allotting official accommodation.

Where any of the above mentioned documents is obtained for address purpose, within three months an OVD with current address must be submitted by the customer.

In case of a foreign national where the OVD does not contain address, a document issued by a Government department of the foreign jurisdiction containing address and a letter issued by the Foreign Embassy or Mission in India shall be accepted as proof of address.

(v) **Change in name:**

Where there has been a change in name, an OVD with previous name along with the marriage certificate or the Gazette Notification indicating the change in name can be accepted.

(vi) **Aadhaar Based KYC:**

A. Norms for use of Aadhaar

Following norms are applicable where Aadhaar number is used for KYC purposes:

- (a) To be used only with the written consent of the customer.
- (b) Must be redacted on the bank's records, physical and electronic, retaining only the last 4 digits.
- (c) A customer wanting credit of benefit/ subsidy under a notified scheme: Biometric authentication of Aadhaar is mandatory. Under this method demographic details and photograph are provided by the UIDAI. If due to illness, injury, etc. biometric authentication is not feasible then offline-verification of Aadhaar number or a certified copy of any OVD may be obtained. The reasons and the name of the official permitting should be recorded, and subjected to concurrent audit.
- (d) For a customer voluntarily using Aadhaar number for identification purpose: banks may carry out e-KYC Authentication or offline verification. Other financial institutions can also use e-KYC authentication, if authorised.
- (e) If a customer provides a current address different from that in Aadhaar records, a self-declaration is to be obtained.

B. Accounts of non-face-to-face customers - OTP based Aadhaar Verification

Restrictions for accounts of non-face-to-face customer with OTP based e-KYC of Aadhaar:

- i) aggregate balance of all the deposit accounts of the customer shall not exceed ₹1 lakh (on exceeding the threshold, the account to be made non-operational till submission of an OVD);
- ii) the aggregate of all credits in a financial year, in all the deposit accounts taken together, shall not exceed ₹2 lakh;
- iii) for borrowal accounts, only term loans shall be sanctioned and the aggregate amount of term loans sanctioned shall not exceed ₹60,000/- in a year;
- iv) both deposit and borrowal accounts shall not be allowed for more than one year within which normal mode identification is to be done;
- v) if OVD is not submitted/ CDD procedure not completed within a year, a deposit account will be closed and no disbursements will be made on the borrowal account; and
- vi) a declaration to be obtained that no other account using this mode has been opened nor will be opened at any other financial institution or a bank.

3.2.3.2 For Sole Proprietary Firms

CDD of the individual (proprietor) shall be carried out and in addition, any two, of the following documents are to be obtained:

- i) Registration certificate; ii) Certificate/licence issued by the municipal authorities under Shop and Establishment Act; iii) Sales and income tax returns; iv) CST/VAT/GST certificate (provisional/final); v) Certificate/registration document issued by Sales Tax/ Service Tax/Professional Tax authorities; vi) IEC (Importer Exporter Code) issued to the proprietary concern by the office of DGFT or Licence/certificate of practice issued in the name of the proprietary concern by any professional body incorporated under a statute; vii) Complete Income Tax Return (not just the acknowledgement) in the name of the sole proprietor where the firm's income is reflected, duly authenticated/acknowledged by the Income Tax authorities; viii) Utility bills such as electricity, water, landline telephone bills, etc.

In case the bank is satisfied that it is not possible for the customer to furnish two of the above mentioned documents, it may accept only one of these documents, and carry out field verification and satisfy itself that the business of the firm is carried out from the given address.

3.2.3.3 For Other Forms of Entities

For other forms of entities enumerated below banks need to obtain certified copies of each of the documents indicated against these:

A. Companies: i) Certificate of Incorporation; ii) Memorandum and Articles of Association; iii) Permanent Account Number of the company; iv) Particulars of the Beneficial Owners (where applicable), v) Resolution of the Board of Directors and Power of attorney granted to its managers, officers or employees to transact business on its behalf, and vi) KYC Documents (as specified for individuals) of the beneficial owners, the authorised signatories and the managers, officers or employees, as the case may be, holding an attorney to transact on the company's behalf.

B. Partnership Firms (Registered): i) Registration Certificate; ii) Partnership Deed; iii) Permanent Account Number of the partnership firm; iv) KYC Documents (as specified for individuals) of the Partners, the Beneficial Owners, and the persons holding power of attorney to transact on its behalf.

C. Trusts : (i) Certificate of registration; Trust deed; iii) Permanent Account Number or Form No.60 of the Trust; iv) Documents (as specified for individuals) of the Beneficial Owners the person holding an attorney to transact on its behalf.

D. Unincorporated Association or Body of individuals: i) Resolution of the managing body of such association or body of individuals; ii) Permanent Account Number or Form No. 60 of the unincorporated association or a body of individuals; iii) Power of attorney granted to transact on its behalf; iv) KYC Documents (as specified for individuals) of the Members of Managing Body, the Beneficial Owners, and the persons holding an attorney to transact on its behalf; and v) Such information as may be required by the bank to collectively establish the legal existence of such an association or body of individuals.

Unregistered trusts/partnership firms shall be included under the term 'unincorporated association'. Term 'body of individuals' includes societies.

E. Other Juridical Persons (Not specifically covered above) (such as Societies, Universities and Local Bodies like Village Panchayats, etc.): i) Document showing name of the person authorised to act on behalf of the entity; ii) Documents (as specified for individuals) of the beneficial owners and the persons holding an attorney to transact on its behalf; and iii) Such documents as may be required by the bank to establish the legal existence of such an entity/juridical person.

3.2.3.4 Identification of Beneficial Owners

A beneficial owner is a person who enjoys the benefits of ownership though the property's title is in another name. For a Legal Person, the beneficial owner(s), who is/are natural person(s), is/ are required to be identified and all reasonable steps to verify his/her/ their identity (based on documents specified in 3.2.3.1) are undertaken keeping in view the following norms:

i) Where the customer or the owner of the controlling interest is a company listed on a stock exchange, or is a subsidiary of such a company, it is not necessary to identify and verify the identity of any shareholder or beneficial owner of such companies; and

ii) In cases of trust/nominee or fiduciary accounts whether the customer is acting on behalf of another person as trustee/nominee or any other intermediary is determined. In such cases, satisfactory evidence of the identity of the intermediaries and of the persons on whose behalf they are acting, as also details of the nature of the trust or other arrangements in place shall be obtained.

The criteria for determination of beneficial ownership essentially are:

- i) Ownership or entitlement in capital, property or benefit of the entity meeting certain threshold value, or
- ii) Control exercised over the activities of the entity through any other means.

The threshold values in respect of different types of legal persons are as indicated below.

Type of Constitution	Criteria and Threshold Level
Company*	(i) More than 25% share in capital/ profit (ii) Control rights: Appointing majority of directors/ Control management/ Policy decisions
Partnership (Registered)*	More than 15% share in capital/ profit
Body of Individuals/ Association of Persons (Including unregistered Partnership/ Societies/ Trusts)*	More than 15% Capital/ Profit/ Property
Trusts (Registered)	Author, Trustees, Beneficiaries having 15% or more interest, and any other person exercising effective control
* If no natural person fulfilling the criteria can be determined, the individual holding senior managing position to be considered as a beneficial owner.	

3.2.3.5 Enhanced Due Diligence Requirements

(a) ***For Accounts of non-face-to-face Customers (other than Aadhaar OTP based on-boarding)***

Where the customer is not met in person for KYC process, the first payment should be effected through the customer's KYC-complied account with another RE, for enhanced due diligence.

(b) ***For Politically Exposed Persons (In a foreign Country) (PEP)***

Politically exposed persons are individuals who are or have been entrusted with prominent public functions in a foreign country, e.g., Heads of States or of Governments, senior politicians, senior government/judicial/military officers, senior executives of state-owned corporations, important political party officials, etc. The decision to open an account for PEP and their family members should be taken at a senior level. Apart from establishing the identity following measures are required: (i) Check all the information available on the person in the public domain. (ii) Seek information about the sources of funds before accepting the PEP as a customer. Similar, approach is to be adopted for those customers, where a beneficial owner is a PEP.

(c) ***For Client Accounts Opened by Professional Intermediaries***

When professional intermediaries, open client accounts following aspects need to be taken care of:

- (i) If the account is opened for a single client: Clients shall be identified.
- (ii) 'Pooled Accounts' for professional intermediaries (mutual funds, pension funds or other types of funds): Can be opened in normal course.
- (iii) Accounts of professional intermediaries (bound by client confidentiality prohibiting disclosure of client details to the RE): Not to open such accounts.

- (iv) Where separate sub-accounts are maintained for each client of the intermediary (funds are not co-mingled in the bank account): All the beneficial owners shall be identified.
- (v) Where funds held by the intermediaries for all beneficial owners are co-mingled in the bank account: To look for the beneficial owners.
- (vi) Banks may, at their discretion, rely on CDD done by an intermediary, if the latter is a regulated and supervised entity with adequate systems for meeting KYC requirements. The ultimate responsibility for KYC will lie with the bank.

3.2.3.6 Simplified Due Diligence Requirements

(a) *For Accounts of Self-Help Groups:*

For Savings Bank account: CDD of all the office bearers shall suffice. CDD of all the members is not required.

For Credit Linking of SHGs: CDD of all the members to be undertaken.

(b) *For Accounts of Foreign Students*

- a) To open NRO accounts for foreign students, based on:
 - (i) Passport (with visa & immigration endorsement) bearing the proof of identity and address in the home country,
 - (ii) Photograph, and
 - (iii) Letter offering admission from the educational institution in India.
- b) To obtain declaration about local address, within 30 days of opening the account, and the address verified.
- c) During this period, foreign remittances not exceeding USD 1000 or equivalent can be credited, not to exceed Rs.50,000/- .
- d) Prior RBI approval is required to open account of students with Pakistani nationality.

(c) *For Foreign Portfolio Investors (FPI)*

- (i) Accounts of FPIs eligible/ registered as per SEBI guidelines can be opened on the basis of specified documents for the respective category of FPI. Depending on the category of FPI, several documents are exempted.
- (ii) Income Tax (FATCA/CRS) Rules need to be observed.
- (iii) Need to obtain an undertaking from FPI or its Global Custodian that as and when required, the exempted documents as detailed in Annex III will be submitted.

(d) *For Persons with No OVD – Small Accounts*

For the purpose of financial inclusion, there is facility of opening a savings account of those who do not possess any OVD. These accounts are called Small Accounts. These are subject to following restrictions:

- (i) the aggregate of all credits in a financial year not to exceed ₹1 lakh;
- (ii) the aggregate of all withdrawals and transfers in a month not to exceed ₹10,000/-;
- (iii) the balance at any point of time not to exceed ₹50,000/-. (For deposits through Government grants, welfare benefits and payment against procurements, this limit will be ignored.); and
- (iv) Foreign remittance not to be credited

These accounts are opened based on the customer's declaration about identity (self-attested photograph) and address to be signed and given in the presence of a designated bank official at the bank branch. The designated official will certify that the customer has signed in his presence. The customer should provide OVD within 12 months. If a customer provides an evidence of having

applied for an OVD, the account can be continued for another 12 months. On expiry of 24 months, these relaxations are reviewed. Other conditions for these accounts are as follows:

- The threshold limits for annual credits, monthly withdrawals, and balances to be pre-checked before permitting any transaction.
- If any suspicion of ML/ FT arises or any other high risk scenarios noticed, customer identification as per prescribed procedures should be carried out.

3.2.3.7 Customer Level KYC/ Monitoring

AML Measures viz. KYC and transaction monitoring are required to be applied at the customer level on holistic basis taking into account various products/ services availed by the customer. A customer should not have multiple identities within a bank. To achieve this objective a unique identification code for each customer has to be allotted.

The Unique Customer Identification Code (UCIC) will help a bank to identify customers, track the facilities availed by them, monitor their financial transactions in a holistic manner, and enable banks to have a better approach to risk profiling of customers. Besides, this enables the KYC/ CDD processes at the customer level, thus avoiding these procedures to be repeated for a customer separately for each product/ service availed by the customer.

For walk-in customers (like buyers of pre-paid instruments/purchasers of third party products) banks have the option not to issue UCIC, but there must be adequate mechanism to identify such walk-in customers who have frequent transactions and they are allotted UCIC.

Banks should not ask for KYC documents or information from an existing customer when opening another account for her or when her account is transferred from one branch to another branch, unless the account is due for periodic updation.

3.2.3.8 Periodic Updation

As customer profile, like occupation, location, financial resources and turnover, is likely to change over a period of time it is necessary to undertake periodical updation of customer data and documents that may have expired or in case of changes. Periodic updation is required to be done at least every two years for high risk customers, at least every ten years for low risk and at least every eight years for medium risk customers. Besides, if during the course of dealings with a customer, if the bank has any doubts about the information on record updation is required.

The modality for periodic updation depends on the constitution of the customer and the changes, if any, in the customer profile information.

A. Individual Customers

- (i) **No change in KYC information:** A self-declaration from the customer regarding no change in the information may be obtained through customer's email-id / mobile number registered with the RE, ATMs, digital channels (such as online/ internet banking, mobile application), letter etc.
- (ii) **Change in address:** If only the address details of the customer have changed, a self-declaration of the new address may be obtained from the customer through customer's email-id/ mobile number registered with the RE, ATMs, digital channels (such as online / internet banking, mobile application), letter etc., and the declared address shall be verified through positive confirmation, (address verification letter, contact point verification, deliverables, etc.) within two months.

The bank may obtain a copy of OVD or deemed OVD or equivalent e-document, for the purpose of proof of changed address, if so provided in the KYC Policy of the bank.

- (iii) **Accounts opened for minors:** When a minor turns major fresh photographs must be obtained. Existing documents and information should be verified to ensure that these are as per the current CDD standards. If required, fresh KYC of such customers may be carried out.

B. Customers Other Than Individuals

- (i) **No change in KYC information:** A self-declaration from the legal entity customer regarding no change in the information along with a letter from an authorised official and a Board resolution, etc. may be obtained. These may be obtained through customer's email-id/ mobile number registered with the bank, ATMs, digital channels (such as online/ internet banking, mobile application), letter etc. Also, the information about Beneficial Ownership should be verified to ensure that this is up-to-date and has not changed. In case of any change, identification of new BOs should be carried out.
- (ii) **Change in KYC information:** KYC process to same as for on-boarding a new customer.

C. Other Measures Required

At the time of periodic updation, banks should also take care of following aspects:

- (i) Verify that existing KYC documents are as per the current CDD standards, and obtain fresh documents, if any gaps are noticed.
- (ii) If a document has expired, fresh KYC process should be carried out.
- (iii) PAN details, if available, should be validated.
- (iv) Acknowledgment stating the date of receipt of KYC documents or self-declaration should be issued.
- (v) Information/ documents obtained from the customer should be updated in the system promptly.
- (vi) Date of updation should be advised to the customer.
- (vii) Banks should enable customers to complete KYC updation process at any of its branches.
- (viii) Risk based approach should be adopted for periodic updation of KYC.
- (ix) If any additional or exceptional measure is adopted, it should be specified in the KYC Policy of the bank. These would include measures like:
 - Obtaining recent photograph.
 - Requiring physical presence of the customer.
 - KYC process to be done at the home branch.
 - Periodic updation to be done at shorter intervals than mandated.
- (x) Any adverse actions against the customers, except those stipulated, should be avoided.
- (xi) KYC policies and processes regarding updation should be transparent.

D. Existing Customers: Requirement of PAN/ Form 60

For existing customers, who have not submitted either PAN or Form 60, banks need to obtain PAN/ Form 60 or equivalent e-document within the date to be notified by the Central Government. If the customer fails to furnish it, the operations in the account may be temporarily ceased, after reasonable notice. In case of liability accounts put under 'temporary cessation' of operations neither deposit nor withdrawals should be permitted. In case of asset accounts no withdrawals should be permitted.

3.2.4 Alternate Modes of CDD Procedure

To facilitate banks in undertaking CDD procedure for large number of customers and customers located in distant locations following alternate modes for CDD procedures have been permitted.

- (i) CDD by Third Party
- (ii) Video-based Customer Identification Process (V-CIP)
- (iii) Digital KYC

3.2.4.1 CDD by Third Party

Banks are permitted to depend on the CDD by third party subject to certain conditions:

- (i) Records or the information of the CDD is obtained within two days from the third party or from the Central KYC Records Registry.
- (ii) Banks need to satisfy themselves adequately that copies of identification data and other relevant documents relating to the CDD shall be made available to them by the third party upon request without delay.
- (iii) The third party satisfies following norms:
 - It is regulated, supervised or monitored for.
 - It has measures in place for, compliance with CDD and record maintenance, as stipulated.
 - It is not based in a country or jurisdiction assessed as high risk.
- (iv) The ultimate responsibility for CDD / applicable EDD measures lies with the bank.

3.2.4.2 Video based Customer Identification Process (V-CIP)

RBI has permitted banks to use digital channel for onboarding a customer, called 'Video based Customer Identification Process (V-CIP)'. Such processes as per prescribed standards/ procedures shall be treated on par with face- to-face CIP.

(a) Eligible Purposes for V-CIP

Banks can use V-CIP for the following purposes:

- (i) When on-boarding new customer, for individual customers, proprietor in case of proprietorship firm, authorised signatories and Beneficial Owners (BOs) in case of Legal Entity (LE) customers.
- (ii) For conversion of accounts opened in non-face to face mode by OTP based Aadhaar e-KYC.
- (iii) Updation/Periodic updation of KYC for eligible customers.

(b) V-CIP Infrastructure

Certain technology related stipulations have been prescribed for adopting V-CIP process, as follows:

- (i) Technology infrastructure should be housed in own premises of the banks.
- (ii) V-CIP connection and interaction should originate from own secured network domain.
- (iii) End-to-end encryption of data to be as per encryption standards.
- (iv) Video recordings should contain GPS co-ordinates (geo-tagging) and date-time stamp.
- (v) Application shall have face liveness / spoof detection and face matching technology.
- (vi) Vulnerability Assessment, Penetration testing and Security Audit: required
- (vii) The customer consent should be recorded in an auditable and alteration proof manner.
- (viii) The application should prevent connection from IP addresses outside India or spoofed.

(c) V-CIP Procedure

Salient aspects of the V-CIP procedure are narrated below.

- (i) The process shall be operated only by officials of the RE.
- (ii) The sequence and/or type of questions during video interactions shall be varied.
- (iii) In case any prompting is observed at end of customer, the process should be rejected.
- (iv) The authorised official shall obtain the identification information using any one of the following modes: OTP based Aadhaar e-KYC authentication; Offline Verification of Aadhaar; KYC records downloaded from CKYCR; Equivalent e-document of OVDs including documents issued through Digilocker.
- (v) If the address is different from that in the OVD, records of current address shall be captured.
- (vi) To confirm with the customer, the economic and financial profile/ information in a suitable manner.
- (vii) To capture a clear image of PAN card (unless e-PAN is provided by the customer).
- (viii) The authorised official to match the Photograph and the Identification details of the customer in the Aadhaar/OVD and PAN/e-PAN respectively with: the customer, and the details provided.
- (ix) Banks can take help of Banking Correspondents (BCs) facilitating the process at the customer end.
- (x) Accounts to be made operational only after being subject to concurrent audit.

(d) V-CIP Records

Apart from general guidelines for record maintenance, specific aspects stipulated are as follows:

- (i) The entire data and video recording shall be stored in safe and sound manner in a system located in India.
- (ii) The activity log along with the credentials of the official performing the V-CIP shall be preserved.

3.2.4.2 Digital KYC

Another process permitted for digital onboarding is “Digital KYC”. This process requires bank’s officer to meet the customer in person. Services of Business Correspondents can be used.

(a) Pre-requisites for Digital KYC

- (i) To develop an application to be made available at customer touch points for digital KYC.
- (ii) Access only through login-id and password or Live OTP or Time OTP.
- (iii) To be carried out at the location of of the authorized official or the customer.
- (iv) The customer must have the original OVD in possession.

(b) KYC Process with Customer

- (i) Live photograph of the customer should be embedded in the Application Form (CAF).
- (ii) The background should be white and no other person shall come into the frame.
- (iii) No printed or video-graphed photograph, must be captured.
- (iv) A water-mark in readable form having CAF number, GPS coordinates, authorized official’s name, unique employee Code (assigned by the bank) and Date (DD:MM:YYYY) and time stamp (HH:MM:SS) to appear on the captured live photograph of the customer.
- (v) Live photograph of the original OVD or proof of possession of Aadhaar (placed horizontally), shall be captured vertically from above and water-marked in readable form with the above particulars.

(c) Post Capture of Photographs and Information

- (i) The authorized officer shall verify that:
 - Information in the picture of document matches with that entered in CAF.
 - Live photograph of the customer matches with the photo in the document.
 - All the necessary details in CAF including mandatory field are filled properly.
- (ii) OTP message shall be sent to customer's own mobile number for him to verify details.
- (iii) Validation with the OTP treated as customer signature on CAF.
- (iv) The mobile number of authorized officer shall not be used be cross-checked.
- (v) The authorized officer has to confirm through an OTP sent to his mobile number registered with the bank.
- (vi) The live photograph of the authorized official shall be captured in his declaration.
- (vii) The authorized officer shall intimate the details regarding transaction-id/reference-id number to the customer for future reference.
- (viii) On Successful verification, the authorized officer shall digitally sign the CAF, and will take a printof CAF, get signatures/thumb-impression of customer, scan and upload the same in system.
- (ix) Original hard copy may be given to the customer.

3.2.4.3 E-KYC Service of UIDAI - Aadhaar

Bank is required to sign KYC User Agency (KUA) Agreement with the UIDAI.

1. Banks need to provide facility for e-KYC service across various delivery channels viz. bank branches/ micro ATMs/ BC points.
2. Procedure for sharing e-KYC data with the bank is to be put in place.
3. Sample process flow would be as follows:
 - (a) Bank official enters the customer's Aadhaar number into bank's e-KYC software.
 - (b) The customer inputs his/her biometrics.
 - (c) The software sends encrypted data to UIDAI's Central Identities Data Repository (CIDR).
 - (d) If there is no match, UIDAI server responds with type of error.
 - (e) If there is a match, UIDAI responds with digitally signed and encrypted demographic information [Name, year/date of birth, Gender, Address, Phone and email (if available)] and photograph.

3.3 WIRE TRANSFERS

Transfer of funds is essential component of the modalities for money laundering, financing of terrorism, and financial crimes. With the advent of technology and its adoption by the financial system, wire transfers have come into prominence. These therefore carry high risk of ML/FT/FC. With a view to mitigate the risks inherent in wire transfers following norms have been prescribed.

- (i) Cross-border wire transfers: All such transactions (including those through credit or debit card) shall be accompanied by accurate and meaningful originator information such as name, address and account number or a unique reference number (in the absence of account). This does not apply to transfers where both the remitter and beneficiary are banks or financial institutions.

- (ii) Domestic wire transfers: All such transactions of ₹50,000/- and above shall be accompanied by originator information such as name, address and account number.
- (iii) Domestic wire transfer structuring: If a customer is found to be intentionally structuring wire transfer below ₹50,000/- to avoid reporting or monitoring, its identification should be done. In case of non-cooperation from the customer, efforts shall be made to establish his identity and STR shall be made to FIU-IND.
- (iv) For all wire transfers as per afore said criteria: The originator information should be preserved for at least five years by the ordering bank.
- (v) Role of Intermediary Bank: A bank that is an intermediary in a chain of wire transfers should ensure that all originator information accompanying a wire transfer is retained with the transfer. It should transfer full originator information accompanying a cross-border wire transfer. If the originator information cannot be sent with a related domestic wire transfer, it should be preserved for at least five years.
- (vi) Role of Beneficiary Bank: It should have procedures to identify wire transfers lacking complete originator information. Such transactions should be reported as STR to FIU-Ind. It should seek from the ordering bank detailed information of the fund remitter. If the ordering bank fails to furnish this information, it shall consider restricting or terminating the business relationship with the ordering bank.

3.4 OTHER OPERATIONS - REGULATIONS

Few other regulations that have been issued in respect of certain activities carried out by banks for mitigating ML/TF risks are stated below.

(a) Issue and Payment of Demand Drafts, etc.

- (i) Any domestic remittance of funds by way of demand draft, mail/telegraphic transfer/NEFT/IMPS or any other mode and issue of travelers' cheques for ₹50,000/- and above shall be effected by debit to the customer's account or against cheques and not against cash payment.
- (ii) The name of the purchaser shall be incorporated on the face of the demand draft, pay order, banker's cheque, etc., by the issuing bank.

(b) Period for presenting payment instruments

Cheques/drafts/pay orders/banker's cheques, should not be paid, if they are presented beyond the period of three months from the date of such instruments.

(c) Collection of Account Payee Cheques

Account payee cheques shall not be collected for any person other than the payee constituent. Banks are permitted to collect account payee cheques drawn for an amount not exceeding ₹ 50,000/- in the accounts of co-operative credit societies, provided the payees are the constituents of such co-operative credit societies.

(d) Operation of Bank Accounts & Money Mules

Criminals gain illegal access to deposit accounts by recruiting third parties which act as "money mules". These accounts are then used to launder the proceeds of fraud schemes (e.g., phishing and identity theft). In some cases these third parties may be innocent while in others they may be complicit with the criminals.

In a money mule transaction, an individual with a bank account is recruited to receive cheque deposits or wire transfers and then transfer these funds to accounts held on behalf of another person. Money mules may be recruited by a variety of methods, including spam e-mails, advertisements on genuine recruitment web sites, social networking sites, instant messaging and advertisements in newspapers. Many a times the address and contact details of such persons are found to be fake or not up to date, making it difficult for enforcement agencies to locate the account holder. To mitigate the risks arising from 'Money Mules', it is important to strictly adhere to the instructions on opening of accounts and monitoring of transactions.

RBI has cautioned that if it is established that an account opened and operated is that of a Money Mule, it shall be deemed that the bank has not complied with the KYC Directions of RBI.

(e) Quoting of PAN

As per Income Tax Rule 114B, PAN) or equivalent e-document thereof of customer shall be obtained and verified while undertaking the transactions specified therein, which include several banking transactions. Several of these transactions pertain to banking activities. If a customer does not have a PAN, Form 60 should be obtained from him.

(f) Selling Third party products

Banks acting as agents for selling third party products should take following steps:

- (i) Verify the identity and address of the walk-in customers for transactions of ₹50,000/- and above.
- (ii) Transaction details and related records shall be maintained as prescribed.
- (iii) AML software should be capable of capturing, generating and analysing alerts for the purpose of filing CTR/STR in respect of such transactions.
- (iv) Transactions involving ₹50,000/- and above for both the account holders or walk-in customers shall be undertaken only:
 - by debit to customers' account or against cheques; and
 - after obtaining and verifying the PAN of the customer.

These measures also apply to sale of own products by banks, payment of dues of credit cards/sale and reloading of prepaid/travel cards and any other product for ₹50,000/- and above.

(g) At-par cheque facility availed by co-operative banks

- (i) Banks should monitor the 'at par' cheque facility offered by it to co-operative banks. Such arrangements should be reviewed to assess the risks including credit risk and reputational risk.
- (ii) Banks should have the right to verify the records maintained by the customer cooperative banks/ societies for compliance with KYC/AML regulations.
- (iii) The cooperative banks should ensure the following measures:
 - a.- The 'at par' cheque facility is utilised only for
 - their own use,
 - their account-holders who are KYC compliant, and all transactions of ₹50,000/- or more should be by debit to their accounts,
 - walk-in customers against cash for less than ₹50,000/- per individual.
 - b Maintain the records pertaining to such transactions that should include applicant's name and account number, beneficiary's details and date of issuance of the 'at par' cheque,
 - c Maintain sufficient balances/drawing arrangements with the commercial bank
 - d All 'At par' cheques issued should be crossed 'account payee' irrespective of their amount.

3.5 CENTRAL KYC RECORDS REGISTRY (CKYCR)

Central KYC Records Registry (CKYCR) is an entity authorised to receive, store, safeguard and retrieve the KYC records of a customer in digital form. Government of India has authorised the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI), to act as, and to perform the functions of the CKYCR. Banks are required to capture the KYC information for sharing with the CKYCR in the manner mentioned in the PMLR, as per the revised KYC templates (different formats for individuals and legal entities), following the operational guidelines issued by CKYCR.

“Know Your Client (KYC) Identifier” means the unique number or code assigned to a customer by the Central KYC Records Registry. Certain operational aspects related to CKYCR are discussed below.

- (a) Banks are required to upload regularly on CKYCR the KYC data pertaining to all individual accounts opened on or after January 1, 2017. Banks are required to upload KYC records pertaining to accounts of legal entities (LE's) opened on or after April 1, 2021.
- (b) In case of accounts of Individuals opened prior to January 1, 2017, and those of LEs opened prior to April 1, 2021, the KYC records are to be uploaded on to CKYCR during periodic updation.
- (c) The KYC information should be uploaded within 10 days of commencement of account based relationship with the customer.
- (d) Banks should communicate KYC Identifier to the customer.
- (e) If for establishing an account based relationship, a customer submits a KYC Identifier to a bank with an explicit consent to download records from CKYCR, the bank shall retrieve the KYC records online. The customer shall not be required to submit the same KYC records or information or any other additional identification documents or details, unless –
 - there is a change in the information of the customer as existing in the records of CKYCR;
 - the current address of the customer is required to be verified;
 - the bank considers it necessary in order to verify the identity or address of the customer, or to perform enhanced due diligence or to build an appropriate risk profile of the client.

3.6 MONITORING OF TRANSACTIONS

The objective of transaction monitoring by banks is to fulfill the obligation pertaining to furnishing prescribed information to FIU-Ind. As we have seen in Unit 2, banks are required to submit reports of various types of transactions to FIU-Ind. Banks therefore need to put in place appropriate systems and functions for this purpose.

For monitoring transactions banks take into consideration the risk profile of the customer. Special attention is paid to all complex, unusually large transactions and all unusual patterns, which have no apparent economic or apparent lawful purpose. Transactions that involve large amounts of cash, inconsistent with the normal and expected activity of the customer, are subjected to detailed scrutiny.

After required investigation, scrutiny and due diligence at the appropriate level in the bank, transactions of suspicious nature and/or any other types of transactions notified under the PMLA, are reported to FIU-Ind and records of such transactions are preserved and maintained for a period as prescribed in the PMLA.

Transaction monitoring is a very complex and massive activity due to variety and volume of transactions handled by banks, and complexity of transactions processes. Hence, transaction monitoring requires involvement of various functional units, and also deployment of suitable AML monitoring software programs.

The Principal Officer is the authority for deciding on reporting a transaction as a suspicious transaction report. A Team of AML analysts assist the Principal Officer. These analysts seek any additional information required from the functionaries in branches and also in various business or operation units at the Corporate Office or the Zonal Levels. The feedback provided by these units is critical in taking a decision whether or not to report a transaction to FIU-Ind as suspicious.

Detection of suspicious transactions also takes place during execution of a transaction, customer onboarding, solicitation of new customer or business, or concurrent review of transactions. Thus, various business and operation teams play an important role in monitoring of transactions. Any transaction of doubtful nature noticed by any of these Teams, is required to be escalated to the Principal Officer for examination and conclusion.

Similarly, various control functions/ teams like Fraud Prevention Teams, Compliance function and Audit function are likely to come across transactions or accounts that are of doubtful nature. These teams should also escalate such transactions to the Principal Officer.

The decision about a suspicious transaction for reporting is taken by the Principal Officer.

3.6.1 Transactions & Suspicious Transactions

For the purpose of obligations under the PMLA the term ‘transaction’ covers a wide range of activities undertaken by banks is included. This term has been defined thus:

“‘Transaction’ means a purchase, sale, loan, pledge, gift, transfer, delivery or the arrangement thereof and includes:

- opening of an account;*
- deposit, withdrawal, exchange or transfer of funds in whatever currency, whether in cash or by cheque, payment order or other instruments or by electronic or other non-physical means;*
- the use of a safety deposit box or any other form of safe deposit;*
- entering into any fiduciary relationship;*
- any payment made or received, in whole or in part, for any contractual or other legal obligation; or*
- establishing or creating a legal person or legal arrangement.”*

For ‘suspicious transaction’ there is no precise definition, but an indicative description giving certain norms for suspicion have been described as stated below.

“‘Suspicious transaction’ means a transaction, including an attempted transaction, whether or not made in cash, which, to a person acting in good faith:

- (a) gives rise to a reasonable ground of suspicion that it may involve proceeds of an offence specified in the Schedule to the Act, regardless of the value involved; or*
- (b) appears to be made in circumstances of unusual or unjustified complexity; or*
- (c) appears not to have economic rationale or bona-fide purpose; or*
- (d) gives rise to a reasonable ground of suspicion that it may involve financing of the activities relating to terrorism.”*

3.6.2 Record Management

As per the provisions of PMLA and PMLR, the banks are required to maintain records as prescribed therein. Specific measures to be taken in this regard are stated below;

- (a) Maintain all necessary records of transactions between the bank and the customer, both domestic and international, for at least five years from the date of transaction.
- (b) Preserve the records pertaining to the identification of the customers and their addresses obtained while opening the account and during the course of business relationship, for at least five years after the business relationship is ended.
- (c) Make available the identification records and transaction data to the competent authorities.
- (d) Introduce a system of maintaining proper record of transactions prescribed under Rule 3 of Prevention of Money Laundering (Maintenance of Records) Rules, 2005.
- (e) Maintain all necessary information in respect of transactions prescribed under PML Rule 3 so as to permit reconstruction of individual transaction, including the following:
 - (i) the nature of the transactions;
 - (ii) the amount of the transaction and the currency in which it was denominated;
 - (iii) the date on which the transaction was conducted; and
 - (iv) the parties to the transaction.
- (f) Evolve a system for proper maintenance and preservation of account information in a manner that allows data to be retrieved easily and quickly whenever required by the competent authorities.
- (g) Maintain records of the identity and address of their customer, and records in respect of transactions referred to in Rule 3 in hard or soft format.

3.7 LET US SUM UP

Customer Acceptance Policy of banks should include prescriptions for prohibited categories of customers/ transactions.

Banks are required to identify its customers using appropriate procedures through prescribed documents. For customers who are individuals, one of the OVD should be verified and copy obtained as identity and address proofs. Similar approach is adopted for the individuals who are beneficial owners and authorised signatories of legal entities. Documents related to legal entities should be obtained.

Banks can engage services of third party for carrying out customer identification. Certain online processes have been permitted for customer identification of individuals, viz. e-KYC authentication (of UIDAI), Digital-KYC, and V-CIP.

Various operational guidelines have been issued prohibiting payment of third party cheques, including information of remitter in domestic and cross-border wire transfers, payment orders, demand drafts, at par facility to co-operative banks, etc.

Banks are required to provide KYC records of customers with account based relationship, both individuals and legal entities, to CERSAI that has been designated as CKYCR. This system obviates the need for the customer to produce documents to different financial institutions as CKYC Identifier facilitates obtaining copies of documents already submitted.

Banks are required to have adequate arrangements for monitoring of transactions for detection of suspicious transactions and reporting these to FIU-Ind. The decision for filing STR is taken by the Principal Officer.

Banks are required to maintain records of transactions for five years from the date of transactions, and KYC documents, business correspondence, customer related information, etc. for five years from the end of relationship.

3.8 KEYWORDS

Aadhaar Number, e-KYC (UIDAI), Digital KYC, V-CIP, CKYCR, KYC-Identifier, Suspicious Transaction, Permanent Account Number (PAN), geotagging

3.9 CHECK YOUR PROGRESS

1. Customer Acceptance Policy of a bank should state that the bank will not open an account _____.
 - (a) which is operated by a third person on behalf of the account holder
 - (b) for a professional intermediary for its client
 - (c) in benami name
 - (d) without a PAN
2. Customer identification is required to be done for international transfer of funds of _____.
 - (a) ₹50,000 and above
 - (b) over ₹50,000
 - (c) any value
 - (d) None of the above
3. In case of NRIs, for the purpose of opening an account a copy of KYC document may be certified by _____.
 - (a) the NRI herself
 - (b) the employer of NRI
 - (c) any bank branch
 - (d) a Judge
4. Among the documents stated below _____ is not an OVD.
 - (a) PAN Card
 - (b) Job Card by NREGA
 - (c) Letter by NPR
 - (d) Proof of possession of Aadhaar Number
5. In case of a company which is not listed any individual with holding more than _____ of the total share capital is a beneficial owner.
 - (a) 15%
 - (b) 30%
 - (c) 10%
 - (d) 25%

3.10 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c), 2. (c), 3. (d), 4. (a), 5. (d).

(Source: PMLA/ PMLR, RBI KYC Direction)

UNIT 4

OPENING ACCOUNTS OF VARIOUS TYPES OF CUSTOMERS

STRUCTURE

4.0 Objectives

4.1 Introduction

4.2 Personal Accounts

- 4.2.1 Accounts of Individuals
- 4.2.2 Joint Account Holders
- 4.2.3 Accounts of Illiterate Persons
- 4.2.4 Accounts of Blind Persons
- 4.2.5 Accounts of Minors

4.3 Accounts of Other Customers

- 4.3.1 Hindu Undivided Family (HUF)
- 4.3.2 Sole Proprietorship Firms
- 4.3.3 Partnership Firms
- 4.3.4 Limited Liability Partnership
- 4.3.5 Limited Companies
- 4.3.6 Clubs/ Associations/ Unregistered Bodies
- 4.3.7 Trusts
- 4.3.8 Executors and Administrators
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- 4.3.10 Government and Public Bodies

4.4 Norms for Opening Current Accounts

- 4.4.1 Borrowers who have CC/ OD facility
- 4.4.2 Borrowers who do not have CC/OD facility
- 4.4.3 Monitoring and Other Guidelines
- 4.4.4 Specific Exemptions

4.5 Obtaining Photographs of Account Holders

4.6 Legal Entity Identifier

4.7 Let Us Sum Up

4.8 Keywords

4.9 Check Your Progress

4.10 Answers to ‘Check Your Progress’

4.0 OBJECTIVES

After studying this Unit, you will:

- Understand the requirements for opening accounts of various types of customers
- Know the rules governing the opening of account
- Learn the rules for the operations in account.

4.1 INTRODUCTION

A banker deals with different types of customers like individuals, partnership firms, companies, co-operative societies etc. While opening and in the conduct of accounts of these persons, the banker has to comply with the law applicable to each of them.

Certain aspects related to opening accounts for various types of customers are discussed here. For opening an account banks obtain account opening form from the prospective customer. While these forms of each bank are different in form, their contents are essentially similar - covering essential information about the account holder(s), instructions for operations on the account, and certain declarations by the account holder. It is an important document, as it is the contract between the bank and the customer for the related account.

In pursuance of KYC regulations, in addition to their own account opening form, banks must obtain information as per the CKYCR forms prescribed for individuals and legal entities. The required documents for KYC and CDD are also obtained, as detailed in Units 2 and 3.

4.2 PERSONAL ACCOUNTS

4.2.1 Accounts of Individuals

An account can be opened for a single individual or for two or more individuals jointly. An individual should be major by age, of sound mind and should not be un-discharged insolvent or disqualified from contracting by any law which he is subjected to.

The account opening form should be signed by the individual(s) in whose name(s) the account is to be opened. In certain situations, like when an individual is not of sound mind or is a minor the form may be signed by her court appointed guardian or natural guardian, as the case may be. KYC documents should be obtained for the guardian also, since as per AML regulations, the guardian falls in the definition of 'a customer'.

4.2.2 Joint Account Holders

A joint account is an account opened in the names of two or more individuals. These are opened when the funds belong to more than one person and they desire to exercise joint control on their use, or though the funds are earned by one person but for convenient access to another person, or to provide easy access to the funds in the event of death of the person owning the funds. Depending on the need and the situation, different operational modalities are opted for by the customers. When a joint account is opened, the relationship among the joint holders and the purpose of having a joint account should be ascertained. It is also advisable to know the nature of expected funds inflows in the account.

Joint accounts are generally opened with all the account holders being resident in India. Joint accounts of residents with a non-resident Indian (NRI) is permitted only where the NRI is a close relative of all the resident account holders. Details in this regard are discussed in Unit 5.

For a joint account, the account opening form should be signed by all the account holders. It should also contain instructions regarding the mode of operations on the account. Details about different modes are discussed in Unit 5. The KYC documents, as detailed in Unit 3, should also be obtained for all the joint account holders.

4.2.3 Accounts of Illiterate Persons

- (a) The rules relating to the account have to be clearly explained to an illiterate person in a language understood by her. She should be advised that for withdrawing money from the account, she has to personally come to the bank with the Pass Book, every time. A current account should not be opened in the name of an illiterate person.
- (b) Cheque Book should not be issued to her under any circumstances, even in case of joint accounts.
- (c) Left hand thumb impression of the account holder is obtained on the account opening form in the presence of an authorised bank officer and a person well known to the bank who will attest her thumb impression on the account opening form.
- (d) Passport size photographs of the customer have to be obtained - one to be attached to account opening form and another to the pass book.
- (e) Every withdrawal should be orally confirmed by the account holder to the authorized official.
- (f) If the illiterate depositor intends to allow a literate person to operate his account, he has to submit an authorisation cum indemnity letter in the prescribed format, with the condition that it can be operated only jointly by both. No illiterate persons' account should be opened with operation facility of E or S or by "literate person only".

4.2.4 Accounts of Blind persons

- (a) There is no legal bar for a blind person to open a bank account.
- (b) Due care must be exercised in accounts of blind persons as there may not be consistency in their signature. As they always depend on someone, the chance for their being cheated is greater. The account holder may send a messenger for transaction, whose reliability may not be known to the bank.
- (c) Passport size photographs of the blind person have to be obtained — one to be attached to the account opening form and another to the pass book.
- (d) The signature/ thumb impression of the blind person has to be attested by a person well known to the bank.
- (e) Where the Branch Manager is satisfied, he may allow a blind person to operate the account by herself, or by a next of kin of the blind customer after taking proper 'letter of authority' from the blind customer.
- (f) Whenever inconsistency in the signature of a blind customer is noticed, her left hand thumb impression also may be obtained.
- (g) Entries and the balance must be made up to date in the passbook at the time of each transaction and should also be read out to her, when no other person is in hearing distance.

4.2.5 Accounts of Minors

According to the Indian Majority Act, 1875, every person domiciled in India, including a minor for whom, a guardian for the person or property is appointed by a court, attains the age of majority on his/her completing the age of 18 years.

As per Section 11 of the Indian Contract Act, 1872, “when the age of maturity has been provided by law to be 18 years, any person less than that age, even by a day, would be a minor in law”. It further states that “every person is competent to contract who is of the age of maturity according to the law he is subject and who is of sound mind and is not disqualified from contracting by any law to which he is subject.” The essence of this is that a minor is not competent to enter into a contract. This affects his capacity to hold, acquire or dispose of property.

A contract for the supply of the necessities of life, as per status of the party, to a minor, is a valid contract. In the same way, a minor can also recover money from others, if advanced, since a minor can be a beneficiary. In case of all other contracts, a minor may repudiate his promise or consent.

With a view to inculcating the habit of thrift and savings, banks allow minors above the age of 10 years to open and operate deposit accounts, subject to certain conditions. Opening of minor’s accounts needs completion of KYC formalities of both the minor and her guardian, and ascertaining and recording in the bank’s systems her date of birth.

The father is the natural guardian for opening the account, but RBI has permitted banks to open minor’s account with the mother as a guardian. The term natural guardian does not include step mother or step father. The minor should be literate. Two minors cannot open a joint account.

RBI has allowed banks to offer facilities like internet banking, ATM, and debit card to a minor, ensuring that the minor’s account will not be overdrawn.

Banks can decide on the documents that will be needed to open accounts by minors.

4.2.5.1 Rules for Operations – Accounts of Minors

- (i) The minors’ accounts should not be allowed to be overdrawn.
- (ii) Section 26 of the N.I. Act provides that a minor may draw, endorse, deliver and negotiate a negotiable instrument and as such, a minor can draw a cheque.
- (iii) On the minor attaining majority, the guardian is not allowed to operate the account any further, without confirmation from the minor (who is now a major).
- (iv) Banks are free to fix the minimum age at which they will allow minors to operate savings bank accounts independently,
- (v) Ordinarily, balances in such accounts are subject to a maximum amount, as decided by the bank.
- (vi) In the event of death of the minor, the guardian has to close the account.
- (vii) On attaining majority, the erstwhile minor should confirm the balance in her account. Fresh operating instructions (for operations by the guardian) and fresh specimen signature of erstwhile minor should be obtained and kept on record.
- (viii) If the guardian dies during the minority of the account holder, then the balance can be paid to the minor after his attaining majority.

4.3 ACCOUNTS OF OTHER CUSTOMERS

4.3.1 Hindu Undivided Family (HUF)

In a HUF, the business is inheritable. Where a Hindu dies, leaving a business, it passes on to the legal heirs. If he leaves male children, it descends to them and the property becomes a HUF property. The members of the family are called coparceners and the eldest male child is the manager or the *Karta*. Since 2005 amendment to Hindu Succession Act daughters whether married or unmarried are recognised as coparceners. Further, Delhi High Court held that the eldest female member of the family can be its 'karta' in a HUF (Case Law: Mrs. Sujata Sharma vs. Shri Manu Gupta, Delhi High Court Judgment dated 22/12/2015). When an account is opened in the name of a HUF, all the adult members have to sign even though the *Karta* would operate on the account. When the business is ancestral, the coparceners are liable to the extent of their share in the family property and have no personal liability.

4.3.1.1 Rules for Opening and Operations – HUF's Account

- The *Karta* has an implied authority to avail loan and execute the necessary documents. To be on a safer side, the loan documents should be signed by all the adult members.
- As there is no formal procedure for designating the *Karta*, it is advisable to obtain a declaration from all the adult members of the HUF specifying the *Karta*.
- The *Karta* has the power to transfer an asset, provided it is made for a legal necessity or for the benefit of the estate.
- Names of all minor coparceners should be kept on record and their guardians must sign the documents on their behalf.
- Withdrawal of one of the coparceners does not put the existence of the firm in jeopardy.

4.3.1.2 Documents for Opening of a HUF's Account

- Account opening form signed by all the adult members of the HUF.
- Specimen signature card signed by the Karta.
- Joint Hindu Family letter signed by all the adult members of the HUF.
- In case HUF has a minor member, the natural guardian should sign on her behalf.

Besides above, the documents required from KYC perspective as detailed in Unit 3 need to be obtained.

The account is operated by the *Karta* (Head of the family). If it consists of various branches, the other major coparceners are allowed to operate on the accounts.

4.3.2 Sole Proprietorship Firms

The law does not distinguish between a Proprietor and her Proprietary Concern. Therefore, accounts of a proprietorship firm can be treated as an account of an individual. However, savings account cannot be opened in the name of a proprietorship firm. A proprietorship firm does not require any document of incorporation nor is it required to be registered with any statutory authority.

4.3.2.1 Rules for Opening and Operations – Proprietorship Firm's Account

- All documents for opening an account of a proprietorship firm are signed by the proprietor.
- The proprietor also has to submit a declaration.
- The Proprietor must sign all the documents in the name of the Proprietorship Firm.
- The cheques should also be signed in the name of the proprietorship firm.

4.3.2.2 Documents for Opening of a Proprietorship Firm's Account

- Current account opening form signed by the proprietor.
- Specimen signature card signed by the proprietor.
- Proprietorship declaration/ letter as per the bank's format.

Besides above, the documents required from KYC perspective as detailed in Unit 3 need to be obtained.

4.3.3 Partnership Firms

Sec. 4 of the Indian Partnership Act, 1932 defines a partnership as a relationship subsisting between persons who have agreed to share the profits of a business carried on by all or any of them acting for all. Registration of a partnership is optional except in the states of Gujarat and Maharashtra.

4.3.3.1 Rules for Opening and Operations – Partnership Firm's Account

- In case of registered partnerships a copy of the registration certificate should be obtained.
- The partners should sign for and on behalf of the firm and not as an individual.
- Cheques payable to the firm should not be credited to the account of any partner/employee.
- In case of any dispute among partners, if any partner gives notice of stoppage of operation, all operations must be stopped under intimation addressed as a joint letter sent to all the partners as well as the firm. Then the account would be operative only by all partners jointly.
- Partners are mutual agents and can bind the firm by their acts. It applies to a sleeping or secret partner also. (Case Law: M.M. Abbas Bros. and Others vs. Chetandas Fatehchand AIR 1979 Mad.)
- Even when the powers of management restricts the rights of other partners and is entrusted in one partner, it is a partnership. (Case Law: K.D. Kamath Co. vs. C.I.T. 1972 ITR(SC))
- When there is an addition to partnership, the old account can be continued, if the balance is in credit. But if there is a debit balance, the old account should be freezed and a new account should be opened to avoid operation of the Clayton's Rule, which states that the first item on the debit side is discharged by the first item on credit side and so on chronologically. By freezing the old account, the liability is crystallised and future credits are not adjusted against old liabilities/dues.
- The rule that the partner is the agent of the firm for the purpose of the business of the firm, cannot be applied to all transactions and dealings between the partners themselves. Where two of the partners of a firm executed a promissory note in favour of a third partner, agreeing to pay him a certain sum due to him, it was held that the remaining partners are not bound. (*Hoshiar Singh vs. Udairam* AIR 1929.)
- Death of a partner dissolves the partnership firm automatically, in the absence of anything to the contrary. The operations in the account should be stopped. In order to determine the liability of the deceased partner, the banker should close the account of the firm and secure a letter of administration from the court. The account would henceforth be styled as "R.K. Dhoble (deceased) Ritesh Mittal (executor/ administrator)."
- No partner has powers to do the following: Open a bank account on behalf of the firm in his own name; Withdraw a legal suit filed by the firm; Admit any liability in a suit or proceed against the firm; and Acquire or transfer immovable property on behalf of the firm.
- Any partner can countermand the payment of a cheque drawn by another partner.

Retirement of a partner needs stoppage of the bank account operations because the liability of the retiring partner towards the bank and third parties ceases (if a public notice is given in a local newspaper) in respect of transactions undertaken subsequent to the date of retirement. A new account should be opened.

4.3.3.2 Documents for Opening of a Partnership Firm's Account

- Current account opening form signed by all the partners.
- Specimen signature cards signed by all the partners.
- Partnership letter signed by all the major partners in their personal capacity and not under the seal of the Firm, stating the nature of business, names and addresses of all partners along with instructions for mode of operations in the account.
- Original Partnership Deed (for verification & return) with a certified copy.
- Certificate of Registration, in case of a registered partnership firm.
- Complete instructions regarding the person(s) authorised to operate the account with specimen signatures of the authorised persons with their designation or capacity in which they will operate the account.
- Permanent Account Number of the partnership firm.

Besides above, the documents required from KYC perspective as detailed in Unit 3 need to be obtained.

4.3.4 Limited Liability Partnership

Limited Liability Partnership (LLP) is formed under the Limited Liability Partnership Act, 2008. LLPs have Designated Partners specified in the LLP Agreement.

A “limited liability partnership” agreement means any written agreement between the partners of the limited liability partnership or between the limited liability partnership and its partners which determines the mutual rights and duties of the partners and their rights and duties in relation to that limited liability partnership.

A LLP has at least two Designated Partners, appointed as per LLP agreement. Designated Partners have to obtain a Designated Partner Identification Number (DPIN).

Any partner may become a designated partner by and in accordance with the LLP agreement, and a partner may cease to be a designated partner in accordance with it.

A designated partner is responsible for the doing of all acts, matters and things as are required to be done by the LLP and as may be specified in it.

Every partner of a LLP is, for the purpose of its business an agent of the LLP, but not other partners.

A “small limited liability partnership” means a LLP - the contribution of which, does not exceed ₹25 lac and the turnover of which, as per *the Statement of Accounts and Solvency* for the immediately preceding financial year, does not exceed ₹40 lac.

4.3.4.1 Rules for Opening and Operations - LLP's Account

- For opening an account of LLP Resolution by the Designated Partners is required.
- LLP is a corporate person; hence it is not affected by changes in partners due to any reason, including resignation or death. So the existing account can be continued, even if in debit balance.
- It will be necessary to obtain a Resolution in respect of authorised signatories, if there is any change.

(d) The partners will not be personally liable for any dues that may occur.

4.3.4.2 Documents for Opening of a LLP's Account

- Current account opening form signed by all the partners.
- Specimen signature cards signed by designated partners and authorised signatories.
- Certificate of Incorporation of LLP.
- LLP Agreement (for verification & return) with a certified copy.
- Resolution by the Designated Partners of LLP for opening bank account and designating authorised signatories.
- Complete instructions regarding the person(s) authorised to operate the account with specimen signatures of the authorised persons with their designation or capacity for operating the account.
- Permanent Account Number of the LLP.

Besides above, the documents required from KYC perspective as detailed in Unit 3 need to be obtained.

4.3.5 LIMITED COMPANIES

Company is a legal entity and can open accounts in the same way as any other person. There are three types of Limited Companies: (i) Public Ltd. (ii) Private Ltd. (iii) One Person Company.

- (a) **Public Ltd.** – It is not a private company. This requires a minimum of seven members for incorporation and there is no upper limit. A subsidiary company of another company that is not a private company is deemed to be public company, even if registered as a private company. – Section 2 (71) of the Companies Act, 2013.
- (b) **Private Ltd.** – It has to have a minimum of 2 members and maximum of 200 members, with a minimum paid-up share capital as may be prescribed. Maximum number does not include members who are in employment of the company. It restricts the right to transfer its shares and does not permit invitation to public to subscribe for any of its securities. - Section 2 (68) of the Companies Act, 2013.

A company in which fifty one per cent or more of the shares are held by any one or more of the Central/ State Governments, including a subsidiary of such a company is called a Government Company. The word 'limited' is not required to follow the company's name in such companies. - Section 2 (45) of the Companies Act, 2013.

- (c) **One Person Company** – is a company which has only one person as a member, and another person named as a Nominee. It is on the footing of a private limited company. - Section 2 (62) of the Companies Act, 2013.

A company is incorporated under the provisions of the Companies Act and functions as per its Memorandum of Association and Articles of Association. On being registered, it is issued with a Certificate of Incorporation.

4.3.5.1 Rules for Opening and Operations – Company's Account

- (a) Cash withdrawals from the company's account should be permitted only against specific authorization by the company.
- (b) In order to avoid frauds, usually operations on a company's account are permitted under instructions of two or more authorised signatories jointly. To avoid operational difficulties, more number of persons are designated as authorised signatories. For instance, a company may specify that its account may be operated jointly by any two out of the five persons authorized to do so.

It may also be noted that

- (a) Death of an authorised signatory does not require stopping of the payment of cheques signed by such signatory, since the company is in existence.
- (b) A limited company in trading activity has implied powers to borrow, while a non-trading company is required to specify it in its Memorandum and Articles of Association.
- (c) A cheque payable to the company should never be deposited in the personal account of any director or any employee, as it would amount to negligence under Sec. 131 of N.I. Act 1881.
- (d) A company incorporated after the commencement of the Companies (Amendment) Act, 2019 and having a share capital shall not commence any business or exercise any borrowing powers unless a declaration is filed by a director within a period of one hundred and eighty days of the date of incorporation of the company, with the Registrar that every subscriber to the memorandum has paid the value of the shares agreed to be taken by him on the date of making of such declaration.

4.3.5.2 Documents for Opening of Company's Account

- Certified copy of Memorandum and Articles of Association
- Certified copy of Certificate of incorporation.
- Names of directors of the company as stated in the Articles/ Forms filed with the Registrar of Companies.
- List of beneficial owners (If applicable)
- Copy of resolution appointing the bank as company's bank and names of the persons authorised to operate the account with the mode of operation.
- Specimen signatures of all authorised officials who would operate the account.
- PAN of the company

Besides above, the documents required from KYC perspective as detailed in Unit 3 need to be obtained.

4.3.6 Clubs/Associations/Unregistered Bodies

These are bodies formed by a group of individuals for certain common objectives or purpose of any nature viz. social, cultural, religious, charitable, professional, etc. Such bodies, especially those of small scale, are often not registered either as a trust, a society or a non-profit company. These may be created through some type of Memorandum of Understanding or similar document. These would usually have a set of bye-laws or Rules with which the affairs of these bodies are managed, and a Committee to look after their management and activities.

4.3.6.1 Rules for Opening and Operations – Account of Club/ Association/ Unregistered Body

- (a) Copy of the bye laws/ rules of the organization is to be examined to ascertain the powers and functions of the committee members.
- (b) Rules regarding the powers to operate bank accounts should also be noted.
- (c) Operations in the accounts, especially the debits should be only for the activities of the organisation.
- (d) Payments to any managing committee member or any other member in their individual capacity should be inquired into carefully.

4.3.6.2 Documents for Opening of an Account of a Club/ Association/ Unregistered Body

- Current account opening form signed by all the Managing Committee members.
- Specimen signature cards signed by authorised signatories.

- Copy of Bye Laws/ Rules.
- Resolution of the Managing Committee, authenticated as per the Rules/ Bye-laws, or by all the members of Managing Committee regarding opening the account and authorised signatories.
- List of beneficial owners (If any).
- Memorandum of Understanding or similar documents,

Besides above, the documents required from KYC perspective as detailed in Unit 3 need to be obtained.

4.3.7 TRUSTS

A trust is an obligation annexed to the ownership of a property, arising out of confidence reposed in and accepted by a person for the benefit of another or of the owner. The person who reposes or declares confidence is called the author of the trust. The person who accepts the confidence is called the trustee. The person for whose benefit, the confidence is accepted is called the beneficiary. The instrument by which the trust is created is called the 'Trust Deed'.

4.3.7.1 Rules for Opening and Operations – Trust's Account

- (a) Copy of the trust deed is to be examined to ascertain the powers and functions of the trustees, with particular reference to restrictive clauses regarding the amounts that can be withdrawn, provisions regarding the opening and operation of an account in the name of Trust, etc.
- (b) In the case of two or more trustees, unless specifically stated in the trust deed, all the trustees will operate the account jointly.
- (c) On the death of one or more trustee(s), the authority is vested in the remaining trustees. When all the trustees are dead or retired, new trustees are appointed by the court.
- (d) The insolvency of a trustee does not imply insolvency of the trust.
- (e) Trustee(s) cannot delegate his/their powers, unless specifically authorised by the trust deed.
- (f) Charitable trusts are required, in several states in India, to be registered with the charity commissioner or such authority under the Public Trust Act.
- (g) It should always be ensured that all payments in the Trust account are made only in accordance with the provisions of the Trust Deed.
- (h) Cheques payable to the Trust should not be collected for credit of private accounts of Trustees.
- (i) Bank has no right to set off against the Trust Fund for debts owed by Trustees in their individual capacity.

4.3.7.2 Documents for Opening of a Trust's Account

- Current account opening form signed by all the trustees.
- Specimen signature cards signed by authorised signatories
- Trust Deed.
- A copy of the Registration Certificate.
- Trust Letter and resolution adopted by the Trustees should be obtained with regard to operation of the account signed by all the trustees.
- Where no trust deed is available, some document evidencing existence of the organization to be examined and obtained if satisfactory, and with due approval.
- Permanent Account Number of the Trust or Form No. 60.

Besides above, the documents required from KYC perspective as detailed in Unit 3 need to be obtained.

4.3.8 Executors and Administrators

An *Executor* is a person named in the will and derives title immediately after the date of death of Testator for the purpose of administration of the property of the deceased. He must obtain a Probate from a court of law before acting as an Executor.

An *Administrator* is a person appointed by the Court to manage the property of the deceased who had died without leaving any will.

An Executor or an Administrator cannot delegate her power to a third party.

4.3.8.1 Rules for Opening and Operations – Account of Executor/ Administrator

- (a) The account of an Executor/ Administrator should be opened strictly in accordance with the Probate or a Letter of Succession or Letter of Administration or the Administrator General's Certificate issued by a competent court or authority.
- (b) The account is to be used only for the funds related to the Estate of the deceased.
- (c) The account is opened in the name of the individual with the words "Executor" and "Administrator" suffixed. Also, with supplementary title with "Estate of (Name of the deceased)" notation.
- (d) The funds in the account are to be disposed in accordance with the Probate of Letter of Succession. Expenses incurred in connection with the execution of the order may be debited to the account.

4.3.8.2 Documents for Opening of an Account of an Executor/ Administrator

- Current account opening form signed by the Executor/ Administrator, and in case there are more than one by all the Executors/ Administrators
- Specimen signature card signed by the Executor(s)/ Administrator(s)
- Will of the Deceased (if there is one)
- Letter of Execution/ Administration.

Besides above, the documents required from KYC perspective for individuals as detailed in Unit 3 need to be obtained, in respect of the Executor(s)/ Administrators.

4.3.9 Co-operative Societies

- (a) Rules and bye laws of the co-operative society are to be examined to ascertain if there are any restrictions on opening of a bank account with the commercial banks.
- (b) Some states have restrictions as to opening a bank account other than with the co-operative banks, without permission from the Registrar of Co-operative Societies and with certain conditions.
- (c) Investment of funds can be made with any bank or person carrying the business of banking – approved for this purpose by the Registrar (Sec. 32 of the Cooperative Societies Act, 1912).
- (d) Resolution to open a bank account with the signatures of three persons, viz., president/secretary/treasurer out of these three, signatures of the president and one of the others are essential.

4.3.9.1 Rules for Opening and Operations – Co-operative Society's Account

- (a) The account is to be used only for the funds related to the co-operative society.
- (b) The limits/ restrictions as per the relevant laws to be observed, like regarding the maximum balance, opening of account with commercial banks, etc.

4.3.9.2 Documents for Opening of a Co-operative Society's Account

- Current account opening form signed by the Managing Committee Members.
- Specimen signature card signed by the authorised signatories
- Resolution of the Managing Committee, authenticated as per the Bye-laws, for opening the bank taccount, and details of the authorised signatories, signed by the President, Secretary and Treasurer (ar at least the President and one of the remaining two).
- Registration Certificate.
- A copy of the Bye-laws.

Besides above, the documents required from KYC perspective as detailed in Unit 3 need to be obtained.

4.3.10 Government and Public Bodies

The central government transactions are governed by the Central Government Compilation of Treasury Rules and Account Codes. The state government transactions are governed by the State Financial Handbook of that state. The main function of banks in conducting government business consists of paying, receiving, collecting and remitting money on behalf of the government departments. Banks, while opening the accounts of government and public bodies, should also obtain a copy of the letter of authority issued by the competent authority for opening the account.

4.3.10.1 Receipts

The receipt is through challans made in duplicate or triplicate as required, showing distinctly the nature of payment and the head of account to which the amount is to be credited. The challan must be passed by the treasury/sub-treasury before presenting for payment. Passed challans are valid for ten days after which they will have to be revalidated. Copies of challans returned to the depositor as receipts should be signed in full. In case a challan is lost, no duplicate is issued, but only a certificate is to be issued.

4.3.10.2 Payments

The government departments are authorised to issue cheques within the drawing limit permitted to them. Self-drawings in cash are allowed for salary and expenses. Special Cheque books are used by the government departments. They are supplied by the department and are paid for by the banks. No overdraft is to be allowed in these accounts. The credit to these accounts is received through budget allocations by the respective ministries. Refund orders are issued by the central excise and customs department in favour of payees. Refund orders are also issued by the income tax department with a related advice. While paying, the banks should have cheques as well as advice at the time of payment. Advice is also received by the payee along with the cheques. Such refund orders are quasi-negotiable and do not attract any stamped discharge.

4.3.10.3 Opening of Personal Deposit Account by Government Departments

There are certain government departments like forest, local funds etc., as authorised by the A.G. office where cheques are drawn by the authorised official in these departments and presented at the bank directly for payment without the intervention of the treasury. Such accounts are opened as current accounts. Details like authority for opening account, cheque books issued, person authorised to draw cheques, drawing limits etc., are noted. The cheques issued are valid only for three months. Government officials are also authorised to open accounts in their personal names for disbursement etc. Such accounts are opened and closed by the official after the purpose is served.

4.3.10.4 Rules for Opening of Account and Operations – Government and Public Bodies

- (a) The account is to be used only for the purpose for which it has been permitted.
- (b) The receipts in the account should be only from the specified sources.
- (c) The payments from the account should be only to the recipients as per the purpose specified.
- (d) Title of the Account should clearly indicate the nature of the account especially that it relates to government funds.
- (e) In case of change in incumbency of the Authorised Officer, fresh documentation based on suitable notifications to be done. The same account will be continued.

4.3.10.5 Documents for Opening of an Account for a Government Department/ Public Body

- Account opening form signed by the Authorised Officer.
- Specimen signature card signed by the Authorised Officer
- Government Order and/ or Notification authorising opening of the account, its purpose and sources and uses of funds.

4.4 NORMS FOR OPENING CURRENT ACCOUNTS

Banks open current accounts for customers who are also borrowers of the banking system. RBI had advised banks to exercise caution while opening current accounts, and obtain No Objection of the lending institutions for opening current accounts. In August 2020, RBI replaced the earlier regime with a comprehensive system in respect of borrowers of scheduled commercial banks and payment banks, and has modified it vide circular dated 20th October 2021. The major aspects of the new regime are enumerated below.

- (i) For persons not having borrowing arrangement with any scheduled commercial bank or payment bank, there is no restriction on opening current accounts by any bank, subject to necessary due diligence as per their Board approved policies. This is applicable also to the persons who have credit facilities only from NBFCs/FIs/ /co-operative banks/non-bank institutions.
- (ii) There are restrictions on persons (including individuals, agriculturists or self-employed persons) who have any borrowing arrangement or facility of any nature (including agricultural credit, personal overdraft or overdraft against deposits) with a scheduled commercial bank or a payment bank.
- (iii) The system of obtaining 'No Objection Certificate' from lending banks has been replaced with the new regime.
- (iv) The nature of restrictions is different depending on the extent and nature of borrowing facilities.

Different norms have been prescribed for the borrowers in the following four categories:

- (a) Borrowers who have cash credit (CC)/ overdraft (OD) facility from the banking system.
- (b) Borrowers who do not have CC/OD facility – these are grouped in three categories:
 - (i) Borrowers to whom exposure of the banking system is of ₹50 crore or more.
 - (ii) Borrowers to whom exposure of the banking system is of ₹5 crore or more but less than ₹50 crore
 - (iii) Borrowers to whom exposure of the banking system is of less than ₹5 crore

In the following paragraphs details of the regime for aforesaid categories of borrowers have been described.

4.4.1 Borrowers who have CC/ OD facility

- (i) Borrowers, where the exposure of the banking system is less than ₹5 crore: There is no restriction on opening current accounts or on providing CC/OD facility, subject to obtaining an undertaking that they shall inform the bank(s), as and when the credit facilities availed by them from the banking system reaches ₹5 crore or more.
- (ii) Borrowers where exposure of the banking system is ₹5 crore or more: Such borrower can maintain current account with any one of the banks with which it has CC/OD facility, provided that the bank has at least 10 per cent of the exposure of the banking system to that borrower.

Further, other lending banks may open only collection accounts subject to the condition that funds deposited in such collection accounts will be remitted within two working days of receiving such funds, to the CC/OD account with the bank which maintains the current account for the borrower. In case none of the lenders has at least 10% of the exposure of the banking system, the bank having the highest exposure may open a current account. Non-lending banks are not permitted to open a current account for such borrowers.

4.4.2 Borrowers who do not have CC/OD facility

- a. Borrowers where exposure of the banking system is ₹50 crore or more: Banks shall put in place an escrow mechanism. Current account of such a borrower can only be opened/maintained by the escrow managing bank. Other lending banks can open 'collection accounts' but the funds will be remitted from these accounts to the said escrow account at the frequency agreed between the bank and the borrower. The balances in collection accounts shall not be used as margin for availing any non-fund based credit facilities. There is no restriction on amount or number of credits in 'collection accounts'. The debits in these accounts shall be limited to remitting the proceeds to the said escrow account. Non-lending banks shall not open any current account for such borrowers.
- b. Borrowers where exposure of the banking system is ₹5 crore or more but less than ₹50 crore: There is no restriction on opening of current accounts by the lending banks. Non-lending banks may open only collection accounts.
- c. Borrowers where exposure of the banking system is less than ₹5 crore: Banks may open current accounts subject to obtaining an undertaking from such customers to the effect that customers shall inform the bank(s), if and when the credit facilities availed by them from the banking system becomes ₹5 crore or more. As and when the exposure of the banking system becomes ₹5 crore or more and ₹50 crore or more, they will be governed by the provisions, explained above.
- d. Banks are free to open current accounts of prospective customers who have not availed any credit facilities from banking system, subject to due diligence as per their Board approved policies.

4.4.3 Monitoring and Other Guidelines

For meeting the objective of credit discipline certain guidelines for monitoring of current accounts and CC/OD accounts have been spelt out. The purpose is that banks are alert to any indicators of siphoning of funds by the borrowers, and can take necessary remedial measures at an early stage.

- a. Banks maintaining collection accounts are permitted to debit fee/charges from such accounts before transferring the funds to the escrow account/CC/OD account of the borrower.
- b. Banks shall monitor all accounts regularly, at least on a half-yearly basis, specifically with respect to the exposure of the banking system to the borrower, and the bank's share in that exposure, to

ensure compliance with these instructions. If there is a change in exposure of banks or aggregate exposure of the banking system to the borrower which warrants implementation of new banking arrangements, such changes shall be implemented within a period of three months from the date of such monitoring.

- c. Term loan draws should be made directly to the suppliers or to the payee, where the payment destination is identifiable, instead of routing through current account (or CC/OD account). In cases where the payment destination is not identifiable the term loan funds may be routed through the CC/OD account.
- d. Day to day expenses should be routed through CC/OD account, if there is one, else through current account.
- e. For computing exposure all fund-based and non-fund based facilities, including day light overdraft facility, intra-day facilities and irrevocable payment commitments, limits set up for transacting in FX and interest rate derivatives, CPs, etc. are to be included.
- f. In case of proprietorship firms, all the borrowings in the name of the firm (i.e. for business purposes) and in the name of the proprietor (i.e. for personal purposes) should be counted together.

4.4.4 Specific Exemptions

Taking into account peculiar features of financial transactions related to certain commercial activities, certain exemptions have been included in the new regime. These exemptions broadly relate to two categories, viz. for specific accounts prescribed under a law/ regulation, and for project based accounts.

- (i) These restrictions do not apply for opening specific accounts stipulated under various statutes and instructions of other regulators/ regulatory departments. Some of such accounts are enumerated in the Table below as illustration. The bank maintaining such account should ensure that it is used for permitted/specified transactions only, and flag these accounts for monitoring purposes. Lenders to those borrowers who maintain such accounts may enter into agreements/ arrangements with the borrowers for monitoring of cash flows/ periodic transfer of funds (if permissible) in these current accounts.

Table 4.1 Illustrative List of Accounts in Exempted Category

(i)	Accounts for real estate projects [mandated under Section 4 (2) I (D) of the Real Estate (Regulation and Development) Act, 2016 (for maintaining 70% of advance payments collected from the buyers.)]
(ii)	Nodal or escrow accounts of payment aggregators/ prepaid payment instrument issuers for specific activities as permitted [by Department of Payments and Settlement Systems (DPSS), Reserve Bank of India under Payment and Settlement Systems Act, 2007.]
(iii)	Accounts for settlement of dues related to debit card/ ATM card/ credit card issuers/ acquirers.
(iv)	Accounts permitted under FEMA, 1999.
(v)	Accounts for the purpose of IPO / NFO /FPO/ share buyback/ dividend payment/ issuance of commercial papers/ allotment of debentures/ gratuity, etc. [mandated by respective statutes or regulators and are meant for specific/limited transactions only.]
(vi)	Accounts for payment of taxes, duties, statutory dues, etc. opened with banks authorized to collect the same, for borrowers of banks not authorized to collect such taxes, duties, statutory dues, etc.
(vii)	Accounts of White Label ATM Operators and their agents for sourcing of currency; Cash-in-Transit (CIT) Companies/ Cash Replenishment Agencies (CRAs)

- (ii) Banks may open a current account for receiving/monitoring cash flows of a specific project, provided the borrower has not availed any CC/OD facility for that specific project. Such accounts will be closed as soon as the financial transactions pertaining to the project have been concluded.

4.5 OBTAINING PHOTOGRAPHS OF ACCOUNT HOLDERS

Banks obtain photographs of the depositors/ account holders, both residents and non-residents, including ‘*Pardanashin*’ women, for all types of deposits. Separate photograph is not required, if live photograph is captured in digital KYC process. Photographs are not a substitute for specimen signatures.

- (i) Banks, Local Authorities and Government Departments (excluding public sector undertakings or quasi-Government bodies) are exempt from this requirement. This may not be insisted for accounts of bank’s own staff members only (Single/Joint).
- (ii) Photographs of all persons authorised to operate an account are required.
- (iii) The photographs should be recent and the cost may be borne by the customers.
- (iv) Photocopies of an OVD with photograph would not suffice in place of photographs.
- (v) Only one set of two photographs should be taken from a customer for all types of accounts in her name, even if opened subsequently.
- (vi) For joint accounts/ partnership accounts, a set of photographs of each joint depositor/ partner is needed.
- (vii) For institutions, a set of photographs of each official authorised to open and operate the account must be obtained.
- (viii) For Savings bank account of a minor aged 10 years and above, the minor’s photograph is needed.
- (ix) For minor’s account, operated by the Guardian, latter’s photograph is also to be obtained.
- (x) For HUF, photograph of the “Karta” has to be obtained.
- (xi) For NRE, NRO, FCNR accounts photographs of the account holder, and the POA/ mandate holder are needed.
- (xii) During the operations, if a change is noticed in the photograph and the customer appearance, a recent photograph should be obtained from the customer, duly attested and affixed at all appropriate places.

4.6 LEGAL ENTITY IDENTIFIER

The Legal Entity Identifier (LEI) is a 20-digit alpha-numeric code used to uniquely identify parties to financial transactions worldwide. Post the Global Financial Crisis, for improving the financial data accuracy and quality, and helping in better risk management, the concept of uniform global Legal Entity Identifier (LEI) code was mooted.

Entities can obtain LEI from any of the Local Operating Units (LOUs) accredited by the Global Legal Entity Identifier Foundation (GLEIF) – the global entity tasked to support the implementation and use of the LEI. In India, LEI code may be obtained from Legal Entity Identifier India Ltd. (LEIL) (a subsidiary of the Clearing Corporation of India Limited (CCIL)), accredited by GLEIF as LOU.

- LEI system has been implemented for all participants in Over the Counter (OTC) markets for Rupee Interest Rate derivatives, foreign currency derivatives and credit derivatives in India.

- Banks including Scheduled Commercial banks (Other than RRBs), Local area Banks, Small Finance banks are required to make it mandatory for corporate borrowers having aggregate fund-based and non-fund-based exposure of ₹5 crore and above from any bank to obtain Legal Entity Identifier (LEI) registration and capture the same in the Central Repository of Information on Large Credits (CRILC). This will facilitate assessment of aggregate borrowing by corporate groups, and monitoring of the financial profile of an entity/group.
- This has been implemented to borrowers, the exposure of whom to scheduled commercial banks is Rs 50 Cr or more. Timelines for obtaining LEI by non-individual borrowers enjoying aggregate exposure of ₹5 crore and above from banks/ FIs are given below.

Table 4.2 Timeline for Obtaining LEI by borrowers

Total Exposure	LEI to be obtained on or before
Above ₹25 crore	April 30, 2023
Above ₹10 crore, up to ₹25 crore	April 30, 2024
₹5 crore and above, up to ₹10 crore	April 30, 2025

- Exposure shall include all fund based and non-fund based (credit as well as investment) exposure of banks/FIs to the borrower. Aggregate sanctioned limit or outstanding balance, whichever is higher, shall be reckoned for the purpose. Lenders may ascertain the position of aggregate exposure based on information available either with them, or CRILC database or declaration obtained from the borrower.
- The guidelines on LEI stand extended to Primary (Urban) Co-operative Banks (UCBs) and Non-Banking Financial Companies (NBFCs).
- Borrowers who fail to obtain LEI codes from an authorized Local Operating Unit (LOU) shall not be sanctioned any new exposure nor shall they be granted renewal/enhancement of any existing exposure.
- Departments/Agencies of Central/ State Governments (not Public Sector Undertakings registered under Companies Act or established as Corporation under the relevant statute) are exempted from this provision.
- All participants the net worth of which is ₹2000 million or more, other than individuals, undertaking transactions in the markets regulated by RBI viz., Government securities markets, money markets (markets for any instrument with a maturity of one year or less) and non-derivative forex markets (transactions that settle on or before the spot date) shall obtain Legal Entity Identifier (LEI) codes. Non-resident entities undertaking financial transactions in the relevant markets shall also require LEI code. Such entities that are not legal entities in their country of incorporation (e.g., funds operated by a non-resident parent/management company that are each registered as an FPI) shall use the LEI code of the parent/management company.
- LEI system has been introduced for all payment transactions of value ₹50 crore and above undertaken by entities (non-individuals) using Reserve Bank-run Centralised Payment Systems viz. Real Time Gross Settlement (RTGS) and National Electronic Funds Transfer (NEFT). All non-individual customers initiating or receiving transactions of ₹50 crore and above through RTGS and / or NEFT must obtain LEI.

- In order to harness the benefits of LEI, RBI has decided that AD Category I banks, with effect from October 1, 2022, shall obtain the LEI number from the resident entities (non-individuals) undertaking capital or current account transactions of ₹50 crore and above (per transaction) under FEMA, 1999.

4.7 LET US SUM UP

Banks open accounts of individuals, institutions, co-operative societies, trusts and government departments. They also open accounts for certain special types of customers like minors, HUFs, joint accounts for two or more individuals, etc. Certain key aspects regarding operations of accounts are:

- Accounts of minors aged above 10 years can be operated by them.
- Joint accounts with different operational instructions, viz., either or survivor, former or survivor, jointly.
- Accounts of HUF with *Karta* operating the account, and on the death of the Karta, the next in line is considered as Karta of the HUF.
- Partnership accounts become inoperative and are closed on admission/retirement/death of any partner.
- Current accounts have been put under a new regime. There is no restriction on opening current accounts of persons not borrowing from any scheduled commercial bank/ payment bank.
- Opening current accounts of any person borrowing from scheduled commercial banks and/or payment banks has been restricted depending on the extent and nature of credit facilities.
- LEI has been made mandatory for the legal entities for certain types of transactions, including NEFT and RTGS of Rs.50 crore and above, and for borrowers with credit facility of ₹5 crore and above from banks/FIs, as per prescribed time schedule.

4.8 KEYWORDS

Minor, HUF, Joint Accounts, Partnership deed, Payable to either or survivor, former or survivor, Jointly operative, Limited companies, Resolution, Memorandum and Articles of Association, Certificate of incorporation, Trust deed, Clayton's rule, Escrow Account, Collection Account, Escrow Managing Bank, Legal Entity Identifier.

4.9 CHECK YOUR PROGRESS

1. Introduction while opening accounts is

- | | |
|-------------------|---------------------|
| (a) optional | (b) not to be taken |
| (c) discretionary | (d) compulsory |

2. A minor for whom the court has appointed a guardian attains majority on completion of _____.

- | | |
|--------------|---------------|
| (a) 21 years | (b) 18 years |
| (c) 15 years | (d) 17 years. |

3. Minor's account can be opened in the guardianship of _____.

- | | |
|-----------------------|----------------------|
| (a) mother and father | (b) mother or father |
| (c) grandmother | (d) elder brother. |

4. There should be two persons to open a partnership account in a bank. In which of the following cases an account can be opened?
- (a) X aged 25 years Y aged 17 years
 - (b) X aged 25 years Y aged 21 years
 - (c) X aged 17 years and Y aged 16 years
 - (d) Ku. Shubha aged 30 years and Ku. Rachna aged 16 years (daughter of Ku. Shubha)
 - (e) X aged 71 years Y aged 57 years but lunatic.
5. HUF account is to be opened in a bank where there are three major persons Shivkumar – Father; Mrs. Ramawati – Shivkumar’s Mother, Sharat Kumar – Son; Who can become Karta of HUF?
- (a) Shivkumar
 - (b) Sharat Kumar
 - (c) Mrs. Ramawati
 - (d) Both Shivkumar and Ramawati
 - (e) Both Shivkumar and Sharat Kumar.

4.10 ANSWERS TO ‘CHECK YOUR PROGRESS’

1. (b), 2. (b), 3. (b), 4. (b), 5. (a).

(Sources: Various RBI Circulars and others)

UNIT 5

OPERATIONAL ASPECTS OF DEPOSIT ACCOUNTS

STRUCTURE

5.0 Objectives

5.1 Introduction

5.2 Salient Feature of Deposit Accounts

5.2.1 Current Account

5.2.2 Savings Bank Account

5.2.3 Other Savings Bank Regulations

5.2.4 Basic Savings Bank Deposit Account (BSBDA)

5.2.5 Fixed Deposits

5.2.6 Recurring Deposits

5.2.7 Other Types of Deposits

5.3 Interest on Deposit Accounts

5.3.1 General Norms for Interest on Deposits

5.3.2 Interest on Domestic Current Account Deposits

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5.0 OBJECTIVES

After studying this Unit, you will:

- Know about different types of deposit accounts opened by a bank
- Understand operating instructions for dealing with deposit accounts
- Learn norms for interest rates for deposit accounts
- Understand handling of inoperative accounts/ unclaimed deposits

5.1 INTRODUCTION

Deposits form a major portion of the resources available to the bank to carry out its other basic functions, viz. lending and investment. The deposit raising function of the bank takes into account not only the amount to be raised but also the average cost of the deposits because it has a major impact on the profitability of a bank. Basic features of deposit accounts are similar for various banks. But various deposit products of different banks also have certain distinguishing features particularly for the aspects left to the discretion of banks, for example interest rates on deposits.

5.2 SALIENT FEATURES OF DEPOSIT ACCOUNTS

5.2.1 Current Account

Current account is a transactional account, primarily designed to facilitate frequent/regular financial transactions by traders, business people, and entrepreneurs.

- (i) It is meant for individuals/institutions having large number/ volume of transactions, mainly for day-to-day business and operational needs, and parking operational surplus funds. No interest is payable by the bank on the deposits held.
- (ii) These can be opened by all types of customers, viz. Individuals, Sole Proprietary Concerns, Partnership Firms, Limited Liability Partnerships, Private/Public Sector Companies, Clubs, Associations, Trusts/ Executors/Administrators, Govt./Local Bodies, Cooperative Societies, Religious/Educational/ Charitable Institutions, Registered/Unregistered Societies, or any other Juridical Persons (like Special Purpose Vehicles), etc.
- (iii) There are restrictions on opening current accounts of borrowers from banking systems, as described in Unit 4.
- (iv) A current account cannot be opened by:
 - (a) Minors. However, accounts of minors can be opened and operated by the natural guardian.
 - (b) Pardanashin women.
 - (c) Illiterate persons.
 - (d) Blind persons.
- (v) There is no restriction on the amount to be withdrawn by the account holder at any time.
- (vi) There is no restriction on the amount to be deposited in the account.
- (vii) Banks often stipulate minimum balance requirements, but there is no ceiling on the balance in the account.
- (viii) There is no restriction on the number of transactions in the account during any period of time.
- (ix) Accounts of individuals are operated by the account holder(s) in personal capacity, the accounts of legal entities are operated by the authorised signatories, in representative capacity. Individuals may issue a power of attorney to another individual to operate on their accounts, in representative capacity.

- (x) Accounts may be debited by cheques drawn either singly or jointly, or through net banking authorised by single user or more than one user.
- (xi) Account holders may issue standing instructions to the bank for executing debits as mandated in these instructions. Also, account holders may authorize other corporates, financial institutions, etc. to collect payments by debit to their accounts through NACH authorisations.
- (xii) Banks can debit the accounts for its charges, interest, etc. based on the customer authorisations given in the account opening form, applications for credit facility or non-fund based facility, etc.
- (xiii) Cash deposits and withdrawals are permitted in the account.
- (xiv) For accounts of individuals, facility of withdrawal through ATMs is also provided.

5.2.1.1 Temporary Overdraft (TOD)

- (i) Wherever there are specific provisions in the Current account rules/permission in writing through policy/circular, temporary overdrafts (TOD) can be given to good and trustworthy customers against their written request.
- (ii) A written request for TOD and Demand Promissory Note should be furnished by the account holder.

5.2.2 Savings Bank Account

- (i) Savings bank accounts are meant for individuals operating singly or jointly with other individuals.
- (ii) Sometimes such accounts are opened in the names of institutions which are specifically approved by the RBI for maintaining savings bank accounts with banks (Table 5.1 below).
- (iii) Savings bank accounts are opened either with cheque facility or without cheque facility.
- (iv) Cash withdrawals from savings accounts without cheque facility are allowed through withdrawal slips (provided at the bank branches) accompanied with the passbook.
- (v) Cash withdrawals from this account is also allowed through ATMs.
- (vi) Withdrawals for transfers can be made through cheque, net banking, mobile banking, etc.
- (vii) Deposits can be in cash, by cheques, and through electronic transfers. Interest is payable by the banks on the deposits.
- (viii) Banks also accept standing instructions from the account holders for effecting periodical payments for various purposes by debit to their savings accounts.
- (ix) These accounts are not meant for transactions related to business or trading activities etc.
- (x) There is no ceiling on the balances in the account.

RBI has deregulated the interest rate for Savings Bank Deposits and banks are free to decide their interest rates, subject to the following conditions:

First, each bank will have to offer a uniform interest rate on savings bank deposits up to Rs.1 lakh, irrespective of the amount in the account within this limit.

Second, for savings bank deposits over Rs.1 lakh, a bank may provide differential rates of interest, if it so chooses, subject to the condition that banks will not discriminate in the matter of interest paid on such deposits, between one deposit and another of similar amount, accepted on the same date, at any of its offices.

5.2.2.1 Eligibility to open savings accounts

- (a) Banks are prohibited from opening savings account in the name of Government departments/ bodies depending upon budgetary allocations for performance of their functions/ Municipal Corporations or

Municipal Committees/ Panchayat Samitis/ State Housing Boards/ Water and Sewerage/ Drainage Boards/ State Text Book Publishing Corporations/ Societies/ Metropolitan Development Authority/ State/ District Level Housing Co-operative Societies, etc. or any political party or any trading/business or professional concern, whether such concern is a proprietary or a partnership firm or a company or an association and entities other than those indicated in (b) below.

(b) Following categories of persons/ institutions are eligible to open savings accounts with a bank:

- (i) Individuals either in single name or in joint names of two or more persons.
- (ii) Minors aged above 10 years can open and operate Savings bank account independently. Some banks may fix a higher age for opening savings account.
- (iii) Karta of HUF.
- (iv) Entities of the categories for which RBI has given general permission. The categories currently permitted are shown in Table 5.1 below.

Table 5.1 Organisations for which Savings Bank Account is Permitted by RBI

(1)	Primary Co-operative Credit Society which is being financed by the bank.
(2)	Khadi and Village Industries Boards.
(3)	Agriculture Produce Market Committees.
(4)	Societies registered under the Societies Registration Act, 1860 or any other corresponding law in force in a State or a Union Territory except societies registered under the State Co-operative Societies Acts and specific state enactment creating Land Mortgage Banks.
(5)	Companies licensed by the Central Government under Section 8 of Companies Act, 2013 or Section 25 of Companies Act, 1956 or under the corresponding provision in the Indian Companies Act, 1913 and permitted, not to add to their names the words 'Limited' or the words 'Private Limited'.
(6)	Institutions other than those mentioned in sub-para (a) above and whose entire income is exempt from payment of Income-tax under the Income-Tax Act, 1961.
(7)	Government departments / bodies / agencies in respect of grants/ subsidies released for implementation of various programmes / Schemes sponsored by Central Government / State Governments subject to production of an authorization from the respective Central / State Government departments to open savings bank account.
(8)	Development of Women and Children in Rural Areas (DWCRA).
(9)	Self-help Groups (SHGs), registered or unregistered, which are engaged in promoting savings habits among their members.
(10)	Farmers' Clubs – Vikas Volunteer Vahini – VVV.

5.2.3 Other Savings Bank Regulations

5.2.3.1 Minimum Balance

Some banks lay down a condition for maintaining a minimum balance in the account, and levy charges for not maintaining minimum balance.

- (i) A notice (through an SMS/ e-mail/ letter) of the shortfall amount and that if not regularized within one month from the date of notice, penal charges will be recovered should be given. After the stipulated time, penal charges for persisting shortfall may be debited under intimation to the account holder.
- (ii) These charges should be as per the Policy of the bank, and be reasonable, not be out of line with the average cost of services rendered.
- (iii) The account should not result in debit balance solely on account of penal charges.

If the balance remains continuously less than the prescribed minimum, the bank may close such an account or change the category of the account in consultation with the customer.

5.2.3.2 Withdrawals

- (i) Sometimes number of withdrawals permitted during a period are restricted.
- (ii) Usually limit is also set for the amount that can be withdrawn at any point of time.
- (iii) Cash withdrawal through withdrawal form is permitted only for the account holder, and with pass book.

5.2.3.3 Pass Books

Pass books are issued in SB accounts at the time of opening the account and is issued to the customers after getting their acknowledgement. Other aspects related to pass books are given in paragraph 5.8.1.

5.2.3.4 Transfer of accounts

- (i) At the written request of the customer, the SB account can be transferred from one branch to another branch of the bank free of any charges.
- (ii) All unused cheque leaves must be surrendered to the old branch.
- (iii) The account opening form and specimen signature card must be transferred to the transferee branch.
- (iv) With the introduction of CBS and multi-city cheques, transfer of accounts is not essential. The base branch/ parent branch is changed.

5.2.3.5 Staff accounts

- (i) The number of SB accounts of a staff member of the bank in his individual name or in joint names with family member(s), may be restricted.
- (ii) All cheques drawn on staff accounts should be scrutinized particularly with reference to the balance available in the account.
- (iii) Third party cheques/DDs should not be collected in staff account.
- (iv) An account operated with disproportionately huge amounts must be watched.

5.2.3.6 Closing of account

- (i) SB account may be closed on written request of the single/ all joint account holder(s).
- (ii) All the unused cheque leaves must be surrendered and the pass book presented.
- (iii) The pass book may be returned after updating and marking “account closed” in all pages.
- (iv) For the balance in the account a cheque/ withdrawal form must be obtained for effecting the payment.

5.2.4 Basic Savings Bank Deposit Account (BSBDA)

Basic Savings Bank Deposit Account is made available by banks to facilitate financial inclusion, especially of persons of lower economic standing. Following basic minimum facilities should be offered free of charge, and without any minimum balance requirement:

- (i) Deposit of cash at bank branch as well as ATMs/CDMs
- (ii) Receipt/credit of money through any electronic channel deposit/collection of cheques including cheques drawn by Central/ State Government agencies and departments.
- (iii) No limit on number and value of deposits that can be made in a month.
- (iv) Minimum of four withdrawals in a month, including ATM withdrawals, at own/ other bank ATMs.
- (v) ATM Card or ATM-cum-Debit Card.

Cheque book is not included in minimum free services, but are permitted to be issued free of charge. Banks are also free to provide additional value-added services, subject to following conditions:

- (i) If provided on charges, the pricing should be reasonable, transparent and non-discriminatory.
- (ii) Availment of such services is at the option of the customer.
- (iii) No stipulation of maintaining minimum balance should be made.

Accounts with additional services at additional cost will not be considered as BSBD Account.

A person can have only one BSBDA in the banking system. Holders of BSBDA will not be eligible for opening any other SB account in that bank. Any other existing SB account(s) in that bank should be closed within 30 days from the date of opening a BSBDA. The customer can have any other types of deposits.

5.2.5 Fixed Deposits

- (i) These are deposits of specified sum of money placed with the bank for a specific period. For example, a Fixed Deposit of ₹10,000/- placed for 36 months period. Fixed Deposits may be accepted for Days, Months, Years or their combination, as per the request of customer. The minimum period of for fixed deposits, at present, is 7 days, and the maximum period is normally 120 months.
- (ii) Fixed deposits can be accepted for any amount. Fixed deposits of ₹2 crore and above in case of scheduled commercial banks (other than RRBs) and small finance banks, and those of ₹15 lakh and above in case of RRBs have been categorized as 'Bulk Deposits' by RBI.
- (iii) Bank should issue term deposit receipt indicating therein full details, such as, name(s) of the depositor(s), unique account number, amount deposited, maturity amount, date of issue, period of deposit, due date, applicable rate of interest, whether nomination registered, etc. Term deposits should be freely transferable from one office of a bank to another.
- (iv) These deposits are repayable to the customer/ renewable as per the instructions of the customer given in the fixed deposit account opening form, on expiry of the period for which the deposit is made. Where such instructions are not obtained, an intimation of maturity date must be sent well in advance, though as a good will gesture it may be sent in other cases too.
- (v) Premature encashment is permitted in case of exigency/need. The interest is paid as applicable for the period for which the deposit was actually with the bank, less some penalty on that rate, as per the bank's policy.
- (vi) Banks shall can offer TDs without premature withdrawal option. Provided that the TDs of individuals (held singly or jointly) for ₹15 lakh and below must have premature-withdrawal facility.

- (vii) Overdue TDs may be renewed at the customer's request, as per the policy duly approved by the Board of the bank. The policy should be transparent, non-discretionary and non-discriminatory. The customers should be notified of the terms and conditions of renewal including interest rates, at the time of acceptance of deposit.
- (viii) Interest on fixed deposits is paid periodically, normally at quarterly intervals. But it may also be paid, at the customer's choice, on maturity along with the Principal amount. In the latter event, the interest is compounded at quarterly rests. Based on these modes of interest payment, fixed deposits are of two types viz. Ordinary Term Deposit, and Reinvestment or Special Term Deposit.
- (ix) Periodical interest is paid, as per the customer's instruction, in cash (within permitted amount), by credit/ remittance to the SB or CA of the customer only with the same bank or another bank.
- (x) If a Term Deposit matures and proceeds are unpaid, the amount left unclaimed with the bank shall attract rate of interest as applicable to savings account or the contracted rate of interest on the matured deposit, whichever is lower. Maturity amount of Rs. 20,000/- and above is to be paid in account only.

5.2.5.1 Term Deposit of Joint Holders

- (i) At the request of all the joint account holders, may allow addition or deletion of name/s of joint account holder/s if the circumstances so warrant or allow an individual depositor to add the name of another person as a joint account holder.
- (ii) The amount or duration of the original deposit should not change.
- (iii) Bank may, at its discretion, and at the request of all the joint account holders, allow splitting of the joint deposit, in the name of each of the joint account holders only, provided that the period and the aggregate amount of the deposits do not undergo any change.

5.2.5.2 Loan Against Term Deposits

- (i) Loans against TDs may be given to the customers on surrender of duly discharged TD receipt with a letter of lien.
- (ii) The permissible loan amount is determined after margin of say 5% to 20% on the principal amount or on the value along with accrued interest (in case of reinvestment deposits).
- (iii) Interest rate on the loan is at certain percentage over the rate paid on the TD, as per the policy of the bank.
- (iv) If TD is foreclosed, the loan is first recovered from the proceeds of the deposit. The interest rate on loan will be revised based on the applicable interest rate as on the date of deposit for the period for which the deposit remained with the bank minus the penal interest,

5.2.6 Recurring Deposits (RD)

These deposits are in the nature of fixed amounts being paid by the depositor every month for a pre-determined period. The maturity amount is arrived at based on the cumulative amount to be deposited on due dates over the period of deposit, plus interest computed based on compounding at quarterly rests. If the periodical instalments are not paid regularly on due dates, the amount payable on maturity is adjusted for the delayed payment on account of reduction in the amount of interest payable.

The rules relating to foreclosure and grant of loan against RDs are similar to those for TDs. In the event of foreclosure of a RD, the interest is paid without compounding for the incomplete quarter.

No RD is accepted under FCNR (B) Scheme.

5.2.7 Other Types of Deposits

5.2.7.1 Combinations of Demand and Fixed Deposits

Several banks also offer several variations of the abovementioned types of deposits. Some of them are combinations of two or more types of deposits. These hybrid deposits are known by different names in different banks. Some examples of such hybrid deposits are as follows:

- (i) SB account with auto-transfer of specific amount to TD leaving the minimum specified balance. It could also be combined with auto-reversal from TD, if required to meet payment of cheques presented.
- (ii) TDs opened in units of say Rs.1000/-, so that if needed, the customer may take premature payment of only a portion of the TD amount.

(a) Cash Certificates

Cash certificates are a variant of reinvestment deposits, and are issued at a discounted value at the rate applicable on the TD of similar tenor and amount. The face value of the certificate of deposit represents the maturity value of the amount paid at the time of investing in the certificate of deposit. The regulations that apply to TDs also apply to the cash certificates.

(b) Annuity Deposits

Annuity deposits are the reverse of RDs. The principal amount deposited is returned to the customer in periodical (say monthly or quarterly) instalments over the tenor of deposit. For example, for an annuity deposit for 5 years with quarterly instalment, the customer will receive 20 quarterly payments of equal amount that will include both interest and principal component. The regulations that apply to TDs also apply to the annuity deposits.

(c) Certificate of Deposits (CDs)

The certificate of deposit are short-term negotiable money market instruments. CDs are not in the nature of other bank deposits, but are a distinct category. Salient aspects of CDs are enumerated below.

- (i) CDs can be issued by the SCBs, RRBs, and SFBs to all persons resident in India.
- (ii) They are issued in dematerialized form in denominations of ₹5 lakh, with minimum ₹5 lakh.
- (iii) Tenor of CDs should be minimum 7 days and maximum 1 year.
- (iv) Interest rate may be fixed or floating linked to the benchmark rate specified by Fixed Income Money Market and Derivatives Association of India (FIMMDA).
- (v) CD's may be issued at discounted value or with a coupon for interest.
- (vi) CDs are traded in the secondary market.
- (vii) Buyback of CDs can be done, if offered to all investors in the specific issue of CDs.
- (viii) Issuance of CDs attracts stamp duty.

5.3 INTEREST ON DEPOSIT ACCOUNTS

5.3.1 General norms for Interest on Deposits

These norms are applicable to interest on various types of deposits accepted by banks, viz. domestic deposits, Ordinary Non-Resident (NRO) accounts, Non-Resident (External) accounts (NRE) accounts, and Foreign Currency (Non-Resident) Accounts (Banks) Scheme (FCNR(B)) deposits.

- (i) Banks should have a comprehensive policy on interest rates on deposits approved by the Board of Directors or a committee of the Board to which powers have been delegated.
- (ii) Rates shall be uniform across all branches and for all customers. There shall be no discrimination between deposits of similar amount, accepted on the same date, at any of the bank's offices.
- (iii) These shall be strictly as per the schedule of interest rates disclosed in advance, and the interest rate cards for normal and bulk deposits shall be maintained in the Core banking system to facilitate supervisory review.
- (iv) These cannot be negotiated with the depositors.
- (v) These should be reasonable, consistent, and transparent and available for supervisory review/scrutiny.
- (vi) Payment of interest on deposits shall be rounded off to the nearest rupee for rupee deposits and to two decimal places for FCNR (B) deposits.
- (vii) Changes in interest rates should be made known to the customers and branches expeditiously.

5.3.1.1 Fixed Deposits: Method of calculation of interest

For calculation of interest on domestic term deposit, IBA, has prescribed that on deposits repayable in less than three months or where the terminal quarter is incomplete, interest should be paid proportionately for the actual number of days reckoning the year at 365 days. Some banks are adopting the method of reckoning the year at 366 days in a Leap year and 365 days in other years. Banks should provide information to their depositors about the manner of calculation of interest appropriately while accepting the deposits and display the same at their branches.

5.3.1.2 Fixed Deposits: Maturing on non-business working day

- (i) On a TD maturing on a non-business working day, interest at the contracted rate shall be paid on the principal amount for the non-business working day(s) intervening till the next succeeding working day.
- (ii) In case of reinvestment deposits and RDs, interest should be paid on the maturity value for the intervening non-business working day(s).

5.3.1.3 Consequence of transfer of branch of one bank to another bank

When deposit accounts are transferred from one bank branch to another bank branch on account of takeover of bank branches in rural and semi-urban centres, following norms will apply:

- (i) Deposit accounts will continue to be governed by the terms of contract agreed to between the customer and the bank branch that is being taken over.
- (ii) The same rate of interest, as was payable at the time of takeover shall be payable till maturity.

5.3.2 Interest on Domestic Current account deposits

- (i) No interest can be paid on deposits in current accounts.
- (ii) On balances in the current account of an individual or a proprietorship firm interest should be paid from the date of death of the individual/ sole proprietor till the date of repayment to the claimant/s at the rate of interest on SB as on the date of payment.

5.3.3 Interest on Domestic Savings bank deposits

- (i) Banks are free to decide the rate of interest to be paid for SB deposits.
- (ii) Interest is calculated on daily products of the end-of-day balances.

- (iii) Banks are permitted to pay interest at different rates for balances of above ₹1 lakh, depending on the quantum of balances.
- (iv) For balances up to ₹1 lakh, the rate of interest should be uniform.
- (v) The interest should be credited at quarterly or shorter intervals, as per the bank's policy.

5.3.4 Interest on Domestic Term deposits

- (a) Interest rates on TDs can be varied for one or more of the following reasons:
 - (i) Tenor of Deposits: Banks can freely determine the tenors of TDs (minimum 7 days), and offer different interest rates for different periods.
 - (ii) Size of Deposits: Differential interest rate can be offered only on "bulk deposits". This is not applicable to deposits accepted under Term Deposit Scheme, 2006 or the Capital Gains Accounts Scheme, 1988.
 - (iii) Non-availability of premature withdrawal option: Banks can accept TDs without premature withdrawal option, for which different interest rates can be fixed. Premature payment facility is mandatory for TDs from individuals (held singly or jointly) of ₹15 lakh and below.
- (b) The interest rates applicable on TDs withdrawn before the maturity date shall be as under:
 - (i) Interest shall be paid at the rate applicable to the amount and period for which the deposit remained with the bank and not at the contracted rate.
 - (ii) No interest shall be paid, where premature withdrawal takes place before 7 days.
 - (iii) Banks should have a Board/ a Committee of Board approved policy on penalties for premature withdrawal of TDs.
 - (iv) Penalty for premature withdrawal can be levied, only if it was brought to the notice of the depositor upfront.
 - (v) No penalty for premature withdrawal shall be levied, where a depositor desires premature withdrawal consequent to the transfer of business to another bank.
 - (vi) If at the request of the joint depositors/ legal claimants of deceased constituents, the deposit amount is split in two or more portions, no premature penalty will be charged, provided the period and aggregate amount of the deposit do not undergo any change.
- (c) The interest rates applicable on overdue TDs with the bank are as under:
 - (i) Rate of interest payable on renewal of overdue TD shall be as per the policy of the bank, within the general norms for interest rates.
 - (ii) Interest on the TD proceeds remaining unclaimed shall be paid at the rate applicable on SB or the contracted rate, whichever is lower.
- (d) TDs can be accepted at floating rate of interest, which should be linked to a directly observable and transparent market determined external benchmark.

5.3.5 Interest on NRO, NRE and FCNR(B) deposits

The provisions related to interest rates on the deposits of non-resident Indians are discussed in Unit No. 8 on "Operational aspects of NRI Business"

5.3.6 Additional Interest on Domestic Deposits

Banks are permitted to pay, at their discretion, additional interest on deposits from the following:

- (i) Bank's staff and their exclusive associations as well as on deposits of Chairman, Chairman & Managing Director, Executive Director or such other Executives appointed for a fixed tenure: Additional interest of 1% p.a., over and above the rate as per the schedule of interest rates on SB or TD (including RD). It is also payable on deposits held jointly with dependents.

- (ii) Resident Indian senior citizens: Higher rate of interest as compared to normal deposits of any size. The differential rate is at the discretion of the bank. Usually banks offer additional rate of 0.25% or 0.5% per annum.

Following conditions apply in case of deposits from the bank's staff or management:

- (i) Additional interest is payable till the person continues to be eligible. In case of TDs till the maturity, after the eligibility ceases.
- (ii) For employees on deputation from a bank to another bank, both the banks may allow additional interest on accounts opened with each during the period of deputation.
- (iii) For persons taken on deputation for a fixed tenure or on a contract of a fixed tenure, the benefit will cease to accrue on the expiry of the term of deputation or contract, as the case may be.
- (iv) Bank Employees' Federations, in which bank employees are not direct members, shall not be eligible for additional interest.
- (v) For the following deposits a declaration to be taken from the depositor, that the monies deposited/ that may be deposited into such account belong to the depositor:
 - (a) member or a retired member of the bank's staff, either singly or jointly with any member or members of his/her family; or
 - (b) the spouse of a deceased member or a deceased retired member of the bank's staff; and
 - (c) an Association or a fund, members of which are members of the bank's staff.

5.3.7 Interest on Inoperative accounts/ Unclaimed deposits

- (i) Interest on SBs should be credited on regular basis whether the account is operative or not.
- (ii) No penal charges for shortfall in minimum balance should be levied on inoperative accounts.
- (iii) If a TD matures and proceeds are unpaid, on the unclaimed amount the SB rate or the contracted rate on the matured TD, whichever is lower.

5.3.8 Interest on accounts frozen by banks

On TDs frozen by banks under instructions of law enforcement authorities, payment of interest is to be handled as per the norms given below.

- (i) For TDs that mature during frozen status, a request letter should be obtained from the depositor for renewal of the deposit amount with interest for specified period. If the request is received within 14 days of expiry, renewal should be done with effect from the date of maturity. If received after 14 days, renewal will be from the date of receipt of the request. The interest for the intervening overdue period is paid as per the policy of the bank, and held in a separate interest free account. This interest amount is released along with the payment of the related term deposit.
- (ii) Where the customer's request is not received, banks may renew the deposit for a term equal to that of the original term.
- (iii) The enforcement authority should be advised about the fact of renewal along with rate of interest on the renewed deposit. This communication should be copied to the depositor too.

On the savings bank accounts frozen by the enforcement authorities, banks may continue to credit the interest to the account on a regular basis.

5.4 PROHIBITIONS & EXEMPTIONS

5.4.1 Prohibitions

Banks are not permitted to engage in following practices in respect of deposit taking business:

- (i) Pay any remuneration or fees or commission or brokerage or incentives on deposits in any form to any individual or entity except:
 - Commission to agents employed to collect door-to-door deposits under a special scheme.
 - Commission to Direct Selling agents/Direct Marketing Agents as outsourcing arrangement.
 - Remuneration to Business Facilitators or Business Correspondents.
- (ii) Offer prize/lottery/free trips (in India and/or abroad), etc. or any other initiative having element of chance for mobilizing deposits. Inexpensive gifts costing not more than ₹250/- may be given to depositors at the time of accepting deposits.
- (iii) Resort to unethical practices of raising of resources through agents/ third parties to meet the credit needs of the existing/prospective borrowers or to grant loans to the intermediaries based on the consideration of deposit mobilisation.
- (iv) Issue any advertisement/literature soliciting deposits from public highlighting only the compounded yield on term deposits without indicating the actual rate of simple interest for the particular period.
- (v) Accept interest-free deposit other than in current account or pay compensation indirectly.
- (vi) Accept deposits from/ at the instance of private financiers or unincorporated bodies where deposit receipt/s favouring client/s of private financiers are issued, or giving of an authority by power of attorney, nomination or other-wise, for such clients receiving such deposits on maturity.
- (vii) Grant advances against term deposits maintained with other banks.
- (viii) Create any fund to be utilized for charitable purposes in consultation with the depositors.

5.4.2 Exemptions

Various provisions related to interest rates on domestic deposits are not applicable to the following:

- (i) A deposit received by the bank:
 - (a) from the institutions permitted to participate in the Call/Notice/Term Money Market both as lenders and borrowers.
 - (b) for which it has issued a participation certificate;
 - (c) under the Capital Gains Accounts Scheme, 1988,
 - (d) under the Certificate of Deposit Scheme.
- (ii) Payment of interest on delayed collection of outstation instruments like cheques, drafts, bills, telegraphic/mail transfers, etc.

5.5 INOPERATIVE ACCOUNTS & UNCLAIMED DEPOSITS

Banks are often saddled with several savings or current accounts in which customers do not carry out any transactions after some point of time. Similarly, several fixed deposits remain unclaimed after maturity for prolonged periods. Such accounts, seemingly harmless, carry a risk of being used for fraudulent activities by unscrupulous persons, whether employees or outsiders.

5.5.1 Proactive Action by Banks

- (i) An annual review of both SB and CA, in which there are no operations (i.e., no credit or debit other than crediting of periodic interest or debiting of service charges) for more than one year.
- (ii) Approach the customers and inform them in writing to advise the reasons for no operations in the account, and advise them to resume operations.
- (iii) A SB and CA should be treated as inoperative/dormant if there no transactions for over two years.
- (iv) Debit as well as credit transactions induced at the instance of customers as well as third party should be considered. Service charges levied by the bank or interest credited by the bank should not be considered.
- (v) There are instances, where the customer has given a mandate for crediting the interest on TDs to the SB account. Since such transactions are as per the mandate of the customer, these should be treated as customer induced transactions. As such, the account should be treated as operative account as long as the interest on TD is credited to the SB account. The SB account can be treated as inoperative account only after two years from the date of the last credit entry of the interest on TD.

5.5.1.1 Relocation of Customer

Where a bank branch comes to know that a customer has shifted residence permanently and is now not in the normal area of operation of the branch, the customer should be requested to get the account transferred to a branch near the new location. Alternatively, the customer may be asked to close the account and provide the details of her new bank account to which the balance in the existing account could be transferred.

5.5.1.2 No Response from Customer

- (i) Where letters sent are returned undelivered, efforts are needed **to find out the whereabouts of customers**.
- (ii) For customers not traceable at their addresses, banks should try other possible modes, like on the telephone number/ mobile number furnished to the bank, and through e-mail.
- (iii) Also, try to ascertain from third parties. Like, if introduced by another customer the latter may be contacted, or contact the employer/or any other person, or the appointed nominee.
- (iv) If known or suspected that the customer may not be alive, her legal heirs may be contacted.

5.5.1.3 When Customer Response Received

- (i) If the account holder replies giving the reasons, should continue classifying the same as an operative account for one more year within which the account holder to operate the account. If not so operated, should be made inoperative after the extended period.
- (ii) The account holder wants to withdraw the entire balance in the account, it may be permitted on proper identification.
- (iii) If wants to withdraw a part amount and to revive the operations in the account, the account to be made operative.
- (iv) The customer should not be inconvenienced in any way, just because his account has been rendered inoperative.
- (v) Operation in such accounts may be allowed after due diligence as per risk category of the customer, ensuring genuineness of the transaction, verification of the signature and identity etc.
- (vi) There should not be any charge for activation of inoperative account.

5.5.1.4 Exceptional Cases

The following categories of accounts, even if they remain ‘dormant’ need not be transferred to “Inoperative accounts status”.

- (i) Where operations in the account have been stopped under Garnishee order or any Court Order.
- (ii) Where the nature of account itself permits only periodical and not regular operation.
- (iii) Where the account is under lien or charge for advances allowed to the same customer in another account.
- (iv) Where the account is showing debit balance.

5.5.1.5 Displaying List of Inoperative Accounts/ Unclaimed Deposits

- (i) As a general pro-active measure, banks are required to display on their respective websites the list of accounts which are inactive/ inoperative for ten years or more.
- (ii) It must contain only the names of the account holder(s) and her address. In case of entities, the names of individuals authorised to operate the accounts should also be indicated.
- (iii) No other details should be included in the list.
- (iv) The information on the process of claiming the unclaimed deposit /activating the inoperative account and the necessary forms and documents for claiming the same should also be given.

5.5.2 The Depositor Education and Awareness Fund

In 2014, RBI has established ‘The Depositor Education and Awareness Fund (the Fund)’ (DEAF) under the provisions of Banking Regulation Act. The banks are required to transfer the credit balance in any account or any deposit in a bank remaining unclaimed or inoperative for ten years or more to the fund.

- (a) savings bank deposit accounts;
- (b) fixed or term deposit accounts;
- (c) cumulative/recurring deposit accounts;
- (d) current deposit accounts;
- (e) other deposit accounts in any form or with any name;
- (f) cash credit accounts;
- (g) loan accounts after due appropriation by the banks;
- (h) margin money against issue of Letter of Credit/Guarantee etc., or any security deposit;
- (i) outstanding telegraphic transfers, mail transfers, demand drafts, pay orders, bankers cheques, sundry deposit accounts, vostro accounts, inter-bank clearing adjustments, unadjusted National Electronic Funds Transfer (NEFT) credit balances and other such transitory accounts, unreconciled credit balances on account of Automated Teller Machine (ATM) transactions, etc.;
- (j) undrawn balance amounts remaining in any prepaid card issued by banks but not amounts outstanding against travellers cheques or other similar instruments, which have no maturity period;
- (k) rupee proceeds of foreign currency deposits held by banks after conversion of foreign currency to rupees in accordance with extant foreign exchange regulations; and
- (l) such other amounts as may be specified by the Reserve Bank from time to time.

This fund is intended to be used for the purpose of education. Salient aspects of this scheme are:

- (i) The amount is credited to the Fund, within three months from the expiry of ten years.

- (ii) The Fund is utilized for promotion of depositors' interest as specified by RBI from time to time.
- (iii) The depositor is entitled to claim from the bank his/her deposit or any other unclaimed amount or operate the account, even after the amount has been transferred to the Fund.
- (iv) The bank will pay the amount to the depositor/claimant and claim refund of such amount from the Fund.

In case of Foreign Currency Deposits that remain unclaimed RBI has advised to crystallise the deposits, that is convert the credit balances into Indian Rupee. The following provisions should be followed:

- (i) For deposits being inoperative for three years from the date of maturity, the conversion to be at the end of the third year, at the exchange rate prevailing as on that date.
- (ii) For deposits with no fixed maturity period being inoperative for three years (debit of bank charges not to be reckoned as operation), after giving a three month notice at the last known address of the depositor as available, the conversion to be at the end of the notice period at the prevailing exchange rate.
- (iii) The depositor can claim the amount (with the accrued interest) either in Indian Rupee or the foreign currency equivalent (at the rate prevalent as on the date of payment).
- (iv) If amount had been transferred to Fund, banks shall repay the customer/ depositor, along with interest if applicable, and lodge a claim for refund from the Fund for an equivalent amount.
- (v) The interest, from the Fund on a claim shall accrue only from the date on which the balance was transferred to the Fund to the date of payment to the customer/depositor
- (vi) The rate of interest payable by banks to the depositors/ claimants on amount transferred to the Fund shall be 3.0 % simple interest p.a. w.e.f. 11th May 2021.
- (vii) The banks shall be entitled to claim refund of the eligible amount from the Fund, in Indian rupees only.

5.5.3 Weeding out Unremunerative/ Undesirable Accounts

Unremunerative accounts are the accounts in which balances quite often fall below the minimum balance prescribed and/or the accounts which have been opened and maintained with very meager balance just to avail other facilities like purchase of DDs etc. Undesirable accounts are the accounts wherein cheques are often drawn for amounts in excess of balance available and without any arrangement, which results in return of many cheques.

It is advisable that bank sends notices to such customers maintaining such accounts informing them the intention of the bank to close such accounts, and should not issue fresh cheque books. At the time of closing such accounts, the bank must take all steps to collect unused cheque leaves/books from such customer. Constant vigil should be kept on undesirable accounts to ensure that no cheque is inadvertently passed when there are no sufficient funds.

5.6 OPERATIONAL INSTRUCTIONS IN JOINT ACCOUNTS

The modes of operations on joint accounts can vary depending on the needs of the customers. Typical modes of operations in case of joint accounts are explained below:

- (i) **“Jointly” without survivorship clause:** The account is operated jointly by all the account holders. As there is no survivorship clause, in the event of death of one of the account holders her right on the funds passes on to the legal heirs of the deceased. Hence, the operations in the account should be stopped and the balance is payable to the survivors and the legal heirs of the deceased holder.

- (ii) **“Jointly or Survivors”**: Such account is operated jointly by all the account holders. The mandate given is that in the event of death of any of the holders, the surviving holders have the right over the account. Hence, the survivor/s can be allowed to continue to operate the account or the balance in the account can be paid to the survivor/s.
- (iii) **“Either or Survivor” (E or S)**: This modality is used for an account opened in the names of two persons. The account can be operated by either of them. In the event of the death of one of them, the survivor can be allowed to operate this account or the balance in the account can be paid to the survivor.
- (iv) **“Anyone or Survivor” (A or S)**: This modality is used when an account is opened by more than two persons, and is to be operated by any one of them. In the event of death of one of the holders, the right to operate the account rests with the survivors, but jointly. A fresh mandate has to be obtained from all the survivors, if the account is continued to be operated as “E or S”, or as “A or S”. Alternatively, the amount can be paid jointly to all the survivors, or on their mandate to any one of them. On the death of all except one of the account holders the balance in the account is payable to the lone survivor.
- (v) **“Former or Survivor” (F or S)**: This modality is used for an account opened in the names of two persons. Such account can be operated by the first holder during her lifetime. In the event of the death of the first holder, the survivor can operate the account. The balance in the account is payable to the survivor, if desired by her.
- (vi) **“First named or Survivors”**: This modality is used for an account opened in the names of more than two persons. Such account can be operated by the first holder during her lifetime. In the event of the death of the first holder, the survivors can jointly operate the account. They may, if they so desire, give a fresh mandate for future operations. Alternatively, the amount can be paid jointly to all the survivors, or on their mandate to any one of them. On the death of all except one of the account holders the balance in the account is payable to the lone survivor.
- (vii) **Variations in Instructions**: Any variation in the instructions given at the time of opening the account can be made only if it is authorised by all the account holders jointly.
- (viii) **Revocation of Instructions**: Original authority relating to the operations of joint accounts as well as the survivorship clause may be later on revoked by anyone of the joint account holder. In such cases, further operations in the accounts are permitted only if authorised by all the joint holders or as per fresh operations instructions given by all the joint holders.
- (ix) **Modifications in mode**: If any change is required in operational instructions by any one or more of the account holders, request for such modification should be signed by all the account holders.
- (x) **Stop Payment Instructions for a Cheque**: Any joint holder can stop the payment of a cheque issued by any other joint account holder.
- (xi) **Incapacity of a Joint Holder**: The instructions for operations in the account will stand countermanded in cases of insanity, insolvency of any of the joint holders and operations in the account will be stopped. Also, in case of insolvency or insanity of the depositor the mandate stands cancelled and cheques signed by such person should not be paid after notice of insolvency or insanity.
- (xii) **Closure of Account**: A joint account can be closed only at the request of all the joint holders, unless warranted by any other situation.
- (xiii) **Mode of Operation not Specified**: When opening a joint account, clear operating instructions on the account opening form must be insisted upon. However, if it is detected that no operating instructions have been given on the form, such account must be opened with “Jointly” mode. Separate request signed by all the joint holders may be obtained for the mode of operations desired by them.

- (xiv) **Held Jointly with a NRI:** As stated in Unit 4, joint accounts of residents with a NRI close relative are permitted, subject to following norms:
- The joint holder should be 'NRI' as per FEMA Regulations and should be a 'relative' as per the Companies Act 2013.
 - This facility is available for all types of deposit accounts.
 - Such accounts are treated as resident bank accounts.
 - The mode of operation must be 'Either or Survivor'.
 - Cheques, instruments, remittances, cash, card or any other proceeds belonging to the NRI shall not be credited to this account.
 - The NRI close relative shall operate such account only for and on behalf of the resident for domestic payment and not for creating any beneficial interest for himself.
 - If the non-resident account holder becomes the survivor the account shall be categorized as NRO account.

5.6.1 Rules for Claim of Deposit in Account of Deceased Constituent (Next stanza)

The claim handling process for the account of a deceased constituent will largely depend on the availability of nomination, especially for a single depositor.

- (a) On the death of any of the joint account holders, the survivors are entitled to the whole amount.
- (b) Nominee can be paid the balance if all the joint account holders die.
- (c) A deposit made by a Hindu of his money jointly with his wife or any other person, payable to either or survivor, does not, on his death, constitute a gift by him to the other person. The deposit amount in the absence of anything to the contrary, should be presumed to belong to the husband and should therefore pass on to the legal heirs of the husband, including the wife who is the survivor.
- (d) On the death of depositor or one of the depositors in case of joint accounts the mandate regarding the operations of his account should be treated as cancelled and cheques signed by him/her after the notice of death should not be paid.
- (e) If the savings account of the deceased does not have a nominee registered and is not a joint account, then the bank will consider paying the money to the legal heirs.

5.6.2 Conversion of Accounts – Single into Joint and Joint into Single

- (a) To convert an existing single account into a joint or 'E or S' account, a letter from the existing account holder stating the purpose of converting into joint account, the relationship with the proposed joint holders, and attesting the specimen signature of the new person(s) has to be obtained. In respect of the new persons whose names are being added, the required KYC form and OVDs will also need to be obtained.
- (b) In case a customer having a joint account with the bank intends to convert the same into a single account in her own name, it is desirable to close such account by getting necessary instructions from all the existing account holders and then open a new account in the name of the person in whose name the account is to be continued.

5.7 NOMINATION FACILITY

The Banking Regulations Act, 1949 was amended by section 37 of the Banking Laws (Amendment) Act, 1983 by introducing new sections 45 ZA to ZF which provide, inter alia, for nomination facilities to Banks' customers in respect of deposit accounts, safe deposits, and safe vault lockers. The relevant

rules framed by the central government with reference to the above sections are termed “The Banking Companies (Nominations) Rules 1985”.

Bank depositors, who are individuals, can make nominations for all types of deposits. They can also change the nominees, or cancel any nomination as and when they wish to do so. In case of deposits in joint names the mandates should be given by all the joint holders of deposits. Following specific formats have been prescribed for nominations for deposits with banks:

Form DA-1 – for making nominations by the depositors.

Form DA-2 – for cancellation of the said nominations to be made by the depositors.

Form DA-3 – for variations of the said nominations to be made by the depositors.

The deposits in the name of individuals in their personal capacity and in the name of sole proprietary concerns can only be the subject of nomination. There cannot be nomination in respect of deposits held by the individual in his fiduciary capacity with the exception of sole proprietary concern. In case the depositor is a minor the nomination shall be made by a person legally competent to do so.

5.7.1 Salient Features

- (i) The nominee shall on the death of the sole depositor or all depositors, as the case may be, becomes entitled to receive the money in the account of the depositor(s).
- (ii) Nominations are not permitted in respect of deposits held in any representative capacity such as, director of a company, secretary in an association, partner of a firm, Karta of a Hindu undivided family etc.
- (iii) All customers (new and existing) should be made aware of this facility, and persuaded to give nominations at the time of opening the accounts.
- (iv) If any customer does not wish to make nomination for any personal reasons, an endorsement may be made in the Nomination form.
- (v) In respect of Term Deposits, the nomination made will continue to be valid after renewal of that deposit.
- (vi) Nomination can be given only in favour of an individual. If the nominee is a minor, the person nominating should appoint another person who is not a minor to receive the money on behalf of the minor, in case of need.
- (vii) Only one individual can be made a nominee for a particular deposit account. However, in case of safe deposit lockers/ safe custody articles more than one nominee can be appointed.
- (viii) Where the depositor has more than one deposit account, separate nominations in respect of each deposit account must be made.
- (ix) Where the depositor wishes to nominate more than one person for a single deposit, the depositor may be permitted splitting of the deposit in proportion desired by him/her, subject to the period and aggregate amount of the deposit not undergoing any change as a result of such splitting. Such a splitting will not amount to foreclosure and will not attract penalty.

5.7.2 Nomination for Pension accounts

- (a) Nomination may be made by the pensioner in the account to which his pension amount is credited. Pension can also be credited to the Joint account of Central/ State Govt. Pensioner with his/her spouse in whose favour an authorization for family pension exists in the Pension Payment Office.

- (b) In case the pensioner has given nomination under “Arrears of Pension (Nomination) Rules, 1983”, which will be applicable only for payment of pension arrears, it is in favour of Government for payment of arrears after the death of the pensioner.
- (c) The nomination obtained for the bank account [under Banking Companies (Nomination) Rules, 1985] of the pensioner is to cover the credits already made into the account of the pensioner before the death of the pensioner. Banks must persuade the pensioners to give separate nomination/s i.e. apart from the one given for arrears of pension.

5.7.3 Who Can Nominate

- (i) Accounts in the name of an individual: The sole account holder should nominate.
- (ii) Accounts in the joint names of two or more individuals: All the joint account holders must jointly nominate only one person, irrespective of the operational instructions.
- (iii) Accounts of minors operated by guardian: Nomination should be made by the guardian authorised to operate the account.
- (iv) Accounts of minors jointly with the guardian: Nomination should be made by the guardian both on behalf of the minor and the guardian himself.
- (v) Accounts operated by minor himself: Minor cannot nominate. Nomination can be made by the person lawfully entitled/empowered to act on behalf of the minor.
- (vi) NRO/ NRE Accounts: Nominations can be made in the manner stated above.

5.7.4 Who can be Nominated

- (i) Any individual, who is a resident of India, in his personal capacity, named by the depositor.
- (ii) A minor - represented by the guardian (natural or appointed by Court) or another adult person.
- (iii) A non-resident Indian.
- (iv) A foreign national of Indian origin.
- (v) A foreign national of non-Indian origin.

Remittance of funds from the account of a deceased depositor to the non-resident nominee will be subject to the ‘FEMA Regulations’, prevailing at the time of remittance.

5.7.5 Cancellation or Variation of Nomination

A nomination can be changed or cancelled by the depositor(s) any time during the currency of the deposit. Instructions should be given in the prescribed Forms.

For deposits in joint names, these forms should be signed by all the depositors/ surviving depositors.

The nomination is in force even when a deposit is renewed, unless a fresh nomination is made.

5.7.6 Some Clarifications

Under no circumstance a Nominee be permitted to become the depositor of the account.

The role of a nominee is only to receive the proceeds of the deposit in the event of death of the depositor(s), and on payment of the deposit amount to the nominee even if any objection is raised by the legal heirs/ claimants, except where court orders restraining such payment/delivery are obtained, the bank gets a good and valid discharge. The nominee does not get the ownership right by virtue of nomination, but is in the position of a trustee on behalf of the legal heirs or the beneficiaries of a will, and is responsible to account for the money to these persons. No loan can be granted to a nominee against the deposit of the deceased depositor(s).

5.7.7 Death of a Customer/ Missing Customer

An announcement of death of a customer of the bank in a newspaper/production of a death certificate or report from a reliable person, etc., is sufficient notice to the bank to act upon. The fact should be recorded in the system with the date and source of information. On receipt of notice/ information of death or insolvency or insanity of a customer, the bank must ensure that no further payment out of the account is allowed. Even the cheques dated prior to the date of death/insolvency/insanity when presented after receipt of such notice/ information should not be paid.

A claim from the legal heirs/ the nominee of a missing customer should be handled carefully. Banks should formulate a policy for settling such claims, based on the legal opinion and avoiding inconvenience and undue hardship to the common person. Suitable threshold limit may be fixed for such claims to be settled without insisting on production of any document other than (i) the FIR and the non-traceable report issued by police authorities, and (ii) a letter of indemnity. The settlement of claims in respect of missing persons is governed by the provisions of Sec. 107/ 108 of the Indian Evidence Act, 1872 dealing with presumption of continuance and presumption of death respectively. Death can be presumed only after a lapse of seven years from the date when reported missing. The nominee/ legal heirs have to raise an express presumption of death of the depositor before a competent court, and obtain court order to that effect, based on which the bank can settle claims for deposits of such person.

5.8 OTHER OPERATIONAL GUIDELINES

5.8.1 Statements of Account/Pass Books

With core banking system statements for CA and SB accounts are issued centrally, Banks have generally discontinued issuing passbooks.

5.8.1.1 Issuance of Passbooks to Savings Bank Account Holders (Individuals)

A passbook contains particulars of all transactions, is handy and compact. It is therefore more convenient to the small customers than a statement of account. Use of statements has inherent difficulties, viz.

(a) these need to be filed regularly, (b) the opening balance needs to be tallied with closing balance of preceding statement, (c) possible loss of statement in postal transit, (d) obtaining duplicates has a cost and is inconvenient, (e) ATM slips do not provide a satisfactory solution as full records are not given, and (f) large number of small customers do not have access to computers/ internet, etc. Banks should invariably offer pass book facility to all its SB account holders (individuals). Where the customer chooses to get statement of account, the banks must issue monthly statement of accounts. No charges should be recovered for any of these.

5.8.1.2 Updating Passbooks

Customers should be advised to get the pass-books updated regularly at frequent intervals. If pass-books are held back for updating, because of large number of entries, paper tokens should be issued indicating the dates of receipt and when to be collected.

5.8.1.3 Entries in Passbooks/ Statements of Account

Banks should ensure entry of correct and legible particulars in the pass books and statements of account. Often the entries in passbooks/ statements of account state “by clearing” or “by cheque”. In the case of Electronic Clearing System (ECS) and RBI Electronic Fund Transfer (RBIEFT), no details are given. In some cases, computerized entries use codes which just cannot be deciphered. Such inscrutable entries should be avoided, and brief, intelligible particulars provided in passbooks / statements of account.

5.8.1.4 Maintenance of Savings Bank Passbooks - Precautions

To avoid fraudulent withdrawals due to misuse of passbooks held at the branches precautions should be taken: To accept and return the pass books against tokens; to be held in the custody of named responsible official; to be under lock and key. Passbook updating kiosks, for self updating by the customers, may be provided at branches placed in an area accessible round the clock like ATMs.

5.8.1.5 Providing Monthly Statements of Account

The statements of account must be sent at monthly periodicity, if required may be staggered, under advice to customers. Regular dispatch of account statements should be checked by the Inspecting officials.

5.8.1.6 Indication of Nomination in the Pass Book

For the convenience and information of the customers a legend ‘Nomination Registered’ may be indicated on the title page of the passbook.

5.8.1.7 Address/Telephone Number of the Branch in Pass Books/Statements of Account

Full address/telephone number of the branch must invariably be mentioned in the passbooks/statement of accounts.

5.8.1.8 Printing of MICR Code and IFSC Code on Passbook / Statement of Account

The Magnetic Ink Character Recognition (MICR) and the Indian Financial System Code (IFSC) of the branch must be mentioned in all passbooks/ statements of account in addition to the cheque leaf.

5.8.2 Issuing Cheque Books and Handling Cheques

5.8.2.1 Dispatching the Chequebook by Courier

The cheque book issuing activity (including their dispatch to the account holders) is centralised in most banks. This has several advantages especially in making this activity economical and efficient. However, the procedure of disallowing depositors to collect the cheque book at the branch and insisting on dispatching the cheque book by courier after forcibly obtaining a declaration from the depositor that this is at the depositor’s risk is an unfair practice. Banks should refrain from obtaining such undertakings from depositors. Banks should also ensure that cheque books are securely delivered to the depositors, when sent by courier.

5.8.2.2 Cheques Issued in any Language

All cheque forms should be printed in Hindi and English. The customer may, however, write cheques in Hindi, English or in a regional language.

5.8.2.3 Cheques Bearing a Date as per National Calendar (Saka Samvat)

Saka Samvat is the National Calendar of India, and all Government statutory orders, notifications, Acts of Parliament, etc. bear both the dates i.e., Saka Samvat as well as Gregorian Calendar. An instrument written in Hindi or having date as per Saka Samvat calendar is a valid instrument, and should be accepted by banks for payment, if otherwise in order. Banks can ascertain the Gregorian calendar date corresponding to the National Saka calendar in order to avoid payment of stale cheques.

5.8.2.4 Issue of Multicity/ Payable at All Branches Cheques by CBS Enabled Banks

In order to bring efficiency in the cheque clearing, all CBS enabled banks have been advised to issue only “payable at par” / “multi-city” CTS 2010 Standard cheques to all eligible customers without extra charges.

5.8.2.5 Payment of Cheques

Before posting a cheque in the account, the following must be verified:

- (i) *Cheque Leaf*: The cheque is from the drawer’s current Cheque Book.
- (ii) *Date of the cheque*: The cheque must not be post-dated or stale (i.e. not more than 3 months prior to current date).
- (iii) *Payee’s name*: This is filled up legibly.
- (iv) *Amount*: The amount written in words and figures match.
- (v) *Signature*: The cheque has been properly signed by the account holder/authorised person.
- (vi) *Authority*: In the case of business/companies/firms their rubber stamp (called as property) is affixed and authorised officials have signed.
- (vii) *Mode*: Whether the cheque is a bearer cheque or an order cheque. While paying a bearer cheque across the counter, the bearer’s signature should be obtained on the obverse of the cheque, along with her name and address (if the bearer is a person other than the account holder).
- (viii) *Account Balance*: Sufficient balance is available or overdraft arrangement is allowed to cover the presented cheque, after accounting for any other lien noted on the balance.
- (ix) *Alterations*: All the alterations, if any, on the body of the cheque, are duly authenticated by the drawer. Under CTS, alteration is not allowed.
- (x) *Stopped Cheque*: The account holder has not instructed for not making payment of the cheque presented.
- (xi) *Enforcement Actions*: There is no restriction due to instructions from legal authorities or Court like garnishee order, attachment order, etc.
- (xii) *Account holder’s status*: There is no notice/information of death/insolvency/lunacy of the account holder that prevent further operations in the account.
- (xiii) *Crossing*: The cheques which bear a crossing must be presented through any other banker.
- (xiv) *Home Cheques*: If the payee and the drawee have accounts with the same branch, it can be processed wholly at the branch itself.
- (xv) *Crossed Cheque – ‘A/c Payee Only’*: The proceeds are credited to the payee’s account only.
- (xvi) *Crossed Cheque – Payment in Cash*: If a crossed cheque has to be paid in cash, then the drawer has to cancel the crossing & write pay cash along with his signature.

5.8.2.6 Stop Payment of Cheques

A customer may sometimes, due to variety of reasons, require to prevent payment of a cheque issued by him earlier. For instance, if he has not received the promised goods or service. Or, he realizes that he has

been fooled into investing in a sham scheme. In such situations, the customer can instruct the drawee bank branch not to make payment of the cheque when presented, i.e. give ‘Stop Payment’ instructions. Whenever stop payment instructions are received from a customer it has to be processed promptly and carefully.

- (i) The time and date of receipt should be noted on the letter for ‘stop payment’.
- (ii) Immediately verify whether the subject cheque has been already paid.
- (iii) If the cheque is unpaid when stop payment instruction is received, all relevant particulars must be promptly entered into the system.
- (iv) Banks must not honour a cheque after receipt of clear stop payment instructions for the cheque from the customer. Failing to do so, the bank will be liable for making good the loss to the customer.

5.8.2.7 Revoking of Stop Payment

The drawer of the cheque can give written instructions for revoking the stop payment instructions and ask the bank to honour the cheque when presented. The bank can honour such a cheque on presentation. In the case of a joint account, all the authorised signatories have to sign the instructions for revoking.

5.8.3 Collection of Instruments

Collection of payment of cheques, drafts and such other instruments deposited by the account holders crediting the proceeds to their accounts is an important service for SB and CA accounts. For business entities with CA, often bills are received for collection and deposit of their proceeds to their accounts. Certain aspects relating to payment and collection of cheques are discussed here. Aspects related to cheque collection policy, delays in collection of cheques and lost cheques are discussed in section 6.3.

5.8.3.1 Purchase of Local Cheques, Drafts, etc., During Suspension of Clearing

If clearing house operations are suspended temporarily the customers may face hardship because the credits for the proceeds of cheques, drafts, etc., drawn on other banks are delayed. To minimise the inconvenience and hardship to the customers, and to maintain good customer service if it is apprehended that the suspension may be prolonged, banks may temporarily accommodate their constituents, both borrowers and depositors, to the extent possible by purchasing the local cheques, drafts, etc., especially cheques drawn by Government departments/companies of good standing and repute, as also demand drafts drawn on local banks. For this, banks should consider such factors as creditworthiness, integrity, past dealings and occupation of the customers, to guard themselves against any possibility of such instruments being dishonoured subsequently.

5.8.3.2 Cheque Drop Box Facility

Both the drop box facility and accepting the cheques at regular collection counters should be made available to the customers and no branch should refuse to give an acknowledgement if the customer tenders the cheques at the counters. Banks should invariably display in bilingual/ trilingual on the cheque drop-box itself that “Customers can also tender the cheques at the counter and obtain acknowledgment on the pay-in-slips”. Banks must have fool proof arrangements accounting for the number of instruments each time the box is opened so that there are no disputes and the customer’s interests are not compromised. Several banks have also provided cheque deposit machines at branches placed in an area accessible

24 × 7. These facilitate customers in depositing cheque at any time convenient to them, and also avoids crowding during banking hours.

5.8.3.3 Technical Return Cheques

Banks must levy cheque return charges only in cases where the customer is at fault and is responsible for such returns, and not when these are returned for certain technical reasons for which the customer is not responsible. In cases where the cheques need to be re-presented without any recourse to the payee, such re-presentation should be made in the immediate next presentation clearing not later than 24 hours (excluding holidays) with due notification to the customers of such representation through SMS alert, email etc.

5.8.3.4 Returning Dishonoured Cheques

The dishonoured instruments should be returned / despatched to the customer promptly without delay, within 24 hours. The paying bank should return dishonoured cheques presented through clearing houses strictly as per the return discipline prescribed for respective clearing house in terms of Uniform Regulations and Rules for Bankers' Clearing Houses (URRBCH). The collecting bank on receipt of such dishonoured cheques should despatch it immediately to the payees / holders. For cheques presented to the paying bank for transfer between two accounts with that bank, it should return such dishonoured cheques to payees/ holders immediately. The paying banks should clearly indicate the return reason code on the return memo / objection slip which should also bear the signature / initial of the bank officials as prescribed in Rule 6 of URRBCH.

5.8.3.5 Frequent Dishonour of Cheques of Value ₹1 crore and Above

For financial discipline among the customers, banks must put a condition that in the event of dishonour of a cheque valuing ₹1 crore and above on four occasions during the financial year for want of sufficient funds in an account, no fresh cheque book would be issued for that account. Also, the bank may consider closing the current account at its discretion. For advances accounts, the need for continuance or otherwise of these credit facilities and the cheque facility should be reviewed by appropriate authority higher than the sanctioning authority. After a cheque is dishonoured for a third time during the financial year, a cautionary advice should be sent to the customer drawing his attention to aforesaid condition and consequential stoppage of cheque facility if fourth incident of dishonor happens during the financial year. Similar cautionary advice may be issued if a bank intends to close the account.

5.8.3.6 Frequent dishonour of cheques of value of less than ₹1 crore

Banks must have a Board approved policy for dealing with frequent dishonour of cheques of value of less than ₹1 crore. The policy should also deal with matters relating to frequent dishonour of ECS mandates.

5.8.3.7 Providing documentary Proof of Dishonoured Cheque

For the purpose of adducing evidence to prove the fact of dishonour of cheque on behalf of a complainant (i.e., payee / holder of a dishonoured cheque) in any proceeding relating to dishonoured cheque before a court, consumer forum or any other competent authority, banks should extend full co-operation, and should furnish him/her documentary proof of fact of dishonour of cheques.

5.8.3.8 Dealing with Dishonoured Cheques

Banks should adopt appropriate procedure and internal guidelines for dealing with dishonoured cheques with inherent preventive measures and checks to prevent any scope for collusion of the staff of the bank or any other person, with the drawer of the cheque for causing delay in or withholding the communication of the fact of dishonour of the cheque to the payee/ holder or the return of such dishonoured cheque to him.

5.8.4 Standing Instructions

The customers of the bank can instruct the bank under their signature to carry out certain transactions on recurring basis at fixed periodicity like:

- (a) Transferring amount from SB A/c to RD A/c
- (b) Transferring interest on TD to SB A/c or any other A/c
- (c) Transferring amount from SB A/c to a loan account
- (d) Payment of Insurance Premium, etc.
- (e) Payment of utility bills (like electricity, gas, mobile, etc.), taxes, rent, school/ college fees, etc.

Standing instructions should be freely accepted on all CA and SB..

5.9 ATTACHMENT ORDERS

5.9.1 Garnishee Order

Garnishee order is an attachment order issued by a Court under order 21, Rule 46 of Civil procedure code, that is obtained by the judgment creditor attaching the funds belonging to a judgment debtor in the hands of latter's debtors, including a bank (the Garnishee).

A garnishee order served on a bank attaches the credit balance in the account of the customer named, to the extent specified in the order. If no amount is specified, the order attaches all sums owing and accruing to the customer as on the date and time it is served and received by the bank. Cheques presented after service of the garnishee order should be returned with the remark 'Refer to Drawer'. The service of the *garnishee order nisi* is the preliminary proceedings of a Court. This is to be followed by subsequent proceedings of a Court to make it absolute, when it is called *garnishee absolute*. The order applies only to the balance in the account of the customer (i.e. amount accruing due or payable to the customer) at the time of receipt of the order.

Do's and Don'ts under Garnishee Order

- (i) *On Receiving*: Time and date of receipt of Garnishee order must be recorded in the System.
- (ii) *'Order NISI'*: The Court may issue such Garnishee order in two parts. First order called as "Order NISI" will be seeking the explanation of the bank why the balances in the accounts of the 'judgment debtor' with the bank should not be attached and utilized towards settlement of dues to the 'judgment creditor'.
- (iii) *Action on Order NISI*: On receipt of "Order NISI" the bank must immediately stop payments out of the affected accounts, and also inform the customer about this court order and the fact that the bank could not allow any payment/ withdrawal from the account till the Court issues revised orders. On receipt of the second order of the Court which is called "Order Absolute" the bank will have to remit the attached funds to the Court out of the account of the 'judgment debtor' with the bank.

- (iv) *Transfer to Suspense Account*: With a view to ensuring that no payment by oversight is made out of such account [for which Garnishee order (i.e. order NISI) has been received by the bank] it is always desirable to transfer the attached amount [from such attached accounts] to a suspense account. Blocking of the amount in the customer's account is an alternative.
- (v) *Amount not Adequate*: If the amount available in the attached account is less than the amount indicated in the Court order the amount so available must be transferred to suspense account/blocked, and if no specific amount has been mentioned in the Court order the entire balance available in the account must be transferred to suspense account/blocked.
- (vi) A Garnishee order in the name of an individual will not attach the account operated by the said customer as an Executor/ Administrator.
- (vii) *Payments of cheques*: In case of cash payment of cheques, if order is received after debit to the account, but before the payment of cash, better course would be to refuse payment, with appropriate reason indicated for non-payment. In the case of cheques received in clearing, if the order is received before the stipulated returning time of clearing, then, the cheques must be returned. If the transfer of amount is done internally in another customer A/c the credit can be cancelled and cheque be returned unpaid, provided the other customer has not been advised of the credit.
- (viii) *Right to set-off*: When a bank has a prior right to set-off, then the bank is not bound by the garnishee order. Where lien is marked on fixed deposit receipts, it cannot be attached by a garnishee order. However, the fact of 'right to set-off' has to be intimated to court and the order must be vacated. It should be noted that any excess over the lien marked is attachable by the garnishee order.
- (ix) *Uncleared effects and subsequent credits in a/c*: Credits received subsequent to garnishee order are not attachable because debts due or accruing at the time of receipt of order are only attachable. However, in case where there is an agreement for withdrawal by the customer of unrealised credits, such amounts are attachable. The portion of loan facilities not yet drawn cannot be considered as monies as it does not constitute a debt at all and as such cannot be garnished.
- (x) *Joint accounts*: When a garnishee order is in a single name and the customer/s account is in joint names (husband and wife, two brothers, mother and daughter or two friends) with the operation clause 'either or survivor', the monies lying in such account cannot be attached. Such a Garnishee order specifying only one of the joint account holders does not bind other joint holders and the Court must be approached for withdrawal of such order. However, if the amount is payable to former or survivor, it can be attached even though the garnishee order is in the former's name only. This is because; the money is a debt due and accruing to the former in his lifetime and to the survivor only after the death of the former. However, if the order specifies all the joint account holders, such order will attach not only the balance in the joint account but also the balances in the individual accounts of the joint account holders.
- (xi) *Trust accounts*: The outstanding amount in a trust account cannot be attached, if the judgment – debtor has deposited the money as a trustee.
- (xii) *Partnership accounts*: The personal account of a partner can be attached for the firm's debt because partners are jointly and severally liable for the firm's debts. The firm's account cannot be attached for individual debts of the partners.
- (xiii) *Liquidator*: When a company is the judgment – debtor, an order attaching the accounts of the liquidator, cannot be passed as the money does not belong to the company but to the liquidator.
- (xiv) *Inaccurate Name*: When the garnishee order does not name the customer correctly or with sufficient accuracy, to enable the bank to identify the account in its books, the bank is not bound to act upon it and is not responsible for passing cheques till the order is amended.

- (xv) *Multiple Accounts*: In case where the customer is having more than one account in the bank's branch, where one is in debit and the other is in credit, the net result if in credit can be attached.
- (xvi) *Contingent Liabilities*: The bank cannot appropriate the credit balance towards the contingent liabilities of the customer, when a garnishee order is served.
- (xvii) *Balances out of India*: Balances held outside India cannot be attached.

5.9.2 Other Attachment Orders

Other attachment orders are normally issued by competent authorities like Income Tax Dept./ GST authorities, Enforcement Directorate, National Investigation Agency, PF/ Employees State Insurance authorities, etc. On receipt of such attachment orders, the fact should be noted in the System with date & time of receipt of such order. The Do's and Don'ts listed in case of Garnishee order are mostly applicable to handling of attachment orders also. There are certain distinctions in respect of attachment orders issued by the Income Tax officers.

Attachment Orders under The Income Tax Act, 1961. The attachment orders issued by the Income tax Officers under this Act lays down certain procedures regarding recovery of tax from the assessee in default. Under Sec. 226(3) of the Act, the Income Tax Officer may, by a notice in writing, call upon any person (including a banking company), from whom money is due or may become due to the assessee or any person who holds or may subsequently hold money for, or on account of the assessee to pay to the Income Tax Officer either immediately or upon the money becoming due, so much of the money as is sufficient to satisfy the tax due from the assessee.

The order of the ITO may attach:

- (a) Any debt due and payable;
- (b) Debts due but not payable on the date of receipt of the notice; and
- (c) Any amount received subsequently.

Account holder must be informed through Registered post (and other modes) about receipt of such attachment order, and that the attached amount has been set aside by the bank. It should also be advised that the same could be released to the account holder only if she is able to get orders from the authority concerned withdrawing the attachment order and produce to the bank.

If the attached amount is lying in a CA/SB, the amount must be transferred to suspense account or block the amount. If the attached amount is in TD, a noting in the System should be made - "Under Attachment by IT/Commercial Tax Authorities". No foreclosure of such attached TD should be allowed, similarly, no loan against such attached TD should be sanctioned.

If the bank holds amount of the assessee jointly with any other person the shares of the joint holders in such account shall be presumed, until the contrary is proved, to be equal and this amount is to be attached.

5.10 PROCEDURE FOR SUBMISSION OF RECORDS TO STATUTORY AUTHORITIES

Whenever orders are received in writing from the Court/ IT Authorities/ Police Department in criminal cases calling for certain records, the bank has to necessarily produce such records. In all such cases when the originals are submitted, copies of the same should be retained. Notice received from the above mentioned authorities will have to be retained in a separate file. Acknowledgements received from them relating to the records furnished by the bank have also to be retained in the same file. Originals as and when returned to the bank must be replaced in the records.

5.11 LET US SUM UP

Banks have different types of deposit products to meet the needs of different types of customers, broadly of two categories viz. demand deposits and term deposits. Various types of deposits have distinguishing features related to the mode of operations, interest payments, etc. Within the basic norms for each type of deposit, banks have designed various deposit products.

Banks also raise deposits through CDs. These are transferable deposits and are traded in secondary market. These are not subject to the interest norms applicable to bank deposits.

Banks have freedom to fix the tenor, interest rate, and mode of interest payment for various products, subject to certain norms laid down by the RBI. No interest can be paid on CA Interest rate on other types of deposits should be transparent, applied uniformly for the deposits of same category, varied only based on the amount and tenor, and not be a matter of negotiation with a customer. Interest is to be computed on quarterly basis. There are prohibitions in connection with incentives for raising deposits.

Inoperative accounts and unclaimed deposits are potentially of high risk of being used by criminals or withdrawn fraudulently by fraudsters. Proactive measures are to be taken by banks to contact the respective customers to get the accounts reactivated, and payment of unclaimed deposits. For use of huge amount of unclaimed deposits lying with banks unclaimed for over ten years a 'Depositor Awareness and Education Fund (DEAF) has been created by RBI. In case of subsequent claims made by any depositor, the amount is withdrawn from DEAF to settle the dues to the depositor. Banks also need to take steps for weeding accounts that pose high frauds risk, and that are lying dormant not being used by the customer and are not remunerative to the bank.

Deposits or accounts of individuals are often made in joint names of two or more individuals, with different modes of operations viz. Jointly without survivorship clause, Jointly or Survivors, Either or Survivor, Anyone or Survivors, Former or Survivor, First named or Survivors, etc. Nomination facility is available for bank accounts, safe custody facility, and safe deposit lockers.

Orders which are issued by the courts, for recovery of certain debts, payable by the bank's customer on behalf of the creditor, are called garnishee orders. When similar orders are issued by the revenue authorities, viz., income tax or commercial tax authorities, they are called attachment orders. Banks are required to observe certain precautions while dealing with the garnishee/ attachment orders. Law enforcement authorities/ Courts may call for certain records/ information under the powers vested in them. Such requisitions should be promptly complied with.

5.12 KEYWORDS

Demand deposits, Term/fixed deposits, Recurring deposits, Hybrid deposits, Nomination, Inoperative/ dormant account, Certificate of Deposit, Annuity Deposit, DEAF, BSBD, Attachment Order, Garnishee Order, Standing Instructions, Stop Payment, Judgment – debtor, Judgment – creditor.

5.13 CHECK YOUR PROGRESS

1. A current account cannot be operated by _____.
 - (a) women
 - (b) an individual
 - (c) an illiterate persons
 - (d) a non-resident

2. A minor aged _____ years or more is allowed to operate a savings bank account independently.
(a) 12 (b) 8
(c) 15 (d) 10
3. For a safe deposit locker a customer can make _____ nominee(s).
(a) only one (b) four
(c) more than one (d) two
4. Interest rate on fixed deposits can be different on deposits _____.
(a) in rural areas (b) of different tenor
(c) of individuals (d) of women
5. Banks cannot pay interest on _____.
(a) accounts attached by ED (b) unclaimed deposits
(c) accounts frozen by them (d) current accounts

5.14 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c), 2. (d), 3. (c), 4. (b), 5. (d).

(Sources: Various RBI Circulars and Others)

UNIT 6

OPERATIONAL ASPECTS OF HANDLING CLEARING/ COLLECTION/CASH

STRUCTURE

- 6.0 Objectives**
- 6.1 Introduction**
- 6.2 Cheque Truncation System (CTS)**
 - 6.2.1 CTS – Concept
 - 6.2.2 Characteristics of CTS
 - 6.2.3 CTS – Benefits
 - 6.2.4 Approach to CTS
 - 6.2.5 CTS – Process Flow
 - 6.2.6 CTS – Differences for Banks and Customers
 - 6.2.7 CTS – Cheque Images
 - 6.2.8 CTS – Positive Pay System
- 6.3 RBI Guidelines on Collection of Instruments**
 - 6.3.1 Formulating Cheque Collection Policies
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 - 6.3.4 Cheques/ Instruments Lost in Transit/ in Clearing Process/ at Paying Bank's Branch
 - 6.3.5 Bills for Collection
 - 6.3.6 Payment of Interest for Delays in Collection of Bills
- 6.4 Cash and its Custody**
- 6.5 Security Arrangements at Branches and ATMs**
- 6.6 Let Us Sum Up**
- 6.7 Keywords**
- 6.8 Check Your Progress**
- 6.9 Answers to 'Check Your Progress'**

6.0 OBJECTIVES

After studying this Unit, you will:

- Understand handling of cash at branches
- Know security measures at branches
- Learn cheque collection policies
- Know cheque truncation system (CTS) clearing

6.1 INTRODUCTION

Some important operations at a bank branch pertain to cash, collection of local and outstation instruments and remittances on behalf of the customers. Cash transactions occupy an important place and every branch has to deal with custody as well as inter office movement of cash, involving the aspects of security, misappropriation and frauds. Some banks have introduced certain products that do not permit the customers to deposit cash over the counters, but only at ATMs. Such restrictions tantamount to curtailing a basic function of banks, i.e. accepting deposits. This may also be viewed as an unfair practice..RBI has advised against such practices.

Customers also lodge instruments, payable locally or at outside centres, like cheques, drafts, pay orders, trade bills, dividend and interest warrants, NSCs, postal orders, term deposit receipts, tax refund orders, etc. for collection of their proceeds.

In the past, clearing houses were operated at local level that were managed by RBI, State Bank of India or any other bank nominated by RBI. The accounts of all member banks were maintained at the nodal branch of the bank managing the clearing house.

Speed Clearing, utilising the Core Banking Solutions (CBS), was introduced for improving the efficiency in collection of outstation cheques, avoiding the need for movement of cheques to the outstation centres.

In the front office of a bank, the nature of banking activities makes it imperative to handle large number of transactions involving cash and clearing. The front office staff should be aware of the operating instructions regarding these activities. The instructions are not common across all banks and may vary from bank to bank. Certain rules/ guidelines stated here are in the context of manual systems of record keeping and communication. These have largely been replaced by IT applications, except very few manual registers continuing at the branch level. The basics however apply mutatis mutandis in the electronic environment, for instance cash registers may be maintained in the CBS or another application.

6.2 CHEQUE TRUNCATION SYSTEM (CTS)

RBI introduced Cheque Truncation System (CTS) for inter-bank clearance of cheques without their physical movement. The cheques are paid based on their electronic images. With suitable amendments to The Negotiable Instruments (NI) Act, 1881, The Information Technology (IT) Act, 2000 and The Bankers' Book Evidence (BBE) Act, 1891, the legal framework for cheque truncation and e-chewues was put in place, in 2002. CTS was introduced with effect from February 1, 2008, and is now fully operational. The MICR-based cheque processing has been discontinued.

6.2.1 CTS – Concept

Truncation is the process of stopping the flow of the physical cheque by the presenting bank en-route to the paying bank branch. Instead, an electronic image of the cheque is transmitted to the paying

branch through the clearing house, along with relevant information like data on the MICR band, date of presentation, presenting bank, etc.

The NI Act defines a truncated cheque to mean “*a cheque which is truncated during the course of a clearing cycle, either by the Clearing House or by the bank, whether paying or receiving payment, immediately on generation of an electronic image for transmission, substituting the further physical movement of the cheque in writing*” (Sec. 6 of the NI Act, 1881).

6.2.2 Characteristics of CTS

- (a) It is an electronic image of a paper cheque.
- (b) Only the banks involved and the Clearing House can truncate a cheque (i.e. create an electronic image of a cheque). The drawer/holder of a cheque cannot truncate a cheque.
- (c) The electronic image of the ‘cheque truncation’ substitutes the physical cheque from the point and time of truncation onwards.
- (d) Truncation is done only during the course of a clearing cycle to reduce the time taken for realisation.
- (e) The paper cheque, after truncation, is kept in the custody of the bank/clearing house that truncated the cheque.
- (f) The addition of the digital signature of the truncating bank/Clearing House to the electronic image of the cheque truncation is optional.

6.2.3 CTS – Benefits

CTS obviates the need to move the physical instruments across bank branches, other than in exceptional circumstances. It benefits the entire system as a whole, bodies the banks and the customer.

For banks, it provides significant cost savings through consolidation of clearing locations into a few grids reducing the investment and AMC costs on MICR machines, and also obviating the need for inward cheque processing infrastructure at various clearing locations. It has also reduced the liquidity requirements by consolidating several clearing locations. It has eliminated MICR amount encoding, and reconciliation differences, as both MICR and Image data travel together. No risk of cheques being lost/tampered/pilfered, or of any manipulation of data and image during transit. CTS 2010 standards have resulted in enhanced security and automation.

For customers, there is reduction in the clearing cycle, and lower risk of loss of instruments in transit. In case of need, the information can be retrieved easily. Constraints due to geography or jurisdiction have been removed. There is the benefit of standardised uniform processes and practices. No outstation cheque collection charges/ Speed Clearing charges are applicable within same CTS grid.

6.2.4 Approach to CTS

The CTS is operated on a Grid basis, dividing the country in three Grids viz. Northern, Western and Southern, each having a separate Clearing House (CH) located at Delhi, Mumbai and Chennai respectively. Cheques pertaining to all cities/ centres in a Grid are presented to the respective Clearing House, through a service branch of the bank. There can be three types of participants:

- i. Member banks of the Clearing House.
- ii. Sub Member banks who will participate through members
- iii. Indirect members who can participate for submission of data and images through a Member bank but will maintain a separate settlement account.

Banks that are not a member of the Clearing House can participate through sub membership or indirect membership route.

Each grid provides processing and clearing services to all the banks under its respective jurisdiction.

Banks need to transmit the clearing files (containing the scanned cheque images and data) to the CH through a Clearing House Interfaces (CHI) or Data Exchange Modules (DEM).

Cheques drawn on bank branches within the grid jurisdiction are cleared as local cheques on T+1 basis. Inward clearing is generally processed in a centralised manner.

Banks need to have scanners for scanning of the instruments and the capture system for creation of the clearing files. Presenting banks can choose between centralised, distributed and hybrid models for points of truncation taking into consideration security, efficiency, scale and nature of operations, technology readiness, geography, etc. which may be done at each branch or at only one branch in a city/ town.

6.2.5 CTS – Process Flow

Only CTS 2010 compliant instruments can be presented for clearing through CTS.

- (a) **Presenting Bank:** For each cheque, the presenting bank/ branch capture the data (on the MICR band) and the images of the cheque, either at the branch level or at the service branch. The data is consolidated for each city/ town, and then for the whole bank. The whole bank file is sent to the respective CHI. Banks also have the choice of hosting multiple Data Exchange Module (DEM) with active setup in a grid to push the outward presentment cheques from various cities independently.
- (b) **Presentation Clearing:** The Clearing House processes the data, arrives at the settlement figure and routes the images and requisite data to the paying banks.
- (c) **Paying Bank:** The paying banks receive the images and data from the Clearing House for payment processing, which is done on the same day. The paying bank also generates the return file for unpaid instruments, if any.
- (d) **Return Clearing:** The return file/ data sent by the paying banks are processed by the Clearing House in the return clearing session in the same way as presentation clearing, and return data is provided to the presenting banks for processing. Return cycle is completed on the following day of the corresponding presentation.
- (e) **Settlement:** Based on all the instruments that have been accepted during a session the Clearing House arrives at the net settlement position for each bank, after closure of the clearing window. For each bank there is a single settlement in each Grid. Banks need to maintain sufficient balance in their current account with RBI to meet the daily settlement obligation.
- (f) **Clearing Cycle:** There is one presentation clearing session and one corresponding return clearing session per day for CTS instruments. The clearing cycle is treated as complete once the presentation clearing and the associated return clearing sessions are successfully processed.
- (g) **Security Feature:** To ensure security, safety and non-repudiation of data/ images, end-to-end Public Key Infrastructure (PKI) has been implemented in CTS.
- (h) **Endorsement:** At the time of scanning, a single line endorsement is printed on the back of each instrument which is the unique identifier for the instrument. The provisions of URRBCH provide that the clearing stamp affixed is considered as the collecting banks' confirmation of all the previous endorsements and that it undertakes to credit the beneficiaries' account on realization and no additional/ specific endorsement/certificate of confirmation to this effect on the instrument is considered necessary.

In the case of instruments, returned earlier, being represented the endorsement should be in a different position to avoid overlapping. Stickers can be used to cover the previous endorsement to avoid smudging. The capture systems should have control procedure to monitor such representations, as a fraud prevention measure. The first/original presenting bank has to cancel the earlier stamps by marking “All our Stamps Cancelled”.

6.2.6 CTS – Differences for Banks and Customers

As the cheques are now paid by the drawee bank based on their images instead of the physical cheques, it is crucial that these images are absolutely clear and all the elements of cheque are fully visible. Secondly, the physical instruments are not available to the paying bank. To ensure integrity of the process, the customers and the presentation banks have some new responsibilities under CTS.

- (a) Customers need to take care of the following aspects while writing cheques:
 - (i) To use only CTS 2010 compliant instruments, because other types of cheque leaves may not provide proper images on scanning.
 - (ii) To use image-friendly-coloured and permanent ink, and write clearly and legibly so that the written portion of the cheque is captured clearly in the cheque images.
 - (iii) Write all the details (beneficiary name, date, amount in words and figures) using the same pen, at one time.
 - (iv) Amount in words to begin close to the word “Rupees” without too much space and end with the word “only”. The amount in figures must be written close to the box and put “/-” after the amount, and strike through unused space in the name and amount fields to avoid any further additions.
 - (v) Sign clearly and only in the space provided.
 - (vi) Not to make any alterations, to use a fresh cheque instead, because it is difficult to judge the authenticity of an alteration when viewing an image.
 - (vii) Not to write in or no writing overflows into the bottom band (MICR band) of the cheque, because it contains MICR information that is captured as data for the clearing process.
- (b) Presenting banks also need to take certain additional precautions in handling clearing cheques:
 - (i) To ensure that the cheques deposited are CTS 2010 Standards compliant, so that the possibility of improper images is avoided.
 - (ii) The onus of due diligence shifts to the Presenting Bank, as provided under *explanation II* to Sec. 131 of Negotiable Instruments Act. The presenting banks should observe all precautions which a prudent banker does under normal circumstances while paying a cheque, e.g., to check the apparent tenor of the instrument, physical feel of the instrument, any tampering visible to the naked eye with reasonable care, etc.
 - (iii) To check that the instruments have been properly written, so that the instances of cheque returns due to unclear or illegible images are avoided.
 - (iv) To scrutinize the cheque carefully for detecting any material alterations that would render the instrument null and void, because this responsibility of the paying bank is shifted to the presenting bank under CTS.
 - (v) To ensure that the identification of its customers has been done properly, to mitigate the risk of fraudulent cheques being deposited. The presenting bank takes full responsibility for collecting on behalf of the intended payee and exercises due diligence as per the conditions laid down in the amended NI Act.

- (vi) The rubber stamps affixed do not interfere with the material portions viz. date, payee's name, amount (in words and figures) and signature, so that no ambiguity is created.
- (vii) All essential elements of a cheque are captured in its image during the scanning process.
- (c) Both, the customers and the banks, must keep in mind following two restrictions:
 - Cheques with alterations in material fields are not allowed to be processed.
 - Cheques not complying with CTS-2010 standards are not allowed to be cleared.

6.2.7 CTS – Cheque Images

CTS in India uses a combination of Gray Scale and Black & White images. Three images need to be taken of each cheque - front Gray Scale, front Black & White and back Black & White. Images of cheques are taken using specific scanners. The presenting bank has to digitally sign the images and data at the point of origin itself.

Images that do not meet the specifications are rejected. There is a rigorous quality check process with Image Quality Assessment (IQA) at different levels. The paying banks, if not satisfied with the image quality or for any other reason, can demand for the physical instrument before making payment of the instrument.

The security, integrity, non-repudiation and authenticity of the data and image transmitted from the presenting bank to the paying bank through Clearing House are ensured using the Public Key Infrastructure (PKI), throughout the entire cycle covering capture system, the presenting bank, the clearing house and the paying bank.

6.2.8 CTS – Positive Pay System

RBI has introduced Positive Pay System for CTS with effect from January 1, 2021. This involves a process of reconfirming key details of large value cheques. The issuer of the cheque submits electronically (SMS, mobile app, internet banking, ATM, etc.) certain minimum details of the cheque (date, name of the beneficiary/payee, amount, etc.) to the drawee bank, details of which are cross checked with the presented cheque. Any discrepancy is flagged by CTS to the drawee bank and presenting bank, who would take redressal measures.

NPCI, that is managing the CTS System, has developed the facility of Positive Pay in CTS. Banks have to make such facility available to all account holders issuing cheques for amounts of ₹50,000 and above. Customer has the discretion whether to avail this facility. Banks have the option of making it mandatory in case of cheques for amounts of ₹5,00,000 and above.

Only the cheques compliant with above instructions will be accepted under dispute resolution mechanism at the CTS grids. Banks should make customers aware about PPS, through SMS alerts, display in branches, ATMs, web-site and internet banking.

6.3 RBI GUIDELINES ON COLLECTION OF INSTRUMENTS

6.3.1 Formulating Cheque Collection Policies

Due to technological progress in payment and settlement systems and the qualitative changes in operational systems and processes that have been undertaken by a number of banks, the earlier instructions issued

regarding immediate credit of local/outstation cheques, time frame for collection of local/outstation instruments and interest payment for delayed collection have been withdrawn by Reserve Bank, leaving it to the individual banks to formulate policies in this regard within the broad framework.

Broadly, the policy should include the norms to be followed by the bank in respect of the following aspects:

- (a) Immediate Credit for Local/Outstation cheques
- (b) Time frame for Collection of Local/Outstation Instruments
- (c) Interest payment for delayed collection

Banks have been advised to reframe their Cheque Collection Policies (CCP) to include compensation payable for the delay in the collection of local cheques as well. In case, no rate is specified in the CCP for delay in realisation of local cheques, compensation at SB interest rate should be paid for the corresponding period of delay.

The policy should be based on following broad principles:

- (i) Banks should formulate a comprehensive and transparent policy covering all the above three aspects.
- (ii) Review their existing arrangements and work out a scheme for reduction in collection period.
- (iii) Adequate care to ensure that the interests of the small depositors are protected.
- (iv) To be integrated with the deposit policy of the bank in line with the IBA's model deposit policy.
- (v) The policy should clearly lay down the liability of the banks by way of interest payments due to delays for non-compliance with the standards set by the banks themselves.
- (vi) Compensation by way of interest payment should be made without any claim from the customer.

6.3.2 Collection of Account Payee Cheque

- (a) RBI has prohibited the banks from crediting an 'account payee' cheque to the account of any person other than the payee named therein, due to following factors:
 - To be in consonance with the legal requirements, especially, the intent of the NI Act, 1881. (Section 131 in The Negotiable Instrument Acts, 1881 provides that, "A banker who has in good faith and without negligence received payment for a customer of a cheque crossed generally or especially to him shall not, in case the title to the cheque proves defective, incur any liability to the true owner of the cheque by reason only of having received such payment.")
 - To protect the banks from being burdened with liabilities for unauthorized collections.
 - To maintain the integrity and soundness of the payment and banking systems.
 - To prevent recurrence of deviations observed in the past.

Where the drawer/payee instructs the bank to credit the proceeds of an 'account payee' cheque to any account other than that of the payee, the bank should ask the drawer/payee to obtain a fresh cheque or have the account payee mandate thereon withdrawn by the drawer. This instruction would also apply with respect to the cheque drawn by a bank payable to another bank.

- (b) In order to facilitate collection of cheques from a payment system angle, account payee cheques deposited with the sub-member for credit to their customers' account can be collected by the sponsor member bank of the Clearing House. There should be clear undertaking from the sub-member bank to the effect that the proceeds of the account payee cheque will be credited only to the payee's account.

- (c) With a view to mitigate the difficulties faced by the members of co-operative credit societies, RBI has advised that banks may consider collecting account payee cheques drawn for an amount not exceeding ₹50,000/- to the accounts of co-operative credit societies, if the payees are the constituents of such co-operative credit societies. For this facility, banks should obtain a clear representation in writing from the co-operative credit society that the proceeds of the cheques will be credited only to the accounts of the concerned members who are the payees named in the cheques.
- (d) The above instructions also apply to drafts, pay orders and bankers' cheque.

6.3.3 Payment of Cheques/ Drafts/ Pay Orders/ Banker's Cheques

In India, it was the practice to make payment of a cheque/ draft/ pay order only if presented within a period of six months from the date of the instrument. It was noticed that undue advantage of this facility was being taken by circulating these instruments in the market like cash for six months. Hence, the RBI has reduced the validity of these instruments to three months, effective from April 1, 2012 in exercise of powers conferred by Sec. 35A of the BR Act, 1949.

6.3.4 Cheques/ Instruments Lost in Transit/ in Clearing Process/ at Paying Bank's Branch

There are incidents of cheques received by banks (for collection or payment) being lost during the process of collection/ payment. These could be lost in transit to another office/ bank, or, sometimes, at any office of the concerned banks. Undermentioned guidelines should be followed for such lost cheques:

- (i) Cheques lost in transit or in the clearing process or at the paying bank's branch: The bank should immediately inform the account holder so that she can inform the drawer to take steps for stop payment and can also take care that other cheques issued by him are not dishonoured due to non-credit of the amount of the lost cheques/instruments.
- (ii) The onus of such loss lies with the collecting banker and not the account holder.
- (iii) The banks should reimburse the account holder related expenses for obtaining duplicate instruments and also interest for reasonable delays occurred in obtaining the same.
- (iv) If the cheque/instrument has been lost at the paying bank's branch, the collecting banker should have a right to recover the amount reimbursed to the customer from the paying banker.

Banks are required to incorporate the above guidelines in their Cheque Collection Policies.

6.3.5 Bills for Collection

Bills for collection including bills discounted required to be collected through another bank at the realising centre should be forwarded directly by the forwarding office to the realising office.

6.3.6 Payment of Interest for Delays in Collection of Bills

The lodger's bank should pay interest to the lodger for the delayed period in respect of collection of bills at the rate of 2% p.a. above the rate of interest payable on balances of SB accounts. The delayed period should be reckoned after making allowance for normal transit period based upon a time frame of 2 days each for (i) Dispatch of bills (ii) Presentation of bills to drawees (iii) Remittance of proceeds to the lodger's bank (iv) Crediting the proceeds to drawer's account. To the extent the delay is attributing to the drawee's bank, the lodger's bank may recover interest for such delay from that bank. The banks may suitably revise the format of their payment advices to incorporate the above information.

6.4 CASH AND ITS CUSTODY

1. General

- (i) The Cash and Small Coin Balances must be kept in the Strong Room in the joint custody of the Head Cashier/Cashier and the Manager put in charge of joint custody. In case of Currency-Chest branches, wherever applicable, the currency chest has to be maintained under joint custody of two designated Officers-in-charge.
- (ii) Managers should see that no member of staff other than the Cashier/Teller receives money over the counter from depositors. Notices (bilingual/ trilingual) to this effect should be prominently displayed at the branch, near the cash department and near the entrance.
- (iii) For avoiding human errors and quicker handling note counting machines should be provided at the Teller counters. These also help the customers as they can visually observe the counter display.

2. Strong Room/ Safe

The Strong Room or Safe must be under the dual custody of the Head Cashier/Cash Officer and the Manager in charge of cash. Both officials must be present when the Strong Room/Safe is opened. Similarly, all receptacles in the Strong Room used for storing Cash and Small Coin balances must also be under the dual custody. Only the receptacle used for the Cashier's hand balance should be under his single lock. For currency chest branches, the custody of the currency chest will remain with two designated Officers-in-Charge.

3. Cash Balance of the Bank

- (i) The bulk of the Cash Balance should always be in the Strong Room/Safe under joint custody, while the remainder (Cashier's Hand Balance) which will be kept as low as conveniently possible, will be left with the Head Cashier/Cashier during the day for the day's transactions. Only that much cash as would be sufficient for the day's requirements will be withdrawn in the morning from joint custody.
- (ii) Checking of Cash Balance: Before taking notes and coin into the 'Joint Custody' balance, the Supervising Official will check their correctness in the following manner:
 - (a) The Supervising official will personally count all notes of denominations above ₹100/- and will verify a portion of all other notes based on the 'clip system'. Under this system a few notes in each packet of notes are clipped together at the top. The remainder is counted by an employee other than the one responsible for its correctness in the presence of the Supervising Official who verifies the total by counting the clipped notes.
 - (b) Banks are required to sort the notes into three categories viz. Issuable, Soiled and Mutilated. Usually banks have different coloured denomination slips for the three categories.
 - (c) The Supervising Official will verify at the close of the working day that the 'Joint Custody Balance' corresponds exactly with the entries in the Cash Balance Book.
 - (d) He will also invariably check the entire Head Cashier's/Cashier's/Cash Officer's hand balance of loose notes and also check the loose packets in Hand Balance and initial against the items checked in the Cash Balance Book.
 - (e) Before the Strong room is closed, the Supervising Official, Head Cashier/Cash Officer/Cashier should check the bundles kept in the vault and verify the same with the Reserve Cash Register. This is called as 'gross check'.

- (f) At least once a week on staggering basis, the officer holding charge of cash will check the whole of the bank Cash Balance by test check of different denominations and Register evidence of such check in the Cash Balance Book under his signature and date.

4. Shortage or Excess in cash

Banks adopt certain procedures to mitigate human errors in handling cash. The system of recording denomination wise number of pieces of currency notes for every receipt and payment – both on the voucher (deposit slip or cheque/ withdrawal slip) and the cash registers (manual or electronic), and also the Branch Cash Balance register is followed. It helps in locating the cause of error in case of any excess or shortfall noticed in cash at the end of day, apart from alerting while counting cash. When shortage or excess in cash is detected that cannot be rectified with the concerned customer, following procedure is followed.

Accounting for shortage or excess in cash has to be carried out as follows:

- (i) Any shortage is recovered on the same day from the Cash Officer/ Head Cashier/Cashier, who in turn will recover it from the concerned employee.
- (ii) Failing recovery on the same day, the amount of shortage should be debited to the Suspense Account taking the signatures of the staff responsible for the shortage on the reverse of the voucher under report to the Head Office and adjusted on recovery from them.
- (iii) Any excess in the Cash Balance must be credited to Sundry Deposit Account on the same day itself. In case a customer makes a complaint of having received short cash or paid excess cash, after satisfying about the genuineness of the complaint, the amount is paid by debit to the Sundry deposit account.

5. Remittance of Cash

Cash remittances sent from one office to another should always be entrusted to authorised employees.

- (i) Night journeys and unusual halts at junctions mid-way should be avoided.
- (ii) The remittance box should always be transported in the van provided by the bank.
- (iii) The box should be securely chained and locked to a staple or other fixed object in the van in which the remittance is carried.
- (iv) A Register should be maintained to record all cash remittances to and from branches.

6. Cash Replenishment at ATMs

Keeping the ATM machines filled with adequate amount of cash is important to avoid cash-out situations and to maintain uninterrupted service to the customers. Also, large unutilized cash stock should not remain at any ATM. Each bank has its own cash replenishment policy. Also, a security manual describes the security measures required when replenishing cash in the ATMs.

The staff involved in cash transfers should be screened thoroughly and their photos and biometric prints taken. Bin filling is normally done in the presence of at least two persons for security and accuracy in dealing with cash. A User report is recorded and preserved. It records the time and date of opening the ATM. Cash balance receipt is printed after replenishment. Cash shortages should be thoroughly investigated, referring to the server report, and the ATM's log on-site.

A centralised department monitors balances as per the books and the ATM machine. Cash in ATM and Cash in transit are always covered by insurance. Where Cash Management of ATMs is outsourced, the reconciliation of transactions between the bank, the service provider and its sub- contractors is done at

least on T+3 basis; Cash is collected by the service provider from the branches designated for various ATMs. In case of disputes, video footage may be provided to the service provider for resolving the issue.

7. Insurance

- (i) All cash remittances in transit are covered under the Blanket Insurance Policy obtained by the bank.
- (ii) It must be ensured that the maximum limit laid down therein for any one carriage is not exceeded under any circumstances.
- (iii) Cash in safe and on the counter should be kept within insured limit as directed by Head Office from time to time.
- (iv) Care should be taken to ensure that no excess cash over the insured limit is kept.

8. Custody of Keys

- (i) Particulars of all important keys, including those of the Cash Officer/Head Cashier/Cashier, must be entered in the Key Register containing the details of all keys (both originals and duplicates) that are in use at the branch, and with whom are they held.
- (ii) The main keys of the branch shall on no account leave the possession of the officials under whose charge these have been entrusted except as specified by the bank or in the case of incapacitation for duty when taken over by another bank official as directed by the controlling Office. Grave consequences due to slackness in this should be strongly impressed on concerned officials.
- (iii) In case of safes previously handled by unauthorized officials the levers of the locks should be changed.
- (iv) Any important key showing signs of serious wear should be informed to the Head Office and a new lock may be ordered.
- (v) No important key pertaining to cash counters, safes, lockers, strong rooms, almirahs, main entrance may be made and no repairs to such locks be carried out without the prior permission of Head Office.
- (vi) All repairs must be carried out under the personal supervision of the Manager and the Cash Officer/Head Cashier/Cashier having joint control over the Strong Room or safe.
- (vii) Whenever a lock is changed or the levers of locks changed, it must be noted in the Key register.

9. Duplicate Keys:

Banks must follow the instructions as mentioned below with regard to the Duplicate Keys:

- (i) The officials holding the keys of the Strong Room/ Safe room and safes/cupboards containing cash, gold ornaments under pledge to the bank and other securities, will pack their duplicate keys individually in a strong cloth lined envelope which will be sealed by them with their seals.
- (ii) The sealed packets must be placed in a strong wooden or tin box locked or otherwise secured and wrapped in water-proof cloth.
- (iii) The box of duplicate keys should be kept in safe custody with another local branch of the same bank, or of another bank. The instructions for safe custody should be signed by the Manager/Cashier or the Supervising Official whose keys are deposited therein. .
- (iv) The instructions for delivery should also be conveyed to the branch of the bank holding the box in safe custody by means of a letter signed by all the officials holding the keys.

- (v) Duplicate keys must be withdrawn from safe custody and rotated once in every year. Other than for this purpose, the duplicates may need to be withdrawn only when any of the key holding officer, during her absence, is unable to handover the original keys to the substitute official due to circumstances beyond her control.
- (vi) All instances of withdrawal of duplicate keys from safe custody and replacing keys in safe custody should be advised to the Head Office.

6.5 SECURITY MEASURES AT BRANCHES AND ATM'S

There are incidents of robbery, break-ins etc. at bank branches, and also of bank customers being looted just outside bank branches. Besides, branches are also exposed to fire risk. There have also been incidents of the ATMs being broken open and the cash stored in them stolen. Another risk is of skimming in ATM machines for reading the card data and capturing the image of PIN by fraudsters. It is therefore important to put in place various safety arrangements at the bank branches and ATMs. Various guidelines have been laid down by banks for various security arrangements.

(a) Location and Layout Related

- (i) The location of Currency Chests or bank branches should be chosen keeping the safety and security in view.
- (ii) The Police authorities should be consulted before deciding on a location for a branch.
- (iii) Proximity to Police Station and functional communication system are very important.
- (iv) The layout of the branch, i.e. Manager's cabin, cash vaults, Cashier's cabin, entry/exit points should be designed keeping in view the security aspect.
- (v) The Branch Manager's cabin should preferably be in a corner facilitating clear view of the entire banking hall, and near to the main entrance to keep a watch on the activity there.
- (vi) Strong room/safe should be out of the public view.
- (vii) The cashiers' cabin should be as far away as possible from the entry/exit.

(b) Protective Fittings Related

- (i) The main entrance of the branch should be provided with shutter gates.
- (ii) Collapsible gate with chain and locking arrangements with only eighteen inch opening should be fitted at the branch entrance.
- (iii) Strong rooms should be provided with grill gates.
- (iv) Windows/ventilators should have proper standard grills. Unnecessary windows should be walled.
- (v) All weak points like opening for exhaust fans and air-conditioning ducts, skylights and windows should be strengthened with appropriate RCC work, steel plates, steel grills etc.
- (vi) Gun and ammunition should be kept in metal gun cabinets. The cabinet should have more than two hinges and adequate/strong locking managements.
- (vii) Safes should be embedded properly, if not kept in the strong room. Proper review of such embedment of safe should be done.
- (viii) Electrical shafts/electrical junction boxes should also be strengthened and kept locked.
- (ix) Cash cages should be fitted with grills/wire-mesh nets with automatic locks.

(c) Electronic Security Gadgets

- (i) Branches, ATMs, Data Centers, should be equipped with the security gadgets like CCTV, X-Ray scanners, sensors, electronic locks, hot lines, auto-dialers, time locks, turnstile gates, access control, etc. These devices help in reducing delay in communication to the police, identifying the culprits and catching them.
- (ii) Emergency lights and alarms should be installed and should always be in working condition.

(d) Fire Protection Related

- (i) Branch premises should preferably have two entrances suitably guarded and located.
- (ii) Adequate number of fire extinguishers should be provided at the branches suitably located, that must be periodically refilled.
- (iii) Smoke detectors should be fitted at various points, with appropriate fire alarm system.
- (iv) Demonstration of the use and proper handling of portable Fire Extinguishers should be held.
- (v) Mock drills may be held for training the staff in handling fire emergency, for safety of the public and the staff members, and for preventing spreading of fire.

(e) Security Guards Related

- (i) Posting of guards (armed or otherwise) should be decided based on the vulnerability of the branch, keeping in the view the threat perception in the area.
- (ii) Currency Chest branches should have two armed guards during working hours and one armed guard round the clock.
- (iii) Before recruitment proper enquiry must be made about the character and antecedents of the selected candidates as security guards. Verification may be done with the district authorities, where the ex-servicemen had resided for more than one year after the date of discharge from Army/Navy/Air-force/Police.

(f) Fire Arms Related

- (i) The fire arms should always be in working condition. All armed guards should clean and maintain the guns regularly so that they remain in working condition.
- (ii) Time-barred cartridges should always be replaced by new ones after obtaining permission from the appropriate authority.

(g) Currency Chests – Specific Measures

- (i) Security arrangements in the Currency Chests should be meet the following security measures, issued by Banking Division, Ministry of Finance, Government of India.
 - (a) Installation of steel barricades,
 - (b) segregating the Currency Chest area from the branch hall.
 - (c) Positioning of the armed guard on duty in front of the Currency Chest so that he cannot be neutralized by any outside intruder and providing accommodation for remaining armed guards in the Currency Chest in a safe location where miscreants cannot neutralize.
 - (d) Providing switches of Electronic Alarm System with the armed guard on duty within the barricaded area and also in their retiring room.

(h) Police Support Related

- (i) The Branch manager should maintain close liaison with the local Police authorities and seek their guidance and assistance as and when required.
- (ii) Local police may be requested to assess the crime proneness of the area and to step up surveillance on known criminals and extremist outfits, if any, existing in the area.

(i) Payment and Movement of Large/ Bulk Cash

- (i) Payment of large amount should be made inside the strong room or enclosures, away from public view.
- (ii) Confidentiality of movement of cash should be maintained all the time. Information about major cash transactions should be known to only the concerned officials at the appropriate time.
- (iii) Fixed routine in regard to route, time etc. in movement of cash should be avoided.

(j) Operational Measures

- (i) Branch should maintain a set of marked new currency notes of various denominations, particulars of which (numbers with their prefixes and suffixes) should be recorded on the last page of the Cash Summary Register. The set of marked notes should remain permanently in the cash at the counter. This will help the investigating agencies in the event of thefts, robbery, etc.
- (ii) The lights in the banking hall may be kept on so that any unusual movement is observed.
- (iii) The systems at branches should always be in proper working condition, and capable of rendering reliable service at the time of emergency.
- (iv) On noticing any suspicious persons or vehicle in and around branch premises, verification should be made immediately by seeking police or public help.

(k) Detection and Impounding of Counterfeit Notes

Banknotes tendered over the counter should be examined for authenticity through machines. Similarly, banknotes received directly at the back office/ currency chest through bulk tenders should also be examined through machines.

No credit to customer's account is to be given for counterfeit notes detected. In no case, the Counterfeit Notes should be returned to the tenderer or destroyed. These shall be stamped as "COUNTERFEIT NOTE" and impounded. Notice to this effect should be displayed prominently for information of the public. Such impounded notes shall be recorded under authentication, in a separate register, and kept in joint custody carefully segregated from the genuine currency notes.

An acknowledgement receipt, with running serial numbers, must be issued to the tenderer. It should be signed by the cashier and the tenderer. It should be issued even if the tenderer is unwilling to countersign it. Incidents of detection of counterfeit notes are to be reported to the Police as follows:

- a. Transactions involving up to four pieces of counterfeit notes are consolidated in a statement as per prescribed format and sent by the Nodal Bank Officer to the police authorities or the Nodal Police Station, along with the suspect Counterfeit Notes, at the end of the month.
- b. For every transaction involving five or more pieces of counterfeit notes, a FIR on prescribed format along with the counterfeit notes is filed immediately by the Nodal Bank Officer with the local police authorities or the Nodal Police Station.
- c. A copy of the monthly consolidated report/ FIR is sent to the Forged Note Vigilance Cell at the Head Office.

- d. Acknowledgement of the police authorities concerned has to be obtained for the counterfeit note/s forwarded to them. If sent by insured post, acknowledgement of receipt thereof by the police shall be invariably obtained and kept on record. In case any difficulty is faced due to reluctance of the police to receive monthly consolidated statement/ FIRs, the matter may be sorted out by the Nodal Officer with the police authority designated to coordinate these matters.

As for soiled/mutilated/defective notes, the same can be exchanged from any of the bank branches on all working days.

6.6 LET US SUM UP

In banking operations two activities have a substantial share. These activities are handling of cash and handling of cheques/ payment instruments. Both these activities directly relate to receipt and payment of funds and hence require utmost care in their execution. For cash payment and acceptance banks also use ATMs and CDMs. Clearing is an important activity of payment systems using cheques, demand drafts, pay order, etc. Manual clearing system was replaced by MICR based clearing. This has been replaced by Cheque Truncation System clearing. This system brought about a fundamental difference that the paper instruments are not sent to the drawee bank, but held at the collecting bank.

Adequate and timely replenishment of cash at ATMs is very critical for maintaining proper customer service. This activity poses certain operational risk related to security, accuracy, and cash balances in ATMs. Security policy regarding staff or agencies handling cash replenishment should have measures for their screening, rotation, monitoring measures, and internal control systems.

Handling of cash at branches, especially currency chest branches, requires dealing with bulk cash. Cash operations and management processes are designed aiming at ensuring accuracy in counting of currency notes, as also for prevention of pilfering of cash. There is a system of joint custody of cash by cashiers and accounts managers. Safety measures are also necessary while making cash remittances.

Collection of cheques, demand drafts requires systematic and careful handling of these instruments and related accounting. Banks have cheque collection policies that have provisions for compensating customers for loss to them arising out of delays in crediting the proceeds to their accounts, and from loss of instruments tendered by them.

6.7 KEYWORDS

CTS, Grid-based Clearing, Truncation, Presentation Session, Return Session, CTS 2010 Standard, Return Clearing, Void Pantograph, Positive Pay System, Cheque Collection Policies, Strong Room, Note sorting, Joint Custody Balance, Cashier's Hand Balance, Cash remittance, Blanket Insurance Policy, X-Ray scanners, Scanners, Currency Chest, Clearing House Interface, Data Exchange Module, Paper to Follow (P2F), Image Quality Checking (IQA).

6.8 CHECK YOUR PROGRESS

1. Which of the following requirement is not mandatory for cheques under CTS 2010 Standards?
 - (a) Field placement as prescribed
 - (b) Security thread
 - (c) Pre-filled account field
 - (d) Watermark

2. Under CTS process _____ image(s) is/are to be taken of each cheque.
 - (a) two
 - (b) one
 - (c) three
 - (d) four
3. Which of the following statement is not acceptable in the cheque collection policy of a bank?
 - (a) The bank will take all possible measures for safeguarding the instruments received from its customers for collection.
 - (b) The bank will compensate the customer for any delay in collection of cheque on its own.
 - (c) The bank will not be responsible for any delay arising out of circumstances beyond its control or the control of the paying bank.
 - (d) No compensation will be paid for delay in collection of local cheques.
4. Which of the following cash held at the branch is not required to be under dual custody?
 - (a) Cashier's hand balance
 - (b) Notes of less than Rs.100/- denomination
 - (c) Cash balance in the form of coins
 - (d) All of the above
5. Which of the following actions is proper in handling counterfeit notes?
 - (a) The teller refuses to accept counterfeit note detected by her at the counter.
 - (b) During checking of bulk cash of a customer counterfeit note is detected. The customer comes and replaces it with a genuine note and is given back the counterfeit note.
 - (c) The teller detects a counterfeit note at the counter, keeps it against receipt given to the customer. The note is destroyed by the Head Cashier.
 - (d) The counterfeit note detected at the counter is impounded by the Teller and brands it with 'counterfeit' stamp.

6.9 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (b), 2. (c), 3. (d), 4. (a), 5. (d).

(Source: Various RBI Circulars and others)



BANKER'S SPECIAL RELATIONSHIP

STRUCTURE

- 7.0 Objectives**
- 7.1 Introduction**
- 7.2 Mandate – Definition**
- 7.3 Power of Attorney (POA) – Definition**
 - 7.3.1 Delegation of Powers
- 7.4 Banker's Lien**
- 7.5 Right of Set-off**
 - 7.5.1 Essential Features of Set-off
- 7.6 Right of Appropriation**
- 7.7 Let Us Sum Up**
- 7.8 Keywords**
- 7.9 Check Your Progress**
- 7.10 Answers to 'Check Your Progress'**

7.0 OBJECTIVES

After studying this Unit, you will:

- Understand the concepts of mandate, power of attorney, banker's lien and right of set-off.

7.1 INTRODUCTION

Normally, the account of a customer with a banker is operated by the customer himself. There are occasions, when the account holder gives an authority to another person through some legal documents to operate the account on his behalf. In such a case, a special relationship is created between banker and customer.

Further, the obligation of a banker to honour a cheque drawn on the customers' account is subject to the condition that the money lying in the account is properly applicable for making payment. There are cases where a banker is justified in refusing payment of a cheque.

7.2 MANDATE – DEFINITION

Definition: A person competent to enter into a contract may authorise another person to open and operate an account on his behalf. This authority can be granted by a mandate or a power of attorney.

A mandate is an authority given by the account holder in favour of a third person to do certain acts on his behalf. This is issued by an account holder with a direction to his/her bankers authorising the person to operate the account on his/her behalf. The following are the salient points of a mandate:

- The customer informs the bank about the authority given to the third person (mandatee).
- The signature of the mandatee is verified by the customer in the mandate letter.
- The mandate is normally temporary for a short period.
- Institutions need to issue a power of attorney and not a mandate.
- A mandate ceases to be valid on death, insanity, and insolvency/ bankruptcy of the account holder.
- A mandate can be withdrawn anytime by the account holder/s.

7.3 POWER OF ATTORNEY (POA) – DEFINITION

It is a document executed by one person called donor or principal in favour of another person called donee or agent to act on behalf of the former, as per authority given in the POA document.

Following are the salient features of a POA:

- (a) Two types of POA are generally granted:

1. General or universal
2. Specific or limited.

General POA is issued for acting in more than one transaction and confers very extensive powers to the donee. Specific or Limited POA is issued for a specific purpose and often it is for a single transaction.

- (b) General POA gives power to sign cheques, stop payment of cheques, and to sign borrowal documents, on behalf of the principal.
- (c) It is a stamped document and is executed in the presence of a Notary Public/Magistrate of a Court/ Government official authorised to do so.

(d) POA holder must sign as Per pro _____
Sd/-

Constituted Attorney

(e) The Principal can revoke the POA at any time for future transactions.

(f) A power of attorney stands revoked by the death, insanity or insolvency (winding up or liquidation in case of companies) of the principal.

7.3.1 Delegation of Powers – Mandate or Power of Attorney

For a joint account, all joint account holders should sign the mandate/ power of attorney empowering a third party to operate it. In case of a partnership firm, all the partners must sign the PoA or mandate authorising a third party to operate its account. In the case of limited companies, delegation of authority by a person duly authorised to open and operate on the company's account is possible only if that person has the specific authority to further delegate his powers to a third person. Fiduciaries such as executors, administrators and legal guardians cannot appoint agents. An attorney cannot delegate his powers unless his power of attorney specifically provides for the power of substitution. In case more than one person has been authorised, clear instructions about the operation of the account, whether to be operated singly or jointly must be obtained.

7.4 BANKER'S LIEN

Banker's lien is the right of the banker to retain possession of the goods and securities owned by the debtor until the debt due from the latter is paid. The banker's lien is an implied pledge. A banker's right of lien is more than a general lien, as it confers upon the banker the power to sell the goods and securities in case of default by a customer. Since such right of lien resembles a pledge, it is usually called an 'implied pledge'. A banker acquires the right to sell the goods which came into his possession in the ordinary course of banking business, in case the debt is not paid. Sec. 171 of the Indian Contract Act, 1872, gives to the banker an absolute right of general lien on all goods and securities received by the banker. However, when a customer inadvertently leaves a packet containing certain share certificates, life insurance policies, fixed deposit receipts of other banks etc., while leaving the bank premises, the banker will have no right of lien over those securities because those were not given to the banker in the normal course of banking business.

While no separate agreement or contract is necessary; to be on the safe side, the banker takes a letter of lien from the customer mentioning that the goods are entrusted to the banker as security for a loan—existing or future. The latter gives an authority to the banker to exercise his right of lien over them and can sell the goods in case of default on the part of the customer.

Lien are of two types – 'General lien' and 'Particular lien'. Banks can exercise both types of lien depending on the circumstances of each case.

'General lien' of bank is defined in Sec. 171 of Indian Contract Act, 1872: "*banks. may in the absence of a contract to the contrary, retain as security for general balance of account any goods bailed to them*".

A 'Particular lien' gives the right to retain possession only of the goods in respect of which the charges or dues have arisen. In order that a particular security falls under bank's lien, the following conditions should be satisfied:

(i) The property should come in the hands of the bank in its capacity as a creditor bank.

- (ii) There should be no entrustment for special purpose which is inconsistent with the lien.
 - (iii) There should be no contract - expressed or implied - to exclude the lien.
 - (iv) The possession of the goods/ security must be in the same right as the account of the customer.
1. **Where a right can apply?**
 - (a) *To sell*: A banker's general lien gives the right to sell the debtor's properties.
 - (b) *To a specific person*: The right under Sec. 171 is given not only to the banker but also to factors, wharfingers, attorneys of high courts and policy brokers. As such, no separate agreement is required.
 - (c) *Against the customer*: The right is exercised on the goods and securities of the customer only. The right cannot be exercised when the debtor has a joint account.
 2. **Where a right cannot apply?**
 - (a) *Safe Custody Articles*: When a customer deposits securities, ornaments and other valuable for their safe custody with a banker, the latter acts as a trustee/bailee, therefore the bank cannot exercise the right of lien over these unless covered by a special agreement.
 - (b) *Documents/money deposited for specific purposes*: Documents/money deposited with a specific purpose cannot be taken under lien.
 - (c) *Articles left negligently in bank premises*: Such articles/securities cannot be taken under lien.
 - (d) *Immature debts*: Lien cannot be exercised when the debt has not yet matured.
 - (e) *Stolen goods*: If the customer has stolen the goods/securities of the real owner and delivers them to his bank, the bank cannot have lien over it although the transaction has taken place in the ordinary course of business.
 - (f) *No simultaneous rights to bank*: When the right of set-off is available to the bank, lien right cannot apply. These two different rights cannot be exercised simultaneously at the same time.

7.5 RIGHT OF SET-OFF

Set-off is the right of a debtor to take into account a debt owing to him by a creditor, when paying a debt due from him to the creditor. A bank has a right of set-off between two or more accounts maintained by a customer, i.e. by adjusting the debit balance in one account with the credit balance in the other account as the bank-customer relationship in the two accounts is that of creditor-debtor and debtor-creditor respectively. In other words, the banker can adjust his claim from the amount that is payable to the customer.

7.5.1 Essential Features of Set-off

The right of set-off can be exercised by a bank if the following conditions are satisfied:

- (a) It is a statutory right and can also arise out of an agreement between the parties concerned.
- (b) In an ongoing situation, the right of set-off can be exercised by a banker by serving a reasonable notice on the customer.
- (c) There should be no agreement between the bank and customer to exclude the right of set-off.
- (d) There should be mutual debts and the debts should be for certain sums, while the claim and the cross claim should be for certain sums.
- (e) The claims and cross claims should be both for determined amounts. Where the customer has stood as a guarantor to another party, his credit balance cannot be set-off against the borrowers' dues, till the guarantee amount is determined.
- (f) For the purpose of set-off, all the branches of a bank are considered as a single entity.

- (g) The set-off can be applied only to those debts, which are due and recoverable on the date of exercising the set-off.
- (h) The set-off can not be applied in respect of debts that are contingent and not yet due.
- (i) Indebtedness should arise in the same rights. Where the bank has noticed that the amount in the customer account is held under trust, the bank cannot exercise the right over this amount against a debit balance on another account of the customer.
- (j) A deceased's credit account and a customer's debit account cannot be combined.
- (k) Automatic right of set-off (i.e. set-off without notice) arises in the following cases:
 - (i) Death or insanity/insolvency of the customer
 - (ii) Insolvency of a partner or on the winding up of a company
 - (iii) Receipt of garnishee order
 - (iv) Receipt of notice of assignment of customer's credit balances
 - (v) Receipt of a notice of secured mortgage over the security charged to the bank.
- (l) The account of a sole proprietor (of a trading firm) and his individual account can be combined.
- (m) A customer does not have a right of set-off amongst its various accounts at different branches of a bank. (*Mohammed Hussein Saheb vs. Chartered Bank, Madras* (1965) AIR Mod. 266.) In this case the Defendant bank had returned certain cheques drawn by the Plaintiff on his overdraft account because the drawings exceeded the limit. The Plaintiff contended that the Defendant bank at Madras ought to have honoured the cheques taking into account the deposit held in his account at Karachi branch. It was held that "The fact that the plaintiff had funds in the Karachi branch would not entitle him to insist on the first defendant bank honouring his cheques at Madras in excess of the overdraft limit."
- (n) The right of set-off is available to the banker only in respect of credit balance held in a customer's account.

7.6 RIGHT OF APPROPRIATION

In case of his usual business, a banker receives payments from his customer. If the latter has more than one account or has taken more than one loan from the banker, the question of the appropriation of the money subsequently deposited by him arises. Sec. 59 to 61 of the Indian Contract Act, 1872 contain provisions regarding the right of appropriation of payments in such cases.

The debtor can appropriate the payment by (i) an express intimation or (ii) under circumstances implying that the payment is to be applied to the discharge of some particular debt. If the creditor accepts such payment, it must be applied accordingly. In case the customer has deposited amount in bank without giving any specific direction the bank can exercise its right of appropriation and apply it in payment of any loan account.

In the case *M/s Kharavela Industries Pvt. Ltd. Vs. Orissa State Financial Corporation and Others* (AIR 1985 Orissa 153 (A)), the question arose whether the payment made by the debtors was to be adjusted first towards the principal or interest in the absence of any stipulation regarding appropriation of payments in the loan agreement. The Court held that in the case of debt due with interest, any payment made by the debtor is in the first instance to be applied towards satisfaction of interest and thereafter towards the principal unless there is an agreement to the contrary.

Where neither party makes any appropriation, the payment shall be applied in discharge of debts, in order of time, whether they are or not barred by the limitation of suits. If the debts are of equal standing, the payment shall be applied in discharge of each proportionately.

7.7 LET US SUM UP

There are various rights of a banker vested by the laws of the country. Along with the rights, there are certain obligations too which a banker is required to fulfill. Such rights and obligations under the special relationship are mandates and power of attorney. Account holder is authorised to operate the account through a third person through a mandate or a power of attorney.

Lien means right of the creditor to retain possession of goods/ securities owned by the debtor till the debt is paid. Lien is of two types: (a) general lien and (b) particular lien.

The right to combine several accounts of a customer is known as the right of set-off. The banker and the customer have rights of appropriation with regard to the amount deposited by a customer for payment of debt.

7.8 KEYWORDS

Lien, General lien, Special lien, Right to set-off, Mandate, Power of attorney, Notary Public.

7.9 CHECK YOUR PROGRESS

Fill in the blanks with the suitable option.

- Lien is a/an _____ of the creditor to retain possession.

(a) right	(b) obligation
(c) instrument	(d) interest
- Banker's lien is an/a _____.

(a) bailment of goods	(b) implied pledge
(c) agreement	(d) an stoppage
- Right to appropriate the debit balance in one account with credit balance in another account of the same customer by banks is called _____.

(a) garnishee	(b) lien
(c) set-off	(d) rating
- Mandate is an/a _____.

(a) stamped agreement	(b) unstamped agreement
(c) memorandum of understanding	(d) letter of authority
- Person to whom a power of attorney is given is called _____ and who gives it is called _____.

(a) debtor-creditor	(b) bailor-bailee
(c) pawner-pawnee	(d) donee-donor

7.10 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (a), 2. (b), 3. (c), 4. (b), 5. (d).

UNIT 8

FOREIGN EXCHANGE REMITTANCE FACILITIES FOR INDIVIDUALS

STRUCTURE

8.0 Objectives

8.1 Introduction

8.2 Evolution of FEMA

8.2.1 Need for Management

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8.4.1 Bringing in of Foreign Exchange

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8.7 Indo - Nepal Remittance Scheme

8.7.1 Background

8.7.2 Salient Features

8.7.3 Operations

8.8 Let Us Sum Up

8.9 Keywords

8.10 Check Your Progress

8.11 Answers to 'Check Your Progress'

8.0 OBJECTIVES

After studying this Unit you will:

- Know about the approach to Foreign Exchange Management in India
- Understand the legal and regulatory provisions for receipts and payments of foreign exchange by individuals
- Know about the Liberalised Remittance Scheme for Individuals
- Know about the Indo-Nepal Remittance Scheme

8.1 INTRODUCTION

One of the major factors in economic development of the world has been global trade and travel among various countries that has given an impetus to social and commercial activities in various countries. Trade and travel between any two countries requires exchange of the respective currencies thus giving rise to the need for determining the value of one currency in terms of the other currency. Also, it requires a systematic mechanism in place for facilitating such exchange to the individuals and businesses engaged in foreign trade and travel. Thus the whole area of foreign exchange has come into being and developed. Given the different levels of development and the extent of commercial or economic activities of various countries the availability of foreign exchange with various countries varies widely. Hence, various countries are required to manage their foreign exchange resources prudently. Each country adopts a stance and approach to handle its foreign exchange resources as per its own conditions. The foreign exchange policy of a country aims to make optimal use of the foreign exchange resources to meet the commercial and social needs of the people of the country.

In India, RBI oversees the foreign exchange market in line with the relevant laws of the country.

8.2 EVOLUTION OF FEMA

For a long time after independence, foreign exchange in India was treated as a controlled commodity because of its limited availability. Exchange control was introduced under the Defence of India Rules on September 3, 1939. The statutory power for exchange control was provided by the Foreign Exchange Regulation Act (FERA) of 1947, which was replaced by a more comprehensive Foreign Exchange Regulation Act, 1973.

Significant developments in the external sector resulted in a changed environment.

Keeping this in view the Foreign Exchange Management Act (FEMA) was enacted to replace FERA, effective from June 1, 2000. It brought a new management regime of Foreign Exchange consistent with the emerging framework of the World Trade Organization (WTO).

This act made the offences related to foreign exchange as civil offences as against criminal offences under the FERA. It extends to the whole of India, except the Gujarat International Foreign Tec-City. It relaxed the controls on foreign exchange in India, made external trade transactions easier. The switch to FEMA shows the change on the part of the government approach to foreign capital.

8.2.1 Need for Management

Apart from being very competitive, this market is the largest and most liquid market in the world. It constantly undergoes changes and innovations, which can either be beneficial to a country or expose

them to greater risks. The management of foreign exchange market is necessary to mitigate and avoid the risks associated with it. By maintaining sufficient reserves, India's foreign exchange policy marked a shift from Import Substitution to Export Promotion.

8.2.2 Main Features of FEMA

FEMA aimed at consolidating and amending the laws relating to foreign exchange with the objective of facilitating external trade and payments and for promoting the orderly development and maintenance of foreign exchange markets in India.

- i. FEMA empowers the Central Government to impose restrictions.
- ii. The transactions in foreign exchange should be made only through an Authorized Person.
- iii. Payments to or receipts from any person outside India, as also other deals in foreign exchange and foreign security, are restricted.
- iv. Foreign exchange transactions, foreign security dealings or owning or holding immovable property abroad by people living in India are restricted.
- v. Transactions involving foreign exchange or foreign security and payments from outside the country to India cannot be undertaken, without general or specific permission of RBI.
- vi. Foreign exchange transactions under the current account can be restricted by the Central government, based on public interest.
- vii. RBI is empowered by FEMA to subject the capital account transactions to a number of restrictions.
- viii. People living in India are permitted to carry out transactions in foreign exchange, foreign security or to own or hold immovable property abroad if the currency, security or property was owned or acquired when he/she was living outside India, or when it was inherited to him/her by someone living outside India.

8.3 DEFINITIONS

In the context of foreign exchange business handled by banks certain terms have been defined in the FEMA and related regulations. It is important to keep in view these definitions when handling remittance transactions in foreign currency, as also when handling transactions including maintaining bank accounts of NRIs or PIOs. Given below are definitions of few select terms in the context of FEMA. These are relevant for this Unit and also for Units 9 and 10.

- (i) **Authorised Dealer (AD)**: a person authorised as an authorised dealer under sub-section (1) of section 10 of FEMA.
- (ii) **Authorised Dealer Category I**: entities which are authorised by the RBI to carry out all permissible current and capital account transactions as per directions issued from time-to-time.
- (iii) **Authorised Dealer Category II**: entities which are authorised by the RBI to carry out specified non-trade related current account transactions, all the activities permitted to Full Fledged Money Changers and any other activity as decided by the Reserve Bank, and shall include (i) Upgraded FFCs; (ii) Select Regional Rural Banks (RRBs); (iii) Select Urban Cooperative Banks (UCBs); and (iv) Other entities.
- (iv) **Authorised Dealer Category III**: entities which are authorised by the Reserve Bank to carry out specific foreign exchange transactions incidental to their business/ activities.
- (v) **Authorised Person (AP)**: an authorised dealer, money changer, off-shore banking unit or any other person authorised under sub-section (1) of section 10 to deal in foreign exchange or foreign securities.

- (vi) **Capital account transaction**: a transaction which alters the assets or liabilities, including contingent liabilities, outside India of persons resident in India or assets or liabilities in India of persons resident outside India.
- (vii) **Currency**: includes all currency notes, postal notes, postal orders, money orders, cheques, drafts, travellers cheques, letters of credit, bills of exchange and promissory notes, credit cards or such other similar instruments, as may be notified by the Reserve Bank. *(Also includes International Debit Cards, ATM Cards.)*
- (viii) **Currency notes**: includes cash in the form of coins and bank notes.
- (ix) **Current account transaction**: a transaction other than a capital account transaction and includes:
 - (i) payments due in connection with foreign trade, other current business, services, and short-term banking and credit facilities in the ordinary course of business,
 - (ii) payments due as interest on loans and as net income from investments,
 - (iii) remittances for living expenses of parents, spouse and children residing abroad, and
 - (iv) expenses in connection with foreign travel, education and medical care of parents, spouse and children.
- (x) **Deposit**: includes deposit of money with a bank, company, proprietary concern, partnership firm, corporate body, trust or any other person.
- (xi) **Drawal**: drawal of foreign exchange from an authorised person and includes opening of Letter of Credit or use of International Credit Card or International Debit Card or ATM Card or any other thing by whatever name called which has the effect of creating foreign exchange liability.
- (xii) **Expatriate staff**: is a person whose provident/ superannuation/ pension fund is maintained outside India by his principal employer outside India.
- (xiii) **Foreign currency**: any currency other than Indian currency.
- (xiv) **Foreign Currency Account**: an account held or maintained in currency other than the currency of India or Nepal or Bhutan.
- (xv) **Foreign exchange**: foreign currency and includes:
 - (i) deposits, credits and balances payable in any foreign currency,
 - (ii) drafts, travellers cheques, letters of credit or bills of exchange, expressed or drawn in Indian currency but payable in any foreign currency,
 - (iii) drafts, travellers cheques, letters of credit or bills of exchange drawn by banks, institutions or persons outside India, but payable in Indian currency.
- (xvi) **Foreign Portfolio Investment**: is any investment made by a person resident outside India in capital instruments where such investment is (a) less than 10 percent of the post issue paid-up equity capital on a fully diluted basis of a listed Indian company or (b) less than 10 percent of the paid up value of each series of capital instruments of a listed Indian company.
- (xvii) **Foreign Portfolio Investor (FPI)**: is a person registered in accordance with the provisions of Securities Exchange Board of India (Foreign Portfolio Investors) Regulations, 2014.
- (xviii) **Foreign security**: any security, in the form of shares, stocks, bonds, debentures or any other instrument denominated or expressed in foreign currency and includes securities expressed in foreign currency, but where redemption or any form of return such as interest or dividends is payable in Indian currency.
- (xix) **Full Fledged Money Changer**: a money changer authorised to purchase foreign exchange from non-residents visiting India and residents, and to sell foreign exchange for private and business travel purposes only.

- (xx) **Investment on repatriation basis**: is an investment, the sale/ maturity proceeds of which are, net of taxes, eligible to be repatriated and the expression 'Investment on non-repatriation basis', will be construed accordingly.
- (xxi) **Liberalised Remittance Scheme**: is a facility available to resident individuals for making remittances outside India as per the conditions mentioned in the RBI Master Direction on Liberalised Remittance Scheme.
- (xxii) **Not permanently resident**: is a person resident in India for employment of a specified duration or for a specific job/ assignment, the duration of which is not more than three years.
- (xxiii) **Non-Resident Indian (NRI)**: a person resident outside India who is a citizen of India.
- (xxiv) **Overseas Citizen of India - cardholder**: within the meaning of Section 7(A) of the Citizenship Act, 1955.

("7A. Registration of Overseas Citizen of India Cardholder.--(1) The Central Government may, subject to such conditions, restrictions and manner as may be prescribed, on an application made in this behalf, register as an Overseas Citizen of India Cardholder--

(a) any person of full age and capacity,--

- (i) who is a citizen of another country, but was a citizen of India at the time of, or at any time after the commencement of the Constitution; or*
- (ii) who is a citizen of another country, but was eligible to become a citizen of India at the time of the commencement of the Constitution; or*
- (iii) who is a citizen of another country, but belonged to a territory that became part of India after the 15th day of August, 1947; or*

(iv) who is a child or a grandchild or a great grandchild of such a citizen; or

(b) a person, who is a minor child of a person mentioned in clause (a); or

(c) a person, who is a minor child, and whose both parents are citizens of India or one of the parents is a citizen of India; or

(d) spouse of foreign origin of a citizen of India or spouse of foreign origin of an Overseas Citizen of India Cardholder registered under section 7A and whose marriage has been registered and subsisted for a continuous period of not less than two years immediately preceding the presentation of the application under this section:

Provided that for the eligibility for registration as an Overseas Citizen of India Cardholder, such spouse shall be subjected to prior security clearance by a competent authority in India:

Provided further that no person, who or either of whose parents or grandparents or great grandparents is or had been a citizen of Pakistan, Bangladesh or such other country as the Central Government may, by notification in the Official Gazette, specify, shall be eligible for registration as an Overseas Citizen of India Cardholder under this sub-section.

(2) The Central Government may, by notification in the Official Gazette, specify the date from which the existing persons of Indian Origin Cardholders shall be deemed to be Overseas Citizens of India Cardholders.

Explanation.--For the purposes of this sub-section, "Persons of Indian Origin Cardholders" means the persons registered as such under notification number 26011/4/98 F.I., dated the 19th August, 2002, issued by the Central Government in this regard.

(3) Notwithstanding anything contained in sub-section (1), the Central Government may, if it is satisfied that special circumstances exist, after recording the circumstances in writing, register a person as an Overseas Citizen of India Cardholder."

- (xxv) **Overseas Principal:** are reputed money transfer companies abroad entering into tie up with agents in India known as Indian agents who would disburse funds to beneficiaries in India at ongoing exchange rates.
- (xxvi) **Permissible currency:** is a foreign currency which is freely convertible.
- (xxvii) **Person:** includes:
 - (i) an individual,
 - (ii) a Hindu undivided family,
 - (iii) a company,
 - (iv) a firm,
 - (v) an association of persons or a body of individuals, whether incorporated or not,
 - (vi) every artificial juridical person, not falling within any of the preceding sub-clauses, and
 - (vii) any agency, office or branch owned or controlled by such person.
- (xxviii) **Person of Indian Origin (PIO):** a person resident outside India who is a citizen of any country other than Bangladesh or Pakistan or such other country as may be specified by the Central Government, satisfying the following conditions:
 - (a) Who was a citizen of India by virtue of the Constitution of India or the Citizenship Act, 1955 (57 of 1955); or
 - (b) Who belonged to a territory that became part of India after the 15th day of August, 1947; or
 - (c) Who is a child or a grandchild or a great grandchild of a citizen of India or of a person referred to in clause (a) or (b); or
 - (d) Who is a spouse of foreign origin of a citizen of India or spouse of foreign origin of a person referred to in clause (a) or (b) or (c).
(PIO includes an 'Overseas Citizen of India' cardholder within the meaning of Section 7(A) of the Citizenship Act, 1955).
- (xxix) **Person resident in India:**
 - (i) a person residing in India for more than one hundred and eighty-two days during the course of the preceding financial year but does not include:
 - (A) a person who has gone out of India or who stays outside India, in either case--
 - (a) for or on taking up employment outside India, or
 - (b) for carrying on outside India a business or vocation outside India, or
 - (c) for any other purpose, in such circumstances as would indicate his intention to stay outside India for an uncertain period.
 - (B) a person who has come to or stays in India, in either case, otherwise than--
 - (a) for or on taking up employment in India, or
 - (b) for carrying on in India a business or vocation in India, or
 - (c) for any other purpose, in such circumstances as would indicate his intention to stay in India for an uncertain period,
 - (ii) any person or body corporate registered or incorporated in India,
 - (iii) an office, branch or agency in India owned or controlled by a person resident outside India,
 - (iv) an office, branch or agency outside India owned or controlled by a person resident in India.
- (xxx) **Person resident outside India:** a person who is not resident in India.
- (xxxi) **Real estate business:** is dealing in land and immovable property with a view to earning profit therefrom and does not include development of townships, construction of residential/ commercial premises, roads or bridges, educational institutions, recreational facilities, city and regional level

infrastructure, townships. Earning of rent income on lease of the property, not amounting to transfer, will not amount to real estate business.

(xxxii) **Relative**: is a person as defined in section 2(77) of the Companies Act, 2013.

“2(77) “relative”, with reference to any person, means anyone who is related to another, if—

(i) they are members of a Hindu Undivided Family;

(ii) they are husband and wife; or

(iii) one person is related to the other in such manner as may be prescribed;”

(List of Relatives in Terms of Clause (77) of section 2

A person shall be deemed to be the relative of another, if he or she is related to another in the following manner, namely:-

(1) Father (also step-father)

(2) Mother (also step-mother)

(3) Son (also step-son)

(4) Son's wife.

(5) Daughter

(6) Daughter's husband

(7) Brother (also step-brother)

(8) Sister (also step-sister)

(xxxiii) **Remittance of assets**: remittance outside India of funds in a deposit with a bank/ firm/ company, provident fund balance or superannuation benefits, amount of claim or maturity proceeds of insurance policy, sale proceeds of shares, securities, immovable property or any other asset held in India in accordance with the provisions of the Foreign Exchange Management Act, 1999 (FEMA) or rules/ regulations made under FEMA.

(xxxiv) **Repatriation outside India**: the buying or drawing of foreign exchange from an authorised dealer in India and remitting it outside India through banking channels or crediting it to an account denominated in foreign currency or to an account in Indian currency maintained with an authorised dealer from which it can be converted in foreign currency.

(xxxv) **Resident Indian citizen**: is an individual who is a person resident in India and is citizen of India by virtue of the Constitution of India or the Citizenship Act, 1955 (57 of 1955).

(xxxvi) **Startup**: is an entity which complies with the conditions laid down in Notification No. GSR 180(E) dated February 17, 2016 issued by Department of Industrial Policy and Promotion, Ministry of Commerce and Industry, Government of India.

(xxxvii) **Transfer**: includes sale, purchase, mortgage, exchange, pledge, gift, loan or any other form of transfer of right, title, possession or lien.

8.4 BRINGING IN AND TAKING OUT FOREIGN EXCHANGE

Basic provisions of FEMA include the provisions for bringing foreign exchange in the country and taking it out of the country by residents and non-residents.

8.4.1 Bringing in of Foreign Exchange

Foreign exchange in any form can be brought into India freely without any limit, as per certain procedures and provisions.

Currency Declaration Form: When foreign exchange is brought into India by a person, a declaration to the Customs Authorities in Currency Declaration Form (CDF) is to be made, except in following cases:

- (i) If currency notes and/or travellers' cheques do not exceed USD 10,000 or its equivalent, and/ or
- (ii) If foreign currency notes do not exceed USD 5,000 or its equivalent.

8.4.2 Purchase of Foreign Currency from Public

- (i) AP and their franchisees may freely purchase foreign currency notes, coins and travellers cheques from residents and non-residents. Where the foreign currency was brought in by declaring on form CDF, it should be insisted upon.
- (ii) Payment in cash in Indian Rupees for foreign currency notes and/ or travellers' cheques purchased is permitted, with following ceilings per transaction:
 - From resident persons: USD1,000 or equivalent
 - From Foreign visitors/ Non-Resident Indians: USD3,000 or equivalent
- (iii) Sale of Indian Rupees to foreign tourists/ visitors against International Credit Cards/ International Debit Cards is permitted.
- (iv) Payments to resident customers for foreign currency notes and/ or traveller's cheques purchased can be made in Indian Rupee by way of account payee cheque/ demand draft/ loading in INR debit cards/ electronic funds transfer through banking channel.

Encashment Certificate: AP may issue certificate of encashment in cases of purchases of foreign currency notes, coins and travellers cheques from residents and non-residents. Non-residents should be advised that unspent local currency held by them will be converted back into foreign currency only against production of a valid encashment certificate.

8.4.3 Taking Out of Foreign Exchange

Taking out foreign exchange in any form, other than foreign exchange obtained from an authorised dealer or a money changer is prohibited unless it is covered by a general or special permission of the RBI. Non-residents have general permission to take out an amount not exceeding the amount originally brought in by them, subject to compliance with the provisions of declaring currency brought in and obtaining encashment certificate when converting the same into Indian rupee.

8.4.4 Sales Against Reconversion of Indian Currency

- (i) AP may convert into foreign currency, unspent Indian currency held by non-residents at the time of their departure from India, provided a valid Encashment Certificate is produced.
- (ii) In following cases unspent rupees can be converted to foreign currency without an encashment certificate:
 - (a) Amount up to Rs.10,000/- (out of converted foreign exchange) without production of encashment certificate, provided
 - AP is satisfied about the bonafide reasons for not having the encashment certificate, and
 - The departure is within the following seven days.
 - (b) Foreign tourists (not NRIs) may be permitted to reconvert rupees withdrawn from ATM upto Rs.50,000/- against following documents:
 - Valid Passport and Visa,
 - Air Ticket confirmed for departure within seven days, and
 - Original ATM withdrawal slip (for the debit/ credit card to be produced).

8.5 INWARD REMITTANCES

Inward remittance refers to transfer of money made to a country from any foreign country. The transaction is initiated in a foreign country by the person making the remittance to a person in the recipient country. Inward remittances to India are usually made by Non-resident Indians primarily to support their families and for business and investment purposes.

8.5.1 General Rules on Inward Remittances

There are no restrictions for a resident individual for receiving inward remittances through AD banks in India. ADs may freely purchase from the public in India TTs, MTs, Drafts, Bills, etc., drawn in any foreign currency against rupees. Foreign exchange due or accrued as remuneration for services rendered, whether in or outside India, or in settlement of any lawful obligation, or an income on assets held outside India, or as inheritance, settlement or gift, is to be sold (surrendered) to an authorised person within 180 days from the date of its receipt.

8.5.2 Approved Remittance Methods to India

Bank wire transfers and sending money through agents like Western Union and Money gram are the most popular methods for remitting money to India. Sending money through the agents is very easy and quick, but is risky too. Various other methods for inward remittances into India are:

- (i) *Bank Wire Transfer*: Money is transferred from one bank to another using the electronic medium. It generally takes two working days.
- (ii) *Bank Money Orders*: This is quite similar to the postal money orders except that the process is done by a bank. The bank allows the remitter to buy the money order outside India and send the money to beneficiaries in India. The bank uses the services of the postal department of the recipient's country to hand over the money. This is a time consuming process when compared to other methods.
- (iii) *Foreign Currency Cheques*: The foreign remitter writes a cheque and sends it to the recipient. The recipient deposits it in his account with a bank in India. The process is very simple, but is time consuming. It usually takes 20-25 days, that can be reduced a little by using courier services. There are various products like cash letter plus service etc that significantly reduce the time of remittance and in some cases facilitate immediate credit.
- (iv) *Foreign Currency Drafts*: A foreign currency draft is similar to an ordinary bank draft except for the difference that the former is sent overseas. This method is generally advisable for making payments for business transactions or when the payment is to be made to an unknown person. The normal time taken for encashment of foreign currency drafts is 21 days.
- (v) *Remittance Cards*: A remittance card is a reloadable debit card. The NRI has to buy the card under the recipient's name, register and send the remittance. Once the recipient receives the card, he can use it at ATMs and stores. The cards can be purchased easily and it is very cost effective.
- (vi) *Direct Deposit/ACH Transfer*: In this method, the NRI authorizes a bank (generally an Indian one) to withdraw funds from his foreign bank account as per his instruction. This method is recommended when the NRI has to send money home on a regular basis. The money can be used for expenses in India.

Inward Remittance Limit: FEMA does not specify any limit for money being brought into India. A reason for that could be to increase the foreign exchange inflows to the country. One can freely remit any amount

of money to India either to his own accounts or to those of his relatives. Foreign Inward Remittance Certificate (FIRC) is not required for the remittances to India by NRIs to their relatives. However, for remittances received for business purposes, FIRC is required to claim tax concessions.

8.6 OUTWARD REMITTANCES

8.6.1 Release of Foreign Exchange by Authorised Dealers

Release of foreign exchange to persons resident in India for various current account transactions is governed by Foreign Exchange Management (Current Account Transactions) Rules, 2000. These rules have categorized current account transactions in the following three categories:

- Transactions expressly prohibited – Schedule I
- Transactions permitted with prior approval from the concerned Ministry/ Department of the Government of India – Schedule II
- Transactions that can be permitted by Authorised Dealers upto the threshold ceilings specified – Schedule III.

Remittances made out of the funds in the following types of foreign currency accounts maintained by the remitter in India for the transactions covered under Schedule II or Schedule III are exempted from the requirement of prior approval of the Government of India or the Reserve Bank respectively:

- (i) Resident Foreign Currency Accounts
- (ii) Exchange Earners' Foreign Currency (EEFC) Accounts

In respect of transactions covered under Schedule III, remittances beyond the threshold ceilings require prior approval of RBI. However, payments through International Credit Cards (issued by overseas banks and other reputed agencies) for meeting expenses when on a visit outside India RBI approval is not required.

8.6.1.1 Transactions which are Prohibited – Schedule I

Release of foreign exchange for the under mentioned transactions is prohibited.

- (i) Remittance out of lottery winnings.
- (ii) Remittance of income from racing/riding etc. or any other hobby.
- (iii) Remittance for purchase of lottery tickets, banned /proscribed magazines, football pools, sweepstakes, etc.
- (iv) Payment of commission on exports made towards equity investment in Joint Ventures / Wholly Owned Subsidiaries abroad of Indian companies.
- (v) Remittance of dividend by any company to which the requirement of dividend balancing is applicable.
- (vi) Payment of commission on exports under Rupee State Credit Route, except commission up to 10% of invoice value of exports of tea and tobacco.
- (vii) Payment related to “Call Back Services” of telephones.
- (viii) Remittance of interest income on funds held in Non-Resident Special Rupee (Account) Scheme.

Remittances in any form towards participation in lottery schemes, or such schemes like money circulation, or for securing prize money/awards, etc. are prohibited.

8.6.1.2 Transactions which require prior approval of the Central Government– Schedule II

Transactions related to the purposes mentioned here require prior approval from the Ministry or Department of the Central Government as indicated below.

	Purpose of Remittance	Ministry/ Department of Govt. of India whose approval is required
1	Cultural Tours	Ministry of Human Resources Development, (Department of Education and Culture)
2.	Advertisement in foreign print media for the purposes other than promotion of tourism, foreign investments and international bidding (exceeding USD 10,000) by a State Government and its Public Sector Undertakings	Ministry of Finance, (Department of Economic Affairs)
3	Remittance of freight of vessel chartered by a PSU	Ministry of Surface Transport, (Chartering Wing)
4	Payment of import through ocean transport by a Govt. Department or a PSU on c.i.f. basis (i.e. other than f.o.b. and f.a.s. basis)	Ministry of Surface Transport, (Chartering Wing)
5	Multi-modal transport operators making remittance to their agents abroad	Registration Certificate from the Director General of Shipping
6	Remittance of hiring charges of transponders by	
	(a) TV Channels	Ministry of Information and Broadcasting
	(b) Internet Service providers	Ministry of Communication and Information Technology
7	Remittance of container detention charges exceeding the rate prescribed by Director General of Shipping	Ministry of Surface Transport (Director General of Shipping)
8	Remittance of prize money/sponsorship of sports activity abroad by a person other than International / National / State Level sports bodies, if the amount involved exceeds USD 100,000.	Ministry of Human Resources Development (Department of Youth Affairs and Sports)
9	Remittance for membership of P&I Club	Ministry of Finance (Insurance Division)

8.6.1.3 Transactions that can be permitted by Authorised Dealers – Schedule III

A. Individuals can avail of foreign exchange facility during a financial year for the following purposes (including other eligible purposes) within the limit of USD 250,000 only prescribed under Liberalised remittance Scheme (LRS). Any remittance in beyond this limit requires prior RBI approval.

- (i) Private visits to any country (except Nepal and Bhutan).
- (ii) Gift or donation.
- (iii) Going abroad for employment.
- (iv) Emigration.

- (v) Maintenance of close relatives abroad.
 - (vi) Travel for business, or attending a conference or specialised training or for meeting expenses for meeting medical expenses, or check-up abroad, or for accompanying as attendant to a patient going abroad for medical treatment/ check-up.
 - (vii) Expenses in connection with medical treatment abroad.
 - (viii) Studies abroad.
 - (xi) Any other current account transaction
- B. For the under mentioned purposes, an individual may avail of exchange facility for an amount in excess of the LRS limit:
- (i) Emigration – If required by the country of emigration.
 - (ii) Expenses in connection with medical treatment abroad. – If required by the medical institute offering treatment.
 - (iii) Studies abroad - If required by the university.
- C. A person who is resident but not permanently resident in India and:
- (i) is a citizen of a foreign State other than Pakistan; or
 - (ii) is a citizen of India, who is on deputation to the office or branch of a foreign company or subsidiary or joint venture in India of such foreign company

is permitted to make remittance up to his net salary (after deduction of taxes, contribution to provident fund and other deductions).

(A person resident in India on account of his employment or deputation of a specified duration (irrespective of length thereof) or for a specific job or assignments, the duration of which does not exceed three years, is a resident but not permanently resident.)

Schedule III also permits certain remittance facilities for persons other than non-individuals. Detailed provisions for Liberalised Remittance Scheme are enumerated in section 8.6.6.

8.6.1.4 Fraudulent Offers

Fraudsters seek money from gullible people, under the guise of processing fees/ transaction fees/tax clearance charges/conversion charges, clearing fees, etc. The victims are persuaded to deposit the amount in accounts with banks in India, that withdrawn immediately. Multiple accounts are being opened in the name of individuals or proprietary concerns, at different bank branches for collecting the transaction charges, etc. AD Category - I banks must, therefore, exercise due caution and to be extra vigilant while opening or allowing transactions in such accounts.

8.6.2 Release of Foreign Exchange by Authorised Dealer Category II

In order to provide adequate foreign exchange facilities and efficient customer service, RBI grants licenses to certain entities as Authorised Dealer – Category II (AD-Cat II) to undertake a range of non-trade current account transactions:

- (i) Private visits,
- (ii) Remittance by tour operators / travel agents to overseas agents / principals / hotels,
- (iii) Business travel,
- (iv) Fee for participation in global conferences and specialized training,
- (v) Remittance for participation in international events / competitions (towards training, sponsorship and prize money),

- (vi) Film shooting,
- (vii) Medical treatment abroad,
- (viii) Disbursement of crew wages,
- (ix) Overseas education,
- (x) Remittance under educational tie up arrangements with universities abroad,
- (xi) Remittance towards fees for examinations held in India and abroad and additional score sheets for GRE, TOEFL etc.,
- (xii) Employment and processing, assessment fees for overseas job applications,
- (xiii) Emigration and emigration consultancy fees,
- (xiv) Skills / credential assessment fees for intending migrants,
- (xv) Visa fees,
- (xvi) Processing fees for registration of documents as required by the Portuguese/ other Governments,
- (xvii) Registration / subscription / membership fees to International Organisations.

8.6.2.1 Meeting of medical expenses of NRI close relatives by resident individuals

The medical expenses in respect of NRI close relative (defined in Sec.2 (77) of the Companies Act, 2013) paid by a resident individual in Indian rupee, is in the nature of a resident to resident transaction covered under the general permission to make any payment in rupees for expenses on account of boarding, lodging and services related thereto or travel to and from and within India of a person resident outside India who is on a visit to India.

8.6.3 Prohibition on Drawal of Foreign Exchange

Drawal of foreign exchange by any person for the following purpose is prohibited:

- a. a transaction specified in the Schedule I; or
- b. a travel to Nepal and/or Bhutan; or
- c. a transaction with a person resident in Nepal or Bhutan. This may be permitted by RBI by special or general order, with such conditions as considered necessary.

8.6.4 Issue of International Credit Cards/ International Debit Cards

8.6.4.1 International Credit Cards (ICC)

- (i) The restrictions contained in FEMA are not applicable to International Credit Cards (ICCs) (issued by overseas banks and other reputed agencies) used by residents for expenses, while on a visit outside India.
- (ii) Residents can use ICCs on internet for any purpose for which exchange can be purchased from an AD in India, e.g. for import of books, purchase of downloadable software, or any other item permissible under Foreign Trade Policy (FTP).
- (iii) ICCs cannot be used in any manner for prohibited items, like lottery tickets, banned or proscribed magazines, participation in sweepstakes, payment for call-back services, etc.,
- (iv) There is no aggregate monetary ceiling separately prescribed for use of ICCs through internet.
- (v) Resident individuals maintaining foreign currency accounts, as permissible, with an AD in India or a bank abroad, are free to obtain ICCs issued by overseas banks and other reputed agencies. The charges incurred against the card either in India or abroad, can be met out of funds held in such foreign currency account/s of the card holder or through remittances (directly to the card issuing

agency abroad, and not to a third party), if any, from India only through a bank where the card holder has a current or savings account. The applicable limit will be the credit limit fixed by the card issuing banks. There is no monetary ceiling fixed by RBI for remittances under this facility.

- (vi) Use of ICC for payment in foreign exchange in Nepal and Bhutan is not permitted.
- (vii) ADs may issue ICCs to NRIs/ PIOs, without prior approval of RBI, subject to the condition that charges on the use of ICCs should be settled by the concerned NRIs/ PIOs only out of inward remittances or balances held in their NRE Accounts/ FCNR Accounts.

8.6.4.2 International Debit Cards (IDC)

- (i) AD banks may issue IDCs to a resident for drawing cash or making payment to a merchant establishment overseas during his visit abroad.
- (ii) IDCs can be used only for permissible current account transactions and within the limits as mentioned in the Schedules to the Rules.
- (iii) IDCs cannot be used on internet for purchase of prohibited items like lottery tickets, banned or proscribed magazines, participation in sweepstakes, payment for call-back services, etc.

8.6.4.3 Use of Credit / Debit Cards for Payments for Airline Tickets

Card Companies have been providing arrangements to the foreign airlines operating in India to select the country and currency of their choice for credit/ debit card transactions, in respect of sale of the air tickets in India in INR. In such transactions, the overseas bank as the acquiring bank receives the funds from card issuing company in its Vostro account maintained with an AD bank in India or in its foreign currency account maintained abroad and makes the payment in foreign currency overseas to the foreign airline. This practice adopted by foreign airlines is not in conformity with the extant provisions of FEMA, 1999. AD Cat - I banks should therefore, advise the foreign airlines not to use overseas banks for settlement of INR transactions on account of sale of air tickets in India.

8.6.5 Store Value Cards/ Charge Cards/ Smart Cards, etc.

AD banks may issue Store Value Card/ Charge Card/ Smart Card to residents traveling on private/business visit abroad for making payments at overseas merchant establishments and also for drawing cash overseas from ATM terminals. Use of such cards is limited to permissible current account transactions and subject to the prescribed limits under the FEM (CAT) Rules, 2000.

8.6.5.1 Redemption of Unutilized Balance on Prepaid Travel Cards

Resident Indians who purchase travel cards, are permitted refund of the unutilized foreign exchange balance only after 10 days from the date of last transaction, and APs shall redeem the unutilized balance immediately upon request subject to retention of:

- (i) Amounts that are authorized and remain unclaimed/ not settled by the acquirers as of the date of redemption till the completion of the respective settlement cycle, till the prescribed settlement timeframe;
- (ii) A small balance not exceeding US\$ 100, for meeting any pipeline transactions till the completion of the respective settlement cycle; and
- (iii) Transaction fees / service tax payable in India in Rupees.

8.6.6 Liberalised Remittance Scheme (LRS)

For resident individuals RBI has eased the restrictions for outward remittances under the Liberalised Remittance Scheme (LRS) introduced in 2004. This Scheme has replaced the provisions of current account transactions for individuals.

8.6.6.1 Salient Features of LRS

(a) Eligible Persons

- (i) It is available to resident individuals, including minors.
- (ii) It is not available to corporates, partnership firms, HUF, Trusts, etc.
- (iii) Remittances can be consolidated in respect of family members subject to individual family members complying with the terms and conditions.
- (iv) For capital account transactions, clubbing is permitted only if the other family member(s) is/ are co-owners/ co-partners of the overseas bank account/ investment/property.

(b) Permissible Amount

- (i) Maximum amount permitted in a financial year (April to March) is USD 250,000 per head.
- (ii) There is no restriction on the number of transactions.
- (iii) Release exceeding the limit requires prior permission RBI.

(c) Purposes – Permitted/ Not Permitted

- (i) Can be used for any permitted current account or capital account transaction or any combination.
- (ii) It subsumes current account (Schedule III) transactions (viz. private visit; gift/ donation; going abroad on employment; emigration; maintenance of close relatives abroad; business trip; medical treatment abroad; studies abroad) available to resident individuals.
- (iii) Remittance for margins or margin calls to overseas exchanges/ counterparty are not allowed.
- (iv) Cannot be used to give a gift to another resident individual by remitting funds to the latter's foreign currency account overseas.
- (v) All other transactions not permissible under FEMA are not allowed.
- (vi) Capital account transactions permitted under LRS are:
 - a. opening of foreign currency account abroad with a bank;
 - b. purchase of property abroad;
 - c. making investments abroad
(viz. acquisition and holding shares of listed and unlisted overseas company or debt instruments; acquisition of qualification shares of an overseas company for holding the post of Director; acquisition of shares of a foreign company towards professional services rendered or in lieu of Director's remuneration; investment in units of Mutual Funds, Venture Capital Funds, unrated debt securities, promissory notes);
 - d. setting up Wholly Owned Subsidiaries and Joint Ventures outside India for bonafide business subject to the stipulated terms & conditions;
 - e. extending loans including loans in Indian Rupees to NRIs who are relatives as defined in Companies Act, 2013.
- (vii) Investor can retain and reinvest abroad funds remitted under LRS and the income thereon.

- (viii) A resident individual making overseas direct investment in the equity shares; compulsorily convertible preference shares of a JV/WoS outside India shall have to comply with the terms and conditions prescribed in the overseas investment guidelines under FEMA.

(d) Aspects Related to Certain Specific Purposes

a. Private visits

Foreign exchange release by an AD or FFMC for visits abroad is subject to following conditions:

- (i) Total amount in any one financial year is limited to USD 2,50,000, irrespective of the number of visits.
- (ii) No foreign exchange is permitted for visits to Nepal and Bhutan.
- (iii) The limit covers all tour related expenses including cost of rail/road/water transportation; cost of Euro Rail; passes/tickets, etc. outside India; and overseas hotel/lodging expenses.
- (iv) AD may remit foreign exchange up to a reasonable limit, towards hotel accommodation, tour arrangements, etc., in the countries proposed to be visited by the traveller.
- (v) The tour operator can collect this amount either in Indian rupees or in foreign currency from the resident traveller.
- (vi) Within the overall ceiling, exchange as foreign currency notes and coins is limited to:
 - Travellers proceeding to countries other than Iraq, Libya, Islamic Republic of Iran, Russian Federation and other Republics of Commonwealth of Independent States - not exceeding USD 3000 per visit or its equivalent.
 - Travellers proceeding to Iraq or Libya - not exceeding USD 5000 per visit or its equivalent.
 - Travellers proceeding to Islamic Republic of Iran, Russian Federation and other Republics of Commonwealth of Independent States - full exchange may be released.
 - Travellers proceeding for Hajj/Umrah pilgrimage- full amount of entitlement in cash or up to the cash limit as specified by the Hajj Committee of India, may be released.

b. Gift/ Donation

A resident individual may remit up to USD 250,000 in one FY as gift to a person residing outside India or as donation to an organization outside India.

c. Going abroad on employment

A person going abroad for employment can draw foreign exchange up to USD 250,000 per FY.

d. Emigration

- (i) A person wanting to emigrate can draw foreign exchange from an AD up to the amount prescribed by the country of emigration or USD 250,000.
- (ii) Remittance in excess of this limit may be allowed only for meeting incidental expenses in the country of immigration and not for earning points or credits for immigration by way of overseas investments in government bonds; land; commercial enterprise; etc.

e. Maintenance of close relatives abroad

A resident individual can remit up to USD 250,000 per FY for maintenance of close relatives (Companies Act, 2013) abroad.

f. Business trip

- (i) Visits by individuals for an international conference, seminar, specialised training, apprentice training, etc., are treated as business visits.
- (ii) For business trips to foreign countries, resident individuals can avail of foreign exchange up to USD 250,000 in a FY irrespective of the number of visits.

- (iii) However, if an employee is deputed by an entity for any of the above purposes and the expenses are borne by the latter, such expenses are outside LRS, and permitted by the AD without any limit, subject to verifying the bonafides.
- g. **Medical treatment abroad**
 - (i) Permitted up to an amount of USD 2,50,000 or its equivalent per FY without insisting on any estimate from a hospital/ doctor.
 - (ii) Beyond this limit, AD may permit under general permission based on the estimate from the doctor in India or hospital/ doctor abroad.
 - (iii) A person falling sick after proceeding abroad may also be released foreign exchange by an AD for medical treatment outside India.
 - (iv) In addition, an amount up to USD 250,000 per FY is allowed for a person accompanying as attendant to a patient going abroad for medical treatment/ check-up.
- h. **Facilities available to students for pursuing their studies abroad**
 - (i) ADs may release foreign exchange up to USD 2,50,000 to resident individuals for studies abroad without insisting on any estimate from the foreign University.
 - (ii) ADs may permit beyond this limit based on the estimate received from the institution abroad.
- i. **Other Purposes**
Remittances are permitted for purchasing objects of art subject to the provisions of other applicable laws including Foreign Trade Policy.

(e) Modes of Remittance

- (i) Individuals can open, maintain and hold foreign currency accounts with a bank outside India for making remittances under LRS, without RBI approval. These may be used for putting through all transactions connected with or arising from remittances eligible under LRS.
- (ii) Outward remittance is permitted in the form of a DD in the resident individual's own name or in the name of beneficiary with whom he intends putting through the permissible transactions at the time of private visit abroad, against self-declaration of the remitter.
- (iii) The usual permissible modes of remittances can be used.

(f) Prohibitions

- (i) Banks should not extend any kind of credit facilities to facilitate capital account remittances.
- (ii) Remittances for any purpose under Schedule I or Schedule II of FEMA (Current Account Transaction) Rules are not permitted.
- (iii) Capital account remittances to countries identified by FATF as non-co-operative countries and territories are not permitted.
- (iv) Remittances directly or indirectly to those individuals and entities identified as posing significant risk of committing acts of terrorism as advised separately by RBI are also not permitted.

(g) Procedure and Documents Required

- (i) The individual will have to designate a branch of an AD through which all the remittances under the Scheme will be made.
- (ii) The resident individual seeking to make the remittance should furnish Form A2 for purchase of foreign exchange under LRS.
- (iii) The resident individual must provide his/her Permanent Account Number (PAN) to make remittance under the Scheme.

8.6.7 Period of surrender of foreign exchange

- (i) The foreign exchange purchased for a specific purpose can be utilized for any other eligible purpose permitted.
- (ii) A resident individual may surrender received/ realised/ unspent/ unused foreign exchange to an AP within a period of 180 days.
- (iii) AP should not refuse to purchase foreign exchange, even if surrendered after the prescribed 180 days merely on the ground that the prescribed period has expired.
- (iv) A returning traveller is permitted to retain, foreign currency, travellers' cheques and currency notes up to USD 2000 and foreign coins without any ceiling beyond 180 days, and utilize it for his subsequent visit abroad.

8.6.8 Operational Aspects for the Authorised Persons

- (i) APs shall obtain a declaration from the person desiring to transact in foreign exchange that the transaction will not involve and is not designed for the purpose of any contravention or evasion of the provisions of the FEMA and its rules.
- (ii) APs will obtain from the person such information/ documents as will reasonably satisfy them that the transaction will not involve and is not designed for the purpose of any contravention or evasion of the provisions of the FEMA or any rule.
- (iii) They shall also keep on record any information / documentation, on the basis of which the transaction was undertaken.
- (iv) They shall refuse, in writing, to undertake the transaction and shall, if he has reasons to believe that any contravention / evasion is contemplated by the person, report the matter to RBI.
- (v) They need to comply with the requirement of the tax laws.
- (vi) They are required to ensure that "Know Your Customer" guidelines have been followed and also comply with the Anti-Money Laundering Rules.
- (vii) The applicants should have maintained the bank account with the bank for a minimum period of one year prior to the remittances for capital account transactions.
- (viii) If the applicant seeking to make the remittances is a new customer of the bank, AD should carry out due diligence on the opening, operation and maintenance of the account, and should obtain bank statement for the previous year to satisfy themselves regarding the source of funds. Else, copies of the latest Income Tax Assessment Order or Return filed by the applicant may be obtained.
- (ix) The AD should ensure that the payment is received out of funds belonging to the person seeking to make the remittances, by a cheque drawn on the applicant's bank account or by debit to his account or by Demand Draft/ Pay Order. AD may also accept the payment through credit /debit/prepaid card of the card holder.
- (x) They should certify that the remittance is not being made directly or indirectly by/ or to ineligible entities.
- (xi) AD bank should not extend any kind of credit facilities to resident individuals to facilitate remittances for capital account transactions under LRS.
- (xii) The remittances made under LRS will be reported in FETERS in the normal course.
- (xiii) The AD may prepare and keep on record dummy Form A2, in respect of remittances less than USD 25,000.

8.6.9 Remittances to Non-residents – Deduction of Tax at Source

On the Central Board of Direct Taxes revising the instructions to be followed while allowing remittances to the non-residents, ADs are required to comply with the requirement of the tax laws, as applicable.

8.7 INDO NEPAL REMITTANCE SCHEME

8.7.1 Background

Considering the importance of establishing a formal remittance system between India and Nepal, Indo-Nepal Remittance Facility Scheme (Scheme) was launched by the RBI (in consultation with Nepal Rastra Bank) in May 2008 as an option for cross-border remittances from India to Nepal, with special focus on requirements of migrant workers of Nepali origin working in India. It leverages the National Electronic Funds Transfer (NEFT) ecosystem for origination of such remittances. The system is designed to ensure faster remittances from India to any part of Nepal with safety and security.

8.7.2 Salient Features

- (i) The target group is the migrant Nepalese working in India who make remittances to their families.
- (ii) The system was launched with only one way remittances from India to Nepal.
- (iii) A ceiling of INR Rs.2,00,000 is fixed per remittance.
- (iv) Banks may accept cash from walk-in customers or non-customers. The ceiling of Rs. 50,000 per remittance with a maximum of 12 remittances in a year applies for such remittances.
- (v) The remittances from India are in Indian Rupees, and the payment to the beneficiaries, is in Nepalese Rupees.
- (vi) Banks can provide this facility to both account-holders as well as non-account holders. A Nepalese migrant worker not having bank accounts at either end or both ends, can also avail this facility. A non-account holder has to produce identification documents like Passport/ PAN/ Driving License/ Telephone Bill/ Certificate of identification issued by employer in India with details and photograph, etc.

8.7.3 Operations

- (i) The Nepal remittances are processed in different NEFT batches in NCC, Mumbai and channelized to Nepal using the SBI payment gateway specially created for Nepal remittances.
- (ii) Remittances are paid to the beneficiaries in Nepal through the branches of Nepal State Bank Ltd. and their approved Agents.
- (iii) The banks originating remittances must complete customer due diligence on the remitter as required under extant guidelines on KYC/AML/CFT.
- (iv) Cash remittances are accepted from non-customers only. In such cases, the remitter has to produce any identification document like Passport/ PAN/ Driving License/ Telephone Bill/ Certificate of identification issued by employer with details and photograph, etc. This information is captured in the system.
- (v) The address and telephone/ mobile number of the sender as also the beneficiary in Nepal are also captured while sending a remittance.

8.8 LET US SUM UP

Various countries are at different levels of development and the availability of foreign exchange with various countries varies widely. Hence the need to manage foreign exchange resources prudently. Keeping in view the changed economic environment, the FEMA replaced FERA effective from June 1, 2000. Under FEMA certain types of transactions are freely permitted, certain others are permitted with restrictions whereas there are few types of transactions that are prohibited.

Bringing foreign exchange into India in any form is freely permitted, for bonafide purposes, and is required to be declared. Taking foreign exchange out of India, except that purchased from an AP, is prohibited unless it is covered by a general or special permission of the RBI.

Various remittance modes that are permitted include bank wire transfers, bank money orders, foreign currency cheques, foreign currency drafts, remittance cards, and direct deposit ACH transfers. Such remittances should however be for bonafide purposes.

Release of foreign exchange to persons resident in India for various current account transactions is governed by Foreign Exchange Management (Current Account Transactions) Rules, 2000, and is categorized in three categories: Prohibited transactions (Schedule I), Transactions requiring permission from the Central Govt. (Schedule II) and Transactions permitted with AD permission upto specified limits, and with RBI permission beyond that (Schedule III).

In order to provide adequate foreign exchange facilities, RBI has granted licenses to certain entities to function as AD Cat-II, who can undertake a range of non-trade current account transactions.

Foreign exchange drawal for a visit to Nepal or Bhutan, or for a transaction with a person resident in Nepal or Bhutan is not permitted. Such transactions can be undertaken in Indian Rupee.

For individuals under LRS general permission for specified current account and capital account transactions within a ceiling of aggregate USD 250,000 per financial year has been granted. This Scheme has subsumed the previous purpose-wise threshold limits specified under Schedule III.

For remittances to Nepal a special Indo-Nepal Remittance Scheme is in operation for the benefit of Nepalese population working in India. This facilitates remittances from India to Nepal through NEFT system.

8.9 KEYWORDS

Authorised Dealer (AD), Authorised Person (AP), Full Fledged Money Changer (FFMC), Not permanently Resident, Non Resident Indian, Overseas Citizen of India, Person of Indian Origin, Permissible Currency, Relative, Repatriation outside India.

8.10 CHECK YOUR PROGRESS

1. As per FEMA, the basic criteria for a person to be considered as resident in India is the stay in India during the preceding financial year which must be for a minimum _____ days.
 - (a) 90
 - (b) 182
 - (c) 180
 - (d) 91

2. Drawal of foreign exchange by residents is not permitted for visit to _____.
 - (a) Bhutan
 - (b) Myanmar
 - (c) Sri Lanka
 - (d) Bangla Desh
3. The ceiling on the amount permitted to be remitted under the Liberalised Remittance Scheme initially was USD _____.
 - (a) 75,000
 - (b) 50,000
 - (c) 10,000
 - (d) 25,000
4. Remittances under Indo-Nepal Remittance Scheme are made under the _____ system.
 - (a) Dedicated remittance
 - (b) NEFT
 - (c) RTGS
 - (d) SWIFT

8.11 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (b); 2. (a); 3. (d); 4. (b).

UNIT 9

OPERATIONAL ASPECTS OF NRI BUSINESS

STRUCTURE

9.0 Objectives

9.1 Introduction

9.2 Permitted Accounts in India for NRIs and PIOs

- 9.2.1 Non-Resident (External) Rupee Account Scheme – NRE Account
- 9.2.2 Loan against NRE Deposits
- 9.2.3 Foreign Currency (Non-residents) Account (Banks) Scheme – FCNR(B) Account
- 9.2.4 Non-Resident (Ordinary) Account Scheme – NRO Account
- 9.2.5 Issue of International Credit Cards
- 9.2.6 Income-Tax

9.3 Accounts in India of Foreign Nationals Visiting India

- 9.3.1 Foreign National of Non-Indian Origin Visiting India – NRO Account
- 9.3.2 Accounts of Foreign Nationals Leaving India
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9.5 Remittance of Assets Held by NRIs/ PIOs

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9.7 Creation of Charge on Immovable Property in India

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- 9.9.1 Sectors Prohibited for Investments

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- 9.9.3 Purchase/ Sale of Capital Instruments of an Indian Company
- 9.9.4 Purchase/ Sale of Capital Instruments of Listed Indian Company on a Recognised Stock Exchange on Repatriation Basis
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- 9.9.11 Transfer of Capital Instruments or Units Held on Non-Repatriation Basis
- 9.9.12 Sale on a Recognised Stock Exchange in India
- 9.9.13 Transfer of Securities as Gift to a Person Resident Outside India

9.10 Let Us Sum Up**9.11 Keywords****9.12 Check Your Progress****9.13 Answers to ‘Check Your Progress’**

9.0 OBJECTIVES

After studying this Unit, you will:

- Know about various types of bank accounts NRIs/ OICs can maintain in India.
- Know about categories of non-residents and foreign nationals who can have bank accounts in India.
- Learn about permitted investments in India for NRIs/ OICs.
- Know about facilities for remittances from India by NRIs/ OICs.

9.1 INTRODUCTION

FEMA empowers RBI to frame regulations to restrict, regulate and prohibit the maintenance of deposits between a person resident in India and a person resident outside India.

In view of large Indian diaspora settled in various countries in the world for employment and business purposes, who continue to have strong linkages with India not only socially but also economically various facilities for maintaining bank accounts as also other forex transactions have been permitted specifically for this group. These facilities generally are available to non-resident Indians (NRIs), persons of Indian origin (PIOs) and also overseas citizens of India (OCI) cardholders. It may be noted that the term PIO includes OCI cardholders also.

9.2 PERMITTED ACCOUNTS IN INDIA FOR NRIs AND PIOs

Special types of bank accounts have been permitted to be maintained in India by NRIs and PIOs. These have certain distinct features so as to serve the dual purpose of managing the country's foreign exchange resources and meet peculiar needs of NRI/ PIO diaspora. These accounts are:

- Non-Resident (External) Rupee Account Scheme
- Foreign Currency (Non-resident) Account (Banks) Scheme
- Non-Resident (Ordinary) Account Scheme

9.2.1 Non-Resident (External) Rupee Account Scheme – NRE Account

NRE Account can be maintained by Non-resident Indians (NRIs) and Person of Indian Origin (PIOs).

- (i) **Authorised Banks:** These accounts can be opened with ADs and certain other banks (including cooperative banks) authorised by RBI to maintain such accounts.
- (ii) **Type of Accounts:** These can be: savings, current, recurring or fixed deposit account, etc.
- (iii) **Joint Accounts:** Joint accounts are permitted for: two or more NRIs and/or PIOs or for an NRI/PIO with a resident relative(s) on 'former or survivor' basis. During the life time of the NRI/ PIO, the resident relative can operate only as a PoA holder.
- (iv) **Operating Modes:** Operations on an NRE account may be allowed by a resident in terms of PoA or other authority granted by the non-resident account holder, who can undertake:
 - (a) Withdrawals for local payments
 - (b) Remittance to the account holder himself through banking channels
 - (c) Make permitted investments in India.

The resident PoA holder is not allowed to:

- (i) open a NRE account;
- (ii) repatriate outside India funds in the account except to the NRI account holder

- (iii) make payment as gift to a resident on behalf of the account holder;
- (iv) transfer funds to another NRE account.
- (v) *Permitted Transactions in Savings/ Current Accounts:*
 - (a) *Cross-border Remittances:* Both inward remittances and remittances outside are permitted.
 - (b) *Permitted Credits:* Amount that can be credited in NRE accounts include;
 - i. Remittances to India in any permitted currency
 - ii. Foreign currency/ bank notes tendered by account holder on temporary visit to India, provided
 - (a) the amount was declared on a Currency Declaration Form (CDF), if applicable, and
 - (b) the notes are tendered in person by the account holder and the authorised dealer is satisfied that account holder is resident outside India
 - iii. Interest accruing on the funds held in the account.
 - iv. Current income in India due to the account holder, subject to payment of applicable taxes in India
 - v. Transfer from other NRE/ FCNR(B) accounts.
 - vi. Refund of application/ earnest money/ purchase consideration made by the house building agencies/ seller on account of non-allotment of flat/ plot/ cancellation of bookings / deals for purchase of residential/ commercial property, together with interest, if any (net of income tax payable thereon), provided the original payment was made out of NRE/ FCNR(B) account of the account holder or remittance from outside India through banking channels and the authorized dealer is satisfied about the genuineness of the transaction.
 - (c) *Permitted Debits:* The debits allowed from NRE account are;
 - i. Local disbursements,
 - ii. Remittance outside India
 - iii. Transfer to NRE/ FCNR (B) accounts of any person eligible to maintain such account.
- (vi) *Fixed Deposits Tenor:* Minimum tenor of NRE TDs is one year.
- (vii) *Interest on Deposits:* The rate of interest and tenor applicable to these accounts is as laid down in RBI (Interest Rate on Deposits) Directions, 2016.
 - (a) *Framework:* The interest rates shall be as per the Interest Rate Framework in the Directions.
 - (b) *Savings Deposits:* Interest rate on SB is as for domestic rupee SB.
 - (c) *Term Deposits:* Interest rates on NRE TDs can vary only on account of the tenor, and for bulk deposits (single deposits of Rs.2 crore and above).
 - (d) *Ceiling:* Interest rate on NRE TDs should not exceed that for comparable domestic rupee TDs.
 - (e) *Additional Interest:* The additional rate for staff and senior citizens is not permitted.
 - (f) *Periodicity:* Interest on SB is credited at quarterly or shorter intervals.
 - (g) *On Deposits of Returning NRIs:* Converted to Resident Foreign Currency Account (RFC): If TD has not run for at least one year, rate not exceeding that for SB held in RFC accounts; Other cases at the contracted rate.
 - (h) *On Premature Withdrawal of Term Deposits:* Premature withdrawal is subject to penalty:
 - (i) As per board-approved policy on penalties for premature withdrawal.
 - (ii) Components of penalty be clearly informed to the depositors.
 - (iii) Penalties apply for conversion of NRE deposit into FCNR (B) deposit and vice versa.
 - (iv) No penalty applies in following cases:
 - For conversion into RFC Account.
 - On transfer of business to another bank.

- (i) *Interest payable on Death of a Depositor*: For resident claimants, on maturity the interest for the subsequent period to be at a rate for a domestic term deposit of similar maturity.
- (viii) *Loans (Any Fund Based/ Non-Fund Based Facility) Against NRE Deposits*: AD may lend in India, and may allow branches/ correspondent banks abroad to lend overseas against the security of NRE deposits in India. Premature withdrawal of such deposits is not allowed. (Section 9.2.2)
- (ix) *Tax Exemption*: NRE deposits/ interest thereon are exempt from Wealth / Income Tax.
- (x) *Payment on Death of Depositor*: On demise of an account holder, balances can be transferred to a non-resident nominee. Remittance by a resident nominee outside India for meeting any liability of the deceased or similar other purpose, requires RBI approval.

9.2.2 Loans against NRE Deposits

A. Loans in India

Loans can be granted in India by the AD against NRE deposits, but lien is not allowed on NRE SB.

- (i) *Eligible borrower*: Loans can be given to the account holder/ third party in India.
- (ii) *Permitted Amount*: There is no monetary limit on the loan amount.
- (iii) *Margin requirements*: Usual margin requirements should be applied.
- (iv) *Restriction*: Loan amount cannot be repatriated outside India.
- (v) *Eligible Purposes*: Loan shall be used for the following purposes:
 - (a) Personal purposes or for carrying on business activities.
 - (b) Investment (non-repatriation basis) as capital in Indian firms/ companies as per FEMA.
 - (c) Acquiring flat/ house in India for own residential as per FEMA.
- (vi) *Prohibitions on Use*: Cannot be used for relending or agricultural/ plantation activities or investment in real estate business;
- (vi) *Restriction on Consideration*: For loans sanctioned to a third party, no direct or indirect foreign exchange consideration to the non-resident depositor is allowed.
- (vii) *Repayment by Holder*: Loan sanctioned to the account holder can be repaid by adjusting the deposits or through inward remittances from outside India or out of balances in the NRO account of the account holder.

B. Loan Outside India:

ADs may allow their branches/ correspondents outside India to lend against NRE deposits in India.

- (i) *Eligible borrower*: Loans can be given to the non-resident depositor or to third parties for bonafide purpose.
- (ii) *Remittance of Funds from India*: AD may allow remittance from India necessary for liquidating such loans.

9.2.3 Foreign Currency (Non-resident) Account (Banks) Scheme – FCNR (B)Account

NRIs and PIOs are permitted to maintain accounts in Foreign Currency with ADs in India under FCNR(B) Scheme.

- (i) *Eligible Banks*: Can be maintained with ADs and other authorised banks.
- (ii) *Designated Currencies*: FCNR(B) deposits may be in any of the currencies designated by RBI. Currently, are permitted in any freely convertible currency.
- (iii) *Type of Deposit*: Permitted only as TDs. RDs are not permitted.

- (iv) *Tenor of Deposit*: Minimum one year and maximum five years, with blocks as under:
- One year and above but less than two years
 - Two years and above but less than three years
 - Three years and above but less than four years
 - Four years and above but less than five years
 - Five years only
- (v) *Interest Rates*: As per the Interest Rate Framework in the Directions, *ibid*.
- (a) *Types of Rate*: Both floating rate and fixed rates are permitted.
 - (b) *Reset Period*: For floating rate - 6 months.
 - (c) *Reference Rate*: The Overnight Alternative Reference Rate for the respective currency/ Swap rates quoted / displayed by Financial Benchmarks India Pvt. Ltd. (FBIL).
 - (d) *Ceilings for Interest Rate*: Permitted mark-up on the reference rate - Tenor of less than 3 years – upto 250 basis point; and Tenor of 3 years to 5 years - upto 350 basis point.
 - (e) *Calculation of Interest*: The base is 360 days to a year; At 6 monthly rests; Actual number of days of the residual period at the end.
 - (f) *Interest on Renewal*: Renewed within 14 days, for the overdue period lower of the rate prevailing on the date of maturity or on the date of renewal. All other cases, for the overdue period treating it as a fresh deposit. If post-renewal, withdrawn prematurely in less than the minimum prescribed period, the interest paid for the period beyond maturity may be recovered, at the discretion of the bank.
 - (g) *Interest on the Death of the Depositor*: On the death of the sole depositor/ any joint depositor the interest to be determined as follows:
 - Paid on the maturity: Contracted rate;
 - Paid before maturity: Rate for the period for which the deposit remained, no penalty;
 - Death before maturity, paid after maturity: At the contracted rate till maturity; and simple interest at the rate on the date of maturity for the period run after maturity.
 - Death after maturity: Rate operative on the date of maturity for SB under RFC Account Scheme from maturity date till payment date.
 - Resident claimants: On maturity convert into Indian Rupees, and interest thereafter at the rate applicable to a domestic TD of similar maturity.
 - (h) *Interest on Return of NRI to India*: Can continue till maturity at the contracted rate (per FCNR(B) deposits) on conditions that:
 - To be treated as resident deposits from the date of return to India.
 - On maturity, to be converted into Resident Rupee Deposit Account or RFC Account (if eligible).
 - The rate on the new deposit shall be as applicable for such deposit.
 - (i) *Interest on Conversion to RFC/ Resident Rupee Account on Return to India*: For the period it has run at the rate for SB under RFC Scheme, even if less than the minimum period.
 - (j) *Premature Withdrawal*: Interest on such deposits is as per following norms:
 - As per board-approved policy on penalties for premature withdrawal.
 - At its discretion, may levy penalty to recover swap cost
 - Components of penalty to be informed to the depositor, else the exchange loss to be borne by the bank.

- Penalty to be levied on premature withdrawal on return to India for permanent settlement, or for conversion of FCNR (B) to NRE or vice-versa.
- No penalty to be levied in following cases:
 - For splitting the deposit, if the period and aggregate amount remain unchanged.
 - For conversion into RFC Accounts on return to India.
 - Consequent to the transfer of business of the branch to another bank.

(vi) *Other Aspects*: Other norms as for an NRE account apply to FCNR (B) accounts.

9.2.4 Non-Resident (Ordinary) Account Scheme – NRO account

Any person resident outside India (as per Sec. 2 (w) of FEMA), may maintain account for bona fide transactions denominated in Indian Rupees under Non- Resident (Ordinary) Account Scheme.

- (i) *Eligible Persons*: Any person resident outside India and a foreign national of non-Indian origin visiting India.
- (ii) *Eligible Banks/ Institutions*: AD, other banks authorised to maintain non-resident accounts, and Post Offices in India.
- (iii) *Types of Accounts*: SB, CA, TDs, RDs.
- (iv) *Joint Accounts*: NRI jointly with residents on 'former or survivor' basis. Jointly by NRIs/PIOs.
- (v) *Tenor of Fixed Deposits*: The minimum tenor should be seven days.
- (vi) *Interest on Deposits*: The rate and tenor as per RBI (Interest Rate on Deposits) Directions, 2016.
 - (a) *Framework*: As per Interest Rate framework laid down in the Directions.
 - (b) *Savings Deposits*: Rate as applicable to the domestic rupee SB.
 - (c) *Term Deposits*: Rates can be varied only as per the tenor, and for bulk deposits (single deposits of ₹.2 crore and above).
 - (d) *Ceiling*: Rate cannot be higher than for comparable domestic rupee TD.
 - (e) *Additional Interest Rate*: Additional rate for staff and senior citizens not allowed.
 - (f) *Periodicity*: Interest on SB at quarterly or shorter intervals.
- (vii) *Permissible Transactions*: Following transactions permitted:
 - (a) *Permissible Credits*: Inward remittances from outside India; legitimate dues in India; and transfers from other NRO accounts; rupee gift/ loan by a resident relative within LRS limit.
 - (b) *Permissible Debits*: Only local payments; and transfers to other NRO accounts. Remittances abroad not permitted, except: current income; for NRIs/ PIOs up to USD 1 million per financial year (including transfer to their NRE accounts).
- (viii) *Loans*: Loans in India to the account holder or third party against NRO deposits, as per usual norms and margin. The loan not to be used for relending, carrying on agricultural/plantation activities or investment in real estate.
- (ix) *Return of NRI to India*: NRO account is designated as resident account if indication to stay in India for an uncertain period.
- (x) *Resident becomes Non-resident*: Existing resident accounts to be designated as NRO accounts.
- (xi) *Operations by a Resident PoA Holder*: Permitted as per PoA for local payments and remittances to the concerned NRI.

9.2.5 Issue of International Credit Cards (ICC)

AD banks can issue ICCs to NRIs/ PIOs, and the transactions may be settled by inward remittance or from the cardholder's FCNR (B) / NRE / NRO Accounts.

9.2.6 Income-Tax

The remittances (net of applicable taxes) to be made on production of requisite information in the formats prescribed by the Central Board of Direct Taxes, Ministry of Finance, Government of India.

9.3 ACCOUNTS IN INDIA OF FOREIGN NATIONALS VISITING INDIA

Foreign nationals when they visit India are permitted to open bank accounts.

9.3.1 Foreign National of Non-Indian Origin Visiting India – NRO Account

NRO (current/ savings) account can be opened for foreign nationals of non-Indian origin visiting India with funds remitted from outside India through banking channel or by sale of foreign exchange brought by him to India. The balance in the NRO account may be paid to him when leaving India if held for not exceeding six months, and no credit of any local funds, except interest accrued thereon.

9.3.2 Accounts of Foreign Nationals Leaving India

When foreign nationals leave India after their employment, the resident accounts held in India to be operated as follows:

- Permitted to be re-designated as NRO account, for collection of pending bonafide dues in India.
- AD Cat-I banks to satisfy that the credits are bonafide dues when she/ he was a resident in India.
- The funds credited to be repatriated abroad immediately, on payment of applicable income tax and other taxes in India.
- The amount repatriated abroad should not exceed USD one million per financial year.
- The debit to the account only for repatriation to the account holder's account maintained abroad.
- The account to be closed soon after all the dues have been received and repatriated as per the declaration made by the account holder.

9.3.3 Opening of Accounts of Individuals/ Entities of Certain Countries

- (a) *Individuals/ Entities of Pakistan Nationality/ Ownership*: Prior approval of RBI is required.
- (b) *Individuals of Bangladesh Nationality*: Allowed to open accounts subject to a valid visa and valid residential permit issued by Foreigner Registration Office (FRO)/ Foreigner Regional Registration Office (FRRO) concerned.
- (c) *Entities of Bangladesh Ownership*: Prior approval of RBI is required.
- (d) *Citizens of Bangladesh or Pakistan Belonging to Minority Communities*: AD may open only one NRO Account for such person residing in India and granted a Long Term Visa (LTV) by the Central Government. Minority communities are Hindus, Sikhs, Buddhists, Jains, Parsis and Christians. The account is converted to a resident account once the person becomes a citizen of India. Can be opened for six months and renewed at six monthly intervals, if application for LTV is under consideration of the Central Government, if the individual holds a valid visa and valid residential permit issued by FRO/ FRRO concerned. These are to be reported to the Ministry of Home Affairs (MHA) on a quarterly basis.

9.4 SPECIAL NON-RESIDENT RUPEE ACCOUNT - SNRR ACCOUNT

SNRR accounts are essentially for foreign nationals or entities with business relationships with individuals/ entities in India.

- (a) **Eligible Persons:** Any person resident outside India, with business interest in India. Nationals of and entities incorporated in Pakistan and Bangladesh need prior RBI approval.
- (b) **Purpose:** For bonafide transactions in rupees, as per FEMA. The business interest may include:
 - Investments in India.
 - Import of goods and services.
 - Export of goods and services.
 - Trade credit transactions and lending under External Commercial Borrowings.
 - Business transactions outside International Financial Service Centre (IFSC) by IFSC units at GIFT city. Account to be with a bank in India (outside IFSC).
- (c) **Tenure of the Account:** Concurrent to the tenure of the contract/ period of operation/ the business of the account holder, maximum for seven years, except for the activities specified above. RBI approval required for renewal.
- (d) **Business-wise Segregation:** Shall carry the nomenclature of the specific business for which opened. A bank, at its discretion, may keep for a foreign national: Separate SNRR account for each category of transactions; or, a single SNRR Account for multiple categories of transactions if it can identify/ segregate and account them category-wise.
- (e) **Transactions in the Account:** The debits/ credits and the balances shall be incidental and commensurate with the business operations. AD to ensure the operations are as per FEMA.
- (f) **Restrictions:** Should not make available foreign exchange to any person resident in India.
- (g) **Prohibitions:** Transfers from NRO account to SNRR account are prohibited.
- (h) **Interest:** No interest should be paid.
- (i) **Repatriation:** The balances in the account can be repatriated.
- (j) **Taxes:** All transactions are subject to payment of applicable taxes in India.
- (k) **Account Holder becoming Resident:** To be designated as resident account.
- (l) **Nomination:** For accounts of individuals nomination facility is available.
- (m) **Death of Account Holder:** The amount to be credited to NRO/ NRE account in India of the non-resident nominee or remitted through normal banking channels.

9.5 REMITTANCE OF ASSETS HELD BY NRIs/PIOs

ADs can allow NRIs/ PIOs, on documentary evidence, to remit up to USD mn in a FY. from these assets:

- (i) Balances in NRO accounts; sale proceeds of their assets, or assets from inheritance/ legacy;
- (ii) Assets under a deed of settlement by either of the parents or a relative (as per Companies Act, 2013), effective on the death of the settler.

All instalments of a remittance should be made through the same AD. For remittance from the NRO account, an undertaking that it is not from borrowings in India should be taken.

9.5.1 Remittance of Assets Requiring RBI Approval

Prior approval of RBI is necessary for following remittances:

- (i) In excess of USD 1 mn in a FY: (a) on account of legacy, bequest or inheritance to a citizen of foreign state, resident outside India; (b) by NRIs/ PIOs from NRO accounts/ sale proceeds of assets/ the assets from inheritance/ legacy.

- (ii) Hardship will be caused to a person if remittance is not made.
- (iii) Sale proceeds of assets in India held by any person, if not covered under the directions.

9.5.2 Income-tax Clearance

The remittances are subject to payment of applicable taxes in India.

9.6 ACQUISITION AND TRANSFER OF IMMOVABLE PROPERTY IN INDIA BY A NON- RESIDENT INDIAN (NRI)

9.6.1 Acquisition of Immovable Property

NRIs/ PIOs/ OCIs can acquire and hold immovable property in India as under:

- (a) Purchase of or Gift from a resident in India/ NRI/OCI (being relative per Companies Act 2013) of immovable property (except agricultural land/ plantation property/ farm house).
- (b) Inheritance of any immovable property from a person resident in India or a person resident outside India who acquired the property as per foreign exchange laws in force.

9.6.1.1 Joint acquisition by the spouse of an NRI or an OCI

A person resident outside India (not NRI/OCI) who is a spouse of NRI/OCI may acquire one immovable property (except agricultural land/ farm house/ plantation property) jointly with the spouse.

- (i) Consideration should be inward remittance from out of India through banking channels or by debit to NR account held as per FEMA.
- (ii) Payments cannot be by travellers cheque or by foreign currency notes or any other mode.
- (iii) The marriage is registered and subsisted for a continuous period of at least two years immediately preceding the acquisition.
- (iv) The non-resident spouse is not otherwise prohibited from such acquisition.

9.6.1.2 Acquisition by a Long-Term Visa holder

A citizen of Afghanistan, Bangladesh or Pakistan belonging to minority communities in those countries (Hindus, Sikhs, Jains, Buddhists, Parsis and Christians) residing in India holding a Long Term Visa (LTV) by the Central Government can purchase certain properties in India.

- (i) One residential unit for self-occupation, and one immovable property for self-employment.
- (ii) It should not be located in and around restricted/ protected areas notified by the Central Government or cantonment areas.
- (iii) A declaration to be given to the Revenue Authority of the district where the property is located specifying the source of funds.
- (iv) Registration documents of the property to mention the nationality and the fact of LTV.
- (v) It may be attached/ confiscated for indulgence in anti-India activities.
- (vi) Sale of such property is permitted only after the person has acquired Indian citizenship. Before acquiring Indian citizenship prior approval of the Deputy Commissioner of Police (DCP)/ Foreigners Registration Office (FRO)/ Foreigners Regional Registration Office (FRRO) concerned is needed.

9.6.2 Transfer of Immovable Property

Any transaction involving acquisition or transfer of immovable property by a non-resident should be through banking channels in India. A non-resident may transfer immovable property held in India to a resident in India if transaction takes place through banking channels in India and the resident is not prohibited from acquisition. Any transfer of property not covered in the RBI Master Directions on Acquisition and Transfer of Immovable Property require the prior RBI permission.

9.6.3 Repatriation of Sale Proceeds of Immovable Property Held by Non-Residents

- (a) A person acquiring property per sec. 6 (5) of FEMA or his successor needs prior RBI permission to repatriate outside India the sale proceeds. NRI/PIO can utilise permitted remittance facilities.
- (b) AD may allow repatriation (on conditions mentioned below) of proceeds of immovable property (except agricultural land/ farm house/ plantation property) of PIO/ NRI/OCI:
 - (i) It was acquired as per foreign exchange laws in force.
 - (ii) It was paid for in foreign exchange received through banking channels or from FCNR(B)/ NRE account. If purchased out of permitted housing loans, the repayments are made out of remittances from abroad through banking channels or from NRE/ FCNR(B) account.
 - (iii) Repatriation of sale proceeds of residential properties is restricted only two properties.
- (c) AD can permit an overseas lender/ security trustee (in whose favour immovable property is charged) for ECB availed by a resident in India to sell the immovable property security to a person resident in India and to repatriate the proceeds towards outstanding dues of the said loan, in the event of its non-repayment.

9.6.4 Prohibition on Acquisition or Transfer of immovable Property in India by Citizens of Certain Countries

Citizens (natural persons or legal entities), except OCIs, of Pakistan, Bangladesh, Sri Lanka, Afghanistan, China, Iran, Nepal, Bhutan, Macau, Hong Kong and Democratic People's Republic of Korea need prior RBI permission to acquire or transfer immovable property in India, except on lease of not more than five years.

9.7 CREATION OF CHARGE ON IMMOVABLE PROPERTY IN INDIA

AD, which is an Indian correspondent of an overseas lender, may create a mortgage on an immovable property in India owned by NRI/ OCI who is a director of a company outside India, availing a loan outside India from the said overseas lender subject to the following conditions:

- (a) The funds should be used only for its core business purposes overseas.
- (b) On invocation of charge the AD should sell the immovable property to an eligible acquirer and remit the sale proceeds to the overseas lender.

9.8 REPATRIATION OF INCOME AND SALE PROCEEDS OF ASSETS HELD ABROAD BY NRIs

NRIs on returning to India for permanent stay become resident in India. They are permitted to either repatriate their assets to India or hold them overseas in accordance with the FEMA.

- (a) A resident in India can hold, own, transfer or invest in foreign currency, foreign security or any immovable property situated outside India if it was acquired, held or owned when he was resident outside India or inherited from a person who was resident outside India.
- (b) This covers the following transactions:
 - (i) Foreign currency accounts held when resident outside India;
 - (ii) Income earned through any of the following avenues:
 - employment/ business/ vocation outside taken up/ commenced residing outside India, or
 - investments made residing outside India, or
 - gift or inheritance received residing outside India;
 - (iii) Foreign exchange (also any income therefrom), and conversion or replacement or accrual to the same, inherited from a person resident outside India, and held outside India.
- (c) A resident in India may freely utilise all their eligible assets abroad as well as income on such assets or sale proceeds received after their return to India for any payments or any fresh investments abroad without RBI approval, provided these are met exclusively out of eligible assets held by them and not in contravention to FEMA provisions.

9.9 INVESTMENTS BY NRIs/PIOs

For NRIs/ PIOs/ OCIs there are specific provisions for investments in India. A resident outside India may invest in an Indian company either as Foreign Direct Investment or as Foreign Portfolio Investment. If a declaration is made by a person about beneficial interest being held by a person resident outside India, then the investment even if by a resident Indian citizen, is counted as foreign investment.

9.9.1 Sectors Prohibited for Investments

Investment in the following sectors is not permitted even for NRIs/OCIs, except where indicated otherwise.

- (i) Lottery Business including Government/ private lottery, online lotteries.
- (ii) Gambling and betting including casinos.
- (iii) Chit funds (except NRIs/ OCIs on non-repatriation basis).
- (iv) Nidhi company.
- (v) Trading in Transferable Development Rights (TDRs).
- (vi) Real Estate Business or Construction of Farm Houses.
- (vii) Manufacturing of Cigars, cheroots, cigarillos and cigarettes, of tobacco or of tobacco substitutes.
- (viii) Activities/ sectors not open to private sector investment viz., (i) Atomic energy and (ii) Railway operations.
- (ix) Foreign technology collaboration in any form including licensing for franchise, trademark, brand name, management contract is also prohibited for Lottery Business and Gambling and Betting activities.

9.9.2 Permitted Investments

Investment by a person resident outside India is generally subject to the entry routes, sectoral caps or the investment limits, conditionalities. Broadly, following modes of investments are permitted.

- (i) Capital instruments of: an Indian company; of an Indian company listed in India by Foreign Portfolio Investors/ NRI-OCI (on repatriation basis); of an Indian company or Units or contribution to capital of a LLP or a firm or a proprietary concern by NRI/OCI (on non-repatriation basis).

- (ii) Securities other than capital instruments; Investment in LLP; by a Foreign Venture Capital Investor (FVCI); in an Investment Vehicle.
- (iii) Issue/ transfer of eligible instruments to a foreign depository for issuance of depository receipts by eligible person(s); Indian Depository Receipts (IDRs) issued by companies resident outside India.

9.9.3 Purchase/ Sale of Capital Instruments of an Indian Company

- (a) *Mode of Purchase/ Sale*: Following modes are generally permitted subject to certain conditions (not stated here).
 - (i) Subscribing to an issue of capital instrument made by an Indian company.
 - (ii) Purchasing capital instruments of a listed Indian company on a stock exchange in India.
 - (iii) An Indian company may issue equity shares (excluding partly paid shares) against any funds payable by it to such person, if permitted and does not require prior permission of the Central Government or RBI.
- (b) *Mode of Payment*: Consideration to be paid from any of the following sources.
 - Inward remittance from abroad through banking channels.
 - Funds held in NRE/ FCNR(B)/ Escrow account (as per FEMA).
 - Any funds payable by the issuing company to the investor.
 - Swap of capital instruments (issuing company in an automatic route sector).
- (c) *Sale Proceeds of Capital Instruments*: The sale proceeds (net of taxes) of the capital instruments can be remitted outside India or credited to the NRE/ FCNR(B) account of the person concerned.

9.9.4 Purchase/ Sale of Capital Instruments of Listed Indian Company on a Recognised Stock Exchange on Repatriation Basis

- (a) *Mode of Purchase/ Sale*: NRI or OCI can purchase/ sell capital instruments of a listed Indian company on repatriation basis, on a stock exchange through a designated AD branch.
- (b) *Holding Ceilings*: Ceilings on investments of NRIs/ PIOs/ OCIs in an Indian Company:
 - (i) Holdings by any individual NRI or OCI:
 - Upto 5% of the total paid-up equity capital (on a fully diluted basis), or
 - Upto 5% of the paid-up value of each series of debentures or preference shares or warrants.
 - (ii) Total holdings of all NRIs and OCIs put together:
 - Upto 10% of the total paid-up equity capital (on a fully diluted basis), or
 - Upto 10% of the paid-up value of each series of debentures or preference shares or warrants.

The aggregate ceiling of 10% can be raised to 24%, if a special resolution to that effect is passed by the General Body of the Indian company.
- (c) *Dedicated NRE Account*: Designated as an NRE (PIS) Account exclusively for investment through this Scheme.
 - (i) *Permitted Credits*:
 - Inward remittances from abroad through banking channels.
 - Transfer from the NRI's/ OCI's other NRE accounts or FCNR (B) accounts.
 - Sale proceeds (net of taxes) of capital instruments on repatriation basis sold on stock exchange.
 - Dividend or income earned on investment on repatriation basis.

(ii) *Permitted Debits:*

- Outward remittances of dividend or income on investment on repatriation basis;
- For purchase of capital instruments on repatriation basis on stock exchanges.
- Any charges on account of sale/ purchase of capital instruments.
- Remittances outside India or transfer to NRE/ FCNR (B) accounts of any person.

(d) *Remittance of sale proceeds:* Sale proceeds (net of taxes) of the capital instruments can be remitted outside India or may be credited to NRE (PIS) Account.

9.9.5 Purchase/ Sale of Capital Instruments or Convertible Notes of an Indian Company or Units or Contribution to the Capital of an LLP

- (a) *Mode of Purchase/ Sale:* NRI/ OCI (also a company, a trust and a partnership firm incorporated outside India and owned and controlled by NRIs/ OCIs) can purchase/ contribute to the specified instruments/ capital of specified entities on non-repatriation basis.
- (b) *Permitted Investment:* Permitted investment avenues are as follows:
- Capital instrument of a company on the stock exchange or outside it.
 - Units issued by an investment vehicle on the stock exchange or outside it.
 - Capital of a LLP without any limit.
 - Convertible notes issued by a startup company as per FEMA.
- (c) *Deemed as Domestic:* The investment detailed above is deemed to be domestic investment.
- (d) *Restrictions/ Prohibitions:* NRI/OCI (also a company, a trust and a partnership firm incorporated outside India and owned and controlled by NRIs or OCIs), cannot invest for the following purposes:
- Investment in capital instruments or units of a Nidhi company.
 - Investment in capital instruments of a company engaged in agricultural/ plantation activities.
 - Real estate business.
 - Construction of farm houses.
 - Dealing in Transfer of Development Rights.
- (e) *Mode of Payment:* Consideration for purchase of capital instruments should be from:
- Inward remittance from abroad through banking channels.
 - Funds held in NRE/ FCNR (B)/ NRO account.
- (f) *Sale/ Maturity Proceeds:* Proceeds (net of applicable taxes) of capital instruments purchased or disinvestment in an LLP should be credited only to the NRO account. The amount invested and capital appreciation cannot be repatriated abroad.

9.9.6 Investment in a Firm or a Proprietary Concern

- (a) *Contribution to capital:* NRI / OCI is permitted to invest, on a non-repatriation basis, by way of contribution to the capital of a firm or a proprietary concern in India.
- (b) *Restrictions on Investee Firm:* The investee firm or proprietary concern should not be engaged in: Agricultural/ plantation activity; Print media; Real estate business (i.e., dealing in land and immovable property with a view to earning profit or earning income therefrom).
- (c) *Mode of Payment:* Consideration should be from:
- Inward remittance from abroad through banking channels.
 - Funds held in NRE/ FCNR (B)/ NRO account.
- (d) *Sale/ maturity proceeds:* The disinvestment proceeds is credited only to the NRO account. The investment and the capital appreciation cannot be repatriated abroad.

9.9.7 Purchase and Sale of Securities Other than Capital Instruments – Repatriation Basis

- (a) *Permitted Securities*: NRI/OCI can purchase various types of instruments on repatriation basis.
 - (i) Instruments permitted without limit:
 - Government dated securities (not bearer securities) or treasury bills or units of domestic mutual funds or Exchange-Traded Funds (ETFs) (investing upto 50% in equity);
 - Bonds of a PSU in India; Bonds/ units issued by Infrastructure Debt Funds; and
 - Listed non-convertible/ redeemable preference shares/ debentures as per FEMA.
 - (ii) Debt instruments issued by banks (eligible as regulatory capital).
 - (iii) National Pension System of PFRDA, if eligible to invest.
- (b) *Permitted as Collateral*: NRIs/ OCIs can offer specified instruments as collateral to Stock Exchanges in India for transactions in exchange traded derivative contracts.
- (c) *Mode of Payment*: Consideration to be from:
 - Inward remittance from abroad through banking channels.
 - Funds held in NRE/ FCNR (B) account.
- (d) *Permission for Sale of Instruments*: NRI/OCI can sell/ redeem the instruments.
- (e) *Remittance of Sale Proceeds*: Proceeds (net of taxes) at the NRI/ OCI investor's option, can be:
 - Remitted abroad, or
 - Credited to his NRE/ FCNR(B)/ NRO account.

9.9.8 Purchase and Sale of Securities Other than Capital Instruments – Non-Repatriation Basis

- (a) *Permitted Securities*: NRI/OCI can invest in following without limit on non-repatriation basis. Dated Government securities (not bearer securities); Treasury bills; Units of domestic mutual funds or Exchange-Traded Funds (ETFs) (investing up to 50% in equity); National Plan/ Savings Certificates; Listed non-convertible/ redeemable preference shares and non-convertible debentures (as per FEMA); Chit funds (authorised by Registrar/ State Govt.)
- (b) *Mode of Payment*: Consideration to be from following sources:
 - Inward remittance from abroad through banking channels.
 - Funds held in NRE/ FCNR (B)/ NRO account.
- (c) *Permission for Sale of Instruments*: NRI/OCI can sell/ redeem the instruments.
- (d) *Remittance of Sale Proceeds*: Can be credited to the NRO account.

9.9.9 Investment in an LLP

A person resident/ an entity incorporated outside India (other than a citizen of / entity incorporated in Pakistan or Bangladesh) not being a FPI or a FVCI may contribute to the capital of an LLP in sectors/ activities open for 100 percent foreign investment under automatic route with no FDI linked performance conditions. Disinvestment proceeds may be remitted outside India or credited to NRE/ FCNR(B) account.

9.9.10 Acquiring Convertible Notes

NRI/ OCI holding capital instruments of an Indian company or units on repatriation basis can transfer by sale or gift to any person resident outside India.

- (i) Prior Government approval is required for transfer if in a sector requiring Government approval.
- (ii) Acquisition on a stock exchange results in a breach of aggregate NRI/ OCI or sectoral limits, then NRI/ OCI should sell it within 5 trading days of settlement to an eligible person resident in India.

9.9.11 Transfer of Capital Instruments or Units Held on Repatriation Basis

Capital instruments/ units held on non-repatriation basis by NRI/ OCI (also a company/ trust/ partnership firm outside India and owned and controlled by NRIs/ OCIs) can be transferred as under:

- (i) Sale to a person resident outside India subject to various conditions as applicable for foreign investment.
- (ii) Sale to NRI/ OCI (also a company/ trust/ partnership firm outside India and owned and controlled by NRIs/ OCIs) on non-repatriation basis.
- (iii) Gift to NRI/ OCI (also a company/ trust/ partnership firm outside India and owned and controlled by NRIs/ OCIs) on non-repatriation basis.

9.9.12 Sale on a Recognised Stock Exchange in India

A person resident outside India, can sell capital instruments or units on a stock exchange in India, in compliance with subject to the adherence to pricing guidelines, documentation and reporting requirements, except where the capital instruments are held by the person resident outside India on non-repatriation basis.

9.9.13 Transfer of Securities as Gift to a Person Resident Outside India

NRI/ OCI holding securities of an Indian company on a non-repatriation basis may transfer the securities to a person resident outside India as gift with prior RBI approval subject to certain conditions (not enumerated here).

9.10 LET US SUM UP

FEMA Regulations govern the maintenance of deposits between a person resident in India and a person resident outside India. Special types of accounts have been permitted to be maintained in India by NRIs and PIOs, NRE account, FCNR(B) account, NRO account.

NRO account can be opened for foreign nationals of non-Indian origin visiting India for various purposes. The funds in this account should be received from overseas through banking channel or from sale proceeds of foreign currency brought in India.

Special Non-Resident Rupee Accounts (SNRR) are permitted for foreign nationals or entities that have business relationships with individuals and entities in India.

NRIs/ PIOs, can remit up to USD 1 mn per FY from NRO deposits and assets acquired from parents/ relatives. With prior RBI approval remittances beyond this ceiling can be made in respect of assets acquired by way of inheritance/ legacy.

All remittances outside India should be made after obtaining required certificates stipulated in the Income Tax provisions.

NRIs/ PIOs/ OCIs are permitted to purchase immovable property (other than agricultural land/ plantation property/ farm house) in India, and acquire immovable property by way of gift (other than agricultural land/ plantation property/ farm house) and inheritance from relatives. Payments for transfer of property should be made out of funds received in India through banking channels or by debit to NRE/ FCNR (B)/ NRO account of the NRI/ OCI. There are restrictions on repatriation outside India of the sale proceeds of immovable property held by non-residents in India, and requires prior RBI approval.

A person resident in India, can hold, own, transfer or invest outside India foreign currency, foreign security or any immovable property acquired when outside India or inherited from a person outside India. Residents outside India, both individuals and entities, are permitted to make investments in India, subject to certain restrictions and prohibitions. For NRIs/ PIOs/ OCIs there are certain specific provisions also.

9.11 KEYWORDS

Capital Instruments, Freely Convertible Currency, Foreign Currency (Non-resident) Account (Banks), Non-Repatriable, Non-Resident (External) Rupee Account, Non-Resident (Ordinary) Account, Overnight Alternative Reference Rate, Remittance of Assets, Repatriable, Repatriation, Reset Period, Special Non-Resident Rupee Account.

9.12 CHECK YOUR PROGRESS

1. Funds in ____ cannot be freely repatriated outside India.
 - (a) NRE Account
 - (b) NRO Account
 - (c) FCNR(B) Account
 - (d) SNRR Account
2. Facility for acquisition of property for Long Term Visa Holders is available to a citizen of _____.
 - (a) Bhutan
 - (b) Myanmar
 - (c) Afghanistan
 - (d) Nepal
3. Citizens of ____ cannot transfer immovable property in India without prior permission of the RBI.
 - (a) Syria
 - (b) Hong Kong
 - (c) Iran
 - (d) Iraq
4. Investment by persons resident outside India is not prohibited in _____.
 - (a) Retail trade
 - (b) Railway operations
 - (c) Cigarette manufacturing
 - (d) Nidhi company

9.13 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d); 2. (b); 3. (b); 4. (a).

UNIT 10

FOREIGN CURRENCY ACCOUNTS FOR RESIDENTS AND OTHER ASPECTS

STRUCTURE

10.0 Objectives

10.1 Introduction

10.2 Types of Accounts Permitted

10.2.1 Accounts Permitted in India

10.2.2 Accounts Permitted Outside India

10.3 Foreign Currency Denominated Accounts in India

10.3.1 General Provisions

10.3.2 Exchange Earner's Foreign Currency Account – EEFC Account

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10.3.6 Other Conditions for Foreign Currency Accounts

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10.4 Permitted Foreign Currency Accounts Outside India

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10.6 Modes of Acquiring Property Outside India by a Resident

10.7 Foreign Contribution (Regulation) Act 2010

10.7.1 Salient Features

10.7.2 Requirements for Accepting Foreign Contribution

10.7.3 Prohibitions and Restrictions on Transfer, Utilization

10.7.4 Rules under the FCRA and Reporting by Banks

10.8 Let Us Sum Up

10.9 Keywords

10.10 Check Your Progress

10.11 Answers to 'Check Your Progress'

10.0 OBJECTIVES

After studying this Unit, you will:

- Learn about various types of Foreign Currency Accounts that residents in India can maintain
- Understand the regulatory norms for these accounts.
- Know about other persons permitted to maintain foreign currency accounts in India
- Learn about the provisions of the Foreign Contribution (Regulation) Act 2010

10.1 INTRODUCTION

Opening, holding and maintaining foreign currency accounts by a person resident in India is regulated under FEMA. As a step for moving towards capital account convertibility FEMA regulations have been modified to permit residents to maintain accounts denominated in Foreign Currency in India. This is useful for those persons who regularly conduct transactions in foreign exchange for both receipts and payments. It provides them natural hedge for the exchange risk and also saves the bank charges on conversion. Persons resident in India can hold foreign currency accounts abroad for meeting bonafide business or personal needs.

10.2 TYPES OF ACCOUNTS PERMITTED

10.2.1 Accounts Permitted in India

Residents can hold in India following types of accounts in foreign currency:

- (i) Exchange Earner's Foreign Currency (EEFC) Account - EEFC Account
- (ii) Resident Foreign Currency (RFC) Account - RFC Account
- (iii) Resident Foreign Currency (Domestic) Account – RFC (D) Account
- (iv) Diamond Dollar Account (DDA) Scheme – DDA Account

Also, certain specific categories of persons can hold foreign currency denominated accounts in India to facilitate specific requirements.

10.2.2 Accounts Permitted Outside India

Residents in India can hold foreign currency accounts outside India for specific purposes of normal business and incidental transactions.

10.3 FOREIGN CURRENCY DENOMINATED ACCOUNTS IN INDIA

10.3.1 General Provisions

- (a) Unless otherwise specifically stated, this can be as current or savings or term deposit account for an individual, and as current or term deposit account for other cases.
- (b) The account can be in single name or joint names of persons eligible.
- (c) On the death of account holder the disposal of funds should be as follows:
 - (i) To remit to the nominee resident outside India, to the extent of his share/ entitlement from the account.

- (ii) A nominee resident in India, desiring to remit funds outside India out of his share for meeting the deceased's liabilities abroad will need RBI approval.
- (iii) A resident nominee of an account held outside India as per FEMA, has to close the account and bring the proceeds to India through banking channels.

10.3.2 Exchange Earner's Foreign Currency Account – EEFC Account

These accounts can be opened by a person resident in India essentially from foreign exchange earnings.

A. Permitted Credits

- (i) 100% foreign exchange earnings by way of inward remittance through normal banking channel, (other than loans or investments).
- (ii) Payments received for the purpose of counter trade.
- (iii) Advance remittance received towards export of goods or services.
- (iv) Professional earnings (also director's fees, consultancy fees, lecture fees, honorarium and similar other earnings) received by a professional rendering services in individual capacity.
- (v) Interest earned on the funds held in the account.
- (vi) Re-credit of unutilised foreign currency earlier withdrawn from the account.
- (vii) Repayment of trade related loans/ advances (granted to the account holder's importer customer out of the EEFC accounts).
- (viii) Disinvestment proceeds received by the resident account holder on conversion of shares held by him to ADRs/ GDRs.
- (ix) Payments received in foreign exchange by an Indian startup arising out of sales/ export made by the startup or its overseas subsidiaries.

B. Permitted Debits

- (i) Payment outside India for capital or current account transactions.
- (ii) Payment in foreign exchange for goods purchased from a 100% Export Oriented Unit or a Unit in an Export Processing Zone/ Software Technology Park/ Electronic Hardware Technology Park.
- (iii) Payment of customs duty as per Export Import Policy.
- (iv) Trade related loans/ advances, by an exporter account holder to his importer customer outside India.
- (v) Payment in foreign exchange to a person resident in India for supply of goods/ services including payments for air fare and hotel expenditure.

C. Other Conditions

- (i) Withdrawal in rupees is permitted but the amount cannot be re-credited.
- (ii) The account will be a non-interest bearing account.
- (iii) The claims settled in rupees by ECGC/insurance companies cannot be credited.
- (iv) Fund-based/non-fund based credit facilities should not be granted against these balances.
- (v) Can be used to repay packing credit advances in any currency up to actual exports made.

10.3.3 Resident Foreign Currency Account – RFC Account

A person resident in India is permitted to open a RFC account with an AD bank in India out of foreign exchange received or acquired by him.

A. Permitted Credits

The account can be opened from foreign exchange received or acquired by him:

- (i) As pension or superannuation benefits or other monetary benefits from his overseas employer;
- (ii) By converting assets acquired by him as a non-resident or inherited from or gifted by a person resident outside India and repatriated to India;
- (iii) Before July 8, 1947 or any income arising/ accruing thereon and held outside India as per of a general/ special RBI permission.; and
- (iv) As proceeds of LIC claims/ maturity/ surrendered value settled in forex from an Indian insurance company.

B. Permitted Debits

The balance in RFC account can be fully utilised outside India, and converted to Indian Rupee.

C. Other Conditions

- (i) Can have resident relative as joint holder on 'former or survivor' basis, who cannot operate the account during the life time of the account holder.
- (ii) The balances in the NRE/FCNR (B) Account can be credited to RFC account when the residential status of the NRI/ PIO changes to a Resident.

10.3.4 Resident Foreign Currency (Domestic) Account – RFC (D) Account

A resident individual may open an RFC (D) account to retain in a bank account in India the foreign exchange acquired by him/ her.

A. Permitted Credits

The account can be opened from foreign exchange acquired in the form of currency notes, bank notes and travellers cheques from overseas sources such as:

- (i) Payment on a visit abroad for services not arising from any business or anything done in India.
- (ii) Honorarium or gift or for services rendered or in settlement of any lawful obligation from any person not resident in India and who is on a visit to India.
- (iii) Honorarium or gift while on a visit to any place outside India.
- (iv) Gift from a relative.
- (v) Unspent foreign exchange acquired from an authorised person for travel abroad.
- (vi) Representing the disinvestment proceeds received by the resident account holder on conversion of shares held by him to ADRs/ GDRs.
- (vii) By way of earnings received as the proceeds of life insurance policy claims/ maturity/ surrender values settled in foreign currency from an insurance company in India.

B. Permitted Debits

Balances in the account can be used for permitted current or capital account transactions.

10.3.5 Diamond Dollar Account Scheme – DDA Account

Firms and companies which comply with the eligibility criteria stipulated in the Foreign Trade Policy of the Government of India may open DDA accounts.

- (i) Realisation of export proceeds and local sales (in USD) of rough, cut, polished diamonds; and pre and post shipment finance availed in USD can be credited.
- (ii) Payments for purchase of rough, cut and polished diamonds can be made. Funds can be transferred to rupee account.
- (iii) The account should be a non-interest bearing current account.

10.3.6 Other Conditions for Foreign Currency Accounts

- (i) For EEFC, RFC(D), DDA Accounts: The sum total of the accruals during a calendar month should be converted into Rupees on or before the last day of the succeeding calendar month after adjusting for utilization for approved purposes or forward commitments.
- (ii) For EEFC and RFC (D) Accounts: Balances may be credited to NRE/ FCNR (B) Accounts, consequent upon change of status to non- resident.

10.3.7 Other Specific Categories Permitted to Maintain Foreign Currency Accounts

Foreign currency denominated account can be held in India by following specific categories.

10.3.7.1 Indian agent of shipping or airline companies incorporated outside India

They can maintain account for local expenses of the overseas company. Credits from freight or passage fare collections in India or from his principal outside India are allowed.

10.3.7.2 Ship-manning/ crew managing agencies in India

Non-interest bearing foreign currency account can be held for following normal business transactions:

- (i) Credits: Only inward remittances through normal banking channels from the overseas principal.
- (ii) Debits: For expenses in connection with management of the ships/ crew.
- (iii) No credit facility (fund/ non-fund based) is allowed against funds in the account.
- (iv) Banks need to keep prescribed Reserves for such accounts.
- (v) No EEFC facility allowed for remittances received in the account.
- (vi) Allowed only during the validity period of the agreement.

10.3.7.3 Project offices of foreign companies

They can open non-interest bearing one or more foreign currency accounts for the project in India.

- (i) Project Office in India, has general/ specific RBI permission, and Project Authority approval.
- (ii) The contract for the project specifically provides for payment in foreign currency,
- (iii) Each Project has only one Foreign Currency Account.
- (iv) Debits: Payment of project related expenditure.
- (v) Credits:
 - Foreign currency receipts from the Project Sanctioning Authority, and
 - Remittances from parent/ Group Company abroad or bilateral/ multilateral international agency.
- (vi) To be closed on completion of the Project.
- (vii) Inter-project transfer of funds with the prior permission of the RBI, RO.
- (viii) In case of disputes between Project Office and the project authority or other Government/ Non-Government agencies etc., the balance is converted into INR and credited to a special account.

10.3.7.4 Organisers of international Seminars, Conferences, Conventions, etc.

They can open temporary foreign currency accounts in India.

- (i) Credits: Inward remittances in foreign currency for registration fees by overseas delegates, grant, sponsorship fees and donations from abroad.
- (ii) Debits:
 - (a) Payment to foreign/ special invitees attending the conference, etc., for travel, hotel charges, etc., and honorarium to foreign guest speakers;
 - (b) Remittance for refund of registration fees to foreign delegates and unutilised sponsorship/ grant amount, if any;
 - (c) Bank charges, if any; and
 - (d) Conversion of funds into rupees.
- (iii) All other credits/ debits would require prior RBI approval.
- (iv) To be closed immediately after the conference/event is over.

10.3.7.5 Exporters of specified goods or services on deferred payment terms

Exporters, of a construction contract or a turnkey project outside India or services or engineering goods from India on deferred payment terms can hold a foreign currency account with a bank in India, if approval for undertaking the contract/ project/ export of goods or services, has been obtained, and the conditions of approval complied with.

10.3.7.6 Units located in a Special Economic Zone (SEZ)

They may open hold and maintain foreign currency account with an AD in India to credit all foreign exchange funds received.

- (i) Can be used for bona fide trade transactions with a person resident in/outside India.
- (ii) Foreign exchange purchased in India against rupees cannot be credited without RBI permission.
- (iii) Balances can be used freely, except for gift etc.
- (iv) Cannot be lent or made available to any resident in India not being a unit in SEZ.

10.3.7.7 An Indian company receiving foreign investment under FDI route

It may hold a foreign currency account with an AD in India if it has impending foreign currency expenditure and the account is closed when the need is over or within 6 months, whichever is earlier.

10.3.7.8 Re-insurance and Composite Insurance Brokers Registered with IRDA

They may hold non-interest bearing foreign currency accounts with an AD bank in India for usual business transactions.

10.4 PERMITTED FOREIGN CURRENCY ACCOUNTS OUTSIDE INDIA

Permission to maintain foreign currency accounts with a bank outside India has been given for specific purposes.

- (i) For business related purposes.
- (ii) For studies abroad, during the stay there. On returning, the account is deemed to be under LRS.
- (iii) During stay abroad on a visit to a foreign country. The balance should be repatriated on returning.

- (iv) Participating in an exhibition/ trade fair - for crediting the sale proceeds of goods.
- (v) By a resident for sending remittances under LRS.
- (vi) For raising ECB, GDR, ADR etc.
- (vii) Indian startup, having an overseas subsidiary, for crediting the earnings out of exports/ sales.

10.4.1 Business Related Accounts

The following persons can open a foreign currency account with a bank outside India for normal business transactions.

- (i) An AD in India with its branch/ head office/ correspondent outside India.
- (ii) A branch outside India of a bank incorporated in India.
- (iii) An Indian shipping or airline company.
- (iv) Insurance/ reinsurance companies registered with IRDA for insurance/ reinsurance business.
- (v) An India firm/ company/ body corporate for its foreign office/ branch or its representative.
- (vi) An exporter exporting services and engineering goods on deferred payment terms or a turnkey project or a construction contract abroad.

10.4.2 Persons Visiting for Temporary Period

Employed persons of following categories can hold a foreign currency account with a bank outside India for remitting/ receiving their salary payable to them in India.

- (i) A foreign citizen on deputation to the office/ subsidiary, etc. in India of a foreign company;
- (ii) A foreign citizen employed with an Indian company in India;
- (iii) An Indian citizen, on deputation to the office/ subsidiary, etc. in India of a foreign company.

10.5 REMITTANCE OF ASSETS BY FOREIGN NATIONAL NOT BEING PIOS

ADs are permitted to allow remittance of assets by a foreign national where:

- (i) the person has retired from employment in India;
- (ii) the person has inherited from a person referred to in section 6(5) of the Act;
- (iii) the person is a non-resident widow/ widower and has inherited assets from the deceased spouse who was an Indian national resident in India; and
- (iv) a foreign student in India has completed studies in India.

These are subject to certain conditions not enumerated here.

10.6 MODES OF ACQUIRING PROPERTY OUTSIDE INDIA BY A RESIDENT

A resident in India can acquire immovable property outside India in any of the following situations.

- (a) If such property was acquired, held or owned when resident outside India or inherited from a person resident outside India.
- (b) By way of gift or inheritance from: a person referred to at (a) above; a person resident in India had acquired such property on or before July 8, 1947 and continued to be held by him with RBI permission; a person resident in India who has acquired such property as per FEMA.
- (c) Purchase out of foreign exchange in RFC account, or under LRS.
- (d) Acquire jointly with a relative resident outside India, with no outflow of funds from India.

10.7 FOREIGN CONTRIBUTION (REGULATION) ACT 2010

Acceptance of contribution from foreign sources and foreign hospitality by certain types of organisations like non-government organisations, political organisations, media houses, etc. are regulated under the law. On the 1st May 2011, the Foreign Contribution (Regulation) Act, 2010 (FCRA) replaced the then existing the Foreign Contribution (Regulation) Act, 1976. Various provisions related to the acceptance of foreign contribution and foreign hospitality are governed by the provisions of the FCRA and the Foreign Contribution (Regulation) Rules, 2011.

10.7.1 Salient Features

10.7.1.1 Meaning of Foreign Contribution

The term ‘foreign contribution’ includes the donation, delivery or transfer made by a foreign source of any article (not being an article of gift for personal use, the market value of which is not more than the specified amount), currency (whether Indian or foreign) or any security. This term ‘foreign source’ is given an inclusive definition, with a very wide coverage. Generally, it covers foreign governments and its agencies, any international agencies (other than certain specified agencies such as United Nations, World Bank, etc.), foreign citizens, foreign companies and foreign corporations, entities such as trade unions, trusts, societies, clubs, etc. formed or registered outside India. The Foreign Contribution (Regulation) Amendment Bill, 2020 was introduced in Lok Sabha on September 20, 2020. The Bill amends the Foreign Contribution (Regulation) Act, 2010. The Act regulates the acceptance and utilisation of foreign contribution by individuals, associations and companies.

10.7.1.2 Prohibition on Acceptance of Foreign Contribution

FCRA prohibits under mentioned classes of persons from receiving ‘foreign contribution’.

- (a) Candidate for election;
- (b) Correspondent, columnist, cartoonist, editor, owner, printer or publisher of a registered newspaper;
- (c) Public servant, Judge, Government servant or employee of any corporation or any other body controlled or owned by the Government;
- (d) Member of any Legislature;
- (e) Political party or office bearers thereof;
- (f) Organisations of a political nature as may be specified;
- (g) Associations or companies engaged in the production or broadcast of audio news or audio visual news or current affairs programmes through any electronic mode or form or any other mode of mass communication;
- (h) Correspondent or columnist, cartoonist, editor, owner of the association or company referred to in (g) above

“**Public servant**” (in (c) above) means a public servant as defined in section 21 of the Indian Penal Code, 1860.

“**Corporation**” (in (c) above) means a corporation owned or controlled by the Government and includes a Government company as defined in clause (45) of section 2 of the Companies Act, 2013 (18 of 2013).

10.7.1.3 Meaning of Foreign Hospitality

The term ‘foreign hospitality’ means any offer, not being a purely casual one, made in cash or kind by a foreign source for providing a person with the costs of travel to any foreign country or territory or with free boarding, lodging, transport or medical treatment.

10.7.1.4 Restrictions on Acceptance of Foreign Hospitality

The Act imposes restrictions on acceptance of foreign hospitality and mandates that under mentioned persons, while visiting any country or territory outside India, shall not accept any foreign hospitality, except with the prior permission of the Central Government.

- (i) A member of a Legislature
- (ii) An office-bearer of a political party
- (iii) A Judge
- (iv) A Government servant
- (v) An employee of any corporation or any other body owned or controlled by the Government.

10.7.1.5 Prohibition to transfer foreign contribution to other person

No person who—

- (a) is registered and granted a certificate or has obtained prior permission under this Act; and
- (b) receives any foreign contribution, shall transfer such foreign contribution to any other person.

10.7.2 Requirements for Accepting Foreign Contribution

10.7.2.1 Registration of certain persons with Central Government

FCRA stipulates the prior requirements for accepting foreign contribution by a person having a definite cultural, economic, educational, religious or social programme.

- (i) **Registration:** Such persons as indicated above shall accept foreign contribution only after obtaining a certificate of registration from the Central Government.
- (ii) **Prior Permission:** If a person (as specified above) is not registered with the Central Government, it can accept any foreign contribution only after obtaining the prior permission of the Central Government, that will be valid only for the specific purpose and from the specific source.
- (iii) **Granting of Registration or Prior Permission:** Certificate of Registration is granted or prior permission is given to the persons fulfilling several criteria stipulated, and if the Central Government deems fit to do so. The certificate is valid for five years (to seek renewal with in 6 months) and the prior permission is valid for the specific purpose or specific amount to be received, as the case may be.

10.7.2.2 Suspension or Cancellation of Registration

Central Government may to suspend or cancel the registration so granted. A person whose certificate has been suspended during the period of suspension of certificate, shall:

- (i) not receive any foreign contribution, except after obtaining specific permission of the Central Government for receiving specific contribution on any stipulated terms and conditions.
- (ii) utilise, in the prescribed manner, the foreign contribution in his custody with the prior approval of the Central Government.

10.7.2.3 Suspension or Cancellation of Registration

If the Central Government, has reason to believe that a person has contravened any provisions of this Act, it may direct that such person shall not utilise the unutilised foreign contribution or receive the remaining portion of foreign contribution without prior approval.

10.9.2.4 Foreign Contribution to be received through State Bank of India

FCRA specifies the modality for receipt of foreign contribution through the banking channel. With effect from September 2020, the procedure for receiving and dealing with foreign contribution is as follows.

- (i) A person shall receive foreign contribution only in an account designated as “FCRA Account” opened in New Delhi Main Branch of State Bank of India (SBI).
- (ii) Such person may open another “FCRA Account” in any of the scheduled bank of his choice for keeping or utilising the foreign contribution transferred from the “FCRA Account” in SBI.
- (iii) Such person may open one or more accounts in one or more scheduled banks of his choice to which he may transfer for utilising any foreign contribution received in his “FCRA Account” in SBI or held in the “FCRA Account” in another scheduled bank .
- (iv) No funds other than foreign contribution shall be received or deposited in any such account.

10.7.2.5 Reporting by Foreign Contribution Receiving Bank

New Delhi Main Branch of SBI or the branch of the scheduled bank where an eligible person has opened his foreign contribution account or the authorised person in foreign exchange, shall report to specified authority—

- (i) the prescribed amount of foreign remittance;
- (ii) the source and manner in which the foreign remittance was received; and
- (iii) other particulars, in such form and manner as may be prescribed.

10.7.2.6 Intimation by the Recipient

Every eligible person who received foreign contribution is required to submit to the Central Government, and specified authority the following information:

- (i) the amount of each foreign contribution received by it,
- (ii) the source from which the foreign contribution was received,
- (iii) the manner in which such foreign contribution was received,
- (iv) the purposes for which such foreign contribution was utilised, and
- (v) the manner in which such foreign contribution was utilized.

Every person receiving foreign contribution shall submit a copy of a statement indicating therein the particulars of foreign contribution received duly certified by officer of the bank or authorised person in foreign exchange and furnish the same to the Central Government along with the intimation.

10.7.3 Prohibitions and Restrictions on Transfer, Utilization

- (a) **Prohibition on Transfer:** A person who has obtained a certificate of registration or prior permission is prohibited from transferring any foreign contribution received to any other person, unless such other person has also obtained a certificate of registration or prior permission under the FCRA.
- (b) **Utilisation:** Following conditions or restrictions have been specified in the FCRA for utilization of any foreign contribution:
 - (i) The foreign contribution shall be utilised only for the purposes for which it was received.
 - (ii) No foreign contribution or any income arising out of it can be used for speculative purposes.
 - (iii) Use of foreign contribution for defraying administrative expenses has been restricted.

10.7.4 Rules under the FCRA and Reporting by Banks

10.7.4.1 Disclosures of Foreign Contribution Received

Rule 13 of the said Rules stipulates the following disclosures:

- (i) A person who has been granted a certificate of registration or prior permission shall place on its official website or on the website as specified by the Central Government the audited statement of accounts on receipts and utilisation of the foreign contribution, including income and expenditure statement, receipt and payment account and balance sheet for every financial year beginning on the first day of April within nine months of the closure of the financial year.
- (ii) A person receiving foreign contribution in a quarter of the financial year shall place details of foreign contribution received on its official website or on the website as specified by the Central Government within fifteen days following the last day of the quarter in which it has been received clearly indicating the details of donors, amount received and date of receipt.

10.7.4.2 Unutilised Foreign Contribution in FCRA Account

The amount of foreign contribution lying unutilised in the exclusive foreign contribution bank account of a person whose certificate of registration has been cancelled shall vest with the banking authority concerned till the Central Government issues further directions in the matter. In case a person whose certificate of registration has been cancelled transfers/ has transferred the foreign contribution to any other person, the above condition would apply to the person to whom the fund has been transferred.

10.7.4.3 Reporting by Banks of Receipt of Foreign Contribution

The bank shall report to the Central Government within 48 hours any transaction in respect of receipt or utilisation of any foreign contribution by any person whether or not such person is registered or granted prior permission under the FCRA. The reporting requirements are in respect of every receipt, irrespective of the amount of receipt.

Central Government - Ministry of Home Affairs (MHA), Government of India has developed a software for submission of online reports of receipt of foreign contribution by banks. Accordingly, any transaction in respect of receipt of foreign contribution has to be reported online through the software developed for the purpose.

10.8 LET US SUM UP

As a step for moving towards capital account convertibility FEMA regulations have been modified to permit residents to maintain accounts denominated in Foreign Currency in India. EEFC Account, RFC Account, Resident RFC (D) Account, and DDA Account.

Maintaining foreign currency denominated account in India has also been permitted for persons in specific categories, like Indian agent of shipping or airline companies incorporated outside India, Ship-manning/ crew managing agencies in India, Project offices of foreign companies, Organisers of international Seminars, Conferences, Conventions, etc.,

Residents in India are also permitted to maintain foreign currency accounts outside India for specific purposes for meeting their normal business and incidental transactions.

A foreign national, not being a PIO, is allowed to remit assets outside India if the person has retired from employment in India, and in certain other specified situations.

A resident is permitted to acquire or hold property outside India in specified situations like property acquired when the person was resident outside India, property inherited/ received as a gift from such a person, purchased out of funds in RFC account, jointly with a person resident outside India.

Acceptance of contribution from foreign sources and foreign hospitality by certain types of organisations like non-government organisations, political organisations, media houses, etc. are regulated under FCRA 2010. Certain persons are totally barred from accepting any foreign contribution, viz. Candidate for election; Persons engaged in newspaper publishing, Public servant, Judge, etc.

Accepting foreign contribution by a person having a definite cultural, economic, educational, religious or social programme requires registration or prior permission of the Govt. of India. The contribution can be received in a FCRA account to be opened in the New Delhi Main Branch of SBI. There are restrictions on transfer and utilization of the funds received in this account.

10.9 KEYWORDS

Compounding of Contravention, Diamond Dollar Account (DDA) Scheme – DDA Account, Exchange Earner's Foreign Currency (EEFC) Account - EEFC Account, Foreign Contribution, Foreign Hospitality, FCRA Account, Resident Foreign Currency (RFC) Account - RFC Account, Resident Foreign Currency (Domestic) Account – RFC (D) Account.

10.10 CHECK YOUR PROGRESS

1. Foreign currency denominated accounts maintained in India cannot be in the form of _____.
 - (a) savings account
 - (b) fixed deposit
 - (c) current account
 - (d) recurring deposit
2. Foreign currency denominated account cannot be maintained in India by _____.
 - (a) ship manning agencies in India
 - (b) Indian company receiving FDI
 - (c) exporters exporting against advance payment
 - (d) composite insurance brokers
3. Foreign currency accounts outside India can be opened by any individual in India.
 - (a) False
 - (b) True
4. A person on a temporary visit abroad cannot open a foreign currency account there.
 - (a) False
 - (b) True

10.11 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d); 2. (c); 3. (b); 4. (a).



CASH MANAGEMENT SERVICES AND ITS IMPORTANCE

STRUCTURE

- 11.0 Objectives
- 11.1 Introduction
- 11.2 Developments in CMS
- 11.3 Importance of Cash Management System
 - 11.3.1 For a Corporate Entity
 - 11.3.2 For Banks
- 11.4 Types of Cash Management Services
- 11.5 Challenges and Issues
- 11.6 Let Us Sum Up
- 11.7 Keywords
- 11.8 Check your progress
- 11.9 Answers to 'Check Your Progress'

11.0 OBJECTIVES

After studying this Unit, you will:

- Understand the need for cash management for businesses.
- Learn about the potential for cash management services to be provided by banks to their customers.
- Know about various initiatives in payment systems.

11.1 INTRODUCTION

Cash management refers to the collection, concentration, and disbursement of cash. It encompasses level of liquidity, management of cash balance, and short-term investment strategies. Managing cash flow is a crucial job of business managers. Fundamental objective of cash management is ‘optimisation of liquidity through improved flow of funds’.

The cash management activity engaged great attention of bankers and the banks were trying to offer a variety of services to the corporate clients. According to the findings of a study conducted by Killen and Associates, the top 400 Canadian enterprises could save \$23 billion annually by applying emerging electronic cash management strategies. Commercial banks in the Western countries realised the tremendous potential in providing cash management services to vastly improve their profitability. The objective of a cash management system is to improve revenue, maximize profits, minimize costs and establish efficient management systems to assist and accelerate growth.

11.2 DEVELOPMENTS IN CMS

Cash management has changed significantly over past few decades for two reasons. First, there had been an upward trend in interest rates that increased the opportunity cost of holding cash. Second, technological developments, particularly computerized electronic funds transfer mechanism.

Most businesses are conducted by large firms, that receive funds from many sources and make payments from a number of different cities or even countries. For example, companies such as IBM, General Motors, and Hewlett-Packard have manufacturing plants all around the world, even more sales offices, but most of the payments are made from the cities where manufacturing occurs, or else from the head office. Thus a major corporation would have numerous bank accounts, and since the inflows and outflows would not usually balance in each account, a system was needed to transfer funds from where they were surplus to where there was deficit.

Considering the importance of a robust payment system to economy, RBI has taken numerous measures since mid eighties to strengthen the payments mechanism in the country. Introduction of computerized settlement of clearing transactions, use of Magnetic Ink Character Recognition (MICR) technology, provision of inter-city clearing facilities and high value clearing facilities, Electronic Clearing Service Scheme (ECSS), National Electronic Funds Transfer (NEFT) scheme, Real Time Gross Settlement System (RTGS), Delivery v/s. Payment (DvP) for Government Securities transactions, setting up of Indian Financial Network (INFINET), Cheque Truncation System and CTS-based nationwide Grid Clearing, National Automated Clearing House (NACH) system, UPI based payment systems are significant initiatives. These initiatives alongwith introduction of a Centralized Funds Management System (CFMS), Securities Services System (SSS), and Structured Financial Messaging System (SFMS) have transformed the earlier systems into a state-of-the-art payment infrastructure in India.

11.3 IMPORTANCE OF CASH MANAGEMENT SYSTEM

11.3.1 For a Corporate Entity

Good cash management is a conscious process of knowing when, where, and how a company's cash needs will occur; knowing which are the best sources for meeting additional cash needs; and being prepared to meet these needs when they occur by keeping good relationships with bankers and other creditors.

Scientific cash management results in: significant savings in time; decrease in interest costs; less paper work; and greater accounting accuracy.

Proper cash management system gives several benefits to a corporate, namely: creates more control over time and funds, provides timely access to information, enables easy employee related payments, supports electronic payments, produces faster electronic reconciliation, allows for detection of book keeping errors, reduces the number of cheques issued, and earns interest income or reduces interest expense.

Corporations with subsidiaries worldwide, can pool everything internationally so that the company can offset the debts with the surplus monies from various subsidiaries. The end result will transform treasury function as a profit-centre by optimising cash and putting it to good use. Creative and pro-active cash management solutions can contribute dramatically to a company's profitability and to its competitive edge. The ultimate purpose of proper management of liquidity, needless to emphasise, is to improve the overall productivity of funds.

Unilever, for example, manufactures and sells its products all over the world. To operate effectively, Unilever has numerous bank accounts so that some banking transactions take place near the point of business. Sales receipts from America are paid into local banks there. Therefore, while having local banks carry out local transactions, large firms need to have a co-coordinating system to ensure that funds are transferred from where there is surplus to where they are needed.

11.3.2 For Banks

Deregulation and new technology have eroded banks' comparative advantages and made it easier for non-bank competitors to enter into hitherto exclusive banks' domains. In response, banks have shifted their sales mix toward products that generate non-interest income by selling 'non-bank' fee-based financial services, and by charging explicit fees for services that were earlier bundled with the main banking product.

According to a study titled 'Fee-Based Financial Services Markets: New Opportunities and Threats in the Internet Age' by Killen Associates again, the market for retail and commercial fee-based financial services will exceed that for interest-based services globally. Banks have aimed for such services to be their primary profit source for certain reasons. This revenue is more stable over time, assures a steady income and more importantly, leads to a strong relationship with the corporate client.

Cash management services offered to Indian corporates are comparable to what their counterparts are getting in advanced countries.

11.4 TYPES OF CASH MANAGEMENT SERVICES

A number of banks in India are offering wide-ranging cash management services. All categories of banks viz., public sector banks, old private banks, new generation private sector banks, small finance banks, payment banks and foreign banks operating in India are active in the cash management segment.

Products Offered by Banks:

1. **Cash Collection Service:** Banks have implemented various customised cash pick-up solutions to meet specific requirements of their customers. These solutions provide benefits to customers such as:
Minimisation of operational risk; Reduction in cost; Security; Increased efficiency.
2. **Direct Credit by Funds Transfer:** This offers management of payables in respect of: Supply chain payments, Overseas remittances, Salary payments, Statutory payments.
3. **Cheque/DD Drawing Arrangement:** These are offered on pre-funding or post-funding basis to corporates and banks/their clients. Demand drafts/ Payable at par cheques issued by the CMS clients are by branches across the country, on presentation for payment.
4. **NEFT Payment Electronic Channels:** To facilitate bulk disbursements for credit to various beneficiaries having accounts in various bank branches across the country.
5. **Receivables Management/ Cheque Collections:** Local and upcountry clearing solutions.
6. **NACH payment facility :**For periodical disbursements or receipts.
7. **Auto-Sweeping Facility:** Pooling of funds at desired locations

Foreign Banks operating in India offer Regional and Global Treasury Management Services, Liquidity Management Services, Card Services, Electronic Banking Services, e-Commerce Solutions, Account Management Services, Collection Management Services, Cash Delivery Management Services and Investment Solutions.

11.5 CHALLENGES AND ISSUES

Conventional formal line between treasury and control, and between cash and accounting strategies is fading. Now, bankers and controllers are working together seeking solutions for the complex cash management function. The key differentiator between a successful bank and another bank is the stress it lays on technology. Certain challenges bankers need to address in cash management services are:

1. **Need to comprehend the client's line of activity:** Bankers need to understand the accounting and control side of its client's business. The bankers should be strategic partners in company's growth and need to learn about the concerned industry too, and use the knowledge to propose solutions.
2. **Provision of other advisory services to clients:** Companies would also like that banks will solve certain other but related problems. Changing systems is a major initiative with far-reaching implications to the companies. Bankers cannot work with a standard solution always because the customers do not pose standard problems.
3. **Decisions regarding sourcing of software:** Software applications for on-line banking and on-line cash management can be: i) built in-house ii) bought from independent software vendors and iii) outsourced to a trusted third party.
4. **Special consideration to small and medium companies:** The corporate sector in India is dominated by a multitude of small and medium companies. Banks may work out strategies to make high-tech cash management services accessible to small and medium companies.
5. **A coordinating activity:** In developing cash management solutions, banks need to work with corporate financial controllers and their staff. As this activity involves managing payables or receivables, banks also have to work with systems people and sometimes marketing people.

6. **Security and risk management:** Corporations lose large amounts due to internal and external frauds. Security and trust are critical issues in electronic transmission and retrieval of important and sensitive information such as corporate treasury data.
7. **Operational reliability:** Besides security, operational reliability is also important. One of the biggest challenges is making Internet as a reliable business system. So, that communications sent secured and on time.

11.6 LET US SUM UP

Cash management refers to the collection, concentration, and disbursement of cash. It encompasses a company's level of liquidity, its management of cash balance, and its short-term investment strategies. Good cash management requires meeting company's future cash needs from the future cash sources.

With changes due to deregulation and new technology banks have shifted their sales mix toward non-interest income from fee-based financial services. Various payment system initiatives of RBI have enabled banks to evolve cash management services. Banks in India offer wide-ranging cash management services to their corporate clients.

Considering the focus of businesses on reducing finance costs, cash management services need to devise innovative methods and means to improve the efficiency of cash management for the corporate customer. Cash management services need to be secured, reliable and timely.

11.7 KEYWORDS

Cash Management Service (CMS), Collection, concentration, disbursement, float mechanism, Fee-Based Financial Services, Electronic Data Interchange (EDI), Speed clearing, Auto-sweeping facility.

11.8 CHECK YOUR PROGRESS

1. Which of the following denotes the cash management service?
 - (a) Holding minimum cash at branches
 - (b) Providing adequate cash at ATMs
 - (c) Providing solution to optimize liquidity of corporate
 - (d) None of above
2. A firm's cash programme is aimed at accelerating cash inflows and controlling cash outflows.
 - (a) True
 - (b) False
3. A scientific cash management solution results in which of the following?
 - (a) Significant saving in time
 - (b) Decrease in interest cost
 - (c) Greater accounting accuracy
 - (d) All of the above
4. While selecting a bank for sourcing cash management service a corporate takes into account pricing, reliability, security, etc.
 - (a) True
 - (b) False

11.9 ANSWERS TO CHECK YOUR PROGRESS

1. (c), 2. (a), 3. (d), 4. (a).

UNIT 12

PAYMENT AND COLLECTION OF CHEQUES AND OTHER NEGOTIABLE INSTRUMENTS

STRUCTURE

- 12.0 Objectives
- 12.1 Introduction
- 12.2 Negotiable Instruments Act 1881 – Various Types of Instruments
- 12.3 Payment of a Cheque
- 12.4 Payment in due course – Section 10
- 12.5 Liability of the Paying Bank – Section 31
- 12.6 Collection of Cheques – Duties of a Collecting Bank
- 12.7 Endorsement of Cheques
 - 12.7.1 Kind of Endorsements (Sections 15 to 17)
- 12.8 Crossing of Cheques
 - 12.8.1 Types of Crossing
 - 12.8.2 Crossing after Issue of the Cheque
- 12.9 Forged Instruments
- 12.10 Bouncing (Dishonour) of Cheques
 - 12.10.1 Reasons of Dishonour
 - 12.10.2 Dishonour of a Cheque for Insufficiency of Funds/exceed Arrangement in the Account –Section 138
 - 12.10.3 Case Reference in regards to Dishonor/Bouncing of Cheque
 - 12.10.4 Offences by Companies - Section 141
 - 12.10.5 Summary Trial by Court - Section 143
 - 12.10.6 Mode of Service of Summons - Section 144
 - 12.10.7 Evidence on Affidavit - Section 145
 - 12.10.8 Bank's Slip Prima Facie Evidence of Certain Facts - Section 146
 - 12.10.9 Offences to be Compoundable - Section 147
 - 12.10.10 Power of Appellate Court to order payment pending appeal against conviction - Section 148
- 12.11 Cheque Truncation System
- 12.12 Let Us Sum Up
- 12.13 Keywords
- 12.14 Check Your Progress
- 12.15 Answers to 'Check Your Progress'

12.0 OBJECTIVES

After studying this Unit, you will:

- Know about salient provisions of Negotiable Instruments Act, 1881
- Learn about the responsibility of banks in payment of cheques
- Understand the responsibilities of collecting banker
- Know the consequences of dishonor of cheques on the drawer

12.1 INTRODUCTION

A banker is under a statutory obligation to make payment of a cheque drawn by its customer on her account, if sufficient funds are available in the account properly applicable for making the payment. Before paying a cheque, bank must ensure it is drawn properly fulfilling various legal requirements so that in the eyes of law the payment will be treated as payment in due course.

12.2 NEGOTIABLE INSTRUMENTS ACT 1881

The Negotiable Instruments Act, 1881 (NIA) deals with three kinds of instruments widely used in commercial transactions: promissory notes, bills of exchange, and cheques – called negotiable instrument. A cheque is used in day to day banking transactions. There are several provisions in NIA about dealing with cheques.

- (i) **Cheque:** *“A cheque is a bill of exchange drawn on a specified banker and not expressed to be payable otherwise than on demand and it includes the electronic image of a truncated cheque and a cheque in the electronic form.”* (Sec. 6)

It contains instruction given in writing by the account holder to his bank for making payment from his account. A cheque can be issued for savings or a current account, the funds in which are payable on demand, but not on a term deposit account which is payable after agreed period and to the depositor alone. There banker has legal duty to make payment of a cheque if:

- the cheque is properly drawn.
- there is sufficient balance in the account.
- there is no legal restraint on the bank's duty to pay.

Cheque in the electronic form: is drawn in electronic form by using any computer resource and signed in a secure system with digital signature (with or without biometrics signature) and asymmetric crypto system or with electronic signature.

Truncated cheque: is truncated during the course of a clearing cycle, immediately on generation of an electronic image, either by the clearing house or by the bank whether paying or receiving payment, for transmission, substituting further physical movement of the cheque in writing.

- (ii) **Promissory Note:** *“A “Promissory note” is an instrument in writing (not being a bank-note or a currency-note) containing an unconditional undertaking, signed by the maker, to pay a certain sum of money only to, or to the order of, a certain person, or to the bearer of the instrument.”* (Sec. 4)

Illustrations: A signs instruments in the following terms:

- “I promise to pay B or order Rs. 500.”
- “I acknowledge myself to be indebted to B in Rs. 1,000, to be paid on demand, for value received.”

- (c) "Mr. B, I O U Rs. 1,000.
- (d) "I promise to Pay B Rs. 500 and all other sums which shall be due to him."
- (e) "I promise to Pay B Rs. 500, first deducting thereout any money which he may owe me."
- (f) "I promise to Pay B Rs. 500 seven days after my marriage with C."
- (g) "I, promise to Pay B Rs. 500 on D's death, provided D leaves me enough to pay that sum."
- (h) "I promise to Pay B Rs. 500 and to deliver to him my black horse on 1st January next."

The instruments at (a) and (b) are promissory notes, others are not promissory notes as they do not contain a promise to pay some money.

(iii) Bill of Exchange: *"A Bill of Exchange is an instrument in writing containing an unconditional order, signed by the maker, directing a certain person to pay certain sum of money only to or to the order of a certain person or to the bearer of the instrument."* (Sec. 5)

The promise to pay is not considered conditional merely by reason of stipulating the time for payment expressed as on the lapse of a certain period or after occurrence of a specified event which, in ordinary expectation, is certain to happen though at an uncertain time.

- (iv) Drawee and Drawer:** The maker of a Bill of Exchange or a Cheque is called the drawer, and the person directed to pay is called the drawee.
- (v) Holder:** The Holder of a promissory note, a bill of exchange or a cheque means any person entitled in his own name to its possession and to receive or recover the amount due thereon from the parties thereto. Where a bill of exchange or a cheque is lost or destroyed, its holder is the person so entitled at the time of such loss or destruction.
- (vi) Holder in Due Course:** Holder in due course is a Holder as payee or endorsee or bearer (in case of a cheque payable to a bearer) who for consideration became the possessor of the promissory note, the bill of exchange or the cheque and there is no sufficient cause to believe any defect existed in the title of the person from whom he derived his title.
- (vii) Negotiation:** A Promissory note, bill of exchange or cheque transferred to any person, to make her the holder thereof, is said to be negotiated.

12.3 PAYMENT OF A CHEQUE

When paying a cheque drawn by a customer, a banker has to pay attention to these aspects:

- (i) The branch on which it is drawn:** A cheque is normally to be presented for payment at the branch where the account is maintained. But, with core banking system, banks are providing anywhere banking, so a cheque can be presented for payment at any branch of a bank.
- (ii) Date:** A cheque may bear a future date (post-dated), current date or an antedate. A cheque dated three months prior to the date of presentation is considered to be stale, and cannot be paid. A post-dated cheque cannot be paid because of the risk of subsequently - getting stop payment instructions, death, insanity or insolvency of drawer, serving of any attachment order - before the ostensible date of the cheque.
- (iii) Payee:** A cheque may be made payable to a single payee or joint payees or alternative payees. If a cheque is payable to joint payees as X and Y, it should be paid to them jointly. Similarly, if a cheque is payable to X or Y, it may be paid to either X or Y. Some times cheques are made payable to cash or order, which can be paid only to the drawer or his agent. If a cheque is drawn payable only to a particular person, say 'X only', it can be paid to him only and not to any other. If a cheque is payable to a limited company, it cannot be paid to a third party.

- (iv) **Order cheque or bearer cheque:** An order cheque may be presented for payment either by the original payee or by the endorsee. Proper identification of the presenter should be asked for. If the cheque contains endorsements, it must be ensured that they are regular. A bearer cheque can be paid to any person who presents it, and the paying banker need not verify any endorsement. The signature of the presenter is obtained on the reverse for having received the payment.
- (v) **Amounts stated in words and figure:** It should be ensured that the amounts stated in words and figure tally. Sec. 18 says that if the amounts in words and figure differ, the amount in words shall be paid. But, in practice these are returned unpaid with the reason 'amount in words and figure differs'.
- (vi) **Whether crossed:** Discussed in sections 12.8. and 12.5.
- (vii) **Whether the instrument contains any endorsement:** Discussed in sections 12.7 and 12.5.
- (viii) **Any alteration:** Any material alteration of a negotiable instrument renders it void as against anyone who is a party thereto at the time of making such an alteration and does not consent thereto, unless it was made in order to carry out the common intention of the original parties (Sec.87). Any material alteration should be authenticated under the full signature of the drawer.
- (ix) **Any mutilation:** If a cheque is accidentally torn by the drawer, he may confirm the mutilation and the cheque can be paid if otherwise in order. If accidentally torn by the collecting banker, he should put an endorsement as 'Mutilation guaranteed' on the back of the cheque.
- (x) **Signature of the Drawer:** The signature of the drawer is an authority given by the account holder to debit his account with the amount of the cheque. If the signature is forged, the banker does not get an authority for debiting the account. Section 89 of the NI Act provides protection to the paying banker for a forged endorsement, but not if the drawer's signature is forged. The rationale is that such an instrument does not qualify as a cheque. In *Canara Bank vs Canara Sales Corporation and Others* [(1987) 2 Supreme Court Cases 666] the Supreme Court stated that when the customer's signature on the cheque is forged, there is no mandate to the bank to pay. As such a banker is not entitled to debit the customer's account on such forged cheque. Since the relationship between the customer and the bank is that of a creditor and debtor, the bank had no authority to make payment of a cheque containing a forged signature, as there would be no mandate on the bank to pay. The Supreme Court pointed out that such document was a mere nullity. The bank would succeed only when it would establish adoption or estoppel.
- (xi) **Stop-payment instruction:** Before paying a cheque, the bank should check for any stop payment instruction from the drawer. If a countermanded cheque is presented for payment, it should be returned with the reason, 'payment countermanded by the drawer'. For joint accounts, stop payment instruction can be given by any of the joint account holders. For partnership accounts, cancellation of a stop payment instruction must be given by all the partners. For limited companies, cancellation of stop payment instruction must be given by all the authorised signatories.
- (xii) **Other Aspects:** At the time of making payment, the bank should also verify: the balance in the account is sufficient; no garnishee order, income tax attachment order etc. prohibiting payment. has been received, no notice of death, insolvency or insanity of drawer has been received.

12.4 PAYMENT IN DUE COURSE – SECTION 10

Paying banker gets protection available under various sections (Refer 12.5(ii)) only if the payment of the cheque is in due course as defined in Sec.10

‘Payment in due course means payment in accordance with the apparent tenor of the instrument in good faith and without negligence to any person in possession thereof under circumstances which do not afford a reasonable ground for believing that he is not entitled to receive payment of the amount there in mentioned.’

- (i) Apparent tenor: means instructions of the drawer of the cheque, as apparent from looking at the face of the cheque, and include the date of cheque, name of payee, bearer or order, amount in words and figures, crossing, etc.
- (ii) Good faith and without negligence: means acted honestly and not negligently. Good faith alone is not adequate. For example, if in the deposit slip the a/c number is wrongly stated but the name of the depositor is correctly written, then crediting some account without verifying the name and account number is negligence, and hence no protection is available.
- (iii) Payment to a person in possession: means to make the payment to the person who is a holder in due course.
- (iv) Entitled to receive payment: means there are no circumstances to doubt the title to the cheque of the person being paid. In a matter in Calcutta High Court a person filed a case against a bank for payment of a crossed cheque from his account claiming that his signature on it was forged and paid by the branch staff who were in connivance with the fraudster. The bank’s agent and other officials were examined regarding payment of the cheque, issue of a new cheque book to the customer at his request, and noting stop payment instructions of the customer for unused cheque leaves of the old cheque book. The handwriting expert opined that the signature on the cheque did not match with the specimen signature, but was not found convincing in his deposition before the court. The branch staff convincingly and fully explained the care exercised by them in issuing cheque book and in paying the disputed cheque received through clearing. The deposition of the plaintiff accusing the bank was not convincing. The Hon’ble Judge held that the branch staff had acted in good faith, with due diligence and without negligence and hence ruled against the Plaintiff. (*Pranendu Mohan Das vs. Central Bank of India AIR 1978 Cal55.*)

12.5 LIABILITY OF THE PAYING BANK – SECTION 31

The drawee bank is under a liability to honour a cheque drawn on its account that is having a sufficient balance (Sec. 31). It is subject to the condition that the funds are properly applicable for this. In case of default, the bank must compensate the drawer for any loss or damage caused by such default.

- (i) **Sufficient and adequate funds:** Sufficient available funds are not properly applicable:
 - (a) When payment of a cheque is stopped.
 - (b) When drawer is dead and its intimation received.
 - (c) When funds are attached under a garnishee order/income tax officer/goods and services tax department.
 - (d) When funds are earmarked for specific purposes.
 - (e) When funds are set off by the bank.
 - (f) When the balance is not a clear balance.
- (ii) **Protection available to the paying banker:** Protection is available in the following cases:
 - (a) **Protection in case of forged endorsements in an order cheque (Sec. 85 (1)):** If a cheque payable to order is endorsed by or on behalf of the payee, the drawee is discharged by payment to the endorsee. The paying banker is protected if the endorsement is not genuine, provided

the endorsement/s is/are regular, and the payment is made in due course as per Sec.10. The banker cannot be expected to be conversant with the signature of the persons who are not their customers. At the most, he can check that the endorsement seems to have been made by the payee/endorsee.

- (b) **Protection in case of forged endorsements in a bearer cheque (Sec. 85 (2)):** If a cheque is payable to bearer, the drawee is discharged by payment in due course to the bearer, notwithstanding any endorsement appearing on the instrument. A bearer cheque can be negotiated by mere delivery, endorsement is not relevant. Hence, payment to the bearer is in due course as per Sec. 10, irrespective of it containing forged or restrictive endorsement.
- (c) **Protection in case of forged endorsements in a draft (Sec. 85 (A)):** If a draft seems to be endorsed by or on behalf of the payee, the bank is discharged by payment in due course. The bank is protected if the endorsement is not genuine, provided the endorsement/s is/are regular, and the payment is made in due course as per Sec.10.
- (d) **Protection in case of material alteration in a cheque (Sec. 89):** If a negotiable instrument is materially altered, but does not appear to have been so altered or where a cheque is presented for payment which does not at the time of presentation appear to be crossed or to have had a crossing, which has been obliterated, the payment thereof by a person or banker liable to pay and paying the same according to the apparent tenor thereof at the time of payment and otherwise in due course, shall discharge such person or banker from all liability thereon and such payment shall not be questioned by the reason of the instrument having been altered or the cheque crossed. Under CTS, alterations/corrections on cheques are prohibited for protection of customers as well as banks. No changes/corrections can be made (other than for date validation). For any change in the payee's name, courtesy amount (amount in figures) or legal amount (amount in words), a fresh cheque is to be issued.
- (e) **Protection in respect of payment of a crossed cheque (Sec. 128):** The drawee bank on paying a crossed cheque in due course, is entitled to and placed in the same position as if the amount of the cheque had been paid to and received by the true owner thereof. This protection is available subject to following conditions:
 - When the cheque is crossed generally, the payment of it must be made only to a banker.
 - When the cheque is crossed specially, the payment of it must be made only to the banker to whom it is crossed.
 - The payment must be made in due course as per Section 10 of the N.I. Act.

If a banker makes payment of a crossed cheque to a person other than a banker or the specified banker, or his agent for collection, loses this protection and shall be liable to the true owner of the cheque for any loss he may sustain owing to such payment (Sec.129).

A cheque crossed specially to more than one banker, except to an agent for the purpose of collection, should not be paid by the paying banker (Sec. 127).

12.6 COLLECTION OF CHEQUES – DUTIES OF A COLLECTING BANK

A collecting bank is the one that collects payment of promissory notes, bills, cheques and other similar instruments like dividend warrant etc., for and on behalf of customers. A collecting banker may be held liable to the true owner of the cheque for the wrongful conversion, if he collects a cheque for a person who has no title to it. Conversion means wrongful or unlawful interference with another person's property

which is not consistent with the owner's right of possession. The collecting banker is protected in this respect if the following conditions are fulfilled in collecting a cheque or draft (Sec.131):

- The cheque is collected for a customer. (KYC guidelines have been followed.)
- The cheque is crossed either generally or specially before it is received by the banker (Not available when the banker adds crossing to an uncrossed cheque.)
- The banker acts in good faith and without negligence.

This aspect has been further elaborated in Unit 14 with a case law - Syndicate Bank vs Jaishree Industries and Others AIR 1994 Karnataka 315 described at length.

12.7 ENDORSEMENT OF CHEQUES

When the maker or holder of a negotiable instrument signs the same, otherwise than as such maker, for the purpose of negotiation, on the back or face thereof or on a slip of paper annexed thereto, they are said to endorse the same (Sec. 15). In practice an endorsement is made on the back of the check or on a slip of paper attached (called 'allonge')

12.7.1 Kinds of Endorsements (Secs. 15 to 17)

1. *Endorsement in blank*: Mere signature of the endorser on the back of an instrument without mentioning the name of any specific person in whose favour the endorsement is made, is blank endorsement (Sec. 16). This effectively makes the cheque payable to bearer and it can then be negotiated by mere delivery.
2. *Endorsement in full*: When the endorser directs to pay the amount of the cheque to a certain person or his order then the endorsement is in full (Sec. 16). Under this, the endorser confirms that he has transferred his rights in a specific person, and attests that prior endorsements are genuine.
3. *Conditional endorsement*: Normally, the endorser binds himself to pay in case the instrument is dishonoured. If he excludes his liability) then the endorsement is a conditional one – endorsement without recourse ('sans recourse'). Also, if the right of endorsee to receive the amount depends upon happening of a specified event, the endorsement is conditional. This condition may be a contingent event, which may or may not happen (Sec. 52).
4. *Restrictive endorsement*: The endorsement that restricts or excludes the right to negotiate or to receive its contents for the use of endorser is restrictive endorsement, e.g. Pay to Nalini Mumbaikar only. (Sec.50)
5. *Facultative*: As per requirement the endorsee must give a notice of dishonour to the endorser, but the endorser may waive this right in writing in the endorsement, e.g. pay to Smt. Manorama or order notice of dishonour waived. The endorser, however, remains liable to the endorsee for non-payment of the instrument.

12.8 CROSSING OF CHEQUES

If the drawer of the cheque wants to ensure safety & audit trail of payment, he may further direct the paying banker to pay the cheque only through an account. Crossing of the cheque conveys this mandate of the drawer. Secs. 123 to 131 deal with crossing the cheques. These provisions are also applicable to banker's cheques, pay orders and drafts.

12.8.1 Types of Crossing

Section 123 and 124 deals with two types of crossing i.e. general crossing and special crossing.

- (i) **General crossing:** is done by drawing two parallel transverse lines across the face of a cheque. It may include such words as “& company” or “not negotiable” in between the transverse parallel lines (Sec. 123). This makes a cheque payable only through a bank account. A cheque crossed generally should be paid only to a banker (Sec. 126).
- (ii) **Special crossing:** If the cheque bears across its face, in addition to the crossing, the name of a banker, the cheque is deemed to have been crossed specially to that banker (Sec. 124). Such a cheque should be paid by the drawee banker only to the banker to whom it is crossed or his agent for collection (Sec. 126). This makes the cheque payable only to the specified banker. For this reason, banks put the crossing stamp on the cheques received for collection.
- (iii) **Not Negotiable crossing:** This type of crossing removes the negotiable character of the instrument and the transferee cannot have a better title than what the transferor had. (Sec. 130)
- (iv) **Account Payee crossing:** For more protection sometimes the words like “A/c Payee” or “Payee’s A/c only” are added to the crossing, though not specified in the NI Act. It is a practice widely followed. This is a direction to the collecting bank to collect the proceeds for the payee’s account only. RBI has directed banks to collect ‘Account Payee’ cheques only for the named payee.

12.8.2 Crossing after Issue of the Cheque

- If the cheque is not crossed, the holder of the cheque may cross it either generally or specially.
- If the cheque is crossed generally, the holder may cross it specially.
- The holder may add the words “Not Negotiable” to the crossing.

12.9 FORGED INSTRUMENTS

Forged instrument means forging the signature of the drawer and/or endorser, name of the payee and amount of the instrument etc. Forgery in signature and alterations in payee name, amount and date are not protected under law. The transferee will not be able to enforce payment from the parties to the bill, cheque, and promissory note. In case payment has been obtained by some inadvertence, such payment can be claimed from the drawee. This is because of the rule that the forgery gives no title. Thus in the case of a forged instrument, it is not only that the holder in due course has a defective title but no title at all.

The true owner can sue for recovery of the amount as the holder would be deemed to be holding the amount for the use of the true owner. The plea of fraud is good only against the party who is guilty of it or against his transferee who knew about the fraud when he took it. It will not affect the rights of a holder in due course. The same rule applies to instruments obtained for an unlawful consideration.

12.10 BOUNCING (DISHONOUR) OF CHEQUES

A bank is required to dishonor cheques received for payment, if the requisite conditions are not met. The bank should be required to intimate the reason for dishonor.

12.10.1 Reasons of Dishonour

Usual reasons for dishonour of cheques are as follows:

- | | | |
|------------------------|---------------------|----------------------------------|
| (a) Insufficient funds | (b) No arrangement | (c) Exceeds arrangement |
| (d) Payment stopped | (e) Refer to drawer | (f) Closure of Account by drawer |

Apart from these, with the introduction of CTS-GRID based clearing certain other reasons have emerged:

- | | | |
|--|---------------------------|------------------------|
| (a) Present in proper zone | (b) Present with document | (c) Paper not received |
| (d) Digital certification validation failure | | |
| (e) Alterations in instrument – Other than “Date field”. | | |

12.10.2 Dishonour of a Cheque for Insufficiency of Funds/ Exceeds Arrangement – Section 138

If a cheque issued by a person to another person for the discharge, in whole or any part of any debt or other liability is returned by the bank unpaid, on account of insufficient funds in the account or exceeds the agreement made with that bank; such person is deemed to have committed an offence, and liable to be punished with imprisonment up to two years or with fine up to twice the amount of the cheque or with both, if following conditions are satisfied:

- The cheque has been presented within the validity period i.e. three months of the date of cheque),
- A demand for payment is made by notice within 30 days of the return of cheque, and
- The drawer fails to make payment within 15 days of receipt of the notice.

12.10.3 Case Reference in Regards to Dishonor/Bouncing of Cheque

- Criminal liability cannot be fastened on the heirs or legal representatives. (*Smt. Bhupindar Lima vs. State of Andhra Pradesh* (2000))
- An offence is committed even if a cheque is returned on account of closure of account. [*G.Venkataramanaiah vs. Sillakollu Venkateswarlu* (1999)]
- A cheque can be presented any number of times during the period of its validity. (*S. Bhadram vs. M. Sunil Kumar Air 1998 SC*)
- A post-dated cheque is deemed to have been drawn on the date it bears and the 6 month period for the purpose is to be reckoned from that date. (*N. Sivalingam vs. A.V. Chandraiyaer 1996*).

Now the six months period is reduced to three months.

12.10.4 Offences by Companies - Section 141

If the person committing an offence is a company (including a firm or association of individuals), then every person who is responsible for such offence, as well as the company, are guilty of the offence. A nominated director by virtue of any office or employment in the Central or State Government or financial corporation, is not liable for prosecution. Once a cause of action has arisen, the limitation will begin to run. Presenting the cheque again does not give rise to a fresh cause of action and fresh limitation (*MIs Chahal Engg. and Construction Ltd vs. Verma Plywood Co. 1994*). Payee of a cheque cannot initiate prosecution for an offence under Section 138 for its dishonour for the second time, if he had not initiated such prosecution on the earlier cause of action. (*Sadanandan Bhadran vs. M. Sunil Kumar 1998 4 CLJ*)

12.10.5 Summary Trial by Court - Section 143

Offence under Secs. 138/141 shall be tried by a Judicial Magistrate or by Metropolitan Magistrate of the first class. and the provision of Secs. 262 to 265 of Code of Criminal Procedure shall apply to such trials. In case of any conviction in a summary trial under this section, it shall be lawful for the magistrate to pass a sentence of imprisonment for a term not exceeding one year and an amount of fine not exceeding ₹5,000.

12.10.6 Mode of Service of Summons - Section 144

The magistrate issuing summons to an accused or a witness may direct a copy of summons to be served by speed post or by such courier services as are approved by a Court of Session.

12.10.7 Evidence on Affidavit - Section 145

Evidence of the complaint may be given on affidavit and subject to all just exceptions be read in evidence in any enquiry, trial or other proceeding.

12.10.8 Bank's Slip Prima Facie Evidence of Certain Facts - Section 146

The court shall on production of the bank's slip or memo, with the official mark, denoting that the cheque has been dishonoured, presume the fact of dishonour of such cheque unless disproved.

12.10.9 Offences to be Compoundable - Section 147

Every offence punishable under NI Act is compoundable.

12.10.10 Power of Appellate Court to Order Payment Pending Appeal against Conviction - Section 148

In an appeal by the drawer against conviction under Sec. 138, the appellate court may order the appellant to deposit such sum which shall be a minimum of 20% of the fine or compensation awarded by the trial court.

12.11 CHEQUE TRUNCATION SYSTEM

Handling of cheques under cheque truncation system has been discussed in Unit 6.

12.12 LET US SUM UP

NI Act discusses about negotiable instruments, their payment, collection, dishonour, and rights and duties of collecting bankers.

Underlying the banker-customer relationship is the contractual obligation on the part of the banker to honour the customer's cheque when presented subject to meeting certain conditions.

A banker, if he collects a cheque for a customer having no title or defective title to the instrument is said to have committed conversion. A bank which has in good faith and without negligence received payment of a cheque, crossed generally or specially to itself for a customer shall not, in case the title to the cheque proves defective, incur any liability to the true owner of the cheque by reason only of having received such payment. A cheque may be crossed with general crossing or special crossing.

A cheque may be endorsed in a variety of ways by writing on the cheque. Banks get certain protection under NI Act subject to satisfying certain conditions and making payment in due course.

Dishonour of cheque issued towards amount due, for want of sufficient funds is a punishable offence under NI Act.

12.13 KEYWORDS

Paying Banker, Collecting Banker, Payment in Due Course, Holder, Holder in Due Course, Conversion, Negotiable Instruments, Promissory Note, Cheque, Crossing, Special Crossing, Endorsement.

12.14 CHECK YOUR PROGRESS

1. Section 131 of N.I. Act extends protection to the _____.
 (a) collecting bank (b) paying bank
 (c) drawee bank (d) negotiating bank
2. Where a customer, by a letter has advised the bank directing the banker not to honour/pay a particular cheque such letter is called _____.
 (a) letter of credit (b) stop-payment letter
 (c) mandate (d) garnishee letter
3. Forged cheque is a/ an _____ cheque.
 (a) valid (b) invalid
 (c) dead (d) stale cheque
4. A cheque favouring 'Rajkumar or order' is stolen. The thief endorsed the cheque as Rajkumar in his favour. The cheque is presented in clearing and paid by the drawee bank. True owner later on sent legal notice to the bank. What is the liability of the bank?
 (a) The paying bank will get protection under the N.I. Act.
 (b) A forgery does not give any rights to the paying bank, hence is liable.
 (c) As per section 85 of the N.I. Act, the paying bank is liable.
 (d) As per section 131 of the N.I. Act, the paying bank is liable.
5. Section 131 of N.I. Act gives protection for collection of a _____.
 (a) bill of exchange (b) promissory note
 (c) negotiable instrument (d) cheque

12.15 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (a), 2. (b), 3. (b), 4. (a), 5. (d).



RESPONSIBILITY OF PAYING BANK

STRUCTURE

- 13.0 Objectives
- 13.1 Introduction
- 13.2 Negotiable Instruments Act and Paying Banks
- 13.3 Liability of Paying Banker when Customer's Signature on the Cheque is Forged
- 13.4 Payment to be in Due Course for Bank to Seek Protection
- 13.5 Payment in Good Faith without Negligence of an Instrument on which Alteration is not Apparent
- 13.6 Payment by Bank Under Mistake Whether Recoverable
- 13.7 Cheque Truncation
- 13.8 Let Us Sum Up
- 13.9 Keywords
- 13.10 Check Your Progress
- 13.11 Answers to 'Check Your Progress'

13.0 OBJECTIVES

After studying this Unit, you will:

- Learn about various laws applicable to a paying bank;
- Understand the responsibilities of a paying bank based on case laws;
- Know the protection given under law to a paying bank as decided by Courts.

13.1 INTRODUCTION

The duty of the banker to honour his customers' mandate, is laid down in Section 31 of the Negotiable Instruments Act. NI Act grants protection to a paying banker. These provisions are discussed here in detail.

13.2 NEGOTIABLE INSTRUMENTS ACT AND PAYING BANKS

'The drawee of a cheque having sufficient funds of the drawer in his hands properly applicable to the payment of such cheque must pay the cheque when duly required to do so, and, in default of such payment, must compensate the drawer for any loss or damage caused by such default.' (Sec.31)

The following points are important to note are:

- i. **Section 31 Applies Only to Bankers:** This is because as per Sec. 6 'cheque' is a "bill of exchange drawn on a specified banker.
- ii. **Sufficient Funds:** The banker should have sufficient funds of the drawer.
- iii. **Properly Available:** The funds available in the customer's account should also be properly available for the payment of the cheque. The funds may not be available to pay for reasons stated in 12.5.
- iv. **When Duly Required to Do So:** It means that the cheque must be properly drawn and signed by the drawer.
- v. **Compensate the Drawer:** In case the banker refuses payment wrongfully, then he is liable only to the drawer of the cheque and not to any endorsee or holder, except when
 - (a) the bank is wound up, in which case the holder becomes a creditor entitled to make a claim;
 - (b) if cheque is paid disregarding the crossing, the true owner can hold the banker liable.
- vi. **Loss or Damage Caused by Default:** A banker is liable to the drawer for any loss or damage, due to the wrongful dishonour of the customer's cheque.
- vii. Sec. 85 grants protection to a banker on his making payment of a cheque as discussed in section 12.5.
- viii. Sec. 89 states the effect of paying an instrument on which alteration is not apparent as discussed in section 12.5.

13.3 LIABILITY OF PAYING BANKER WHEN CUSTOMER'S SIGNATURE ON THE CHEQUE IS FORGED

Sec. 128 lays down the criteria for payment in due course of crossed cheques. as discussed in section 12.5. Following are certain cases determined by the courts of law reflecting the provisions.

- i. **When the customer's signature on the cheque is forged there is no mandate to the bank to pay. As such a banker is not entitled to debit the customer's account on such forged cheque:** In *Canara Bank Vs. Canara Sales Corporation and Others* [(1987) 2 Supreme Court Cases 666] this aspect was dealt with by the Hon'ble Supreme Court. The company had a current account with the bank which was

operated by the company's Managing Director. The company's accountant, who had the custody of the cheque book, over a period of time forged the signature of the Managing Director in 42 cheques totalling ₹3,26,047.92. The company immediately on detection of the fraud demanded the amount from the bank. The bank refused payment and the company filed a suit against the bank. The bank lost the suit and appealed to the Supreme Court, which was dismissed:

The Supreme Court relied on its earlier judgement in *Bihta Co-operative Development and Cane Marketing Union Ltd. vs Bank of Bihar* (AIR 1967 Supreme Court 389).

- ii. **In a joint account if one of the signatures is forged then there is no mandate and banker cannot make payment:** (*Bihta Co-operative Development and Cane Marketing Union Ltd. vs Bank of Bihar*, *ibid*). The Co-operative Marketing Union had an account with the bank, which was authorised to be operated by the Joint Secretary and the Treasurer of the co-operative Marketing Union. On 16 April 1948, the bank made payment of ₹11,000 on a loose leaf cheque. One of the two signatures on the cheque (the signature of the Joint Secretary) was forged. The Co-operative Marketing Union sued the bank for recovery of the money. The bank admitted negligence on its part, but argued that the employees of the Co-operative Marketing Union were dishonest and as such it cannot succeed. The Supreme Court, while allowing the case of the Co-operative Marketing Union held that 'one of the signatures was forged so there never was any mandate by the customer at all to the banker and the question of negligence of the customer in between the signature and the presentation of the cheque never arose.'

13.4 PAYMENT TO BE IN DUE COURSE FOR BANK TO SEEK PROTECTION

- i. The Supreme Court in *Bank of Bihar vs Mahabir Lal* (AIR 1964 Supreme Court 397) held that a banker can seek protection under Sec. 85 only where payment has been made to the holder, his servant or agent, i.e. payment must be made in due course. The bank had agreed to grant the firm a cash credit facility against the pledge of cloth bales, with a condition that the money for purchasing the cloth would be paid by the bank to the supplier and the cloth bales would be kept by the bank as pledge for the loan. The firm thereafter was required to draw a cheque on itself which was handed over to the bank. The bank, entrusted the cash with one of the bank's employees (Potdar) who accompanied the partner to the wholesalers. Before the money could be paid to the wholesalers the Potdar absconded. The bank sought repayment of the money, which was refused by the firm. The bank sued the firm for the money relying on Secs. 85 and 118. The Supreme Court held that, before the provisions of Sec. 85 can assist the bank it had to be established that payment had been made to the firm or to a person on behalf of the firm. Payment to a person who had nothing to do with the firm or a payment to an agent of the bank would not be a payment to the firm.
- ii. The Calcutta High Court considered whether **a bank had made payment in due course** or not in the case of *Bhutoria Trading Company (BTC) vs Allahabad Bank* (AIR 1977 Cal. 363). BTC, a limited company, had sold some jute to WFD another limited company, for payment of which WFD issued an un-crossed cheque payable to BTC or order and delivered to an official of BTC. The official endorsed the cheque as manager, using the company's seal and encashed it over the counter. BTC sued the bank for recovery of the money. The Court held that:

"The Expression payment in due course has been defined in Section 10 of the Negotiable Instruments Act to mean payment in accordance with the apparent tenor of the instrument in good faith and without negligence to any person in possession thereof, under circumstances which do not afford reasonable ground for believing that he is not entitled to receive payment of the amount therein

mentioned. It can hardly be questioned that the payment by the defendant bank of the cheque in question has been made by the defendant bank in accordance with its apparent tenor. The cheque is an un-crossed cheque payable to the plaintiff or order. The cheque was endorsed by the plaintiff through its Manager. The fact that Jethmall is the Manager is borne out by the seal of the company which is unquestionably an authentic seal. The seal of the Manager is also equally authentic. That the payment was made in good faith has not been disputed for all practical purposes. There is not a grain of evidence before the Court from which it remotely appears that the payment was not made in good faith. Now, that the entire evidence is before the Court, the question of onus to prove good faith loses much of its importance. No negligence has been proved against the bank. The defendant bank insisted on identification of Jethmall and Jethmall was, in fact, identified by Kishanlal Maheswari, a constituent of the bank, the defendant No. 3. The defendant bank therefore took all reasonable precautions even though the circumstances in which the cheque was presented for payment did not afford any reasonable ground for believing that Jethmall was not entitled to receive payment of the amount mentioned therein. The plaintiff having failed to prove the trade practice which he alleged and the bank having paid the cheque, in accordance with the apparent tenor of the instrument, in good faith, and without negligence, to Jethmall who was in possession thereof, the defendant is entitled to succeed. There were no circumstances which afforded any reasonable ground for believing that Jethmall was not entitled to receive payment of the cheque. It must be held that the bank made the payment in due course."

The learned Judge also pointed out that payment in due course necessarily means payment made in the ordinary course.

- iii. Whether a payment by a bank was *payment in due course* would depend on the facts of a given case. In *Madras Provincial Co-operative Bank Ltd. vs Official Liquidator, South Indian Match Factory Ltd.* (AIR 1945 Mad 30) an appeal against the order of the original side of Madras High Court, the Court held that payment to a liquidator against the cheque presented across the counter was not a payment in due course and the bank was not entitled to seek protection under Sec. 85... The Official Liquidator of the Company sold certain properties of the company, for which payment was made by the purchaser by a cheque in favour of the liquidator. The liquidator presented the cheque over the counter and obtained payment in cash and misappropriated. He was prosecuted, convicted and removed from office. His successor proceeded against the bank for recovery of the amount on the ground that the bank was negligent and the amount was wrongly paid. The Court held that under Sec. 244A of the Indian Companies Act, 1913, an official liquidator was required to open an account with a bank and pay therein moneys received by him in the course of the liquidation. Rule 66 of the Rules framed by the Madras High Court under the Act required that all bills and other securities payable to the company or to the liquidator should, unless the judge otherwise directs, shall as soon as they came into the hands of the liquidator, be deposited by him in the bank. From the cheque itself the bank had noticed that it was payable to the liquidator in his official capacity. That the bank realised this in full was shown by the fact that it called for the order of his appointment. The learned judge therefore concluded:

"We have no doubt that the officers of the bank did not realise, as they should have done, that the bank was doing something improper, but in the circumstances there was negligence. They knew or must have deemed to have known that this money could only be collected by the payee through his own bank and therefore it was most improper on his part to ask for payment over the drawee's counter. In our judgement there was a clear breach of a statutory duty placed upon the bank and the learned judge was right in holding the bank liable."

13.5 PAYMENT IN GOOD FAITH WITHOUT NEGLIGENCE OF AN INSTRUMENT ON WHICH ALTERATION IS NOT APPARENT

- i. The effect of Sec. 10 and 89, and Sec. 31 was considered by the Supreme Court in *Bank of Maharashtra vs M/s Automotive Engineering Co.* (1993) 2 SCC 97. The question, considered in this appeal, was whether the paying bank was bound to keep an ultraviolet ray lamp and to scrutinise the cheque under it even if no infirmity was found on its visual scrutiny.

A partnership firm (the defendant), opened a current account with a branch of the appellant bank. The said branch was in an industrial area, where forgery of cheques was rampant and although other branches of the appellant bank were provided with ultraviolet ray lamps, the said branch was not. On 26 May 1967, one Shri Shah, as a proprietor of Messrs Imperial Tube and Hardware Mart, opened an account, of his firm, with a branch of the Union Bank of India. He deposited a cheque dated 29 May 1967, issued by the defendant for ₹6,500 in favour of his firm to Union Bank of India. On presentation through clearing, the appellant bank passed the cheque. On receipt of the objection from defendant, the said cheque was examined under the ultraviolet ray lamp when it transpired that the original cheque was issued in favour of Shri G.R. Pardawala and the amount of the said cheque was ₹95.98. The writing on the cheque was chemically altered with regard to date, name of the payee and the amount. The respondent made demands to the appellant bank to credit the amount to its account.

The appellant bank filed a suit in which the agent of the appellant bank was examined, who stated that before passing the said cheque for payment he had checked the serial number and date of the cheque and had compared the signature of the respondent with the specimen signature and that from visual appearance of the cheque no infirmity was noted by him and from the tenor of the cheque it appeared to be a genuine one. The Trial Court dismissed the suit on the ground that by not providing the facility of ultraviolet ray lamp, the appellant bank had failed to discharge proper care and, therefore, did not pass the said cheque with due diligence. Both the District Judge and the High Court held that there was lapse or negligence on the part of the bank in not providing UV lamp and not subjecting the cheque to scrutiny under it.

The appellant bank preferred an appeal to the Supreme Court. The Supreme Court allowed the appeal of the bank on the following grounds:

- (a) Sec. 89 gives protection to the paying banker of a cheque which has been materially altered but does not appear to have been so altered, if payment is made according to the apparent tenor at the time of payment and otherwise in due course.
- (b) Sect. 10 defines *payment in due course* to mean payment in accordance with the apparent tenor of the instrument in good faith and without negligence to any person in possession thereof under circumstances which do not afford a reasonable ground for believing that he is not entitled to receive payment.
- (c) Sec. 31 obliges the drawee bank having sufficient funds of the drawer in its hands properly applicable to the payment of such cheque to make payment when duly required to do so.
- (d) The Courts below have held that on visual examination no sign of forgery or tampering with the writings on the cheque could be detected. The agent of the appellant bank had verified the serial number and signature on the cheque and had compared the signature on the cheque with the specimen signature of the respondent and on scrutiny of the cheque visually, no defects could be detected by him. There were sufficient funds of the drawer with the appellant bank, which had no occasion to doubt about the genuineness of the cheque from the apparent tenor of the instrument. There was no evidence to hold that the payment was not made in good faith. Simply, because the UV lamp was

not kept in the branch and the said cheque was not subjected to such lamp would not be sufficient to hold the appellant bank guilty of negligence, more so when it has not been established on evidence that the other branches of the appellant bank or the other commercial banks had been following a practice of scrutinising each and every cheque or cheques involving a particular amount under such lamp by way of extra precaution.

- (e) In such circumstances, it is not a correct legal proposition that the bank, in order to get absolved from the liability of negligence, was under an obligation to verify the cheque for further scrutiny under advanced technology or for that matter, under UV lamp, apart from visual scrutiny even though the cost of such scrutiny was only nominal and it might be desirable to keep such lamp at the branch to take aid in appropriate case.
- (f) The Courts below were not justified in holding that the bank had failed to take reasonable care in passing the cheque for payment without subjecting it to further scrutiny under UV lamp because the branch was in the industrial area where such forgery was rampant and other branches of the appellant bank were provided with such lamp.

The appeal was, therefore, allowed and the Suit of the appellant bank was decreed only for the principal amount without any interest on the same.

- ii. The [protection granted to a banker](#) (Sec. 89) was considered by Calcutta High Court in *Brahma Shumshere Jung Bahadur vs Chartered Bank of India, Australia and China* (AIR 1956 Cal. 399):

B (a member of the royal family of Nepal) had an overdraft account with the bank, for which certain securities were deposited with the bank. The overdraft limit fluctuated depending on the securities deposited. In April 1946, B requested the bank to enhance the limit which was not agreed to by the bank and the limit was ₹70,000. In July 1946, B sent a cheque by post, drawn on the overdraft account which was intercepted and the amount was raised from ₹256 to ₹2,34,081. The cheque was put for collection in another bank which was paid by B's bank. B on knowing about the forgery sued both the paying and collecting banks, contending that the cheque was signed by him but was written out by some other person that should have aroused the suspicion of the bank. The Court held that since no alteration or obliteration was visible at the time of payment, the payment was according to the apparent tenor of the cheque. Further, B on other occasions also issued cheque signed by him and written by others, the bank's suspicion could not have aroused. The Court also held that the words 'liable to pay' appearing in Sec. 89 included a liability to pay under an overdraft agreement as much as it applied to an ordinary deposit account. On exceeding the overdraft limit, the Court held that no definite limit was fixed at any time and it fluctuated according to the securities deposited by B. In this case the collecting bank was liable for other reasons which we shall discuss in Unit 14.

- iii. In the case of *Tanjore Permanent Bank vs S.R. Rangachari* (AIR 1959 Madras 119) the Madras High Court decided a case in which the cheque was materially altered and the bank sought protection under Sec. 89. R had an overdraft account with the bank and requested the Manager to advance him ₹16,000 to the debit of his account. The Manager asked R to send him three blank cheques signed. R did the same. Only one cheque was utilised for the payment of ₹16,000. The other two cheques were alleged to have been filled by the accountant of the bank for ₹7,600 and ₹4,200 and the names of two clerks were written as the payees. In both the cheques the alterations were apparent and visible but the bank paid these cheques. On R not clearing the overdraft in his account, the bank sued him. R contended that the two debit entries for ₹7,600 and ₹4,200 were made by the bank wrongly and as

such he cannot be held liable. The Court held that since the material alteration on both the cheques were visible and since they were not authenticated by the drawer, the payment made by the bank was not according to the apparent tenor of the instrument and as such the bank cannot claim protection under Sec. 89. The Court in coming to the above conclusion relied on the following paragraph of Bhashyam and Adiga's Negotiable Instruments Act:

"The bank has also to see whether there are any alterations in the cheque and whether they have been properly authenticated. Therefore, where an alteration in a cheque is initialled not by all the drawers but only some of them, the bank will be paying the amount on the said cheque at its own risk. In this connection it is necessary to notice that under Section 89 protection is afforded to the bank paying a cheque where the alteration is not apparent."

- iv. Bareilly Bank Ltd. vs Naval Kishore (AIR 1964 All 78): N opened an account with the bank by a cash deposit of ₹19,900. N was issued a cheque book of 25 cheques. 17 months after opening the account N drew a cheque for the first time for ₹5,900 which was dishonoured. On enquiries N was informed that 11 months back three cheques aggregating ₹19,500 were paid by the bank and the present balance in the account was a mere ₹437. N denied issuing the cheques and sued the bank. In evidence it came out that 3 cheques used to withdraw the amounts were not from the cheque book issued to N but from a different one. The bank could not explain this lapse, but countered the contentions of N by producing his specimen signature which appeared to be similar to the ones on the cheques. N denied that the specimen signature was his and the Court concluded the alleged specimen signature were totally different from N's regular signature. Evidence also was led to show that the bank's own employees were involved in the forgery since the ledger page of N's account showed certain erasures and scorings, and the signature of N missing in the cheque book issue register. Therefore the Court refused to accept the bank's contention.

13.6 PAYMENT BY BANK UNDER MISTAKE WHETHER RECOVERABLE

The question whether a bank paying a forged cheque can recover the same from the payee was considered by the Calcutta High Court in United Bank of India vs AT Ali Hussain & Co. (AIR 1978 Calcutta 169). In this case, a cheque for ₹5,000, purportedly drawn by a company was presented by the collecting bank to the paying bank, and was paid. The signature as well as all other writings on the cheque were forged. Forgery was so perfect that it was not possible even for a trained eye to detect it. The paying bank, having subsequently come to know of the forgery, filed a suit against the collecting bank and the payee of the cheque, for recovery of the amount paid, on the ground of payment under mistake. The collecting bank contended that it received the cheque in the ordinary course of its business, and presented the same for encashment in good faith. The payee contended, that he received the cheque from some persons claiming to be representatives of a company, in the ordinary course of business, towards payment of the price of the goods to be supplied by him, that he acted in good faith, having no reason to suspect that the cheque was forged, and that he parted with the goods only on receipt of intimation from the collecting bank that the cheque had been encashed. The Trial Court dismissed the suit on the ground that the paying bank had no cause of action, an appeal was preferred to the High Court.

Decision: The High Court dismissed the appeal and held that both from the point of view of equitable principles and the doctrine of estoppel, the paying bank was disentitled to recover the money either from the collecting bank or the payee. In the course of his judgement, M.M. Dutt. J. said:

“The evidence on record supports the findings of the learned Judge that the forgery was so accurate that it was not possible even to a trained eye to detect the same. In these circumstances, it is difficult to hold that the plaintiff bank had acted carelessly or negligently. The encashment was made by the plaintiff bank on the mistaken belief that the cheque was a genuine one. The defendant United Bank had nothing to do with the question as to whether the cheque was genuine or forged. In due course of business, it presented the cheque to the plaintiff bank for collection and after the cheque was encashed, intimation was given by it to its constituent, namely, the defendant No.1, and the latter, in its turn, sold goods to the persons who came with the forged cheque as the representatives of the Metal Alloy Co. Thus, it appears that the parties in the suit acted in good faith in due course of business. It was due to the mistake that was committed by the plaintiff bank that it had to suffer the loss of the said sum of `5,200. Upon the consideration of the principles of law as noticed above, it seems to us that so long as the status quo is maintained and the payee has not changed his position to his detriment, he must repay the money back to the payer. If, however, there has been a change in the position of the payee who, acting in good faith, parts with money to another without any benefit to himself before the mistake is detected, he cannot be held liable. Equity disfavours unjust enrichment. When there is no question of unjust enrichment of the payee by reaping the benefit of an accidental windfall he should not be made to suffer, for he would be as innocent as the payer who paid the money acting under a mistake.”

13.7 CHEQUE TRUNCATION SYSTEM

Under CTS clearing, the obligations of the paying and collecting banks have changed, as discussed in Unit 6.

13.8 LET US SUM UP

The NI Act lays down the law relating to the payment of a customer's cheque and the protection that is available to a banker making payment of a cheque in due course. Sec. 10, 85, 85A, 89 and 128 of the Act deal with the protection available to a banker whereas Sec. 31 lays down the condition when a bank has to make payment on a cheque drawn by the customer. The banker on making the payment in due course is entitled to seek protection provided the cheque has not been altered or the alteration, if any, is not apparent. The banker does not get protection, if the signature of the drawer is forged.

13.9 KEYWORDS

Apparent Tenor of the Instrument; Material Alteration, Payment in Due Course, Alteration Not Apparent.

13.10 CHECK YOUR PROGRESS

1. The law relating to the payment of cheques and protection to a banker is contained in the _____
 - (a) Indian Contract Act
 - (b) Reserve Bank of India Act
 - (c) Negotiable Instruments Act
 - (d) Banking Regulation Act

2. A customer is bound to inform the _____ about lost cheque leaves.
- (a) payee
 - (b) endorsee
 - (c) collecting bank
 - (d) drawee bank
3. In a joint account if one of the signatures is forged _____.
- (a) the bank and the customer are equally liable
 - (b) only the customer is liable
 - (c) only the Bank is liable
 - (d) no one is liable
4. Payment to be made in due course _____.
- (a) need not always be made to holder but can be made to his agent or servant
 - (b) need always to be made to holder but can be made to his agent or servant
 - (c) made to customer's agent or servant
 - (d) All the above are correct

13.11 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c), 2. (d), 3. (c), 4. (a).



RESPONSIBILITY OF COLLECTING BANK

STRUCTURE

- 14.0 Objectives
- 14.1 Introduction
- 14.2 Statutory Protection to Collecting Bank
 - 14.2.1. Conditions for Protection
- 14.3 Duties of the Collecting Bank
- 14.4 Let Us Sum Up
- 14.5 Keywords
- 14.6 Check Your Progress
- 14.7 Answers to 'Check Your Progress'

14.0 OBJECTIVES

After studying this Unit, you will:

- Understand the duties of a collecting banker when opening an account
- Learn the duties of a collecting banker when collecting cheques in the account;
- Know the protection granted under NI Act to a banker collecting a cheque.

14.1 INTRODUCTION

This unit, deals the duties of a collecting banker as imposed, more by the practice adopted by bankers over a period rather than by law.

14.2 STATUTORY PROTECTION TO COLLECTING BANK

Sec. 131 grants protection to a collecting banker as discussed in as discussed in 12.6. This is applicable to both cheques and drafts.

14.2.1 Conditions for Protection

The protection under Sec. 131 is subject to satisfying following conditions:

- (i) The collecting banker acts in good faith.
- (ii) It acts without negligence.
- (iii) It receives payment for a customer.
- (iv) The cheque is crossed generally or specially to the collecting bank.
- (v) It verifies the prima facie genuineness of the cheque for collecting payment under CTS clearing.
- (vi) It looks for any fraud, forgery or tampering that can be verified with due diligence and ordinary care, and is apparent on the face of the cheque to be truncated.

14.3 DUTIES OF THE COLLECTING BANK

No specific provision has been laid down for the nature of duties for a collecting banker. Sec. 131 providing protection to the collecting bank also states certain conditions, including the bank should not have been negligent. To show that the bank has not been negligent the bank it has to prove that it has taken all precautions and care required of a prudent banker in collecting a cheque. In Unit 12, duties of a collecting bank were briefly mentioned.

- i. **Duty to Open the Account with References and Sufficient Documentary Proof:** RBI has advised when opening accounts, photograph of the customer and documentary proofs for identity, constitution and address be obtained as per KYC norms.

Case 1: English Decision Ladbroke vs Todd (1914) 30 TLR 433- In this case, a thief stole a cheque in transit and collected the same through a bank, where he had opened an account without reference, posing himself as the payee whose signature the thief forged. After collection of the cheque, he withdrew the amount. The bank was held liable to make good the amount since it acted negligently in opening the account without obtaining any reference.

Case 2: Syndicate Bank vs Jaishree Industries and Others (AIR 1994 Karnataka 315) - Appellant opened an account in the name of M/s. Axle Conductor Industries Ltd. by the Proprietor, R.K. Vyas.

Mr. Nanjunde Gowda, having a small shop at the address given by the account holder, gave the introduction. The address given was just opposite the appellant bank. No inquiry was made about incorporation of the company, nor was the memorandum of association, resolution, etc., scrutinised. On 3 January 1979, partners of Firm 'A' purchased a draft for ₹2,51,125 from State Bank of India, Ahmednagar, in favour of M/s. Axle Conductor Industries Ltd. The draft was deposited in the account on 5 October 1979, collected by the appellant and credited to the account on 9 October 1979. On 10 October 1979, the monies were withdrawn from the account. The partners of 'A' filed a suit against the appellant and State Bank of India for recovery of ₹2,51,125 wrongly collected by the appellant and paid by State Bank of India.

The High Court held that there was failure in following the proper procedure for opening account in the name of a limited company, the account was opened as a proprietary concern, the staff of the bank did not bestow sufficient care even to notice the word 'Ltd.' on several occasions (at the time of opening of the account or withdrawal of amounts from the account). The High Court felt that having accepted the application as if it was of a proprietary concern, strangely the bank allowed the account to operate in the name of the limited concern. There was lack of care on the part of the bank in the entire transaction. The conditions to be satisfied for claiming protection under Sec. 131 are:

- (a) the banker should act in good faith and without negligence in receiving payment;
- (b) the banker should receive payment for a customer, i.e. act as mere agent for collection
- (c) the person for whom the banker acts must be his customer; and
- (d) the cheque should be one crossed generally or specially to the bank.

The High Court stated that if the draft was drawn in favour of a fictitious person, it could not be said that the ownership stood transferred to a non-existent person for the purpose of examining the question whether the bank as a collecting banker acted negligently or not. The ownership would pass to the true owner. In view of the aforesaid, the appellant bank was held to have acted without taking any care, and was found negligent throughout and was not entitled to the protection under Sec. 131.

Case 3: In *Indian Bank vs Catholic Syrian Bank* (AIR 1981 Mad 129), the Madras High Court considered negligence of collecting banker, which opened an account after proper introduction. D had opened an account with Salem branch of bank 'A'. A customer of that branch had introduced D to the manager that D was from Indore and wanted to open an account for purchasing carpets from Salem. Bank A had claimed that the introducer was a well-known customer of the bank A, and a leading merchant of Salem and had large volume of business, as per the evidence recorded these claims were not true. The introducer had an account and had some fixed deposits with the bank A. The transactions were for paltry amounts and the balance in the account at the relevant time was only ₹192.57.

On 12 June 1969, M obtained a demand draft for ₹20 from Singanallur branch of the bank B on the Cochin branch in favour of D & Company. The draft was altered for ₹29,000 drawn in favour of D. D presented the draft on 13 June 1969 for credit to his account, collected by bank A and credited to the account of D.

On 14 June 1969, the Salem branch of bank B came to know correct particulars of the draft from its Singanallur branch, and at once contacted Salem branch of bank A. By then bank A had already paid a large part of the draft amount to D under a self cheque.

Bank B (Paying banker) filed a suit against bank A (collecting banker) for recovery of ₹29,000 on the ground that the collecting banker had been negligent while opening an account in the name of D and by reason of its negligence and want of good faith, the forged draft got wrongly converted.

The High Court observed that the collecting banker had opened the account in the name of D on a mere introduction of one of its account holders, knowing fully well that the said account holder was not a well known leading merchant and had no large business with it. The collecting banker had not independently questioned D about his business and his creditworthiness before allowing him to open an account. The manager of the collecting banker did not even care to find out his permanent address at Indore., more so, when the address given for opening the account was that of the introducer. Also, when D told the manager that he had not until then opened any account, the collecting banker, before opening the account, should have been more alert.

- ii. **Duty to Confirm the Reference where the Referee is not known or has given Reference in Absentia:** Bankers in India were obtaining introduction by an existing customer of the bank. This was not always possible, especially for a newly opened branch. In such cases, the customers were required to get references from known persons in the locality or from their existing bankers. In such case, the banker was required to make enquiries with the referee to ascertain that the person whose account was being opened was a genuine person.

Case 1: Harding vs London Joint Stock Bank [1914] 3 Legal Decision Affecting Bankers 81 - An account was opened for a new customer after necessary formalities. The account was not opened by deposit of cash, as was the usual practice but was opened by deposit of a third party cheque. The bank inquired with the customer who produced a forged letter from his employer authorizing him to deal with the cheque. The cheque was stolen by the customer and credited to his account. The bank was held negligent for failure to make necessary enquiries from the employer as to whether the customer who was an employee had, in fact, the necessary power to deal with the cheque.

- iii. **Duty to follow the KYC Norms under Prevention of Money Laundering Act/ Rules and KYC Directions of RBI:** Under the KYC norms, the identity of the customer is required to be verified by obtaining an OVD and, PAN number. Where required, the address can be evidenced by obtaining a latest copy of electricity or telephone bill. Only for small accounts, this requirement is waived. Obtaining 'introduction' has been rendered redundant and the requirement has been dispensed with.
- iv. **Duty to Ensure Crossing and Special Crossing:** The banker has to ensure that the cheque is crossed specifically to himself and if the cheque is crossed to some other banker they should refuse to collect it. Similarly, where the cheque is crossed to a specific account then crediting the same to another account without necessary enquiries would make him liable on the grounds of negligence. In case of 'non-negotiable' crossing a banker cannot be held negligent merely because of collection of such instruments. In the case of *Crumpling vs London Joint Stock Bank Ltd.* [1911–13] All England Rep 647, it was held that a non-negotiable crossing is only one of the factors amongst others to be considered to decide about the bankers' negligence and that the mere taking of a non-negotiable cheque cannot be held to be evidence of negligence on the part of the bankers.
- v. **Duty to Verify the Instruments for any Apparent Defect in the Instruments:** Sometimes the instrument, which is presented for collection would convey to the banker a warning that a customer who has presented the instrument for collection either is committing a breach of trust or is misappropriating the money belonging to some other. In case the banker does not heed the warning, which is required of a prudent banker, then he could be held liable on the grounds of negligence.

Case 1: Underwood Ltd. vs Bank of Liverpool Martin Ltd. [1924] 1 KB 775 - the Managing Director of a company paid into his private account large number of cheques which were to be paid into the company's account and the bank was held negligent since it did not make enquiries as to whether the managing director was, in fact, entitled to the amounts represented by these cheques.

Case 2: Savory Company vs Llyods Bank [1932] 2 KB 122 - The cheques which were payable to the employer was collected by the employee in a private account opened by him and the bank was held liable for negligence. Two dishonest clerks of a stock broker stole bearer cheques belonging to their employer, and were collected in an accounts of one of the clerks, and of his wife. It was held that the bank had been negligent in opening the clerk's account in as much as they did not obtain his employer's name and in the case of his wife's account it did not obtain the husband's occupation and his employer's name.

Case 3: Australia and New Zealand Bank vs Ateliers de Constructions Electriques de Cherleroi [1967] 1 AC 86 PC - An agent paid his principal's cheque into his personal account and the bank was charged with conversion. The bank defended the same because there was implied authority from the principal to his agent to use his private account for such purpose. Though the banker was negligent in dealing with the cheques without specific authority the bank escaped liability since it was found that the principal had, in fact, authorised his agent to use his private account.

Case 4: Morrison vs London County and Westminster Bank Ltd. [1914-5] All ER Rep 853 - The manager of the plaintiff was permitted to draw cheques per pro his employer and he drew some cheques payable to himself, and collected into his private account. The bank was held negligent for collecting such cheques without making necessary enquiries, though there was a clear indication that the manager was signing as an agent of the firm.

- vi. **Duty to take into Account the State of Customer's Account:** The collecting banker is required to take into account the status of the customer and various transactions that took place in the customer's account to know the circumstances and the standard of living of the customer. If for example, a person is an employee as a clerk, his salary would be approximately known to the bank and any substantial credits by way of collection of cheques would be suspected and it would be the duty of the banker to take necessary precautions while collecting such cheques.

Case 1: Nu-Stilo Footwear Ltd. vs Lloyds Bank Ltd. [1956] 7 Legal Decisions Affecting Bankers P. 121 - The plaintiffs who were manufacturers of ladies footwear were defrauded by their secretary, and works accountant who converted nine cheques payable to the plaintiffs into his account. The secretary opened the accounts in the defendant's bank in a false name and as reference gave his real name. The bank thereupon called the reference and got a satisfactory reply, and informed that the account holder had recently come down from Oxford and intended setting up a business of his own. The secretary presented nine cheques totally aggregating to £4855. The plaintiffs sued the defendant bank who had collected the cheques. The Court held that the collecting bank was negligent as it did not take necessary precautions, because the amounts collected were inconsistent with the business of the account holder and therefore necessary enquires should have been made by the bank.

- vii. **Negligence of Collecting Bank in Collecting Cheques Payable to Third Parties:** The collecting bank has to make necessary enquiries before any third party cheques, are collected on behalf of its customer.

Case 1: Ross vs London County Westminster and Parrs Bank Ltd. [1919] 1 KB 678 - Cheques payable to 'the Officer in charge, Estate Office, Canadian Overseas Military Force' were used by

an individual to pay off his debts. There was an instruction in all the cheques that it was negotiable by the concerned officer. However, it was held that the fact that the cheques were drawn in favour of the officer in charge should have put the banker on enquiry and since no such enquiry was made by the banker the bank is liable on the grounds of negligence.

14.4 LET US SUM UP

There are no specific provisions on duties of a collecting banker. These are based on the conditions in Sec. 131 and the cases based on the principle of a bank acting in good faith and without negligence. In determining negligence of a bank, the manner in which it has opened the account and handled the cheques collected is looked into by Courts.

14.5 KEYWORDS

Conversion, Non-negotiable crossing.

14.6 CHECK YOUR PROGRESS

- Section 131A of the Negotiable Instruments Act extends the protection granted to a banker while _____.
 - receiving payment of a draft
 - making payment of a cheque
 - endorsing payment of a cheque
 - All the above
- The conditions for collecting bank to claim protection has been laid down under the _____.
 - Indian Contract Act
 - Banking Regulation Act
 - Negotiable Instruments Act
 - Banking companies rules
- In the absence of proper KYC document the collecting banker can be held liable for collection of a fraudulent cheque on the grounds of _____.
 - negligence
 - connivance
 - crime
 - arrogance
- When a banker receives information that a cheque for collection is lost, the banker should _____.
 - inform the drawer
 - inform the drawee
 - inform the RBI
 - exercise due caution while collecting the cheque

14.7 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (a), 2. (c), 3. (a), 4. (d).

UNIT 15

ANCILLARY SERVICES

STRUCTURE

15.0 Objectives

15.1 Remittances: Introduction

15.2 Demand Drafts (DD) and Banker's Cheques (BC)

15.2.1 Issue of Duplicate DD/BC

15.3 Mail Transfer (MT)

15.4 Telegraphic Transfer (TT)

15.5 National Electronic Funds Transfer System (NEFT)

15.6 Real Time Gross Settlement System (RTGS)

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15.0 OBJECTIVES

After studying this Unit, you will:

- Learn about various ancillary services rendered by banks
 - Remittance Services
 - Payment Services
 - Safe Deposit Services
 - Government Business
 - Miscellaneous Services

We shall also discuss about certain aspects related to Service Charges levied by banks for various services.

15.1 REMITTANCES: INTRODUCTION

Remittance means transfer of funds from one branch of a bank to another branch of the same bank or a different bank. Customers can make remittances within city through banker's cheques and for remitting funds from one centre to another through Demand Drafts (DD), Mail Transfer (MT), Telegraphic Transfers (TT), National Electronic Funds Transfer (NEFT) and Real Time Gross Settlement (RTGS) at specified service charges.

The implementation of *core banking services*, emergence of *Fintech services* and the ease of doing *digital payments* made funds transfer through MT and TT, almost extinct.

Each transaction of remittance is effected based on an application from the customer as per the prescribed form of the bank. The customer needs to provide all particulars regarding the remittance, like mode of remittance (DD/TT/MT/BC/NEFT/RTGS), Beneficiary's Name and address, Amount to be remitted, Beneficiary's Bank and Account number, etc. The customer also needs to mention his name, address and account number.

15.2 DEMAND DRAFTS (DD) AND BANKER'S CHEQUES (BC)

Bank Draft is a negotiable instrument, and an order drawn by one branch of a bank instructing another branch of the bank to pay a certain sum of money to the order of a certain person. A bank draft is akin to a bill of exchange, is not a cheque, but for the purpose of various protections under NI Act it is treated as a cheque.

A Demand Draft cannot be payable to bearer as it would amount to a currency note and will be a violation of Sec.31 of the RBI Act 1934.

Banker's Cheques are issued by a bank for making local payments, including those on behalf of its customers. Banker's Cheques are generally used for following transactions:

- (a) At the request of client.
- (b) Payment of balance amount of the deceased a/c. to its claimant/legal heirs.
- (c) Payment of bills on realisation received/presented for payment by local Banks (other than branches of our Bank).
- (d) Payment of Deferred Payment Guarantees (DPGs).
- (e) Payment to various contractors, service contracts, various purchases made by the bank.
- (f) Payment of statutory dues like electricity bills, etc.
- (g) All other local payments to be made by cheque (i.e. other than cash).

The issue and payment of BC/ DD in cash, across the counter, is subject to Income Tax provisions and PMLR, and DD/BC for ₹50,000/- and above is to be through banking channels and not in cash. Payment of DD/BC of ₹20,000 should not be made in cash, but only through credit to a bank account. DDs and BCs should be issued with account payee crossing if the amount is ₹20,000/- and above. Effective from September 15, 2018, the name of the purchaser should be mentioned on the face of the DD, PO, BC etc. BCs and DDs are valid for three months and can be revalidated by the issuing branches. A DD is revalidated only once and within one year from the date of issue. After one year, it is cancelled.

Purchaser of a DD/BC has no authority to countermand its payment after its delivery to the payee. The bank shall exercise caution if the purchaser reports a loss or theft of DD/BC, if not already paid. Refund on cancellation of a DD/BC is made only if the original instrument is tendered without any sign of an endorsement or any special crossing or any traces of negotiation, and on proper identity of the purchaser.

15.2.1 Issue of Duplicate DD/BC

A duplicate DD/BC in lieu of the lost instrument can be issued subject to payment not already having been made, and furnishing of indemnity by the purchaser/ payee. RBI has advised that duplicate is to be issued within a fortnight. For the delay beyond this stipulated period, banks have to pay interest at the rate applicable for fixed deposit of corresponding maturity in order to compensate the customer for such delay, where the request has been made by the purchaser/ beneficiary. Payment of interest for delay would not be applicable in the case of third party holders.

15.3 MAIL TRANSFER (MT)

A mail transfer has been a form of remittance in which the amount remitted by a customer or a non-customer is directly credited to the account of the beneficiary with another branch of the same bank. The mail transfer would be sent by post. Credit to the customer's account was required to be within a maximum period of seven days from the date of receipt of funds. Mail Transfer has no relevance now.

15.4 TELEGRAPHIC TRANSFER (TT)

A Telegraphic Transfer (TT) has been a form of remittance, which was advised by telegram, telex or over fax. The basic aspects of such a transfer were otherwise identical to those of a Mail Transfer (MT). Drawee branches would accord credit of TT to beneficiary's account within maximum 2 days of the receipt of funds. TTs have no relevance now.

15.5 NATIONAL ELECTRONIC FUNDS TRANSFER SYSTEM (NEFT)

NEFT is a remittance system of RBI, in operation since November, 2005. It is a nation-wide inter-bank secure and trusted electronic funds transfer system. The beneficiary's account is credited within few hours of making the remittance. It operates on deferred net settlement (DNS) basis, with transaction settlement in batches. The transactions are included in the next settlement batch. For each batch a single net credit/debit entry is passed. The transactions under NEFT may be made for any amount. Each bank's branch, participating in NEFT, has been assigned a unique Indian Financial System Code (IFSC). NEFT system is discussed in detail in section 45.9.2.

NEFT system also facilitates one-way funds transfer from India to Nepal, known as the Indo-Nepal Remittance Facility Scheme, discussed in section 8.7.

Significant benefits of NEFT are: Easy processing due to automation; Secured transfer of funds; No waiting time for purchase and delivery; No additional cost on courier, etc.; No formalities for refund in case of non-credit to beneficiary; Facilitates recurring payments (utility bills, loan instalments, etc.); Lower bank charges; Efficient funds transfer within few hours; Assured payment to the beneficiary; Sender receives payment confirmation.

15.6 REAL TIME GROSS SETTLEMENT SYSTEM (RTGS)

RTGS is an electronic payment environment where payment instructions are processed on a 'continuous' or 'Real Time' basis and settled on a 'Gross' or 'individual' basis without netting the debits against credits. The transactions are processed continuously on a transaction by transaction basis. RTGS is available round the clock on all days, and allows transfer of funds on almost instantaneous basis. Receiving bank has to ensure that the beneficiary account is credited within 30 minutes of receiving the RTGS message. The minimum amount for RTGS is ₹2 lakh. There is no upper ceiling.

Procedure for handling RTGS transactions by the RTGS system is discussed in section 45.9.3.

The essential information to be provided for RTGS is: Amount of remittance, Account number to be debited, Name of the beneficiary bank and branch (with IFSC), Name and Account Number of the beneficiary customer, and Sender to Receiver Information (indicating purpose). Credit of RTGS is afforded solely based on the beneficiary's account number. As the transaction is executed on real-time basis, at the receiving bank, cross-matching the beneficiary name and account number is not feasible.

Benefits of RTGS are: Safe and secure system for funds transfer; Available on all days on a $24 \times 7 \times 365$ basis; real-time transfer of funds to the beneficiary account; Available through various modes.

15.7 ELECTRONIC BENEFIT TRANSFER (EBT) SCHEME

15.7.1 Introduction

The Central and State Governments have institutionalized several welfare schemes like social security pensions, Mahatma Gandhi National Rural Employment Guarantee Scheme (MNREGS), National Old Age Pension (NOAPS) Insurance Scheme etc. for the benefit of the poor. The success of any Welfare Scheme/ State Benefit Transfers must ensure timely disbursement of the benefits without any leakages. EBT is a product for Financial Inclusion, through which payments reach the beneficiaries' bank accounts.

15.7.2 Implementation of the Scheme

(EBT commenced for seven schemes under the "One District One Bank" Model called as 'Direct Benefit Transfer' (DBT). The program was aimed at transfer of subsidies and cash benefits directly to the people through their Aadhaar seeded bank accounts. It is accepted way of delivering benefits under development schemes.

15.7.3 Electronic Benefit Transfer (EBT) Scheme Model

With EBT the State Government functionaries are relieved of cost and time involved in administering the high volume small value payments. This, however, entails cost on the banks. The payment of commission by the State Governments for EBT transactions makes the model economically viable and also helps banks to extend their penetration to remote villages.

The principal objective is to facilitate direct credit of payments due, in the beneficiary's accounts and on time. These payments could be for wages or for other material/ administrative expenses.

EBT functions on ,“one district – many banks – one leader bank model”:

- (a) State Government deals only with one leader bank in a district, designated by it in consultation with the RBI Regional Office and SLBC, for the district.
- (b) Leader bank makes arrangement with other banks in the district on revenue sharing contract.
- (c) A Nodal Department is designated in the State Govt. to deal with the leader bank in respect of all the schemes covered.
- (d) List of beneficiaries under all Schemes are provided by Nodal Department to Leader bank for onward transmission to the participating banks.
- (e) Participating banks enroll all the beneficiaries, open their bank accounts and issue smart cards to them through Business Correspondents.
- (f) Each month, the leader bank receives the funds from the State Government, in the Savings Account opened by the Nodal Department with it and transfers funds to other banks for credit to the accounts of ultimate beneficiaries' on a commission basis.
- (g) Participating banks credit the funds to the accounts of respective beneficiaries on the same day.
- (h) EBT account provides whole range of permissible banking services viz. deposit scheme, preferably a variable recurring deposit with in-built Overdraft (OD), remittance and entrepreneurial credit products in the form of GCC/KCC.

Various measures taken for implementation of the EBT scheme are as follows:

- (a) Opening of bank accounts of all beneficiaries, and seeding of Aadhaar numbers in these.
- (b) Forming a DBT Implementation Co-ordination Committee at the district level.
- (c) Display on SLBC website the district and village wise names and other details of business correspondents (BCs).
- (d) Setting up a Complaint Grievance Redressal mechanism in each bank and nominating a Complaint Redressal Officer in each district for grievances related to Aadhaar seeding.

All PSBs have also joined the Aadhaar Payment Bridge of National Payments Corporation of India (NPCI). Banks have taken actions for strengthening banking infrastructure and providing business correspondents in areas, which were earlier unserved. Banks have also taken steps to provide an onsite ATM in all the branches in identified districts and a Debit Card to all beneficiaries to enable him/her to withdraw the money as per his/ her ease and convenience.

15.8 SAFE DEPOSIT LOCKERS

15.8.1 General

Safe deposit locker is a facility extended to the customers to enable them to keep their valuables/documents etc., in a specially designed locker on payment of prescribed rentals. The relationship between the bank and the hirer of the locker is that of a “Lessor and Lessee” or “Bailor and Bailee”.

Lockers have dual control, i.e. they can be opened only by applying two keys. One is with the hirer, and the other, a master key operable on all the lockers at the branch, is held by the on-duty officer-in-charge of lockers. For opening the locker, the custodian key is operated first and then the customer - key. The locker can be locked by the hirer's key alone.

Lockers are rented to individuals in single or joint names, but not to minors. These are also rented to firms, limited companies, associations, trusts and societies. Individuals use the lockers for safekeeping of their ornaments, silverware, important documents like title deeds, etc. Entities use them for keeping important documents. Diamond traders use lockers for keeping their trade stock. Interestingly, lockers are also used for joint control of two or more parties on certain physical item, say an electronic device containing source code of the software.

In August 2021, RBI issued comprehensive revised guidelines for safe deposit lockers and safe custody of articles services.

15.8.2 Hiring Out a Locker

- (i) *Customer Due Diligence*: Before hiring out a locker KYC/ CDD of the customer should be completed as per PMLR/ RBI KYC Directions. For an existing KYC compliant customer this is not required separately. Recent passport size photographs of the locker-hirer(s) and the individual(s) authorised by locker hirer(s) to operate the locker should be obtained and preserved at the branches. Hire agreement should contain a clause that the locker-hirer/s shall not keep anything illegal or any hazardous substance in the locker. If the bank suspects deposit of any such material, the bank shall have the right to take appropriate action as it deems fit and proper.
- (ii) *Allotment of Lockers*: A branch wise list of vacant lockers as well as a wait-list should be maintained in CBS or any other software system used for allotment of lockers. There should be transparency in allotment of lockers.
- (iii) *Model Locker Agreement*: Banks may adopt the model locker agreement to be framed by IBA, and it shall be in conformity with the directions of the Hon'ble Supreme Court in the matter of Amitabha Dasgupta Vs. United Bank of India & Others (Civil Appeal No. 3966 of 2010). There should be no unfair terms or conditions for the hirer, nor terms more onerous than required.
- (iv) *Locker Rent*: Lockers are of different sizes, i.e. small, medium, large and extra large with varying rents, and the rent is payable in advance. In case of overdue rent, banks charge penalty. Banks normally reserve the right to break open the locker, if the rent is not paid in spite of giving notice as per bank's rules and recover their charges from the contents. In case of surrender of locker, proportionate amount of rent recovered in advance should be refunded.
- (v) *Term Deposit as Security*: As a safeguard against the locker-hirer not paying the rent, banks can take Term Deposit, to cover three years' rent and the charges for breaking open the locker, in case of such eventuality. Such Term Deposit shall not be insisted upon from the existing locker holders or those who have satisfactory operative account. Packaging of allotment of locker facility with term deposits beyond specifically permitted is a restrictive practice.

15.8.3 Infrastructure and Security

- (i) *Strong Room/Vault*: The area housing locker facility should be properly secured to prevent criminal break-ins. An assessment of the risk of someone getting unauthorized access to a locker should be recorded in writing, and mitigating measures adopted. The locker room should have a single entry/ exit point. The entry and exit of the strong room and the common areas of operation should be covered under CCTV camera, and the recordings be preserved for at least 180 days.

- (ii) *Complaint of Unauthorised Access*: If a customer complains that his/her locker is opened without his/her knowledge and authority, or any theft or security breach is noticed, the CCTV recording should be kept till the police investigation is completed and the dispute settled.
- (iii) *Water & Fire Protection*: The place should be protected from rains and flood water entering the lockers. Fire protection and preventive measures should be taken.
- (iv) *Locker Standards*: Mechanical lockers should conform to basic standards for safety and security as prescribed by Bureau of Indian Standards (BIS) or any other enhanced industry standards. Mechanical lockers require applying two keys for operations. Electronically accessed lockers should meet the safety and security features as per industry standards and compliant with the Cyber Security Framework of RBI. The system should maintain unalterable log of locker activities.
- (v) *Locker Keys*: Identification Code of the bank/ branch should be embossed on all the locker keys with a view to facilitating identification of lockers/ locker ownership by law enforcement agencies in case of need. Further, the custodian of the locker shall, regularly/periodically, check the keys maintained in the branch to ensure that they are in proper condition.

15.8.4 Locker Operations

- (i) *Access to Lockers*: Only the locker hirer or a person duly authorized by her is allowed to operate the locker after proper verification of their identity and recording access authorization by the branch during normal banking hours. The record of all locker-hirers, who have accessed the lockers with date, check-in and check-out time, is entered in the Access Register along with their signature. An ingress and egress register for access to Vault Room by any other individual including the banks' staff should be maintained.
- (ii) *Privacy in Locker Room*: The bank's officer, or any other locker hirer shall not remain inside the locker room when a locker is opened by a locker-hirer.
- (iii) *Alerts to Customer*: An email and SMS alert should be sent to the registered email ID and mobile number of the customer intimating the date and time of the locker operation.
- (iv) *Locks and Keys*: Locks should be inter-changed whenever a locker is surrendered. The keys of vacant lockers are kept in sealed envelopes. The duplicate master keys are deposited with another branch of the bank, and proper record of joint custody of master keys is maintained.
- (v) *Daily Checks*: The officer-in-charge shall check whether the locker is properly closed post locker operation. If not done, the locker must be immediately closed and sealed, and the locker-hirer promptly intimated through e-mail, if registered or through SMS, if mobile number is registered or through letter so that they may verify any resulting discrepancy in the contents of the locker. A physical check of the locker room is done day-end to ensure lockers are properly closed, no person is inadvertently trapped, and no item is inadvertently left outside.
- (vi) *Records in CBS*: Locker Register and the Locker Key Register should be maintained in CBS or any other software system.

15.8.5 Nomination Facility

Sec. 45 – ZC to Sec. 45 –ZF of the BR Act deal with the nomination facilities in lockers services.

- (a) For a singly operated locker, nomination can be made in favour of only one individual.
- (b) Two or more joint hirers can nominate one or more persons.
- (c) Photograph(s) of the nominee(s) may be obtained at the option of the customer(s).
- (d) Nomination forms have been prescribed under the Rules. In case of thumb impressions, attestation by two witnesses is required.

(e) Acknowledgment of the form for nomination/ cancellation/ variation should be given.

15.8.6 Claims Settlement on Death of a Customer

The Policy for settlement of claims in case of death of a locker-hirer(s) should be based on IBA's Model Operational Procedure and regulatory instructions. Banks should normally require the death certificate of the deceased locker-hirer and the identification document(s) of the nominee(s). Banks may avoid insisting on succession certificate, letter of administration or probate, etc., or any bond of indemnity or surety from the survivor(s)/ nominee(s).

- (i) *Time Limit for Settlement*: The claims in respect of deceased locker hirers should be settled and contents of the locker released within maximum 15 days from the date of receipt of the claim.
- (ii) *Death of the Sole Locker-Hirer*: After verification of the death certificate and satisfying the identity and genuineness of the single individual nominee, the nominee is allowed access and to remove the contents of, after an inventory is taken.
- (iii) *Death of Any of Joint Locker-Hirers Operating Jointly*: In case one of the joint hirers, of a locker under joint operations with nominee registered, dies, the bank shall allow and the liberty to the survivor(s) and the nominee(s) jointly to access the locker and remove contents, after an inventory is taken.
- (iv) *Death of Any of Joint Locker-Hirers With Survivorship Clause*: In case one or more of the joint hirers, of a locker under either or survivor operations, dies/ die, , the bank should follow the mandate.
- (v) *Death of a Sole/Joint Locker-Hirer(s) Without Clear Survivorship Clause/ Nominee*: In such cases banks may provide access to the legal heir(s)/ legal representative of the deceased locker hirer(s) as per their policy taking due care and caution, and with appropriate documentation.
- (vi) *Pre-requisites for Giving Access*: A bank should exercise due care and caution to establish the identity of the survivor(s)/ nominee(s) and the fact of death of the locker hirer by obtaining appropriate documentary evidence. Also, it should make diligent effort to find out whether there is any order or direction from Courts/Forums restraining it from giving access to the locker of the deceased. Finally, it should make it clear to the survivor(s) / nominee(s) that access to articles in the locker is given to them only as a trustee of the legal heirs of the deceased locker hirer i.e., such access given to them shall not affect the right or claim which any person may have against the survivor(s) / nominee(s) to whom the access is given.

15.8.7 Closure and Discharge of Locker Items

In certain situations, banks are required to break open the locker, whether in the presence of the locker-hirer(s) or in her/ their absence. Some of such situations are as follows:

- (a) The hirer loses the key and requests for breaking open the locker.
- (b) The Government enforcement agencies have with orders from the Court or appropriate competent authority to seize lockers and requested for access to the lockers.
- (c) If the bank is of the view that there is a need to take back the locker as the locker hirer is not co-operating or not complying with the terms and conditions of the agreement.
 - (i) *Discharge of locker contents at the request of customer*: If the key of the locker, supplied by bank is lost by the locker-hirer, the hirer shall notify the bank immediately. The locker has to be opened only after proper identification of the hirer, recording of the fact of loss, written authorization by the customer, and in the presence of the customer/s and an authorized official of the bank.

- (ii) *Attachment and recovery of contents in a Locker by a Law Enforcement Authority:* The banks shall co-operate with any authority acting under the orders of a Court or any other competent authority, e.g. Income Tax, Police, Enforcement Directorate and/or relevant Court order, after satisfying itself. The locker-hirer should be informed. An inventory of the contents recovered and seized by the Authority shall be prepared in the presence of such Government Authorities, two independent witnesses and an officer of the bank and shall be signed by all. A copy of the inventory may be forwarded to the customer to the address available or handed over to the customer against acknowledgement. Banks shall record a video of the break-open process and the inventory assessment, wherever legally permissible, and preserve it to produce as evidence in case of any dispute or Court case or fraud case in future.
- (iii) *Discharge of locker contents by banks due to non-payment of locker rent:* Banks shall have the discretion to break open a locker following due procedure if the rent has not been paid by the customer for three years in a row, after due notice and giving adequate time. If the locker-hirer is not traceable, the bank shall issue public notice in two newspaper dailies (one in English and another in local language) giving reasonable time to the locker-hirer or to any other person/s who has interest in the contents of locker to respond. The locker shall be broken open in the presence of an officer of the bank and two independent witnesses. In case of electronically operated lockers (including Smart Vaults), the use of 'Vault Administrator' password for opening of locker shall be assigned to a senior official and complete audit trail of access shall be preserved. Further, banks shall also record a video of the break open process together with inventory assessment and its safe keep and preserve the same so as to provide evidence in case of any dispute or Court case in future. The contents shall be kept in sealed envelope with detailed inventory inside fireproof safe in a tamper-proof way until customer claims it. Banks shall not open sealed/closed packets found in locker while releasing them to the proper claimants, unless required by law.
- (iv) *Discharge of locker contents if the locker remains inoperative for a long period of time:* If the locker remains inoperative for seven years and the locker-hirer cannot be located, even if rent is being paid regularly, the bank shall be at liberty to transfer the contents of the locker to their nominees/legal heir or dispose of the articles in a transparent manner, as the case may be, after following due procedure for breaking open the locker.

Locker Operation Rules effective January 1, 2022

- **Alert Notifications**
Banks must notify customers about the locker usage via SMS and email on their registered mobile number and email address. The notification should contain the date and time of the locker operation and a redressal mechanism for unauthorised locker access.
- **Compensations**
Bank locker rules in case of theft state that the bank will be held responsible for any loss of the locker contents caused by theft, burglary, or robbery. The bank shall be liable to pay you 100 times the prevailing safe deposit locker annual rent. This compensation also applies in case of fire, building collapse, or fraud.
- **Locker Standards**
As per the revised bank locker operation rules, new mechanical lockers should conform to safety benchmarks set by the Bureau of Indian Standards (BIS). Banks must ensure that electronically operated locker systems are compliant with the Cyber Security Framework mandated by the RBI. Bank or branch Identification Codes must be embossed on the locker keys. Customers can use an additional padlock if the bank provides such a facility.

15.8.8 Liability of Banks

The banks should have a detailed Board approved policy outlining the responsibility owed by them for any loss or damage to the contents of the lockers due to their negligence. Banks owe a separate duty of care to exercise due diligence in maintaining and operating their locker or safety deposit systems. The duty of care includes ensuring proper functioning of the locker system, guarding against unauthorized access to the lockers and providing appropriate safeguards against theft and robbery, fire, etc.. Banks shall not be liable for any damage and/or loss of contents of locker arising from natural calamities or Acts of God like earthquake, floods, lightning and thunderstorm though they need to take appropriate care to safeguard against these.

15.9 CUSTODIAL SERVICES

A custodian bank is a financial institution that holds customers' securities for safekeeping to prevent them from being stolen or lost. The custodian may hold stocks, bonds, or other assets in electronic or physical form on behalf of its customers.

Services provided by a bank as a custodian are usually the settlement, safekeeping and reporting of customers' marketable securities and cash. A custody relationship is contractual, and the services that are performed for a customer differs. Banks render custody services to a variety of customers, including mutual funds and investment managers, bank fiduciary, retirement plans, and agency accounts, bank commercial security accounts, insurance companies, corporation, endowments and foundations, and private banking clients. Banks that are not significant custodians provide custody services for their customers through an arrangement with a large custodian bank.

15.10 PORTFOLIO MANAGEMENT SERVICES

Portfolio – Definition: Portfolio means a basket of investments or securities having a mix of Debt and equity securities. Debt securities yield interest income and equity investments yield dividend income apart from capital appreciation over a period of time. Various mix of securities, when held together, behave in a different manner and a proper combination of securities held together will give a beneficial result.

Portfolio Management: Portfolio management deals with management of a combination of securities to get the most efficient portfolio in terms of risk, return and liquidity. The process of portfolio management involves a logical set of steps common to any decision: planning, implementation and monitoring.

Basic Principles: Certain basic principles of Portfolio Management are as follows:

- (a) **It is the portfolio that matters:** Individual securities are important only to the extent that they affect the aggregate portfolio. The risk of a security depends on its contribution to the portfolio risk.
- (b) **Large portfolio returns come only with a larger portfolio risk:** The most important portfolio decision is the amount of acceptable risk. It calls for information on the risk and returns for different classes of assets.
- (c) **The risk associated with a type of security depends on when the investment is liquidated:** Risk depends on the period of the security and is reduced by selecting those securities with a payoff close to when the portfolio is to be liquidated.
- (d) **Diversification works:** Diversification across securities reduces a portfolio's risk.

- (e) **Each portfolio is preferably tailored to the particular needs of its owner:** People have varying tax rates, knowledge, transaction costs, etc., the portfolio strategy should take into account the unique needs and characteristics of the owner.
- (f) **Competition for abnormal returns is extensive:** A large number of people are continuously using a large variety of techniques in an attempt to obtain abnormal returns. If the actions of the speculators are truly effective, security prices will adjust instantaneously to new information.

Portfolio Management Scheme – RBI Guidelines: The Portfolio Management Service (PMS) in a broader sense means advising for a fee in deployment of surplus funds in profitable channels at the risk and responsibility of the owners of the funds.

- (a) PMS services are provided at the customer's risk, without guaranteeing them a pre-determined return;
- (b) The services are for long-term investible funds; minimum period should be one year;
- (c) The transactions should be booked at market rates only;
- (d) Funds accepted should not be entrusted to another bank for management;
- (e) A definite fee independent of the return to the client, is charged for the services;
- (f) Deployment: In capital market instruments, Not in call money/bill market, or Corporate loans;
- (g) Transactions between the bank's investment account and portfolio account to be at market rates;
- (h) Portfolio account transactions should be clearly identified when being put;
- (i) CRR/ SLR has to be maintained on undeployed funds.

15.11 MERCHANT BANKING

Merchant Banking is variously defined. "The main business of merchant banking" as summarised aptly by Narasimhan Committee in its report is "Management and Underwriting of new issues, syndication of credit and provision of advisory services to corporate clients on fund raising and other financial aspects." Banks engaged in merchant banking activities pertaining to handling of issue of debt or equity securities for their corporate customers need to obtain registration with SEBI as Category I Merchant Banker. However, banks can engage in loan syndication, payment of interest or dividend warrants, extending bridge loans against issues type of activities as a part of banking functions.

15.12 GOVERNMENT BUSINESS

It has been the finding of various committees appointed by the Government, from time to time that a large portion of the wealth of the country is concentrated in metropolitan cities with population of a million or more as also at urban places. As a result of this, there has been more pressure of receipts and payments on Government accounts at a few places.

For the purpose of undertaking government agency business, approval is required from: Controller General of Accounts - CGA (for Central Government) or the Finance Department of the State Government (for State Government) and also from Department of Government and Bank Accounts (DGBA), RBI. All public sector banks and 19 private banks (December 2021) are eligible to conduct Government business as agents of RBI.

Various government services handled by banks are:

1. Collection of Central Excise and Customs

2. Collection of Direct Taxes namely, Capital Gains Tax, Gift Tax, Income Tax and Wealth Tax and opening of Public Provident Fund Accounts
3. Opening of Public Provident Fund Accounts exclusively
4. Collection of Goods and Services Tax and/or Professional Tax
5. Handling of Treasury Work through opening of Treasury Accounts
6. Collection of Railway Stations Revenues through opening of Non operative Collection Accounts
7. Opening of Ministry of Health and Family Welfare Accounts
8. Opening of Post Office Receipts and Payment accounts
9. Opening of Accounts under Deposit Scheme for Retired Government Employees (DSRGE) and Deposit Scheme for Retired Employees of Public Sector Companies (DSREPSC)
10. Entertaining applications for collection of 8.00% Relief Bonds/6.50% Savings Bonds & 8% Savings (Taxable) Bonds
11. Payment of Central and State Government Pensions

15.13 LEVYING OF SERVICE CHARGES

Individual banks are free to prescribe service charges for themselves. While fixing service charges for various types of services banks should keep in view following aspects:

- (i) Charges are reasonable and not out of line with the average cost of providing these.
- (ii) Customers with low volume of activities are not penalised.
- (iii) Charges are fixed with prior approval of their Board of Directors.

15.13.1 Ensuring Reasonableness of Bank Charges

Certain norms and actions have been stipulated by RBI in this regard:

- (i) *Identification of Basic Banking Services*: Banks must determine basic banking services based on two broad parameters. One, nature of transactions that is services normally availed by individuals in middle and lower segments (e.g. deposit accounts, remittances). Two, value of transactions that is low value transactions upto prescribed ceilings (e.g. remittance upto ₹10,000/- per instance). Pricing for services through different channels could be different. Based on these criteria, RBI Working Group had identified 27 services.
- (ii) *Offering Basic Services Outside Bundled Products*: Banks often have bundled products in which certain products/ services are a part of composite offering and are not charged for separately. In such cases the cost of operations are recovered through net interest income requiring higher minimum balance requirements. Further, charges levied on balances below the minimum stipulated add to the yield to the bank. Banks must make available basic banking services at reasonable prices and for this purpose deliver these outside the bundled products.
- (iii) *Principles for Reasonableness in Fixing and Communicating Service Charges*: Certain principles have been laid down for ensuring reasonableness of charges. (a) For basic services, the charges for individuals should be at rates lower than those for non-individuals. (b) The rates for certain special categories viz. individuals in rural areas, pensioners and senior citizens should be on more liberal terms than those for other individuals. (c) For basic services to individuals charges should be levied only if these are just and supported by reason. (d) Any ad-valorem charge for basic services to be levied only to cover incremental cost, and be subject to cap. Individual customers must be given complete and timely information about charges upfront, and any changes in advance.

- (iv) *Disclosure and Notification of Service Charges*: Modes of disclosure to customers could include one-time publicity, communicating when the relationship is established, display on the notice board at the branch, newspaper advertisement, and hosting on the bank's website. Any change must be notified at least 30 days prior, and option given to the customer to exit from the relationship within 30 days window.

15.13.2 RTGS/ NEFT Charges for Customers

RBI has prescribed ceiling for the charges that can be levied by banks on customers in respect of onward RTGS and NEFT transactions. As at 31st May, 2022 the ceilings prescribed by RBI are as shown below.

Transaction Value	Maximum Charges
RTGS Transactions	
₹ 2 lakh to ₹ 5 lakh	₹ 24.50 + (+ applicable GST)
Above ₹ 5 lakh	₹ 49.50 + (+ applicable GST)
NEFT Transactions	
Up to ₹10,000/-	₹ 2.50/- (+ applicable GST)
From ₹ 10,001/- to ₹ 1 lakh	₹ 5/- (+ applicable GST)
Above ₹ 1 lakh up to ₹ 2 lakh	₹ 15/- (+ applicable GST)
Above ₹ 2 lakh	₹ 25/- (+ applicable GST)

No charges must be levied on inward RTGS/ NEFT transactions.

15.14 LET US SUM UP

Banks are providing various ancillary services to the customers like Remittance facilities, convenience Banking through mobile and internet, Handling Government collection & payments, providing supportive platform through Electronic Benefit transfer for various Government schemes.

The conventional modes of remittance of funds are Demand Draft, Banker's Cheque, Mail Transfer, Telegraphic Transfer. Due to the technological advancements, the new system of remittances such RTGS, National Electronic Fund Transfer (NEFT) has replaced the conventional mode to a large extent.

Payments in welfare schemes introduced by the Central/State Govts. are being made directly either in kind/ cash or through indirect subsidies like the PDS. The success of any Welfare Scheme/State Benefit Transfers must ensure timely disbursement of the benefits without any leakages. EBT is one of the products offered under Financial Inclusion, which facilitates payments to reach the intended beneficiaries through bank accounts. The principal objective of Direct Benefit Transfer Scheme (DBTS) is to facilitate direct credit of payments due, in right accounts and in time.

Digital payment systems have gained wide popularity and acceptance, especially for retail payments due to their ease of execution, availability on 24 x 7 basis, instantaneous transfers and interoperability. These services are IMPS, BBPS and AePS.

Safe Deposit Locker facility enables customers to keep their valuables/ documents etc., safe in a specially designed locker on payment of prescribed rentals. Banks need to take due care and caution for safeguarding the safe deposit vaults, and are liable for any loss to the customer due to their negligence in providing

access to third parties, or frauds by their staff. Nomination facility is available in respect of safe deposit lockers, apart from joint holdings with survivorship clause.

Portfolio means a basket of investments or securities in a combined form of Debt and equity securities. Portfolio management deals with management of a combination of securities to get the most efficient portfolio in terms of risk, return and liquidity.

Banks provides merchant banking facilities “Management and Underwriting of new issues, Syndication of Credit and Provision of Advisory Services to Corporate Clients on fund raising and other financial aspects like Payment of Interest/Dividend Warrants/Refund Order and Bridge Loan against issue of equity.

Banks undertake variety of work on behalf of Government of India for collection of Govt. receipts and arrange payments under various initiatives of Government. Banks also sell on commission basis Govt. of India securities for retail investors, like Relief Bonds, and Savings Bonds.

Banks have freedom to levy service charges as per their individual policy. However, the charges should be reasonable and should be related to the costs attributable to the service rendered. The charges should be notified to the customer before they avail any service, and any changes in charges should also be informed at the earliest. For outward RTGS and NEFT remittances, the charges should be within the ceilings prescribed by RBI, and there should be no charges for inward RTGS/ NEFT.

15.15 KEYWORDS

Demand Draft (DD), Bankers Cheque (BC), Mail Transfer (MT), Real Time Gross Settlement (RTGS), National Electronic Funds Transfer (NEFT), Lockers, Portfolio, Portfolio Management, Portfolio Investment. Merchant Banking, Electronic Benefit Transfer (EBT), Government Business, Immediate Payment System (IMPS), Unified Payments Interface (UPI), Bharat BillPay – Bharat Bill Payment System (BBPS), Bharat QR (BQR), Aadhaar Enabled Payment Systems (AePS), Prepaid Payment Instruments (PPI)

15.16 CHECK YOUR PROGRESS

1. A Demand Draft is issued by the banks to be valid for _____.
 - (a) 12 months
 - (b) 6 months
 - (c) 3 months
 - (d) None of the above
2. A customer is entitled to issuance of a duplicate DD in place of the lost one, provided _____.
 - (a) he gives due intimation to the issuing branch
 - (b) payment of DD not already made by the drawee branch
 - (c) execution of an indemnity signed by both the payee and the purchaser of the DD
 - (d) payment of a fee as applicable for issue of such duplicate DD
 - (e) all the above
3. One of the following statements is not true with regard to a locker facility in the bank.
 - (a) In the case of a sole hirer of a safety locker, nomination can be made in favour of only one individual.
 - (b) A locker cannot be hired by limited companies, specified associations and societies, etc.
 - (c) In the case of death of a sole locker-hirer (where there is nomination) access to locker may be given to the nominee.

- (d) Where there are joint locker-hirers having a contract of locker hire with a 'either or survivor' clause and where there is no nomination, access to the locker may be given to the survivor in case of death of one of the hirers.
4. One of the following statements is not true with respect to RTGS.
- (a) Funds are transferable from the branch of one bank to the branch of another bank.
 - (b) Only the corporate and Government departments can avail of the facility
 - (c) The RTGS system is maintained and operated by the RBI
 - (d) Each participant bank of the RTGS is required to open a dedicated settlement account for putting through its RTGS transactions.
5. Implementation of Electronic Benefit Transfer scheme is meant for which of the following types of customers?
- (a) Pensioners only
 - (b) High net worth individuals
 - (c) Low value accounts
 - (d) Disabled persons

15.17 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c), 2. (e), 3. (b), 4. (b), 5. (c).

UNIT 16

FINANCIAL INCLUSION & FINANCIAL LITERACY

STRUCTURE

16.0 Objectives

16.1 Introduction

16.2 Financial Inclusion by Extension of Banking Services

16.2.1 Use of Business Facilitators and Correspondents

16.2.2 Setting Up of Payment Banks

16.2.3 SHG-Bank Linkage Programme

16.2.4 Co-Lending by Banks and NBFCs to Priority Sector

16.3 Use of Mobiles/Tablets in Financial Inclusion Drive

16.3.1 Introduction

16.3.2 Leveraging Mobile Banking for Financial Inclusion

16.3.3 Constraints to Rapid Widespread Adoption of Mobile Banking Channels

16.3.4 USSD Based Mobile Banking

16.3.5 Digital Onboarding

16.3.6 Digital Lending

16.4 Financial Literacy

16.4.1 Importance of Financial Literacy

16.4.2 Financial Literacy for Whom?

16.4.3 How it is being Imparted

16.4.4 Initiatives taken by Reserve Bank of India

16.5 Rural Self Employment Training Institutes (RSETI)

16.5.1 Objectives of RSETIs

16.6 Let Us Sum Up

16.7 Keywords

16.8 Check Your Progress

16.9 Answers to 'Check Your Progress'

16.0 OBJECTIVES

After studying this Unit, you will:

- Understand the need for financial inclusion
- Know about its role in rural development.

16.1 INTRODUCTION

Financial inclusion or inclusive financing is the delivery of financial services at affordable costs to disadvantaged and low-income segments of society, in contrast to **financial exclusion** where these services are not available or affordable to such segments. Financial inclusion, means provision of affordable *basic financial services*, viz., payments and remittance facilities, savings, loans and insurance products by the formal financial system to those who generally tend to be excluded.

Growth of *NGOs and Self-Help Groups* (SHGs) has been significant and their linkage with banks has facilitated a higher degree of financial inclusion. Also, SHG movement has enabled social and economic inclusion of women.

The formal financial system has come to recognise the huge business potential available in the unmet demand for financial services from those who normally tend to be excluded. The focus on financial inclusion comes from the recognition that financial inclusion has several externalities, which can be exploited to the mutual advantage of those excluded, the banking system and society at large.

The bouquet of services under micro finance fold has expanded from just credit and thrift products to include micro insurance, micro pension, micro remittances, digital payments, amongst others. Thus, while serving the underprivileged, microfinance also presents an opportunity for expanding the benefits of financial developments to those at the bottom of the pyramid.

16.2 FINANCIAL INCLUSION BY EXTENSION OF BANKING SERVICES

16.2.1 Use of Business Facilitators and Correspondents

RBI has permitted banks to use the services of NGOs/SHGs, micro-finance institutions (MFIs) and other civil society organisations (CSOs) as intermediaries in providing financial and banking services based on business facilitator (BF) and business correspondent (BC) models.

16.2.1.1 Business Facilitator Model: Eligible Entities and Scope of Activities

Under BF model, banks may use intermediaries, such as the following as Business Facilitators:

Non- Government Organisations (NGOs)/ Self-Help Groups (SHGs), Farmers' Clubs, Cooperatives, Community-based organisations, IT enabled rural outlets of corporate entities, Post offices, Insurance agents, Well functioning *Panchayats*, Village Knowledge Centres, Agri Clinics, Agri Business Centers, Krishi Vigyan Kendras, and Khadi and Village Industries Commission (KVIC) / Khadi and Village Industries Board (KVIB) units.

The BF, may be used for providing various facilitation services:

Identification of borrowers and fitment of activities; Collection and preliminary processing of loan applications including verification of primary information/data; Creating awareness about savings and

other products and education and advice on managing money and debt counselling; Processing and submission of applications to banks; Promotion and nurturing self-help groups/joint liability groups; Post-sanction monitoring; Monitoring and hand holding of self-help groups/joint liability groups/credit groups/others; Follow-up for recovery.

As these services are not intended to involve the conduct of banking business by business facilitators, no approval is required from RBI for using the above intermediaries for facilitation of the services indicated above.

16.2.1.2 Business Correspondent Model: Eligible Entities and Scope of Activities

Under the BC model, scheduled commercial banks including RRBs and LABs may engage BCs subject to compliance with the following guidelines.

To have a Board approved policy for engaging BCs; Due diligence of individuals / entities to be engaged as BCs prior to their engagement - covering (i) reputation/market standing, (ii) financial soundness, (iii) management and corporate governance, (iv) cash handling ability and (v) ability to implement technology solutions in rendering financial services.

Individuals/entities permitted to be BCs are:

Individuals (like retired bank employees, retired teachers, retired government employees and ex-servicemen, individual owners of kirana/medical/Fair Price shops, individual Public Call Office (PCO) operators, agents of Small Savings schemes of Government of India/Insurance Companies, individuals who own Petrol Pumps, authorized functionaries of well-run Self Help Groups (SHGs) which are linked to banks, any other individual including those operating Common Service Centres (CSCs)); NGOs/ Micro-Finance Institutions (MFIs) set up under the Societies/Trust Acts and Section 25 Companies, Cooperative societies registered under the Mutually Aided Cooperative Societies Acts or the Cooperative Societies Acts of States, Post Offices; Companies registered under the Indian Companies Act, 1956 with large and widespread retail outlets, other than Non Banking Financial Companies (NBFCs). Commercial banks (excluding RRBs) are permitted to appoint non-deposit taking registered NBFCs (NBFC-ND) as BCs.

The conditions for engaging NBFCs as BCs are:

- (i) To ensure there is no mixing of bank funds with those of the NBFC-ND.
- (ii) Specific contractual arrangement for all conflicts of interest to be adequately taken care of.
- (iii) Bank to ensure NBFC-ND does not adopt any restrictive practice (offering savings or remittance functions only to own customers, forced bundling of services of NBFC-ND and bank).

The scope of activities of a BC may include the following activities:

Identification of borrowers; collection and preliminary processing of loan applications including verification of primary information/data; creating awareness about savings and other products and education and advice on managing money and debt counselling; processing and submission of applications to banks; promoting, nurturing and monitoring of Self Help Groups/Joint Liability Groups/Credit Groups/others; post-sanction monitoring; follow-up for recovery; disbursal of small value credit; recovery of principal/collection of interest; collection of small value deposits; sale of micro insurance/mutual fund products/pension products/other third party products; receipt and delivery of small value remittances/ other payment instruments; and distribution of banknotes and coins.

The banks may use BCs for preliminary work relating to account opening formalities.

16.2.1.3 Terms and Conditions for Engagement of BF/BCs

- (a) **Commission/Fee:** Banks may pay a reasonable commission/fee to the BF/BC. The agreement should specifically prohibit BC/BF from charging customers directly for services on behalf of the bank.
- (b) **Adopting Technology:** Engaging BF/BC carries significant reputational, legal and operational risks. Banks should adopt technology-based solutions for managing the risk, and increasing the outreach in a cost effective manner. The transactions should normally be put through ICT devices (handheld device/mobile phone) seamlessly integrated to the CBS of the bank.
- (c) **Risk Mitigating Measures:** The arrangements with BC shall specify the following:
 - (a) Suitable limits on cash holding, individual customer payments and receipts.
 - (b) Cash collected to be acknowledged by a receipt on behalf of the bank.
 - (c) All agreements with the customer to clearly specify the bank is responsible to the customer.
 - (d) Ensure preservation/ protection of security/ confidentiality of customer information with BC.
 - (e) Periodic block level meetings be held with members of public, BCs operating in the area and linked branch managers. Lead District Manager (LDM) of lead bank could also attend.
 - (f) To have Business Continuity Plan (BCP) to ensure uninterrupted service in case the arrangement with BCs/sub-agents is terminated.
 - (g) A company engaged as BC by more than one bank, the customer database and account details of both should be kept separate.

16.2.1.4 Ultra Small Branches

RBI has permitted banks to establish outlets ('Ultra Small Branches' - USBs) in rural centres from which BCs may operate. These are as low cost simple brick and mortar structures. Every BC outlet is under the oversight of a base branch. These USBs may be set up between the base branch and BC locations so as to provide support to about 8-10 BC Units at a reasonable distance of 3-4 kilometres. They should have CBS terminal linked to a pass book printer and a safe for cash retention. They should be managed by full time bank officers/ employees. These shall be treated as independent 'Banking Outlets' or 'Part-time Banking Outlets'.

16.2.1.5 Redressal of Grievances: Services rendered by BCs/ BF

- (a) Banks should have a grievance redressal machinery for redressing complaints about services rendered by BC/BF. The name and contact number of designated grievance redressal officer should be widely publicised.
- (b) The procedure and the time frame fixed for responding to the complaints should be placed on the bank's website.
- (c) If a complainant does not get satisfactory response from the bank within 60 days from the date of his lodging the complaint, he will have the option to approach the office of the Banking Ombudsman for redressal of his grievance/s.

16.2.1.6 Role of ICT in Financial Inclusion

Recognizing that technology has the potential to address the issues of outreach and credit delivery in rural and remote areas in a viable manner, banks have been advised to make effective use of information and communications technology (ICT), to provide doorstep banking services through the BC model where the accounts can be operated by even illiterate customers by using biometrics, thus ensuring the security of transactions and enhancing confidence in the banking system

16.2.1.7 Customer Education

Complementary to financial inclusion financial literacy and customer education are important part of the business strategy and should form part of the commitment by banks adopting the BC model. Banks may scale up their efforts substantially towards educating their clientele in their respective vernacular languages regarding the benefits of banking habit.

16.2.2 Setting Up of Payment Banks

The objectives of payments banks (PBs) are to further financial inclusion by providing (i) small savings accounts and (ii) payments/remittance services to migrant labour workforce, low income households, small businesses, other unorganised sector entities and other users. Scope of activities of PBs is:

Accepting demand deposits: Upto maximum balance of ₹2 lakh per customer; Issue of ATM/debit cards; PPIs.; Internet banking services; Payments and remittance services; BC of another bank; Distribution of simple financial products (MFs, Insurance); Utility bill payments etc..

PB operate in remote areas mostly through BCs, ATMs and other networks. They need to have at least 25% of physical access points including BCs in rural centres.

16.2.3 SHG-Bank Linkage Programme

Self Help Groups (SHGs) have the potential to bring together the formal banking structure and the rural poor for mutual benefit. All scheduled commercial banks have been advised to meet the entire credit requirements of SHG members.

16.2.4 Co-Lending by Banks and NBFCs to Priority Sector

In November 2020, RBI issued guidelines regarding co-lending model (CLM) by banks and NBFCs to priority sectors. The primary focus is to improve the synergy between banks and NBFCs considering the lower cost of funds from banks and greater reach of the NBFCs.

16.3 USE OF MOBILES/ TABLETS IN FINANCIAL INCLUSION DRIVE

16.3.1 Introduction

Mobile banking in layman's terms means the using of a mobile phone to offer banking services. Banks have introduced a personal/ retail banking product, and product to promote financial inclusion. This has been hastened by low-cost smartphones and faster and cheaper internet connections. This has made mobile banking accessible to a larger proportion of population. One of the side effects of Covid-19 pandemic has been acceleration of the spread of mobile usage among the weaker sections for various uses including for payments and receipts of funds.

16.3.2 Leveraging Mobile Banking for Financial Inclusion

Access to finance by the poor and vulnerable groups is necessary for poverty reduction and social cohesion. Providing access to financial services is a form of empowerment of the low income and weaker sections of the society. These financial services include credit, savings, insurance, payments and remittance facilities.

Banks use mobile phones/ tablets to open Small Accounts/ Basic Savings Bank Deposit Accounts in unbanked villages and offer banking services through Points of Sale (POS) instruments handled by agents of BCs.

Mobile Banking

It helps in providing banking service to unbanked areas and to those who would not have got the banking service. The wage earners can send money instantly through mobile banking at cheaper cost. The wage earners can do banking transactions without losing a day's wages. All non-cash banking requirements can be carried out using mobile phones.

16.3.3 Constraints to Rapid Widespread Adoption of Mobile Banking Channels

There are genuine concerns about security aspects of mobile banking and have to be addressed. Different mobile operating systems and diversity of devices add to complexity. Banks and telecom companies have to launch mobile apps, WAP sites that run on all handsets and operating systems. Most customers are first time banking users, and are to be made aware of the use of mobile banking platform.

16.3.4 USSD Based Mobile Banking

In November 2012, National Payments Corporation of India (NPCI) launched a "Common USSD Platform" for all banks and telcos for Mobile Banking using USSD based Mobile Banking. NPCI offers a common USSD Code *99# for all Telcos. In December 2016, USSD 2.0 based on UPI was launched along with BHIM. It has made UPI available for non-internet based mobile devices (smartphone as well as basic phones) in the form of dialing option (*99#).

16.3.5 Digital Onboarding

Two broad areas in digital onboarding are: (i) improving accessibility of financial platforms using FinTech; and (ii) analysing potential risks that may arise out of FinTech adoption. Designing suitable financial products for specific needs of the financially excluded population, digital onboarding and increasing investments are vital. Effective utilisation of Aadhaar eco-system is one avenue to adopt digital platforms as in case of DBT. To bring about uniformity and ensuring appropriate security in digital onboarding by banks V-CIP and Digital KYC Process have been framed by RBI/ Government.

16.3.6 Digital Lending

The RBI Working Group on Digital Lending including Lending through Online Platforms and Mobile Apps recognizes the increasing significance of 'digital lending' in the financial ecosystem. Flexible regulations ensure that unauthorised digital lenders are weeded out without affecting the growth of legitimate lenders. The Working Group Report issued in November 2021 has made several recommendations for regulating this activity. This activity has been discussed in detail in section 47.6.9.

16.4 FINANCIAL LITERACY

Financial Literacy is the process by which people improve their knowledge and understanding of the use of financial products and services. It is also described as one's ability to make informed judgments and to take effective decisions regarding use and management of money. Financial Inclusion and Financial Literacy are twin pillars:

- (a) Financial Literacy stimulates the demand side – making people aware of what they can demand.
- (b) Financial Inclusion activities stimulate the supply side by OECD-providing the financial market/services what people demand.

16.4.1 Importance of Financial Literacy

Financial literacy is an important adjunct for financial inclusion and ultimately financial stability. Both developed and developing countries, therefore, are focusing on programmes for financial literacy/education. In India, the need for financial literacy is even greater considering the low levels of literacy and the large section of the population, which still remains out of the formal financial set-up. Financial literacy can help them prepare ahead of time for life cycle needs and deal with unexpected emergencies without assuming unnecessary debt.

16.4.2 Financial Literacy for Whom?

Contrary to popular perception, financial literacy has to be imparted to everyone in the economy viz. users and providers. In the Indian context, the users are broadly the financially excluded resource-poor, the lower and middle income groups and high net worth individuals. Equally important, banks, financial institutions and other market players too need to be literate about their risks and returns framework. Last, but not the least, policymakers including the financial sector regulators must have in-depth knowledge to comprehend and gauge the requirement of the population and financial institutions to drive the agenda.

16.4.3 How it is being Imparted

RBI has directed banks to establish Financial Literacy Centres (FLC). The centres are disseminating information on the general banking concepts to diverse target groups, including school and college students, women, rural and urban poor, pensioners and senior citizens to enable them to make informed financial decisions.

16.4.4 Initiatives taken by Reserve Bank of India

16.4.4.1 National Centre for Financial Education

The National Centre for Financial Education (NCFE) was set up in 2013 with support from all the financial sector regulators i.e., RBI, SEBI, IRDAI and PFRDA for implementation of the National Strategy for Financial Education (NSFE).

The objective of NCFE is to further the cause of financial literacy and inclusion in India in a collaborative manner. The National Financial Literacy Assessment Test (NCFE-NFLAT) is one such step in this direction. By conducting a national level test, NCFE plans to motivate school students (of classes VIII to X) to learn the concepts of finance and also measure their financial awareness.

It has also launched a E-Learning Management System. It has different financial education programmes for youth, adults, school children and school teachers.

16.4.4.2 Centres for Financial Literacy (CFLs)

With a view to promote inclusive growth, deepen financial inclusion and protect the customers by promoting financial literacy, RBI launched a pilot project in 2017 involving select banks and NGOs to spread financial literacy through community led participatory approach by setting up Centres for Financial Literacy (CFL). CFLs are being set up at every block in the country in a phased manner.

16.5 RURAL SELF EMPLOYMENT TRAINING INSTITUTES (RSETI)

Rural Self Employment Training Institutes (RSETI) are initiatives of Ministry of Rural Development (MoRD) to provide dedicated infrastructure in each district for imparting training and skill upgradation of rural youth aimed at entrepreneurship development. RSETIs are managed by banks with active co-operation from the Government of India and the State Governments. This initiative is based on the model of Rural Development and Self Employment Training Institute of 1962. Replication of this model was recommended to tackle the unemployment problem successfully and developing entrepreneurship through establishment of RSETIs across the country.

Each RSETI is expected to offer 30 to 40 skill development programs in a financial year of 1 to 6 week duration, covering various areas: Agricultural Programs, Product Programs, Process Programs, and General Programs.

16.5.1 Objectives of RSETIs

The purpose of RSETI is that rural BPL youth are identified and trained for self-employment. The objectives are:

- (i) The trainings offered to be demand driven.
- (ii) Area in which training to be provided to the trainee to be decided after assessment the candidate's aptitude.
- (iii) Hand holding support to be provided for assured credit linkage with banks.
- (iv) Escort services to be provided for at least for two years soon to ensure sustainability of micro enterprise trainees.
- (v) The trainees to be provided intensive short-term residential self-employment training programmes with free food and accommodation.

16.6 LET US SUM UP

Financial Inclusion is provision of affordable financial services, to those who tend to be excluded. RBI has decided to enable the banks to use the services of NGOs, etc., as intermediaries in providing the financial and banking services through use of BF/BC models. One of the objectives is to promote financial literacy through the provision of financial education. The delivery of financial education in villages encompasses three key themes: building skills, increasing knowledge and developing understanding and within each of these an individual's confidence should also be developed.

'Project Financial Literacy' aims to disseminate information regarding the central bank and general banking concepts to various target groups, such as, school and college going children, women, rural and urban poor, defence personnel and senior citizens. With a view to provide employment opportunities in the organised as well as unorganised sector, the Ministry of Rural Development (MoRD) launched a national scheme called RSETI under which one time grant is given to the lead bank in every district for setting up training institute to train the rural youth in vocational programmes. Each RSETI offers 30 to 40 skill development programmes in a financial year in various avenues.

National Centre for Financial Education has developed several modules for financial literacy. Centres for Financial Literacy have been set up at block levels. Besides, several banks have set up Financial Literacy Centres for promoting financial literacy.

16.7 KEYWORDS

Business Facilitator, Business Correspondent, Centre for Financial Literacy, Financial Exclusion, Financial Inclusion, Financial Inclusion Index, Financial Literacy, Entrepreneurship Development, Financial Literacy Centre, National Strategy for Financial Education, National Centre for Financial Education, RSETI,

16.8 CHECK YOUR PROGRESS

1. The scope of activities undertaken by the business correspondents will not include _____.
 - (a) disbursement of small value credit
 - (b) recovery of principal/collection of interest
 - (c) collection of small value deposits
2. Banks cannot use the services of _____ as a business facilitator or business correspondent.
 - (a) non-governmental organizations
 - (b) self-help groups
 - (c) village sarpanch
 - (d) Micro Finance Institutions (MFIs)
3. Ministry of Rural Development (MoRD) provides a one time grant of ₹___ to the lead bank in every district to set up one RSETI.
 - (a) 50 lakh
 - (b) 10 lakh
 - (c) one crore
 - (d) 75 lakh

16.9 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (c), 3. (c).



CUSTOMER SERVICE GUIDELINES

STRUCTURE

17.0 Objectives

17.1 Introduction

17.2 Customer Service in Banks

17.2.1 Customer Service: Organisational Framework

17.2.2 Board Approved Policies on Customer Service

17.3 Policy for General Management of the Branches

17.4 ATM Operations

17.5 Security Issues and Risk Mitigation Measures

17.6 Service at the Counters

17.7 Information to the Customers

17.8 Special Arrangements at Branches

17.9 Other Provisions

17.10 Let Us Sum Up

17.11 Keywords

17.12 Check Your Progress

17.13 Answers to 'Check Your Progress'

17.0 OBJECTIVES

After studying this Unit, you will:

- Understand better Customer Service in Banks
- Know organisational framework for Customer Service
- Learn about policy for general management of branches
- Know ATM operations related aspects
- Understand security issues and risk mitigation measures
- Know about service at the counters and in the branch premises

17.1 INTRODUCTION

Customer service is act of taking care of the needs of a person by providing and delivering the service in a professional manner. It is expected to be delivered promptly and politely, and relates to the service provided before, during and after a relationship is established. Good customer service is the best brand ambassador for any bank. The banking system in the country has perhaps the largest outreach for delivery of financial services.

Also, it has been the constant endeavour of RBI to ensure improvement in the customer service rendered by the banks, and has issued various guidelines on the subject.

The Reserve Bank of India has set up a six-member committee headed by former Deputy Governor, B. P. Kanungo, to review customer service standards in entities regulated by it, in May, 2022. The committee will evaluate the efficacy, adequacy and quality of customer service in regulated entities (REs) vis-à-vis the existing RBI guidelines on customer service, identify gaps, if any, and suggest measures to improve customer service. The committee will also review the evolving needs of the customer service landscape, especially in the context of digital/electronic financial products and distribution landscape and suggest suitable regulatory measures.

17.2 CUSTOMER SERVICE IN BANKS

Banking is a highly regulated service industry with very stiff entry norms, RBI has not left customer service in banks entirely to the market forces, and has issued instructions on certain key aspects as also taken certain other initiatives in respect of customer service in banks.

17.2.1 Customer Service: Organisational Framework

RBI has emphasized that matters relating to customer service should be deliberated by the Board. Boards need to review customer service aspects in the bank. So a detailed memorandum should be submitted to BoD, once every six months. Prescribed institutional set up for banks includes:

- Customer Service Committee of the Board
- Standing Committee on Customer Service
- Branch Level Customer Service Committees
- Nodal department / official for customer service

17.2.1.1 Customer Service Committee of the Board

Banks are required to have a Customer Service Committee of the Board (CSSB), to which experts and representatives of customers should be invitees, to enable formulating policies and assess the compliance thereof, and also ongoing improvements in the quality of customer service. It could also look into other policy, process aspects related to depositors. The Committee should also play a pro-active role with regard to complaints/ grievances resolved by Banking Ombudsmen.

17.2.1.2 Standing Committee on Customer Service

The Committee on Procedures and Performance Audit of Public Services (CPPAPS) recommended that banks have a permanent Standing Committee on Customer Service that should be a dedicated focal point for customer service and have sufficient powers to evaluate the functioning in various departments. This Committee cutting across various departments can serve as the micro level executive committee driving the implementation process and providing relevant feedback. The CSSB would oversee and review/ modify the initiatives.

The Standing Committee will act as the bridge between the various departments of the bank and the Board / Customer Service Committees of the Board would oversee and review/ modify the initiatives.

The Standing Committee may be chaired by the CMD or the ED and include non-officials as its members to enable an independent feedback on the quality of customer service rendered by the bank. The Standing Committee will monitor timely and effective compliance of the RBI instructions on customer service, determine that the action taken is in tune with their spirit and intent.

17.2.1.3 Branch Level Customer Service Committees

At all branches a Customer Service Committee should be in place as a formal channel of communication between the customers and the bank, and it should be strengthened with greater involvement of customers. These should include at least a senior citizen. It should meet at least once a month to study complaints/ suggestions, cases of delay; difficulties faced / reported by customers/ members of the Committee and evolve ways and means of improving customer service. The branch level committees should submit quarterly reports giving inputs/ suggestions to the Standing Committee on Customer Service, and provide relevant feedback for necessary policy/ procedural action.

17.2.1.4 Nodal Department / Official for Customer Service

Each bank should have a nodal department/ official for customer service in the Head Office and each controlling office, with whom customers with grievances can approach in the first instance and with whom the Ombudsman and RBI can liaise.

17.2.2 Board Approved Policies on Customer Service

Banks should have undermentioned policies, duly approved by their Boards, that are essentially pertaining to customer service, hence should be made known to the customers through various modes. These should be prominently displayed on the website and also put on the notice board at the branches. A customer should be apprised of these, when establishing relationship, and of any changes in these.

- Comprehensive Deposit Policy
- Cheque Collection Policy

- Customer Compensation Policy
- Customer Grievance Redressal Policy

17.2.2.1 Comprehensive Deposit Policy

Banks should have a transparent and comprehensive policy setting out the rights of the depositors in general and small depositors in particular. The policy should cover all aspects of operations of deposit accounts, charges leviable and other related issues to facilitate interaction of depositors at branch levels. It should also be explicit in regard to secrecy and confidentiality of the customers. Providing other facilities by “tying-up” with placement of deposits is a restrictive practice and should not be adopted.

17.2.2.2 Cheque Collection Policy

Banks should have a comprehensive and transparent policy on collection of cheques for that should cover the following three aspects: Immediate credit for local/ outstation cheques; Time frame for collection of local/ outstation instruments; Interest payment for delayed collection.

17.2.2.3 Customer Compensation Policy

Banks must have a Customer Compensation Policy that could be based on the model policy of IBA. It should cover following aspects: (a) Erroneous debits due to fraudulent or other transactions; (b) Payment of interest for delays in collection; (c) Payment of interest for delay in issue of duplicate draft; and (d) Other unauthorised actions of the bank leading to a financial loss to customer.

17.2.2.4 Customer Grievance Redressal Policy

Banks must have a well-documented Customer Grievance Redressal Policy.

17.3 POLICY FOR GENERAL MANAGEMENT OF THE BRANCHES

Banks should have Board approved policy for general management of the branches covering:

- Infrastructure facilities at branches (adequate space, proper furniture, drinking water, facilities for pensioners/ senior citizens/ disabled persons, clean environment, etc.).
- Enquiry counters at large / bigger branches in addition to reception counter.
- Multi-lingual indicator boards at all the counters.
- Roving officials to ensure responsiveness of employees, and helping customers in their transactions.
- Providing multilingual booklets on services and facilities.
- Use of Hindi and regional languages in transacting business with customers.
- Reviewing and improving the security system.
- Branch staff training with customer service orientation.
- Periodical visits by senior officials from Controlling/ Head Office for on the spot study.
- Customer service audit, Customer surveys.
- Holding Customer relation programmes and periodical meetings to interact with different cross sections of customers.
- Having a New Product and Services Approval Process that stipulates Board approval on issues which compromise the rights of the Common Person.
- Appointing Quality Assurance Officers to ensure that the policy is translated into proper procedures.

17.4 ATM OPERATIONS

Customer service related aspects of ATM operations have gained significance given their spread:

- (1) *Free transactions at ATMs*: Customers are eligible for five free transactions (inclusive of financial and non-financial transactions) every month from their own bank ATMs. They are also eligible for free transactions (inclusive of financial and non-financial transactions) from other bank ATMs viz. three transactions in metro centres and five transactions in non-metro centres.
- (2) *Transactions at ATM - Pin Validation for Every Successive Transaction*: Security concerns arise in the case of certain type of card readers which facilitate multiple transactions without the need for pin validation for each transaction. The possibility of frauds/ misuse of cards is very high. To eliminate this risk, the process should require pin validation for every transaction, including balance enquiry through ATM. Also, the time-out of sessions should be enabled for all screens/ stages.
- (3) *Lodging of ATM related Complaints*: To facilitate lodging complaints related to ATMs, at all ATM kiosks banks must display: (a) Telephone numbers of help desk/ contact persons of the ATM owning bank to lodge complaint/ seek assistance, and (b) Uniform Template prescribed by RBI for lodging of complaints relating to ATM transactions.
- (4) *Measures to enhance efficiency in ATM operations*: Following steps for efficient ATM operations - (i) Message of non-availability of cash to be displayed, before transaction initiation on screen or any other manner; (ii) To display ATM-ID in the ATM premises; (iii) Complaint forms with name and phone number of the officials, to be available at ATM,s; (iv) Sufficient toll-free phone numbers for lodging complaints/ reporting and blocking lost cards; (v) Mobile numbers/ e-mail IDs of the customers be registered to send alerts; (vi) To inform customers failed ATM transaction complaints must be lodged with the card issuing bank, for all failed transactions.
- (5) *Scheme of Penalty for non-replenishment of ATMs*: Banks/ WLAOs should have a robust system for availability of cash in ATMs with timely replenishment. Cash-out at any ATM of more than ten hours in a month attracts a flat penalty of ₹10,000/- per ATM. In case of WLAs, the penalty is charged to the bank meeting cash requirement of that WLA. Bank may recover the penalty from the WLA operator.
- (6) *Disputes regarding ATM failed transactions*: These shall be settled by the issuing bank and the acquiring bank through the ATM System Provider only. No bilateral settlement arrangement outside the dispute resolution mechanism of the system provider is permissible. This is meant to avoid disputes between the issuing and acquiring banks in payment of compensation.
- (7) *Reconciliation of transactions at ATMs failure - Time limit*: RBI has advised banks to resolve customer complaints regarding wrongful debit on account of ATM transactions within T+5 working days of receipt of customer complaint. In case of delay the card issuing bank must compensate the customer @ ₹100/- per day of delay. This amount shall be credited to the customer's account automatically without any claim from the customer.

17.5 SECURITY ISSUES AND RISK MITIGATION MEASURES

With increasing usage of electronic delivery channels, the risks of cyber frauds have increased manifold. The risk of frauds is exacerbated due to vast section of the customers not being tech savvy and not aware about the cyber risks. RBI has therefore been very particular about prescribing several security measures.

(1) *Online alerts for usage of credit/debit cards:*

- To reduce misuse of lost/stolen cards, the card-issuers may consider issuing card with advanced features.
- Card-issuers shall block a lost card immediately on being informed by the cardholder and formalities can follow within a reasonable period.
- Card-issuers shall inform the cardholder the procedure to report loss, theft or unauthorised use of card or PIN. They shall provide multiple channels - dedicated helpline, number for SMS, e-mail-id, Interactive Voice Response, clearly visible link on the website, internet banking and mobile-app or any other mode for reporting unauthorized transaction on 24 x 7 basis and allow the customer to initiate blocking of the card.
- Card-issuers shall send a confirmation to the cardholder after blocking of a card

Banks are required to send online alerts to the customers for all types of transactions involving usage of debit/ credit cards.

(2) *Card Not Present (CNP) transactions:* Banks must have system of additional factor of authentication/ validation based on information not visible on the cards for on-line card not Present (CNP) transactions. In the case of Mail Order Telephone Order (MOTO) and Standing Instructions (SI) transactions, any customer complaint arising out of transactions effected without the additional factor of authentication the issuer bank has to reimburse the loss to the customer without demur.(3) *Electronic Payment Transactions:* These could be put in two groups viz. one, Remote/ online payment transactions and two, Face-to-face/ proximity payment transactions. All such delivery channels should be safe and secure. The systems and procedures in banks must be designed to make customers feel safe in carrying out electronic banking transactions. Some risk mitigating processes could be as follows:

(i) Customer induced options for fixing a cap on the value/ mode of transactions/ beneficiaries. For exceeding the cap, an additional authorization may be asked. (ii) Limit the number of beneficiaries added in a day, and alert when a beneficiary is added. (iii) Mechanism for velocity check on the number of transactions per day / per beneficiary, (iv) Alerts for suspicious operations within the bank and to the customer. (v) Dynamic additional factor of authentication for payment transactions, (vi) Digital signature for large value payments, (vii) Capturing of Internet Protocol (IP) address, (viii) Mandatory registration for SMS alerts and for e-mail alerts, if possible, for electronic banking transactions, (ix) Enable customers to instantly respond by "Reply" to the SMS and e-mail alerts to notify the objection. (x) Not offer facility of electronic transactions, other than ATM cash withdrawals, to customers who do not provide mobile numbers to the bank.

(4) *Limiting Liability of Customers in Unauthorised Electronic Banking Transactions:* A customer is entitled to zero liability: (i) if there is contributory fraud/ negligence/ deficiency on the part of the bank (even if customer does not report), and (ii). if there is third party breach and there is no deficiency with the customer or the bank but elsewhere in the system (provided the customer informs within 3 working days of receiving bank's communication for the transaction). The customer will be liable for the loss, if it is due to her negligence, until she reports the unauthorised transaction to the bank. Any loss occurring after reporting shall be borne by the bank. In cases where the responsibility is not with the bank or the customer, but elsewhere in the system and when there is a delay (4 to 7 working days after receiving bank's the communication) in notifying the bank of such a transaction, the per transaction liability of the customer shall be limited to the transaction value or the amount mentioned in Table 17.1, whichever is lower.

Table 17.1 Maximum Liability of a Customer

Type of Account	Maximum liability (₹)
BSBD Accounts	5,000
- All other SB accounts - Pre-paid Payment Instruments and Gift Cards - Current/ Cash Credit/ Overdraft Accounts of MSMEs - Current Accounts/ Cash Credit/ Overdraft Accounts of Individuals with annual average balance (during 365 days preceding the incidence of fraud)/ limit up to Rs.25 lakh - Credit cards with limit up to Rs.5 lakh	10,000
- All other Current/ Cash Credit/ Overdraft Accounts - Credit cards with limit above Rs.5 lakh	25,000

For delay in reporting beyond 7 working days, the customer liability shall be determined as per the bank's Board approved policy, to be advised to customers.. Banks may also at their discretion decide to waive off any customer liability in case of unauthorised electronic banking transactions even in cases of customer negligence. The credit shall be value dated as of the date of the unauthorised transaction.

17.6 SERVICE AT THE COUNTERS

1.1 *Business and working hours*: Employees should be at their seats at the commencement of business hours. Following regular hours and continuous availability of counter services is basic requirement. Following norms need to be followed in respect of business and working hours.

- Reporting Time of Staff*: For starting exactly at the commencement of business hours, the working hours of staff is fixed 15 minutes earlier, especially at metropolitan and urban centres.
- Business Hours*: Branches are required to function for public at least 4 hours on week days and working Saturdays.
- Banking Timing*: No particular banking hours have been prescribed.. A bank may fix business hours for its branches at its discretion.
- Rural Branches*: The branches in rural areas can fix the business hours and the weekly holidays to suit local requirements.
- Legal Provisions*: Other relevant local laws Shops and Establishment Act, etc. and obligations, to staff under the Industrial Awards / Settlements need to be observed.
- Uninterrupted Service*: No counter should remain unattended during the business hours for uninterrupted service.
- Declaration of Holiday under the Negotiable Instruments Act, 1881*: In terms of Section 25 of the NI Act, the expression "public holiday" includes Sunday and any other day declared by the Central Government by notification in the Official Gazette to be a public holiday. Besides, in terms of the Government of India, Ministry of Home Affairs' Notification No. 20-25-56-Pub-I dated 8 June, 1957 this power has also been delegated to the State Government. A State Government can declare a public holiday under NI Act for the State or any part of it, the Central Government can do so for the whole country.

- 1.2 *Closing the Counters*: All customers in the banking hall at the close of business hours be attended.
- 1.3 *Extension of business hours for non-cash transactions*: Following transactions to be attended during extended business hours:
 - (a) Non-voucher generating transactions:
Issue of passbook/statement of accounts; Issue of cheque book; Delivery of term deposit receipts/drafts; Acceptance of share application form; and Acceptance of clearing cheques/bills for collection.
 - (b) Voucher generating transactions:
Issue of term deposit receipts (TDR); Acceptance of cheques for locker rent due; Issue of travellers' cheques; Issue of gift cheques; Acceptance of individual cheques for transfer credit.
- 1.4 *Evening Counters*: Banks can have evening counters at the premises of existing branches in urban/metropolitan centres for providing facilities to the public beyond the normal hours of business so as to bring about improvement in customer service.
- 1.5 *Guidance to Customers*: All branches, except very small ones, should have "Enquiry" or "May I help you" counters.
- 1.6 *Advisory Services on deposit schemes*: There is room for providing customer satisfaction by assisting customers in taking proper decisions for investment in various deposit schemes having regard to their particular needs and expectations.
- 1.7 *Complaint box and book*: A Complaint cum Suggestion Box may be kept in the branch premises at a prominent place. Banks also maintain an online complaint management system.

17.7 INFORMATION TO THE CUSTOMERS

- (1) *Display of information by banks – Comprehensive Notice Board*: The display of information by banks in their branches is one of the modes of imparting financial education. This display enables customers to take informed decision regarding products and services of the bank and be aware of their rights as also the obligations of the banks to provide certain essential services. Following norms have been advised by the RBI for uniformity in this regard.
 - (a) Comprehensive Notice Board at branches: Minimum size 2 feet by 2 feet as Board to facilitate comfortable viewing.
 - (b) Information to be displayed: Four categories viz. 'Customer service information', 'Service charges', 'Grievance redressal' and 'Others'.
 - (c) Important aspects or 'indicators' to the information to be placed.
 - (d) Principles to be followed: (i) Updated periodically, indicating the date; (ii) Simple and readable; (iii) Bilingual/ trilingual; (iv) Mark recent changes; and (v) List of items on which detailed information available as booklet.
- (2) *Booklets/Brochures*: These should cover information related to: Customer service information; Service charges; Grievance Redressal; and Other services provided, the Citizen's Charter for Currency Exchange facilities; Time norms for common transactions; Design and security features of all the bank notes; Policy documents relating to Cheque Collection, Grievance Redressal Mechanism, Security repossession and Compensation; Complete service charges, including services rendered free of charge; Fair Practices Code/The Code of Bank's Commitment to Customers.
It should be bilingual/ trilingual and the font size should be minimum Arial 10. May also provide to the customers, brochures/pamphlets in giving details of various schemes available and terms and

conditions thereof. Such brochures may also contain, among others, Do's and Don'ts for smooth handling of day-to-day banking transactions, e.g. updating of passbooks, preferably in the leaner weeks of the month, say, third/fourth week, advantages of maintaining joint accounts and nomination, keeping the term deposit receipts in safe custody with the banks, with instructions for disposal on maturity, etc.

- (3) *Display on Website*: The detailed information as earlier indicated also be made available on the bank's web-site, readily accessible from the Home page.
- (4) *Other Modes of Display*: Banks can use other modes like touch screen on information kiosks, tag boards, scroll bars, etc. for the information.
- (5) *Information relating to Interest Rates and Service Charges*: RBI has prescribed a format for display of information relating to interest rates and service charges so the customer gets information at a quick glance, to be displayed on the website. On pricing of credit following additional information is also to be displayed:
 - (a) *On website*: (i) For loans contracted during the past quarter for different categories of loans to individual borrowers – the range of and the mean of interest rates; (ii) Total fees and charges applicable on various types of loans to individual borrower (to be also advised at the time of processing of loan); (iii) Annual Percentage Rate (APR) or such similar other arrangement of representing the total cost of credit on a loan.
 - (b) *Key Statement/ Fact Sheet*: Clear, concise, one-page key fact statement/ fact sheet, as per RBI format, to be given to individual borrowers at every stage of the loan processing, and included as a summary box in the credit agreement.
- (6) *Information in the public domain*: Disclosure on websites is an effective channel for reaching out to customers and the public at large. At the minimum following information should be displayed on the website.

I. Policy / Guidelines	II. Complaints	III. Opening of Accounts	IV. Loans and Advances	V. Branches
Citizen's Charter	Grievance Redressal Mechanism	Account Opening Forms	Application forms relating to loans and advances	Details of branches, addresses, telephone numbers (with search facility on location)
Deposit Policy	Information relating to Banking Ombudsmen	Service Charges for various common services, courier charges and Services free of charges	Copy of blank agreement to be executed by the borrower	Details of ATMs with addresses
Deceased Depositors Policy along with Nomination Rules	Information relating to Customer Service Centres (for Public Sector Banks)	Interest rates on Deposits	Terms and Conditions	

(Contd.)

I. Policy / Guidelines	II. Complaints	III. Opening of Accounts	IV. Loans and Advances	V. Branches
Cheque Collection Policy		Minimum balances – along with corresponding facilities offered.	Processing fee and other charges	
Fair Practices Code for Lenders				
Fair Practices Code for Self- Regulation of Credit Card Business				
Code of Conduct for Direct Selling Agents				
Code for Collection of Dues and Repossession of Security				

- (7) *Timelines for Credit Decisions*: To be disclosed suitably through websites, notice-boards, product literature, etc.
- (8) *Service Charges*: To display at the branches the service charges at least for the following in the local language:
- (a) Services rendered free of charge; (b) Others: Minimum balances to be maintained in the SB account; Charges leviable for non-maintenance of minimum balance in SB account; Charges for collection of outstation cheques; Charges for issue of Demand Draft; Charges for issue of cheque books, if any; Charges for account statement; Charges for account closure, if any; Charges for deposit/withdrawal at ATM locations, if any.
- (9) *Customer education*: Customer education both in regard to rights and responsibilities in dealing with banks should be viewed as a fundamental issue in any attempt to improve customer service. Customer should be made aware not only of the various schemes and services offered by banks, but also about the formalities, procedures, legal requirements and limitations in the matter of providing services by the banks.

17.8 SPECIAL ARRANGEMENTS AT BRANCHES

- (1) *Provision of ramps at ATMs/ branches*: To be provided so that wheelchair users/ persons with disabilities can easily access them.
- (2) *Facility to sick/ old /incapacitated account holders*: The facilities offered to pension account holders should be extended to the non-pension account holders also who are sick / old / incapacitated and are not willing to open and operate joint accounts.
- (a) An account holder who is too ill to sign a cheque / cannot be physically present in the bank but can put his/her thumb impression on the cheque/ withdrawal form.

- (b) An account holder who is not only unable to be physically present in the bank but is also not even able to put his/her thumb impression due to certain physical incapacity. As per the opinion obtained by IBA from their consultant the signature can be by means of a mark. This mark can be placed by the person in any manner. May be toe impression, a mark which anybody can put on behalf of the person who has to sign, by an instrument which had a physical contact with him.
- (3) *Providing banking facilities to Visually Impaired Persons*: Banks are advised to offer banking facilities including cheque book facility including third party cheques, ATM facility, Net banking facility, locker facility, retail loans, credit cards, etc., to the visually challenged persons without any discrimination, as they are legally competent to contract. Branches should render all possible assistance to these persons for availing the various banking facilities. This is in terms of IBA guidance consequent upon the orders of the Honourable Court of Chief Commissioner for Persons with Disabilities.
- (4) *Talking ATMs with Braille keypads - Persons with visual impairment*: ATMs are to be as talking ATMs with Braille keypads. Magnifying glasses should also be provided in all bank branches for persons with low vision.
- (5) *Opening/ operating bank accounts of Persons with Autism, Cerebral Palsy, Mental Retardation, Mental Illness and Mental Disabilities*: Banks may rely on and be guided by the orders/ certificates issued by the competent authority, under the respective laws, appointing guardians/managers for the purposes of opening/operating bank accounts.

17.9 OTHER PROVISIONS

- (1) *Rights of Transgender Persons – Changes in bank forms/ applications etc.*: Banks have, been directed by RBI to include 'third gender' in all forms/applications etc. wherein any gender classification is envisaged.
- (2) *Acknowledgement by banks at the time of submission of Form 15-G / 15-H*: RBI has advised banks to give an acknowledgment to the customers at the time of receipt of Form 15-G/15-H.
- (3) *Timely issue of TDS Certificate to Customers*: Banks should provide Form 16A to the customers well within the time-frame prescribed under the Income Tax Rules.
- (4) *Acceptance of cash over the counter*: Banking, by definition, means acceptance of deposits of money from the public for the purpose of lending and investment. Banks should not, therefore, design any product which is not in tune with the basic tenets of banking. Any condition restricting deposit of cash over the counters amounts to an unfair practice. Branches must invariably accept cash over the counters from all their customers who desire to do so, and banks must not stipulate a condition restricting deposit of cash over the counters.
- (5) *Erroneous Debits arising on fraudulent or other transactions*: RBI has advised that: (i) In case of any fraud, if the branch is convinced that an irregularity/ fraud has been committed by its staff towards any constituent, the branch should at once acknowledge its liability and pay the just claim, (ii) In cases where banks are at fault, the banks should compensate customers without demur, and (iii) In cases where neither the bank is at fault nor the customer is at fault but the fault lies elsewhere in the system, then also the banks should compensate the customers (up to a limit) as part of a Board approved customer relations policy.
- (6) *Co-ordination with officers of Central Board of Direct Taxes*: Banks should extend necessary help/ co-ordination to tax officials whenever required. Where bank's staff connive/assist in any manner with offences punishable under the Income Tax Act, banks have to view these with serious concern.

- (7) *Clean Overdrafts for small amounts:* Banks may work out schemes permitting their branch managers to grant clean overdrafts for small amounts to customers whose dealings have been satisfactory.
- (8) *Rounding off of transactions:* All transactions, including payment of interest on deposits/charging of interest on advances, should be rounded off to the nearest rupee i.e., fractions of 50 paise and above shall be rounded off to the next higher rupee and fraction of less than 50 paise shall be ignored.

17.10 LET US SUM UP

Customer service is the act of taking care of the needs of a person by providing and delivering the service in a professional manner – promptly and politely. It relates to the service provided to customers before, during and after a relationship is established. Meeting the legitimate aspirations of its customers enables the bank to maintain its image, create confidence and attract funds comparatively at low cost in a competitive environment.

Customer service is a challenging issue in any service industry as there are many intangibles that define a customer's satisfaction or otherwise with a particular bank / branch / product or process.

RBI has prescribed certain institutional set up to be in place in banks for monitoring customer service related aspects: Customer Service Committee of the Board, Standing Committee on Customer Service, Branch Level Customer Service Committees, and Nodal department / official for customer service. Also, banks are required to have certain specific policies related to customer service: Comprehensive Deposit Policy, Cheque Collection Policy, Customer Compensation Policy, Customer Grievance Redressal Policy.

Customer service norms cover wide range of aspects viz. the physical facilities at branches, delivery standards and charges for basic banking services, security issues in digital transactions, information and customer awareness about basic common services.

17.11 KEYWORDS

Blockage of Cards, Business Hours, Card Not Present, Complaint Box, Comprehensive Notice Board, Customer service audit, Customer surveys, Fact Sheet, Key Statement, Online alerts, Rights of Transgender Persons, Talking ATMs, Time-out of sessions.

17.12 CHECK YOUR PROGRESS

1. Banks are required to have a customer service committee at every _____.
 - (a) branch
 - (b) regional office
 - (c) department at its Head Office
 - (d) None of the above
2. Customer Compensation Policy provides for payment of compensation to the customer for delay in _____.
 - (a) opening of a savings account
 - (b) issuing a duplicate draft
 - (c) issuing a cheque book
 - (d) filling up the pass book
3. For resolution of disputes related to ATM transactions _____.
 - (a) banks can have bilateral settlement arrangements
 - (b) issuing bank will be solely liable for any loss to the customer
 - (c) acquiring bank will be solely liable for any loss to the customer
 - (d) the settlement will be through the ATM service provider only

4. For on-line card not present transactions, the authentication process _____.
(a) is same as that for card transactions done on POS or ATM
(b) requires digital signature of the card holder
(c) requires an additional factor of authentication based on information not available on the card
(d) requires a second level password also
5. Business hours of bank branches _____.
(a) are fixed by the RBI at the time of granting permission for the branch
(b) are as fixed by the concerned banks without any restriction
(c) are as fixed by the District Consultative Committee
(d) must be minimum 4 hours on all week days and working Saturdays

17.13 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (a), 2. (b), 3. (d), 4. (c), 5. (d).

UNIT 18

DUTIES & RIGHTS OF A BANKER AND CUSTOMER RIGHTS

STRUCTURE

18.0 Objectives

18.1 Duty of Secrecy & Confidentiality

- 18.1.1 Disclosure under Compulsion of Law
- 18.1.2 Duty to Disclose in Public Interest
- 18.1.3 Disclosure in the Interest of the Bank Itself
- 18.1.4 Disclosure with Expressed or Implied Consent of the Customer

18.2 Duty of Reasonable Care

18.3 Garnishee or Attachment Order

18.4 Bank's Rights

- 18.4.1 Bank's Lien
- 18.4.2 Right of Set-Off
- 18.4.3 Right of Appropriation of Accounts
- 18.4.4 Right to Charge Interest or Commission
- 18.4.5 Termination of Bank-Customer Relationship

18.5 Customer Awareness

18.6 Banking Codes and Standards Board of India

- 18.6.1 Introduction
- 18.6.2 History of BCSBI
- 18.6.3 Nature of BCSBI Codes
- 18.6.4 Code of Bank's Commitment to Customers
- 18.6.5 Code of Bank's Commitment to Micro and Small Enterprises
- 18.6.6 Key Commitments Under the Codes

18.7 Obligations on the Customer

18.8 Let Us Sum Up

18.9 Keywords

18.10 Check Your Progress

18.11 Answers to 'Check Your Progress'

18.0 OBJECTIVES

After studying this Unit, you will:

- Understand basic duties of a banker
- Know about rights of a banker
- Know about the Codes for banks published by BCSBI
- Learn about certain obligations of bank customers.

18.1 DUTY OF SECRECY & CONFIDENTIALITY

The scope of the secrecy law in India has generally followed the common law principles based on implied contract. The debtor-creditor relationship between a bank and customer is of a special kind. It is a contractual relationship that has an implied obligation to keep the affairs of the account of customers, secret and confidential. The duty of non-disclosure is contractual and legal. Thus, the duty to secrecy is not absolute, it is qualified. A bank would be protected only if it discloses the affairs of the customers under certain legally permissible compulsions or circumstances as follows:

- (a) Where disclosure is under compulsion of law;
- (b) Where there is duty to the public to disclose;
- (c) Where interest of bank requires disclosure; and
- (d) Where the disclosure is made with the express or implied consent of the customer.

18.1.1 Disclosure under Compulsion of Law

Banks are bound by the legal provisions to provide to certain authorities, information about customers and their dealings with the bank.

- (a) *Banker's Books Evidence Act, 1891*: As per Sections 4 and 6 of the Banker's Books Evidence Act, in a legal dispute between a bank's customer and third party, certified copies of entries in the bank's books may be called for, which shall be prima facie evidence of the existence of such entries in the bank's books (without producing the original books of account). The bank would comply with the orders, after satisfying itself that the concerned officer is authorized to ask for the information. The information supplied should be confined to the points on which it is asked. a information should be volunteered by the bank.
- (b) *Summons by Civil/ Criminal Courts*: The Civil/ Criminal Courts have the power to issue summons to banks to produce documents or tender evidence. Such notices issued by the Courts to a bank would have to be complied with, and the documents would be produced by the bank only as specifically called for.
- (c) *Income Tax Act, 1961*: The Income Tax Officer or specified higher officers of the Income Tax Department, under the powers vested by Section 133 of the Income Tax Act, may call for books of account or other documents from banks, if they consider that will be useful in any proceedings. On specific orders signed by authorized officer bank needs to furnish the specific information, and intimate the customer.
- (d) *Other Acts*: The other relevant Acts under which information can be called from a banker are Companies Act, 2013, Reserve Bank of India Act, 1934, Foreign Exchange Management Act, and Gift Tax Act.

18.1.2 Duty to Disclose in Public Interest

Ordinarily, instances of disclosure in ‘public interest’ could arise if the customer happens to be dealing with terrorists, illegal drug trafficking or smuggling or similar serious anti-national and illegal activities. The question of what is in ‘public interest’ has to be carefully considered as the concept is quite vague in legal perspective.

18.1.3 Disclosure in the Interest of the Bank Itself

A bank would be protected when it furnishes information about a borrower’s account to the guarantors or their solicitors for recovering the dues. Similarly, general information about loan accounts of a borrower exchanged with/ given to other bank or co-banker would also be protected by banking custom as it is in self-interest for taking precaution in respect of loans in default. In terms of Section 15(1) of Credit Information Companies (Regulation) Act, 2005, every credit institution has to become a member of at least one Credit Information Company within a period of three months from commencement of the Act and provide credit data in the format as required by the Credit Information Company (CIC). All Credit Institutions are required to become members of all CICs.

18.1.4 Disclosure with Expressed or Implied Consent of the Customer

Banks may disclose information at the request or explicit instruction of the customer.

18.2 DUTY OF REASONABLE CARE

Bank has a duty of exercising reasonable care or diligence while discharging its duty as agent/ bailee/ trustee of a customer. If a customer suffers loss due to improper care or negligence of the bank, he/she may claim specific damages from the bank for making good the loss.

18.3 GARNISHEE OR ATTACHMENT ORDER

Debtor who owes money is called ‘garnishee’. A bank is a debtor in respect of deposit accounts with credit balance. When a court issues an order attaching the credit balance in the account of a customer, the bank on receipt of such an order is prohibited from honouring cheques drawn by the customer on the account or making payment to the customer or his order. On receipt of a garnishee order from a court or attachment order from Income Tax Authorities (under section 226 of Income-tax Act), the bank should immediately stop debit operations in the account attached and intimate the customer of the order and the resultant stoppage of the operation in the account. If the garnishee/attachment order is for a limited amount which is less than the credit balance in the account, the attached amount can be transferred to a sundry deposit account for eventual payment to the court/ income-tax authority and thereafter operations may be permitted in the account. Alternatively, a fresh account of the customer may be opened for credit and debit operations, as garnishee order cannot have prospective operation, until the new account is also attached afresh by the court/Income Tax Authority. Garnishee Order issued in a single name does not apply to accounts in the joint names of judgement debtor with another person(s). But if Garnishee Order is issued in joint names, it will apply to individual accounts also of the same debtors.

18.4 BANK'S RIGHTS

In terms of bank-customer relationship, there are certain rights conferred on the bank as per courts' pronouncements or specific provisions of law. These are briefly discussed in the following paragraphs.

18.4.1 Bank's Lien

This has been discussed in section 7.4.

18.4.2 Right of Set-Off

This has been discussed in section 7.5.

18.4.3 Right of Appropriation of Accounts

This has been discussed in section 7.6.

18.4.4 Right to Charge Interest or Commission

Normally, rate of interest on loans/ overdraft, and of commission for collection of instruments or other services is chargeable by a bank as per terms agreed by the customer while granting the facilities. In the absence of an agreement, the bank would be entitled to charge interest/commission as per market practice prevailing for the facilities/services in question.

18.4.5 Termination of Bank-Customer Relationship

Bank-customer relationship is a contractual relationship between two parties and it may be terminated by either party on voluntary basis or by the process of law.

- (i) *Voluntary termination*: The customer has a right to close his/her deposit account because of change of residence or dissatisfaction with the service of the bank or for any other reason, and the bank is bound to comply with this request. The bank also may decide to close an account, due to unsatisfactory conduct of the account, or because it finds the customer undesirable for certain reasons. However, a bank can close an account only after giving a reasonable notice to the customer.
- (ii) *Termination by law*: The relationship of a bank-customer can also be terminated by the process of law, for the following reasons:
 - (a) *Death of customer*: On receiving notice or information of the death of a customer, the bank stops all debit transactions in the account. However, credits to the account can be permitted. The balance in the account is given to the nominee if available or to legal representative of the deceased after obtaining the letters of administration, or succession certificate, or indemnity bond as per the prescribed procedure, and only then, the account is closed.
 - (b) *Bankruptcy of a customer/ liquidation of a Company*: An individual customer may be declared bankrupt, or a company may be wound up under the provisions of law. In such an event, no drawings would be permitted in the account of the individual/company. The balance is given to the Receiver or Liquidator or the Official Assignee and the account is closed thereafter.
 - (c) *Garnishee Order*: As already discussed, after receiving a garnishee order from a court or attachment order from Income Tax Authority, the account can be closed as one of the options after taking the required steps.

- (d) *Insanity of the customer*: A lunatic/person of unsound mind is not competent to contract under section 11 of the Indian Contract Act, 1872. Since bank-customer relationship is contractual, the bank will not honour cheques and will close the account after receiving notice about the insanity of the customer and receiving a confirmation about it through medical reports.

18.5 CUSTOMER AWARENESS

The contractual relationships, the rights and duties of the banker and its implications on the conduct of the account are not well known to all the customers. A customer has to be made aware of these aspects. Banks, therefore, have to educate the customers by explaining the terms and conditions carefully.

18.6 BANKING CODES AND STANDARDS BOARD OF INDIA

18.6.1 Introduction

In November 2003, RBI constituted the Committee on Procedures and Performance Audit of Public Services under the Chairmanship of Shri. S.S.Tarapore (former Deputy Governor) to address the issues relating to availability of adequate banking services to the common man. The mandate to the committee included identification of factors that inhibited the attainment of best customer services and suggesting steps to improve the quality of banking services to individual customers. The Committee recommended setting up of the Banking Codes and Standards Board of India (BCSBI) on the lines of Banking Codes and Standards Board functioning in U.K.

18.6.2 History of BCSBI

The BCSBI was registered as a separate society under the Societies Registration Act, 1860 on 18th February 2006. It was an independent banking industry watch dog to ensure that the consumers of banking services get what they are promised by the banks.

The main objectives of the BCSBI were:

- To plan, evolve, prepare, develop, promote and publish comprehensive Codes and Standards for banks, for providing for fair treatment to their customers.
- To function as an independent and autonomous body to monitor, and to ensure that the Codes and Standards adopted by banks are adhered to, in letter and spirit, while delivering services to their customers.

BCSBI had in collaboration with the Indian Banks' Association (IBA), evolved and issued following two Codes:

- (i) Code of Bank's Commitment to Customers (issued in 2006 and revised in 2018)
- (ii) Code of Bank's Commitment to Micro and Small Enterprises (MSE Code) was released on May 31, 2008 (subsequently reviewed in 2022)

Present Status of BCSBI

In February 2019, the RBI opined that the functions of BCSBI are being handled departmentally and advised the BCSBI to take steps for its dissolution. Consequently, BCSBI has discontinued operations related to the objects of the Trust effective from April 1, 2019.

RBI has since set up Consumer Education and Protection Department (CEPD), issued the Charter of Customer Rights (CoCR) and considerably strengthened the Ombudsman mechanism to enhance consumer protection. It was accordingly decided to dissolve BCSBI..

Though, BCSBI is no more functioning, the Codes issued by BCSBI continue to be applicable to the banks and RBI in its monitoring and supervision of banks also evaluates the customer service of a bank based on the norms of these Codes.

18.6.3 Nature of BCSBI Codes

The two Codes issued by BCSBI set minimum standards of banking practices for member banks to follow when they are dealing with individual customers and micro and small enterprises. The central objective of these Codes is promoting good banking practices, setting minimum standards, increasing transparency, achieving higher operating standards and above all, promoting a cordial banker-customer relationship which would foster confidence of the common man in the banking system.

18.6.4 Code of Bank's Commitment to Customers

The 'Code of Bank's Commitment to Customers' was on 1 July, 2006, and revised in August 2009 and 2014 to bring about greater transparency, and further enhancements in banking practices.

The codes represent each member bank's commitment to minimum standards of service to individual customers in relation to products and services offered by the bank, like:

Deposit accounts, Safe deposit lockers, Settlement of accounts of deceased account holders, Foreign exchange services, Remittances within India, Loans and advances and guarantees, Credit cards, Internet banking.

18.6.5 Code of Bank's Commitment to Micro and Small Enterprises

This code was brought out by BCSBI in May 2008 and sets minimum standards of banking practices for banks to follow when they are dealing with Micro and Small Enterprises (MSEs) as defined in the MSMED Act, 2006. It provides protection to MSEs and explains how banks are expected to deal with them for their day to day operations and in times of financial difficulty. The code was revised in 2015 and again in 2022 subsequently.

All the aspects covered in the Code of Bank's Commitment to Customers are also covered in the Code of Bank's Commitment to Micro and Small Enterprises. In addition, the Code of Bank's commitment to MSEs is also applicable to Letters of Credit, Bills, Factoring services and Merchant Services. In these areas the codes, inter alia, dwell upon:

Interest rates, Tariff schedule, Terms and conditions governing relationship, Compensation for loss to the customer due to acts of omission or commission of the bank, Privacy and confidentiality of the information relating to the customer, Norms governing advertisements, marketing and sales by banks.

18.6.6 Key Commitments Under The Codes

As per the codes of BCSBI, the member banks have undertaken some key commitments to the target customers. These are:

(i) To act fairly and reasonably in all their dealings with target customers; (ii) To help customers to understand how bank's financial products and services work; (iii) To help customers use their account

or service; (iv) To deal quickly and sympathetically with things that go wrong; (v) To treat all personal information of the customers as private and confidential; (vi) To publicise the Code; (vii) To adopt and practice a non-discrimination policy.

18.6.6.1 Information Transparency Under The Codes

The member banks have undertaken to provide clear information and maintain transparency regarding interest rates, tariff schedules and terms and conditions and any changes in these. Banks will also provide clear information about key features of services and products as also on the rights and responsibility of customers. Banks have also undertaken to register 'Do not call' service when the relationship with customer starts.

18.6.6.2 Grievance Redressal

Every member bank is required to:

- Have a help desk/helpline at the branch.
- Have a code compliance officer at each controlling office above the level of the branch.
- Display, at each branch, name and contact number of the code compliance officer.
- Display name and address of the Ombudsman.

The customer should first approach the help desk of the branch/bank, and if the issue is not resolved, the code compliance officer of the bank. If still not resolved to the satisfaction of the customer, he should take it up with the Ombudsman.

18.7 OBLIGATIONS ON THE CUSTOMERS

The codes brought out by BCSBI do not put any obligation on the part of the customers. Acceptance of the Codes is a voluntary initiative by a bank and is also a unilateral commitment by the bank to its individual customers and MSEs to deal with them in a transparent and fair manner in its day to day operations.

However, the customers when using the bank's services have certain duties towards the bank. Some of these duties arise from the legal and regulatory requirements related to various types of banking services. Similarly, there are several obligations pertaining to legal requirements related to information technology security.

Certain important obligations of a customer towards her bank are:

- (a) To provide the required documents and information, including personal information for KYC.
- (b) To keep the pass book, the cheque book, and the debit card safely.
- (c) To keep confidential the User ID and password for access to various channels.
- (d) To inform promptly the bank about any unauthorized transaction noticed in the account.
- (e) Not to allow any third party to use own bank account for its transactions.
- (f) Not to provide any personal or account related information, including User ID password, OTP, etc. to any one purporting to call on behalf of the bank. Similarly, not to share such information with any person purporting to represent the bank visiting personally.
- (g) Not to click on any link received through emails, sms, etc. for accessing the bank's website.
- (h) To sign all cheques or forms or letters to the bank as per the specimen signature provided to the bank.
- (i) To use non-home branches only for the permitted transactions, and when it becomes essential.

- (j) To register one's own mobile number and email ID with the bank to get instant alerts
- (k) Not to store important banking data in mobile, email or in the purse/ wallet.
- (l) To use only verified, secure and trusted websites for online banking transactions.
- (m) To use debit cards or credit cards only at authorised ATMs, or merchant establishments,
- (n) To change one's online banking password and PIN regularly.
- (o) To request to block one's ATM Card, Debit Card, Credit Card, Prepaid Card if lost / stolen.

18.8 LET US SUM UP

Banks have certain basic duties towards customers – (i) Duty of secrecy and confidentiality, (ii) Duty of reasonable care, (iii) Dealing with Garnishee or Attachment Orders.

While duty of secrecy and confidentiality is paramount, there are exceptions when banks have to share information. These are disclosures made - under compulsions of law (Banker's Book of Evidence Act, Court summons, Income Tax Act, Other laws), under public interest, in the interest of the bank itself, with express or implied consent of the customer.

Bank's relationship with the customer may be of an agent/ bailee/ trustee depending on the services availed. This enjoins upon a bank to exercise reasonable care in handling the affairs of the bank.

Banks receive garnishee orders from the courts or attachment orders from various legal authorities for freezing or for making payments out of the funds of their customers that is in their possession. Banks need to comply with such orders.

Banks also have certain general rights of a bailee and specific rights of banker. These are – Right of lien (General lien, and Particular lien), Right of set off, Right of appropriation of accounts, Right to charge interest or commission, and Termination of relationship. Banks should take care the customers are aware of the duties and rights of banks.

BCSBI was set up for setting up codes and standards that banking industry would follow on voluntary basis. BCSBI had formulated two Codes - Code of Bank's Commitment to Customers, and Code of Bank's Commitment to Micro and Small Enterprises. While BCSBI is now not operational, the Codes of BCSBI are still relevant and the RBI monitors compliance of these.

Customers also have certain obligations when they use banking services.

18.9 KEYWORDS

Banker's Books, Public Interest, Bank's Lien, General Lien, Particular Lien, Right of Set-off, Right of Appropriation, Voluntary Termination, Termination by Law, Do not call, Code Compliance Officer.

18.10 CHECK YOUR PROGRESS

1. The obligation of banks to keep the affairs of their customers secret and confidential arises from

- | | |
|--------------------------------------|-----------------------------|
| (a) specific law for banking secrecy | (b) Banking Regulations Act |
| (c) contractual relationship | (d) None of the above |

2. In which of the following situation, is the bank authorised to share information?
 - (a) Mrs. B, wife of Mr. A comes and asks the balance in his savings bank account in single name.
 - (b) The balance in a savings bank account is blocked as per the attachment order of the Income Tax Officer, under advice to the customer and the Income Tax Department.
 - (c) Mr. T, the Teller speaks out the balance in the account of Mr. X, who has just withdrawn cash from his account.
 - (d) The balance in the savings account of Mr. Y, is told to an Income Tax Officer making a telephonic inquiry.
3. The loan accounts of Mr. X are overdrawn. Which of the following steps is not appropriate?
 - (a) The Bank's lawyer issues a legal notice containing various details of the loan accounts.
 - (b) The Bank discusses the matter with the guarantor with complete details of the loan account.
 - (c) The Bank informs the status of the account to CIBIL.
 - (d) The Bank contacts a firm that provides informally recovery services and gives the details to them.
4. Mr. Z has availed a clean overdraft from a bank. He has certain fixed deposit with the bank. He also has a safe deposit locker with the bank. Which of the following is the correct position?
 - (a) The bank has general lien only on the fixed deposit.
 - (b) The bank has no lien either on the fixed deposit or the contents of the safe deposit locker.
 - (c) The bank has general lien over both the fixed deposit and also the safe deposit locker contents.
 - (d) The bank has general lien only on the contents of the locker.
5. Which of the following is not a key commitment under the BCBI Code of Bank's Commitment to Customers?
 - (a) To help customers use their account or service.
 - (b) To sanction loan facility as per the customer's request.
 - (c) To deal quickly and sympathetically with things that go wrong.
 - (d) To publicise the Code.

18.11 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c), 2. (b), 3. (d), 4. (a), 5. (b).

UNIT 19

GRIEVANCE REDRESSAL & RBI INTEGRATED OMBUDSMAN SCHEME 2021

STRUCTURE

19.0 Objectives

19.1 Introduction

19.2 Model Policy on Grievance Redressal

19.3 Internal Machinery to Handle Customer Complaints/ Grievances

- 19.3.1 Customer Awareness and Facilitation
- 19.3.2 Complaint Redressal Mechanism in a Bank
- 19.3.3 Online Dispute Resolution (ODR) System
- 19.3.4 Complaints of Unauthorised Electronic Transactions
- 19.3.5 Credit Facilities Related Complaints
- 19.3.6 Strengthening of Grievance Redress Mechanism in Banks
- 19.3.7 Principal Nodal Officer
- 19.3.8 Review of Grievances Redressal Machinery in Public Sector Banks
- 19.3.9 Chief Customer Service Officer at Select Banks

19.4 The RBI - Integrated Ombudsman Scheme 2021

- 19.4.1 Introduction
- 19.4.2 Organisational Aspects
- 19.4.3 Procedure for Filing Complaint
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- 19.4.6 Award by the Ombudsman
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- 19.4.8 Grounds for non-maintainability of a Complaint
- 19.4.9 Rejection of a Complaint by the Ombudsman
- 19.4.10 Powers and Functions of Ombudsman
- 19.4.11 Regulated Entity to Display Salient Features
- 19.4.12 Illustrative Cases of Awards Passed

19.5 Let Us Sum Up

19.6 Keywords

19.7 Check Your Progress

19.8 Answers to 'Check Your Progress'

19.0 OBJECTIVES

After studying this Unit, you will:

- Understand grievance redressal procedures in a bank
- Know about various forum available to customers for redressal
- Understand key aspects of the Reserve Bank - Integrated Ombudsman Scheme 2021

19.1 INTRODUCTION

Management of customer complaints is part of the business life of any corporate entity. When a person feels aggrieved about the product or services rendered by a bank, or due to certain procedures and system, it is a grievance. Not resolving a problem can become a cause of worry for the banker later on. It is imperative to handle the grievances immediately when they are brought to the notice of the banker.

Every bank therefore has a Grievance Redressal Policy that lays down the principles based on which the bank will deal with the customer complaints.

RBI has taken various initiatives over the years for grievance redressal mechanism in banks. The Banking Ombudsman Scheme was introduced in 1995 to serve as an alternate grievance redress mechanism for customer complaints against banks. In 2019, Reserve Bank also introduced the Complaint Management System (CMS) available 24x7 for customers to lodge their complaints with the Banking Ombudsman (BO).

To further strengthen the customer grievance redressal mechanism in banks, in January 2021 RBI has put in place a comprehensive framework.

19.2 MODEL POLICY ON GRIEVANCE REDRESSAL

The Model Policy on Grievance Redressal is based on the under-noted principles:

- Customers will be treated fairly at all times.
- Complaints raised by customers will be dealt with courtesy and in time.
- Customers will be informed of avenues to escalate their complaints/ grievances within the organization and their rights to alternative remedy, if not fully satisfied.
- Bank will treat all complaints efficiently and fairly
- Employees will work in good faith and without prejudice to the interests of the customer.

In order to make redressal mechanism more meaningful and effective, a structured system is put in place which functions at Branches/Regional Offices/Zonal Offices/Head Office, and will ensure that redressal sought is just and fair, and within the given framework of rules and regulation.

This policy document will be made available at all branches. All the employees will be made aware about the complaint handling process to ensure better customer service and general awareness in the Bank.

19.3 INTERNAL MACHINERY TO HANDLE CUSTOMER COMPLAINTS/GRIEVANCES

During the course of business, some customers may face certain difficulties and may not be satisfied with handling of their transactions, and may desire to approach other executives to resolve their problems. Banks therefore need an internal machinery for systematic and efficient handling of customer grievances. This is an essential requirement for ensuring good customer service. Professional and empathetic handling

of customer complaints helps in converting dissatisfied customers into happy customers. Thus, it not only controls customer dissatisfaction but also enhances the bank's image. It also avoids complaints against the bank in other forums like the Ombudsman or the Consumer Courts. Banks should therefore ensure that a suitable mechanism exists for handling customer complaints.

19.3.1 Customer Awareness and Facilitation

- (a) *Information to Customers:* Banks inform customers about its internal arrangements for handling customer complaints, covering following aspects:
- Where to make a complaint?
 - How a complaint should be made?
 - When to expect a reply?
 - Whom to approach for redressal?
 - What to do if the customer is not happy about the outcome?

This information is generally made available at a prominent place in branches, the bank's website, and in the welcome kit given when onboarding. Also at branches a notice may be displayed requesting the customers to meet the branch manager regarding grievances.

- (b) *Complaints/suggestions box:* Complaints/ suggestions box should be provided at each office of the bank.
- (c) *Complaint Book/Register:* Complaint book as per IBA format with perforated copies in each set may be kept, so as to provide an acknowledgement to the customer and an intimation to the Controlling Office. A copy of the complaint is forwarded to the concerned Controlling Office along with the remark of the Branch Manager within a time frame. Banks have online complaint management system for recording complaints received at branches and other offices.
- (d) *Complaint Form:* Banks must provide in the home page of the website a complaint form and the name and address of the Nodal Officer for complaint redressal. It should indicate the first point for redressal of complaints is the bank itself and that complainants may approach the Ombudsman only if the complaint is not resolved at the bank level within a month. This information should be displayed at all branches along with the details of the complaint lodging portal of the Ombudsman (<https://cms.rbi.org.in>). The name, address and telephone numbers of the Controlling Authority of the branch to whom complaints can be addressed may also be given.

19.3.2 Complaint Redressal Mechanism in a Bank

The counter staff is mostly the first point of contact for the customer for raising a complaint. The counter staff should be trained in resolving the customer grievances and interacting with the customers during the process. If the counter staff/ supervisor is unable to resolve a grievance, the Branch Manager needs to look into the matter. Branch Manager is responsible for the resolution of the complaints/ grievances in respect of customer's service by the Branch. He will analyse the complaint and if need be will contact the complainant personally to resolve the complaint. A complaint redressal letter may be sent to complainant. The details of the grievances received are advised to Regional/ Zonal Office.

If the customer is not satisfied, he/ she is advised about the alternate avenues available. If a matter cannot be resolved at the branch level, it should be referred, along with comments/suggestions, to the Regional/ Zonal Office, within 7 days of receiving complaint. If not resolved at Regional/ Zonal Office it will be referred to Customer Service Section, Head Office along with their comments/explanations. The matter

will be analysed based on the replies received from Branch and Regional/ Zonal Office. On placing the matter before appropriate authorities a decision is taken on the complaint. A complaint redressal letter is sent to the complainant from Head Office and suitable instructions are passed on to the branch/ Regional/ Zonal Office, for taking necessary action in the deficient areas.

All communications sent to the customer regarding redressal of their complaint should also state that the customer, if not satisfied with the bank's response, has the right to approach the Ombudsman within one year of the date of receipt of the communication. The particulars of the Ombudsman should also be mentioned in the letter.

Where the complaints are not redressed within one month, the concerned branch/ Controlling Office should forward a copy of the same to the concerned Nodal Officer under the Ombudsman Scheme and keep him updated regarding the status of the complaint. This would enable the Nodal Officer to deal with any reference received from the Ombudsman regarding the complaint more effectively.

19.3.3 Online Dispute Resolution (ODR) System

The Payment System Vision-2021 of RBI highlights the need for technology-driven, rule-based, customer-friendly and transparent dispute redressal systems. As a step in this direction, in August 2020, RBI advised authorised Payment System Operators (PSOs) – banks and non-banks – and their participants (PSPs) to put in place system/s for Online Dispute Resolution (ODR) system for resolving disputes and grievances of customers related to failed transactions in their respective payment systems.. Access to such system should be available to its participating members i.e., Payment System Participants (PSPs). Based on experience gained, ODR arrangement would later be extended to cover disputes and grievances other than those related to failed transactions. If the grievance remains unresolved up to one month, the customer may approach the Reserve Bank - Integrated Ombudsman Scheme, 2021. The PSO and its PSPs shall provide the customers an access for lodging the disputes and grievances for all transactions whether on-us or off-us. Customers shall be provided with one or more channels for lodging disputes and grievances – web-based or paper-based complaint form, IVR, mobile application, call centre, SMS, through branches or offices, etc. For mobile phone-based systems third party app providers (TPAPs) shall also provide a facility to lodge disputes and grievances in the mobile app, which shall be integrated with the ODR system. The ODR system should be capable of automatically fetching full details based on the information provided by the customer. The aspect of data confidentiality shall be taken care of.. Facility shall be provided to the customers for tracking the status of the grievance.

19.3.4 Complaints of Unauthorised Electronic Transactions

In the SMS and email alerts sent to customers regarding electronic banking transactions, facility to enable customers to instantly respond by “Reply” should be provided for notifying any objection.. A direct link for lodging complaints, with specific option to report unauthorised electronic transactions shall be provided on the home page of website. Immediate/ auto acknowledgment should go to the customer along with a reference number. The communication systems must record the time and date of delivery and receipts of messages. This is important in determining the extent of a customer's liability. Complaints should be resolved and liability of the customer, if any, established within the timeline specified in the bank's Board approved policy, but not exceeding 90 days from the date of receipt of the complaint, and the customer should be compensated as prescribed by RBI. If the complaint is not resolved within 90 days, the customer should be compensated as per the RBI norms. The customer should not suffer loss of

interest in case of savings/ current account transactions, and should not bear additional interest in case of credit card or overdraft/cash credit accounts.

19.3.5 Credit Facilities Related Complaints

The Board of Directors should also lay down the appropriate internal redressal mechanism to resolve disputes related to loans. The disputes arising out of the lending decisions should be heard and disposed of at least at the next higher level. There should also be periodical review of compliance of the Fair Practices Code and the functioning of the grievances redressal mechanism.

19.3.6 Strengthening of Grievance Redress Mechanism in Banks

With a view to strengthen and improve the efficacy of the grievance redress mechanism of banks and to provide better customer service, in January 2021, RBI put in place a comprehensive framework comprising certain measures. The framework essentially comprises, inter-alia, enhanced disclosures by banks on customer complaints, recovery of cost of redress from banks for the maintainable complaints received against them in OBOs in excess of the peer group average, and undertaking intensive review of the grievance redress mechanism and supervisory action against banks that fail to improve their redress mechanism in a time bound manner.

19.3.6.1 Disclosures Related to Complaints

Based on the recommendations of the Committee on Procedures and Performance Audit on Public Services (CPPAPS), RBI had advised that banks must place a statement of complaints before their Boards / Customer Service Committees along with an analysis of the complaints received. The complaints should be analyzed with the following objectives:

- (i) to identify customer service areas in which the complaints are frequently received;
- (ii) to identify frequent sources of complaint;
- (iii) to identify systemic deficiencies; and
- (iv) for initiating appropriate action to make the grievance redressal mechanism more effective.

Banks were also required to disclose brief details about the position of complaints and Ombudsman awards related to the concerned and the previous financial years. Under the framework for strengthening redressal mechanism, the earlier disclosure information has been replaced by the set of granular disclosures to be made by banks in their annual reports. These disclosures are intended to provide to the customers of banks and members of public greater insight into the volume and nature of complaints received by the banks from their customers and the complaints received by banks from the OBOs, as also the quality and turnaround time of redress.

The following *grounds of complaints* have been specified for the purpose of disclosure:

ATM/Debit Cards, Credit Cards, Internet/Mobile/Electronic Banking, Account opening/difficulty in operation of accounts, Mis-selling/Para-banking, Recovery Agents/Direct Sales Agents, Pension and facilities for senior citizens/differently abled, Loans and advances, Levy of charges without prior notice/excessive charges/foreclosure charges, Cheques/drafts/bills, Non-observance of Fair Practices Code, Exchange of coins, issuance/acceptance of small denomination notes and coins, Bank Guarantees/Letter of Credit and documentary credits, Staff behaviour, Facilities for customers visiting the branch/adherence to prescribed working hours by the branch, etc., Others.

Banks should also place a detailed statement of complaints, including ATM Card related, and its analysis on their website for information of the general public at the end of each financial year. This should cover complaints received at branches or Head Office, and exclude those resolved within the following working day.

19.3.6.2 Recovery of cost of redress of complaints from banks

With a view to ensure that banks discharge this responsibility effectively, RBI has decided that the cost of redress of complaints be recovered from those banks against whom the maintainable complaints in the OBOs exceed their peer group average.

Peer groups based on the asset size of banks as on March 31 of the previous year are identified, and peer group averages of maintainable complaints received in OBOs computed on the following:

- average number of maintainable complaints per branch;
- average number of maintainable complaints per 1,000 accounts (total of deposit and credit accounts); and
- average number of maintainable digital complaints per 1,000 digital transactions executed through the bank by its customers.

19.3.6.3 Intensive Review of Grievance Redress Mechanism

As a part of its supervisory mechanism, RBI will undertake annual assessments of customer service and grievance redress in banks based on the data and information available through the Complaint Management System, and other sources and interactions. Banks identified as having persisting issues in grievance redress will be subjected to an intensive review of their grievance redress mechanism to better identify the underlying systemic issues and initiate corrective measures.

19.3.7 Principal Nodal Officer

Banks are required to appoint a Principal Nodal Officer under the Ombudsman Scheme, not below the rank of a General Manager. The name and address of the Principal Nodal Officer may be forwarded to the Chief General Manager, Customer Education and Protection Department, Reserve Bank of India. Contact details of the Principal Nodal Officer needs to be prominently displayed in the portal of the bank so that the aggrieved customer can approach the bank with a sense of satisfaction that she is attended at a senior level.

19.3.8 Review of Grievances Redressal Machinery in Public Sector Banks

RBI has advised specific measures for review of grievance redressal machinery by PSBs:

- (i) To critically examine on an on-going basis the working and effectiveness.
- (ii) To identify areas of large number or increase in complaints and consider having special squads for branches with frequent complaints.
- (iii) To consider shifting the managers/ officers of branches having large number of complaints to other offices/ departments at Head Offices.
- (iv) At larger branches/ branches with many complaints, to appoint Public Relations Officers /Liaison Officers.
- (v) To include sessions on customer service, public relations etc., in training programmes
- (vi) Where the complaint has not been upheld a complete reply should be given

19.3.9 Chief Customer Service Officer at Select Banks

With a view to further boosting the quality of customer service and ensuring that there is undivided attention to resolution of customer complaints in banks, in May 2015 RBI advised a few banks to appoint an internal ombudsman (IO) designated as Chief Customer Service Officer (CCSO). The person should not have worked in the bank in which he/she is appointed as CCSO. The bank's internal ombudsman is a forum available to bank customers for grievance redressal before they approach the Ombudsman.

In September 2018, RBI issued revised 'Internal Ombudsman Scheme, 2018'. Scheduled banks having more than ten banking outlets (excluding RRBs), are required to appoint IO in their banks. The IO shall, inter alia, examine customer complaints which are in the nature of deficiency in service on the part of the bank that are partly or wholly rejected by the bank. Banks are required to escalate all complaints, not fully redressed to their respective IOs before conveying the final decision to the complainant, so the customers need not approach the IO. The implementation of IO Scheme, 2018 is monitored by the bank's internal audit mechanism apart from regulatory oversight by RBI.

19.4 THE RBI - INTEGRATED OMBUDSMAN SCHEME 2021

19.4.1 Introduction

The Banking Ombudsman Scheme of RBI in operation since 1995, to provide an expeditious and inexpensive forum to bank customers for resolution of complaints relating to certain services rendered by banks, was amended several times. It covered Commercial Banks, Regional Rural Banks and Scheduled Primary Co-operative Banks. RBI had also introduced two more ombudsman schemes, viz. The Ombudsman Scheme for Non-banking Financial Companies, 2018 (for customers of larger NBFCs), and Ombudsman Scheme for Digital Transactions, 2019 (for grievances related to digital transactions).

In November 2021, RBI integrated all the three Schemes into one omnibus Ombudsman Scheme, viz. The Reserve Bank - Integrated Ombudsman Scheme, 2021 (IOS 2021) to cover all entities regulated by RBI. This Scheme provides cost-free redress of customer complaints involving deficiency in services rendered by the entities regulated by RBI, if not resolved to the satisfaction of the customers or not replied within a period of 30 days by the regulated entity. The Scheme also includes under its ambit Non-Scheduled Primary Co-operative Banks with a deposit size of Rs. 50 crore and above. The Scheme adopts 'One Nation One Ombudsman' approach.

The Ombudsman is a senior official appointed by RBI to redress customer complaints against deficiency in certain banking services. As at November 2021, 22 Ombudsmen were appointed with their offices located at the RBI offices mostly in the state capitals.

19.4.2 Organisational Aspects

The organizational arrangements of Ombudsmen are made by the RBI.

- (a) *Appointment of Ombudsmen*: RBI may appoint its officers as Ombudsmen to carry out the functions under the Scheme. RBI may also appoint Deputy Ombudsman. These appointments can be for maximum three years at a time. Their offices can be at any place considered necessary by RBI.
- (b) *Central Receipts and Processing Centre (CRPC)*: All complaints under IOS 2021 are received at the CRPC, Chandigarh, unlike earlier when the complaint was to be made to the BO having territorial jurisdiction over the bank's office connected with the grievance. The CRPC forwards the complaint to the concerned Ombudsman.

- (c) *Powers and Jurisdiction*: RBI specifies the territorial authority of each Ombudsman. The ombudsman handles the complaints forwarded by the CRPC. Any complaint received directly at the ombudsman's office is also forwarded first to the CRPC.
- (d) *Modes of satisfaction of complaints*: The ombudsmen facilitate resolution of complaints preferably by agreement or through conciliation and mediation between the bank and the aggrieved parties. Failing a mutual agreement, the BO settles the complaint by passing an Award as per the provisions of the Scheme, unless it is required to be rejected.

19.4.3 Procedure for Filing Complaint

A person having a grievance may, himself or through his authorised representative (other than an advocate), file a complaint with CRPC through: (i) Online portal (cms.rbi.org.in); or (ii) Electronic mode (e.g. e-mail); or (iii) Physical mode (by post/ courier or hand delivery).

The complaint should be as per format prescribed under the Scheme.

19.4.4 Power to Call for Information

The ombudsman may require the regulated entity against which the complaint is made or any other regulated entity concerned with the complaint to provide any information or furnish certified copies of any document relating to the complaint which are or is alleged to be in its possession. In case a regulated entity does not provide any information to the BO, without a sufficient cause, it is presumed it has no information to provide.

Confidentiality: The ombudsman is required to maintain confidentiality of the information or the documents coming to its knowledge, and any sharing to be only in the following situations:

- When required by law
- With the consent of the person providing these
- When parties are required to disclose to each other for natural justice and fair play

19.4.5 Processing of Complaints

19.4.5.1 Scrutiny at CRPC

Based on a preliminary scrutiny the CRPC determines the validity of the complaint:

- (i) *Complaints not valid*: The complaints offering suggestions or seeking guidance or explanation are treated as not valid and are closed, and the complainants advised accordingly.
- (ii) *Complaints not maintainable*: The complaints that are not based on the permitted grounds under the IOS (paragraph 18.4.8) are separated, and the complainants advised accordingly.
- (iii) *Valid and Maintainable Complaints*: The complaints found to be valid and maintainable are assigned to the concerned Ombudsman for further examination, under intimation to the complainants, and copies to the respective regulated entities with direction to submit their written versions.

19.4.5.2 Resolution at the Ombudsman Office

The primary objective of the ombudsman is that the matters get resolved in a mutually acceptable manner, only failing this to make an award. Resolution of complaints is in this preferential order:

- (i) *Agreement through Facilitation*: First preference is to facilitate discussion for a mutual amicable agreement.

- (ii) *Agreement through Mediation and Conciliation*: The ombudsman may intervene for mediation and conciliation, if needed, to forge an understanding and an agreement.
- (iii) *Passing an Award*: If no agreement is feasible, the ombudsman may pass an award.

A complaint is deemed to be resolved when:

- (a) it has been settled by the regulated entity with the complainant; or
- (b) the complainant has agreed in writing or otherwise (which may be recorded) that the manner and the extent of resolution of the grievance is satisfactory; or
- (c) the complainant has withdrawn the complaint voluntarily.

19.4.5.3 Proceedings at Ombudsman Office

The proceedings at the ombudsman are summary in nature and are not bound by any rules of evidence. The ombudsman may examine either party to the complaint and record their statement.

The concerned regulated entity on receipt of a complaint from the CRPC is required to promptly file with the concerned ombudsman its written response, along with copies of the documents in support, within 15 days. The ombudsman for sufficient and valid grounds may grant further time.

The ombudsman furnishes the written version and the relevant documents filed by one party to the other party and provide additional time to it for submitting its counter response to these. Thereafter, the ombudsman commences the process for resolution of the complaint as indicated in paragraph 18.4.5.2.

If a regulated entity does not file its written version within the stipulated/ extended time:

- The ombudsman proceeds ex-parte based on the evidence available and pass appropriate Order or issue an Award.
- The regulated entity loses the right of appeal in respect of the Award.

19.4.6 Award by the Ombudsman

19.4.6.1 Criterion for Rulings in an Award

The ombudsman passes an award based on the records placed before it, and after affording a reasonable opportunity of being heard to both the parties. A reasoned Award is passed based on following criterion:

- the principles of banking law and practice;
- directions, instructions and guidelines issued by the RBI; and
- such other factors as may be relevant.

19.4.6.2 Nature of Rulings in an Award

The Award shall contain, inter alia, following rulings:

- (i) direction to the regulated entity for specific performance,
- (ii) amount to be paid by the regulated entity to the complainant as compensation for loss suffered.

Following ceilings apply to payments by the regulated entity to the complainant:

- (i) Actual amount involved in the dispute - without any ceiling,
- (ii) Compensation for consequential loss (directly out of the act or omission of the bank) - to the extent of actual loss, with ceiling of ₹20 lakh, and
- (iii) Compensation for loss of time, expenses incurred, harassment and mental anguish suffered - up to the ceiling of ₹1 lakh.

19.4.6.3 Steps Following an Award

A copy of the Award is sent to the complainant and the regulated entity. The complainant should give a letter accepting the Award in full and final settlement to the regulated entity, within 30 days of receiving the award copy, unless she has filed an appeal. If he fails to do so, the award will lapse and will not be of any effect, except if he has filed an appeal.

The regulated entity should comply with the Award and intimate compliance to the ombudsman, within 30 days of receiving acceptance letter from the complainant, unless it has filed an Appeal against the Award.

19.4.7 Appeal Before the Appellate Authority

The Appellate Authority (AA) is the Executive Director in-Charge of the RBI Department administering the Scheme. An appeal can be made by either of the parties against the award or an order of rejection made by the Ombudsman. However, a Regulated Entity will not have a right to appeal for an Award issued for non-furnishing of documents/ information by it.

A Regulated Entity can appeal only with prior sanction of the Chairman or the MD/ CEO or, in their absence, the ED/Official of equal rank.

The complainant can appeal against an Award or a rejection order for the reasons stated below:

- (a) The complaint is not pursued by the complainant with reasonable diligence; or
- (b) The complaint is without any sufficient cause; or
- (c) The complaint requires consideration of elaborate documentary, oral evidence, and the proceedings before the Ombudsman are not appropriate for adjudication of such complaint; or
- (d) In the opinion of the Ombudsman there is no financial loss or damage, or inconvenience caused to the complainant.

The AA may allow a additional period not exceeding 30 days for filing an appeal, if satisfied about the reasons.

After review of the matter and giving the parties a reasonable opportunity of being heard, the AA may:

- (a) dismiss the appeal; or
- (b) allow the appeal and set aside the Award or order of the Ombudsman; or
- (c) remand the matter to the Ombudsman for fresh disposal in accordance with such directions as the AA may consider necessary or proper; or
- (d) modify the order of the Ombudsman or Award and pass such directions as may be necessary to give effect to the order of the Ombudsman or Award so modified; or
- (e) pass any other order as it may deem fit.

The order of the AA is of same effect as the Award or the order of Ombudsman.

19.4.8 Grounds for non-maintainability of a Complaint

Any complaint for deficiency in service in following matters will not be covered:

- (a) commercial judgment/commercial decision of a Regulated Entity;
- (b) a dispute between a vendor and a Regulated Entity in an outsourcing contract;
- (c) a grievance not addressed to the Ombudsman directly;
- (d) general grievances against Management or Executives of a Regulated Entity;
- (e) a dispute in an action in compliance with orders of a statutory or law enforcing authority;

- (f) a service not within the regulatory purview of RBI;
- (g) a dispute between Regulated Entities; and
- (h) a dispute involving the employee-employer relationship of a Regulated Entity.

A complaint will not be maintainable unless it meets the following criteria:

- (a) The complainant had, first complained to the Regulated Entity concerned and -
 - (i) it was rejected wholly or partly, and the complainant is not satisfied with the reply; or no reply has been received within 30 days; and
 - (ii) the complaint to the Ombudsman is made within one year of the reply received or one year and 30 days of complaint where no reply is received.
- (b) The complaint is not in respect of the same cause of action which is already-
 - (i) pending before an Ombudsman or settled or dealt with on merits, by an Ombudsman, whether or not received from the same complainant or along with one or more complainants, or one or more of the parties concerned;
 - (ii) pending before any Court, Tribunal or Arbitrator or any other Forum or Authority; or, settled or dealt with on merits, by any Court, Tribunal or Arbitrator or any other Forum or Authority, whether or not received from the same complainant or along with one or more of the complainants/parties concerned (Criminal proceedings pending or decided before a Court or Tribunal or any police investigation initiated in a criminal offence are excluded from this.).
- (c) The complaint is not abusive or frivolous or vexatious in nature.
- (d) The complaint to the Regulated Entity was made before the expiry of the period of limitation as per the Limitation Act, 1963, for such claims.
- (e) The complainant provides complete information as specified.
- (f) The complaint is lodged by the complainant personally or through an authorised representative other than an advocate unless the advocate is the aggrieved person.

19.4.9 Rejection of a Complaint by the Ombudsman

Deputy Ombudsman or Ombudsman may reject a complaint, at any stage, if it appears to be:

- (a) non-maintainable on the grounds specified in 10.4.8; or
- (b) in the nature of offering suggestions or seeking guidance or explanation.

The Ombudsman may reject a complaint at any stage if:

- (a) in his opinion there is no deficiency in service; or
- (b) the compensation sought for the consequential loss is beyond the power of the Ombudsman; or
- (c) the complaint is not pursued by the complainant with reasonable diligence; or
- (d) the complaint is without any sufficient cause; or
- (e) the complaint requires consideration of elaborate documentary and oral evidence and the proceedings before the Ombudsman are not appropriate for adjudication of such complaint; or
- (f) in the opinion of the Ombudsman there is no financial loss or damage, or inconvenience caused to the complainant.

19.4.10 Powers and Functions of Ombudsman

The Ombudsman has the power to address and close all complaints, the Deputy Ombudsman has the power to close those complaints that are not maintainable as detailed in section 19.4.8 and complaints settled through facilitation as explained in section 19.4.5.2. The Ombudsman has powers to pass an Award for complaints not settled through facilitation.

The Ombudsman sends to the Deputy Governor, RBI a report, as on March 31st every year, containing a general review of the activities of the office during the preceding financial year, and also furnishes any other information required by RBI. The RBI has the powers to publish the report and the information received from the Ombudsman in consolidated form or otherwise, as it may deem fit.

19.4.11 Regulated Entity to Display Salient Features

The RE shall facilitate the smooth conduct of the Scheme by ensuring meticulous adherence to the requirements under the Scheme, failing which, the RBI may take such action as it may deem fit. Besides, the REs are required to take various measures: Appointing a Principal Nodal Officer (at least General Manager level) responsible for functions related to the Scheme; display information at the branches/offices, ATMs, website; and make available booklets at branches.

19.4.12 Illustrative Cases of Awards Passed

(i) *Delay in affording Credit for Cheque Deposited*

In the year 2000, a customer deposited a cheque of retirement benefits in Bank A, which was sent for collection. The amount was not credited and the bank was not giving satisfactory reply despite his repeated visits. The customer obtained a photocopy of the paid cheque from the issuer. The cheque was duly debited to the issuer's account and Bank A had received the proceeds. Then the bank credited his account in January 2010 but did not pay any interest for the intervening period. On approaching the banking ombudsman, the BO observed that there was gross deficiency on the part of the bank. The complainant, a person of small means, was deprived of his retirement benefits for 10 years. The bank was directed to pay interest at applicable fixed deposit rate plus 2 % for the period till 31-7-2007, and from 1-8-2007 till 1-1-2010 interest as per the bank's compensation policy which was effective from 10-8-2007. The bank was also directed to pay a compensation of ₹10,000 to the complainant.

(ii) *Loss of title deeds*

A complainant approached the BO alleging that the bank was not returning original title deeds kept as security for the housing loan availed, even though the loan had been fully paid. The bank replied that they were not able to trace the documents and had arranged for a certified copy of the documents and handedover the same to the complainant. The BO observed that losing original Title Deed was a serious lapse and the certified copies can never substitute the originals. The bank was, therefore, advised to give the complainant a certificate advising the loss of original documents from their custody. They were also asked to insert an advertisement in the local newspaper at their cost, informing the loss of documents. In addition, the bank was directed to pay compensation of ₹25,000/- to the complainant for deficiency in service.

19.5 LET US SUM UP

When a person feels aggrieved about the product or services rendered by a bank, or due to certain procedures and system, it is a grievance. It is necessary that the grievance is redressed immediately. Every bank needs Grievance Redressal Policy that lays down the principles to deal with the customer complaints.

A structured redressal system should function at Branches/Regional Offices/Zonal Offices/Head Office. Banks need to take measures like information to customers, providing complaints-cum-suggestions box and register/ book, complaint through website, etc. Banks are required to disclose in their Annual Reports granular information on complaints received for the current and preceding years.

Banks are required to appoint a Principal Nodal Officer under the Ombudsman Scheme. All scheduled commercial banks with more than 10 outlets (except RRBs) have appointed Chief Customer Service Officers, as per RBI instructions, who act as the Internal Ombudsman for their banks.

RBI – Integrated Ombudsman Scheme, 2021 covers all the entities regulated by the RBI. Under the revised system, the customer needs to submit complaints to a Central Receipt and Processing Centre at Chandigarh that will forward these to the concerned Ombudsman. Ombudsman may reject complaints if not found to be appropriate or if the complainant is found to be not pursuing the complaint further. An Appeal against an Award can be made by the complainant or the Regulated Entity.

The Ombudsman furnishes information about the matters handled by them annually to the RBI. RBI based on this information brings out an Annual Report on Ombudsman Scheme.

19.6 KEYWORDS

Award, Banking Ombudsman, Central Receipt and Processing Centre, Chief Customer Service Officer, Deputy Ombudsman, Grievance, Integrated Ombudsman Scheme, Nodal Officer, Ombudsman, Online Dispute Resolution System, Principal Nodal Officer.

19.7 CHECK YOUR PROGRESS

1. As on date how many Banking Ombudsmen have been appointed?

(a) 10	(b) 22
(c) 28	(d) 19
2. _____ acts as the internal ombudsman of a bank.

(a) Chief Compliance Officer	(b) Chief Customer Service Officer
(c) Chief Risk Officer	(d) Head – Internal Audit
3. Banks are required to have Principal Nodal Officer at the _____.

(a) branches	(b) Regional Offices
(c) Zonal Offices	(d) Head Office
4. Which of these modes of complaint to a bank will not be adequate for filing a complaint with Ombudsman?

(a) Dropping in complaint box	(b) Through email to the specified ID
(c) Submitting at branch with acknowledgment	(d) Through website on the link specified

19.8 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (b), 2. (b), 3. (d), 4. (a).

UNIT 20

THE CONSUMER PROTECTION ACT, 2019: PREAMBLE, EXTENT AND DEFINITIONS

STRUCTURE

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20.0 OBJECTIVES

After studying this Unit, you will:

- Know about the new features contained in the CPA 2019 vis-à-vis the CPA 1986
- Learn about various fora set up under the CPA
- Know about the proceedings before Consumer Disputes Redressal Commissions
- Learn about the rights of a consumer
- Know about the Product Liability Action, Unfair Trade Practices and Unfair Contract

20.1 INTRODUCTION

With expansion of trade and commerce and focus on the financial performance of commercial enterprises the interests of consumers took a backseat. Consumers faced huge problem in getting their issues with any product/ services resolved before the consumer protection law came into being. Several issues arose relating to consumers facing issues related to deficiency in service or product. These issues particularly impacted the consumers relatively placed in a weaker position vis-à-vis the trader or service provider. Usual legal remedies through civil courts were found to be not suitable to address this issue due to their complex procedure, the cost, and the time required. This led to enactment of a specific law, The Consumer Protection Act, 1986. It led to establishment of consumer councils and other authorities for the settlement of consumers' disputes and for matters connected therewith.

20.1.1 The Consumer Protection Act 2019

The Consumer Protection Act, 1986 was the product of the pre globalization era. Post liberalization, the Indian market has grown with an unprecedented pace. The Act was amended several times in view of changes in the ecosystem arising from liberalisation, globalization of economy, and digitalization of commerce. The emergence of global supply chains, rise in international trade and the rapid development of e-commerce led to new delivery systems for goods and services. and have provided new opportunities for consumers. Equally, this has rendered the consumer vulnerable to new forms of unfair trade and unethical business practices. However, the earlier Act was found inadequate to address appropriately to deal with new issues; hence a revised law has been enacted.

20.2 PURPOSE OF THE ACT, PREAMBLE AND EXTENT

The 1986 Act was enacted with the objective, 'for better protection of the interests of consumers'. The Act was a social welfare benefit oriented legislation for the consumer providing self-contained quasi-judicial machinery to provide speedy and simple redressal to consumer disputes.

The Consumer Protection Act, 2019 (CPA 2019) retained the preamble of the 1986 Act, and had the same purposes as stated above. But it revisited the entire framework in the context of the radically changed ecosystem and contained new provisions and also expanded the concept of 'consumer protection'.

The CPA 2019 extends to the whole of India including the Union Territory of Jammu & Kashmir. The CPA 2019, like the earlier 1986 Act, applies to all goods and services, excluding the following:

Goods for resale; Goods for commercial purpose; Services rendered free of charge; Services under a contract for personal service.

20.3 ACT NOT OVERRIDING ON ANY OTHER LAW

The provisions of this Act are in addition to other applicable laws and not overriding on any other law, i.e. the provisions of this Act do not supersede any specific provision in other Act. The Act provides additional remedy by a consumer but if it is barred under any other Act, then the Forums constituted under this Act cannot grant such remedy.

20.4 SALIENT NEW ASPECTS OF CPA 2019

The CPA 2019 has widened the scope of protection to consumers by covering even advertising claims, endorsements and product liability - the tools used in modern trade to woo the customers. It also provides enhanced protection to cover the new-age delivery channels of e-commerce like online sales, teleshopping, direct selling and multi-level marketing. Salient new aspects included in the CPA 2019 are:

- Defines specifically ‘Consumer Rights’
- Adds feature of ‘Unfair contract’
- Introduces ‘Product liability action’
- Defines ‘Design’ and includes related aspects
- Includes ‘e-Commerce’ and ‘Electronic service provider’
- Includes ‘Advertising’ and ‘Endorsement’
- Adds the ‘Express warranty’ parameter
- Distinguishes: Manufacturer, Product manufacturer, Product seller, Product service provider

20.4.1 Who is a consumer?

The new Act gives a broader answer to the question as to who is a “Consumer”. It has outgrown the traditional concept of a physical market. It has included the customers of offline and online transactions made either through electronic means, teleshopping, multi-level marketing or direct selling. E commerce sites, online market places and online auction sites have also been expressly included under the scope of the Act. In this context, the CPA 2019 has defined a ‘consumer’ in wider context.

“**Consumer:** means any person who—

- (i) buys any goods for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any user of such goods other than the person who buys such goods for consideration paid or promised or partly paid or partly promised, or under any system of deferred payment, when such use is made with the approval of such person, but does not include a person who obtains such goods for resale or for any commercial purpose; or
- (ii) hires or avails of any service for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any beneficiary of such service other than the person who hires or avails of the services for consideration paid or promised, or partly paid and partly promised, or under any system of deferred payment, when such services are availed of with the approval of the first mentioned person, but does not include a person who avails of such service for any commercial purpose.

(Explanation. —For the purposes of this clause, —

- (a) the expression “commercial purpose” does not include use by a person of goods bought and used by him exclusively for the purpose of earning his livelihood, by means of self-employment;

(b) the expressions “buys any goods” and “hires or avails any services” includes offline or online transactions through electronic means or by teleshopping or direct selling or multi-level marketing.)”

It will thus be observed that a consumer is any person, who for a consideration paid or to be paid:

- (i) has bought any goods for other than resale or commercial purposes, or
- (ii) hired or availed any service, other than for commercial purposes, and that under a contract for personal services, or
- (iii) has used any goods other than for commercial purposes or benefited from any service, other than for commercial purposes, and that under a contract for personal services.

20.4.2 Consumer's Rights

Under the earlier Act the rights of the consumers were only found as a passing reference under the objects of the Consumer Protection Councils. The CPA 2019 has defined ‘consumer’s rights’ specifically, as follows:

“**Consumer rights:** includes:

- (i) the right to be protected against the marketing of goods, products or services which are hazardous to life and property;
- (ii) the right to be informed about the quality, quantity, potency, purity, standard and price of goods, products or services, as the case may be, so as to protect the consumer against unfair trade practices;
- (iii) the right to be assured, wherever possible, access to a variety of goods, products or services at competitive prices;
- (iv) the right to be heard and to be assured that consumer’s interests will receive due consideration at appropriate fora;
- (v) the right to seek redressal against unfair trade practice or restrictive trade practices or unscrupulous exploitation of consumers; and
- (vi) the right to consumer awareness.”

Thus, the CPA 2019 clearly defines the consumer rights to include several aspects beyond the conventional rights. These aim to protect the consumer from harassment, immoral, unethical or unscrupulous traders and service providers.

20.5 DEFINITIONS

It is useful to know definitions of certain significant terms in the Act.

I. Significant General Terms

- (1) **Person:** includes
 - (i) an individual;
 - (ii) a firm whether registered or not;
 - (iii) a Hindu undivided family;
 - (iv) a co-operative society;
 - (v) an association of persons whether registered under the Societies Registration Act, 1860 (21 of 1860) or not;
 - (vi) any corporation, company or a body of individuals whether incorporated or not;
 - (vii) any artificial juridical person, not falling within any of the preceding sub-clauses.

- (2) **Establishment:** includes an advertising agency, commission agent, manufacturing, trading or any other commercial agency which carries on any business, trade or profession or any work in connection with or incidental or ancillary to any commercial activity, trade or profession, or such other class or classes of persons including public utility entities in the manner as may be prescribed.
- (3) **Branch office:** means—
 - (i) any office or place of work described as a branch by the establishment; or
 - (ii) any establishment carrying on either the same or substantially the same activity carried on by the head office of the establishment.
- (4) **Advertisement:** means any audio or visual publicity, representation, endorsement or pronouncement made by means of light, sound, smoke, gas, print, electronic media, internet or website and includes any notice, circular, label, wrapper, invoice or such other documents.
- (5) **Endorsement:** in relation to an advertisement, means—
 - (i) any message, verbal statement, demonstration; or
 - (ii) depiction of the name, signature, likeness or other identifiable personal characteristics of an individual; or
 - (iii) depiction of the name or seal of any institution or organisation, which makes the consumer to believe that it reflects the opinion, finding or experience of the person making such endorsement.

II. Significant Commercial Terms

- (1) **Goods:** means every kind of movable property and includes “food” as defined in clause (j) of sub-section (1) of section 3 of the Food Safety and Standards Act, 2006 (34 of 2006).
- (2) **Service:** means service of any description which is made available to potential users and includes, but not limited to, the provision of facilities in connection with banking, financing, insurance, transport, processing, supply of electrical or other energy, telecom, boarding or lodging or both, housing construction, entertainment, amusement or the purveying of news or other information, but does not include the rendering of any service free of charge or under a contract of personal service.
- (3) **Product:** means any article or goods or substance or raw material or any extended cycle of such product, which may be in gaseous, liquid, or solid state possessing intrinsic value which is capable of delivery either as wholly assembled or as a component part and is produced for introduction to trade or commerce, but does not include human tissues, blood, blood products and organs.
- (4) **Design:** in relation to a product, means the intended or known physical and material characteristics of such product and includes any intended or known formulation or content of such product and the usual result of the intended manufacturing or other process used to produce such product.
- (5) **Express Warranty:** means any material statement, affirmation of fact, promise or description relating to a product or service warranting that it conforms to such material statement, affirmation, promise or description and includes any sample or model of a product warranting that the whole of such product conforms to such sample or model.

III. Significant Trade Channel Related Terms

- (1) **Manufacturer:** means a person who —
 - (i) makes any goods or parts thereof; or
 - (ii) assembles any goods or parts thereof made by others; or
 - (iii) puts or causes to be put his own mark on any goods made by any other person;

- (2) **Product Manufacturer:** means a person who—
- (i) makes any product or parts thereof; or
 - (ii) assembles parts thereof made by others; or
 - (iii) puts or causes to be put his own mark on any products made by any other person; or
 - (iv) makes a product and sells, distributes, leases, installs, prepares, packages, labels, markets, repairs, maintains such product or is otherwise involved in placing such product for commercial purpose; or
 - (v) designs, produces, fabricates, constructs or re-manufactures any product before its sale; or
 - (vi) being a product seller of a product, is also a manufacturer of such product;
- (3) **Product Seller:** in relation to a product, means a person who, in the course of business, imports, sells, distributes, leases, installs, prepares, packages, labels, markets, repairs, maintains, or otherwise is involved in placing such product for commercial purpose and includes--
- (i) a manufacturer who is also a product seller; or
 - (ii) a service provider,
but does not include:
 - (a) a seller of immovable property, unless such person is engaged in the sale of constructed house or in the construction of homes or flats;
 - (b) a provider of professional services in any transaction in which, the sale or use of a product is only incidental thereto, but furnishing of opinion, skill or services being the essence of such transaction;
 - (c) a person who—
 - (i) acts only in a financial capacity with respect to the sale of the product;
 - (ii) is not a manufacturer, wholesaler, distributor, retailer, direct seller or an electronic service provider;
 - (iii) leases a product, without having a reasonable opportunity to inspect and discover defects in the product, under a lease arrangement in which the selection, possession, maintenance, and operation of the product are controlled by a person other than the lessor.
- (4) **Product Service Provider:** in relation to a product, means a person who provides any service in respect of such product.
- (5) **Trader:** in relation to any goods, means a person who sells or distributes any goods for sale and includes the manufacturer thereof, and where such goods are sold or distributed in package form, includes the packer thereof.
- (6) **Direct Selling:** means marketing, distribution and sale of goods or provision of services through a network of sellers, other than through a permanent retail location.

IV. Significant E-commerce Related Terms

- (1) **E-commerce:** means buying or selling of goods or services including digital products over digital or electronic network.
- (2) **Electronic Service Provider:** means a person who provides technologies or processes to enable a product seller to engage in advertising or selling goods or services to a consumer and includes any online market place or online auction sites.

V. Significant Consumer Complaints Related Terms

- (1) **Complaint:** means any allegation in writing, made by a complainant for obtaining any relief provided by or under this Act, that—
 - (i) an unfair contract or unfair trade practice or a restrictive trade practice has been adopted by any trader or service provider;
 - (ii) the goods bought by him or agreed to be bought by him suffer from one or more defects;
 - (iii) the services hired or availed of or agreed to be hired or availed of by him suffer from any deficiency;
 - (iv) a trader or a service provider, as the case may be, has charged for the goods or for the services mentioned in the complaint, a price in excess of the price—
 - (a) fixed by or under any law for the time being in force; or
 - (b) displayed on the goods or any package containing such goods; or
 - (c) displayed on the price list exhibited by him by or under any law for the time being in force; or
 - (d) agreed between the parties;
 - (v) the goods, which are hazardous to life and safety when used, are being offered for sale to the public--
 - (a) in contravention of standards relating to safety of such goods as required to be complied with, by or under any law for the time being in force;
 - (b) where the trader knows that the goods so offered are unsafe to the public;
 - (vi) the services which are hazardous or likely to be hazardous to life and safety of the public when used, are being offered by a person who provides any service and who knows it to be injurious to life and safety;
 - (vii) a claim for product liability action lies against the product manufacturer, product seller or product service provider, as the case may be.
- (2) **Consumer dispute:** means a dispute where the person against whom a complaint has been made, denies or disputes the allegations contained in the complaint.
- (3) **Defect:** means any fault, imperfection or shortcoming in the quality, quantity, potency, purity or standard which is required to be maintained by or under any law for the time being in force or under any contract, express or implied or as is claimed by the trader in any manner whatsoever in relation to any goods or product and the expression “defective” shall be construed accordingly.
- (4) **Deficiency:** means any fault, imperfection, shortcoming or inadequacy in the quality, nature and manner of performance which is required to be maintained by or under any law for the time being in force or has been undertaken to be performed by a person in pursuance of a contract or otherwise in relation to any service and includes—
 - (i) any act of negligence or omission or commission by such person which causes loss or injury to the consumer; and
 - (ii) deliberate withholding of relevant information by such person to the consumer;.
- (5) **Harm:** “harm”, in relation to a product liability, includes—
 - (i) damage to any property, other than the product itself;
 - (ii) personal injury, illness or death;
 - (iii) mental agony or emotional distress attendant to personal injury or illness or damage to property; or

- (iv) any loss of consortium or services or other loss resulting from a harm referred to in sub-clause (i) or sub-clause (ii) or sub-clause (iii), but shall not include any harm caused to a product itself or any damage to the property on account of breach of warranty conditions or any commercial or economic loss, including any direct, incidental or consequential loss relating thereto.
- (6) **Injury:** means any harm whatever illegally caused to any person, in body, mind or property.
- (7) **Misleading Advertisement:** in relation to any product or service, means an advertisement, which—
 - (i) falsely describes such product or service; or
 - (ii) gives a false guarantee to, or is likely to mislead the consumers as to the nature, substance, quantity or quality of such product or service; or
 - (iii) conveys an express or implied representation which, if made by the manufacturer or seller or service provider thereof, would constitute an unfair trade practice; or
 - (iv) deliberately conceals important information.
- (8) **Product Liability:** means the responsibility of a product manufacturer or product seller, of any product or service, to compensate for any harm caused to a consumer by such defective product manufactured or sold or by deficiency in services relating thereto.
- (9) **Product Liability Action:** means a complaint filed by a person before a District Commission or State Commission or National Commission, as the case may be, for claiming compensation for the harm caused to him.
- (10) **Restrictive Trade Practice:** means a trade practice which tends to bring about manipulation of price or its conditions of delivery or to affect flow of supplies in the market relating to goods or services in such a manner as to impose on the consumers unjustified costs or restrictions and shall include--
 - (i) delay beyond the period agreed to by a trader in supply of such goods or in providing the services which has led or is likely to lead to rise in the price;
 - (ii) any trade practice which requires a consumer to buy, hire or avail of any goods or, as the case may be, services as condition precedent for buying, hiring or availing of other goods or services;
- (11) **Spurious Goods:** means such goods which are falsely claimed to be genuine.
- (12) **Unfair Contract:** means a contract between a manufacturer or trader or service provider on one hand, and a consumer on the other, having such terms which cause significant change in the rights of such consumer, including the following, namely:--
 - (i) requiring manifestly excessive security deposits to be given by a consumer for the performance of contractual obligations; or
 - (ii) imposing any penalty on the consumer, for the breach of contract thereof which is wholly disproportionate to the loss occurred due to such breach to the other party to the contract; or
 - (iii) refusing to accept early repayment of debts on payment of applicable penalty; or
 - (iv) entitling a party to the contract to terminate such contract unilaterally, without reasonable cause; or
 - (v) permitting or has the effect of permitting one party to assign the contract to the detriment of the other party who is a consumer, without his consent; or
 - (vi) imposing on the consumer any unreasonable charge, obligation or condition which puts such consumer to disadvantage.
- (13) **Unfair Trade Practice:** means a trade practice which, for the purpose of promoting the sale, use or supply of any goods or for the provision of any service, adopts any unfair method or unfair or deceptive practice including any of the following practices, namely:—

- (i) making any statement, whether orally or in writing or by visible representation including by means of electronic record, which—
 - (a) falsely represents that the goods are of a particular standard, quality, quantity, grade, composition, style or model;
 - (b) falsely represents that the services are of a particular standard, quality or grade;
 - (c) falsely represents any re-built, second-hand, renovated, reconditioned or old goods as new goods;
 - (d) represents that the goods or services have sponsorship, approval, performance, characteristics, accessories, uses or benefits which such goods or services do not have;
 - (e) represents that the seller or the supplier has a sponsorship or approval or affiliation which such seller or supplier does not have;
 - (f) makes a false or misleading representation concerning the need for, or the usefulness of, any goods or services;
 - (g) gives to the public any warranty or guarantee of the performance, efficacy or length of life of a product or of any goods that is not based on an adequate or proper test thereof:

Provided that where a defence is raised to the effect that such warranty or guarantee is based on adequate or proper test, the burden of proof of such defence shall lie on the person raising such defence;

- (h) makes to the public a representation in a form that purports to be—
 - (A) a warranty or guarantee of a product or of any goods or services; or
 - (B) a promise to replace, maintain or repair an article or any part thereof or to repeat or continue a service until it has achieved a specified result, if such purported warranty or guarantee or promise is materially misleading or if there is no reasonable prospect that such warranty, guarantee or promise will be carried out;
- (i) materially misleads the public concerning the price at which a product or like products or goods or services, have been or are, ordinarily sold or provided, and, for this purpose, a representation as to price shall be deemed to refer to the price at which the product or goods or services has or have been sold by sellers or provided by suppliers generally in the relevant market unless it is clearly specified to be the price at which the product has been sold or services have been provided by the person by whom or on whose behalf the representation is made;
- (j) gives false or misleading facts disparaging the goods, services or trade of another person. Explanation. For the purposes of this sub-clause, a statement that is:
 - (A) expressed on an article offered or displayed for sale, or on its wrapper or container; or
 - (B) expressed on anything attached to, inserted in, or accompanying, an article offered or displayed for sale, or on anything on which the article is mounted for display or sale; or
 - (C) contained in or on anything that is sold, sent, delivered, transmitted or in any other manner whatsoever made available to a member of the public, shall be deemed to be a statement made to the public by, and only by, the person who had caused the statement to be so expressed, made or contained;

- (ii) permitting the publication of any advertisement, whether in any newspaper or otherwise, including by way of electronic record, for the sale or supply at a bargain price of goods or services that are not intended to be offered for sale or supply at the bargain price, or for a period that is, and in quantities that are, reasonable, having regard to the nature of the market in which the business is carried on, the nature and size of business, and the nature of the advertisement.

Explanation.—For the purpose of this sub-clause, “bargain price” means,—

- (A) a price that is stated in any advertisement to be a bargain price, by reference to an ordinary price or otherwise; or
 - (B) a price that a person who reads, hears or sees the advertisement, would reasonably understand to be a bargain price having regard to the prices at which the product advertised or like products are ordinarily sold;
- (iii) permitting—
 - (a) the offering of gifts, prizes or other items with the intention of not providing them as offered or creating impression that something is being given or offered free of charge when it is fully or partly covered by the amount charged, in the transaction as a whole;
 - (b) the conduct of any contest, lottery, game of chance or skill, for the purpose of promoting, directly or indirectly, the sale, use or supply of any product or any business interest, except such contest, lottery, game of chance or skill as may be prescribed;
 - (c) withholding from the participants of any scheme offering gifts, prizes or other items free of charge on its closure, the information about final results of the scheme.

Explanation.—For the purpose of this sub-clause, the participants of a scheme shall be deemed to have been informed of the final results of the scheme where such results are within a reasonable time published, prominently in the same newspaper in which the scheme was originally advertised;

- (iv) permitting the sale or supply of goods intended to be used, or are of a kind likely to be used by consumers, knowing or having reason to believe that the goods do not comply with the standards prescribed by the competent authority relating to performance, composition, contents, design, constructions, finishing or packaging as are necessary to prevent or reduce the risk of injury to the person using the goods;
- (v) permitting the hoarding or destruction of goods, or refusal to sell the goods or to make them available for sale or to provide any service, if such hoarding or destruction or refusal raises or tends to raise or is intended to raise, the cost of those or other similar goods or services;
- (vi) manufacturing of spurious goods or offering such goods for sale or adopting deceptive practices in the provision of services;
- (vii) not issuing bill or cash memo or receipt for the goods sold or services rendered in such manner as may be prescribed;
- (viii) refusing, after selling goods or rendering services, to take back or withdraw defective goods or to withdraw or discontinue deficient services and to refund the consideration thereof, if paid, within the period stipulated in the bill or cash memo or receipt or in the absence of such stipulation, within a period of thirty days;
- (ix) disclosing to other person any personal information given in confidence by the consumer unless such disclosure is made in accordance with the provisions of any law for the time being in force.

VI. Significant Consumer Complaints Redressal Fora Related Terms

- (1) **District Commission:** means a District Consumer Disputes Redressal Commission established under sub-section (1) of section 28.
- (2) **State Commission:** means a State Consumer Disputes Redressal Commission established under sub-section (1) of section 42;.
- (3) **National Commission:** means the National Consumer Disputes Redressal Commission established under sub-section (1) of section 53.
- (4) **Mediation:** means the process by which a mediator mediates the consumer disputes.
- (5) **Mediator:** means a mediator referred to in section 75.
- (6) **Member:** includes the President and a member of the National Commission or a State Commission or a District Commission, as the case may be.

20.6 VARIOUS FORA

The CPA 2019 has built upon the framework for handling of consumer disputes established under the preceding Act. Broadly, the framework comprises following bodies:

- (a) **Consumer Protection Councils:** These are at all three levels viz. the Central, the State and the District levels. They render advice on promotion and protection of consumer rights under the Act.
- (b) **Central Consumer Protection Authority:** It is an authority to regulate matters relating to violation of rights of consumers.
- (c) **Consumer Disputes Redressal Commissions:** These are at all three levels viz. the Central, the State and the District levels. These handle the consumer complaints filed under the Act.
- (d) **Consumer Mediation Cells:** These are attached to each of the Redressal Commissions and the Regional Benches. These Cells try to get the disputes settled through mediation.

20.7 CONSUMER PROTECTION COUNCILS

To promote and protect the rights of the consumers, councils are established. These do not deal with the consumer complaints at initial or appellate level. They also spread awareness by education.

20.7.1 Central Consumer Protection Council (Central Council)

The Central Government establishes the Central Consumer Protection Council. (CPC). The object of CPC is to render advice on promotion and protection of the consumers' rights under this Act.

CPC can have maximum 36 members comprising: Ministers from Central and State Governments; Members of Parliament; Departments of Central Govt., regulators, Chief Commissioner CCPA; Registrar NCDRC; Secretaries (Consumer Affairs) State Govts.; with Secretary in-charge of Consumer Affairs as Member Secretary and Minister in-charge of Consumer Affairs Central Govt. as Chairperson.

20.7.2 State Consumer Protection Councils (State Council)

The State Government establishes a State Consumer Protection Council (SPC).

SPC has official and non-official members representing prescribed interests, other official and non-official members (maximum 10) and Minister-in-Charge of the Consumer Affairs, State Govt. as Chairperson.

It meets as and when necessary, but at least two meetings every year.

20.7.3 District Consumer Protection Councils (District Council)

For every district, State Government establishes, by notification, the District Consumer Protection Council (DPC): comprising official and no-official members representing prescribed interests, and chaired by the District Collector.

It meets as and when necessary, at least two meetings every year.

20.8 CENTRAL CONSUMER PROTECTION AUTHORITY

The CPA 2019 created a Central Consumer Protection Authority (CCPA), known as Central Authority, as a regulatory body in line of the other sector Regulators like TRAI, FSSAI etc. to promote, protect and enforce the rights of consumers. It regulates matters related to violation of consumer rights, unfair trade practices, and misleading advertisements which are prejudicial to the interests of public and consumers. It is also required to promote, protect and enforce the rights of consumers as a class.

The Central Authority consists of a Chief Commissioner and such number of other Commissioners as prescribed. The headquarters of the Central Authority is in New Delhi. and it shall have regional and other offices in any other place in India.

Functions of CCPA:

- (i) The main functions of CCPA are:
 - (a) To protect, promote and enforce the rights of consumers as a class;
 - (b) To prevent violation of consumers rights under the Act;
 - (c) To prevent unfair trade practices;
 - (d) To ensure no false or misleading advertisement is made;
 - (e) To ensure no person publishes false or misleading advertisement.
- (ii) Ancillary functions of CCPA mainly are:
 - (a) Inquiries/ investigations into violations of consumer rights, unfair trade practices, either suo motu or on a complaint received;
 - (b) Intervene in any proceedings before a District/ State/ National Commission in any matter;
 - (c) Review the matters relating to, and the factors inhibiting enjoyment of, consumer rights;
 - (d) Recommend adoption of international covenants and best international practices;
 - (e) Undertake and promote research in the field of consumer rights;
 - (f) Spread and promote awareness on consumer rights;
 - (g) Issue notices to alert consumers against dangerous or hazardous or unsafe goods or services;
 - (h) Issue necessary guidelines to prevent unfair trade practices and protect consumers' interest.

Powers of CCPA:

- (a) **Power to Conduct Inquiry:** It may conduct inquiry about violation of consumer rights or any unfair trade practice or any false or misleading advertisement.
- (b) **Power to Order Recall of Goods:** It may order recalling of goods or withdrawal of services which are dangerous, hazardous or unsafe, reimbursement of the prices of goods or services so recalled; and discontinuation of practices which are unfair.
- (c) **Power to Order Discontinuing Advertisement:** It may, order for discontinuing or modifying false or misleading advertisement, and impose a penalty. Further, it may also prohibit the endorser of a false or misleading advertisement from making endorsement of any product or service. Where any

person is found to publish, or is a party to the publication of, a misleading advertisement, it may impose a penalty.

- (d) **Power of Search and Seizure:** The Director General has the authority to enter at any reasonable time into any such premises and search for and seize any document or record or article or any other form of evidence.

A person aggrieved by any order passed by the Central Authority may file an appeal to the National Commission within a period of 30 days from the date of receipt of such order.

20.8.1 Penalty for Non-compliance of Direction of Central Authority

A person, who fails to comply with any direction of the Central Authority, shall be punished with imprisonment for a term which may extend to six months or with fine which may extend to ₹20 lakh, or with both.

20.8.2 Proactive Steps to Curb Misleading Advertisements

Any manufacturer or service provider who causes a false or misleading advertisement to be made shall be punished with imprisonment up to two years and with fine up to ₹10 lakh; and for every subsequent offence, with imprisonment up to five years and with fine up to ₹50 lakh.

20.9 CONSUMER DISPUTES REDRESSAL COMMISSIONS

For resolving and dealing with the consumer complaints Consumer Disputes Redressal Commissions are established at district level, state level and national level. The erstwhile Consumer Forums, established have been revamped as the Redressal Commissions.

20.9.1 District Consumer Disputes Redressal Commission

The State Government establishes a District Consumer Disputes Redressal Commission (District Commission) in each district. A district may have more than one District Commission. The District Commission shall ordinarily function in the district headquarters and may perform at any other notified place in the district.

Composition of District Commission

- President, and
- Not less than two and not more than prescribed number of members (in consultation with Central Government).
- At least one member or the President must be a woman.

20.9.2 State Consumer Disputes Redressal Commission

The State Government shall establish a State Consumer Disputes Redressal Commission (State Commission) in the State. The State Commission shall ordinarily function at the State capital and any other notified place.

Composition of State Commission

- President, and
- Not less than four and not more than prescribed number .(in consultation with Central Government).
- At least one member or the President must be a woman.

20.9.3 Appointment and Tenor of President and Member of State/ District Commission

(a) *Term of office of President or Member of State/ District Commission*

The President and every member of the State/ District Commission shall hold office for a term of four years or up to the age of sixty-five years, whichever is earlier and shall be eligible for reappointment for another term of four years subject to the age limit of sixty five years.

(b) *Procedure of appointment of President and member of State/ District Commission*

The President and members of the State/District Commission are appointed by the State Government on the recommendation of a Selection Committee, consisting of:

- (i) Chief Justice of the High Court or any Judge of the High Court nominated by him- Chairperson;
- (ii) Secretary in charge of Consumer Affairs of the State Government – Member;
- (iii) Nominee of the Chief Secretary of the State—Member.

20.9.4 National Consumer Disputes Redressal Commission

The Central Government establishes a National Consumer Disputes Redressal Commission (National Commission). The National Commission shall ordinarily function at the National Capital Region and may function at any other notified place. Regional Benches of the National Commission may be established.

Composition of National Commission

- President, and
- Not less than four and not more than prescribed number of members
- At least one member or the President must be a woman.

20.10 JURISDICTIONS OF COMMISSIONS

The jurisdiction is primarily determined on the basis of the value of the goods or services under dispute and the location of any of the opposite parties, the complainant or the user.

20.10.1 Jurisdiction of District Consumer Disputes Redressal Commission

- (a) It shall have jurisdiction to entertain complaints where the value of the goods or services paid as consideration does not exceed ₹50 lakh.
- (b) A complaint shall be instituted in a District Commission within the local limits of whose jurisdiction:
 - (i) the opposite party or each of the opposite parties (if more than one), at the time of instituting the complaint, ordinarily resides or carries on business or has a branch office or personally works for gain; or
 - (ii) any of the opposite parties (if more than one), at the time of instituting the complaint, actually and voluntarily resides, or carries on business or has a branch office, or personally works for gain, if the permission of the District Commission is given; or
 - (iii) the cause of action, wholly or in part, arises; or
 - (iv) the complainant resides or personally works for gain.

20.10.2 Jurisdiction of State Consumer Disputes Redressal Commission

- (a) The State Commission shall have jurisdiction as stated below:
 - (i) To entertain following matters:
 - Complaints where the value of the goods or services paid as consideration exceeds ₹50 lakh but does not exceed ₹2 crore.

- Complaints against unfair contracts, where the value of goods or services paid as consideration does not exceed ₹10 crore.
- Appeals against the orders of any District Commission within the State.
- (ii) To call for the records and pass appropriate orders in any consumer dispute which is pending before or has been decided by any District Commission within the State, where it appears to the State Commission that such District Commission has exercised a jurisdiction not vested in it by law, or has failed to exercise a jurisdiction so vested or has acted in exercise of its jurisdiction illegally or with material irregularity.
- (b) A complaint shall be instituted in the State Commission within the limits of whose jurisdiction:
 - (i) the opposite party or each of the opposite parties, where there are more than one, at the time of the institution of the complaint, ordinarily resides or carries on business or has a branch office or personally works for gain; or
 - (ii) any of the opposite parties, where there are more than one, at the time of the institution of the complaint, actually and voluntarily resides, or carries on business or has a branch office, or personally works for gain, provided that in such case the permission of the District Commission is given; or
 - (iii) the cause of action, wholly or in part, arises; or
 - (iv) the complainant resides or personally works for gain.

The jurisdiction, powers and authority of the State Commission may be exercised by Benches thereof, and a Bench may be constituted by the President with one or more members as the President may deem fit.

20.11 COMPLAINTS TO DISTRICT COMMISSIONS

The manner of making the complaints to the Consumer Disputes Redressal Commissions and the procedures for handling these have been laid down in the CPA 2019.

20.11.1 Manner of Making Complaint

- (a) Matter of Complaint:

A complaint may be made to the District Commission in relation to any goods sold or delivered or agreed to be sold or delivered or any service provided or agreed to be provided.
- (b) Eligible Complainant:

A complaint may be filed with a District Commission by any of the following:

 - a. the consumer,—
 - i. to whom such goods are sold or delivered or agreed to be sold or delivered or such service is provided or agreed to be provided; or
 - ii. who alleges unfair trade practice in respect of such goods or services;
 - b. any recognised consumer association, whether the consumer to whom such goods are sold or delivered or agreed to be sold or delivered or such service is provided or agreed to be provided, or who alleges unfair trade practice in respect of such goods or service, is a member of such association or not;
 - c. one or more consumers, where there are numerous consumers having the same interest, with the permission of the District Commission, on behalf of, or for the benefit of, all consumers so interested; or
 - d. the Central Government, the Central Authority or the State Government, as the case may be

- e. in case of death of a consumer, his legal heir or legal representative; or
- f. in case of a consumer being a minor, his parent or legal guardian

A “recognised consumer association” means any voluntary consumer association registered under any law for the time being in force.

A complaint can be made under the CPA 2019, only by a ‘consumer’ or a ‘recognised consumer association’. As will be noticed from the definition of ‘consumer’ given in Section 20.4.1 only a person who has bought goods or availed services for consideration or a user of such goods or services with the permission of this person is considered a consumer. Further, the CPA excludes persons who buy goods or avail services for resale or commercial purposes and also services rendered free of charge or under a contract for personal service. Thus, any person who is not using any goods or any services bought or availed for consideration is not a ‘consumer’ and hence cannot make a complaint.

A person who acts as surety for another person, who has availed loan from the bank, does not hire/avail any service from the bank, and hence is not a consumer of the bank. Therefore, his complaint may not be entertained by Consumer Disputes Redressal Commissions.

A person has bought cake from a shop and gives it to his friend on his birthday party. A guest at the party, who consumes a piece of the cake, finds a nail in it. The guest is considered a ‘consumer’ and can make a complaint at the District Commission, because the cake was bought for a consideration and the persons who consumed the cake at the party had the buyer’s implicit permission by virtue of he having gifted the cake.

A housewife has bought a sewing machine. She uses it for sewing clothes on order from various persons for earning some income to meet her household expenses. Though, this is a commercial use the housewife will be considered a ‘consumer’ as the housewife is self-employed and the sewing machine is being used for earning livelihood. She can, therefore, make a complaint to the District Commission.

Every complaint filed shall be accompanied by a fee, as notified by Central Government in this regard. No fee is prescribed if the value of goods and services paid as consideration is upto Rs.5 lakh.

The prescribed fee is to be paid by the complainant to the Commission in the form of crossed Demand Draft drawn on a nationalised bank or through a crossed Indian Postal Order or through electronic mode as per arrangement made.

A consumer complaint may not be entertained by the Consumer commissions when the matter is sub-judice before a competent Civil Court.

20.11.2 Proceedings before District Commission

The norms for conduct of proceedings of a District Commission are as given under.

- (i) The proceeding should be conducted by the President and at least one member sitting together. If necessary, another member shall continue from the stage at which it was last heard by the previous member.
- (ii) The District Commission may admit the complaint for proceeding or reject the same. Before rejecting a complaint, an opportunity for hearing should be given to the complainant. The admissibility should be decided within 21 days from the date of filing. If no decision is taken within specified period, the complaint is deemed to have been admitted.

20.11.2.1 Reference to Mediation

Except in matters for which mediation route is not applicable, if at the first hearing after admission, or at any later stage, it appears to the District Commission that there exists an element of a settlement which may be acceptable to the parties, it may direct the parties to give, within five days, written consent for mediation. Where the parties give their consent District Commission shall, within five days of its receipt, refer the matter for mediation.

20.11.2.2 Procedure on Admission of Complaint

The District Commission shall, on admission of a complaint, or in respect of cases referred for mediation on failure of settlement by mediation, proceed with such complaint, in the manner as detailed below.

(a) Complaints Relating to any Goods

- (i) A copy of the admitted complaint is sent to the opposite party, within 21 days of admission, directing him to give his version within 30 days or granted extended period not exceeding 15 days.
- (ii) If the opposite party denies or disputes the allegations, or omits or fails to represent his case within the allowed time, the District Commission will proceed to settle the dispute.
- (iii) If the complaint is about a defect which cannot be determined without proper analysis or test, a sample of the goods obtained, sealed and authenticated is referred to an appropriate laboratory to make an analysis or test. It has to report its findings within a period of 45 days, or the granted extended period. The complainant has to deposit in advance the fee for testing or analysis.
- (iv) The laboratory report is sent to the opposite party, alongwith remarks of District Commission. Any party disputing the correctness of the findings or the methods of analysis or test shall submit its objections in writing. After giving a reasonable opportunity of being heard to the complainant and the opposite party the District Commission shall issue an appropriate order.

(b) Complaints Relating to Goods not Requiring Testing or Services

- (i) A copy of the admitted complaint is sent to the opposite party, within 21 days of admission, directing him to give his version within 30 days or granted extended period not exceeding 15 days.
- (ii) If the opposite party denies or disputes the allegations, or omits or fails to represent his case within the allowed time, the District Commission will proceed to settle the dispute.
- (iii) The District Commission shall take decision on the basis of evidence brought to its notice by the complainant and the opposite party. Where the opposite party omits or fails to take any action to represent his case within the time given, the District Commission may decide on the matter dispute *ex parte* on the basis of evidence brought to its notice by the complainant. If the complainant fails to appear on the date of hearing, the District Commission may decide the complaint on merits.

(c) Powers of a Civil Court

The District Commission shall have the same powers as are vested in a civil court under the Code of Civil Procedure, 1908 while trying a suit in respect of the under mentioned matters.

(d) Deemed to be a Criminal Court

Every proceeding before the District Commission is be deemed to be a judicial proceeding within the meaning of sections 193 and 228 of the Indian Penal Code, and the District Commission shall

be deemed to be a criminal court for the purposes of section 195 and Chapter XXVI of the Code of Criminal Procedure, 1973.

(e) ***Applicability of Civil Procedure Code***

Where the complainant is one or more consumers, where there are numerous consumers having the same interest the provisions of Order I Rule 8 of the First Schedule to the Code of Civil Procedure, 1908 (5 of 1908) shall apply subject to the modification that every reference therein to a suit or decree shall be construed as a reference to a complaint or the order of the District Commission thereon.

20.11.2.3 Findings of a District Commission

Where the District Commission is satisfied about any of the following aspects:

- the goods complained against suffer from any of the defects specified in the complaint
- any of the allegations contained in the complaint about the services are proved
- any unfair trade practices are proved
- any claims for compensation under product liability are proved

it shall issue an order to the opposite party directing him to do one or more of the acts listed below.

- (i) To remove the defect pointed out by the laboratory from the goods;
- (ii) To replace the goods with new goods of similar description free from any defect;
- (iii) To return to the complainant the price, or, the charges paid by the complainant along with such interest as may be decided;
- (iv) To pay such amount as awarded as compensation to the consumer for any loss or injury suffered by the consumer and punitive damages in such circumstances as deemed fit
- (v) To pay such amount as may be awarded by it as compensation in a product liability action;
- (vi) To remove the defects in goods or deficiencies in the services in question;
- (vii) To discontinue the unfair trade practice or restrictive trade practice and not to repeat them;
- (viii) Not to offer the hazardous or unsafe goods for sale;
- (ix) To withdraw the hazardous goods from being offered for sale;
- (x) To cease manufacture of hazardous goods and to desist from offering services which are hazardous in nature;
- (xi) To pay such sum as may be determined by it, subject to minimum 25% of the value of such defective goods sold or service provided, to such consumers, if it is of the opinion that loss or injury has been suffered by a large number of consumers who are not identifiable conveniently;
- (xii) To issue corrective advertisement to neutralise the effect of misleading advertisement at the cost of the opposite party responsible for issuing such misleading advertisement;
- (xiii) To provide for adequate costs to parties; and
- (xiv) To cease and desist from issuing any misleading advertisement.

20.12 COMPLAINTS TO STATE COMMISSIONS/ NATIONAL COMMISSION

The norms for conduct of proceedings of a State Commission/ the National Commission are similar to those applicable to the proceedings at the District Commissions, subject to necessary consequential changes. The State Commissions/ National Commission have the powers to declare any terms of a contract, which is unfair to any consumer, to be null and void. The National Commission has powers to set aside an order passed *ex parte* by either a District/ State Commission, on application being made by the aggrieved party.

20.13 APPEALS AGAINST ORDERS OF DISTRICT/ STATE COMMISSION

The Act provides for appeal against the orders issued by District/ State Commission. A person, who is required to pay any amount in terms of an order of District/ State Commission, will need to deposit 50% of that amount for the appeal to be entertained by State/ National Commission/ Supreme Court.

(a) ***Appeal Against Order of District Commission***

A person may appeal against order of District Commission to the State Commission on the grounds of facts or law within 45 days from the date of the order, or extended period permitted. No appeal is permitted against an order passed pursuant to a settlement by mediation.

(b) ***Appeal to National Commission***

Any person may appeal against order of State Commission within 30 days from the date of the order or extended period permitted. Appeal can also be made to National Commission in following matters:

- (i) Order passed in appeal by a State Commission, involving a substantial question of law.
- (ii) Any case involving a substantial question of law appeal on that question.
- (iii) Any other substantial question of law, if a case involves such question of law.
- (iv) An order passed *ex parte* by the State Commission.

(c) ***Hearing of Appeal***

Appeal should be disposed within 90 days from the date of its admission, if delayed, the State/ National Commission shall record reasons in writing, at the time of disposing the said complaint. Normally, no adjournment should be granted, and if granted the reasons recorded in writing, and orders for the costs to be made.

(d) ***Appeal Against order of National Commission***

A person may appeal against order of National Commission to the Supreme Court within 30 days from the date of the order, or extended time permitted.

(e) ***Finality of orders***

Every order of a District/ State/ National Commission, if no appeal is made shall be final.

20.14 OTHER ASPECTS

20.14.1 Limitation Period

The District/, State/ National Commission shall not admit a complaint unless it is filed within 2 years from the date on which the cause of action has arisen. A Commission may entertain a complaint, recording its reasons for condoning delay, after the specified period if the complainant satisfies it that he had sufficient cause for the delay in filing the complaint.

20.14.2 Enforcement of Orders of District / State/ National Commission

Every order made by District/ State/ National Commission shall be enforced by it in the same manner as if it were a decree made by a Court in a suit before it and the provisions of Order XXI of the First Schedule to the Code of Civil Procedure, 1908 shall be applicable.

20.14.3 Penalty for Non-compliance of Order (Section 72)

- (a) Punishment for failure to comply with any order made by the District/ State/ National Commission is imprisonment for minimum one month and maximum, three years, or with fine of minimum, ₹25,000/-, an up to ₹1 lakh, or with both.

- (b) The Commission has the power of a Judicial Magistrate of first class for the trial of offences and is deemed to be a Judicial Magistrate of first class under the Code of Criminal Procedure, 1973.
- (c) The offences shall be tried summarily by the Commission.

20.14.4 Appeal against Order Passed under Section 72

Appeal can be made, within 30 days of the order, against an order, imposing punishment for non-compliance of an order of a Commission, both on facts and on law from - for order of District Commission to the State Commission; for order of State Commission to the National Commission; and for order of National Commission to the Supreme Court. State/ National Commission/ the Supreme Court may entertain an appeal after the specified period, if the appellant had sufficient cause for the delay in making the appeal. No appeal can be made in any Court against an order of District/ State Commission.

20.14.5 Transfer of Cases

On the application of a complainant or on its own, if it is in the interest of justice, any proceeding may be transferred at any stage – (a) by a State Commission from one District Commission to another District Commission; and (b) by the National Commission – (i) from one District Forum of one state to a District Forum of another state, and (ii) from one State Commission to another State Commission.

20.14.6 Frivolous or Vexatious Complaints

If the District/ State/ National Commission finds that the complaint before it is frivolous or vexatious, it shall dismiss the complaint, recording the reasons, and make an order for the cost, up to ₹10,000 to be paid by the complainant to the opposite party.

20.14.7 Digitalisation of the Proceedings

The Act has permitted e-filing of complaints and on line payment of the fees. For avoiding delays and reduce the hardships of the parties hearing and/or examining parties through video conferencing has been permitted.

20.14.8 Power of Review

Under the 2019 Act the District/State Commissions have been vested with the power to review its own Orders to set right the errors, if an application is filed within 30 days of such Order.

20.14.9 Protection of Action Taken in Good Faith

No suit or any legal action can be taken against the Commissioner, any officer or employee and other person for any act done, in good faith, in pursuance of this Act or under any rule or order thereunder.

20.15 MEDIATION PROCESS

Matters referred for mediation are handled through mediation process.

20.15.1 Mediation Cells

- (a) **Establishing:** The State Government establishes consumer mediation cells attached to each District Commission and the State Commission. The Central Government establishes consumer mediation cells attached to the National Commission and Regional Benches.

- (b) **Composition:** A consumer mediation cell shall consist of such persons as prescribed.
- (c) **Information:** Every consumer mediation cell shall maintain: a list of empanelled mediators; a list of cases handled by the cell; record of proceeding; and any other information specified by regulations.
- (d) **Quarterly Report:** It shall submit a quarterly report to the Commission to which it is attached.
- (e) **Empanelment of Mediators:** National/ State/ District Commission shall prepare a panel of the mediators to be maintained by the consumer mediation cell attached to it, on the recommendation of a selection committee consisting of the President and a member of that Commission.
- (f) **Eligibility for Empanelment as Mediator:** The following persons shall be eligible to be empanelled with a Mediation Cell:
 - (i) retired Judges of Supreme Court of India;
 - (ii) retired Judges of the High Courts;
 - (iii) retired Members of a Consumer Commission;
 - (iv) retired District and Session Judges, retired Additional District and Session Judges or other retired Members of the Higher Judicial Services of a State;
 - (v) retired Judicial officers, having experience of not less than ten years;
 - (vi) an advocate with a minimum experience of ten years at Bar;
 - (vii) the mediators empanelled with the Mediation Cell of the Supreme Court of India, High Court or a District Court;
 - (viii) a person having experience of at least five years in mediation or conciliation;
 - (ix) experts or other professionals with at least fifteen years' experience or retired senior bureaucrats or retired executives.
- (g) **Disqualifications for Empanelment:** The following persons are disqualified to be a Mediator:
 - (i) a person who has been adjudged as insolvent;
 - (ii) person against whom criminal charges involving moral turpitude are framed by a criminal court and are pending;
 - (iv) a person against whom disciplinary proceedings have been initiated by the appropriate disciplinary authority and are pending or have resulted in a punishment.
- (h) **Tenor of Empanelment:** The panel of mediators is valid for five years, and the empanelled mediators are eligible for re-empanelment for another term.

20.15.2 Mediation Proceedings

The mediation is conducted in the presence of the parties/ their authorised representatives/ counsel. If a party does not participate in the mediation proceedings, the Commission may direct it to participate. The parties shall provide all such information to the mediator as may be reasonably required for conducting the proceedings. The mediator shall be guided by the principles of natural justice and fair play but shall not be bound by the provisions of the Code of Civil Procedure, 1908 or the Indian Evidence Act, 1872. The record of the proceedings shall be prepared by the mediator on every date and shall be signed by the parties or their counsel, authorised representatives or attorneys.

Pursuant to mediation, if an agreement is reached with respect to all or some of the issues involved in the dispute, the terms of such agreement are recored in writing, and signed by the parties or their authorised representatives. The agreement executed between the parties is submitted by the mediator, to the Commission, in a sealed cover, with a forwarding letter. If no agreement is executed between the parties, within three months from the date of first appearance, the mediator shall inform the Commission, without in any manner disclosing as to what transpired during the mediation proceedings, what was the

stand taken by the parties or why the agreement could not be reached. The Commission may extend the time period for the proceedings, on its expiry the mediation shall stand terminated.

20.15.2.1 Role of Mediator

The mediator shall attempt to facilitate a voluntary resolution of the disputes between the parties, assist them in removing the misunderstandings, if any, and generating options to resolve their disputes, but shall not impose any term or any settlement upon the parties. The mediator shall not communicate with the Commission except by way of his report, with copies to all the parties.

20.15.2.2 Confidentiality

The parties and the mediator shall maintain confidentiality in respect of the events that transpire during the mediation proceedings and shall not use or rely upon any information, document etc. produced, the proposals and admissions made or the views expressed during the mediation proceedings. There shall be no audio or video recording of the mediation proceedings.

20.15.3 Recording Settlement and Passing of Order

- (a) **Fully Settled Matters:** The Commission within seven days of receiving the settlement report, pass suitable order recording such settlement of consumer dispute and dispose of the matter accordingly.
- (b) **Partly Settled Matters:** Where the consumer dispute is settled only in part, the Commission shall record settlement of the settled issues and continue to hear other issues.
- (c) **Not Settled Matters:** Where the consumer dispute could not be settled the Commission shall continue to hear all the issues involved.

20.16 PRODUCT LIABILITY

The CPA 2019 has introduced the concept of product liability and brings within its scope, the product manufacturer, product service provider and product seller, for any claim for compensation. It provides for a claim for compensation under a product liability action by a complainant for any harm caused by a defective product manufactured by a product manufacturer or serviced by a product service provider or sold by a product seller. A product liability action may be brought by a complainant against any of the concerned persons from the following: a product manufacturer, or a product service provider, or a product seller.

The term ‘product seller’ includes e-commerce platforms as well. The plea that e-commerce platforms merely act as ‘platforms’ or ‘aggregators’ is not accepted as a valid defense in consumer disputes.

20.17 UNFAIR CONTRACTS

There are several occasions where a consumer has to execute a click wrap contract for making a purchase through an online marketplace or while availing an online service, including a financial service. Quite often these contracts are heavily one sided protecting the interest of the vendor or the electronic service provider and the consumer has no chance for negotiation or bargain for the modification of the terms of such contracts. CPA 2019 enables consumers to seek remedy under the statute against such unfair contracts. The act has specifically defined “unfair contracts” stating therein various types of terms that if included in a contract would render it ‘unfair’.

All the complaints against the Unfair Contracts, where the value of goods or services paid as consideration does not exceed ₹10 Crore, are to be filed before the State Commission. Complaints where the consideration exceeds ₹10 Crore are to be preferred before the National Commission.

20.18 DATA PROTECTION

CPA 2019 has brought Data Protection also under its scope by making any disclosure of personal information given in confidence by a consumer an unfair trade practice, unless such disclosure is in accordance with the provision of any law.

20.19 THE CPA 2019 AND BANKING SERVICES

The CPA 2019 covers banking services also. Some of the common areas of deficiency of services that may be raised before the Commissions are briefly stated below:

- (a) *Refund of deposits*: Any delay in repayment of deposits to the customer on his request is a deficiency in service. The bank is required to compensate for the interest loss, and in certain circumstances also required to compensate for any consequential loss.
- (b) *Wrongful dishonor of Cheque*: Returning a cheque drawn by a customer without any valid reason is a deficiency of service. The bank may be held liable to pay for damages.
- (c) *Wrongful dishonor of Bank Draft*: Refusing to pay a draft issued by the bank is a deficiency in service and the bank be liable to compensate the customer for mental agony and inconvenience.
- (d) *Non-credit of cheque tendered*: Not affording the credit of a cheque tendered by the customer and the payment of which has been obtained by the bank is a deficiency of service making the bank liable to pay interest for the delay.
- (e) *Default by the Business Correspondent*: A BC of the bank collects deposits from a customer but does not deposit with the bank renders the bank liable.
- (f) *Non-issue of receipt and not crediting the amount*: Not issuing a receipt to the customer for the amount deposited and not affording credit in the account are deficiency in service.
- (g) *Not crediting public issue subscription to the Issuer's account*: Subscription amount received from a customer not credited to the issuer's account before the closure of the issue is a deficiency in service. It may render the bank liable for compensating for the potential loss due to missed opportunity of allotment.

These are just few illustrative cases of deficiency in service by banks. There are numerous other types of service deficiencies (exposing banks to actions under the CPA 2019) related to any of the activities namely deposits, loans and advances, sale of third party products, remittance services, cards and payment services, collections of instruments, safe custody services and safe deposit lockers.

However, there are matters that are considered to be within the discretion of the bank to be decided on the commercial and business considerations, namely the interest rates paid on deposits or charged on advances within the regulatory framework, charges for various services, types of deposits, the type of loan products, the quantum of loan, security for loan facility, etc.

In *Narsuns Battery Manufacturing Company vs General Manager, Andhra Bank* 1992 CPC 707 (NC), the National Commission held that bank asking from a small-scale industry, primary and collateral security four times the value of loan, was within the bank's power of advancing money and asking for adequate

security. The contention that excessive security was asked, and asking collateral security from a small-scale industry was against the IBA guidelines, was not accepted.

However, there may be instances when the Commission, depending on the facts of the matter, may consider certain acts related to commercial aspects as deficiency of service. Two persons had availed jointly home loan of around ₹36 lakh from a bank, in 2004. The interest rate term in the agreement stated that it is linked to Home Loan Regular Rate and would be reviewed every six months. The bank later informed that the reference rate was changed to Mortgage Variable Reference Rate and the interest rate would be reviewed every three months. The interest rate varied between 10.50% to 20.25%, and the loan tenor was increased from 192 months along with EMI increasing from ₹31,627 to ₹38,341. The bank had not given any maturity date for the loan. In 2016, the two borrowers filed a complaint with the Consumer Disputes Redressal Commission of the District of Central Mumbai. The bank contended that – (a) the loan sanction letter mentioned that in case of unforeseen or extraordinary circumstances or sudden change in market conditions, the bank may at its sole discretion change the rate of interest, (b) the complainant had opted for variable interest rate mode and (c) the complaint was barred by limitation. The Commission observed that – (a) the bank had acted in an arbitrary and one-sided manner, (b) even if the complainants had consented to the bank's terms and conditions, the bank could not amend them arbitrarily without considering banking regulations and guidelines, (c) the bank had failed to substantiate the reason for not giving a maturity date on account of the nature of interest rate by citing RBI guidelines or regulations and (d) the complaint is not barred by limitation. The Commission held that – (a) the bank is guilty of deficiency in service; (b) the bank was guilty of unfair trade practice while providing banking services. The bank was directed to – (a) pay ₹4 lakh as compensation towards mental agony suffered due to negligence of the bank, and (b) not to process any credit report of the complainants to CIBIL and to withdraw any negative report if already furnished. *(Source: Published in Times of India, Mumbai Edition of 4th January 2022)*

20.20 LET US SUM UP

CPA, 1986 has been enacted for the settlement of consumer disputes. The Act is social welfare benefit oriented legislation. It is for speedy disposal of the redressal of consumer disputes. The provisions of the Act were not overriding on any other law. CPA, 2019 replacing CPA, 1986 seeks to facilitate the requirements of the growing consumer market in India and to address the myriad and constantly emerging vulnerabilities of the consumer. Banking services are covered under the Act, however, certain aspects that would essentially pertain to the commercial and business decision of banks cannot be a ground for complaint. For instance, security stipulated for a loan facility, quantum of loan sanctioned, etc.

Several fora are established under the Act. These include Central, State and District Councils. Central Consumer Protection Authority (CCPA) has been set up as a regulatory body in line of the other sector Regulators like TRAI, FSSAI, etc. to promote, protect and enforce the rights of consumers. The erstwhile Consumer Forums have been revamped as Consumer Disputes Redressal Commissions. At the District, State and National levels. The jurisdiction of these Commissions depends on the value and place. A Commission can award compensation, replacement of goods etc. An appeal can be made against the Order of a Commission to the appellate body. The CPA 2019 also provides for an alternative mechanism of redressal namely through mediation, for which Mediation Cells are attached to each Commission. CPA 2019 has brought in the concept of Product Liability Action, which is in the nature of class suit. The liabilities of the product

manufacturers, product service providers and product sellers have been laid down distinctly. Another new aspect is that of 'Unfair Contracts'.

20.21 KEYWORDS

Quasi-judicial Appropriate Laboratory, Consumer, Consumer Dispute, Consumer Rights, Design, e-Commerce, Electronic Service Provider, Express warranty, Manufacturer, Mediation, Product Liability Action, Product Manufacturer, Product Seller, Product Service Provider, Unfair Contract, Unfair Trade Practice, Vexatious Complaints Commission;. Central Consumer Protection Council, State Consumer Protection Council, District Consumer Protection Council, Central Consumer Protection Authority, District Consumer Disputes Redressal Commission, State Consumer Disputes Redressal Commission, National Consumer Disputes Redressal Commission.

20.22 CHECK YOUR PROGRESS

- The minimum age for Consumer Protection Act is enacted to protect the manufacturing conditions of the Industries a person to be eligible to be a member of a District Commission is ____ years.
 (a) 30 (b) 40
 (c) 35 (d) 25
- State Consumer Protection Council has to meet at least ____ in a year.
 (a) once (b) two times
 (c) three times (d) four times
- A person has bought a mixer grinder from a retailer. Its motor stops after ten minutes of running. The liability for this defect will be of the ____.
 (a) product manufacturer (b) trader
 (c) retailer (d) product service provider
- The tenor of mediators on the panel of a Mediation Cell is ____ years.
 (a) two (b) three
 (c) six (d) five
- 'N. has purchased a draft from a bank favouring 'B'. The draft is lost in transit and for duplicate draft in lieu of first bank needs some formalities to be completed by 'N'. Can 'B' file a consumer case against the formalities as it is delaying payment to him?
 (a) No, as he is not consumer of the bank and is not taking any service from the bank.
 (b) No, as he has not paid the demand draft commission.
 (c) Yes, as because of bank, his payment is getting delayed.
 (d) Yes, his money is lying in the bank, he is deemed as account holder of the bank.

20.23 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c); 2. (b); 3. (a); 4. (d); 5. (a).



THE RIGHT TO INFORMATION ACT, 2005

STRUCTURE

- 21.0 Objectives
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21.0 OBJECTIVES

After studying this Unit, you will:

- Know about the Citizen's right to seek information from the Government and related organisations
- Learn about the manner of seeking information
- Know about the norms for disposal of requests for information
- Learn about the organizational arrangements for providing information
- Know about the set-up of Information Commissioners at the Central and State levels

21.1 INTRODUCTION

The Right to Information Act, 2005 was enacted with intent to provide for setting out the practical regime for citizens to get to information under the control of public authorities, in order to promote transparency and accountability in the working of every public authority. The Act aims at containing corruption and holding the Governments and their instrumentalities accountable to the governed by providing access to information. The Act also creates machinery for ensuring effective implementation of the Act. The Act has application to those banks and financial institutions that will come under the purview of public authority as defined in the Act. On coming into force of this Act the Freedom of Information Act, 2002 has been repealed.

21.2 APPLICABILITY

This Act extends to whole of India. All public sector banks and other institutions owned and controlled by the Government are public authorities and are required to comply with the provisions of the Act.

RTI provides for exemption from disclosure of certain information including commercial confidence trade secrets, that would harm the competitive position of a third party unless the competent authority is satisfied that larger public interest warrants the disclosure of such information. Since the third party includes a public authority, the exemption is available to the banks if the disclosure of information is likely to harm the competitive position of the bank itself. The Act exempts disclosure of personal information which has no relation to any public activity or interest or which would cause unwarranted invasion of the privacy of the individual.

21.3 DEFINITIONS

It is relevant to understand the meaning of some of the terms defined in the Act.

- (a) **Appropriate Government:** in relation to a public authority which is established, constituted, owned, controlled or substantially financed by funds provided directly or indirectly--
 - (i) by the Central Government or the Union territory administration,
 - (ii) by the State Government,
- (b) **Competent authority:**
 - (i) the Speaker in the case of the House of the People or the Legislative Assembly of a State or a Union territory having such Assembly and the Chairman in the case of the Council of States or Legislative Council of a State;
 - (ii) the Chief Justice of India in the case of the Supreme Court;

- (iii) the Chief Justice of the High Court in the case of a High Court;
- (iv) the President or the Governor, as the case may be, in the case of other authorities established or constituted by or under the Constitution;
- (v) the administrator appointed under article 239 of the Constitution;
- (c) **Information:** any material in any form, including records, documents, memos, e-mails, opinions, advices, press releases, circulars, orders, logbooks, contracts, reports, papers, samples, models, data material held in any electronic form and information relating to any private body which can be accessed by a public authority under any law for the time being in force.
- (d) **Public authority:** any authority or body or institution of self-Government established:
 - (a) by or under the Constitution;
 - (b) by any other law made by Parliament;
 - (c) by any other law made by the State Legislature;
 - (d) by notification issued or order made by the appropriate Government and includes any
 - (i) body owned, controlled or substantially financed; on-Government organisation substantially financed, directly or indirectly by funds provided by the appropriate Government.
- (e) **Record:** includes
 - (a) any document, manuscript and file;
 - (b) any microfilm, microfiche and facsimile copy of a document;
 - (c) any reproduction of image or images embodied in such microfilm (whether enlarged or not);
 - (d) any other material produced by a computer or any other device;
- (f) **Right to information:** the right to information accessible under this Act which is held by or under the control of any public authority and includes the right to:
 - (i) inspection of work, documents, records;
 - (ii) taking notes, extracts or certified copies of documents or records;
 - (iii) taking certified samples of material;
 - (iv) obtaining information in the form of diskettes, floppies, tapes, video cassettes or in any other electronic mode or through printouts where such information is stored in computers or in other device.
- (g) **Third party:** a person other than the citizen making a request for information and includes a public authority.

The term ‘Appropriate Government’ has to be understood in the context of the definition of public authority. It can be either the Central Government or the State Government. Central Government is the appropriate authority if the concerned public authority is established, constituted, owned, controlled or substantially financed by funds provided directly or indirectly by that Government or the Union Territory Administration. It is the State Government, if the concerned public authority is established, constituted, owned, controlled or substantially financed by funds provided directly or indirectly by that Government.

21.4 RIGHT TO INFORMATION

Section 3 of the Act states: “Subject to the provisions of this Act, all citizens shall have the right to information.” Thus the right to information is conferred upon the citizens of India.

21.5 OBLIGATIONS OF PUBLIC AUTHORITIES

- (a) **Maintaining records:** It should maintain all its records duly catalogued and indexed to facilitate fulfilling the right to information under this Act. To ensure that all records appropriate to be computerised are, within a reasonable time and subject to availability of resources, computerised and connected through a network all over the country on different systems to facilitate access.
- (b) **Disclosures:** It should publish and update every year the under mentioned information:
 - (i) the particulars of its organisation, functions and duties;
 - (ii) the powers and duties of its officers and employees;
 - (iii) the procedure of decision making, including channels of supervision and accountability;
 - (iv) the norms set by it for the discharge of its functions;
 - (v) the rules, regulations, instructions, manuals and records, held by it or under its control or used by its employees for discharging its functions;
 - (vi) a statement of the categories of documents that are held by it or under its control;
 - (vii) the particulars of any arrangement for consultation with, or representation by, the members of the public;
 - (viii) a statement of the boards, councils, committees and other bodies consisting of two or more persons constituted as its part or for the purpose of its advice, and related information;
 - (ix) a directory of its officers and employees;
 - (x) the monthly remuneration received by each of its officers and employees;
 - (xi) the budget allocated to each of its agency and related information;
 - (xii) the manner of execution of subsidy programmes, and related details;
 - (xiii) particulars of recipients of concessions, permits or authorisations granted by it;
 - (xiv) details in respect of the information held in an electronic form;
 - (xv) the particulars of facilities available to citizens for obtaining information;
 - (xvi) the names, designations and other particulars of the Public Information Officers;
 - (xvii) such other information as may be prescribed.
- (c) **Relevant facts for policies:** It should publish all relevant facts while formulating important policies.
- (d) **Reasons for decisions:** It should provide reasons for its administrative or quasi-judicial decisions to affected persons.
- (e) **Providing information suo motu:** To provide as much information as possible suo motu to the public at regular intervals through various means of communications, including internet.
- (f) **Wide dissemination:** All information, stated above, shall be disseminated widely.
- (g) **Easy Access and Reasonable Price:** All materials shall be disseminated taking into consideration the cost effectiveness, local language and the most effective method of communication, to the extent possible in electronic format with the Central/ State Public Information Office available free or at prescribed cost of the medium or the print.

21.6 DESIGNATION OF PUBLIC INFORMATION OFFICERS (PIO)

- (1) **Public Information Officers:** Every public authority is required to designate Central/ State Public Information Officers in all administrative units or offices to provide information to persons requesting for the information under this Act.
- (2) **Assistant Public Information Officers:** Every public authority is required to designate an officer, at each sub-divisional level or other sub-district level as a Central/ State Assistant Public Information

Officer to receive applications for information or appeals under this Act for forwarding the same to the Central/ State Public Information Officer or or the Central / State Information Commission.

- (3) **Assistance of Other Officers:** The Central/ State Public Information Officer may seek the assistance of any other officer as he or she considers it necessary for the proper discharge of his or her duties. Such officer shall render all assistance to the PIO and for any contravention of this Act, such other officer shall be treated as a PIO.

21.7 PROCEDURE FOR OBTAINING INFORMATION

A person shall make a request, specifying the particulars of information sought, in writing or through electronic means in English/ Hindi/official language of the area in which the application is being made, along with the prescribed fee to the concerned Central or State Public Information Officer. No reason or any other personal details are required to be given for making request for information.

21.8 DISPOSAL OF REQUEST

(a) Norms for Disposal

- (i) **Time limit:** The PIO shall either provide the information or reject the request within 30 days of the receipt. If it concerns the life or liberty of a person, it shall be provided within 48 hours of the receipt. Failure to decide within the specified period, is deemed as refusal.
- (ii) **Intimation for additional fee:** Where a decision is taken to provide the information on payment of any further fee representing the cost of providing the information, the PIO shall send a suitable intimation to the person making the request.
- (iii) **Access to disabled:** Where access to the record or a part thereof is to be provided to a person sensorily disabled, the PIO shall provide assistance to enable access.
- (iv) **Additional fee for printed or electronic form:** Where information is given in printed or any electronic format, further reasonable fee is charged, except from the persons who are of below poverty line, at the following rates:
 - ₹2 for each page in A-4/ A-3 size paper created or copied;
 - actual charge or cost price of a copy in larger size paper;
 - actual cost or price for samples or models; and
 - inspection of records, no fee for the first hour, and ₹5 for each fifteen minutes or fraction thereof thereafter.
- (v) **Delay in providing information:** The information will be provided free of charge, if delayed.
- (vi) **Rejection of request:** If rejected the PIO shall inform the reasons, the period within which an appeal may be preferred; and the particulars of the appellate authority.
- (vii) **Form of information:** Information shall ordinarily be provided in the form sought, unless it needs disproportionate resources or is detrimental to safety/ preservation of the record.
- (viii) **Partial Information:** If allowing partial access, the PIO shall inform the applicant:
 - only part record (after severance of the information which is exempt) is being provided;
 - the reasons for the decision;
 - the name and designation of the person decided;
 - rights with respect to review of the decision regarding non-disclosure, fee, and form.

- (ix) *Payment of fees:* The application shall be accompanied by a fee of ₹10, paid in cash against receipt or by demand draft or a banker's cheque or by Indian Postal Order.
- (b) *Transfer of the request*
If an application received by a public authority seeks information, which is held by another public authority; or the subject matter is more closely connected with the functions of another public authority, it or a part of it shall be transferred within 5 days of receipt, and the applicant informed. . This period of 5 days will be excluded in reckoning the time limit of 30 days.
- (c) *Third Party information*
Third party means a person other than the citizen making a request for information and includes a public authority. Where a Central Public Information Officer considers disclosing any information or record or part thereof which relates to or has been supplied by a third party and has been treated as confidential by that third party, it shall decide after consulting it. Except in the case of trade or commercial secrets protected by law, disclosure of third party information may be allowed if the public interest in disclosure outweighs in importance of any possible harm or injury to the interests of such third party.
- (d) *Rejection of the request*
The request for Information may be rejected where it would involve an infringement of copyright subsisting in a person other than the State, and the applicant be informed the reasons and the particulars of the appellate authority and the period within which to appeal.
- (e) *Information exempt from disclosure*
Following categories of information are exempt from disclosure, and include that would prejudicially affect the sovereignty and integrity of India:
 - (i) disclosure expressly forbidden by law or may constitute contempt of court;
 - (ii) disclosure would cause a breach of privilege of Parliament or of the State Legislature;
 - (iii) relating to commercial confidence, trade secrets or intellectual property;
 - (iv) available to a person in his fiduciary relationship;
 - (v) received in confidence from foreign Government;
 - (vi) disclosure would endanger the life or physical safety of any person;
 - (vii) would impede the process of investigation or apprehension or prosecution of offenders;
 - (viii) cabinet papers (including records of deliberations of the Council of Ministers, Secretaries and other officers).

21.9 APPEAL

The Central/ State Information Commission will receive and inquire into complaint from a person:

- (a) who is not able to submit a request to or whose request or appeal has not been received by a Central Public Information Officer;
- (b) who has been refused access to information;
- (c) who has not been given a response to a request;
- (d) who has been required to pay unreasonable fee;
- (e) who believes he has been given incomplete, misleading or false information; and
- (f) in respect of any other matter under this Act.

A person who has not received within the time specified or is aggrieved by a decision may, within thirty days appeal to the officer who is senior in rank to the Central Public Information Officer. The appellate authority may condone delay in filing the appeal if occurred by sufficient reasons. If the appeal is against the third party information, the appeal by the concerned third party shall be made within thirty days from the date of the order.

A second appeal against the decision of the appellate authority may be made before the Central/ State Information Commission within ninety days from the date the decision should have been made or was actually received. The decision of the Central Information Commission is binding on the parties.

21.10 ORDERS IN APPEAL

In deciding the appeal, the Central Information Commission may pass the following orders:

- (a) require the public authority to take necessary steps for compliance with the the Act including;
 - (i) by providing access to information in a particular form;
 - (ii) by appointing a Central Public Information Officer; etc.;
- (b) require the public authority to compensate the complainant for any loss or other detriment suffered;
- (c) impose any of the penalties provided under this Act;
- (d) reject the appeal.

21.11 CENTRAL INFORMATION COMMISSION

The Central Information Commission shall consist of:

- (a) the Chief Information Commissioner; and
- (b) Central Information Commissioners, not exceeding ten.

They are appointed by the President on the recommendation of a committee consisting of:

- (i) the Prime Minister - Chairperson;
- (ii) the Leader of Opposition in the Lok Sabha (if not recognized, the leader of the single largest opposition group); and
- (iii) a Union Cabinet Minister (nominated by the Prime Minister).

The Chief Information Commissioner and Information Commissioners shall be persons of eminence in public life with wide knowledge and experience in law, science and technology, social service, management, journalism, mass media or administration and governance. They shall not be a Member of Parliament or Member of the Legislature of any State or Union Territory may be, or hold any other office of profit or connected with any political party or carrying on any business or pursuing any profession.

They shall hold office for 3 years or the tenure as prescribed by the Central Government or up to the age of 65 years, whichever is earlier, and shall not be eligible for reappointment. An Information Commissioner on vacating the Office is eligible for appointment as the Chief Information Commissioner.

The headquarters of the Central Information Commission shall be at Delhi and may, establish offices at other places in India.

21.12 STATE INFORMATION COMMISSION

The State Information Commission shall consist of:

- (a) the State Chief Information Commissioner; and
- (b) State Information Commissioners, not exceeding ten.

They are appointed by the Governor on the recommendation of a committee consisting of:

- (i) the Chief Minister - the Chairperson;
- (ii) the Leader of Opposition in the Legislative Assembly (if not recognized, the leader of the single largest opposition group); and
- (iii) a Cabinet Minister (nominated by the Chief Minister).

They shall be persons of eminence in public life with wide knowledge and experience in law, science and technology, social service, management, journalism, mass media or administration and governance. They shall not be a Member of Parliament or Member of the Legislature of any State or Union territory, as the case may be, or hold any other office of profit or connected with any political party or carrying on any business or pursuing any profession.

They shall hold office for 3 years or the tenure as prescribed by the Central Government or up to the age of 65 years, whichever is earlier, and shall not be eligible for reappointment. A State Information Commissioner on vacating the Office shall be eligible for appointment as the State Chief Information Commissioner.

21.13 PENALTIES

The Central Information Commission may impose a penalty of ₹250 for each day till the information is furnished subject to a maximum of ₹25,000, after giving to the parties an opportunity to be heard.

The Commission may recommend disciplinary action against the Central Public Information Officer under the service rules if he:

- (i) without reasonable cause persistently failed to receive an application; or
- (ii) has not furnished the information within the time specified; or
- (iii) with mala fide intent denied the request for information; or
- (iv) knowingly has given incorrect, incomplete or misleading information; or
- (v) destroyed information which was the subject of request; or
- (vi) obstructed in furnishing the information.

21.14 ACT TO HAVE OVERRIDING EFFECT

The provisions of this Act shall have effect notwithstanding anything inconsistent therewith contained in the Official Secrets Act, 1923, and any other law for the time being in force or in any instrument having effect by virtue of any law other than this Act. No court shall entertain any suit, application or other proceeding in respect of any order made under this Act and no such order shall be called in question otherwise than by way of an appeal under this Act.

However, the Act does not apply to the intelligence and security organisations specified in the Second Schedule of the Act, being organisations established by the Central Government or any information

furnished by such organisations to that Government. However, the information pertaining to the allegations of corruption and human rights violations shall not be excluded under this provision. In the case of information sought for is in respect of allegations of violation of human rights, the information shall only be provided after the approval of the Central Information Commission.

Similarly, the Act does not apply to intelligence and security organisation being organisations established by the State Government, as that Government may, from time to time specify. However, the information pertaining to the allegations of corruption and human rights violations shall not be excluded under this provision. In the case of information sought for is in respect of allegations of violation of human rights, the information shall only be provided after the approval of the State Information Commission.

21.15 LET US SUM UP

The Right to Information Act, 2005 secures access to information under the control of public authorities to the citizens. The Act aims at promoting transparency and accountability in the working of every public authority and containing corruption. The Chief Public Information Officers and Central Assistant Public Information Officers are appointed by the public authorities. The Central Government constitutes the Central Information Commission and the State Government, the State information commission. RTI Act is applicable to banks and other institutions also owned and controlled by the Government. RTI provides for exemption from disclosure of information including commercial confidence trade secrets. The exemption is available to the banks if the disclosure of information is likely to harm the competitive position of the bank itself.

21.16 KEYWORDS

Appropriate Government; Central Information Commission; Central Public Information Officer; Central Assistant Public Information Officer; Information; Right to Information; State Information Commission, Public Information Officers, The Right to Information Act, 2005, Central Information Commission

21.17 CHECK YOUR PROGRESS

1. Every citizen is entitled to seek information under the Right to Information Act from a public authority. (True/False)
2. Public authority means _____.
 - (a) an authority established by the Government;
 - (b) an authority established by law;
 - (c) a non Government organisation;
 - (d) any authority or body or institution of self government established or constituted by or under the Constitution, by any other law made by Parliament; by any other law made by State Legislature; by notification issued or order made by the appropriate Government.
3. Central Government appoints Central Public Information Officer in every public authority. (True/False)

4. Right to Information means the right to ____.
- (a) inspection of work, documents and records;
 - (b) taking notes, extracts, or certified copies of documents or records;
 - (c) taking certified samples of materials;
 - (d) all the above and obtaining information in the form of diskettes, floppies, etc., of information stored in a computer or in any other device.
5. Central Assistant Public Information Officer has to forward the request for information to the concerned public authority within five days of the receipt of the request if it does not relate to his organisation. (True/False)

21.18 ANSWERS TO 'CHECK YOUR PROGRESS'

1. True 2. (d) 3. False 4. (d) 5. True.

MODULE B

FUNCTIONS OF BANKS

Unit 22. Principles of Lending, Different Types of Borrowers, and Types of Credit Facilities

Unit 23. Appraisal and Assessment of Credit Facilities

Unit 24. Operational Aspects of Loan Accounts

Unit 25. Types of Collaterals and Their Characteristics

Unit 26. Different Modes of Charging Securities

Unit 27. Documentation

Unit 28. Non-Performing Assets/ Stressed Assets

Unit 29. Important Laws Relating to Recovery of Dues

Unit 30. Contracts of Indemnity

Unit 31. Contracts of Guarantee & Bank Guarantee

Unit 32. Letters of Credit

Unit 33. Deferred Payment Guarantee

Unit 34. Laws Relating to Bill Finance

Unit 35. Personal Finance

Unit 36. Priority Sector Advances

Unit 37. Agricultural Finance

Unit 38. Finance To MFIs/ Co-Lending Arrangements With NBFCs

Unit 39. Micro, Small and Medium Enterprises In India

Unit 40. Government Sponsored Schemes

Unit 41. Self-Help Groups

UNIT 22

PRINCIPLES OF LENDING, DIFFERENT TYPES OF BORROWERS, AND TYPES OF CREDIT FACILITIES

STRUCTURE

22.0 Objectives

22.1 Introduction

22.2 Principles of Lending

22.2.1 Cardinal Principles of Lending

22.3 Types of Borrowers

22.3.1 Individuals

22.3.2 Proprietorship Firm

22.3.3 Partnership Firm

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22.3.7 Trusts and Co-operative Societies, etc.

22.3.8 Limited Liability Partnerships (LLP)

22.4 Types of Credit Facilities

22.4.1 Concept of Working Capital

22.4.2 Adequacy of Working Capital

22.4.3 Need for Long Term Funds

22.4.4 Difference Between Term Loans and Working Capital Facilities

22.5 Fund Based Working Capital Facilities

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22.6 Term/ Demand Loans

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22.7 Non-fund Based Facilities

22.8 Other Credit Facilities

22.9 Let Us Sum Up

22.10 Keywords

22.11 Check Your Progress

22.12 Answers to 'Check Your Progress'

22.0 OBJECTIVES

After reading this Unit, you will:

- Know the principles or basics of lending by banks.
- Learn about assessing a borrower and his credit requirements
- Understand the concept of working capital.
- Know the legal aspects pertaining to different borrowers;
- Know about various types of credit facilities and the laws governing them;

22.1 INTRODUCTION

One of the prime functions of a banker is lending money. The banker while lending should follow sound principles of lending and should assess the permissible limits of finance on the basis of accepted norms. In its business of lending money, a banker shall acquaint himself with various laws governing different types of borrowers.

The advances portfolio of a bank indicates its dynamic personality. A banker, to grow in the business of banking, should have a thorough knowledge of the requirements of his customer and should be in a position to cater to the needs of the customer. A banker for his success, as a lender, is required to acquaint himself with various types of credit facilities that are presently in vogue in business of lending and is required to understand the legal relationship existing under different credit facilities.

22.2 PRINCIPLES OF LENDING

22.2.1 Cardinal Principles of Lending

The business of lending is not without certain inherent risks, especially when the lending banks depend largely on the borrowed funds. The cardinal principles of lending are, therefore, as follows:

- | | | |
|-------------|------------------------------|-------------------|
| (a) Safety | (b) Liquidity | (c) Profitability |
| (d) Purpose | (e) Diversification of Risks | (f) Security |

(a) Safety

Safety first is the most important principle of good lending. When a banker lends certain monies, he has to ensure that the advance is safe and that the money lent will come back. The banker is a custodian of public funds and lends money entrusted to his care by the depositor to be repaid in accordance with the tenure of the deposit. The repayment of loans depends upon the borrower's (i) capacity to pay, (ii) willingness to pay, and (iii) income generation. The banker must, therefore, take utmost care in satisfying about these aspects.

(b) Liquidity

It needs to be ensured that money lent is not locked up for a long time. The money should return to the bank as per the repayment schedule. Banks adopt asset liability management to manage liquidity of funds to ensure meeting their liabilities to depositors as they arise. Commercial banks are essentially short term lenders as they have to repay the deposits as and when they mature or demanded. In order that the banks do not run the risk of being illiquid or fail to pay the depositor banks prefer to lend for working

capital purposes where the advance is technically repayable on demand. If not paid on demand, the bank will resort to sale of assets charged. Therefore, the assets must have marketable/saleable value to cover the loan dues.

(c) Profitability

A fair return on investment is essential in the case of lending by banks. Banks are commercial organisations and profit earning is the motto of banks to pay adequate dividend to the stakeholders. An interest margin of three to four per cent between lending and borrowing is essential to meet their administrative expenses. Pricing of advances is an important exercise. Rates of Interest on advances depend on the category of advance as well as the credit rating of the borrower/ risk perception. While looking at profitability, it is prudent for to consider the overall profitability from all businesses of a customer instead of for product or service availed separately. Possibly a customer may not be remunerative for one service, but this may be more than compensated for another service. It is, therefore, advisable to do a Customer Profitability Analysis (CPA). Such an analysis is helpful in pricing a product.

(d) Purpose

Banks do not and cannot lend merely because someone asks for a loan. If a borrower has to repay the money he/she will have to use it wisely and not merely spend the same. In view of this banks lend for productive purposes. Loans for undesirable and speculative purposes cannot be granted. RBI has specified certain prohibited sectors for lending. Banks also lend for consumption purposes such as personal loans, loans for medical expenses, educational expenses, leisure travel and tour, purchasing cars and two wheelers, housing loans, etc.

(e) Diversification of Risks

Diversification is another important principle governing lending. A banker should avoid concentration risk i.e. not expose the bank to a single/ group of borrower/s or purpose or geography. An industry or trade may be subject to business cycles and prices of goods and commodities may have sharp fluctuations. Political disturbances in a particular part of the country may paralyze business in that area. Natural calamities such as earthquakes and floods may impact the business and even result in stoppage of activities. In a free and globalised market, failure in one sector affects the other. An example of this is the global economic meltdown which affected several countries that was believed to be caused by the global financial/sub-prime crisis.

(f) Security

The security offered against the loans may consist of a large variety of items. It may be a plot or land, a building, a flat, a shop, ornaments, insurance policies, shares, debentures, bonds etc. There may be cases where there is no security except the personal commitment. The banker must realise that a security is only a cushion to fall back upon in case of need. The security and its adequacy alone should not form the sole consideration for judging the suitability of a loan.

The 7 Cs of Credit is another conceptual framework used by financial institutions and other non-bank lenders to evaluate the creditworthiness of a borrower, as well as the strength of an overall borrowing request. The 7 Cs are:

Character, Capacity, Capital, Collateral, Conditions, Cash Flows and Creditworthiness

22.3 TYPES OF BORROWERS

Various borrowers can be classified as follows:

- | | |
|--------------------------------------|-----------------------------------|
| 1. Individual | 2. Proprietorship Firm |
| 3. Partnership Firm | 4. Hindu Undivided Family |
| 5. Companies | 6. Statutory Corporations |
| 7. Trusts and Co-operative Societies | 8. Limited Liability Partnerships |

22.3.1 Individuals

Banks lend to individuals for various reasons. Banks can lend to all eligible individuals of sound mind who are not minors. The dealings with individuals are governed by the Indian Contract Act. The bank, while lending to an individual should ensure that the borrower is competent to enter into a contract. Money lent to the following individuals who are not competent to contract cannot be recovered.

(i) *Minor individual*

A person who has not attained the age of eighteen years under Indian Majority Act is considered a 'Minor' in the eyes of law. According to law, a minor is not capable of entering into a contract and a contract entered into by a minor is void. Assets pledged against an advance granted to a minor are not available for appropriation of dues.

Exceptions: The only exception recognised is of supply of necessities to him. If a bank lends money to a minor to meet the expenses for purchasing necessities of life, then bank can recover the money from the estate of the minor. Section 68 of the Indian Contract Act says that the property of a minor is liable for such loans. Guardians may borrow on behalf of the minors.

(ii) *Not of sound mind*

If a person is not of a sound mind, then he is incompetent to enter into a contract as per Section 12 of the Indian Contract Act, 1872. A person will be considered not of sound mind if, at the time when he makes the contract, is not capable of understanding it and of forming a rational judgement as to its effect upon his interests. So a contract would be invalid if it is proved that the borrower when entering into it was not in sound state of mind and could not understand what he was doing and the implications of entering into contract.

(iii) *Disqualified person*

There may be statutory disqualifications imposed on a person in respect of her capacity to contract. For example, a person, declared as insolvent cannot enter into contract, so long as she continues to be a non-discharged insolvent. The contract entered into by such a person is not enforceable as per Section 11 of the Indian Contract Act.

(iv) *Married Woman*

Law does not debar a married woman to seek advance from a bank. She should therefore be treated on the same footing as a man. She must have independent means and borrowings should be commensurate with her requirements and her ability to repay. Her husband will not be liable for her borrowings, except where he has joined as a co-borrower or a guarantor.

(v) *Purdahnashin Woman*

Purdahnashin is one who observes complete seclusion in accordance with the customs of her community. She is qualified to get an advance sanctioned and has the capacity to enter into a contract. Practical issues may arise at all stages of lending in ensuring the identity of the borrower woman. Possibility exists of plea may of improper and undue influence over her being raised or even of denial of the identity. Such cases would require additional measures and precautions.

(vi) *Illiterate Person*

An illiterate person has the capacity to enter into a valid contract. He/she executes the documents by thumb impression. Signature includes a mark by a person who is unable to write his/her name. Thumb impression is a mark. If both hands are lost, foot thumb (toe) impression is affixed and considered as a mark. While obtaining documents from illiterates, extra precaution to be taken is that documents should be read out and explained to the executants in the presence of witnesses whose names and addresses should be kept on record. A recital to this effect duly witnessed by a third party may be obtained and held with the documents.

22.3.2 Proprietorship Firm

This is a business concern wholly owned by an individual. As such dealings with proprietorship firm are similar to dealing with the owner individual. One issue encountered in lending is the absence of proper accounts and segregation of the individual's account from the business. Like individuals, the dealings with proprietorship firms are governed essentially by the Indian Contract Act.

In accounting, the business is treated as distinct and separate from its owners. This principle is followed to avoid mixing up business transactions of the firm with the personal transactions of the owner. The liability of the sole proprietor is unlimited, and the creditors would have recourse not only against the assets employed in business but also against the private assets of the proprietor.

22.3.3 Partnership Firm

The Indian Partnership Act, 1932 governs a 'Partnership Firm'. Section 4 of the Act says that a partnership is the relation between persons who have agreed to share the profits of a business, carried on by all or any of them acting for all. The relationship between the partners is governed by the partnership deed. Besides, the dealings with a partnership firm are governed by the Indian Contract Act.

(i) *Legal position of a partnership*

A partnership is not distinct from its partners. Section 18 of the Partnership Act reads "Subject to provisions of this Act, a partner is the agent of the firm for the purpose of the business of the firm. The Indian Partnership Act, 1932, provides for registration of a partnership, but does not make it mandatory. It should be ascertained whether the firm is registered or not.

(ii) *Authority of the partners*

If a partner does an act in the usual course of business of the firm, then his act binds the firm. This authority of a partner to bind the firm is Implied Authority (Section 19 of the Indian Partnership Act, 1932). Section 22 of the Indian Partnership Act, 1932, adds that the act which was done by the partner to bind the firm must be done in the name of the firm or in any other manner which implies an intention to bind the firm.

Any partner in a trading partnership (as opposed to a non-trading one i.e., a firm of solicitors/or accountants) has certain implied powers. These are: power to borrow money on behalf of the firm for the firm's ordinary course of business; power to sell or pledge any of the partnership property. A partner in a non-trading firm has no such implied powers, except possibly in the drawing and endorsing of cheques. A partner cannot give a guarantee on behalf of the firm unless it is in the activity of furnishing guarantee that is usual practice of the particular trade. A partner does not have the authority to submit a dispute to arbitration or to commit his partners to being partners in another firm.

(iii) Essential ingredients of a partnership firm

- (a) There must be an Association of two or more persons (does not include firms). Two partnerships cannot enter into a partnership although all the partners of the firms may form a separate partnership, not exceeding the prescribed maximum number. As per Sec. 464 (1) of the Companies Act, 2013 the maximum number that can be prescribed is one hundred. Currently as per the Companies (Miscellaneous) Rules, 2014, the maximum number is 50 for a partnership for the purpose of gain.
- (b) There must be an express or implied agreement between the Partners to do a business for gain.
- (c) There must be a business i.e. trade, occupation or profession" that must be legal.
- (d) There must be sharing of profits and losses of the business, except for distinct understanding for some partner sharing only profit but not loss.
- (e) The business must be carried on either by all or by any of the partners of the firm. These entities are not partnership: a society, an association, a club, a joint Hindu Family, a co-ownership.

(iv) Registration of a Partnership Firm

- (a) **Need for Registration:** The Act contemplates registration of firms, and not the partnership deed. The Partnership Act does not provide for compulsory registration of firms. So mere non-registration would not affect the carrying on of business and giving effect to the partnership deed. But certain constraints from which an unregistered firm could suffer, encourage partners to register firms. Registration is evidence of the existence of a partnership. Partners of a registered partnership cannot deny existence of partnership firm, hence affording protection to outsiders dealing with the firm. It is also in the interest of the partners themselves to have the firm registered. Else, if the firm's registration is not done, then the firm or any other person on its behalf cannot file a suit against a third party or against any partner of the firm, for breach of contract which the firm has entered into.
- (b) **Procedure:** Application for registration of a firm is submitted, within one year of forming, to the Registrar of Firms. with a statement in the prescribed form, along with the fee, stating:
Name of the firm, Place or principal place of business of the firm, Names of any other place where the firm carries on business, Date of joining of each of the partners, Names in full and permanent addresses of the partners, Duration of the firm-length of time for which the firm wants/ proposes to conduct the business.
- (c) **Certificate of Registration:** Registrar records an entry of the statement in the Register of Firms, files the original statement, and grants the certificate of registration. Also, any change in and the dissolution of a firm, and also withdrawal of a partner are recorded.
- (d) **Rectification of Mistake:** The Registrar can rectify any mistake in the entry in the Register of firms. Rectifications can be in respect of any place of business omitted or name of any person wrongly noted, and these do not affect the registration.
- (e) **Inspection:** The Register of Firms, the statements, notices and intimations filed with the Registrar are open to inspection by any person on payment of a prescribed fee.

- (f) **Copies of Entries:** Any person can obtain a copy of any entry or portion in the Register of Firms by making an application to the Registrar and paying prescribed fee. These entries are conclusive proof of the fact as against any person by whom or on whose behalf such statement, intimation or notice was signed.
- (g) **Penalty:** Any person who signs any statement, amending statement, notice or intimation which is false or incomplete that he knows or believes to be so is punishable with imprisonment of up to three months, or with fine or both.
- (h) **Consequences of Non-Registration of a Firm:** Effects of non-registration of firm are of four types.
 - (i) **Suits by Partners Inter se:** A partner or any one on his behalf can institute in any Court a suit against the firm or against any other partner of the firm to enforce a right, arising from a contract or conferred by the Partnership Act, including a claim of set off or other proceeding for a right from a contract. The Supreme Court in the case of *Loon Karan Sethia* (AIR 1977 SC 336) has held that this provision for registration is mandatory in character and its effect is to render a suit by the plaintiff in respect of a right vested in him or required by him under contract, which he entered into as a partner of an unregistered firm, whether existing, or dissolved as void.
 - (ii) **Suit by a Firm Against Third Parties:** No suit to enforce a right arising from a contract, including a claim of set off or other proceeding to enforce a right arising from a contract, can be instituted in any Court, by or on behalf of a firm against any third party, unless the firm is registered and the persons suing have been shown in the Register of Firms as partners in the firm. The bar under this section applies to rights arising out of a contract only and not in respect of other rights, like - the right to enforce a contract embodied in a negotiable instrument, right to eject a landlord, right to determine the liability of the landlord, etc.
 - (iii) **Exceptions:** There are two exceptions:
 - (a) The enforcement of right to sue for dissolution of a firm, or for accounts of a dissolved firm or any right or power to realise the property of the dissolved firm.
 - (b) The powers of an official assignee receiver or Court, under the Presidency Towns Insolvency Act, 1909 to realise the property of an insolvent partner.
 - (iv) **Non-application of Section 69 to Certain Suits:**

The bar does not apply to suits of Small Cause nature, value of which not exceeding ₹ 100. But when a suit or cross-objection is not cognisable either by the Presidency Court of Small Causes or by the Small Causes Court, the Section 69(4)(b) will not apply even though the relief for accounts may be value at ₹ 100.
 - (v) **Business of Partnership Firm: How is it done?**
 - (a) **Rights and Duties of Partners:** Rights and duties of the partners are determined by the deed of partnership. It provides for opening of bank accounts, borrowing powers, signing of cheques, etc. Generally, a managing partner conducts the business on behalf of the other partners. A banker dealing with a partnership firm should ensure that the business is conducted as per the partnership deed. If the managing partner does not have the powers to conduct certain transactions then, it should be ensured, that consent of all partners are obtained.
 - (b) **Partnership firm and transactions in immovable property** Section 19 of the Indian Partnership Act, 1932 states that a partner cannot affect the transfer of immovable property of the firm unless expressly authorised. When firm's immoveable property as security, it should be ensured that the

partner creating the mortgage is expressly authorised, or all the partners jointly create mortgage. The memorandum of deposit should be signed by all the partners. A partner does not have implied authority to act on behalf of all the partners in executing a mortgage deed (Sec.19 of the Indian Partnership Act, 1932). In case of legal mortgage, concurrence of all the partners is required, either in the mortgage deed itself or in a deed authorizing a partner to execute the mortgage deed on behalf of him and other partners.

- (c) **Insolvency of the firm:** On receiving notice of insolvency of the firm, any further transactions in the account must be immediately stopped irrespective of the account being in credit or debit. In case of credit balance, if the banker does not intend to set off the same against the dues in any other account, it has to be handed over to the official receiver appointed by the Court or as directed by the Court. In case it is in debit, the bank would be required to prove the debt before the Court, and thereafter will be entitled to receive payment from the Official Receiver either in full or as per the dividend declared by the Court.
- (d) **Insolvency of the partner:** If at the time of insolvency of one of the partners, the firm's account is in credit then the other partners can operate the same. The bank should obtain a fresh mandate and previous cheques issued by the insolvent partner may be paid only if the other partners confirm. In case, the account is in debit then further transactions in the account should be stopped so that the rule in Clayton's case does not apply.
- (e) **Death of a partner:** The death of a partner dissolves the partnership firm. Hence upon receipt of such information, bank should stop the transactions in a running credit facility like cash credit/ overdraft to crystallise the liability of the deceased partner and make his/her estate liable for its dues. Bank may allow the transactions in a separate account so that the business of the firm is not adversely affected.

(vi) Dealing with a partnership firm

While entertaining a loan proposal of a partnership firm, the following requirements are important:

- (a) The firm should be a registered one;
- (b) To scrutinize the partnership deed for any provisions that may put the loan into a jeopardy;
- (c) If one of the partners is a Limited Company, bank's charge should be registered with ROC.

22.3.4 Hindu Undivided Family (HUF)

Under Hindu Law, an HUF is a family which consists of all persons lineally descended from a common ancestor and includes their wives and unmarried daughters. An HUF cannot be created under a contract, it is created automatically in a Hindu Family. Hindu Undivided Family ('HUF') is treated as a 'person' under section 2(31) of the Income-tax Act, 1961. HUF is a separate entity for the purpose of assessment under the Income-tax Act, 1961.

(i) Features of Hindu Undivided Family

- (a) **Constitution of a HUF:** A HUF consists of male members descended lineally from a common male ancestor, together with their mothers, wives or widows and unmarried daughters bound together by the fundamental principle of family relationship which is the essence and distinguishing feature. It includes all the members of the family, and the male member of the family gets right in the ancestral property by birth. A major male member of HUF is called co-parcener.
- (b) **Law governing HUF:** HUF is governed basically by two schools of thought: Dayabhag Law (in Bengal and other parts of erstwhile Bengal province), and Mitakshara Law (in other parts of India). The

major difference between the two is in respect of the right over the ancestral property. In Mitakshara Law the right over ancestral property is by succession, whereas in Dayabhag Law, the son acquires the right over the ancestral property for the first time on the father's death, i.e. by survivorship.

The law governing HUF is codified under Hindu Code and succession among Hindus is governed by the Hindu Succession Act, 1956. The Hindu Succession Act applies

- (i) To any person, who is a Hindu by religion, in any of its forms or developments including a Virashaiva, a Lingayat or a follower of the Brahmo Samaj, Prarthana Samaj or Arya Samaj.
- (ii) To any person who is a Buddhist, Jain, or Sikh by religion; and
- (iii) To any other person who is not a Muslim, Christian, Parsi or Jew by religion unless it is proved that such person would have been governed by the Hindu law or by any custom or usage of that law for any of the matters in that if the Act had not been passed.

The Hindu Succession (Amendment) Act, 2005 has given equal rights to male and female in the matters of inheritance, so a daughter also acquires status of coparcener in a HUF. In view of this, in the absence of any male member or if all male member(s) is/are minor; a Hindu female member can become Karta/manager of HUF.

- (c) **Status of a HUF:** A HUF cannot be termed as a 'person', but is a group of persons. HUF has its own PAN issued by IT Authorities. It is necessary to know whether an HUF is formed under Dayabhaga law or Mitakshara Law.
- (d) **Management of business of a HUF:** In a HUF, as long as members remain undivided, the senior most male member of the family (called 'Manager' or 'Karta') is entitled to manage the family properties. Upon the death of the Karta, a male coparcener can become a Karta. However, a male minor can act as a Karta of HUF through his natural guardian. In case of disagreement amongst the coparceners as to who should be the Karta of HUF, a Court may appoint a Karta till such time the coparceners decide about their choice.

'Karta' occupies a position superior to that of the other members insofar as he manages the family property or business or looks after the family interests on behalf of the other members. This authority comes to a person by birth and he does not owe it to the consent of other co-parceners. The liability of the 'Karta' is unlimited, whereas the liability of the co-parceners is limited to their shares in the joint family estate. When adult coparceners join the contract themselves along with the Karta or ratify the contract entered into by the Karta, they become personally liable for the loan. Banks prefer to get all documents executed by the Karta and coparceners, apart from obtaining the HUF letter.

The Karta has the authority to borrow money for the family or ancestral business. But the burden of proof regarding necessity for a loan for the family purposes, or not, lies on the lender. Alienation of HUF property i.e., transfer for value, by the Karta made without legal necessity is not void but voidable at the option of other coparceners. They may affirm or repudiate such action of the Karta.

- (e) **Powers and duties of the Karta:** A 'Karta' has the following powers and duties:

Powers: Powers of the manager are as follows -

Right to possession and management of the joint family property; Right to income from the joint family property; Right to represent the joint family; Right to sell the joint family property for family purpose.

Duties: Duties of Karta are as follows -

Duty to run the family business and manage the property for the benefit of the family; Duty to account for the income from the joint family business and property.

(ii) Banker and his dealings with HUF

Bank dealing with a HUF should know the 'Karta' and ensure that 'Karta' deals with the bank and borrows only for the benefit of joint family business. The application to open an account must be signed by all the members and all adult members should be made jointly and severally liable for any borrowings or the account being overdrawn.

22.3.5 Companies

A company is a juristic person created by law (Indian Companies Act, 1956 - modified in 2013), having a perpetual succession and is distinct from its members. It has rights, liabilities, powers and duties prescribed by law. It can do all acts as a natural person may do.

(i) Characteristics of a Company

A company has a 'Corporate Personality' separate from all the members who have formed it unlike a partnership firm. Because of this, a company incurs all the liabilities and possesses all rights of a natural person subject to the regulation of law. The classical judgment of the [House of Lords in Salomon vs. Salomon & Co. Ltd. \(1897\) AC 22](#) lays down the principle of 'corporate personality'.

One Mr. Salomon who was individually carrying on the business of boot and shoe manufacture, incorporated a company named 'Salomon & Co. Ltd.' with seven of his family members. This company took over the personal business assets of Mr. Salomon for 38,782 pounds and in turn Mr. Salomon took 20,000 shares of one pound each and debentures worth 10,000 pounds, for which there was a charge on the company's assets and balance in cash. All the family members took one share of a pound each. The company went into liquidation and various unsecured creditors contended that Mr. Salomon could not be treated as a secured creditor of the company in respect of debentures held by him. The House of Lords after hearing the arguments held that:

"The company is by law a different person altogether from its shareholders and though it may be that after incorporation, the business is precisely the same as it was before and the same persons are managers and the same hands receive the profits; the company is not in law the agent of the shareholders or trustees for them. Nor are the shareholders liable in any shape or form except to the extent and the manner provided in the Act."

The Salomon Case for the first time authoritatively and clearly established the fact that a company has its own existence or personality, which is separate and distinct from its members and as a result a shareholder cannot be held liable for the acts of the company, even though he holds virtually the entire share capital. The case also recognised and accepted the concept of limited liability. The legal status and position of a company has been aptly described by Supreme Court in [Tata Engineering and Locomotive Company Ltd. vs State of Bihar \(AIR 1965 SC 40\)](#) in the following words:

"The corporation in law is equal to a natural person and has a legal entity of its own. The entity of the corporation is entirely separate from that of its shareholders; it bears its own name and has a seal of its own; its assets are separate and distinct from those of its members and it can sue and be sued exclusively for its own purpose; its creditors cannot obtain satisfaction from the asset of its members; the liability of the members or the shareholder is limited to the capital invested by them. Similarly, the creditors of the members have no right to the assets of the corporation."

The main characteristics of a company are summed up as under:

- (i) Company is a voluntary association of persons coming together to carry on business for profit.

- (ii) It has perpetual existence. Change in its members does not affect its existence or identity. Only law can dissolve it.
- (iii) The shares of joint stock companies are freely transferable. For a private limited company, legal restrictions apply on transferability of shares. A member can dispose shares as per his choice, subject to any regulation of the company.
- (iv) The shareholder's liability is limited to the nominal value of the shares held. A shareholder is not required to pay more than the unpaid value of his shares. For a company limited by guarantee, the members are liable only to the extent of the amount guaranteed when the company goes into liquidation.
- (v) A company is entitled to own and hold property in its own name.
- (vi) A company can sue and be sued in its own name.

(iii) Types of companies

Under CA 2013, a company is registered as a Public company or a Private company.

- (a) **Types as per Liability:** A company may be classified depending on shareholder liability –
 - (i) Companies limited by shares,
 - (ii) Companies limited by guarantee with or without share capital, and
 - (iii) Unlimited companies with or without share capital.
- (b) **Private company:** A private company by its Articles of Association -
 - (i) Restricts the right to transfer its shares;
 - (ii) Limits the number of its members to 200, (except One Person Company)
 - (iii) Prohibits invitation to the public to subscribe for any securities of the company.
- (c) **Public company:** A public company, is not a private company, and has no similar restrictions -
 - (i) Shares are freely transferable
 - (ii) No restriction on number of members
 - (iii) Public at large can participate in its share capital.

A company, which is a subsidiary of a company, not being a private company, is deemed to be public company even where such subsidiary company continues to be a private company in its articles.

- (d) **Government Company:** Any company, in which the Central Government or any State Government(s) or partly both these, has/ have not less than fifty-one per cent of the share capital, is called Government Company. A subsidiary of a Government company is also included in this category.
- (e) **One Person company:** It is a company which has only one person as member. An OPC may lose its status if paid up capital exceeds ₹50 lakh or average annual turnover is more than ₹2 crore in three immediate preceding consecutive years.
- (f) **Small Company:** It is a company, other than a public company, with –
 - (i) Paid-up share capital not exceeding ₹50 lakh and
 - (ii) Turnover as per its last profit and loss account not exceeding ₹2 crore

This excludes a holding company or a subsidiary company; a company registered under section 8; and a company or body corporate governed by any special Act.

- (g) **Other Types of Companies:** Companies are classified based on place of incorporation and the control:
 - (i) Foreign company
 - (ii) Holding company
 - (iii) Subsidiary company.

- (i) **Foreign Company:** Any company or body corporate incorporated outside India which:
 - (a) Has a place of business in India - by itself or through an agent, physically or through electronic mode; and
 - (b) Conducts any business activity in India in any other manner.
- (ii) **Holding Company:** A company, in relation to one or more other companies, of which such companies are subsidiary companies.
- (iii) **Subsidiary Company:** A company, in which the holding company -
 - (a) Controls the composition of the Board of Directors; or
 - (b) Exercises or controls more than one-half of the total - voting power; either of its own or together with one or more of its subsidiary companies.

The class or classes of holding companies as prescribed shall not have layers of subsidiaries beyond prescribed numbers. A company is deemed to be a subsidiary company of the holding company even if the control is of another subsidiary company of the holding company. The composition of a company's Board of Directors shall be deemed to be controlled by another company if that other company by exercise of some power exercisable by it at its discretion can appoint or remove all or a majority of the directors.

(iii) Basic Laws Governing Companies

In India, now companies are registered and governed by the Companies Act, 2013. (CA 2013)

- (a) **Number of Members:** CA 2013 provides that a company may be formed for any lawful purpose by 7 or more persons for public company; by 2 or more persons, for a private company; and by one person for One Person Company. Further, an association or partnership firm carrying on any business for gain cannot have more than prescribed number of persons (maximum 100). The Companies (Miscellaneous) Rules 2014 has prescribed the maximum number of persons in an association or partnership to be 50, on exceeding this, if not registered as a Company, it will be illegal.
- (b) **Incorporation of Company:** CA, 2013 provides on the basis of documents and information (including the memorandum and articles of the company duly signed by all the subscribers to the memorandum) filed with the Registrar, within whose jurisdiction the registered office of a company is proposed to be situated, it shall register all the documents and information in the register and issue a certificate of incorporation.
- (c) **Requirements of forming a company:** The promoters have to decide— Name of Company, Type of Company, Memorandum of Association (MoA) and Articles of Association (AoA), The business and objects of a company and the rules and regulations governing its management are known by two important documents called 'Memorandum of Association' and 'Articles of Association'.
- (d) **What is Memorandum of Association?:** The MoA is the charter of the company, and enables the shareholders, creditors and those dealing with the company to know its permitted range of business. It contains the following details among others:

Name of the company; State where the registered office is to be situated; Objects; Liability of the members; and Share capital and its division.

It defines the area within which the company can act. Hence it should have the object for which the company has been formed and various businesses it can undertake, etc. MoA must be examined to check that the business undertaken by the company is within its objects, if not, any loan to the company would not be recoverable.

- (e) **What is Articles of Association?:** AoA are rules and regulations governing the internal management of the company. They define the powers of the officers of the company. AoA is subordinate to MoA and contains the following details:
Number of directors of the company; Procedure for conducting meetings of the shareholders, board of directors, etc.; Procedure for transfer and transmission of shares; Borrowing powers of the company; Officers of the company and other details.
- (f) **Name of company:** The MoA of a company should state the name of the company. The promoters are required to submit at least three suitable names in the order of preference. The name of a company must end with the word 'limited' for a public company and the words 'private limited' for a private company. For a Section 8 Company the word 'limited' can be dispensed with by obtaining a licence from the Regional Director. Act prohibits any name of which is undesirable, which is identical with or too nearly resembles the name of an existing company. Also, a company cannot use a name prohibited under the Emblems and Names (Prevention of Improper Use) Act, 1950. Also, the name should not be misleading or intended to deceive with reference to objects clause.
- (g) **Certificate of Incorporation:** On the registration of the MoA the Registrar shall certify under his hand that the company is incorporated. A Certificate of Incorporation (CoI) is issued to this effect. The company comes into being from the date of incorporation mentioned in the CoI.
- (h) **Commencement of Business:** In July 2019, CA 2013 providing that a company having a share capital shall not commence any business or exercise any borrowing powers unless
 - a. a declaration is filed (within 180 days of the date of incorporation) by a director with the Registrar that every subscriber to MoA has paid the value of the shares agreed to be taken by him; and
 - b. The company has filed with the Registrar a verification of its registered office.
- (i) **Common seal optional:** CA 2013 required common seal to be affixed on certain documents (such as bill of exchange, share certificates, etc.) that has been made optional. Instead these may be signed by two directors or one director and the company secretary of the company.
- (j) **Incorporation of Company Limited by Guarantee:** The procedure for incorporation of a company limited by guarantee is similar, with certain distinctions.
 - (i) In MoA of such a company, a clause stating the amount of guarantee is added.
 - (ii) A guarantee company may be a company with or without share capital.
 - (iii) A company formed with no intention to generate profit is usually formed as a guarantee company.
 - (iv) A company limited by guarantee can either be a private or a public company.

22.3.6 Statutory Corporations

There may be corporations established by an Act of Parliament. These are called 'Statutory Corporations'. For example, State Bank of India is established under State Bank of India Act, 1955. Nationalised banks are established under the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 and 1980. These statutory corporations are governed by such Acts.

22.3.7 Trusts and Co-operative Societies, etc.

(i) Clubs, societies, schools and other non-trading associations:

Such bodies, if not incorporated under the laws governing them, cannot enter into any transactions. These bodies are usually governed by the Companies Act or the Co-operative Societies Act and function within the ambit of those laws. For example, clubs can be registered either under the Companies Act, 2013 or

under the Societies Registration Act or the Co-operative Societies Act. In the case of lending to these bodies, a banker should study the bye-laws, rules and regulations applicable to them and ascertain the legality of lending to them.

(iii) Trusts

These are governed by the Indian Trusts Act, 1882, if they are private trusts and by Public Trusts Act if they are public trust, or Religious and Charitable Endowments Act, if they are trusts of Hindus, and in the case of Muslims they are governed by Wakf Act. For dealing with trusts one needs to determine the laws applicable to them and should ensure that lending is within the ambit of the laws.

Trustee: Trustees manage trusts. The powers and duties of the trustees are provided in trust deed and are also regulated by the respective laws applicable to such trusts. For example, in the case of public trusts, Charity commissioners, or Commissioner of Endowments, have the power to supervise the activities of the trusts. The trustee of the Muslim Wakf is called Mutawali and his conduct and functions are regulated by the Wakf Board. Therefore, a banker dealing with a trust should ensure that all the permission required for taking a loan is obtained from respective Government authorities.

Banks may consider taking the following indicative list of documents while opening Trust accounts:

1. Registration certificate
2. Trust deed
3. Permanent Account Number or Form No.60 of the trust
4. Documents relating to beneficial owner, managers, officers or employees, as the case may be, holding an attorney to transact on its behalf.

22.3.8 Limited Liability Partnerships (LLP)

A limited liability partnership is a body corporate formed under the Limited Liability Partnership Act, 2008 and is separate from its partners. LLP has perpetual succession. Any change in the partners does not affect the existence, rights or liabilities of the LLP. An LLP shall have at least two partners. Any individual or body corporate may be a partner in LLP. LLP shall have at least two designated partners, of whom at least one must be resident in India. An individual cannot be a partner, if –

- (i) he has been found to be of unsound mind by a Court and the finding is in force, or
- (ii) he is an undischarged insolvent, or
- (iii) he has applied to be adjudicated an insolvent, and the application is pending.

It is capable of the following in its own name –

- (i) entering into contracts;
- (ii) acquiring, holding, owning, developing or disposing property;
- (iii) suing and being sued; and
- (iv) doing and suffering as a body corporate can lawfully do and suffer.

The LLP is a separate legal entity, is liable to the full extent of its assets. Liability of the partners is limited to their agreed contribution in the LLP. No partner is liable on account of the independent or unauthorized actions of other partners. Mutual rights and duties of the partners within a LLP are governed by an agreement between the partners or between the partners and the LLP as the case may be. The LLP, is not relieved of the liability for its obligations as a separate entity. The incorporation document and other information is filed with the Registrar of the State where the registered office is situated.

Small Limited Liability Partnership means a limited liability partnership—

- (i) the contribution of which, does not exceed ₹25,00,000/- and
- (ii) the turnover of which, for the immediately preceding financial year, does not exceed ₹40,00,000/-.

Bank may consider taking the following indicative list of documents for opening an account for LLP:

- (i) Certificate of incorporation of LLP, (ii) PAN of LLP, (iii) Registered office address proof, (iv) PAN and address proofs of all partners of the LLP, (v) LLP agreement, (vi) Any other document as specified by bank.

22.4 TYPES OF CREDIT FACILITIES

Credit facilities are broadly classified into two types based on funds outflow; they are:

- (i) Fund based credit facilities
- (ii) Non-fund based credit facilities
- (i) **Fund Based Credit Facilities:** These involve the outflow of funds there by, the money of the banker is lent to the customer. They can be generally of following types:
 - (a) Cash credits/overdrafts (b) Term loans/ Demand loans
 - (c) Bill finance
- (ii) **Non-Fund Based Credit Facilities:** In this the bank's funds are not directly lent to the customer and these include:
 - (a) Bank guarantee (b) Letter of credit facility
 - (c) Acceptance facility

The most common method adopted by the banks is to segregate the loan portfolio based on the customer segment into viz. Retail loans and Commercial loans.

The **retail loans** are for the individual customers (some banks include even the small business enterprises in retail segment). Examples of retail loans are: vehicle loans, home loans, education loans, credit cards, personal loans, loans for purchase of consumer durables, small business loans etc.

The **commercial loans** are for comparatively larger amounts and require more personal attention for assessment and monitoring due to the uniqueness of each such loan. Commercial loans are usually classified into Term Loans (having a fixed repayment schedule) and Working Capital loans (which are payable on demand and are classified as current assets in a bank's balance sheet).

22.4.1 Concept of Working Capital

The term working capital denotes the requirement of the money by a manufacturing enterprise for financing of its day-to-day requirements, like:

- (a) Purchase of raw materials, stores and spares.
- (b) Payment of wages to employees.
- (c) Payment of other expenses towards energy, fuel and water consumption, statutory dues, rates and taxes carriage expenses etc.
- (d) Other expenses required to be incurred in connection with the production, selling and administration, etc.

An operating cycle refers to the time it takes a company to buy goods, sell them and receive cash from the sale of said goods. In other words, it denotes the time taken for a company to turn its inventories into cash.

The operating cycle generally differs from industry to industry. As a result the working capital requirement also varies for different industries. Another feature of working capital is that it is of fluctuating nature that is reflected in the changing levels of cash and bank balances of any enterprise on daily basis. This is usually the function of the seasonality of the business activity of the enterprise. Hence, the working capital funding required by an enterprise keeps fluctuating.

There are two concepts of working capital:

- (a) **Gross working capital:** means total working fund requirements, which is funded by the Borrower's Margin plus Sundry Creditors and Other Current liabilities plus Bank finance.
- (b) **Net working capital:** means the excess of total Current Assets over total Current Liabilities, or that portion of a firm's Current Assets that is funded by the Long-term Funds. The long-term resources comprise of Owned Funds of the enterprise, i.e. Paid-up capital/ Reserves including the current year's Profits and Term loans from banks and financial institutions/ Debentures, etc.

22.4.2 Adequacy of Working Capital

A firm should have adequate working capital, i.e. as much as needed for running the business smoothly. It should neither be excessive nor inadequate. Both situations are risky. Excessive working capital means the firm has idle funds, which earn no profits for the firm. Inadequate working capital means the firm does not have sufficient funds for running its operations, which ultimately results in production interruptions leading to reduced profitability and may even lead to losses.

It is interesting to understand the relationship between working capital, risk and return. It is generally accepted that higher levels of working capital decrease the risk and also decrease the profitability. While lower levels of working capital increase the risk but have the potentiality of increasing the profitability also. This principle is based on the following assumptions:

- (i) Higher the risk, higher is the profitability, while lower is the risk, lower the profitability.
- (ii) Current assets are less profitable than fixed assets.
- (iii) Short-term funds are less expensive than long-term funds.

An increase in the ratio of current assets to total assets will result in a decline in the profitability of the firm. This is because investment in current assets is less profitable than those in fixed assets.

However, an increase in this ratio would decrease the risk of the firm becoming technically insolvent. On the other hand, a decrease in the ratio of current assets to total assets would increase the profitability of the firm because investment in fixed assets is more profitable than the investment in current assets. However, this will increase the risk of the firm becoming technically insolvent on account of its possible inability of meeting its commitments in time due to shortage of funds.

Banks extend finance for meeting working capital needs in the form of Cash Credit/ Overdraft facility and Bills Finance. Bill finance is extended in the form of Bill Purchase, Bill Discounting or Advance against Bills for Collection. All these facilities are amenable to fluctuating nature of working capital requirement. Non-fund based facilities namely, Bank Guarantees and Letters for Credit, also serve the purpose of meeting working capital needs enabling the borrower to get credit facility from the supplier or advance funding from the buyer.

22.4.3 Need for Long Term Funds

Business enterprises apart from working capital also need long term funds for meeting financing assets of long term nature. These include fixed assets like those for production facilities, premises for production

plants and offices, furniture and fixtures, equipment and vehicles, etc. Besides, certain funds are also blocked for long term in the nature of deposits for utility services, etc. The primary source for these long-term uses is the capital. However, in order to facilitate entrepreneurs to set up new enterprises or expand the existing ones their resources are supplemented by institutional finance, including bank finance, for long term to be amortized over say 3 to 7 years from the surplus generated from the enterprise. For high investment enterprises the long term funding could also extend up to 15 to 20 years.

Term loans are loans which are payable over a period of more than one year and generally up to ten years. These are availed for acquisition of fixed assets, i.e. land, factory, office building, warehouses, machinery etc., needed for commencing, expanding or modernising its activities. These loans are repaid by the borrowing concerns in installments out of the profits earned. The schedule of repayment and duration of the loan is fixed on the basis of the assessed ability of the undertaking to generate surpluses for making repayments.

There has also been a practice of extending term loan for the purpose of funding a part of the core portion of working capital requirement, in other words the minimum level of working capital required. Over a period of time with repayment of the working capital term loan this portion is funded from own sources, thus enhancing the margin for working capital.

22.4.4 Difference Between Term Loans and Working Capital Facilities

Major difference between term loan and working capital finance lies in the purpose of the finance. As a result, the types of assets created out of these facilities, and the forms in which these advances are made differ. Other differences between these are:

- (a) Term loans are usually of medium- or long-term duration and are repayable in monthly, quarterly or half yearly instalments over an agreed period of time. Whereas working capital facilities are typically granted for one year duration during which it can remain fully drawn. Usually, working capital facilities are renewed at the end of validity period.
- (b) Working capital finance is repayable on demand, and is availed as a running account with frequent drawings and credits in it. Whereas the term loans are disbursed once or in a few tranches over a fixed period of time during project implementation stage, and the repayment of instalments commences on the unit generating surplus, and typically there is no further disbursement.
- (c) It may be noted that the term loan essentially gets repaid within the amortization period determined. However, working capital facility though short-term in nature is of permanent nature, in as much as that it continues as long as the unit is in operation.

22.5 FUND BASED WORKING CAPITAL FACILITIES

Fund based working capital facilities are the main sources of finance for working capital requirements. Essentially, these facilities are designed in a manner that they are linked to the main components of the current assets viz. stocks of various goods and receivables.

22.5.1 Features of Cash Credit and Overdraft Facilities

Cash credit and overdraft facilities are arrangements by which a banker allows the borrower to borrow money up to the sanctioned limit. These are popular modes of borrowing by the commercial and industrial concerns in India, on account of the inherent advantage in it.

The cash credit facility is most prevalent mode of lending for working capital where the bank finance is regular source of funding.

Overdraft account on the other hand is a preferred mode where the need for bank finance for working capital is intermittently felt.

In essence, both the facilities are similar. The only difference is in the nature of balance in the normal course. The usual balance in the account in case of cash credit is in debit i.e. borrowed by the customer, and occasionally it may get into credit i.e. deposit by the customer. In case of overdraft the position is reverse, since it is in fact a current account with borrowing facility.

In these facilities, a customer need not borrow the whole amount of the limit right in the beginning, and at any point of time. They also offer the customer the flexibility of drawing only such amounts as required and when required. This effectively reduces the cost of borrowing for the borrower as the interest is charged on the actual amount drawn on day to day basis.

Another feature of these facilities is that drawings are linked to the level of current assets based on which the extent of drawings are regulated, i.e. drawing power. Thus the amount that a customer can draw viz. the drawing power is determined from the market value of current assets less margin amount at the prescribed rate. The value of current assets usually comprises the value of stock of raw materials, work-in-process and finished goods. Often the amount of receivables is also included for determining the drawing power, except those sales that are covered under bill finance.

- (a) **Cash Credit – A Contract:** Cash credit/overdraft is a contract of lending between a bank and its borrower. The contract of cash credit or overdraft can be express or implied.

In the case of [Bank of Maharashtra vs United Construction Co. & Others \(1986\) \[60 Compo Cases 163 \(Bom\).\]](#), a customer overdrawn his account. There was no written contract for an overdraft. The bank demanded repayment of the money overdrawn with interest. The customer refused to pay interest. The bank therefore, filed a suit for recovery of the monies overdrawn with interest. The Bombay High Court held that there is no need for express contract for an overdraft and directed the borrower to repay the money with interest as there is an implied contract of an overdraft.

- (b) **Rule in Clayton's Case:** The credit facility, given in the form of a cash credit/overdraft is operated normally, through a running account opened and kept by the customer similar to current account. Whenever a customer withdraws money, the account being debited for the amount and whenever the customer pays an amount, the account being credited. Under the law, each item of debit forms a separate loan and each credit as a repayment of the earliest debits. This aspect of discharge of the debit items by subsequent credits was first enunciated in a case, called the Clayton's case. In that case, the Courts held that the first sum of money paid into the account, is deemed to repay the first item recorded on the debit side of the account. For example, if there are two items on the debit side of the customer's current account. a debit of ₹1,000 on 3 March and ₹500 on 6 March, in a year and the borrower pays ₹750 on 12 March; the sum will be appropriated first, by reducing the earlier debit of ₹1,000 rather than decreasing a charge the later debt of ₹500. This creates problems for recovery for the bank. Hence, the bankers, to avoid the rule in the Clayton's case agree on the method of appropriation and treat all debits as one debt.

- (c) **Bank not to Terminate Overdraft Facility without Notice:** Once a bank grants an overdraft facility, then there is a contract between the bank and the customer that is not to be cancellable unilaterally. The [Gujarat High Court vs Indian Overseas Bank considered this in M/s Narain Prasad Govindlal Patel \(AIR 1980 Guj 158\)](#). In this case, a firm was enjoying temporary overdraft facility to a limit

of ₹5,000 with the bank, for a period of four years. No document was executed nor was any security furnished. The bank unilaterally, without notice, terminated the facility with the result that a cheque drawn by the firm was dishonoured by the bank on the ground that there was insufficient balance in the account. The firm claimed damages for wrongful dishonour of the cheque. Both the Trial Court and the Appellate Court allowed the claim of the firm. A further appeal by the bank to the High Court was dismissed, in which the High Court observed:

“The bank grants overdraft facility in order to earn interest. Its constituents enjoy the overdraft facility in order to develop their business. Therefore, both are deeply interested in such an arrangement. Such an arrangement – euphemistically called by Mr. Chhatrapati as a facility – is nothing but a contract. The contract, if it is well settled, can be inferred from the conduct of the parties. The enjoyment of overdraft facility for a period of four years unfailingly points to the conduct of the bank.”

A temporary overdraft facility is not one, which can be terminated unilaterally at the sweet will of the bank without giving its constituent a notice thereof. It is temporary because, it is not intended to be a permanent and everlasting arrangement. Sometimes, a constituent is required to square up his account half yearly. Merely because, the overdraft is called temporary overdraft, it does not stop against the plaintiff drawing a cheque upon the bank in favour of its constituent and in getting it honoured by the bank.

22.5.2 Bill Finance

Bill finance is also one of the important facets of lending by banks for working capital purposes. This facility finances directly the receivables of the borrower on individual sale transaction basis. Generally, the bill finance is conducted through discounting of bills of exchange drawn by the borrower or third persons on the customers of borrower. The loan extended to the borrower is liquidated when the buyer of the borrower pays the discounted bill. Hence this is a self-liquidating type of facility. Where bill finance facility is granted to a borrower, the amount of cash credit facility is lower because the latter in that case is only in respect of stocks.

The methods of bill finance, depending upon payment obligations incurred by the bank, are as given below:

- (i) Bill discounting;
- (ii) Bills purchase;
- (iii) Advance against Bills for Collection
- (iv) Drawee bill acceptance;
- (v) Bills co-acceptance.

In all these cases, the banker extends finance against the bills or undertakes an obligation depending on the nature of bill finance, the first four are fund-based facilities and the last one is a non-fund based facility. Usually a limit is granted for the purpose of the aggregate amount of bill finance to be extended to a borrower at any point of time.

- (i) **Bill discounting:** Usance bills drawn by the borrower on the buyer are discounted by the bank and the amount of the bill less discount and charges is paid to the borrower. The tenor of the bills is as per the credit period agreed to between the borrower and his buyers. The discount amount represents the interest for the period for which the bank advance will remain outstanding (i.e. the unexpired period of the tenor of the bill). The proceeds from the discounted bill are credited to the cash credit/ overdraft account of the borrower. When the bill is paid the amount outstanding in the bills discounted account is cleared. In case of delayed payment of the bill additional interest for the period of delay is recovered.

- (ii) **Bill purchase:** Demand bills drawn by the borrower on the buyer are purchased by the bank and the amount of the bill less bank charges is paid to the borrower. These are used when the payment terms for the sale of the borrower is on immediate basis i.e. there is no credit period. The charges deducted include interest for the period between the date of purchase of bill to the expected date on which the bill will be paid by the buyer, on its presentation. The proceeds from the purchased bills are credited to the cash credit/ overdraft account of the borrower. When the bill is paid the amount outstanding in the bills purchased account is cleared. In case of delayed payment of the bill additional interest for the period of delay is recovered.
- (iii) **Advance against Bills for Collection:** In this mode of bill finance, instead of extending finance for each individual bill separately, as in case of bills discounting or bills purchase facilities, cash credit or overdraft facility against bills under collection is extended. The drawing power is determined based on the total amount of bills under collection less the margin amount. Thus, while in case of bills discounting/ purchase facility there is no margin of the borrower, in this facility the loan extended is lower due to the margin stipulation. The amount of bills paid is directly credited to the cash credit/ overdraft (against bills) account. The interest is calculated on the amount outstanding in this account at any point of time.
- (iv) **Drawee bill acceptance:** This is a reverse of receivable financing. The bank of the buyer pays the amount of bill drawn on the buyer to the seller's bank/ the seller, immediately on acceptance by the buyer. Thus, it is a facility granted to the customer for purchase of goods on credit. This facility can be extended either on individual bill basis or as a cash credit/ overdraft facility, the latter being the more prevalent mode. On due date, the advance is liquidated by the payment made by the customer against the bill that is credited to the cash credit/ overdraft facility account.
- (v) **Bills co-acceptance:** This is a non-fund based facility, in which the banker adds its co-acceptance to the bills accepted by the borrower. This, therefore, acts as a bank guarantee or letter of credit for the seller providing additional comfort on credit sales. In case of need, the seller may seek financing of such bills by a bank.

22.6 TERM/ DEMAND LOANS

Term/ Demand loans are granted to customers generally for meeting the capital expenditure needs of the business. Term loans are granted in one lump sum (or sometimes a few tranches over a period) and are allowed to be repaid over a period in instalments. The schedule of repayment is specified in the loan agreement and the sanction letter itself. Demand loans are those which are repayable on demand and is to be repaid as per a repayment schedule, as agreed upon by the bank. Term loans on the basis of period of repayment are classified into:

- (i) Short-term Loans, (ii) Medium-term Loans, (iii) Long-term Loans.

Usually short-term loans are loans that are repayable within one year, medium-term loans are loans that are repayable within a period of above one year and up to and inclusive of 5 years and long-term loans are loans that are repayable for a period above 5 years. These are just indicative ranges of tenor.

Short-term loans are usually not for the purpose of meeting capital expenditure requirement, but are used for meeting any seasonal or contingent shortfall in working capital. These are in the nature of demand loans repayable at the end of the tenor of short term loans, say 6 months, 3 months, etc. Though these meet the working capital needs, these are not linked with the current assets.

Banks normally extended the short-term and medium-term loans. The development financial institutions usually extended long-term loans. However, with the two main term lending institutions being converted into banks, this distinction waned. Banks therefore entered into long term financing also, including financing of infrastructure projects. Typically banks do not encourage term loans for say beyond seven years. However, in retail banking, housing loans have become a key product for most major banks. Housing loans are repayable over long period of 20-30 years.

22.6.1 Law Relating to Term Loans

Term loans are governed by the agreement entered into between the parties. The loan agreement provides for various eventualities and contains details of the loan, repayment or amortisation schedule and other obligations of the borrower like payment of interests, costs and expenses, etc. Thus term loans are primarily governed by the Indian Contract Act. Let us look at a case decided by the Kerala High Court in respect of term loans.

- (i) **Acceleration of Repayment: P.K. Achuthan vs State Bank of Travancore 1974 K.L.T. 806 (FB):** A question that came up for a decision in this case was, whether a provision in the hypothecation bond to the effect that on a default of the borrower in paying any of the instalments, the lender would be entitled to recover the whole of the debt due, inclusive of the future instalments in one lump sum is legal. The Kerala High Court held that where the contract provides for repayment of money in instalments and also contains a stipulation that on a default being committed in paying any of the instalments, the whole sum shall become payable, then the lender would be entitled to recover the whole sum inclusive of future instalments.
- (ii) **Time within which a suit for recovery shall be filed:** In case of term loans, periodical repayment in instalments is stipulated. In the event of a default in payment of instalments, the bank can institute a suit for recovery of the unpaid instalment. The limitation period for filing a suit in the case of term loans is three years from the date of default of a particular/specific instalment. Besides, the bank is entitled to wait until the due date of the last instalment and then institute a suit for recovery of whole amount. However, if by doing so the time limit gets over in case of some earlier defaulted instalments, bank loses its right against such unpaid instalments. In the case of a demand loan the time limit is three years from the date of default.

22.7 NON-FUND BASED FACILITIES

Non-fund based facilities do not involve an immediate outflow of funds. The banker undertakes a risk to pay the amounts on happening of a contingency, i.e. these are contingent liabilities. Non-fund based facilities can be of following types among others:

- (a) Bank Guarantee facility;
 - (b) Letter of credit facility;
 - (c) Underwriting and credit guarantee; and
 - (d) Derivative products.
- (a) **Bank Guarantee facility:** As per Section 126 in The Indian Contract Act, 1872, Guarantee is a contract to perform the promise, or discharge the liability, of a third person in case of his default. The person who gives the guarantee is called the 'surety', the person in respect of whose default the guarantee is given is called the 'principal debtor', and the person to whom the guarantee is given is called the 'creditor'.

Under this facility, the bank undertakes to discharge the liability of the borrower to third parties. This facility is required by the customers for various purposes to facilitate their business operations. The nature of guarantees includes; performance guarantees, financial guarantees, and deferred payment guarantees. The first two are usually meant for the working capital needs. The deferred payment guarantee is in respect of the liability of the customer in respect of capital goods or for other long term purposes.

Often customers dealing with large organisations or government departments for execution of some supply, fabrication/ manufacturing or servicing orders are required to provide as a commercial security certain amount as deposit or in lieu thereof bank guarantees of equivalent value. Also, when bids are called for there are often requirements of payment of earnest money deposit. After award of the contract, if the terms of the contract involve advance payment by the buyer bank guarantee of equivalent amount is required to be provided by the supplier. Finally, if the contract terms have provision of retention money to be held back by the buyer for certain period after conclusion of the contract, the supplier may provide bank guarantee of equivalent amount. Such guarantees as will be noticed fulfill the requirement of working capital in non-fund based form. These guarantees are broadly divided into performance guarantees and financial guarantees. Some of the specific types are as follows:

- (i) Bid Bond Guarantee
- (ii) Earnest Money Deposit Guarantee
- (iii) Advance Payment Guarantee
- (iv) Retention Amount Guarantee

In case of large contracts, customers also need performance guarantees from banks as an assurance to the buyer about satisfactory completion of the contract by the supplier. In the event of any failure or default by the supplier, the buyer can fall back upon the performance guarantee hence get compensated for financial losses.

- (b) *Letter of credit facility*: Letter of credit or documentary credit facility is another non-fund based facility extended by the bankers to their constituents. Under this facility the banker undertakes to pay the amount on presentation of documents/due dates, as specified in the letter of credit. A letter of Credit is defined as ‘a written instrument issued by a banker at the request of a buyer (applicant) in favour of the seller (beneficiary) undertakes to honour the documents or drafts drawn by the seller in accordance with the terms and conditions specified in the credit within a specified time’. The banks generally follow the Uniform Customs and Practices relating to Documentary Credits 600 (UCPDC 600) framed by International Chamber of Commerce which defines the obligations and rights of the parties. This facility has been used mostly for trade finance and enables the borrower to purchase goods on credit or without making an advance payment. Letters of credit have been an important element of trade and commerce both domestic and international. Over more recent years, the use of LC is on the decline.
- (c) *Underwriting and credit guarantee*: Besides the above non-fund based facilities, some banks also do underwriting and credit guarantee business. The risk under this activity involves the obligation of the banker to provide funds or pay, in the event of the failure of the borrower to raise money, or to repay money. After the advent of merchant banking, this type of lending by commercial banks is on the decline.

- (d) *Derivative products*: In addition to the above mentioned traditional non-fund facilities, banks are now increasingly offering the derivative products to their clients to enable them to hedge their currency and interest rate risks. As these products carry financial exposure on the customers these are non-fund based credit support to the customers.

22.8 OTHER CREDIT FACILITIES

A banker besides extending fund based and non-fund based credit facilities for commercial purposes related to any sector namely manufacturing, trading, agricultural, services, etc. also provide credit for various purposes to individuals to meet financial requirements for their personal needs. Banks provide financial support in variety of ways to meet the wide range of personal needs like regular purchase of goods and services, education expenses, medical expenses, housing needs, purchase of consumer durables, procuring vehicles, travel and leisure expenses, etc.

As will be observed these financial needs vary in terms of both the value and the periodicity. Accordingly the nature of products offered by banks are of three types broadly, viz. one-time facility for short-term, medium-term or long-term loan repayable in installments, revolving credit facility that can be drawn and repaid regularly. This type of lending, otherwise called 'Consumer Credit' or 'Retail Asset' business has become very popular these days and contributes significantly to the profitability of the bank's business.

22.9 LET US SUM UP

The business of lending is not without certain inherent risks, especially because lending banks depend largely on the borrowed funds. The cardinal principles of lending are: (a) Safety; (b) Liquidity; (c) Profitability; (d) Purpose; (e) Diversification of Risks; and (f) Security. As a banker, it is necessary to be aware of the various types of borrowers and the laws applicable along with the precautions to be taken while dealing with them. Borrowers are broadly classified in the following categories: individuals, partnership firms, Hindu Undivided Family, companies, statutory corporations, trusts and co-operative societies. The laws applicable to all these different kinds of borrowers are different. Individuals are governed by the Indian Contract Act, partnership firms by the Indian Partnership Act, Hindu Undivided Family by the customary law pertaining to Hindus, companies by the Companies Act, statutory corporations by the Acts that created them, trusts by the Indian Trusts Act, Public Trusts Act, Religious and Charitable Endowments Act, Wakf Act and co-operative societies by the Co-operative Societies Act or the Societies Registration Act.

The term working capital denotes the requirement of funds money by a business enterprise for its day-to-day financing of: purchase a raw materials, stores and spares; payment of wages to employees payment of other expenses towards energy, fuel and water consumption, statutory dues, rates and taxes carriage expenses, other expenses required to be incurred in connection with the production, selling and administration etc.

A firm should have adequate working capital, i.e. as much as needed by the firm. It should neither be excessive nor inadequate. Both situations are dangerous. Excessive working capital means the firm has idle funds, which earn no profits for the firm. Inadequate working capital means the firm does not have sufficient funds for running its operations, which ultimately results in production interruptions leading to reduced profitability which may even lead to losses.

A business enterprise also needs funds for acquisition of capital goods. These are typically funded from long term sources. Term loans are granted by banks and financial institutions to facilitate businesses to acquire capital goods.

Credit facilities are mainly classified into: Fund based facilities and Non-fund based facilities. Fund based facilities, among other things, include: Cash credits/Overdrafts, Bill finance, Term loans and Non-fund based facilities, among other things, include: Bank guarantee, and Letter of credit facility. Under customary law of bankers, interest can be charged on the temporary overdrafts granted. As per rule, in the Clayton's case each credit discharges the earliest of the debit entries. Term loans based on the period of repayment are classified into: Short-term loan; Medium-term loan; Long-term loan

22.10 KEYWORDS

Memorandum of Association, Articles of Association, Company, Hindu Undivided Family (HUF), Partnership Firm, Proprietorship Firm, Trusts, Co-operative Societies, Clubs, Associations, Trustee, Statutory Corporations, Pardanashin Woman, Fund based facilities, Non-fund based facilities, Cash credits/Overdrafts, Term loans, Bill finance, Bank guarantee, Letter of credit facility, Medium Term Loan, Short Term Loan, Bill Discounting, Bills Purchase, Advances against Bills under Collection, Retail Assets, Consumer Credit, Clayton's Case

22.11 CHECK YOUR PROGRESS

1. Individual borrowers are governed by the _____ Act.
 - (a) Partnership Act
 - (b) Limited Liability partnership Act
 - (c) Indian Contract Act
 - (d) None of the above
2. The shares of a Public Limited Company are _____.
 - (a) not transferable
 - (b) transferable.
 - (c) sovereign security
 - (d) negotiable
3. Cash Credit facility is a _____.
 - (a) fund based facility
 - (b) non-fund based facility
 - (c) both fund based facility and non-fund based facility
4. All of the above Working capital means _____.
 - (a) requirements for the day-to-day transactions
 - (b) excess of current liabilities over current assets
 - (c) Fixed assets – Current assets
 - (d) None of the above
5. Non-fund based facility is meant for _____.
 - (a) working capital requirement
 - (b) capital goods requirement
 - (c) both (a) and (b) above
 - (d) None of the above

22.12 ANSWERS TO 'CHECK YOUR PROGRESS'

1. c; 2. b; 3. a; 4. a; 5. c.

UNIT 23

APPRAISAL AND ASSESEMENT OF CREDIT FACILITIES

STRUCTURE

23.0 Objectives

23.1 Introduction

23.2 Credit Appraisal

23.3 Credit Appraisal techniques

23.3.1 Validation of Proposal

23.3.2 Credit Risk

23.3.3 Credit Risk Rating

23.3.4 Criteria for Decision

23.3.5 Aspects of Appraisal (7 C's)

23.4 Methods of Assessment of Loans

23.5 Assessment of Working Capital

23.5.1 Working Capital

23.5.2 Components of Working Capital

23.5.3 Operating/ Working Capital Cycle

23.5.4 Computation of Operating Cycle Components

23.5.5 Assessment of Working Capital Requirements (Fund Based)

23.5.6 Assessment of Non-fund Based Facilities

23.6 Assessment of Term Loan

23.6.1 Cost of Project and Means of Finance

23.6.2 Assessment of Term Loan Limits

23.6.3 Assessing Viability and Debt Servicing Capacity

23.7 Let Us Sum Up

23.8 Keywords

23.9 Check Your Progress

23.10 Answers to 'Check Your Progress'

23.0 OBJECTIVES

After studying this Unit, you will:

- Understand the concept of Credit Appraisal
- Know about the components of credit appraisal
- Learn the modalities of credit appraisal
- Understand the credit assessment activity
- Learn the techniques of credit assessment

23.1 INTRODUCTION

Credit is a loan or a debt of whatever form sanctioned by a bank to its customer. The word appraisal is synonymous with assessment, evaluation, judgment, review and consideration. Credit Appraisal is the process by which the lender assess the credit worthiness of the borrower. The process revolves around character, collateral capability and capacity, etc. It takes into account various factors like income of the applicants, number of dependents, monthly expenditure, repayment capacity, employment history, number of years of service and other factors which affect credit rating of the borrower. In the unit we shall discuss the process in brief to be carried out while appraising any credit proposal.

23.2 CREDIT APPRAISAL

Credit appraisal is a process of critical evaluation of a loan request by a prospective borrower. The primary objective of evaluation is safety and liquidity of funds lent and profitability from the credit extended. The lender uses certain standard tools like analysis of the borrower's financial statements, weighing the prospects of the applicant's product in the market juxtaposed to the industry, viability of customers business and if the credit will remain as a performing asset. In this connection appraisal means something more than the verification and validation of the data and information that the applicant submits to the bank. An appraisal is undertaken for ensuring that a credit is good.

The essence of credit appraisal is that it measures the risk inherent in the proposal and comes to a judgment to sanction or reject the proposal based on the assessment of the information, the applicant and the project. Credit appraisal which was mostly a matter of judgment some years ago has undergone changes in two dimensions. One, it has become credit risk appraisal rather than credit appraisal in that the emphasis has shifted from a subjective evaluation of the quality of credit to appraising the risk inherent in the proposal and if the proposal will be acceptable given the risk appetite of the lender. Second, the appraisal or measurement of the quality of the credit and risk has become more objective than judgmental.

23.3 CREDIT APPRAISAL TECHNIQUES

Credit appraisal is a continuous process that starts when an applicant walks into the branch and that culminates in credit delivery. Verification and validation are necessary to check out the facts. The essence of credit appraisal is that it measures the risk inherent to the proposal and comes to a judgement to either sanction or reject the proposal based on the assessment. The credit involves inherent risks which cannot be avoided. However, if the appraisal is done properly, the risk can be minimised.

Credit appraisal process involves the following steps:

- i. Borrower identification and verification
- ii. Assessing the business of the borrower
- iii. Understanding the credit requirement
- iv. Due diligence report
- v. Selecting the appropriate exposure/scheme
- vi. Finalising the terms and conditions

23.3.1 Validation of Proposal

In credit appraisal, beginning means not only getting all the facts right, but also getting all the facts, information and data before getting them right. Information should be well defined and it is important to ask for information that is essential for decision making. Bank should be able to distinguish between relevant and irrelevant pieces of information. An information overload is not a real help in decision making and often derails appraisal process. This involves several measures:

- (i) Information provided by the applicant is verified with the supporting documents, where possible. For instance in case of a company the information about its incorporation, the powers of the company and its management can be verified from its certificate of incorporation and the memorandum of articles. Similarly, its financial details can be verified through its financial statements.
- (ii) Another important modality is field verification. This requires visiting the factory and/ or office of the applicant. The objective is to verify the status of the activities of the applicant – both in respect of its nature and also its level. It is also an opportunity to learn about the management skills of the applicant or the quality of management of the enterprise.
- (iii) Also, important part of validation process is verifying all the required approvals and licenses both on record and on display at the premises.
- (iv) Another hygiene factor is the applicant's capacity to borrow. The banker must be sure that the person requesting credit has the authority to request a loan and the legal capacity to sign a loan agreement. For example, in case of a company a resolution of the Board of Directors would establish the authority to borrow.

23.3.2 Credit Risk

Credit risk is defined as the possibility of borrower/counterparty default. Default can occur because of business failure or because the borrower's wilful actions. The latter is a question of integrity of the borrower. While in the past lenders relied on market reports (credit reports from bankers and others) to take a call on this issue, the present day lenders rely on credit reports for individual borrowers and credit rating of companies/firms by the rating agencies and their own credit rating.

A default event can be triggered by external, internal or a combination of both external and internal factors. Internal to the firm (borrower) are issues such as inefficient management, bad financial decisions, marketing failures etc. The lender assesses the quality of management by looking at the composition of the promoters, Board of Directors, experience of the Directors in the industry, the CEO's experience and expertise in the industry and other key technical and managerial personnel. Poor financial management could be caused by poor cash flow management and bad collections. At times less than optimal financial assistance by the lender or over financing could all lead to problems.

23.3.3 Credit Risk Rating

Credit risk rating or credit rating is one of the credit appraisal tools. In this method credit risk is assessed in the form rating by assigning marks to different parameters and evaluating on the basis of some threshold preset standards/marks. A credit risk rating model assigns grades/marks to known risk components. Each risk component is assigned weights relative to the importance of the item in arriving at a credit risk score for the borrower. The borrower's financial standing and performance are rated for scoring. Additionally the management, quality of maintenance of accounts and similar factors that do not lend themselves to statistical measurements are also rated.

23.3.4 Criteria for Decision

The credit decision for sanction or rejection of a proposal basically is based on:

- (i) Credit rating score of the applicant and is a primary criteria for decision making. If the credit rating score is below the cutoff point stipulated by the management of the lending bank the credit proposal will not be taken up for further processing.
- (ii) The lender will also check if the purpose of the loan fits in with the credit policy of the bank and the proposed activity of the borrower is not on the banned or restricted list of the lending bank.
- (iii) The lender will also need to check if the sanction of the loan will breach any of the concentration limits prescribed by the bank in respect of group, industry or limit for individual exposure.

The proposal would be rejected if it does not pass any one of these tests.

23.3.5 Aspects of Appraisal (7 C's)

There are four cardinal parameters of lending. These are as follows:

- (a) Evaluation of creditworthiness of the borrower,
- (b) Considering the purpose of the loan,
- (c) Verifying the cash flows and source of repayment, and
- (d) Assessing the security/collateral security.

For satisfying these parameters holistically, it is important to look into following aspects: Creditworthiness, Character, Capacity, Capital, Collateral, Conditions, and Cash flows. These are called as 7 C's of appraisal.

- (i) **Evaluation of Creditworthiness:** The first thing that a lender would look at is the applicant's creditworthiness. If the applicant is an individual applying for a personal loan or home loan, his/her credit history is checked up with credit information reports provided by Credit Information Companies like CIBIL. The lender will also perform the due diligence exercise and examine the individual's character capacity etc. through market enquiries. In case of partnership concerns, Private Limited and Public Limited companies, the financial soundness is assessed from their financial statements. Cross verification of data can be made, among other things, by undertaking discrete enquiries/search in CERSAI records, ROC, RBI defaulters' list, CRILC etc.

Repayment of loan depends not only on the intentions but also on the ability to pay. Thus the financial condition of the borrower is evaluated based on the income and net worth in case of an individual. In case of businesses, however, their past financial statements are analysed.

Due to non-performing asset norms, credit appraisal techniques are increasingly focused on the assessment of repayment capacity of the borrowers, which in turn depends on their cash generating ability.

- (ii) *Purpose of the Loan:* Purpose of establishing a business enterprise may differ. Purpose is different from the line of business. A person may start business for making it prosperous and selling it to someone else and make venture profit. Another person may start a business with a long term interest in it and grow it. People may be interested in starting a business induced by the success of other persons. Clearly, the first two are business strategies whereas the last one is rather speculative. For all the three purposes whether the proponent has the core competency for the given line of business will be a pointer towards success.

Business related loans are required for different purposes, depending on the circumstances and the stages of the business. For starting or expanding a business enterprise capital investment is required for acquiring land/ building, plant and machinery, etc. The entrepreneur at this stage needs funds for long term investment. For running a business, funds are required for purchase of raw material/ goods and other consumable goods and services, payments for labour and staff, other working expenses, and for extending credit to the buyers. Thus, for running the business the entrepreneur needs loan for meeting the working capital requirements. The banker must be convinced that the customer has a well-defined purpose for requesting credit and a serious intention to be in business.

Individuals also need loans for meeting different types of requirements arising during their lifetime. Category of requirements include loans for marriage, major illness and education. These are high expenditure events and often loans are required to meet these requirements. Another purpose is to acquire a house, for which individuals require loans that facilitates persons to leverage their savings potential for this purpose. Lastly, in today's times individuals aspire to acquire consumer durables and lifestyle goods like vehicles, air conditioners, consumer durables, etc. Acquiring these goods through loans helps an individual to enjoy the comforts of these while they repay loans out of future earnings. The purpose for which the customer is requesting a loan must be clarified to the lender's satisfaction.

- (iii) *Security/ Collateral:* Collateral does not add to the financial viability of a proposal. Collateral does not affect the quality of the credit and is not part of the external or internal factors that have a relationship with the quality of the credit. Yet collateral has a very definite place once an event of default occurs. It is an exit option. Thus if the business and/or the principal security has failed to produce the cash flows to service the loan and the account has become overdue or non-performing, collateral offers a way out for the lender to recover through enforcement of security. The assets obtained as collateral should satisfy certain criteria to be of value to the lender. Enforceability and enforcing of collaterals are important. The legal system is so designed and so misused that by the time - if at all - a judgment to enforce the security is obtained a long period of time would have already passed. Certain factors that are relevant are: age, condition, and degree of specialization of the assets. Technological obsolescence is an important factor to be considered.
- (iv) *Cash Flow:* The key feature of any loan application centers on one issue: Does the proposed business have the ability to generate enough cash to repay the loan? In general, business firms have only four sources to draw upon to repay their loans:
- (i) cash flows generated from sales or other income,
 - (ii) the sale or liquidation of assets, or
 - (iii) funds raised by issuing debt or equity securities (borrowing)
 - (iv) additional capital infusion.

Any of these sources may provide sufficient cash to repay a loan. However, lenders would prefer that repayment comes from the cash flow from business activity or in other words profits generated. This is because asset sales can weaken the business capacity. Banks would not like the repayment out of borrowing as it impacts the firm/company's leverage and moves the firm into a higher debt whereas it is not able to manage a lower debt. Normally fresh capital is insisted at the time of reworking the terms of credit as the infusion is a clear indication of difficulties in the venture. The cash flow analysis is useful in understanding clearly the sources of a borrower's cash flow. As far as bankers/lenders are concerned it would be ideal if most of cash comes from operations (sales oriented). Evidently if a substantial proportion of cash inflow happens due to sale of assets (investing activities) or borrowing or issuing debt (financing activities), the borrower may find it difficult to generate cash in the future which will make the bank loan exposed to more risk.

In case of individuals too the lenders need to look into the source of repayment. This should normally be a regular source of income like salary, professional earnings, rent or interest income. Adequacy and sustainability of these incomes need to be looked into.

23.4 METHODS OF ASSESSMENT OF LOANS

Commercial loans, including project loans (having long repayment period), require specialised skills for assessment, disbursal and monitoring. Such loans are usually handled by specialised branches or specialised teams at central/ nodal points. On the other hand, retail loans, which have been largely standardised by banks, form a prominent part of the activities of branches. These loans are substantially technology driven because of their large volume and small ticket size. The standardisation covers not only in respect of application form, information required from the customer, terms and conditions, legal documentation, etc., but also the processing of loan proposals, where the data are fed into the system which generates the score card for decisions to be taken by the sanctioning officer. The monitoring of such loans is also computerised.

Assessment of loans for different purposes is done in different manner as the factors affecting these differ in several respects. Broadly, these can be categorised in the following types:

- A. *Loans for business enterprises:*
 - (i) For Working Capital Purposes
 - (ii) For Capital Expenditure
- B. *Loans for individuals:*
 - (i) For Housing Purposes
 - (ii) For Vehicles/ Consumer Durables

23.5 ASSESSMENT OF WORKING CAPITAL

Funds required to sustain working cycle/ production cycle of any unit is called working capital. Working capital for any manufacturing unit means the total amount of circulating funds required for the continuous operations of the unit as a going concern. The working capital management or short term financial management which is concerned with decisions relating to current assets and current liabilities with major thrust, of course, is on the management of current assets.

The key difference between long term financial management and working capital management is in terms of timing of cash. While long term financial decisions like buying capital equipment or issuing debentures

involve cash flow over an extended period of time (5 to 15 years), short term financial decisions typically involve cash flows within a year or within the operating cycle.

23.5.1 Working Capital

The capital required for a business enterprise can be classified under two main categories viz.

- (i) Fixed Capital
- (ii) Working Capital

Every business requires funds for setting up of the enterprise and for day to day operations. Acquisition of items such as Land, Plant & Machinery, building, furniture, etc. requires capital or long term debt.

Investments in these assets represent that part of firm's capital which is blocked on permanent or fixed basis and is called fixed capital. Business also needs funds for short-term purposes such as purchase of raw material, payment of wages and other day-to-day expenses etc. These funds are known as working capital.

In simple words, working capital refers to that part of the firm's funds that is required for financing short-term or current assets such as cash, debtors & inventories. Working capital for any manufacturing unit is the total amount of circulating funds required for the continuous operations of the unit on a going basis. The funds used in production are recouped from sale of final products at the end of the production cycle and are available for use in the next production cycle. Working capital can therefore be called operating capital or short term capital as well.

There are two concepts of working capital:

- (i) Gross working capital
 - (ii) Net working capital
- (i) **Gross Working Capital:** It is the capital invested in total current assets of the enterprise. Current assets are tangible movable assets that are recoverable in cash or sold or consumed or turned over during the operating cycle usually not exceeding one year. The gross working capital concept is financial or going concern concept whereas net working capital is an accounting concept of working capital. Both the concepts have their own merits.

The gross concept:

- (a) Enables the enterprise to provide correct amount of working capital at the right time.
 - (b) Helps management to know the amount invested in total current assets with which it has to operate.
- (ii) **Net Working Capital:** It tells the business about how the assets are funded. In a narrow sense, the term working capital refers to the net working capital (NWC) or liquid surplus which is the difference between current assets and current liabilities. It is the excess of long term funds over long term uses. When the current assets exceed the current liabilities, the NWC is positive and when the current liabilities are more than the current assets, it would become negative. The net working capital should be higher than 1:1 to ensure sufficient liquidity and availability of working funds.

The net working capital concept, however, is also important for following reasons:

- (a) It is qualitative concept, which indicates the firm's ability to meet to its operating expenses and short-term liabilities.
 - (b) It indicates the margin of protection available to the short term creditors.
- (iii) **Working Capital Gap:** It is a concept used in the Indian banking sector to determine the amount of working capital limits the bank would make available to the borrower. It is the difference between total Current Assets and Current Liabilities, other than bank borrowings.

23.5.2 Components of Working Capital

Working capital is the aggregate value of:

- i. Raw material
- ii. Stock in process
- iii. Finished goods in stores and in transit
- iv. Other consumable stores
- v. Receivables or sundry debtors
- vi. Other expenses

Working capital is not something static. It changes with the size of the company, the phase of operations, profits accrued and retained and a host of other factors. As a general rule, banks try to fund the gap or extend what they call need based financial assistance. The premise is that with need based financing there is little scope for diversion or misuse of funds as financing is just adequate and not in excess of requirements. And if the finance is inadequate it leads to production problems and eventually leads a company to sickness.

Various factors influence the need of working capital in a business. These are mainly: Nature of business, Size of business, Production Policy, Seasonal variations, Operating/ Working Cycle.

23.5.3 Operating/ Working Capital Cycle

The duration from the purchase of raw materials through production to finished goods to sales and sales realisation is the time period for which working capital funds are required. Once sales proceeds are received in cash, this money is available for purchase of raw materials and continuing production. The whole process is repeated again. Because of the cyclical nature of this entire process, the production period is called the operating cycle. This is shown in Figure 23.1.

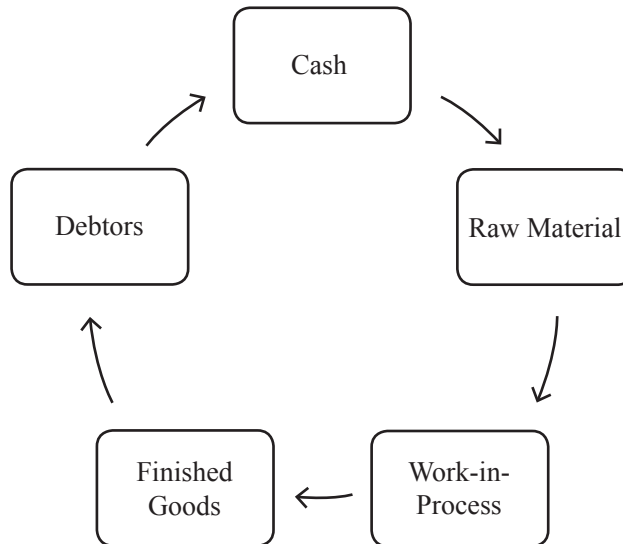


Figure 23.1 Operating Cycle

23.5.4 Computation of Operating Cycle Components

In the operating cycle, in actual practice, there is always a time gap between one stage to another. There will be time gaps between purchase of raw material and production; production and sales; sales and realization of cash etc. There will always be some time before and after order is issued before the raw material is received. Hence, there is a need to keep stock of goods at every stage. This requires purchase of raw materials ahead of their need for production. Similarly, there is a build-up of stock of finished goods before these are despatched to the customer. There is certain process time for conversion of raw materials to finished goods. That results in certain stock of work-in-process. Realisation of sales proceeds after delivery of finished goods also takes time due to processing of payment at the customer's end and transit period, apart from the credit period as per the sales terms.

Let us look at the mathematics involved in calculation of the duration of each component of the operating cycle.

Component	Computation
(i) Raw Material (RM) Storage Period Where: (a) Average Stock of RM (b) Average Daily RM Consumption	$\frac{\text{Average Stock of RM}}{\text{Average Daily RM Consumption}}$ $\frac{\text{Opening Stock of RM} + \text{Closing Stock of RM}}{2}$ $\frac{\text{Annual Consumption of RM}}{360}$
(ii) WIP Conversion Period Where: (a) Average stock of WIP (b) Annual Cost of Production (c) Average daily Cost of Production	$\frac{\text{Average Stock of WIP}}{\text{Average Daily Cost of Production}}$ $\frac{\text{Opening Stock of WIP} + \text{Closing Stock of WIP}}{2}$ $\frac{\text{Opening stock of WIP} + \text{Annual Consumption of RM} + \text{Manufacturing Costs (such as wages salaries, power \& Fuel, etc.)} + \text{Depreciation} - \text{Closing stock of WIP}}{\text{Annual Cost of Production}}$ $\frac{\text{Annual Cost of Production}}{360}$
(iii) FG Storage Period Where:- (a) Average stock of FG (b) Annual Cost of Sales (CoS) (c) Average daily CoS	$\frac{\text{Average Stock of FG}}{\text{Average Daily Cost of Sales}}$ $\frac{\text{Opening Stock of FG} + \text{Closing Stock of FG}}{2}$ $\frac{\text{Opening stock of FG} + \text{Annual Cost of Production} + \text{Excise Duty} + \text{Selling \& Distribution Costs} + \text{General Administrative Costs} + \text{Finance Costs} - \text{Closing stock of FG}}{\text{Annual Cost of Sales}}$ $\frac{\text{Annual Cost of Sales}}{360}$

(Contd.)

Component	Computation
(iv) Average Collection Period Where: (a) Average balance of Sundry debtors (b) Average daily Credit Sales	$\frac{\text{Average Balance of Sundry Debtors}}{\text{Average Daily Credit Sales}}$ $\frac{\text{Receivables (Opening Balance)} + \text{Receivables (Closing Balance)}}{2}$ $\frac{\text{Annual Credit Sales}}{360}$
(v) Average Payment Period Where: (a) Average Balance of Sundry creditors (b) Average Daily Credit Purchases	$\frac{\text{Average Balance of Sundry Creditors}}{\text{Average Daily Credit Purchases}}$ $\frac{\text{Creditors (Opening Balance)} + \text{Creditors (Closing Balance)}}{2}$ $\frac{\text{Annual Credit Purchases}}{360}$
Abbreviations:	RM = Raw Material; WIP = Work –in – Process; FG = Finished Goods

23.5.5 Assessment of Working Capital Requirements (Fund Based)

If the overall appraisal is satisfactory, the bank will finance only the residual gap in the customers' resources, after taking into consideration the expected availability from all other sources of funds. Banks have the freedom to evolve appropriate system for assessing the working capital needs of borrowers within the existing prudential guidelines and exposure norms. Bank Boards are also expected to lay down transparent policy and guidelines for credit dispensation in respect of each broad category of economic activity. Banks may adopt one of the following four methods for assessment of working capital requirements of their clients.

- (i) Turnover Method;
- (ii) Operating Cycle Method;
- (iii) Maximum Permissible Bank Finance (MPBF) Method (Projected Net Working Capital);
- (iv) Cash Budget Method.

The assessment of the working capital requirements of a firm must be preceded by a detailed appraisal of the past and future viability of the firm's planning, operations and financial position. It is implicit that the firm will have to submit an acceptable business plan, in the form of projected financial statements, to the bank. Thereafter, the assessment of working capital needs is made based on the past trends, the end use of funds and the estimated requirement of additional funds as revealed by the firm's business plan or the cash budget, in cases of those firms which have a marked seasonality of operations. These methods require the preparation of:

- (a) Projected financial statements
- (b) Projected fund flow statements
- (c) Projected cash flow statements/cash budgets

Banks are free to evolve appropriate system for assessing the working capital credit needs of borrowers. These may be explained in their loan policy. The method to be adopted in a specific case may be determined taking into account the total working capital (fund based) requirements of the borrower.

(i) Turnover Method

MSE units having working capital limits of up to ₹5 crore from the banking system are to be provided working capital finance computed on the basis of 20% of their projected annual turnover. Under this method, the working capital requirements of the borrower is computed at 25% of the projected annual turnover of which normally four-fifth i.e. 20% of the projected turnover is provided by the bank as working capital finance and balance one-fifth i.e. 5% of the projected annual turnover is contributed by the borrower, as margin towards working capital. This means that 20% of the total working capital requirements is met by the borrower as margin money.

The basic premise underlying the level of working capital to be fixed at 25% of the turnover is that an operating/business cycle will be of 3 months. In practice the operating cycle duration varies depending on several factors. If the operating cycle is shorter or longer the working capital requirement may be lower or higher. In such cases where the working capital cycle is significantly longer or shorter, it may be necessary to determine the operating cycle duration and hence the working capital requirement.

While the working capital limits are fixed based on the assessment exercise, the actual drawings are permitted based on the level of current assets viz. stock and debtors less the security margin fixed for the respective assets.

Illustration:

M/s. ABC is a manufacturer of moulded plastic household goods like buckets, mugs etc. The annual turnover for FY2021-22 was ₹80.00 lakh, and it has targeted 25% growth in FY 2022-23. The working capital requirement and the bank finance for it are estimated as follows.

- (a) Growth in turnover during FY2022-23 @ 25% over FY2021-22: ₹80.00 lakh * 0.25 = ₹20.00 lakh
- (b) Projected turnover during FY2022-23: ₹80.00 lakh + ₹20.00 lakh = ₹100.00 lakh
- (c) **Working capital requirement** @ 25% of turnover: ₹100.00 lakh * 0.25 = ₹25.00 lakh
- (d) Bank finance for working capital @ four-fifth (i.e. 80%) of (c) = ₹25.00 lakh * 0.8 = ₹20.00 lakh
- (e) Borrower's contribution for working capital @ one-fifth (i.e. 20%) of (c) = ₹25.00 lakh * 0.2 = ₹5.00 lakh

Alternatively, the bank finance and the borrower's contribution for working capital are directly determined from the projected turnover as follows:

- (a) Bank finance @ 20% of projected turnover = ₹100.00 lakh * 0.2 = ₹20.00 lakh
- (b) Borrower's contribution @ 5% of projected turnover = ₹100.00 lakh * 0.05 = ₹5.00 lakh

Illustration:

M/s. PQR is a manufacturer of toys. The projected annual turnover is ₹120.00 lakh. The available net working capital (NWC) is ₹5.00 lakh.

- (a) Projected annual turnover: ₹120.00 lakh
- (b) **Working capital required** (25% of a): ₹30.00 lakh
- (c) Minimum margin from the borrower (20% of b): ₹6.00 lakh
- (d) Maximum bank borrowing (80% of b): ₹24.00 lakh
- (e) Actual NWC available: ₹5.00 lakh
- (f) Margin stipulated (Higher of c or e): ₹6.00 lakh
- (g) Permissible limit (b-f): ₹24.00 lakh
- (h) Additional Margin to be brought in by borrower (c – d): ₹6 lakh – ₹5 lakh – ₹1 lakh

(ii) Operating Cycle Method

Traditional method of assessment of working capital is based on operating cycle method. It requires estimation of the holding periods of major current assets and current liabilities. If part of raw materials is available on credit, then bank finance will be required only for that portion of the raw materials which represents fully paid purchases. Similarly, if advance payments are received against orders, only that part of the finished goods net of the advance payment will require bank credit.

Borrowers in the small and medium enterprises segment face a problem in collecting dues from their customers, particularly from the corporate sectors. In order to provide a relief to borrowers who face such a situation, the banks adopt following practices:

- While assessing working capital requirement, creditors are not set-off against stock.
- The borrowers will submit detailed age-wise lists of sundry creditors and sundry debtors as well as the stock statement.
- Only those debtors whose outstanding is up to a specified period (180 days maximum) are considered.
- The total outstanding creditors are netted from the total outstanding eligible debtors. If creditors are in excess, the excess portion is deducted from the value of stocks. If debtors are in excess, the bank considers the surplus debtors for financing.

Illustration:

M/s. ABC is in ready-made garments manufacturing activity. The average holding periods for stocks and duration of creditors and debtors are as given below. Its annual turnover is ₹70 lakh and annual operating expenses are ₹60 lakh. The working capital requirement is computed as shown below.

- (a) Procurement of raw material: 30 days
- (b) Conversion/process time: 15 days
- (c) Average time of holding of finished goods: 15 days
- (d) Average collection period: 30 days
- (e) Total operating cycle (a + b + c + d): 90 days
- (f) No. of operating cycles in a year (360/e): 4
- (g) Total operating expenses per annum: ₹60 lakh
- (h) Total turnover per annum: ₹70 lakh
- (i) **Working capital requirement** (g/f): ₹15 lakh

(iii) Maximum Permissible Bank Finance Method

In order to suggest methods for improving the delivery of industrial credit based on the performance and projections of the borrower rather than security, RBI had constituted a Working Group headed by Shri P.L. Tandon, the then Chairman of PNB, in July 1974. The main recommendations of the Committee are as follows:

- (a) A borrowing company should be discouraged from accumulating too much of stocks of current assets and it should move towards lean inventories and receivable levels.
- (b) It suggested the maximum levels of Raw Material, Stock-in-process and Finished Goods which a corporate operating in an industry should be allowed to accumulate. These levels were termed as inventory and receivable norms.
- (c) It specified these norms for 15 industries initially. These norms are specified in terms of:
For Raw Material: *Average Monthly Consumption*

For Stock-in-Process: *Monthly Cost of Production*

For Finished Goods: *Monthly Cost of Sales*

For Receivables: *Monthly Gross sales*

RBI does not prescribe detailed norms for each item of inventory as also of receivables. The classification of current assets and current liabilities is not mandatory. The banks may decide on their own as to which items should be included for consideration as current assets or current liabilities.

- (d) It enunciated the concept of Maximum Permissible Bank Finance (MPBF) for assessment of working capital.
- (e) It suggested different methods of funding current assets to be adopted depending on the size of credit required.
- (f) *First Method of Lending*: In this method, the contribution by the borrowing unit is fixed at a minimum 25% of the working capital gap from long-term funds. The bank finances a maximum of 75% of the gap; the balance amount should come from long-term sources. This would reduce the reliance of the borrowers on bank borrowings by ploughing back of more internal cash generated. This method of lending gives a current ratio of only 1:17, evidently on low side. This approach was considered suitable for relatively new units set up by first time entrepreneurs and for sick/weak units as supportive measure.
- (g) *Second Method of Lending*: In order to graduate the borrowers to enhance their contributions to working capital, they are placed under the second method of lending recommended by the Tandon Committee. This would give a minimum current ratio of 1.33:1. Under this method, the borrower is required to provide for a minimum of 25% of total current assets out of long-term funds. A certain level of credit for purchases and other current liabilities will be available to fund the build-up of current assets and the bank will provide the balance (MPBF). However, total liabilities inclusive of bank finance would never exceed 75% of gross current assets. In case a borrower is not in a position to work under the second method of lending immediately, the excess borrowing is segregated and treated as a working capital term loan repayable in instalments over a period of time. To induce the borrowers to repay this loan, bank may charge higher rate of interest on it.
- (h) *Third Method of Lending*: Under this method, the contribution from long term funds would be to the extent of the entire core current assets (which was defined by the Committee as representing the absolute minimum level of raw materials, process stock, finished goods and stores which are in the pipeline to ensure continuity of production) and a minimum of 25% of the balance current assets. The balance current assets only would be financed through bank finance for working capital after netting off other current liabilities meeting the current assets. In other words this method envisaged funding of additional requirement due to fluctuations in current asset levels due to various factors seasonal or occasional.

(This Method was not accepted for implementation and hence is of only academic Interest.)

Illustration:

(Amount - ₹ in lakh)			
Current Liabilities	Amount	Current Assets	Amount
(a) Creditors for purchases	100	(f) Raw materials	200
(b) Other current liabilities	50	(g) Stock-in-process	20

(Contd.)

(c) Current Liabilities (Other than Bank Borrowings) (a + b)	150	(h) Finished goods	90
(d) Bank borrowings including bills discounted with bankers	200	(i) Receivables including bills discounted with bankers	50
		(j) Other current assets	10
(e) Total Current Liabilities (c + d)	350	(k) Total Current Assets (f + g + h + i + j)	370
First Method		Second Method	
A. Total Current Asset (k)	370	G. Total Current Asset (k)	370
B. Less: Current Liabilities (Other than bank borrowings)(c)	150	H. Less: 25% of Current Asset (k*0.25) (Round off)	92
C. Working Capital Gap (A - B)	220	I. Balance Current Assets (G-H)	278
D. Less: 25% of Working Capital Gap (C*0.25)	55	J. Less: Current Liabilities (Other than Bank Borrowings) (c)	150
E. Maximum Permissible Bank Finance (C - D)	165	K. Maximum Permissible Bank Finance (I - J)	128
F. Excess Borrowing (d - E)	35	Excess Borrowing (d - K)	72
Current Ratio	1.17	Current Ratio	1.33

Observations

- Under the first method: MPBF is ₹165 lakh, thus excess borrowing is of ₹ 35 lakh.
- Under the second method: MPBF is ₹128 lakh, thus excess borrowing is of ₹ 72 lakh.
- Current Ratio (after funding excess borrowing through long term sources) is 1.17 (under first method) and 1.33 (under second method)

The following Table below gives a comparative position of salient parameters under the three methods of lending.

(Amount - ₹ in lakh)					
First Method	Amount	Second Method	Amount	Third Method	Amount
Total CA	370	Total CA	370	Total CA	370
Less: OCL	150	Less: OCL	150	Less: Core CA	95
WCG	220	WCG	220	Balance CA	220
Less: 25% of WCG	55	Less: 25% of TCA	92	Less: OCL	150
	-		-	WCG	125
	-		-	Less: 25% of Balance CA	69
MPBF	165	MPBF	128	MPBF	56

(i) **CMA Data:** Many banks continue to follow the method of MPBF based on CMA (Credit Monitoring Arrangement) formats. Various banks use CMA formats with certain variations to suit the requirements of particular industry segment. For example, the CMA formats used for finance to NBFCs are different than those prescribed for a manufacturing company. CMA formats consist of the following forms:

FORM I – Particulars of the existing limits from the Banking System/Financial Institutions

FORM II – Operating Statement**FORM III – Analysis of Balance Sheet Part A - Balance Sheet Spread - Analytical and Comparative Ratios.****FORM IV – Comparative statement of current assets and current liabilities****FORM V – Assessment of Maximum Permissible Bank Finance for Working Capital****FORM VI – Funds Flow Statement**

In addition, the banks also obtain data on the following two formats:

- ◆ Format for Salient Financial Indicators
- ◆ Format for Additional Information/Additional Data

FORM I (Particulars of the existing/proposed limits from the banking system)

Particulars of the existing credit from the entire banking system as also the term loan facilities availed from the term lending institutions/ banks are furnished in this form. Maximum and minimum utilisation of the limits during the last 12 months and outstanding balances as on a recent date are also given so that a comparison can be made with the limits now requested for and the limits actually utilised during the last 12 months. Bankers may use this to verify:

- (a) Whether the limits have been adequately utilized during the last 12 months?
- (b) Any overdraw of limits and reason thereof;
- (c) Compliance of bill culture i.e. borrowers enjoying aggregate fund based limits of Rs. 5 crore and above, limits against book debts should not be more than 75% of the limits and 25% of the aggregate limits for financing inland credit sales should be provided by way of bills, etc.

FORM II (Operating Statement)

The operating statement is the breakup of Profit & Loss Account. The data relating to gross sales, net sales, cost of raw materials, power and fuel, direct labour, depreciation, selling, general and administrative expenses, interest, etc., are furnished in this form. This form would provide several information about the unit-management, the inherent strength and weakness, the likely future through the trend analysis techniques, etc. It also covers information on operating profit and net profit after deducting total expenditure from total sale proceeds. The following information may be verified from the data provided in the form:

- (a) Reasonableness of the projected turnover in relation to installed/licenced capacity, availability of input, environmental conditions, marketing prospects, etc. as working capital is directly linked to the projected turnover.
- (b) For existing units, the trend analysis as to whether it is realistic or over ambitious, realistic, etc.
- (c) Any modernization/diversification/expansion on cards and its impact on turnover.
- (d) Reason for any declining trend to be ascertained.
- (e) Valuation of inputs as per current ruling price.
- (f) Consumable stores and other items used in the process of manufacture are only included in RM.
- (g) Other overheads as per the past trend or not.
- (h) Adequacy of depreciation and adopted method thereof.
- (i) Trend in operating profits,
- (j) Retention of profits, etc.

FORM III (Analysis of Balance Sheet)

A complete analysis of various items of last two years' balance sheet, current year's estimates and following year's projections are given in this form. The details of current liabilities, term liabilities, net worth, current assets, fixed assets, other noncurrent assets, etc. are given in this form as per the classification accepted by the banks. While analysing the Form III, the following points are to be looked into:

- (a) Proper classification of CA and CL (as per RBI guidelines).
- (b) It may be ascertained whether the levels of raw materials, stocks-in-process, finished goods and receivables are in conformity with the stipulated norms.
- (c) Justification for any increase in level of inventory and receivables.
- (d) Level of projected stock spares i.e. imported and indigenous not to exceed 12 months' and 9 months' consumption. Spares beyond the period to be treated as NCA.
- (e) Maintenance of level of inventory and receivables and any upward variance, the reason may be sought.
- (f) Details of inter-corporate investments and advances and reason for not liquidating.
- (g) Level of creditors and reason for projecting at lower level.
- (h) Adequacy of provision requirements in respect of taxes, dividends, statutory liabilities, etc., and classification of any shortfall as CL.
- (i) It must be ensured that intangible assets over a period of time must be written off.
- (j) Trend of Net Worth, NWC, etc.

It is pertinent to mention that, while estimating/projecting Net Worth, the Capital Reserves, and Revenue Reserves are examined. Also, it should be ensured that the company has created specific reserves as required by law. For instance, Debenture Redemption Reserve. Similarly, we can stipulate covenants pertaining to creation of Dividend Equalisation Reserve, when the company is doing well, and has plans to continue declaring dividends at certain rates.

FORM IV (Comparative statement of current assets and current liabilities)

This form gives the comparative study of CA and CL and holding levels of inventory and receivable, and creditors' payment period. The figures given in this form should tally with the figures given in the Form III where details of all the liabilities and assets are given. This form is used to indicate all the current assets and current liabilities at one place. In case of inventory (raw materials, consumable spares, stock-in-process and finished goods) receivables and sundry creditors, the holding/levels are given not only in absolute amounts but also in terms of months so that a comparative study may be done with the prescribed norms/past trends. They are indicated in terms of number of months in brackets below their amounts.

FORM V (Computation of Maximum Permissible Bank Finance)

On the basis of the details of the current assets and current liabilities given in Form- IV, MPBF is calculated in this form to find out the credit limits to be allowed to the borrowers. The following points may be looked into while analysing the data.

- (a) Method of computation of MPBF (weak/sick units First Method of Lending).
- (b) Treatment of Export bills whether export bills are excluded from total sales and export receivable from total current assets?
- (c) Treatment of third party outstation cheque/draft purchase limit. The limit should be within the MPBF.
- (d) Co-relation between the projected increase in production/sales and increase in limits, etc.

FORM VI (Funds flow statement)

This form helps to understand how short and long term funds are utilized by the borrower. This will also indicate whether long-term funds are sufficient for meeting the long-term requirements. In addition to long-term sources and uses, increase/ decrease in current assets is also indicated in this form. While analysing the fund flow statement, the following factors may be looked into.

- (a) Adequacy of long term sources to cover long term uses and to leave surplus towards working capital margin (NWC).
- (b) In case long term funds are less than long term uses, it can be inferred that short term funds are diverted for the purpose other than working capital needs and such cases to be properly examined.
- (c) Increase in inventory disproportionate to the percentage of rise in sales.
- (d) Matching of increase in short term borrowing with that of increase in current assets.

Form VII - Statement showing the total cost of the project and source of finance

This form is obtained only when there is term loan request from the borrower.

It may be noted that obtaining the abovementioned statements is not an end in itself. It only indicates the broad aspects to be examined by banks and helps in analysis and interpretation of the data furnished by the borrowers for taking judicious decisions.

(iv) Cash Budget Method

Most banks now for assessment of the working capital needs of a borrower who enjoys or requires fund based limits in excess of ₹10 crore, adopt the cash budget system. This method requires that the borrower has necessary infrastructure in place to submit the required information periodically in time. The scope of internal MIS should be satisfactory and commensurate with the level of operations. The borrower must have a finance professional and computerised environment. Cash Flow based lending method is popular in developed countries.

A cash budget is a statement of cash receipts and cash payments. It is distinct from the cash flow statement, in as much as the latter deals with both cash and non-cash funds, while the cash budget deals with cash transactions only. Also, a cash budget is a projection into the future, as against a cash flow statement that is usually historical in nature. Cash budget is a substitute for the operating cycle method for the assessment of working capital.

Cash-budget statement typically would comprise of projected receipts and payments grouped under following four categories based on their purpose:

- (i) Business operations;
- (ii) Non-business operations;
- (iii) Cash flow from capital accounts; and
- (iv) Sundry items.

For the purpose of determining the requirement of working capital finance, the cash-budget statement for business operations is relevant.

Cash-budget statement may be drawn up for the next 12 month period or for smaller period i.e. 6 months or 3 months. A cash budget is usually prepared for short periods, i.e. a week/ a fortnight/ a month or a quarter. For a more precise assessment determining working capital requirement on quarterly basis is preferred.

Cash - budget statement projection consists of the following steps in sequence when prepared for a quarter.

- Expected receipts and payments during the first, the second and the third month are recorded.
- Position of the cash surplus/ deficit is computed for monthly intervals. A surplus is generated if the receipts exceed the payments, and a cash deficit occurs if payments are more than the receipts during the month. The opening cash balance for the first month is adjusted against the cash surplus/ deficit during that month. The adjusted figure is the closing balance at the end of the first month, which becomes the opening balance for the next month, viz., the second month.
- A cash surplus generated during a month results in higher closing cash balance vis-à-vis the opening balance of the month. Conversely, a cash deficit during the month would cause lower closing cash balance as compared to the opening balance.
- If the enterprise has a net position on borrowed funds (i.e. the company maintains a cash credit/ overdraft account), a cash surplus generated during a month brings down the level of the borrowed funds at the end of the month.

Cash budgets are essential for assessment of working capital needs in situations like those mentioned below:

- (i) Opening Letter of Credit,
- (ii) Ad hoc working capital facility,
- (iii) Bill financing,
- (iv) Financing construction activities,
- (v) Financing seasonal industries,
- (vi) Financing tea/ coffee/ rubber plantation,
- (vii) Financing sugar manufacturing,
- (viii) Financing software development activities,
- (ix) Financing cardamom processing, rice milling, etc.

Under this method the peak cash deficit amount is the total working capital finance to be provided to the borrower by the bank. The peak cash deficit amount is ascertained from the Projected Cash Budget Statement submitted by the borrower. The deficit is financed subject to availability of chargeable assets. The required borrower's contribution (NWC), which should be at least 25% of the peak deficit, is also worked out based on the values of Current Assets and Current Liabilities as at the peak deficit period. Actual drawings are allowed to the extent of monthly cash deficit.

Illustration:

Cash Budget Statement of M/s. ABC for the next three months is given below.

Receipts	Amount ₹ in lakh	Payments	Amount ₹ in lakh
First Month			
Cash sales	3	Cash Purchases	5
Collection from Debtors	8	Other Manufacturing expenses	4
Others	2	Administrative expenses	2
		Interest - business borrowings	1
		Others	2

(Contd.)

Receipts	Amount ₹ in lakh	Payments	Amount ₹ in lakh
<i>Total Receipts (A)</i>	13	<i>Total Payments (B)</i>	14
Net Surplus (C = A - B)	-	Net Deficit (C = A - B)	1
Opening Cash Balance (D)	3		
Closing Cash Balance (E = D + C)	2		
Second Month			
Cash sales	4	Cash Purchases	6
Collection from Debtors	5	Other Manufacturing expenses	5
Others	1	Administrative expenses	2
		Interest - business borrowings	1
		Others	1
<i>Total Receipts</i>	10	<i>Total Payments</i>	15
Net Surplus	-	Net Deficit	5
Opening Cash Balance	2		
Closing Cash Balance (Deficit)	3		
Third Month			
Cash sales	4	Cash Purchases	4
Collection from Debtors	9	Other Manufacturing expenses	5
Others	2	Administrative expenses	2
		Interest - business borrowings	1
		Others	1
<i>Total Receipts (A)</i>	15	<i>Total Payments (B)</i>	13
Net Surplus (A - B)	2	Net Deficit (A - B)	
Opening Cash Balance (Deficit)	3		
Closing Cash Balance (Deficit)	1		

Assessment of Working Capital Limit for the Quarter	
Position at the Peak Deficit (i.e. Second Month)	Amount ₹ in lakh
(a) Total cash outflow from Business Operations	15
(b) Total cash inflow from Business Operations	10
(c) Cash Deficit	5
(d) Less: Net Working Capital (Current Asset – Current Liabilities) at month-end	1
(e) Net Cash Deficit (To be financed by the bank)	4

Advantages of Cash Budget System

Short-term lending on the basis of cash budget offers a viable alternative to the existing security oriented

pattern of credit allocation by banks. The main advantages of cash budget system are:

1. The customer plans his cash requirements in advance and in case his bank is unable to sanction additional funds, the customer can seek alternative sources well in advance.
2. The banker is in close touch with his customers. He would, therefore, be able to spot any danger signals quickly and initiate corrective action in time.
3. The banker can plan his resources to meet expected credit demands. Credit planning would thus become a meaningful exercise.

23.5.6 Assessment of Non-fund Based Facilities

While ascertaining the credit needs of the borrower, the banker should assess both the fund based and non-fund based limits required by him together and sanction them as a package. The non-fund based limits are normally of two types: (i) bank guarantees, (ii) letters of credit.

(i) Bank Guarantees (BG)

For assessing bank guarantee required by a borrower, details such as the nature of guarantee, its purpose, the particulars of the contract period and the amount for which the guarantee is sought are collected and assessed from the aspect of creditworthiness of the customer and his relationship with the bank for sanctioning the guarantee facility. Appropriate conditions with regard to cash margin and security, registration of charge with ROC, in case the customer is a corporate, are laid down in the sanction to protect the interests of the bank, in the event of a default of the customer to fulfill his part of the obligation of the contract relating to which the bank guarantee has been issued and the liability thereon likely to be crystallized on the banker.

There could be occasions when the customer needs a limit in case of guarantees. This is similar to Cash Credit or Overdraft Limits. The customer has to operate within the limit so approved and the limit, like all bank facilities is subject to yearly review. The assessment of regular Bank Guarantee Limits would depend upon the nature of activity of the borrower, the nature, purpose and type of guarantees required in such an activity and the duration of such guarantee.

Bank must clearly understand various types of guarantees required in the line of activity and classify them into Financial and Performance guarantees. The nature, amount and period of bank guarantee required depends on the purpose for which the guarantee is to be issued. Hence, to determine the bank guarantee limit required by a customer it is important to assess various purposes for which the borrower would require guarantees. Some of the purposes for which guarantees are usually required are enumerated below.

- (i) **Permanent Guarantees:** It is important to identify and segregate those guarantees which are likely to be required on a fixed basis and will be outstanding as long as the unit is in operation or the bank finance is outstanding. For example, a guarantee in favour of State Electricity Board in lieu of security deposit/ for regular payment of electricity bill will be required as long as the firm is functioning. Such guarantees are essential for the normal operation of the unit. In the case of electricity dues the amount of the guarantee is related to the connected load and the optimum power utilization by the firm.
- (ii) **Business Activity Related Guarantees:** The limit for guarantees related to the main business activity of the firm is a function of the volume of activity proposed and the duration of such guarantees. For example earnest money guarantee will depend upon the number and value of tenders to be applied for by the company, the percentage of success in getting the tender awarded and the duration of such guarantees.

- (iii) **Guarantees for Export Quota:** Similarly in case of guarantees issued favouring Apparel Export Promotion council for release of garment export quota, the guarantee amount is related to the value of quota applied and allotted, which in turn will depend upon the level of exports proposed in the ensuing year and other factors.
- (iv) **Guarantees for Tax Liabilities:** In certain cases the borrower may require guarantees to be issued favouring Excise, Income-Tax authorities against disputed liabilities. Requirement of such guarantees is ascertained based on the level of such disputed liabilities and the demand made by the concerned departments.
- (v) **Guarantees for Import of Capital Goods:** The borrower may also require guarantees for import of capital goods on concessional import duty under various schemes of Government, whose requirement can be determined on a case to case basis.
- (vi) **Guarantees for Advance Payments:** Wherever the borrower is accepting advance payment from purchasers and is required to furnish bank guarantees in lieu thereof, the amount of such guarantees will be proportional to the amount of such advance payments that will be outstanding, which in turn will be dependent on the level of sales.

The cumulative requirements will indicate the amount of Bank Guarantee limits for various purposes.

Illustration

PQR Ltd. undertakes government contracts for fabrication of bridges. Its bank guarantee requirements are broadly for the following purposes:

- (a) Guarantees in lieu of Security Deposit for electricity, etc.
- (b) Bid bond Guarantees for Government tenders
- (c) Advance Payment Guarantees for payments received in stages for the contract
- (d) Retention Money Guarantees for release of retention money for the project completed
- (e) Performance Guarantee for completion of the project for which contract is awarded
- (f) Guarantee for Import of Hydro Platforms
- (g) Guarantee for GST claims by CBIC

The company has provided the following information about its activities:

- (a) Its electricity bill is around ₹10 lakh per month, and the electricity distribution company has demanded security deposits equivalent to 2 months' supply. At present the company has provided to the electricity distributor a bank guarantee for ₹7 lakh.
- (b) Projected to bid for 5 tenders of aggregate value of ₹10,000 lakh. The practice of the Government departments is to ask for Bid Bond equivalent to 1% of the Tender value.
- (c) Five contracts of the aggregate value of ₹20,000 lakh are in hand at various stages. It expects to receive payments aggregating ₹2,000 lakh against these.
- (d) It has recently completed 2 projects of the aggregate value of ₹2,500 lakh. Retention amount held by the concerned Government Departments is 5% of the contract value.
- (e) It expects to be awarded with contract for 3 out of the 5 bids to be submitted, as stated above. Performance Guarantee of 20% of the contract value is to be furnished.
- (f) It will be importing 5 Hydro Platforms @ ₹10 lakh each. The payment for these will be made over the next 24 months.

(g) GST claim for ₹20 lakh has been disputed by it for which it is required to furnish a guarantee pending decision on its appeal.

(h) It expects to receive back guarantees of aggregate value of ₹3,000 lakh from the beneficiaries as there is no claim against these guarantees.

The present outstanding guarantees issued on behalf of the company are of the value of ₹8,000 lakh.

Based on the above information the Bank Guarantee requirements are worked out as shown below.

	Purpose of Guarantee	Assessment of Guarantee Amount	Amount ₹ in lakh
I.	Assessment of Amount of Fresh Guarantees Required		
a)	Guarantees in lieu of Security Deposit for Electricity	Security Deposit Required - 2 month's supply $2 \times ₹10 \text{ lakh} = ₹20 \text{ lakh}$	20
b)	Bid Bond Guarantees	Aggregate Value of 5 tenders - ₹10,000 lakh @ 1% of Value = ₹10,000 lakh x 1%	100
c)	Advance Payment Guarantees	Expected Receipts for running contracts - ₹2,000 lakh	2000
d)	Retention Money Guarantees	Projects completed – 2 nos. Value - ₹2,500 lakh Retention Amount @ 5% = ₹2,500 lakh x 5%	125
e)	Performance Guarantee	Expected Contract Awards – 3 nos. Aggregate Value = ₹10,000 lakh x (3/5) = ₹6,000 lakh Performance Guarantee required @ 20% Guarantee amount - ₹6,000 lakh x 20% = ₹1,200 lakh	1200
f)	Guarantee for Import	Import of 5 Hydro Platforms @ ₹10 lakh each Total Value = ₹10 lakh x 5 = ₹50 lakh	50
g)	Guarantee for GST claims by CBIC	Disputed amount - ₹20 lakh	20
h)	<i>Total Expected Amount of Fresh Guarantees</i>	Sum of (a) to (g)	3515
II	Estimated Total Guarantee Limit		
i)	Present Outstanding Guarantees		8000
j)	Less: Expected Cancellations		3000
k)	Balance Current Guarantees	(i) - (j)	5000
l)	Fresh Guarantee Requirements	(h)	3515
m)	Total Guarantee Limit Required	(k) + (h)	8515

The Bank Guarantee Limit required by the Company is ₹8515 lakh say ₹8600 lakh.

(iii) Letters of Credit (L/C)

A letter of credit (L/C) is a written but a conditional undertaking given by the issuing bank on behalf of its customer, to the beneficiary that it will pay him the amount stated in the credit provided documents specified in the letter of credit are drawn and presented in strict conformity with the terms and conditions of the credit. In order for the payment to occur, the seller has to present to the bank the required documents as per the L/C terms. An L/C is used for purchase of goods either locally or through imports. An L/C may provide for payment terms as DP (Documents against Payment) or DA (Documents against Acceptance) depending on whether the purchase is on credit or cash terms.

For assessing the letter of credit limit for the purchase of raw materials, the banker collects from the borrower following particulars:

- Projected value of raw material consumption in the ensuing year
- Projected value of raw material purchase on credit (out of the above)
- Time taken for advising the letter of credit to the beneficiary
- Time taken for shipment and the consignment to reach the customer's destination
- Credit period (usance period) agreed between the beneficiary and the customer
- Credit period projected and reckoned for calculation of the maximum permissible bank finance (MPBF) while sanctioning the funded limits to the borrower customer

The cycle of operation of an L/C from its issuance to the payment under it comprises the following:

- Time taken for advising the letter of credit to the beneficiary
- Time taken for shipment and the consignment to reach the customer's destination
- Credit period agreed between the beneficiary and the customer (where the payment terms are on credit)

Based on the above information the letter of credit limit is assessed as explained in the following illustration.

Illustration:

PQR Ltd. enjoys working capital facilities with Bank A. It has approached the bank for LC limit for purchase of raw materials. The relevant information provided is as given below.

- Projected value of raw materials consumption: ₹ 3,600 lakh
- Projected value of raw material purchase on credit: ₹ 2,400 lakh
- Time taken for advising L/C: 10 days
- Time taken for shipment and transit period: 20 days
- Credit period agreed upon between the seller and the customer OR the projected available credit period (as given in CMA format) for calculation of MPBF for funded limits, whichever is less: 30 days

Assessment of LC Limit

- Time required for one cycle of operation of L/C will be $10 + 20 + 30 = 60$ days.
- Number of cycles in a year (assuming 360 days in a year) = 6
- Projected value of raw material purchase on credit during the year is ₹ 2,400 lakh.
- The value of L/C per cycle is -

$$\frac{\text{₹}2400 \text{ lakh}}{6} = \text{₹}400 \text{ lakh}$$

The letter of credit limit required would be ₹ 400 lakh.

A banker should ensure that the stocks procured through the L/C are taken under hypothecation, but are not included in the value of stocks for calculation of amount of drawals permitted for the fund based limits granted to the customer. The capital goods purchased under L/C are also covered by hypothecation charge.

23.6 ASSESSMENT OF TERM LOAN

A term loan is granted for the purpose of acquisition of capital asset such as Land, Building, Plant & Machinery, Modernisation, Renovation or Rationalisation of Plant. Term loans are also extended for acquisition of a capital asset like machinery, equipment, factory or office premises, vehicles, etc. on standalone basis. Repayment of a term loan comes from the future earnings of the unit (i.e. cash surplus generated out of the business), in contrast to the working capital facility that is paid out of sales realisation from the operating stocks. Normally, the term loans are repayable in instalments over a period ranging from 3 to 10 years. The credit risk, therefore, is greater in case of term loan than in case of working capital finance.

Where a term loan is considered for a new business to be established, it requires assessment of project cost and means of finance. While in case of term loan for standalone acquisition of a capital asset would require assessing the cost of acquisition of that asset. In both cases, it is necessary to assess the future cash surplus from the business operations that would be available to service the term loan viz. for meeting the interest and repayment instalments for the term loan.

23.6.1 Cost of Project and Means of Finance

Assessment of project cost requires estimating the cost of acquisition of capital assets, cost of construction of building, and any other related expenditure. Besides, in the project cost the amount of working capital margin required is also included as this is also to be funded from long term sources. Assessment of funding of a project requires determination of various funding sources that are available to the entrepreneur and estimating the amount of funds expected from these. A typical statement of the Cost of the Project and Sources of Finance is tabulated as shown below.

Cost of the Project	Sources of Finance
(a) Land acquisition	(a) Share Capital
(b) Site development, building, and other civil works	(b) Reserves and Surpluses, retained earnings/ internal cash accruals, etc. (for an existing business)
(c) Plant & Machinery	(c) Capital Subsidy
(d) Miscellaneous assets	(d) Long term loan for equity funding
(e) Electrical fittings	(e) Term Loans from FIs etc.,
(f) Preliminary & pre-operative expenses	(f) Unsecured loans (from friends and relatives) or Public deposits
(g) Contingencies	
(h) Working capital margin	
<i>Total Cost of Project</i>	<i>Total Sources of Finance</i>

Besides, technical study, the processing officer has to verify the above items meticulously as technical appraisal examination is on technical angle while he has to verify each of the above heads on financial angle. Banks do not finance all items of cost of project. For instance, preliminary and pre-operative expenses are not funded by banks but are required to be met from the entrepreneur's own sources. Secondly, for the assets that are funded by banks through the term loans, they require a part of the cost to be met by the borrower's own fund as margin contribution. Thus, the total margin requirement for various assets funded through term loans from bank will also need to be met by the borrower from own funds. Bankers also look at the debt-equity structure in case of a project to satisfy about the level of leveraging being within reasonable range.

23.6.2 Assessment of Term Loan Limits

It will be noted that for determining the term loan requirement of a borrower the bank needs to assess the total project cost first. This requires estimating for each of the items the requirements. This exercise needs an understanding of the nature of each of these items connected with setting up of the project.

- (i) **Land & site development:** adequacy, lease or free hold, reasonability of estimates for civil works, etc. The cost of land & site development is the sum of the following:-
 - a. Basic cost of land including conveyance and other allied charges
 - b. Premium payable on leasehold and conveyance charges
 - c. Cost of levelling and development
 - d. Cost of laying approach roads and internal roads
 - e. Cost of compound wall and gates
 - f. Cost of tube wells, etc.

The cost of land varies considerably from one location to another and it may be very high in urban and even semi-urban locations, it is relatively low in rural locations. Likewise, the expenditure on site development too varies widely depending on the location and topography of the land.

- (ii) **Building:** Buildings of different types such as factory, administrative, godown, canteen, time house, guest house, staff quarters, silos, tanks, wells, chests, garages, sewers, other civil engineering works, etc. may be required depending on the type, size and location of the plant. The need for each type of buildings needs to be examined. Estimates should be based on plinth area, the rates for various types of structures, the types of materials to be used, etc. The costs must be reasonable, and duly certified by approved architect. These rates, of course, vary with the location to some extent. Approval of plan layout is to be obtained from the competent authority, etc.
- (iii) **Plant & machinery:** The cost of the plant & machinery is typically the most significant component of the project cost. It consists of the following:-
 - a. The cost of imported machinery: sum of FOB value
 - b. Shipping, freight, and insurance cost
 - c. Import duty
 - d. Clearing, loading & unloading, and transportation charges, etc.

The costs should be based on latest available quotations/invoices adjusted for possible escalation from reputed suppliers/manufacturers and machinery should be standard. Whether all machineries are included e.g. cost of generator, water treatment plant, balancing machinery, etc. included? Whether the proposed machinery is second hand and if so chartered engineer's certificate, etc. should be obtained.

- (iv) **Technical know-how and engineering fee:** Often it is necessary to engage technical consultants or collaborators from India and/or abroad for advice and held in various technical matters like preparation of the project report, choice of technology, selection of the plant and machinery, detailed engineering, and so on. These expenses are in fact components of project cost, the royalty payable annually, which is typically a percentage of sales, is an operating expenses taken into account in the preparation of the projected profitability statements.
- (v) **Expenses on engaging foreign technicians and training of Indian technicians abroad:** Services of foreign technicians may be required in India for setting up the project and training Indian technicians. Expenses in connection with this are also to a part of project cost and they are also treated as operating expenses.
- (vi) **Miscellaneous assets:** Fixed assets and machinery which are not part of the direct manufacturing process may be referred to as miscellaneous fixed assets. Furniture & fittings, electrical fittings, laboratory, work shop equipments, effluent treatment plants, firefighting equipments, and so on. All these items are properly and reasonably assessed with quotations.
- (vii) **Preliminary & pre-operative expenses:** Preliminary expenses are expenses before formation of the company (preliminary/feasibility study, legal expenses, travelling expenses, etc.). The pre-operative expenses are those incurred between the formation and commencement of commercial production. Expenses borne in connection with the raising of capital from the public are referred to as capital issue expenses. The major components of capital issue expenses are: underwriting commission, brokerage, fees to managers and registrars, printing and postage expenses, advertising and publicity expenses, listing fees, and stamp duty. It may be ascertained whether interest cost during the construction period is arranged by the borrower or is it also forms a part of the cost.
- (viii) **Contingencies:** Expenses in connection with cost escalation because of unexpected reasons such as increase in excise duty, sales tax duty, general inflation, etc. to estimate the provision for contingencies, project cost items may be divided into two categories such as: “firm” cost items and “non-firm cost” items. The “firm cost items” are those which have already been acquired or for which definite arrangements have been made. Generally, a contingency provision of 5 to 10% of the estimated cost of non-firm costs items if the implementation period is less than 1 year. For every additional 1 year, make additional provision of 5%.
- (ix) **Margin for working capital:** The principal support for working capital is provided by commercial banks and creditors. However, a certain part of the working capital requirement has to come from long-term sources of finance. This is referred to as “margin money for working capital” and is an important element of the project cost. The margin money may sometimes be used for meeting overruns in the project cost. This leads to a working capital problem (sometimes a crisis) when the project is commissioned. To mitigate this problem, financial institutions stipulate that a portion of the loan amount, equal to the margin money for working capital, be blocked initially so that it can be released when the project is completed. It is the NWC available in the system from long term sources.
- (x) **Initial cash losses:** Most of the projects incur cash losses in the initial years. Yet, the promoters typically do not disclose the initial cash losses because they want the project to appear attractive to the financial institutions and investing public. Failure to make adequate provision for such cash losses in the project generally affects the liquidity position and impairs the operations. Hence prudence calls for making a provision, overt or covert, for the estimated initial cash losses. The next stage is ascertaining various sources of finance including both equity and borrowings including term loans from banks/ financial institutions.

- (xi) **Sources of Finance:** To meet the cost of the project, the following sources of finance are available:
- Share capital
 - Term loans
 - Debenture capital
 - Deferred credit
 - Incentive sources
 - Miscellaneous sources
- (a) *Share capital* may be equity (owners and equity shareholders) or preference capital.
- (b) *Term loans* are provided by banks and financial institutions. They may be in Indian rupees or in foreign currency loans. Rupee loans are given for financing land, building, civil works, indigenous plant and machinery, and so on while foreign loans are considered for meeting foreign currency expenditures towards the import of equipment and technical know-how.
- (c) *Debentures* are debt instruments and they are convertible and non-convertible debentures. Convertible debentures are likely to be converted to equity wholly or partly as per the conversion rates fixed in advance. Non-convertible debentures normally carry fixed rate and having maturity period of 5 to 9 years.
- (d) *Deferred credits* are credits offered by the suppliers of plant & machinery and the payments can be made over a period of time as per the terms.
- (e) *Incentive sources* include financial support as an incentive from government and other agencies to certain types of promoters or for setting up industrial units in certain locations. These incentives may be in the form of Seed Capital Assistance or capital subsidy (to attract industries) or tax deferment or exemption (particularly from GST) for a certain period.
- (f) *Miscellaneous Sources:* A small portion of the project finance may come from miscellaneous sources like unsecured loans, public deposits, and leasing and hire purchase finance, etc. Out of the total resources required, the quantum of equity financing and debt financing will be regulated by the debt-equity norm/promoters' contribution stipulated by financial institutions. Decision to raise resources from any source would require careful planning and cost benefit analysis. These will be, of course, subject to regulatory approvals as necessary from SEBI etc. in case of raising debt or equity from the public.

Illustration

XYZ Ltd. is setting up a project for manufacturing plastic moulded goods. The estimated costs for various assets are shown below. The company desires to maintain debt-equity ratio at 2:1. It proposes to raise debt from banks/ financial institution, and unsecured loans from friends, relatives and deposits from public. The shareholders will contribute equity capital of ₹350 lakh. It proposes to raise funds through long term debentures for meeting shortfall in Equity. The unit is eligible for Capital Subsidy under the Central Government's 'Make in India' Scheme. The subsidy amount available is 10% of the cost of fixed assets to be acquired except electrical fittings. The margins required for term loans from banks/ financial institutions are:

Site Development, building, and other civil works – 50%

Plant & Machinery – 25%

Miscellaneous assets – 40%

Electrical fittings – 50%

Banks/ financial institutions will not fund the cost of land.

Based on these the total cost of project and the source of finance are worked out as shown below.

Cost of the Project	Margin	Bank Borrowings ₹ in lakh	Amount ₹ in lakh
(a) Land acquisition	100%	Nil	200
(b) Site development, building, and other civil works	50%	125	250
(c) Plant & Machinery	25%	225	300
(d) Miscellaneous assets	40%	30	50
(e) Electrical fittings	50%	20	40
(f) Preliminary & pre-operative expenses	100%	Nil	80
(g) Contingencies	100%	Nil	50
(h) Working capital margin	100%	Nil	250
Total Cost of Project			1220
Sources of Finance		Basis	Amount ₹ in lakh
(a) Share Capital	Equity	Debt: Equity Ratio – 2:1	350
(b) Reserves and Surpluses, retained earnings/ internal cash accruals, etc. (for an existing business)	Equity	Not available in New Unit	0
(c) Capital Subsidy	Reckoned as Equity	10% of cost of fixed assets except electrical fittings (i.e. (a) to (d))	80
(d) Long term loan for equity funding (including debentures from public, etc.)	Reckoned as Equity		180
(e) Term Loans from banks/ FIs etc.,	Debt	Bank loans for fixed assets except land (i.e. (b) to (d)) (125 + 225 + 30 + 20)	400
(f) Unsecured loans (from friends and relatives) or Public deposits	Debt		110
Total Sources of Finance			1220

23.6.3 Assessing Viability and Debt Servicing Capacity

Term loans and other long term borrowings are expected to be serviced from the income to be generated from the business operations of the enterprise. It is therefore important to assess the viability of the business activity of the unit of generating profits. To assess the debt servicing capacity the amount of cash surplus expected over the tenor of various long term loans is required to be estimated.

These should be adequate to meet the annual loan instalment obligations. This is usually expressed as *Debt Service Coverage Ratio*.

(a) **Viability of Business Activity:** Assessing the viability of any business activity is essentially an exercise of working out projected sales and costs of production and cost of sales, etc. In other words, it is preparing projected financial estimates for operations, as done for assessing the working capital requirements. The objective here is to determine the profits and the cash surplus generated from the operations. While for working capital assessment the projections for the following year are adequate, for term loan appraisal purposes such estimates are required for the entire tenor of the term loans.

Typically, the profit can be estimated from the estimates of the cost of production and cost of sales and the expected sales. The data elements that are required for this purpose are enumerated below:

- Installed capacity
- Number of shifts per day and number of working days
- Capacity utilisation plans
- Product mix
- Quantity and price of input
- Quantity and price of output
- Unit cost of production
- Labour costs
- Repairs and maintenance costs
- Plant overheads
- Administrative expenses
- Packing cost
- Selling expenses
- Financial expenses
- Depreciation
- Income tax
- Price rise and inflation, etc.

Based on these data elements and detailed working of each cost item the cost of production and cost of sales statement is prepared. Based on the expected sales projections the profit from sales is arrived at. The net profit is determined after providing for taxes and any other non-business costs and provisions for likely bad or doubtful debts.

Typical summarised cost of production and profits statement will look as shown in the illustration below.

Illustration

ABC Ltd. is setting up a plant for manufacturing electric fans. Its detailed estimated cost of production, sales and profits has been worked out. Based on that the summarised position for the first year is as shown below.

Costs	Amount ₹ in lakh	Revenue	Amount ₹ in lakh
(a) Opening Stock	0	(i) Value of Electric fans sold	200
(b) Cost of Electric Fans Produced (includes Depreciation ₹10 lakh)	150	(ii) Closing Stock (at cost of production)	30
(c) Expenses (other than production costs) (Includes interest on term loans ₹5 lakh)	30		

(Contd.)

Costs	Amount ₹ in lakh	Revenue	Amount ₹ in lakh
(d) Provisions for bad or doubtful debts	10		
(e) Total Costs ((a) to (d))	190		
(f) Profit before Tax ((iii) – (e))	40		
(g) Total ((e) + (f))	230	(iii) Total Revenue ((i) + (ii))	230
(h) Tax	10	(iv) Profit before Tax	40
(i) Profit after Tax	30		
(j) Total ((h)+(i))	40	(v) Total	40

From the above statement following parameters can be worked out:

Parameter	Basis	Working	Value
(I) Profit Margin on sales	Profit Before Tax (f)/Value of Electric Fans Sold (i) (as percentage)	$(40/200)*100$	20%
(II) Net profit Margin	Profit After Tax (i)/Value of Electric Fans Sold (i) (as percentage)	$(30/200)*100$	15%
(III) Cash Profit	Profit after Tax (i) + Depreciation + Provisions	$30+10+10$	₹50 lakh
(IV) Net Profit (before finance cost)	Profit after Tax (i) + Interest on Term loans	$30+5$	₹35 lakh
(V) Cash Profit (before finance cost)	Profit after Tax (i) + Interest on Term loans + Depreciation + Provisions	$30+5+10+10$	₹55 lakh

(b) **Debt Service Coverage Ratio (DSCR)**: DSCR indicates the ability of a concern to service its term liabilities. The ratio is applied while appraising all term loans proposals. DSCR measures whether interest and instalments can be paid out of internal generation of funds. It is calculated as the cash profit generated plus provision for interest divided by total payment commitment.

DSCR is computed as:-

$$\text{DSCR} = \frac{\text{Net profit} + \text{Depreciation} + \text{Other Non – Cash Expenses} + \text{Interest on term loan}}{(\text{Interest on term loan} + \text{Instalments of term loan})}$$

For assessing the debt servicing capacity for the entire tenor of the term loan the estimated profitability statements for the entire loan period are prepared. DSCR is estimated for each year. The average DSCR (i.e. the average of DSCRs calculated for the repayment period of the loan) of 1.50 is considered reasonable. This ratio indicates that after payment of the loan instalment and interest something will be left over. This margin of safety is what the lender looks for.

It will be noticed that DSCR is a function of the liability on account of the instalment and interest payment obligations. Lower payment obligations will result in higher DSCR, indicating that the surplus generated covers the payment obligations to a greater degree.

It happens usually that in the initial years DSCR is less than 1.50. For providing some relief in these years, the instalments at the beginning are kept lesser, and increased in later years as the income and profitability improves. Alternatively, a longer repayment period can be considered. A higher DSCR of

above 2 indicates higher repayment capacity. In such cases, the instalment may be increased i.e. ask the borrower to repay the loan in an accelerated manner.

Illustration

ABC Ltd. in the preceding Illustration has borrowed term loans as indicated below:

- (i) Term Loan for Plant and Machinery - ₹500 lakh for 50 months – Monthly instalment of ₹10 lakh
- (ii) Term Loan for Site Development and Building - ₹420 lakh for 84 months – Monthly instalment of ₹5 lakh
- (iii) Term Loan for Miscellaneous assets - ₹72 lakh for 36 months – Monthly instalment of ₹2 lakh

The financial projections for seven years are given below. Based on these the DSCR is calculated as indicated below.

Parameter	Working	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Total
Amount (₹in lakh)									
(a) Profit After Tax		210	325	345	355	365	380	390	2370
(b) Depreciation		30	23	18	15	14	13	12	125
(c) Provisions for bad and doubtful debts		10	12	15	15	17	19	21	109
(d) Interest on Term Loans		70	53	38	23	18	8	4	214
(e) Term Loan Instalment		204	204	204	180	80	60	60	992
(f) Repayment obligations for Term Loan (including interest)	d+e	274	257	242	203	98	68	64	1216
(g) Cash Surplus	a+b+c	250	360	378	385	396	412	423	2604
(h) Cash Surplus (before Term Loan Interest)	a+b+c+d	320	413	416	408	414	420	427	2818
Ratio									
(i) DSCR (for TL instalment)	g/e	1.2	1.8	1.9	2.1	5.0	6.9	7	2.6
(j) DSCR (for TL interest and instalment)	h/f	1.2	1.6	1.7	2.0	4.2	6.2	6.7	2.3

It will be observed that the DSCR varies from year to year. In the instant case the DSCR for the first year is below 1.5 the desired minimum level, but is above 1 leaving some cushion. There are two options available:

- (i) To accept DSCR of 1.2 that indicates that there is some surplus available after meeting term loan obligations, although the margin of safety is little lower. In absolute terms, considering total obligations (including interest on Term Loans) of ₹274 lakh a surplus of ₹46 lakh is available out of cash surplus of ₹320 lakh.

- (ii) To modify the repayment schedule either with a moratorium period of say 3 months or so that will result in reducing the instalments amount for the first year of operations and hence increase DSCR for the first year. Alternatively, the instalment amount for the first year can be reduced.

It will also be observed that DSCR in the last three years are quite high, clearly indicating that there is scope for accelerating the repayment a little. However, while doing so the average DSCR over the total repayment tenor will also be kept in view.

23.7 LET US SUM UP

Credit appraisal is a process of critical evaluation of a loan request by a prospective borrower. An appraisal is undertaken for ensuring that a credit is good. It measures the risk inherent in the proposal and comes to judgment to sanction or reject the proposal based on the assessment of the information, the applicant and the project. Verification and validation are necessary to check out the facts. Credit risk rating or credit rating is one of the credit appraisal tools.

There are seven aspects (7 C's) for ascertaining - Creditworthiness, Character, Capacity, Capital, Collateral, Conditions, and Cash flows. Assessment of loans for different purposes is done in different manner as the factors affecting these differ in several respects.

The capital required for a business enterprise can be classified under two main categories viz. (i) Fixed Capital; (ii) Working Capital. There are two concepts of working capital: (i) Gross working capital; (ii) Net working capital. Banks try to fund the gap or extend need based financial assistance.

Banks may adopt one of the following four methods for assessment of working capital requirements of their clients - (i) Turnover Method; (ii) Operating Cycle Method; (iii) Maximum Permissible Bank Finance (MPBF) Method (Projected Net Working Capital); and (iv) Cash Budget Method.

The non-fund based limits are normally of two types: (i) bank guarantees and (ii) letters of credit.

A term loan is granted for the purpose of acquisition of capital asset. Normally the term loans are repayable in instalments over a period ranging from 3 to 10 years. The credit risk, therefore, is greater in case of term loan than in case of working capital finance. Assessment of project cost requires estimating the cost of acquisition of capital assets, cost of construction of building, and any other related expenditure. To assess the debt servicing capacity the amount of cash surplus expected over the tenor of various long term loans is required to be estimated. Debt Service Coverage Ratio (DSCR) is the principal parameter to assess the debt servicing capacity.

23.8 KEYWORDS

Credit Appraisal; Validation; Credit Risk; Credit Risk Rating; Creditworthiness; Character; Capacity; Capital; Collateral; Conditions; Cash Flows; Assessment; Fixed Capital; Working Capital; Gross Working Capital; Net Working Capital; Working Capital Gap; Stock in Process; Work-in-Process; Working Capital Cycle; Operating Cycle; Raw Material (RM) Storage Period; Average Stock; Annual Cost of Production; Average Annual Consumption; Annual Cost of Sales; Average Collection Period; Average Payment Period; Average Daily Credit Purchases; Turnover Method; Operating Cycle Method; Maximum Permissible Bank Finance (MPBF) Method; Cash Budget Method; Credit Monitoring Arrangement; Cash Deficit; Permanent Guarantees; Advance Payment Guarantees; Bid Bond Guarantees; Advance

Payment Guarantees; Performance Guarantee; Retention Money Guarantees; Cost of Project; Means of Finance; Margin money for Working Capital; Deferred credits; Viability; Debt Service Coverage Ratio.

23.9 CHECK YOUR PROGRESS

1. In banker's parlance, credit risk in lending refers to _____.
 - (a) default of repayment by a borrower
 - (b) default of bankers in maintaining SLR
 - (c) default of a banker to release credit to a borrower
 - (d) None of above
2. Net working capital means _____.
 - (a) Current assets – Current Liabilities
 - (b) Owned funds – Goodwill
 - (c) Use of assets + Sources of funds
 - (d) None of the above
3. What are the sources of working capital?
 - (a) Trade credits + Unsecured loans + Deposits
 - (b) Bank borrowings + Advance payments
 - (c) Net working capital
 - (d) All of above
4. Term loans mean loans _____.
 - (a) payable over a period of one year to ten years
 - (b) repaid in installments over a period
 - (c) utilised for acquisition of fixed assets
 - (d) All of the above
5. Advantages of cash budget could be _____.
 - (a) borrower has to plan the cash requirements
 - (b) banker can spot a danger signal quickly
 - (c) banker can plan his resources to meet credit demands.
 - (d) All of the above.

23.10 ANSWER TO 'CHECK YOUR PROGRESS'

1. (a), 2. (a), 3. (d), 4. (d), 5. (d).

UNIT 24

OPERATIONAL ASPECTS OF LOAN ACCOUNTS

STRUCTURE

- 24.0 Objectives**
- 24.1 Introduction**
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 - 24.2.1 Base Rate System
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24.0 OBJECTIVES

After studying this Unit, you will:

- Know about the norms for interest rate on advances
- Understand credit management
- Learn about credit exposure norms
- Understand credit monitoring
- Know about fair practice code for lenders
- Understand the operational aspects related to various loan products

24.1 INTRODUCTION

There are several other aspects related to management of lending business of loans. These range from interest rates to be charged on various types of loans, processing of loan applications, recovery of loans extended, monitoring of advances and loan portfolios, etc. These aspects are connected with day to day activities of the assets related functions in banks. It is important to understand various issues connected with these aspects for proper management of the lending operations.

24.2 INTEREST RATES ON LOANS

After the interest rates to be charged by banks on advances were deregulated, normative regulations were issued by RBI containing the basic principles for the framework to determine the interest rates for various loan products. These regulations have, over the period, undergone several changes. The initial approach was based on the Prime Lending Rate, as an internal benchmark. Then came the Base Rate System. This was further modified to adopt Marginal Cost of Funds Based Lending Rate (MCLR), as internal benchmark. This was further modified to encourage switching over to external benchmark.

24.2.1 Base Rate System

The Reserve Bank Working Group on Benchmark Prime Lending Rate (BPLR) (Chairman: Shri Deepak Mohanty) reviewed the BPLR system and suggested changes to make credit pricing more transparent. Moreover, the calculations of BPLR were mostly not transparent and banks were frequently lending below the BPLR to their prime borrowers and also under pressure due to various reasons. Based on the committee's recommendations, the Base Rate system replaced the BPLR system with effect from July 1, 2010. Base Rate included those elements of the lending rates that were common across all categories of borrowers.

(i) Basic norms of Base Rate System

The basic norms of the Base Rate system were:

- (a) All floating rate rupee loans sanctioned and renewed between July 1, 2010 and March 31, 2016 were priced with reference to the Base Rate (the internal benchmark for such purposes).
- (b) There could be only one Base Rate for each bank.
- (c) Banks were free to calculate cost of funds either on the basis of average cost of funds or on marginal cost of funds or any other methodology in vogue, which was reasonable and transparent, subject to it being consistent and made available for supervisory review/scrutiny as and when required. If the

card rate for deposits of one or more tenor is the basis, the deposits in the chosen tenor/s shall have the largest share in the deposit base of the bank.

- (d) The Base Rate methodology was not to be reviewed for at least a period of three years from date of its finalization.
- (e) As of July 2012, following categories of loans could be priced without reference to Base Rate -
 - (i) DRI Advances;
 - (ii) Loans to banks' own employees including retired employees; and
 - (iii) Loans to banks' depositors against their own deposits.
 - (iv) Loans where interest rate subvention was available
 - (v) Loans where refinance is availed
- (f) Base Rate was to be reviewed at least at quarterly intervals.
- (g) It was required to be made public.
- (h) No loans except those mentioned in (e) above could be charged a rate below the Base Rate.

(ii) Calculation of Base rate

The Base Rate calculations included all those cost elements which can be clearly identified and are common across borrowers. The constituents of the Base Rate include

- (i) the card interest rate on retail deposit (deposits below ₹15 lakh) with one year maturity (adjusted for CASA deposits);
- (ii) adjustment for the negative carry in respect of CRR and SLR;
- (iii) unallocatable overhead cost for banks which would comprise a minimum set of overhead cost elements; and
- (iv) average return on net worth.

(iii) Spread under Base Rate System

- (i) The credit risk premium charged to an existing borrower shall not be increased except on account of deterioration in the credit risk profile of the customer or change in tenor premium. This is not applicable to loans under consortium/ multiple banking arrangements.
- (ii) The change in tenor premium on loans sanctioned under Base rate system shall not be borrower specific or loan class specific. In other words, the change in tenor premium shall be uniform for all types of loans for a given residual tenor.

24.2.2 Marginal Cost of Funds Based Lending Rate

In December 2015, RBI reviewed the norms for determination of base rate and introduced the Marginal Cost of Funds Based Lending Rate (MCLR) concept. MCLR would serve as the internal benchmark for pricing all rupee loans and limits. In March 2016, the Master Direction - Reserve Bank of India (Interest Rate on Advances) Directions, 2016 was issued. The provisions of these Directions apply to scheduled commercial banks (excluding RRBs), small finance banks and local area banks. These directions are not applicable to operations of foreign branches of Indian banks.

A. Interest Rate Framework

Scheduled commercial banks shall charge interest on advances on the specified terms and conditions in these directions. The general norms required to be followed are enumerated below. These are also applicable to Rupee advances granted against FCNR(B) deposits to a third party or out of resources mobilized under the FCNR(B) scheme.

- (i) Banks should have a comprehensive policy on interest rates on advances.
- (ii) All floating rate loans, except those excluded, shall be priced with reference to the benchmark as indicated by the RBI.
- (iii) Banks are permitted to offer all categories of advances on fixed or floating interest rates.
- (iv) For the floating rate linked to an internal benchmark, the lending rate should be arrived at by adding the components of spread to the internal benchmark rate.
- (v) The reference benchmark rate for pricing the loans should be stated in the loan contract.
- (vi) Interest rates on fixed rate loans of tenor below 3 years shall not be less than the benchmark rate for similar tenor, and shall be as per applicable directions.
- (vii) Interest shall be charged on all advances at monthly rests. For agricultural advances and advance to farmers the rates are to be determined as per the respective norms.
- (viii) Interest chargeable on rupee advances shall be rounded off to the nearest rupee.
- (ix) Interest charged on small value loans, particularly, personal loans and such other loans of similar nature shall be justifiable having regard to the total cost incurred by the bank in extending the loan and the extent of return that could be reasonably expected from the transaction.
- (x) In case of takeover of bank branches in rural and semi urban centres from one commercial bank to another commercial bank, transfer of borrowal accounts of the existing branch to the branch of acquiring bank shall be on mutually agreed terms of contract. The existing borrowers shall not be put to any disadvantage and shall have the option of continuing with the existing bank or the acquiring bank.
- (xi) There shall be no lending below the benchmark rate for a particular maturity for all loans linked to that benchmark.
- (xii) Banks shall formulate a Board approved policy for charging penal interest on advances which shall be fair and transparent. Penal interest may be levied for reasons such as default in repayment, non-submission of financial statements, etc. However, the policy on penal interest should be governed by well-accepted principles of transparency, fairness, incentive to service the debt and genuine difficulties of customers. The rate of penal interest shall be decided after taking into account incentive to service the debt and due regard to genuine difficulties of customers. Currently (as at end- March 2022), no penal interest should be charged by banks for loans under priority sector up to Rs 25,000.

B. MCLR Basic Norms

- (i) All floating rate rupee loans sanctioned and renewed w.e.f. April 1, 2016 are priced with reference to the Marginal Cost of Funds based Lending Rate (MCLR) which is the internal benchmark for such purposes. Where external benchmark rate is required to be adopted, such advances are excluded.
- (ii) The MCLR shall comprise of:
 - (a) Marginal cost of funds;
 - (b) Negative carry on account of CRR;
 - (c) Operating costs;
 - (d) Tenor premium.

Marginal cost of funds is determined from marginal cost of borrowings and return on net worth. As the cash reserves do not earn any interest, the negative carry on the mandatory CRR is determined based on the computed marginal cost of funds. The third component, namely operating costs includes

all costs in providing the loan (including cost of raising the funds). Finally, premium on longer tenor loans needs to be factored in that will be uniform across all borrowers and loan products, solely depending on the residual tenor.

- (iii) Thus, due to the tenor based premium a bank will not have just one MCLR, but this will be a tenor linked benchmark. Banks are required to publish at least five MCLR viz. overnight MCLR; one-month MCLR; three-month MCLR; six-month MCLR; and One year MCLR. Banks are free to publish MCLR of longer maturity. Each MCLR is to be reviewed every month on the pre-announced date.
- (iv) Review of MCLR: Banks shall review and publish their MCLR of different maturities every month on a pre-announced date.
- (v) Besides, banks need to have a policy for charging spread to the customer based on various defined components and the delegation of powers for pricing of loans. Main components for this purpose are:
 - (a) Business strategy - The component shall be arrived at by taking into consideration the business strategy, market competition, embedded options in the loan product, market liquidity of the loan etc.
 - (b) Credit risk premium - The credit risk premium charged to the customer representing the default risk arising from loan sanctioned shall be arrived at based on an appropriate credit risk rating/ scoring model and after taking into consideration customer relationship, expected losses, collaterals, etc.
- (vi) The spread charged to an existing borrower shall not be increased except on account of deterioration in the credit risk profile of the customer. Any such decision regarding change in spread on account of change in credit risk profile shall be supported by a full-fledged risk profile review of the customer. This shall not be applicable to loans under consortium / multiple banking arrangements.
- (vii) Thus, for all loans linked to the benchmark, the actual lending rates are determined by adding the spread components to the related tenor benchmark. The reference benchmark rate, and the interest reset periodicity (to be one year or lower) should be mentioned in the loan agreements.
- (viii) All rupee loans sanctioned and credit limits renewed w.e.f. April 1, 2016 are priced with reference to the Marginal Cost of Funds Based Lending Rate (MCLR). Accordingly, there will be no lending below the MCLR of a particular maturity for all loans linked to this benchmark.

24.2.3 Exemptions from Benchmark Based Interest Rates

The following types of loans are exempted from the provisions related to interest rates based on either internal or external benchmarks.

1. Loans covered by schemes specially formulated by Government of India wherein banks have to charge interest rates as per the scheme,.
2. Working Capital Term Loan (WCTL), Funded Interest Term Loan (FITL), etc. granted as part of the rectification/ restructuring package.
3. Loans granted under various refinance schemes formulated by Government of India or any Government Undertakings wherein banks charge interest at the rates prescribed under the schemes to the extent refinance is available. Interest rate charged on the part not covered under refinance should adhere to the Base Rate/MCLR/External Benchmark guidelines.

4. The following categories of loans –

- Advances to banks' depositors against their own deposits.
- Advances to banks' own employees including retired employees.
- Advances granted to the Chief Executive Officer/Whole Time Directors.
- Loans linked to a market determined external benchmark.
- Fixed rate loans of tenor above three years. However, in case of hybrid loans where the interest rates are partly fixed and partly floating, interest rate on the floating portion should adhere to the MCLR guidelines. Interest rates for fixed rate loans (including fixed rate portion of hybrid loans) of tenor up to three years shall not be less than the sum of following: Marginal Cost of Funds; Negative Carry on CRR; Operating Cost; Tenor premium for corresponding maturity on the date of sanction. Fixed rate loans sanctioned before April 01, 2016 shall not be below the Base Rate at the time of sanction or renewal.

24.2.4 Linking of Lending Rates to External Benchmarks

An Internal Study Group (ISG) of RBI that reviewed the MCLR system recommended switching over to external benchmark based rate in a phased manner. In September 2019, RBI issued instructions for linking certain categories of loans to one of the prescribed external benchmarks, with effect from October 1, 2019.

A Basic Norms for External Benchmark Based Rates

- (a) All new floating rate personal or retail loans (housing, auto, etc.) and floating rate loans extended by banks to Micro and Small Enterprises from October 01, 2019 and floating rate loans to Medium Enterprises from April 01, 2020 shall be benchmarked to one of the following:
 - RBI policy repo rate
 - Government of India 3-Months Treasury Bill yield published by the Financial Benchmarks India Private Ltd. (FBIL)
 - Government of India 6-Months Treasury Bill yield published by the FBIL
 - Any other benchmark market interest rate published by the FBIL.
- (b) Banks are free to offer such external benchmark linked loans to other types of borrowers as well.
- (c) In order to ensure transparency, standardisation, and ease of understanding of loan products by borrowers, a bank must adopt a uniform external benchmark within a loan category; in other words, the adoption of multiple benchmarks by the same bank is not allowed within a loan category.

B. Transition to External Benchmarks from MCLR/Base Rate/ BPLR

- (a) Existing loans and credit limits linked to the MCLR/ Base Rate/ BPLR shall continue till repayment or renewal, as the case may be.
- (b) Floating rate term loans sanctioned to borrowers who are eligible to prepay a floating rate loan without pre-payment charges, shall be eligible for switchover to external benchmark without any charges/fees, except reasonable administrative/ legal costs. The final rate charged to this category of borrowers, post switchover to external benchmark, shall be same as the rate charged for a new loan of the same category, type, tenor and amount, at the time of origination of the loan.
- (c) Other existing borrowers shall have the option to move to external benchmark at mutually acceptable terms.
- (d) The switch-over shall not be treated as a foreclosure of existing facility.

24.3 CREDIT MANAGEMENT

Credit management is the process of appraising and sanctioning the loan/s and monitoring the account/s for recovery, with a view to increase revenue of banks and financial institutions. The expression ‘credit’ refers to short-term loans and advances as well to medium-/long-term loans and off balance sheet transactions. Management includes, within its preview, pre-sanction appraisal, sanction, documentation, disbursement and post-lending supervision and control. In the highly competitive and deregulated environment, banks and financial institutions have to evolve better systems and procedures to manage the credit needs of their highly demanding customers, particularly in the corporate and retail sectors. The developments of the past decade have totally changed the credit management perspectives in banks. The term ‘Credit management’ encompasses the following:

- (i) Capital adequacy norms
- (ii) Risk management, including asset liability management (ALM)
- (iii) Exposure norms
- (iv) Risk pricing policy and credit risk rating
- (v) Asset classification, income recognition and provisioning norms
- (vi) Appraisal, credit decision-making and loan review mechanism

24.3.1 Credit Exposure

Exposure shall include credit exposure (funded and non-funded credit limits) and investment exposure (including underwriting and similar commitments). The sanctioned limits or outstandings, whichever are higher, shall be reckoned for arriving at the exposure limit. However, in the case of fully drawn term loans, where there is no scope for re-drawal of any portion of the sanctioned limit, banks may reckon the outstanding as the exposure.

A. Credit Exposures to Single/Group Borrowers

In terms of RBI’s Large Exposure Norms, the limits prescribed are as under:

- (i) **Single Counterparty:** The sum of all the exposure values of a bank to a single counterparty must not be higher than 20 percent of the bank’s available eligible capital base at all times. The eligible capital base for this purpose is the effective amount of Tier 1 capital fulfilling the criteria defined in Basel III guidelines as per the last audited balance sheet. However, the infusion of capital under Tier I after the published balance sheet date may also be taken into account for the purpose of Large Exposures Framework. Banks shall obtain an external auditor’s certificate on completion of the augmentation of capital and submit the same to the Reserve Bank of India (Department of Banking Supervision) before reckoning the additions to capital funds. Further, for Indian banks, profits accrued during the year, subject to provisions contained in Basel III – Capital Regulation will also be reckoned as Tier I capital for the purpose of Large Exposures Framework
- (ii) **Groups of Connected Counterparties:** The sum of all the exposure values of a bank to a borrower group must not be higher than 25 percent of the bank’s available eligible capital base at all times. The *eligible capital base* carries the same meaning as given in above para.
- (iii) **Exposure to NBFCs:** A bank’s exposure limit to a single NBFC (excluding gold loan companies) will be restricted to 20 percent of that bank’s eligible capital base. Bank finance to single NBFC predominantly engaged in lending against gold will be subjected to their regulatory exposure ceiling to the extent of 50 % or more of its total financial assets.

Banks' exposures to a group of connected NBFCs or group of connected counterparties having NBFCs in the group will be restricted to 25 percent of their Tier I Capital.

B. Credit Exposure to Industry and Certain Sectors

Apart from limiting the exposures to a single or a Group of borrowers, as indicated above, banks may also consider fixing internal limits for aggregate commitments to specific sectors, e.g. textiles, jute, tea, etc., so that the exposures are evenly spread over various sectors. These limits could be fixed by the banks having regard to the performance of different sectors and the risks perceived. The limits so fixed may be reviewed periodically and revised, as necessary.

(i) Unhedged Foreign Currency Exposure of Corporates:

Each bank should have a Board approved policy that explicitly recognises and takes account of risks arising out of foreign exchange exposure of their clients, with foreign currency loans above US \$10 million, or such lower limits as may be deemed appropriate vis-à-vis the portfolio of such exposures. The policy should permit such exposures by a bank only on the basis of a well laid out policy of their Boards with regard to hedging of such foreign currency loans. The policy for hedging, is to be framed by their boards. Further, for arriving at the aggregate unhedged foreign exchange exposure of clients, their exposure from all sources including foreign currency borrowings and External Commercial Borrowings should be taken into account. Where forex loans are extended to finance exports, banks may not insist on hedging but assure themselves that such customers have uncovered receivables to cover the loan amount. Forex loans extended for meeting forex expenditure may also be excluded.

(ii) Exposure to Real Estate:

Banks should frame comprehensive prudential norms relating to the ceiling on the total amount of real estate loans, single/ group exposure limits for such loans, margins, security, repayment schedule and availability of supplementary finance and the policy should be approved by the banks' Boards. The exposure of banks to entities for setting up Special Economic Zones (SEZs) or for acquisition of units in SEZs which includes real estate would be treated as exposure to commercial real estate sector for the purpose of risk weight and capital adequacy from a prudential perspective.

(iii) Exposure to Leasing, Hire Purchase and Factoring Services:

Where banks undertake these activities departmentally, they should maintain a balanced portfolio of equipment leasing, hire purchase and factoring services vis-à-vis the aggregate credit. Their exposure to each of these activities should not exceed 10 per cent of total advances.

(iv) Exposure to Indian Joint Ventures/Wholly-owned Subsidiaries Abroad and Overseas Step-down Subsidiaries of Indian Corporates:

Banks are allowed to extend credit/non-credit facilities (viz. letters of credit and guarantees) to Indian Joint Ventures/Wholly-owned Subsidiaries abroad and step-down subsidiaries which are wholly owned by the overseas subsidiaries of Indian corporates. Banks are also permitted to provide at their discretion, buyer's credit/acceptance finance to overseas parties for facilitating export of goods and services from India. The above exposure will, however, be subject to a limit of 20 percent of banks' unimpaired capital funds (Tier I and Tier II capital).and would be subject to the conditions laid down in this regard.

24.3.2 Loan Review Mechanism/ Credit Audit

Credit Audit examines compliance with extant sanction and post-sanction processes/ procedures laid down by the bank from time to time. The objectives of credit audit are as follows:

- (i) Improvement in the quality of credit portfolio
- (ii) Review sanction process and compliance status of large loans
- (iii) Feedback on regulatory compliance
- (iv) Independent review of Credit Risk Assessment
- (v) Pick-up early warning signals and suggest remedial measures
- (vi) Recommend corrective action to improve credit quality, credit administration and credit skills of staff, etc.

(i) Functions of Credit Audit Department

Usually a separate functional team handles credit audit. Its functions are as given below:

- (a) To analyse Credit Audit findings and advise the departments/ functionaries concerned
- (b) To follow up with controlling authorities
- (c) To apprise the Top Management
- (d) To process the responses received and arrange for closure of the relative Credit Audit Reports
- (e) To maintain database of advances subjected to Credit Audit

(ii) Scope and Coverage

The focus of credit audit is broader and not merely at the account level, but covers the overall portfolio and the credit process being followed.

- (a) **Portfolio Review:** Examine the quality of Credit & Investment (Quasi Credit) Portfolio and suggest measures for improvement, including reduction of concentrations in certain sectors to levels indicated in the Loan Policy and Prudential Limits suggested by RBI.
- (b) **Loan Review:** Review of the sanction process and status of post sanction processes/ procedures (not just restricted to large accounts) all fresh proposals and proposals for renewal of limits (within 3 - 6 months from date of sanction) all existing accounts with sanction limits equal to or above a cut off depending upon the size of activity randomly selected (say 5-10%) proposals from the rest of the portfolio accounts of sister concerns/group/associate concerns of above accounts, even if limit is less than the cut-off point.
- (c) **Action Points for Review:** Following are salient aspects to be reviewed -
 - (i) Verify compliance of bank's laid down policies and regulatory compliance with regard to sanction.
 - (ii) Examine adequacy of documentation.
 - (iii) Conduct the credit risk assessment.
 - (iv) Examine the conduct of account and follow up looked at by line functionaries.
 - (v) Oversee action taken by line functionaries in respect of serious irregularities.
 - (vi) Detect early warning signals and suggest remedial measures thereof.
- (d) **Frequency of Review:** The frequency of review should vary depending on the magnitude of risk (say, for the high risk accounts - 3 months, for the average risk accounts- 6 months , for the low risk accounts- 1 year). The review should cover following aspects –
 - (i) Feedback on general regulatory compliance.
 - (ii) Examine adequacy of policies, procedures and practices.
 - (iii) Review the Credit Risk Assessment methodology.
 - (iv) Examine reporting system and exceptions thereof.
 - (v) Recommend corrective action for credit administration and credit skills of staff.
 - (vi) Forecast likely happenings in the near future.

24.4 CREDIT MONITORING

Credit monitoring can be defined as a continuous supervision process enabling the bank to ensure the quality of loan assets.

This underlines four points viz.

- a. It means supervision of loan accounts.
- b. Supervision is to be continuous and not one time exercise.
- c. Its objective is to ensure quality of assets and the adherence to regulatory IRAC guidelines.
- d. It helps in verifying that the borrower is conforming to the terms of sanction.

Credit monitoring is keeping track of the borrowing company's performance throughout the period of the loan. The bank prescribes certain covenants at the time of sanction of the loan for the purpose of ensuring that the borrower's financial position stays at certain agreed levels. Some standard covenants applicable to all relationships are submission of stock statements (Statement of Assets-Stocks, Book Debts and Receivables under the bank's charge), financial statements at intervals agreed upon and submission of MSOD (Monthly Select Operational Data) QIS I, QIS II, (Quarterly statements) and half yearly statements, Fund flow statements etc.

Credit monitoring seeks to ensure that the funds are utilised for the sanctioned purposes and also compliance with the sanction terms and conditions. The purpose of the exercise is also to avoid time and cost overruns, to detect early warning signals and symptoms of incipient sickness in the units financed by banks and to initiate timely action for recovery or rehabilitation.

For example, a borrower with a strong financials and excellent credit rating may not offer a mortgage as security. The lender in such a case may ask for a negative lien i.e. a commitment that the borrower will not create a mortgage on the property without the express consent of the bank. If the borrower approaches the bank for such consent that would be a point of review of the performance of the company and the rating exercise would be repeated to see if it is still excellent.

Credit monitoring, supervision and follow up are some of the tasks assigned to the Credit Administration unit of the bank. In the past there was a single Credit Department which undertook all functions namely credit marketing, credit administration and recovery of bad loans functions. As the credit volumes have grown and the number of NPA accounts has also grown, nowadays, there are exclusive departments in place to take care of different aspects of the credit activity. Credit Administration team gets into the act after the loan is sanctioned. This begins with the communication of sanction of credit facilities along with covenants and conditions to the borrower. Credit Administration is responsible for appropriately conveying the terms and conditions, with special stipulations if any, by way of an arrangement letter/sanction letter (which has standard covenants apart from conditions relating to the subject credit facilities), the execution of documents and creation of charge on the assets offered as security. Issues may arise at this stage on account of speed of documentation. For example, the borrowing company would like to draw on the limit as soon as they have executed the documents; but the bank may want to ensure registration of charge with the Registrar of Companies before the limit is made available etc. Credit monitoring would consist in ensuring that the bank's interests are protected while the borrower is accommodated without sacrificing such interests.

24.4.1 Monitoring Goals

The main objective of credit monitoring is to minimize or eliminate NPA. It helps the bankers to ensure end use of funds, evaluate borrowal unit's performance vis-à-vis projections, ensure quality of assets and the adherence of regulatory IRAC guidelines, etc. To this end, the bank has to keep a close watch over the conduct of the credit account through keeping track of:

- Transactions in the account i.e. if these are commensurate with the manufacturing and sales activity estimated and reported in monthly statements. Scrutiny of the operations helps to note warning signals and if taken care at the right time, helps a lot to protect the interest of the bank.
- Study of stock statements submitted periodically. The stocking level should be what was estimated at the time of application for the loan. The valuation of stock should be in line with market prices or at cost as agreed with the bank.
- Periodic statements on performance parameters like sales, level of debtors, creditors, operating profit etc.

Delay or negligence in detecting or reporting Early Warning Signals (EWS) may later catapult in to major troubles pushing the account to a core NPA compelling the bank to make more provisions affecting its bottom-line. Prevention is always better than cure.

Under Credit Monitoring Arrangement, banks seek to ensure the following:

- (i) Borrower maintains reasonable estimates of current assets, current liabilities and working capital.
- (ii) Classification of current assets and current liabilities is done as per bank's guidelines.
- (iii) Current ratio is maintained at minimum 1.33, except for export industry and for new units.
- (iv) Annual audited accounts are submitted in time for annual review by banks.
- (v) Ad hoc limits are sanctioned for periods not exceeding three months.
- (vi) As far as possible, post-sale limits are sanctioned in the form of Bill Finance.

24.4.2 Monitoring Process

In the past, physical verification of stock etc. played an important role in credit monitoring. Credit monitoring through stock statements and stock inspections is no longer the order of the day. This is accomplished through MSOD, QIS and half yearly statements. Stock inspections are supplementary efforts. Exception reports generated from the computer systems in the bank are used to keep track of the conduct of the loan account.

Scrutiny of stock statements with a discerning eye will produce a lot of useful information on the activity of the borrower. High level of finished goods in stock statement indicates that the market is slow and if this is not so, then the company's products are poor in quality. High level of Raw material indicates poor inventory management. Incorrect details might be wilful to hide the true position of the stocks or it might mean poor record keeping.

Regular interactions with the borrower on skewed parameters observed during scrutiny will help in ensuring that the statements reflect the true position of affairs of the company.

In the case of a start-up company in the initial stages temporary aberrations might be seen. Timely corrections will help the company stay on course.

Monitoring of larger credits through stock statement and stock inspections is rather difficult. Some companies will have stocks running to several hundred crores and stored in multiple locations. Inspecting

the stocks at even a single storage could take several days. Banks therefore rely on MSOD and other financial statements of the company. Financial covenants such as maintenance of current ratio at a certain level, Debt below a certain amount, or debtor turnover at a certain month's sales are checked out. If the covenants are not observed, it is usually termed as an event of default and triggers steps like –

- (a) to increase the rate of interest charged on the loan,
- (b) to increase the periodicity of submission of statements,
- (c) ordering a stock audit or
- (d) to recall the loan if the covenant violation is serious

24.4.3 Monitoring Tools

Banks use several monitoring tools. Some of the usual monitoring tools are as follows:

- (a) Scrutiny of operations through exception reports
- (b) Stock statements
- (c) Stock cum factory inspection and visit reports
- (d) Audit reports including stock and receivable audit.
- (e) Quarterly/Half-yearly statements under various information systems.
- (f) Annual review/renewal of accounts.

Certain other monitoring tools are also used by banks. These are –

- (a) Certified statement of actual cost of project vis-à-vis the original envisaged cost of project
- (b) Monthly Cash budget, wherever stipulated in covenants
- (c) Credit audit reports of the bank.
- (d) Factory visit reports
- (e) Audited Financial Statements
- (f) Sales Tax Returns/GST Returns
- (g) Market intelligence
- (h) RBI Inspection Reports. This will point out deficiencies in the branches, etc.
- (i) Visit reports of controlling office to branches
- (j) Consortium meeting minutes, etc.

(i) Steps Involved in Credit Monitoring

- Identify potential NPAs when the loan default is for two months.
- Study the causes for default – whether inherent weakness or temporary liquidity or cash flow problem.
- Offer contingency support immediately as ad-hoc limits, if cash flow mismatches are genuine.
- If inadequate limits led to loan default, obtain the enhancement request and enhance suitably.
- If cheques are drawn on parties not related to business or heavy cash withdrawal and no corresponding increase in stock, pass cheques for payment after a detailed inquiry.
- Regular visit of the factory,
- Scrutiny of the stock statement and ensure availability of adequate and marketable stock of inventories.
- Collect the interest on monthly basis. Frequent visits are required wherever there is a default of interest payment.
- Keep the documents live, scrutinize them periodically and subject to legal audit.
- Rectify irregularities, if any, reported by concurrent auditor, statutory auditor, branch inspector, in credit audit, regional manager's report, etc.

- Scan media especially local media for any news about the borrower constituent, ascertain the position of accounts with other banks, exchange information about the borrower in the consortium meeting, etc.
- Initiate any other steps to prevent slippage of standard asset.

(ii) Points for Scrutiny of Various Statements

(a) *Operating Statements of the Company*

With the changes introduced by the Chore Committee, financial follow-up is mainly based on the scrutiny of quarterly and half-yearly statements. These are examined to check on the operating results and that the movement of funds conforms to the overall pattern for the year as mutually agreed upon between the banker and the customer. More specifically, the bank will study the following with care:

Sales: Large Variance (positive or Negative) with quarterly budgets or yearly budgets. Remedial measures should appear in QIS. Else it should cause an inquiry.

Cost of Goods Sold: Increase in cost between actual production and estimates. Measures should be taken to contain costs or increase the product price.

Operating Profit: This is a derivative item, obtained by deducting total cost from sale proceeds. Hence a separate analysis of this item may be necessary. However, the ratio of operating profit to sales in respect of the previous half year and current half year as also with the annual performance should be computed and compared. Any large variance ought to be enquired into.

Profit Before Tax: A similar analysis as in the case of operating profit is to be carried out and any large variance ought to be enquired into.

Current Assets and Current Liabilities and Their Movement: A large variance between the actuals and the estimates in QIS, especially positive in the levels of inventory and receivable needs a close watch. The level should generally conform to the levels projected at the time of sanction or annual renewal of the credit facilities. The estimates for the current/half year should be in tune with the annual budgets.

Statutory Liabilities: These are another group of items which need to be constantly monitored. In some cases statutory liabilities like provident fund dues outstanding for more than 6 months gain precedence over even secured creditors in the event of winding up of the company.

Variance in Long Term Outlays: Fixed asset investment beyond a certain limit in a year should not be made without prior approval of bank

(b) *Quarterly Information System (QIS)*

Banks are free to evolve strategies on submission of QIS returns, applicable for all accounts of ₹100.00 Lakh and above.

Scrutiny of QIS Returns I, II, III should cover:

- (a) **QIS I** (to be submitted at least one week before the commencement of quarter to which it relates)
 - (i) Estimate of sales/production for the ensuing quarter to be checked with estimates in annual plan.
 - (ii) Current liability should be compared with that indicated in CMA data at the time of sanction
- (b) **QIS II** (to be submitted within six weeks from the close of quarter to which it relates)
 - (i) Actual figures are compared with estimated figures given earlier for the quarter.
 - (ii) Variance beyond say + or - 10% is to be satisfactorily explained by the borrower.
 - (iii) Current ratio is checked to see if it compares with the estimates and if there is a slippage it should trigger discussion with the borrowers for corrections.

- (c) **QIS III** (to be submitted within one month of close of the Half-year to which it relates)
 - (i) Sales - whether actual sales are in line with proportionate annual budgeted level of sales.
 - (ii) Net Fund generation - In case it is less than estimated, whether the borrower has given a satisfactory explanation.

(c) *Annual Review*

Reviewing of borrowal accounts is aimed at taking a re-look at the happenings in the account vis-a-vis the estimates of productions/sales/profit etc. over a specified period of time. The financial position, sales performance, management efficiency, compliance to covenants, conduct of account issues, like meeting interest and instalment dues on time etc. will be examined. The estimates for the current year and any request for increase in limits will be looked into. The review will decide whether to continue the facility or otherwise.

The impact of the credit appraisal exercise, undertaken by banks at the time of a fresh credit sanction or credit extension, should be felt in the credit risk rating as per the risk pricing policy of the bank. The position should be periodically reviewed with the borrowers concerned and remedial measures recorded and implemented without loss of time.

Notices for renewal or reviews of the loan accounts are sent to the borrowers well in advance. Though renewals for the working capital advance, as per present practice, is done annually, for those loan accounts showing signs of incipient sickness and deteriorating credit risk, quarterly short reviews should be conducted. Close monitoring of loan accounts with a high or a deteriorating credit risk by branches and controlling offices and/or head office will ensure that the overall risk exposure of the bank is controlled.

24.4.4 Central Repository of Information on Large Credits (CRILC)

In September 2013, RBI decided to use the information supplied by the banks through the Return on Large Borrowers (Form A) [Part D of Return on Large Credit in the revised XBRL based system], which covered borrowers with exposure (both fund and non-fund based) of more than ₹100 million, for creation of central repository of large credits across banks. The objective was to make this information available to banks to enable them to be aware of building leverage and common exposures. RBI also directed banks to take utmost care about the data accuracy and integrity, while submitting the data on large credit to the RBI, failing which penal action would be taken.

Subsequently, RBI Guidelines on “Early Recognition of Financial Distress, Prompt Steps for Resolution and Fair Recovery for Lenders: Framework for Revitalising Distressed Assets in the Economy” became effective from April 1, 2014. Simultaneously, the Report format was modified to include reporting of SMA-2 accounts, and also current account balances of their customers (debit or credit) of ₹10 million and above. The current account balances of a client whose name is in the PAN Master of CRILC is to be reported by a bank, even if it does not enjoy any credit facility with it.

The CRILC Report contains two parts, CRILC-Main and CRILC- SMA2 and JLF Formation (JLF – Joint Lenders Forum). The reporting threshold in CRILC Report has been changed to ₹50 million. The CRILC-Main Report is to be submitted on a monthly basis. Besides, a weekly report of instances of default by all borrowers is to be submitted by close of business on every Friday.

Banks are also required to report particulars of borrowers classified as ‘non-cooperative’ as per the prescribed procedures. The cut-off exposure (fund and non-fund based) for such borrowers is ₹50 million.

Further, all loan accounts beyond ₹500 million classified as RFA (Red Flagged Accounts) or 'Frauds' are to be reported on the CRILC data platform together with the dates on which the accounts were classified as such. A Red Flagged Account (RFA) is one where a suspicion of fraudulent activity is thrown up by the presence of one or more Early Warning Signals (EWS).

Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI):

Central Registry of Securitisation Asset Reconstruction and Security Interest of India is a Government of India Company licensed under Section 8 of the Companies Act, 2013 with Govt. of India; having a shareholding of 51% by the Central Government and select Public Sector Banks and the National Housing Bank also being shareholders of the Company. The objective of the company is to maintain and operate a Registration System for the purpose of registration of transactions of securitisation, asset reconstruction of financial assets and creation of security interest over property, as contemplated under the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (SARFAESI Act).

24.5 COMMON OPERATIONAL TERMS/ ASPECTS IN LOAN FUNCTIONS

(i) **End use of the funds**

It is the primary responsibility of banks to ensure proper end use of bank funds/monitor the funds flow. It is, therefore, necessary for banks to evolve such arrangements as may be considered necessary, to ensure that drawals from cash credit/overdraft accounts are strictly for the purpose for which the credit limits are sanctioned by them. There should be no diversion of working capital finance for acquisition of fixed assets, investments in associate companies/subsidiaries, and acquisition of shares, debentures, units of mutual funds, and other investments in the capital market.

(ii) **Primary and Collateral Securities**

Primary security refers to the security of assets acquired by the borrower with bank finance or the one against which credit is provided by the bank. Primary security is the principal security for an advance. A collateral security is additional security, which provides a cushion to the bank in case of need.

(iii) **Personal Security of Guarantor**

It comprises of a guarantee by a third party for payment of dues in the event of default by the borrower. The personal security of guarantor can be enforced only through the competent Court of law as it does not involve creating a charge over the assets of the guarantor.

(iv) **Fixed and Floating Charges**

A fixed charge is a charge on some specific assets in favour of the bank. The creator of the charge cannot deal with the asset without the specific consent of the bank. On the other hand, a floating charge is an equitable charge on the assets, present as well as future. A floating charge becomes a fixed charge when money becomes repayable and the bank takes necessary steps for the enforcement of the security.

(v) **Margin**

Normally, the banks do not provide finance to the extent of the full value of the assets charged to them under a credit facility. A suitable margin, depending upon the risk perception of the bank, is deducted from the value of the charged assets.

(vi) **Refinance**

This aspect of credit management assumes importance in times of tight liquidity position. There are norms for availing refinance from Export-Import Bank of India (EXIM Bank), National Bank for Agriculture and Rural Development (NABARD) and Small Industries Development Bank (SIDBI) which are major agencies providing refinance to banks in respect of certain category of advances. However, even if a bank avails of refinance for eligible advances, the risk remains with the bank. Therefore, this aspect does not affect the bank's decision on a credit proposal.

(vii) **Credit Risk Management**

Credit risk is a major risk faced by a bank and it is very important that suitable policies are put in place to identify, measure and control this risk within acceptable limits.

(viii) **Credit Exposures Norms**

With a view to achieve a better risk management and avoidance of concentration of credit risk, the RBI from time to time, prescribes, limits on exposure of a bank to individual borrowers and groups of borrowers in India. Apart from this, banks may also consider fixing internal limits for aggregate commitments to specific sectors, e.g. steel, cement, power generation, etc., so that the exposures are spread over various sectors.

24.6 OPERATIONAL PROCESS OF HANDLING LOANS

The procedures involved in handling loans are peculiar to each lending bank. However, the following steps are part of the processes in all banks.

24.6.1 Receipt of Loan Application

The receipt of a formal request for loan from the customer is the starting point of any loan proposition. The request may be in a standard format of the bank or in the form of a letter in which case the bank requests the intending borrower to furnish the standard format duly filled in. Normally, the loan applications are entered in a Loan Applications Received Register whether manual or in the loan applications handling software. The required documents, to support the information in the application, are furnished along with the loan application. The concerned staff/ relationship manager should ensure that the documents are obtained from the borrowers as per the bank's loan policy. Now, online submission of loan applications has been introduced by almost all the major banks. With the advent of GST, intending MSME borrowers who are registered under GST can apply for a business loan through a government portal to which several banks are connected, and get the in-principle approval within short time.

24.6.2 Assessment of Viability and Credit Worthiness

Evaluation of the loan proposal is done keeping in view the directions of the RBI including prudential exposure limits and the bank's own risk management guidelines, apart from the fundamental aspects of credit risk assessment. The degree of scrutiny depends largely on the amount of the loan. Normally, the following parameters are also considered to ensure that it is technically feasible, economically viable and commercially acceptable.

- (i) Experience, competence and profile of the promoters/management of the unit.
- (ii) Performance of the unit in comparison to its peers.
- (iii) Conduct of its accounts with the existing lenders, if any.
- (iv) Technical feasibility of the proposed unit.
- (v) Availability of inputs for production and commercial viability of the proposed business.

- (vi) Ratio analysis to see that the unit's growth is healthy, financials are sound, liquidity is comfortable and the promoters have a reasonable stake in the unit.
- (vii) Guarantees and collateral securities offered.
- (viii) Unit's capability to achieve the projected cash flows.
- (ix) CIBIL, RBI List of defaulters, Credit report from other banks.
- (x) Locational restrictions, Govt. policy about a particular industry, etc.

24.6.3 Loan Sanction

Each bank has a scheme of delegation of sanctioning powers at various levels in the bank. The three main factors considered are the customer type, the purpose and type of loan facility, and the quantum of exposure. Most banks now have centralised system of loan processing and sanctioning. Under this system these functions are carried out by special teams located at various hubs, usually geographically dispersed. The operating manual for loans specifies the procedure for appraising and sanctioning of loans to specific type of borrowers (like individuals, partnerships, companies, etc.) and/or for specific activities (like agriculture, industry, professional education, business, etc.) and/or for the type of facility (term loan, overdraft, cash credit, etc.). If the appraising official finds the proposal acceptable, he prepares a detailed appraisal note containing his recommendations, and submits it along with necessary supporting documents to the authority having powers to sanction the loan. In most banks, loan proposals (especially those of higher exposure) are now sanctioned by committee of officers at various levels, instead of an individual executive.

As and when, the loan is sanctioned by the competent authority, the fact of sanction along with detailed terms and conditions of the sanction are communicated to the staff/ Team (at branch or centralised location) which has to carry out the subsequent process for disbursement of the loan.

24.6.4 Disbursement

After the loan is approved by the sanctioning authority, the branch concerned/ relationship manager/ centralised team communicates the terms and conditions of the sanction to the applicant through a sanction letter and obtains the customer's consent for the arrangement. Thereafter, the loan documents, prescribed by the bank, are obtained, charges created and, if required, the bank's charge over the unit's assets is noted with the authorities concerned, e.g., Registrar of Companies, CERSAI, Road Transport Authority, insurance company, land records authority, etc. After completion of these formalities, the loan is released. The procedure in some banks requires the branch manager to periodically submit a certificate to the controlling authority (i.e., regional or zonal office) confirming that all disbursements during the relevant period have been made only after completion of the necessary formalities.

24.6.5 Monitoring and Supervision

Each bank has adopted its own systems and procedures for monitoring and supervision of loans. Following are the procedures normally adopted by the banks for monitoring and supervision of loans.

- (i) **Inspection:** Regular inspection of the borrower's business, assets and books is carried out to ensure that the amount disbursed has been utilised for purposes for which the loan was sanctioned. Effective monitoring of the end use of funds lent is of critical importance in safeguarding a bank's interest. The other purposes of inspection include the following:
To verify that the borrower has not borrowed from any other lender without bank's permission.
 - (i) To check that the borrower has not acquired/disposed of any asset without the bank's consent.

- (ii) To detect acquisition of fixed assets or investments by diversion of short-term funds.
- (iii) To review the progress in project implementation.
- (iv) To ensure that the borrower has not availed of finance against unpaid stocks.
- (v) To cross-check the figures declared in the stock statements with the books.
- (vi) To verify the stocks physically to ensure availability in line with the stock statements submitted by the borrower.
- (vii) To check that the unit has been working at the projected levels.
- (viii) To check that there is a regular turnover of stocks and the unit does not carry any obsolete, unusable stocks. Generally, banks place a limit on the age of stocks/book debts which are eligible for bank finance, and the items older than such limit are not financed.
- (ix) To ensure that the borrower continues to be engaged in the activity for which the loan has been granted.

(ii) Review of the conduct of the account: This involves obtaining and scrutinising the stock statements and other relevant financial data periodically and analyzing it. Banks obtain periodic information on the levels of sales, production, profit, cash accruals, break up of assets and liabilities, cash flows etc. The credits to the account with the bank are also examined. If the analysis indicates weaknesses in operations, or the need for additional documentation or security, a dialogue is held with the borrower, and suitable action is initiated.

(iii) Renewal of Advances: Loans repayable over a period of time in instalments are not required to be renewed. But banks review such accounts to maintain its quality. However, the working capital loans are generally granted for one year and require renewal, if the borrower wants continuation of the facility beyond that period. The renewal of the limit may be at the same level, reduced level or increased level, depending upon many factors like the unit's needs, its financials, the bank's perception of risk etc. Another objective of renewal may be risk evaluation and interest rate resetting.

24.7 ACCOUNTING ASPECTS OF LOAN PRODUCTS

Except in case of working capital loans/overdrafts, where a running account is permitted (customer can deposit and withdraw amount subject to the debit balance being within sanctioned limit or drawing power), the loans are usually disbursed in one or multiple instalments, after which the repayment, as per the repayment schedule, starts. Whenever a disbursement takes place, the accounting entry is passed for debiting the customer's loan account. Going by double entry system, the operating staff will have to pass credit entry/entries for the same amount. The credit entries may pertain to one or more of the following accounts:

- Cash account, if the disbursement is by way of cash
- Customer's current account
- Third party account, or draft/pay order account, for direct payment to the vendor from whom the customer has purchased the assets financed.
- Term loans should be disbursed directly to the suppliers of goods and services. Term loans granted for refinancing of existing term debt of borrowers, for general corporate purpose / long term working capital, reimbursement of expenses, etc. can be disbursed to the CC/OD or current accounts of the borrowers.

For example: in case of a home loan, the amount is directly paid to the seller by debit to the home loan account of the customer.

The repayment of a loan can be made through cash or cheque drawn on the same branch (deposit account of the customer) or any other branch/bank. Accordingly, the accounting entry is passed to credit the loan account of the customer by debit to cash/deposit account of customer/clearing account. The customer may also remit the instalment or interest amount through electronic transfers viz. NEFT/ RTGS/ IMPS. For loans repayable in instalments banks usually obtain NACH authorization/mandate for debiting the customer's savings/ current account with any bank. This facilitates in automating periodical debits by the lending bank through NACH system and recovering the instalments.

24.8 BASIC OPERATING INSTRUCTIONS ON LOAN PRODUCTS

Some of the important areas which the operating personnel of a bank are expected to know are:

- Bank's loan policy
- Loan products of the bank
- Eligibility criteria for each loan product
- Application form applicable for each product
- Documents/information to be collected from the applicants
- Appraisal method
- Margin requirements, repayment period for each product
- Processing fee, interest rate, penal interest etc.
- Other terms and conditions associated with each product
- Requirement of collateral security, personal guarantee etc.
- Legal formalities for creating charge and documentation
- Possession/safeguard/insurance of primary and collateral security
- Procedure for disbursement of loan amount and conduct/maintenance of loan account
- Monitoring and follow-up requirements
- Recovery/rehabilitation procedure in case of default
- RBI guidelines regarding bank lending

24.9 OPERATING MANUAL FOR LOANS AND ADVANCES

The Operations Manual of a bank is intended to provide guidelines to the operating staff on the above mentioned areas and any other areas considered relevant by the bank. The operational guidelines regarding loans and advances, contained in a bank's operations manual, are based primarily on:

- Principles of credit
- Bank's loan policy
- Regulatory and legal framework

The operating guidelines, issued by each bank for its operating staff, are different mainly because the loan policy of each bank is different based on its peculiar position in the industry and its risk appetite. The loan products, application forms, appraisal forms and methods, terms and conditions, the standard documents, prudential norms for individuals/groups as well as for industry segments, approach towards rehabilitation/recovery, as detailed in the operational manual of a bank, are not likely to be same as those provided in the manual of any other bank.

24.10 SAMPLE OPERATING INSTRUCTIONS

The following sample of operating guidelines is taken from the operating manual of a bank, edited suitably, to convey to the reader the broad picture of what can be expected from the operational manual of the bank regarding loan products. These should not be considered as the standard operating instructions as the instructions contained in the banking operations manuals of other banks may differ from those mentioned here.

24.10.1 Advance Against Goods

♦ General:

- (i) The goods i.e. produce, commodities and merchandise offered as security should generally fulfill the following requirements:
 - They should neither be perishable articles nor those liable for rapid deterioration.
 - They should be easily marketable having an unrestricted market.
 - The day to day prices of the goods should be easily ascertainable.
 - Their prices should be relatively stable and should not fluctuate widely.
- (ii) Even though advance against goods pledged is more secure than advance against goods hypothecated, of late, banks are considering such facility mostly against hypothecation in view of following additional responsibilities bestowed on them in case of goods pledged:
 - (a) To arrange safe and proper receipt, storage and delivery of goods;
 - (b) To maintain complete record of goods stored, delivered; and
 - (c) To take all measures to ensure against damage and deterioration of goods stored.
- (iii) However, facility against pledge of goods is still considered for non-perishable materials purchased/produced in bulk and the turnover of such materials is low.
- (iv) Goods which are not the sole property of the borrowers should not be accepted as security. Advances should be allowed only against goods which have been paid for and not against goods received on credit or under an agency arrangement. In case of advances against goods, the determination of the borrower's title to the goods is of primary importance.
- (v) A borrower, as a rule, should be granted limits against security of those goods in which he/she normally deals in.
- (vi) The age of the goods pledged or hypothecated should be ascertained.

♦ Margin:

- (a) While advancing against goods, a suitable margin is kept on the value of the goods for arriving at the extent of drawings (commonly known as drawing power) that may be allowed against such stocks. Depending on the nature of stocks and creditworthiness of the borrower, the margin may vary from customer to customer and stock to stock. In general, margin on stock of goods may vary from 25% to 30%. However, in case of export finance against stocks, the margin may be as low as 10%. In case of commodities coming under the purview of Selective Credit Control, the margins are to be kept as per directives received from RBI in this regard.
- (b) Stipulated margin should be maintained at all times as a cushion against fall in prices.

♦ **Valuation and Marketability:**

- (i) *Safety* of advance against goods whether by way of pledge or hypothecation vitally depends upon two factors namely:
 - (a) The value of goods (which forms the basis for calculating the drawing power); and
 - (b) Marketability of goods.
- (ii) *Valuation*:
 - (a) Margins stipulated for advances against goods are to be calculated on Cost Price or Market Price whichever is lower, or Invoice Price or Market Price whichever is lower. Valuation should in effect be on conservative basis so that it may not be necessary to revalue them every now and then, due to marginal fluctuations in prices.
 - (b) For advances to borrowers other than manufacturers, the basis of valuation should be invoice price or market price whichever is lower.
 - (c) In case of manufacturers, while the raw materials should be valued at cost/invoice price or market price, whichever is lower, the work in process and finished goods should be valued at cost of manufacture and cost of sales respectively. However, if as per the accounting practice followed by the borrowers, the work-in-process and finished goods are valued at prices lower than those mentioned above, then the actual pricing adopted by the borrower should be accepted. In case of small manufacturers, where it would be difficult to ascertain cost of manufacture and cost of sales, such stocks may be valued at market price with reasonable discount for profit/trade discounts etc.
 - (d) A record should be maintained in which market quotations of all commodities against which advances have been made should be entered daily by actual enquiry from the market, and on the basis of this record, valuation of stocks pledged/hypothecated to the bank, should be adjusted downward, whenever necessary. In computerised branches, many of these functions are performed by the system.
 - (e) Where the manager is not satisfied regarding the valuation of security, he/she may have the security assessed by expert valuers and the cost thereof recovered from the borrowers.
- (iii) *Marketability*
 - (a) Turnover of goods is a reliable pointer to judge the marketability of goods. The turnover in an account must not be judged by reference only to the ledger account which shows only financial turnover; reference should be made to the value of receipts and deliveries of goods in relation to size of the advance as reflected in the stock statements and the relevant books/records maintained by the borrower. Moreover, the movement in the stocks should not be confined to only a few items but the entire stocks should move smoothly. The frequent deliveries and storages in an account may not, at times, reflect the true position of the account, for the movement may be confined to a few selected items on the top. Banks should therefore ensure that all the items lodged in the account show proper turnover. A healthy turnover in the stocks is indicative of their ready marketability. Stagnation, on the other hand, shows that the goods and commodities may not be easily marketable and advances against such goods and commodities cannot be considered liquid and perhaps banks will be saddled with such unmarketable stocks at a later date.
 - (b) In cases of advances against agricultural produces such as foodgrains, pulses and oil seeds etc., the accounts should not only show a healthy turnover in the stock, but such advances must be almost completely liquidated at the end of the season. If stocks of one season are carried over to another season, it calls for an enquiry.

♦ **Storage of Pledged Goods:**

- (i) *Godown Board:*
 - (a) Godown board reading ‘Goods in possession of ——— Bank’ or ‘Goods pledged/hypothecated to ——— Bank’ should be affixed to the main entrance of the godown, at a conspicuous place in the premises, compound or at the entrance to the compound; where goods pledged/hypothecated to the bank are stored.
 - (b) In this way, third parties dealing with a bank’s borrowers are provided with notice of the bank’s interests in the stocks and are cautioned not to accept such stocks in disregard or ignorance of the lending bank’s rights in them.
- (ii) *Insurance:*
 - (a) Goods pledged/hypothecated to bank should be fully covered against fire and burglary risks. In case of necessity, cover for riot or any other risks such as emergency and war risk insurance must also be obtained.
 - (b) Insurance must be for full marketable value of the goods pledged/ hypothecated to the bank. This is necessary in view of the ‘Average Clause’. The effect of this clause is that if the value of the goods is more than the insurance cover, the insured is considered to be his own underwriter for the difference in value and the insurance company will pay pro rata for any losses. For example, if the goods of, say ₹ 2 lacs are insured for the value of ₹ 1 lac only and a loss of ₹ 50,000 occurs, then the insurance company will pay only up to ₹ 25000 and not ₹ 50000. The insured is considered to be his own underwriter for the difference of ₹ 25000. It must, therefore, be ensured at all times that the goods against which the bank has granted advances are covered for the full value, so that the bank does not suffer loss in the event of a claim.
 - (c) The insurance policies should be in the name of the bank as mortgagee and the borrower as mortgagor. The insurance policy should have ‘Bank Clause’ as one of the terms of the policy. Such a clause greatly increases the protection bank derives from the policy.
 - (d) If the borrower has already taken a policy, it has to be assigned to the bank. This endorsement should be on the policy itself.
 - (e) All insurance policies and premium receipts covering goods pledged or hypothecated should be held by the bank.
 - (f) In case, any fire accident takes place, and the goods pledged/hypothecated to bank are partially or fully destroyed, an intimation should be sent by branch to the Insurance Company and to the sanctioning authority, followed by a letter. Thereafter quick steps to recover the loss should be taken by lodgement of claim on the Insurance Company.
- (iii) *Godowns in a Pledge Account:*
 - (a) Godown should be situated within the Municipal or Panchayat limits of the branch and having direct or independent access. This is necessary from the point of view of safety and in order to facilitate easy periodical and surprise inspections by Bank Officers.
 - (b) Godowns should be first class godowns, well built with secure, leak proof ceiling and strong doors. The partition wall, if any, dividing the godown from another godown should be up to the ceiling. There should not be any possibility of leakage, dampness and danger of white ants.
 - (c) If the godown is the property of the borrower, such ownership should be established to the satisfaction of the bank by production of title deeds or Municipality or Panchayat property tax receipt. However, if the godowns are rented by borrowers from third parties, rent receipts of such godowns should be regularly inspected to ensure that rent does not remain in arrears.

♦ *Hypothecated Stocks*

(i) *Submission of Stock Statements in Hypothecation Accounts:*

- (a) In case of hypothecation account, the borrower should be required to submit, as per the terms of sanction, daily, weekly, fortnightly or monthly Stock Statements signed by him/her or his/her authorized representative. If the stock statement, duly signed and completed in all respects, is not submitted within the time stipulated, cheques should not be honoured till submission of the stock statement.
In case of hypothecation accounts, the goods advanced against remain in the custody of borrowers. It is, therefore, essential to get the Stock Statements signed by borrowers at regular intervals to ensure that the goods hypothecated are sufficient to cover day to day debit balance in the account.
- (b) Statements should be checked up with regard to value and the quantity by the godown keeper or any other staff member entrusted with the work and also by the Officer concerned of Advances Department who should initial them. Arithmetical accuracy of various items in Stock Statement should also be properly checked. The signature of borrower on Stock Statement should be verified by an authorised Officer.
- (c) Branch will be having an idea about normal purchases and sales of their borrowers and in case abnormally high 'Receipts' or abnormally low 'Deliveries' have been shown in a Stock Statement for a particular period, matter should be enquired into.
- (d) Valuation of goods shown in Stock Statement should be checked keeping in mind various aspects.

♦ *Inspection of Stocks*

- (a) Godown and factories in which goods pledged or hypothecated to the bank are stored should be inspected on monthly or quarterly basis in accordance with the terms of sanction by the official/branch manager. The report on verification of stocks is prepared, analysed at the branch level and the stock inspection report must be filed account-wise and produced before the statutory auditors/internal inspecting officers/ RBI auditors for their comments/observations.
- (b) In consortium account, the controlling branch shall be responsible for conducting stock inspection for the company as a whole. However, where part limit has been allocated to other branch(es) located near a particular division(s), the said branch may be authorised by the controlling branch/ sanctioning authority to conduct stock inspection only for that division.
- (c) The value of the inspection lies in that it should not be conducted in a spirit of formality and routine as every individual inspection constitutes an independent enquiry into the safety of the bank's advance. In conducting an inspection, the Inspecting Official must satisfy himself on the following matters:
 - (i) *Borrower's title to goods*
 - (ii) *Correctness of the Stock*
 - (iii) *Verification of Stocks*
 - (iv) *Suitability of the Godown*
 - (v) *Display of Sign Boards*
 - (vi) *Bank's Locks*
 - (vii) *Condition of Advance*
 - (viii) *Observance of terms of Insurance*
 - (ix) *Valuation*

(e) Inspecting Official should also comment on the following in his Report:

- (i) *Movement of Stock*
- (ii) *Age of Stock*
- (iii) *Packaging of Stock*
- (iv) *Mode of storage*
- (v) *Unpledged/ unhypothecated stock*
- (vi) Accessibility of godowns.
- (vii) Custody of godown keys.
- (viii) Godown rented in bank's name or borrower's name.
- (ix) Regularity in payment of rent.

24.10.2 Advances Against Warehouse Receipts

- (a) Advances may be made against security of Warehouse Receipts issued by Central and State Government Warehouses. However, Warehouse Receipts issued by Private Agencies maintaining such Warehouses should not be accepted unless such Private Agencies have been approved by the bank.
- (b) Advances against Warehouse Receipts covering storage of goods subject to Selective Credit Control should be made in accordance with extant directives of RBI.
- (c) When advances are made against Warehouse Receipts, it must be seen that:
 - (i) The Warehousing Corporation classifies all goods stored with them into Grade I to IV. Grade I represents 'good' quality whereas Grades II, III and IV represent 'fair', 'average' and 'poor' quality respectively.
 - (ii) No advance is made against Warehouse Receipt for stocks of foodgrains marked as Grade II, III and IV. Only such stocks which are of Grade I and marked accordingly in the Warehouse Receipts should be accepted. Warehouse Receipts are of recent dates. This is necessary to avoid advances being made against old stocks. Stocks which have been lying in the warehouse for long periods should not be taken as security.
 - (iii) Only such Warehouse Receipts as have been issued in the names of the borrowers are accepted. Warehouse Receipts endorsed to the borrowers should be avoided.
 - (iv) A Warehouse Receipt may be 'Negotiable' or 'Non-Negotiable' and this character of the Receipt will be clearly marked on it in large capital letters. The goods covered by 'Non-negotiable' Warehouse Receipts may be transferred by the depositor thereof to another person by a separate letter of transfer, but the transfer shall not be binding or effective unless the Warehouseman has been notified in writing. No advance is made against a Non-negotiable Warehouse Receipts.
- (d) The Warehouse Receipt against which advance is to be made should be got endorsed by the borrower (who must be either the depositor of the stocks in warehouse or an endorsee under a genuine endorsement) in favour of the bank. The Warehouse Receipt must describe the stock in words and figures. By way of further precaution, a letter should also be taken from the borrower to confirm the genuineness of Warehouse Receipt.
- (e) A letter addressed to the Warehousing Corporation by the borrower notifying the Corporation of the pledge of Warehouse Receipt to the bank and of bank's lien on the stocks should be obtained.
- (f) Notice to Warehousing Corporation: The branch should then serve a notice on the Warehousing Corporation, intimating them of the pledge of Warehouse Receipt to the bank and of the bank's lien on the stocks.
- (g) Before allowing any advance, the stocks covered by the relative Warehouse Receipt in the warehouse should be inspected.

- (h) Some of the State Warehousing Corporations issue to the depositor sealed transparent plastic sample bags for each commodity deposited in the Warehouse. At places where such bags are issued, the branch, before making the advances, should insist upon production of such sample bags for examination of stocks. Thereafter, the stocks should be inspected as stated above. The branch may also have another sample taken from the goods pledged in the presence of the borrower/ or their representative and have it sealed by the warehouseman to guard against the stocks being exchanged subsequently.
- (i) Insurance: The Rules of Central/State Warehousing Corporations require each warehouseman to arrange for insurance of goods stored in the warehouse. Branch should ensure that stocks are insured by the warehouseman for the full cost price or market value whichever is higher. Particulars of insurance policy should be obtained from the warehouseman and recorded in branch books.
- (j) The branch should supply to the warehouseman against his acknowledgement, the specimen signature of the Manager, and other Officers who have authority to sign Delivery Orders or to discharge Warehouse Receipts. Subsequent changes in the signatures consequent upon transfers or additions etc., of the authorized Officers, should similarly be advised to the warehouseman.
- (k) Inspection: After the first inspection of stocks covered by Warehouse Receipts, branch should also arrange for periodic inspections of the stocks in the Warehouse.

24.11 OPERATIONAL ASPECTS OF A FEW COMMON LOAN PRODUCTS

While the previous paragraph provides the detailed operational guidelines of a particular loan product for the purpose of familiarising the reader with the nature of the contents of the operational manual, this section gives a brief description of peculiar operational aspects of a few common loan products of banks. These are general features of each of the selected loan products taken from the manual of a particular bank and may vary from bank to bank.

24.11.1 Educational Loans

The scheme aims at providing financial assistance on reasonable terms to the poor and needy to undertake basic education and to the meritorious students to pursue higher/professional/technical education.

1. Service Area norms

Service area norms are not to be followed in case of educational loans.

IBA Model educational loan scheme for pursuing higher education in india and abroad 2021

The scheme provides broad guidelines to the banks for operationalising the Educational loan scheme and the implementing bank will have the discretion to make changes as deemed fit.

2. Eligibility criteria

Nationality

- The student should be an Indian National (including Non-Resident Indian [NRI])
- For Persons of Indian Origin (PIO) / Overseas Citizens in India (OCI), and students who are born abroad (overseas citizenship by birth, when parents were on deputation with Foreign Government/ Government agencies or International /Regional Agencies etc.) and are now studying in India after repatriation of their parents, loans can be considered for studies in India only. However, such facility will be subject to Regulation 7 (C) of Foreign Exchange Management (Borrowing and Lending in Rupees) Regulations, 2000 [Notifications No.FEMA.4/2000-RB dated 3rd May 2000 and further amended vide Notification No.FEMA.115/2004-RB dated 25th March 2004]. (Banks may adopt their Board approved policy for Risk Mitigation)

Admission

- Should have secured admission to a higher education course in recognized institutions in India or abroad through Entrance Test/ Merit Based Selection process after completion of HSC (10 plus 2 or equivalent).
- For studies abroad, banks may at their discretion consider granting loans on the basis of invite / conditional offer letter, by the Educational Institution.

Meritorious

- Admission to an eligible course is through a merit based selection process.
- Admission to professional and technical courses is through common entrance test.

Creditworthiness

- Normally, the student borrower may not have a credit history and as such he is assumed to be creditworthy. However, in case of an adverse credit history of student, banks at their discretion may frame suitable criteria based on their risk appetite.

Note:

- For NRI/ PIO/ OCI, co-applicant should be a permanent resident of India. However, if the parents are also NRI / PIO/ OCI, additional co-applicant (who is a permanent resident of India) acceptable to the bank may be stipulated.

Classification

It is proposed to classify the education loan portfolio into three categories , viz.

- a. Loans to students admitted to top rated institutions
- b. Loans to students admitted to other domestic institutions
- c. Loans to students seeking studies abroad.

It is expected that depending upon risk perception, reputation of the institution and employability of the students, banks will be able to fine tune their terms and conditions of sanction suitably to these categories.

Courses eligible**Studies in India: (Indicative list)**

- Courses as initiated under various Government Subsidy Schemes
- Approved courses leading to graduate/ post graduate degree and P G diplomas/certificate conducted by recognized colleges/ universities recognized by UGC/ Government/ AICTE/ AIBMS/ ICMR etc.
- Courses like ICWA, CA, CFA etc.
- Courses conducted by IIMs, IITs, IISC, XLRI, NIFT, NID etc.
- Regular Degree/Diploma courses like Aeronautical, pilot training, shipping, degree/diploma in nursing or any other discipline approved by Director General of Civil Aviation/Shipping/Indian Nursing Council or any other regulatory body as the case may be, if the course is pursued in India
- Approved courses offered in India by reputed foreign universities

Studies Abroad

- Courses as defined under various Government Subsidy Schemes.
- Graduation: For job oriented professional/ technical courses offered by reputed universities / institutions.
- Post-graduation: MCA, MBA, MS, etc.

- Courses conducted by CIMA- London, CPA in USA etc.
- Degree/diploma courses like aeronautical, pilot training, shipping etc. provided these are recognized by competent regulatory bodies in India /abroad for the purpose of employment in India/abroad.

Expenses considered for loan

- Fee payable to college/school/hostel.
- Examination/Library/Laboratory fee.
- Purchase of books/equipments/instruments/uniforms.
- Caution deposit/building fund/refundable deposit supported by Institution bills/receipts.
- Travel expenses/passage money for studies abroad.
- Purchase of computers - essential for completion of the course.
- Insurance premium for student borrower.

Any other expense required to complete the course - like study tours, project work, thesis, etc.

While computing loan required, scholarships, fee waiver etc., if any, available to the student borrower while applying for the loan, may be taken into consideration. If the scholarship component is included in the loan assessment, it may be ensured that the scholarship amount gets credited to the loan account when received from the Government.

3. Quantum of finance

Need based finance subject to repaying capacity of the parents/students with suitable margin.

4. Margin

No margin may be insisted upon for loans upto ₹ 4 lakh. However, for loans of above ₹ 4 lac and upto ₹ 7.5 lac the margin requirement may be 5% for inland studies and 15% for studies abroad.

Banks can decide on margin for loan of above ₹ 7.5 lac

Scholarship/assistantship should be included in margin.

Margin may be brought-in, on year-to-year basis, as and when disbursements are made on a pro-rata basis.

5. Security

No security must be insisted upon for loans upto ₹ 4 lakh. Parent /guardian to be joint borrower(s). However, for loans above ₹ 4 lac and upto ₹ 7.5 lac, Parent(s) / guardian(s) to be joint borrower(s) along with suitable third-party guarantee.

The bank may, at its discretion, in exceptional cases, waive third-party guarantee if satisfied with the net-worth / means of parent/s / guardian(s) who would be executing the document as joint borrower(s).

In case the loan is given for purchase of computer, the same should be hypothecated to the Bank.

6. Documentation

The documents should be executed by both the student and the parent/guardian

7. Sanction/disbursement

The loan should be sanctioned as per delegation of powers preferably by the branch nearest to the place of domicile.

No application for educational loan received should be rejected without the concurrence of the next higher authority.

The loan should be disbursed in stages as per the requirement/demand directly to the Institutions/vendors of books/equipments/instruments, to the extent possible.

8. Repayment

Repayment holiday/Moratorium: Course period + 1 year

Repayment of the loan will be in equated monthly instalments for a period of 15 years for all categories (excluding course and moratorium period).

- While EMI based repayment is the generally accepted practice, many times the salary levels at the start of the career may not facilitate comfortable payment of EMI in certain cases (e.g. professionals like Doctors). Telescoping of repayment with stepped up instalments with passage of time may be considered in such cases.

Rate of interest

Interest to be charged at rates linked to the Base Rate / MCLR as decided by individual banks. Banks may charge differential interest rates for collateralised and noncollateralized loans. It will also be open to banks to offer differential interest rates based on rating of courses/institutions or even students.

- Simple interest to be charged during the study period and up to commencement of repayment. Simple interest may be charged even during any subsequent moratorium considered.

Insurance

Banks may make it mandatory to arrange for life insurance policy/ credit life insurance policy/ Personal Accident Insurance scheme on the students availing Education Loan. Individual Banks may work out the modalities with insurance companies

9. Follow up

Branch should contact college/university authorities to send the progress report at regular intervals in respect of students who have availed loans. In case of studies abroad, student to submit the Social Security Number (SSN) / Unique Identification Number (UIN) /Identity Card and banks to note the same in records. The Aadhaar number issued by UIDAI may also be captured in bank's system as and when available.

Student to submit the employment details after the completion of the course.

10. Processing charges

No processing/upfront charges may be collected on educational loans for loan amount upto ₹ 7.5 lac. For loan of above ₹ 7.5 lac, banks can decide.

11. Capability certificate

Branch can also issue the capability certificate for students going abroad for higher studies. For this financial and other supporting documents may be obtained from applicant, if required.

(Some of the foreign universities require the students to submit a certificate from their bankers about the sponsors' solvency/financial capability, with a view to ensure that the sponsors of the students going abroad for higher studies are capable of meeting the expenses till completion of studies.)

24.11.2 Vehicle Loans

(The process as well as the terms and conditions of vehicle loans vary widely from bank to bank. In some banks, the terms depend upon the brand of the vehicle to be purchased. Following operational aspects have been taken from the manual of a bank and do not pertain to loans for commercial vehicles.)

1. Purpose of Auto loan

The loan can be sanctioned by the branch for the purchase of new cars/used cars, Multi Utility Vehicles (MUVs) and Semi Utility Vehicles (SUVs) or two wheelers.

2. Eligibility

People engaged in trade, commerce and business, professionals, proprietary/partnership firms, companies and individuals (singly or jointly). The age of the individual should not be more than 65 years.

3. Documents required to be submitted

The branch should obtain the following documents along with the application:

- Audited financial statements for 3 years in case of firms/companies.
- Income tax returns for last 3 years along with computation of income of individuals/partners/directors.
- Copies of relevant documents/invoices from the authorised dealers of the vehicle to be purchased.
- Latest salary slips for preceding 3 months/form No. 16.
- Statement of operative bank account for last one year.
- KYC documents.

4. Loan tenure:

Maximum 84 months.

5. Loan to Value Ratio (LTV)

Upto ₹ 10 lacs: Maximum permissible LTV ratio is 85% of 'on road price' of the car

Above ₹ 10 lacs: Maximum permissible LTV ratio is 80% of 'on road price' of the car

6. Rate of Interest

Rate of interest may be decided by banks as per their policy, subject to RBI guidelines in Master Directions on Interest rate for advances.

7. Calculation of Interest

Interest will be applied at the applicable rate per annum on daily reducing balance with monthly rests.

8. Penal interest

Penal interest may be charged as per the loan policy of individual banks

9. Repayment

Generally repayment is fixed on EMI basis.

10. Pre-Payment penalty

Pre-payment penalty is waived.

11. Security

The branch should obtain an undertaking from the borrower to get hypothecation to the bank marked in the Registration Certificate (RC) book of the vehicle, immediately after purchase of the vehicle. Branch should verify the original RC book to ensure that the charge in favour of the bank has been noted.

12. Insurance

The vehicle purchased is to be kept comprehensively insured for the market value or at least 10% above the loan amount outstanding, whichever is higher, and the bank's interest as a hypothecatee should be noted in the Certificate of Insurance and the Insurance Policy. The borrower must ensure that renewal of insurance is done on the due dates and ensure a copy reaches the bank for its record. Failing this, the insurance will be taken by the bank by debit to the loan account of the borrower.

13. Fees and charges

Processing fee: Processing fee is recovered on the loan amount upfront as per the guidelines issued by individual banks.

14. Disbursement

The loan should be disbursed by the branch only on the following conditions:

- (a) Loan amount will be credited to the account of supplier/dealer by way of RTGS/NEFT facility.
- (b) All necessary statutory compliances are in place.
- (c) The Bank reserves the right to collect any tax, if levied by the State/Central Government and/ or other Authorities in respect of this transaction.

15. KYC

All loans should be sanctioned only after completion of KYC verification by the branch.

16. Default

In case of default i.e. if the amount due is not paid by due date, the customer should be sent reminders from time to time for payment of any outstanding on his loan account, by post, fax, telephone, email, SMS messaging and/or through third parties appointed for recovery.

17. Time taken for disposal of applications

The loan applications with complete information and required documents should be disposed by the branch within the stipulated period.

24.12 GUIDELINES ON RECOVERY AGENTS ENGAGED BY BANKS

The salient aspects of RBI guidelines on engaging recovery agents are as follows:

- (i) Banks should have a due diligence process for engagement of recovery agents, which should cover, among others, individuals involved in the recovery process. The agents engaged by banks should carry out verification of the antecedents of their employees, which may include pre-employment police verification, as a matter of abundant caution. Banks may decide the periodicity at which re-verification of antecedents should be resorted to.
- (ii) Banks should inform the borrower details of the recovery agency when a default case is forwarded to the recovery agency. The agent should carry a copy of the notice and the authorization letter from the bank along with the identity card issued by the bank/ the agency.
- (iii) The notice and the authorization letter should, among other details, also include the telephone numbers of the relevant recovery agency. Banks should ensure that there is a recording of the calls made by recovery agents to the customers, and vice-versa. The customer should be intimated that the conversation is being recorded, etc.
- (iv) Up to date details of the recovery agency firms/ companies engaged by banks may also be posted on the bank's website.
- (v) Where a grievance/ complaint has been lodged by the borrower, banks should not forward cases to recovery agencies till they have finally disposed of the complaint. Where the subject matter of the borrower's dues is sub-judice, banks should exercise utmost caution, as appropriate, in referring the matter to the recovery agencies, depending on the circumstances.
- (vi) There should be a mechanism whereby the borrowers' grievances with regard to the recovery process can be addressed. The details of the mechanism should also be furnished to the borrower while advising the details of the recovery agency.
- (vii) The contracts with the recovery agents should not induce adoption of uncivilized, unlawful and questionable behaviour or recovery process.
- (viii) The recovery agents should be properly trained to handle with care and sensitivity, their responsibilities, in particular aspects like hours of calling, privacy of customer information etc.

- (ix) Banks should ensure that all their Recovery Agents undergo the certificate course of IIBF on Debt Recovery. The service providers engaged by banks should also employ only such personnel who have undergone the above training and obtained the certificate.
- (x) Banks should undertake a periodical review of the mechanism to learn from experience, and to effect improvements.
- (xi) Banks, as principals, are responsible for the actions of their agents. Hence, they should ensure that their agents engaged for recovery of their dues should strictly adhere to the above guidelines and instructions, including the BCSBI Code, while engaged in the process of recovery of dues.
- (xii) Banks shall strictly ensure that they or their agents do not resort to intimidation or harassment of any kind, either verbal or physical, against any person in their debt collection efforts, including acts intended to humiliate publicly or intrude upon the privacy of the debtors' family members, referees and friends, sending inappropriate messages either on mobile or through social media, making threatening and/or anonymous calls, persistently calling the borrower and/or calling the borrower before 8:00 a.m. and after 7:00 p.m. for recovery of overdue loans, making false and misleading representations, etc.

24.13 FAIR PRACTICES CODE FOR LENDERS

RBI guidelines on fair practices code for lending must be followed by all banks in India. Banks need to frame the Fair Practices Code (approved by their Board of Directors) based on these.

- (i) *Applications for loans and their processing*
 - (a) *Application forms*: Loan application forms for all categories of loans irrespective of the amount of loan sought should be comprehensive.
 - (b) *Disclosing Fees/ Charges, etc.*: Banks must transparently disclose to the borrower all information about fees / charges payable for processing the loan application, the amount of fees refundable, if loan amount is not sanctioned/ disbursed, pre-payment options and charges, if any, penalty for delayed repayments, if any, conversion charges for switching loan from fixed to floating rates or vice versa, existence of any interest reset clause, and any other matter affecting the borrower. It should also be displayed on the website for all categories of loan products. All information relating to charges/fees for processing are invariably disclosed in the loan application forms. Banks must inform 'all-in-cost' to the customer to enable him to compare the rates charges with other sources of finance. It should also be ensured that such charges/ fees are non-discriminatory.
 - (c) *Acknowledgments*: Banks and financial institutions should devise a system of giving acknowledgement for receipt of all loan applications.
 - (d) *Timelines for Credit Decisions*: Timely and adequate availability of credit is a pre-requisite for successful implementation of large projects. Banks should clearly delineate the procedure for disposal of loan proposals, with appropriate timelines, and institute a suitable monitoring mechanism for reviewing applications pending beyond the specified period. Banks should disclose the timelines for conveying credit decisions through their websites, notice-boards, product literature, etc.
 - (e) *Additional Details*: Banks / financial institutions should verify the loan applications within a reasonable period of time. If additional details/ documents are required, they should intimate the borrowers immediately.

- (f) *Reasons for Rejection*: For all categories of loans for any amount, including credit card applications, the lenders should convey in writing within stipulated time, the main reason/ reasons which, in the opinion of the bank after due consideration, have led to rejection of the loan applications.

(ii) *Loan appraisal and terms/conditions*

- (a) *Assessment*: Proper assessment of credit application should be done. Margin and security stipulation should not be treated as a substitute for due diligence on credit worthiness of the borrower.
- (b) *Approval Letter*: Approval of the credit limit should be conveyed along with the terms and conditions thereof, and the borrower's acceptance of these terms and conditions, given with his full knowledge, kept on record.
- (c) *Terms & Conditions*: Terms and conditions, and other caveats governing credit facilities given by banks/ financial institutions arrived at after negotiation between lending institution and the borrower should be reduced in writing, and duly certified by the authorised official.
- (d) *Loan Agreement*: A copy of the loan agreement along with a copy each of all enclosures quoted in the loan agreement should be furnished to the borrower.
- (e) *Discretionary Faculties*: As far as possible, the loan agreement should clearly stipulate credit facilities that are solely at the discretion of lenders, namely approval or disallowance of facilities, such as, drawings beyond the sanctioned limits, honouring cheques issued for the purpose other than specifically agreed to in the credit sanction, and disallowing drawing on a borrowal account on its classification as a non-performing asset or on account of non-compliance with the terms of sanction. It may also be specifically stated that the lender does not have an obligation to meet further requirements of the borrowers on account of growth in business etc. without proper review of credit limits.
- (f) *Consortium Arrangement*: In the case of lending under consortium arrangement, the participating lenders should evolve procedures to complete appraisal of proposals in time bound manner to the extent feasible, and communicate their decisions on financing or otherwise within a reasonable time.

(iii) *Disbursement of loans including changes in terms and conditions*

Timely Disbursement: Lenders should ensure timely disbursement of loans sanctioned in conformity with the terms and conditions governing such sanction. Lenders should give notice of any change in the terms and conditions including interest rates, service charges, etc. which should be effected only prospectively.

(iv) *Post disbursement supervision*

- (a) *Post disbursement supervision*: Supervision, particularly in respect of loans up to ₹ 2 lakh, should be constructive with a view to taking care of any "lender-related" genuine difficulty that the borrower may face.
- (b) *Recall of Loan*: Before taking a decision to recall/ accelerate payment or performance under the agreement or seeking additional securities, lenders should give notice to borrowers, as specified in the loan agreement or a reasonable period, if no such condition exists in the loan agreement.
- (c) *Realisation of Loan*: All securities should be released on receiving payment of loan or realisation of loan subject to any legitimate right or lien for any other claim lenders may have against borrowers. If such right of set off is to be exercised, borrowers shall be given notice about the

same with full particulars about the remaining claims and the documents under which lenders are entitled to retain the securities till the relevant claim is settled/ paid.

(v) *General*

- (a) *Interference*: Lenders should restrain from interference in the affairs of the borrowers except for what is provided in the terms and conditions of the loan sanction documents.
- (b) *Discrimination*: Lenders must not discriminate on grounds of sex, caste and religion in the matter of lending. Lenders may participate in credit-linked schemes framed for weaker sections of the society.
- (c) *Recovery Process*: In recovery of loans, the lenders should not resort to undue harassment viz. persistently bothering the borrowers at odd hours, use of muscle power for recovery of loans, etc.
- (d) *Transfer of Borrowal Account*: Request for transfer of borrowal account, either from the borrower or from a bank/financial institution, which proposes to take- over the account, the consent or otherwise i.e. objection of the lender, if any, should be conveyed within 21 days from the date of receipt of request.

The Board of Directors should also lay down the appropriate grievance redressal mechanism within the organization to resolve disputes arising in this regard. Such a mechanism should ensure that all disputes arising out of the decisions of lending institutions' functionaries are heard and disposed of at least at the next higher level.

24.14 LET US SUM UP

Interest rates on loans

RBI regulations for interest rates on advances have over the period undergone several changes. The internal benchmark initially was PLR that was replaced by the Base Rate System and further by the MCLR. The interest rate for an individual loan would be arrived at by considering tenor spread based on the period of loan and the credit risk premium to be worked out for each loan limit. All floating rate rupee loans sanctioned and renewed w.e.f. April 1, 2016 were priced with reference to the MCLR. All new floating rate personal or retail loans (housing, auto, etc.) and floating rate loans extended by banks to MSEs from October 01, 2019 and floating rate loans to Medium Enterprises from April 01, 2020 shall be benchmarked to one of the specified external benchmark rates. For other floating rate loans also banks are free to adopt external benchmark. Certain categories of loans are exempted from external benchmark linkage regime.

Credit Management

Credit management is the management of the credit portfolio of banks and financial institutions. It includes pre-sanction appraisal, sanction, documentation, disbursement and post-lending supervision and control. Broadly credit management comprises following areas - Capital adequacy norms; Risk management, including asset liability management (ALM); Exposure norms; Risk pricing policy and credit risk rating; Asset classification, income recognition and provisioning norms; appraisal, credit decision-making and loan review mechanism. Exposure includes credit exposure (funded and non-funded credit limits) and investment exposure (including underwriting and similar commitments). RBI has prescribed prudential ceilings for exposures to a single counterparty; to a group of connected counterparties; to a single NBFC; group of connected NBFCs etc. Besides, banks have been advised to fix their own prudential ceilings for exposures to specific sectors; and to Real Estate.

Credit Monitoring

Credit monitoring can be defined as a continuous supervision process enabling the bank to ensure the quality of loan assets. Credit monitoring seeks to ensure that the funds are utilised for the sanctioned purposes and also compliance with the sanction terms and conditions. It comprises primarily monitoring transactions in the account; study of stock statements; and analyzing periodic statements on performance parameters. RBI has created central repository of large credits across banks viz. CRILC.

Operational Aspects of Loans

The procedures involved in handling loans are peculiar to each lending bank. However, the following steps are part of the processes in all banks – Receipt of loan applications; Assessment of viability and credit worthiness; Loan sanction; Disbursement; Monitoring and supervision. Working capital facilities (say cash credit or overdraft) work like revolving credit as these have regular credits and debits. Term loan type facilities are disbursed in one go or in few tranches within a limited period and are repaid in installments over a period of time or one-time bullet payment at the end of the tenor. Where a facility is given against security of stocks of goods, the processes connected with handling of goods, inspection, storage, etc. are required to be followed. Certain loan products, like Gold Loans, Vehicle Loans, and Educational Loans, require certain specific procedures to be followed.

Banks engage recovery agents for follow-up and recovery of loans from customers who have defaulted. RBI has issued guidelines to be adopted by banks in respect of engagement of recovery agents. RBI has also issue guidelines for formulating and adopting Fair Practices Code for Lenders by banks.

24.15 KEYWORDS

Benchmark Prime Lending Rate; Base Rate System; Spread; Marginal Cost Of Funds Based Lending Rate; Interest Rate Framework; Negative Carry; Tenor Premium; Operating Costs; Credit Risk Premium; Benchmark Based Interest Rates; External Benchmarks; Financial Benchmarks India Private Ltd.; Unallocatable Overhead Cost; Exposure Norms; Risk Pricing Policy; Credit Risk Rating; Single Counterparty; Borrower Group; Foreign Currency Exposure of Corporates; Loan Review Mechanism; Credit Audit; Portfolio Review; Base Rate System; Spread; Marginal Cost Of Funds Based Lending Rate; Interest Rate Framework; Negative Carry; Tenor Premium; Operating Costs; Credit Risk Premium; Benchmark Based Interest Rates; External Benchmarks.

24.16 CHECK YOUR PROGRESS

- Who determines the MCLR?
 - Ministry of finance
 - RBI
 - Banks themselves
 - NABARD
- RBI has not prescribed prudential ceiling for exposure of banks to _____.
 - vehicle loans
 - NBFCs
 - capital market
 - real estate
- Frequency of loan review depends on the _____.
 - loan amount
 - activity of the borrower
 - constitution of the borrower
 - risk level of the account

4. If the loan covenants are not observed by the borrower, it is called _____.
 (a) a violation (b) an event of default
 (c) a breach (d) a non-compliance
5. For educational loan of ₹3 lakh, the margin amount required is _____.
 (a) ₹30,000 (b) ₹45,000
 (c) ₹15,000 (d) Nil

24.17 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c); 2. (a); 3. (d); 4. (b); 5. (d).

UNIT 25

TYPES OF COLLATERALS AND THEIR CHARACTERISTICS

STRUCTURE

25.0 Objectives

25.1 Introduction

25.2 Effectiveness of Securities

25.3 What are ‘Secured Loans’ and ‘Unsecured Loans’?

25.4 Types of Securities

25.5 Land and Buildings

25.5.1 Documents to be called for from the Mortgagor

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25.6 Goods

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25.8.2 Assignment of the Policy

25.9 Advance Against Shares

25.9.1 Statutory Limit on Shareholding in Companies

25.9.2 Regulatory Limits of the Banks’ Exposure to Capital Market

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25.9.4 Advances Against Shares/Bonds/Debentures to Individuals

25.9.5 Financing of Initial Public Offerings (IPOs)

- 25.9.6 Bank Finance to Assist Employees to Buy Shares of Their Own Companies
- 25.9.7 Advances Against Shares to Stock Brokers & Commodity Brokers
- 25.9.8 Bank Finance for Market Makers
- 25.9.9 Bank Finance for Margin Trading
- 25.9.10 Loan Policy for Granting Advances to Stock Brokers and Market Makers
- 25.9.11 Bank Finance to Individuals Against Shares to Joint Holders or Third Party Beneficiaries
- 25.9.12 Advances Against Units of Mutual Funds
- 25.9.13 Advances to Other Borrowers Against Shares/Debentures/Bonds
- 25.9.14 Bank Loans for Financing Promoters' Contributions

25.10 Advance Against Debentures

25.11 Loan against Book Debts

- 25.11.1 Modes of Financing Book Debts

25.12 Loan against Term Deposits

- 25.12.1 Margin and Rate of Interest
- 25.12.2 Deposits in the Name of Minor
- 25.12.3 Other Aspects

25.13 Loan against Gold Ornaments

- 25.13.1 Important Aspects
- 25.13.2 Precautions for Loan against Gold Ornaments
- 25.13.3 Bullet Repayment of Loans

25.14 Supply Bills

- 25.14.1 Procedure to be followed in Respect of Supply Bills
- 25.14.2 Risks Involved in Advancing against Supply Bills
- 25.14.3 Precautions to be Taken by the Banker

25.15 Vehicle Finance

25.16 Let Us Sum Up

25.17 Keywords

25.18 Check Your Progress

25.19 Answer to 'Check Your Progress'

25.0 OBJECTIVES

After studying this Unit, you will:

- Learn about the difference between a secured and unsecured loan
- Know about various types of securities taken by banks for loans.
- Learn about the characteristics of different types of securities.
- Understand the advantages and disadvantages of various securities
- Know about the difference in the risks associated with these.
- Learn about the precautions to be taken by banks for different types of securities.

25.1 INTRODUCTION

Lending is a risky business and the credit risk forms a major risk for banks. There are several factors that could lead to default by the borrowers. In order to mitigate the credit risk, one of the measures adopted is obtaining from the borrower certain asset charged to the bank as security for repayment of the credit facility extended. Looking at it from another perspective, often the bank loan forms a major portion of assets acquired by the borrower that stands in his name. The bank gets the right to exercise control over these assets, when these are charged to the bank as security for the corresponding credit facility.

In order to safeguard the advances, bankers normally take securities, on which they fall back, when any borrower commits default. Typically, bank finance is used by the borrowers for creation of some type of asset either for business or for personal use. The asset created out of bank finance as per the normal banking practice is invariably taken as security. Besides, often banks call for any other asset owned by the borrower/third party as collateral security.

Nevertheless, there are occasions when banks extend credit without any tangible security being available that result in clean or unsecured loan. Let us seek to understand the securities for bank's lending business, the difference between secured and unsecured loans and legal status of a banker in the case of unsecured loans.

25.2 EFFECTIVENESS OF SECURITIES

The effectiveness of the securities can be broadly classified on two aspects, the first being the economic aspect, that is the marketability, valuation and other economic factors that has a bearing on the realisable value of the security. The other being the legal aspect that is the enforceability of the security. The effectiveness of a security would largely depend on the nature of the security. The major requisites of a good and acceptable security are as follows:

- (i) The borrower should have good title to the security.
- (ii) The asset should be easily identifiable.
- (iii) The security should be easily and freely transferable.
- (iv) It should not have any encumbrance or liability attached e.g., partly paid shares.
- (v) The ownership of the asset should be absolute
- (vi) The security should be easily marketable.
- (vii) Assets without wide price fluctuations are preferable.
- (viii) The market value should be easily ascertainable.
- (ix) It should be possible to store the security in secured manner in case of pledge particularly.
- (x) The security should be durable for a reasonable period of time.

25.3 WHAT ARE 'SECURED LOANS' AND 'UNSECURED LOANS'?

Secured Loans

These loans are given by a banker not merely based on his confidence on the borrower's future financial strength but also based on his present assets that he is able to give a banker to rely upon and recover the moneys lent in the event of his failure to repay the loan in the ordinary course. In the case of secured loans, a banker, besides verifying the future solvency of the borrower, asks for the charge over acceptable assets so that in the event of failure by the borrower to repay, the banker can sell the property of the borrower charged to him and recover the moneys. Most of the loans granted by banks in India are generally secured by tangible security being assets purchased out of the bank funds and/or some other valuable collateral such as bonds, shares and merchandise deposited either in the bank's godowns or in the godowns of the borrowers under agreement of hypothecation, and some immoveable property charged to the bank as mortgage.

Unsecured Loans

Unsecured loans are the antithesis to secured loans. Occasionally loans are granted without obtaining any security. Essentially, such loans are extended entirely based on the confidence in the borrower's capacity and willingness to repay. An unsecured loan is one for which the banker has to rely solely upon the personal integrity of the borrower. The principal basis of such transactions is the personal credit or credit worthiness of the customer. In other words, 'creditworthiness' is the confidence of a banker on the future solvency of a person or his future financial strength, which enables him to take a loan at present and pay it in future. All unsecured loans, usually called 'clean' loans, are dependent on the borrower's financial strength to pay in future and his integrity to fulfill his obligations.

Why a Secured Loan?

It would be relevant to know why a 'secured loan' is preferred over 'unsecured loan'. It is a common knowledge that lending by a banker is generally for the economic activity of the borrower and recovery of loans is mostly dependent on the economic success of the borrower. Success or failure of an economic activity depends on various macro and micro economic factors. A banker lending to a customer can assess only the existing macro and micro economic factors and can only endeavor to assess the probability of success or failure of the borrower's activity to a certain degree. A banker cannot be absolutely certain about the recovery of the amounts lent solely based on the expected economic success of the activity of the borrower. Besides, while the banker endeavours to gauge the integrity of the borrower, it is highly uncertain. Therefore, a banker asks for security in the form of a charge on certain property of the borrower. The charge created over the property of the borrower acts as a cushion to absorb the shocks of economic failure of the borrower as the banker can safely sell the properties charged to him and recover the moneys lent. It also serves as a deterrent to any tendency of renegeing on the commitment to repay. In other words, a security results in mitigating the credit risk to certain degree. This is the primary reason for preference of secured loans over unsecured loans.

25.4 TYPES OF SECURITIES

In practice, the securities offered by the borrowers are of various types. These would primarily be as listed below:

- (i) Immovable assets
- (ii) Movable assets,
- (iii) Actionable claim /Financial assets, and
- (iv) Intangible assets

The land and buildings, machineries embedded to earth, etc., come under the category of immovable assets that may be provided as security for advances. Goods, vehicles, furniture, machineries, gold ornaments, growing crops, livestock etc., come under the category of movable assets. Accounts receivable, (i.e. book debts), investment in securities, other amounts due under any contractual obligation, etc. are financial assets that may be taken as security. Endowment policy of life insurance companies is an actionable claim. Sometimes brand value, goodwill, etc. that are intangible assets are also offered as securities. Whatever may be the nature of the security offered by a borrower, the banker, while accepting it, has to ensure that:

- (i) It is saleable, whenever required to do so for recovery in case of default by the borrower.
- (ii) The value of the securities is ascertainable at any time from reliable sources, to enable determining the drawing limit, and assessing saleable value, etc.
- (iii) Its value is reasonably stable and not subject to wide fluctuations; and depending on the volatility banks fix the percentage of margin.
- (iv) It is easily transferable without, as far as possible, going through legal formalities.

Securities are also classified into: primary security and collateral security. Primary security is the asset against which advance is made. For example, stocks of goods, sales receivables, machinery, etc. It is also those assets on which the margin of security is applied. Collateral security is a security of any other asset of the borrower or of a third party.

25.5 LAND AND BUILDINGS

This type of security is not of self-liquidating nature i.e. since it is held for long term in the same form it does not get converted into cash during the economic cycle. In the event the bank decides to sell the property for recovering its advance, it needs to do so through the legal process. Bankers in the olden days were very much averse to accept land and building as a security, but this prejudice has over a period of time changed, and land and building as a security has become an acceptable collateral in most advances, more particularly to corporate customers.

Normally, banks have to file a suit before the civil court for recovery, if the amount due in the loan account is less than ₹20 lakh and, before the DRT, if the amount due is ₹20 lakh and above. Under the provisions of SARFAESI Act, banks can sell the immovable property charged to it by way of mortgage, without intervention of the court, following the procedure prescribed in the Act. Due to this relief, this type of security has gained importance now and viewed with favour by banks. The nature of charge created on this type of security is mortgage. The advantages and disadvantages of this form of security cannot be applied universally to all lands and it depends on the nature of the land and building offered.

Advantages

The advantage of land and building over other types of securities is that its value generally increases with time. With every fall in the value of money, the value of land goes up and due to its scarce availability in developing areas its value invariably increases. Only in unusual catastrophic situations like chronic flood, major earthquakes or any other disaster that are natural or economic resulting in exodus of human beings from the region/ location, the land value falls.

It cannot be moved and hence is always traceable making it easier to get hold of. However, this characteristic has some inherent disadvantage too from the perspective of disposal and also obtaining unoccupied possession.

Disadvantages

- (i) *Valuation is at times difficult:* The value of a building depends on several factors such as location, size of property, state of repair, amenities, etc., and in the case of factories and industrial buildings, the plant and machinery, nature of industry, etc. This makes the valuation difficult. Buildings and the materials used in the buildings are not alike. In fact, buildings must be valued on a conservative basis because of limited market in the event of sale.
- (ii) *Ascertaining the title of the owner:* The banker cannot obtain a proper title on the land and building unless the borrower himself has a proper title to the property to be mortgaged. In India, the laws of succession particularly those relating to Hindus and Muslims being very complicated, it is difficult to ascertain whether a person has a perfect title to the property or not. The situation is made more complex due to various modes of transfer of rights in land and building, some of these though effectively pass on the ownership to the buyer do not give an absolute legal ownership title to him. Lastly, often the land records are not complete in all respects.

The bankers need to consult lawyers and obtain their legal opinion before accepting any land and building as a security. The lawyers should ascertain that the person in whose name the property stands has a good, valid, subsisting and marketable title over the property. This has to be done by verifying record with the Registrar's office/Sub registrar's office (RO/SRO), which involves expense and time. Moreover it is important to examine the genuineness of title deeds by visiting RO/SRO and comparing the record in RO/SRO with the title deeds being given for title verification.

In case of agricultural land, with the introduction of land ceiling legislation, legislation protecting the tenants' rights, absence of up-to-date and proper land records, it has become less valuable as a security. Added to this there have been a number of legislations in different states giving debt relief to the farmers and prohibiting transfer of land to persons other than agriculturists.

- (iii) *Encumbrance/ Attachment:* Title verification, is also done to know whether the property is encumbered, that it carries some charge or claim of another third party. It is important that the property is free from all encumbrances and is not subject to any litigation or attachment from any Court or Statutory authorities.
- (iv) *Difficult to realise the security:* Land is not easily and quickly realisable due to lack of ready market. It may take months to sell and sometimes if the market is not favourable, it may fetch a lower price than what was anticipated.
- (v) *Creating a charge is costly:* Security interest on immovables properties can be created by way of mortgage. Creation of mortgage has significant legal costs in terms of stamp duty on the mortgage deed and registration charges. Generally, banks prefer simple mortgage or equitable mortgage. Equitable mortgage may be created by a simple deposit of title deeds with or without a memorandum. These may entail lower costs.
- (vi) *Difficulty on account of Rent Control Act:* In case of buildings, which come within the purview of the Rent Control Act, it would be difficult to sell the building, particularly when a tenant has been occupying it for a long time. This reduces the marketability and value of the property.

25.5.1 Documents to be called for from the Mortgagor

- (a) *Documents of Title*: All material documents of title, like the sale deed/ gift deed/ will/ partition deed conveying the title to the borrower.
- (b) *Parent documents*: These are taken for the prescribed period to ascertain the flow of title. Usually, banks call for parent documents for thirty years.
- (c) *Encumbrance certificate*: This is taken normally for thirteen years to see, if any encumbrance subsists on the property. It is advisable to apply for an encumbrance certificate for the property through the bank's advocate so as to avoid manipulation.
- (d) *Property Tax receipts*: The tax receipts for the property are usually an evidence that the possession of the property is of the proposed mortgagor.
- (e) *Court Permission*: If the property offered is standing in the name of a minor, permission of the competent court to encumber the property.
- (f) *Search report*: If the immovable property belongs to a company registered under companies Act., a *certificate of registration of charges* (issued by the Registrar of Companies) is required in order to ascertain any charge subsisting on the property.
- (g) *Lawyer's Report*: Normally, banks take an opinion from their panel advocate regarding the clear, good and marketable title of the proposed mortgagor over the property. The advocate should see that the documents produced are genuine and not fake. The advocate's opinion should be clear and unconditional and should certify that a valid mortgage can be created by the proposed mortgagor over the property.

25.5.2 Valuation of Property

Where an advance is desired against the security of an immovable property, it is necessary to get it valued by an approved engineer of the bank before the grant of the advance. Valuation must be conservative, realistic and should be done on a forced sale basis. Valuation can be done through various ways:

- By utilising the services of recognised valuers who would be engineers or architects.
- Making enquiries with local real estate agents.
- By using valuation published by local authorities.
- Using latest sale transaction of neighbouring properties.
- Calculations based on the annual rental value.

In fixing the valuation, the points for consideration are:

- | | |
|--|--|
| (a) The nature of construction | (b) Nature of title, free-hold or lease-hold |
| (c) Age of the building and its present strength | (d) The rent yield |
| (e) Taxes paid | (f) Area of the land and building |
| (g) Value of the site | (h) Cost of construction |
| (i) Its location | |

Usually valuation is estimated through more than one mode and based on the fair market value perception and distress sale perception. And in cases, where the land may be prone to any adverse situations the value for a disaster situation is made. The value considered as security value will be a function of these values as per the bank's policy and appetite.

25.5.3 Nature of Ownership – Freehold/ Leasehold

In a freehold land, the owner is the absolute title holder of the land and is able to deal with it as he likes. A leasehold property is one which is taken on lease for a specific period and the leaseholder derives a legal status for certain number of years from the freehold owner, and has the right to deal with the land within the terms of the lease and within the law during that period. When the lease expires, the land reverts to the freehold owner. In the case of leasehold property, the unexpired period of the lease is an important consideration. The longer the unexpired period of the lease, greater is the value of the security. The bank should also ensure by verifying a copy of lease deed that there are no onerous covenants such as the necessity of taking the freeholder's consent before mortgaging the property. The banker should also obtain the last ground receipt to ensure that the lease is active. For a leasehold land, it must be ensured that the repayment of loan by the borrower does not extend beyond the unexpired period of lease.

25.5.4 Other Aspects

The bank must inspect the property offered as security, to ensure existence and must also make an inquiry through independent sources to satisfy the ownership of the property.

Mortgage of immovable property is for either primary or collateral security. If any advance is granted against the primary security of immovable property, the purpose for which such advance is sanctioned is to be made very clear. The mortgage deed must be drafted carefully considering all the legal stipulations. It should be witnessed by at least two persons. A simple mortgage attracts ad-valorem stamp duty.

To avoid loss of security by fire or any natural calamities, it is prudent to insure buildings, if any, in the property for its full value at the borrower's expense.

25.6 GOODS

Banks advance loans routinely against the security of goods such as agricultural goods, raw material, semi-finished goods and finished goods. Goods are of wide variety depending on the business line of the borrower. Often a given customer may obtain credit facility for various goods. Basic characteristics in respect of goods depend on the aspects indicated below.

Characteristic	Description	Examples
Natural Durability	Period for which the goods are consumable for its purpose whether for human consumption or industrial use.	Chemical raw materials, Fruits, Food grains, etc.
Physical Strength	Ability to withstand impact or force causing deformity or breaking.	Glass, Rubber, Mica, Plastic, etc.
Chemical Nature	Inert to atmosphere or reactive to atmosphere (i.e. air or moisture) causing disintegration or chemical changes.	Examples: Brass goods, Salt, Phosphorous, Wood, Plastic, etc.
Utility Products	Effect of long storage on physical appearance or chemical composition.	Upholstered furniture items, Medicines, Sun lotions, Fruit Jams, etc.
Fashion/ Style Utility	Effect of change in fashion and utility on the customer preferences.	Mobile handsets, Garment Items, Laptops, Sarees, etc.

Characteristic	Description	Examples
Technological obsolescence	Effect of innovations and improvements on the demand or utility.	Pagers, Basic Mobile handphones, Gramophone Players, Smartphones, etc.
Seasonal Utility	Effect of season on demand for goods used for specific purposes.	Woolens, Raincoats, Umbrellas, Sports goods, etc.
Intermediary Goods	Components or semi-finished items or inputs for other goods of utility.	Integrated Circuits, Gear boxes, Spices, Zinc, Car body, etc.

Advantages

- Goods have a ready market and as such can be easily sold, unlike other kinds of security.
- Valuation of the goods can be easily done.
- The banker gets a tangible form of security compared to unsecured advances, which in case of default by the borrower, can be realised by sale of pledged goods.
- Advances against goods are normally given for short periods and therefore the risk of the banker is considerably reduced.
- Barring a few states where the stamp duty is heavy, creating a charge on the security is less costly and involves minimum formalities.
- Banker acquires a good title to the goods when dealing with customers of repute and standing.

Disadvantages

- Certain goods are liable to perish or deteriorate in quality over a period of time, thus resulting in reduction in the value of the security.
- There are possible risks of fraud or dishonesty on the part of the borrower. For example, when 10,000 tins of cashew nuts are shown in the godown as security for an advance, it is not possible for the banker to verify the quality and quantity in every tin. It is not even possible to verify whether all the 10,000 tins contain cashew nuts. A fraudulent borrower may manipulate the stock statement in terms of quantity, quality and also the nature of item.
- The value of the security in certain cases, more particularly in electronic consumer goods, is subject to wide fluctuations. Therefore, determining security cover for such goods is difficult. Even in the case of necessities, there being several varieties, unless the banker has expert knowledge, the valuation may be misleading.
- For certain goods, because of their inherent nature, it is difficult to ascertain their real value. For example a piece of diamond may be valued widely differently by two experts. In case of software valuation is not based on any of the characteristics of goods, hence it is simply what value the seller puts to it – but will the users pay that value?
- Disposing of large quantities of goods within a short time may be difficult and may not fetch the expected/declared price.
- The banker may find it difficult to store the goods, due to its bulky size, hazardous quality, effect on its conditions, its safety, etc.
- Transporting the goods from the borrower's premises to the banker's premises and thereafter to the market in case of sale is considerably costly and time-consuming affair.
- When the banker releases goods for sale on the execution of trust receipts, the money realised by the sale of such goods may not be deposited with the banker and the borrowers may default.
- If the goods are warehoused, the warehouse keeper enjoys a lien over the goods for any unpaid charges. The banker, therefore, has to ensure periodically that all charges are duly paid.

An advance against goods is extended by way of keeping the goods under pledge or hypothecation, i.e. key cash credit or open cash credit. Thus the nature of the charge created may be either a pledge or hypothecation. When the possession of the goods is transferred to the banker, as in the case of key cash credit, the nature of charge created is a pledge. When the possession of goods is not transferred, as in the case of open cash credit, the nature of charge created is hypothecation. In either case of pledge and hypothecation, the title in the goods is not transferred to the bank. An advance granted against goods is known as trade finance.

While considering an advance against goods, the banker should see that the goods offered as security are not perishable, are readily saleable, are not obsolete, possess a price which is easily ascertainable and are capable of easy handling and transport.

25.6.1 Precautions for Advance against Goods

- (a) The borrower should be dealing in the goods for sufficient period.
- (b) No advance should be made for speculation or hoarding purpose, it should be restricted to genuine traders and producers.
- (c) Loans against specific stock must be given for short periods, since the quality and thereby the value of the security is likely to diminish.
- (d) The banker must obtain absolute or constructive possession of the goods.
- (e) For hypothecated goods, the bank should obtain from the borrower a written undertaking that the goods are not charged to any other bank or creditor and will not be so charged as long as the borrower is indebted to the bank. The bank should obtain periodical certificates regarding quantity and value of the goods and needs to physically verify the stocks.
- (f) For goods under pledge with lock and key facility, as a Pawnee, the bank is liable, if reasonable care is not taken on the goods pledged. He should therefore, take proper care for their storage and also take reasonable steps to protect them from damage and pilferage.
- (g) The goods charged to the bank should have been fully paid for, because the seller of goods has the right over unpaid stocks, and also it would amount to double financing.
- (h) The goods should command good demand in the market.
- (i) The age of the stock should be taken into consideration.
- (j) The ownership of the goods shall be ensured by verifying with the original paid invoices.
- (k) Stipulated margin should be maintained at all times.
- (l) Borrower should be asked to arrange the goods in the godown in such a way that stocks of different kinds are kept separately and that they are amenable for visual inspection facilitating assessment of their quantity and random quality checks too.
- (m) The banker must gather working knowledge and information of the different types of goods regarding their character, price movements, storage value, etc.
- (n) The goods should have adequate insurance against risks such as fire, strike riot, etc.
- (o) The place of storage of goods should be such that these are accessible at all times without any hindrance. Especially, it should not be in residential premises, or in the premises of third parties where access is restricted.
- (p) If the goods are in warehouses the undertaking is needed from the warehouse owner that access will be provided to the bankers or their agents for inspection. Also, it should be verified that the warehouse charges are being paid regularly.

25.6.2 Inspection & Related Aspects

Storage of Goods: The stocks should be arranged in an order, in distinctive lots such that verification of stocks is made easy and samples of stocks from different lots, if required, can be taken. Hazardous goods should be separated from non-hazardous goods and kept separately. Goods should be stored in such godowns that are of good construction, so that they can be protected from the vagaries of weather or monsoon. It should also be ensured that the godowns are secured from the safety point of view. Accessibility of godowns is also an important aspect. It should not be restrictive that would prevent bank officials or their agents like valuers, etc. from free access to inspect the stock.

Inspection of Stocks: All the stocks charged to the bank under a pledge/hypothecation are subject to inspection, without any exception. Verification of the stock is required at regular intervals, say once in a month. An element of surprise in the inspection is also desirable. Borrower's vehicle should not be normally used for the purpose of inspection, as it would enable them to set things right before the inspection. In case goods that are stored in bags/ cartons etc., the inspecting official of the bank should count the number of bags and if necessary weigh a few of them at random. A few of the bags selected at random may be ordered to be opened to ensure that the goods stated to have been stored are actually held in bags. Similarly, in case of cartons sample checking of the quantity in each carton, as also the contents of a carton can be done. At the time of inspection the bank officials should also verify borrowers' records such as purchase register, sales register, stock register, GST records, excise records, etc. It is important not to put any remarks on the borrower's official records pertaining to stock or accounting, etc. Observations, if any, should be made in the internal report to the bank. Later, if required, any unsatisfactory features observed may be communicated to the borrower in writing.

Stock Audit: Stock audit is an effective credit monitoring tool, which offers an opportunity for making a qualitative assessment of the advance. Stock audits also contribute to an improvement in the borrower's management of inventories and receivables. This helps in identifying the irregularities, thereby prompting for an initiation of suitable and timely remedial measures. The stock audit of borrowal accounts enjoying fund based and non-fund based working capital facilities above a cut-off limit, say ₹5 crore, at least once in a year should be conducted by the lending bankers.

For advances against warehouse receipts, the goods covered by the warehouse receipt are inspected at periodic intervals. Following points are noted with regard to the stocks in a warehouse. Receipts are issued by an approved warehousing agency in the prescribed form. The borrower should endorse the warehouse receipt against which advance is made. Goods covered by the warehouse receipt should not be deteriorating in nature. Inspecting bank official should ensure that warehouse goods (nature, quality, grade, etc.) are the same as stated in the warehouse receipt. It should be ensured that stocks held by the warehouse authority are favoured for the full cost price or market price. Particulars of the insurance policy are to be obtained and recorded from the warehouse authority in the bank's books.

25.6.3 Valuation of Stock of Goods

Value of stock is the function of two factors viz. quantity and price. Normally, valuation of the stock is done on the basis of cost price or market price whichever is less. Goods are usually short term security of self-liquidating nature; hence their price is assessed on the normal value basis and not on distress value basis. However, in case of non-moving stock that the valuation should be at discounted rate and at certain stage even ignored for security valuation purposes, since it would have perhaps become obsolete. Determining the proper price for valuation therefore poses certain challenges. Certain modalities adopted are:

- Prices are verified and tallied with purchase invoices.
- Using the services of professional valuers like chartered accountants, engineers, valuers, etc. who would assess the quality and accordingly determine the applicable pricing; and also assess or measure the quantity and provide final stock value.
- Ascertaining the market value through media, public domain, associations, demi-official agencies, etc. for the goods of the given quality.

The other factor to be determined for valuation is the quantity of stock held. Measuring quantity whether in terms of weight, volume or numbers physically is practically too difficult, if not impossible. But it is very important to correctly and properly assess the quantity, because misquoting of quantity is usually employed for overvaluing stock in the stock statements.

Margin on Stock: Maintaining an adequate margin on the stock as stipulated in the sanction is important. Drawing power is calculated after deducting the margin to be maintained. Where a part of the stock is unpaid its value is removed from the total stock value, and the stipulated margin is deducted from the residual value to arrive at the drawing power.

Recovery in Case of Default: Generally, the agreement of hypothecation executed by the borrower, at the time of disbursal of the advance, contains a clause empowering the bank to take possession of the hypothecated goods and sell it privately or in a public auction and to appropriate the sale proceeds towards the loan account. Whether the banker can exercise this right without the intervention of the Court is a matter on which different Courts have given different verdicts. However, SARFAESI Act, 2002, gave a right to the hypothecatee bank to take possession of the goods hypothecated and to sell it without Court's intervention after observing certain formalities. In the case of pledged goods, Section 176 of the Indian Contract Act gives a right to the pledgee (bank) to sell the things pledged after giving a reasonable notice to the pledgor.

25.7 DOCUMENTS OF TITLE TO GOODS

Section 2(4) of Sale of Goods Act defines a document of title to goods as –

“a document used in the ordinary course of business as a proof of possession or control of goods authorising or purporting to authorise either by endorsement or delivery, the possessor of the documents to transfer or to receive the goods thereby represented”.

25.7.1 The Essential Requisites of a Document of Title to Goods

- Mere possession of the documents creates a right by virtue of either law or trade or usage, to possess the goods represented by the documents.
- Goods represented by the documents are transferrable by endorsement and/or delivery of the documents.
- The transferee of the document can take delivery of the goods in his own right.
- Although they appear to be negotiable instruments, they are not negotiable instruments, since even a bonafide transferee for value can be affected by defects in the title of transferor. Hence, they may be called as quasi negotiable instruments.
- Examples of documents of title to goods are bill of lading, dock warrant, warehouse-keepers certificate, railway receipts, delivery orders, etc.

- It is important to note distinction between documents to title to goods and certain other documents evidencing goods like the warehouse-keeper's non-transferable receipts, which are mere acknowledgement of the goods.

Merits

By mere pledge of the instruments, the underlying goods are pledged and serve as a good security. The person in possession of the document can transfer the goods by endorsement and delivery. The transferee thereafter is entitled to take delivery of goods in his own rights. The documents are easily transferable and the formalities involved are minimum.

Demerits

- Possibility of Fraud and Dishonesty*: Since the bill of lading/ railway receipt or a warehouse-keepers certificate, does not certify or guarantee the correctness of the contents of the bags or packages, the banker will have no remedy against the carrier or warehouse keeper, if the goods turn out to be worthless.
- Forged and Altered Documents*: The documents might be forged ones, or even if genuine, the quantity may have been altered.
- Not negotiable documents*: The documents being 'Not negotiable' the transferee of such documents will not get a better title than that of transferor. Therefore, if a person who pledged the documents has a defective title, the banker will not acquire a better title.
- Unpaid vendor's right of stoppage in transit*: Under the Sale of Goods Act, an unpaid vendor has the right of stoppage in transit and he is entitled to direct the carrier that the goods not be delivered, if not already done. If the unpaid vendor exercises this right, banker cannot obtain the goods and his security is of no value.
- Facility for claiming goods covered by lost documents*: In case of lost documents, delivery of goods is allowed on execution of an indemnity bond, which facility can be misused by the borrower. To avoid such a contingency, the banker can give notice to the carrier regarding his interest in the goods.

25.7.2 Precautions to be taken by the Banker

- The documents must be examined thoroughly to ensure that they are genuine and of recent origin. In the case of bills of lading, they are prepared generally in triplicate and as such all the copies must be obtained by the banker. Otherwise, the carrier is released from his obligation by delivering the goods on the presentation of any one copy containing ostensibly regular endorsements.
- The banker should ensure that the documents do not contain any onerous clauses or prejudicial remarks about the condition of goods received.
- Banker should ensure that the goods are adequately covered by insurance for full value against risks of theft, fire, damage in transit, etc., and in the case of goods shipped by sea, all the marine risks should be covered.
- Banker should ensure to get consignee copy and bank's name being entered as consignee, so that endorsement/transfer of title is specific.

25.7.3 Trust Receipts

Whenever the bank releases documents of title of goods to the borrower without a payment, then a letter of trust should be taken. So also in the case of goods hypothecated to the bank, a trust receipt should be taken from the borrower.

The reasons for doing this are:

- (a) the borrower, on sale of the goods has to hold proceeds in trust for the banker.
- (b) the goods taken under such trust receipts or the sale proceeds thereof are not available to the Official Receiver in case the borrower becomes insolvent.

A trust letter incorporates the following clauses:

- (a) borrower's recognition of bank's rights in the goods as a security and in case of sale, the proceeds thereof
- (b) borrower's undertaking to hold the goods or the sale proceeds thereof in trust for the banker
- (c) borrower's undertaking to ensure proper storage and insurance at his cost
- (d) borrower's undertaking to direct the buyer to pay the monies directly to the banker, if so required by the banker
- (e) borrower's undertaking to return unsold goods on banker's request or dispose of the same as directed by the banker.

25.8 ADVANCES AGAINST LIFE INSURANCE POLICIES

Life insurance policies are acceptable either as a primary or collateral security for an advance. It is an actionable claim.

Borrowers take a life insurance policy for two purposes –

- It is a source of income for the dependents of the assured in case of his death.
- It is an ideal form of saving since along with income tax deduction on the premium, loans can be raised on the policies in times of need.

Advantages

- Life insurance business being highly regulated and permitted only to companies having sound financial health, the banker need not doubt the realisation of the policies, which will be done without any difficulty, if the policy and the claim are in order.
- The assignment of the policy in favour of the banker requires very few formalities and the banker obtains a perfect title.
- The longer the period for which the policy has been in force, the greater the surrender value. It is also useful as an additional security because, in the event of the borrower's death, the debt is easily liquidated from the proceeds of the policy.
- The security can be realised immediately on the borrower's default of payment by surrendering the policy to the insurance company.
- The policy is a tangible security and is in the custody of the bank. The banker only has to ensure that regular payment of premiums is made.

Disadvantages

- If the premium is not paid regularly, the policy lapses and reviving the policy is complicated.
- Insurance contracts being contracts of utmost good faith, any misrepresentation or non-disclosure of any particulars by the assured would make the policy void and enable the insurer to avoid the contract.
- The person (proposer) who has obtained the policy must have an insurable interest in the life of the assured or the contract is void.
- The policy may contain special clauses, which may restrict the liability of the insurer.

- When the banker accepts a policy, coming under Married Women Property Act, he must ensure that all the parties sign in the bank's form of assignment.
- There is a facility to obtain the duplicate policy if the original is lost. This can be misused by persons by obtaining duplicate policies. Banker should, therefore, verify that no duplicate policy has been issued and there are no encumbrances on the policy.

25.8.1 Points to be taken in to Consideration

When making an advance against life insurance policy, the points to be taken in to consideration are:

- (i) The policy must be in force and the premium has been paid up to date. The latest premium receipt must be kept on record by the bank.
- (ii) The policy document should be in original, duly stamped and signed by the issuing authority.
- (iii) The policy should be free from restrictive/ onerous clauses.
- (iv) The insurance company should have admitted the age of the assured.
- (v) The policy must be assigned in favour of the bank and should be sent directly to the insurance company for registration and ensured that only authorised office of Insurance Company has noted assignment.
- (vi) The premium of the policy must be paid regularly during the currency of the advance, as a matter of caution.

Generally, the following types of life insurance policies are not acceptable as security due to certain conditions attached to them.

- (a) Children endowment policy.
- (b) Policies taken out specifically for purposes like estate duty.
- (c) Children deferred policy.
- (d) Policies with nominations under Section 6 of the Married Women's Property Act.

Banks lend against the life policies based on surrender value. Surrender value at any time is the amount, which the insurance company will pay if the policy is surrendered at that point of time.

25.8.2 Assignment of the Policy

The assignment should be obtained on the policy or on a separate stamped paper and it should be witnessed by a person. Nominee under the policy need not join in assigning the policy as nomination under the policy is automatically cancelled in the event of assignment of the policy. The assignment shall not be operative as against the insurance company until the notice in writing of assignment is given to the insurance company. In case of death of the assured, the assignee becomes entitled to receive the policy amount. When the advance is repaid, the policy has to be reassigned in favour of the policyholder.

Collateral security assigned to the bank could also be investments like KVP/ NSC etc. that are acceptable to the banker.

25.9 ADVANCE AGAINST SHARES

Typically there are two types of shares viz. equity shares and preference shares. The latter enjoy preference both with regards to payment of dividend and repayment of capital over the equity shares. Further, shares may be listed shares and unlisted shares. Listed shares are listed on the stock exchanges and hence they have a ready secondary market facilitating easy disposal of shares at the ruling market price. Unlisted shares do not have a ready market and for disposal would require scouting for an interested buyer at a

mutually negotiated price. Banks generally accept listed equity shares as security, while they may also consider accepting listed preference shares. Unlisted shares, whether common equity or preference, are taken as security only for specific situations.

Advance against shares should be for the productive purposes and not for speculative purposes. Banks provide either demand loan or an overdraft against the security of shares. Shares are also accepted as collateral for advances. The nature of charge created on shares is a pledge. Banks insist, the shares to be in dematerialised form while accepting shares as security. Advances are granted against fully paid shares only. No loan can be given against the shares of a private limited company as it would not provide an exit route.

Advantages

- Value of the security can be ascertained without any difficulty.
- In normal times, stocks and shares enjoy stability of value and are not subject to wide fluctuations.
- Stocks and shares require very little formalities for taking them as security, especially in demat form.
- It is easier compared to real estate to ascertain the title, more so with the advent of depositories.
- Creating a charge on shares is less expensive than real estate.
- They yield intermittent income by way of dividends, which can be appropriated towards the loan account.
- Being a tangible form of security, they are more reliable.
- The release of such securities involves very little expense and formality.

Disadvantages

- Being easy to realise, they are fraud prone and as such they must be properly secured.
- Partly paid shares carry several disadvantages like –
 - The banker may have to pay the calls.
 - Partly paid shares are subject to violent price fluctuations.
 - They are not easily realisable because of the restricted market for such shares.

Precautions

- Keeping an updated list of shares which the bank is willing to accept as security.
- Updating the amount that can be lent against a particular share which is called the card limit at regular intervals, keeping in view various aspects including statutory restrictions.
- Review of the portfolio at annual or more frequent periodicity depends upon the volatility in the capital market.
- In the case of partly paid shares, particularly –
 - The banker should never have them transferred in the bank's name.
 - Must ensure that future calls are paid promptly when made by the company.
 - Sufficient margin should be taken to avoid any future loss or change in the value of the security.
 - The banker should verify from the statement of demat account that the holding is of the ISIN allotted to latest paid-up.

25.9.1 Statutory Limit on Shareholding in Companies

In terms of Sec. 19(2) of the BR Act, 1949, no banking company shall hold shares in any company, whether as pledgee, mortgagee or absolute owner, of an amount exceeding thirty per cent of the paid up share capital of that company or thirty per cent of its own paid up share capital and reserves, whichever

is less. All shares whether in physical or in demat form should be included for the purpose of determining the exposure limit.

This is an aggregate holding limit for each company. While granting any advance against shares, underwriting any issue of shares, or acquiring any shares on investment account or even in lieu of debt of any company, these statutory provisions should be strictly observed.

25.9.2 Regulatory Limits of the Banks' Exposure to Capital Market

RBI guidelines on banks' financing against shares, debenture, etc., are given below:

Banks' capital market exposures would include both their direct exposures and indirect exposures. The aggregate exposure (both fund and non-fund based) of banks to capital markets in all forms would include the following:

- (i) Direct investment in equity shares, convertible bonds, convertible debentures and units of equity-oriented mutual funds the corpus of which is not exclusively invested in corporate debt;
- (ii) Advances against shares/bonds/debentures or other securities or on clean basis to individuals for investment in shares (including IPOs/ESOPs), convertible bonds, convertible debentures, and units of equity-oriented mutual funds;
- (iii) Advances for any other purposes where shares or convertible bonds or convertible debentures or units of equity oriented mutual funds are taken as primary security;
- (iv) Advances for any other purposes to the extent secured by the collateral security of shares or convertible bonds or convertible debentures or units of equity oriented mutual funds i.e. where the primary security other than shares/convertible bonds/convertible debentures/units of equity oriented mutual funds does not fully cover the advances;
- (v) Secured and unsecured advances to stockbrokers and guarantees issued on behalf of stockbrokers and market makers;
- (vi) Loans sanctioned to corporates against the security of shares/bonds/debentures or other securities or on clean basis for meeting promoter's contribution to the equity of new companies in anticipation of raising resources;
- (vii) Bridge loans to companies against expected equity flows/issues;
- (viii) Underwriting commitments taken up by the banks in respect of primary issue of shares or convertible bonds or convertible debentures or units of equity oriented mutual funds. However, with effect from April 16, 2008, banks may exclude their own underwriting commitments, as also the underwriting commitments of their subsidiaries, through the book running process for the purpose of arriving at the capital market exposure of the solo bank as well as the consolidated bank;
- (ix) Financing to stockbrokers for margin trading;
 - (x) All exposures to Venture Capital Funds (both registered and unregistered).
- (xi) Irrevocable Payment Commitments issued by custodian banks in favour of stock exchanges.

Solo Basis

The aggregate exposure of a bank to the capital markets in all forms (both fund based and non-fund based) should not exceed 40 per cent of its net worth, as on March 31 of the previous year. Within this overall ceiling, the bank's direct investment in shares, convertible bonds / debentures, units of equity-oriented mutual funds and all exposures to Venture Capital Funds (VCFs) [both registered and unregistered] should not exceed 20 per cent of its net worth.

Consolidated Basis

The aggregate exposure of a consolidated bank to capital markets (both fund based and non-fund based) should not exceed 40 per cent of its consolidated net worth as on March 31 of the previous year. Within this overall ceiling, the aggregate direct exposure by way of the consolidated bank's investment in shares, convertible bonds / debentures, units of equity-oriented mutual funds and all exposures to Venture Capital Funds (VCFs) [both registered and unregistered] should not exceed 20 per cent of its consolidated net worth.

Certain exceptions are given from these regulatory ceilings:

- (a) Where a bank is compensated for loss/ sacrifice suffered in restructuring programme of stressed/ non-performing asset by issue of equity shares resulting in exceeding the norm it is not considered as a breach.
- (b) Where a bank finances investors to participate in the Govt. of India's disinvestment programme of PSUs, RBI relaxes the ceilings on case to case basis.

25.9.3 General Guidelines Applicable to Advances against Shares / Debentures / Bonds

- (i) Statutory provisions regarding the grant of advances against shares should be strictly observed.
- (ii) Banks should be concerned with what the advances are for, rather than what the advances are against.
- (iii) Advances against the primary security of shares / debentures / bonds should be kept distinct and separate and not combined with any other advance.
- (iv) Banks should satisfy themselves about the marketability of the shares / debentures and the networth and working of the company whose shares/ debentures/ bonds are offered as security.
- (v) Shares/ debentures/ bonds should be valued at prevailing market prices when they are lodged as security for advances.
- (vi) Banks should exercise particular care when advances are sought against large blocks of shares by a borrower or a group of borrowers. It should be ensured that advances against shares are not used to enable the borrower to acquire or retain a controlling interest in the company / companies or to facilitate or retain inter-corporate investments.
- (vii) No advance against partly paid shares shall be granted.
- (viii) No loans to be granted to partnership/ proprietorship concerns against the primary security of shares and debentures.
- (ix) Whenever the limit/limits of advances granted to a borrower exceeds ₹10 lakh, it should be ensured that the said shares/ debentures/ bonds are transferred in the bank's name and that the bank has exclusive and unconditional voting rights in respect of such shares. Where securities are held in dematerialised form, the requirement relating to transfer of shares in bank's name will not apply and banks may take their own decision in this regard. Banks should, however, avail of the facility provided in the depository system for pledging securities held in dematerialised form under which the securities pledged by the borrower get blocked in favour of the lending bank. In case of default by the borrower and on the bank exercising the option of invocation of pledge, the shares and debentures get transferred in the bank's name immediately.
- (x) Banks may take their own decision in regard to exercise of voting rights and may prescribe procedures for this purpose.
- (xi) Banks should ensure that the scrips lodged with them as security are not stolen/ duplicate/ fak / benami. Any irregularities coming to their notice should be immediately reported to RBI.

- (xii) The Boards of Directors may decide the appropriate level of authority for sanction of advances against shares/ debentures. They may also frame internal guidelines and safeguards for grant of such advances.
- (xiii) Banks operating in India should not be a party to transactions such as making advances or issuing back-up guarantees favouring other banks for extending credit to clients of Indian nationality / origin by some of their overseas branches, to enable the borrowers to make investments in shares and debentures/ bonds of Indian companies.
- (xiv) A uniform margin of 50% shall be applied on all advances against shares/ financing of IPOs/ issue of Guarantees. A minimum cash margin of 25% (within margin of 50%) shall be maintained in respect of guarantees issued by banks for capital market operations. These margin requirements will also be applicable in respect of bank finance to stock brokers by way of temporary overdrafts for DVP transactions.

25.9.4 Advances against Shares/Bonds/Debentures to Individuals

Purpose of Loan: Loan against shares, debentures and bonds may be granted to individuals to meet contingencies and personal needs or for subscribing to new or rights issues of shares/ debenture / bonds or for purchase in the secondary market, against the security of shares/ debentures/ bonds held by the individual.

Ceiling on Loan: Loans against security of shares, convertible bonds, convertible debentures and units of equity oriented mutual funds to individuals from the banking system should not exceed the limit of ₹ 10 lakh per individual if the securities are held in physical form and ₹ 20 lakhs per individual if the securities are held in demat form.

Preventing Collusive Action: Such loans are meant for genuine individual investors and banks should not support collusive action by a large group of individuals belonging to the same corporate or their inter-connected entities to take multiple loans in order to support particular scrips or stock-broking activities of the concerned firms. Such finance should be reckoned as an exposure to capital market.

Lending Policy: Banks should formulate, with the approval of their Board of Directors, a Loan Policy for granting advances to individuals against shares, debentures, and bonds keeping in view the RBI guidelines. Banks should obtain a declaration from the borrower indicating the extent of loans availed of by him from other banks as input for credit evaluation. It would also be necessary to ensure that such accommodation from different banks is not obtained against shares of a single company or a group of companies. As a prudential measure, banks may also consider laying down appropriate aggregate sub- limits of such advances.

Margin Requirements: Banks should maintain a minimum margin of 50 percent of the market value of equity shares / convertible debentures held in physical form. In the case of shares / convertible debentures held in dematerialised form, a minimum margin of 25 percent should be maintained. These are minimum margin stipulations and banks may stipulate higher margins for shares whether held in physical form or dematerialised form. The margin requirements for advances against preference shares / non-convertible debentures and bonds may be determined by the banks themselves.

25.9.5 Financing of Initial Public Offerings (IPOs)

Banks may grant advances to individuals for subscribing to IPOs. Loans/advances to any individual from the banking system against security of shares, convertible bonds, convertible debentures, units of equity oriented mutual funds and PSU bonds should not exceed the limit of ₹ 10 lakh for subscribing to

IPOs. The corporates should not be extended credit by banks for investment in other companies' IPOs. Similarly, banks should not provide finance to NBFCs for further lending to individuals for IPOs. Finance extended by a bank for IPOs should be reckoned as an exposure to capital market. Follow-on Public Offers (FPOs) will also be included under IPO.

25.9.6 Bank finance to Assist Employees to Buy Shares of their Own Companies

Banks may extend finance to employees for purchasing shares of their own companies under Employees Stock Option Plan (ESOP)/reserved by way of employees' quota under IPO to the extent of 90% of the purchase price of the shares or ₹ 20 lakh, whichever is lower. Finance extended by banks for ESOPs/employees' quota under IPO would be treated as an exposure to capital market within the overall ceiling of 40 per cent of their net worth. These instructions will not be applicable for extending financial assistance by banks to their own employees for acquisition of shares under ESOPs/ IPOs, as banks are not allowed to extend advances including advances to their employees/ Employees' Trusts set up by them for the purpose of purchasing their own banks' shares under ESOPs/IPOs or from the secondary market. This prohibition will apply irrespective of whether the advances are secured or unsecured.

Banks should obtain a declaration from the borrower indicating the details of the loans/advances availed against shares and other securities specified above, from any other bank/s in order to ensure compliance with the ceilings prescribed for the purpose.

25.9.7 Advances Against Shares to Stock Brokers & Commodity Brokers

Banks are free to provide credit facilities to stockbrokers and market makers on the basis of their commercial judgment, within the policy framework approved by their Boards. Banks shall grant advances only to share and stock brokers registered with SEBI and who comply with capital adequacy norms prescribed by SEBI / Stock Exchanges. These entities may be provided need based overdraft facilities / line of credit against shares and debentures held by them as stock-in-trade. A careful assessment of need based requirements for such finance should be made taking into account the financial position of the borrower, operations on his own account and on behalf of clients, income earned, the average turnover period of stocks and shares and the extent to which the broker's funds are required to be involved in his business operations. The securities lodged as collateral should be easily marketable.

Banks may grant working capital facilities to stock brokers registered with SEBI and who have complied with capital adequacy norms prescribed by SEBI / Stock exchanges to meet the cash flow gap between delivery and payment for DVP transactions undertaken on behalf of institutional clients viz. FIs, FIIIs, mutual funds and banks, the duration of such a facility will be short and would be based on an assessment of the financing requirements keeping in view the cash flow gaps, the broker's funds required to be deployed for the transaction and the overall financial position of the broker.

Margin Requirements: A uniform margin of 50 per cent shall be applied on all advances / financing of IPOs / issue of guarantees on behalf of share and stockbrokers. A minimum cash margin of 25 per cent (within the margin of 50%) shall be maintained in respect of guarantees issued by banks for capital market operations. The above minimum margin will also apply to guarantees issued by banks on behalf of commodity brokers in favour of commodity exchanges viz. National Commodity & Derivatives Exchange (NCDEX), Multi Commodity Exchange of India Ltd. (MCX) and National Multi Commodity Exchange of India Ltd. (NMCEIL), in lieu of margin requirements as per the commodity exchange regulations. These margin requirements will also be applicable in respect of bank finance to stock brokers by way of temporary overdrafts for DVP transactions.

Guarantees to Stock Exchanges: Banks may issue guarantees on behalf of share and stock brokers/ commodity brokers in favour of stock exchanges in lieu of security deposit to the extent it is acceptable in the form of bank guarantee as laid down by stock exchanges. Banks may also issue guarantees in lieu of margin requirements as per stock exchange regulations. The bank should assess the requirement of each applicant borrower; observe usual and necessary safeguards including the exposure ceilings.

However, in order to avoid any nexus emerging between inter-connected stock broking entities and banks, the Board of each bank should fix, within the overall ceiling of 40 percent of their net worth as on March 31 of the previous year, a sub-ceiling for total advances to –

- (i) all the stockbrokers and market makers (both fund based and non-fund based, i.e. guarantees); and
- (ii) to any single stock broking entity, including its associates/inter-connected companies.

Further, banks should not extend credit facilities directly or indirectly to stockbrokers for arbitrage operations in Stock Exchanges.

25.9.8 Bank Finance for Market Makers

Need based finance to meet the genuine credit requirements of approved Market Makers is permitted. They should follow the guidelines given below, besides any internal policies framed by the banks:

- (a) Market Makers approved by stock exchange can be financed by scheduled commercial banks.
- (b) Market Making may be for equity, debt securities, and State and Central Government securities.
- (c) Need based working capital requirements to be assessed based on the Market Making operations using commercial judgment.
- (d) A uniform margin of 50 per cent shall be applied on all advances / financing of IPOs / issue of guarantees on behalf of market makers. A minimum cash margin of 25 per cent (within the margin of 50%) shall be maintained in respect of guarantees issued by banks for capital market operations.
- (e) Banks may accept, as collateral for the advances to the Market Makers, scrips other than the scrips in which the market making operations are undertaken.
- (f) Banks should ensure that advances provided for Market Making are not diverted for investment in shares other than the scrip earmarked for Market Making purpose.

25.9.9 Bank Finance for Margin Trading

Banks may extend finance to stockbrokers for margin trading. The Board of each bank should formulate detailed guidelines for lending for margin trading, subject to the following parameters:

- (a) The finance extended for margin trading should be within the overall ceiling of 40% of net worth prescribed for exposure to capital market.
- (b) A minimum margin of 50 per cent should be maintained on the funds lent for margin trading.
- (c) The shares purchased with margin trading should be in dematerialised mode under pledge to the lending bank. The bank should put in place an appropriate system for monitoring and maintaining the margin of 50% on an ongoing basis.
- (d) The bank's Board should prescribe necessary safeguards to ensure that no "nexus" develops between inter-connected stock broking entities/ stockbrokers and the bank in respect of margin trading. Margin trading should be spread out by the bank among a reasonable number of stockbrokers and stock broking entities.

25.9.10 Loan Policy for Granting Advances to Stock Brokers and Market Makers

Each bank should lay down a detailed loan policy for granting advances to Stock Brokers and Market Makers and also a policy for grant of guarantees on behalf of brokers. It should cover the general guidelines, and also following aspects:

- Purpose and use of such advance / guarantees
- Pricing of such advances
- Control features that specifically recognise the unique characteristics and risks of such financing
- Method of valuation of collateral
- Frequency of valuation of shares and other securities taken as collateral, at least once in a quarter.
- Guidelines for transfer of shares in bank's name
- Maximum exposure for individual credits (within RBI prescribed prudential Single Borrower Limit). The Board may also consider laying down a limit on the aggregate exposure of the bank to this sector.
- The aggregate portfolio, its quality and performance should be reviewed and put up at least on a half-yearly basis to the Board.

25.9.11 Bank Finance to Individuals Against Shares to Joint Holders or Third Party Beneficiaries

While granting advances against shares held in joint names to joint holders or third party beneficiaries, banks should be circumspect and ensure that the objective of the regulation is not defeated by granting advances to other joint holders or third party beneficiaries to circumvent the above limits placed on loans/advances against shares and other securities specified above.

25.9.12 Advances against Units of Mutual Funds

While granting advances against units of mutual funds, the banks should adhere to the following guidelines:

- (i) The units should be listed in the stock exchanges or repurchase facility for the units should be available at the time of lending.
- (ii) The units should have completed the minimum lock-in-period stipulated in the relevant scheme.
- (iii) The amount of advances should be linked to the Net Asset Value (NAV)/repurchase price or the market value, whichever is less and not to the face value of the units.
- (iv) Advances against units of mutual funds (except units of exclusively debt oriented mutual funds) would attract the quantum and margin requirements as are applicable to advances against shares and debentures. However, the quantum and margin requirement for loans/advances to individuals against units of exclusively debt-oriented mutual funds may be decided by individual banks themselves in accordance with their loan policy.
- (v) The advances should be purpose oriented taking into account the credit requirement of the investor. Advances should not be granted for subscribing to or boosting up the sales of another scheme of a mutual fund or for the purchase of shares/debentures/bonds etc.

25.9.13 Advances to other Borrowers Against Shares/Debentures/Bonds

The question of granting advances against primary security of shares and debentures including promoters' shares to industrial, corporate or other borrowers should not normally arise. However, such securities can be accepted as collateral for secured loans granted as working capital or for other productive purposes from borrowers other than NBFCs. In such cases, banks should accept shares only in dematerialised form. Banks may accept shares of promoters only in dematerialised form wherever demat facility is available.

In the course of setting up of new projects or expansion of existing business or for the purpose of raising additional working capital required by units other than NBFCs, there may be situations where such borrowers may not be able to find the required funds towards margin, in anticipation of mobilising of long-term resources. In such cases, there would be no objection to the banks' obtaining collateral security of shares and debentures by way of margin. Such arrangements would be of a temporary nature and may not be continued beyond a period of one year. Banks have to satisfy themselves regarding the capacity of the borrower to raise the required funds and to repay the advance within the stipulated period.

25.9.14 Bank Loans for Financing Promoters' Contributions

Loans sanctioned to corporates against the security of shares (as far as possible, demat shares) for meeting promoters' contribution to the equity of new companies in anticipation of raising resources, should be treated as a bank's investments in shares which would thus come under the ceiling of 40 percent of the bank's net worth as on March 31 of the previous year prescribed for the bank's total exposure including both fund based and non-fund based to capital market in all forms.

Banks may extend financial assistance to Indian companies for acquisition of equity in overseas joint ventures/ wholly owned subsidiaries or in other overseas companies, new or existing, as strategic investment. Under the refinance scheme of EXIM Bank of India, the banks may sanction term loans on merits to eligible Indian promoters for acquisition of equity in overseas joint ventures/ wholly owned subsidiaries, provided the term loans have been approved by the EXIM Bank for refinance.

The restrictions would also extend to bank finance to activities related to such acquisitions like payment of non-compete fee, etc. These restrictions are also applicable to bank finance to such activities by overseas branches/ subsidiaries of Indian banks.

These loans will also be subject to individual/group of borrowers exposure norms as well as the statutory limit on shareholding in companies, as detailed above.

25.10 ADVANCE AGAINST DEBENTURES

Debenture is a document issued by a company acknowledging its indebtedness to the bearer or a registered holder. A fixed rate of interest is payable at stated periods on debentures. In case of mortgage debentures, a charge is created on the assets of the company issuing such debentures in favour of a trustee who is responsible to take care of the interest of individual investors.

Advantages

- Debentures are easy to sell especially when these are listed.
- They are not subject to violent price fluctuations, as their price is a function of the market interest rate and not market demand.
- They can be transferred at minimum cost.
- Bearer debentures are fully negotiable.
- They rank higher in priority to shares and are generally secured by a charge on the company's property.
- No issuer shall make a public issue of debentures, if as on the date of filing of draft offer document or offer document, the issuer is in default of payment of interest or repayment of principal amount in respect of non-convertible securities, if any, for a period of more than six months.

Disadvantages

- If interest is not paid regularly on the debentures, it would affect its price and marketability.
- If the charge on property of company is not registered, the subsequent charges will get a priority.
- Debentures may have been issued by companies having no power to borrow money.

Precautions

- The nature of the debentures must be ascertained, i.e., whether they are unsecured or secured, the latter being preferred.
- The borrowing powers of the company issuing the debentures must be ascertained and to verify the same has not been exceeded.
- Deposit of the debentures plus a memorandum of deposit is necessary. When in dematerialized form pledge to be created in the demat account.
- The nature and value of the assets charged must be examined frequently.
- The banker must find out whether there are any uncanceled redeemed debentures.

25.11 LOAN AGAINST BOOK DEBTS

Book debts are claims arising out of credit sale. Credit sales can be affected in two ways:

1. by drawing bills on the purchaser, or
2. by debiting the purchaser's account.

The total of the bills outstanding is called 'Bills Receivable' and the total of debit balance in the purchaser's account is called 'Account Receivables'. These account receivables are called book debts. This represents the amount receivable from others on account of trade transactions. Borrowers can take advances by assigning book debts in favour of the bank. Sec. 130 of the Transfer of Property Act permits assignment of actionable claim. The procedure to be followed is:

- The assignment must be in writing and signed by the transferor or his duly authorised agent.
- Notice of the assignment in writing must be given to the debtor; and.
- The assignment may be absolute or by way of charge.

Legal Implication of Assignment

- i. The assignee can sue in his/ their own name and can give a valid discharge.
- ii. The debtor can exercise any right of set off against the assignee, which but for such transfer, he could have exercised against assignor.
- iii. As an actionable claim includes future debts, there can be a valid assignment of future debts as well.

Risks in Lending upon Account Receivables

- (a) The account may be fictitious, old or disputed.
- (b) The integrity of the borrower may not warrant the risk.
- (c) The proceeds may not be turned over to the bank for the credit of the borrower's account.
- (d) To give notice of assignment to every debtor may pose practical difficulty.

Factors to be Considered while Advancing against Book Debts

The integrity of the borrower should be par excellence. Hence, a through investigation of the borrower should be done and only if the credit worthiness of the borrower is found satisfactory, an advance of this nature can be considered. The credit worthiness and standing of the purchasers of the borrower's produce

should be ascertained. Banker should take care to see those accounts receivable against which finance is to be given do not pertain to one buyer only.

Method of Charging the Security

Book debts are charged by way of assignment or hypothecation. While assignment is transfer of the right to the bank to recover the debt, the hypothecation creates an equitable charge or interest on the book debts.

25.11.1 Modes of Financing Book Debts

Book debts can be financed by:

- (a) Factoring
- (b) Forfeiting (outright purchase of book debts)
- (c) Overdraft/ cash credit against hypothecation of book debts.

Guidelines for Book Debts

This facility should be restricted to first class borrowers whose integrity and credit worthiness are beyond question. It should be ensured that the borrower keeps his account in a proper manner and the same are audited regularly. Book debts offered as security should be of those customers, whose record of accomplishment, reputation and status are satisfactory. The borrower should have an effective debt collection and control mechanism. Age of the book debts should not be more than six months. Some banks do not consider book debts of more than three months. The margin on book debt is decided by the lender.

Verification of Book Debts

Sales invoices and debtors ledgers are to be verified, to ascertain the overdue receivable position, over due debtors, reasons for long outstanding, if any, possibility of recovery. Verification of the list of buyers to ascertain whether a major share of the sales is to a single buyer. If so, the market opinion on them is to be obtained. If sales are to sister concerns, the sales invoice and the modalities of transactions effected, verification of realization of such receivables becomes a necessity. It is to be ensured that all the book debts have arisen out of genuine trade transactions and do not comprise lending transactions of the following nature:

- (i) Transactions with sister concerns – not related with business activity.
- (ii) Advance payments, which are not likely to be realised within the period of working capital cycle.
- (iii) Advance payment for capital expenditure.
- (iv) Any other advance payments disguised as debtor arising out of sale transaction.

Other Aspects

Confirmation obtained from debtors for outstanding dues whenever debt arises. Ensuring that the age of the book debts declared is as specified in the terms of sanction. It is to be ensured that the bills discounted are not declared, simply for purposes of arriving at 'Drawing Power'. Verification that bills returned and resubmitted are not financed again.

- (a) The banker must serve notices of assignment on debtors, who must be asked to acknowledge its receipt and confirm:
 - The amount of the debt.
 - Right of set off, if any, available and
 - Whether the debtor has received notice of prior assignments, if any.

- (b) An undertaking from the borrower should be taken that the amount of debts collected directly, if any by him, will be passed on to the banker, towards the loan account and operations in account be controlled to ensure this compliance.
- (c) Where the book debts are as assigned by a company registered under companies Act, the charge must be registered with the Registrar of Companies.

25.12 LOAN AGAINST TERM DEPOSITS

Banks often lend against their own term deposits, such as fixed deposits, cumulative deposits, recurring deposits, etc. The nature of facility granted against the security of term deposits may either be a loan or an overdraft. The nature of charge created while granting this type of loan is a pledge.

25.12.1 Margin and Rate of Interest

Normally, banks lend up to ninety per cent of the deposit amount/accrued value of the deposit. The rate of interest charged on the loan would be one per cent or two per cent above the interest rate offered on the deposit.

The borrower can repay the loan out of his sources on any date before the maturity. If not paid in full before the maturity of the deposits, only the surplus (after recovery of the principal and interest) if any will be paid to the party. If there is any shortfall in the maturity proceeds of deposit, the borrower has to pay the same to the bank.

25.12.2 Deposits in the Name of Minor

Normally, no loan can be granted against the security of deposit receipt standing in the name of a minor. However, if the loan is sought by the guardian for the necessities of the minor depositor, the bank may consider it on getting from the guardian an undertaking letter to the effect that the proceeds of loan would be utilized only for the necessities of the minor depositor.

25.12.3 Other Aspects

Discharge of Receipt and Authority: While granting the facility, banks get the deposit receipt duly discharged by the deposit holder. In case of more than one deposit holder, all of them should discharge the deposit receipt and affix the appropriate revenue stamp. The depositor should execute necessary loan documents. In case of more than one depositor, all of them should execute the documents or one of them on the strength of authorisation letter given by the depositors who is/are not executing the loan documents. In addition to this, the banker should obtain a letter of appropriation which authorises the banker to appropriate the amount of the deposit on maturity or earlier towards the loan amount.

Noting Lien: After granting the advance, the banker must note his lien in the fixed deposit register to avoid payment by mistake and the lien must also be noted on the receipt itself.

Deposits of Proprietary/ Partnership Concerns: Loan given to a sole proprietor against deposits in the name of the proprietary concern should not be treated as a third-party loan, whereas loan granted to a partner against the deposits in the name of the firm should be classified as third-party loan and interest shall be charged at the commercial rate.

Deposits Held at Other Branches: Loan can be granted against deposits receipt of other branches of the same bank. However, before grant of loan, lien should be noted in the records of the deposit branch.

Deposits Held by a Company: Where a loan sought by a company against its deposits in the bank, a board resolution authorising the company to raise the loan should be obtained. The charge of pledge need not be registered with the ROC. No loan can be considered against a deposit held under the 'Capital Gain Scheme' and 'Tax savings scheme'.

Deposits Held by Third Parties: Sometimes a person may approach for advances by offering the fixed deposit receipts held by third parties as security. In such a case, the fixed deposit receipt must be duly discharged by the third party, i.e., FD holder and he should declare in writing the bank's right to hold the deposit receipt as security, and also to adjust the deposit amount towards the loan account on maturity or on default in repayment of instalment if any.

Deposits Held with Other Banks: Loans cannot be granted against fixed deposits held with other banks. This is because the banker who has received the deposit will have a general lien over such monies. Even if the lending bank gives notice to the bank, which has received the deposit, the latter may even refuse to register the lien in favour of the lending bank.

25.13 LOAN AGAINST GOLD ORNAMENTS

Banks give loans against gold ornaments for agricultural as well as for non-agricultural purposes. While granting advances against the gold coins, the bank must ensure, without fail, that the end use of the funds is for approved, and non- speculative purposes. Banks are also required to desist from granting advances to silver bullion dealers which are likely to be utilised for speculative purpose. The nature of charge created while giving this type of loan is a pledge. Some banks allow overdraft facility also against the security of gold ornaments.

Advantages

- Valuation of gold is easy and more precise on account of public knowledge of pricing and standard method of testing and price variation as per purity.
- Gold can be easily stored in secured manner.
- It is durable and is only marginally affected by the atmosphere.
- It can be easily carried and shifted.
- Its price volatility is moderate and typically in times of disturbances gold prices increase.
- It can be easily sold as the jewelers selling gold ornaments are also ready buyers for used ornaments.

Disadvantages

- Ownership of gold ornaments is difficult to establish, especially because in India these are not always accompanied by purchase invoices.
- Valuation of studded jewelry, fashion plated/ coated hollow ornaments are difficult.
- Testing for purity of gold without destructive test may not give precise results.
- Sale of gold jewellery takes place at highly discounted price due to various deductions made by the jewelers from the gross value.
- Gold ornaments handling is risky due to likelihood of loss, theft, etc.

25.13.1 Important Aspects

- (a) Gold loans, to be granted by the bank, must be covered under the policy framed by the bank's Board.

- (b) As per the guidelines in force the loans sanctioned by banks should not exceed 75 per cent of the value of gold ornaments and jewellery.
- (c) The rate of interest depends on the purpose of the loan.
- (d) A loan cannot be given against the security of pure gold/ raw/ bullion gold. However, specially minted gold coins sold by banks cannot be treated as “bullion” or “primary gold”, and hence there is no objection to the banks granting loans against the coins. RBI has advised the banks that while granting advance against the security of specially minted gold coins sold by them, banks should ensure that the weight of the coin(s) does not exceed 50 grams per customer.
- (e) Banks, as per their Board approved policy, may decide upon the ceiling with regard to the quantum of loans that may be granted against the pledge of gold jewellery and ornaments for non-agricultural end uses. The amount of loan to any customer against gold ornaments, gold jewellery and gold coins (weighing up to 50 grams) should be within the Board approved limit.
- (f) The repayment period depends upon the purpose of the loan. If the loan is for agricultural purpose, the repayment period normally coincides with the harvest and marketing of the produce. The tenor of the loans for non-agricultural purposes can be determine depending on te hpurpose. However, if both interest and principal are due for payment at maturity of the loan, it should not exceed 12 months from the date of disbursal.
- (g) On closure of the loan, the ornaments should be returned to the pledgor or his authorised representative.
- (h) Even after the closure of gold loan, the banker can retain the possession of the ornaments, if any other overdue loan is there in the name of the borrower, by exercising the right of general lien.
- (i) In case of a default in repayment of the loan, the bank as pledgee has the right to sell the ornaments pledged, in an auction or by private sale, after giving to the pledgor a reasonable notice of intended sale as per Sec. 176 of the Indian Contract Act; otherwise the bank has to compensate the borrower for the loss suffered. The expenses incurred by the bank in connection with notice of sale, including paper publication if any, shall be recovered from the party.
- (j) Normally, banks appoint appraisers for the purpose of appraising the purity of the gold ornaments.
- (k) The loan granted under this category is subject to NPA norms.

25.13.2 Precautions for Loan against Gold Ornaments

Ownership of Ornaments: The advances should be made to persons after complying with KYC norms. The bank should satisfy itself about the ownership of the gold ornaments etc. before accepting them for pledge. The bank should obtain a declaration from the borrower that the ornaments are his own property and that he has the fullest right to pledge them to the bank. Taking of ornaments for pledge and release thereof to the parties concerned after repayment of the bank’s dues should be done strictly in the authorised official’s room to avoid any risk.

Appraiser: The bank should appoint an approved jeweller or shroff as an appraiser for valuation of the gold ornaments proposed to be pledged to the bank and obtain adequate security from him in the form of cash and indemnity bond. In case there is no approved assessor in the vicinity of a branch, permission of controlling office should be obtained to assign the task to a suitable assessor. Valuation and appraisal of the ornaments in the bank’s premises itself would be ideal but when not possible, the bank should take suitable precautions against their loss while in transit. The bank should send the ornaments to the appraiser in a locked box, one key of which should be kept with the appraiser and the other with the bank. The box should be sent through a responsible member of the staff along with the prospective borrower. The placing of ornaments in the box at both the ends should be done in the presence of the employee

carrying the ornaments to the appraiser and the borrower. The bank should take a suitable insurance cover for loss of the ornaments while in transit.

Valuation Report: The gold ornaments are accepted based on the valuation certificate of the appraiser, which should clearly indicate the description of the ornaments, their finesse, and the gross weight of the ornaments, net weight of the gold content exclusive of stones, alloy, strings, fastenings and the value of the gold at the prevailing market price. Loans are given only on the basis of gold content of ornaments. Labour charges should not be considered. The valuation report should be duly signed by the appraiser which should be kept along with the loan documents by the bank.

Hallmarked Jewellery: Preference should be given to hallmarked jewellery for granting advances. As granting of advances against the security of such hallmarked jewellery is safer and easier, banks while considering granting advances against jewellery, should keep in view the advantages of hallmarked jewellery and decide on the margin and rates of interest thereon. Each bank adopts its own policy in this regard.

Basis of Valuation: The amount of loan on gold ornaments depends upon the market value and purity of the gold. As the valuation per gram keeps changing as a result of market fluctuations, the branch should refer to the rates circulated by controlling office. In order to standardise the valuation and make it more transparent to the borrower, RBI has advised that gold jewellery accepted as security/collateral will have to be valued at the average of the closing price of 22 carat gold for the preceding 30 days as quoted by the Indian Bullion and Jewellers Association Ltd. [formerly known as the Bombay Bullion Association Ltd. (BBA)]. If the gold is of purity less than 22 carats, the bank should translate the collateral into 22 carat and value the exact grams of the collateral. In other words, jewellery of lower purity of gold should be valued proportionately. Bank may also use the historical spot gold price data publicly disseminated by a commodity exchange regulated by SEBI on a consistent manner as per bank's Board approved policy.

Record of Security: The full name of the borrower, his residential address, date of advance, amount and description of the ornaments in detail should be recorded in the gold ornaments register which should be checked and initialed by the Manager.

Custody of Ornaments: The ornaments belonging to each borrower (or articles of each loan) together with a list indicating the description of ornaments, gold loan account number, name of party, etc. should be kept separately in small cloth bags/ or proper plastic bags duly sealed. A tag indicating loan account number and name of the party should be tied to the bag to facilitate identification. The bags should be arranged in trays according to loan account numbers and kept in the strong room or fire proof safes under joint custody.

Period: The period of advance against gold ornaments should be generally restricted to 1 year but in case of demand loan/term loan it can be up to 60 months.

Margin: Adequate margin on the market value should be maintained. The bank should collect interest on advances promptly. In no circumstances should it allow to water down the margin by debiting the interest accrued to the loan account. Loans (including bullet repayment loans) for non-agricultural purposes should not exceed 75% of the value of gold ornaments and jewellery, as per RBI guidelines. As the LTV ratio is computed against the total outstanding in the account, including accrued interest, and current value of gold jewellery accepted as security/collateral, different banks decide on the LTV ratio of lower than 75%. Branches should go by the LTV ratio as provided in their bank's policy.

Return of Ornaments: On repayment of the loan together with the interest payable in the account, the ornaments should be returned to the borrower and his receipt obtained in token of having received the ornaments.

Part Release: While allowing part release of the ornaments against part repayment of the loan, care should be taken to ensure that the value of the left-over ornaments is sufficient to cover the outstanding balance with the margin prescribed in the account.

Delivery to third Parties: Bank should avoid delivery of the gold ornaments to third party but in special cases, these can be delivered to third party. When the ornaments are delivered to third parties, a letter of authority from the borrower and subsequent confirmation of the borrower should be obtained. The letter of authority should contain an undertaking by the borrower, absolving the bank of any responsibility in the event of dispute or loss arising from the delivery of the ornaments to the party named therein. The receipt of the third party should be obtained on the letter of authority as well as in the gold loan ledger.

Default: When the borrower fails to repay the loan on the due date, a notice calling upon him to repay the loan within a specified time should be given and if no response is received, a reminder should be sent by registered post informing the borrower that the ornaments would be auctioned and after adjusting the sale proceeds against the outstanding dues to the bank, the balance, if any, would be paid to the borrower against his receipt.

Re-pledge of Ornaments: It is not advisable to make advances against repledge of ornaments as this facility is likely to be misused for financing moneylenders, which is not a desirable activity.

Insurance: The jewels pledged to the bank should be insured for the appraised value against the risk of burglary. If banks store the pledged jewels in fire-proof strong rooms, insuring them against fire may not be necessary. Banks may take blanket insurance policy covering cash, jewels and other valuables and also covering all types of risks.

Verification: Surprise verification of the packets containing gold/silver ornaments by an officer other than the joint custodian be undertaken and should be recorded in a separate register with necessary details.

25.13.3 Bullet Repayment of Loans

Bullet repayment of loans is also permitted against pledge of gold ornaments and jewellery for other than agricultural purposes subject to the following guidelines:

- (i) The amount of loan sanctioned should not exceed ₹2.00 lakh at any point of time.
- (ii) The period of the loan shall not exceed 12 months from the date of sanction.
- (iii) Interest will be charged to the account at monthly rests but will become due for payment along with principal only at the maturity.
- (iv) Banks should prescribe a minimum margin to be maintained in case of such loans and accordingly, fix the loan limit taking into account the market value of the security (gold ornaments), expected price fluctuations, interest that will accrue during the tenure of the loan etc.
- (v) The account would be classified as Non-Performing Asset (sub-standard category) even before the due date of repayment, if the prescribed margin is not maintained.
- (vi) Banks shall recognise interest income on such loans in their profit and loss account only on collection.
- (vii) Such loans shall also be governed by other extant norms pertaining to income recognition, asset classification and provisioning which shall be applicable once the principal and interest become overdue.

25.14 SUPPLY BILLS

A supply bill arises in relation to transactions with Government and Public Sector Undertakings. A party might have taken a contract for execution and he is entitled for progress payment-based on work done, for which he has to submit bills in accordance with the terms and conditions of the contract. Similarly, parties who have accepted tenders for supply of goods are entitled for payments on the supply of goods for which they submit bills in accordance with the terms of contract. These bills are known as 'Supply Bills'.

25.14.1 Procedure to be followed in Respect of Supply Bills

The supplier sends the goods and then produces documents like railway receipt or bill of lading as evidence of the dispatch of goods. These goods must be inspected by an appropriate authority and the supplier should obtain an inspection note. In the case of contracts, obtaining an engineer's certificate regarding the work done is required.

The supplier or the contractor, as the case may be, prepares the bill for obtaining payment. Government departments take quite some time to verify the bills and pass them for payment. Therefore, the supplier or contractor submits these bills together with the inspection note or engineer's certificate to the appropriate Government department through the banker and requests the banker for a requisite advance against such bills. The railway receipt is sent direct to the department, but the number and other particulars of the railway receipt are entered in the supply bills.

It must be noted that these bills do not enjoy the status of negotiable instruments. They are in the nature of debts, which can be assigned in favour of the banker for payment, after affixing a revenue stamp for having received the amount. The banker should also obtain a letter from the supplier or contractor requesting the appropriate department to make the payment direct to the banker.

25.14.2 Risks Involved in Advancing against Supply Bills

Although the advance is self-liquidating in nature, in certain cases it can take quite a long time before the advance is realised because of the administrative and other Governmental procedures. It is virtually a clean advance and the bank may not realise the full amount, because of the possibility of counter claim or the right of set-off by the Government Department, as the charge is only by way of an assignment. Sometimes the Government may not pass the bills for full amount because of the unsatisfactory quality of goods or defective work done by the contractor or delay in completion of the work.

25.14.3 Precautions to be taken by the Banker

Advance against supply bills can be made only to borrowers who have sufficient experience in Government business and Government regulations. The contract between the supplier and Government Department should be scrutinised by the banker so as to know the volume of transaction, period of supply, rates agreed upon and other terms and conditions. The Government will not pass the bills unless there is faithful adherence to the terms and conditions by the supplier.

The banker should obtain an irrevocable power of attorney from the supplier favouring the banker to receive the money. The same should be registered with the appropriate Government Department. The banker should obtain the inspection note or the engineer's certificate along with the bills. There should be no adverse remarks on the inspection report regarding the quality and quantity of the goods.

There are two types of bills that are usually given by the suppliers. They are:

- (i) Interim bills against which the Government pays 80–85 per cent of the amount.
- (ii) Final bill for the balance of 15–20 per cent that will be paid after complete verification of goods at the point of destination. Because of the delay involved in the settlement of final bills, banks should prefer the interim bill for advancing and the final bill for collection.

Banker must reserve the right of demanding the repayment of advance, if the bills remain unpaid for a specific period.

25.15 VEHICLE FINANCE

Vehicles are being financed by banks for personal use as also for commercial purposes viz. for transport operators. Various aspects connected with vehicle loan to individuals have been discussed in section 24.11.2. In respect of financing transport operators for acquisition of vehicles certain aspects assume significance. Vehicles have several distinctive features that affect their desirability as a security for loan. Their valuation is easier as these are made public by the manufacturer. They are durable though they are prone to accident. Being mobile they may be difficult to trace if the borrower plays truant. The ownership of vehicles is registered with the Regional Transport Authority making its ownership definite and transfer without the owner's consent difficult. Vehicles are charged as security through hypothecation. The lender's charge is registered with the Regional Transport Authority (VAHAN). It makes it difficult for the security to be charged to another lender when a prior charge subsists. On taking possession of the vehicle the lender has the right to dispose the vehicle for recovery of its dues. The value of a vehicle depreciates quickly and hence the security cover available depletes rapidly. Therefore, the loan against vehicle should be for a tenor less than the utility life of the vehicle say 3 to 5 years.

25.16 LET US SUM UP

An unsecured loan is one for which the banker has to rely upon the personal security of the borrower. Secured loans are antithesis to unsecured loans. Various methods of securing a loan are pledge, hypothecation, mortgage and assignment of debts of the borrower. The effectiveness of a security offered to a banker would largely depend on the nature of the security, which includes its marketability, valuation and other economic factors and certain legal aspects, like the borrower's title, existing encumbrance or liability attached to the security. Various kinds of normally acceptable securities include land/real estate, stocks and shares, debentures, goods, life insurance policies, book debts, fixed deposit receipts and supply bills.

The securities depending on their nature have various advantages and disadvantages. The banker however, has to verify the worth of the security and its enforceability, before accepting it. Of all the kinds of security, fixed deposit receipt of the bank is the best and most reliable compared to other forms of security. The method of creation of a charge on these securities varies according to the type. The security of goods can be created either by pledging the goods directly or by pledging the title to goods, which in turn is a pledge of the goods or by charge by way of hypothecation.

25.17 KEYWORDS

Immovable property, Goods, Inspection of goods, Documents of title to goods, Trust Receipt, Shares, Book debts, Supply bills, Guarantee, Principal Debtor, Right of subrogation; Preference Shares; Equity Share; Debenture; Documents of Title to Goods; Life insurance Policy; Trust Receipt; Warehouse Receipt

25.18 CHECK YOUR PROGRESS

1. The nature of charge created while advancing against LIC policies is _____.
 (a) assignment (b) lien
 (c) pledge (d) set-off
2. Documents of title to goods has been defined in _____.
 (a) Indian Contract Act (b) Negotiable Instruments Act
 (c) Transfer of Property Act (d) Sale of Goods Act.
3. In the terms of Section 19(2) of the Banking Regulation Act, 1949, 'no banking company shall hold shares in any company, whether as pledgee, mortgagee or absolute owner, of an amount exceeding thirty per cent of the paid-up share capital of that company or thirty per cent of its _____ whichever is less'. Shares held in a demat form should also be included for the purposes of determining the exposure limit.
 (a) own paid up share capital and reserves (b) tangible net worth
 (c) risk weighted assets (d) paid-up capital
4. Loans against the security of shares, debentures and PSU bonds to individuals should not exceed the limit of _____ per individual borrower, if the securities are held in the demat form.
 (a) ₹ 10 lakh (b) ₹ 15 lakh
 (c) ₹ 20 lakh (d) ₹ 50 lakh
3. Loan against minor's term deposit _____.
 (a) can be granted if the documents are signed if the minor has completed the age of 14 years
 (b) cannot be granted under any circumstances as the minor does not have the contractual capacity
 (c) can be granted to the guardian of the minor, if it is for the necessities of the minor
 (d) can be granted only with the permission of the Court.
4. LTV ratio in case of loan against Gold jewellery is _____.
 (a) 50% (b) 75 %
 (c) 100 % (d) 85 %

25.19 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (a), 2. (d), 3. (a), 4. (c), 5. (c), 6. (b).

UNIT 26

DIFFERENT MODES OF CHARGING SECURITIES

STRUCTURE

26.0 Objectives

26.1 Introduction

26.2 Meaning and Essentials of a Contract

26.2.1 Meaning of Contract

26.3 Contract of Agency

26.4 Contract of Bailment

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26.5.1 Assignment

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26.6 Registration of Charges

26.6.1 What is a Charge?

26.6.2 Registration of Charges with ROC

26.7 Let Us Sum Up

26.8 Keywords

26.9 Check Your Progress

26.10 Answers to 'Check Your Progress'

26.0 OBJECTIVES

After studying this Unit, you will –

- Learn about Law of Contract
- Know about Contract of Agency
- Know about Bailment
- Learn about Transfer of Property Act
- Understand types of charges on security

26.1 INTRODUCTION

Banks tend to safeguard their advances by taking different kinds of securities. The main purpose of taking a security is to fall back on it in case the loan is defaulted. Banks take movable properties, immovable properties or a debt as security for a loan. The method of creating charge over a property depends upon the nature of property and nature of charge. For example, when a bank gives a loan against the security of gold ornaments, it takes the possession of the ornaments whereas when it advances against the security of a vehicle or a house property, the bank does not take physical possession.

An asset becomes a security for a credit facility based on agreements between the lending bank and the borrower in accordance with the relevant law. This makes the security legally enforceable as per the provisions of the applicable law. The Indian Contract Act, 1872 mainly contains several provisions for creating a lender's charge on most of the assets as security for the credit facility extended to the borrower. Another law that contains important provisions for creation of charge especially on immovable properties is the Transfer of Property Act, 1882.

Charges are required to be registered as per the provisions in various laws, viz. The Companies Act, 2013; The Registration Act, 1908; and SARFAESI Act.

26.2 MEANING AND ESSENTIALS OF A CONTRACT

The term contract is defined under section 2(h) of the Indian Contract Act 1872 which says that a contract is an agreement enforceable by law. The law of contract constitutes the most important branch of commercial law. It affects the entire trade, commerce and industry in the country. For banking services, law of contract is relevant for various activities, especially lending. Various agreements between a bank and a borrower are governed by the law of contract. Similarly, guarantees or letters of credit issued by a bank are also governed by the law of contract. In India, the law relating to contracts is governed by the Indian Contract Act, 1872. The Act is broadly divisible into two parts. Part one describes the general principles of a contract which are applicable to all types of contracts. The second part deals with special types of contracts, namely indemnities, guarantees, etc.

26.2.1 Meaning of Contract

Contract means an agreement enforceable by law. It has two major constituents:

1. An agreement between two persons or more.
2. The agreement must be enforceable by law (i.e. the rights and obligations arising out of it), which means:
 - (i) It is made by free consent of all the parties;
 - (ii) It is made for a lawful consideration;

(iii) It is made with a lawful object ;and

(iv) It is not declared as void expressly in the Indian Contract Act.

All agreements are contracts if they are made by the free consent of the parties, competent to contract, for a lawful consideration and with a lawful object. Therefore –

Contract = Agreement + Enforceability.

Thus, all contracts are agreements but all agreements are not necessarily contracts.

A. Key Components to Form a Contract

When one person signifies to another person, his willingness to do or not to do something, with a view to obtaining the consent of that other person, he is said to make a *proposal*.

When a person to whom the proposal is made, signifies his assent (consent), the proposal is said to be *accepted*.

A proposal becomes a *promise* when it is accepted.

The person making the proposal is called the '*promisor*'. The person accepting the proposal is called '*promisee*'.

B. Essentials of a Valid Contract

- (a) *Proposal and Acceptance*: There must be a lawful proposal by one party and the other party must accept the proposal. When a proposal is accepted it becomes a promise. Thus, an agreement is an accepted proposal.

A proposal/offer is to be distinguished from invitation to offer on the basis of intention of the person making it. A proposal/offer requires only an acceptance to convert it into a promise. However, an invitation to offer, like in case of a bid, requires offers to be sent against it.

Illustration

- (a) A proposes by a letter to B to sell his car for ₹ 10,000. This is known as a proposal. A is the promisor. If B accepts the proposal then he becomes the promisee. This results into a contract.
- (b) A letter asking for quotation of goods is an invitation to offer. When a quotation is being sent, an offer is being made to buy goods at the quoted price. In case the quotation is accepted by placing an order a promise is being made to pay the price on the consideration that the seller would deliver the specified goods.
- (b) *An Agreement may be Oral or Written*: While valid contracts can be under oral agreements, under certain laws an agreement is required to be in writing only and is also required to be registered and attested. If such formalities are not complied with, then the agreement cannot be enforced before a court of law. This applies in the case of sale or mortgage of immoveable property, lease, etc.
- (c) *Consideration*: There must be a lawful consideration for both the parties to enter into an agreement. Consideration here means 'something in return'. Hence, when both (or more) parties in an agreement give something to one another and get something in return, then the agreement becomes enforceable at law.

The Contract Act defines consideration as under:

When, at the desire of the promisor, the promisee or any other person,

- (i) has done or abstained from doing, or
- (ii) does or abstains from doing, or
- (iii) promises to do or to abstain from doing something.

such act or abstinence or promise is called a consideration for the promise. (abstains means refrains/ avoids)

Every promise and every set of promises, forming the consideration for each other, is an agreement. Promises which form the consideration or part of the consideration for each other are called reciprocal promises. An agreement not enforceable by law is said to be void. An agreement enforceable by law is a contract. An agreement which is enforceable by law at the option of one or more of the parties thereto, but not at the option of the other or others, is a voidable contract. A contract, which ceases to be enforceable by law, becomes void when it ceases to be enforceable.

Illustration

A agrees to sell his car to B provided that B gives ₹ 1 lakh to A. Here, A's promise to sell the car is a consideration for B's promise to pay the money and B's promise to pay the money is a consideration for A's promise to sell the car. These are lawful considerations and the contract is enforceable at law. It has to be remembered that an agreement without consideration is void. (Void means, it is of no legal effect and is not enforceable by law.) However, in the following cases an agreement without consideration is valid:

- (i) An agreement made out of natural love and affection between parties standing in near relation to each other.
- (ii) Which is in writing and registered.

Illustration

Mr A out of his natural love and affection, promises to give to his son B, a sum of ₹ 1000. A puts his promise in writing and registers it. This is a valid contract even though there is no consideration from B.

A promise to compensate a person, who has already done something voluntarily for the promisor (or done something voluntarily, that the promisor was legally bound to do) is enforceable at law.

Illustration

A finds B's watch and gives it to him. B promises to give A a sum of ₹ 100. This is a contract. The agreement must be entered for lawful objects, e.g. it should not be forbidden by law or must not be fraudulent (i.e. to commit a fraud/must not be immoral/must not be opposed to public policy, etc.).

- (d) **Free Consent:** Free consent of the parties to a contract is required. A consent is said to be free when the parties agree to the same thing in the same sense. Consent is said to be free when it is not caused by coercion, as defined in Sec. 15, or undue influence, as defined in Sec. 16, or fraud, as defined in Sec. 17, or misrepresentation, as defined in Sec. 18, or mistake, subject to the provisions of Secs. 20, 21, and 22.

Consent is said to be so caused when it would not have been given but for the existence of such coercion, undue influence, fraud, misrepresentation, or mistake.

When consent to an agreement is caused by undue influence, the agreement is a contract voidable at the option of the party whose consent was so caused. Any such contract may be set aside either absolutely or, if the party who was entitled to avoid it has received any benefit thereunder, upon such terms and conditions as to the court may seem just.

Illustrations

A's son has forged B's name to a promissory note. B under threat of persecuting A's son, obtains a bond from A for the amount of the forged note. If B sues on this bond, the Court may set the bond aside.

A, a money lender, advances ₹ 100 to B, an agriculturist, and, by undue influence induces B to execute a bond for ₹ 200 with interest at 6 per cent per month. The court may set the bond aside, ordering B to repay the ₹ 100 with such interest as may seem just.

- (e) **Capacity to Contract:** The parties to an agreement must be legally competent to enter into a contract. Sec. 11 of the Contract Act lays down that every person is competent to enter into a contract if,
- (i) he has attained the age of majority, and
 - (ii) he is of sound mind, and
 - (iii) he is not disqualified from entering into a contract by any law to which he is subject.

- (f) **Minor's Contracts:** As per Sec. 11 of Indian Contract Act, a minor is a person who has not attained the age of 18 years irrespective whether a guardian is appointed by a court.

An agreement made by minor is void ab initio. The principle behind this is that a minor is not supposed to have a mature judgement and hence, he cannot decide what is good or bad for him. A minor is hence, not liable to perform any promise made by him under any agreement.

The leading case of *Mohiri Bibi vs Dharmodas Ghose* (1903) 30 Cal 1539: 39 IA 114 (PC) settled this law. In this case a minor borrowed a certain sum and as a security to repay it, he gave a mortgage of certain immoveable property. Later on, the minor sued for setting aside the mortgage. The mortgagee demanded the return of the money given by him to the minor. The Court held that the agreement made by the minor was void ab initio and there was no question of refunding the money.

Though the minors are themselves incapable of contracting, there is nothing to prevent their guardian from contracting on their behalf.

C. Contract Act and Banking

All the banking services/procedures/transactions, one way or the other, are the offshoots of the contract act. Banking is a trust based relationship. The relationship between a banker and customer is the transactional relationship and depends on the type of transaction, be that acceptance of deposits from public, lending, investing the money so collected by way of deposits, other services, etc. When money is deposited in a bank, the relationship that is constituted between the banker and the customer is one of debtor and creditor and not one of trustee and beneficiary. The relationship between bank and customer becomes that of creditor-debtor when customer has borrowed money from the bank by way of overdraft, cash credit, demand loan, term loan, bills discounting or any other kind of loan or advance either on secured or unsecured basis. When a bank accepts securities, valuables, bonds, or other documents with the bank for safe custody from a person, the bank, besides becoming trustee, becomes a bailee and the customer is the bailor. When ancillary services rendered by the bank such as remittance, collection of cheques, bills, etc. on behalf of the customers, it is acting as an agent of its customer. In respect of hiring of safe deposit lockers by the bank, the relationship is that of lessor and lessee, etc.

26.3 CONTRACT OF AGENCY

Agent and principal are defined under Section 182 of the Indian Contract Act, 1872. According to the section an agent is a person employed to do any act for another or to represent another in dealings with third persons. The person for whom such act is done, or who is so represented, is called the principal.

When banks collect various financial instruments for their customers, this law comes into force. The authority of the agent is restricted to what is explicitly mentioned by the principal and the agent cannot construe some additional authority.

A. Meaning of Agency

The actual test of agency is as follows:

The person should be authorised to do an act for a person in such a manner, as to bind that person, i.e. to make him answerable for such acts done on his behalf. The agent creates contractual relations between two separate persons when he enters into a contract on behalf of one of the parties.

The contract between the principal and his agent is a contract in itself and that is also governed by the normal rules of contract.

However, no consideration is necessary to create a contract of agency.

B. Authority of an Agent

- (a) **Express/ Implied:** The authority of an agent may be expressed or implied. An authority is said to be **expressed**, when it is given by words spoken or written. An authority is said to be **implied** when it is to be inferred from the circumstances of the case.

Illustration

‘A’ owns a shop in Mumbai and he lives in New Delhi and visits the shop occasionally. The shop is managed by ‘B’ and he is in the habit of ordering goods from ‘C’ in the name of ‘A’ for the shop and makes payments from A’s funds. B has an implied authority from A to order goods from C in the name of A for the purposes of the shop.

- (b) **Extent:** An agent having an authority to do an act, has authority to do every lawful thing which is necessary; in order to do such act. An agent having an authority to carry on a business has authority to do every lawful thing necessary to conduct such business.

Illustration

‘A’ is employed by ‘B’ (residing in London) to recover at Mumbai a debt due to ‘B’. ‘A’ may adopt any legal process necessary for the purpose of recovering the debt and may give a valid discharge for the same.

- (c) **Emergency:** In an emergency, an agent has authority to do all acts to protect his principal from loss as would be done by a person of ordinary prudence, in his own case, under similar circumstances (Sec. 189).

Illustration

‘A’ consigns goods (say eatables) to ‘B’ at Mumbai with directions to send them immediately to ‘C’ at Ahmedabad. ‘B’ may sell the goods at Mumbai if they will not bear the journey to Ahmedabad without getting spoiled.

- (d) **No Delegation:** An agent cannot employ another to perform acts which he has undertaken to perform personally. A sub-agent may be employed if the custom of trade or the nature of agency so requires. A ‘sub-agent’ is a person employed by and acting under the control of the original agent. The agent is responsible to the principal for the acts of the sub-agent. The sub-agent is responsible for his acts to the agent, but not to the principal, except in case of fraud or wilful wrong.
- (e) **Exceeding Authority:** If acts are done by an agent on behalf of the principal without his knowledge or authority, the principal may elect to ratify or to disown such acts. If he ratifies them, the same effects will follow as if they had been performed with his authority. Ratification may be express or implied in the conduct of the person on whose behalf the acts are done.

Illustrations

- (i) A, without authority, buys goods for B. Afterwards B sells them to C on his own account. B's conduct implies a ratification of the purchase made for him by A.
- (ii) A, without B's authority, lends B's money to C. Afterwards B accepts interest on the money from C. B's conduct implies a ratification of the loan.

C. Del Credere Agent

A del credere agent is one who, in consideration of extra remuneration, call del credere commission undertakes that person with whom he enters into contract on the principal's behalf, will be in a position to perform their duties. It is necessary that before a person can claim to be a del credere agent, he must have brought about the contract in question.

A del credere agency is a type of principal-agent relationship wherein the agent acts not only as a salesperson, or broker, for the principal, but also as a guarantor of credit extended to the buyer. If the buyer is unable to pay the bill after the transaction is completed, the del credere agent may become liable for that amount.

D. Termination of Agency

An agency can be terminated by:

- principal revoking his authority or
- agent renouncing (giving up) the business of the agency; or
- business of the agency being completed; or
- either the principal or agent dying or becoming of unsound mind; or
- the principal being adjudicated an insolvent.

E. Agent's Duty in Conducting Principal's Business

- (a) **Directions/ Customs:** An agent is bound to conduct the business of his principal according to the directions given by the principal. In the absence of any such directions, conduct business according to the customs, which prevails in doing business of the same kind at the place where the agent conducts such business. If the agent, acts otherwise and if any loss be sustained, he has to make it good to his principal and if any profit accrues, he must account for it.

Illustrations

- (i) 'A', an agent, engaged in carrying on for 'B', a business, in which, it is the custom to invest from time to time at interest the money which may be in hand, makes such an investment. 'A' must make good to 'B' the interest usually obtained by such investments.
 - (ii) 'B', a broker, in whose business it is not the custom to sell on credit, sells goods of 'A' on credit to 'C', whose credit at the time was very high. 'C', before payment, becomes insolvent. 'B' must make good the loss to 'A'.
- (b) **Accounts:** An agent is bound to render proper accounts to his principal on demand.
 - (c) **Agent Dealing on Own Account:** If an agent deals on his own account in the business of the agency without the consent of the principal, the principal may repudiate the transaction, if any material fact has been dishonestly concealed from him by the agent, or the dealings of the agent have been disadvantageous to him.

Illustrations

- (i) 'A' directs 'B' to sell A's estate. 'B' buys the estate for himself in the name of 'C'. 'A', on discovering that 'B' has bought the estate for himself, may repudiate the sale, if he can show that 'B' has dishonestly concealed any material fact, or that the sale has been disadvantageous to him.
- (ii) 'A' directs 'B' to sell A's estate. 'B', on looking over the estate before selling it, finds a mine on the estate which is unknown to 'A'. 'B' informs 'A' that he wishes to buy the estate for himself but conceals the discovery of the mine. 'A' allows 'B' to buy, in ignorance of the existence of the mine. 'A', on discovering that 'B' knew of the mine at the time he bought the estate, may either repudiate or adopt the sale at his option.

F. Agent's Remuneration

- (a) **Becomes Due:** In the absence of any special contract, payment for the performance of any act is not due to the agent by the principal until the completion of such act; but an agent can detain money received by him on account of goods sold, towards his remuneration even if all the goods consigned to him for sale are not sold.
- (b) **Misconduct:** An agent who is guilty of misconduct is not entitled to any remuneration in respect of that part of the business which he has not conducted properly.

Illustrations

- (i) 'A' employs 'B' to recover ₹1,00,000 from 'C', and to lay it out on good security. 'B' recovers the ₹1,00,000 and lays out ₹90,000 on a good security, but lays out ₹10,000 on security which he ought to have known to be bad, whereby 'A' loses ₹2,000. 'B' is entitled to remuneration for recovering the ₹1,00,000 and for investing the ₹90,000. He is not entitled to any remuneration for investing the ₹10,000, and he must make good the ₹2,000 to 'B'.
- (ii) A employs B to recover ₹1,000 from C. Through B's misconduct the money is not recovered. B is entitled to no remuneration for his services and must make good the loss.
- (c) **Lien on Principal's Property:** In the absence of anything contrary in the contract, an agent is entitled to retain goods, papers, and other property of the principal which is received by him, until the amount due to the agent for commission, disbursements and services in respect of the same has been paid or accounted for to him.

G. Agent's Acts

- (a) **Lawful Acts:** The principal is bound to indemnify the agent against the consequences of all lawful acts done by the agent in exercise of the authority conferred upon him.

Illustrations

- (i) 'B', at Singapore under instructions from 'A' of Calcutta, contracts with 'C' to deliver certain goods to him. 'A' does not send the goods to 'B', and 'C' sues 'B' for breach of contract. 'B' informs 'A' of the suit, and 'A' authorises him to defend the suit. 'B' defends the suit, and is compelled to pay damages and costs, and incurs expenses. 'A' is liable to 'B' for such damages, costs and expenses.
- (ii) 'B', a broker at Calcutta, by the orders of 'A', a merchant there, contracts with 'C' for the purchase of ten casks of oil for 'A'. Afterwards 'A' refuses to receive the oil, and 'C' sues 'B'. 'B' informs 'A', who repudiates the contract altogether. 'B' defends, but unsuccessfully, and has to pay damages and costs and incurs expenses. 'A' is liable to 'B' for such damages, costs and expenses.

- (b) **Indemnity for Consequences:** The principal is liable to indemnify the agent against the consequences of acts done by him in good faith, though it may cause an injury to the rights of third person.

Illustrations

- (i) A, a decree-holder and entitled to execution of B's goods requires the officer of the Court to seize certain goods, representing them to be the goods of B. The officer seizes the goods, and is sued by C, the true owner of the goods. A is liable to indemnify the officer for the sum which he is compelled to pay to C, in consequence of obeying his directions.
 - (ii) B, at the request of A, sells goods in the possession of A, but which, A had no right to dispose of. B does not know this, and hands over the proceeds of the sale to A. Afterwards C, the true owner of the goods, sues B and recovers the value of the goods and costs. A is liable to indemnify B for what he has been compelled to pay to C, and for B's own expenses.
- (c) **Fraud by Agent:** A principal is liable for the agent's fraud acting within the scope of his authority whether the fraud is committed for the benefit of the principal or for the benefit of the agent

26.4 CONTRACT OF BAILMENT

As per section 148 in The Indian Contract Act, 1872, 'bailment' is the delivery of goods by one person to another for some purpose, upon a contract that they shall, when the purpose is accomplished, be returned or otherwise disposed of according to the directions of the person delivering them.

The person delivering the goods is called the 'bailor'. The person to whom they are delivered is called the 'bailee'.

The delivery to the bailee may be made by doing anything which has the effect of putting the goods in the possession of the intended bailee or of any person authorized to hold them on his behalf. We come across the applicability of this law in case of pledge facilities granted to borrowers including pledge of jewellery articles and also when we take over the assets of a defaulting borrower in our efforts to recover the bank's dues.

A. Features of Bailment

- (a) **Meaning of Bailment:** The contract under which one person delivers to another certain goods, to be used for a certain purpose, is known as a contract of bailment. Here, the contract will specify the time for which the goods will remain with the person taking them. Also, the person who gives the goods can direct the other, either to return the goods after the requisite time has expired or, direct him to dispose of the goods in a particular manner.

The obligation of a bailee is contractual obligation and arises only from the contract of bailment. If a minor's property is deposited with 'A' in pursuance of a court order by 'B', the minor's guardian, it cannot be said that it is a case of bailment as there does not exist a contractual relationship.

There is a distinction between bailment and deposit. Money deposited in a bank to be credited to the account of the person making payment does not constitute a case of bailment.

In order to constitute bailment, there must be delivery of goods and there must be a contract to return the specific goods by the bailee to the bailor. The essence of bailment is possession. The bailee must return the goods without demand on due date.

- (b) **Disclosure to Bailee:** The bailor is bound to disclose to the bailee faults in the goods bailed (Sec. 150):
- (a) of which the bailor is aware,

- (b) and which materially interfere with the use of them,
- (c) or expose the bailee to extraordinary risk;

and if he does not make such disclosure, he is responsible for damage arising to the bailee directly from such faults. If the goods are bailed for hire, the bailor is responsible for any damage whether he was aware of the existence of such faults in the goods bailed or not.

Illustrations

- (a) A lends a horse, which he knows to be vicious, to B. He does not disclose the fact that the horse is vicious. The horse runs away. B is thrown and injured. A is responsible to B for damage sustained.
- (b) A hires a carriage of B. The carriage is unsafe, though B is not aware of it and A is injured. B is responsible to A for the injury.
- (c) ***Taking Care of Goods:*** In all cases of bailment, the bailee is bound to take care of the goods bailed to him as he would do for his own goods. The bailee (in the absence of any special contract) is not responsible for the loss, destruction or deterioration of the thing bailed if he takes such care. On the other hand, if the bailee does anything different or inconsistent with what was supposed to be done with the goods, the bailor can demand that the bailee must pay the damage suffered as a result of these acts.

A contract of Bailment is voidable at the option of the bailor, if the bailee does any act with regard to the goods bailed, inconsistent with the conditions of the bailment.

If the bailee makes any use of the goods bailed, which is not according to the conditions of the bailment, he is liable to make compensation to the bailor for any damage arising to the goods from or during such use of them.

Illustrations

- (a) A lends a horse to B for his own riding only. B allows C, a member of his family, to ride the horse. C rides with care but the horse accidentally falls and the horse is injured. B is liable to make compensation to A for the injury done to the horse.
- (b) A hires a horse in Mumbai from B to go to Lonavla. A rides with due care but marches to Khandala instead. The horse accidentally falls and is injured. A is liable to make compensation to B for the injury to the horse.
- (d) ***Mixing Goods/ Expenses With Consent:*** If the bailee (with the consent of the bailor), mixes the goods of the bailor with his own goods, the bailor and the bailee shall have an interest, in proportion to their respective shares, in the mixture thus produced.
- (e) ***Mixing Goods/ Expenses Without Consent:*** If the bailee, without the consent of the bailor, mixes the goods of the bailor with his own goods and the goods can be separated or divided, the property in the goods remain with the parties respectively. The bailee is bound to bear the expense of separation or division, and any damage arising from the mixture.

Illustration

A bails 100 sacks of cotton marked with a particular mark to B. B without A's consent mixes the 100 sacks with other sacks of his own bearing a different mark. A is entitled to have his 100 sacks returned and B is bound to bear all the expenses incurred in the separation of the sacks and any other incidental damage.

- (f) ***Mixing Goods Without Consent (Not Possible to Separate):*** If the bailee, without the consent of the bailor, mixes the goods of the bailor with his own goods in such a manner that it is impossible to separate the goods bailed from the other goods, and deliver them back, the bailor is entitled to be compensated by the bailee for the loss of the goods.

Illustration

A bails a bag of flour worth ₹100 a bag to B. B without A's consent mixes the flour with another flour worth ₹75 a bag. B must compensate A for the loss in value of his flour.

B. Duties of the Bailee with Regard to Goods

- (a) It is the duty of the bailee to return the goods bailed as soon as the time, for which they were bailed has expired or the purpose for which they were bailed has been accomplished.
- (b) The bailee is responsible to the bailor for any loss, destruction or deterioration of the goods if the goods are not returned on time.
- (c) In the absence of any contract to the contrary, the bailee is bound to deliver to the bailor any increase or profit which may have arisen from the goods bailed.

Illustration

A leaves a cow in the custody of B. B agrees to take care of the cow. The cow delivers a calf. B is bound to deliver the calf as well as the cow to A.

C. Rights of Bailee with Regard to Goods

- (a) The bailor is responsible to the bailee for any loss which the bailee may sustain because by reason that the bailor was not entitled to make the bailment or to receive back the goods.
- (b) If the bailor has no title to the goods and the bailee, in good faith delivers them to the bailor or according to the directions of the bailor, the bailee is not responsible to the owner in respect of such delivery.
- (c) If the goods are to be kept or to be carried, or to have work done upon them by the bailee for the bailor, and the bailee is to receive no remuneration, the bailor shall repay to the bailee the necessary expenses incurred by him for the purpose of the bailment.

D. Bailee's Lien

If the bailee has rendered any service involving the exercise of labour or skill in respect of the goods bailed to him, he has a right to retain such goods until he receives due remuneration for the services he has rendered.

Illustrations

- (a) A delivers a rough diamond to B, a jeweller, to be cut and polished which is accordingly done. B is entitled to retain the stone till he is paid for the services he has rendered.
- (b) A gives some cloth to B, a tailor, to make into a coat. B promises to deliver the coat as soon as it is finished and to give a three months credit for the price. B is not entitled to retain the coat till he is paid.

Bankers, factors (financiers who purchase receivables and also offer related services), Attorneys of a High Court and policy brokers can, in the absence of a contract to the contrary, retain any goods bailed to them as a security for a general balance of account. Others do not enjoy such right unless there is express contract to that effect.

26.5 TYPES OF CHARGES

Banks' charge over properties confines itself to one or more of the following seven types of charges.

- | | | |
|-------------------|------------|--------------|
| (a) Assignment | (b) Lien | (c) Set-off |
| (d) Hypothecation | (e) Pledge | (f) Mortgage |
| (g) Appropriation | | |

26.5.1 Assignment

It is a mode of providing security to a banker for an advance. It is transfer of a right, property or a debt. The transferor is called assignor and the transferee assignee.

Borrowers generally assign the actionable claims to the banker as security for an advance. In terms of Sec. 130 of the Transfer of Property Act, the transfer of an actionable claim can be affected only by the execution of an instrument in writing, signed by transferor or by his duly authorised agent. Sec. 3 of the Transfer of Property Act defines an actionable claim as a claim to any debt other than a debt secured by mortgage of immovable property or by hypothecation or pledge of movable property or to any beneficial interest in movable property, not in the possession of the claimant, which the Civil Courts recognise as affording grounds of relief.

The transfer of an actionable claim whether with or without consideration, can be done only by the execution of an instrument in writing signed by the transferor. There is no mandatory requirement of giving notice to the debtor before the transfer of the actionable claim. The transferee of an actionable claim can sue the debtor in his own name without obtaining the transferor's consent and without making him a party to the suit. All the rights and remedies of the transferor vest in the transferee. The transferee of an actionable claim takes it, subject to all the liabilities and equities to which the transferor was subject on the date of the transfer.

Illustration

- (i) A owes money to B. B transfers the debt to C. A is not aware of the same. B then demands the debt from A. A pays B. The payment is valid, and C cannot sue A for the debt.

For the academic interests of the students, a summary of a couple of case laws are stated hereunder:

- (i) **Dena Bank vs Bhikhabhai Prabhudas Parekh and Co. and others 2000 AIR (SC) 3654** - This judgement is regarding issue of priority of dues of Government vis-à-vis the bank dues. The Hon'ble Supreme Court held that crown debts gets priority over other debts. In this case the Court has examined the various provisions of the Sales Tax Act, the Land Revenue Act and the precedents prevailing in India as well as in England and finally come to the conclusion that the debts of the crown (Government) prevail over the others provided there are statutory provisions to that effect in the respective statutes.
- (ii) **Sirpur Paper Mills Ltd v/s The Collector of Central Excise. AIR 1998 SC 1489.** - In this case the Hon'ble Supreme Court held that just because plant and machinery had to be installed in earth for better functioning it does not automatically become immoveable property. Property liable to excise duty. In this case, the issue was whether plant and machinery installed in the earth can be treated as immoveable property whereby the tax burden (excise duty) on such plant and machinery may be avoided. The Court examined the definition of the word immoveable property in the Transfer of Property Act and the other Acts and accordingly gave such verdict.

In banking practice, a borrower may assign the book debt, money due from Government department, and life insurance policies as security for an advance.

As regards the mode of assignment, no particular form or words is necessary for effecting an assignment, if the intention is clear from the language used. An assignment can be absolute or by way of security.

An assignment may be a legal or equitable assignment. A legal assignment is the absolute transfer of an actionable claim, must be in writing and signed by the assignor. The assignor informs his debtor,

also in writing, intimating the assignee's name and address. The assignee also serves a notice on the debtor and seeks his confirmation of balance assigned. If the formality is not fulfilled, the assignment is called an equitable assignment.

Under the provisions of the Insurance Act, a life insurance policy is assignable by an endorsement on the back of the policy or by a separate deed of assignment, but notice of such assignment must be given to the insurer by the assignee or assignor.

26.5.2 Lien

Lien is the right of the banker to retain possession of the goods and securities owned by the debtor until the debt due from the latter is paid. The banker's lien is an implied pledge. A banker acquires the right to sell the goods which came into its possession in the ordinary course of banking business, in case the debt is not paid. Sec. 171 of the Indian Contract Act, 1872 gives to the banker an absolute right of general lien on all goods and securities received by the banker, provided there is no agreement, express or implied, to the contrary. A lien is a statutory right, which does not require any separate agreement. However, when a customer inadvertently leaves a packet containing certain share certificates, life insurance policies, fixed deposit receipts of other banks, etc., while leaving the bank premises, the banker will have no right of lien over those securities because those were not given to the banker in the normal course of banking business.

Negative Lien: It commonly refers to an undertaking given by the borrower to the bank that he will not create any charge over his immovable and moveable properties and assets including uncalled capital without the prior permission of the bank. A negative lien relates to goods, securities, etc., which are not in the possession of the bank. Negative lien does not require registration with the Registrar of Companies or similar other authorities.

26.5.3 Set-off

Set-off is the statutory right of a debtor to take into account a debt owing to him by a creditor, when claiming a debt due from him to the creditor. Set-off means total or partial merging of a claim of one person against another in a counter claim by the latter against the former. It is in effect, the combining of accounts of the debtor and creditor, to arrive at the net balance payable to one or the other. The right of set-off is a statutory right and can also arise out of an agreement between parties. In the case of a banker, the right of set-off enables him to adjust a debit balance in a customer's accounts, with any balance outstanding to his credit in the books of the bank. In other words, the banker can adjust his claim from the amount that is payable to the customer.

A. Salient Features of Set-off

- (a) Both debts must be for certain sums. A debt-accruing due cannot be set-off against the debt already due.
- (b) The banker cannot set-off the credit balance in the account of guarantor till the liability of the guarantor is determined.
- (c) The credit balance in the current account cannot be set-off against a contingent liability of a bill discounted but not yet due.
- (d) A banker cannot set-off a debt due to him upon a loan account repayable on demand or at a specified date against a credit balance in the current account until the demand is made or due date arrives.
- (e) The parties must be mutually indebted in the same right.

- (f) The credit balance in the partner's account can be set-off against the debit balance of a partnership account since the liability of the partners is joint and several.
- (g) Right of set-off is exercisable between two firms, which have separate names but are composed of same set-of partners.
- (h) The credit balance in the personal account of a sole proprietor can be set-off against the debit balance of the sole proprietary concern and vice versa.
- (i) When the right set-off is available to the bank, lien right cannot apply. These two different rights cannot be exercised simultaneously at the same time.

B. Right of set-off

Automatic right of set-off arises in the following circumstances:

- (a) On the death, insanity or insolvency of the customer
- (b) On the insolvency of a partner of a firm or winding up of a company
- (c) On receipt of a garnishee order
- (d) On receipt of notice of assignment of a customer's credit balance.

The right of set-off available to a banker under different situations can be understood better after going through the following chart.

Deposit in the name of	Loan in the name of	Status of availability of set off right to the banker
Single person	Jointly with others	Available
Partner in a firm	Partnership firm	Available
Single name	Same name	Available
Proprietor	Proprietorship firm	Available
Partnership firm	One of the partners	Not available
Trust	Trustee	Not available
Trustee	Trust	Not available
Dividend account of a company	Loan account of a company	Not available
Minor operated by guardian	Guardian	Not available
Joint account	One of the joint holders	Not available

26.5.4 Hypothecation

Until recently there was no legislative definition of the term 'hypothecation'. This term came to be defined in the SARFAESI Act, 2002. As per Sec. 2 of the Act, the term 'Hypothecation' means a charge in or upon any movable property, existing or future, created by a borrower in favour of a secured creditor, without delivery of possession of the movable property to such creditor, as a security for financial assistance and includes floating charge and crystallization of such charge in to fixed charge on movable property.

The mortgage of movable property is called 'Hypothecation'. It may be described as 'a transaction whereby money is borrowed by the debtor (owner of the goods) on the security of the moveable property without transferring either the property or the possession to the creditor'. Hart describes hypothecation as 'a charge against property for an amount of debt where neither ownership nor possession is passed to the creditor'. Hypothecation differs from pledge because goods remain in the possession of the borrower and are equitably charged in favour of the creditor under documents signed by the borrower. However,

the document provides for a covenant, whereby the borrower agrees to give possession of the goods when called upon to do so by the creditor. Once the possession is given up, the charge becomes transformed into pledge.

Hypothecation differs from mortgage in two respects. Firstly, mortgage relates to immoveable property whereas hypothecation relates to movables. Secondly, in a mortgage, there is transfer of interest in the property to the creditor but in hypothecation there is only obligation to repay money and no transfer of interest.

A. Aspects Related to Hypothecation

- (a) **Facility Limited to Respectable Customers:** Law permits hypothecation of assets as a security by sole proprietorships, partnerships, joint stock companies and even individuals. However, the charge being only equitable without possession, the facility is normally granted to customers of undoubted integrity. There is less risk when such a facility is granted to a company registered under companies Act because of the registration of such a charge with the Registrar of Companies. Such a registration constitutes a constructive notice to the world at large, but such a facility is not available in the case of other forms of business. Security interest created in favour of banks under hypothecation are also registered with CERSAI.
- (b) **Hypothecation for these Cases:** Hypothecation mode is used in situations where the goods or their form keep changing. For instance -
 - (i) When loan is to be raised against work-in-progress, the only way of creating a charge is hypothecation.
 - (ii) It is also done in respect of goods which require constant handling in a factory, e.g. rice mills, oil expellers, etc.
 - (iii) This charge is also convenient, where lending is to be done against goods in a shop or showroom which are required in day-to-day business.
- (c) **Drawbacks of Hypothecation:** While hypothecation is a convenient mode of charge, and in some situations the only feasible mode, there are few drawbacks in it.
 - (i) The fundamental difficulty about this charge is that goods remain in the possession of the borrower and therefore the creditor has no control over such goods. This may give rise to fraudulent dealings in hypothecated goods by the borrower.
 - (ii) The borrower may realise stocks hypothecated and pay to other creditors. He may even sell marketable stocks and keep only obsolete and slow moving stocks for the banker to realise. Thus, erosion of security can take place.
 - (iii) The borrower may hypothecate the same stock with more than one banker or having previously hypothecated, the goods may subsequently be pledged to another creditor.
 - (iv) The realisation of the assets in case of default of payment is a difficult, prolonged and costly affair. As stated earlier, the banker may find only obsolete and slow-moving items.
 - (v) According to Sec. 332 of the Companies Act, 2013, any floating charge on the undertaking or property of the company created within a period of twelve months preceding the commencement of the winding up, becomes invalid under certain circumstances.
- (d) **Precautions in case of Hypothecation:** Although these disadvantages seriously limit the value of hypothecation as a security, the banker can take certain precautions and avoid at least some of the disadvantages. The following precautions are usually taken by banks:

- (i) Banks ensure that the borrower is not enjoying hypothecation facilities from other banks and is confining his borrowings to only one bank. An undertaking to this effect is obtained from the borrower in writing. Banks also ensure that boards are prominently displayed on the premises where the goods are stored stating that the goods are hypothecated to the bank.
- (ii) Where the borrower is a company registered under the Companies Act, the charge by way of hypothecation must be registered within a period of 30 days of its creation, or a further period of another 30 days on payment of fine. Again, another 60 days with permission from ROC. If this is not done, the charge would be void against the liquidator or any other creditor of the company.
- (iii) The banker must obtain periodical statements of stocks with a declaration regarding the borrower's clear title to the goods and the correctness of the quality, quantity and valuation. Banks should not merely be content with the receipt of the stock statements, but should also effectively supervise the goods hypothecated and the financial position of the borrower from time to time. Banks should verify in such an inspection that there is no depreciation in the value of the security or any adverse change in the borrower's financial position. If an inspection discloses such a state of affairs, the banker should take appropriate action immediately.

B. Deed of Hypothecation

While lending against hypothecation of goods, bankers obtain a letter of hypothecation which serves as the hypothecation agreement and contains several clauses to protect the banker's interest under all contingencies. It is a very comprehensive document and contains the following important clauses:

- (i) The request made by the borrower for the grant of accommodation in the form of loan or cash credit on the hypothecation of goods, resulting in the agreement.
- (ii) The description of the goods in a separate statement giving the particulars, quality, rate, quantity, market value and an undertaking that the particulars are true and that the borrowers are the absolute owners of the property and with authority to hypothecate. The statement also declares that the goods are not subject to any lien, claim or charge of any sort.
- (iii) An undertaking that no further charge or encumbrance will be created on the goods and that all money realised by way of sale proceeds or realisation of insurance claims, will be held exclusively as the bank's property and such money will be paid in, to the satisfaction of the balance due and owing on the account kept by the bank in respect of such accommodation.
- (iv) The borrower, whenever required by the bank, must give full particulars of all his assets and of the hypothecated goods. He must, at all times allow the bank or its authorised agent to inspect the hypothecated goods and all records of the borrower. All costs, charges and expenses incurred by the bank in respect of such an inspection are to be paid to the bank on demand, failing which, the amount and interest thereof will be a charge upon the hypothecated goods.
- (v) The borrower undertakes to insure the goods against risks specified by the banker at his cost.
- (vi) The policy so taken is to be endorsed and assigned in favour of the bank.
- (vii) The borrower undertakes to maintain the agreed margin of security at all times during the continuance of the security.
- (viii) The borrower undertakes to pay all rents, taxes, payments and outgoings in respect of the immoveable property, in which the hypothecated goods are kept.
- (ix) The bank reserves the right to call upon the borrower to pay to the bank the loan amount together with interest and other charges at any time. In the event of default, the bank reserves the right to

dispose the hypothecated stocks and apply the proceeds in satisfaction of the loan amount. If the proceeds are insufficient, it reserves the right to recover the balance from the borrower.

- (x) The borrower undertakes not to dispute the correctness of any sum due to the banker as stated in the demand made by the banker under the hypothecation agreement.
- (xi) A clause stating that the security shall be a continuing security for the balance due to the bank from time to time. Where by any chance, the cash credit results in a credit balance, it is not to be considered to be closed for the purpose of the security. In other words, the security is not treated as exhausted simply because the cash credit showed a credit balance at any time.

26.5.5 Pledge

‘Pledge’ means bailment of goods for purpose of providing security for payment of debt or performance of promise’ (as per Sec. 172 of Indian Contract Act, 1872).

The person, whose goods are bailed, is called the *Pawnor*; the person who takes the goods as security is called the *Pawnee*.

As per the above definition to constitute a valid pledge, these requirements are to be satisfied:

1. A contract in relation to an identified chattel to be delivered to the pledgee as security;
2. Actual delivery of possession of the identified chattel in pursuance of the contract (i.e. There must be bailment of goods);
3. The bailment must be, by or on behalf of the debtor; and
4. The bailment, must be for the purpose of providing security for the payment of a debt or performance of promise.

The essential ingredients of a valid pledge are:

- (a) The property pledged should be actually or constructively delivered to the pawnee; and
- (b) The pawnee has only a special property in the pledge, while the general property remains with the pawnor and wholly reverts to him on discharge of debt.

A. Legal Implications of Pledge

- (a) **Legal Implications:** The following are the legal implications of a pledge:
 - (a) The ownership of the property is retained by the pawnor, which is subject only to the qualified interest which passes to the pawnee by the bailment.
 - (b) One of the main and most essential requirements of a pledge is the actual or constructive delivery of the goods to the Pawnee. By constructive delivery, it is meant that there need be no physical transfer of goods from the custody of the pledger/pawnor to the pawnee. All that is required is that the goods must be placed in the possession of the Pawnee or of any person authorised to hold them on his behalf.
- (b) **Modes of Delivery:** Goods may be delivered by one of the following ways (as mentioned in the Sale of Goods Act):
 - (i) By handing over the key of the godown, in which the goods are kept.
 - (ii) By attornment, i.e. if goods are in public warehouse, the warehouseman acknowledges to the pawnee that he will hold the goods thereafter on behalf of the pawnee.
 - (iii) Handing over the document of title to goods, such as railway receipt, bill of lading, warehouse receipts, etc.

(c) **Other Aspects for Creating Pledge:** Other aspects connected with the pledge are:

- (i) Even if goods are in possession of the pawnor, he may acknowledge that he holds them thereafter for and on behalf of the pawnee. This is similar to attornment. Thus, delivery may be physical, when goods are physically transferred or symbolic as in the case of handing over the key to the godown, where the goods are stored so as to be out of the control of the pawnor or constructive as in the case of an attornment.

In the case of *Co-operative Hindustan Bank Ltd. vs Surendar Nath Dey (AIR 1932 Cal 524)*, it was observed that it is essential in a transaction of pledge that there must be delivery of goods to the pawnee and he must keep the goods. The delivery need not be simultaneous with lending of money. It may be actual delivery or symbolic delivery, e.g. by delivery of key of the warehouse where the goods are stored or something may be done which is equivalent to delivery that is keeping of goods without any actual delivery, as if the pawnee has the possession or effect of possession.

- (ii) An agreement of pledge may be implied from the nature of the transaction or the circumstances of the case. However, an agreement in writing clearly laying down the terms and conditions leaves no ambiguity.
- (iii) Pledge can be created only in the case of existing goods which are in the possession of the pawnor himself. There can be no pledge of future goods or goods which the pawnor is likely to get into his possession subsequently. Since delivery is involved, goods must be specific and identified.
- (iv) Possession of goods is the most important characteristic of pledge and therefore, pledge is lost when possession of the goods is lost.

However, the pawnee may release the goods after obtaining a letter of trust from the pawnor. Such a letter of trust is known as the trust receipt. It is an instrument by which the borrower receives the goods or documents of title to goods and undertakes to hold them or the proceeds thereof, in trust for the lender. Because of the trust receipt, the banker's rights as a pawnee remains unaffected. Even if the borrower becomes insolvent, the Official Receiver cannot claim the goods.

(d) **Who can create a Pledge?:** The following persons can make a valid pledge:

- (i) Owner of the goods
- (ii) A mercantile agent, provided the following conditions are satisfied:
 - He should be in possession of the goods, or the documents of title to goods with the consent of the owner.
 - The goods must have been entrusted to him in his capacity as a mercantile agent.
 - The mercantile agent should create the pledge in the ordinary course of his business as such agent.
 - The pawnee acts in good faith and has no notice at the time of pledge that the pawnor has no authority to pledge (as per Sec. 178 of Contract Act).
- (iii) Persons in possession of goods under a voidable contract, provided the contract, has not been rescinded at the time of pledge.
- (iv) Seller of the goods, who continues to be in possession of the goods even after sale, may create a valid pledge. The pawnee must act in good faith and without notice of the previous sale. A pawnee can repledge the goods, but it is valid only to the extent of his interest in such goods. When the original pawnor repays the debt to the first pawnee, he is entitled to the return of the goods although they may be in the hands of the second pawnee to whom the first pawnee has not repaid the debt.

B. Rights of Pawnee

- (a) **Right of retainer:** As per Sec. 173 of the Contract Act, the pawnee can keep the goods pledged not only for the non-payment of the debt or non-performance of the promise, but also for the interest on the debt and for all expenses properly and necessarily incurred for the preservation of the goods pledged. This is similar to the rights of the bailee.
- (b) **Right to claim extraordinary expenses:** In respect of such expenditure incurred for taking care of the pledged goods, he cannot claim lien over the goods but can only sue to recover the goods.
- (c) **No right to retain in respect of the other debts:** In the absence of a contract to the contrary, the pawnee cannot retain the goods for a debt or a promise, other than the promise or debt for which they are pledged. However, in the case of subsequent advances made, such a contract is presumed, in the absence of anything, to the contrary.
- (d) **Rights against third parties:** A pawnee has the same remedies against third persons, as the owner himself would have, if he is deprived of his goods. If a third person wrongfully deprives the bailee of the use of possession of goods bailed, or does them any injury, the bailee is entitled to use such remedies as the owner might have used in the like case if no bailment had been made; and either the bailor or the bailee may bring a suit against a third person for such deprivation or injury. (*Morvi Mercantile Bank Ltd. vs Union of India* (AIR 1965 Supreme Court 1954)).
- (e) **Right where Pawnor Defaults:** In case the pawnor makes default in payment, the pawnee has following three rights:
 - He may sue the pawnor upon the debt or promise;
 - He may retain the pawned goods as collateral security; or
 - He may sell it after giving the pawnor reasonable notice of the sale.
- (f) **Concurrent/ Alternative Rights:** The right to retain the pawn (pawned goods) and the right to sell it are alternative and not concurrent rights. While the pawnor retains, he does not sell and when he sells he does not retain. However, the pawnee has the right to sue on the debt or the promise concurrently with his right to retain the pawn or sell it. The retention of the pawn does not exclude this right of suit, since the pawn is a collateral security only.

In *Nanak Chand Ramkrishandas vs Lachand Ganeshilal* (AIR 1958 Punj. 222), it was held that a pawnee may keep the goods as security for the debt due to him from the pawnor and although he has got the right to sell after notice to the pawnor, he is not bound to sell at any particular time. The mere fact that the pawnee gave a notice that he would sell the goods cannot possibly be a compelling factor for sale to be effected. If the goods are sold, by the pawnee without a notice, as provided by this Section, they will be deemed to have been converted and an action for conversion of the same would lie against the pawnee; but damages would be assessed, by taking into consideration the market rate of the goods in question as on the date of conversion, which ordinarily, would be the date on which the goods were wrongfully sold. In case of an improper sale, the pawnee is liable for conversion, but the sale cannot be set aside.

- (g) **Actions After Sale:** If the proceeds of such sale are less than the amount due, in respect of the debt, the pawnor is still liable to pay the balance. If the proceeds of the sale are greater than the amount so due, the pawnee shall pay over the surplus to the pawnor.

For example, say 'A' takes a loan of ₹ 20,000 from 'B'. As an assurance that he will pay this money back, 'A' keeps his car, as security, with 'B'. Thus, if after the fixed date, 'A' is unable to pay the money back to 'B', 'B' can either bring a suit for this purpose while he retains the car, or he can sell the car for the purpose of recovering his dues. If 'B' chooses to sell the car, the two possibilities are

as follows: He may receive less than the amount due, in which case, 'A' will still have to pay him the balance, or he may receive more than the amount due, in which case he must return the excess amount to 'A'.

- (h) **Events of Loss or Damage:** It is important to note, that in all contracts of bailment, the bailee, while he is in possession of the goods, steps into the shoes of the owner for the purpose of legal remedy. Thus, if any person were to deprive the bailee of the goods – by way of theft, etc. – the bailee, himself, would have the right to file a suit against such other person. If any damages are received from such a suit, it would be split between the bailor and the bailee, according to the proportion of their losses or damages.
- (i) **Pledge of Goods with Limited Interest:** Where person pledges goods in which he has only a limited interest, the pledge is valid to the extent of that interest.

C. Rights of Pawnor

- (a) **Right to Notice of Sale by Pawnee:** It was held in *A. Srinivasalu vs Gajaraj Mehta & Sons* 1990 (II) MLJR 188, that a sale notice is only an intimation of the proposed sale by the pawnee and it is not necessary that such notice must be proceeded by another notice informing the pawnor that on his not making payment the goods would be sold. The sale notice also need not be signed by the pawnee or the amount due be mentioned.
- (b) **Right on Surplus Proceeds:** If the goods are sold by the pawnee after giving reasonable notice, the pawnor is entitled to receive from him any surplus over and above the debt amount.
- (c) **Right to Redeem:** The pawnor has a right to redeem the goods even though the time stipulated for payment is over, provided the goods have not been sold by the pawnee.

D. Duties of Pawnor

- (a) **To Disclose Faults/ Risks:** He must disclose to the pawnee any material faults or extra ordinary risks in the goods to which the pawnee may be exposed. Failure to disclose makes him responsible for damages or any loss caused to the pawnee.
- (b) **To pay for Preservation Expenses:** The pawnor must reimburse the pawnee for any expenses incurred for the preservation of the goods.
- (c) **To pay Deficit from Sale Proceeds:** In the case of forced sale, if the amount realised is less than the debt due from the pawnor, he is liable to make good the balance.
- (d) **Title to Goods:** When the goods are pledged, there is the implied condition that the pawnor has title to the goods pledged. However, in practice the banker obtains the pawnor's signature to a document known as an agreement of pledge. The following are the important points usually covered in the document:
 - The pledge is in respect of all the goods delivered and upon all documents of title to goods deposited by the pawnor.
 - A declaration that the securities deposited would cover the existing and future debt, interest and expenses.
 - The letter stipulates that it will be a continuing security without the operation of the rule in *Clayton's case*.
 - Pawnor's title to the security is clear, that the goods will be insured adequately at his expense and that sufficient margin will be maintained as agreed upon.
 - A promise to pay all the money secured by the pledge on demand, and in the case of default in repayment, the bank to have the right of sale.

- Where the pawnor fails to insure the goods, the banker reserves the right to effect such insurance and debit the premium and other charges to the account of the customer.
- A declaration by the pawnor not to hold the bank responsible for the default of any broker employed to sell the goods. The pawnor undertakes to pay the rent and other charges incidental to warehousing.
- The banker reserves the right of general lien and nothing in the agreement, shall be construed as excluding such right.
- The pawnor undertakes to submit periodical statements of stocks and to allow inspection of the goods and records by the bank, all at his cost.

E. Advantages of Pledge

- (i) The goods are in the custody of the pawnee and, therefore, it is easy to sell in case of default. If the banker takes proper precautions, through periodical inspections, it will not be possible for the pawnor to create subsequent charges against the same goods.
- (ii) Because of close supervision, it will not be possible for the pawnor to manipulate the stocks.
- (iii) Even if the goods are lost, the banker can recover the amount under the insurance policy.
- (iv) The formalities connected with the pledge are simpler than in the case of mortgage.

F. Precautions to be Taken

- (i) To ensure that the pawnor has the title to goods.
- (ii) To ensure that the contract of pledge is complete in all respects and incorporates the usual clauses.
- (iii) To exercise full and effective control over all the goods pledged.
- (iv) To put up a signboard at the godown prominently displaying, that the goods are pledged to the banker.
- (v) To take reasonable care of the goods as a man of ordinary prudence would under similar circumstances take of his own goods of the same bulk quantity and value of the goods pledged. Any loss arising to the goods due to failure to take such care must be compensated to the pawnor. In its own interest, the banker must take such care so that the value of security is not eroded.
- (vi) Banker must make periodical inspections to verify the quality, quantity, value, etc., of the goods and ensure the maintenance of reasonable margin throughout the period until the debt is repaid.

H. Distinction between Pledge and Lien

- The major distinction between a pledge and lien is that in lien there is no power of sale or disposition of the goods whereas in case of pledge there is power to sell on default.
- In the case of a lien, there is no transfer of any interest; the person exercising the lien has only a right to retain the subject matter of lien until he is paid.
- A lien disappears the moment the possession is lost and there is no right of sale. While in case of pledge, sale can be made in the event of default. A pledge is assignable.

I. Difference between Hypothecation and Pledge

- A pledge is a contract between the borrower (or party / individual that owes funds or services) and the lender (party or entity to which the funds or services are owed) where the borrower offers an asset (pledges an asset) as a security to the lender.
- The lender will have legal possession of the pledged asset, and the lender has the right to sell the asset in the event that the borrower is unable to meet his loan obligations.

- Hypothecation is a charge that is created for assets that are moveable such as vehicles, stocks, debtors, etc. In hypothecation, the asset remains in the possession of the borrower. In the event that the borrower is unable to make due payments on his loan obligations, the lender first has to take action to possess the said asset before they can be sold off to recover losses.

J. Cases Relating to Pledge

- (i) **Morvi Mercantile Bank Ltd. vs Union of India (AIR 1965 SC 1954)**. In this case M/s Harshadrai Mohanlal & Co., a firm, entrusted on 4 October, 1949 to GIP Railway, 4 boxes of menthol crystals belonging to the firm for transport from Thane to Okhla near Delhi. Further, on 11 October 1949 the firm sent two more boxes to Okhla from Thane through the railways. The firm was issued railway receipts. The firm endorsed the railway receipts in favour of Morvi Mercantile Bank. On failure of railways to deliver the goods, the bank, claiming as an endorsee of the railway receipts for valuable consideration, filed a suit against railways for recovery of the value of the goods. The Supreme Court delivering a judgement in appeal decided that the bank was entitled to recover the value of goods for the following reasons:
 - Valid pledge can be created by endorsement of railway receipts.
 - For a valid pledge, actual delivery is not necessary and constructive delivery is sufficient.
 - By endorsing the railway receipts, the firm created a valid pledge in bank's favour.
 - Pledge being bailment of goods, the bank as a pledgor will have the rights of owner of goods.
 - Hence, the bank is entitled to recover value of goods from the railway as a pledge.
- (ii) **Lallan Prasad vs Rahmat Ali and Another (AIR 1967 SC 1322)**. The question decided in this case was whether a pawnee can file a suit for recovery of debt due to him if the pawnee lost the goods pledged to him. In this case, on 10 January 1946, Lallan Prasad gave a loan of Rs 20,000 to Rahmat Ali. Lallan Prasad also obtained a pledge of 147 tonnes of aero-scraps from Rahmat Ali. On failure to repay the loan, Lallan Prasad filed a suit against Rahmat Ali for recovery. Rahmat Ali argued that Lallan Prasad is not in a position to deliver the goods pledged and he should not be granted a decree for recovery of money.

Supreme Court after analysing the facts of the case rendered a judgement that a pawnee under the Contract Act is entitled to retain the goods pledged and file a suit for recovery of the money. However, this right of pawnee can be countenanced only when pawnee is in a position to return the goods pledged, when pawnor repays the debt. A pawnee cannot be allowed to have a decree for recovery, if he is not willing to return the goods pledged.
- (iii) **Bank of Bihar vs State of Bihar (AIR 1971 SC 1210)**. In this case the rights of pawnee came up for consideration of the Court. In this case, Bank of Bihar lent moneys and took security by way of pledge of different varieties of sugar. Government of Bihar seized the bags of sugar from the borrower and sold them to recover Government dues. The bank filed a suit for recovery of moneys due to it against Government of India.

The Supreme Court deciding the case held that the right of bank as a pawnee cannot be taken away by government and hence, the Government of Bihar shall pay the amount due to the bank.
- (iv) **Standard Chartered Bank vs Custodian (AIR 2000 SC 1488)**. In this case, the Supreme Court held that, if during the pledge there is an increase in value of the goods pledged, the pawnee is entitled to the increase, as an integral part of his security. In this case, the shares and debentures were pledged with the bank and these shares and debentures were entitled to bonus, dividend and interest. The Supreme Court held, that these accretions formed part of the pledged property and as

such the pawnee is required to return the same only when the pledged goods were returned and in case of pawnor's default in payment of debt, the pawnee has the right to sell the pledged property along with the accretions after giving reasonable notice to the borrower.

26.5.6 Mortgage

A. Provisions of Transfer of Property Act, 1882

For immovable property, the provisions of the Transfer of Property Act, 1882 apply. As bankers need to deal with immovable property during the course of business there is a need to know certain salient aspects of these provisions. When land/building is offered as a security, it is charged to the bank by a mortgage. The law, relating to mortgages is dealt with in the Transfer of Property Act, 1882, and more particularly in Sec. 58 to 99 and 102 to 104.

- (a) **Sale of Immoveable Property:** Sale is a transfer of ownership in exchange for a price paid or promised or part-paid and part-promised. The sale of tangible immoveable property for a consideration exceeding ₹ 100/- can be made only by a registered instrument. Delivery of tangible immoveable property takes place when the seller places the buyer (or such person as directed by the buyer) in possession of the property.
- (b) **Mortgage of Immoveable Property:** Sec. 58(a) of the Transfer of Property Act, 1882 defines a mortgage as follows:

'A mortgage is the transfer of interest in specific immoveable property, for the purpose of securing the payment of money advanced or to be advanced by way of loan, on existing or future debt or the performance of an engagement which may give rise to a pecuniary liability.'

From the above definition of mortgage, the following requirements of a mortgage emerge:

- There should be transfer of interest in the property by the mortgagor (the owner or lessor).
- The transfer should be to secure the money paid or to be paid by way of loan.

This liability could be arising out of money already advanced or to be advanced; it could be a future debt or it could be pecuniary liability arising out of the non- performance of any engagement.

The mortgage referred in the Transfer of Property Act, 1882 is a mortgage of immoveable property and it has no application to moveable property. Security by way of moveable property is called hypothecation or pledge or pawn.

Where, on a transfer of property, an interest therein is created for the benefit of a person not in existence at the date of the transfer, subject to a prior interest created by the same transfer, the interest created for the benefit of such person shall not take effect, unless it extends to the whole of the remaining interest of the transferor in the property.

The transferor is called a **mortgagor**. The transferee is called a **mortgagee**. The principal money and interest secured is called the **mortgage-money**. The instrument (if any) by which the transfer is effected is called a **mortgage-deed**.

Every person competent to contract and entitled to transferable property, or authorized to dispose of transferable property not his own, is competent to transfer such property either wholly or in part, and either absolutely or conditionally, in the circumstances, to the extent and in the manner, allowed and prescribed by any law for the time being in force.

Unless a different intention is expressed or necessarily implied, a transfer of property passes forthwith to the transferee all the interest which the transferor is then capable of passing in the property and in the legal incidents thereof.

A transfer of property may be made without writing in every case in which writing is not expressly required by law. Mortgage is a transfer of interest in an immoveable property to secure an advanced loan, or an existing debt or a future debt or performance of an obligation.

- (c) **Mortgagor can be:** Mortgage of a property can be created by the following persons depending on the nature of person owning the property –
- (i) An absolute owner of property (including ownership by purchase or by partition or inheritance or by gift or by lease), being an individual.
 - (ii) One of the two or more co-owners, being individuals.
 - (iii) Karta of HUF, when the property is in the name of the HUF.
 - (iv) Guardian of minor's property (with sanction of Court under the Guardians and Wards Act, 1890).
 - (v) Executor or administrator.
- (d) **Types of Mortgage:** Transfer of Property Act contemplates six types of mortgages, they are:
- (i) Simple mortgage
 - (ii) Mortgage by conditional sale
 - (iii) Usufructuary mortgage
 - (iv) English mortgage
 - (v) Mortgage by deposit of title deeds
 - (vi) Anomalous mortgage

B. Simple Mortgage

According to Sec. 58(b) of the Transfer of Property Act, a simple mortgage is a transaction whereby, *'without delivering possession of the mortgaged property, the mortgagor binds himself personally to pay the mortgage money and agrees, expressly or impliedly, that in the event of his failing to pay according to his contract, the mortgagee shall have a right to cause the mortgaged property to be sold by a decree of the Court in a suit and the proceeds of the sale to be applied so far as may be necessary in payment of the mortgage money.'*

Such a transaction is called a simple mortgage and the mortgagee a simple mortgagee.

- (a) **Essentials of a simple mortgage:** The essential elements of a simple mortgage are -
- (i) The mortgagor does not deliver possession of the mortgaged property to the mortgagee.
 - (ii) The mortgagor binds himself personally to pay the mortgage money.
 - (iii) The mortgagor agrees that in the event of his failing to pay according to his contract, the mortgagee shall have a right to get the mortgaged property sold and recover his dues.
- (b) **Features of simple mortgage:** The main features of a simple mortgage are as follows -
- (i) The mortgagee has no power to sell the property without the intervention of the Court.
 - (ii) In case there is shortfall in the amount recovered even after sale of the mortgaged property the mortgagor continues to be personally liable for the shortfall.
 - (iii) The mortgagee has no right to get any payments out of the rents and produce of the mortgaged property.
 - (iv) The mortgagee is not put in possession of the property.
 - (v) Registration is mandatory if the principal amount secured is ₹ 100 and above.

C. Mortgage by Conditional Sale

As per Sec. 58(c) of the Transfer of Property Act, a mortgage by way of a conditional sale of the property is a transaction whereby the mortgagor ostensibly sells the mortgaged property on the condition that:

- (i) on default of payment of the mortgage money on a certain date, the sale shall become absolute, or

- (ii) on such payment being made the sale shall become void; or
- (iii) on such payment being made, the buyer shall transfer the property to the seller.

No such transaction shall be deemed to be a mortgage of conditional sale, unless the condition is embodied in the document, which effects or purports to effect the sale.

- (a) **Essential Features:** The essential features of a mortgage by conditional sale are as follows -
 - (i) The mortgagor ostensibly sells the mortgaged property to the mortgagee but it is not real sale;
 - (ii) If the money is not repaid on the agreed date, the ostensible sale will become absolute upon the mortgagor applying to the Court and getting a decree in his favour;
 - (iii) The mortgagor in such a case (the sale becoming absolute) loses his right to redeem his property.
 - (iv) The mortgagee can sue for absolutely debarring the mortgagor of his right to redeem the mortgaged property, but not for sale of the property.
 - (v) Foreclosure means loss of the right possessed by the mortgagor to redeem the mortgaged property.
 - (vi) On payment being made by the mortgagor, the sale shall become void, or the buyer (mortgagee) shall transfer the property to the seller (mortgagor).
 - (vii) There is no personal covenant for repayment of the debt.
 - (viii) The mortgagee cannot look to the other properties of the mortgagor in case the mortgaged property proves insufficient.
- (b) **Not Preferred:** Bankers do not prefer this type of mortgage because of the limitations like no personal obligation of the borrower, no recourse to other assets in case of shortfall in recovery, need intervention of the court for enforcing the mortgage.

D. Usufructuary Mortgage

According to Sec. 58(d) of the Transfer of Property Act, 'a Usufructuary mortgage' is a transaction in which -

- (i) the mortgagor delivers possession expressly, or by implication and binds himself to deliver possession of the mortgaged property to the mortgagee; and
- (ii) authorises the mortgagee to retain such possession until payment of the mortgage money and to receive the rents and profits accruing from the property or any part of such rents and profits and to appropriate the same in lieu of interest, or in payment of the mortgage money, or partly in lieu of interest and partly in payment of the mortgage money.

The mortgagee in this case is called as a 'usufructuary mortgage'.

- (a) **Essentials Features:** The essentials features of a usufructuary mortgage are -
 - (i) The mortgagee is put in possession of the mortgaged property. Here, by possession it is meant, the legal possession and not the physical possession. For example, the mortgagor may continue to enjoy the physical possession as the lessee of the mortgagee or the mortgagor may be the caretaker of the property directing the tenants to pay rent to the mortgagee. However, the deed must contain a clause providing for the delivery of the property to the mortgagee and authorising him to retain such possession.
 - (ii) The mortgagee has the right to receive the rents and profits accruing from the property. Such rents and profits or part thereof, may be appropriated in lieu of interest or in payment of the mortgage money or partly for both.

- (iii) The mortgagor authorises the mortgagee to retain such possession until payment of the mortgage-money.
- (iv) Unless there is a personal covenant for the repayment of the mortgage money, there is no personal liability for the mortgagor.
- (v) Therefore, the mortgagee cannot sue the mortgagor for repayment of the mortgage debt; nor can he sue mortgagor for the sale or foreclosure of the mortgaged property.
- (vi) There is no time limit specified and the mortgagee remains in possession of the property until the debt is repaid.
- (vii) The only remedy for the mortgagee is to remain in possession of the mortgaged property and pay themselves out of the rents and or profits of the mortgaged property.
- (viii) If the mortgagor fails to sue for redemption within thirty years, the mortgagee becomes the absolute owner of the property.
- (b) **Not Preferred:** Bankers do not prefer this form of mortgage for the following reasons:
 - (i) There is no personal covenant to repay the debt.
 - (ii) As the mortgaged money can be recovered only by the appropriation of rents and/or profits, it will take a very long time to recover money through this process.

E. English Mortgage

According to Sec. 58(e) of the Transfer of Property Act, an 'English Mortgage' is a transaction in which, the mortgagor binds himself –

'to repay the mortgage money on a certain date and transfers the mortgaged property absolutely to the mortgagee, but subject to the provision that he will retransfer it to the mortgagor upon payment of the mortgage money as agreed'.

- (a) **Essentials Features:** The essentials features of an English mortgage are -
 - (i) The mortgagor binds himself personally to repay the mortgage-money on a certain date, in spite of the absolute transfer of property.
 - (ii) There is an absolute transfer of the property in favour of the mortgagee.
 - (iii) The transfer is subject to a condition that the mortgagee will re-transfer it to the mortgagor upon payment of the mortgage- money.
 - (iv) The mortgagee can sue the mortgagor for the recovery of the money and can obtain a decree for sale.

F. Mortgage by Deposit of Title Deeds / Equitable Mortgage

According to Sec. 58(f) of the Transfer of Property Act, -

'Where a person in any of the following towns – namely, the towns of Kolkata, Chennai and Mumbai and in any other town which the State Government concerned may, by notification in the official gazette, specify in this behalf – delivers to a creditor or his agent documents of title to immoveable property, with intent to create a security thereon, the transaction is called a mortgage by deposit of title deeds.'

- (a) **Documents of Title:** Documents of title or title deed in case of mortgage by deposit of title deeds shall be documents or instruments which relate to ownership of the mortgagor over the property. In other words, by virtue of a document or instrument, if a person has a right to peaceful possession and enjoyment of the immoveable property, then such a document or instrument is called the title deed. In the case of *Syndicate Bank vs Modern Tile and City Works* (1980 KL T 550); it was explained by the learned Judges that documents of title or deed means the legal instrument which proves the right of a person in a particular property.

- (b) **Essentials Features:** Essentials features of a mortgage by deposit of title deeds (Equitable Mortgage) are –
- (i) The mortgagor delivers to a creditor or his agent the documents of title to the immoveable property.
 - (ii) With intent to create a security thereon.
 - (iii) The delivery of documents of title is done in a town specified by the State Government. However, the territorial restriction refers to the place where the title deeds are delivered and not to the situation of the property mortgaged. The property given as a mortgage may or may not be situated in the notified towns.
 - (iv) To create this mortgage, there must be three ingredients i.e. a debt, a deposit of title deeds and an intention that the deeds shall act as security for the debt.
- (c) **No Mortgage Deed:** Any mortgage other than a mortgage by deposit of title deeds can be effected only in terms of a mortgage deed duly signed by the mortgagor and attested by at least two witnesses. A mortgage by deposit of title deeds does not require any writing. Also, a mortgage by deposit of title deeds being an oral transaction is not affected by the law of registration. All other mortgages in writing must be registered.
- (d) **Procedure:** The procedure generally followed for the creation of an equitable mortgage is as under:
- (i) Title clearance certificate from an advocate is to be obtained that the property proposed to be mortgaged is free from all encumbrances and readily marketable.
 - (ii) Search of the land records should be taken for at least thirty years prior to the date of certificate.
 - (iii) There shall be a deposit of the original title deeds in the notified towns personally by the true and legal owner of the immoveable property or his/ its duly authorised agent.
 - (iv) A record of equitable mortgage, popularly called as memorandum of entry, is to be prepared by the concerned branch.
 - (v) The stamp duty is payable on the said memorandum of entry as per local laws of the State, but no registration is required. It is a sort of evidence/ record to file in the Court if required for the recovery of the bank dues.
 - (vi) In the case of limited companies, the company has to pass a resolution authorising the director/officer to deposit the deeds for raising a loan; and after the memorandum of entry is recorded, the charge is required to be filed with the Registrar of Companies.
- (e) **Merits:** The merits of an equitable mortgage are –
- (i) The borrower saves the registration charges. It involves minimum formalities.
 - (ii) It takes less time and can be conveniently created.
 - (iii) It can be done without much publicity and therefore, the customer's position is not exposed to public gaze.
- (f) **Demerits:** The demerits of an equitable mortgage are –
- (i) In case of default, the remedy is to obtain a decree for sale of the property. Since, this involves going to the Court, it is expensive and time consuming. This shortcoming can be overcome by inserting a covenant by which the mortgagee is given the power of sale. In that case, the mortgage deed must be properly stamped and registered and the mortgage loses the advantage of being simple in procedure and less expensive.
 - (ii) Where the borrower is holding the title deeds in his capacity as a trustee and equitable mortgage of the same is effected, the claim of the beneficiary, under trust will prevail over any equitable mortgage. Therefore, the banker has to make a proper scrutiny of the title deeds before accepting them as a security.

- (iii) The borrower may create a subsequent legal mortgage in favour of another party. However, this possibility is not there, if the equitable mortgagee holds the original title deeds. In India, there is no difference between the two types of mortgages. According to Sec. 48 of the Registration Act, 1908, a mortgage by deposit of title deeds prevails against any subsequent mortgage relating to the same property. Similarly, the title of the equitable mortgagee, is not defeated by any subsequent sale without notice. However, to avoid any risk of this type, the equitable mortgage should be accepted only after obtaining the original title deeds. The law in England is slightly different. As between equitable mortgage and legal (simple) mortgage, the latter prevails even though it is effected subsequently. The law, regarding this is, as between law and equity, law prevails. As between the equities, the prior in time prevails.

G. Anomalous Mortgage

According to Sec. 58(g) of the Transfer of Property Act

'a mortgage which is not a simple mortgage, a mortgage by conditional sale and usufructuary mortgage and English mortgage or a mortgage by deposit of title deeds within the meaning of this Section, is called an 'Anomalous Mortgage.'

- (a) **Essentials Features:** The essentials features of an Anomalous Mortgage are -
- (i) It must be a mortgage as defined by Sec. 58 of the Transfer of Property Act.
 - (ii) It is negatively defined; and should not be anyone of the mortgages listed above.
 - (iii) Anomalous mortgages are usually a combination of two mortgages. Examples of such mortgages are:
 - a simple and usufructuary mortgage, and
 - an usufructuary mortgage accompanied by conditional sale.
 - (iv) There may be other forms, moulded by custom and local usage.

H. Salient Distinction between Various Types of Mortgage

In **simple mortgage**, the mortgage is given by deposit of title deeds; and in **English mortgage**, the possession of the mortgaged properties is not given to the mortgagee.

In **usufructuary mortgage** and in **mortgage by conditional sale**, possession of mortgaged properties is normally given to the mortgagee.

In the case of **simple mortgage** and **mortgage by deposit of title deeds**, the mortgagee has a right to proceed against the property mortgaged and also personally against the mortgagor.

I. Priority of Mortgages Created

Indian law of priorities is provided in Sec. 48 of the Transfer of Property Act. The rule is based on the maxim 'He has a better title who was first in point of time.' It lays the general rule regarding priority of rights created by transfer by a person at different times in or over the same immoveable property and provides that, as between such rights, each later created right is subject to the rights previously created.

- (a) **Priority among registered instruments:** Sec. 47 of the Registration Act, 1908 provides that a registered document operates, not from the date of its registration, but from the time of its execution. Thus, a document executed earlier, though registered later than another, has priority over the documents executed later.

- (b) **Priority between registered and unregistered instruments:** Let us now deal with the exceptions to the rule that priority is determined by order of time which either have been created by statute or owe their origin to the ancient rule of Hindu Law, which required delivery of possession in the case of a security of land. There are also some exceptions recognised in the Indian system founded upon those general principles of justice and equity, which in the absence of any express enactment, Indian judges are bound to administer, and which have been mostly borrowed from the English Law. The first exception is that contained in Sec. 50 of the Registration Act which under certain circumstances allows a registered mortgage priority over unregistered mortgage. However, it may be noted that prior mortgage by deposit of title deeds is not affected by subsequent registered mortgage as the same need not be registered. This is provided in Sec. 48 of Indian Registration Act.

J. Limitation Period in Mortgages

Article 62 of the Indian Limitation Act, 1963 provides limitation period for filing of suit for recovery of mortgaged debt and sale of mortgaged property in the event of non-payment of the mortgaged debt. The limitation period for filing a suit for sale of mortgaged property is TWELVE YEARS, from the date when the money sued for becomes due.

Article 63(a) of the said Act provides a limitation period, in case of foreclosure of the mortgaged property. The limitation period for filing suit for foreclosure is THIRTY YEARS from the date the money secured by mortgage becomes due.

K. Difference between Equitable Mortgage and Pledge

The differences between a mortgage and a pledge are shown in the table below.

Table 26.1: Difference between Equitable Mortgage and Pledge

Pledge	Mortgage
Pledgee acquires only a limited interest in the property and ownership remains with the pledger.	Here the legal ownership passes to mortgagee, of course, subject to the mortgagor to redeem the property.
The Pawnee has 'special property' in the goods pledged and can sell the same in the event of default by the pledger, of course, after giving reasonable notice.	The mortgagee, as a rule, takes decree of a Court of Law before having recourse against the property mortgaged.
Pawnee has no right of foreclosure. He can only sell the property to realise his dues.	In certain cases, the mortgagee can foreclose the property.

L. Enforcement of Mortgage – Some Important Aspects

Types of mortgages generally obtained by a banker are:

- (i) Mortgage by deposit of title deeds; and
- (ii) Simple mortgage;

Amongst these, the equitable mortgage is most widely obtained.

- (a) **Sale Without Court Intervention:** One of the important provisions of the Transfer of Property Act, which permits the mortgagee (i.e., the lender) to sell the mortgaged property without the intervention of the Court, is as explained below.

Sec. 69 of the Transfer of Property Act stipulates as under:

Power of sale when valid

- (i) A mortgagee or any person acting on his behalf has power to sell the mortgaged property or any part thereof, in default of payment of the mortgage-money, without the intervention of the Court, in the following cases namely:
 - where the mortgage is an English mortgage, and neither the mortgagor nor the mortgagee is a Hindu, Mohammedan or Buddhist or a member of any other race, sect, tribe or class from time to time specified in this behalf by the State Government, in the official gazette;
 - where a power of sale without the intervention of the Court is expressly conferred on the mortgagee by the mortgage-deed and the mortgagee is the Government;
 - where a power of sale without the intervention of the Court is expressly conferred on the mortgagee by the mortgage-deed and the mortgaged property or any part thereof was, on the date of the execution of the mortgage-deed, situated within the towns of Kolkata, Chennai, Mumbai, or in any other town or area which the State Government may, by notification in the official gazette, specify in this behalf.
 - (ii) No such power shall be exercised unless and until:
 - notice in writing requiring payment of the principal money has been served on the mortgagor, or on one of the several mortgagors, and default has been made in payment of the principal money, or of part thereof, for three months after such service; or
 - some interest under the mortgage amounting at least to ₹ five hundred is in arrear and unpaid for three months after becoming due.
 - (iii) When a sale has been made in the professed exercise of such a power, the title of the purchaser shall not be impeachable on the ground that no case had arisen to authorize the sale, or that due notice was not given, or that the power was otherwise improperly or irregularly exercised; but any person indemnified by an unauthorized or improper or irregular exercise of the power shall have his remedy in damages against the person exercising the power.
 - (iv) The money which is received by the mortgagee, arising from the sale, after discharge of prior encumbrances, if any, to which the sale is not made subject, or after payment into the Court under Sec. 57 of a sum to meet any prior encumbrance, shall, in the absence of a contract to the contrary, be held by him in trust to be applied by him, first, in payment of all costs, charges and expenses properly incurred by him as incident to the sale or any attempted sale; and, secondly, in discharge of the mortgage-money and costs and other money, if any, due under the mortgage; and the residue of the money so received shall be paid to the person entitled to the mortgaged property, or authorised to give receipts for the proceeds of the sale thereof. The lender can also prefer recourse against the mortgaged property under SARFAESI Act for recovery of dues above ₹1 lac. Since the banks and financial institutions have the right to enforce the mortgage and take possession and dispose the property, without court intervention. The Act also provides for the support of Magistrate for forcible possession.
- (b) **Enforcement of Mortgages Through Court:** Enforcement of the three types of mortgages is by way of filing a suit for sale of mortgaged properties. The procedure for filing a suit for a sale is provided for in the Code of Civil Procedure, 1908. The Sec. 16(c) of the Civil Procedure provides that a suit for sale of mortgaged property shall be filed in the Court within whose jurisdiction the mortgaged property is situated. Order 34 of the Code provides for various things to be adhered to while filing suit for sale of mortgaged property.

After the enactment of the Recovery of Debts due to Banks and Financial Institutions Act, 1993, recovery of debts of ₹ 20 Lakh and above due to banks and financial institutions can be commenced in the DRT. Since the banks and financial institutions advance loans/facility below ₹ 20 Lakh, and if they were secured by a mortgage on the borrower's immovable properties, the lender has to file a civil suit for the recovery of his dues by enforcement of the mortgage. While filing the civil suit the following aspects may have to be kept in view:

- (i) The suit shall be instituted in the court of the lowest jurisdiction where it can lie.
- (ii) The suit shall be instituted in the jurisdiction of the court where the mortgaged properties are situated.
- (iii) All puisne mortgagees (subsequent mortgagees) shall be impleaded as defendants.
- (iv) If there is more than one mortgage in favour of the lender filing the suit, he shall sue on all debts unless a leave of the court is obtained for filing separate suits.
- (v) If personal covenant of the mortgage is to be enforced, it must be ensured that the claim is within limitation.
- (vi) In Civil Courts the decree on mortgage is twofold; namely a preliminary decree and a final decree. The preliminary decree sets out a time limit for the mortgagor to pay the decretal amount. If the mortgagor fails to pay the decretal amount by the time stipulated in the preliminary decree, the mortgagee is entitled to make an application to the Court for passing the final decree. After passing of the final decree, the mortgagee with the help of the Court gets the mortgaged property sold in execution of the mortgage decree. The execution proceedings shall be commenced only after the final decree is passed in the mortgage suit.
- (vii) While executing the mortgage decree, the decree holder can bring the properties mortgaged to sale without first seeking an order of attachment from the Court.

M. Leases of Immoveable Property

A lease is a transfer of a right to enjoy the property for a certain time (express or implied) or in perpetuity (that is forever), in consideration of a price paid or promised or any other thing of value, to be given periodically to the transferor by the transferee. The transferor is called 'the lessor', the transferee is called the 'lessee', the price is called the 'premium', and the money or any other thing to be given is called the 'rent'.

A sale is an absolute transfer of property. A lease is a partial or limited transfer of property. In a lease, there is a transfer of the right to enjoy such property. Thus, in case of a lease, there is a separation between ownership and possession.

- (a) **Duration of Certain Leases in Absence of Written Contract or Local Usage:** A lease for an agricultural or manufacturing purpose is deemed to be a lease from year to year. It can be terminated by the lessor or lessee by giving six months notice to one another.
A lease for any other purpose is deemed to be a lease from month to month. It can be terminated by the lessor or lessee by giving fifteen days notice to one another.
- (b) **Important Case Law: Chapsibhai Dhanjibhai Danad, Appellant vs. Purushottam, Respondent [AIR 1971 SC 1878 (1883)]:** The facts of the case in brief are as under:
By a deed of lease, dated 5 May 1906, the predecessor-in-title of the respondent let out to the appellant's father an open portion of land measuring 26 ft × 225 ft out of a larger plot. The lease was for constructing buildings and for a period of thirty years certain at the annual rate of ₹130. The lease contained, inter alia, the following:

‘Even after the prescribed time-limit, I shall have a right to keep my structure on the leased-out land, so long as I like, and I shall be paying to you the rent every year as stated above. You will have no right to increase the rent and I shall also not pay it, myself and my heirs shall use this land in whatever manner we please. After the lease period, we shall, if we like, remove our building right from the foundation and vacate your land. In case we remove our structure before the stipulated period, we shall be liable to pay to you, the rent for all the 30 years, as agreed to above. In case I were to sell away the buildings, which I shall be constructing on the above land, to anyone else, then, the purchaser shall be bound by all the terms in this lease-deed.’

The trouble between the parties started when the respondent commenced construction on the rest of the land in a fashion so as to be in close vicinity to the western boundary of the leased land to house an industry, called Sudha Industries.

The appellant filed the suit in 1958, out of which this appeal arises, urging that the said lease was a permanent lease. The Trial Court partially decreed the appellant’s suit.

The District Court dismissed the appellant’s appeal and allowed the cross-objections with the result that the appellant’s suit was dismissed. A second appeal filed by the appellant in the High Court was heard by a single Judge who held that the said lease was a permanent lease.

Aggrieved by the judgement and decree passed by the learned single Judge, the respondent filed a letters patent appeal wherein the principal question was canvassed whether the said lease was a permanent lease or not. The Letters Patent Bench answered the question against the appellant holding that the said lease being a lease for building purposes and transferable, was a lease for an indefinite period.

On appeal the Supreme Court held that the lease was undoubtedly for an indefinite period which only means that it was to ensure for the lessee’s lifetime. The lease in question was held to be of the former class and not inheritable and permanent.

On arriving at such a decision the Supreme Court relied on the following principles:

Whether a lease was permanent or for the lifetime only of the lessee, even where it was for building structures and was transferable, depended upon the terms of the lease and the Court must, therefore, look at the substance of it to ascertain whether the parties intended it to be a permanent lease. The mere fact, however, that a lease provides for the interests there under to pass on to the heirs of the lessee would not always mean that it is a permanent lease. Such a provision can be made in two ways resulting in two different consequences. A lease may provide a fixed period and then include a provision that in the event of the lessee dying before the expiry of such period, his heirs would be entitled to have the benefit of the lease for the remainder of the period. In such a case, although the lease may provide for the heirs to succeed to the interests in the leased land, it would only mean that such heirs succeed to the rights up to the expiry of the lease period. If the lease, on the other hand, were for an indefinite period, and contains a provision for the rights there under being inheritable, then, such a lease, though ordinarily for the lifetime of the lessee, would be construed as permanent. The lease in question was held to be of the former class and not inheritable and permanent. If any accession is made to the leased property during the continuance of a lease, such accession is deemed to be comprised in the lease. If the accession is by encroachment by the lessee, and the lessee acquires title thereto by prescription, he must surrender such accession together with the leased land to the lessor at the expiry of the term. The presumption is that the land so encroached upon is added to the

tenure and forms part thereof for the benefit of the tenant so long as the lease continues and afterwards for the benefit of the landlord.

- (c) **How are leases made?:** A lease from year to year or for any term exceeding one year can be made only by a registered instrument. All other leases can be made either by a registered instrument or by oral agreement accompanied by delivery of possession.

The practical procedure followed for mortgage of lease hold rights is:

- (i) Original lease agreement can constitute the title deeds if the lease is perpetual.
- (ii) The Lease agreement should be duly stamped and registered.
- (iii) The unexpired lease period must be sufficiently longer and must cover, the period allowed for repayment for bank's advance.
- (iv) A tripartite agreement may also be entered into between the lender bank, the lessor and the lessee (the borrower).
- (v) The lease deed must contain a clause permitting/authorising the lessee to create mortgage, or alternatively the lessor should give a specific letter of authority-cum-no-objection authorising the lessee to create the mortgage in favour of the lender bank and undertaking not to exercise the right of forfeiture of the lease so long as lender bank's dues are outstanding.

26.5.7 Right of Appropriation

When a debtor has several debts with a creditor, Sec. 59, 60 and 61 of the Indian Contract Act 1872, deal with appropriation of payments made by the debtor to the creditor. This principle also applies to the loans obtained from a bank. We should also understand clearly the difference between right of appropriation and right of set off. When a fixed deposit receipt is appropriated before maturity it is under the right of appropriation and when it is appropriated after maturity the right of set off is exercised.

The right of appropriation can be better understood by going through the following case:

Mr A, customer of a bank has availed housing loan from the bank. The account is not conducted properly and is now classified as Sub Standard asset. Mr A approaches the bank with a request that he wants to deposit a sum of ₹ 15,000 in his SB account to meet the amount of a cheque which he has issued in favour of electricity company and states that this money be used for meeting that cheque and amount should not be used towards his housing loan account. In such a situation the banker should be aware of what has been stated in Sec. 59 of Indian Contract Act. According to this section a debtor can place funds with a creditor for appropriation as per his request, however the creditor has an option to accept or reject, but in case the creditor in the instant case the banker, accepts the money he has no right to appropriate the funds except for meeting the cheque amount as stated by Mr A, Banker cannot appropriate the amount to housing loan account as the amount was deposited for a specific purpose.

26.6 REGISTRATION OF CHARGES

26.6.1 What is a Charge?

It may be noted that the word 'charge' is used to mean any form of security for debt, unless the word is used otherwise. Sec. 77 of the Companies Act, 2013 provides that for the purpose of registration under the said Act, it includes all the following charges:

- A charge for the purpose of securing debentures
- A charge on uncalled capital of the company

- A charge on any immoveable property, wherever situated, or any interest therein
- A charge on any book debts of the company
- A charge, not being a pledge, on any moveable property of the company
- A floating charge on the undertaking or any property of the company including stock-in-trade
- A charge on calls made but not paid
- A charge on a ship or any share in a ship
- A charge on goodwill, on a patent or a license under a patent, or a trademark, or on a copyright or a license under a copyright

Sec. 77(1) of the Companies Act 2013 further provides that it shall be the duty of every company creating a charge within or outside India, on its property(ies) or asset(s) or any of its undertaking, whether tangible or otherwise, and situated in or outside India, to register the particulars of the charge signed by the Company and the charge-holder together with the instruments, if any, creating such charge, with the Registrar.

As per Companies Act 2013, the rule for registration is that all types of charges are required to be registered with the Registrar of Companies, within the stipulated period, irrespective of whether the charge created is within or outside India; on its property or assets or any of its undertakings; whether tangible or otherwise, fixed or floating situated in or outside India.

In case of immovable properties, the mortgage deeds, and lease deeds are required to be registered with the Registrar of Assurances, except in case of equitable mortgage, as per the provisions of the Registration Act, 1908 (Sec. 17).

Under the provisions of Sec. 23 of the SARFAESI Act, particulars of any charge creating security interest over property can be filed with the Registry (CERSAI). Registration of security interest with CERSAI is not mandatory. Filing of security interest with CERSAI shall be deemed to constitute a Public notice from the date & time of filing with CERSAI. Filing of Security with CERSAI shall have priority over any subsequent security interest created upon such property. But banks make the registration with CERSAI compulsory.

In respect of the undermentioned types of security interest to secure any loans or advances, banks file on the CERSAI portal the particulars of creation, modification, or satisfaction of security interest in:

- mortgage by deposit of title deeds;
- mortgage other than mortgage by deposit of title deeds;
- hypothecation of plant and machinery, stocks, debts including book debts or receivables, whether existing or future.
- intangible assets, being know how, patent, copyright, trademark, licence, franchise or any other business or commercial right of similar nature.
- any ‘under construction’ residential or commercial or a part thereof by an agreement or instrument other than mortgage.

Following charges do not require registration with any authority:

(i) Guarantee; (ii) Arising due to the operation of law; and (iii) Hundi, which is a Negotiable instrument

A. Types of Charges

‘Charges’ registered under the Companies Act can be classified into two types: (i) Fixed Charge; and (ii) Floating Charge.

- (a) **Fixed charge:** 'Fixed charge' is also called 'specific charge'. It extends over a specific property or properties of the company. In other words, when a particular or a specific property of the company is given as a security for loan, then a 'fixed charge' is said to be created over the property. It may be noted, that charges specified in Sec. 77 of the Companies Act, 1956, created in conformity with the provisions of the said Act over a specific property gives right to the creditor so secured, to sell the said property and claim the proceeds towards the dues payable by the company.
- (b) **Floating Charge:** A 'floating charge' means a 'charge' that is general and not specific. It can be said to be a charge:
- that floats over the present and future property of the company subject thereto, that means it does not fasten on or attach to any particular or specific property;
 - that does not restrict the company from assigning the property, subject to charge to third persons, whether by way of sale or security;
 - that on happening of an event or contingency, crystallises as a fixed charge.

From the above, it can be noted that when the charge is floating, the company may, in the ordinary course of business, deal with the property in any manner until the charge attaches. In other words, a floating charge is an equitable charge which does not fasten on any specific property but covers the whole of the company's property whether it is or is not subject to fixed charge.

- (c) **Floating Charge Becomes Fixed or Crystallised/Attached:** When the debtor company ceases to carry on business or goes into liquidation or the debenture holder or creditor, in whose favour charge is created, intervenes by getting a receiver appointed or doing some other act which affects the powers of the company to dispose the assets charged. A floating charge may also crystallise on the happening of an event specified in creating a charge deed.

When a floating security upon all the property or assets of the company becomes fixed, it constitutes a charge upon all the property or assets then belonging to the company. It has priority over the subsequent equitable charges and over unsecured creditors and over money advanced to the liquidator.

26.6.2 Registration of Charges with ROC

- (a) **Time Limit:** Companies Act, 2013 under Sec. 77(1) provides that all the particulars of a charge created by the company shall be filed with the Registrar of Companies together with an instrument, creating charge, for registration within thirty days of the creation of charge. The time limit of thirty days within which the charge shall be registered can be extended by Registrar of Companies by further thirty days on payment of additional fees. If failed to register the charges as above, the Registrar may allow another 60 days on payment of advalorem fees as may be prescribed.
- (b) **Procedure:** The procedure for registration is provided under the Companies (Registration of Charges) Rules, 2014.
- (i) According to Companies (Registration of Charges) Rules, 2014, the e-form prescribed for the purpose of creating or modifying the charge is Form No.CHG-1 (for other than Debentures) or Form No.CHG-9 (for debentures including rectification). These forms were amended vide the Companies (Registration of Charges) Amendment Rules, 2019. Satisfaction is to be intimated in Form CHG -5.
 - (ii) A copy of every instrument evidencing any charge or modification of charge is required to be filed with the registrar duly verified and certified.
 - (iii) The fee prescribed for registration shall be paid.

If the Company has failed to register the charges, the bank may register it and fees for such registration can be levied from the Company.

- (c) **Non-Registration of Charges:** Sec. 78 of the Companies Act provides that the charge created by the company over the properties, if not registered, or in case the company failed to register such charge within 30 days, the Registrar may allow registration, within a period of sixty days of such creation, on payment of such additional fees. If the registration is not made within the 60 days period, the Registrar may, on an application, allow such registration to be made within a further period of sixty days after payment of such ad valorem fees as may be prescribed.

It has been held in various cases by the Courts that non-registration of charge under Sec. 77 would not render the security invalid automatically. The only consequence of non-registration is that the charge would not be valid against the liquidator and other creditors of the company in the event of winding up. As against the company itself, so long as the company does not go into liquidation, the mortgage or charge is good and may be enforced, even in the event of non-registration.

26.7 LET US SUM UP

For banking services, law of contract is relevant for various activities, especially lending. Various agreements between a bank and a borrower are governed by the law of contract. In India, the law relating to contracts is governed by the Indian Contract Act, 1872. All the banking services/procedures/transactions, one way or the other, are the offshoots of the contract act. An ‘agent’, is a person employed to do any act for another person or to represent another person in dealings with some third person. When banks collect various financial instruments for their customers, this law comes into force. A ‘bailment’ is the delivery of goods by one person to another for some purpose.

Banks’ charge over properties confines itself to one or more of the following seven types of charges – Assignment, Lien, Set-off, Hypothecation, Pledge, Mortgage, and Appropriation. Assignment is transfer of a right, property or a debt. The banker’s lien is an implied pledge. Set-off is the right of a debtor to take into account a debt owing to him by a creditor, when claiming a debt due from him to the creditor. ‘Hypothecation’ means a charge in or upon any movable property, existing or future, created by a borrower in favour of a secured creditor, without delivery of possession of the movable property to such creditor, as a security for financial assistance. ‘Pledge’ means bailment of goods for purpose of providing security for payment of debt or performance of promise’ (as per Section 172 of Indian Contract Act, 1872). For immovable property, the provisions of the Transfer of Property Act, 1882 apply. Transfer of Property Act contemplates six types of mortgages, they are - Simple mortgage; Mortgage by conditional sale; Usufructuary mortgage; English mortgage; Mortgage by deposit of title deeds; Anomalous mortgage.

The Companies Act, 2013 provides that for the purpose of registration under the said Act, it includes specified charges. Under the provisions of the SARFAESI Act, particulars of any charge creating security interest of banks or financial institutions over property can be filed with the Registry (CERSAI).

26.8 KEYWORDS

Void Agreement; Enforceable by Law; Suit; Voidable Agreement; Person of Sound Mind; Ab Initio; Sue; Sued; Registration/Registered Agreement, etc.; Damages; Invitation to offer, Agency, Bailment, Principal, Agent, Bailor, Bailee, Pawnor, Pawnee, Pledgor, Pledgee, Pledge, Consideration, Assignment, Set-off, Lien, Implied Pledge, Hypothecation, Actionable Claim, Legal Assignment, Equitable Assignment,

Attornment, Constructive Delivery, Fixed Charge, Floating Charge, Usufructuary Mortgage, English Mortgage, Equitable Mortgage, Crystallised, Mortgage by conditional sale, Simple Mortgage, Lease, Appropriation.

26.9 CHECK YOUR PROGRESS

1. The usual form of contract of agency is by way of a _____.
 - (a) power of attorney
 - (b) indemnity bond
 - (c) guarantee bond
 - (d) None of above
2. The pawnee can sell the goods, if the pawnor fails to pay.
 - (a) False
 - (b) True
3. The bailee can keep the goods bailed to him and he need not return the same to the bailor.
 - (a) False
 - (b) True
4. Under the Companies Act, 2013 a charge includes a _____.
 - (a) mortgage
 - (b) promissory note
 - (c) bill of exchange
 - (d) letter of credit
5. Hypothecation is an implied pledge in cases where _____.
 - (a) delivery of goods is given
 - (b) constructive possession of obligation is given
 - (c) constructive possession of goods is given
 - (d) None of above
6. Simple mortgage is created by _____.
 - (a) unwritten promise
 - (b) an oral assent
 - (c) an oral agreement
 - (d) an instrument in writing

26.10 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (a), 2. (b), 3. (a), 4. (a), 5. (c), 6. (d).



DOCUMENTATION

STRUCTURE

27.0 Objectives

27.1 Introduction

27.1.1 Need For “Documents”

27.2 Different Types of Documents

27.3 Documentation Procedure

27.3.1 Selection of Correct Set of Documents

27.3.2 Stamping of Documents

27.3.3 Amount of Stamp Duty

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27.3.5 Execution

27.3.6 Legal Procedures

27.3.7 Keeping Documents Valid (in force)

27.3.8 Safekeeping and Preservation of Documents

27.4 Let Us Sum Up

27.5 Keywords

27.6 Check Your Progress

27.7 Answers to ‘Check Your Progress’

27.0 OBJECTIVES

After studying this Unit, you will:

- Understand the importance of documentation
- Know the salient aspects of documentation
- Learn about distinctions of various types of documents
- Know the procedure for error free documentation

27.1 INTRODUCTION

Documentation is one of the vital aspect of credit management in a bank. There are certain enactments such as Indian Contract Act, Partnership Act, Companies Act, Indian Registration Act, Limitation Act, Indian Stamps Act, etc., which affect directly the bankers' loan documentation. While taking documents for a credit facility, the provisions of these enactments are to be kept in mind. Non-compliance of any of the provisions of any of these enactments may affect the validity of documents. For example, if a loan is given to a minor other than for his necessities, the documents executed may not be enforceable in a court of law, as a contract with a minor is void *ab initio*. This is as per the provisions of the Indian Contract Act.

27.1.1 Need for “Documents”

The documents are necessary to be procured for the following reasons:

- To identify the borrower;
- To identify the security;
- To have a written evidence of the transactions of lending made by the bank;
- To ensure due repayment of the loan by the borrower/or guarantor;
- To entitle the bank to take legal steps for recovery of the loan, in the event of non-payment by the borrower/or guarantor;
- To create a valid and effective security in favour of the bank and to create charge on security; because in the absence of a document capable of being legally enforceable the bank would find it hard to prove and establish its claim against the borrower before a court of law.

27.2 DIFFERENT TYPES OF DOCUMENTS

The documents taken by a banker for a loan may broadly be of the following types:

- Demand Promissory Notes (DPN)
- Bill of Exchange
- Agreements
- Forms

Demand Promissory Notes: Where a fixed period for the repayment of loan is not specified, the bankers take a Demand Promissory Note (DPN). In DPN, the borrower makes a promise to the banker to repay the loan amount on demand with agreed rate of interest. The form of DPN should be in conformity with Sec. 4 of the NI Act, 1881. The form of a DPN varies normally to suit the situation such as fixed rate of interest, floating rate of interest, single borrower, joint borrowers, joint and several borrowers, etc. DPN attracts a stamp duty as per Indian Stamp Act. The rate of stamp duty on DPN is uniform throughout India. It must be ensured that the DPN is duly filled in and stamped before the borrower signs it.

Agreements: The form of an agreement should be in conformity with the Indian Contract Act. The terms and conditions are set out in the agreement. The amount of loan, rate of interest, rate of penal interest, percentage of margin, period of repayment, rights of the bankers, in case of default of loan, details of security/securities charged, are included in the agreement. The agreements attract a stamp duty as per

Indian Stamp Act. The rate of stamp duty on agreements varies from State to State. The bankers use different forms of agreement depending on the nature of credit facility, lending arrangement, etc. Certain common types of agreement are - pledge agreement, hypothecation agreement, term loan agreement, clean loan agreement, inter-se agreement, guarantee agreement, etc. The agreement duly filled in and stamped, is checked before it is signed by the parties.

Forms: Forms are not in the nature of promise or agreement. These are obtained to specify clearly the intention of the borrower. For example, when a loan is granted against the security of a fixed deposit standing in joint names, one of the depositors gives an authorisation to the other to raise a loan on the deposit. Such an authorisation is taken in a form. Similarly, when a payment is to be made out of loan proceeds to a supplier of goods, a letter from the borrower authorising the bank to pay the proceeds by means of draft or bankers cheque, is taken by means of a form. Such forms are used as part of documentation to prove the intention of the borrowers for various transactions.

27.3 DOCUMENTATION PROCEDURE

27.3.1 Selection of Correct Set of Documents

Documentation, as stated earlier, varies depending upon the nature of facility, nature of charge, and type of person. The document prescribed for a cash credit facility may not be used for a term loan facility. Similarly, a document meant for an individual borrower cannot be used for a company or a partnership borrower. As bankers have pre-printed forms of documents, it should be ensured that the correct set of documents, which are relevant for the particular facility, the mode of charge and the type of borrower are used. Typically, bank document forms differ for various types of products (i.e. facility) and the nature of charge, whereas options of narrations/provisions in respect of different types of borrowers are built in each form. While this reduces the number of standard forms, this also entails greater care to be exercised in choosing the correct options at the time of execution of documents.

27.3.2 Stamping of Documents

The next aspect of documentation is stamping. Stamping is required for payment of applicable duty and evidences such payment having been made. A document shall be stamped in accordance with the Indian Stamp Act as amended by the concerned State Governments. The Indian Stamp Act, 1899, contains provisions regarding instruments chargeable with duty, mode of using stamps, time of stamping instruments for instruments executed in India and out of India, etc.

As per [Sec. 17](#) of the Act, all instruments chargeable with duty and executed by any person in India shall be stamped before or at the time of execution.

As per [Sec. 18](#) of the Act, every instrument, other than a bill of exchange and promissory note, which are chargeable with duty and executed out of India may be stamped within three months after it has been first received in India.

As per [Sec. 19](#) of the Act, the first holder in India, of any bill of exchange payable otherwise than on demand or promissory note drawn or made out of India shall affix thereto the proper stamp and cancel the same before he presents the same for acceptance or payment or endorses or transfers or otherwise negotiates the same in India.

Sec. 35 of the Act provides that any person shall not admit an instrument, not duly stamped in evidence for any purpose. However, such instruments can be admitted in evidence on payment of duty with which the same is chargeable (or the deficient amount) together with a penalty of five rupees or ten times of the amount of proper stamp duty (or the deficient amount), whichever is higher.

While stamp papers for different values are made available by the Government and these can be used for the purpose of stamping, in case of pre-printed forms adhesive stamps are required to be used. *Sec. 12* of Indian Stamp Act provides for cancellation of adhesive stamp so that the same cannot be used again. Any instrument bearing an adhesive stamp which has not been cancelled so that it cannot be used again, shall be deemed to be unstamped.

27.3.3 Amount of Stamp Duty

In case of Promissory Note, Bills of Exchange, Share Transfer, Receipt, Letter of Credit, Policy of Insurance, being central subjects, the duty is uniform in all the States. In other cases like hypothecation/pledge agreement, power of attorney, lease, mortgage etc. the stamp duty is different in various states. The amount of duty must be in accordance with the law prevailing in the State where the document is first executed and/or the transaction is completed. If the documents are understamped they may be accepted as evidence after payment of penalty as specified in the Act of the concerned State Govt. In case Promissory Note, Bills of Exchange, Share Transfer Agreement, Receipt, Letter of Credit, Policy of Insurance are understamped, in terms of *Sec. 35* of Indian Stamp Act, w.e.f. 18-4-2006, they can also be revalidated on payment of stamp duty with penalty if any. Stamp Laws being Revenue Law, they undergo changes and one should keep oneself posted about the latest changes.

27.3.4 Filling

The next aspect of documentation procedure is filling. As bankers are generally using the preprinted formats of documents with blanks in appropriate places, it is necessary to fill these blanks as per the terms of sanction of the credit facility before execution. It is important that blank fields should not be left unfilled, nor any alternatives should be left without deleting non-applicable ones. Such unfilled gaps or more than one option remaining undeleted may give rise to ambiguity and could be used adversely against the bank, in case of a legal dispute. Once the document is executed it becomes a concluded contract and any subsequent filling by bank without the consent of the executant will invalidate it. The document should be completed as far as possible without any alteration, overwriting or cutting. Overwriting in documents should be scrupulously avoided, as it will give rise to disputes. Any alteration must be carried out by cutting and rewriting the matter in a manner that it would not create any confusion. The entire document shall be filled with same ink, in same handwriting by same person in single sitting. Otherwise, it may give rise to a suspicion that the document was filled, subsequent to the execution.

27.3.5 Execution

After filling, the next step in the documentation procedure is the execution or signing of the document. It should be ensured that the signature in the document tallies with the signature as appearing in the application for the loan and also with the specimen signature, in case the party maintains an account with the bank. In case, of execution in the representative capacity of sole proprietor or partner or director or agent or trustee or executor, etc., the property should be clearly mentioned. Similarly, in case document is taken for a loan sanctioned to a minor borrower for his necessity, the signature of the guardian is to be obtained for self and as guardian of the minor borrower. Normally, bankers take the signature of the

executant in all the pages of the documents, so that he (the executant) may not argue in future, that the contents of the pages were not known to him. In case the document contains any alteration or cutting, it must be authenticated with the full signature of the executant/s. Any overwriting should be avoided, and such matter should be rewritten after cutting the overwritten portion, and duly authenticated with full signature of the executant/s. The documents shall be executed in the presence of bank officials and the fact of execution of documents with the date and time of execution, the details of documents executed, the fact of having explaining the contents of the documents in the language known to the executant shall be recorded in a register with the signature of two bank officials so that in case of any dispute regarding execution of documents, this register may be produced as evidence before appropriate authority.

It is sometimes misconceived that if the signature of the maker is attested or witnessed on the Demand Promissory Note, it becomes a Bond. This point was challenged in Mysore. High Court Raghunath Balkrishna Deshpande Vs. Biharilal Krishna Prasad Dave (A.I.R. 1972 Mysore 15 p.). It was held by the Court that the Promissory Note even if attested does not become a Bond.

27.3.6 Legal Procedures

In some cases, after execution of the document, certain legal procedures are required to be completed. For example, in case of advances to limited companies against its assets, the required forms are to be presented to the Registrar of Companies. Similarly, in the case of creation of registered mortgages, the mortgage deed is presented for registration before the Registrar of Assurances within four months from the date of execution of the deed. If these procedures are not observed then the bank may have to lose priority over the security. The documents, in some cases, may not be admissible as evidence before the competent authority.

27.3.7 Keeping Documents Valid (in force)

Limitation period for recovery of Debt in India is governed by the Limitation Act, 1963. The Limitation Act, 1963 specifies certain prescribed period within which any suit appeal or application can be made. A banker is allowed to take legal action by filing a suit, prefer an appeal and apply for recovery only when the documents are within the period of limitation.

If the documents are expired or are time barred, the banker cannot take any legal course of action to recover the dues. Banks should be careful to ensure that all legal loan documents held are valid and not time barred. Banks should ensure that all loan documents are properly executed and they are within the required limitation period as per the limitation act. Banks are expected to hold valid legal documents as per the provisions of the Limitation act. Limitation period can be extended in the following manner:

Acknowledgement of debt:

By obtaining acknowledgement of debt in writing from the borrower before expiry of the prescribed period of limitation, limitation period is extended.

Part payment:

Limitation period is extended when borrower or his duly authorized agent makes part re-payment of the loan, before expiry of the documents. Evidence of such payments should be under the signature of the borrower or his authorized agent. If limitation period expires, it can be extended only by executing fresh set of documents. Fresh limitation period will be available from the date of execution of such documents. The period of limitation varies between documents, e.g. it is 3 years from the execution date for a DPN, 12 years for a mortgage etc.

Renewal of Documents

At the time of renewal or variation within the limit the bank should obtain a fresh set of documents or continue the existing set of documents duly supported by supplemental/additional deeds if required. Cancellation of the existing set of documents would cause a discontinuity in the bank's charge on the security for the credit facility.

It is not mandatory to obtain fresh sets of documents for renewal of the credit facility. A formal letter to the borrower agreeing to continue the credit facility by the bank for a further period of say, one year, at his request would suffice. Acknowledgement of the debt and security incorporating particulars of the original security document duly signed by the borrower are obtained, at the time of renewal and attached to form part of the original set of documents.

Revival of Time Barred Debts

When time barred debts are to be revived, the recourse may be to Sec. 25(3) of the Contract Act, 1872. This section provides that a promise made in writing and signed by the person to be charged therewith, or by his agent, generally or specially authorised in that behalf, to pay wholly or in part, a debt, of which the creditor might have enforced payment but for the law of limitation of suits, is not void for want of consideration.

A fresh promise to pay a time-barred debt confers a fresh cause of action. The promise must be expressed or necessarily implied. A fresh promise is a good consideration for the time-barred debt. The fresh documents obtained should be for the principal and the up-to-date interest, particularly in cases where interest is ceased. In a recent case the following words were held to be a fresh promise to pay. "I am arranging to pay the amount of about ₹ 50,000/- by cash. For the rest of the amount I will arrange to send a bank Guarantee".

A statement made by a witness in court, admitting a time barred debt, does not constitute a promise to pay within the meaning of Sec. 25(3), (*Lalan Sanbayya vs Pattan*, AIR 1963 AP 337). To bring the case within the meaning of Sec. 25(3), it is necessary to show that there was an express promise to pay, as a mere acknowledgement of liability, even if it implied a promise, would not be sufficient for this purpose (*Ganesh vs Mallu Mal Girdar Das*, AIR 1931 All).

The Calcutta High Court in a decision (*Manoj Kumar Saha vs Nobadwip Chandra Poddar*, AIR 1978 Cal. III) stated that a mortgage by deposit of title deeds, in lieu of a barred debt, is valid. Sec. 25(3) does not govern it because it is a payment of the debt in as much as the mortgage virtually discharged the debt by assigning to the mortgagee an interest corresponding in money value.

27.3.8 Safekeeping and Preservation of Documents

Loan documents are very valuable to banks as they evidence the claims a bank has vis-à-vis its customers. While they may actually be used sparingly and only in case of defaulters, when required they are vital for the bank to enforce its claim. Nowadays banks give loan for a longer period say twenty years or even twenty-five years. This requires such documents to be preserved for a long period of time. Hence, documents should be stored securely and properly. Care should be taken that it is kept in fireproof and pilfer-proof cabinets/ strong rooms. Besides, for ensuring responsibility and accountability the documents are kept in personal custody of an authorised official. On change of incumbency, proper handing over and taking over of these documents is done. Until such time the entire dues are recovered, the documents are

to be preserved in good condition. Besides, in view of legal requirements for maintenance of records the documents are preserved for specified period after full recovery of dues. With the changes in business processes among banks, the loan documents are generally stored at hubs/ nodal points for the customers in a particular region/ zone, unlike in the past when each branch would hold the documents pertaining to its borrowers.

27.4 LET US SUM UP

Among the various purposes of taking documents, resorting to legal remedies, in case of necessity, is the prime one. Following various steps namely, selection of correct set of documents, stamping at right point of time, filling in a proper manner, execution, observing the legal formalities, keeping the documents alive always and preserving the documents till the entire dues are recovered, meticulously will help a banker in ensuring error-free documentation.

27.5 KEYWORDS

Documentation, Demand Promissory Note, Agreement, Stamping, Acknowledgement of Debt, Revival of Document, Renewal of Document

27.6 CHECK YOUR PROGRESS

1. As per the Stamp Act, a document executed in India shall be stamped _____.
 - (a) only before execution
 - (b) at any time, but before filing suit
 - (c) within 30 days after execution
 - (d) before or at the time of execution
2. Which one of the following statements is not true?
 - (a) The Court can condone delay in filing suit as per Sec. 5 of the Limitation Act
 - (b) An agreement is not stamped before or at the time of execution in India, the defect can be cured by paying penalty
 - (c) When the borrower acknowledges the debt before the expiry of limitation period, the period of limitation is extended by one more period.
 - (d) If the borrower makes part payment into the loan account before the expiry of limitation period, the period of limitation is extended by one more period.

27.7 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (a).

UNIT 28

NON-PERFORMING ASSETS/ STRESSED ASSETS

(IRAC Norms/ Resolution of Stressed Assets)

STRUCTURE

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28.0 OBJECTIVES

After studying this Unit, you will:

- Understand the concept of Non-performing Assets
- Know the guidelines on classification of assets
- Learn the norms for income recognition
- Know about the provisioning norms.
- Know about writing off of NPAs
- Understand the framework for resolution of stressed assets

28.1 INTRODUCTION

In line with international practices and as per the recommendations made by the 'Committee on the Financial System' (Chairman Shri M. Narasimham), the RBI has introduced, in a phased manner, prudential norms for income recognition, asset classification and provisioning for the advances portfolio of the banks, to move towards greater consistency and transparency in the published accounts.

The policy of income recognition should be objective and based on record of recovery rather than on any subjective considerations. Likewise, the classification of assets of banks should be done based on an objective criteria, which would ensure a uniform and consistent application of the norms. In addition, the provisioning should be made based on the classification of assets based on the period for which the asset has remained non-performing and the availability of security and the realisable value thereof.

28.2 DEFINITIONS

28.2.1 Non-Performing Assets (NPA)

An asset, including a leased asset, becomes an NPA when it ceases to generate income for the bank. A non-performing asset (NPA) is a loan or an advance where;

- the interest and/or instalment of principal remain overdue for a period of more than ninety days in respect of a term loan,
- the account remains 'out of order' as indicated below, in respect of an overdraft/ cash credit (OD/CC),
- the bill remains overdue for a period of more than 90 days, in the case of bills purchased and discounted,
- the instalment of the principal or the interest thereon remains overdue for two crop seasons for short duration crops,
- an instalment of the principal or the interest thereon remains overdue for one crop season for long duration crops.
- the amount of liquidity facility remains outstanding for more than 90 days, in respect of a securitisation transaction undertaken in terms of the RBI Directions on Securitisation of Standard Assets
- In respect of derivative transactions, the overdue receivables representing positive mark-to-market value of a derivative contract, if these remain unpaid for a period of 90 days from the specified due date for payment.

28.2.2 'Out of Order' Status

An account shall be treated as 'out of order', if

- the outstanding balance remains continuously in excess of the sanctioned limit/drawing power for 90 days, or
- The outstanding balance in the CC/OD account is less than the sanctioned limit/drawing power but there are no credits continuously for 90 days, or the outstanding balance in the CC/OD account is less than the sanctioned limit/drawing power but credits are not enough to cover the interest debited during the previous 90 days period.

28.2.3 Overdue

Any amount due to the bank under any credit facility is 'overdue' if it is not paid on the due date fixed by the bank.

28.3 INCOME RECOGNITION

28.3.1 Income Recognition – Policy

The policy of income recognition has to be objective and based on the record of recovery. Internationally, income is not recognised from an NPA on an accrual basis, but is booked as income only when it is actually received. Following basic norms are to be followed for income recognition:

- Banks should not charge and take to the income account, interest on any NPA, including in case of Government guaranteed accounts.
- Interest on advances against term deposits, NSCs, IVPs, KVPs and Life policies are taken to the income account on the due date, provided adequate margin is available in the accounts.
- Fees and commissions earned because of renegotiations or rescheduling of outstanding debts should be recognised on an accrual basis over the period of time covered by the renegotiated or rescheduled extension of credit.

28.3.2 Reversal of Income

- Interest Income:** If any advance, including bills purchased and discounted, becomes an NPA, the interest accrued and credited to income account in the past periods, should be reversed or provided for if the same is not realised. This will apply to Government guaranteed accounts also.
- Fees, commission, etc.:** In respect of NPAs, fees, commission and similar income that have accrued will cease to accrue in the current period, and reversed or provided for, with respect to past periods, if uncollected.
- Finance Charge on Leased Assets:** The finance charge component of finance income [as defined in 'AS 19-Leases' issued by the Council of the Institute of Chartered Accountants of India (ICAI)] on the leased asset which has accrued and was credited to income account before the asset became non-performing, and remaining unrealised, should be reversed or provided for in the current accounting period.

28.3.3 Appropriation of Recovery in NPAs

Interest realised on NPAs is taken to income account, provided the credits in the accounts towards interest are not out of fresh/additional credit facilities sanctioned to the borrower concerned.

In the absence of a clear agreement between the bank and the borrower for the purpose of appropriation of recoveries in NPAs (i.e. towards principal or interest due), banks should adopt an accounting principle and exercise the right of appropriation of recoveries in a uniform and consistent manner.

28.3.4 Interest Application

On an account turning NPA, banks should reverse the interest already charged and not collected by debiting Profit and Loss account and stop further application of interest. However, banks may continue to record such accrued interest in a Memorandum account in their books. For the purpose of computing Gross Advances, interest recorded in the Memorandum account should not be taken into account.

28.3.5 Reporting of NPAs

Banks are required to furnish a report on NPAs as on 31 March each year, after completion of audit. The NPAs would relate to the banks' global portfolio, including the advances at the foreign branches. While reporting NPA figures Banks have to compute their Gross Advances, Net Advances, Gross NPAs and Net NPAs, as per the guidelines prescribed by RBI and submit the data in the format prescribed by RBI.

28.4 COMPUTATION OF GROSS ADVANCES, GROSS NPA, NET ADVANCES, AND NET NPA

Banks are required to compute Gross Advances, Net Advances, Gross NPAs and Net NPAs, as per the prescribed format.

- A. **Gross advances** = Standard Assets plus Gross NPA
- B. **Gross NPA as percentage of Gross advances** = Gross NPA/Gross advances (in %)
- C. **Net advances** = Gross advances minus Deductions (see D below)
- D. **Deductions**
 - (i) Provisions held in the case of NPA accounts (including prescribed additional provisions)
 - (ii) DICGC/ECGC claims received and held pending adjustment
 - (iii) Part payment received and kept in Suspense Account or any other similar account
 - (iv) Balance in Sundries Account (Interest Capitalization - Restructured Accounts), in respect of NPA accounts
 - (v) Floating Provisions
- E. **Net NPA** = Gross NPA minus Deductions (listed above)
- F. **Net NPAs as percentage of Net Advances** = Net NPAs/Net advances (in %)
 - (i) Gross NPAs = Principal dues of NPAs plus Funded Interest Term Loan (FITL) where the corresponding contra credit is parked in Sundries Account (Interest Capitalization - Restructured Accounts), in respect of NPA Accounts.
 - (ii) 'Gross Advances' mean all outstanding loans and advances including advances for which refinance has been received but excluding rediscounted bills, and advances written off at Head Office level (Technical write off).
 - (iii) Floating Provisions would be deducted while calculating Net NPAs, to the extent, banks have exercised this option, over utilising it towards Tier II capital.

28.5 ASSET CLASSIFICATION

28.5.1 Categories of NPAs

Banks are required to classify non-performing assets into the following three categories based on the period for which the asset has remained non-performing and the realisability of the dues:

- (a) Substandard Assets (b) Doubtful Assets (c) Loss Assets

(a) *Substandard Assets*

With effect from 31 March, 2005, a substandard asset would be one, which has remained a NPA (i.e. out of order, or overdue for 90 days) for a period less than or equal to twelve months.

Such an asset will have well defined credit weaknesses that jeopardise the liquidation of the debt and are characterised by the distinct possibility that the banks will sustain some loss, if deficiencies are not corrected.

(b) *Doubtful Assets*

With effect from 31 March, 2005, an asset would be classified as doubtful if it has remained in the substandard category for a period of twelve months.

It has all the weaknesses inherent in substandard assets, with the added characteristic that the weaknesses make collection or liquidation in full, – on the basis of currently known facts, conditions and values – highly questionable and improbable.

(c) *Loss Assets*

A loss asset is one, where the bank or the internal or external auditors or the RBI inspection has identified the loss but the amount has not been written off wholly. In other words, such an asset is considered uncollectible and of such little value that its continuance as a bankable asset is not warranted although there may be some salvage or recovery value.

28.5.2 Guidelines for Classification of Assets

Broadly speaking, classification of assets into above categories should be done taking into account the degree of well-defined credit weaknesses. There should be appropriate internal systems (including technology enabled processes) for proper and timely identification of NPAs. The availability of security or net worth of borrower/ guarantor should not be taken into account for the purpose of treating an advance as NPA or otherwise, except to the extent permitted.

(I) *Accounts with Temporary Deficiencies*

The classification of an asset as NPA should be based on the record of recovery. Bank should not classify an advance account as NPA merely due to the existence of some deficiencies which are temporary in nature such as non-availability of adequate drawing power based on the latest available stock statement, balance outstanding exceeding the limit temporarily, non-submission of stock statements and non-renewal of the limits on the due date, etc. Banks may adopt the following guidelines:

- (a) Banks should ensure that drawings in the working capital accounts are covered by the of current assets, since current assets are first appropriated in times of distress. Drawing power is arrived at based on current stock statement, which is not older than three months. The outstanding in the account based on drawing power calculated from stock statements older than three months, would be deemed as irregular.
- (b) A working capital borrowal account will become an NPA if such irregular drawings are permitted in the account for a continuous period of ninety days even though the unit may be working or the borrower's financial position is satisfactory.

- (c) Regular and ad hoc credit limits need to be reviewed/regularised not later than three months from the due date/date of the ad hoc sanction. In case of constraints such as non-availability of financial statements and other data from the borrowers, the branch should furnish evidence to show that renewal/ review of credit limits is already on and would be completed soon. In any case, a delay beyond six months is not considered desirable as a general discipline. Hence, an account where the regular/adhoc credit limits have not been reviewed/renewed within 180 days from the due date/date of ad hoc sanction, will be treated as NPA.

Upgradation of Loan Accounts Classified as NPAs

If arrears of the interest and the principal are paid by the borrower, in the case of loan accounts classified as NPAs, the account should no longer be treated as non-performing and may be classified as 'standard' accounts.

(II) *Accounts Regularised near about the Balance Sheet Date*

The asset classification of borrowal accounts where a solitary or a few credits are recorded before the balance sheet date should be handled with care and without scope for subjectivity. Where the account indicates inherent weakness on the basis of the data available, the account should be deemed as a NPA. In other genuine cases, the banks must furnish satisfactory evidence to the Statutory Auditors/ Inspecting Officers about the manner of regularisation of the account to eliminate doubts on their performing status.

(III) *Asset Classification to be Borrower-wise and not Facility-wise*

- (i) It is difficult to envisage a situation when only one facility to a borrower/one investment in any of the securities issued by the borrower becomes a problem credit/investment and not others. Therefore, all the facilities granted by a bank to a borrower and investment in all the securities issued by the borrower will have to be treated as NPA and not the particular facility/investment or part thereof which has become irregular.
- (ii) If the debits arising out of devolvement of letters of credit or invoked guarantees are in a separate account, the balance outstanding in that account also should be treated as a part of the borrower's principal operating account for the purpose of application of prudential norms on income recognition, asset classification and provisioning.
- (iii) The bills discounted under LC favouring a borrower may not be classified as a NPA, when any other facility granted to the borrower is classified as NPA. However, in case documents under LC are not accepted on presentation or the payment under the LC is not made on the due date by the LC issuing bank for any reason and the borrower does not immediately make good the amount disbursed as a result of discounting of concerned bills, the outstanding bills discounted will immediately be classified as NPA with effect from the date when the other facilities had been classified as NPA.
- (iv) Derivative Contracts: The overdue receivables representing positive mark-to-market value of a derivative contract will be treated as a non-performing asset, if these remain unpaid for 90 days or more. Certain specific aspects stipulated for derivatives are to be followed.

(IV) *Advances under Consortium Arrangements*

Asset classification of accounts under consortium should be based on the record of recovery of the individual member banks and other aspects that have a bearing on the recoverability of the advances. The banks participating in the consortium should, therefore, arrange to get their share of recovery transferred from the lead bank or get an express consent from the lead bank for the transfer of their share of recovery, to ensure proper asset classification in their books.

(V) *Accounts where there is Erosion in the Value of Security due to Frauds Committed by Borrowers*

In respect of accounts where there are potential threats for recovery, because of erosion in the value of security or non-availability of security, the existence of other factors such as frauds committed by borrowers, it will not be prudent that such accounts should go through various stages of asset classification. In cases of such serious credit impairment, the asset should be straightaway classified as doubtful or loss asset as appropriate and in line with prescribed norms.

(VI) *Advances to Primary Agricultural Credit Societies (PACS)/Farmers' Service Societies (FSS) ceded to Commercial Banks*

Agricultural advances and advances for other purposes granted to PACS/ FSS under the on-lending system, only that particular credit facility granted to PACS/ FSS which is in default for a period of two crop seasons in case of short duration crops and one crop season in case of long duration crops will be classified as NPA.

- Other credit facilities sanctioned to a PACS/ FSS will not be affected.
- Other direct loans & advances, if any, granted to the member borrower of a PACS/ FSS outside the on-lending arrangement will become NPA even if one of the credit facilities granted to the same borrower becomes NPA.

(VII) *Advances against Term Deposits, NSCs, KVP/IVP, etc.*

Advances against term deposits, NSCs eligible for surrender, IVPs, KVPs and life policies need not be treated as NPAs. Advances against gold ornaments, government securities and all other securities are not covered by this exemption.

(VIII) *Loans with Moratorium for Payment of Interest*

- (i) In the case of finance for industrial projects or for agricultural plantations, etc., where a moratorium is available for the payment of interest, it becomes 'due' only after the moratorium or gestation period is over. They become overdue after the due date for payment of interest, if uncollected, and then reckoned for NPA based on the period.
- (ii) In case of a housing loan or similar advances granted to staff members where interest is payable after the recovery of principal, interest need not be considered as overdue from the first quarter onwards. Such loans/advances should be classified as NPA only when there is a default in repayment of instalment of principal or payment of interest, on the respective due dates.

(IX) *Agricultural Advances*

- (i) A loan granted for short duration crops is treated as NPA, if the instalment of principal or interest thereon remains overdue for two crop seasons. A loan granted for long duration crops is treated as NPA only if the instalment of principal or interest thereon remains overdue for one crop season.

'Long duration' crops: These are crops with a crop season longer than one year.

'Short duration' crops: Those crops which are not 'long duration' crops.

The crop season for each crop would be as determined by the SLBC in each State. The NPA norms for agricultural term loan to a farmer will also depend upon the duration of crops raised by him.

In respect of other agricultural loans and the term loans to non-agriculturists, identification of NPAs is done in same manner as for non-agricultural advances.

- (ii) Where natural calamities impair the repaying capacity of agricultural borrowers, banks may decide on their own, as a relief measure, conversion of the short term production loan into a

term loan or a rescheduling of the repayment period or the sanction of a fresh short-term loan. In such cases the revised/ fresh facilities are treated as current dues and need not be classified as NPA. These would be dealt with as per the revised terms and conditions and the NPA norms applicable for usual agricultural advances.

- (iii) While fixing the repayment schedule in the case of rural housing advances granted to agriculturists under the 'Indira Awas Yojana' / Pradhan Mantri Gram Awas Yojana and 'Golden Jubilee Rural Housing Finance Scheme', banks should ensure that the interest/instalment payable on such advances are linked to crop cycles.

(X) Government Guaranteed Advances

- (i) The credit facilities backed by guarantee of the Central Government, though overdue, may be treated as an NPA only, when the Government repudiates its guarantee when invoked. This exemption from classification of Government guaranteed advances as NPA is not for the purpose of recognition of income.
- (ii) With effect from the year ending 31 March, 2006, State Government guaranteed advances and investments in State Government guaranteed securities attract asset classification and provisioning norms if interest and/or principal or any other amount due to the bank remains overdue for more than 90 days.

(XI) Projects under implementation

For all projects financed by the FIs/ banks, the Date of Commencement of Commercial Operations (DCCO) of the project should be clearly spelt out at the time of financial closure and should be documented the bank's sanction appraisal note. There can be occasions requiring deferment of DCCO for reasons beyond the control of the borrowers.

Project loans are divided into – (a) infrastructure sector; and (b) non-infrastructure sector.

Detailed norms have been stipulated by RBI for various situations leading to delays in implementation of projects. These norms broadly fall into categories indicated below.

A. Deferment of DCCO

Time limits for deferment of DCCO have been prescribed for treatment of the project loan as 'Standard' asset, making usual provision, and recognising interest income on accrual basis.

B. Projects under Implementation – Change in Ownership

Where change in ownership happens for project implementation, within the prescribed time limits for DCCO deferment, additional deferment is permitted for treatment as 'Standard' asset, subject to prescribed conditions.

C. Deemed DCCO

For projects, with multiple independent units, partially operationalised, norms for deemed DCCO, and asset classification have been laid down.

D. Projects under Implementation - Financing of Cost Overruns

For finance extended for cost overruns to projects under implementation, norms for asset classification have been stipulated.

E. Other Issues

Norms for projects with change in repayment schedule on account of increase in its size and scope, and projects with multiple revisions of DCCO/ repayment schedule within equal duration have been laid down.

F. Asset Classification for Projects Under Implementation Relating to Deferment Of DCCO And Cost Overrun

Norms for asset classification for projects under implementation with deferment of DCCO and cost overrun have been stipulated.

G. Income Recognition for Projects under Implementation

- (i) Income can be recognized on accrual basis for the projects under implementation, classified as 'standard'.
- (ii) Income cannot be recognized on accrual basis for the projects under implementation classified as a 'substandard' asset, but only on realisation i.e. on cash basis.
- (iii) Treatment of FIT / debt/ equity instruments created by conversion of principal/ unpaid interest will be as per norms in case of restructured assets.

(XII) Post-shipment Supplier's Credit

For post-shipment credit extended by the banks covering export of goods to countries for which the ECGC cover is available, EXIM Bank has introduced a guarantee-cum- refinance programme. In the event of default, EXIM Bank will pay the guaranteed amount to the bank within a period of 30 days from the day the bank invokes the guarantee after the exporter has filed claim with ECGC. Accordingly, to the extent payment has been received from the EXIM Bank, the advance may not be treated as a non-performing asset for asset classification and provisioning purposes.

(XIII) Export Project Finance

For export project finance, there could be instances where the actual importer has paid the dues to the bank abroad but the bank in turn is unable to remit the amount due to political developments such as war, strife, UN embargo, etc. In such cases, where the lending bank is able to establish through documentary evidence that the importer has cleared the dues in full by depositing the amount in the bank abroad before it turned into NPA in the books of the bank, but the importer's country is not allowing the funds to be remitted due to political or other reasons, the asset classification may be made after a period of one year from the date the amount was deposited by the importer in the bank abroad.

(XIV) Transfer of Loan Exposure

The asset classification and provisioning requirements in respect of transactions involving transfer of loans shall be as per the RBI (Transfer of Loan Exposures) Directions, 2021.

(XV) Credit Card Accounts

A credit card account will be treated as non-performing asset if the minimum amount due, as mentioned in the statement, is not paid fully within 90 days from the payment due date mentioned in the statement. Banks shall report a credit card account as 'past due' to credit information companies (CICs) or levy penal charges, viz. late payment charges, etc., if any, only when a credit card account remains 'past due' for more than three days. The number of 'days past due' and late payment charges shall, however, be computed from the payment due date mentioned in the credit card statement.

(XVI) *Upgradation of Restructured Accounts*

The substandard accounts which have been subjected to restructuring, etc., whether in respect of principal instalment or interest amount, by whatever modality, would be eligible for upgrading to the standard category, only after the specified period, i.e. a period of one year after the date when the first payment of interest or of principal, whichever is earlier, falls due, subject to satisfactory performance during the period. The amount of provision made earlier, net of the amount provided for the sacrifice in the interest amount in present value terms as aforesaid, could also be reversed after the one-year period. During this one-year period, the substandard asset will not deteriorate in its classification if satisfactory performance of the account is demonstrated during the period. In case, however, the satisfactory performance during the one-year period is not evident, the asset classification of the restructured account would be governed as per the applicable prudential norms with reference to the pre-restructuring payment schedule.

(XVII) *Takeout Finance*

Takeout finance is the product emerging in the context of the funding of long-term infrastructure projects. Under this arrangement, the institution/the bank financing infrastructure projects will have an arrangement with any financial institution for transferring to the latter the outstanding in respect of such financing in their books on a predetermined basis. In view of the time-lag involved in taking-over, the possibility of a default in the meantime cannot be ruled out. The norms of asset classification will have to be followed by the concerned bank/financial institution in whose books the account stands as balance sheet item as on the relevant date. If the lending institution observes that the asset has turned NPA on the basis of the record of recovery, it should be classified accordingly. The lending institution should not recognise income on accrual basis and account for the same only when it is paid by the borrower/taking over institution (if the arrangement so provides). However, the taking over institution, on taking over such assets, should make provisions treating the account as NPA from the actual date of it becoming NPA even though the account was not in its books as on that date.

28.6 PROVISIONING NORMS

28.6.1 General Norms for Provisions on Advances

General norms for making provisions on advances are as indicated below. Banks should make provisions against substandard assets, doubtful assets and loss assets as below.

(a) *Loss Assets*

Loss assets should be written off. If loss assets are permitted to remain in the books for any reason, 100 per cent of the outstanding should be provided for.

(b) *Doubtful Assets*

- 100 per cent of the extent to which the advance is not covered by the realisable value of the security to which the bank has a valid recourse and the realisable value is estimated on a realistic basis.
- In regard to the secured portion, provision may be made on the following basis, at the rates ranging from 25 per cent to 100 per cent of the secured portion depending upon the period for which the asset has remained doubtful.

Period for which the advance has remained in 'doubtful' category	Provision requirement (%)
Up to one year	25
One to three years	40
More than three years	100

In cases of NPAs with balance of ₹5 crore and above stock audit at annual intervals by external agencies appointed as per the guidelines approved by the Board would be mandatory in order to enhance the reliability on stock valuation. Collaterals such as immovable properties charged in favour of the bank should be valued once in three years by valuers appointed as per the guidelines approved by the Board of Directors

(c) **Substandard Assets**

- A general provision of 15 per cent on total outstanding should be made without making any allowance for ECGC guarantee cover and securities available.
- The unsecured exposures, which are identified as 'substandard' would attract additional provision of 10% per cent, i.e. a total of 25 per cent on the outstanding balance.
- For infrastructure projects loan accounts (if bank has in place an appropriate mechanism to escrow the cash flows and also have a clear and legal first claim on these cash flows) which are classified as sub-standard the total provisioning required is of 20 per cent instead of 25 per cent.

(d) **Unsecured Exposure:**

- The provisioning requirement for unsecured 'doubtful' assets is 100 per cent.
- 'Unsecured exposure' is defined as an exposure where the realisable value of the security, as assessed by the bank/ approved valuers/ RBI's inspecting officers, is not more than 10 per cent, ab initio, of the outstanding exposure. 'Exposure' shall include all funded and non-funded exposures (including underwriting and similar commitments). 'Security' will mean tangible security properly charged to the bank and will not include intangible securities like guarantees, comfort letters, etc.
- In order to ensure correct reflection of the unsecured advances, the following norms are in place:
 - (i) For determining the amount of unsecured advances - the rights, licenses, authorisations, etc., - charged as collateral in respect of projects (including infrastructure projects) financed should not be reckoned as tangible security. Hence advances covered only by such securities shall be reckoned as unsecured.
 - (ii) Annuities under build-operate-transfer (BOT) model in respect of road/ highway projects and toll collection rights (where there are provisions to compensate the project sponsor if a certain level of traffic is not achieved) are treated as tangible securities, if the banks' right to receive annuities and toll collection rights is legally enforceable and irrevocable.
 - (iii) Most of the infrastructure projects, especially road/highway projects are user-charge based, under Model Concession Agreements (MCAs), adopted by various Ministries and State Governments for their respective public-private partnership (PPP) projects. They provide adequate comfort to the lenders regarding security of their debt. In view of the above features, in case of PPP projects, the debts due to the lenders may be considered as secured to the extent assured by the project authority in terms of the Concession Agreement, subject to the prescribed conditions.
 - (iv) Banks should disclose the total amount of advances for which intangible securities have been taken and the estimated value of such intangible collateral. This would differentiate such loans from other entirely unsecured loans.

(e) **Standard Assets**

Banks should make general provisions for standard assets at the following rates for the funded outstanding on global loan portfolio basis:

- (a) Farm Credit to agricultural activities, individual housing loans and Small and Micro Enterprises (SMEs) sectors at 0.25 per cent;
- (b) Advances to Commercial Real Estate (CRE)1 Sector at 1.00 per cent;
- (c) Advances to Commercial Real Estate – Residential Housing Sector (CRE - RH)2 at 0.75 per cent
- (d) Housing loans extended at teaser rates (Some banks offer housing loans at comparatively lower rates of interest in the first few years, after which rates are reset at higher rates) at 2.00 per cent. The provisioning on these assets would reduce to 0.40 per cent after 1 year from the date on which the rates are reset at higher rates if the accounts remain ‘standard’;
- (e) Restructured advances – as stipulated in the prudential norms for restructuring of advances.
- (f) Advances restructured and classified as standard in terms of the Master Direction – RBI (Relief Measures by Banks in Areas affected by Natural Calamities) Directions 2018 – SCBs, as updated from time to time, at 5%.
- (g) All other loans and advances not included in (a) – (f) above at 0.40 per cent (including Medium Enterprises)

The provisions on standard assets should not be reckoned for arriving at net NPAs. The provisions towards Standard Assets need not be netted from gross advances.

A high level of unhedged foreign currency exposures of the entities can increase the probability of default in times of high currency volatility. Hence, banks are required to estimate the riskiness of unhedged position of their borrowers and make incremental provisions on their exposures:

Likely Loss / EBID (%)	Incremental Provisioning Requirement on the total credit exposures over and above extant standard asset provisioning
Upto 15 per cent	0
More than 15 per cent and upto 30 per cent	20 bps
More than 30 per cent and upto 50 per cent	40 bps
More than 50 per cent and upto 75 per cent	60 bps
More than 75 per cent	80 bps

For this purpose, EBID, as defined for computation of DSCR is Profit After Tax + Depreciation + Interest on debt + Lease Rentals, if any.

28.6.2 Creation and Utilisation of Floating Provisions(a) **Creation of Floating Provisions:**

Board approved policy to be framed for floating provisions for both ‘advances’ and ‘investments’. The bank should hold floating provisions for ‘advances’ and ‘investments’ separately.

(b) **Utilisation of Floating Provisions:**

Permitted and prohibited uses of floating provisions are as follows:

- Should not be used for making specific provisions in respect of non-performing assets or for making regulatory provisions for standard assets.

- Can be used only for contingencies under extraordinary circumstances for making specific provisions in impaired accounts after obtaining Board's approval and with prior permission of RBI. The circumstances considered extraordinary to be stated in the Policy.

Extraordinary Circumstances Basis: These are losses which do not arise in the normal course of business and are exceptional and non-recurring in nature. These could be broadly under three categories - General, Market and Credit. Under general category, where bank is put unexpectedly to loss due to events such as civil unrest, collapse of currency in a country, natural calamities and pandemics, etc. Market category would include events such as a general melt down in the markets, which affects the entire financial system. In Credit category, only exceptional credit losses would be considered.

- Cannot be reversed by credit to the profit and loss account.
- Can only be utilised for making specific provisions in extraordinary circumstances as mentioned above.
- Can be netted off from gross NPAs to arrive at disclosure of net NPAs. Alternatively, can be treated as part of Tier II capital within the overall ceiling of 1.25% of total risk weighted assets.

Comprehensive disclosures on floating provisions are required to be made in the “notes on accounts” to the balance sheet.

28.6.3 Additional Provisions at Higher Rates

(a) **For NPAs:**

A bank may voluntarily make specific provisions for advances at rates higher than the prescribed rates, if consistently adopted from year to year. These are distinct from floating provisions. These may be netted off from gross NPAs to arrive at the net NPAs

(b) **For Standard Assets:**

Provisions at higher rates may be made in respect of advances to stressed sectors of the economy.

28.6.4 Provisions on Leased Assets

(a) **Substandard assets**

- 15 percent of the sum of the net investment in the lease and the unrealised portion of finance income net of finance charge component. The terms ‘net investment in the lease’, ‘finance income’ and ‘finance charge’ are as defined in ‘AS 19 Leases’.
- Unsecured lease exposures, which are identified as ‘substandard’ would attract additional provision of 10 per cent, i.e., a total of 25 per cent.

(b) **Doubtful assets**

100 percent of the extent to which the finance is not secured by the realisable value of the leased asset, should be provided for. Additional provision at the following rates depending upon the period for which asset has been doubtful should be made on the secured portion:

Period for which the advance has remained in ‘doubtful’ category	Provisioning requirement (%)
Up to one year	25
One to three years	40
More than three years	100

(c) **Loss assets**

The entire asset should be written off, if for any reason, an asset is allowed to remain in books, 100 percent of the sum of the net investment in the lease and the unrealised portion of finance income net of finance charge component should be provided for.

28.6.5 Provisions under Special Circumstances

(a) **Advances Against Deposits/ Specific Instruments**

Advances against term deposits, NSCs eligible for surrender, IVPs, KVPs, gold ornaments, government & other securities and life insurance policies would attract provisioning requirements as applicable to their asset classification status.

(b) **Treatment of Interest Suspense Account**

Amounts held in Interest Suspense Account should not be reckoned as part of provisions. Amounts lying in the Interest Suspense Account should be deducted from the relative advances and thereafter, provisioning as per the norms, should be made on the balances after such deduction.

(c) **Advances Covered by ECGC guarantee**

In the case of advances classified as doubtful and guaranteed by ECGC, provision should be made only for the balance in excess of the amount guaranteed by the Corporation. Further, realisable value of the securities should first be deducted from the outstanding balance in respect of the amount guaranteed by the Corporation and then provision made as illustrated hereunder:

Example

Outstanding Balance	₹4 lakhs
ECGC Cover	50 percent
Period for which the advance has remained doubtful	More than 2 years remained doubtful (say as on March 31, 2022)
Value of security held	₹1.50 lakh

Provision required to be made

Outstanding balance	₹4.00 lakh
Less: Value of security held	₹1.50 lakh
Unrealised balance	₹2.50 lakh
Less: ECGC Cover (50% of unrealisable balance)	₹1.25 lakh
Net unsecured balance	₹1.25 lakh
Provision for unsecured portion of advance	₹1.25 lakh (@ 100 percent of unsecured portion)
Provision for secured portion of advance (as on March 31, 2022)	₹0.60 lakh (@ 40 per cent of the secured portion)
Total provision to be made	₹1.85 lakh (as on March 31, 2022)

(d) **Advance Covered by Guarantees of Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) or Credit Risk Guarantee Fund Trust for Low Income Housing (CRGFTLIH)**

In case the advance covered by CGTMSE or CRGFTLIH guarantee becomes non-performing, no provision need be made towards the guaranteed portion. The amount outstanding in excess of the guaranteed portion should be provided for. An illustrative example is given below:

Example:

Outstanding Balance Rs.10 lakhs	Outstanding Balance Rs.10 lakhs
CGTMSE/CRGFTLIH Cover	75% of the amount outstanding or 75% of the unsecured amount or Rs.37.50 lakh, whichever is the least
Period for which the advance has remained doubtful	More than 2 years remained doubtful (say as on March 31, 2022)
Value of security held Rs.1.50 lakhs	Value of security held Rs.1.50 lakhs

Provision required to be made

Balance outstanding	₹10.00 lakh
Less: Value of security	₹1.50 lakh
Unsecured amount	₹8.50 lakh
Less: CGTMSE/CRGFTLIH cover (75%)	₹6.38 lakh
Net unsecured and uncovered portion:	₹2.12 lakh
Provision for Secured portion @ 40% of Rs.1.50 lakh	₹0.60 lakh
Provision for Unsecured & uncovered portion @ 100% of Rs.2.12 lakh	₹2.12 lakh
Total provision required	₹2.72 lakh

(e) **Reserve for Exchange Rate Fluctuations Account (RERFA)**

When exchange rate movements of Indian rupee turn adverse, the outstanding amount of foreign currency denominated loans (disbursed in Indian Rupee) which becomes overdue, goes up correspondingly, with its attendant implications of provisioning requirements. Such assets should not normally be revalued. In case such assets need to be revalued as per requirement of accounting practices or for any other requirement, the following procedure may be adopted:

- Loss on revaluation of assets has to be booked in the bank's Profit & Loss Account.
- In addition to the normal provisioning requirement, the full amount of the Revaluation Gain, if any, should be used to make provisions against the corresponding assets.

(f) **Provisioning for Country Risk**

Banks are making provisions, with effect from the year ending March 31, 2003, on the net funded country exposures on a graded scale ranging from 0.25 to 100 percent according to the risk categories mentioned below. To begin with, banks shall make provisions as per the following schedule:

Risk category	ECGC Classification	Provisioning Requirement (per cent)
Insignificant	A1	0.25
Low	A2	0.25
Moderate	B1	5
High	B2	20
Very high	C1	25
Restricted	C2	100
Off-credit	D	100

Banks are required to make provision for country risk in respect of a country where its net funded exposure is one per cent or more of its total assets.

The provision for country risk is in addition to the provisions for asset classification status. In the case of 'loss assets' and 'doubtful assets', total provision may not exceed 100% of the outstanding. No provision is required for 'home country' exposures i.e. exposure to India. The exposures of foreign branches of Indian banks to the host country should be included. Foreign banks shall compute the country exposures of their Indian branches and shall hold appropriate provisions in their Indian books. However, their exposures to India will be excluded.

Lower level of provisioning (say 25% of the requirement) may be made in respect of short-term exposures (i.e. exposures with contractual maturity of less than 180 days).

(g) **Provisioning Norms for Liquidity Facility Provided for Securitisation Transactions**

The amount of liquidity facility drawn and outstanding for more than 90 days, in respect of securitisation transactions, should be fully provided for.

(h) **Provisioning Requirements for Derivative Exposures**

Credit exposures (as per the current marked to market value) arising on account of the interest rate & foreign exchange derivative transactions, credit default swaps and gold, attract provisioning requirement as applicable to loan assets in 'standard' category, of the concerned counterparties. All conditions for treatment of the provisions would also apply to the aforesaid provisions for derivative and gold exposures.

(i) **Provisioning for Housing Loans at Teaser Rates**

It has been observed that some banks are following the practice of sanctioning housing loans at teaser rates i.e. at comparatively lower rates of interest in the first few years, after which rates are reset at higher rates. Some borrowers may find it difficult to service the loans once the normal interest rate, becomes effective. Also many banks at the time of initial loan appraisal, do not take into account the repaying capacity of the borrower at normal lending rates. Standard asset provisioning on the outstanding amount of such loans has been increased to 2.00 per cent initially, that revert to 0.40 per cent after 1 year from the date on which the rates are reset at higher rates if the account remains 'standard'.

(j) **Provisioning requirement for Enhancing Credit Supply for Large Borrowers through Market Mechanism**

In respect of specified borrowers, as per the provisions of the Guidelines on Enhancing Credit Supply for Large Borrowers through Market Mechanism dated August 25, 2016, banks shall make additional provisions of 3 percentage points over and above the applicable provision on the incremental exposure of the banking system in excess of Normally Permitted Lending Limit (NPLL) as defined in the said guidelines. This higher provisioning requirement shall be distributed in proportion to each bank's funded exposure to the specified borrower.

28.6.6 Provisioning Coverage Ratio

Provisioning Coverage Ratio (PCR) is essentially the ratio of provisioning to gross non-performing assets and indicates the extent of funds a bank has kept aside to cover loan losses. The banks were advised that:

- PCR of 70 percent may be with reference to the gross NPA position in banks as on September 30, 2010.
- Surplus of the provision under PCR vis-a-vis as required as per prudential norms should be segregated into an account styled as "countercyclical provisioning buffer".

- This buffer can be used for specific provisions for NPAs during system wide downturn, with prior approval of RBI.
- The PCR of the bank should be disclosed in the Notes to Accounts to the Balance Sheet.

28.7 WRITING OFF OF NPAs

28.7.1 General

As per the Income Tax Act 1961, income by way of interest in relation to such categories of bad and doubtful debts as may be prescribed having regard to the guidelines issued by the RBI shall be chargeable to tax in the previous year in which it is credited to the bank's profit and loss account or received, whichever is earlier. This stipulation is not applicable to provisioning required to be made. In other words, amounts set aside for making provision for NPAs as above are not eligible for tax deductions.

The banks should either make full provision as per the guidelines or write-off such advances and claim such tax benefits as are applicable, by evolving appropriate methodology in consultation. Recoveries made in such accounts should be offered for tax purposes as per the rules.

28.7.2 Write-off at Head Office Level

Banks can write-off advances at Head Office level, even though the relative advances are still outstanding in the branch books. However, it is necessary that provision is made as per the classification accorded to the respective accounts.

Banks are required to extinguish all available means of recovery before writing off any account fully or partly. Banks should disclose full details of write offs, including separate details about technical write offs, in their annual financial statements as per the prescribed format.

28.8 NPA MANAGEMENT – REQUIREMENT OF EFFECTIVE MECHANISM AND GRANULAR DATA

Asset quality of banks is one of the most important indicators of their financial health. Banks should, therefore put in place a robust MIS mechanism for early detection of signs of distress at individual account level as well as at segment level (asset class, industry, geographic, size, etc.). Such early warning signals should be used for putting in place an effective preventive asset quality management framework, including a transparent restructuring mechanism for viable accounts under distress within the prevailing regulatory framework, for preserving the economic value of those entities in all segments.

There should be no inconsistencies between information furnished under regulatory/ statutory reporting and the banks' own MIS reporting. Banks should also have system generated segment wise information on non-performing assets and restructured assets which may include data on the opening balances, additions, reductions (upgradations, actual recoveries, write-offs etc.), closing balances, provisions held, technical write-offs, etc.

28.9 FRAMEWORK FOR RESOLUTION OF STRESSED ASSETS

28.9.1 Early Identification and Reporting of Stress

Lenders shall recognise incipient stress in loan accounts, immediately on default, by classifying such assets as ‘*special mention accounts*’ (SMA) as per the following categories:

SMA Sub-categories	Basis for classification Principal or interest payment or any other amount wholly or partly overdue between
SMA-0	1-30 days
SMA-1	31-60 days
SMA-2	61-90 days

In the case of revolving credit facilities like cash credit, the SMA sub-categories will be as follows:

SMA Sub-categories	Basis for classification – Outstanding balance remains continuously in excess of the sanctioned limit or drawing power, whichever is lower, for a period of:
SMA-1	31-60 days
SMA-2	61-90 days

Lenders are required to report credit information, including classification of an account as SMA to Central CRILC, on all borrowers having aggregate exposure of ₹5 crore and above with them.

- The CRILC-Main Report shall be submitted on a monthly basis.
- In addition, the lenders shall submit a weekly report of instances of default by all borrowers (with aggregate exposure of ₹5 crore and above).

28.9.2 Implementation of Resolution Plan

Applicability

The provisions of the directions on the subject issued by RBI shall apply to the following entities:

- a. Scheduled Commercial Banks (excluding Regional Rural Banks);
- b. All India Term Financial Institutions (NABARD, NHB, EXIM Bank, and SIDBI);
- c. Small Finance Banks; and,
- d. Systemically Important Non-Deposit taking NBFCs (NBFC-ND-SI) and Deposit taking NBFCs (NBFC-D).

Lenders must put in place Board-approved policies for resolution of stressed assets, including the timelines. Lenders are required to initiate the process of implementing a resolution plan (RP) even before a default. Salient steps in this regard are as follows:

- Once a borrower is reported to be in default by any of the lenders, to undertake a prima facie review of the borrower account within 30 days from such default (“Review Period”).
- The lender may decide on the resolution strategy, or choose to initiate legal proceedings for insolvency or recovery.
- Where RP is to be implemented, all lenders shall enter into an inter-creditor agreement (ICA), during the Review Period.

- The ICA shall provide that any decision agreed by lenders representing 75 per cent by value of total outstanding credit facilities (fund based as well non-fund based) and 60 per cent of lenders by number shall be binding upon all the lenders.
- In particular, the RPs shall provide for payment not less than the liquidation value due to the dissenting lenders.
- RP shall be implemented within 180 days from the end of Review Period.
- The Review Period shall commence not later than:
 - The reference date, if in default as on the reference date; or
 - The date of first default after the reference date.

The reference dates for the above purpose shall be as under:

Aggregate exposure of the borrower to lenders *	Reference date
₹2000 Cr and above	June 7, 2019
₹1500 Cr and above, but less than ₹2000 Cr	January 1, 2020
Less than ₹1500 Cr	To be announced in due course

(* Scheduled Commercial Banks (excluding Regional Rural Banks), All India Term Financial Institutions (NABARD, NHB, EXIM Bank, and SIDBI) and Small Finance Banks)

- The RP may involve any action/ plan/ reorganization including, but not limited to –
 - Regularisation of the account by payment of all overdues by the borrower entity,
 - Sale of the exposures to other entities / investors,
 - Change in ownership and restructuring.

28.9.3 Implementation Conditions for RP

RPs involving restructuring/ change in ownership in respect of accounts where the aggregate exposure of lenders is ₹100 crore and above, shall require independent credit evaluation (ICE) of the residual debt by authorised credit rating agencies (CRAs).

- A RP in respect of borrowers to whom the lenders continue to have credit exposure, shall be deemed to be ‘implemented’ only if the prescribed conditions are met.
- A RP which involves lenders exiting the exposure by assigning the exposures to third party or a RP involving recovery action shall be deemed to be implemented only if the exposure to the borrower is fully extinguished.

28.9.4 Delayed Implementation of Resolution Plan

Where a viable RP in respect of a borrower is not implemented within the timelines given below, all lenders shall make additional provisions as under:

Timeline for implementation of viable RP	Additional provisions to be made as a % of total outstanding (funded+non-funded), if RP not implemented within the timeline
180 days from the end of Review Period	20%
365 days from the commencement of Review Period	15% (i.e. total additional provisioning of 35%)

28.9.5 Other Aspects

- (a) **Prudential Norms:** The prudential norms applicable to any restructuring/change in ownership, whether under the IBC framework or outside the IBC prescribed by RBI to be followed.
- (b) **Supervisory Review:** Any action by lenders with an intent to conceal the actual status of accounts or evergreen the stressed accounts, will be subjected to stringent supervisory actions.
- (c) **Disclosures:** Lenders shall make appropriate disclosures in their financial statements, under 'Notes on Accounts', relating to RPs implemented.
- (d) **Exemptions:** Provisions related to RP are not applicable to revival and rehabilitation of MSMEs that are covered by separate guidelines. These provisions are not applicable for borrower entities in respect of which specific instructions were issued by RBI to the banks for initiation of insolvency proceedings under the IBC.

28.10 PRUDENTIAL NORMS APPLICABLE TO RESTRUCTURING

28.10.1 Definition of Restructuring

Restructuring is an act in which a lender, for economic or legal reasons relating to the borrower's financial difficulty, grants concessions to the borrower. Restructuring may involve modification of terms of the advances/ securities, which would generally include, among others:

- Alteration of payment period/ payable amount/ the amount of instalments/ rate of interest;
- Roll over of credit facilities;
- Sanction of additional credit facility/release of additional funds for an account in default to aid curing of default/ enhancement of existing credit limits;
- Compromise settlements where time for payment of settlement amount exceeds three months.

There should be Board approved policies on resolution of stressed assets in terms of detailed policies on various signs of financial difficulty, providing quantitative as well as qualitative parameters, for determining financial difficulty as expected from a prudent bank.

Following is a non-exhaustive indicative list of signs of financial difficulty:

- a) A default, as defined in the framework, is as an indicator for financial difficulty, irrespective of reasons for the default.
- b) A borrower not in default, may probably default on any of its exposures in the foreseeable future without the concession, for instance, a pattern of delinquency in payments on its exposures.
- c) A borrower's outstanding securities have been delisted, are in the process of being delisted, or are under threat of being delisted from an exchange due to noncompliance with the listing requirements or for financial reasons.
- d) On the basis of actual performance, estimates and projections that encompass the borrower's current level of operations, the borrower's cash flows are assessed to be insufficient to service all of its loans or debt securities (both interest and principal) for the foreseeable future.
- e) A borrower's credit facilities are in non-performing status or would be categorised as non performing without the concessions.
- f) A borrower's existing exposures are categorised as exposures that have already evidenced difficulty in the borrower's ability to repay in accordance with the bank's internal credit rating system.
- g) The above list provides examples of possible indicators of financial difficulty, but is not intended to constitute an exhaustive enumeration of financial difficulty indicators with respect to restructuring.

Besides, key financial ratios and operational parameters which may include quantitative and qualitative aspects also serve as indicators. In particular, financial difficulty can be identified even in the absence of arrears on an exposure.

28.10.2 Prudential Norms

A. Asset Classification

In case of restructuring, the accounts shall be downgraded as NPAs, i.e., 'sub-standard' to begin with. The NPAs, upon restructuring, would continue to have the same asset classification as prior to restructuring. The classification shall continue to be governed by the ageing criteria.

B. Conditions for Upgrade

Specific norms for upgrading to higher asset classification have been prescribed for different types of borrowers/ situations:

- (i) For MSME borrowers (with aggregate exposure of all lenders less than Rs.25 crore)
- (ii) For others borrowers - depending on exposure levels, and asset classification at the time of restructuring.

28.10.3 Provisioning Norms

Accounts restructured under the revised framework shall attract the required provisioning as per the asset classification category.

Where a final RP, as approved by the Committee of Creditors, has been submitted by the Resolution Professional for approval of the Adjudicating Authority (AA) (in terms of Sec. 30(6) of the IBC), the provisions held as on the date of such submission of RP may be frozen for a period of six months from the date of submission of the plan or up to 90 days from the date of approval of the resolution plan by the AA, whichever is earlier. If the provisioning is lower than required, additional provisioning is required to meet the shortfall. On the lapse of above mentioned period, provisioning shall be as per the usual norms laid out by the RBI. The facility of freezing of provisions shall also lapse immediately if the AA rejects the resolution plan. Asset classification shall be as per the extant norms.

Restructuring of MSME accounts are subject to separate RBI guidelines.

28.10.4 Additional Finance

Any additional finance approved under the RP (including under IBC) may be treated as 'standard asset' during the monitoring period, provided satisfactory performance is observed during the monitoring period. Satisfactory performance means that the borrower entity is not in default at any point of time during the period. If the restructured asset fails to perform satisfactorily during the monitoring period or does not qualify for upgradation at the end of the monitoring period, the additional finance shall be placed in the same asset classification category as the restructured debt.

Similarly, any interim finance extended to debtors under insolvency proceedings under IBC may be treated as 'standard asset' during the insolvency resolution process period.

28.10.5 Income Recognition Norms

Interest income in respect of restructured accounts classified as 'standard assets' may be recognized on accrual basis and that in respect of the restructured accounts classified as 'non-performing assets' shall

be recognised on cash basis. In the case of additional finance where the pre-restructuring facilities were classified as NPA, the interest income shall be recognised only on cash basis except when there is a change in ownership also.

28.10.6 Conversion of Principal into Debt / Equity and Unpaid Interest into ‘Funded Interest Term Loan’ (FITL), Debt or Equity Instruments

Restructuring might create new securities issued by the borrower to the lenders in lieu of a portion of the pre-restructured exposure. The FITL/ debt/ equity instruments for conversion of principal/ unpaid interest shall be placed in the same asset classification category as that of the restructured advance. The provisioning for such instruments shall be the higher of:

- The provisioning for the asset classification category of such instruments; or
- The provisioning based on the fair valuation of such instruments as indicated below.

28.10.7 Change in Ownership

In case of change in ownership of the borrowing entities, credit facilities of those entities may be continued/ upgraded as ‘standard’ after the change is implemented, whether under the IBC or under this framework subject to prescribed conditions.

Upon change in ownership, all the outstanding loans/credit facilities of the borrowing entity need to demonstrate satisfactory performance during the monitoring period. If the account fails to perform satisfactorily at any point of time during the monitoring period, it shall trigger a fresh Review Period.

The quantum of provisions held (excluding additional provisions) by the bank against the said account as on the date of change in ownership of the borrowing entities can be reversed only after the end of monitoring period subject to satisfactory performance.

28.10.8 Principles on Classification of Sale and Lease Back Transactions as Restructuring

A sale and leaseback transaction of the assets of a borrower or other transactions of similar nature will be treated as an event of restructuring for the purpose of asset classification and provisioning in the books of lenders with regard to the residual debt of the seller as well as the debt of the buyer if all the following conditions are met:

- The seller of the assets is in financial difficulty;
- Significant portion, i.e. more than 50 per cent, of the revenues of the buyer from the specific asset is dependent upon the cash flows from the seller; and
- 25 per cent or more of the loans availed by the buyer for the purchase of the specific asset is funded by the lenders who already have a credit exposure to the seller.

28.10.9 Prudential Norms relating to Refinancing of Exposures to Borrowers

If borrowings/ export advances (in any currency) for the purpose of repayment/ refinancing of loans denominated in same/another currency are obtained:

- from lenders who are part of Indian banking system (where permitted); or
- with the support from the Indian banking system in the form of Guarantees/Standby Letters of Credit/ Letters of Comfort, etc., such events shall be treated as ‘restructuring’ if the borrower concerned is under financial difficulty.

28.10.10 Takeout Finance

Takeout financing transactions that involve prior commitments shall be governed by the separate RBI guidelines on “Income Recognition, Asset Classification, Provisioning and other related matters and Capital Adequacy Standards – Takeout Finance”.

28.10.11 Regulatory Exemptions

A. Exemptions from RBI Regulations

Exemptions from RBI regulations are as follows:

- (i) Acquisition of non-SLR securities by way of conversion of debt is exempted from the restrictions and the prudential limit on investment in unlisted non-SLR securities.
- (ii) Acquisition of shares due to conversion of debt to equity during a restructuring process is exempted from regulatory ceilings/restrictions on Capital Market Exposures, investment in Para-Banking activities and intra-group exposure.

B. Exemptions from SEBI Regulations

Exemptions from SEBI regulations are as follows:

- (i) Exemptions, under certain conditions, from the requirements of SEBI (Issue of Capital and Disclosure Requirements) (ICDR) Regulations, 2018.
- (ii) For the requirements in ICDR Regulations, 2018, regarding the issue price of the equity, it shall be determined as per specified methodology.

28.10.12 Restructuring of Frauds/Willful Defaulters

Borrowers who have committed frauds/ malfeasance/ willful default will remain ineligible for restructuring. In cases where the existing promoters are replaced by new promoters, and the borrower company is totally delinked from such erstwhile promoters/management, lenders may take a view on restructuring such accounts based on their viability, without prejudice to the continuance of criminal action against the erstwhile promoters/management.

28.11 OTHER ASPECTS

28.11.1 Wilful Defaulters and Non-Cooperative Borrowers

Following prudential measures will be applicable in case of Wilful Defaulters and Non-Cooperative Borrowers:

- a) The provisioning in respect of existing loans/exposures of banks to companies having director/s (other than nominee directors of government/financial institutions brought on board at the time of distress), whose name/s appear more than once in the list of wilful defaulters, will be 5% in cases of standard accounts; if such account is classified as NPA, it will attract accelerated provisioning as under:

Asset Classification	Period as NPA	Regular Provisioning (%)	Revised Accelerated Provisioning (%)
Sub- standard (secured)	Up to 6 months	15	No change
	6 months to 1 year	15	25

(Contd.)

Asset Classification	Period as NPA	Regular Provisioning (%)	Revised Accelerated Provisioning (%)
Sub-standard (unsecured ab-initio)	Up to 6 months	25 (other than infrastructure loans)	25
		20 (infrastructure loans)	
	6 months to 1 year	25 (other than infrastructure loans)	40
		20 (infrastructure loans)	
Doubtful I	2nd year	25 (secured portion)	40 (secured portion)
		100 (unsecured portion)	100 (unsecured portion)
Doubtful II	3rd & 4th year	40 (secured portion)	100 (both secured and unsecured portions)
		100 (unsecured portion)	
Doubtful III	5th year onwards	100	100

- No additional facilities should be granted to the listed wilful defaulters as per RBI guidelines.
- For discouraging borrowers/defaulters from being unreasonable and non-cooperative with lenders, banks may classify such borrowers as non-cooperative borrowers, after giving them due notice and report classification to CRILC.
- Any fresh exposure to a non-cooperative tagged entity will require higher provisioning. This will also apply to new loans sanctioned to any other company that has on its board of directors any of the whole time directors/promoters of a non-cooperative borrowing company or any firm in which is in charge of management of the affairs. However, for the purpose of asset classification and income recognition, the new loans would be treated as standard assets.

28.11.2 Dissemination of Information

The list of Suit filed accounts and non-suit filed accounts of Wilful Defaulters (₹25 lakh and above) is submitted by banks to the Credit Information Companies (CICs) of which they are member(s). This should be done at the earliest but not later than a month from the reporting date and they must use/ furnish the detailed information as per the prescribed format.

Where any falsification of accounts on the part of the borrowers is observed by the banks / FIs, and if the auditors were negligent or deficient in conducting the audit, a formal complaint against the auditors of the borrowers should be lodged with the Institute of Chartered Accountants of India (ICAI). The complaints may also be forwarded to the RBI (Department of Banking Supervision, Central Office) and IBA for records. IBA would circulate the names of the CA firms against whom many complaints have been received amongst all banks who should consider this aspect before assigning any work to them. RBI would also share such information with other financial sector regulators/ Ministry of Corporate Affairs (MCA)/ Comptroller and Auditor General (CAG).

Banks may seek explanation from advocates who wrongly certify as to clear legal titles in respect of assets or valuers who overstate the security value, by negligence or connivance, and if no reply/satisfactory clarification is received from them within one month, they may report their names to IBA. The IBA may circulate the names of such advocates/valuers among its members for consideration before availing of their services in future. The IBA would create a central registry for this purpose.

28.11.3 Bank Loans for Financing Promoters' Contribution

As per RBI general guidelines the promoters' contribution towards the equity capital of a company should come from their own resources and banks should not normally grant advances to take up shares of other companies.

Banks are now permitted to extend finance to 'specialized' entities established for acquisition of troubled companies subject to the general guidelines applicable to advances against shares/debentures/bonds and other regulatory and statutory exposure limits. The lenders should, however, assess the risks associated with such financing and ensure that these entities are adequately capitalized, and debt equity ratio for such entity is not more than 3:1.

'Specialized' entity – It will be a body corporate exclusively set up for the purpose of taking over and turning around troubled companies and promoted by individuals or/and institutional promoters (including Government) having professional expertise in turning around 'troubled companies' and eligible to make investments in the industry/segment to which the target asset belonged.

28.11.4 Credit Risk Management

Banks are required to follow the credit risk management guidelines contained in RBI circular on 'Risk Management Systems in Banks' (October 1999) and on 'Guidance Notes on Management of Credit Risk and Market Risk' (October 2002). Some of the practices and measures are given below.

Banks should carry out their independent and objective credit appraisal in all cases and must not depend on credit appraisal reports prepared by outside consultants, especially the in-house consultants of the borrowing entity.

Banks/lenders should carry out sensitivity tests/scenario analysis, especially for infrastructure projects, which should inter alia include project delays and cost overruns. This will aid in taking a view on viability of the project at the time of deciding on deferment of DCCO/restructuring.

Lenders should ascertain the source and quality of equity capital brought in by the promoters /shareholders. Multiple leveraging, especially, in infrastructure projects, is a matter of concern as it effectively camouflages the financial ratios such as Debt/Equity ratio, leading to adverse selection of the borrowers. Therefore, lenders should ensure at the time of credit appraisal that debt of the parent company is not infused as equity capital of the subsidiary/SPV.

Directors can be correctly identified using Director Identification Number (DIN). DIN is allotted to every individual intending to be appointed as director of a company, on making an application to the Central Government, as per the provisions given under Sec. 153 to 157 of Companies Act 2013. Banks/ FIs must include the DIN as one of the fields in the data submitted to RBI/CICs.

Banks should verify as to whether the names of any of the directors of the companies appear in the list of defaulters/ wilful defaulters by way of reference to DIN/PAN etc. Banks should use independent sources for confirmation of the identity of directors rather than seeking declaration from the borrowing company.

As per RBI guidelines if the lenders desire a specific certification from the borrowers' auditors regarding diversion / siphoning of funds by the borrower, the lender should award a separate mandate to the auditors for the purpose. To facilitate such certification by the auditors the banks and FIs will also need to ensure that appropriate covenants in the loan agreements are incorporated to enable award of such a mandate by the lenders to the borrowers/ auditors.

Banks should engage their own auditors for specific certification, ensuring proper end-use of funds and preventing diversion/siphoning of funds by the borrowers.

28.11.5 Registration of Transactions with CERSAI

No secured creditor shall be entitled to exercise the rights of enforcement of securities unless the security interest created in its favour by the borrower has been registered with the Central Registry. This has been discussed in detail in 29.3.5 on Central Registry.

28.11.6 Board Oversight

The Board of Directors of banks should take all necessary steps to arrest the deteriorating asset quality in their books and should focus on improving the credit risk management system. Early recognition of problems in asset quality and resolution envisaged in these guidelines requires the lenders to be proactive and make use of CRILC. The Boards of banks should put in place a system for proper and timely classification of borrowers as wilful defaulters or/and non-cooperative borrowers. Further, Boards of banks should periodically review the accounts classified as such, say on a half yearly basis.

28.12 LET US SUM UP

The policy of income recognition is based on the record of recovery. Non-performing assets are classified into three categories based on the period for which they remained in non-performing category. Income is not recognised from an NPA on an accrual basis, but is booked as income only when it is actually received. When an asset is classified as NPA, any booked income not actually received is reversed. Banks are required to make provisions for NPAs in graded manner depending on the extent of tangible security cover and also the age of NPA. Asset classification is borrower wise and not facility wise. In case of consortium, the classification for each bank is determined on the basis of the status in that bank. Asset classification is applicable to State Government Guaranteed advances also. In case of loans to projects during their implementation asset classification is linked to Date of Commencement of Commercial Operations.

A framework for resolution of stressed assets has been put in place requiring banks to proactively identify loan accounts showing signs of stress that may eventually lead to the account slipping to non-performing status. Loan accounts are thus closely monitored right from the first date of default. Accounts are placed under three age-wise categories, viz. SMA-0, SMA-1 and SMA-2,

Exemptions from certain RBI and SEBI regulations have been given for restructured advances. Where several lenders have financed a borrower that is showing signs of stress, the lenders should enter into Inter-Creditor Agreement for working out a Resolution Plan and implement it.

As a part of credit management, lenders should carry out their independent and objective credit appraisal in all cases; should carry out sensitivity tests/scenario analysis, especially for infrastructure projects; ascertain the source and quality of equity capital. DIN number of directors should be obtained and reported to CRILC.

Banks are required to report their NPAs covering gross NPAs, net NPAs, gross Advances and net Advances.

28.13 KEYWORDS

Non-performing Assets, Standard Assets, Substandard Assets, Loss Assets, Provisioning, Upgradation of NPA, Date of Commencement of Commercial Operations (DCCO), Deemed DCCO, Out of Order, Overdue, Gross NPA, Net NPA, Restructuring, Model Concession Agreement, Floating Provision, Additional Provision, Country Risk, Review Period, Resolution Plan, Inter-creditor Agreement, Specified Period, Monitoring Period, Conversion, SMA-0, SMA-1, SMA-2,

28.14 CHECK YOUR PROGRESS

1. When will a loan be NPA?
 - (a) Interest and/or loan instalments overdue for more than 90 days.
 - (b) A/c is out of order in case of overdraft/cash credit
 - (c) Bill remains overdue for more than 90 days in BP/BD
 - (d) All of the above
 - (e) Only (a) and (c)
2. Direct advances to agriculture and SME under standard assets category requires provision at the rate of _____.

(a) 0.40 per cent	(b) 0.10 per cent
(c) 1.00 per cent	(d) 0.25 per cent
3. A substandard asset is one which has remained NPA for a period less than or equal to _____.

(a) 12 months	(b) 6 months
(c) 90 days	(d) 180 days
4. Provision required on an eight month old substandard asset of a willful defaulter is _____ per cent.

(a) 10	(b) 15
(c) 25	(d) 20

28.15 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (d), 3. (a), 4. (c).

UNIT 29

IMPORTANT LAWS RELATING TO RECOVERY OF DUES

STRUCTURE

29.0 Objective

29.1 Introduction

29.2 Introduction to Recovery of Debts and Bankruptcy Act, 1993 (DRB)

29.2.1 Constitutional Validity of the Act

29.2.2 Extent, Commencement, Application and Definitions

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29.3.6 Rights of the Borrower and Others

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29.3.8 Non-Applicability of The Provisions of the SARFAESI Act in Certain Cases

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29.4 Introduction To The Insolvency and Bankruptcy Code, 2016

29.4.1 Fundamental Aspects of IBC

29.4.2 Insolvency Resolution Process for Companies and Limited Liability Entities

29.4.3 Insolvency Resolution and Bankruptcy for Individuals and Partnership Firms

29.5 Introduction To The Legal Services Authorities Act, 1987

29.5.1 Salient Aspects of Lok Adalats

29.6 Introduction To The Law of Limitation

29.6.1 Salient Aspects of the Law of Limitation

29.6.2 Certain Important Provisions in Schedule to the Limitation Act

29.7 Let Us Sum Up

29.8 Keywords

29.9 Check Your Progress

29.10 Answers to 'Check Your Progress'

29.0 OBJECTIVE

After studying this Unit, you will:

- Understand the set-up of Debt Recovery tribunals
- Know about the Securitization of assets
- Know about registration of charges with CERSAI
- Learn about recovery through sale of NPAs to Asset Reconstruction Companies
- Know about the processes under Insolvency & Bankruptcy Code
- Know about compromise settlements through Lok Adalats
- Understand the significance of the Law of Limitation

29.1 INTRODUCTION

Recovery of money lent is not always smooth and banks are required to occasionally use legal avenues like courts for recovering dues from defaulting borrowers. The Indian Contract Act and the Civil Procedure Code were used for this purpose, they had their own constraints. Considering significance of recovery by banks, a few laws have been enacted providing specific remedies to banks and financial institutions. This Unit will cover the following laws:

- (i) Recovery Of Debts And Bankruptcy Act, 1993
- (ii) Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002
- (iii) Insolvency and Bankruptcy Code, 2016
- (iv) The Legal Services Authorities Act, 1987
- (v) The Law of Limitation

29.2 INTRODUCTION TO RECOVERY OF DEBTS AND BANKRUPTCY ACT, 1993 (DRB)

Recovery through courts was a major bottleneck due to huge back log of cases with various courts. Even in recovery of decreed debts, considerable difficulties were faced. It was observed huge assets were blocked as unproductive assets, and the process of recovery required considerable manpower of the banks and financial institutions thus a drain on their productivity. Hence, Recovery of Debts due to Banks and Financial Institutions Act in 1993 (DRT Act) was enacted, and ‘Debt Recovery Tribunals’ were constituted for speedy recovery. The Act was amended in 2019, including its title as “Recovery of Debts and Bankruptcy Act”.

29.2.1 Constitutional Validity of the Act

The constitutional validity of the Act was challenged by the Delhi High Court Bar Association before the Delhi High Court. The Delhi High Court decided the law to be unconstitutional, void and hit by Article 14 of the Constitution. However, on appeal in Union of India vs Delhi High Court Bar Association (2002)4 SCC 275, the Supreme Court decided in favour of the constitutional validity of the DRT Act.

A question was referred to the Supreme Court regarding the applicability of this Act to co-operative banks. However, it was decided that DRT mechanism is not applicable to dues of Co- operative banks since the recovery mechanism in those banks is separate and is working satisfactorily. However, the Act is applicable to Multistate Co-operative Banks.

29.2.2 Extent, Commencement, Application and Definitions

- (a) **Extent:** The Act is applicable to the whole of India except the State of Jammu & Kashmir. The Act is made applicable from 24 June 1993, through the DRTs, established progressively across the country.
- (b) **Qualifying Amount:** Cases where the amount of debt due to any bank or financial institution (defined under the Act) or their consortium is ₹20 Lakh or more are covered under the Act.
- (c) **Definitions:** Some important definitions as per this Act are as under:
 - (i) **'Appellate Tribunal'** is established (under the Sec. 8 (1)) for the purpose of preferring an appeal against the order passed by the tribunal.
 - (ii) **'Application'** means an application for recovery of the debt made (under Sec.19) to a tribunal.
 - (iii) **'Appointed day'** in relation to a tribunal or an appellate tribunal, is the date on which it is established.
 - (iv) **'Bank'** means, a banking company, a corresponding new bank, State Bank of India, a Regional Rural Bank, a multi-State co-operative bank;
 - (v) **'Chairperson'** means a chairperson of an appellate tribunal appointed under Sec. 9.
 - (vi) **'Debt'** as per Sec.2(g) is:.

"any liability (inclusive of interest) which is claimed as due from any person or a pooled investment vehicle as defined in clause (da) of section 2 of the Securities Contracts (Regulation) Act, 1956 (42 of 1956) by a bank or a financial institution or by a consortium of banks or financial institutions during the course of any business activity undertaken by the bank or the financial institution or the consortium under any law for the time being in force, in cash or otherwise, whether secured or unsecured, or assigned, or whether payable under a decree or order of any civil court or any arbitration award or otherwise or under a mortgage and subsisting on, and legally recoverable on, the date of the application and includes any liability towards debt securities which remains unpaid in full or part after notice of ninety days served upon the borrower by the debenture trustee or any other authority in whose favour security interest is created for the benefit of holders of debt securities"

As per the above definition 'debt' shall cover following categories of claims of banks and financial institutions: due from any person or a pooled investment vehicle on the date of application -

- any liability inclusive of interest, whether secured or unsecured, or
- any liabilities towards debt securities remaining unpaid in full or in part after a notice of 90 days
- any liability under a decree or order of any Civil Court or any arbitration award or otherwise, or
- any liability under a mortgage and subsisting on and legally recoverable.

What constitutes debt has been interpreted by different courts in many cases.

- (a) In *G.V. Films vs UTI* [2000] 100 Compo Cases 257 (Mad) (HC), it was held that payment made by the bank by mistake is a debt.
- (b) In *the State Bank of India vs S.S. Engineering Corporation* [1998] 1 BC 702 (Mad), it was held, that money overdrawn from a bank account without any overdraft facility is a debt recoverable under the DRT Act.

- (c) The Supreme Court in *United Bank of India vs DRT* [1999] 4 SCC 69, held that if the bank had alleged in the suit that the amounts were due to it from respondents as the liability of the respondents had arisen during the course of their business activity and the same was still subsisting, it is sufficient to bring such amount within the scope of definition of debt under the DRT Act and is recoverable under that Act.
- (d) However, if an employee commits fraud and misappropriation of money, the amount recoverable from him is not a debt within the meaning of DRT Act, *Bank of India vs Vijay Ramniklal* (AIR 1997 Guj. 75).
- (vii) '*Financial institution*' means a public financial institution within Sec. 4A of the Companies Act, 1956; and an asset reconstruction company (ARC) which has obtained a certificate of registration under Sec. 3 (4) of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 ; a debenture trustee registered with the Board and appointed for secured debt securities; and such other institutions as the Central Government may, by notification, specify.
'*Presiding Officer*' means the Presiding Officer (PO) of the Debts Recovery Tribunal appointed under Sec. 4(1).
- (viii) '*Recovery Officer*' means a Recovery Officer (RO) appointed by the Central Government for each tribunal under Sec. 7(1), for implementing the recovery orders passed by the Tribunal.

29.2.3 Establishment, Jurisdiction and Authority of Tribunal & Appellate Tribunal

A. Establishment of Tribunals

- (a) *Establishment and Composition*: The Central Government is empowered to establish tribunals called "Debts Recovery Tribunal" to exercise the jurisdiction, powers and authority conferred on under DRT Act. The Central Government specifies the areas within which the tribunal may exercise jurisdiction for the applications filed under the Act.
- (b) *Presiding Officer*: The tribunal is made up of only one person called 'Presiding Officer' (PO).
Qualification: A person is qualified for appointment as a PO of DRT if he is, or has been, or is qualified to be appointed as a District Judge.
Term of Office: The PO holds office for a term of four years from the date on which he assumes his office, or until he attains the age of 70 years, whichever is earlier.
- (c) *Staff of Tribunal*: The tribunal is provided with one or more Recovery Officers. The staff will work under the superintendence of the PO.

B. Establishment and Composition of Appellate Tribunal

The Central Government has powers to establish one or more appellate tribunals, known as "Debt Recovery Appellate Tribunal" (DRAT). The Central Government specifies the areas within which the appellate tribunal may exercise jurisdiction for entertaining and deciding the applications filed before it.

- (a) *Chairperson*: A DRAT consists of only one person called as Chairperson.
Qualification: A person is qualified for appointment as a Chairperson, if he is, or has been, or is qualified to be a Judge of a High Court; has been a member of the Indian legal service and has held a post in grade I of that service for at least three years; has held office as the Presiding Officer of a Tribunal for at least three years.
Term of Office: The Chairperson holds office for a term of five years from the date on which he assumes his office, or until he attains the age of seventy years, whichever is earlier.

- (b) **Staff of Tribunal:** DRAT is provided with necessary staff. The staff will work under the superintendence of the PO.

C. Jurisdiction and Authority of Tribunals

- (a) **DRT:** A Tribunal has the jurisdiction, powers and authority to entertain and decide:
- applications from the banks and financial institutions for recovery of debts
 - applications under Part III of Insolvency and Bankruptcy Code, 2016
- (b) **DRAT:** An Appellate Tribunal has the jurisdiction, powers and authority to entertain:
- appeals against any order made, or deemed to have been made, by a DRT
 - appeals against the order made by the Adjudicating Authority under Part III of the Insolvency and Bankruptcy Code, 2016
- (c) **Chairperson:** Chairperson of a DRAT enjoys general power of superintendence and control over the Tribunals. He can take following actions:
- transfer any application from any PO within his jurisdiction to any other PO within his jurisdiction on receiving application for transfer of case or even on his own motion after giving due notice to the concerned parties
 - direct the Tribunals to furnish periodical information relating to pending cases
 - convene meetings of the POs of Tribunals periodically to review their performance
 - submit recommendations to the Central Government for actions against any PO for misbehaviour or incapacity
- (d) **Bar of Jurisdiction of Civil Courts:**
Subsequent to establishment of DRTs, no civil court or other authority has any jurisdiction, powers or authority to deal with recovery cases of ₹ 20 lakh and above pertaining to dues to banks and financial institutions. This is not applicable to High Courts and Supreme Court exercising jurisdiction under Articles 226 and 227 of the Constitution. The relevant date of bar of jurisdiction by the court or other authority is the date since when the Tribunal was established having jurisdiction in that particular area.

D. Procedure of Tribunals

Let us now understand the procedure of filing applications with DRT, their disposal, recovery of dues following the Order of DRT, and the procedure in respect of appeals.

I. APPLICATION TO TRIBUNAL

For initiating recovery process, the starting point after giving due notice to the borrower, is filing an application with the DRT. Proper care to be taken in completing the process in a flawless manner. Any error may prove to be costly depending on its gravity. The provisions of the Limitation Act, 1963 apply to an application made to a Tribunal.

- (a) **Amount of Dues:** The total amount of debt due should be carefully worked out taking into account all admissible claims, and to verify that these are of ₹20 lakh or over.
- (b) **Application Contents:** The application should give complete details of the borrowers/ guarantors, credit facilities, securities, outstandings and other claims. The application should include prayers for remedies and for interim reliefs. The application, evidence and statements can be filed in electronic form.

- (c) **DRT Jurisdiction:** The application can be filed with a Tribunal [Sec. 19(1)] within the local limits of whose jurisdiction –
- the branch or any office of the bank / financial institution is maintaining an account in which debt claimed is outstanding, for the time being; or
 - the defendant, or each of the defendants where there are more than one, at the time of making the application, actually and voluntarily resides, or carries on business, or personally works for gain; or
 - any of the defendants, where there are more than one, at the time of making the application, actually and voluntarily resides, or carries on business, or personally works for gain; or
 - the cause of action, wholly or in part, arises.
- (d) **Joining an Application by Another Bank:** Where a bank/ financial institution has filed application, under Sec. 19 (1) before the Tribunal and if from the same person another bank/ financial institution has to recover any debt, the latter may join in the already filed application at any stage of the proceedings before the final order is passed by making an application. [Sec. 19(2)]
- (e) **Application Requirements:** Every application before the Tribunal under Sec. 19(1) or 19(2) shall be in the prescribed form and accompanied by prescribed documents or other evidence and fee.
- (f) **Process at Tribunal:** On receipt of application the Tribunal issues summons to the defendant with the following directions; (Sec.19(4))
- (i) requiring him to show cause within thirty days as to why the relief prayed for should not be granted.
 - (ii) direct the defendant to disclose particulars of properties or assets other than properties and assets offered as securities to the debt; and
 - (iii) to restrain the defendant from dealing with or disposing of such assets and properties disclosed pending the hearing and disposal of the application for attachment of properties.
- The defendant shall within a period of thirty days from the date of service of summons, present a written statement of his defence including claim for set-off. [Sec. 19(5)]
- (g) **Defendant's Claim:** If the defendant has any claims legally recoverable from the applicant and wishes to have a set off against the applicant's demand with ascertained sum of money, the defendant on the first date should make such claim in the written statement. If the claim is not made on the first hearing at the time of filing of written statement then it can be made only if permitted by the Tribunal. [Sec. 19(6)]
- When the written statement contains claim and set-off, the written statement has the same effect as a plaint in a cross-suit, so as to enable the Tribunal to pass a final order in respect of both the original claim and on set off. [Sec. 19(7)]
- (h) **Defendant's Counter-claim:** A defendant, in his application, can also set up a counter claim against the claim of the applicant, for any right or claim in respect of cause of action accruing to the defendant against applicant, before the defendant submitting his defence in given time. The counter-claim can be for damages also [Sec. 19(8)]. A counter-claim has the same effect as a complaint in a cross-suit so as to enable the tribunal to pass a final order in respect of both the original claim and on counter-claim [Sec. 19(9)]. The applicant is at liberty to file a written statement to the counter-claim of the defendant within prescribed period.[Sec. 19(10)]. If the applicant wants to contend that the counter-claim made by the defendant ought be disposed of in an independent action, he should make application to that effect before the tribunal, before the issues are settled. The tribunal shall decide such issue along with the claim of the applicant for recovery of the debt [Sec.19(11)].

- (i) **Calling Security from Defendant:** If at any stage the tribunal, on an application made by the applicant along with particulars of property to be attached and estimated value thereof, or otherwise is satisfied that the defendant, with intent to obstruct or delay or frustrate the execution of any order, for the recovery of debt that may be passed against him,
 - (i) is about to dispose of the whole or any part of his property, or
 - (ii) is about to remove the whole or any part of the property from the local limits of the jurisdiction of the tribunal, or
 - (iii) is likely to cause any damage or mischief to the property or affect its value by misuse or creating third party interest the tribunal may direct the defendant to furnish security of the value of the property or to place said property at the disposal of tribunal or value of the same, sufficient to satisfy the debt or to appear before the tribunal and show cause why he should not furnish security. [Section 19(13A)]

If the defendant fails to show cause why he should not furnish security or fails to furnish security required, the tribunal may pass order for attachment of the whole or part of the property offered as security to the applicant or other property owned by the defendant, sufficient for recovery of debt.

- (j) **Attachment of Property:** The tribunal can pass a conditional attachment order, of whole or part of the property as the case may be and as required [Sec. 19(15)].
- (k) **Interim/ Attachment Orders:** In the case of disobedience or breach of an order made by the tribunal, it may order that the properties of the guilty person be attached and the person be detained in civil prison for a term not exceeding three months. [Section 19(17) & 19(18)]
- (l) **Appointing Receiver:** If the tribunal finds it just and convenient, it may [Sec. 19(18)]:
 - (i) appoint a receiver of any property, whether before or after grant of certificate for recovery of debt;
 - (ii) remove any person from the custody or possession of the property;
 - (iii) give possession, custody or management of the property to the receiver;
 - (iv) confer powers to the receiver in respect of the property given in his possession for bringing suits or defend it, file applications, collection of rents and profits, preservation, realisation, management, protection, execution of documents, etc., and as the tribunal may deem fit;
 - (v) appoint a commissioner for preparation of an inventory of the properties of the defendant or for sale thereof.
- (m) **Order for Payment:** The tribunal may, on giving opportunity to both the sides of being heard, pass interim or final order for payment of amount including interest thereon [Sec. 19(20)]. The tribunal is required to send a copy of every order, passed by it, to the applicant and the defendant [Sec. 19(21)].
- (n) **Recovery Certificate:** The PO shall issue a certificate of recovery along with the final order, under Sec. 19 (20), for payment of debt with interest under his signature to the RO for recovery of the amount of debt specified in the certificate [Sec. 19(22)]. Any recovery certificate issued by the PO is deemed to be decree or order of the Court for initiation of winding up proceedings against a company (registered under the Companies Act, 2013) or Limited Liability Partnership (registered under the Limited Liability Partnership Act, 2008) or insolvency proceedings against any individual or partnership firm under any law for the time being in force, as the case may be [Sec. 19(22A)]. When the property under the certificate of recovery is situated in the jurisdiction of more than one tribunal, the issuing tribunal will send its copies to the tribunal having jurisdiction. If the receiving tribunal finds that it has no jurisdiction, it shall return the certificate back to the issuing tribunal [Sec. 19(23)]. For recovery certificate against a company (registered under the Companies Act), the sale proceeds of such company be distributed among its secured creditors as per Sec. 326 of the Companies Act, 2013,

and surplus, if any, be paid to the company [Sec. 19(19)]. Sec.31B of provides priority to secured creditors in realizing secured debt and stipulates it shall be paid in priority over all other debts and Government dues including revenues, taxes, cesses and rates due to the Central Government, State Government or local authority. In cases where insolvency or bankruptcy proceedings are pending in respect of secured assets of the borrower, priority to secured creditors in payment of debt shall be subject to the provisions of the Insolvency and Bankruptcy Code, 2016.

- (o) **Affidavit as Evidence:** DRT can order that any fact may be proved by affidavit and once affidavit is submitted tribunal will allow cross-examination of the witness only, if in the opinion of the tribunal it is necessary to do so. In the event of witness not appearing the affidavit shall not be taken as evidence.
- (p) **Time Limit for Disposal:** The application received by the tribunal should be attempted to be disposed of finally within 180 days from receipt [Sec. 19(24)].

II. Appeal to the Appellate Tribunal

- (a) **Right to Appeal:** Any person aggrieved by the order passed by the Tribunal or deemed to have been passed by the Tribunal, may prefer an appeal to an Appellate Tribunal having jurisdiction in the matter, except if the order was made with the consent of the parties.
- (b) **Conditions for Appeal:** The appeal should be filed within thirty days from the date on which copy of the order is received. The appeal filed after thirty days may be entertained if Appellate Tribunal is satisfied about the cause for delay. At the time of filing the appeal, as per Sec. 21, 50% of the amount shown as due in the order is required to be deposited by the appellant, else appeal cannot be filed. Tribunal can reduce the amount to be deposited but it shall not be less than 25% of the due amount. The condition of deposit is intended to dissuade borrowers from routinely using the remedy of appeal to delay the recovery procedure and actual recovery. The appeal will be in the form prescribed and along with the prescribed fees.
- (c) **Order of Appellate Tribunal:** Appellate Tribunal after hearing both the parties passes order either confirming or modifying or setting aside the Tribunal order. Every order made by the Appellate Tribunal is sent to the parties to the appeal and to the Tribunal concerned. There is no provision for appeal against the order passed by the Appellate Tribunal. However, writ jurisdiction of High Court under Article 226 and supervisory jurisdiction of High Court as well as Special Leave Petition before the Supreme Court are not barred.
- (d) **Time Limit for Disposal:** Appellate Tribunal shall attempt that the appeal is disposed of finally within six months from date of receipt.

III. Recovery Process and Modes

- (a) **Recovery Procedure:** On receipt of copy of the recovery certificate, the Recovery Officer has to proceed to recover the specified amount by any of the following modes:
 - (i) attachment and sale of movable and immovable property of the defendants;
 - (ii) taking possession of property over which security interest is created or any other property of the defendant and appointing receiver for such property and to sell the same
 - (iii) arrest of the defendant and his detention in prison;
 - (iv) appointment of a receiver for the management of the movable and immovable properties.

The Recovery Officer can sell any of the property owned by the defendant. The provision for arrest should be used keeping in view the Supreme Court decision as in case of George Verghese vs Bank of

Cochin (AIR 1980 SC 470). The Court has observed that putting a person in prison for his poverty and consequential inability to pay contractual liability is too much violative of Article 21 of the Constitution, unless there is minimal fair proof of wilful failure to pay in spite of sufficient means.

- (b) **Objections to Recovery Certificate:** The defendant is debarred from raising any dispute before the RO about the correctness of the amount specified in the recovery certificate.. The RO also cannot entertain any objection raised by the defendant on any other ground. The PO of the Tribunal who issued the recovery certificate is authorised to withdraw the certificate or correct any clerical or arithmetical mistake in the certificate. If any party wants to have a review of the order or the recovery certificate on the ground that error is apparent on the face of the record, he can make application for review within sixty days of the order or the certificate. Such application has to be supported by affidavit verifying the contents. Also, the opposite party should be given notice and hearing before the application is granted.
- (c) **Stay/ Amendment of Recovery Certificate:** Even though a certificate has been issued to the recovery officer, the PO may grant time for the payment of the amount provided the defendant makes a down payment of not less than 25%. of the amount specified in the recovery certificate and gives an unconditional undertaking to pay the balance within a reasonable time, which is acceptable to the applicant bank or financial institution holding recovery certificate. If such time is granted, the recovery officer has to stay the proceedings until expiry of the time granted. The defendant, in such case, shall forfeit right to file appeal against the orders of the Tribunal. If the defendant commits any default in payment of the amount, the stay stands withdrawn and the RO shall take steps for recovery.
- (d) **Payment Under Recovery Proceedings:** If after issue of recovery certificate, the defendant makes any payment or any time is granted for payment, the PO has to keep the recovery officer informed.
- (e) **Execution of Recovery Certificate:** During execution of the recovery certificate the Recovery Officer can require any person against whom the recovery certificate issued, to declare on affidavit the particulars of his assets.
- (f) **Like Income Tax Arrears:** The Recovery Officer has powers to recover the amount in the same manner as laid down in the Third Schedule to the Income Tax Act, 1961. Hence, due from the defendant to the bank or financial institution is treated on par with Income Tax arrears and recovered accordingly.
- (g) **Other Modes of Recovery:** Sec. 28 provides additional modes that can be adopted by the Recovery Officer. These are similar to the powers given to the Tax Recovery Officer under Sec. 226 of the Income Tax Act, 1961. These powers are also similar to passing of garnishee orders in respect of debt, share and other property not in possession of the judgement debtor under Order XXI, Rules 46 and 46A to 461 of the Code of Civil Procedure, 1908.
 - (i) **From a debtor of defendant:** If any amount is due from any person to the defendant, the Recovery Officer may ask such person to pay the amount to the Recovery Officer and not to the defendant. That person has to pay the amount to the Recovery Officer. However, for this provision the exemption of the amount from attachment, as provided in Sec. 60 of the Code of Civil Procedure, 1908 applies.
 - (ii) **From a bank/ financial institution:** When such notice is issued to a bank, post office, financial institution or an insurer, it shall not be necessary to produce any passbook, deposit receipt, policy or any other document for any purpose like entry or endorsement, etc., for payment. The provisions of DRT have overriding effect on any such requirement.
 - (iii) **Property under Notice:** When such notice is issued in relation to any property, any claim made against that property subsequent to the notice is void.

- (iv) **From holders of defendant's property:** These provisions also apply to any person who is holding any money for or on account of the defendant. In cases if there is joint-holding, then the equal shares of the joint-holders are presumed unless contrary is proved. A copy of notice will be sent to the defendant, as also to all joint holders.
- (v) **Third persons not Liable:** If any person receiving the notice from the Recovery Officer is not liable to pay or is not holding anything for or on behalf of the defendant then he has to object the notice stating such statement on oath.
- (vi) **From a Court holding money:** If a court holds money belonging to the defendant, Recovery Officer may apply to the court to pay to him the money to discharge the amount of debt due.
- (vii) **Payment by third persons:** If a person pays to the Recovery Officer as per the notice served on him, he is then discharged from liability to the defendant to the extent of amount paid.
- (viii) **Failure to pay:** If the person after receipt of the notice fails to pay to the Recovery Officer, he is deemed to be defendant in default in respect to the amount mentioned in the notice.
- (h) **Appeal against the Order of Recovery Officer**
When the Recovery Officer attaches and sells the property, it is possible that the third party having any interest in such property may get affected. Sec. 30 provides that any person aggrieved by the order of Recovery Officer may appeal within thirty days, from the receipt of order, to the Tribunal. On receipt of the appeal, the Tribunal has to hear the appellant and make enquiries as it deems fit. Thereafter the order of the Recovery Officer may be either confirmed or modified or set aside.

IV. Powers of the Tribunal and the Appellate Tribunal

- (a) **Power to Lay down Procedure:** The Tribunal and the Appellate Tribunal are not bound by the procedure laid down by the Civil Procedure Code, 1908, and shall be guided by the principles of natural justice, provisions of this Act and Rules there under, and regulate their own procedure.
- (b) **Powers of Civil Court:** The Tribunal and the Appellate Tribunal, for the purpose of discharging their functions under the Act, have the same powers as are vested in a Civil Court under the Code of Civil Procedure, 1908 while trying a suit. Such powers are in respect of summoning and enforcing the attendance of any person and examining him on oath, requiring the discovery and production of documents, receiving evidence of affidavits, issuing commissions for the examination of witnesses or documents, reviewing its decisions, dismissing an application for default or deciding it ex-parte, setting aside any order of dismissal of any application for default or any order passed by it ex-parte or any other matter which may be prescribed. The Tribunal and the Appellate Tribunal are deemed to be a Civil Court for all purposes of Sec. 195 and Chapter XXVI of the Code of Criminal Procedure, 1973. Any proceeding before Tribunal and the Appellate Tribunal is deemed to be a judicial proceeding.
- (c) **Limitation Period:** For application to be filed before the Tribunal the Limitation Act, 1963 applies.

29.2.4 Other Aspects

- (a) **Transfer of Pending Cases:** As the Act is a specific one for recovery of dues of banks and financial institutions, it was necessary that the recovery cases to which DRT Act applies should be brought under one forum. Therefore all the suits or other proceedings pending before the Civil Court, where the Tribunal has jurisdiction since establishment of the Tribunal, stood transferred to the Tribunal. Since the establishment of the Tribunal no Civil Court has the jurisdiction on the matters where Tribunal is conferred with the jurisdiction. Suits and proceeding get transferred from Civil Court to DRT, including execution petitions. In *Punjab National Bank vs Chajju Ram* [2000] 102 CompCas. 41,

the Supreme Court has held that execution is a proceeding before the Civil Court and hence on coming into operation of the DRT Act, the execution will stand transferred to the DRT.

- (b) **Chairperson, Presiding Officer and Staff Of Appellate Tribunal and Tribunal Public Servants:** The Chairperson of an Appellate Tribunal, the Presiding Officer of a tribunal, the Recovery Officer and other officers of the Appellate Tribunal and Tribunal are deemed public servants within the meaning of Sec. 21 of the Indian Penal Code. When anything is done in good faith under this Act or is intended to be done so, no suit, prosecution or other proceeding shall lie against the Central Government, the Chairperson, Presiding Officer or the Recovery Officer.

- (c) **Overriding Effect of the Act:** The provisions of this Act have overriding effect when there is inconsistency with any other law or in any instrument by virtue of any other law for the time being in force.

In *Allahabad Bank vs Canara Bank* AIR 2000 SC 1535, it is held that this Act is a special Act for recovery of debt due to banks and financial institutions. It has overriding effect over the provisions of Companies Act, 1956 and, therefore, leave of the company court is not necessary even if the company is under winding up proceedings. In *Viral Filaments vs IndusInd Bank* 33 SCL 132, the Bombay High Court has held that a petition for winding up a company against which recovery proceedings are pending in the Debt Recovery Tribunal is admissible, since jurisdiction to wind up a company is wholly not available in the DRT Act.

Andhra Bank V. Official Liquidator, MANU/ SC/0203/2005 2005 2 SCC 628: In this case one of the issues before the court was whether permission of Company Court is required for filing case before the DRT when winding up proceedings are pending before the Company Court. The Honourable Supreme Court held that:

- (A) Adjudication under DRT Act is exclusive and jurisdiction of Civil Court and Company Court is ousted. DRT Act overrides the Companies Act.
- (B) DRT proceedings cannot be stayed by Company Court nor proceedings can be transferred to Company Court.
- (C) When no winding up order has been passed against the company, distribution of moneys realised under DRT Act (out of the assets not charged), among banks/ FIs and other creditors, to be prioritised subject to principles underlying Sec. 73 of CPC and principles of natural justice, (Section 73 of CPC mentions about ratable distribution of sale proceeds of execution among decree holders).
- (D) When winding up proceedings are pending in company court, distribution of moneys realised under DRT Act, among banks and other secured creditors to be subject to provisions of 529A of Companies Act (the said section mentions about priority of secured creditors and workman over other dues and distribution inter se between secured creditors and workmen should be *pari-pasu*).
- (E) Leave of Company or Court *u/s* 446 is neither necessary nor the recovery application needs to be transferred to the Company Court.

- (d) **Doctrine of Election**

As per amendment to DRT Act, banks and FIs, if they choose to do so, can withdraw an application made before DRT, for taking action under the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002, if no such action had been taken earlier.

The question whether withdrawal of the Original Application in terms of the first proviso to the Section 19(1) of the DRT Act, 1993 is condition precedent to taking recourse to the SARFAESI Act, 2002 was decided by the Supreme Court in *M/s Transcore vs Union of India and Another* (decided

on 29-2-2006). The Supreme Court observed that there are three elements of election, namely, - (i) existence of two or more remedies; (ii) inconsistencies between such remedies and (iii) a choice of one of them. If anyone of the three elements is not there, the doctrine will not apply. There is no repugnancy nor inconsistency between the two remedies and therefore, the doctrine of election does not apply. The SARFAESI Act is enacted to enforce the interest in the financial assets which belongs to the bank/FI by virtue of the contract between the parties or by operation of common law principles or by law. Essentially the Act deals with the right of the secured creditor. DRT is tribunal, a creature of the statute. It has no inherent power which exists in the civil courts. The object behind introducing the first proviso and the third proviso to Section 19(1) of the DRT Act is to align the provisions of the DRT Act, the SARFAESI Act and Order XXIII of the Code of Civil Procedure, 1908. Withdrawal of the Original Application before the DRT under the DRT Act is not a pre-condition for taking recourse to the SARFAESI Act. It is for banks/FIs to exercise its discretion as to cases in which it may apply for leave and in cases where they may not apply for leave to withdraw. First proviso to Section 19(1) is an enabling provision.

In view of the above judgement of the Supreme Court, the controversy as to whether simultaneous actions under the DRT Act and SARFAESI Act will lie has been set at rest.

29.3 INTRODUCTION TO SARFAESI ACT

The lender's rights over the securities, both moveable and immovable, for realisation of the amount advanced, were of limited value and less effective since enforcement of security was required to be done through legal proceedings. The legal processes took unduly long time to complete prior to the passing of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (SARFAESI Act, 2002). This Act introduced major changes in the legal framework for the recovery of dues of banks/ financial institutions through enforcement of securities.

SARFAESI Act has streamlined the functions of the Asset Reconstruction Companies (ARC) for dealing with financial assets of banks and financial institutions. For this purpose, procedures as well as regulatory control measures were required.

The SARFAESI Act empowers banks and financial institutions to enforce securities in the event of default by the borrower without the intervention of either, the Civil Court or the Debt Recovery Tribunal. The powers so given by this Act have an overriding effect on other laws in this respect. The powers are also over and above other remedies available for recovery, by filing appropriate proceeding either in a Civil Court or Debt Recovery Tribunal. The secured creditor has been given the option to decide which course of action should be adopted in respect of defaulted loans.

29.3.1 Fundamental Aspects of SARFAESI Act

A. Basic Features

- (a) **Legal Framework for Credit Market:** The Act has brought a legal framework for the following activities in the credit market:
- (a) Securitisation of financial assets.
 - (b) Reconstruction of financial assets.
 - (c) Power to enforce security for recovery of dues to banks and the FIs.
 - (d) Provisions for registration of transactions of securitisation, reconstruction and creation of security interest.

- (b) **Extent:** The Act extends to whole of India including the State of Jammu & Kashmir.
- (c) **Applicability:** The Act is applicable to banks, financial institutions, asset reconstruction companies, debenture trustees, as also to housing finance companies whose names are notified by the Central Government.
- (d) **Security Interest:** The provisions relating to enforcement of the security interest, apply to cases in which security interests are created for due repayment of financial assistance. The Act has presupposed that there is an obligation on the part of the borrowers to repay loans and if they are unable to repay, then the securities for the loans are liable to be sold for recovery of loans. The Act has retrospective application, i.e., it applies for loans and securities created prior to the Act coming into operation.
- (e) **Qualifying Amount:** The Act is applicable to cases where security interest for securing repayment of any financial asset is more than ₹ 1 Lakh and the amount due is 20% or more of the principal amount and interest thereon.
- (f) **Exclusions:** The Act is not applicable to any security interest created on agricultural land and certain properties are not liable to attachment under some specified Acts.
- (g) **Priority:** As per the amendment to SARFAESI Act, debts owed to a secured creditor will get priority over all other claims including other debt and all revenue, taxes, cesses and dues payable to Centre and State Governments and local authorities.

B. Constitutional Validity of the Act

In *Mardia Chemicals vs Union of India* (2004) 21 ILD 521 SC, a three member bench of the Supreme Court has declared this Act as constitutionally valid, except a part of the Sec. 17(2). Sec. 17(2) had laid down that when the lender intends to take action of taking possession of the security asset, the borrower can file an appeal to the DRT only after depositing 75% of the amount claimed by the lender. The Supreme Court has declared this as unreasonable, oppressive, arbitrary and violative of the Article 14 of the Constitution. After this, Sec. 17(2) was amended stipulating payment of 50%.

C. Definitions in the Act

- (i) **Appellate Tribunal:** means a DRAT established under of the Recovery of Debts And Bankruptcy Act, 1993
As per the SARFAESI Act, any person aggrieved by the order passed by DRT can file an appeal to the Appellate Tribunal (DRAT) within 30 days from receipt of DRT order, on depositing with the Appellate Tribunal 50% of debt due per the DRT order. Appellate Tribunal may reduce the deposit amount to 25%.
- (ii) **Asset Reconstruction:** Asset Reconstruction is acquisition by an ARC of right or interest of a bank or financial institution in a financial assistance for realisation of such financial assistance. So, it is the takeover of loans or advances from the bank or financial institution for the purpose of recovery. An ARC is required to obtain a certificate of registration,
- (iii) **Bank:** As per the SARFAESI Act, all banking companies, Nationalised banks, the State Bank of India and multi-State-co-operative banks come within the meaning of the word 'bank' for the purpose of the Act. Central Government has since included RRBs. It is also held that the Act also covers all co-operative banks.
- (iv) **Board:** The word 'Board' is used to mean the Securities and Exchange Board of India (SEBI).

(v) *Borrower*:

The borrower means,

- (a) any person, granted financial assistance by bank or financial institution, or
- (b) who has given any guarantee, or
- (c) who has created any mortgage or pledge as a security for financial assistance granted by any bank or financial institution, or
- (d) a person who becomes the borrower of a securitisation company or reconstruction company, consequent upon acquisition by it of any right or interest of any bank or financial institution, in relation to such financial assistance.
- (e) A person who has raised funds by way of issuance of debt securities.

(vi) *Central Registry*:

“The Central Government may, by notification, set up or cause to be set up from such date as it may specify in such notification, a registry to be known as the Central Registry with its own seal for the purposes of registration of transaction of securitisation and reconstruction of financial assets and creation of security interest under this Act.”

(vii) *Debt securities*: means debt securities listed in accordance with the regulations of SEBI(viii) *Default*: means--

- (i) non-payment of any debt or any other amount payable by the borrower to any secured creditor consequent upon which the account of such borrower is classified as non- performing asset in the books of account of the secured creditor; or
- (ii) non-payment of any debt or any other amount payable by the borrower with respect to debt securities after notice of ninety days demanding payment of dues served upon such borrower by the debenture trustee or any other authority in whose favour security interest is created for the benefit of holders of such debt securities;

For getting the right of security enforcement, under this Act, there should be a default committed by the borrower, and the account classified as NPA, as per RBI Guidelines. The creditor must also be a secured creditor. Any unsecured creditor has no right under this Act. In the Mardia Chemicals case, it was argued before the Supreme Court by the bank, that bank can classify the account as NPA as per its decision. The Supreme Court rejected this argument and stated that it should be done only as per RBI guidelines.

(ix) *Financial assistance*: means any loan or advance granted or any debentures or bonds subscribed or any guarantees given or letters of credit established or any other credit facility extended by any bank or financial institution including funds provided for the purpose of acquisition of any tangible asset on hire or financial lease or conditional sale or under any other contract or obtaining assignment or licence of any intangible asset or purchase of debt securities;(x) *Financial asset*: means debt or receivables and includes:

- (i) a claim to any debt or receivables or part thereof whether secured or unsecured, or
- (ii) any debt or receivable secured by mortgage of or charge in immoveable property, or
- (iii) a mortgage charge, hypothecation or pledge of moveable property, or
- (iv) any right or interest in the security, whether full or part underlying such debt or receivables;, or
- (v) any beneficial interest in property, whether movable or immovable, or in such debt, receivables, whether such interest is existing, future, accruing, conditional or contingent, or

- (vi) any beneficial right, title or interest in any tangible asset given on hire or financial lease or conditional sale or under any other contract which secures the obligation to pay any unpaid portion of the purchase price of such asset or an obligation incurred or credit otherwise provided to enable the borrower to acquire such tangible asset; or
- (vii) any right, title or interest on any intangible asset or licence or assignment of such intangible asset, which secures the obligation to pay any unpaid portion of the purchase price of such intangible asset or an obligation incurred or credit otherwise extended to enable the borrower to acquire such intangible asset or obtain licence of the intangible asset; or
- (viii) any financial assistance.
- (xi) *Financial institution*: means -
 - (i) a public financial institution (as per Sec. 2(39) of the Companies Act, 2013)
 - (ii) any institution specified by the Central Government (under Sec. 2(h) (ii) of the Recovery of Debts And Bankruptcy Act, 1993.
 - (iii) International Finance Corporation
 - (iv) a debenture trustee registered with SEBI and appointed for secured debt securities;
 - (v) ARC, whether acting as such or managing a trust created for securitisation or asset reconstruction.
 - (vi) any other institution or non-banking financial company (as per Sec. 45-I (f) of RBI Act) notified by the Central Government for the purpose of this Act.
- (xii) *Financial lease*: means a lease under any lease agreement of tangible asset, other than negotiable instrument or negotiable document, for transfer of lessor's right therein to the lessee for a certain time in consideration of payment of agreed amount periodically and where the lessee becomes the owner of the such assets at the expiry of the term of lease or on payment of the agreed residual amount, as the case may be.
- (xiii) *Hypothecation*: means a charge in or upon any movable property, existing or future, created by a borrower in favour of a secured creditor without delivery of possession of the movable property to such creditor, as a security for financial assistance and includes floating charge and crystallization of such charge into fixed charge on movable property.
 Prior to this Act no Indian Law had defined the term hypothecation though hypothecation is a very common type of charge on a security for banks' lending. Hypothecation charge has following characteristics:
 - It can cover only moveable property.
 - It can be created on future property also.
 - It does not require delivery of possession to the charge holder.
 - It can be both floating and fixed charge.
- (xiv) *Negotiable document*: means a document, which embodies a right to delivery of tangible assets and satisfies the requirements for negotiability under any law for the time being in force including warehouse receipt and bill of lading;
- (xv) *Non-performing asset*: means an asset or account of a borrower, which has been classified by a bank or financial institution as sub-standard, doubtful or loss asset,
 - (a) in case such bank or financial institution is administered or regulated by any authority or body established, constituted or appointed by any law for the time being in force, in accordance with the directions or guidelines relating to assets classifications issued by such authority or body;

- (b) in any other case, in accordance with the directions or guidelines relating to assets classifications issued by the Reserve Bank.
For classification of any account as NPA it is important that the classification is done as per the RBI directives.
- (xvi) **Obligor**: means a person liable to the originator, whether under a contract or otherwise, to pay a financial asset or to discharge any obligation in respect of a financial asset, whether existing, future, conditional or contingent and includes the borrower.
- (xvii) **Originator**: means the owner of a financial asset which is acquired by an asset reconstruction company for the purpose of securitisation or asset reconstruction
In plain words, a bank or a financial institution that transfers its outstanding loans and advances to another company for securitization or reconstruction is the originator.
- (xviii) **Property**: means -
- (i) Immoveable property,
 - (ii) Moveable property,
 - (iii) Any debt or any right to receive payment of money whether secured or unsecured,
 - (iv) Receivables, whether existing or future,
 - (v) Intangible assets being know-how, patent, copyright, trade mark, licence, franchise or any other business or commercial right of similar nature as may be prescribed by the Central Government in consultation with Reserve Bank.
- (xix) **Qualified buyer**: means a financial institution, insurance company, bank, state financial corporation, state industrial development corporation, trustee or ARC which has been granted a certificate of registration under Sec.3(4) or any asset management company making investment on behalf of mutual fund or a foreign institutional investor registered under SEBI Act , any category of non-institutional investors as may be specified by RBI under Sec.7 (1) or any other body corporate as may be specified by SEBI;
- (xx) **Scheme**: means a scheme inviting subscription to security receipts proposed to be issued by an ARC under that scheme.
- (xxi) **Securitisation**: means acquisition of financial assets by any ARC from any originator, whether by raising of funds by such ARC from qualified buyers by issue of security receipts representing undivided interest in such financial assets or otherwise. This is a process where non-liquidated financial assets are converted into marketable securities, i.e., 'security receipts' that can be issued to the investors. It is also a process of converting the receivables and other assets into securities.
- (xxii) **Security agreement**: means an agreement, instrument or any other document or arrangement under which security interest is created in favour of the secured creditor including the creation of mortgage by deposit of title deeds with the secured creditor.
- (xxiii) **Secured asset**: means the property on which security interest is created.
The powers given by SARFAESI Act for the enforcement of securities are against the secured assets only. If the borrower has any property over which no security interest is created, such a property is outside the purview of enforcement powers under the SARFAESI Act.
- (xxiv) **Secured creditor** means -
- (i) any bank or financial institution or any consortium or group of banks or financial institutions holding any right, title or interest upon any tangible asset or intangible asset.
 - (ii) debenture trustee appointed by any bank or financial institution; or

- (iii) an ARC whether acting as such or managing a trust set up by such ARC for the securitisation or reconstruction, as the case may be; or
- (iv) debenture trustee registered with SEBI and appointed for secured debt securities; or
- (v) any other trustee holding securities on behalf of a bank or financial institution, in whose favour security interest is created by any borrower for due repayment of any financial assistance.
- (xxv) *Secured debt*: means a debt which is secured by any security interest.
- (xxvi) *Security interest*: means right, title or interest of any kind, other than those specified in section 31, upon property created in favour of any secured creditor and includes -
 - (i) any mortgage, charge, hypothecation, assignment or any right, title or interest of any kind, on tangible asset, retained by the secured creditor as an owner of the property, given on hire or financial lease or conditional sale or under any other contract which secures the obligation to pay any unpaid portion of the purchase price of the asset or an obligation incurred or credit provided to enable the borrower to acquire the tangible asset; or
 - (ii) such right, title or interest in any intangible asset or assignment or licence of such intangible asset which secures the obligation to pay any unpaid portion of the purchase price of the intangible asset or the obligation incurred or any credit provided to enable the borrower to acquire the intangible asset or licence of intangible asset;

When a lender takes any security from the borrower, the lender gets interest in that asset. The type of interest depends on the nature of charge created over the security. Until now, such interest of the lender in the security was not defined in any law. SARFAESI Act has, for the first time defined this. Now, any type of charge or any type of security has come under one wide scoped definition, called the security interest.
- (xxvii) *Security receipt*: means a receipt or other security, issued by an ARC to any qualified buyer pursuant to a scheme, evidencing the purchase or acquisition by the holder thereof, of an undivided right, title or interest in the financial asset involved in securitization. The security receipt evidences the purchaser's undivided right, title and interest in the security. These receipts are transferable in the market. By this Act, a new type of transaction in the financial market has been created for transfer of the security interest. The ARC shall issue SRs only to QBs; and hold and administer the financial assets for the benefit of the QBs.
- (xxviii) *Sponsor*: means any person holding not less than ten per cent. of the paid-up equity capital of an asset reconstruction company.

29.3.2 Asset Reconstruction Company (ARC)

(a) Registration with RBI

An ARC has to comply with following two conditions:

- (i) It obtains certification of registration from RBI; and
- (ii) It has Net owned funds (NOF) not less than ₹300 crore on an ongoing basis. An ARC obtaining the certificate of registration on or after October 11, 2022, shall commence the business of securitisation or asset reconstruction having minimum NOF of ₹300 crore.

ARCs can raise money for their acquisition activities by issue of SRs under schemes formulated by them. Depending on the nature of security asset RBI has the powers to specify different amounts of owned funds for different class or classes of ARCs.

Conditions for registration as ARC are:

- (a) not incurred losses in any of the three preceding financial years;

- (b) made adequate arrangements for realisation of the financial assets acquired and shall be able to pay periodical returns on and redeem on respective due dates the investments made by the qualified buyers or other persons;
- (c) directors have experience in finance, securitisation and reconstruction;
- (d) none of its directors has been convicted of any offence involving moral turpitude;
- (e) its sponsor is a fit and proper person in accordance with the criteria;
- (f) has complied with or is in a position to comply with prudential norms by RBI;

(b) Acquisition of Rights of Interest in Financial Assets

An ARC must have a board approved 'Financial Asset Acquisition Policy'. There are certain restrictions on the institutions from which assets can be required by an ARC: Assets from other ARCs can be acquired subject to RBI prescribed conditions; Assets from sponsors and lenders to the ARC can be acquired only under an auction conducted in a transparent manner.

1. The ARC can acquire the financial asset of any bank or financial institution by any of the following ways:
 - (i) By issuing a debenture or bond or any other security in the nature of debenture,
 - (ii) By entering into an agreement with such bank or financial institution.

Any agreement or other document executed by a bank or financial institution for transfer or assignment of rights or interest in financial assets under Sec. 5 of the SARFAESI Act in favour of any ARC, shall not be liable to duty.
2. A securitisation transaction involves two stages. First, acquisition of financial assets and undivided interest therein. Second, issue of security receipts in favour of the investors for raising money from them.
3. If the bank or financial institution is a 'lender' in relation to any financial asset acquired by the ARC, then such a company is deemed as lender in context with the acquired property. Therefore, all the rights of such bank or financial institution in the security vest in the company which acquired the assets.
4. If there is any liability or commitment to be discharged from the side of bank or financial institution, it will not pass on to the ARC.
5. If at the time of acquisition of an asset by the asset reconstruction company, any suit, appeal or other proceeding of whatever nature related to the asset is pending by or against the bank or financial institution it does not get discontinued or abated or get in any way prejudicially affected because of the acquisition of asset. In such an event the suit, appeal or other proceeding can be continued, prosecuted and enforced by or against the ARC. If an ARC acquires the assets of more than one bank or financial institution, where cases before different DRT are pending, the ARC can file an application to any of the Appellate Tribunal under which, such DRT come for transfer of all applications to anyone of the DRT as the Appellate Tribunal may decide.
6. Following documents are connected with a securitisation transaction.
 - (i) **Offer document:** An ARC intending to issue SRs shall make prescribed disclosures in the offer document. By and large the full details and particulars about the financial asset, loan details of bank, trustees' details, etc., are included.
 - (ii) **Debenture:** A debenture is to be issued to the bank or the financial institution, for the payment of consideration for the acquisition of financial asset from it. The rate of interest offered in the debenture cannot be less than one and half per cent above the Bank Rate as on the date of issue of the debentures and the period of redemption of debenture cannot exceed six years.

- (iii) **An agreement:** It is with the originator to continue to service the assets of the securitisation.
- (iv) **Security receipt:** It is in favour of the investors.

(c) Notices to Obligor and Discharge of Obligation of Such Obligor

When the bank or financial institution decides, that the financial asset be now acquired by an ARC, a notice may be given about such an acquisition to the obligor, i.e., borrower or any other person liable to repay to the bank or financial institution and to the concerned registering authority (including Registrar of Companies) in whose jurisdiction the mortgage, charge, hypothecation, assignment or other interest created on the financial assets had been registered. Giving of such notice is optional and not compulsory under the Act. Thus, it is not essential to have modification of charge with the Registrar of Companies. However, if the bank or financial institution decides to give notice to the obligor, then notice to the concerned registering authority may also be given.

If notice of acquisition as said above is given to the obligor, it is necessary that the obligor should make payments to the concerned ARC. Such payments amount to a valid discharge of liability of the obligor making the payment. If notice of acquisition, is not given, the money or property received by the bank or financial institution from the obligor shall be held by such bank or financial institution in trust and shall be handed over to the concerned ARC.

(d) Issue of Security Receipts and Raising of Funds by ARC

- (a) **Eligible Investor:** An ARC may, after acquisition of any financial asset offer SRs to QBs or such other category of investors including non- institutional investors as may be specified by RBI for raising funds in accordance with related laws. The SRs are not issued to the public. The Act has debarred individuals from making an investment in ARC.
- (b) **Conditions for Issue:** For ARC to raise funds from QBs following conditions apply:
 - (i) Separate Schemes should be formulated for acquisition of various financial assets.
 - (ii) Scheme-wise and asset-wise separate distinct accounts should be maintained.
 - (iii) Realisations of the financial assets should be held separately, and applied towards redemption of the respective investments and payment of returns under the relevant scheme.
 - (iv) In case there is no realisation and repayment the QBs, holding not less than 75% of the total value of the SRs issued are entitled to call a meeting of all QBs invested in that scheme and the resolutions passed in such a meeting are binding on the ARC.
- (c) **Separate Trusts:** When separate schemes are made and funds are raised by the ARC, the provisions of SARFAESI Act do not directly provide for setting up of trusts for each scheme. However, in totality the legal effect is that there are resultant trusts in respect of each scheme. The investors in such schemes become the beneficiaries under the trust and the company framing the scheme is the trustee, managing the trust. Hence, in the eventuality of liquidation of ARC the money does not pass on to liquidator and the beneficiaries get the money on priority and distinctly.
- (d) **Registration Exempted:** When ARC issues SRs the holder of the security receipts is entitled to an undivided interest in the financial assets. Registration of the SR is required, if it is creating, declaring, assigning, limiting or extinguishing any right, title or interest to or in an immoveable property.

(f) Other Functions of ARC

Any ARC registered under the SARFAESI Act may,

- (i) Act as an agent for any bank or financial institution for the purpose of recovering their dues.
- (ii) Act as a manager for the secured assets, of which the possession is taken by any bank or financial institution. However, if acting as manager gives rise to any pecuniary liability on the ARC, then this can not be done.
- (iii) Act as receiver if appointed by any Court or Tribunal.

For any other acts as well as business other than securitisation or asset reconstruction prior approval of the RBI is required.

(g) Resolution of Dispute

Any dispute between the bank or financial institution and ARC as well as with or by QB relating to securitisation or reconstruction or nonpayment of any amount due or interest, is required to be settled by conciliation or arbitration as provided in the Arbitration and Conciliation Act, 1996. The provisions of mandatory arbitration and conciliation are not applicable to the dispute by or against the borrower.

National Asset Reconstruction Company Ltd (NARCL):

NARCL has been set up with a strategic initiative to clean up the legacy stressed assets with an exposure of Rs 500 crores and above in the Indian Banking system. NARCL offers adaptable acquisition structures comprising of an optimal mix of Cash and Security Receipts (SRs) to the selling Banks and Financial Institutions, across sectors and geographies. NARCL's acquisition processes is administered by the Financial Asset Acquisition Policy framed under the extant guidelines for Asset Reconstruction Companies. NARCL's investment strategy focuses on aggregating the stressed assets under one roof to ensure efficient resolution of such assets.

29.3.3 Measures of Asset Reconstruction

(a) Cognisance of Other Laws: Powers to take various measures for asset reconstruction contained in SARFAESI are given without prejudice to the provisions contained in any other law. Thus, the powers given under the SARFAESI Act are subject to the provisions of all the other existing laws.

(b) Measures Permitted: The permissible measures for asset reconstruction are as under that can be taken subject to RBI guidelines:

- (i) *To change or takeover the management of the business of the borrower:* With provisions under SARFAESI Act, a borrowal unit that has been classified as NPA, but is still functioning, can be treated differently by banks and financial institutions. If the cause of default in such a unit is any mismanagement or lack of expertise on the part of the existing management, the ARC has the powers to take over the management or change the management. This power can be exercised even when there is no default. On realisation of the secured debt in full, the management of the business can be restored back to the borrower.
- (ii) *To sell or lease a part of or whole of the business of the borrower:* ARCs are currently not permitted to resort to this measure, until RBI issues guidelines for this.
- (iii) *Rescheduling of payment of debts payable by the borrower:* Every ARC shall have a Board approved Policy laying down the broad parameters for rescheduling of debts due from borrowers. In cases where ARCs have exposure to a borrower in respect of which a resolution plan is under implementation, ARC shall also sign the inter-creditor agreement (ICA) and adhere to all its provisions.

- (iv) *Enforcement of security interest in accordance with the provisions of the SARFAESI Act*: For the purpose of enforcement of security interest, the consent of secured creditors holding not less than 60% of the amount outstanding to a borrower should be obtained. ARC may itself acquire the secured assets, either for its own use or for resale, only if the sale is conducted through a public auction.
- (v) *Settlement of dues payable by the borrower*: Every ARC shall frame a policy laying down the broad parameters for settlement of debts due from borrowers.
- (vi) *Taking possession of secured asset*: In accordance with the provisions of the SARFAESI Act.
- (vii) *Conversion of any portion of debt into shares of the borrower company*: Every ARC shall frame a policy, laying down the broad parameters for conversion of debt into shares of the borrower company.

29.3.4 Enforcement of Security Interest

(a) Conditions and Procedure

- (i) Under SARFAESI Act a secured creditor can enforce the security interest created in his favour without the intervention of the Court or Tribunal. This power given to the secured creditor, has an overriding effect over the provisions related to mortgage in the Transfer of Property Act, 1882, as in that Act Court intervention is required.
- (ii) Sec. 13(2) of SARFAESI Act provides that a secured creditor may give a notice to the borrower, who has defaulted in making the repayment and whose account is classified as NPA to discharge his liabilities in full within 60 days from the date of the notice. Failing to do so by the borrower, the secured creditor gets further rights. In case of a borrower who has raised funds through issue of debt securities; the requirement of non-performing asset does not apply. The debenture trustee is entitled to adopt these measures provided in the Act.
- (iii) The notice should give the details of the amount payable by the borrower and the secured asset intended to be enforced by the secured creditor in the event of non-payment. Though the Act contemplates giving only two particulars, it is prudent also to give the details of defaults, overdue period and the date from which the account is classified as NPA, facility-wise securities provided for the loans and particulars of security documents executed by the borrower. This notice is a statutory notice having consequence, that the borrower is prohibited from transferring the property mentioned in the notice in any way, any contravention by the borrower is punishable under the SARFAESI Act. So it is advisable as an abundant caution the notice should also mention about the legal consequences and the penal provisions.
- (iv) The Act was amended following the judgment of the Supreme Court on the manner in which the secured creditor should deal with any reply or objections raised by the borrower. The Supreme Court in *Mardia Chemicals Ltd. case*, has laid down certain guidelines which are broadly as under:
 - (a) The secured creditor must apply his mind to the objection raised by the borrower in response to the notice.
 - (b) An internal mechanism must be evolved to consider the reply of the borrower.
 - (c) There may be some meaningful consideration in the objection raised, and their rejection should not be ritual exercise, followed by drastic action.

- (d) The reasons for overriding the objections of the borrower must be communicated to him within 15 days of the receipt of representation.
- (e) This process does not give an occasion to the borrower to resort to any proceedings, such as a stay application, injunction, any other type of suit to restrain the creditor's actions.
- (v) If the borrower does not pay in full as per the notice, it gives the secured creditor right to take recourse to one or more of the measures provided for in the Act to recover his secured debt.
- (vi) Where the dues and all costs, charges and expenses incurred by him is tendered to the secured creditor at any time before any steps for transfer by way of lease, assignment or sale of the secured assets are initiated the secured assets shall not be transferred, and if some steps have already been taken no further steps should be taken.
- (vii) Where the sale of an immovable property, for which a reserve price has been specified, has been postponed for want of a bid of an amount not less than such reserve price, it shall be lawful for any officer of the secured creditor, if so authorised by the secured creditor in this behalf, to bid for the immovable property on behalf of the secured creditor at any subsequent sale. If the secured creditor is declared to be the purchaser of the immovable property the amount of the purchase price shall be adjusted towards the amount of the claim of the secured creditor. In case of a bank acquiring an immovable property the provisions of Sec. 9 of the Banking Regulations Act, 1949 regarding the period of holding such immovable property shall apply.
- (viii) Subject to the provisions of the Insolvency and Bankruptcy Code, 2016, in case of multiple secured creditors, no secured creditor can exercise any right unless this is agreed upon by the secured creditors representing not less than 60% in value of the amount outstanding and such action shall be binding on all the secured creditors.
- (ix) Sale proceeds realised are required to be appropriated in the following order:
 - (a) Firstly, towards costs, charges and expenses incidental towards preservation and protection of securities, insurance premiums, etc., those are recoverable from the borrower.
 - (b) Secondly, towards the dues of the secured creditors.
 - (c) Thirdly, if there is any surplus it will be paid to the person entitled thereto, in accordance with the right and interests.
- (x) In case the borrower is a company under winding up process, the dues payable to the workmen have pari passu charge with the secured creditors as provided in Sections 325 and 326 of the Companies Act, 2013. This is the exception for the priorities the secured creditor otherwise gets when he initiates recovery actions under the SARFAESI Act.
- (xi) If after the sale of the secured asset the entire dues of the secured creditors are not recovered and still there is balance due then the secured creditor can file an application before DRT or a civil suit in a competent Civil Court. Depending on the amount to be recovered the pecuniary jurisdiction will be decided.
- (xii) Secured creditors are entitled to sell any other goods pledged as security for repayment of the loan or proceed against the guarantor to recover the defaulted loan without initiating any actions against the security asset. Thus, the right against security under the SARFAESI Act and the one against the pledged security and proceeding against guarantor are kept separate and distinct.

- (xiii) As the powers of enforcing securities need to be exercised prudently, fairly, and with due care and caution the Rules framed under the SARFAESI Act provide that the authorised officer should be of the level equivalent to a Chief Manager of a public sector bank or equivalent or any other authorised person exercising powers of superintendence, direction and control of the business or affairs of the creditors, as the case may be.
- (xiv) When the borrower receives the notice from the creditor under Sec.13(2), the borrower shall not transfer by way of sale, lease or otherwise, other than in the ordinary course of business, any of his secured assets referred to in the notice without prior written consent of the secured creditor. Non-compliance with this provision attracts penal provisions under the SARFAESI Act that provides for punishment of imprisonment of one year or fine or both.
- (xv) The procedure for taking the security into possession and then sell the same is broadly as follows:
 - (a) Where the possession of the secured assets to be taken by the secured creditor are movable property, it should be done in the presence of two witnesses and Panchnama drawn on the lines of the prescribed format, including inventory of the property taken into possession, and a copy given to the borrower.
 - (b) Before sale the estimated value of the movable secured assets should be ascertained and thereafter, if considered necessary, fix the reserve price of the assets to be sold.
 - (c) The secured creditor shall take care of the property under his possession as an owner of ordinary prudence, preserve and protect the secured assets and insure the same if necessary until they are sold.
 - (d) If the property is subject to speedy or natural decay or the expense of keeping such property in custody is likely to exceed its value, it can be sold at once.
 - (e) The movable property may be sold in one or more lots adopting any of the following methods— obtaining quotations from interested parties, inviting tenders from public, holding public auction including e-auction, or private treaty. The borrower should be given 30 days' notice. A certificate of sale is issued that shall be prima facie evidence of title of the purchaser.
 - (f) For taking of possession and then sale of immovable property, the secured creditor is required to serve, including through electronic mode, a possession notice on the borrower and by affixing the possession notice on the outer door or at a conspicuous place at the property. It is also to be published in two leading newspapers, including in the local vernacular language.
 - (g) Valuation of the immovable property should be obtained, and a reserve price be fixed before sale - by obtaining quotations from interested parties, inviting tenders from the public, holding public auction including e-auction, or private treaty.
 - (h) Thirty days before sale of the immovable property, the borrower should be given a notice about the sale.
 - (i) If the price for the secured asset is coming to less than the reserve price, it can be sold at a lower price with the consent of the borrower and secured creditor.
 - (j) On acceptance of the offer by the secured creditor, the purchaser has to deposit 25% of the offer price on the same day or the next day. The balance amount shall be paid on or

before the fifteenth day of confirmation of sale or such extended period as agreed upon but maximum three months.

- (k) On compliance with the payment terms, a sale certificate, in the prescribed form, is issued indicating that the property is free from any encumbrance or otherwise. Such a certificate is conveyance of immovable property and requires stamping, as may be required under the relevant State laws.

(b) Chief Metropolitan Magistrate or District Magistrate's Assistance for Taking Possession of Secured Asset

For taking possession or control of the secured asset or for its sale or transfer, the secured creditor can take the help of the Chief Metropolitan Magistrate (CMM) or the District Magistrate (DM). For this purpose a written request is to be made to the said authority within whose jurisdiction the secured asset or documents related to it are situated. On receiving such request, the CMM/ DM shall take possession of the security asset and documents relating thereto and forward to the secured creditor. The CMM/DM may take such steps and use such force as may be necessary, and any action while taking possession of the security shall not be called in question in any Court or before any authority.

29.3.5 Manner and Effect of Take Over of Management

- (a) *Notice in Newspaper*: When the secured creditor takes over the management of business of a borrower, he may publish a notice in two newspapers, one each in English and in an Indian language in circulation in the place where the principal office of the borrower is situated, for appointment of:
 - (i) Directors, if the borrower is a company.
 - (ii) Administrator, in any other case.
- (b) *Deemed to Vacate Office*: On publication of such a notice, the directors of the company, in case of a company, and in other cases, the person holding any office having power of superintendence, direction and control of the business, shall be deemed to have vacated their offices.
- (c) *Custody of Appointed Directors/ Administrators*: All the property and effects of the business of borrower are deemed to be in the custody of the appointed directors or the administrators and they are empowered to take steps to take into their custody or under their control all the property, effect and actionable claims to which the borrower is entitled. Thereafter, the directors or the administrators are alone entitled to exercise all the powers of superintendence, direction and control of the business of the borrower.
- (d) *Effect of Takeover in Case of Company*: Where the borrower is a company following effects apply:
 - (i) The shareholders cannot lawfully appoint any person to be a director of the company.
 - (ii) Resolution of shareholders can be effected only with approval of the secured creditor.
 - (iii) No proceeding for the winding up or for the appointment of a receiver shall lie, except with the consent of the secured creditor.
- (e) *Post Recovery in Full*: On realisation of the debt in full the secured creditor shall restore the management of the business of the borrower to him, except where part of the debt is converted into shares of a borrower company giving controlling interest in it.
- (f) *Subsequent Security Interests*: Secured creditor and creditors holding order of attachment shall have priority over all subsequent security interest created upon such property and any transfer by way of sale, lease or assignment or license of such property or attachment order subsequent to such registration.

- (g) *No Compensation to Directors For Loss Of Office*: No managing director or director or any person in charge of management of the business of the borrower shall be entitled to any compensation for the loss of office or for premature termination of any contract of management. However, if any director or any other person controlling the management has to recover any amount from borrower, it can be recovered.

29.3.6 Rights of the Borrower and Others

(a) Right to Prefer Application to DRT

Any person, including the borrower, aggrieved by any of the measures taken by the secured creditor for taking possession of the security may make an application along with the prescribed fees, to the DRT within forty-five days from the date on which such measures are taken.

The DRT is required to dispose of the application within sixty days, and if delayed with recorded reasons maximum within four months from the date of filing of the application. If not so disposed, the aggrieved party can prefer an application to the Appellate Tribunal.

(b) Appeal to Appellate Authority

Any person aggrieved by any order made by the DRT can prefer an appeal to the Appellate Tribunal within thirty days from the date of receipt of the order. No appeal can lie unless the borrower deposits 50% (can be reduced to 25% by DRT) of the debt claim.

(c) Right of the Borrower for Compensation and Costs

If the DRT or the appellate tribunal: holds the possession of secured asset is not in accordance with the provisions of the Act, and directs the secured creditor to return the secured asset to the borrower, then such borrower is entitled to payment of such compensation and costs as determined by the tribunal or the appellate tribunal.

The SARFAESI Act does not provide any pecuniary limit. Therefore, appeal before the DRT against the actions initiated by the secured creditors in cases even below ₹ 20 Lakh would lie.

29.3.7 Central Registry

(a) Purpose of Central Registry

The Central Government has set up a 'Central Registry' for registration of following transactions:

- (i) Securitisation of financial assets,
- (ii) Reconstruction of financial assets, and
- (iii) Creation of security interest under SARFAESI Act.

There are certain other Acts requiring registration of information and charges. These Acts are:

- (i) Registration Act, 1908
- (ii) Companies Act, 2013
- (iii) Merchant Shipping Act, 1958
- (iv) Patents Act, 1970
- (v) Designs Act, 2000
- (vi) Motor Vehicles Act, 1988

The registration with the Central Registry is in addition to the respective registrations done under the above stated six Acts or any other Act. The purpose and the effect and consequence of registration are different under the different Acts. The priority arising out of the registrations under different laws will continue to hold as per the provisions of respective laws, and will not be affected on account of registration under SARFAESI.

(b) Central Registrar

The Central Registry functions under the superintendence and direction of the Central Registrar appointed by the Central Government. The Central Registry of Securitization and Asset Reconstruction and Security Interest of India (Registry) (CERSAI) became operational on March 31, 2011.

(c) Register of Securitisation, Reconstruction and Security Interest Transactions

Any entry made with the Central Registrar shall be a reference to any such transaction. The Central Registrar shall have the control and management of the central register.

(d) Filing of Transactions of Securitisation, Reconstruction And Creation Of Security Interest

Under the SARFAESI Act, now filing of details of transactions of securitisation, reconstruction and the creation of security interest is required to be filed with the Central Registrar. Transactions to be mandatorily registered by banks and financial institutions are as follows:

- (i) All particulars of creation, modification or satisfaction of security interest in respect of equitable mortgages created;
- (ii) All particulars of creation, modification or satisfaction of security interest other than mortgage by deposit of title deed;
- (iii) All particulars of creation, modification or satisfaction of security interest in hypothecation of Plant & Machinery, stock, book debts, receivables whether existing or future; and
- (iv) All particulars creation, modification or satisfaction of security interest in intangible assets being know how, copy rights, trade marks, licence, franchise or any other business or commercial right etc. or similar nature.
- (v) Particulars of creation, modification or satisfaction of security interest in any under construction residential or commercial building or a part thereof by an agreement or instrument other than by mortgage.

The amended provisions do not stipulate a time limit for filing such details. However, given the effect of non-filing of such information it is advisable and important that this is done promptly after the transaction date. The charges are effective from the date of registration of charge with CERSAI. All creditors including secured creditors may file particulars of transactions with central registry. Creditors other than secured creditors are not eligible to exercise right of enforcement of securities under SARFAESI. Any person having an order of attachment against the borrower shall file such order with the Central Registry. Registration is deemed to constitute a public notice from the date and time of filing of particulars of such transaction with the Central Registry. No secured creditor shall be allowed to exercise right of enforcement of securities unless the security interest created has been registered with the Central Registry. Where security interest or attachment order upon any property in favour of the secured creditor or any other creditor are filed for the purpose of registration the claim of such secured creditor or other creditor holding attachment order shall have priority over any subsequent security interest created upon such property and any transfer by way of sale, lease or assignment or licence of such property or attachment order subsequent to such registration, shall be subject to such claim. After registration of security interest with Central Registry, the debts due to any secured creditor shall be paid in priority over all other debts and all revenues, taxes, cesses and other rates payable to the Central Government or State Government or local authority, subject to proceedings pending under the Insolvency and Bankruptcy Code, 2016, if any.

(e) Modification of Security Interest Registered

Whenever any security interest, registered with the Central Registrar, is modified, the modification is required to be filed before Central Registrar, within the prescribed period.

(f) Satisfaction of Security Interest

The security interest registered with the Central Registrar is required to be satisfied on the payment of full amount by the borrower. The ARC or the secured creditor must report satisfaction within thirty days of payment in full or satisfaction of the charge. On receipt of the satisfaction of the charge from the borrower, the Central Registrar issues a notice to the ARC or the secured creditor, to show cause within 14 days as to why the payment or satisfaction should not be recorded as intimated. If no cause is shown then the Central Registrar has to order that a memorandum of satisfaction shall be entered in the central register. If any cause is shown the Central Registrar shall record a note to that effect in the Central register and shall inform to the borrower about it.

(g) Right to Inspect Particulars of Securitisation, Reconstruction of Security Interest Transactions

The particulars of securitisation or reconstruction or security interest entered in the central register are open for inspection by any person during office hours on payment of fees as may be prescribed. Same is applicable if the data is kept in the electronic form at the office of the Central Registrar.

29.3.8 Non-Applicability of The Provisions of the SARFAESI Act in Certain Cases

The securities in possession of the secured creditors are not covered by this Act. Sec. 31 gives the exclusions for securities that can be taken possession of and to some other specific securities to which the Act is not applicable:

- (i) Lien, on any goods, money or security given by or under the Indian Contract Act, 1872 or the Sale of Goods Act, 1930 or any other law for the time being in force.
- (ii) Pledge of movable, within the meaning of Section 172 of the Indian Contract Act, 1872.
- (iii) Creation of security interest in any vessel within the meaning of Section 3(55) of the Merchant Shipping Act, 1958.
- (iv) Creation of security in any aircraft as defined in Section 2 of Aircraft Act 1934.
- (v) Any rights of unpaid seller under Section 47 of the Sale of Goods Act, 1930.
- (vi) Any properties not liable for attachment (excluding those specifically charged with the debt recoverable under this Act) or sale under the first proviso to Section 60(1) of the Civil Procedure Code, 1908.
- (vii) Any security interest for securing repayment of any financial asset not exceeding one lakh rupees.
- (viii) Any security interest created in agricultural land.
- (ix) Any case, in which the amount due is less than twenty per cent of the principal amount and interest there under.

29.3.9 Other Aspects

(a) Protection of Action Taken in Good Faith

The secured creditors and their officers are protected for actions taken in good faith.

(b) Offences by Companies

If a company commits an offence under this Act, the company and every person who at the time the offence was committed was in charge of, and was responsible to, the company, for the conduct of the business of the company shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly. There are provisions in the Act that cast some statutory obligations. If these statutory obligations are not observed then there is contravention of the Act which amounts to offence.

(c) Civil Court not to Have Jurisdiction

The SARFAESI Act has conferred jurisdiction on many matters to the Debts Recovery Tribunal or the Appellate Tribunal. Therefore, for any such matters where empowerment and jurisdiction is to the Debts Recovery Tribunal or the Appellate Tribunal, no Civil Court shall have jurisdiction to entertain any suit or proceedings pertaining to such matters.

(d) Overriding Effect on Other Laws

If for any particular point, the provisions of this Act and in some other Act are inconsistent with each other, a question will come as to which provisions are to be followed, when both such Acts are applicable to that particular point. The Act, therefore, provides that the provisions of the SARFAESI Act will have overriding effect on the other Act including the Transfer of Property Act and the Registration Act.

However, the provisions of this Act or the rules made thereunder shall be in addition to, and not in derogation of, the Companies Act, 2013, the Securities Contracts (Regulation) Act, 1956, the Securities and Exchange Board of India Act, 1992, the Recovery of Debts And Bankruptcy Act, 1993 or any other law for the time being in force.

(e) Limitation Period

The actions that secured creditor can take against the security under the SARFAESI Act are required to be taken within the limitation period as per Section 36 of the Limitation Act. That means, the action has to be taken within three years from the date on which the cause of action arose.

If after sale of securities the claim is not fully satisfied, the creditor is required to file civil suit before the Civil Court or a claim before the debt recovery tribunal within the limitation period. Therefore, the secured creditor will have to make an assessment, before taking possession of the security, whether it would be possible to sell the security and make an eventual claim for shortfall within the limitation period.

29.4 INTRODUCTION TO THE INSOLVENCY AND BANKRUPTCY CODE, 2016

The enactment of the Insolvency and Bankruptcy Code, 2016 (IBC) is a watershed towards improving the credit culture in our country. Prior to the enactment of the IBC, India had multiple overlapping laws that governed various facets of a corporate rescue and/or insolvency process, without having a comprehensive legal framework that envisages a holistic process applicable to troubled or defaulting companies. Recognizing that reforms in the bankruptcy and insolvency regime are critical for improving the business environment and alleviating distressed credit markets, IBC was enacted that came into force in December 2016. IBC essentially has three sets of provisions covering – (i) matters relating to the insolvency and liquidation of corporate debtors where the minimum amount of the default is one crore rupees; (ii) matters relating to fresh start, insolvency and bankruptcy of individuals and partnership firms where the amount of the default is not less than one thousand rupees; (iii) matters relating to establishment of the Insolvency and Bankruptcy Board of India.

29.4.1 Fundamental Aspects of IBC

A. Preamble, Coverage and Definitions

(a) Preamble

“An Act to consolidate and amend the laws relating to reorganisation and insolvency resolution of corporate persons, partnership firms and individuals in a time bound manner for maximisation of

value of assets of such persons, to promote entrepreneurship, availability of credit and balance the interests of all the stakeholders including alteration in the order of priority of payment of Government dues and to establish an Insolvency and Bankruptcy Board of India, and for matters connected therewith or incidental thereto.”

(b) Coverage

IBC pertains to matters related to insolvency, liquidation, voluntary liquidation or bankruptcy of entities and individuals. The provisions of IBC apply to the following-

- (a) Any company incorporated under the Companies Act, 2013 or under any previous law.
- (b) Any other company governed by any special act for the time being in force, except in so far as the said provision is inconsistent with the provisions of such Special Act.
- (c) Any Limited Liability Partnership under the LLP Act 2008.
- (d) Any other body incorporated under any law for the time being in force, as the Central Government may specify.
- (e) Personal guarantors to corporate debtors.
- (f) Partnership firms and Proprietorship firms.
- (g) Individuals (other than those in (e)).

(c) Key Terms

- (i) **Insolvency:** Insolvency is when an individual or organization is unable to meet its outstanding financial debt towards its lender as it become due. Insolvency can be resolved by way of changing the repayment plan of the loans or writing off a part thereof. If it cannot be resolved, then a legal action may lie against the insolvent and its assets will be sold to pay off the outstanding debts. Generally, an official assignee/ liquidator appointed by the Government of India, realizes the assets and allocates it among the creditors of the insolvent.
- (ii) **Bankruptcy:** Bankruptcy is a concept slightly different from insolvency, which is rather amicable. A bankruptcy is when a person voluntary declares him as an insolvent and goes to the court. On declaring him as ‘bankrupt’, the court is responsible to liquidate the personal property of the insolvent and hand it out to its creditors. It provides a fresh lease of life to the insolvent.
- (iii) **Financial Creditors:** The term financial debt has been defined in section 5(8) of Code “to mean a debt, alongwith interest, if any, which is disbursed against the consideration for the time value of money.” Typically, financial creditors are those “whose relationship with the entity is a pure financial contract, such as a loan or a debt security. The key feature of financial transaction as postulated by section 5(8) is its consideration for time value of money. However, homebuyers have also been deemed to be financial creditors under IBC.
- (iv) **Operational Debt:** Section 5(20) of IBC defines an operational debt as “a claim in respect of the provisions of goods or services including employment or a debt in respect of the payment of dues arising under any law for the time being in force and payable to the Central Government, any State Government or any local authority”. Operational creditors are those whose claims arise “from a transaction on operations”.

(d) Definitions

- (i) **Charge:** means an interest or lien created on the property or assets of any person or any of its undertakings or both, as the case may be, as security and includes a mortgage.
- (ii) **Claim:** means--
 - (a) a right to payment, whether or not such right is reduced to judgment, fixed, disputed, undisputed, legal, equitable, secured or unsecured;

- (b) right to remedy for breach of contract under any law for the time being in force, if such breach gives rise to a right to payment, whether or not such right is reduced to judgment, fixed, matured, unmatured, disputed, undisputed, secured or unsecured.
- (iii) **Corporate person:** means a company as defined in clause (20) of section 2 of the Companies Act, 2013 (18 of 2013), a limited liability partnership, as defined in clause (n) of sub-section of section 2 of the Limited Liability Partnership Act, 2008 (6 of 2009), or any other person incorporated with limited liability under any law for the time being in force but shall not include any financial service provider.
- (iv) **Corporate debtor:** means a corporate person who owes a debt to any person.
- (v) **Core services:** means services rendered by an information utility for--
 - (a) accepting electronic submission of financial information in such form and manner as may be specified;
 - (b) safe and accurate recording of financial information;
 - (c) authenticating and verifying the financial information submitted by a person; and
 - (d) providing access to information stored with the information utility to persons as may be specified.
- (vi) **Creditor:** means any person to whom a debt is owed and includes a financial creditor, an operational creditor, a secured creditor, an unsecured creditor and a decree-holder.
- (vii) **Debt:** means a liability or obligation in respect of a claim which is due from any person and includes a financial debt and operational debt.
- (viii) **Default:** means non-payment of debt when whole or any part or instalment of the amount of debt has become due and payable and is not 1[paid] by the debtor or the corporate debtor, as the case may be.
- (ix) **Financial information:** in relation to a person, means one or more of the following categories of information, namely:
 - (a) records of the debt of the person;
 - (b) records of liabilities when the person is solvent;
 - (c) records of assets of person over which security interest has been created;
 - (d) records, if any, of instances of default by the person against any debt;
 - (e) records of the balance sheet and cash-flow statements of the person; and
 - (f) such other information as may be specified;
- (x) **Financial institution:** means--
 - (a) a scheduled bank;
 - (b) financial institution as defined in section 45-I of the Reserve Bank of India Act, 1934 (2 of 1934);
 - (c) public financial institution as defined in clause (72) of section 2 of the Companies Act, 2013 (18 of 2013); and
 - (d) such other institution as the Central Government may by notification specify as a financial institution.
- (xi) **Financial product:** means securities, contracts of insurance, deposits, credit arrangements including loans and advances by banks and financial institutions, retirement benefit plans, small savings instruments, foreign currency contracts other than contracts to exchange one currency (whether Indian or not) for another which are to be settled immediately, or any other instrument as may be prescribed.
- (xii) **Financial service:** includes any of the following services, namely:

- (a) accepting of deposits;
 - (b) safeguarding and administering assets consisting of financial products, belonging to another person, or agreeing to do so;
 - (c) effecting contracts of insurance;
 - (d) offering, managing or agreeing to manage assets consisting of financial products belonging to another person;
 - (e) rendering or agreeing, for consideration, to render advice on or soliciting for the purposes of--
 - (i) buying, selling, or subscribing to, a financial product;
 - (ii) availing a financial service; or
 - (iii) exercising any right associated with a financial product or financial service;
 - (f) establishing or operating an investment scheme;
 - (g) maintaining or transferring records of ownership of a financial product;
 - (h) underwriting the issuance or subscription of a financial product; or
 - (i) selling, providing, or issuing stored value or payment instruments or providing payment services.
- (xiii) *Insolvency professional*: means a person enrolled under section 206 with an insolvency professional agency as its member and registered with the Board as an insolvency professional under section 207.
- (xiv) *Insolvency professional agency*: means any person registered with the Board under section 201 as an insolvency professional agency.
- (xv) *Information utility*: means a person who is registered with the Board as an information utility under section 210.
- (xvi) *Person* includes--
- (a) an individual;
 - (b) a Hindu Undivided Family;
 - (c) a company;
 - (d) a trust;
 - (e) a partnership;
 - (f) a limited liability partnership; and
 - (g) any other entity established under a statute; and includes a person resident outside India.
- (P1) Pre-Packaged Insolvency resolution process: The insolvency resolution process for corporate Persons. An application for initiating pre-packaged insolvency resolution process may be made in respect of a corporate debtor classified as a micro, small or medium enterprise
- (xvii) *Property*: includes money, goods, actionable claims, land and every description of property situated in India or outside India and every description of interest including present or future or vested or contingent interest arising out of, or incidental to, property.
- (xviii) *Secured creditor*: means a creditor in favour of whom security interest is created.
- (xix) *Security interest*: means right, title or interest or a claim to property, created in favour of, or provided for a secured creditor by a transaction which secures payment or performance of an obligation and includes mortgage, charge, hypothecation, assignment and encumbrance or any other agreement or arrangement securing payment or performance of any obligation of any person. Provided that security interest shall not include a performance guarantee.

- (xx) *Transaction*: includes an agreement or arrangement in writing for the transfer of assets, or funds, goods or services, from or to the corporate debtor.
- (xxi) *Transfer*: includes sale, purchase, exchange, mortgage, pledge, gift, loan or any other form of transfer of right, title, possession or lien.
- (xxii) *Transfer of property*: means transfer of any property and includes a transfer of any interest in the property and creation of any charge upon such property.

B. Pillars of IBC, 2016

The institutional infrastructure under the IBC rests on four pillars, viz.,

- (a) The Insolvency and Bankruptcy Board of India (IBBI).
- (b) Insolvency Professional Agencies (IPA)
- (c) Insolvency Professionals (IP)
- (d) Information Utilities (IU); and
- (e) Adjudicating Authorities.

(a) The Insolvency and Bankruptcy Board of India (IBBI)

The Insolvency and Bankruptcy Board of India was established on 1st October, 2016 under IBC. It is a key pillar of the ecosystem responsible for implementation of IBC. It has regulatory oversight over insolvency professionals, insolvency professional agencies and information utilities. It writes and enforces rules for processes, namely, corporate insolvency resolution, corporate liquidation, individual insolvency resolution and individual bankruptcy under IBC. It has also been designated as the 'Authority' under the Companies (Registered Valuers and Valuation Rules), 2017 for regulation and development of the profession of valuers in the country.

Composition: The Board comprises following members appointed by the Central Government -

- (a) a Chairperson;
- (b) three members (ex officio) - Not below the rank of Joint Secretary or equivalent, from Ministry of Finance, the Ministry of Corporate Affairs and Ministry of Law;
- (c) one member (ex officio) - nominated by RBI;
- (d) five other members (at least three whole-time) - nominated by the Central Government.

The term of office of the Chairperson and members (other than ex officio members) is of five years or till the age of sixty-five years, whichever is earlier, and they are eligible for reappointment.

Powers and functions of Board: The Board shall perform all or any of the following functions -

- (a) register insolvency professional agencies (IPA), IP and IU and renew, withdraw, suspend or cancel such registrations;
- (b) promote development of, and regulate, the working and practices of IP, IPA and IU and other institutions;
- (c) specify standards for the functioning of IPA, IP and IU;
- (d) carry out inspections and investigations on IPA, IPA and IU;
- (e) issue necessary guidelines to the IPA, IPA and IU;
- (f) make regulations and guidelines on matters relating to insolvency and bankruptcy, including mechanism for time bound disposal of the assets of the corporate debtor or debtor.

While exercising the powers under IBC, the Board shall have the same powers as are vested in a civil court under the CPC 1908, while trying a suit, in respect of the following matters –

- (i) the discovery and production of books of account and other documents, at such place and such time as may be specified by the Board;

- (ii) summoning and enforcing the attendance of persons and examining them on oath;
- (iii) inspection of any books, registers and other documents of any person at any place;
- (iv) issuing of commissions for the examination of witnesses or documents.

(b) Insolvency Professional Agencies

A person shall carry on its business as insolvency professional agencies (IPA) under IBC and enrol insolvency professionals (IP) as its members under and in accordance with a certificate of registration issued by the Board. These agencies regulate the activities of the IPs.

Registration: The Board considers following principles while registering the IPAs –

- (a) to promote the professional development of and regulation of insolvency professionals;
- (b) to promote good professional and ethical conduct amongst insolvency professionals;
- (c) to protect the interests of debtors, creditors and such other persons as may be specified;

Functions of IPA: An IPA shall perform the following functions –

- (a) grant membership to persons who fulfill requirements set out in its byelaws;
- (b) lay down standards of professional conduct for its members;
- (c) safeguard the rights, privileges and interests of IPs who are its members;
- (d) suspend or cancel the membership of IPs on the grounds set out in its bye-laws;

(c) Insolvency Professionals

The primary duty of the Insolvency Professionals (IPs) is to assist in the completion of insolvency resolution, liquidation and bankruptcy proceedings and they are governed by IPA. The Limited Insolvency Examination is one of the mandatory conditions of getting registered as an IP. A person can function as an IP on being enrolled as a member of an IPA and registered with the Board.

Registration of IPs: After obtaining the membership of any IPA, an IP should register himself with the Board. The Board may specify the categories of professionals or persons possessing such qualifications and experience in the field of finance, law, management, insolvency or such other field.

Functions and obligations of IPs: In any insolvency resolution, fresh start, liquidation or bankruptcy process, an IP needs to take necessary actions in the following matters –

- (a) a fresh start order process;
- (b) Individual IRP;
- (c) corporate IRP;
- (d) pre-packaged IRP;
- (e) individual bankruptcy process; and
- (f) liquidation of a corporate debtor firm.

The IP appointed under pre-packaged IRP has to take necessary actions to perform his functions and duties prior to the initiation of the pre-packaged IRP.

Every IP shall abide by the a code of conduct.

(d) Information Utilities

Information Utilities (IU) collect, collate, authenticate and disseminate financial information. They also maintain electronic databases on lenders and terms of lending, thereby eliminating delays and disputes when a default actually takes place.

A person to carry on business as IU under IBC shall obtain a certificate of registration from the Board.

Governing Board of IU: The Board may, require every IU to set up a governing board, with prescribed number of independent members.

Core services of IUs: An IU shall provide specified services including core services to any person if such person complies with the specified terms and conditions.

Obligations of IU: For the purposes of providing core services to any person, every IU shall -

- (a) create and store financial information in a universally accessible format;
- (b) accept electronic submissions of financial information from persons who, under obligations or voluntarily, submit financial information;
- (c) meet minimum service quality standards specified by regulations;
- (d) get information received authenticated by all concerned parties before storing;
- (e) provide access to financial information to any person in specified manner;
- (f) have inter-operability with other IUs.

Procedure for submission of information: Any person who intends to submit financial information to the IU or access the information from it shall pay specified fee and submit information. A financial creditor shall submit financial information and information relating to assets in relation to which any security interest has been created. An operational creditor may submit financial information to the information utility. A person who intends to update or modify or rectify errors in the financial information submitted he may make an application to the IU. A person who submits financial information to an IU shall not provide such information to any other person, except where specified.

(e) **Adjudicating and Appellate Authorities**

Under the IBC different Adjudicating Authorities (AA) have been designated one for Corporate Persons; and other for Individuals and Partnership Firms. Correspondingly, the Appellate authorities are also different.

For corporate persons: The AA in relation to insolvency resolution and liquidation for corporate persons including corporate debtors and personal guarantors thereof is the National Company Law Tribunal (NCLT) having territorial jurisdiction over the place where the registered office of the corporate person is located. The Appellate Authority for matters adjudicated by NCLT is National Company Law Tribunal (NCLAT).

Jurisdiction of NCLT: Where a CIRP or liquidation proceeding of a corporate debtor is pending before a NCLT, an application relating to the insolvency resolution or liquidation or bankruptcy of a corporate guarantor or personal guarantor of such corporate debtor shall be filed before such NCLT. An IRP or liquidation or bankruptcy proceeding of a corporate guarantor or personal guarantor, of the corporate debtor pending in any court or tribunal are transferred to the AA dealing with IRP or liquidation proceeding of such corporate debtor.

The NCLT is vested with all the powers of the DRT and shall have jurisdiction to entertain -

- (a) any application or proceeding by or against the corporate debtor or corporate person;
- (b) any claim made by or against the corporate debtor or corporate person, including claims by or against any of its subsidiaries situated in India; and
- (c) any question of priorities or any question of law or facts, arising out of or in relation to the insolvency resolution or liquidation proceedings of the corporate debtor or corporate person under IBC.

For individuals and partnership firms: The AA in relation to insolvency matters of individuals and firms is the DRT having territorial jurisdiction over the place where the individual debtor actually and voluntarily resides or carries on business or personally works for gain and can entertain an application under IBC regarding such person. The Appellate Authority for matters adjudicated by DRT is DRAT.

Jurisdiction of DRT: The DRT shall have jurisdiction to entertain or dispose of –

- (a) any suit or proceeding by or against the individual debtor;
- (b) any claim made by or against the individual debtor;
- (c) any question of priorities or any other question whether of law or facts, arising out of or in relation to insolvency and bankruptcy of the individual debtor or firm under IBC.

Appeals: An appeal from an order of the AA under IBC shall be filed within thirty days before the Appellate Authority. The appeal against an order of NCLT is filed before the NCLAT, and against an order of DRT the before the DRAT. The NCLAT/ DRAT may if satisfied that a person was prevented by sufficient cause from filing an appeal within thirty days, allow the appeal to be filed within a further period not exceeding fifteen days.

Grounds for Appeal on Orders Related to Corporate Persons -

Against Orders for Resolution Plan - An appeal against an order approving a resolution plan may be filed on the following grounds –

- (i) the approved resolution plan is in contravention of the provisions of any law in force;
- (ii) there has been material irregularity in exercise of the powers by the RP during the CIRP;
- (iii) the debts owed to operational creditors have not been provided for in the manner specified;
- (iv) the insolvency resolution process costs have not been placed in priority to all other debts; or
- (v) the resolution plan does not comply with any other criteria specified by the Board.

Against Liquidation Orders - An appeal against a liquidation order may be filed on grounds of material irregularity or fraud committed in relation to such a liquidation order.

Against Orders for Initiation of CIRP - An appeal against an order for initiation of CIRP, may be filed on grounds of material irregularity or fraud committed in relation to such an order.

Effect on Limitation Period: In computing the period of limitation specified for any suit or application in the name and on behalf of a debtor, or against a corporate debtor for which an order of moratorium has been made, the period of moratorium shall be excluded.

Civil court not to have jurisdiction: No civil court or authority shall have jurisdiction to entertain any suit or proceedings in respect of any matter on which the NCLT/ NCLAT/ DRT/ DRAT has jurisdiction under IBC. No injunction shall be granted by any court, tribunal or authority in respect of any action taken, or to be taken, in pursuance of any power conferred on the NCLT/ DRT or the NCLAT/ DRAT by or under IBC.

Appeal to Supreme Court: An appeal from an order of the NCLAT/ DRAT on a question of law under IBC shall be filed within forty-five days before the Supreme Court. The Supreme Court may allow the appeal to be filed within a further period not exceeding fifteen days.

Expedition disposal of applications: Where an application is not disposed of or order is not passed within the period specified in IBC, the NCLT/ NCLAT/ DRT/ DRAT, shall record the reasons for not doing so within the period so specified; and the President of the NCLT or the NCLAT/ the Chairperson of the DRAT, after taking into account the reasons so recorded, extend the period specified in IBC, but not exceeding ten days.

C. Insolvency and Bankruptcy Fund

The Insolvency and Bankruptcy Fund has been formed for the purposes of insolvency resolution, liquidation and bankruptcy of persons under IBC.

The credits to the Fund are from –

- (a) the grants made by the Central Government for the purposes of the Fund;

- (b) the amount deposited by persons as contribution to the Fund;
- (c) the amount received in the Fund from any other source; and
- (d) the interest or other income received out of the investment made from the Fund.

A person who has contributed any amount to the Fund may, in the event of proceedings initiated in respect of such person under IBC before an AA, make an application to such AA for withdrawal of funds not exceeding the amount contributed by it, for making payments to workmen, protecting the assets of such persons, meeting the incidental costs during the proceedings or such other purposes as may be prescribed.

29.4.2 Insolvency Resolution Process for Companies and Limited Liability Entities

If the default is above ₹ 1 crore the creditor may initiate insolvency resolution process. IBC proposes two independent stages:

- (a) Insolvency Resolution Process – during which financial creditors assess whether the debtor's business is viable to continue and the options for its rescue and resurrection; and
- (b) Liquidation – if the insolvency resolution process fails or financial creditors decide to wind down and distribute the assets of the debtor.

A. Corporate Insolvency Resolution Process (CIRP)

(a) Key Definitions

- (i) *Base resolution plan*: resolution plan provided by corporate debtor under Sec. 54A(4)(e);
- (ii) *Corporate applicant*:
 - (a) corporate debtor; or
 - (b) a member or partner of the corporate debtor who is authorised to make an application for the corporate insolvency resolution process or the pre-packaged insolvency resolution process, as the case may be, under the constitutional document of the corporate debtor; or
 - (c) an individual in charge of managing operations and resources of the corporate debtor; or
 - (d) a person who has control and supervision over financial affairs of corporate debtor;
- (iii) *Corporate guarantor*: a corporate person who is surety to a corporate debtor;
- (iv) *Financial creditor*: a person to whom a financial debt is owed and includes to whom such debt has been legally assigned or transferred to;
- (v) *Financial debt*: a debt along with interest, if any, which is disbursed against the consideration for the time value of money and includes —
 - (a) money borrowed against the payment of interest;
 - (b) any amount raised by acceptance under any acceptance credit facility or its de-materialised equivalent;
 - (c) any amount raised pursuant to any note purchase facility or the issue of bonds, notes, debentures, loan stock or any similar instrument;
 - (d) the amount of any liability in respect of any lease or hire purchase contract which is deemed as a finance or capital lease under the Indian Accounting Standards or such other accounting standards as may be prescribed;
 - (e) receivables sold or discounted other than any receivables sold on non-recourse basis;
 - (f) any amount raised under any other transaction, including any forward sale or purchase agreement, having the commercial effect of a borrowing;

- (g) any derivative transaction entered into in connection with protection against or benefit from fluctuation in any rate or price and for calculating the value of any derivative transaction, only the market value of such transaction shall be taken into account;
- (h) any counter-indemnity obligation in respect of a guarantee, indemnity, bond, documentary letter of credit or any other instrument issued by a bank or financial institution;
- (i) the amount of any liability in respect of any of the guarantee or indemnity for any of the items referred to in sub-clauses (a) to (h) of this clause;
- (vi) **Initiation date**: the date on which a financial creditor, corporate applicant or operational creditor, makes an application to the AA for initiating corporate insolvency resolution process or pre-packaged insolvency resolution process;
- (vii) **Insolvency commencement date**: the date of admission of an application for initiating corporate insolvency resolution process by the AA under Sec. 7, 9 or 10;
- (viii) **Insolvency resolution process period**: the period of 180 days beginning from the insolvency commencement date and ending on one hundred and eightieth day;
- (ix) **Liquidation commencement date**: the date on which proceedings for liquidation commence in accordance with Sec.33 or 59;
- (x) **Liquidator**: an insolvency professional appointed as a liquidator in accordance with the provisions;
- (xi) **Operational creditor**: a person to whom an operational debt is owed and includes any person to whom such debt has been legally assigned or transferred;
- (xii) **Operational debt**: a claim in respect of the provision of goods or services including employment or a debt in respect of the payment of dues arising under any law for the time being in force and payable to the Central Government, any State Government or any local authority;
- (xiii) **Personal guarantor**: an individual who is the surety in a contract of guarantee to a corporate debtor;
- (xiv) **Resolution applicant**: a person, individually or jointly with other person, submits a resolution plan to the resolution professional on invitation under Sec. 25 (2)(h) or 54K;
- (xv) **Resolution plan**: a plan proposed by resolution applicant for insolvency resolution of the corporate debtor as a going concern;
- (xvi) **Resolution professional**: (in relation to IRP for companies and limited liabilities entities) means an IP appointed to conduct the corporate insolvency resolution process or the pre-packaged insolvency resolution process, and includes an interim resolution professional;

(b) Applicability

This applies to matters related to insolvency and liquidation of corporate debtors (i.e. a company or any other entity with limited liability like limited liability partnership) where the minimum amount of the default is ₹1 crore.

(i) Application for Initiating CIRP

CIRP can be initiated by any Financial Creditor or Operational Creditor or Corporate Debtor itself, when a default is committed by a corporate debtor.

- (a) **Persons Not Eligible to make an Application for CIRP**: There are certain restrictions on making an application for CIRP for corporate debtor which has been under this process in recent past.

(ii) Time Period for CIRP and Withdrawal

A CIRP shall be completed within a period of 180 days from the date of admission of the application. AA may permit an extension only once, and for up to 90 days. The duration for CIRP including the time for legal proceedings shall not exceed 330 days from the insolvency commencement date.

(iii) Implementing CIRP

On admission of application for CIRP, a moratorium is placed on certain actions, an interim RP is appointed, and a public announcement of the order for CIRP is made by the AA.

- (iv) *Committee of Creditors*: The interim RP constitutes a Committee of Creditors (CoC) after receiving all the claims.
- (v) *Appointment of Resolution Professional*: CoC is required to appoint a Resolution Professional (RP) within 7 days.
- (vi) *Information Memorandum for RA*: RP prepares an Information Memorandum in specified format containing relevant specified information and provide to the resolution applicant.
- (vii) *Finalisation of resolution plan*: The RA formulates a Resolution Plan and submits to the RP for examination and approval of CoC.

A resolution plan approved by the CoC is examined by the AA and if it finds that it meets specified requirements, an order approving the resolution plan is issued.

The RA shall obtain the necessary approval required under any law for the time being in force within a period of one year from the date of approval of the resolution plan by the AA.

B. Liquidation Process**(a) Circumstances for Liquidation**

The AA orders for liquidation of a corporate debtor in the following circumstances:

- (i) A resolution plan is not received before the expiry of the insolvency resolution process period or the maximum period permitted for completion of the corporate insolvency resolution process or the fast track corporate insolvency resolution process; or
- (ii) The resolution plan has been rejected for non-compliance of the specified requirements.
- (iii) The RP informs about the decision (with minimum 66% voting share) of CoC to liquidate
- (iv) The Corporate Debtor has contravened the resolution plan, as determined by the AA on receiving an application from a person prejudicially affected by such contravention

The AA issues an order for liquidation, makes a public announcement, and sends the order to the authority with which the corporate debtor is registered. The order for liquidation is deemed to be a notice of discharge to the officers, employees and workmen of the corporate debtor, unless where the business is continuing during the liquidation process.

(b) Appointment of Liquidator

On passing of an order for liquidation, the RP, on submission of written consent to the AA, acts as the liquidator.

(c) Liquidation Procedure

- (i) *Liquidation estate*: The liquidator forms an estate of the assets of the corporate debtor, which is called 'the liquidation estate', and hold it in fiduciary capacity for the benefit of all the creditors.
- (ii) *Consolidation of claims*: The liquidator shall collect the claims of creditors within thirty days from the date of the commencement of the liquidation process.
- (iii) *Preferential transactions and relevant time*: A RP or a liquidator shall apply to the AA for avoidance of preferential transactions and for issuing orders in this regard.

- (iv) *Avoidance of undervalued transactions*: The RP or the liquidator shall apply to the AA for avoidance of undervalued transactions and for issuing orders in this regard for such transactions to be declared void and to reverse the effect of such transaction.
- (v) *Transactions defrauding creditors*: If AA is satisfied that undervalued transactions were deliberately entered into by the corporate debtor for defrauding creditors, it may order restoring the position as it existed before.
- (vi) *Extortionate credit transactions*: If a corporate debtor is a party to an extortionate credit transaction involving the receipt of financial or operational debt during the period within two years preceding the insolvency commencement date, the liquidator or the RP may apply for its avoidance, if the transaction required exorbitant payments to be made by the corporate debtor.
- (vii) *Secured creditor in liquidation proceedings*: A secured creditor has following options in liquidation proceedings:
 - (a) relinquish its security interest to the liquidation estate and receive proceeds from the liquidator in the specified manner. Or
 - (b) realise its security interest in the specified manner.
- (viii) *Distribution of asset*: Section 53 of IBC deals with distribution of assets in case of liquidation. The proceeds from the sale of the liquidation assets shall be distributed in the specified order of priority.
- (ix) *Dissolution of corporate debtor*: The liquidator, after all assets of the corporate debtor are fully liquidated, will apply to the AA for its dissolution. The corporate debtor is dissolved on the orders of the AA. A copy of the order of the AA is sent to the registering authority of the corporate debtor, within seven days.

C. Fast Track Insolvency Resolution Process

Applicability: IBC has provided for a fast track insolvency resolution process (FIRP) in respect of corporate debtors in case an application for fast track corporate insolvency process is made in respect of the following debtors:

- (i) a corporate debtor with assets and income below a level notified; or
- (ii) a corporate debtor with notified class of creditors or notified amount of debt; or
- (iii) such other notified category of corporate persons.

Time Period: FIRP shall be completed within a period of ninety days from the insolvency commencement date. The AA may order extension by up to 45 days maximum.

Initiating FIRP: A creditor or the corporate debtor can file an application for fast track insolvency resolution process.

The process for CIRP also applies to FIRP.

D. Pre-Packaged Insolvency Resolution Process

- (i) *Applicability*: Pre-Packaged Insolvency Resolution Process (PPIRP) is for a corporate debtor classified as a micro, small or medium enterprise under sub-section (1) of section 7 of the MSMED Act, 2006.

The corporate debtor shall obtain an approval from its financial creditors, not being its related parties, representing not less than sixty-six per cent in value of the financial debt due to such creditors, for the filing of an application for initiating PPIRP. If there is no financial creditor, not being a related party, the approval shall be provided by specified persons.

(ii) *Application for initiating PIRP*: A corporate applicant of the Corporate Debtor may file an application with the AA for initiating PIRP.

(iii) *Time-limit for completion of PIRP*:

The AA shall, within a period of fourteen days of the receipt of the application, may admit an application, if it is complete, else reject it.

The pre-packaged insolvency resolution process shall commence from the date of admission of the application.

PIRP shall be completed within a period of one hundred and twenty days from the pre-packaged insolvency commencement date. The RP should submit the resolution plan approved by the CoC to the AA, within 90 days from the pre-packaged insolvency commencement date. If CoC does not approve any resolution plan within the time limit, the RP will file an application for termination of the PIRP with AA.

(iv) *Declaration of Moratorium and Public Announcement*: On admitting PIRP, the AA declares a moratorium; appoints a RP; makes a public announcement. The moratorium duration is from the date of the order till the PIRP comes to an end.

(v) *List of claims and preliminary information memorandum*: The corporate debtor shall, within two days of commencement date, submit to the RP the following updated information –

(a) a list of claims, and

(b) a preliminary information memorandum containing information relevant for formulating a resolution plan.

(vi) *Management of affairs of corporate debtor*:

The management of the affairs of the corporate debtor shall continue to vest in the Board of Directors or the partners.

(vii) *Committee of creditors*: Within seven days of the commencement date, the RP shall constitute a CoC, based on the list of claims.

(viii) *Vesting management of corporate debtor with RP*: At any time during the PIRP period, if CoC, resolves to vest the management of the corporate debtor with the RP, the AA may, if satisfied, pass an order for this.

(ix) *Consideration and approval of resolution plan*: Within two days of the commencement date, the corporate debtor shall submit the base resolution plan to the RP, and the RP shall present it to the CoC.

If the base resolution plan is not approved by the CoC, or if it impairs the claim of an operational creditor, the RP invites prospective resolution applicants (RA) to submit a resolution plan to compete with the base resolution plan.

The RP shall submit the resolution plan approved by CoC to the AA. The AA, if it is satisfied that the resolution plan meets the requirements, it shall approve it, within thirty days of its receipt. The effects of the order of approval will be similar to those in case of CIRP.

(x) *Termination of PIRP*: The AA shall pass an order terminating the PIRP and providing for the manner of continuation of proceedings, if any, initiated for avoidance of transactions, within thirty days of receiving an application from the RP for termination of PIRP.

If PIRP is terminated on account of fraudulent handling or gross mismanagement the AA shall pass an order of liquidation.

- (xi) *Initiation of CIRP*: Any time after the pre-packaged insolvency commencement date but before the approval of resolution plan, the CoC may resolve to initiate a CIRP, if the corporate debtor is eligible. On the RP intimating the AA of the decision of the CoC, within thirty days the AA shall terminate PIRP and initiate CIRP, and appoint an interim RP.

E. Voluntary Liquidation of Corporate Persons

A corporate person may initiate voluntary liquidation proceedings that should meet the conditions and procedural requirements of the Board.

The provisions related to liquidation process shall apply to voluntary liquidation proceedings. When the affairs of the corporate person have been completely wound up, and its assets completely liquidated, the liquidator shall make an application to the AA for the dissolution of such corporate person.

Fraudulent or malicious initiation of proceedings: If, any person initiates pre-packaged insolvency resolution process or insolvency resolution process or liquidation proceedings fraudulently, or with the intent to defraud any person, or with malicious intent for any purpose other than for the resolution of insolvency, or liquidation, the AA may impose a penalty which shall not be less than one lakh rupees but may extend to one crore rupees.

Fraudulent trading or wrongful trading: If during the CIRP or a liquidation process, it is found that any business has been carried on with intent to defraud creditors or for any fraudulent purpose, the AA may pass an order that persons who were knowingly parties shall be liable to make such contributions to the assets of the corporate debtor as it may deem fit.

Fraudulent management of corporate debtor during PIRP: On and after the PIRP, where an officer of the corporate debtor manages its affairs with the intent to defraud creditors or for any fraudulent purpose, the AA may pass an order imposing upon such officer, a penalty which shall not be less than Rs. 1 lakh, but may extend to Rs. 1 crore.

29.4.3 Insolvency Resolution and Bankruptcy for Individuals and Partnership Firms

A. Preliminary

(a) Applicability

The provisions of IBC apply to matters relating to, insolvency and bankruptcy of individuals and partnership firms where the amount of the default is not less than ₹1,000/-.

(b) Definitions

Certain key terms relevant for these provisions have been defined as under -

- (a) *Adjudicating Authority*: means the Debt Recovery Tribunal constituted under sub-section (1) of section 3 of the Recovery of Debts and Insolvency Act, 1993.
- (b) *Associate of the debtor*: means –
 - (a) a person who belongs to the immediate family of the debtor;
 - (b) a person who is a relative of the debtor or a relative of the spouse of the debtor;
 - (c) a person who is in partnership with the debtor;
 - (d) a person who is a spouse or a relative of any person with whom the debtor is in partnership;
 - (e) a person who is employer of the debtor or employee of the debtor;
 - (f) a person who is a trustee of a trust in which the beneficiaries of the trust include a debtor, or the terms of the trust confer a power on the trustee which may be exercised for the benefit of the debtor; and

- (g) a company, where the debtor or the debtor along with his associates, own more than fifty per cent. of the share capital of the company or control the appointment of the board of directors of the company.

Explanation.—For the purposes of this clause, “relative”, with reference to any person, means anyone who is related to another, if—

- (i) they are members of a Hindu Undivided Family;
 - (ii) one person is related to the other in such manner as may be prescribed
- (c) *Bankrupt*: means -
 - (a) a debtor who has been adjudged as bankrupt by a bankruptcy order under section 126;
 - (b) each of the partners of a firm, where a bankruptcy order under section 126 has been made against a firm; or
 - (c) any person adjudged as an undischarged insolvent;
 - (d) *Bankruptcy*: means the state of being bankrupt;
 - (e) *Bankruptcy debt in relation to a bankrupt*: means -
 - (a) any debt owed by him as on the bankruptcy commencement date;
 - (b) any debt for which he may become liable after bankruptcy commencement date but before his discharge by reason of any transaction entered into before the bankruptcy commencement date; and
 - (c) any interest which is a part of the debt under section 171.
 - (f) *Bankruptcy commencement date*: means the date on which a bankruptcy order is passed by the Adjudicating Authority under section 126;
 - (g) *Bankruptcy order*: means an order passed by an Adjudicating Authority under section 126;
 - (h) *Bankruptcy process*: means a process against a debtor under Chapters IV and V of this Part;
 - (i) *Bankruptcy trustee*: means the insolvency professional appointed as a trustee for the estate of the bankrupt under section 125;
 - (j) *Committee of creditors*: means a committee constituted under section 134;
 - (k) *Debtor*: includes a judgment-debtor;
 - (l) *Discharge order*: means an order passed by the Adjudicating Authority discharging the debtor under sections 92, 119 and section 138, as the case may be;
 - (m) *Excluded assets*: for the purposes of this part includes -
 - (a) unencumbered tools, books, vehicles and other equipment as are necessary to the debtor or bankrupt for his personal use or for the purpose of his employment, business or vocation,
 - (b) unencumbered furniture, household equipment and provisions as are necessary for satisfying the basic domestic needs of the bankrupt and his immediate family;
 - (c) any unencumbered personal ornaments of such value, as may be prescribed, of the debtor or his immediate family which cannot be parted with, in accordance with religious usage;
 - (d) any unencumbered life insurance policy or pension plan taken in the name of debtor or his immediate family; and
 - (e) an unencumbered single dwelling unit owned by the debtor of such value as may be prescribed;
 - (n) *Excluded debt*: means -
 - (a) liability to pay fine imposed by a court or tribunal;
 - (b) liability to pay damages for negligence, nuisance or breach of a statutory, contractual or other legal obligation;

- (c) liability to pay maintenance to any person under any law for the time being in force;
- (d) liability in relation to a student loan; and
- (e) any other debt as may be prescribed;
- (o) **Firm**: means a body of individuals carrying on business in partnership whether or not registered under section 59 of the Indian Partnership Act, 1932 (9 of 1932);
- (p) **Immediate family of the debtor**: means his spouse, dependent children and dependent parents;
Partnership debt: means a debt for which all the partners in a firm are jointly liable;
- (q) **Qualifying debt**: means amount due, which includes interest or any other sum due in respect of the amounts owed under any contract, by the debtor for a liquidated sum either immediately or at certain future time and does not include -
 - (a) an excluded debt;
 - (b) a debt to the extent it is secured; and
 - (c) any debt which has been incurred three months prior to the date of the application for fresh start process;
- (r) **Repayment plan**: means a plan prepared by the debtor in consultation with the resolution professional under section 105 containing a proposal to the committee of creditors for restructuring of his debts or affairs;
- (o) **Resolution professional**: means an insolvency professional appointed under this part as a resolution professional for conducting the fresh start process or insolvency resolution process;
- (s) **Undischarged bankrupt**: means a bankrupt who has not received a discharge order under section 138.

B. Fresh Start Process

(a) Eligibility for making an application:

A debtor, who is unable to pay his debt and fulfills the specified conditions is entitled to make an application for a fresh start for discharge of his qualifying debt.

(b) Application for fresh start order:

On filing of application for fresh start process interim-moratorium commences.

(c) Appointment of RP:

On filing of an application, the AA appoints an RP.

(d) Examination of application by RP:

The RP submits a report to the AA either recommending acceptance or rejection of the application for fresh start.

(e) Admission or rejection of application:

The AA, within fourteen days from the date of submission of the report by the RP, orders either admitting or rejecting the application.

The order accepting the application states the amount which has been accepted as qualifying debts by the RP and other amounts eligible for discharge for the purposes of the fresh start order.

(f) Effect of admission of application:

On the date of admission of the application, the moratorium period commences in respect of all the debts.

The moratorium ceases to have effect at the end of the period of one hundred and eighty days beginning with the date of admission unless the order admitting the application is revoked.

(g) Objections by creditors:

Any creditor mentioned in the order of the AA to whom a qualifying debt is owed may, within a period of ten days from the date of its receipt, object to inclusion of a debt or about correctness of details of a qualifying debt.

(h) Discharge order:

The RP shall prepare a final list of qualifying debts and submit such list to the AA at least seven days before the moratorium period comes to an end.

The AA shall pass a discharge order at the end of the moratorium period for discharge of the debtor from the qualifying debts mentioned in the list.

A discharge order does not discharge any other person from any liability in respect of the qualifying debts.

C. Insolvency Resolution Process**(a) Application to initiate IRP:**

(i) *By a Debtor*: A debtor who commits a default may apply, either personally or through a RP to the AA for initiating the IRP.

(ii) *By a Creditor*: A creditor may apply either by himself, or jointly with other creditors, or through a RP to the AA for initiating an IRP.

(b) Interim moratorium:

On filing of an application for IRP interim-moratorium commences in relation to all the debts and it ceases on the date of admission of such application.

(c) Appointment of RP:

On filing of an application for IRP, the AA appoints an RP.

(d) Submission of report by RP:

The RP, within ten days of his appointment, submits a report to the AA recommending its approval or rejection.

(e) Admission or rejection of application:

The AA, within fourteen days from the RP's report passes an order admitting or rejecting the application.

(f) Moratorium:

When the application is admitted a moratorium commences in relation to all the debts, for one hundred and eighty days beginning with the date of admission of the application or on the date the AA passes an order on the repayment plan, whichever is earlier.

(g) Public notice and claims from creditors:

The AA issues a public notice within seven days of passing the order inviting claims from all creditors to be submitted within twenty-one days of such issue.

(h) Registering of claims by creditors:

The creditors shall register claims with the RP.

(i) Repayment plan:

The debtor shall prepare, in consultation with the RP, a repayment plan containing a proposal to the creditors for restructuring of his debts or affairs.

The RP shall submit the repayment plan along with his report to the AA within a period of twenty-one days from the last date of submission of claims.

(j) Meeting of creditors for Repayment Plan:

The report of the RP shall state the necessity of summoning a meeting of the creditors, if required, to consider the repayment plan along with the date, the time and place for the meeting. The meeting of creditors shall be not less than fourteen days and not more than twenty eight days from the date of submission of report.

The creditors may decide to approve, modify or reject the repayment plan.

(k) Order of Adjudicating Authority on RP:

The AA approves or rejects the repayment plan on the basis of the report of the meeting of the creditors submitted by the RP.

If a repayment plan is rejected by the AA, the debtor and the creditors are entitled to file an application for bankruptcy.

(l) Implementation and supervision of repayment plan:

The RP shall supervise the implementation of the repayment plan.

A repayment plan is deemed to have come to an end prematurely if it is not fully implemented in respect of all persons bound by it within the period as mentioned in it.

The debtor or the creditor, whose claims under repayment plan have not been fully satisfied, shall be entitled to apply for a bankruptcy order.

(m) Discharge order:

On the basis of the repayment plan, the RP shall apply to the AA for a discharge order in relation to the debts mentioned in the repayment plan and the AA passes such discharge order.

The discharge order shall not discharge any other person from any liability in respect of his debt.

D. Bankruptcy Order for Individuals and Partnership Firm

(a) Application for bankruptcy:

An application for bankruptcy of a debtor may be made, by a creditor individually or jointly with other creditors or by a debtor, to the AA within three months of the order passed by the AA rejecting application for IRP or repayment plan, or declaring repayment plan is not completed.

(b) Effect of application:

When an application for bankruptcy is filed an interim-moratorium commences on the date of the application.

(c) Appointment of IP as bankruptcy trustee:

The AA appoints the bankruptcy trustee confirmed or nominated by the Board in his bankruptcy order.

(d) Bankruptcy order:

The AA passes a bankruptcy order within fourteen days of receiving the confirmation or nomination of the bankruptcy trustee by the Board.

Validity of bankruptcy order: The bankruptcy order passed by the AA continues to have effect till the debtor is discharged. If a bankruptcy order is against a firm, it shall operate as if it were a bankruptcy order made against each of the individuals who, is a partner in the firm.

Effect of bankruptcy order: On the passing of the bankruptcy order -

- (a) the estate of the bankrupt shall vest in the bankruptcy trustee;
- (b) the estate of the bankrupt shall be divided among his creditors;

The bankruptcy order shall not affect the right of any secured creditor to realise or otherwise deal with his security interest in the same manner as he would have been entitled if the bankruptcy order had not been passed.

(e) Public notice inviting claims from creditors:

The AA issues a public notice inviting claims from creditors.

(f) Registration of claims:

The creditors shall register claims with the bankruptcy trustee, within seven days of the publication of the public notice.

(g) Summoning of meeting of creditors:

The bankruptcy trustee, within twenty-one days from the bankruptcy commencement date, issues a notice for a meeting of the creditors.

(h) Administration and distribution of estate of bankrupt

The bankruptcy trustee conducts the administration and distribution of the estate of the bankrupt in accordance with the provisions of IBC.

(i) Discharge order

The bankruptcy trustee shall apply to the AA for a discharge order on the expiry of one year from the bankruptcy commencement date; or within seven days of the approval of the committee of creditors of the completion of administration of the estates of the bankrupt, whichever is earlier. The AA passes a discharge order on an application by the bankruptcy trustee.

(j) Disqualification of bankrupt

The bankrupt shall, from the bankruptcy commencement date, be subject to the following disqualifications:

- (a) being appointed or acting as a trustee or representative in respect of any trust, estate or settlement;
- (b) being appointed or acting as a public servant;
- (c) being elected to any public office where the appointment to such office is by election; and
- (d) being elected or sitting or voting as a member of any local authority.

These disqualifications shall cease to have effect, if -

- (a) the bankruptcy order is modified or recalled; or
- (b) the bankrupt is discharged.

Besides, the bankrupt will be subject to any disqualification under any other law for the time being in force.

(k) Restrictions on bankrupt

A bankrupt, from the bankruptcy commencement date, shall -

- (a) not act as a director of any company, or directly or indirectly take part in or be concerned in the promotion, formation or management of a company;
- (b) without the previous sanction of the bankruptcy trustee, be prohibited from creating any charge on his estate or taking any further debt;

- (c) be required to inform his business partners that he is undergoing a bankruptcy process;
- (d) prior to entering into any financial or commercial transaction of such value as may be prescribed, either individually or jointly, inform all the parties involved in such transaction that he is undergoing a bankruptcy process;
- (e) without the previous sanction of the AA, be incompetent to maintain any legal action or proceedings in relation to the bankruptcy debts; and
- (f) not be permitted to travel overseas without the permission of the AA.

These restrictions shall cease to have effect, if -

- (a) the bankruptcy order against him is modified or recalled; or
- (b) he is discharged.

E. Administration and Distribution of the Estate of the Bankrupt

(a) Functions of bankruptcy trustee

The bankruptcy trustee shall investigate the affairs of the bankrupt; and realise and distribute the estate of the bankrupt.

(b) Duties of the bankrupt

The bankrupt shall assist the bankruptcy trustee in carrying out his functions. He should also do all other things as may be prescribed.

(c) Rights of bankruptcy trustee

The bankruptcy trustee may, by his official name hold any kind of property; make contracts; sue and be sued; enter into engagements in respect of the estate; employ persons to assist him; execute any power of attorney, deed or other instrument; and do any other act which is necessary.

(d) General powers of bankruptcy trustee

The bankruptcy trustee may while discharging his functions sell any part of the estate; give receipts for any money received by him; to prove, claim and arrive at dividend in respect of such debts due to the bankrupt. He may also deal with the property in the estate of the bankrupt, in the manner the latter would have done if he were not bankrupt.

(e) Approval of creditors for certain acts

The bankruptcy trustee may with the approval of the CoC carry on business of the bankrupt, if required for winding up beneficially; attend to legal proceedings; deal with any property; and make compromise with creditors.

(f) Vesting of estate of bankrupt in bankruptcy trustee

The estate of the bankrupt shall vest in the bankruptcy trustee immediately from the date of his appointment, without any conveyance, assignment or transfer.

(g) Restrictions on disposition of property

Any disposition of property made by the debtor, during the period between the date of filing of the application for bankruptcy and the bankruptcy commencement date shall be void.

(h) After-acquired property of bankrupt

The bankruptcy trustee shall be entitled to claim for the estate of the bankrupt, any after-acquired property by giving a notice to the bankrupt.

(i) Onerous property of bankrupt

The bankruptcy trustee may, give notice to the bankrupt or any person interested in the onerous property, disclaim any onerous property which forms a part of the estate of the bankrupt, notwithstanding that he has taken possession of the onerous property, endeavoured to sell it or has exercised rights of ownership in relation to it.

(j) Undervalued transactions

The bankruptcy trustee may apply to the AA for an order in respect of an undervalued transaction between a bankrupt and any person.

(k) Preference transactions

The bankruptcy trustee may apply to AA for an order if a bankrupt has given preference to any person, that has caused the bankruptcy process to be triggered.

The AA may declare a transaction giving preference void.

(l) Extortionate credit transactions

The order of the AA may set aside the whole or part of any debt created by the transaction; vary the terms of the transaction or vary the terms on which any security for the purposes of the transaction is held; require any person who has been paid by the bankrupt under any transaction, to pay a sum to the bankruptcy trustee; require any person to surrender to the bankruptcy trustee any property of the bankrupt held as security for the purposes of the transaction.

(m) Obligation under contracts

Where a contract has been entered into by the bankrupt with a person before the bankruptcy commencement date, any party to a contract, other than the bankrupt, may apply to the AA for -

- (a) an order discharging the obligations of the applicant or the bankrupt under the contract; and
- (b) payment of damages by the party or bankrupt, for non-performance or otherwise.

Any damages payable by the bankrupt by virtue of an order under clause (b) of sub-section (2) shall be provable as bankruptcy debt.

(n) Continuance of proceedings on death of bankrupt

If a bankrupt dies, the bankruptcy proceedings shall, continue as if he were alive.

Administration of estate of deceased bankrupt: All the provisions relating to the administration and distribution of the estate of the bankrupt shall, so far as the same are applicable, apply to the administration of the estate of a deceased bankrupt.

(o) Distribution of interim dividend

Whenever the bankruptcy trustee has sufficient funds in his hand, he may declare and distribute interim dividend among the creditors.

(p) Distribution of property

The bankruptcy trustee may, with the approval of the CoC, divide amongst the creditors, according to its estimated value, any property in its existing form which cannot be readily or advantageously sold.

(q) Final dividend

Where the bankruptcy trustee has realised the entire estate of the bankrupt to the extent was possible, he shall, after giving notice of final dividend, declare and distribute that dividend among the creditors. If a surplus remains after payment in full with interest to all the creditors of the bankrupt and the payment of the expenses of the bankruptcy, the bankrupt shall be entitled to the surplus.

(r) Priority of payment of debts

In the distribution of the final dividend, specified debts shall be paid in priority to all other debts. Any surplus remaining after the payment of the debts shall be applied in paying interest on those debts in respect of the periods during which they have been outstanding since the bankruptcy commencement date. Interest payments shall rank equally irrespective of the nature of the debt.

In the case of partners, the partnership property shall be applicable in the first instance in payment of the partnership debts and the separate property of each partner shall be applicable in the first instance in payment of his separate debts. If there is a surplus of the separate property of the partners, it shall be dealt with as part of the partnership property; and where there is a surplus of the partnership property, it shall be dealt with as part of the respective separate property in proportion to the rights and interests of each partner in the partnership property.

Adjudicating authority for individuals and partnership firms.

The AA, in relation to insolvency matters of individuals and firms shall be DRT having territorial jurisdiction over the place where the individual debtor actually and voluntarily resides or carries on business or personally works for gain.

Jurisdiction of DRT under IBC for individuals and partnership

The DRT shall have jurisdiction to entertain or dispose of—

- (a) any suit or proceeding by or against the individual debtor;
- (b) any claim made by or against the individual debtor;
- (c) any question of priorities or any other question in relation to the individual debtor or firm under this Code.

Limitation period

In computing the period of limitation specified for any suit or application in the name and on behalf of a debtor for which an order of moratorium has been made, the period during which such moratorium is in place shall be excluded.

Civil court not to have jurisdiction

No civil court or authority shall have jurisdiction to entertain any suit or proceedings in respect of any matter on which the DRT/ DRAT has jurisdiction under this Code. No injunction shall be granted by any court, tribunal or authority in this regard.

Appeal to Debt Recovery Appellate Tribunal

An appeal from an order of the DRT shall be filed within thirty days before the DRAT.

Appeal to Supreme Court

An appeal from an order of the DRAT on a question of law shall be filed within forty-five days before the Supreme Court.

Punishment for false information, etc., by creditor in insolvency resolution process.

If a debtor or creditor provides information which is materially false to the RP, he shall be punishable with imprisonment up to one year, or with fine up to ₹5 lakh, or with both.

29.5 INTRODUCTION TO THE LEGAL SERVICES AUTHORITIES ACT, 1987

This Act was enacted to constitute legal services authorities to provide free and competent legal services to the weaker sections of the society to ensure that opportunities for securing justice are not denied to

any citizen by reason of economic or other disabilities, and to organize Lok Adalats to secure that the operation of the legal system promotes justice on a basis of equal opportunity.

29.5.1 Salient Aspects of Lok Adalats

(a) Organisation of Lok Adalats:

Lok Adalats are organised by the State Authority, District Authority or the Supreme Court Legal Services Committee or High Court Legal Services Committee or Taluk Legal Services Committee at such intervals and places for exercising jurisdiction and for such areas as it thinks fit.

(b) Jurisdiction of Lok Adalats

A Lok Adalat shall have jurisdiction to determine and arrive at a compromise or settlement between the parties to a dispute. The dispute should be either a pending case before any court for which the Lok Adalat is organised or a matter which is falling within the jurisdiction but not pending in any court. The offences, which are not compoundable under any law cannot be brought within the purview of the Lok Adalats. The monetary ceiling of amounts regarding which civil disputes can be settled under this mechanism is presently ₹ 20 lakh.

(c) Cognisance of Cases by Lok Adalats

Lok Adalats shall deal with the following types of cases or matters, viz.,

- (a) the disputes the parties agree to refer;
- (b) the disputes where one of the parties makes an application to the court to refer to Lok Adalat. In this case the court shall give an opportunity to the other party before deciding the case to be referred to the Lok Adalat;
- (c) the dispute which, in the opinion of the Court, is appropriate for the Lok Adalat.
- (d) Where in respect of a potential dispute, the authority or committee organising Lok Adalat on receipt of an application from anyone of the parties is of the opinion that the matter needs to be determined by the Lok Adalat, may refer such matter to the Lok Adalat for determination.

(d) Disposal of Cases by Lok Adalats

The Lok Adalats shall act with utmost expedition to arrive at a compromise or settlement between the parties and shall be guided by the principles of justice, equity, fair play and other legal principles. Where no compromise or settlement could be arrived at between the parties, the records of the case shall be returned to the court from which the reference was received. The court shall proceed with the matter from the stage it had reached before making a reference to the Lok Adalat. In respect of disputes which were not before the court and in the absence of compromise or settlement between the parties in the Lok Adalat, they can seek remedy in a court.

(e) Nature of Award of the Lok Adalats

The award of Lok Adalat shall be deemed to be a decree of a civil court or an order of any other court. In case of compromise or settlement arrived at by a Lok Adalat the court fee paid in the case shall be refunded. Every award shall be binding on all the parties to the dispute. No appeal shall lie in any court against the award.

29.6 INTRODUCTION TO THE LAW OF LIMITATION

The Limitation Act, 1963 has significant application to the banks and financial institutions. These entities provide financial assistance to borrowers and in default by the borrowers; they are required to take

appropriate action for the recovery of the money lent. The Limitation Act, 1963 is an Act to consolidate and amend the law for the limitation of suits and other proceedings.

29.6.1 Salient Aspects of the Law of Limitation

(a) Definition

Period of limitation is always in relation to a document which entitles the beneficiary to take action in a court of law. Period of limitation means the period of limitation prescribed for any suit, appeal or application by the Schedule, and *prescribed period* means the period of limitation computed in accordance with the provisions of this Act.

Suit does not include an appeal or an application.

(b) Limitation and its Computation

It is absolutely necessary that every suit or application or appeal shall have to be made within the period of limitation. Sec. 3 of the Limitation Act declares that every suit instituted, appeal preferred, and application made after the prescribed period shall be dismissed although limitation has not been set up as a defence. A suit is instituted when the plaint is presented to the proper officer in the court. In the case of set off or counterclaim, they shall be treated as a separate suit and shall be deemed to have been instituted:

- (a) in the case of a set off, on the same date as the suit in which the set off is pleaded;
- (b) in the case of a counterclaim, on the date on which the counter-claim is made in court.

Computation of the period of limitation : The period of limitation is computed as follows:

- (a) When the period of limitation expires on a day when the court is closed, the suit, appeal or application may be instituted, preferred or made on the day when the court reopens.
- (b) Any appeal or any application other than execution petitions may be admitted after the prescribed period, if the appellant or applicant makes out sufficient cause for not preferring the appeal or application within the period of limitation.
- (c) In computing the period of limitation, the day from which such period is to be reckoned, shall be excluded.
- (d) The computation of the period of limitation, for filing appeal, shall exclude the day on which the judgement was pronounced and the time taken for obtaining a copy of the decree, sentence or order appealed.
- (e) Time required for obtaining a copy of the order or award shall be excluded while computing the time limit for filing revision or review application or an application to set aside the award.
- (f) For an application for execution of decree, the period during which the institution or execution has been stayed by injunction or order, the day on which the order was issued or made and the day on which it was withdrawn shall be excluded.
- (g) For filing any suit for which notice has to be given, or for which the previous consent or sanction of the Government or any other authority is required, in accordance with the requirements of any law for the time being in force, the period of such notice, or the time required for obtaining such consent or sanction shall be excluded.
- (h) In computing the period of limitation for any suit, the time during which the defendant has been absent from India and from the territories outside India under the administration of the Central Government shall be excluded.

(c) Acts Giving Rise to Fresh Period of Limitation

There are two instances which will give rise to fresh period of limitation. In these cases the period of limitation will be computed as if the starting point is the happening of these instances.

- (a) *Acknowledgment of Debt Made*: Where before the expiration of the prescribed period for a suit or application in respect of any property or right, an acknowledgement of liability in respect of such property or right has been made in writing signed by the party against whom such property or right is claimed, or by any person through whom he derives his title or liability, a fresh period of limitation shall be computed from the time when the acknowledgement was so signed.
- (b) *Payment Made*: Where payment on account of a debt or of interest on a legacy is made before expiration of the prescribed period by the person liable to pay the debt or legacy or by his agent duly authorised in this behalf, a fresh period of limitation shall be computed from the time when the payment was made. In this case 'debt' does not include money payable under a decree or order of a court.

29.6.2 Certain Important Provisions in Schedule to the Limitation Act

Some important aspects to be noted for suits of different types are given below:

Description of Suits	Period of Limitation	Time from which Period begins to Run
For money payable towards money lent	Three years	When the loan is made
For money lent under an agreement that it shall be payable on demand	Three years	When the bill is presented
On a bill of exchange payable at sight, or after sight, but not at a fixed time	Three years	When the fixed time expires
On a bill of exchange or promissory note payable at a fixed time after sight or after demand	Three years	The expiration of the first term of payment as to the part then payable; and for the other parts, the expiration of the respective terms of payment
On a promissory note or bond payable by instalments		
For arrears of rent	Three years	When the arrears become due.
For specific performance of a contract	Three years	The date fixed for the performance, or if no such date is fixed, when the plaintiff has noticed that performance is refused
To enforce payment of money secured by a mortgage or otherwise charged upon immovable property	Twelve years	When the money sued for becomes due
By a mortgagee	Thirty years	When the money secured by the mortgage becomes due
(a) for foreclosure		
(b) for possession of immovable property	Twelve years	When the mortgagee become entitled to possession

(Contd.)

Description of Suits	Period of Limitation	Time from which Period begins to Run
Any suit (except a suit before the Supreme Court in the exercise of its original jurisdiction) by or on behalf of the Central Government or any State Government, including the Government of the State of Jammu and Kashmir	Three years	When the period of limitation would begin to run under this Act against a like suit by a private person
Any suit for which no period of limitation is provided elsewhere in this Schedule	Thirty years	When the right to sue accrues
Execution of a decree	Twelve years	From the date of decree
Recovery of loss caused by fraud	Three years	From the date of the fraud
Appeal to file in High Court against judgement of lower Court	Ninety days	From the date of decree
Appeal to file in other Court against judgement of lower Court	Thirty days	From the date of decree

29.7 LET US SUM UP

Due to long pending recovery cases at Civil Courts and High Courts, there was need to have effective laws for recovery of dues by financial institutions. Acts most relevant for banks and financial institutions are Recovery Of Debts And Bankruptcy Act, 1993; Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002; Insolvency and Bankruptcy Code, 2016; The Legal Services Authorities Act, 1987. Besides, the Law of Limitation holds a special significance in the context of recovery of dues through legal recourse.

Recovery of Debts and Bankruptcy Act, 1993:

Under the Act, DRT are established by the Central Government. The Appellate Authority for matters decided at the DRT is the DRAT. Bank has to file application for recovery of loan taking into consideration jurisdiction and cause of action. Other bank or financial institution can join the application. DRT issues Recovery Certificates that can be executed like the decrees of Civil Courts. Appeal can be filed with DRAT, on depositing 50% of the amount determined due by the DRT.

Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002

The SARFAESI Act was enacted with an aim to provide a structured platform to the banking sector for managing its mounting NPA stocks. It has provided a mechanism where for specified securities the banks and financial institutions can take possession physical as well as constructive of property and also dispose the property to cash its value. For taking possession, help of the Chief Metropolitan Magistrate or District Magistrate can be taken.

The Act also provides for setting up of Asset Reconstruction Companies (ARC) which acquire NPAs from banks/financial institutions by raising funds from Qualified Buyers by issuance of security receipts (as defined by the Act) representing undivided interest in such financial assets. It enables ARC to take possession of secured assets of the borrowers including right to transfer and realize the secured assets.. ARCs require registration with RBI and are governed by RBI regulations.

CERSAI was set up under SARFAESI to maintain and operate the Central Registry for and on behalf of the Central Government for various types of transactions/charges that are required to be filed by banks and financial institutions. Modification and satisfaction also need noting.

Insolvency and Bankruptcy Code, 2016

Insolvency and Bankruptcy Code, 2016 (IBC) that has codified various aspects related to commercial debt and payment obligations of individuals and entities in one single enactment. IBC is not for recovery proceedings through enforcement of security or court attachment, etc. It is essentially for having co-ordinated independent machinery that will enable arriving at a mutually beneficial course of action to resolve the financial crisis of the debtor through various possible alternatives. These could be restructuring, change in management or promoters/ owners, disposal of assets, liquidating the unit, etc.

The institutional set-up for IBC comprises the following:

- The Insolvency and Bankruptcy Board of India (IBBI)
- Resolution Professionals Agencies (RPA)
- Resolution Professionals/ Resolution Professional Entities (RPs)
- Adjudicating Authorities – National Company Law Tribunal – for Corporates and Limited Liability Entities/ Debt Recovery Tribunal for Individuals and Partnership Firms
- Appellate Authorities – National Company Law Appellate Tribunal/ Debt recovery Appellate Tribunal

The Legal Services Authorities Act, 1987

This Act provided a quasi-judicial forum as a fast-channel for handling disputes among various parties. For banks and financial institutions for loans up to ₹ 20 lakh this channel can be availed. Under the law, Lok Adalats have been set up so that the public does not have to spend time and money in merely accessing forum for settling disputes among them. The approach followed by Lok Adalats is of resolving the dispute by mutual discussions between the parties, if required through mediation by the professionals. They are guided by the principles of justice, equity, fair play and other legal principles.

The Law of Limitation

The law of limitation is vital in respect of recovery of loans through legal process. It is important to file application or complaint for recovery within the limitation period; else the application will not be admitted by the adjudicating authority. It is also important to keep the loan documents current through either taking an acknowledgement or revival letter or periodical repayments from the borrower. The Act provides exclusion of certain period while computing the period of limitation.

29.8 KEYWORDS

Unproductive Assets; DRT Act; Presiding Officer; Recovery Officer, Jurisdiction of Tribunal; Appellate Tribunal; Chairperson, Application for Recovery; Cause of Action; Set-off Claim; Counter-claim; Interim Order; Injunction; Attachment of Property; Receiver; Deemed Defendant; Security in Possession; Remedy with Court Intervention; Remedy without Court Intervention Prudential Norms; Security Interest; Financial Assets; Securitisation of Financial Asset; Reconstruction of Financial Asset; Enforcement of Security; Possession and Sale of Asset, Asset Reconstruction Company; Central Registry; Debt Recovery Tribunal; Non-performing Asset; Notification; Obligor; Originator; Qualified Buyer; Security Agreement; Secured Asset; Security Receipt; Sponsor, Enforcement of Security; Notice for Default; Contents; Take Over Management; Payment in Hands of Third Party; Consortium/Joint Finance; Payment

of Labour; Pari Passu; Independent Remedy, Experienced Professional Directors; Notice of Acquisition; Scheme-wise Trust; Central Registry of Securitization Asset Reconstruction and Security Interest of India (CERSAI), Insolvency, Bankruptcy, Liquidation, Financial debts, Operational debt, Insolvency Professionals, Information Utilities, Adjudicating authorities, Insolvency and Bankruptcy Board of India (IBBI), Resolution Process, Corporate Insolvency Resolution Process (CIRP), Insolvency Professional, Resolution Professional, Bankruptcy Trustee, repayment Plan, Fresh Start, Liquidation, Bankruptcy, Financial Creditor, Operating Creditor, Legal Services Authorities Act, 1987, Lok Adalat, Jurisdiction, Cognizance, Period of limitation, Limitation Act, Foreclosure.

29.9 CHECK YOUR PROGRESS

1. Debt Recovery Tribunal consists of a bench of three persons. (True/False).
2. For recovery, the Recovery Officer can adopt the same methods as adopted for recovery of income tax under the Income Tax Act. (True/False).
3. Doctrine of election will come into play _____.
 - (a) when there exists two or more remedies;
 - (b) when there are inconsistencies between the remedies;
 - (c) when there is choice available to the party to opt for one of them;
 - (d) when all the aforesaid elements are present in a case.
4. The period stipulated in the Act for filing details of security interest with Central Registry is _____ days.

(a) 30	(b) 15
(c) 45	(d) None of the above
5. Are hire-purchase and lease contracts covered under SARFAESI Act? (Yes/No).
6. Provisions of the SARFAESI Act are applicable to which of the following?
 - (a) Pledged goods.
 - (b) Only mortgaged properties.
 - (c) Securities that are not otherwise charged to the creditors.
 - (d) Securities charged to creditors and not in possession of the creditor.
7. Who is an insolvency professional (IP)?
 - (a) A qualified Company Secretary professional.
 - (b) A person who holds a professional qualification such as CA, ICWA, Company Secretary, etc.
 - (c) An eligible person who enrolled with an insolvency professional agency (IPA) as its member.
 - (d) An eligible person who registered with IBBI and enrolled with an IPA
8. To whom shall the provisions of the IBC 2016 apply?
 - (i) Corporates
 - (ii) Other Limited Liability Entities
 - (iii) Personal Guarantors to Corporate Debtors;
 - (iv) Individuals and Partnership Firms,
 - (a) (i) and (ii) only
 - (b) (i) and (iii) only
 - (c) (i), (ii), and (iii) only
 - (d) All (i), (ii), (iii) and (iv) above.

9. Lok Adalats are organised under the Lok Adalats Act. (True/False)
10. In the Limitation Act, the definition of 'suit' does not include appeal or application. (True/False)

29.10 ANSWERS TO 'CHECK YOUR PROGRESS'

1. False; 2. True; 3. d; 4. d; 5. Yes; 6. d; 7. d; 8. d; 9. False; 10. True.



CONTRACTS OF INDEMNITY

STRUCTURE

- 30.0 Objectives
- 30.1 Introduction
- 30.2 Contract of Indemnity Defined
- 30.3 Distinctive Features of Indemnity Contract and Guarantee
- 30.4 Rights of an Indemnity Holder
- 30.5 Implied Indemnity
- 30.6 Enforceability of Contract of Indemnity
- 30.7 Scope and Application of Indemnity Contracts to Banks
- 30.8 Let Us Sum Up
- 30.9 Keywords
- 30.10 Check Your Progress
- 30.11 Answers to 'Check Your Progress'

30.0 OBJECTIVES

After studying this Unit, you will:

- Understand the definition and concept of indemnity
- Learn what can be construed as a Contract of Indemnity
- Know the rights and liabilities of the indemnity holder
- Learn the rights and liabilities of the indemnifier

30.1 INTRODUCTION

The word indemnity means ‘to save from losses’. A Contract of Indemnity is a contingent contract, i.e. its performance is made dependent upon the happening or non-happening of some event. The law regarding indemnity (Secs.124 and 125 of the Indian Contract Act) is not exhaustive. It is much wider than as stated in the Act, since the Courts applying the principles of equity have developed it through the judgements delivered over time.

30.2 CONTRACT OF INDEMNITY DEFINED

Sec.124 of the Indian Contract Act, 1872 defines contract of indemnity as follows:

“A contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person, is called a ‘Contract of Indemnity’.”

The promisor is also called the indemnifier. The essence of any contract of indemnity is that the assured must prove a loss.

The Section also gives an illustration of a Contract of Indemnity as follows:

A contract wherein A contracts to Indemnify B against the consequences of any proceedings which C may take against B in respect of a certain sum of ₹ 200, is called a contract of Indemnity.

In this illustration:

- (i) the person giving the promise i.e. A is called the indemnifier, and
- (ii) the person to whom the promise is made i.e. B is called the indemnified or the indemnity holder.

All insurance contracts come within the ambit of a contract of indemnity, but are not dealt with under Sec. 124 of the Contract Act. Sec. 124 deals only with one particular type of indemnity, viz., where a person gives a promise to save another person from loss caused by either the conduct of the person giving the promise or by the conduct of any other person. There are cases where the Courts applying the principles of general law have held a person liable to indemnify, though the person never undertook such a liability. The decision of the Privy Council in *Secretary of State vs Bank of India Ltd.* (AIR 1938 PC 191) best illustrates this point.

In this case, Ms. G was the holder of a Government promissory note which she had handed over to Mr. A, her broker. Mr. A forged Ms. G’s signature and endorsed it in his favour. Mr. A then endorsed it for value to the bank. The bank in good faith applied to the Government Public Debt Office to have the note exchanged in their name, which was done. Ms. G on being aware that she has been defrauded sued the Government and recovered the appropriate damages. The Government in turn sued the bank to indemnify the Government against the loss suffered by them. The Court held the bank to be liable because under common law covering right of indemnity, the bank is responsible for an injury to a third party’s rights.

All insurance contracts are examples of contracts of indemnity because all insurance contracts are contracts, which indemnify a person from certain losses, which he may suffer, e.g. under a fire insurance policy taken by a shopkeeper for his godown, the insurance company undertakes to pay a certain amount to the policy holder (i.e. the shopkeeper) in the event of fire in the godown, subject to the conditions of the policy and payment of premium by the shopkeeper (policy holder).

30.3 DISTINCTIVE FEATURES OF INDEMNITY CONTRACT AND GUARANTEE

- i. **Number of Parties to the Contract:** In a contract of indemnity there are two parties, viz., the indemnifier and the indemnified whereas in a contract of guarantee there are three parties, viz., the debtor (on whose behalf guarantee is given), the creditor (the beneficiary to whom the guarantee is given) and the surety (the person who gives the guarantee).
- ii. **Contingent Risk:** In an indemnity, the risk is contingent whereas in a guarantee the liability is subsisting.
- iii. **Nature of Liability:** In a contract of indemnity, the indemnifier is required to make good the loss as soon as it occurs and he cannot rely on the fact that the person on whose behalf the indemnity is given has not made good the loss, whereas in a contract of guarantee, the surety's liability is secondary and the principal debtor is primarily liable.
- iv. **Number of Contracts:** There are only two parties to a contract of indemnity and as such only one contract. However, in a contract of guarantee there are at least three contracts: one between the debtor and creditor, the other between the creditor and the surety and the third between the surety and the debtor.
- v. **Purpose of Contract:** An indemnity is for reimbursement of a loss whereas a guarantee is for the security of the creditor.
- vi. **May be express or implied:** The contract of indemnity may be express or implied. An express promise is one where a person promises to compensate the other party in express term. Implied promise is one where the conduct of the promisor shows his intention to indemnify the other party from loss.
- vii. **Covers only the actual loss:** It covers only the actual loss suffered caused by an event mentioned in the contract.

30.4 RIGHTS OF AN INDEMNITY HOLDER

Sec. 125 of the Contract Act lays down the rights of an indemnity holder.

Rights of indemnity holder when sued

The promisee in a contract of indemnity, acting within the scope of his authority, is entitled to recover from the promisor the following in respect of the matter to which the promise applies:

- i. All damages which he may be compelled to pay in a suit.
- ii. All costs which he may be compelled to pay in any such suit, if he did not contravene the orders of the promisor, and acted as it would have been prudent for him to act in the absence of any contract of indemnity, or if the indemnifier authorized him to bring or defend the suit.
- iii. All sums which he may have paid under the terms of any compromise of any such suit, if it was not contrary to the orders of the promisor, and which would have been prudent for the promisee to

make in the absence of any contract of indemnity, or, if the promisor authorised him to compromise the suit.

- iv. The indemnity holder is entitled to sue for specific performance, if he has incurred absolute liability and the contract covers such liability.

The rights of an indemnity holder are subject to:

1. his acting within the scope of his authority; and
2. he does not contravene the specific directions of the promisor.

Factors affecting the claims of indemnity holder

1. **Damages:** High Courts have differed on when the indemnifier's liability commences. Some have held that the liability commences only when the indemnity holder actually incurs loss, whereas others have held that an indemnity holder can compel the indemnifier to put him in a position to meet the liability. The former view is to be preferred.
2. **Costs:** As regards costs, costs paid to solicitors, travelling expenses and also costs reasonably incurred in resisting or reducing or ascertaining the claim, may be recovered. The general principle is that costs should be such as, would a reasonable man think it necessary to incur.
3. **Sums paid on Compromise:** As per Sec. 125, if the indemnity holder acts within the scope of his authority, then he is entitled to recover from the indemnifier all the sums that he may have paid pursuant to a compromise in a suit, provided
 - (a) it was not contrary to the orders of the indemnifier;
 - (b) it was prudent to be made even in the absence of any contract of indemnity;
 - (c) it was authorised by the indemnifier.

The Madras High Court in Venkataramana vs Mangamma (AIR 1944 Mad. 457), held that even in the absence of a notice to the indemnifier, the compromise would bind him, if not contrary to the orders of the promisor, and is entered bona fide, without any collusion, and is not imprudent.

30.5 IMPLIED INDEMNITY

A contract of indemnity may be implied depending upon the circumstances of the case, though Sec. 124 of the Indian Contract Act does not specify the case of implied indemnity.

An act, done by one person at the instance of another, is not in itself manifestly tortuous to the knowledge of the person doing it, turns to be injurious to the rights of a third person, the person doing it is entitled to an indemnity from him who requested that it should be done. [Secretary of State vs Bank of India].

Illustration

A broker in possession of a government promissory note endorsed it to a bank with forged endorsement. The bank acting in good faith applied for and got a renewed promissory note from the Public Debt Office. Meanwhile the true owner sued the Secretary of State for conversion who in turn sued the bank on an implied indemnity.

30.6 ENFORCEABILITY OF CONTRACT OF INDEMNITY

The liability of the indemnifier commences as soon as the loss of the indemnified becomes absolute, certain or imminent. It is not necessary that the promisee should pay for the loss (Gajanan Moreshwar vs Moreshwar Madan Mantri)

Illustration

The bank (plaintiff) filed a suit to recover ₹5,000/- and interest from defendant by the sale of a mortgaged property and, in case of deficit, for a decree against the estate of defendant 2 which was in the hands of his sons. The defendant 2 died during the pendency of the suit. It was held that bank cannot sue the defendant in anticipation that the proceeds realised by the sale of the mortgaged property would be insufficient and there would be some deficit. [Shankar Nimbaji vs Laxman Sapdu]

30.7 SCOPE AND APPLICATION OF INDEMNITY CONTRACTS TO BANKS

As far as a banker is concerned, the law relating to indemnities is of great importance. Customers of the bank who have lost a demand draft or travellers' cheque are required to give an indemnity before the issuance of a fresh instrument in lieu of the lost one. These indemnities are required since the bank has to protect itself from any subsequent claim made by a person who may have, for value, received these instruments. In some cases over and above the indemnity, banks ask for surety. This is usually done in cases where the amount involved is quite substantial or the banker does not know the customer well enough, since the customer must have had only one or two dealings with the banker. Indemnity bonds are also insisted by bankers while issuing duplicate FDRs, settling death claims to heirs or while issuing duplicate pay orders, etc.

In the indemnity taken by the bank the customer undertakes to protect the bank from any loss or damage and for costs incurred. In most states, these indemnities are stamped as an agreement. However, if they are witnessed, they would be treated as an indemnity bond thereby being liable for payment of ad valorem stamp duty.

30.8 LET US SUM UP

A Contract of Indemnity is entered into when a party apprehends a loss in a particular contract and wants itself to be covered from the losses it may incur. A contract of indemnity may be express or implied. Sec. 124 and 125 of the Indian Contract Act respectively, lay down the laws of indemnity and the rights of indemnity holder. These sections are not exhaustive and the general law of indemnity, which is wider.

Banks, in order to isolate themselves from any adverse developments and consequent loss at a later date, obtain indemnity while issuing duplicate demand drafts/Fixed Deposit Receipts, permitting operation in current account of partnership, etc.

30.9 KEYWORDS

Contract of Indemnity, Implied Indemnity, Indemnity, Indemnifier, Indemnity holder.

30.10 CHECK YOUR PROGRESS

1. A person promising to save another from loss is called _____.
 - (a) indemnified
 - (b) indemnifier
 - (c) collecting Banker
 - (d) paying banker

2. There are _____ parties to a contract of indemnity.
(a) 1 (b) 2
(c) 3 (d) 4
3. Indemnifier's liability in a contract of indemnity is _____.
(a) primary
(b) secondary
(c) collateral
(d) discretionary
4. Which of the following statements is/are true?
(i) There are three parties to a contract of indemnity, the indemnifier, the indemnity holder and the person on whose behalf the indemnity is given.
(ii) Indemnifier's liability occurs only if the indemnity holder suffers loss.
(iii) Customers as a matter of right and without an indemnity can obtain duplicate of demand drafts or travellers' cheques.
(iv) Indemnities are required by banks purely as a formality and does not serve any other purpose.
a. (i), (ii) and (iii)
b. (ii) only
c. (ii) and (iii)
d. (ii) and (iv)

30.11 ANSWERS TO 'CHECK YOUR PROGRESS'

1. b; 2. b; 3. a; 4. b.



CONTRACTS OF GUARANTEE & BANK GUARANTEE

STRUCTURE

- 31.0 Objective
- 31.1 Introduction
- 31.2 Parties to the Contract
- 31.3 Basic Principles of Contract to be Complied
- 31.4 Consideration
- 31.5 The Liability of the Surety
- 31.6 Continuing Guarantee
- 31.7 Revocation of a Continuing Guarantee
- 31.8 Death of Surety
- 31.9 Variance in Terms of the Contract
- 31.10 Discharge of Principal Debtor
- 31.11 Forbearance to Sue
- 31.12 Surety can Claim His Dues from the Principal Debtor
- 31.13 Security
- 31.14 Implied Promise by the Principal Debtor to Indemnify the Surety
- 31.15 Misrepresentation Made by the Creditor
- 31.16 Co-sureties for the Same Debt
- 31.17 Release of One Co-surety does not Discharge Other
- 31.18 Bank Guarantees
- 31.19 Various Types of Bank Guarantees
- 31.20 Banker's Duty to Honour Guarantee
- 31.21 Issuance of Bank Guarantee – Precautions to be Taken
- 31.22 Payment Under Bank Guarantee – Precautions to be Taken
- 31.23 Let Us Sum Up
- 31.24 Keywords
- 31.25 Check Your Progress
- 31.26 Answers to 'Check Your Progress'

31.0 OBJECTIVE

After studying this Unit, you will:

- Know the basic elements of a Contract of Guarantee
- Learn about the role and obligations of the guarantor in various contracts
- Understand discharge of such obligations in various contingencies/circumstances
- Understand the significance of bank guarantee and distinction from other guarantees
- Know about various kinds of bank guarantees, their nature and scope;
- Understand the precautions to be taken while issuing a bank guarantee;
- Know the precautions to be taken on invocation of a bank guarantee

31.1 INTRODUCTION

As per section 126 of the Indian Contract Act, 1872, a Guarantee is a contract to perform the promise, or discharge the liability, of a third person in case of latter's default. A guarantee may be either oral or written. The question whether a particular contract is a contract of indemnity or guarantee has to be decided by examining the language of the documents entered into between the parties and the nature of transaction.

In commercial transactions, bank's customers are sometimes required to give a bank guarantee. This is generally an alternative to keeping cash as a security deposit. The third party, who seeks the guarantee, not being aware of the customer's financial standing, prefers a bank guarantee. In turn, the bank, which understands the financial standing of the customer well, undertakes to guarantee the customer's financial commitments or the performance of contracts by him. The bank charges a commission for this service which depends on the security available and the financial stability of the customer.

31.2 PARTIES TO THE CONTRACT

The person who gives the guarantee is called the '*surety*'. The person in respect of whose default the guarantee is given is called the '*principal debtor*'. The person to whom the guarantee is given is called the '*creditor/beneficiary*'.

Section 128 of the Indian Contract Act, 1872, provides that the liability of the guarantor is co-extensive with the principal debtor. RBI also vide its circular dated September 9, 2014, on wilful defaulter, clarified that when a payment default is made by the principal debtor, the bank is entitled to proceed against the guarantor/surety even without exhausting the remedies against the principal debtor.

Illustration

'A' wants to take a loan of ₹10,000 from B, but B does not know 'A' very well and fears that A may not return the money. C is a good friend of A. C tells B that if A does not return the money to B, C will personally, pay it to B. Under this assurance by C to B, B lends the money to A. On the date on which the money was to be returned, A fails to pay back ₹10,000. Can B now, demand this money from C?

Yes, he can. The contract described above is called a Contract of Guarantee. This contract involves three persons. Under the above illustration, A is the principal debtor. B is the creditor. C is the surety. However, the contract does not end here. B can, after he has paid the amount to C, claim the same amount from A. This is the unique feature of a Contract of Guarantee. There are actually two separate agreements, one each between two of the parties.

- (i) The first is an express contract between the person standing guarantee (surety) and the person to whom the guarantee is made (creditor).
- (ii) The second is an implied contract between the person who is being guaranteed (principal debtor) and the surety (discussed later).

The essence of guarantee is that a guarantor agrees to discharge his liability in the happening of one event i.e. when the principal debtor fails in his duty. The surety undertakes to perform the promise or discharge the liability of a third person in case of his default.

31.3 BASIC PRINCIPLES OF CONTRACT TO BE COMPLIED

All the principles and rules, which apply to other contracts, like what can form consideration, or what would be a valid contract, also apply to a Contract of Guarantee. Injunction against encashment of bank guarantee without establishing fraud or irretrievable injustice is not granted (*Dodsal Ltd vs Krishak Bharati Co-operative Ltd*). An unconditional irrevocable bank guarantee provides, inter alia, for encashment on demand without demur.

31.4 CONSIDERATION

A contract of guarantee must be supported by consideration and consideration between the creditor and principal debtor is a valid and good consideration for the guarantee given by the surety (Sec.127). This is explained by the following illustrations:

Illustrations

- (a) (a) B requests A to sell and deliver to him goods on credit. A agrees to do so, provided C will give guarantee for payment of the price of the goods. C promises to guarantee the payment in consideration of A's promise to deliver the goods. This is a sufficient consideration for C's promise.
- (b) A sells and delivers goods to B. C afterwards requests A to forbear to sue B for the debt for a year (i.e. not to take legal action for recovery) and promises that if he does so, C will pay for them in case of default by B. A agrees to forbear as requested. This is a sufficient consideration for C's promise.
- (c) A sells and delivers goods to B. C afterwards, out of nothing and without any request or promise to him by any party, agrees to pay for the goods in default of B. This is a void (invalid) contract as there is no consideration for C's promise.

31.5 THE LIABILITY OF THE SURETY

The liability of the surety is co-extensive with that of the principal debtor unless it is otherwise provided by the contract (Sec. 128). A surety is regarded as a favoured debtor. This means that once, if the principal debtor is unable to pay the debt, the surety takes the place of the principal debtor. Therefore, any sum of money owed by the principal debtor becomes payable by the surety. This includes, even the interest that the principal debtor may owe to the creditor. Again, once the surety has paid the debt, he then occupies the place of the original creditor. He can then claim from the principal debtor, the entire sum he has paid to the original creditor.

In the absence of any provision otherwise contrary, the surety has no right to restrain an action against him by the creditor on the ground that the principal debtor is insolvent and that the creditor may have

relief against the principal debtor in some other proceedings. Similarly, if the creditor has obtained any decree against the surety and the principal, the surety has no right to restrain execution against him until the creditor has exhausted his remedies against the principal.

Illustration

‘A’ guarantees to B the payment of a bill of exchange by C, the acceptor. The bill is dishonoured by C. A is liable not only for the amount of the bill, but also for any interest and charges which may have become due on it.

31.6 CONTINUING GUARANTEE

A guarantee which extends to a series of transactions, is called, a ‘continuing guarantee’. This type of guarantee is not limited to only one transaction but to many transactions (Sec. 129).

Illustration

Mr. A contracts with Mr. B, a shopkeeper to allow Mrs. A to take whatever goods she may need from his shop, up to the amount of ₹20,000. Mr. A will be liable for the debts incurred by Mrs. A up to the given amount.

A continuing guarantee may at any time be revoked by the surety, as to future transactions, by notice to the creditor (Sec. 130).

Say Mr. A and his wife are now living separately; Mr. A may inform Mr. B that the guarantee stands revoked from that point on. Then, any debts incurred by Mrs. A after such a revocation would not be payable by Mr. A.

Where a guarantee is of the nature of continuing guarantee and applies from time-to-time for the amount due and payable from the principal debtor to creditor, time for enforcement of claim against the guarantor runs from the date when each such balance is constituted by the excess of total debits over total credits. In case of continuing guarantee and an undertaking by the guarantor to pay any amount that may be due, by a company to a bank, on the general balance of its account, so long the account has not been settled and the guarantor has not refused to carry out obligation, the period of limitation shall not have commenced.

31.7 REVOCATION OF A CONTINUING GUARANTEE

A continuing guarantee can be revoked by the surety, as to future transactions, by notice to the creditor. Future Transactions imply that operation of this aspect is confined to cases where a series of distinct separate transactions.

At the request of A, in consideration of B’s discounting bills of exchange for C for 12 months, A guarantees to B the due payment of all such bills to the extent of ₹ 1000. B discounts bills for C to the extent of ₹ 200. However, at the end of two months, A is liable to B only to the extent of ₹ 200 on default of C.

31.8 DEATH OF SURETY

Normally, when the surety dies, the guarantee ends from that date. However, this is not true in all cases. It depends upon the terms of the contract and the intention of the parties as regards future transactions. The death of the surety operates, in the absence of any contract to the contrary, as a revocation of a continuing

guarantee, so far as future transactions are concerned. Generally, all guarantees obtained by banks are continuing guarantees and in the case of death of a surety, the guarantee would stand revoked for future transactions. This is the precise reason when the information of a guarantor's death is received, banks prefer to break the running accounts of a borrower.

31.9 VARIANCE IN TERMS OF THE CONTRACT

Any variance (change/modification) made without the surety's consent, in the 'terms of contract' guaranteed by him, between the principal debtor and the creditor discharges the surety as to transactions subsequent to the variance (Sec. 133).

In a Contract of Guarantee, the surety gives his guarantee on his own terms. If the principal debtor and the creditor change the terms of the guarantee without the consent of the surety, obviously, this would not be fair to the surety. Therefore, if there is any variance in the terms of the guarantee, the surety will be discharged from liability for any future debts, incurred after any such variance.

Illustration

Let us assume that in the above example, the surety that Mr. A had given strict instructions to the shopkeeper not to allow his wife to buy any cosmetics on credit. If the shopkeeper allows Mrs. A to buy these items, the terms of the guarantee are changed and therefore, Mr. A would not be liable to pay to the shopkeeper for any future transactions from that point onwards.

31.10 DISCHARGE OF PRINCIPAL DEBTOR

The surety is discharged by any contract between the creditor and the principal debtor, by which the principal debtor is released, or by any act or omission of the creditor, the legal consequence of which is the discharge of the principal debtor (Sec. 134).

Illustration

A gives a guarantee to C for goods to be supplied by C to B. C supplies goods to B and afterwards B contracts with his creditors (including C) to assign/sell them certain properties of his, in consideration of all the creditors, releasing B from all their demands. Here B is now, after the settlement, not a debtor to C. A is therefore discharged from his suretyship to C.

The consent/permission of the surety must be obtained by the creditor and the principal debtor, before making any settlement which would affect the liability of the principal debtor and consequently, the liability of the surety. Otherwise, the surety would be discharged from his liability.

31.11 FORBEARANCE TO SUE

Mere forbearance on the part of the creditor to sue the principal debtor or to enforce any other remedy against him, does not discharge the surety unless the parties had agreed for such discharge.

Illustration

B owes to C a debt guaranteed by A. The debt becomes payable. However, C does not sue B for a year after the debt has become payable. Despite this forbearance A is not discharged from his suretyship.

31.12 SURETY CAN CLAIM HIS DUES FROM THE PRINCIPAL DEBTOR

Once the surety makes the payment or performs the act which the principal debtor has failed to pay/perform, the surety steps into the shoes of the creditor and he can claim his dues from the principal debtor.

31.13 SECURITY

A surety is entitled to the benefit of every security which the creditor has against the principal debtor at the time when the contract of suretyship is made, whether the surety knows of the existence of such security or not. If the creditor loses such security, then the surety is discharged to the extent of the value of the security.

Illustration

A, as a surety for B, makes a bond to C, to secure a loan from C to B. Afterwards, C obtains from B a further security for the same debt. Subsequently, C gives up the security. A is not discharged in this case because the security was not in existence at the time when the contract of suretyship was entered into (i.e. when the bond was made). If the security was taken simultaneously at the time of getting the surety or prior to that, then A would have been discharged from his suretyship to the extent of the value of security.

31.14 IMPLIED PROMISE BY THE PRINCIPAL DEBTOR TO INDEMNIFY THE SURETY

In every Contract of Guarantee there is an implied promise by the principal debtor to indemnify the surety. The surety is entitled to recover from the principal debtor whatever sum he has rightfully paid under the guarantee (but no sums which he has paid wrongfully) (Sec. 145).

Illustration

- (a) B is indebted to C and A is a surety for the debt. C demands payment from A and on his refusal sues him for the amount. A defends the suit, having reasonable grounds for doing so, but he is compelled to pay the amount of debt with costs. He can recover from B the amount paid by him for costs as well as the principal debt.
- (b) A guarantees to C to the extent of ₹20,000 as payment for rice to be supplied by C to B. C supplies to B rice for a lesser amount than ₹20,000 but obtains from A, a payment of ₹20,000 in respect of the rice supplied. A cannot recover from B more than the price of the rice actually supplied.

31.15 MISREPRESENTATION MADE BY THE CREDITOR

Any guarantee obtained by means of misrepresentation made by the creditor is invalid. Any guarantee which the creditor has obtained by means of keeping silent as to the material circumstance is also invalid.

Illustration

A engages B as a clerk to collect money for him. B fails to account for some receipts and A calls upon him to furnish a security for his due accounting. C gives his guarantee for B's due accounting. A does not inform C of B's previous misconduct. B afterwards makes default. The guarantee is invalid.

31.16 CO-SURETIES FOR THE SAME DEBT

(a) Where two or more persons are co-sureties for the same debt or duty, either jointly or severally, and whether under the same or different contracts, and whether with or without the knowledge of each other, the co-sureties, in the absence of any contract to the contrary, are liable, as between themselves, to pay each an equal share of the whole debt, or of that part of it which remains unpaid by the principal debtor (Sec. 146).

Illustration

A, B and C are sureties to D for the sum of ₹30,000 lent to E. E makes a default in payment. All of A, B and C are liable between themselves to pay ₹10,000 each.

In the case of guarantees obtained by banks in our country, the creditor bank has the full liberty to choose to proceed against among the principal debtor, various sureties so long as there is legal recourse available with him to proceed against the principal debtor.

(b) Co-sureties who are bound in different sums are liable to pay equally as far as the limits of their respective obligations permit (Sec. 147).

Illustrations:

- (a) A, B and C, as sureties for D, enter into three several bonds each in a different penalties namely, A in the penalty of ₹10,000, B in that of ₹20,000, C in that of ₹40,000, conditioned for D's duly accounting to E. D makes default to the extent of ₹ 30,000. A, B and C are each liable to pay ₹10,000.
- (b) A, B and C, as sureties for D, enter into three several bonds each in different penalty namely, A in the penalty of ₹ 10,000, B in that of ₹20,000, C in that of ₹ 40,000, conditioned for D's duly accounting to E. D makes default to the extent of ₹40,000. A is liable to pay ₹10,000, and B and C ₹15,000 each.
- (c) A, B and C, as sureties for D, enter into three several bonds, each in a different penalty, namely, A in the penalty of ₹10,000, B in that of ₹20,000, C in that of ₹40,000, conditioned of D's duly accounting to E. D makes default to the extent ₹70,000. A, B and C have to pay each the full penalty of his bond.

31.17 RELEASE OF ONE CO-SURETY DOES NOT DISCHARGE OTHER

Where there are co-sureties, a release by the creditor of one of them does not discharge the others. Also, the surety released does not become free from his responsibility to the other sureties.

31.18 BANK GUARANTEES

As per Sec. 126 of Indian Contract Act, 1872, a "Contract of Guarantee" is a contract to perform the promise or discharge the liability of a third person in case of his default. Like other guarantees, bank guarantee is also a trilateral contract between the principal debtor, creditor, and the surety. The term 'bank guarantee' briefly stated means:

'a guarantee given by a bank to a third person, to pay him a certain sum on behalf of the bank's customer, on the customer failing to fulfil any contractual or legal obligations towards the third person'.

From the above, it can be seen that there should first be a commitment on the part of the customer to fulfil certain obligations to a third party. This could be contractual or legal, i.e. imposed by law. This commitment of the customer is guaranteed by a bank and if the customer fails to honour his commitment

the banker pays the amount, it has promised to pay. Once the bank gives a guarantee, then its commitment to honour the guarantee is onerous and as such, it is prudent that a banker before issuing a guarantee on behalf of his customer takes appropriate security and understands his rights and duties.

The parties to the contract of bank guarantee are:

- (a) *Applicant/borrower*: The principal debtor – person at whose request the guarantee is executed.
- (b) *Beneficiary*: Person to whom the guarantee is given and who can enforce it in case of default.
- (c) *Guarantor bank*: The lending bank who undertakes to discharge the obligations of the applicant in case of his default.

Thus, the guarantee is a collateral contract, consequential to a main contract between the applicant and the beneficiary.

31.19 VARIOUS TYPES OF BANK GUARANTEES

Though under law, bank guarantees have not been classified by the nature of the underlying contract entered into by the customer; in practice such classification has been made. Though there are various types of guarantees, the important ones, which a banker would be regularly required to issue in the course of his business are as follows:

- (i) Financial Guarantee
 - (ii) Performance Guarantee
 - (iii) Deferred Payment Guarantee
- i. *Financial Guarantee*: These are guarantees issued by banks on behalf of the customers, in lieu of the customer's requirement to deposit a cash security or earnest money. Financial guarantees are direct credit substitutes wherein a bank irrevocably undertakes to guarantee the repayment of a contractual financial obligation. Financial guarantees essentially carry the same credit risk as a direct extension of credit i.e., the risk of loss is directly linked to the creditworthiness of the counterparty against whom a potential claim is acquired. These kinds of guarantees are mostly issued on behalf of customers/contractors dealing with Government departments. Such guarantees are also issued in situations where a party is required to deposit cash as a part of contract. Most Government departments insist that before the contract is awarded to contractor, he should show that he is willing to perform the contract and to ensure that no frivolous tenders are made, insist on an Earnest Money Deposit. However, in lieu of the earnest money, government departments are generally willing to accept a bank guarantee. This also helps the contractor who can utilise the funds for fulfilling his obligations under the contract. In case the contractor does not take up the contract awarded, then the Government departments invoke the guarantee and collect the money from the bank.
 - ii. *Performance Guarantee*: Performance guarantees are essentially transaction related contingencies that involve an irrevocable undertaking to pay a third party in the event the counterparty fails to fulfil or perform a contractual non-financial obligation. In such transactions, the risk of loss depends on the event which need not necessarily be related to the creditworthiness of the counterparty involved. These are guarantees issued by the bank on behalf of its customer whereby the bank assures a third party, that the customer will perform the contract entered into by the customer as per the condition stipulated in the contract, failing which the bank will compensate the third party up to the amount specified in the guarantee. These types of guarantees are usually issued by bankers on behalf of their customers, who have entered into contracts to do certain things on or before a given date. Though the

bank assures that the conditions as stipulated in the contract will be complied with by the customer, in practice, the banks on being served a notice of default by the third party, pays over the amount guaranteed without going into the technicality of the contract. This is because, after a guarantee is issued, the contract of guarantee is independent of underlying commercial transaction and any claim as per terms of guarantee is required to be honoured. Though, in certain performance guarantees a clause is inserted, that proof of default of the customer is necessary, most bank guarantees do not insist on such proof. A mere demand from the beneficiary that there has been a default by the bank's customer is sufficient for the bank to make payment. This is so, since banks by the nature of their expertise prefer to deal with documents and they would not like to go beyond the contract and verify whether there has been a breach of the contract or not. This is because, generally the guarantee document makes it obligatory on the part of the issuing bank to honour their guarantee without going into the points of differences between the beneficiary and the principal on whose behalf he had issued the guarantee.

iii. *Deferred Payment Guarantee*: This has been discussed in Unit 33.

31.20 BANKER'S DUTY TO HONOUR GUARANTEE

Bank guarantees are called 'the life blood of national and international commerce' and even though they are an offshoot of a primary contract between the debtor and creditor, these guarantees are independent commitments taken by bank on behalf of their customers. In most bank guarantees, banks undertake to make payment merely on demand by the beneficiary. It is therefore necessary that irrespective of the underlying contract and any dispute between the parties to the contract, the bank makes payment, if the guarantee has been invoked properly.

i. *Bank's Obligation to Pay Primary*

- (a) The bank is required to honour the bank guarantee irrespective of the disputes between the beneficiary and the debtor. In the English case of *R.D. Harbottle Ltd. vs National Westminster Bank Ltd.* (1978) OB 146, Justice Kerr held as follows:

"Such guarantees even though having their genesis in the primary contract between the parties are nevertheless autonomous and independent contracts and a bank, which has given a performance guarantee must honour that guarantee according to its terms. It is not concerned in the least with relations between the supplier and the customer, or with the question whether the supplier has performed his contracted obligations or not, nor with the question whether the supplier is in default or not and the only exception is when there is a clear fraud, of which the bank has notice."

- (b) The above principle has been accepted by Courts in India and they have refused to grant injunctions against banks from making payment under the guarantee except in cases of fraud or special equities in favour of the person on whose behalf the guarantee has been issued. The decision of the Calcutta High Court in *Texmaco Ltd. vs State Bank of India* [AIR (1979) Cal 44], illustrates the duty imposed on a bank to honour its guarantee. In this case, the bank had issued a guarantee to STC on behalf of M/s Texmaco Ltd., wherein the bank irrevocably and unconditionally guaranteed the due performance of the contractual obligations of M/s Texmaco and in case of default by Texmaco, the bank, on first demand by STC, guaranteed payment of the amount without any contestation, demur or protest and/ or without reference to Texmaco and/or without questioning the legal relationship subsisting between Texmaco and

STC. The guarantee was invoked by STC upon which Texmaco filed a suit for injunction to restrain the bank from making any payment. The High Court held that:

“In the absence of such special equities and in the absence of any clear fraud, the bank must pay on demand, if so stipulated, and whether the terms are such must have to be found out from the performance guarantees as such.”

“Here though the guarantee was given for the performance by Texmaco in an orderly manner, their contractual obligation was taken by the bank to repay the amount on ‘first demand’ and ‘without contestation, demur or protest and without reference to Texmaco and without questioning the legal relationship subsisting between STC and Texmaco’. It further stipulated, as mentioned before, that the decision of STC as to the liability of the bank under the guarantee and the amounts payable thereunder shall be final and binding on the bank. It has further stipulated that the bank should forthwith pay the amount due ‘notwithstanding any dispute between STC and Texmaco’. In that context, a demand made without protest and contestation, the bank has obliged itself to pay irrespective of any dispute as to whether there has been performance in an orderly manner of the contractual obligation by the party.”

The Supreme Court has also considered the liability of a banker on a guarantee and after referring to the various English decisions and the decisions of various High Courts held in UP Co-operative Federation vs Singh Consultant [1988 (1) SCC 174] that commitments of banks must be honoured free from interference by the Courts. Otherwise, trust in commerce, internal and international, would be irreparably damaged. It is only in exceptional cases, that is to say, in case of fraud or in case of irretrievable injustice, the Court should interfere.

(a) Liability of Bank under a Guarantee Given on Behalf of a Company Ordered to be Wound up

In Maharashtra Electricity Board, Bombay vs Official Liquidator, High Court of Ernakulam and Another (AIR 1982 SC. 1497), the Supreme Court had occasion to consider the liability of a bank on a guarantee given by it on behalf of a company that was being wound up, the facts of which, in a nutshell are as follows: The Cochin Malleable Private Limited (Company) entered into a contract with Maharashtra State Electricity Board, Bombay (Board) for supply of goods from time to time. As per the terms of the contract, the company furnished a bank guarantee for ₹ 50,000 as earnest money deposit. As per the guarantee given by Canara Bank Limited (Bank), the bank agreed unequivocally and unconditionally to pay within forty-eight hours on demand in writing from the board a sum not exceeding ₹ 50,000. On 30 July 1973, a petition for winding up of the company was presented and the High Court, Kerala, on 16 September 1974, ordered the company to be wound up. On 27 August 1973, the board called upon the bank to pay the guarantee amount of ₹50,000 followed by several reminders and final demand was made on 23 July 1974.

On 4 November 1974, the bank wrote to the official liquidator stating that the company was liable to the bank for payment of ₹1,64,353.12 which included the guaranteed amount. Thereupon, the official liquidator filed an application before the company Judge, praying for an order restraining the board from realising the amount covered by the bank guarantee on the ground that since the company was ordered to be wound up, the board could not claim payment under the bank guarantee.

The learned company Judge upheld the plea of the official liquidator and issued an order restraining the board from realising the amount from the bank. The board filed an appeal to the Division Bench of the High Court, which was also dismissed. The board thereupon approached the Supreme Court. The Supreme Court held that:

- Where under a letter of guarantee the bank has undertaken to pay any amount not exceeding ₹50,000 to the board, within forty-eight hours of the demand and the payment of the amount guaranteed by the bank was not made dependent on the proof of any default on the part of the company in liquidation, the bank was bound to make payment to the board.
- The board was not concerned with what the bank did in order to reimburse itself after making the payment under the bank guarantee. It was the responsibility of the bank to deal with the securities held by it in accordance with law.
- The Supreme Court observed that under Sec. 128 of the Contract Act, the liability of the surety is co-extensive with that of the principal debtor, unless, it is otherwise provided in the contract.
- Further, a surety is discharged under Sec. 134 by any contract between the creditor and the principal debtor by which the principal debtor is released or by any act or omission of the creditor, the legal consequence of which is the discharge of the principal debtor. But a discharge which a principal debtor may secure by operation of law in bankruptcy (or in liquidation proceedings in the case of a company) would not absolve the bank from its liability under the bank guarantee.

(b) Liability of Banks under a Guarantee when the main Contract is Suspended

The question whether the bank is absolved of its liability under a guarantee issued by it when the main contract is suspended by a statute was considered by the Bombay High Court in *Messrs S.C.I.L. (India) Limited vs Indian Bank and Another* (AIR 1992 Bom. 121). The facts of the case are as follows:

For carrying out erection, testing and commissioning of IP pipe works, the company engaged the services of a contractor. At the request of the contractor, the bank furnished a performance guarantee, where the bank undertook to pay to the company on demand “any and all monies payable by the contractor to the extent of ₹10,72,806 at any time up to 30 June, 1989 without demur, reservation, contest, recourse of protest and/or without reference to the contractor”.

The Government of West Bengal had issued a notification under which the contractor was declared as an unemployment relief undertaking under the West Bengal Act, 1972, and had suspended all contracts and others and all the rights, obligations and liabilities arising therefrom.

On invocation of the guarantee the contractor, therefore, submitted that the contract of erection, etc., entered into by the contractor with the company stood suspended. On behalf of the company, it was submitted that the bank guarantee was an independent contract between the bank and the company and was not affected or suspended by operation of the above referred to Act or the notification.

The High Court observed that the company had not invoked the guarantee fraudulently or mala fide. The High Court pointed out that according to the decision of the Bombay High Court and Supreme Court, the contract of bank guarantee is an independent and separate contract. The High Court noted, that in several Supreme Court decisions it was held that the liability of the guarantor to pay was not affected by suspension of liability of the principal debtor under some statutory provisions. In the result, the High Court refused to grant any injunction restraining the bank from making payment under the bank guarantee more so when there was no special equity in favour of the contractor.

From the above decisions, it can be seen that the liability of the bank is not dependent on the underlying contract but is an independent contract which the Courts would enforce except in case of fraud.

ii. *Exceptions*

- (a) *Cases of fraud:* The Supreme Court in *United Commercial Bank vs Bank of India* (AIR 1981 SC 1426) observed as follows:

“....except possibly in clear case of fraud of which the banks have notice, the Courts will leave the merchants to settle their disputes under the contracts by utilisation or arbitration as available to them or as stipulated in the contracts.”

Fraud has been held to be one of the exceptions to the general rule regarding the contracts of guarantee. A banker, who has knowledge of fraud, can therefore refuse payment of the amount guaranteed. The question however, would arise as to how a banker can decide as to whether a fraud has been committed or not. In such cases, it is advisable that the banks inform their customer about the invocation of the guarantee by the creditors and the banks intention to pay within a given time unless restrained by an injunction order of a court. This would relieve the bank of the task of judging as to whether a fraud has been committed or not.

On this point the observations of Supreme Court in *UP Co-operative Federation vs Singh Consultants* 1988 (1)Section 174 are worth noting -

“Whether it is a traditional letter of a credit or a new device like performance bond or performance guarantee, the obligation of banks appears to be the same. If the documentary credits are irrevocable and independent, the banks must pay when demands are made. Since the bank pledges its own credit, involving its reputation, it has no defence except in the case of fraud.”

The bank's obligations, of course should not be extended to protect the unscrupulous seller, that is, the seller who is responsible for the fraud. However, the banker must be sure of his ground before declining to pay. The Supreme Court further observed -

‘The nature of the fraud that the Courts talk about is fraud of an “egregious nature as to vitiate the entire underlying transaction” It is fraud of the beneficiary, not the fraud of somebody else. The bank cannot be compelled to honour the credit in such cases.’

If the bank detects, with a minimal investigation, the fraudulent action of the seller, the payment could be refused. However, it may be very difficult for the bank to take a decision on the alleged fraudulent action. In such cases, it would be proper for the bank to ask the buyer to approach the court for an injunction.

M/s Escorts Limited vs Messrs Modern Insulators, and Another (AIR 1988 Delhi 345) also illustrates the point that banks, in case of doubt, should seek appropriate direction from the Court. In this case, the Escorts supplied generator sets to Modern Insulators, the performance of which were guaranteed by the bank. Modern invoked the guarantee, whereupon Escorts moved the Court to restrain Modern from recovering the amount and the bank from making payment of the guaranteed sum. The Court granted injunction since the guarantee was not invoked properly. Thereafter Modern invoked the guarantee once again but the bank did not pay. The matter came before the High Court and Escorts pleaded that Modern had played a fraud and hence were not entitled to the guaranteed amount. The High Court held that averments of fraud have to be pleaded and proved, which was not done by Escorts. Of importance in this judgement is the Court's remark as regards the conduct of the bank. The Court remarked that the bank should have approached the Court for appropriate directions if it had any doubts.

“Merely because an application for injunction was made, would not be a ground for the bank not to honour its commitment under the bank guarantee.”

It is therefore important to ensure that a clear cut case of fraud is established before a bank can refuse payment.

- (b) *Special equity in favour of debtor*: If there is a possibility of an irretrievable harm or injustice to one of the parties concerned, the Courts would adjunct the bank from making payment. As an illustration to the exception the Supreme Court cited and approved the decision of the US Court in *Itek Corp. vs First National Bank of Boston* (566 Fed. Supp 1210). In this case, an exporter in USA entered into an agreement with the Imperial Government of Iran and sought an order terminating its liability on standby letters of credit issued by an American Bank in favour of an Iranian Bank as part of the contract. The relief was sought because of the situation created after the Iranian revolution when the American Government cancelled the export licences in relation to Iran and the Iranian Government had forcibly taken 52 American citizens as hostages. The US Government had blocked all Iranian assets under the jurisdiction of the United States and had cancelled the export contract. The Court upheld the contention of the exporter that any claim for damages against the purchaser, if decreed by the American Courts, would not be executable in Iran under these circumstances and realisation of the bank guarantee/letters of credit would cause irreparable harm to the Plaintiff. This contention was upheld.

Therefore, to avail of this exception, which make it impossible for the guarantor to reimburse himself if he ultimately succeeds, will have to be decisively established. Clearly, a mere apprehension that the other party will not be able to pay, is not enough. In the *Itek* case there was a certainty on this issue. Secondly, there was good reason, in that case for the Court to be *prima facie* satisfied that the guarantors, i.e. the bank and its customer would be found entitled to receive the amount paid under the guarantee.

31.21 ISSUANCE OF BANK GUARANTEE – PRECAUTIONS TO BE TAKEN

The liability of a bank under a guarantee depends on two fundamental criteria, viz., the amount guaranteed and the period of the guarantee. These two factors have to be specifically stated since, in the absence of any one or both of these factors, the bank's liability could be unlimited either in the amount guaranteed or the period during guarantee. The banker should also obtain a counter guarantee from his customer on whose behalf he has given the guarantee, so that in case he is required to pay the guarantee he can fall back on the counter guarantee to claim the amount paid by him.

- i. *Amount Guaranteed*: The first and foremost aspect that a banker should ensure is the amount of the guarantee he is called upon to issue. In the guarantee agreement, the amount has to be specifically stated, both in figures and words. Care should be taken to state clearly whether or not the amount mentioned is inclusive of all interests, charges, taxes and other levies. This is important to avoid unnecessary disputes regarding the liability of the bank. On invocation, the bank is liable to pay upto the whole amount of the guarantee.
- ii. *Period of Guarantee*: Banks should specify the period for which their guarantee subsists (*‘validity period’*) and an additional period during which a claim should be made on the bank to make payment (*‘claim period’*). If any default is committed by the debtor (i.e. the bank's customer) it should be within the validity period for a claim under the guarantee. The claim period is only to facilitate the beneficiary to prepare and lodge claim, if any, under the guarantee. It is thus, necessary that this

period be specified to the exact date, for example, '*this guarantee is valid up to 31 December 2007.*' Once this outer limit for the bank to guarantee a default of the debtor is fixed, then the creditor can make a claim only if the default has occurred within this period, and for any default beyond this date the bank cannot be held liable.

- iii. **Claim period in a guarantee:** Once a default is made, then the beneficiary has to make a claim on the bank to make good the loss within the claim period. In a guarantee, it is necessary to provide for a period slightly longer than the validity period, for the beneficiary to make a claim. The claim period is usually a few months more than the validity period of the guarantee. Since if the debtor were to commit a default on the last day of the validity period, then the beneficiary, at the earliest, invokes the same only on the next day. Taking into account the time to communicate the invocation, etc., the claim period should at least be fifteen to thirty days after the validity period. For example, if the validity period of the guarantee is up to 31 December 2007, then the claim period would normally be up to 31 January 2008.
- iv. **Amendment to Sec.28 of Indian Contract Act and its effect on Bank Guarantee:** Prior to the amendment of Sec. 28 of the Indian Contract Act, 1872 most bank guarantees had a standard clause at the end of their guarantee agreements. As per this clause, the beneficiary was required to enforce his claims within a period of three to six months, failing which, the bank's liability was extinguished and hence the rights of the beneficiary. The above clause was necessitated due to the fact that in the absence of it, Government departments and municipal bodies could file a suit against the bank under a bank guarantee within a period of thirty years after making a claim. The banks would therefore be required to carry forward this liability for a long period and thereby required to make provisions for the same in their balance sheets.

Added to this, the customer's cash margin and security would have to be retained either until the guarantee is returned by the beneficiary or until the expiration of the period of limitation. However, this clause had been challenged before various High Courts and the High Courts have held that such clauses in the bank guarantees to be valid, and not violative of Sec. 28 of the Contract Act. However, from 1 January 1997, Sec. 28 was amended due to which the standard limitation clauses in the bank guarantees, by which the bank extinguished their liability, has been declared illegal. As such, at present if a beneficiary were to invoke the guarantee within the claim period, for a default committed by the debtor during the validity period then in case the bank did not make payment, the beneficiary can sue the bank within the normal period as provided in the Limitation Act, 1963. This period under the Limitation Act is thirty years in case the beneficiary is Government department or municipal body and three years in all other cases.

As such it is prudent to insist that the bank guarantee be returned after the claim period duly cancelled by the beneficiary or a certificate be obtained from the beneficiary that there are no claims under the guarantee, and until such time the cash margin and the security of the debtor (customer) has to be retained.

- v. **Counter Guarantee and Other Security:** Though a bank guarantee is a contingent liability, it is always prudent for a banker to secure it to cover himself in case it is enforced. This is done by obtaining a counter guarantee-cum-indemnity executed by the customer in favour of the bank. The counter guarantee-cum-indemnity, should be carefully drafted to ensure, that in case the bank were to make payment on behalf of the customer, then the customer should not only make good the amounts paid to the creditor but also any expenses connected therewith including costs of attorney, any interest

on delayed payment, taxes and other levies. For this purpose, the counter guarantee includes an indemnity clause. It should also include a clause that it would remain in force until the guarantee given by the bank subsists, viz., until the bank is duly discharged by the beneficiary or a certificate to this effect is issued by the beneficiary.

The value of counter guarantee-cum-indemnity would depend on the financial standing of the person/company giving the counter guarantee. As such, it is preferable that, keeping in mind the financial worth of the counter guarantor, tangible securities like fixed deposits, other financial securities or immovable properties, etc., are obtained or the existing charge on the assets of the debtor be also extended to cover the guarantee.

31.22 PAYMENT UNDER BANK GUARANTEE – PRECAUTIONS TO BE TAKEN

Banks has to take care of certain aspects before making payment under an invoked guarantee.

- i. **Proper Invocation of Guarantee:** Before making payment, a banker has to ensure that the invocation of the guarantee has been properly made; failing which he may not have any recourse against the debtor. There are divergent views as regards the proper manner in which a bank guarantee should be invoked. Delhi High Court, in *M/s Harprashad and Co. Ltd. vs Sudarshan Steel Rolling Mills and Others*, (AIR 1980, Delhi 174), had occasion to consider this question. In this case, the High Court took the view that:

The duty of the beneficiary in making the demand on the bank is like the duty of the plaintiff to disclose the cause of action in the plaint. Just as a plaint is liable to be rejected for non-disclosure of the cause of action, a demand by the beneficiary of the bank guarantee is liable to be rejected by the bank, if it does not state the facts showing that the conditions of the bank guarantee have been fulfilled.

However, in contrast to the above views of the Delhi High Court, the Calcutta High Court in *Road Machines (India) Pvt. Ltd. vs The Project and Equipment Corporation of India Ltd. and Another* (AIR 1983 Cal 91) held that:

It is not necessary that –

“a bank guarantee should be invoked in an exact and punctilious manner setting out the entire case of the beneficiary under the guarantee in the same way as setting out a cause of action in a plaint. A bank guarantee is a commercial document and is neither a statutory notice nor a pleading in a legal proceeding. A bank guarantee may be invoked in a commercial manner. The invocation would be sufficient and proper if the bank concerned understands that the guarantee is being invoked by the beneficiary, in terms of the guarantee.”

In deciding whether the invocation made is proper the banker has to see, inter alia, following are satisfied:

- (a) The invocation is within validity period.
- (b) The invocation amount is not more than the guaranteed amount. In case it is more, then only the maximum amount stipulated in the guarantee need be paid.
- (c) The authority invoking the guarantee is competent or empowered to invoke the guarantee. In guarantees issued to Government departments the authority to invoke is usually designated by the post, so as to avoid any later problems due to change in the incumbent. The banker has to ensure that the person invoking has the powers to do so.

The Supreme Court in its decision in *Hindustan Construction Co. Ltd. vs State of Bihar* (1999) 8 SCC436 has held that where as per the terms of the guarantee the invocation was to be done by the Chief Engineer, the invocation by the Executive Engineer was wholly wrong and the refusal of the bank to make payment was valid.

- ii. **No Injunction Prohibiting Payment:** Though Courts are reluctant to interfere with the bank guarantee, there have been instances where Courts have granted injunction restraining the banks from making payment under a guarantee. The banker should see that no order of injunction has been passed by any Court of law prohibiting the bank from making payment. In case, a banker makes payment, in spite of there being an order by a competent Court in which the bank is a party, then the bank will be liable for contempt of Court.

In one case that came up before the Calcutta High Court, injunction was granted. The facts of the case in *Messrs G.S. Atwal Co. Engineers Pvt. Ltd. vs Hindustan Works Construction Limited* (AIR 1989 Cal 184) are as follows:

Under the terms of the contract entered into between the HWC Ltd. and the GSA Co, the Petitioner was to furnish a bank guarantee for mobilising advance made by the Respondent to the Petitioner for ₹ 32.50 lakh. The contract did not require the Petitioner to give any bank guarantee for the due performance of the contract. The Petitioner requested the bank to issue a guarantee for ₹ 32.50 lakh to cover the mobilisation advance received by the Petitioner from the Respondent. The bank made use of its standard format of guarantee and did not delete certain clauses therein, because of which the guarantee issued by it became a mobilisation advance-cum-performance guarantee. Since the bank and the Respondent, as beneficiaries, were the only parties to the bank guarantee, the Petitioner never knew of the mistake on the part of the bank. The Respondent took advantage of the mistake and although the mobilisation advance was recovered in full, it invoked the bank guarantee for recovery of its claim for damages for loss suffered, as a result of non-performance of the contract by the Petitioner and demanded payment from the bank. On the bank showing its willingness to make payment of the amount guaranteed by it, the Petitioner approached the High Court for an order restraining the bank from making payment.

The High Court held that: The Respondent was aware of the mistake on the part of the bank and with ulterior motive took advantage of the mistake by demanding payment in respect of its claim for damages for non-performance and not in respect of any amount due for mobilisation advance given to the Petitioner. The bank has no right to saddle its customer with any additional liability under the guarantee by issuing the same, contrary to the instructions by its customer. The Respondent has invoked the guarantee for recovery of loss and damages alleged to have been suffered due to alleged breach of contract by the Petitioner.

In the instant case, the bank guarantee was for mobilisation advance and not for performance of the contract and the invocation of the bank guarantee was admittedly for recovery of damages for the alleged non performance of the contract. The High Court, therefore, held that there was special equity in favour of the Petitioner and he can prevent the beneficiary from enforcing the bank guarantee.

31.23 LET US SUM UP

A Contract of Guarantee is a contract to perform the promise or discharge the liability of a third person in case of his default. Banks generally obtain guarantee as a form of collateral for a debt. Also, the

contract of guarantee is applicable in banking products like performance guarantee, financial guarantee, co-acceptance, etc. All these are examples where a contract of guarantee applies.

A bank guarantee is a contract by which the bank guarantees a certain sum to a person/entity on the customer failing to fulfil any contractual or legal obligation to the said person/entity. The Bank's obligation to pay is primary and independent of the underlying contract. The only exception for a bank not to make payment under a guarantee is when a fraud exists, which must be proved beyond doubt or special equity is in favour of the debtor.

While issuing a guarantee a bank has to ensure that, the amount guaranteed and the period of the guarantee is specifically stated in the guarantee. The bank while issuing a guarantee should obtain a counter guarantee from its customer and if necessary, additional security to protect the bank in case it is required to pay under the guarantee.

The bank while making payment under a guarantee has to ensure that the invocation is proper and that the person invoking the guarantee has the authority to invoke the guarantee.

31.24 KEYWORDS

Discharge; Express; Implied; To Revoke; To forbear; Mere; Misrepresentation; Co-Surety; Bank guarantee; Beneficiary; Counter guarantee; Debtor; Surety; Claim Period; Validity Period

31.25 CHECK YOUR PROGRESS

1. Identify whether the following statements are True or False.

- (i) In a Contract of Guarantee the liability of the surety is secondary.
- (ii) Anything done for the benefit of the principal debtor is a sufficient consideration to the surety for giving the guarantee.

2. Fill in the blanks from the available alternatives.

- (i) Surety is also known as the _____. (indemnifier/bailor/guarantor/bailee)
- (ii) Liability of the surety is _____ that of the principal debtor. (co-extensive with/primary to/secondary to)

3. In bank guarantees the bank makes payment on _____.

- (a) being convinced that the beneficiary has incurred loss
- (b) being sued by the beneficiary
- (c) the guarantee being invoked after seeking concurrence of the debtor
- (d) merely on demand by the beneficiary

4. In case the company on whose behalf the invoked bank guarantee was issued is in liquidation the bank should _____.

- (a) must make payment to the liquidator and not to the beneficiary
- (b) must deposit the amount in the Court to avoid any controversy
- (c) must pay the beneficiary
- (d) need not pay since the bank guarantee lapses on the applicant company being liquidated

5. The person in whose favour a bank guarantee is issued is called a/an _____.
(a) issuer (b) banker
(c) indemnifier (d) beneficiary

31.26 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (i) True; (ii) True; 2. (i) Guarantor; (ii) Co-extensive with; 3. d; 4. c; 5. d.



LETTERS OF CREDIT

STRUCTURE

- 32.0 Objectives
- 32.1 Introduction
- 32.2 Letters of Credit – General Consideration
- 32.3 Parties to a Letter of Credit
- 32.4 Types of Letters of Credit
- 32.5 Documents Under a Letter of Credit
- 32.6 Uniform Customs and Practices for Documentary Credits – UCPDC 600
- 32.7 Payment Under Letter of Credit
- 32.8 Let Us Sum Up
- 32.9 Keywords
- 32.10 Check Your Progress
- 32.11 Answers to ‘Check Your Progress’

32.0 OBJECTIVES

After studying this Unit, you will:

- Know about a letter of credit and its purpose
- Learn the parties involved in a letter of credit transaction
- Understand the various types of letters of credit
- Know the norms of UCPDC 600.

32.1 INTRODUCTION

In international trade, the buyer and seller are miles apart, having different legal systems and each unaware of the other's financial position. In such cases, both parties prefer to deal through their bankers. The documents covering the goods traded are routed through the bankers. However, the seller should have confidence that the buyer would pay for the goods when due. In case the seller is in doubt, he may ask for an assurance from a banker that the terms of trade would be complied with and his interest would be protected. One method of this assurance is use of Letter of Credit (LC). A letter of credit is defined as '*a written instrument issued by a banker at the request of a buyer (applicant) in favour of the seller (beneficiary) undertaking to honour the documents or drafts drawn by the seller in accordance with the terms and conditions specified in the credit, within a specified time*'.

32.2 LETTERS OF CREDIT – GENERAL CONSIDERATION

An LC can be compared to a guarantee given by a bank on behalf of its customer to the effect that the bank would make payment to the beneficiary when the beneficiary presents the documents as is required in the LC. It is not a negotiable instrument. Let us consider a practical situation.

- (a) *Trade Contracted*: M/s Bharath & Co., India wants to import certain machinery is manufactured by M/s Edward & Co., England. They enter into a contract for purchasing the machinery, to be paid under LC. Since neither party knows the other, they are not sure whether the other will fulfil its part of the obligation.
- (b) *Opening LC*: M/s Bharath & Co. submits to Bank of India an application for opening a letter of credit (LC) favoring M/s Edward & Company. Bank of India, after opening a LC, informs say Barclays Bank in England, with whom it has an arrangement, to forward the LC to M/s Edward & Co.
- (c) *Advising LC to Exporter*: Barclays Bank after verifying the authenticity of the LC and finding it as genuine, forwards the same to M/s Edward & Co.
- (d) *Goods Dispatched and Documents Presented*: After verifying, that the LC has been drawn according to the sale contract, M/s Edward & Co. ships the machinery to M/s Bharath & Co. M/s Edward & Co. now collects the bill of lading (from the shipping Co.) and other documents required as per the LC and draws a bill of exchange (Bill) under the LC and presents it to Barclays Bank, for negotiating the bill and to obtain payment.
- (e) *Negotiating Bills*: Barclays Bank, on receiving the bill and the documents from M/s Edward & Co., checks if they are as per the terms of the LC. On finding them to be in order, Barclays Bank negotiates the bill and makes payment to M/s Edward & Co. Barclays Bank thereafter sends the bill and documents to Bank of India.
- (f) *Paying the Bills*: Bank of India on its part verifies the bill and documents and if found in order sends the bill to M/s Bharath & Co. for payment. M/s Bharath & Co. on receiving the bills checks the documents and pays the bill.

(g) *Documents Released*: On M/s Bharath & Co. making payment, Bank of India will release the shipping document so that M/s Bharath & Co. can collect the goods from the shipping company.

This is the simplest form of payment under a letter of credit. The terms of an LC are sometimes complicated and various kinds of LCs have been devised.

Advantages of LC: The buyer and the seller, the users of LC have several advantages.

To the Buyer:

- (a) No advance payment is to be made to the seller.
- (b) The buyer can induce the seller to give credit in view of a guarantee from a banker.
- (c) The buyer can put a condition for providing a certificate of the quality of goods from an independent body. He can also stipulate other terms and conditions to protect his interests and which are also acceptable to the seller.

To the Seller:

- (a) The seller is assured of receiving payment on his complying with the terms of the LC.
- (b) On shipment of the goods, the seller can draw bills and get them negotiated with a bank in their country getting immediate payment. Else, it would receive payment only after the goods are received by the buyer.

32.3 PARTIES TO A LETTER OF CREDIT

- (i) **Applicant-Buyer-Importer-Opener:** He is the person who applies to the bank to open a LC, since he would be either purchasing goods or availing services for which payment has to be made. In the illustration – M/s Bharath & Co.
- (ii) **Issuing Bank (Opening Bank/ Importer's Bank):** The bank which opens the LC on request of the applicant/buyer. In the illustration – Bank of India.
- (iii) **Beneficiary-Exporter-Seller:** He is the person who is entitled to receive the benefit under a LC, i.e. the right to receive payment or to draw bills and receive payment as per the terms of the LC. In the illustration – M/s Edward & Co.
- (iv) **Advising Bank (Notifying Bank):** The bank in the beneficiary's/exporter's country through which the LC is advised to the beneficiary, enabling the beneficiary to rely on its authenticity and genuineness. In the illustration - The UK Bank (Barclays Bank).
- (v) **Negotiating Bank:** The bank in the beneficiary's/exporter's country which negotiates the bills (i.e. makes payment on the bills drawn by the seller and accepts the documents). If the LC specifies a bank then that bank is the negotiating bank, and is also called the **nominated bank** or **paying bank**. If the LC however does not specify a bank, then any bank can be the negotiating bank, since the issuing bank's open invitation contained in the credit is an offer, which is accepted as soon as the negotiating bank negotiates the bill and accepts the documents. In the illustration, Barclays Bank would be the negotiating bank. If Barclays Bank was also specifically mentioned in the credit as the negotiating bank, then Barclays Bank will also be the nominated bank.
- (vi) **Confirming Bank:** The advising bank is only required to advise the credit to the beneficiary. If the seller is not conversant with the issuing bank or not satisfied with its financial position, he may ask for an additional assurance/guarantee from another bank located in his country/place, that is for confirming the LC. The seller would look to the confirming bank to pay the amount covered by the bill if drawn as per terms of the LC. If the advising bank were also to confirm it, then it will

also be the confirming bank. In such case, the confirming bank is deemed to undertake on its part the liabilities of the credit vis-à-vis the beneficiary or the Negotiating bank.

- (vii) **Reimbursing Bank:** It is the bank, which is appointed by the Issuing bank to make reimbursement to the negotiating, paying or confirming bank.

32.4 TYPES OF LETTERS OF CREDIT

- i. **Acceptance Credit:** Ordinary LCs are usually **sight credits**, i.e. immediate payment should be made of the bills drawn by the beneficiary. However, sometimes as per the terms of the LC the usance bills are drawn under it. Such an LC is an **acceptance credit** or **time credit**. The bills will be honoured on maturity. In this way, a buyer can obtain credit from the seller. The seller can either wait until the date of maturity to receive money or can get the bills discounted and obtain immediate value for the goods supplied.
- ii. **Irrevocable Credit:** An irrevocable credit is a credit that can neither be amended nor cancelled without the consent of the beneficiary. The issuing/opening bank is bound by the commitments given in the credit. As per the latest uniform customs and practices for documentary credits 600, all credits are irrevocable.
- iii. **Confirmed Credit:** If a bank advising the credit to the beneficiary adds its own confirmation to the credit, then the credit would be called a confirmed credit. A confirming bank accepts this responsibility only on instructions by the issuing bank and as such, if any of the terms in the LC have to be changed then the concurrence of all the parties would be necessary.
- iv. **With Recourse and Without Recourse Credits:** When a beneficiary draws a bill under a LC, in term of NI Act he is generally liable to any bank negotiating the LC, if the drawee fails to make payment. In other words, his liability is extinguished only on the drawee making payment. LC calling for these kinds of bills is *with recourse LCs*. However, the beneficiary can exclude this liability by adding to the bill the words 'without recourse', which means that the right (recourse) against the drawer under the bill is not available to any endorsee of the bill of exchange. This defence however is available to the beneficiary only on the bills drawn by him. In case there is any discrepancy in the documents submitted then the beneficiary cannot avail any protection on a bill with the endorsement 'without recourse'. However, as per RBI, guidelines banks should not accept any inland bill drawn 'without recourse' for negotiation.
- v. **Transferable Credits:** As stated earlier, a LC is not a negotiable instrument, though the bills of exchange drawn under it are negotiable. As such, the rights under an LC cannot be transferred and is vested in the beneficiary. A transferable credit is one under which the beneficiary can transfer his rights to third parties (second beneficiaries). Unless specifically stated an LC is not transferable.
- vi. **Back-to-Back Credits:** In a back-to-back credit, the beneficiary in whose favour an LC is issued uses the same to open another LC from his (beneficiary's) bank in favour of his supplier. There are thus three banks involved in a back-to-back credit.
- vii. **Anticipatory Letter of Credit:**
 - (i) **Red Clause letter of credit:** In a usual LC transaction, the beneficiary will be entitled to receive payment only on his handing over the documents and the bills drawn under the LC to the negotiating bank. In certain credits, the beneficiary will be entitled to get an advance of the price. These credits contain a 'red clause' (printed in red) which authorises an intermediary bank to make an advance to the beneficiary before shipment. Red Clause LCs are however dying out.

- (ii) **Green Clause letter of credits:** This is a refinement of the 'Red Clause' LC. This type of LC not only permits pre shipment advance but also permits advances to the exporter to cover storage at the port of shipment. The red clause and green clause credits are called anticipatory credits since payment is provided in advance, in anticipation of the seller making shipment.
- ix. **Revolving Letter of Credit:** In a regular LC transaction, once the bills are negotiated the entire transaction comes to an end. If fresh shipment is to be made, another LC will have to be drawn. This procedure becomes time consuming especially when there is regular trade between the same parties. In such cases, it is preferable to open a revolving LC. In this type of credit though the amount is fixed, it can be renewed as soon as the earlier bills have been paid.

32.5 DOCUMENTS UNDER A LETTER OF CREDIT

One of the two basic doctrines that underlie the LC transaction is the principle of strict compliance. The other being the independent nature of the LC transaction.

As per the strict compliance doctrine all the parties to a LC transaction should strictly observe the terms and conditions under which the credit is issued and on failure to do so, the defaulting party would be either liable to the others or have no cause of action to recover any payment. It also includes the duty of a banker to ensure that the documents tendered are strictly those specified in the LC. In this regard it would be worth noting the observation given more than half a century back by LORD SUMNER in *Equitable Trust Co. vs Dawson Partners* (27 Lloyds Law Reports 49) – “There is no room for documents which are almost the same or which will do just as well.” In this case, the credit required inter alia a certificate testifying to the quality of the purchase that was to be signed by ‘experts’. However, due to a decoding error, the message received by the advising bank required only a certificate signed by ‘an expert’. The beneficiary, therefore, while presenting the documents submit a certificate signed by a single expert, which was honoured by the advising bank and accepted by the issuing bank. However, since the goods were defective, the applicant refused to reimburse the issuing bank, which was upheld by the Courts.

The issuing bank owes a duty to its customer to ensure that the documents tendered by the beneficiary under the credit comply with the instructions given by its customer. Any default, on the part of issuing bank would forbid the bank from claiming reimbursement from its customer with the added disadvantage that it would not be entitled to claim any remuneration for the transaction. The matter of strict compliance as far as a bank is concerned has been emphasised by Courts of Law all over the world. A bank is not compelled to honour the credit unless the beneficiary pursues and conforms in every material particular to the authority conferred therein.

Documents Pertaining to LC:

- i. **Bill of Exchange:** This is a financial instrument based on which the payment is made. It is called ‘bill’ or ‘draft’. In LC transaction the right to draw a bill is conferred only on the beneficiary. The bill amount should be within the limit fixed in the LC. The tenor, endorsement and the drawee should be the same as given in the LC. It may be payable on presentation (sight bills) or on a certain date (usance bill).
- ii. **Invoice:** This is the basic commercial document giving details of the sale. It should be made in the name of the opener/importer unless required otherwise in the LC. All the details mentioned in the invoice must tally with those mentioned in the LC, failing which it may amount to a discrepancy, making the documents liable for rejection. Where the quantities are specified in a LC, the form in which they are specified should be adhered to. For example, if the LC calls for 100 kg of tea, the

invoice should be made accordingly and converting the measure to equivalent pounds or quintals would make it liable to be rejected. A further problem posed is whether it would be in order, where as per the credit the value of the shipment is ₹15 lakh and the goods shipped is worth ₹20 lakh, with a request that ₹15 lakh be paid and excess ₹5 lakh collected to be repaid later. This would not comply with the credit terms and the opener/buyer/ importer would be legally entitled to reject the documents.

- iii. **Transport Documents:** The mode of despatch of goods or transporting goods would depend on the terms of contract between the buyer and the seller, and is incorporated in the LC. The two main modes of transport are by sea or by air. In case the goods are shipped, the document evidencing the shipment of the goods is called the 'Bill of Lading'. In case the goods are transported by air, the document evidencing receipt of goods would be the 'Airway Bill' and the goods are directly handed over to an Airline or its agent. In case goods are transported through postal system or courier service, the document evidencing receipt of goods would be either the 'Post Parcel Receipt' or the 'Courier Receipts'.
- iv. **Bills of Lading:** Bills of Lading are of two types – one, the traditional ship bill of lading and the other, the 'Combined Transport Bill': a creation of modern age containerisation of shipments which permits more than one means of carriage and is also known as 'Multimodal Transport'. Bill of lading is a document to title to goods, i.e. they are representatives of the goods and holder of the same is entitled to get possession of the goods. A bill of lading, to a certain extent is negotiable in as much as a bona fide transfer of the same by endorsement entitles the transferee the right to the goods. A bill of lading is issued in sets of 2, 3, or 4 and all are termed as originals. A banker should see that all the originals are received. Unless otherwise specified in the LC, a bill of lading must be a 'shipped on board' bill of lading and a 'received for shipment' or 'transportation' bill of lading or a 'charter party' bill of lading is not acceptable. This is because the shipped bill indicates that the goods have been taken on board of a specified ship and the journey has commenced, while in the case of received for shipment bill though the goods have been delivered to the transporter the journey is yet to commence.
- v. **Airway Bill:** This is a document, which evidences that the goods have been received by an airline company or its agent. Unlike a bill of lading an airway bill does not carry with it the right to the goods, i.e., it is not a document of title to the goods. If, however, the LC terms permit acceptance of an airway bill then the banker is within his rights to accept it.
- vi. **Post Parcel Receipt and Courier Receipts:** When the goods to be sent are in small quantity, then they can be sent through post or courier. The document issued by the postal department or the courier are similar in nature to the airway bill. They are not title to goods and only evidence that the goods have been entrusted for transportation to either the postal department or the courier company and mostly the goods are addressed directly to the buyer.
- vii. **Insurance Documents:** The goods shipped, if required to be insured under the terms of LC should be so insured and the insurance document as required in the LC should be enclosed with the other documents. Either an insurance company or underwriter or their agents should sign it. The type of insurance cover should be the same as specified in the credit. The requirements of the buyer regarding the amount of the policy, the currency, the risk to be covered and the place of payment in case of claim are to be strictly complied with.
- viii. **Other documents:** LC may also call for certain additional documents which include certificate of origin, certificate of weight or quality or analysis, Health authorities certificate, etc. Such documents / enclosures are mandatory with the other documents, failing which payment can be refused. In interpreting these documents too, the Courts have applied the principle of strict interpretation.

32.6 UNIFORM CUSTOMS AND PRACTICES FOR DOCUMENTARY CREDITS – UCPDC 600

The ICC Banking Commission approved the UCP 600, ICC's new rules on documentary credits, on 25 October 2006. UCP 600. This contains significant changes, including:

- A reduction in the number of articles from 49 of UCP 500 to 39.
- New articles on 'Definitions' and 'Interpretations' to provide more clarity and precision in the rules.
- The replacement of the phrase 'reasonable time' for acceptance or refusal of documents by a definite period of five banking days.
- New provisions which allow for the discounting of deferred payment credits.
- A definitive description of negotiation as 'purchase' of drafts of documents.

The new UCP 600 also contains within the text the 12 Articles of the eUCP, ICC's supplement to the UCP governing presentation of documents in electronic or part-electronic form.

32.7 PAYMENT UNDER LETTER OF CREDIT – PRIMARY OBLIGATION FOR BANKS

Articles 6 to 13 of UCP 600 discusses the liabilities and responsibilities of the parties involved in a letter of credit transaction. Articles 14 to 17 are focused on the aspects of examinations of the relevant documents for discrepancy, before initiating the payment. The Supreme Court had occasions to consider the obligation of a bank under LC in various cases and in all these cases, the Court has held that the obligation of a bank to pay under a LC is primary, irrespective of the underlying contract.

I. Tarapore and Company, Madras v/s M/s. V/O Tractors Export, Moscow, Another (AIR 1970 Supreme Court 891)

- (i) **Facts of the case:** The Indian firm opened in favour of the Russian firm a confirmed, irrevocable and divisible LC with the Bank of India for the entire value of the machinery. Under it, the bank was required to pay to the Russian firm 25% on presentation of documents specified therein and the balance of 75% on the expiry of one year from the date of first payment. The Russian firm supplied, and the Indian firm took possession of, the entire machinery to be supplied under the contract. After using the machinery for some time, the Indian firm complained that the performance of the machinery was not satisfactory and was causing considerable loss. With a view to preventing the Russian firm from realising the balance of the amount payable under the LC, the Indian firm filed a suit against the Russian firm, but the same was withdrawn on an agreement having been arrived at between the parties. In pursuance of the said agreement, it was agreed that the Russian firm would instruct its bankers not to make a demand for further payment against the LC for a period of six months from the due dates of the drafts and that, during this period the parties would do their best to reach an amicable settlement. It would appear that the parties did not amicably settle the dispute and when the extended time was about to come to a close, the Indian firm instituted another suit praying that the Russian firm and the Bank of India be restrained from taking any further steps in pursuance of the LC opened by the Indian firm in favour of the Russian firm.
- (ii) **Decision:** Rejecting the contention of the Indian firm that the Russian firm should not be allowed to take away the money secured by the LC, since the Russian firm had no assets in India and the Indian firm might not be able to enforce its claims under any decree that might be passed in its favour, the Supreme Court observed:

'An irrevocable letter of credit has a definite implication. It is a mechanism of great importance in international trade. Any interference with that mechanism is bound to have serious repercussions on the international trade of this country. Except, under exceptional circumstances, the Court should not interfere with that mechanism.'

The Supreme Court considered some of the important decisions of the Courts in England and America and observed:

'A letter of credit is independent of an unqualified contract of sale or underlying transaction. The autonomy of an irrevocable letter of credit is entitled to protection. As a rule, Courts refrain from interfering with that autonomy.'

II. In **United Commercial Bank vs Bank of India** (AIR 1981 SC 1426)

- (i) **Facts of the case:** The question, considered by the Supreme Court in this appeal was whether the Court should grant injunction at the instance of the beneficiary of an irrevocable LC, restraining the issuing bank from recalling the amount paid under reserve from the negotiating bank, acting on behalf of the beneficiary, against a document of guarantee/ indemnity at the instance of the beneficiary.

The relevant facts were that G agreed to supply to B 1000 metric tonnes of 'Sizola Brand Pure Mustard Oil'. A LC was opened in favour of G by the appellant bank. The goods were supplied in two lots. When the documents were presented by G for payment of the amount against first lot, the appellant bank refused to make payment, except under reserve on the ground of discrepancies in the documents presented to it. The main discrepancy was that the goods were described in the railway receipts as 'Sizola Brand Pure Mustard Oil "Unrefined"'. Bank of India, under instructions of G, accepted payment under reserve. Regarding the second lot, also payment was made and accepted under guarantee in favour of United Commercial Bank, whereby the Bank of India unconditionally agreed to hold the United Commercial Bank harmless and indemnified for all consequences of non-acceptance and/or non-payment of bills due to discrepancies in the documents. The goods despatched, were not accepted by B. The United Commercial Bank, therefore, made a demand upon the Bank of India, to refund the amounts paid under reserve. Thereupon G approached the High Court for interim injunction restraining Bank of India from making payment. The single Judge of the High Court made absolute the temporary injunction granted earlier, until the disposal of the suit on the ground that the United Commercial Bank, in terms of the credit, could not unilaterally impose the condition of payment 'under reserve' or refuse to pay against the documents tendered by G merely because of alleged discrepancies.

The matter on further appeals finally reached the Supreme Court. After considering the case law on the subject, the Supreme Court allowed the appeal for the following reasons:

- (a) A LC constitutes the sole contract with the banker and the bank issuing the LC has no concern with any question that may arise between the seller and the purchaser of goods. The judicial authority lays down the necessity of strict compliance both by the seller with the LC and by the banker with his customer's instructions.
- (b) The banker is not called upon to know or interpret trade customs and terms.
- (c) In Paget's **Law of Banking**, 8th Edn. p. 648, it has been stated thus – Unless documents tendered under a credit are in accordance with those for which the credit calls and which

are embodied in the promise of the issuing banker, the beneficiary cannot claim against him and it is the banker's duty to refuse payment.

- (d) Duties of a bank under a LC are created by the documents itself, but in any case, it has the power and is subject to the limitations which are given or imposed by it, in absence of the appropriate provisions in the LC.
- (e) The whole banking system would fail if the banker making payment under reserve were restrained by injunction from recalling the amount.
- (f) Confirmed letter of credit imposes an absolute obligation to the banker to pay.
- (g) It is in exceptional cases that the Court would interfere with the machinery of irrevocable obligations assumed by the banks, such as, clear cases of fraud of which the banks have notice.

32.8 LET US SUM UP

A LC is a device used for effecting payment by bankers for goods supplied or services provided between two parties and is mostly used in foreign trade. There are various parties to a LC transaction.

LCs are classified based on the various terms and conditions they contain. Main among them, are - **Acceptance Credit**, where the payment is made after a certain period; **Irrevocable Credit** where any alteration of terms or cancellation requires the concurrence of beneficiary; **Confirmed Credit**, where the advising bank adds its own confirmation to the credit while advising the beneficiary; **With Recourse Credits** – where the beneficiary is liable on a bill drawn by him under an LC in contrast to a **Without Recourse**, where the beneficiary is not liable.

There are two basic principles that underline every LC transaction - the first one being that in every transaction strict compliance of terms is required and the other being the independent nature of LC transaction. As such, it is necessary to ensure strict compliance of the documents required under an LC.

32.9 KEYWORDS

Acceptance Credit; Advising Bank; Airway Bill; Applicant; Back-to-Back Credit; Bankers Commercial Credit; Beneficiary; Bill of Exchange; Bill of Lading; Confirmed Credit; Confirming Bank; Green Clause Credit; Invoice; Issuing Bank; Negotiating Bank; Red Clause Credit; Reimbursing Bank; Revocable Credit; Revolving Credit; Transferable Credit; UCP 600; With Recourse Credit; Without Recourse Credit.

32.10 CHECK YOUR PROGRESS

1. The letter of credit is opened on the request of _____.
 - (a) Issuing bank
 - (b) Applicant
 - (c) Beneficiary
 - (d) Confirming bank
2. The LC issuing bank is also called as _____.
 - (a) the importers bank or the opening bank
 - (b) the advising bank or the confirming bank
 - (c) the negotiating bank or the nominated bank
 - (d) the reimbursement bank

3. The advising bank's responsibility is _____.
- (a) to inform the issuing bank as to whom to issue the letter of credit
 - (b) to advise the buyer the despatch of documents by the seller
 - (c) to inform the beneficiary/seller about the letter of credit
 - (d) None of the above

32.11 ANSWERS TO 'CHECK YOUR PROGRESS'

1. b; 2. a; 3. c.



DEFERRED PAYMENT GUARANTEE

STRUCTURE

- 33.0 Objectives
- 33.1 Introduction
- 33.2 Purpose of Deferred Payment Guarantee
- 33.3 Method of Payment
- 33.4 Let Us Sum Up
- 33.5 Keywords
- 33.6 Check Your Progress
- 33.7 Answers to 'Check Your Progress'

33.0 OBJECTIVES

After studying this Unit, you will:

- Know about a deferred payment guarantee,
- Understand purpose of a deferred payment guarantee,
- Know various methods of payment under a deferred payment guarantee.

33.1 INTRODUCTION

‘Deferred Payment Guarantee’ under which payments are made on deferred basis. Suppose a bank’s customer were to import capital goods on a deferred payment credit where the price is to be paid in instalments spread over a five year period, the exporter will have to wait for each instalment to mature until the whole amount is paid. In the meantime, the chances of the importer going bankrupt or failing to pay may arise. To avoid such a situation the exporter can request the importer to obtain a guarantee that the payment in instalments will be made. The importer would therefore, approach his banker to guarantee the payments in instalments. This guarantee of the bank, assuring the exporter of the timely payment of the instalments is called ‘Deferred Payment Guarantee’ (DPG). DPG is another method of financing of fixed assets.

33.2 PURPOSE OF DEFERRED PAYMENT GUARANTEE

In case of capital goods the amount involved is substantial, so short-term credit is not of help to the buyer, unless he gets a term loan. Also, in case of import of capital goods, the requirement of substantial amount of foreign exchange may place the buyer at a great disadvantage. The practice of deferred payment emerged as a solution. In deferred payment arrangement, the buyer/importer pays the price of the goods in instalments over a period of time as mutually agreed with the seller.

In a deferred payment guarantee, a third party, mostly banks and financial institutions, guarantee the payment of the instalments. This guarantee ensures timely payment of the instalments to the seller/exporter, failing which, the guarantee can be invoked and payment received.

33.3 METHOD OF PAYMENT

In a contract for import of goods on deferred payment terms, over a period of time (may range from 1 to 7 years), the payment is usually done on the following terms:

1. Advance payment of 10% to 15% of the price of the goods is made by the buyer.
2. Another 10% to 15% is paid on receipt of documents under letter of credit.
3. The balance amount is paid in instalments over 1 to 7 years, secured by a ‘Deferred Payment Guarantee’.

A deferred payment guarantee timely payment of instalments and interest if provided. In a deferred payment guarantee following terms are mandatory:

1. there is supply of goods by the seller to the buyer, and the seller agrees to postpone the payment of the price - this is the consideration of the guarantee;
2. the payment schedule of both the instalment and the interest;
3. unconditional and irrevocable assurance of the bank that it would make payments on the invocation of the guarantee.

Banks do not take the responsibility to ensure that the goods shipped are what is required by the buyer/importer. Since the guarantee, is mostly given prior to shipment of the goods, if the documents are, as required under the letter of credit, and are valid, then the guarantee of the bank subsists and the buyer cannot after receipt of the goods, request the bank to stop payment on a deferred payment guarantee on the grounds of defective goods.

The payment schedule is usually incorporated in the main contract between the buyer/importer and the seller/exporter, and the bank guarantees the payment as stipulated in the schedule. Some banks as a matter of abundant caution incorporate the same in the guarantee issued by them that would a verbatim reproduction of the payment schedule from the main contract. In certain cases the seller/exporter would draw bills on the buyer/importer for the amounts of the deferred instalments including interest, which are usance bills (being payable on specified dates) and payment of these bills are guaranteed by the bank. The advantage of this is the seller/exporter can discount these bills with his bank.

In a deferred payment guarantee, like other bank guarantees, the banks undertake to make payment without any demur or protest, since the bank has given an unconditional and irrevocable assurance to the seller/exporter. It is on such assurance that the seller/exporter has sold the goods. The principle that bank's liability in a bank guarantee is primary and independent of the underlying contract between the buyer/importer and the seller/exporter applies in toto to a DPG also.

33.4 LET US SUM UP

A deferred payment guarantee (DPG) is an unconditional and irrevocable guarantee given by a bank to a seller/exporter that on his supplying goods to the buyer/importer (who is the bank's customer) on instalment basis the bank would ensure payment on the due dates. DPGs are usually insisted upon, when capital goods are imported and the seller/exporter requires an additional assurance that the instalment payment allowed by him to the buyer/importer is met.

33.5 KEYWORDS

Deferred Payment; Deferred Payment Guarantee.

33.6 CHECK YOUR PROGRESS

1. Which of the following statement is false?

- (i) In a deferred payment guarantee, the guarantee is to ensure delivery of goods.
- (ii) A deferred payment guarantee is mostly based on a primary contract between the buyer and the seller.
- (iii) A deferred payment guarantee differs from other kinds of guarantee issued by banks as regards payment liability of the bank on invocation.
- (iv) In a deferred payment guarantee the bank's liability comes into existence only if all the instalments are not paid and not on the non-payment of any one instalment by the customer.
 - a. (i), (ii) and (iii)
 - b. (ii) and (iii)
 - c. (i), (iii) and (iv)
 - d. All the statements are false.

2. Which of the following statements is/are correct?

- (a) A third party, mostly banks and financial institutions, guarantee the payment of the instalments.
- (b) This guarantee ensures timely payment of the instalments to the seller/exporter, failing which, the guarantee can be invoked and payment received.
- (c) To understand better the deferred payment guarantee, it is necessary to understand how a payment is made in a deferred payment contract and how the same is guaranteed by a bank.
- (d) All the above are correct

33.7 ANSWERS TO 'CHECK YOUR PROGRESS'

1. c; **2.** d.



LAWS RELATING TO BILL FINANCE

STRUCTURE

- 34.0 Objectives**
- 34.1 Introduction**
- 34.2 Class of Bills and Laws Governing Bills**
- 34.3 Classification of Bills**
- 34.4 Various Types of Bill Finance**
- 34.5 Bill Finance and Legal Position of a Banker**
- 34.6 Let Us Sum Up**
- 34.7 Keywords**
- 34.8 Check Your Progress**
- 34.9 Answers to ‘Check Your Progress’**

34.0 OBJECTIVES

After studying this Unit, you will:

- Understand basic law relating to bill finance;
- Know legal position of banker in case of bill finance.

34.1 INTRODUCTION

Bill finance is one of the modes of lending by a banker. As compared to other modes, bill finance offers an easy mode of lending. It involves discounting or purchase of commercial bills arising out of sale of goods. As compared to cash credit and overdraft, it has following advantages:

- (a) The underlying transactions are easily identifiable
- (b) There is definite date of repayment
- (c) The bill will carry more than one signature, if it is on usance basis
- (d) It represents an easily transferable asset and it can be rediscounted to improve liquidity of the bank.

34.2 CLASS OF BILLS AND LAWS GOVERNING BILLS

- (a) **Class of Bills:** Bills discounted/ purchased by banks belong to one of the following categories:
 - (i) Clean bills
 - (ii) Documentary bills
 - (iii) Bills drawn under credit

These depend on the terms of the trade transaction represented by the bill. Clean bills do not have any associated document and simply establish that the drawee is required to pay the stated amount, on the stated date.

- (b) **Laws Governing Bills:** The liabilities and rights of parties to a bill is governed by the NI Act.
 - (i) **What is a Bill?** The term 'Bill' is the short form of 'Bill of Exchange'. Sec. 5 of NI Act, 1881 defines it as '*instruments in writing containing an unconditional order signed by maker, directing a certain person to pay certain sum of money only, to or to the order of a certain person or to the bearer of the instrument.*'
 - (ii) **'Drawer', 'Drawee', 'Payee':** Sec. 7 of the Act states a maker of 'Bill of Exchange' is called 'Drawer', the person who is directed to pay is called 'Drawee', and the person entitled to receive payment of amount of 'Bill' is called 'Payee'.
 - (iii) **Relationship of Parties to a Bill:** 'Drawer' of bill is a creditor/seller and the 'Drawee' of a bill is the debtor/buyer. If the bill is assigned to third parties, then such assignees will become creditors and drawer would be liable for such assignees in case of default by drawee.
- (c) **Some important provisions of NI Act relating to Bills:** A bill is a negotiable instrument. Any person, to whom a bill is transferred in accordance with the provisions of the Act, would become entitled to receive the amount of the bill.

'Holder': Sec. 8 of NI Act defines a 'Holder' of bill of exchange - as a person entitled in his own name to possess the bill and recover the amount of bill.

'Holder in Due Course': As per Sec. 9 'Holder in due course' is any person who for consideration became the possessor of the bill (that is to whom the bill is transferred).

'Payment in Due Course': 'Payment in due course' as per Sec. 10 is payment in accordance with the apparent tenor of bill of exchange to the holder or holder in due course in good faith and without negligence.

‘Negotiation’: Sec. 14 says, when a bill is transferred for considerations to a person so as to entitle him to claim the amount of bill, this is called ‘Negotiation’.

‘Endorsement’: Sec. 15 says, if the holder signs the bill of exchange for the purpose of transferring it, such signing is called ‘Endorsement’.

‘Liability of Drawer’: As per Sec. 30, the drawer is bound in the case of dishonour (failure to pay) by the drawee or acceptor, to compensate the holder, provided due notice of dishonour has been given to, or received by, the drawer.

‘Liability of Acceptor/Drawee of Bill’: Sec. 32 says, an acceptor is bound to pay the amount at maturity according to apparent tenor of the acceptance.

‘Liability of Endorser’: Sec. 35 provides, in the absence of contract to the contrary, whoever endorses and delivers a negotiable instrument is bound thereby to every subsequent holder in the case of dishonour unless his liability is excluded.

‘Interest rate Specified’: Sec. 79 stipulates, if interest at a specified rate is expressly made payable on a bill of exchange, then interest shall be calculated at such rate.

‘Interest when no rate is specified’: Sec. 80 stipulates, if no rate of interest is specified in the instrument, interest due thereon shall be calculated at the rate of eighteen per cent p.a.

34.3 CLASSIFICATION OF BILLS

‘Bills’ used under bill finance can be classified depending upon the place where drawn, period and their nature as under:

- | <i>Place</i> | <i>Period</i> | <i>Nature</i> |
|------------------|-----------------|----------------------|
| 1. Inland bills | 3. Demand bills | 5. Clean bills |
| 2. Foreign bills | 4. Usance bills | 6. Documentary bills |
1. **Inland Bills:** Bills drawn or made in India and made payable in or drawn upon any person resident in India are inland bills. The necessary requisites of inland bills are:
 - (a) it must be drawn and made payable in India; (or)
 - (b) it must be drawn in India upon some person resident in India, (though it may be made payable in a foreign country).

Sec. 11 of NI Act defines inland instruments as:
“A promissory note, bill of exchange or cheque drawn or made in India and made payable in or drawn upon any person resident in India shall be deemed to be an inland instrument.”
 2. **Foreign Bills:** As per Sec. 12 of NI Act, Foreign Bills are:
 - (a) *Bills, drawn outside India and made payable in or drawn upon any person, resident in any country outside India;*
 - (b) *Bills drawn outside India and made payable in or drawn upon any person, resident in India.*
 3. **Demand Bills:** Sec. 19 of NI Act, defines ‘Demand Bill’ as an instrument payable on demand and no time for payment is specified therein. ‘Demand Bill’ is also called ‘sight bill’, and the payee is entitled to the value of the bill on demand and on presentation.
 4. **Usance Bills:** A usance bill is a bill payable otherwise than on demand, and specifies normally a time for payment of the value it represents. These are also called ‘Bills payable after sight’. The drawer draws a bill of exchange and specifies a time within which the payment shall be made and presents the same to drawee for acceptance. Once the drawee accepts the bill, the drawer at the time

or date specified on bill for payment can present the same to drawee and demand payment. The date specified for payment is called 'maturity/due date'.

5. **Clean Bills:** A clean bill is a bill of exchange drawn as per the requirements of the NI Act and is not supported by documents of title to goods. Clean bills are drawn normally to effect discharge of a debt or claim. Clean bills also arise when the goods covered by the bill are directly sent to the buyer due to mutual consent e.g. local bills and supply bills.
6. **Documentary Bills:** A bill of exchange accompanying documents of title to goods is called 'Documentary Bill'. These bills are drawn to claim price of goods supplied.
 - (i) *Bills drawn with an instruction to deliver documents against payment (D.P. Bills):* In a transaction for supply of goods, a seller draws a bill on the buyer, and sends the same to his banker along with document of title to goods like bill of lading, or railway receipt or lorry receipt. The seller instructs the banker to deliver the bill and documents of title to goods only when the buyer pays the price of goods. These types of bills are D.P. bills, in other words 'Delivery against Payment Bills'.
 - (ii) *Bills drawn with instruction to deliver documents against acceptance (D.A. Bills):* An usance bill supported by documents of title to goods bearing an instruction that the documents can be delivered, if the buyer accepts the bill of exchange drawn on him. These are called D.A. Bills or 'Delivery against Acceptance Bills'.

Besides the above, when the government department is supplied goods or raw materials a bill is drawn on them for the price of goods supplied. These are called '*supply bills*'. They do not squarely fall within the ambit of NI Act. However, principle for bills is also applied to 'Supply Bills'.

34.4 VARIOUS TYPES OF BILL FINANCE

Basically, a banker offers following types of bill finance.

1. Bill Purchase (B.P.)
 2. Bill Discount (B.D.)
 3. Advance against Bills for Collection (A.B.C.)
1. **Bills Purchased:** When a bank negotiates bills payable on demand, whether clean or documentary, it is known as bill purchase. The face value of the bill is immediately paid to the holder. The bank, after purchasing the bill, becomes the holder in due course of the bill and acquires all the rights of ownership over the instrument. Bill purchase facility is essentially for demand bills, it is also for usance bills when the due date is not readily known, i.e. for a bill drawn payable some days after sight. The due date of such a bill is known when the bill is presented to the drawee and the period of usance commences from the date of presentation.
 2. **Bills Discounting:** This facility is extended for usance bill. For example, 'A' draws a bill on 'B' payable after three months and 'B' on presentation accepts the same and agrees to pay after three months. In this type of facility, a banker pays the face value of the bill less discount, becomes holder in due course, and acquires all the rights under the bill.
 3. **Advance Against Bills for Collection:** When the bank advances against the bills, which are in course of collection, the facility is known as advance against bills for collection. Under this facility, a prescribed margin is kept by the bank and the net amount, is paid to the customer. The bill thereafter is sent for collection.

In all the cases, the banker, who lends money, becomes holder in due course for the bill.

34.5 BILL FINANCE AND LEGAL POSITION OF A BANKER

- (a) **Bill Discounting and Rights of a Banker:** In case of bills discounting or bills purchase, the banker pays the value of the bill of exchange to the borrower after charging commission/ discount and gets the bill endorsed to his name. The banker as the 'holder in due course' becomes entitled to receive the amounts from the acceptor.
- (b) **Legal Relationship in the Case of Bills Discounting:** In 'Bills discounting' transactions, a banker becomes a lawful holder of the bill, becomes 'payee' of the bill, and is entitled to receive the amount of the bill.
- (i) **Irinjalakuda Bank Ltd. vs Pourthussery Panchayat (1970) 40 Compo Cases. 767:** A cheque issued by a Panchayat on a Government treasury payable to 'self or order' was discounted by a bank. It was dishonoured by the treasury, since Panchayat Inspector countermanded the payment. The Court held the bank is a holder in due course and hence can recover the amount from the Panchayat.
 - (ii) **Shambumal Gangaram and Another vs State Bank of Mysore (AIR 1971 Mys. 156):** Bank initiated legal action for recovery of dues of the bill discounting facility granted to the customer. The bank provided 'Local Bill Discounting' (LBD) facility. The drawees generally paid the amounts of bills. However, several bills remained unpaid. For which bank filed a suit for recovery from the customer. The customer contended that bank should have filed suit against the drawees. The Court rejected the argument of the customer and directed him to pay the amount to the bank holding that customer being drawee is liable to bank who is holder in due course.
- (c) **Discounting of Documentary Bills:** A bank provides discounting of 'Documentary Bills', as a credit facility to his customer.
- 'Documentary Bill' is a bill which is supported or accompanied by a document of title to goods. A lorry receipt or railway receipt, warehouse receipt, bill of lading, etc., are some examples of documents of title to goods.
- (d) **Law relating to Documents of Title to Goods:**
- Sale of Goods Act and Bill of Lading Act:* Under these Acts, 'documents of title to goods' is one in which ownership in goods can be transferred by endorsement and delivery. Therefore, a banker as an endorsee of a lorry receipt, railway receipt or bill of lading becomes the owner of goods on transfer of said documents in his name.
- In the case of *Morvi Mercantile Bank Ltd. vs Union of India* (1965) 35 Compo Cases 629, a Bombay firm, sent by rail (to self) six boxes stated to contain menthol crystals from Thana to Okhla. The railway receipts were endorsed by the firm to a bank against an advance of ₹ 20,000. The boxes were not delivered at Okhla and the bank sued the railway claiming damages amounting to ₹ 35,000 which was stated to be the value of the consignments. The Trial Court dismissed the suit. On appeal by the bank, the Bombay High Court held that the bank as an endorsee of railway receipts was entitled to receive the amount. The Supreme Court confirmed the order of High Court.
- (e) **Drawee Bills Acceptance and Bill Co-acceptance Facilities:** In 'Drawee Bills Acceptance Facility', the bank agrees to pay the drawer the amount of bills drawn on the borrower on presentation and recovers from the drawee on the respective due dates. This is normally extended to borrowers who have been granted working capital facilities, as an alternative to cash credit or overdraft. The amounts of bills accepted by the bank are debited to 'drawee bills' discounting account and the borrower

reimburses the bank the amounts paid by bank with interest on the respective due dates. These advances are also governed by the principles of law under NI Act. The bank would be entitled to sue the borrower and recover from him the amount due on bills. The bank will have an additional advantage of suing the drawer in event of dishonour of bill. In the case of 'Bills Co-acceptance Facility', the banker accepts the bills along with the borrower, undertakes a joint liability along with the borrower, and enters into agreement with the borrower for reimbursement.

34.6 LET US SUM UP

Law relating to bills of exchange is provided in NI Act, 1881. The Act defines certain related terms and the types of bills. In case of bills the relationship between the parties is that of debtor and creditor. Holder in due course becomes the payee of the bill and has rights against the drawee and drawer, both.

34.7 KEYWORDS

Inland bills, Foreign bills, Demand bills, Usance bills, Clean bills, Documentary bills, Bill Purchase, Bill Discount, Advance against Bills for Collection.

34.8 CHECK YOUR PROGRESS

1. Bill of exchange means an unconditional _____.
 - (a) direction to the drawer to pay the moneys
 - (b) promise to the drawer to pay the moneys
 - (c) obligation to the drawer to pay the moneys
 - (d) undertaking to the drawer to pay the moneys
2. The maker of the bill is called _____.
 - (a) endorsee
 - (b) drawee
 - (c) drawer
 - (d) None of the above
3. Bill purchase facility is granted in the case of _____.
 - (a) demand bills.
 - (b) usance bills
 - (c) tenor bills
 - (d) term bills
4. Ownership of goods can be transferred by endorsement and delivery of _____.
 - (a) right to money
 - (b) obligation to pay
 - (c) document of title to goods
 - (d) document of title to immovable property

34.9 ANSWERS TO 'CHECK YOUR PROGRESS'

1. a; 2. c; 3. a; 4. c.



PERSONAL FINANCE

STRUCTURE

35.0 Objectives

35.1 Credit Card

- 35.1.1 Introduction
- 35.1.2 Parties Involved in Credit Card
- 35.1.3 Benefits to Credit Card Holders
- 35.1.4 Disadvantages to Credit Card Holders
- 35.1.5 Guidelines on Credit Card Operations of Banks

35.2 Home Loans

- 35.2.1 Introduction
- 35.2.2 The Procedure and Practices for Home Loans
- 35.2.3 Housing Loan for Various Purposes
- 35.2.4 Quantum of Loan
- 35.2.5 Documents Required
- 35.2.6 Disbursal of Housing Loan
- 35.2.7 Levy of Fore-closure Charges/Pre-payment Penalty

35.3 Personal Loans

- 35.3.1 Introduction
- 35.3.2 Procedure and Practices for Salary Loans
- 35.3.3 Other Aspects

35.4 Consumer Loans

35.5 Let Us Sum Up

35.6 Keywords

35.7 Check Your Progress

35.8 Answers to 'Check Your Progress'

35.0 OBJECTIVES

After studying this Unit, you will:

- Know about features of credit cards and
- Learn the regulatory guidelines for credit cards
- Know about the norms for home loans
- Learn about the personal loans and consumer loans.

35.1 CREDIT CARD

35.1.1 Introduction

Credit card is one of the channels for delivery of credit. These are issued to approved clients for purchase of goods or services from authorised merchant establishments on the guarantee of issuer of credit card for payment. The cardholder may pay for purchases made over a period on the due date without any interest. Alternatively, they have the option of paying only part (higher than the minimum amount due), and carry forward the balance amount, in which case finance charges are levied.

35.1.2 Parties Involved in Credit Card

- (i) **Cardholders** - persons who are authorized to use credit cards for the payment of goods and services.
- (ii) **Card issuers** - institutions which issue credit cards.
- (iii) **Merchants** - entities which agree to accept credit cards for payment of goods and services.
- (iv) **Merchant acquirers** - Banks/NBFCs which enter into agreements with merchants to process their credit card transactions.
- (v) **Credit card associations** - organisations that license card issuers to issue credit cards under their trademark, (e.g. Visa, MasterCard, RuPay) and provide settlement services for their members (i.e. card issuers and merchant acquirers).

Normally cardholders can use their credit cards to make purchases at merchants in another country.

35.1.3 Benefits of Credit Cards

A To Card Holders

- (a) Customer can purchase goods/ services at a large number of merchants without carrying cash.
- (b) Card holder gets a period of interest free credit, ranging from 15 to 51 days.
- (c) Cash withdrawals through ATMs can be made up to a ceiling.
- (d) It provides proof of purchase through banking channels to strengthen his position in case of disputes with sellers.
- (e) It allows him to delegate spending power to add-on members.
- (f) It extends additional facilities like insurance cover/discount, etc.

B To Merchant Establishments (MEs)

- (a) Increase in sales because of increased purchasing power of the cardholder due to unbilled credit available to him.
- (b) Preferred locations by a cardholder.
- (c) Less need for the MEs to provide customers with an extended credit facility, which is likely to be a costly burden to them.

- (d) Systematic accounting since sale receipts are routed through banking channels.
- (e) Advertising and promotional support on a national scale.
- (f) Development of a prestigious clientele base.
- (g) Assured and immediate settlement/payment.
- (h) Avoids all the cost and security problems involved in handling cash.

C To Banks

- (a) Scope and potential for better profitability out of share earned from the traders' turnover.
- (b) Helps in establishing a banking relationship with new customers.
- (c) This also provides additional facility to the existing clients.
- (d) Better network spread of cardholders and their increased use means higher popularity and image for the banks.
- (e) Saving expenses on cash holding/stationery printing and workforce to handle clearing transactions.

35.1.4 Disadvantages to Credit Card Holders

- (a) May result in over spending.
- (b) Fraudulent withdrawals, due to loss of card in the intervening period till it is blocked.
- (c) May fall in debt trap credit limit is utilized beyond monthly repayment capacity.

35.1.5 Guidelines on Credit Card Operations of Banks

RBI has issued guidelines on credit cards revised occasionally. On 21st April 2022 RBI issued Master Directions on issuance and conduct of credit cards and debit cards, containing their latest guidelines.

SCBs (other than RRBs) with net worth of ₹100 crore and above can undertake credit card business departmentally or through a subsidiary or in tie-up arrangement with other card issuing bank/NBFC with approval of their Boards. NBFCs registered with RBI can undertake credit card business, with its prior approval.

Card-issuer shall have a Board approved policy for credit card business, in line with RBI instructions. The policy shall be hosted on the website of the card-issuer.

Issue of unsolicited cards/upgradation is strictly prohibited. If a card is issued/ existing card upgraded and activated without explicit consent of the recipient and is billed for the same, the card-issuer shall reverse the charges, and also pay a penalty of twice the charges.

A. Sanction of Credit Card

- (a) The decision for issue of credit card shall be made by the card- issuer. The role of the Direct Sales Agent (DSA)/Direct Marketing Agent (DMA)/other agent should be limited to soliciting/servicing the customer/ account.
- (b) Banks/NBFCs shall ensure prudence in issuing credit cards and independently assess the credit risk, of the applicants, especially students and others with no independent financial means.
- (c) Banks/NBFCs should assess the total credit limit of a credit card customer considering all credit cards held.
- (d) Card issuing banks/NBFCs would be solely responsible for fulfillment of all KYC requirements, even where agents solicit business on their behalf.
- (e) Terms and conditions for a credit card facility should be listed in clear and simple language (preferably in English, Hindi and the local language) easily comprehensible to a card user.

B. Terms and conditions

Card-issuer shall provide, along with the credit card application form, a one-page Key Fact Statement containing the important terms of the card such as rate of interest, quantum of charges, among others. In case of rejection of an application, the card-issuer shall convey in writing the specific reason/s for it.

When issuing the card, the terms and conditions should be clearly stated in a manner easily understood by the customer. Most Important Terms and Conditions (MITCs) as standardised by RBI should be issued at all stages viz. during marketing, at the time of application, at the time of issuing card (welcome kit), and in important subsequent communications. The MITC and copy of the agreement signed by the cardholder shall be sent to the cardholder at registered email or postal address at customer's choice.

No card-issuer shall report any credit information relating to a new credit card account to Credit Information Companies prior to activation of the card.

Card-issuers shall ensure complete transparency in the conversion of credit card transactions to Equated Monthly Instalments (EMIs) by clearly informing the principal, interest and upfront discount provided by the merchant/card-issuer (to make it no cost), prior to the conversion, and also in the credit card bill. EMI with interest component shall not be camouflaged as zero-interest/ no-cost EMI.

Card-issuers shall ensure that loans offered through credit cards are in compliance with the instructions on loans and advances issued by RBI.

C. Insurance Offers

Card-issuers may provide, at the option of the customer, an insurance cover for the liabilities arising out of lost cards, card frauds, etc. If an insurance cover is offered, in tie-up with insurance companies, the card-issuer shall obtain explicit consent in writing/ digital mode from the cardholder along with the details of nominee/s that should be recorded with the insurance company. Also, the cardholder should be sent a letter containing the contact particulars of the insurance company for lodging a claim.

D. Types of Cards

Various types of credit cards are issued viz. co-branded credit cards, corporate credit cards, add-on credit cards. While issuing co-branded credit cards banks must undertake due diligence on the non-bank entity, to protect themselves against the likely reputation risk. Banks may issue corporate credit cards where the credit card account is in the name of the corporate, but cards are used by the employees of the corporate. The responsibilities and liabilities of the corporate and its employees in case of such cards may be clearly specified. In case of individuals, banks may issue add-on cards for use of the family members of the principal card holder, with the clear understanding that the liability is that of the principal cardholder.

E. Issuance of Cards

- (a) When a customer applies for a credit card, bank/ NBFC shall explain the relevant terms and conditions (fees, interest and other charges, billing and payment, method of computation of overdues, financial implications of paying only 'the minimum amount due', renewal and termination procedures) and any other information that may be required to operate the card.
- (b) Banks shall advise clients about targeted time for issuance of card.
- (c) A deactivated (not ready to use) credit card may be issued if they consider customer profile appropriate, and the card will be activated only after acceptance of the card and steps taken for its activation.

- (d) At request of the customer, banks may set a lower credit limit than the overall limit for the add-on card(s).
- (e) New cards/replacement cards will be EMV Chip and PIN enabled cards only.
- (f) If the limit on a card is proposed to be reduced, bank will inform customer immediately with reason, by SMS/e-mail followed by confirmation in writing.
- (g) Banks will comply with any request for cancellation promptly and confirm cancellation/closure of the card to customer within 7 working days of the request received (in writing or through registered e-mail Id) provided the outstanding amount, if any, is settled in full.

F. Credit Card Statements

- (a) To help customer manage their credit card account and check details of purchases/cash withdrawals, banks will send a monthly statement, free of cost, with details of the transactions on the card. The statement will be dispatched on a predetermined date every month, by post/courier to given mailing address or, by e-mail to the registered e-mail ID. It should also be available on internet banking.
- (b) Before reporting to Credit Information Company about any default, banks will adhere to a procedure approved by the Board, including sufficient notice to the card holder.

G. Interest Rates and Other Charges

- (a) Credit card dues are non-priority sector personal loans. The interest charged should be justifiable having regard to the total cost incurred in extending the loan and the extent of return reasonably expected. Banks should also prescribe a ceiling for rate of interest and processing/ other charges.
- (b) There should be transparency (without any hidden charges) for credit cards issued free of charge.
- (c) In case banks/NBFCs charge interest rates which vary based on the payment/default history of the cardholder, there should be transparency in this.
- (d) Banks/NBFCs should indicate to the card holder, the method of calculation of finance charges with illustrative examples, particularly in situations where only a part of the outstanding is paid.
- (e) There should be no delay in dispatching bills and the customer has sufficient number of days (at least one fortnight) for making payments before the interest starts getting charged.
- (f) Card Issuers should quote annualized percentage rates (APR) on card products (separately for retail purchase and for cash advance, if different). The method of calculation of APR should be given with a couple of examples for better comprehension. The APR charged and the annual fee is shown with equal prominence. The late payment charges, their method of calculation, and the number of days, are to be prominently indicated. The manner of including the unpaid amount for calculation of interest should also be specifically shown with prominence in monthly statements.
- (g) It should be indicated in bold letters that, even where the minimum amount indicated to keep the card valid has been paid, the interest will be charged on the amount due, from the due date of payment. These aspects should be shown in the 'Welcome Kit' and the monthly statements. A legend/notice to the effect that "Making only the minimum payment every month would result in the repayment stretching over years with consequent interest payment on your outstanding balance" should be prominently displayed in all the monthly statements.
- (h) The bank/NBFC should not levy any charge not explicitly indicated to the credit card holder at the time of issuing card and getting his/her consent.
- (i) Banks will notify changes in schedule of fees/charges or in terms & conditions, including along with the monthly statement of account. Changes in charges (other than interest) may be made only with prospective effect, giving notice of at least one month. If a credit card holder desires to surrender

his credit card on account of any change in the charges to his disadvantage, he may be permitted to do so, without any extra charge for such a closure.

H. Wrongful Billing

The card issuing bank/NBFC should ensure that wrong bills are not raised and issued to customers. In case a customer protests any bill, the bank/NBFC should provide an explanation and if necessary, documentary evidence to the customer, within a maximum period of thirty days of complaint.

I. Redressal of Grievances

- (a) Generally, a time limit of sixty (60) days may be given to the customers for preferring their complaints/grievances.
- (b) The card issuing bank/NBFC should constitute 'Grievance Redressal' machinery within the bank/NBFC and give wide publicity about it through electronic and print media. The name and contact number of the designated grievance redressal officer of the bank/NBFC should be mentioned on the credit card bills.
- (c) If a complainant does not get satisfactory response from the bank/NBFC which is a subsidiary of a bank within a maximum period of thirty (30) days from the date of his lodging the complaint, he will have the option to approach the Banking Ombudsman. The bank/NBFC shall be liable to compensate the complainant for the loss of his time, expenses, financial loss as well as for the harassment and mental anguish suffered by him for the fault of the bank and where the grievance has not been redressed in time.
- (d) The Grievance Redressal process shall have a provision for automatic escalation of unresolved complaints from a call center/base level to higher authorities.
- (e) In case of a card not present transaction that is fraudulent, if two factor authentication has not been put in force, the bank will have to reimburse the loss to the customer without any demur.

J. Fraud Control

With a view to reducing the instances of misuse of lost/stolen cards, RBI had recommended issuing (i) cards with photograph of the cardholder (ii) cards with PIN and (iii) signature laminated cards or (iv) cards with any other advanced methods. Now cards with EMV chip based and PIN is mandatory. Banks should block a lost card immediately on being informed by the customer (for which several modes may be provided) and formalities, if any, including lodging of FIR can follow within a reasonable period. SMS/e-mail alerts are sent to the customer giving the transaction details whenever a transaction is carried out using the credit card. For card not present (CNP) transactions, two factor authentication (2FA) has been mandated by RBI. Banks may provide the option of an insurance cover to take care of the liabilities arising out of lost cards.

Tokenisation refers to replacement of actual card details with an alternate code called the "token", which shall be unique for a combination of card, token requestor (i.e. the entity which accepts request from the customer for tokenisation of a card and passes it on to the card network to issue a corresponding token) and the device. tokenised card transaction is considered safer as the actual card details are not shared with the merchant during transaction processing the card holder can get the card tokenised by initiating a request on the app provided by the token requestor. The token requestor will forward the request to the card network which, with the consent of the card issuer, will issue a token corresponding to the combination of the card, the token requestor, and the device. The feature of tokenisation is available on

consumer devices like mobile phones, tablets, laptops, desktops, wearables (wrist watches, bands, etc.), Internet of Things (IoT) devices, etc. Normally, in a tokenised card transaction, parties / stakeholders involved are merchant, the merchant's acquirer, token service provider (card payment network or card issuer), token requestor, issuer and customer. However, an entity, other than those indicated, may also participate in the transaction.

35.2 HOME LOANS

35.2.1 Introduction

Retail segment i.e. the individuals as consumers forms an important constituent of the society. For several needs of life an individual may be required to borrow funds, e.g. illness, marriage, education; and house, vehicle, consumer durables, etc. Earlier, the sources tapped were friends, relatives, money lenders, and in some cases employers. Banks entered with a view to meet the financial needs of individuals at reasonable cost and on fair terms. The popular loan schemes for individuals are Home Loans, Vehicle Loans, Consumer Loans, Loan to Pensioners, Loan against gold ornaments, Loan against NSC, LIP, Educational Loan, etc. Home loans form predominant component of retail loans. Most banks are offering these at competitive terms, taking into account Age, Profile, Repayment capability (Income), Repayment track record (if any), Property's location, Verification report, etc.

35.2.2 The Procedure and Practices for Home Loans

Target Group: These cater to salaried class, professionals, self-employed and businessmen. Home loans are extended to both resident Indians and NRIs.

Purpose: Home loans are extended for purchase housing plot for construction, or construction of house or flat, repairs and renovation of house, and in case of some banks, for purchase of house sites also.

Quantum of loan: The loan amount is decided based on gross monthly income/net monthly income and cost of house. For this, banks ask for an income proof document say, salary certificate (salaried class) or the Income tax return (other segments), and statement of bank accounts for past period.

Age: Banks fix the lower and upper age limits, taking into consideration the remaining period of service (salaried class) and the income earning capacity (other segments) during the period of loan.

Repayment: Repayment period may extend upto 30 years, but will not ordinarily extend beyond a person's age of retirement if he/she is employed or on reaching 70 years of age, whichever is earlier. Repayment schedules is designed mostly as Equated Monthly Installments, and is tailor made to align with the expected income trend of the borrower through the loan cycle.

Track Record: The borrower's credit history is a vital determinant. Lenders would check the credit history and credit score from CIC to check their past repayment practice. A good repayment record would help in getting loan on competitive terms.

Security: Mortgage on property purchased or constructed out of the loan is taken as security. If the income of the spouse is taken for arriving at the quantum of loan, he/she is included as a co-borrower or a guarantor. Also, if the property is in joint name with another person that person is added as a co-borrower.

Interest Rate: Banks can charge interest rate as per their own policy, and as Fixed rate or Floating rate. Fixed rate of interest remains unchanged during the tenor of the loan or the reset period as per the agreement. between the lender and the borrower. Floating rate interest fluctuates according to the changes

in the market lending rate, as it is linked to a benchmark rate. The total amount of interest paid over the loan tenor depends on the total period of loan. The longer the tenure, more a person pays as total interest, but the EMI will be lower. So depending on the monthly surplus, one can choose an appropriate tenure.

Customer Suitability & Transparency: When introducing any product, banks should take into account the customer suitability and appropriateness issues and ensure that the borrowers are made fully aware of the risks and liabilities.

35.2.3 Housing Loan for Various Purposes

- I. **Acquisition of land:** Bank finance can be granted for purchase of a plot, provided borrower gives a declaration that he intends to construct a house on the said plot, with the help of bank finance or otherwise, within period specified by the bank.
- II. **Construction of Building / Ready-Built House:** Home loans may be granted:
 - (a) To individuals for purchase/construction of dwelling unit and for repairs to the damaged dwelling units.
 - (b) To an individual who already owns a house in town/village where he resides, for buying/constructing a second house in the same or other town/ village.
 - (c) For purchase of a house by a borrower who proposes to let it out on rental basis on account of his posting outside the headquarters or because he has been provided accommodation by his employer.
 - (d) To a person who proposes to buy an old house where he is presently residing as a tenant.
 - (e) For construction for improving the conditions in slum areas for which credit may be extended directly to the slum-dwellers on the guarantee of the Government, or indirectly through the State Governments.
 - (f) Credit for slum improvement schemes to be implemented by Slum Clearance Boards and other public agencies.
 - (g) In the light of the observations of Delhi High Court on unauthorized construction, following conditions have been stipulated in respect of home loans:
 - (i) When financing a person for constructing a house on own plot/land, a copy of the sanctioned plan by competent authority in the name of the person must be obtained.
 - (ii) An affidavit-cum-undertaking must be obtained from the person that he shall not violate the sanctioned plan, and it shall be his sole responsibility to obtain completion certificate within 3 months of completion of construction, failing which the bank may recall the entire loan with interest, costs and other usual bank charges.
 - (iii) An Architect appointed by the bank must also certify at various stages of construction of building that it is strictly as per sanctioned plan, and shall also certify that the completion certificate of the building has been obtained.
 - (iv) When financing for purchasing a ready house/flat, an affidavit-cum- undertaking that the property has been constructed as per the sanctioned plan and/ or building bye-laws, and as far as possible has a completion certificate also.
 - (v) An Architect appointed by the bank must also certify that the built up property is strictly as per sanctioned plan and/or building bye-laws.
 - (vi) No loan should be given for those properties which fall in the category of unauthorized colonies, unless they have been regularized and development and other charges paid.
 - (vii) No loan should be given for properties meant for residential use but intended to be used for commercial purposes.

- (h) *Supplementary Finance*: Banks can extend supplementary finances as indicated below:
- (i) Within the ceiling for alterations/ additions/repairs to the house already financed by them.
 - (ii) To individuals who have raised funds for from other sources and need supplementary finance, after obtaining paripassu or second mortgage charge over the property, and/or against such other security, as appropriate.
 - (iii) Grant of finance to –
 - the bodies constituted for undertaking repairs to houses, and
 - the owners of building/house/flat, whether occupied by themselves or by tenants, to meet the need-based requirements for their repairs/additions, obtaining such security as deemed appropriate.
- (i) *Prohibited Purposes for Home Loans*: Banks are not permitted to finance the following:
- (i) Banks should not grant finance for construction of buildings meant purely for Government/ Semi-Government offices, including Municipal and Panchayat offices, except which will be refinanced by institutions like NABARD.
 - (ii) Projects undertaken by public sector entities which are not corporate bodies (i.e. public sector undertakings not registered under Companies Act or are not Corporations established under a statute) may not be financed by banks. Even in respect of projects undertaken by corporate bodies, it should be run on commercial lines and that bank finance is not in lieu of or to substitute budgetary resources envisaged for the project. Bank loan could supplement budgetary resources if it was contemplated in the project. Thus, a housing project run on commercial lines, and the Government promotes the project, and a part of the project cost is met through Government subsidies and/or contributions to the capital of the institutions taking up the project, bank finance should be restricted to an amount arrived at after reducing from the total project cost the amount of subsidy/capital contribution or any other resources from the Government.

III. *Lending To Housing Intermediary Agencies:*

- (a) *Financing of Land Acquisition*:
- (i) **Complete Project**: Banks may extend finance to public agencies (not private builders) for acquisition and development of land, as a part of a complete project, including development of infrastructure (water systems, drainage, roads, provision of electricity, etc), by way of term loans. The project should be in any case, within three years. If it covers construction of houses, credit to individual beneficiaries for these should be on the same terms and conditions as in case of financing the beneficiary directly.
 - (ii) **Policy**: Banks should have a Board approved policy for valuation of properties including collaterals accepted for their exposures, and that valuation should be by professionally qualified independent valuers.
 - (iii) **Valuation**: Valuation of land for financing acquisition or as collateral security be guided as under:
 - For acquisition, the finance is to be based on acquisition price (current price) plus development cost, and as prime security it should be the current market price.
 - As collateral, valuation of land should be at the current market price only.
- (b) *Lending to Housing Finance Institutions*:
Banks may grant term loans to housing finance institutions taking into account (long-term) debt-equity ratio, track record, recovery performance and other relevant factors. The provisions pertaining to bank finance to NBFCs given in Unit 38 are also to be followed.

(c) *Lending to Housing Boards and Other Agencies:*

Banks may extend term loans to state level housing boards and other public agencies. The banks must keep in view their past performance in the matter of recovery, and stipulate to ensure prompt and regular recovery of loan instalments from the beneficiaries.

(d) *Term Loans to Private Builders:*

- (i) Professional builders as providers of construction services in the housing field play an important role. Especially so, where land is acquired and developed by State Housing Boards and other public agencies. Commercial banks may extend credit to private builders on commercial terms by way of loans linked to each specific project.
- (ii) Banks should not extend fund based or non-fund based facilities to private builders for acquisition of land, even as part of a housing project.
- (iii) Builders of repute, employing professionally qualified personnel may be considered. Close monitoring, be done that no part of funds is used for any speculation in land.
- (iv) The period of credit for loans to private builders may be based on the commercial judgment with usual safeguards and after obtaining appropriate security.
- (v) Care should also be taken that prices charged from the ultimate beneficiaries do not include any speculative element. and based only on the documented price of land, the actual cost of construction and a reasonable profit margin.

(e) *Terms and Conditions for Lending to Housing Intermediary Agencies:*

- (i) Term loans may be granted against the direct loans sanctioned/ proposed by the latter, irrespective of the per borrower size of the loan.
- (ii) The term loans may be granted against the direct loans sanctioned/proposed to be sanctioned to NRIs, subject to RBI authorisation.
- (iii) Interest to be on lines of RBI directions.

(f) *Adherence to guidelines on Commercial Real Estate (CRE) exposure:*

Lending to housing intermediary agencies are subject to the RBI norms on exposures to commercial real estate (CRE) exposure.

35.2.4 Quantum of Loan

In deciding quantum of loan, banks should adopt following norms:

Category of Loan	LTV Ratio (%)	Risk Weight (%)
(a) Individual Housing Loans		
Upto ₹ 30 lakh	< 80	35
	> 80 and < 90	50
Above ₹ 30 lakh & upto ₹ 75 lakh	< 80	35
Above ₹ 75 lakh	< 75	50
(b) CRE – RH	NA	75

The risk weights for housing loans sanctioned on or after Oct 16 2020 upto March 31, 2022 are:

LTV Ratio (%)	Risk Weight (%)
≤ 80	35
> 80 and ≤ 90	50

In deciding the value of the house property stamp duty, registration and other documentation charges have to be excluded. With a view to encourage availability of affordable housing to economically weaker sections (EWS) and low income groups (LIG), where the cost of the house/dwelling unit does not exceed ₹10 lakh, banks may add these elements for calculating LTV ratio.

35.2.5 Documents Required

At the time of applying for the loan, the banks ask for some necessary documents namely;

- (a) Agreement of Sale/ Sale deed
- (b) No Encumbrance Certificate - NIL EC (for 13 years or as decided by the bank)
- (c) Title Search document for 30 years
- (d) Approved building plan
- (e) Patta (NOC from Housing Board, etc., wherever applicable)
- (f) Valuation report from the Bank's approved engineer
- (g) Bank statement for last 12 months or a period as decided by the bank
- (h) Salary Certificate for self and spouse (if spouse income is also taken into account for arriving at the eligibility) and as proof of employment.
- (i) IT Returns for 3 years in case of professionals/businessmen/self-employed persons.
- (j) KYC documents

Bank will take into consideration the opinion given by bank's panel advocate and the valuation report/project cost report of bank's panel engineer. Normally, banks levy a certain percentage of the loan amount, say one per cent, as a processing fee.

After sanctioning the loan, banks take the necessary loan documents such as DPN, home loan agreement, etc., from the borrower and a guarantee agreement from the guarantor, if any. The building financed has to have an insurance policy against the risk of fire, earthquake, floods, etc. Some banks insist on the insurance on the life of the borrower so as to cover the loan amount by paying one time premium.

For hassle free, EMI payment banks also take NACH authorisation for all the EMIs, at the time of documentation itself. This obviates the need for bank reminding the borrower every month regarding EMI, and saves the borrower the trouble of making remittance every month. It also serves as a security feature for the lender. In the event of any NACH payment failing on account of inadequate balance in the borrower's account the lender has the right to make a criminal complaint against the borrower for dishonor of payment instructions, under Section 25 of the Payment and Settlement Systems Act.

35.2.6 Disbursal of Housing Loan

- (a) *Approvals from Statutory/Regulatory Authorities*: Banks need to ensure that borrowers have obtained the required prior permission from government/ local governments/ other statutory authorities for the project. While the proposals could be sanctioned in normal course, the disbursements should be made only after requisite clearances have been obtained.
- (b) *Stage of Construction Linkage*: Housing loans for completed houses the disbursal is done in lumpsum at the time of purchase/ acquisition. Where an apartment/ a house is under construction the payment is to be made by the purchaser in stages to the developer/ builder. Disbursal of housing loans should be closely linked to the stages of construction of the housing project/ houses and upfront disbursal should not be made in cases of incomplete/ under-construction/ green field housing projects.

- (c) *Innovative Schemes*: Some innovative Housing Loan Schemes known as 80:20, 75:25, etc. have been introduced by certain banks in association with developers/builders, under which upfront disbursement of sanctioned individual housing loans is done to the builders without linking the disbursements to various stages of construction of housing project. The interest/ EMI on the housing loan availed of by the individual borrower are serviced by the builder during the construction period/specified period, etc. Such housing loan products are likely to expose the banks and their home loan borrowers to additional risks. These could be in case of disputes between individual borrowers and developers/builders, default/delayed payment of interest/EMI by the developer/ builder during the agreed period, non-completion of the project on time, delays/ defaults by the builder in payment of EMI leading to lower credit rating of the borrower, etc. RBI has therefore advised that disbursement of housing loans sanctioned to individuals should be closely linked to the stages of construction of the housing project/ houses and upfront disbursement should not be made in cases of incomplete/ under-construction/green field housing projects.
- (d) *Projects sponsored by Government/Statutory Authorities*: For such projects, banks may disburse the loans as per the payment stages prescribed by such authorities, even where payments sought from house buyers are not linked to the stages of construction, provided such authorities have no past history of non-completion of projects.

35.2.7 Levy of Fore-closure Charges/Pre-payment Penalty

Foreclosure charges levied by banks on prepayment of home loans are resented upon by home loan borrowers across the board especially since banks were found to be hesitant in passing on the benefits of lower interest rates to the existing borrowers in a falling interest rate scenario. RBI has instructed banks not to charge foreclosure charges/ pre-payment penalties on homeloans on floating interest rate basis.

35.3 PERSONAL LOANS

35.3.1 Introduction

Generally, banks give loans for specific purposes and against some security, so that it can fall back on it in case of a default. However, sometimes loans are given against personal security without any tangible security. Examples are salary loan, loan to pensioners, loan to professionals etc.; and these are known by different names in different banks. Most of the banks give loans to the salaried class as their source of income is regular.

35.3.2 Procedure and Practices for Salary Loans

Target group: Permanent employees with a minimum service/ experience of say three years, with a Govt./ quasi Govt. organizations/ boards/ endowments/reputed companies/ corporate industrial establishments, etc. The stipulation of minimum period of service may vary from bank to bank.

Purpose: For meeting marriage, educational, medical, family functions, any other household expenses.

Eligible Amount: The eligible amount is based on the applicant's income level and is calculated based on number of times of the gross/ net salary, in case of salaried loan applicants. For quantum of loan, the minimum take home pay is stipulated after the proposed EMI. Some banks consider higher amount, if the employer gives an undertaking to recover the EMI from the salary and remit it to the bank. If the loan applicant maintains salary account with the lender, a higher loan amount may be considered.

Security: In case of non availability of collateral security, banks may ask for third party guarantee. When the employer the loan, he is asked to execute an undertaking, which enables bank to recover the EMI through employers only.

Documents: Proof of employment and salary certificate are normally obtained. After sanction, banks take the necessary loan documents such as; DPN, salary loan agreement, etc., from the borrower and a guarantee agreement from the guarantor, if any.

35.3.3 Other Aspects

- (i) The rate of interest will be higher than for other loans as there is no collateral security.
- (ii) Banks accept ECS (Debit) mandates to ensure regular repayment.
- (iii) Banks allow 36–60 months as repayment period.
- (iv) Normally banks levy a certain percentage of the loan amount as a processing fee.

35.4 CONSUMER LOANS

Target group: Salaried, pensioners, professionals, self-employed, others with regular income.

Purpose: For purchase of consumer durables and white goods like TV, VCR, VCP, air conditioners, refrigerators, personal computers and accessories, vehicle, etc.

Eligible amount: To determine the quantum of loan, cost of the article to be purchased and margin to be brought by the borrower are taken into account. The minimum take home pay after the proposed EMI should also be ensured.

Security: Hypothecation of the article purchased out of the bank loan.

Margin: Normally a margin of 10–20 % is stipulated.

Repayment: Banks allow period of 3 to 5 years for repayment of consumer loan

Documents: The documents to be obtained are:

- (i) Salary certificate for three months for self and spouse (if spouse income is also taken into account for arriving at the eligibility)
- (ii) IT returns/Form 16 of 2 to 3 years for professionals, businessmen, Self-employed persons.
- (iii) Quotation of the articles to be purchased from a reputed dealer.
- (iv) Statement of account/ passbook, showing one year's transactions.
- (v) Debit mandates are collected from the borrowers.

After sanction of the loan, banks take necessary loan documents such as DPN, hypothecation agreement, etc., from the borrower and a guarantee agreement from the guarantor if any.

Banks levy a certain percentage of the loan amount, as a processing fee also.

35.5 LET US SUM UP

Retail lending in banks has, of late, grown by leaps and bounds. Of retail loans extended by banks, home loans and consumer loans form a major percentage. Credit cards are a good mode of credit delivery. Due to advancement of technology and easy accessibility to credit they have gained wide acceptance in the market. Grievance redressal machinery and procedures are put in place by banks.

Banks are required to advise the customer about the MITC at every stage viz. marketing of cards, application for card, and issuance of cards, as also in case of reminder for overdues.

With the growth in employment and the per-capita income and savings, the demand for housing has gone up, leading to demand for home loans. For home loans, lenders take into account the repayment ability of the borrower, the ability of the borrower to provide the margin money, the title of the property, and its value and condition. Banks also extend loans to intermediary housing agencies including housing finance companies.

The demand for consumer loans and personal loans is also increasing corresponding to the increase in the living standards of the people. A personal loan or a consumer loan is usually given when the bank is satisfied about the regularity and sustainability of the source of income of the customer. These are collateral free loans.

35.6 KEYWORDS

Credit card, Home loans, Consumer loans, Processing fee, Fixed rate of interest, Floating rate of interest, Margin, Delivery Channel, Fair Practices Code, Merchant Establishment, KYC Norms, Card Issuing Bank, Annualised Percentage Rate, Processing Fee, Unsolicited Card, Do Not Call Registry (DNCR), Direct Selling Agent (DSA), Direct Marketing Agent (DMA), Grievance Redressal Machinery, EMI, Tenor Premium, Patta, Post-dated Cheque, Fixed Rate of Interest, Floating Rate of Interest, Margin, LTV Ratio, ECS.

35.7 CHECK YOUR PROGRESS

1. One of the following statements is not true with respect to credit cards.
 - (a) The card issuing banks would not be responsible for fulfilment of KYC requirements, where agents solicit business.
 - (b) While issuing cards, the terms and conditions for issue and usage of a credit card should be mentioned in clear and simple language.
 - (c) Card issuers should quote annualized percentage rates (APR) on card products.
 - (d) The card issuer should not unilaterally upgrade credit cards and enhance credit limits.
2. If the guidelines of RBI in the matter of credit are violated, it can levy penalty on the violating bank under _____.

(a) Reserve Bank of India Act	(b) Negotiable Instrument Act
(c) Indian Penal Code	(d) Banking Regulation Act
3. When banks give home loans, the nature of charge created is _____.

(a) hypothecation	(b) mortgage
(c) assignment	(d) pledge

35.8 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (a), 2. (d), 3. (b).



PRIORITY SECTOR ADVANCES

STRUCTURE

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36.0 OBJECTIVES

After studying this Unit, you will:

- Learn the concept of Priority Sector Lending
- Know the components of Priority Sectors
- Know the targets for lending to Priority Sectors

36.1 INTRODUCTION

The description of the priority sectors was formalised in 1972 on the basis of the report submitted by the informal study group on statistics relating to advances to the priority sectors constituted by the Reserve Bank in May 1971. In 1980, all commercial banks were advised to achieve the target of priority sector lending at 40 per cent of the aggregate bank advances by 1985. Sub-targets were also specified for lending to agriculture and the weaker sections within the priority sector. The guidelines have undergone changes over the period and the a revised Master Directions – Priority Sector Lending (PSL) – Targets and Classification was issued in September 2020.

36.2 APPLICABILITY

The targets and sub-targets as fixed for each category are applicable to every commercial bank [including Regional Rural Bank (RRB), Small Finance Bank (SFB), Local Area Bank] and Primary (Urban) Co-operative Bank (UCB) other than Salary Earners' Bank.

36.3 TARGETS/SUB-TARGETS FOR PRIORITY SECTOR

36.3.1 For Domestic Commercial Banks and Foreign Banks

Categories	Domestic commercial banks (excl. RRBs & SFBs) & foreign banks with 20 branches and above	Foreign banks with less than 20 branches	Regional Rural Banks	Small Finance Banks
	As on the corresponding date of the preceding Year Set as of 04 th September 2020			
Total Priority Sector	40 per cent of ANBC as computed in para 6 below or CEOBE whichever is higher	40 per cent of ANBC as computed in para 6 below or CEOBE whichever is higher; out of which up to 32% can be in the form of lending to Exports and not less than 8% can be to any other priority sector	75 per cent of ANBC as computed in para 6 below or CEOBE whichever is higher; However, lending to Medium Enterprises, Social Infrastructure and Renewable Energy shall be reckoned for priority sector achievement only up to 15 per cent of ANBC.	75 per cent of ANBC as computed in para 6 below or CEOBE whichever is higher.

(Contd.)

Agriculture	18 per cent of ANBC or CEOBE, whichever is higher; out of which a target of 10 percent# is prescribed for Small and Marginal Farmers (SMFs)	Not applicable	18 per cent ANBC or CEOBE, whichever is higher; out of which a target of 10 percent# is prescribed for SMFs	18 per cent of ANBC or CEOBE, whichever is higher; out of which a target of 10 percent# is prescribed for SMFs
Micro Enterprises	7.5 per cent of ANBC or CEOBE, whichever is higher	Not applicable	7.5 per cent of ANBC or CEOBE, whichever is higher	7.5 per cent of ANBC or CEOBE, whichever is higher
Advances to Weaker Sections	12 percent# of ANBC or CEOBE, whichever is higher	Not applicable	15 per cent of ANBC or CEOBE, whichever is higher	12 percent# of ANBC or CEOBE, whichever is higher

Revised targets for SMFs and Weaker Section will be implemented in a phased manner.

ANBC – Adjusted Net Bank Credit; CEOBE - Credit Equivalent Amount of Off-Balance Sheet Exposure

Categories	Primary Urban Co-operative Bank				
Total Priority Sector	40 per cent of ANBC or CEOBE, whichever is higher, which shall stand increased to 75 per cent of ANBC or CEOBE, whichever is higher, with effect from March 31, 2024. UCBs shall comply with the stipulated target as per the following milestones:				
	March 31, 2020	March 31, 2021	March 31, 2022	March 31, 2023	March 31, 2024
	40%	45%	50%	60%	75%
Micro Enterprises	7.5 per cent of ANBC or Credit Equivalent Amount of Off-Balance Sheet Exposure, whichever is higher				
Advances to Weaker Sections	12 per cent# of ANBC or credit equivalent amount of Off-Balance Sheet Exposure, whichever is higher.				

Revised targets for weaker sections will be implemented in a phased manner as indicated below

Revised targets for Small & Marginal farmers and Weaker sections are implemented in a phased manner as indicated below;

Financial Year	Small and Marginal Farmers target (Not for UCBs)	Weaker Sections target (For RRBs – 15%)
2020-21	8%	10%
2021-22	9%	11%
2022-23	9.5%	11.5%
2023-24	10%	12%

(* All domestic banks (other than UCBs) and foreign banks with more than 20 branches are required to ensure that the overall lending to Non-Corporate Farmers (NCFs) does not fall below the system-wide average of the last three years' achievement separately notified every year. The applicable target for lending to the non-corporate farmers for FY 2021-22 is 12.73% of ANBC or CEOBE whichever is higher. All efforts are to be made by banks to reach the level of 13.5 percent of ANBC (erstwhile target for direct lending to agriculture sector).

Computation of Adjusted Net Bank Credit (ANBC)

The framework for computation of ANBC is as follows:

Bank Credit in India [As prescribed in item No.VI of Form ₹A' under Section 42(2) of the RBI Act, 1934]	I
Bills Rediscounted with RBI and other approved Financial Institutions	II
Net Bank Credit (NBC)*	III(I-II)
Outstanding Deposits under RIDF and other eligible funds with NABARD, NHB, SIDBI and MUDRA Ltd in lieu of non-achievement of priority sector lending targets/sub-targets + outstanding PSLCs	IV
Eligible amount for exemptions on issuance of long-term bonds for infrastructure and affordable housing as per circular DBOD.BP.BC. No.25/08.12.014/2014-15 dated July 15, 2014.	V
Advances extended in India against the incremental FCNR (B)/NRE deposits, qualifying for exemption from CRR/SLR requirements requirements, as per the Reserve Bank's circulars DBOD.No.Ret.BC.36/12.01.001/ 2013-14 dated August 14, 2013 read with DBOD.No.Ret.BC.93/12.01.001/2013-14 dated January 31, 2014, DBOD mailbox clarification issued on February 6, 2014 and UBD.BPD.(PCB).CIR.No.5/13.01.000/2013-14 dated August 27, 2013 read with UBD.BPD.(PCB). Cir.No.72/ 13.01.000/ 2013-14 dated June 11, 2014..	VI
Investments made by public sector banks in the Recapitalization Bonds floated by Government of India	VII
Other investments eligible to be treated as priority sector (e.g. investments in securitised assets)	VIII
Face Value of securities acquired and kept under HTM category under the TLTRO 2.0. (Press Release 2019-2020/2237 dated April 17, 2020 read with Q.11 of FAQ and SLF-MF- Press Release 2019-2020/2276 dated April 27, 2020 and also Extended Regulatory Benefits under SLF-MF Scheme vide Press Release 2019-2020/2294 dated April 30, 2020.	IX
Bonds/debentures in Non-SLR categories under HTM category	X
For UCBs: investments made after August 30, 2007 in permitted non SLR bonds held under 'Held to Maturity' (HTM) category	XI
ANBC (Other than UCBs) III + IV- (V+VI+VII) +VIII - IX + X	
ANBC for UCBs III + IV - VI - IX + XI	
* For the purpose of priority sector computation only. Banks should not deduct / net any amount like provisions, accrued interest, etc. from NBC.	
Bank Credit in India [As prescribed in item No.VI of Form ₹A' under Section 42(2) of the RBI Act, 1934]	I
Bills Rediscounted with RBI and other approved Financial Institutions	II
Net Bank Credit (NBC)*	III(I-II)

If prudential write off at Corporate/Head Office level are subtracted from net bank credit, then credit to priority sector and all other sub-sectors so written off should also be subtracted category wise from priority sector and sub-target achievement. All types of loans, investments or any other items which are treated as eligible for classification under priority sector target/sub-target achievement should also form part of ANBC. SFBs should also follow the RBI norms in the Operating Guidelines for Small Finance Banks of October 06, 2016, pertaining to treatment of grandfathered loans, for computation of ANBC. For the purpose of calculation of CEOBE, the guidelines contained in the Master Circular on Exposure Norms should be followed. UCBs should follow the relevant provisions of the Master Circular on 'Prudential Norms on Capital Adequacy - UCBs'.

36.3.2 Adjustments for weights in PSL Achievement

To address regional disparities in the flow of priority sector credit at the district level, the districts have been ranked on the basis of per capita credit flow to priority sector, based on which a framework of incentive and dis-incentive has been built.

Category of Districts	Per Capita PSL	Weightage
Lower flow of Credit	Less than ₹6000	125%
Normal flow of credit	₹6000 to ₹25,000	100%
Higher flow of Credit	Greater than ₹25,000	90%

RRBs, UCBs, LABs and foreign banks (including WoS) are exempted from this.

36.4 CATEGORIES OF PRIORITY SECTOR

There are now eight categories of Priority Sector briefly described below.

(i) Agriculture, (ii) Micro, Small and Medium Enterprises, (iii) Export Credit, (iv) Education, (v) Housing, (vi) Social Infrastructure, (vii) Renewable Energy, (viii) Others.

For details of various loan facilities covered in each of these categories relevant RBI Master Directions may be referred to. Indicative coverage of these categories is given here.

36.4.1 Agriculture

It includes following:

- Farm Credit:** Loans to individuals and entities engaged in Agriculture and Allied Activities.
- Agriculture Infrastructure:** Ceiling for sanctioned limit per borrower from the banking system Rs.100 crore.
- Ancillary services:** Loans for food and agro processing, and other specified purposes.
- Specified deposits:** with NABARD
- Small and Marginal Farmers:** As per specified criteria, including to their SHGs, etc.
- Lending by banks to NBFCs and MFIs for on-lending in agriculture.

36.4.2 Micro, Small and Medium Enterprises (MSME)

- (a) All bank loans to MSMEs conforming to the specified guidelines.
- (b) Factoring transactions on 'with recourse' basis wherever the 'assignor' is a MSME, including those through the Trade Receivables Discounting System (TReDS).
- (c) Loans to units in the KVI sector.
- (d) Other Finance to MSMEs.

36.4.3 Export Credit (Not applicable to RRBs and LLBs)

Export credit under agriculture and MSME sectors can be included in the respective categories. Other export Credit is classified as shown below:

Domestic banks / WoS of Foreign banks/ SFBs/ UCBs	Foreign banks with 20 branches and above	Foreign banks with less than 20 branches
Incremental export credit over corresponding date of the preceding year, up to 2 per cent of ANBC or CEOBE whichever is higher, subject to a sanctioned limit of up to ₹ 40 crore per borrower.	Incremental export credit over corresponding date of the preceding year, up to 2 percent of ANBC or CEOBE whichever is higher.	Export credit up to 32 per cent of ANBC or CEOBE whichever is higher.

Export credit includes pre-shipment and post-shipment export credit (excluding off-balance sheet items)

36.4.4 Education

Loans to individuals for educational purposes.

36.4.5 Housing

- (i) Loans to individuals for purchase/ construction/ repairs of a dwelling unit..
- (ii) Loans to any governmental agency for construction of dwelling units or for rehabilitation of slum dwellers.
- (iii) Loans for affordable housing projects.
- (iv) Loans to HFCs.
- (v) Outstanding deposits with NHB.

35.4.6 Social Infrastructure

- (i) Loans for schools, drinking water facilities, and sanitation facilities.
- (ii) Credit to Micro Finance Institutions (MFIs) for on-lending for similar purposes.

36.4.7 Renewable Energy

Loans for purposes like solar based power generators, biomass-based power generators, wind mills, micro-hydel plants and for non-conventional energy based public utilities.

36.4.8 Others

- (i) Loans to individuals and individual members of SHG/JLG.
- (ii) Loans to SHG/JLG for meeting social needs, construction/ repair of house, construction of toilets or any viable common activity.

- (iii) Loans to distressed persons (not farmers) to prepay their debt to non-institutional lenders.
- (iv) Loans to State Sponsored Organisations for Scheduled Castes/Scheduled Tribes for purchase and supply of inputs and/or the marketing of the outputs of these organisations.
- (v) Loans to Start-ups, engaged in activities other than Agriculture or MSME.

36.4.9 Weaker Sections

Priority sector loans to the following borrowers are considered under Weaker Sections category:-

- (a) Small and marginal farmers;
- (b) Artisans, village and cottage industries where individual credit limits do not exceed ₹ 1 lakh;
- (c) Beneficiaries under Government Sponsored Schemes such as National Rural Livelihood Mission (NRLM), National Urban Livelihood Mission (NULM) and Self Employment Scheme for Rehabilitation of Manual Scavengers (SRMS);
- (d) Scheduled Castes and Scheduled Tribes;
- (e) Beneficiaries of Differential Rate of Interest (DRI) scheme;
- (f) Self Help Groups;
- (g) Distressed farmers indebted to non-institutional lenders;
- (h) Distressed persons other than farmers with loan amount not exceeding ₹ 1 lakh per borrower to prepay their debt to non-institutional lenders;
- (i) Individual women beneficiaries up to ₹ 1 lakh per borrower;
- (j) Persons with disabilities
- (k) Minority communities as may be notified by Government of India from time to time.

In States, where one of the minority communities notified is, in fact, in majority, item (k) will cover only the other notified minorities. These States/Union Territories are Jammu & Kashmir, Punjab, Meghalaya, Mizoram, Nagaland and Lakshadweep.

Overdraft availed by PMJDY account holders as per limits and conditions prescribed by Department of Financial Services, Ministry of Finance from time to time may be classified under Weaker Sections.

36.5 NON-ACHIEVEMENT OF PRIORITY SECTOR TARGETS

Banks with shortfall in lending to priority sector are allocated amounts for contribution to the Rural Infrastructure Development Fund (RIDF) (NABARD) and other funds with NABARD/NHB/SIDBI/MUDRA Ltd., as decided by the RBI from time to time. With effect from March 31, 2021, UCBs (excluding those under all-inclusive directions) are also required to so contribute. The interest rates on banks' contribution to RIDF or any other funds, tenure of deposits, etc. is fixed by RBI.

The shortfall is calculated as specified in the RBI Master Direction on Priority Sector Lending.

36.6 COMMON GUIDELINES FOR PRIORITY SECTOR LOANS

36.6.1 Rate of Interest

The rate of interest on various priority sector loans will be as per RBI's directives issued.

36.6.2 Service Charges

No loan related and adhoc service charges/inspection charges should be levied on priority sector loans up to ₹25,000. In the case of SHGs/JLGs, this limit is per member.

36.6.3 Receipt, Sanction/Rejection/Disbursement Register

Records of loans - the date of receipt, sanction/ rejection/disbursement with reasons should be maintained and shown to all inspecting agencies.

36.6.4 Issue of Acknowledgement of Loan Applications

An acknowledgement for loan applications should be given, and the bank's decision to be communicated in writing to the applicants within the time limit fixed by the Board.

36.7 OTHER MODES OF LENDING TO PRIORITY SECTORS

36.7.1 Investments by banks in securitised assets (not applicable to RRBs and UCBs)

Investments by banks in 'securitised assets', under priority sector, except 'others' category, are eligible for classification under respective categories, subject to specified conditions.

- (i) The assets are originated by banks and financial institutions and fulfil the guidelines on securitisation.
- (ii) All-inclusive interest charged to the ultimate borrower by the originating entity should not exceed the External Benchmark Lending Rate (EBLR)/ MCLR of the investing bank plus appropriate spread. Investments in securitised assets originated by MFIs, which comply with the guidelines are exempted from this interest cap. There are caps on margin and interest rate for MFIs.
- (iii) Purchase/ assignment/investment transactions by banks with NBFCs, with underlying assets of loans against gold jewellery, are not eligible for priority sector status.

36.7.2 Transfer of Assets through Direct Assignment /Outright purchase (not applicable to RRBs and UCBs)

Similar guidelines as stated in section 36.7.1 above for investment in securitized assets are applicable for assignment/ purchase of pool of assets. Banks must report the outstanding amount actually disbursed to priority sector borrowers and not the premium embedded amount paid to the seller.

36.7.3 Inter Bank Participation Certificates (IBPCs) (not applicable to UCBs)

- (i) IBPCs bought by banks, on a risk sharing basis, are eligible for classification under respective categories of priority sector, provided the banks fulfil RBI guidelines on IBPCs.
- (ii) IBPCs relating to 'Export Credit', may be classified from purchasing bank's perspective for priority sector categorization, subject to conditions.
- (iii) RRBs are allowed to issue IBPCs to Scheduled Commercial Banks in respect of their priority sector advances in excess of 75 per cent of their outstanding advances, subject to conditions.

36.7.4 Priority Sector Lending Certificates

The outstanding priority sector lending certificates (PSLC) bought by banks can be classified under priority sector provided the assets are originated by banks, and fulfil RBI guidelines on PSLCs.

36.7.5 Co-ordination Between Banks and NBFCs

Two modes for priority sector lending through NBFCs (described in Unit 37) are permitted:

- (i) Credit to NBFCs (including HFCs) for on-lending: Up to 5% of total PSL (Quarterly average)
- (ii) Co-origination of loans: Joint contribution of credit at the facility level.

36.8 OTHER ASPECTS RELATED TO PRIORITY SECTOR LENDING

36.8.1 Interest Subvention Scheme for Crop Loans

A scheme to ensure that the farmers receive short-term credit at 7% with an upper limit of ₹ 3 lakh on the principal amount has been in force. Details of this scheme are given in Unit No. 36.

36.8.2 Interest Subvention Under NRLM Scheme

NRLM Scheme includes interest subvention of difference between the rate charged and 7%, for women SHGs. Details of this scheme are given in Unit No. 39.

36.9 LET US SUM UP

Priority sector lending regime has been put in place to harness bank credit for purposes like agriculture and allied activities, MSME, etc. for development of our economy keeping in view our large population, rural base of the economy, the limited resources available and the competition emerging from the liberalisation of the economy. Various features like targets and sub-targets assigned to both domestic and foreign banks under each sector and sub-sector are discussed.

36.10 KEYWORDS

Priority sector, Small farmers, Marginal farmers, NABARD, Margin, Weaker sections, Micro Enterprise, Micro Credit, Differential Rate of Interest Scheme, Indirect Finance, Adjusted Net Bank Credit (ANBC), Services sector, Housing Loan, Subvention, Inter Bank participation Certificate (IBPC), Securitisation of Assets, Co-origination, Rural Infrastructure Development Fund (RIDF)

36.11 CHECK YOUR PROGRESS

- Housing Loans granted to individuals up to ₹ _____ for construction of houses in metropolitan centres with population above ten lakh (excluding loans granted by banks to their employees) are treated as priority sector advances.

(a) 0.5 million	(b) 1.0 million
(c) 3.5 million	(d) 1.5 million
- Educational loans granted to individuals for educational purposes up to ₹ ____ for studies in India, will be classified as priority sector.

(a) 0.75 million	(b) 1.0 million
(c) 1.5 million	(d) 2.0 million
- The scheduled commercial banks are expected to enlarge credit to the priority sector and ensure that priority sector advances constitute _____.

(a) 18 per cent of (ANBC) adjusted net bank credit
(b) 40 per cent of (ANBC) adjusted net bank credit
(c) 12 per cent of (ANBC) adjusted net bank credit
(d) 25 per cent of (ANBC) adjusted net bank credit

4. The Government provides interest subvention of p.a. to the banks in respect of short-term production credit up to ₹ provided to farmers.
- | | |
|--------------------------|--------------------------|
| (a) 2 percent, ₹ 3 lakhs | (b) 3 percent, ₹ 2 lakhs |
| (c) 3 percent, ₹ 5 lakhs | (d) 3 percent, ₹ 3 lakhs |

36.12 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c), 2. (d), 3. (b), 4. (a).



AGRICULTURAL FINANCE

STRUCTURE

37.0 Objectives

37.1 Introduction

37.2 Short-Term Loans

37.3 Medium/Long-Term Loans

37.4 Crop Loan

37.5 Revised Scheme for Issue of Kisan Credit Card (KCC)

37.5.1 Introduction

37.5.2 Objectives/Purpose

37.5.3 Eligibility

37.5.4 Fixation of Credit Limit/Loan Amount

37.5.5 KCC Facility for Animal Husbandry and Fisheries

37.5.6 Disbursement

37.5.7 Issue of Electronic Credit Cards

37.5.8 Periodic Review of KCC

37.5.9 Documentation

37.5.10 Rate of Interest (ROI)

37.5.11 Repayment Period

37.5.12 Margin and Security

37.5.13 Other Features

37.6 Selected Activities Under Agricultural Financing

37.6.1 Agricultural Term Loans

37.6.2 Land Development

37.6.3 Minor Irrigation

37.6.4 Farm Mechanisation

37.6.5 Finance to Horticulture

37.6.6 Poultry Farming

37.6.7 Dairy Farming

37.6.8 Sericulture

37.6.9 Drip, Sprinkler and Lift Irrigation System

37.6.10 Land Purchase

37.7 Minimum Support Prices Scheme

37.8 Prime Minister Fasal Bima Yojana (PMFBY)

37.9 Let Us Sum Up

37.10 Keywords

37.11 Check Your Progress

37.12 Answers to ‘Check Your Progress’

37.0 OBJECTIVES

After studying this Unit, you will:

- Understand various aspects of agriculture finance
- Know about the financial need for various farm and allied activities
- Learn about different types of bank finance provide for agriculture and allied activities
- Know about the crop insurance scheme

37.1 INTRODUCTION

Our economy is basically an agricultural economy. Nearly 70% of our population depends upon agriculture. The credit needs of farmers are met through direct finance and indirect finance. Based on the period of credit, direct finance is classified as short-term and medium/long- term loans. Kisan credit card scheme has been modified.

37.2 SHORT-TERM LOANS

Loans repayable up to 18 months are termed as short-term loans, and include crop loans, Kisan Credit Cards scheme for raising crops, loans against gold ornaments for agricultural purposes.

37.3 MEDIUM/LONG-TERM LOANS

The period of credit under this category is more than 36 months. This includes loan for the purpose of minor irrigation, farm/land development, farm mechanization, plantation and horticulture, allied activities such as dairy farming, sheep/goat rearing, piggery and rabbit farming, poultry farming, fisheries, sericulture, bee-keeping, mushroom cultivation, bio-gas plants. Indirect finance includes credit for financing distribution of fertilisers, pesticides, loans granted to Electricity Boards for energising of pump set under Rural Electrification Corporation (REC) Scheme, finance for construction and running storage facilities in the producing areas, loans to individuals, institutions or organisations who undertake spraying operations, advance to State Corporations for onward lending to weaker section.

37.4 CROP LOAN

The purpose of the crop loan is to facilitate the agriculturists undertake farming, i.e. to meet the expenses for raising of seasonal crops including the cost of seeds, fertilisers and pesticides, irrigation charges; labour charges, etc. Agriculturists, tenant farmers and share croppers who actually cultivate the lands are eligible for these loans. Loan amounts are worked out based on the cost of cultivation (scale of finance) incurred, for each crop per acre of the crop cultivated, keeping a margin, say of 10 per cent.

37.5 REVISED SCHEME FOR ISSUE OF KISAN CREDIT CARD (KCC)

37.5.1 Introduction

The Kisan Credit Card (KCC) scheme provides for issue of credit cards (including electronic cards) to farmers (as per their land holding) for purchase of inputs, and investment for allied and non-farm activities. The scheme is under implementation in the entire country by the vast institutional credit framework.

37.5.2 Objectives/Purpose

It aims at providing adequate and timely credit support from the banking system under a single window to the farmers for their cultivation and other needs such as - Post harvest expenses, Consumption requirements of farmer household, Maintenance of farm assets and activities allied to agriculture. These purposes are covered by the short term credit and long term credit portions.

37.5.3 Eligibility

The following categories of persons are eligible to avail KCC facility:

- i. Farmers – Individuals/Joint borrowers who are owner cultivators;
- ii. Tenant Farmers, Oral Lessees & Share Croppers;
- iii. SHGs or Joint Liability Groups (JLGs) of Farmers including tenant farmers, share croppers, etc.

37.5.4 Fixation of Credit Limit/ Loan Amount

(a) All farmers other than marginal farmers:

Farmers with landholding of up to 1 hectare are categorised as *Marginal Farmers*. Farmers with a landholding of more than 1 hectare and up to 2 hectares are categorized as *Small Farmers*.

A. Short term limit for farmers raising single crop in a year

Short term limit is for meeting financial requirements for raising crops, and related to the cultivation cost. For uniformity, the *District Level Technical Committee (DLTC)* assesses cultivation cost per hectare for different crops raised in the district, and determines the scale of finance.

(i) Short term limit for the first year: It is worked out as follows:

Scale of finance for the crop (as per DLTC) x Extent of area cultivated + 10% of limit towards post-harvest/household/consumption requirements + 20% of limit towards repairs and maintenance expenses of farm assets + crop insurance and/ or accident insurance.

(ii) Limits for second & subsequent year: These are worked out as follows:

First year limit for crop cultivation purpose arrived at as above plus 10% of the limit towards cost escalation/increase in scale of finance for every successive year (2nd, 3rd, 4th and 5th year), and estimated Term loan component for the tenure of Kisan Credit Card, i.e., five years.

B. For farmers raising more than one crop in a year:

For farmers who raise more than one crop in a year, the limit is to be fixed as stated above depending upon the crops cultivated as per proposed *cropping pattern* for the first year, and additional 10% of the limit towards cost escalation/ increase in scale of finance for every successive year (2nd, 3rd, 4th and 5th year). It is assumed that the farmer adopts the same cropping pattern for the remaining four years also. In case the cropping pattern is changed subsequently, the limit may be reworked.

C. Term loans for investments:

The term loan component is for investment towards land development, minor irrigation, purchase of farm equipments and allied agricultural activities. Banks may fix the quantum of credit for term loan based on the unit cost of the asset/s proposed to be acquired by the farmer, and credit limit for allied activities based on the allied activities already being undertaken on the farm, and the bank's judgment on repayment capacity vis-a-vis total loan burden devolving on the farmer, including existing loan obligations.

D. Maximum Permissible Limit:

The short term loan limit arrived for the 5th year plus the estimated long term loan requirement will be the **Maximum Permissible Limit (MPL)** and treated as the **Kisan Credit Card Limit**.

E. Fixation of Sub-limits:

- (i) Short term loans and term loans are governed by different interest rates. Short term crop loans are covered under Interest Subvention Scheme/ Prompt Repayment Incentive scheme. Repayment schedule and norms are different for short term and term loans. The card limit is bifurcated into sub-limits for short term cash credit limit and term loans.
- (ii) Drawing limit for short term cash credit is based on the cropping pattern. The amounts for crop production, repairs and maintenance of farm assets and consumption are drawn as suits the farmer. In case of revision of scale of finance exceeding the assumed hike of 10%, drawable and credit limits may be revised.
- (iii) For term loans, may be allowed to be withdrawn in instalment based on the nature of investment and repayment schedule drawn as per the economic life of the investments. Total liability should be within the drawing limit of the year.

F. Illustration I:

Computation of various limits for a small farmer cultivating multiple crops in a year and making investments in the 1st and the 3rd Years.

Item	Basis	Amount
Illustration I		
Small farmer cultivating multiple crops in a year		
<i>1. Assumptions</i>		
A. Land holding : 2 acres		
B. Cropping Pattern		
Paddy - 1 acre (Scale of finance plus crop insurance per acre)	₹.11000	
Sugarcane - 1 acre (Scale of finance plus crop insurance per acre)	₹.22,000	
C. Investment/ Allied Activities		
i Establishment of 1+1 Dairy Unit in 1st Year (Unit Cost per animal)	₹ 20,000	
ii Replacement of Pump set in 3rd year (Unit Cost)	₹.30,000	
<i>2. (i) Crop loan Component</i>		
(a) For 1st Year		
Cost of cultivation of 1 acre of Paddy and 1 acre of Sugarcane	11,000+22,000	₹.33,000
Add : Towards post-harvest / household expense /consumption:	10% of cost of cultivation (10% of 33000)	₹. 3,300
Add : Towards farm maintenance	20% of cost of cultivation (20% of 33000)	₹. 6,600
Total Crop Loan limit for 1st year		₹. 42,900

(Contd.)

Item	Basis	Amount
Illustration I		
(b) For 2nd year		
Add : Towards cost escalation / increase in scale of finance	10% of the limit for 1st year (10% of 42900)	₹. 4,300
Total Crop Loan limit for 2nd Year		₹. 47,200
(c) For 3rd year :		
Add: Towards cost escalation / increase in scale of finance	10% of the limit for 2nd year (10% of 47,200)	₹. 4,700
Total Crop Loan limit for 3rd Year		₹. 51,900
(d) For 4th year :		
Add : Towards cost escalation / increase in scale of finance	10% of the limit for the 3rd year (10% of 51,900)	₹. 5,200
Total Crop Loan limit for 4 th Year		₹. 57,100
(e) For 5 th year :		
Add : Towards cost escalation / increase in scale of finance	10% of the limit for the 4th year (10% of 57100)	₹. 5,700
Total Crop Loan limit for 5th Year	57,100+5,700	₹. 62,800
Total Crop Loan Amount (A)	Rounded off	₹. 63,000
(ii) Term loan component :		
1st Year : Cost of 1+1 Dairy Unit	₹. 40,000	₹. 40,000
3rd Year : Replacement of Pumpset	₹. 30,000	₹. 30,000
Total term loan amount (B)		₹. 70,000
3. Maximum Permissible Limit / Kisan Credit Card Limit ((A) +(B))		₹. 1,33,000 i.e. Rs. 1.33 lakh
Note: Drawing Limit will be reduced every year based on repayment schedule of the term loan(s) availed and withdrawals will be allowed up to the drawing limit.		

G. Illustration II:

Computation of various limits for a farmer (other than small and marginal farmers) cultivating multiple crops and making investments in the 1st Year.

Item	Basis	Amount
Illustration II		
Farmer (Other than Small and Marginal) cultivating multiple crops in a year		
1. Assumptions		

(Contd.)

Item	Basis	Amount
Illustration II		
A. Land holding : 10 acres		
B. Cropping Pattern		
Paddy - 5 acres (Scale of finance plus crop insurance per acre)	₹.11000	
Groundnut - 5 acres (Scale of finance plus crop insurance per acre)	₹.10,000	
Sugarcane - 5 acres (Scale of finance plus crop insurance per acre)	₹.22,000	
C. Investment/ Allied Activities		
i Establishment of 1+1 Dairy Unit in 1 st Year (Unit Cost)	₹ 50,000	
ii. Purchase of Tractor in 1 st Year (Unit Cost)	₹.6,00,000	
2. (i) Crop loan Component		
(a) For 1 st Year		
Cost of cultivation of 5 acres of Paddy, 5 Acres of Groundnut and 5 acres of Sugarcane	55,000+50,000+1,10,000	₹.2,15,000
Add : Towards post-harvest / household expense / consumption:	10% of cost of cultivation (10% of 2,15,000)	₹. 21,500
Add : Towards farm maintenance	20% of cost of cultivation (20% of 2,15,000)	₹. 43,000
Total Crop Loan limit for 1 st year		₹. 2,79,500
(b) For 2 nd year		
Add : Towards cost escalation / increase in scale of finance	10% of the limit for 1 st year (10% of 2,79,500)	₹. 27,950
Total Crop Loan limit for 2 nd Year		₹. 3,07,450
(c) For 3 rd year:		
Add: Towards cost escalation / increase in scale of finance	10% of the limit for 2 nd year (10% of 3,07,450)	₹. 30,750
Total Crop Loan limit for 3 rd Year		₹. 3,38,200
For 4 th year:		
Add : Towards cost escalation / increase in scale of finance	10% of the limit for the 3 rd year (10% of 3,38,200)	₹. 33,800
Total Crop Loan limit for 4 th Year		₹. 3,72,000

(Contd.)

Item	Basis	Amount
Illustration II		
(e) For 5 th year:		
Add: Towards cost escalation / increase in scale of finance	10% of the limit for the 4th year (10% of 3,72,000)	₹. 37,200
Total Crop Loan limit for 5 th Year	3,72,000+37,200	₹. 4,09,200
Total Crop Loan Amount (A)	Rounded off	₹. 4,09,000
(ii) Term loan component :		
1st Year : Cost of 1+1 Dairy Unit	₹. 1,00,000	₹. 1,00,000
1st Year : Purchase of Tractor	₹. 6,00,000	₹. 6,00,000
Total term loan amount (B)		₹. 7,00,000
3. Maximum Permissible Limit / Kisan Credit Card Limit ((A) +(B))	4,09,000+7,00,000	₹. 11,09,000
Note: Drawing Limit will be reduced every year based on repayment schedule of the term loan(s) availed and withdrawals will be allowed up to the drawing limit.		

(b) For Marginal Farmers:

A flexible limit of ₹10,000 to ₹50,000 be provided (as **Flexi KCC**) based on the land holding and crops grown including post-harvest warehouse storage related credit needs and other farm expenses, consumption needs, etc., plus small term loan investments like purchase of farm equipments, establishing mini dairy/backyard poultry as per assessment of Branch Manager without relating it to the value of land. The **composite KCC** limit is fixed for a period of five years. Wherever required, due to change in cropping pattern and/ or scale of finance, a higher limit may be arrived at.

Given below is an illustration showing computation of various limits for a marginal farmer cultivating a single crop in a year and engaged in an allied activity.

Item	Basis	Amount
Marginal Farmer cultivating single crop in a year		
1. Assumptions		
A. Land holding : 1acre		
B. Cropping Pattern		
Paddy (Scale of finance plus crop insurance per acre) (No change for 5 years)	₹.11,000	
C. Investment/ Allied Activities		
One Non-Descript Milch Animal (Unit Cost)	₹ 15,000	

(Contd.)

Item	Basis	Amount
2. (i) Crop loan Component		
(a) For 1 st Year		
Cost of cultivation of 1 acre of Paddy	11,000	₹. 11,000
Add : Towards post-harvest / household expense /consumption:	10% of cost of cultivation (10% of 11,000)	₹. 1,100
Add : Towards farm maintenance	20% of cost of cultivation (20% of 11,000)	₹. 2,200
Total Crop Loan limit for 1st year (A1)	11,000 + 1,100 + 2,200	₹. 14,300
2. (ii) Term loan Component		
Cost of One Milch Animal (B)	15,000	₹. 15,000
1st Year Composite KCC Limit (A1+B)	14,300 + 15,000	₹. 29,300
(b) For 2nd year		
Crop loan component: A1 + 10% of A1 Towards cost escalation / increase in scale of finance (A2)	14,300 + (10% of 14,300)	₹. 15,730
2 nd Year Composite KCC Limit (A2+B)	15,730 + 15,000	₹. 30,730
(c) For 3rd year :		
Crop loan component: A2 + 10% of A2 Towards cost escalation / increase in scale of finance (A3)	15,730 + (10% of 15,730) Round off	₹. 17,300
3 rd Year Composite KCC Limit (A3+B)	17,300+ 15,000	₹. 32,300
(d) For 4 th year :		
Crop loan component: A3 + 10% of A3 Towards cost escalation / increase in scale of finance (A4)	17,300+ (10% of 17,300) Round off	₹. 19,030
4 th Year Composite KCC Limit (A4+B)	19,030 + 15,000	₹. 34,030
(e) For 5 th year :		
Crop loan component: A4 + 10% of A4 Towards cost escalation / increase in scale of finance (A5)	19,030+ (10% of 19,030) Round off	₹. 20,930
5 th Year Composite KCC Limit (A5+B)	20,930 + 15,000	₹. 35,930
3. Maximum Permissible Limit / Kisan Credit Card Limit ((A) +(B))	Rounded Off	₹. 36,000

37.5.5 KCC Facility for Animal Husbandry and Fisheries

It will meet the short term credit requirements of rearing of animals, birds, fish, shrimp, other aquatic organisms, capture of fish.

(a) Eligibility

The criteria for eligible beneficiaries under KCC for Animal Husbandry and Fisheries are as under:

- (i) Fishery
 - Inland Fisheries and Aquaculture: Fishers, Fish Farmers (individual & groups/ partners/ share croppers/ tenant farmers), Self Help Groups, Joint Liability Groups and women groups.
 - Must own or lease any of the fisheries related assets such as ponds, tanks, open water bodies, raceway, etc. and possess necessary authorisation/certification for fish farming and related activities.
 - Marine Fisheries: For inland fisheries, to who own or lease registered fishing vessel/boat, possess necessary fishing license/permission for fishing/fish farming/ mariculture activities in estuaries and open sea and allied activities.
- (ii) Poultry and small ruminant: Farmers, poultry farmers either individual or joint borrower, Joint Liability Groups or Self Help Groups including tenant farmer of sheep/goats/pigs/poultry/birds/ rabbit and having owned/rented/ leased sheds.
- (iii) Dairy: Farmers and Dairy farmers either individual or joint borrower, Joint Liability Groups or Self Help Groups including tenant farmers having owned /rented/leased sheds.

(b) Scale of Finance

The scale of finance will be fixed by the DLTC based on local cost worked out on the basis of per acre/ per unit/per animal/per bird etc.

Fisheries: The scale of finance, may include recurring cost towards seed, feed, organic and inorganic fertilisers, lime/other soil conditioners, harvesting and marketing charges, fuel/electricity charges, labour, lease rent (if leased water area) etc.

Animal Husbandry: The scale of finance, may include recurring cost towards feeding, veterinary aid, labour, water and electricity supply.

The maximum period for assessment of working capital requirement may be based on the cash flow statement or completion of one production cycle.

(c) Drawing Power

The drawing power is worked on the basis of the latest valuation of stocks, receivables and/or cash flows.

(d) Repayment

The loan is in the nature of a revolving cash credit limit. Repayment will be fixed as per the cash flow/ income generation pattern of the activity undertaken by the borrower.

(e) Monitoring of end use

The account/smart card for the loan issued under the scheme is to be maintained/issued separately from the existing KCC loan to monitor the utilization limit. The monitoring of end use of funds will be in line

with other loans viz., field visits to the site of unit/project to be carried out by the branch officials. Banks will periodically review the facility.

37.5.6 Disbursement

The short term component is in the nature of revolving cash credit facility. There should be no restriction on the number of debits and credits. The drawing limit could be allowed to be drawn using any of the delivery channels viz. through branch, using Cheque, through ATM/Debit cards, through Business Correspondents and ultra thin branches, through PoS (in Sugar Mills/Contract farming companies, input dealers). Mobile based transactions at agricultural input dealers and mandis. The long term loan may be drawn as per installment fixed.

37.5.7 Issue of Electronic Credit Cards

All new KCC must be issued as smart card cum debit card. Until a composite card could be issued with appropriate software to separately account transactions in the sub limits, two separate cards may be issued for the two components. NPCI designed the KCC card to be adopted by all the banks with their branding. Various delivery channels (indicated below) may be provided for effective use of KCC by the farmers.

Withdrawal through ATMs / Micro ATM, Withdrawal through BCs using smart cards, PoS machine through input dealers, Mobile Banking with IMPS capabilities / IVR, Aadhaar enabled Cards. Mobile banking functionality for KCC Cards/ Accounts and IMPS capability may be provided.

Banks having a call centre/ Inter active Voice Response (IVR), may provide secured SMS based mobile banking facility to card holders.

37.5.8 Periodic Review of KCC

Banks need to undertake periodic review of KCC that may result in continuation, enhancement, or cancellation/ withdrawal of limit depending upon increase in cropping area/ pattern and performance of the borrower. When the bank grants extension and/or re-schedules the period of repayment on account of natural calamities affecting the farmer, the period for reckoning the status of operations gets extended together with the extended amount of limit.

37.5.9 Documentation

One time documentation is to be obtained at the time of first availment and thereafter simple declaration (about crops raised/ proposed) from the second year onwards may be obtained, keeping in view the limitation period.

37.5.10 Rate of Interest (ROI)

Rate of Interest will be as per the RBI Directions on Interest Rates on Advances. Interest is to be charged as applicable to agricultural advances.

37.5.11 Repayment Period

The repayment period is fixed as per the anticipated harvesting and marketing period for the given crops. For term loans 5 year period is normal, if required longer period may be considered.

37.5.12 Margin and Security

Margin may be decided by banks. No margin is required for loans upto Rs.1.6 lakh

Security will be as per RBI guidelines, and may be as follows:

- (i) Against Hypothecation of crops alone: Up to card limit of Rs.1.60 lakh (Rs.3.00 lakh with tie-up for recovery)
- (ii) Collateral security: At the discretion of bank for limits above ₹ 1.60 lakh (non tie-up) and above ₹ 3.00 lakh (with tie-up).
- (iii) To avail the facility of on-line creation of charge on the land records, where available.

37.5.13 Other Features

Insurance Facilities: Option to take benefit of Assets Insurance, Personal Accident Insurance Scheme (PAIS) and Health Insurance, and pay premium through KCC. Consent (except crop insurance being mandatory) is to be obtained with application.

Incentives: Farmers should be informed about Interest Subvention/ Incentive for prompt repayment available from Central/ State Government.

All Short Term Crop Loans eligible for Interest Subvention/ Prompt Repayment Incentive are now extended only through KCC.

Classification as NPA: IRAC and provisioning norms apply to KCC loans.

Other Charges: Processing fee, inspection charges and other charges may be decided by banks.

Facility against Warehouse Receipts: Should be considered as per procedure, and linked with crop loan account, if any. The crop loan outstanding settled on disbursement of pledge loan, if farmer so desires.

37.6 SELECTED ACTIVITIES UNDER AGRICULTURAL FINANCING

37.6.1 Agricultural Term Loans

Purpose: These are provided for purchase of assets (farm machinery, bullocks, sheep, etc.: creation of assets (orchard development, poultry, dairy development, etc.) connected with agriculture, horticulture, plantation, sericulture, animal husbandry, fisheries, etc. The loan amount is repayable over a period exceeding three years.

Eligibility: All categories of farmers and agricultural labourers are eligible.

Documents: For activities like purchase of bullocks, etc., no need for supportive documents. For larger loan, an estimate/quotation is called for. For land based activities, land records are required.

37.6.2 Land Development

Purpose: Loans cover various activities like land clearance (removal of bushes, trees, etc.), land levelling and shaping, bench terracing for hilly areas, contour stone walls, staggered contour trenches, disposal drains, reclamation of saline/alkaline soils and fencing, etc.

Eligibility: All farmers owning agricultural land are eligible.

Documents to be submitted: The borrower has to produce a report on the estimated cost, supported by estimates of an engineer.

37.6.3 Minor Irrigation

Purpose: Credit for the creation of irrigation facilities from underground/surface water sources. All structures and equipments necessary for irrigation are also financed. Include: digging new wells (open/borewells), deepening existing wells (traditional/bore), energising wells (oil engine/electrical pump set), laying pipe lines, having drip/sprinkler/lift irrigation system.

Eligibility: All farmers having known source of water, usable for irrigation purposes.

Documents to be submitted: Estimate for civil works needed and quotations for the assets to be purchased are obtained. Land records for the title to the property, a Geologist certificate and a feasibility certificate from the electricity board, where relevant.

37.6.4 Farm Mechanisation

Farm mechanisation besides tractors also includes use of other machinery viz., power tiller, threshers, combine harvester, sprayers, dusters, power tillers etc. for increasing production and improving productivity. Farmer should have minimum 5 acres of perennially irrigated land for viable use of tractor. Banks also finance for second hand tractor or repairs of machinery financed by the bank earlier, with some stipulations. The minimum acreage norms for financing tractor/ power tiller can be relaxed by banks on the basis of deposits pledged, custom hiring, value of the account, etc. Banks also finance Agri clinic and Agro service centres run by Agricultural Graduates/technically qualified persons besides State Govt. undertakings and corporations engaged in financing Agricultural activities.

Farm Mechanisation project is based on Techno-financial viability of the project viz. suitability of the machinery to soil/ topography, climate, crops, scope for custom hire, availability of fuel, service centres. Maximum margin money is 25% depending on the activity taken by the farmer. The repayment period varies from 3-9 years depending on borrower's activity. The small and marginal farmers should be encouraged to purchase Power Tillers on the basis of their land holding instead of tractor.

37.6.5 Finance to Horticulture

Purpose: Loans for development of fruit orchards (mango, chikoo, guava, grapes, pomegranate, apple, litchi, etc., short-term fruit crops (banana, pineapple, etc.), flowers in open and green houses (roses, carnation, chrysanthemums, jasmine, etc.), and vegetable crops (potato, tomato, brinjal, gourds, peas, etc.) are extended.

Eligibility: All farmers having cultivable lands.

Documents to be submitted: For orchard development, following documents are needed:

- (i) Water and soil test report
- (ii) A feasibility certificate from the local horticulture department
- (iii) Land records
- (iv) Quotation/estimates for the costs to be incurred
- (v) If the project is large then a project report

37.6.6 Poultry Farming

Under poultry farming major activities are broiler farming and layer farming.

37.6.7 Dairy Farming

The banks would be required to finance a number of items in dairy development. The projects will have to be formulated and evaluated for technical feasibility and economic viability of the programme. Following activities would be covered under dairy farming:

1. Setting up small dairy unit (with 2 to 4 milch cattle)
2. Setting up new/ expanding medium/ large dairy units by experienced/ trained entrepreneurs
3. Collection, processing and distribution of milk.
4. Manufacturing milk products and other related business.
5. Setting up breeding farms, semen banks, artificial insemination centers, veterinary clinics.

37.6.8 Sericulture

Sericulture is highly labour-intensive activity. Silk production consists of 4 phases of activities, viz.,

- (i) Cultivation of host plant.\
- (ii) Rearing of silk worms' upto cocoon stage.
- (iii) Reeling of cocoons into continuous filaments called rawsilk &
- (iv) Silk processing and weaving.

37.6.9 Drip, Sprinkler and Lift Irrigation System

Drip Irrigation: It is slow application of water, drop by drop, to the root zone of crop. The equipment consists of a pumping unit, pipelines (PVC tubing), drip type nozzles, and filter unit.

Sprinkler Irrigation system: In this, water is sprayed to the surface of crop or soil from above. A sprinkler system consists of a pump, pipes or tubing, sprinkler head/ nozzles, and risers.

Lift Irrigation system: In this, water is lifted from low level reservoirs such as wells, lake and river. Horizontal and turbine pumps are used for raising water for irrigation.

37.6.10 Land Purchase

Small/marginal farmers, tenants, sharecroppers subject to land holding criteria can be financed for land purchase, against mortgage of the land purchased. Normally, repayment of loan will be half yearly/yearly instalments over a period of ten years, with adequate gestation period.

37.7 MINIMUM SUPPORT PRICES SCHEME

The Minimum Support Price (MSP) Scheme is a scheme of the Government of India (GOI) under which, the covered agricultural produces are purchased from the farmers at the declared MSP thereby preventing distress sale. The Food Corporation of India (FCI) acts as the Nodal Agency of GOI. These prices are announced for 25 crops currently at the commencement of the Rabi and Kharif seasons to encourage farmers to pursue their efforts.

National Agricultural Cooperative Marketing Federation of India Ltd. (NAFED) is the nodal procurement agency for Oilseeds and pulses, apart from the Cotton Corporation of India. So, when the prices of oilseeds, pulses and cotton fall below MSP, NAFED purchases them from the farmers.

In September 2018, the Government of India announced a new Umbrella Scheme, “Pradhan Mantri Annadata Aay Sanrakshan Abhiyan” (PM-AASHA) which includes the mechanism of ensuring remunerative prices to the farmers comprising (i) Price Support Scheme (PSS), (ii) Price Deficiency Payment Scheme (PDPS), (iii) Pilot of Private Procurement & Stockist Scheme (PPPS).

37.8 PRIME MINISTER FASAL BIMA YOJANA (PMFBY)

In Rabi 1999 season the National Agriculture Insurance Scheme (NAIS) was introduced replacing earlier scheme. Implementation and administration of crop insurance schemes, which were being done by General Insurance Corporation of India (GIC), was taken over by Agriculture Insurance Company of India Ltd. (AIC). In 2016, the Pradhan Mantri Fasal Bima Yojana (PMFBY) replaced all the prevailing yield insurance schemes in India. It has extended coverage under localized risks, post-harvest losses etc. and aims at adoption of technology for the purpose of yield estimation.

Farmers to be Covered: All farmers including share-croppers and tenant farmers growing the notified crops in the notified areas are eligible for coverage. However, farmers should have insurable interest for the insured crops and lands. The Scheme is optional.

Risks Covered & Exclusions: It has two components viz. Basic Cover, and Add-on Coverage. The basic cover is mandatory, add-on covers may be chosen by the State Governments.

Basic Cover: This covers loss of yield to standing crop (sowing to harvesting) on an area based approach due to non-preventable risks like drought, dry spells, flood, inundation, wide spread pest and disease attack, landslides, natural fire due to lightening, storm, hailstorm, and cyclone.

Add-On Coverage: This may include any or all of the following:

- Insured area is prevented from sowing/ planting due to deficit rainfall or adverse seasonal conditions.
- Loss in case of adverse seasonal conditions during the crop season.
- For two weeks from harvesting for crops dried in cut and spread condition in the field against cyclone, cyclonic rains and unseasonal rains.
- Loss/damage due to identified localized risks of hailstorm, landslide, inundation, cloud burst and natural fire due to lightening.
- Crop loss due to attack by wild animals.

Exclusions: Losses arising out of war and nuclear risks, malicious damage and other preventable risks.

Aadhaar: Aadhaar is mandatory for availing crop insurance. Therefore, all enrolment agencies must obtain Aadhaar Number of their farmers.

Sum Insured: States/UTs choose either the Scale of Finance or Notional Average Value (Notional Average Yield * MSP/Farm Gate) price method for computation of Sum Insured for a district-crop combination for the entire period of the contract. The crop-wise sum insured notified in the first year/ season could be changed in the subsequent year/ season as per the change in the Scale of finance or MSP/ Farm gate price as available for the notified crop and decided upon by the State.

Premium: The Actuarial Premium Rate (APR) would be charged under PMFBY by implementing Insurance Company. All farmers enrolled under the scheme are entitled for admissible subsidy on the Actuarial Premium.

37.9 LET US SUM UP

The credit needs of a farmer are met through broad categories of agricultural advances viz., direct finance and indirect finance. Based on the period of credit, direct finance is classified as short-term loans and medium/long-term loans. Direct finance to agriculture is provided to farmers for short-term purposes like cultivation of crops or for other medium/long-term purposes like, among others, land development or for augmenting water resources. A novel offering by banks to farmers for meeting their cultivation needs and other non-farm requirements, including consumption needs is Kisan Credit Card. Finance is also provided by banks for undertaking allied activities like dairy development, poultry farming, bee keeping, sericulture, piggeries, pisciculture, sheep/goat rearing, etc., Indirect finance to agriculture includes credit for distribution of fertilisers and other inputs used by farmers in agricultural operations

The Minimum Support Price (MSP) Scheme is a scheme of the Government of India (GOI) to safeguard the interests of the farmers. Under this Scheme the GOI declares the minimum support Prices of various agricultural produces and assures the farmers that their agricultural produce will be purchased at the MSP, thereby preventing its distress sale. Crop insurance as a concept for risk management in agriculture has emerged in India. All farmers including sharecroppers, tenant farmers growing the notified crops in the notified areas are eligible for coverage under the crop insurance scheme.

37.10 KEYWORDS

Agriculture, Horticulture, Kisan Credit Cards, Farm Mechanization, Direct Finance, Indirect Finance, Crop Loan, Minor irrigation, Drip Irrigation, Sprinkler Irrigation, Sericulture, Pisciculture, Dairy Development, Plantation Crops, Warehousing, National Agricultural Insurance Scheme (NAIS), Minimum Support Price (MSP), Pradhan Mantri Fasal Bima Yojana (PMJBV).

37.11 CHECK YOUR PROGRESS

1. Kisan credit Cards are issued to farmers _____.
 (a) to withdraw money from ATM
 (b) to purchase farm equipments
 (c) to purchase agricultural implements on credit from dealers
 (d) to meet their cultivation needs and non-farm requirements, including purchase of inputs and other short-term requirements and working capital requirements for allied activities
2. Under farm mechanization scheme, loan is given for _____.
 (a) providing irrigation facilities
 (b) cultivation expenses
 (c) purchase of farm equipments
 (d) for digging wells
3. Scale of finance for crop loans is decided by _____.
 (a) District Level Technical Committee
 (b) State Level Technical Committee
 (c) Block Level Technical Committee
 (d) Individual banks
4. In broiler operation under poultry farming how many day's old chicks are grown?
 (a) Eight days
 (b) One day
 (c) Three days
 (d) Fifteen days

37.12 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (c), 3. (a), 4. (b).

UNIT 38

FINANCE TO MFIS/CO-LENDING ARRANGEMENTS WITH NBFCS

STRUCTURE

38.0 Objectives

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38.2 Bank Borrowings - Source Of Finance for NBFCS

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38.4 Bank Loans to NBFCS for On-Lending

38.5 Bank Loans to NBFCS-MFIs

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38.5.3 Prudential Norms

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38.5.7 Fair Practices Code (FPC) for NBFC-MFIs

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38.7 Co-Lending by Banks and NBFCS to Priority Sector

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38.8 Framework for Scale Based Regulation (SBR) for Non-Banking Financial Companies

38.8.1 Regularity structure

38.8.2 Categorisation of NBFCs carrying out specific activity

38.8.3 Scale based Regulatory Framework

38.9 Let Us Sum Up

38.10 Keywords

38.11 Check Your Progress

38.12 Answers to ‘Check Your Progress’

38.0 OBJECTIVES

After studying this Unit, you will:

- Know the role played by NBFCs and MFIs in extension of credit
- Understand the significance of NBFCs/ MFIs in financial inclusion
- Learn the norms of bank lending to NBFCs/ MFIs
- Know the On-lending Model of bank loans to NBFCs
- Know the co-lending model for banks and NBFCs

38.1 BACKGROUND

I. Non-Banking Finance Companies (NBFC)

A Non-Banking Financial Company (NBFC) is a company registered under the Companies Act, 1956 engaged in the business of loans and advances, acquisition of shares/stocks/bonds/debentures/securities issued by Government or local authority or other marketable securities of a like nature, leasing, hire-purchase, insurance business, chit business but does not include any institution whose principal business is that of agriculture activity, industrial activity, purchase or sale of any goods (other than securities) or providing any services and sale/purchase/construction of immovable property. A non-banking institution which is a company and has principal business of receiving deposits under any scheme or arrangement in one lump sum or in installments by way of contributions or in any other manner, is also a non-banking financial company (Residuary non-banking company). NBFCs have a competitive edge in their superior understanding of regional dynamics, well-developed collection systems and personalised services in the drive to expand financial inclusion in India. Lower transaction costs, quick decision making, customer orientation and prompt provision of services have typically differentiated NBFCs from banks.

Housing finance companies (HFCs) are specialised lending institutions which, along with SCBs, provide housing credit in India. In recent times, HFCs have undergone several legislative/regulatory changes to harmonise the regulations between HFCs and NBFCs in a phased manner.

II. Microfinance and Non-Banking Finance Companies – Micro Finance Institutions (NBFC-MFIs)

Microfinance provides small loans and other financial services to poor and low-income households. It is designed to promote financial inclusion of the poor and low-income households to come out of poverty, increase their income levels and improve overall living standards. Microcredit in India is delivered through various channels viz., (i) SCBs, SFBs, and RRBs lending both directly as well as through BCs and SHGs, (ii) cooperative banks, (iii) NBFCs, and (iv) MFIs registered as NBFCs, and other forms.

During the last decade nine microfinance institutions (NBFC-MFIs) have been licenced to start a universal bank or small finance banks. Besides, one NBFC-MFI has merged with a commercial bank. The share of NBFC-MFIs in microfinance sector stands at a little over 30 per cent as on September 2020 in terms of gross loan portfolio of ₹2.27 lakh crore.

38.2 BANK BORROWINGS - SOURCE OF FINANCE FOR NBFCs

NBFCs have several sources of finance viz. public deposits (with specific approval of RBI), debentures, bank borrowings and commercial papers. Bank borrowings are a major source of funds for NBFCs

including NBFC-MFIs. This helps in widening the reach of institutional credit to the sectors and areas that are not fully covered by banks. Besides, given that NBFCs largely cater to priority sectors, this channel contributes to the priority sector lending of banks. Most of the aspects relating to financing of NBFCs by banks have been deregulated. Guidelines for collaborative lending by banks and NBFCs have been issued by RBI.

38.3 BANK FINANCE TO NBFCs

38.3.1 NBFCs Registered with RBI

Banks may extend need based working capital facilities as well as term loans to all NBFCs registered with RBI and engaged in infrastructure financing, equipment leasing, hire-purchase, loan, factoring and investment activities subject to the guidelines. Banks may also extend finance to NBFCs against second hand assets financed by them. Large exposure norms are applicable to bank finance to NBFCs.

All NBFCs including HFCs are required to register with RBI, except few exempted categories. Following categories of NBFCs have been exempted from the requirement of registration with RBI under the RBI Act, 1934.

- (i) Micro Finance Companies (subject to certain conditions)
- (ii) Asset Reconstruction Companies registered with the RBI under Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002
- (iii) Nidhi Companies
- (iv) Mutual Benefit Companies
- (v) Chit Companies (under Chit Funds Act, 1982)
- (vi) Merchant Banking Companies (subject to conditions)

For such NBFCs, banks may take their credit decisions on the basis of usual factors like the purpose of credit, nature and quality of underlying assets, risk perception, etc.

38.3.2 Activities not Eligible for Bank Credit

- (i) Bills discounted/ rediscounted by NBFCs
(*Exception: Banks may rediscount bills discounted by NBFCs arising from sale of commercial vehicles (including light commercial vehicles), two wheeler vehicles and three wheeler vehicles, provided the bills are drawn by the manufacturer on dealers only and they represent genuine sale transactions as may be ascertained from the chassis/ engine number. Banks should satisfy themselves about the bona fides and track record of the NBFCs.*)
- (ii) Investments of NBFCs both of current and long-term nature, in any company/ entity by way of shares, debentures, etc.
(*Exception: Stock Broking Companies may be provided need-based credit against shares and debentures held by them as stock-in-trade.*)
- (iii) Unsecured loans / inter-corporate deposits by NBFCs to/ in any company.
- (iv) All types of loans and advances by NBFCs to their subsidiaries, group companies/ entities.
- (v) Finance to NBFCs for further lending to individuals for subscribing to IPOs and for purchase of shares from secondary market.

RBI has prescribed specific provisions, as stated below.

- (a) *Financing of Leased and Sub-Leased Assets*
Banks cannot enter into lease agreements with equipment leasing companies and other NBFCs engaged in equipment leasing, as banks can extend financial assistance to them.
- (b) *Bank Finance to Factoring Companies*
Banks can extend financial assistance for factoring business of Factoring Companies, which comply with the following criteria:
 - (i) Qualify as factoring companies and conduct business under the provisions of the Factoring Regulation Act, 2011 and Notifications issued by RBI.
 - (ii) At least 50% of income is from factoring activity.
 - (iii) Receivables purchased/ financed, on 'with recourse' or 'without recourse' basis, form at least 50% of the assets.
 - (iv) The assets/ income do not include that relating to bill discounting facility.
 - (v) The financial assistance extended by the Factoring Companies is secured by hypothecation or assignment of receivables in their favour.
- (c) *Bridge loans / interim finance*
Banks should not grant bridge loans of any nature, or interim finance against capital/ debenture issues or pending raising of long-term funds from the market as capital, deposits, etc.
- (d) *Advances against collateral security of shares to NBFCs*
Shares and debentures cannot be accepted as collateral securities for secured loans to NBFC.

38.3.3 Restriction on Guarantees for Placement of Funds with NBFCs

Banks should not execute guarantees covering inter-company deposits/ loans thereby guaranteeing refund of any type of deposits/ loans accepted by NBFCs/ firms from other NBFCs/ firms, irrespective of source, including deposits/ loans received by NBFCs from trusts and other institutions. Guarantees should not be issued for the purpose of indirectly enabling the placement of deposits with NBFCs. Banks can provide partial credit enhancement (PCE) to bonds issued by NBFC-ND-SIs and HFCs.

38.3.4 Prudential Ceilings for Exposure of Banks to NBFCs

- (a) *Exposure to a single NBFC (excluding gold loan companies)*: Maximum 20% of the bank's Tier I capital. More stringent limits for certain categories may be considered.
- (b) *Exposure to a group of connected NBFCs or group of connected counterparties having NBFCs in the group*: Maximum 25% of the bank's Tier I Capital.
- (c) *Exposure to a single NBFC predominantly lending against collateral of gold jewellery (i.e. comprising 50% or more of their financial assets)*: Maximum 7.5% of the bank's Tier I plus Tier II Capital. The ceiling may go up, up to 12.5% if the additional exposure is on account of funds on-lent by the NBFCs to infrastructure sector.
- (d) *Aggregate exposure to NBFC Sector*: Banks may fix internal limits for their aggregate exposure to all NBFCs put together.
- (e) *Aggregate exposures to all NBFCs, having gold loans to the extent of 50% or more of their total financial assets*: Banks should have an internal sub-limit (within that for all NBFCs put together) on their aggregate exposures to all such NBFCs.

38.4 BANK LOANS TO NBFCs FOR ON-LENDING

Banks can extend loans to NBFCs for the purpose of on-lending to the priority sectors. This mode is not applicable to RRBs, UCBs, SFBs and LABs.

(a) *Loans to MFIs (NBFC-MFIs, Societies, Trusts, etc.):*

Banks other than Small Finance Banks (SFBs) are allowed to extend credit to registered NBFC- MFIs and other MFIs (Societies, Trusts etc.) which are members of RBI recognised SRO for the sector, for on-lending to individuals and also to members of SHGs / JLGs, subject to specified ceilings. These loans are eligible for categorisation as priority sector advance under respective categories.

(b) *Loans to NBFCs:*

Bank credit to registered NBFCs (other than MFIs) for on-lending is eligible for classification as priority sector under respective categories subject to specified conditions.

(c) *Loans to HFCs:*

Bank credit to HFCs, approved by NHB for their refinance, for on- lending for the purpose of purchase/ construction/ reconstruction of individual dwelling units or for slum clearance and rehabilitation of slum dwellers, subject to specified ceilings and conditions.

(d) *Cap on On-lending:* Bank credit to NBFCs (including HFCs) for on-lending, as per (b) and (c) above, should be within 5% of its total priority sector lending, averaged across four quarters.

38.5 BANK LOANS TO NBFCs-MFIS

Banks can extend loans to NBFC-MFI for their micro financing activities like in case of other NBFCs. NBFC-MFIs are required to follow certain regulatory norms covering both their lending products/ services and prudential aspects.

38.5.1 Definition – NBFC-MFI

An NBFC-MFI is defined as a non-deposit taking NBFC (other than a company licensed under Section 25 of the Companies Act, 1956 - Section 8 of the Companies Act, 2013) that fulfills the following conditions:

- (a) **Minimum Net Owned Funds:** Minimum ₹5 crore. (Registered in the North Eastern Region, Minimum ₹2 crore).
- (b) **Qualifying Assets Share:** Not less than 85% of net assets to be “qualifying assets.”
 - (i) Net assets: Total assets other than cash and bank balances and money market instruments.
 - (ii) Qualifying Asset: A loan which satisfies the following criteria:
 - *Household Income Ceiling:* Borrower with annual income not exceeding ₹1,25,000 (rural household) or ₹2,00,000 (urban and semi-urban household).
 - *Ceiling on Loan Amounts:* Maximum loan amount ₹75,000 (first cycle) and ₹1,25,000 (subsequent cycles).
 - *Total indebtedness:* Maximum ₹1,25,000. Education and medical expenses are excluded for total indebtedness.
 - *Tenure of Loan:* Not less than 24 months for loan more than ₹30,000 with prepayment without penalty.
 - *Collateral:* Any loan should be extended without collateral.
 - *Loan Portfolio:* Aggregate of loans for income generation to be at least 50% of the total loans of the NBFC-MFI, and the rest can be for other purposes (housing repairs, education, medical and other emergencies).
 - *Repayment Mode:* Weekly, fortnightly or monthly instalments at the choice of the borrower.

- (c) **Other Income:** Income from remaining 15 percent assets to be as per the regulations.
- (d) **Restriction on Micro-finance:** An NBFC not qualifying as an NBFC-MFI to extend loans to micro finance sector not exceeding 10% of total assets.

38.5.2 MFIs Exempted from Registration

Certain MFIs which fulfill the following criteria are exempted from registration with RBI:

- (i) *Purpose and Quantum of Credit:* Providing credit not exceeding ₹50,000 for a business enterprise and ₹1,25,000 for a dwelling unit to any poor person; and
- (ii) *Licensing:* Under Sec. 25 of the Companies Act, 1956 (Sec. 8 of the Companies Act, 2013); and
- (iii) *Public Deposits:* It does not accept public deposits as defined in RBI Directions.

38.5.3 Prudential Norms

- (a) *Capital Adequacy:*
Tier I and Tier II Capital to be not less than 15% of aggregate risk weighted assets. Tier II Capital not to exceed Tier I Capital.
- (b) *Asset Classification Norms:*
 - i. Standard asset: No default in repayment of principal or payment of interest is perceived, does not disclose any problem nor carry more than normal risk;
 - ii. Non-performing asset: Interest/principal payment remained overdue for a period of 90 days or more.
- (c) *Provisioning Norms:*
Provisioning criteria for an NPA meeting “Qualifying Asset” criteria:
 - i. Aggregate loan provision to be not less than the higher of:
 - 1% of the outstanding loan portfolio, or
 - 50% of the aggregate loan instalments overdue for more than 90 days and less than 180 days, and 100% of the aggregate loan instalments overdue for 180 days or more.
 - ii. An advance covered by Credit Risk Guarantee Fund Trust for Low Income Housing (CRGFTLIH) guarantee becomes non-performing: No provision for guaranteed portion. Provision for the excess outstandings as per the norms.

38.5.4 Membership of CIC

Every NBFC-MFI has to be a member of all Credit Information Companies (CICs), provide timely and accurate data to them and use the data available with them.

38.5.5 Pricing of Credit

The interest rate to be charged by an NBFC-MFI is subject to certain restrictions to ensure micro credit does not become excessively costly and MFI activity remains viable.

- (i) *Margin cap:* Difference between the rate to the borrower and the cost of funds - Maximum 10% for large MFIs (portfolio exceeding ₹ 100 crore) and 12% for others.
- (ii) *Interest Rates Charged:* Shall be the lower of the following
 - (a) The cost of funds plus margin as indicated in para (i) above; or
 - (b) The average base rate of the five largest commercial banks by assets (to be advised by RBI on quarterly basis) multiplied by 2.75.

- (iii) *Variance in Interest rate*: On individual loans not more than 4%.
- (iv) *Processing Charges*: Not more than 1% of gross loan amount.
- (v) *Insurance Cost*: To recover only the actual cost of insurance. Administrative charges, where recovered, shall be as per IRDA guidelines.

38.5.6 Multiple-lending, Over-borrowing and Ghost-borrowers

- (i) NBFC-MFIs can lend to individuals whether or not member of JLG/ SHG.
- (ii) A borrower cannot be a member of more than one SHG/JLG.
- (iii) Not more than two NBFC-MFIs shall lend to the same borrower.
- (iv) Moratorium before the first instalment should be at least same as frequency of instalments.
- (v) Loan given in violation of the regulations to be recovered after all prior loans are paid.

38.5.7 Fair Practices Code (FPC) for NBFC-MFIs

The Fair Practices Code for NBFCs is applicable in addition to the Code for MFIs.

38.5.8 Monitoring of Compliance

Apart from NBFC-MFIs themselves and the industry associations/SROs, the banks lending to NBFC-MFIs shall also monitor compliance. All NBFC-MFIs shall become member of at least one SRO, recognized by RBI and comply with its Code of Conduct.

38.6 NBFC-MFI – CHANNELISING AGENT FOR SPECIAL GOVERNMENT SCHEMES

NBFC-MFIs can act as channelising agents under special schemes of Central/State Government Agencies.

38.7 CO-LENDING BY BANKS AND NBFCs TO PRIORITY SECTOR

In November, 2020 RBI revised its guidelines for co-origination as “Co-Lending Model” (CLM) that is available to banks (excluding SFBs, RRBs, UCBs and LABs), with a view to providing greater operational flexibility to the lending institutions, while requiring them to conform to the regulatory guidelines on outsourcing, KYC, etc. The CLM shall not be applicable to foreign banks (including WOS) with less than 20 branches. Banks shall not be allowed to enter into co-lending arrangement with an NBFC belonging to the promoter Group.

38.7.1 Basic Aspects of CLM

Banks are permitted to co-lend with all registered NBFCs (including HFCs) based on a prior agreement. Co-lending banks will take their share of the individual loans on a back-to-back basis in their books. NBFCs shall be required to retain a minimum of 20% share of the individual loans on their books.

A Master Agreement may be entered into between the two partner institutions covering various aspects. The Master Agreement may provide for one of the following two options for the bank:

- (i) **Mandatory Sharing by Bank**: The bank agrees to mandatorily take its share of the individual loans originated by the NBFC in its books as per the terms of the agreement. Suitable mechanisms for ex-ante due diligence by the bank is required.

- (ii) **Discretionary Rejection by Bank:** The bank retains the discretion to reject certain loans after their due diligence prior to taking in their books, subject to the conditions specified. The arrangement will be akin to a direct assignment transaction.

38.7.2 Customer Related Issues

The operational aspects pertaining to the customer interaction and servicing under CLM are as follows:

- (i) The NBFC shall be the single point of interface for the customers.
- (ii) The NBFC shall enter into a loan agreement with the borrower, containing the features of the arrangement and roles and responsibilities of the NBFC and the bank.
- (iii) Details of the arrangement to be disclosed to the customers and their consent obtained.
- (iv) All-inclusive interest rate to be agreed by both lenders and as per guidelines applicable to both.
- (v) The guidelines relating to customer service and fair practices code for banks and NBFCs apply.
- (vi) The NBFC should generate a single unified statement of the customer account, through information sharing.
- (vii) Suitable arrangement must be put in place by the co-lenders to resolve any complaint registered by a borrower with the NBFC within 30 days.

38.7.3 Other Operational Aspects

- (i) The co-lending bank and the NBFC shall maintain each individual borrower's account for their respective exposures.
- (ii) All transactions (disbursements/ repayments) between the bank and the NBFC relating to CLM shall be routed through an escrow account maintained with the bank.
- (iii) The Master Agreement shall clearly specify the manner of appropriation between the co-lenders.
- (iv) Each lender shall adhere for its share of the loan account to respective IRAC and provisioning requirements, reporting to Credit Information Companies, under the applicable regulations.
- (v) The bank's share of the assets in its books should be without recourse to NBFC.

38.8 FRAMEWORK FOR SCALE BASED REGULATION (SBR) FOR NON-BANKING FINANCIAL COMPANIES

Reserve Bank of India has put in place a revised regulatory framework for NBFCs effective from October 01, 2022.

38.8.1 Regulatory structure

Regulatory structure for NBFCs shall comprise of four layers based on their size, activity, and perceived riskiness., viz. NBFC - Base Layer (NBFC-BL), NBFC - Middle Layer (NBFC-ML), NBFC - Upper Layer (NBFC - UL) and NBFC - Top Layer (NBFC - TL). The Top Layer is ideally expected to be empty. Details of NBFCs populating the various layers are given in RBI Guidelines.

38.8.2 Categorisation of NBFCs carrying out specific activity

As the regulatory structure envisages scale based as well as activity-based regulation, the following prescriptions shall apply in respect of the NBFCs

- a. NBFC-P2P, NBFC-AA, NOFHC and NBFCs without public funds and customer interface will always remain in the Base Layer of the regulatory structure.

- b. NBFC-D, CIC, IFC and HFC will be included in Middle Layer or the Upper Layer (and not in the Base layer). SPD and IDF-NBFC will always remain in the Middle Layer.
- c. The remaining NBFCs, viz., NBFC-ICC, NBFC-MFI, NBFC-MGC could lie in any of the layers.
- d. Government owned NBFCs shall be placed in the Base Layer or Middle Layer.

38.9 LET US SUM UP

NBFCs have a competitive edge in their superior understanding of regional dynamics, well-developed collection systems and personalised services in the drive to expand financial inclusion in India. Lower transaction costs, quick decision making, customer orientation and prompt provision of services have typically differentiated NBFCs from banks.

Microfinance is a form of financial service which provides small loans and other financial services to poor and low-income households. It is designed to promote financial inclusion which enables the poor and low-income households to come out of poverty, increase their income levels and improve overall living standards.

Bank borrowings are a major source of funds for NBFCs including NBFC-MFIs. This helps in widening the reach of institutional credit to the sectors and areas that are not fully covered by banks. Banks may extend need based working capital facilities as well as term loans to all NBFCs registered with RBI and engaged in infrastructure financing, equipment leasing, hire-purchase, loan, factoring and investment activities.

Banks can extend loans to NBFC-MFI for their micro financing activities like in case of other NBFCs. NBFC-MFIs are subject to certain prudential norms of Capital Adequacy, Asset Classification, and Provisioning Requirements. Interest rate charged to borrowers is subject to pricing norms and transparency of interest rates. Financing banks need to look into compliance by the borrowing NBFC-MFI.

RBI has replaced the erstwhile scheme for co-origination of loans by banks and NBFCs by a scheme for Co-Lending by Banks and NBFCs. The partner bank and NBFC have to enter into a Master Agreement containing the terms and conditions and the responsibilities of the partners.

RBI has put in place a regulatory framework for NBFCs, keeping in view of their changing risk profile. The SBR framework encompasses different facets of regulation of NBFCs covering capital requirements, governance standards, prudential regulation, etc.

38.10 KEYWORDS

Non-Banking Finance Companies, Microfinance, Non-Banking Finance Companies – Micro Finance Institutions, Net Assets, Qualifying Assets, Average Interest Rate, Margin cap, Channelising Agent, Mandatory Sharing

38.11 CHECK YOUR PROGRESS

1. Banks can extend _____ to NBFCs.
 - (a) working capital facilities
 - (b) term loans
 - (c) bank guarantee for obtaining deposits
 - (d) Both (a) and (b) above

2. Of the following categories of NBFCs, _____ is not exempted from registering with RBI as NBFC.
- | | |
|------------------------------|-------------------------------|
| (a) Mutual Benefit Companies | (b) Housing Finance Companies |
| (c) Chit Companies | (d) Nidhi Companies |
3. Banks can finance NBFC for _____.
- | | |
|---|-----------------------------------|
| (a) financing individuals to subscribe to IPO | (b) unsecured loan to a corporate |
| (c) financing second-hand assets | (d) investing in shares |

38.12 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (b), 3. (c).

UNIT 39

MICRO, SMALL AND MEDIUM ENTERPRISES IN INDIA

STRUCTURE

39.0 Objectives

39.1 Introduction

39.2 Aim of MSMEs

39.3 Micro, Small and Medium Enterprises Development (MSMED) Act, 2006

39.3.1 Classification of Enterprises

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39.9.4 Distressed Assets Fund — Subordinate Debt Scheme for MSMEs

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39.10 Cluster Based Approach in Financing MSMEs

- 39.10.1 Definition of Cluster in the Indian Context
- 39.10.2 Importance of Clusters in the Indian Context
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39.11 Common Guidelines / Instructions for Lending to MSME Sector**39.12 Let Us Sum Up****39.13 Keywords****39.14 Check Your Progress****39.15 Answers to ‘Check Your Progress’**

39.0 OBJECTIVES

After studying this Unit, you will:

- Understand the concept of Micro, Small and Medium Enterprises (MSMEs)
- Know about development of MSMEs in India
- Know about various initiatives for facilitating the growth of MSMEs
- Learn about the Credit Guarantee initiatives for MSMEs

39.1 INTRODUCTION

The policy for Small, Tiny and Village Enterprises of August 1991 laid the framework for government support in the context of liberalization, which sought to replace protection with competitiveness to infuse more vitality and growth to MSMEs in the face of foreign competition and open market. Supportive measures concentrated on improving infrastructure, technology and quality. The Small Industries Development Bank of India (SIDBI) and a Technology Development and Modernization Fund (TDMF) were created to accelerate finance and technical services to the sector. The Delayed Payment Act, 1993 was enacted to facilitate prompt payment of dues to MSMEs.

The Ministry of MSME came into being from 1999 to provide focused attention to the development and promotion of this sector. A credit Linked Capital Subsidy Scheme was launched to encourage technology upgradation in the MSME sector and a Credit Guarantee Scheme was started to provide collateral-free loans to micro and small entrepreneurs, particularly the first generation entrepreneurs. In 2006, the Micro, Small and Medium Enterprises Act was in place.

39.2 AIM OF MSMEs

It can be observed that MSMEs in India have met the expectations of the Government in this respect. MSMEs developed in a manner, which made it possible for them to achieve the following objectives:

- High contribution to domestic production
- Significant export earnings
- Low investment requirements
- Operational flexibility
- Low intensive imports
- Capacities to develop an appropriate indigenous technology
- Import substitution
- Contribution towards defence production
- Technology-oriented industries
- Competitiveness in domestic and export markets

At the same time, one has to understand the limitations of MSMEs, which are:

- Low capital base
- Concentration of functions in one/two persons
- Inadequate exposure to international environment
- Inability to face impact of WTO regime
- Inadequate contribution towards R&D
- Lack of professionalism

39.3 MICRO, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT (MSMED) ACT, 2006

In July 2006, “Micro, Small and Medium Enterprises Development Act, 2006” (MSMED Act, 2006) was notified. The word ‘Enterprise’ replaced the word ‘Industry’.

The MSMED Act, 2006 defined the micro, small and medium enterprises in both the manufacturing and services sector as follows:

‘Enterprise’ means an industrial undertaking or a business concern or any other establishment engaged in the manufacture or production of goods in any manner, pertaining to any industry specified in the first schedule to the Industries (Development and Regulations) Act, 1951 or engaged in providing or rendering of any service or services.

39.3.1 Classification of Enterprises

Government of India (GoI), vide Gazette Notification S.O. 2119 (E) dated June 26, 2020, has notified revised criteria for classifying the enterprises as Micro, Small and Medium enterprises.

- (i) **a micro enterprise**, where the investment in plant and machinery or equipment does not exceed one crore rupees and turnover does not exceed five crore rupees;
- (ii) **a small enterprise**, where the investment in plant and machinery or equipment does not exceed ten crore rupees and turnover does not exceed fifty crore rupees; and
- (iii) **a medium enterprise**, where the investment in plant and machinery or equipment does not exceed fifty crore rupees and turnover does not exceed two hundred and fifty crore rupees.

All enterprises are required to register online and obtain ‘Udyam Registration Certificate’. All lenders may, therefore, obtain ‘Udyam Registration Certificate’ from the entrepreneurs.

39.3.2 Composite Criteria of Investment and Turnover for Classification

A composite criterion of investment and turnover shall apply for classification of an enterprise as micro, small or medium.

- (i) If an enterprise crosses the ceiling limits specified for its present category in either of the two criteria - investment or turnover, it will cease to exist in that category and be placed in the next higher category; but no enterprise shall be placed in the lower category unless it goes below the ceiling limits specified for its present category in both the criteria of investment as well as turnover.
- (ii) All units with Goods and Services Tax Identification Number (GSTIN) listed against the same Permanent Account Number (PAN) shall be collectively treated as one enterprise and the turnover and investment figures for all of such entities shall be seen together and the aggregate values will be considered for deciding the category as micro, small or medium enterprise.

39.3.3 Calculation of Investment in Plant and Machinery or Equipment

- (iii) The calculation of investment in plant and machinery or equipment will be linked to the Income Tax Return (ITR) of the previous years.
- (iv) For a new enterprise, the investment will be based on self- declaration of the promoter, till after the 31st March of the financial year in which it files its first ITR.

- (v) The expression “plant and machinery or equipment”, shall have the same meaning as in the Income Tax Rules, 1962, and shall include all tangible assets (other than land and building, furniture and fittings).
- (vi) The purchase (invoice) value, whether first hand or second hand, shall be considered excluding GST, on self- disclosure basis, if the enterprise is a new one without any ITR.
- (vii) The cost of certain items specified in the Act shall be excluded.
- (viii) The online form for Udyam Registration captures depreciated cost as on 31st March each year of the relevant previous year. For all the enterprises, value shall mean the Written Down Value (WDV) as at the end of the Financial Year as defined in the Income Tax Act and not cost of acquisition or original price, which was applicable earlier.

39.3.4 Calculation of Turnover

- (i) Exports of goods or services or both, shall be excluded while calculating the turnover.
- (ii) Turnover and exports turnover shall be linked to the Income Tax Act or CGST Act and the GSTIN.
- (iii) After 31st March, 2021 PAN and GSTIN are mandatory.

In case of an upward change in terms of investment or turnover or both, an enterprise will maintain its prevailing status till expiry of one year from the close of the year of registration. In case of reverse-graduation of an enterprise, will be given the benefit of the changed status only with effect from 1st April of the financial year following the year in which such change took place.

39.4 POLICY PACKAGE FOR MSMEs – CREDIT/FINANCE

Credit is one of the critical inputs for the promotion and development of MSMEs. Some of the features of the credit policy for MSMEs are:

- (i) Credit to the MSMEs is part of the Priority Sector Lending with sub-target of 7.5% of ANBC or CEOBE (whichever is higher) for lending to Micro enterprises. Per the recommendations of the Prime Minister’s Task Force on MSMEs, banks need to achieve:
 - a. 20 % year-on-year growth in credit to micro and small enterprises;
 - b. 10% annual growth in the number of micro enterprise accounts; and
 - c. 60% of total lending to MSE sector (corresponding quarter previous year) to Micro. enterprises.
- (ii) The loan facilities (specified in RBI guidelines) to MSME are classified in a distinct category.
- (iii) The SIDBI is the principal financial institution for promotion, financing and development of the MSME sector. It extends financial assistance, coordinates the functions of institutions in similar activities.
- (iv) Commercial banks are important channel and provide both working capital and term loans.
- (v) State Financial Corporations (SFCs) and State Industrial Development Corporations (SIDCs) are major sources of long-term funds.
- (vi) MSMEs are moving to other specialised financial services and options - primary/secondary securities market, venture capital and private equity, external commercial borrowings, factoring services, etc.
- (vii) To facilitate MSMEs in corporatization, the Limited Liability Partnership Act, 2008 was enacted.

39.5 MEASURES FOR PROMOTION, DEVELOPMENT AND ENHANCEMENT OF COMPETITIVENESS OF MICRO, SMALL AND MEDIUM ENTERPRISES

- a. A separate Ministry (Ministry of Micro, Small and Medium Enterprises) set up at GoI. This gives many online services to entrepreneurs.
- b. MSME Act has measures for promotion, development and improving competitiveness of MSMEs -
 - For promotion and development: Skill development programmes, Entrepreneurial development programs etc. Assurances for technological upgradation, marketing assistance, cluster development, development of infrastructure facilities etc.
 - Credit facilities: Measures for timely and smooth flow of credit. CGTMSE scheme for more confidence among lenders. TReDS (an electronic platform) for financing/ discounting of trade receivables of through multiple financiers.
 - Procurement preference policy etc.: Public Procurement Policy for MSEs for promotion and development by supporting in marketing of products produced and services rendered. Every Central Ministry /Department / PSUs shall target for 25% procurement from MSE Sector.

Certified Credit Counsellors (CCC) Scheme

In the First Bi-monthly Monetary Policy Statement, 2016-17, Reserve Bank of India laid down a framework for accreditation of credit counsellors which was shared with SIDBI for laying down operational guidelines. Accordingly, the scheme was launched by SIDBI in July 2017. As per the scheme, Certified Credit Counsellors (CCC) are institutions or individuals registered with SIDBI who shall assist MSMEs in preparing project reports in a professional manner which would, in turn, help banks make more informed credit decisions. To ensure professional competence in terms of knowledge, the CCC aspirants are required to complete the MSME Certification programme offered by IIBF.

39.6 DELAYED PAYMENTS

- As per MSMED Act 2006, the payments in respect of supplies made by MSE units should be received on or before the agreed date, subject to maximum 45 days from delivery.
- On failure to effect the payment, the buyer has to pay compound interest with monthly rests to the supplier on the amount for the period from the appointed day/the date agreed on, at three times of the Bank Rate notified by RBI.
- Banks should fix sub-limits within the working capital limits to the large borrowers for meeting the payment obligation to MSMEs.
- The problem continues to persist because the MSMEs depend on the corporate buyer, and are unable to take it up through institutional setup.
- MSME SAMADHAAN Scheme: It is a Portal created by Office of DC (MSME), Ministry of Micro, Small and Medium Enterprises (MSME) where MSEs can file their applications online about delayed payments.

39.7 TRADE RECEIVABLES DISCOUNTING SYSTEM (TReDS)

TReDS is an electronic platform for facilitating the financing/ discounting of trade receivables of MSMEs through multiple financiers. These receivables may be due from corporates and other buyers, including Government Departments and Public Sector Undertakings (PSUs). Sellers, buyers and financiers are the

participants on a TReDS platform. Only MSMEs can participate as sellers. Banks, NBFC – Factors and other financial institutions as permitted by the RBI, can participate as financiers. A factoring Unit (FU) is a standard nomenclature for invoice(s) or bill(s) of exchange. Each FU represents a confirmed obligation of the buyers. FU can be created either by the MSME seller or the buyer. If MSME seller creates, it is factoring; if created by the buyer, it is reverse factoring.

39.8 PERFORMANCE AND CREDIT RATING SCHEME

A Performance and Credit Rating scheme for MSEs has been formulated in consultation with IBA and Rating Agencies. NSIC is the nodal agency for implementation of this scheme through empanelled agencies.

39.8.1 Benefits of Performance and Credit Rating to MSE

An independent, trusted third party opinion on capabilities and credit-worthiness of MSE becomes available facilitating prompt credit at attractive interest, recognition in global trade. It also facilitates vendors in assessment of MSEs.

39.8.2 Benefits to Banks and Financial Institutions

Availability of an independent evaluation of the strength and weaknesses of MSE unit seeking credit and thereby enabling banks and financial institutions manage their credit risk.

39.8.3 Salient Features

- Combination of credit and performance factors including operations, finance, business and management risk.
- Uniform Rating Scale for all empanelled rating agencies.
- MSEs have the liberty to choose among the empanelled Rating Agencies.
- Turn-Over based Fee structure.
- Partial Reimbursement of Rating Fee through NSIC.

39.9 CREDIT GUARANTEE FUND SCHEME FOR MICRO AND SMALL ENTERPRISES

39.9.1 Background

Common hurdle faced in accessing credit comes from the obligation to provide a collateral security or a third party guarantee. To address this the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) was set up by the Ministry of MSME and SIDBI in August 2000.

The Credit Guarantee Scheme (CGS) seeks to reassure the lender that, if a MSE unit fails to discharge its liabilities, the Guarantee Trust would make good the loss incurred by the lender, as per the laid down parameters.

Currently, CGTMSE has following Credit Guarantee Schemes in force:

- (i) Credit Guarantee Fund Scheme for Micro and Small Enterprises (CGS-I)
- (ii) Credit Guarantee Fund Scheme for NBFCs (CGS-II)

- (iii) Credit Guarantee Scheme for Subordinate Debt (CGSSD)
- (iv) PM Street Vendor's AtmaNirbhar Nidhi (PM SVANidhi)
- (v) Credit Guarantee Scheme for Co-Lending (CGSCL)

39.9.2 Credit Guarantee Fund Scheme for Banks (CGS-I)

39.9.2.1 Eligible Lending Institution(s)

The credit facilities extended by commercial banks, RRBs, SFIs, SFBs, NBFCs, FinTech NBFCs, SIDBI, NSIC, and NEDFC are eligible to be covered under CGS-I.

39.9.2.2 Eligible Credit Facility

It covers credit facilities (both fund and non fund based) extended by Member Lending Institution(s) (MLI), without any collateral security and third party guarantees, to a single eligible borrower not exceeding Rs.50 lakh (RRBs/FIs/SFBs); and Rs.200 lakh (SCBs, select FIs, NBFCs).

For Educational/Training Institutions same fee, extent of coverage and other terms and conditions as applicable under existing normal Scheme are applicable.

Wholesale Trade is considered at par with MSE Retail Trade and therefore the terms & conditions of coverage applicable to MSE Retail Trade apply to wholesale trade.

39.9.2.3 Credit Guarantee

Eligible credit facilities should be covered as soon as these are sanctioned, and latest by the end of subsequent calendar quarter.

MLIs can apply for guarantee cover anytime during the tenure of loan provided it was not restructured / remained in SMA2 status in last 1 year before the application. The credit facility should be standard and regular and the activity of the borrower should not have ceased. The loan amount has not been used for adjusting debt bad or doubtful of recovery, without prior consent of the Trust.

Hybrid Security Product: Can obtain collateral security for a part of the credit facility, Other part, up to ₹200 lakh, can be covered under the Scheme; CGTMSE to have notional second charge on the collateral security; No need for documentation to create security/ charge of CGTMSE.

Credit facilities extended by more than one bank and/or financial institution: Jointly and/or separately covered up to a maximum of ₹200 lakh per borrower, subject to ceiling amount of individual MLI.

Guarantee Period: From the date of payment of guarantee fee; for the tenure of the loan (for term / composite loans); 5 years (if only working capital facilities).

Credit facility exceeding ₹200 lakh: Can be covered; maximum guarantee cover ₹150 lakh; Pari-passu charge of CGTMSE on both primary and collateral security.

Interest rate on the credit facilities: Maximum 14% per annum including cost of guarantee cover, for RRBs Average Base Rate decided by CGTMSE.

39.9.2.4 Extent of Guarantee Cover Available (w.e.f. April 01, 2018)

Category	Maximum extent of Guarantee		
	Where credit facility is		
	Upto ₹5 lakh	Above ₹5 lakh & upto ₹50 lakh	Above ₹50 lakh & upto ₹200 lakh
Micro Enterprises	85% of the amount in default subject to a maximum of ₹ 4.25 lakh	75% of the amount in default subject to a maximum of ₹ 37.50 lakh	75% of the amount in default subject to a maximum of ₹ 150 lakh
Women entrepreneurs/ Units located in North East Region (incl. Sikkim) (other than credit facility up to ₹5 lakh to micro enterprises)	80% of the amount in default subject to a maximum of ₹ 40 lakh		
MSE Retail Trade (from ₹10 lakh up to ₹100 lakh)	50% of the amount in default subject to a maximum of ₹ 50 lakh		
All other eligible category of borrowers	75% of the amount in default subject to a maximum of ₹ 150 lakh.		

Credit facilities above ₹50 lakh upto ₹200 lakh to be rated internally and be of investment grade.

39.9.3 Credit Guarantee Fund Scheme for NBFCs (CGS-II)

This Scheme is open to NBFCs registered with RBI and meeting the criteria specified by the Trust.

39.9.3.1 Credit facilities eligible under the Scheme

Credit facilities (both fund and non -und based) extended by MLIs to a single eligible borrower in the MSME sector up to ₹200 lakh, with/without any collateral security are covered. For MSE Retail Trade credit facility up to ₹100 lakh is covered.

The credit facility should be standard and regular and the activity of the borrower should not have ceased. The loan amount has not been used for adjusting debt bad or doubtful of recovery, without prior consent of the Trust.

Credit facilities extended by more than one NBFC and/or bank/ financial institution jointly and/or separately to eligible borrower up to a maximum of ₹200 lakh per borrower subject to ceiling amount of individual MLI.

Each Portfolio of MLI gets crystallized at the end of the quarter in which it is built up. Fresh portfolio commences from the beginning of subsequent quarter. Loan accounts of one quarter would not be covered in subsequent quarters.

Credit facilities of above ₹.50 lakh and upto ₹.200 lakh be rated internally, and be of investment grade.

39.9.3.2 Extent of Guarantee Cover

Claims under the Exposure Limit are settled within the respective Payout cap maximum upto 75% (as opted by MLI) of 'Amount in default' of individual accounts.

39.9.3.3 Annual Guarantee Fee (AGF)

Guarantee fee at specified rate on each batch of the Portfolio shall be paid within 30 days of submission of each batch or from the date of Demand Advice (CGDAN) of guarantee fee whichever is earlier. Guarantee cover would start from the date of realization of such payment.

39.9.4 Distressed Assets Fund — Subordinate Debt Scheme For MSMEs (Credit Guarantee Scheme for Subordinate Debt (CGSSD))

The Scheme was for those MSMEs whose accounts were standard as on 01.01.2016 and have been in regular operations, as standard or NPA during 2018-19 and financial year 2019-20, and were stressed as on 30th April, 2020.

39.9.5 PM svANidhi 2.0 - Revised guidelines

Ministry of Housing and Urban Affairs is implementing PM Street Vendor's Atma Nirbhar Nidhi (PM SVANidhi) Scheme since June 01, 2020 to facilitate micro-credit to street vendors. The scheme implementation period was initially till March, 2022, and has been extended to December 2024 with some revisions in guidelines. Credit Guarantee and Interest Subsidy claims will be paid till March, 2028.

1. Nature of Loan Assistance
Third loan of up to Rs.50.000 (tenor up to 36 months) on repayment of 2nd loan of upto Rs.20.000.
2. Minimum Repayment Period for 2nd Loan: 6 months, to be eligible for the next cycle of loan with an enhanced limit.
3. Interest Subsidy
Interest Subsidy of 7% for all the loans i.e for 2nd and 3rd loans, only for Standard accounts on the respective claim dates and only for the period it has remained Standard.
4. Credit Guarantee
For all fresh 1st and 2nd loans (disbursed on or after June 1, 2022) and all 3rd loans, guarantee coverage as indicated below is applicable:

	Fresh 1 st Loan		Fresh 2nd Loan		3rd Loan	
	Portfolio	Coverage	Portfolio	Coverage	Portfolio	Coverage
First Loss	0 to 7.5%	100%	0 to 3%	100%	0 to 8%	7%
Second Loss	Above 7.5% to 20%	75%	Above 3% to 10%	75%		
Third Loss	Above 20% to 50%	50%				
Maximum Guarantee Cover	50%		10%		8%	
Effective Guarantee Cover	31.875%		8.25%		6%	

For the loans disbursed till May 31, 2022 the previous credit guarantee cover is applicable.

39.9.6 Credit Guarantee Scheme for Co-Lending (CGSCL)

CGTMSE has introduced *CGSCL* for loans under Co-Lending Model.

- i. “Option/ Model -1” – Joint Lending by Banks and NBFCs

The guarantee cover under this Option is for individual loan/ credit facility.

- ii. “Option / Model 2” - Direct Assignment

Only the MLIs registered with CGTMSE under CGS-I & CGS-II is eligible as a pair for CLM arrangement under CGSCL

a. Tenure of guarantee cover

Guarantee cover is available from guarantee sanction date till the agreed loan tenure for the term loan, and for 5 years or block of 5 years where working capital facilities alone are extended or loan termination date, whichever is earlier.

b. Credit facilities eligible under the Scheme

Credit facilities extended by pair of MLIs to a single eligible borrower in MSE sector for credit facility (i) not exceeding ₹200 lakh secured by way of Primary Security; and (ii) not exceeding ₹100 lakh for unsecured credit facility, by way of term loan and/or working capital facilities without any collateral security and/or third party guarantees.

The caps on amount is for the maximum guarantee coverage limit per borrower under CGSCL based on the outstanding credit facilities, and the borrowers can avail incremental credit facilities (i.e. to the extent of reduction in the outstanding exposure limit) under Credit Guarantee Scheme of CGTMSE, subject to a maximum cap of ₹200 lakh or Rs.100 lakh as applicable for secured and unsecured loans respectively. The credit facility should be standard and regular and the activity of the borrower should not have ceased. The loan amount has not been used for adjusting debt bad or doubtful of recovery, without prior consent of the Trust.

Under “Hybrid Security” product the MLIs can obtain collateral security for a part of the credit facility, with unsecured part upto a maximum of ₹200 lakh, covered under CGSCL. CGTMSE will have notional second charge on the collateral security, without any separate documentation.

Credit facility(ies) above ₹50 lakh should be of investment grade.

c. Responsibilities of member lending institution under the scheme:

- (i) The lending institutions should exercise due diligence in sanction and conduct of accounts with close monitoring, and safeguard of securities.
- (ii) They should notify default to the Trust promptly and lodge claims properly and in time.
- (iii) They should continue diligent recovery efforts, even after the payment of guarantee claim.

d. Annual Guarantee Fee (AGF)

Guarantee Fee will be charged on the guaranteed amount for the first year and on the outstanding amount (reckoned as per the specified norms) for the remaining tenure of the credit facility as under:

Credit Facility Amount	Annual Guarantee Fee % p.a.
Upto Rs.5 lakh	1.00%
Above Rs.5 lakh and upto Rs.10 lakh	1.25%
Above Rs.10 lakh	1.50%

Risk Premium, as and when, decided by the Trust will be imposed.

e. Guarantees**Extent of the Guarantee Coverage**

- 75% of the amount in default for credits facility secured by primary security.
- 50% of the amount in default for unsecured credits facility.

Payout Cap

- The payout cap for any given year is calculated at 2 times of the total receipts (i.e. guarantee fee plus recoveries post 1st claim settlement paid to CGTMSE under the Scheme) of the previous financial year passed to CGTMSE.

39.9.7 Credit Facilities Not Covered Under CGTMSE Schemes

Broadly following credit facilities are not eligible for cover under the Schemes of CGTMSE:

- (i) Covered under a scheme by DICGC or RBI, to the extent of cover.
- (ii) Covered by any other insurance, guarantee or indemnity, to the extent of cover..
- (iii) To Micro Enterprises up to ₹10 lakh covered by MUDRA Guarantee Scheme (NCGTC Ltd.)
- (iv) Not conforming to or inconsistent with any Govt. law or RBI directives.
- (v) Effective interest rate (including the cost of guarantee) not as per RBI/ Trust guidelines.
- (vi) Granted to any borrower, for whom the lender has invoked the guarantee of the Trust or under any other the scheme, and remains unpaid.
- (vii) Sanctioned against collateral security and/ or third party guarantee, except Hybrid Security model.

39.9.8 Claims Under CGTMSE Schemes

Broadly following conditions apply in case of claims under the Schemes of CGTMSE:

- MLIs should inform the date on which the account is classified as NPA by end of subsequent quarter.
- Guarantee can be invoked within 3 years from the NPA date or lock-in period whichever is later.
- Action for recovery has been initiated after issuing loan recall notice.
- The Trust shall pay 75% of the guaranteed amount within 30 days, if the claim is otherwise found in order and complete. The balance 25% will be paid on conclusion of recovery proceedings or till the decree gets time barred.

39.10 CLUSTER BASED APPROACH IN FINANCING MSMEs

A cluster of MSMEs is a concentration of economic enterprises, producing a typical product/ service or a complementary range of products/services within a geographical area. The location of such enterprises can span over a few villages, a town or a city and its surrounding areas. Foundation for MSME Clusters assists institutions in undertaking cluster based local area development, effectively and inclusively in developing and transition economies.

The essential characteristics of enterprises in a cluster are (a) Similarity or complementarity in the methods of production, quality control & testing, energy consumption, pollution control, etc., (b) Similar level of technology & marketing strategies/practices, (c) Similar channels for communication among the members of the cluster, (d) Common market & skill needs, and/or (e) Common challenges & opportunities that the cluster faces.

39.10.1 Importance of Clusters in the Indian Context

An important role is played by the numerous clusters that have been in existence for decades and sometimes even for centuries. India has the richest diversity of clusters. The clusters are categorized as: Artisanal Clusters, Industrial Clusters.

The products covered by artisanal clusters include textile, handlooms, handicrafts, woodcrafts, metal and stone crafts, jewellery, leather, pottery & clay, etc. The industrial clusters include processed food, rice milling, readymade garments, terry towel, wet grinder, engineering, machine tools, hand tools, foundry, brass parts, rubber and pharmaceuticals cluster. There are more than 6500 industrial, artisan and micro enterprise clusters. It is estimated that these clusters contribute 60% of the manufactured exports from India. The clusters in India are estimated to have a significantly high share in employment generation.

39.10.2 What is Cluster Financing?

Cluster based approach to lending is intended to provide a full-service approach to extending banking services to recognized MSE clusters. It may be more beneficial:

- (a) in dealing with well-defined and recognized groups.
- (b) availability of appropriate information for risk assessment.
- (c) monitoring by the lending institutions.
- (d) reduction in costs. and
- (e) separate packages/services can be developed for each cluster.

United Nations Industrial Development Organisation (UNIDO) has identified 388 clusters spread over 21 states in various parts of the country. The Ministry of MSME has approved a list of clusters under the Scheme of Fund for Regeneration of Traditional Industries (SFURTI) and Micro and Small Enterprises Cluster Development Programme (MSE-CDP) located in 121 minority concentration districts. Accordingly, banks have been advised to take appropriate measures to improve the credit flow to the identified clusters of micro and small entrepreneurs from the minorities communities residing in the minority concentrated districts of the country.

All SLBC Convenor banks are advised to incorporate in their Annual Credit Plans, the credit requirement in the clusters identified by the Ministry of Micro, Small and Medium Enterprises, Government of India. They are also encouraged to extend banking services in such clusters / agglomerations which have come up and identified subsequently by SLBC / DCC members.

Banks have also been advised that they should open more MSE focussed branch offices at different MSE clusters which can also act as counselling centres for MSEs. Each lead bank of the district may adopt at least one cluster.

39.11 COMMON GUIDELINES / INSTRUCTIONS FOR LENDING TO MSME SECTOR

(a) Issue of Acknowledgement of Loan Applications to MSME borrowers

All loan applications must be acknowledged, submitted manually or online, and allotted a running serial number.

(b) Collateral

No collateral security must be accepted for loans up to Rs.10 lakh extended to units in the MSE sector, and to all units financed under the Prime Minister Employment Generation Programme (PMEGP) administered by KVIC. Banks may decide to dispense with collateral for loans up to Rs.25 lakh if they deem fit. Banks should encourage obtaining Credit Guarantee Scheme cover.

(c) Composite loan

A composite loan limit of Rs.1 crore can be sanctioned to enable the MSE entrepreneurs to avail of their working capital and term loan requirement through Single Window.

(d) Revised General Credit Card (GCC) Scheme

The coverage of GCC Scheme provides greater credit linkage for all productive activities within the overall Priority Sector guidelines.

(e) Credit Linked Capital Subsidy Scheme (CLSS)

Government of India, Ministry of MSME has Credit Linked Capital Subsidy Scheme (CLSS) for Technology Upgradation of MSE, subject to the following terms and conditions:

- (i) Loan Amount: Ceiling of ₹1 crore.
- (ii) Subsidy: 15% for all units of micro and small enterprises up to loan ceiling.
- (iii) Basis of Subsidy: Purchase price of plant and machinery (not the amount of loan)
- (iv) Implementing agencies: SIDBI and NABARD.

(f) Streamlining flow of credit to Micro and Small Enterprises (MSEs)

RBI has required banks to incorporate following provisions in their policies:

- i) To extend standby credit facility in case of term loans
- ii) Additional working capital to meet with emergent needs of MSE units
- iii) Mid-term review of the regular working capital limits, where banks are convinced that changes in the demand pattern require increase in the credit limits.
- iv) Timelines for credit decisions

(g) Debt Restructuring Mechanism for MSMEs

Guidelines / instructions pertaining to SME Debt Restructuring, issued to scheduled commercial banks in August, 2020 as updated from time to time are to be adopted.

(h) Framework for Revival and Rehabilitation of MSMEs

In May 2015, the Ministry of MSME, GoI, had notified a 'Framework for Revival and Rehabilitation of MSME' to provide a simpler and faster mechanism to address the stress in the accounts of MSMEs and to facilitate the promotion and development of MSMEs. Based on which RBI, in 2016, issued guidelines to banks. The revival and rehabilitation of MSME units having loan limits up to ₹25 crore would be undertaken under this Framework.

(i) Structured Mechanism for monitoring the credit growth to the MSE sector

Based on the recommendations of the Kamath Committee, banks are advised by RBI to:

- strengthen systems of monitoring credit growth.
- have a system of e-tracking of MSE loan applications.

(j) Specialised MSME branches

Public sector banks are advised to open at least one specialised branch in each district.

39.12 LET US SUM UP

The MSMEs fulfil not only the economic objectives but also the social needs. However, in view of the intense competition from large enterprises, they need special protection and support from the Government,

for their survival and growth. This has been provided by the Government and the Reserve bank of India through their various directives, policy prescriptions and guidelines. Accordingly, banks have been advised to earmark certain per cent of Net Bank Credit to this sector.

The Micro, Small and Medium Enterprises Development (MSMED) Act, 2006 was enacted in 2006 which has redefined micro, medium and small enterprises in both the manufacturing and services sectors. Government of India (GoI), vide Gazette Notification S.O. 2119 (E) dated June 26, 2020, has notified criteria for classifying the enterprises as Micro, Small and Medium enterprises. The new criteria came into effect on July 1, 2020.

The Act has provisions for penalty for delayed payments so as to protect MSMEs. A rating scheme has come into being for credit rating of manufacturing MSMEs so as to enable them to access banks for faster and cheaper credit. Certain policy packages for the healthy growth of MSME sector were also announced by the Government and the Reserve Bank. Ministry of Micro, Small & Medium Enterprises (MSME), Government of India launched Credit Guarantee Scheme (CGS) so as to strengthen credit delivery system and facilitate flow of credit to the MSE sector. Different schemes have been announced by CGTMSE for providing guarantee coverage to lending institutions.

Cluster based approach to lending is to provide a full-service approach to cater to the needs of the MSE sector which may be achieved through extending banking services to recognized MSE clusters.

39.13 KEYWORDS

Liberalisation, Globalisation, Low Intensive Imports, WTO, Import Substitution, Enterprise, Manufacturing Sector, Service Sector. Technology Upgradation, Payment Protection. Cluster.

39.14 CHECK YOUR PROGRESS

1. A micro enterprise is one where the investment in plant and machinery does not exceed ₹ _____.
 (a) 10 lakh (b) 25 lakh
 (c) 1 crore (d) 50 lakh
2. A medium enterprise is one where the investment does not exceed ₹ _____.
 (a) 5 crore.
 (b) 25 crore.
 (c) 10 crore.
 (d) 50 crore.
3. Within how many days from the date of submission of complete papers by the borrower a loan application for ₹ 25,000 is to be processed as per the guidelines in force?
 (a) 4 Business Days (b) 8 Business Days
 (c) 15 Business Days (d) 30 Business Days

39.16 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c), 2. (d), 3. (a).

UNIT 40

GOVERNMENT SPONSORED SCHEMES

STRUCTURE

40.0 Objectives

40.1 Deendayal Antyodaya Yojana – National Rural Livelihoods Mission (DAY-NRLM)

- 40.1.1 Key Features of DAY-NRLM
- 40.1.2 Self-Help Groups (SHGs) under DAY-NRLM
- 40.1.3 Financial Assistance to the SHGs
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- 40.2.4 Educational Qualifications and Training Requirement
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40.4 Pradhan Mantri Suraksha Bima Yojana(PMSBY)**40.5 Atal Pension Yojana (APY)****40.6 MUDRA Loans**

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- 40.6.2 Objective and Functions of MUDRA
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- 40.6.9 Repayment/Tenor of Loan
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- 40.6.11 Monitoring of PMMY

40.7 Khadi Village Industries Commission (KVIC)

- 40.7.1 Objectives
- 40.7.2 Functions
- 40.7.3 Prime Minister's Employment Generation Programme (PMEGP)

40.8 Let Us Sum Up**40.9 Keywords****40.10 Check Your Progress****40.11 Answers to 'Check Your Progress'**

40.0 OBJECTIVES

After studying this Unit, you will:

- Understand the importance of Government sponsored schemes in development of weaker sections through institutional finance
- Know about Deendayal Antyodaya Yojana – National Rural Lending Mission
- Know features of Deendayal Antyodaya Yojana – National Urban Lending Mission
- Learn about Pradhan Mantri Jan Dhan Yojana
- Know about MUDRA Loans
- Learn about the role of Khadi Village Industries Commission.

40.1 DEENDAYAL ANTYODAYA YOJANA – NATIONAL RURAL LIVELIHOODS MISSION (DAY-NRLM)

National Rural Livelihoods Mission (NRLM) replaced the Swarnjayanti Gram Swarozgar Yojana (SGSY) scheme, which was renamed as Deendayal Antyodaya Yojana – National Livelihoods Mission (DAY-NRLM) with effect from March 29, 2016.

DAY-NRLM has following objectives:

- (a) Promoting poverty reduction through building strong institutions of the poor
- (b) Enabling these institutions to access a range of financial services and livelihood services
- (c) Promote financial inclusion and strengthen livelihoods of the poor
- (d) Complement the institutional platforms with financial and capital services, production and productivity enhancement services, technology, knowledge, skills and inputs, market linkage, etc.

40.1.1 Key Features of DAY-NRLM

- (a) **Universal Social Mobilization:** Initially at least one member from each identified rural poor household, preferably a woman, is brought under the Self Help Group (SHG) network in a time bound manner. Subsequently, both women and men would be organized. No poor would be left out of these institutions. The composition of beneficiaries is – 50% SC/STs, 15% minorities, and 3% persons with disability.
- (b) **Participatory Identification of Poor (PIP):** Target groups include all the needy poor identified as households with at least one deprivation criteria as per Socio-Economic and Caste Census (SECC). Also, participation of the poor in the process of identifying the target group is adopted. The households identified after both these processes are eligible for all the benefits under the programme.
- (c) **Promotion of Institutions of the Poor:** Strong institutions of the poor such as SHGs and their village level and higher-level federations are necessary to provide space, voice and resources for the poor and for reducing their dependence on external agencies.
- (d) **Strengthening Existing SHGs and Federations:** The existing institutions of the poor women formed by Government efforts and efforts of NGOs will be strengthened in partnership mode.
- (e) **Training, Capacity building and Skill building:** Another important element is providing poor with the requisite skills for managing their institutions, linking up with markets, managing their existing livelihoods, enhancing their credit absorption capacity and credit worthiness, etc.
- (f) **Revolving Fund and Community Investment Support Fund (C.I.F):** A Revolving Fund is provided as an incentive to accumulate their own funds for meeting their credit needs as also immediate consumption needs.

- (g) **Universal Financial Inclusion:** The aim is to achieve universal financial inclusion, beyond basic banking services to all the poor households, SHGs and their federations. It works on both demand and supply side of Financial Inclusion. The demand side measures include – financial literacy among the poor, and catalytic capital to the SHGs and their federations. The supply side includes – coordination with the financial sector.
- (h) **Interest Subvention:** There is a provision for subvention on interest rate above 7% per annum on loans availed from mainstream financial institutions.
- (i) **Intensive blocks:** These would have access to a full complement of trained professional staff and cover a whole range of activities of universal and intense social and financial inclusion, livelihoods, partnerships etc. In the remaining blocks or non-intensive blocks, the activities may be limited in scope and intensity.

40.1.2 Self-Help Groups (SHGs) under DAY-NRLM

Primary building block of DAY-NRLM is women's Self-Help Group (SHG), coming together on the basis of mutual affinity. The mission provides a continuous hand-holding support to the institutions of poor for a period of 5 – 7 years till they come out of abject poverty.

40.1.3 Financial Assistance to the SHGs

DAY-NRLM has several financial assistance components for SHGs.

- (a) **Revolving Fund (RF):** Revolving Fund (RF) support is provided to SHGs as corpus. The amount per SHG is minimum ₹10,000 and maximum ₹15,000. The purpose of RF is: (i) to strengthen institutional and financial management capacity, and (ii) to build a good credit history within the group.
- (b) **Community Investment Support Fund (CIF):** CIF is provided in the intensive blocks. and is to be maintained in perpetuity by the Federations. It is used to advance loans to the SHGs and/or to undertake the common/collective socio-economic activities.
- (c) **Interest Subvention:** For borrowers under SHG mode, interest subvention scheme has been operational, reducing the interest burden on the borrowers to 7% p.a. This covers the difference between the lending rate of the banks and 7%, on all credit from the banks/ financial institutions availed by women SHGs, for maximum ₹ 300,000/- per SHG.

40.1.4 Opening of Savings Accounts

- (a) **Savings Account of SHGs:** The SHGs engaged in promoting savings habits among their members would be eligible to open savings bank accounts. Banks should maintain separate Savings and loan accounts for Self Help Groups.
- (b) **Savings Accounts of Individual Members of SHG:** The KYC norms to be followed.
- (c) **Savings account of Federation of SHGs:** Savings accounts of Federations of SHGs at village, Gram Panchayat, Cluster or higher level need to be opened as 'Association of Persons'.
- (d) **Current Account of Producer Groups (PGs):** Banks may open current account for Producer Groups promoted under DAY-NRLM at village, Gram Panchayat, Cluster or higher level.
- (e) **Transaction in Savings/ Cash Credit account of SHGs and Federation of SHGs:** SHGs and their federations may be encouraged to transact through their respective saving accounts and cash credit accounts on regular basis. Transactions may be enabled with inter-operable facility at retail outlets managed by BC Agents, and also for various other permitted services.

40.1.5 Lending Norms for SHG and Individual SHG Members

(i) Eligibility Criteria for Loans to SHG

Following are the basic criteria applicable:

- Active existence for at least 6 months as per its books of account.
- Practicing 'Panchasutras' i.e. Regular meetings; Regular savings; Regular inter- loaning; Timely repayment; and Up-to-date books of accounts.
- Qualified as per grading norms fixed by NABARD.
- Existing defunct SHGs if revived if active for at least 3 months..

(ii) Loan Amount

Emphasis is laid on multiple doses of assistance over a period of time, to enable them to access higher amounts of credit for taking up sustainable livelihoods and improve on the quality of life. Additional loan can be sanctioned based on the repayment behavior and performance of the SHG, even when the earlier loan is outstanding.

(a) Cash Credit Limit (CCL):

Minimum loan of ₹6 lakhs for 3 years, fixing a yearly drawing power (DP) is sanctioned. The drawing power may be enhanced annually based on the repayment performance of the SHG:

Year	Drawing Power
First Year	6 times of the existing corpus or minimum of ₹1 lakh whichever is higher.
Second Year	8 times of the existing corpus or minimum of ₹2 lakh whichever is higher
Third Year	Minimum of ₹6 lakh based on the Micro credit plan (MCP) prepared by SHG and appraised by the Federations/ Support agency and the previous credit history.
Fourth Year Onwards	Above ₹6 lakh based on the Micro credit plan (MCP) prepared by SHG and appraised by the Federations/ Support agency and the previous credit history.

(b) Term Loan:

Banks should sanction term loan amount in doses as mentioned below:

Dose	Drawing Power
First Dose	6 times of the existing corpus or minimum of ₹ 1 lakh whichever is higher.
Second Dose	8 times of the existing corpus or minimum of ₹ 2 lakh whichever is higher
Third Dose	Minimum of ₹ 6 lakh based on the Micro credit plan (MCP) prepared by SHG and appraised by the Federations/ Support agency and the previous credit history.
Fourth Dose	Above Rs. 6 lakh based on the Micro credit plan (MCP) prepared by SHG and appraised by the Federations/ Support agency and the previous credit history.

(iii) Purpose of Loan and Repayment

The loan amount is distributed among members based on the Micro Credit Plan (MCP) prepared by the SHGs. MCP would also form the basis for determining the purpose and usage of loans.

Purposes: Members may use the loan for following purposes:

Meeting social needs; High cost debt swapping; Construction or repair of house; Construction of toilets; and Taking up sustainable livelihoods by the individual members within the SHGs or to finance any viable common activity started by the SHGs.

Major portion of the loan as indicated below to be used for income generating productive purposes:

Quantum of Loan Facility	Prescribed Portion
Above ₹ 2 lakh	At least 50%
Above ₹ 4 lakh	At least 75%
Above ₹ 6 lakh	At least 85%

Repayment Schedule: The repayment of term loan should be in monthly/ quarterly instalments:

Year/Dose	To be repaid in
First Year/Dose	24-36 months in monthly/ quarterly Instalments.
Second Year/Dose	36-48 months in monthly/quarterly instalments.
Third Year/Dose	48-60 months based on the cash flow in monthly/ quarterly instalments.
Fourth Year/Dose	60-84 months based on the cash flow in monthly/ quarterly instalments.

At the time of documentation and disbursement of loan, it is advisable to clearly explain the terms and conditions to the borrower as part of financial literacy.

(iv) Interest Rates

The interest rates as per the Interest Subvention Scheme are applicable.

(v) Security and Margin

The collateral and margin requirements depend on the quantum of loan sanctioned:

- Upto ₹10.00 lakh limit:* No collateral and no margin should be obtained. No lien should be marked against savings bank account of SHGs and no deposits should be insisted upon.
- Above ₹10 lakh and up to ₹20 lakh:* No collateral should be obtained and no lien should be marked against savings bank account of SHGs. The entire loan (irrespective of the loan outstanding) would be eligible for coverage under Credit Guarantee Fund for Micro Units (CGFMU).

(vi) Dealing with Defaulters

Willful defaulters are not to be financed under DAY-NRLM. Banks should not deny loan to entire SHG on the pretext that certain member(s), or the spouse or other family members of individual members of SHG is/ are defaulter with the bank.

40.1.6 Post Credit Follow-up

Loan pass books or statement of accounts in regional languages should be issued to the SHGs. Bank branches may observe one fixed day in a fortnight to enable the staff to go to the field and attend the meetings of the SHGs.

40.1.7 Repayment – Recovery of Loans

Banks shall take all possible measures, i.e. personal contact, organization of joint recovery camps with District Mission Management Units (DPMUs)/ DRDAs to ensure the recovery of loans. List of defaulting SHGs should be furnished to BLCC/ DCC and discussed in the meetings every month.

40.1.8 Deputation of Bank Officials to SRLMs

As a measure of strengthening the DPMUs/ DRDAs and for promoting a better credit environment, deputation of the bank officials to DPMUs/DRDAs has been suggested.

40.1.9 Supervision and Monitoring

Banks may set up DAY-NRLM cells at Regional/ Zonal offices to monitor and review the flow of credit.

40.1.10 Support to the Bankers

SRLM will take steps to provide support for effective credit support by banks:

- Develop strategic partnerships with major banks.
- Create enabling conditions for both banks and the poor for mutually rewarding relationship.
- Assist SHGs through –financial Literacy, counselling services on savings, credit, insurance, etc.
- Extend support to banks for improving quality of banking services– including follow- up for recovery of over dues.

40.1.11 Community Based Repayment Mechanism

An exclusive sub-committee for SHG Bank Linkage may be formed at village/ cluster/ block levels. These will support the banks in ensuring proper utilization of loan amount, recovery, etc.

40.1.12 Interest Subvention Scheme for Women SHG

(I) For select 250 Districts:

- i. All women SHGs are eligible for Interest subvention on credit up to ₹ 3 lakh .
- ii. The commercial banks (PSB, PvtSB, and SFB) would lend to women SHGs in rural areas @ 7% per annum up to agg. ₹ 300,000/-.
- iii. Banks would be subvented for difference between the Weighted Average Interest Charged (WAIC) and 7% subject to maximum 5.5%, if they provide credit to SHG at 7% p.a..
- iv. SHGs would be provided additional 3% subvention on prompt repayment of loans.

(II) For Category II Districts (other than select 250 Districts):

- (i) Banks may charge the SHGs as per their respective lending norms and the difference between the lending rates and 7% subject to a maximum limit of 5.5% is subvented directly in the loan accounts of the SHGs by the SRLMs.
- (ii) Women SHGs from rural areas under DAY- NRLM would be eligible for interest subvention on credit upto ₹3 lakh at the rate of 7% per annum on prompt repayment.

The difference amount between the lending Rate of the banks and 7% (subject to a maximum limit of 5.5%) will be remitted on a monthly/ quarterly basis by the SRLMs, directly to the loan accounts of the SHGs who have repaid promptly.

Criteria for prompt repayment: For both the schemes above the criteria for prompt repayment are:

- *For Cash Credit Limit:* Outstanding balance shall not have remained in excess of the limit/ drawing power continuously for more than 30 days. There should be regular credit and debits in the accounts (with at least one customer induced credit during a month). The customer induced credits should cover the interest debited during the month.
- *For the Term Loans:* All of the interest payments and/or instalments of principal are paid within 30 days of the due dates during the tenure of the loan.

‘Mission Shakti’: It is well-known that economic empowerment of women significantly contributes to their social empowerment. As such, helping women to achieve economic independence by enabling them to have independent employment and income has been accorded the highest priority. Therefore, promotion of Women’s Self-Help Groups (WSHGs) under the aegis of ‘Mission Shakti’ programme was adopted by Government of Odisha in 2001 as a key strategy for achieving women’s empowerment.

Mission Shakti has the clear objective of empowering women through gainful activities by providing credit and market linkage. It envisages that over a period of time more and more women would be part of a WSHG.

40.2 DEENDAYAL ANTYODAYA YOJANA – NATIONAL URBAN LIVELIHOODS MISSION (DAY-NULM)

40.2.1 Introduction

Swarna Jayanti Shahari Rozgar Yojana (SJSRY) was replaced by National Urban Livelihoods Mission (NULM), and renamed as “Deendayal Antyodaya Yojana – National Urban Livelihoods Mission (DAY-NULM)” in February 2016.

The NULM has following components:

- I. Social Mobilisation And Institution Development (SM&ID)
Programmes for SHGs and their Federations
- II. Capacity Building and Training (CB&T)
- III. Employment through Skills Training and Placement (EST&P)
- IV. Self-Employment Programme (SEP)
- V. Support to Urban Street Vendors

40.2.2 Objectives

The SEP of NULM aims to provide financial assistance to individuals/groups including street vendors/ hawkers of urban poor for setting up gainful self-employment ventures/micro-enterprises, suited to their skills, training, aptitude and local conditions. It supports SHGs of urban poor to access easy credit from bank and avail interest subsidy on SHG loans.

Some of the support initiatives of the Programme for the target group are:

- Technology, marketing and other support services
- Facilitate issuance of credit cards for working capital requirement

- Encourage small enterprises for manufacturing, service and small business with local demand
- Develop a compendium of such activities/projects

The proportion of different sub-groups of beneficiaries is set as follows:

- Women beneficiaries – Not less than 30%
- SCs and STs beneficiaries – At least same as their proportion in the city/town population
- Differently abled beneficiaries – 5% with priority to women
- At least 15 percent of physical and financial targets earmarked for minority communities.

40.2.3 Selection of Beneficiary & Procedure for Sponsoring Applications

Following channels are used of identification of beneficiaries:

Community Organizers (COs), professionals from Urban Local Body (ULB), SHGs and Area Level Federations (ALFs), Banks identifying prospective beneficiaries, BCs and BFIs used by banks, Beneficiaries directly approaching ULB or its representatives.

The beneficiaries seeking financial assistance for setting up an enterprise can submit application to the ULB.

The applicants are called by the ULB to complete the Loan Application Form, verify the identity of the beneficiary based on Aadhaar (if not available then through any other OVD, and Aadhaar to-be obtained later). A Task Force at ULB scrutinizes the applications based on experience, skills, viability of activity, scope of the activity etc. and interviews the applicants before recommending or rejecting the application.

The applications selected by the Task Force are forwarded to the concerned bank. The bank is required to process such applications within 15 days of receipt.

Direct Applications to Banks: Banks may also directly accept the loan applications of urban poor beneficiaries on the basis of relevant documents as per the guidelines of Prime Minister MUDRA Yojana (PMMY). The banks can send details of such loans sanctioned by them to ULBs for confirmation of their eligibility for interest subsidy.

40.2.4 Educational Qualifications and Training Requirement

There is no stipulation of minimum educational qualification for beneficiaries. If the identified activity for micro-enterprise development requires some special skills appropriate training must be provided to the beneficiaries before extending financial support.

Following types of training support are delivered:

- Employment through Skills Training and Placement (ES&TP)
- Entrepreneurship Development Program (EDP)
- Follow-up Entrepreneurial Support to Individual and Group Entrepreneurs

40.2.5 Pattern of Financial Assistance

The financial assistance is in the form of Interest subsidy on the bank loans. Interest subsidy, over and above 7% rate of interest is given in case of timely repayment of loan. Additional 3% interest subvention is provided to all Women Self Help Groups (WSHGs) who repay their loan in time. The banks need to credit the amount of 3% interest subvention to the eligible WSHGs accounts, and thereafter seek the reimbursement.

40.2.6 Procedure for interest subsidy to Banks

Procedure I

The submission and settlement of claims from banks would be done on monthly basis. The ULB will check the data at their end and will release the interest subsidy amount (difference between 7% p.a. and prevailing rate of interest) to the banks. The claims should not remain pending for more than one quarter.

Procedure - II

A public sector bank is designated by each State as nodal bank. All banks upload consolidated data regarding interest subsidy on the portal of Nodal Bank. The nodal bank transfers the amount to the beneficiaries through Direct Benefit Transfer (DBT) mode.

40.2.7 Individual Enterprises (SEP-I) - Loan & Subsidy

- (a) **Age:** The beneficiary should be at least of 18 years.
- (b) **Project Cost (PC):** Maximum unit Project Cost should be ₹2,00,000.
- (c) **Collateral Guarantee on Bank Loan:** No collateral is required. Only assets financed would be charged to banks and banks avail guarantee from CGTMSE or any other fund.
- (d) **Repayment:** Over 5 to 7 Years after initial moratorium of 6-18 months.
- (e) **Margin Money:** No margin for loans up to ₹50,000; and for higher amount preferably 5%, and in no case more than 10% of the project cost.
- (f) **Type of Loan Facility:** Term Loan - for capital expenditure; and Cash Credit – for working capitals. Composite Loans consisting of both components.

40.2.8 Group Enterprises (SEP-G) - Loan & Subsidy

- (a) **Eligibility Criteria:** Group enterprises should have minimum 3 members with at least 70% from urban poor families, and not more than one person from the same family.
- (b) **Age:** At least 18 years, if applying for bank loan.
- (c) **Maximum Loan:** Maximum ₹2 Lakh per member or aggregate ₹10 Lakh, whichever is lower.
- (d) **Mode of Loan:** Single loan to the group, or to each member up to ₹2 lakh, with cap of ₹10 lakh.
- (e) **Type of Loan Facility:** Term Loan - for capital expenditure. Cash Credit - for working capital. Composite Loans for both components. Additional loan can be sanctioned even if the previous loan is outstanding.
- (f) **Loan and Margin Money:** No margin money for loan up to ₹50,000, and for higher amount preferably 5%, but not more than 10% of the project cost.
- (g) **Collateral/ Guarantee on Bank Loan:** No collateral or guarantee is required. Only assets financed would be charged to banks. Guarantee cover from CGTMSE or any other fund.
- (h) **Repayment:** Over 5 to 7 years after initial moratorium of 6-18 months.

40.2.9 SHG-Bank Linkage – General Guidelines

RBI Guidelines on SHG-Bank Linkage Programme have been discussed in detail in 41.5.

40.2.10 Credit Card for Enterprise Development

The individual entrepreneurs needs immediate and short term cash for meeting expenses for purchase of goods, raw materials and other miscellaneous expenditures etc. and depends on informal sources of

credit (including money lenders) typically at high rate of interest. To support for such credit needs, DAY-NULM facilitates access to Credit Cards or MUDRA Card through banks. The SULM in consultation with the SLBC finalises the norms, limits and specifications for issuance of Credit Card or MUDRA Card to the individual entrepreneurs. Identification of beneficiaries and their linkage with banks for issuance of such cards is done by the ULBs.

40.2.11 Technology, Marketing and Other Support

The City Livelihoods Centers (CLCs) established under DAY-NULM offer services such as for establishment (licenses, certificates registration, legal services etc.), production, procurement, technology, processing, marketing, sales, packaging, accounting, etc. for long term sustainability.

40.2.12 Unique Code for loans under NULM

Banks should categorise these loans under Non-Farm sector with unique sub-code for loans under NULM and separate sub-sub-codes for SEP-I, SEP-G, SHG and WSHGs.

40.3 PRADHAN MANTRI JAN DHAN YOJANA (PMJDY)

40.3.1 Introduction

“Pradhan Mantri Jan-Dhan Yojana (PMJDY)” is a Government of India initiative under the National Mission for Financial Inclusion.

40.3.2 Scheme Details

The Scheme envisages a savings bank account for each adult, linked with other benefits. Persons without an OVD could open a ‘Small Account’. The benefits are:

- (i) No minimum balance required.
- (ii) RuPay Debit card provided.
- (iii) Accident Insurance Cover of ₹1 lakh (₹2 lakh to accounts opened after 28.8.2018) available with RuPay card. Claim is payable if minimum one successful financial or non-financial customer induced card transaction is done within 90 days prior to date of accident including accident date.
- (iv) Life insurance cover of ₹30,000/- of the account holder with RuPay debit card.
- (v) Easy Transfer of money across India
- (vi) Beneficiaries of Government Schemes get DBT.
- (vii) After satisfactory operation of the account for 6 months, overdraft facility.
- (viii) Eligible for PMJJBY, PMSBY, APY, MUDRA scheme.

40.3.3 Overdraft Facility in PMJDY Accounts

Overdraft facility provides hassle free loan to low income group to meet exigencies.

Eligible Individuals: Eligibility criteria of PMJDY account holders are:

- a) BSBD accounts operated satisfactorily for at least six months
- b) OD granted to the earning member, preferably a woman of the family.
- c) Regular credits under DBT/ DBTL scheme/other verifiable sources.
- d) Account should be seeded with Aadhaar for avoiding duplicate benefit.
- e) Account holder should not have any other SB account with any bank.

f) Age of applicant - between 18 years to 65 years.

This facility is not available to minors, holders of KCC/ GCC, and more than one family member.

Period of Sanction: 36 Months subject to annual review of account.

Loan amount: Lower of the 4 times of average monthly balance or 50% of credit summations during the preceding 6 months, subject to maximum ₹10,000/-.

Interest rate: Not exceeding 2% above base rate.

Other Conditions: No processing fee can be charged for this facility.

Operational Aspects: SBOD account will be primary account to receive all subsidies/ benefits. DBT should be frozen to such accounts till currency of loan. NPCI repository of Aadhaar Seeding for banks to verify any earlier seeding. Mobile Number of the borrower/ family to be on record.

40.4 PRADHAN MANTRI SURAKSHA BIMA YOJANA (PMSBY)

The Scheme is available to people in the age group 18 to 70 years with a bank account who give their consent to join / enable auto-debit on or before 31st May for the coverage period 1st June to 31st May, on an annual renewal basis. Aadhaar would be the primary KYC for the bank account. The risk coverage under the scheme is Rs. 2 lakh for accidental death and full disability and Rs. 1 lakh for partial disability. The premium of Rs. 20 per annum is to be deducted from the account holder's bank account through 'auto-debit' facility in one installment. The scheme is being offered by Public Sector General Insurance Companies or any other General Insurance Company who are willing to offer the product on similar terms with necessary approvals and tie up with banks for this purpose.

40.5 ATAL PENSION YOJANA (APY)

The Atal Pension Yojana (APY) was launched on 09.05.2015 to create a universal social security system for all Indians, especially the poor, the under-privileged and the workers in the unorganised sector. APY is administered by Pension Fund Regulatory and Development Authority (PFRDA). APY is open to all bank account holders in the age group of 18 to 40 years and the contributions differ, based on pension amount chosen. From 1st October, 2022 onwards, any citizen who is or has been an income-tax payer, shall not be eligible to join APY. Subscribers would receive the guaranteed minimum monthly pension of Rs. 1000 or Rs. 2000 or Rs. 3000 or Rs. 4000 or Rs. 5000 at the age of 60 years. The monthly pension would be available to the subscriber, and after him to his spouse and after their death, the pension corpus, as accumulated at age 60 of the subscriber, would be returned to the nominee of the subscriber. In case of premature death of subscriber (death before 60 years of age), spouse of the subscriber can continue contribution to APY account of the subscriber, for the remaining vesting period, till the original subscriber would have attained the age of 60 years. The minimum pension would be guaranteed by the Government, i.e., if the accumulated corpus based on contributions earns a lower than estimated return on investment and is inadequate to provide the minimum guaranteed pension, the Central Government would fund such inadequacy. Alternatively, if the returns on investment are higher, the subscribers would get enhanced pensionary benefits.

40.6 MUDRA LOANS

40.6.1 Genesis

In April 2015, Micro Units Development & Refinance Agency Ltd (MUDRA) was set up. Pradhan Mantri Mudra Yojana (PMMY) was launched, with MUDRA as administering agency.

40.6.2 Objective and Functions of MUDRA

The objective of MUDRA is developing and refinancing micro-enterprises sector by supporting financial Institutions lending to micro/small business entities. The functions of MUDRA include the following:

- Extending financial support for micro enterprises in the form of refinance
- Monitor the PMMY data by managing the web portal
- Facilitate offering guarantees for loans granted under PMMY

40.6.3 MUDRA Schemes and Loan Amounts

MUDRA has three schemes for providing assistance at different stages:

- (a) Shishu: covering loans upto ₹50,000/-
- (b) Kishor: covering loans above ₹50,000/- and upto ₹5 lakh
- (c) Tarun: covering loans above ₹5 lakh to ₹10 lakh

The maximum amount of assistance under MUDRA is ₹10 lakh.

40.6.4 Eligible Borrowers

The scheme is open to individuals, proprietary concerns, and entities. The eligibility criteria are:

- Should not be defaulter to any bank or financial institution
- Should have a satisfactory credit track record
- Individuals to possess the necessary skills/experience/knowledge to undertake the proposed activity
- Need for educational qualification, if any, to be assessed based on the proposed activity

40.6.5 Purpose and Nature of Loan

The loan is provided for income generating activities and not for consumption/personal needs. The extent of loan is based on the Project cost and the investment proposed. The loan is extended in any form like term loan/OD limit/composite loan for acquiring capital assets and/or working capital/marketing related requirements. For working capital purposes 'MUDRA' card (a RuPay debit card) has also been launched. Repayment done when surplus is available reduces the interest cost.

40.6.6 Margin/Promoters' Contribution

Banks may ask for margin/ promoters' contribution as per RBI guidelines, except for Shishu loans.

40.6.7 Interest Rates/Processing Charges

Interest can be charged as per the bank's policy. In case of refinance the rates will be as advised by MUDRA. Banks may charge processing fee but for Shishu Loans most banks have waived these.

40.6.8 Security

- (a) First charge on all assets financed, and other assets directly associated with the business financed.
- (b) Cover under CGFMU of CGTMSE.

No collateral security to be obtained, in terms of RBI guidelines.

40.6.9 Repayment/Tenor of Loan

The period of loan is based on the economic life of the assets created and also the cash flow generated. The refinance assistance from MUDRA is for maximum 36 months. Term Loan/term Loan component repaid in periodical instalments, with suitable moratorium. OD/CC limit is repayable on demand and subject to review/renewal.

40.7 KHADI VILLAGE INDUSTRIES COMMISSION (KVIC)**40.7.1 Objectives**

The Khadi and Village Industries Commission (KVIC) is a statutory body. In April 1957, it took over the work of former All India Khadi and Village Industries Board. The broad objectives of the KVIC are:

- Social objective: Providing employment.
- Economic objective: Producing saleable articles.
- Wider objective: Creating self-reliance among poor; Building a strong rural community spirit.

40.7.2 Functions

- Programs for development of Khadi and other village industries in rural areas
- Building up reserve of raw materials and implements for supply to producers
- Creating common service facilities for processing raw materials to semi-finished goods
- Providing facilities for marketing KVI products
- Organising training of artisans in these industries
- Providing financial assistance to institutions/ individuals for development and operation of KVI

40.7.3 Prime Minister's Employment Generation Programme (PMEGP)**40.7.3.1 Background**

In 2008, PMEGP (a credit linked subsidy programme) was introduced by merging Prime Minister's Rojgar Yojana (PMRY) and Rural Employment Generation Programme (REGP). The Programme has been modified and is currently in force for a period of 5 years (FY 2021-22 to 2025-26).

40.7.3.2 Implementing Agencies (IA)

PMEGP is implemented by KVIC, as the Nodal Agency at the National level. At the State level it is implemented through State KVIC Directorates, State Khadi and Village Industry Boards (KVIBs), District Industries Centres (DICs) and banks.

Support of other agencies for entrepreneurship development is also enlisted. Coir Board is associated for coir related activities.

Among the financial institutions, all public sector and regional rural banks; those co-operative banks and private sector banks that are approved by the SLTC; and SIDBI participate in this Programme.

40.7.3.3 Objectives

- To generate employment opportunities through new self-employment ventures, micro-enterprises.
- To bring together dispersed artisans, youth and provide self-employment avenues.
- To provide sustainable employment to arrest migration of youth from rural to urban areas.
- To increase wage earning capacity of workers and artisans, and increase employment growth.

40.7.3.4 Identification of Beneficiaries

The identification of beneficiaries under the revised procedure is at the district level by the State/ District level implementation agencies viz. KVIC/ State KVIB and State DICs and banks, etc.. The beneficiaries are provided training in entrepreneurship and vocational skills for two weeks at an EDP/ SDP/ ESDP or Vocational Training (VT). For cases forwarded by banks, the scoring model designed by the Indian Banks Association is used for evaluating a PMEGP loan applicants.

40.7.3.5 Financial Assistance Provided

- (a) The financial support from the Government is for the following two purposes:
- Providing Margin Money Subsidy:** Capital subsidy for margin money.
 - Backward and Forward Linkages:** To meet expenses connected with backward and forward linkage activities viz. awareness camps, exhibitions, EDPs, and evaluation, etc.
- (b) Margin money subsidy provided to the beneficiaries under the Programme is as detailed below.
- For Setting up New Micro Enterprise Unit:** The capital subsidy available is indicated below.

Beneficiary Category	Beneficiary's Contribution (As % of Project Cost)	Subsidy Component (As % of Project Cost)	
		Urban Area	Rural Area
General category	10	15	25
Special category (SC/ST/OBC, Minorities, Women, Ex-Servicemen, Transgenders, Differently abled, Aspirational Districts, North East region, Hill and Border areas, etc.)	5	25	35

- For Upgradation of Existing PMEGP/MUDRA Units:** Capital subsidy support of 15% (20% in the North East region and the Hill States) of the project cost for upgradation of units earlier supported under PMEGP/MUDRA. Own contribution of the beneficiary 10%.
- (c) **Project Cost and Bank Loan Component:** The projects are financed from three sources: Own contribution, Capital Subsidy, and Bank Loan. The total Project Cost comprises Capital Expenditure and Working Capital. Banks give term loan and cash credit. The ceilings for the project cost and subsidy amounts are as detailed ahead.

Purpose	Project Cost Eligible for Subsidy (₹ in lakh)
A. Manufacturing Sector	
(i) For setting up New Unit	50
(ii) For Upgradation of Existing Unit	100
B. Business/Service Sector	
(i) For setting up New Unit	20
(ii) For Upgradation of Existing Unit	25

If total project cost exceeds Rs. 50 lakh or Rs. 20 lakh for Manufacturing and Service/ Business sector respectively, the balance amount may be provided by banks without any government subsidy

2nd1 Loan for upgradation of existing PMEGP/ REGP/ MUDRA units

Categories of beneficiaries under PMEGP (for upgradation of existing units)	Maximum Project Cost	Beneficiary's contribution	Subsidy
All categories	—	10% of Project cost	15% (20% in NER and hill states) of Project cost
Manufacturing Sector	₹1 crore	₹10 lakh (Maximum)	₹15 lakh (₹20 lakh for NER and Hill States) (Maximum)
Business/Service sector	₹25 lakh	₹2.5 lakh (Maximum)	₹3.75 lakh (₹5 lakh for NER and Hill States) (Maximum)

The balance amount is provided by banks. If total project cost exceeds the ceiling, balance amount may be provided by banks without any Government subsidy.

40.7.3.6 Eligibility Criteria for Beneficiaries

- (i) **Age:** Minimum 18 years old.
- (ii) **Income:** No income ceiling.
- (iii) **Education:** At least 8th Standard for projects costing above ₹ 10 lakh in manufacturing sector, and ₹ 5 lakh in business/service sector.
- (iv) **Nature of Project:** Only for new project. Existing units are not eligible.
- (iv) **Family Criteria:** Only one person from a family (i.e. self and spouse) can avail assistance.

40.7.3.7 Eligibility Criteria for Projects

A. For New Units

- (i) Projects without capital expenditure are not eligible under the Programme.
- (ii) Cost of land is not included in the Project Cost. However, cost of built shed/ long lease or rental workshop can be included for a maximum period of 3 years.

- (iii) New viable micro enterprises for all types of activities are eligible. Not eligible: Activities prohibited by the local government/ authorities; and Activities in Negative list of the Programme.

B. For Upgradation of Existing PMEGP/ MUDRA Units

- (i) Margin money under PMEGP should be successfully adjusted at end of lock in period of 3 years.
- (ii) First loan under PMEGP/ REGP/MUDRA is repaid in time.
- (iii) The unit is profit making and its turnover and profit will increase with upgradation/ modernisation.

40.5.3.8 Bank Finance

- (i) **Extent of Loan:** (Including capital subsidy) 90% - General category; 95 % - special category.
- (ii) **Nature of facility:** For capital expenditure - Term Loan, For working capital - Cash Credit. Composite loan – covering both capital expenditure and working capital.
- (iii) **Proportion of Working Capital:** Maximum project cost is ₹50 lakh (Capital Expenditure and Working Capital). Working Capital component should not be more than: 40% (Manufacturing units), and 60% (Service/Trading sector). The bank can consider sanctioning additional funds over and above ₹50 Lakhs and ₹20 Lakhs respectively, not covered for subsidy.
- (iv) **Interest rate and Repayment Schedule:** Banks can charge interest rates as per their policy. Repayment over 3 to 7 years, after an initial moratorium period.
- (v) **Collateral Security:** No collateral security for loans upto ₹ 10 lakh.
- (vi) **Disposal of Loan Application:** Decision within 30 days of the receipt of application.

40.7.3.9 On-line Process Flow of application

- a. Online applications on PMEGP Portal developed and put into operation by KVIC is mandatory.
- b. The IAs shall take the final decision, within three weeks, based on the scoring criteria as detailed below;

Project Cost	Minimum Score for forwarding to Banks
Up to ₹10 Lakhs	50 out of 100
Above ₹10 Lakhs	60 out of 100

- c. There shall be an Online Grievance Portal and a Grievance Cell to be setup by the KVIC, HQ.
- d. The banks will either sanction or reject the loan application within a stipulated period. Sanction will be issued online and copies of the sanction order will be sent to the applicant (by e-mail/hard copy) as well as to KVIC/ KVIB/ DIC/other IAs within 30 days from the receipt of application from the District Agencies.
- e. Applicants can undertake EDP training at any time after submission of the application.
- f. The applicant will deposit his own contribution and copy of EDP training certificate with photo and Aadhaar number to the financing bank within 30 working days of receiving sanction.
- g. Bank will release first instalment of loan and submit claim for Margin Money subsidy.
- h. Once the subsidy is received in the financing bank within 24 hours it should be kept in Term Deposit - Subsidy Reserve Fund (SRF) for three years in the name of the beneficiary. No interest will be paid on the TDR/ SRF, and no interest will be charged on loan disbursed for the corresponding amount.
- i. In case the bank's advance goes "bad" before the three-year period, due to any reason whatsoever, beyond the control of the beneficiary, subsidy will be returned to KVIC. In case any recovery is affected subsequently by the bank, such recovery will be utilized for liquidating their outstanding dues.

40.8 LET US SUM UP

The erstwhile schemes of financial assistance and other supports to the poor in rural and urban areas have been replaced by DAY – NRLM and DAY-NULM. These programmes are of the GoI administered by States and UTs. Under both NRLM and NULM, besides financial assistance other support services are also provided to the identified beneficiaries. Both these programmes focus on the family as a unit for the upgrading the livelihood of the poor. Interest subsidy/subvention on the loan component have replaced the earlier capital subsidy support. Another programme for financial inclusion is PMJDY, in which assistance not only for banking account, but also various financial services like, insurance, mutual fund, remittances are provided. In April 2015, MUDRA was set up, and PMMY was launched. MUDRA provides refinance to lending agencies that have granted loans under the scheme to eligible entrepreneurs. ‘MUDRA’ card facilitates using cash credit facility. PMEGP a central scheme to generate employment through setting up of new self-employment ventures/projects/micro enterprises is implemented by KVIC,. PMEGP is a capital subsidy linked loan programme aimed at generating employment through setting up of micro enterprises. It also provides assistance for upgradation of enterprises set up earlier under PMEGP/MUDRA.

40.9 KEYWORDS

Deendayal Antyodaya Yojana – National Rural livelihood Mission (DAY-NRLM); Deendayal Antyodaya Yojana – National Urban Lending Mission (DAY-NRLM); Pradhan Mantri Jan Dhan Yojana (PMJDY); Stae Level bankers Committee (SLBC); District Coordination Committee (DCC); Lead District Manager (LDM); Participatory Identification of Poor (PIP); Socio-Economic and Caste Census (SECC); Self Help Group (SHG); Joint Liability Group (JLG); Revolving Fund (RF); Community Investment Support Fund (C.I.F); Bank Mitras; Interest Subvention; Rural Self Employment Training Institutes (RSETIs); Intensive blocks; Credit Target Planning; City Livelihoods Centres (CLCs); Urban Local Body (ULB), MUDRA, PMEGP, KVIC.

40.10 CHECK YOUR PROGRESS

1. ‘National Rural Livelihood Mission’ (NRLM) replaced _____ of the following schemes.
 - (a) Integrated Rural Development Programme (IRDP)
 - (b) Training of Rural Youth for Self-Employment (TRYSEM)
 - (c) Development of Women and Children in Rural Areas (DWCRA)
 - (d) Swarnajayanti Gram Swarozgar Yojana (SGSY)
2. Under NRLM, a women SHG is entitled for _____.
 - (a) capital subsidy of maximum ₹ 3,00,00.
 - (b) capital subsidy of maximum ₹ 5,00,00.
 - (c) interest subvention on loan up to maximum ₹ 5,00,000.
 - (d) interest subvention on loan up to maximum ₹ 3,00,000 .
3. Under SEP-G of NULM, a bank will sanction maximum loan of ₹ _____ lakh per individual or maximum ₹ _____ lakh for the Group, whichever is lower.

(a) 2; 10	(b) 1; 5
(c) 3; 10	(d) 2; 5

4. Under PMJDY, the limit for overdraft facility is ₹_____ and it is available to _____ member(s) of a household.
- | | |
|--------------|---------------|
| (a) 5,000; 2 | (b) 10,000; 2 |
| (c) 5,000; 1 | (d) 10,000; 1 |

40.11 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (d), 3. (a), 4. (d).



SELF-HELP GROUPS

STRUCTURE

- 41.0 Objectives
- 41.1 SHG – Definition
- 41.2 Need for SHGs
- 41.3 Forming SHGs
- 41.4 SHG-Bank Linkage Programme
- 41.5 Let Us Sum Up
- 41.6 Keywords
- 41.7 Check Your Progress
- 41.8 Answers to ‘Check Your Progress’

41.0 OBJECTIVES

After studying, this Unit, you will:

- Understand the concept of Self-Help Groups (SHGs)
- Know the benefits of SHG to the poorer sections of the society
- Know the features of SHG-Bank linkage Programme

41.1 SHG – DEFINITION

‘Self-Help Group’ (SHG) is a voluntary association of poor formed with the common goal of social and economic empowerment. SHG is a silent revolutionary concept that has taken place in the credit delivery system. Micro-finance through SHGs offers best form of credit for reaching the unreached and the under-reached.

41.2 NEED FOR SHGS

The rural poor are incapacitated due to various reasons, such as; most of them being socially backward, illiterate, having low motivation and poor economic base. Individually, a poor is not only weak in socio-economic term but also lacks access to the knowledge and information, which are the most important components of today’s development process. However, in a group, they are empowered to overcome many of these weaknesses. Hence, SHGs help in development of poor through various benefits:

- (a) Mobilising resources of individual members for collective development
- (b) Uplifting living conditions of poor
- (c) Creating savings habit
- (d) Mobilising individual skills for group’s interest
- (e) Assisting members financially at the time of need
- (f) Entrepreneurship development
- (g) Identifying problems, analysing and finding solutions in the group
- (h) Organise training for skill development

41.3 FORMING SHGs

The group formation and management is done keeping in view following broad guidelines:

- (a) *Number of Members*: Normally, members in a group should not exceed twenty; otherwise, registration becomes compulsory. Generally, a SHG may consist of 10 to 20 persons. In difficult areas like deserts, hills, etc. it may have just 5 members.
- (b) *Family Income Criteria*: Generally, all members should belong to families below the poverty line (BPL). If necessary, maximum 20% and exceptionally upto 30% of members may be from families marginally above the poverty line (APL) living contiguously with BPL families.
- (c) *Subsidy Eligibility*: Only BPL members will be eligible for subsidy.
- (d) *Management of Group*: BPL families must participate in management and decision making. Not entirely in the hands of APL families. APL members not to be office bearers.
- (e) *Restrictions on Membership*: SHG not more than one member from same family. A person not be a member of more than one group.
- (f) *Code of Conduct*: The group should devise Group management norms to bind itself.

- (g) *Building Corpus*: It should build corpus through regular savings contributed by members.
- (h) *Loans to Members*: Corpus fund should be used to advance loans to members.
- (i) *Bank Account*: To have a group's bank account preferably in service area bank branch.
- (j) *Records*: It should maintain simple basic records such as minutes book, attendance register, loan ledger, general ledger, cash book, bank passbook of the group and individual members' passbooks.

41.4 SHG-BANK LINKAGE PROGRAMME

Linking of SHGs with banks has been emphasized by RBI. Banks were advised that they may consider lending to SHGs as part of their mainstream credit operations.

- (a) **Opening of Savings Bank A/c**: SHGs, registered or unregistered, which are engaged in promoting savings habits among their members are eligible to open savings bank accounts with banks.
- (b) **Lending to SHGs**: SHGs may be sanctioned savings linked loans by banks (varying from a saving to loan ratio of 1:1 to 1:4), and for matured SHGs even beyond this proportion.
- (c) **Interest Rates**: The banks can decide the interest rates, as per regulatory guidelines.
- (d) **Service/Processing Charges**: No service charges/inspection charges should be levied on loans up to ₹ 25,000 per member, in case of eligible priority sector loans to SHGs/JLG.
- (e) **Presence of defaulters in SHGs**: If SHG is not in default, some members being defaulter should not detract from financing the SHG.
- (f) **Capacity building and Training**: Banks to internalize the SHG linkage project and organize exclusive short duration programmes for field level functionaries.
- (g) **Monitoring and Review of SHG Lending**: Monitoring of SHG bank linkage programme should be discussed at the SLBC and DCC meetings.
- (h) **Reporting to CICs**: Credit information reporting should be done as prescribed.

41.5 LET US SUM UP

SHG is an unregistered group of less than 20 persons; registration is compulsory for more than 20 –ersons. Memembrs are from a homogeneous class who come together for addressing their common problems, both economic and community. They are encouraged to make voluntary savings on a regular basis. They use these savings to make interest-bearing loans to their members. The group, which has learnt basic process of savings money, lending and recovering it back, are ready to be linked to the bank, and have access to the larger resources of the bank. Under the SHG – Bank linkage programme banks have been asked to meet entire credit requirement such as credit for income generation activity, social needs and debt swapping.

41.6 KEYWORDS

Self-Help Group, Joint Liability Group, Linkage, Capacity building, Micro-finance, Thrift, Entrepreneurship Development, Team Work, Skill Development, Below Poverty Line (BPL), DRDA.

41.7 CHECK YOUR PROGRESS

1. Maintenance of which of the following books, registers is not compulsory for SHG?
 - (a) Minutes book
 - (b) Savings and Loan register
 - (c) Visitors book
 - (d) Members' passbook

2. Bank lending to SHG can usually be maximum in the ratio _____.
(a) 1:4 (b) 1:3
(c) 1:2 (d) 1:5

41.8 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c), 2. (a).

MODULE C

BANKING TECHNOLOGY

- Unit 42.** Essentials of Bank Computerisation
- Unit 43.** Operational Aspects of CBS Environment
- Unit 44.** Alternate Delivery Channels – Digital Banking
- Unit 45.** Data Communication Network and EFT Systems
- Unit 46.** Digital Payment Systems – NPCI
- Unit 47.** Impact of Technology Adoption and Trends in Banking Technology
- Unit 48.** Security Considerations and Mitigation Measures in Banks
- Unit 49.** Operational Aspects of Cyber Crimes/Fraud Risk Management In Cyber Tech
- Unit 50.** Technology Trends In Banking, E-Rupi, Fintech - Regtech, Suptech, Hashtag Banking Etc.



ESSENTIALS OF BANK COMPUTERISATION

STRUCTURE

42.0 Objectives

42.1 Introduction

42.2 Bank Computerisation

42.2.1 Need for Computerisation

42.2.2 Stand-alone Computer System

42.2.3 Multi-User Systems

42.3 Networking Technologies in Banks

42.3.1 Local Area Network (LAN)

42.3.2 Network Topology (Layout)

42.3.3 Network Protocols

42.3.4 Wide Area Network (WAN)

42.4 Uninterrupted Power System (UPS)

42.5 Core Banking

42.5.1 Business Components of CBS

42.5.2 Benefits of CBS

42.5.3 Essential Requirements

42.6 Data Warehousing and Data Mining

42.7 Let Us Sum Up

42.8 Keywords

42.9 Check Your Progress

42.10 Answers to ‘Check Your Progress’

42.0 OBJECTIVES

After studying this unit, you should be able to know about:

- Bank Computerisation
- Networking Technologies in Banks
- Uninterrupted Power Supply.
- Core Banking Solution
- Data Warehousing and Data Mining

42.1 INTRODUCTION

Before the year 1983, most of the banks had taken a passive view concerning computerizing their operations. It was only after 1983 and the First Report of ‘Rangarajan Committee’ that brisk activities were taken to bring quick technological changes in computers and communications.

The wind of liberalization sweeping through India affected all sectors of the economy, and the centre of all these activities was the Indian Banking Industry. In such a fast-changing environment, to meet emerging needs, banks took immediate steps for automation to provide services comparable to the best international standards and match technological changes in other countries.

Indian Banking industry leveraged technology to improve Customer service, Book-keeping and MIS reporting, transforming ‘conventional banking to convenience banking’. Banks in India have since embraced automation through computerisation supported by the policies from regulators. The adoption of digital technology has helped banks to build Core Banking Systems, Alternate Delivery Channels and various Electronic Payment Systems and paved the way for the growth and spread of banking services. Banking services over the Internet has brought much convenience to the customers.

42.2 BANK COMPUTERISATION

The concept of Bank Computerisation practically started during 1980-81. In the year 1983, a committee was set up under the chairmanship of the then Deputy Governor of RBI, Dr. C. Rangarajan, to study the possibilities and stages involved in bank computerisation and prepare guidelines for the same. The Report submitted by the committee in the year 1984 was known as First Rangarajan Committee Report on bank mechanisation. Subsequent to that, computerisation in Banks gained momentum in the year 1983-84. Another Committee was constituted in the year 1988 under the chairmanship of Dr. C. Rangarajan to draw up a perspective plan on the computerisation of banks for a five year period 1990-94.

42.2.1 Need for Computerisation

The four major objectives of bank computerisation are to improve:

- | | |
|----------------------|-------------------------------------|
| (a) Customer service | (b) Housekeeping |
| (c) Decision-making | (d) Productivity and profitability. |

At the Regional and Head Office level, the purpose of computerisation is to store, analyse and retrieve data received from branches, generate information speedily, this helps in strengthening the internal control over branches and policy formulation.

42.2.2 Stand-alone Computer Systems

During the initial stages of computerisation, banks deployed stand-alone computer systems. These stand-alone systems are used by one person at a time. Stand-alone systems involved in processing and analysis of data were best suited for the decision-making process. The managers and executives who were responsible for making managerial decisions used to benefit from such systems. While the stand-alone systems cannot be used in a multi-user environment, they can be easily connected to the existing multi-user systems to access corporate databases and other shared information and resources. Normally in such cases, a stand-alone system is called a workstation or a node. Today's stand-alone systems are also capable of handling Internet, multimedia, high-quality graphics, messaging, communication, etc.

The major advantages of installing single-user systems were low equipment cost, less complicated software, easy operational training to the bank staff and better security and control. However, the single-user system has limitations such as slow processing speed and low data storage capacity.

42.2.3 Multi-User Systems

Multi-user systems are computers which can be accessed by several people at the same time. Microcomputers, Minicomputers, Main Frame Computers, and Super Computers fall under this category.

Multi-User Computer Networking

In a Multi-user Computer Networking system, a Central computer/Server capable of processing information allows multiple users through various terminals to connect to it through a network. All information is kept and processed in the central server. The central computer can store a huge amount of information and possesses a high-processing speed enabling a large number of users to be connected to the main central computer. These systems work on a time-sharing basis and are well suited for developing online applications. Most of the Banking Systems are based on Centralised Data Processing concept supported by operating systems like Unix. Most of the Relational Database Management Systems (RDBMS) and other Database Management Systems (DBMSs) use the Unix operating system platform. In this approach, the terminals have limited powers and cannot process the information locally. The load on the central machine increases with the number of users.

In addition to branches, services can also be provided through alternative delivery channels like ATMs, Internet Banking and Mobile apps. In almost all computerised information systems, the data is processed in Data Centres (DC). The DC has to process a large volume of data every day, to accomplish it DC requires sufficient infrastructure and regular maintenance.

Advantages of Centralised data processing are:

- (a) Provides services to customers of any branch or using any delivery channel. This is called anywhere, anytime banking
- (b) Corporate-level information is made available to branch level users.
- (c) Cost of acquiring hardware, software and other infrastructure for centralized data processing is economical than acquiring the same for individual departments
- (c) Due to the high volume of data processing, the computing resources can be fully utilised
- (d) Skilled technical manpower can also be efficiently managed at a central level
- (e) Expensive resources like leased lines, satellite links, etc., can be shared among various departments/locations
- (f) Centralised processing facilitates better availability and security of data

Branch-Level Computerisation

In the first phase of computerisation, Banks have adopted Branch-level mechanisation, where stand-alone systems were used to handle transactions of specific products like Savings. Current and Loan accounts. These systems were known as ALPMs (Automatic Ledger Posting Machines) and were not interconnected. At that time all banking functions were not computerised like General Ledger was compiled manually. The emphasis on branch-level computerisation was for two important reasons. First, the customer interface at the branch level was maximum. Second, increased use of computers and advanced technology led to reductions in customer waiting time, accuracy in reporting statement of accounts and speedy transfer of funds. All these lead to improved customer service.

Advantages:

- (a) Provides better and speedy customer service
- (b) Improves housekeeping
- (c) Analyses the branch-level data for decision making
- (d) Generates various reports.

Security was not a major concern in branch-level computerisation because of non-exposure to the Internet and online banking. Most of the security features were in-built in the operating system and hardware themselves, such as password provision at different levels, various access rights to system and data, locking facilities, etc. The provision of features like disk mirroring, disk duplexing, transaction tracking systems, regular backups, and uninterrupted power supply avert system failures and helps in recovering from these failures. The generation of audit trails and exceptional transaction reports ensured the proper functioning of the computerised systems.

Total Branch Automation

In the mid-'90s, Indian Banks started moving to Total Branch Mechanisation/Automation in a multi-user computer environment. The majority of the Banking products were computerised. With total branch computerisation, all the customer and business transactions are done with the help of computers. Whenever a transaction is entered through a terminal, the transaction is recorded. Then it is verified and authenticated, and all corresponding updates are reflected instantly. The activities (independent modules) are interlinked to form an integrated system in such a manner that changes are effected without a time lag. Various security controls are enforced to ensure data integrity and security. Various outputs such as ledger extracts, passbooks, vouchers, statements of accounts of customers, etc., are generated online. Total branch computerisation made it possible to implement the 'single window' concept, where customers can transact and complete all their transactions at any single counter. Depending on the customers' convenience and branch needs, the systems could scale up from a single window to a partial window or universal window transactions. In addition, it facilitated EFT (Electronic Fund Transfer) through automatic transmission and processing of messages and funds from one branch/bank to another branch/bank. EFT at Point of Sale (POS) terminals allow the transfer of funds electronically and debit and credit the respective accounts. EFT system can be integrated with an existing online system to automate and speed up the fund transfer process.

Computerisation at Regional/Circle/Zonal Office

In Banks, the Regional Office/Zonal Office acts as a layer between branches and the head office. They exercise effective control over the functioning of the branches, including the collection of data from

branches and transmitting the same to the head office after consolidation. The most common tasks performed by the regional office/zonal office are:

- (a) Branch profile (b) Credit monitoring, (c) Personnel data management, etc.

- (a) *Branch profile*: The Branch profile has two components:

Fixed particulars:

- (1) branch location details such as state, district, city, etc.
- (2) the type of premises, whether rental or owned, etc.
- (3) the area details like metropolitan/ urban/ semi-urban/ rural, etc.

Variable particulars:

- (1) Budgeted business volumes,
 - (2) Actual performance,
 - (3) Income and expenditure data,
 - (4) Various statistical reports, etc.
- (b) *Credit monitoring*: Monitoring loans and advances is one of the major tasks of any bank. This task can be effectively decentralized to the regional/ zonal authorities to have effective control and supervision. Decentralised monitoring involves providing access to a centralised database by ZO/ RO, covering all accounts and details of borrowers. This information helps RO/ZOs to plan various budgetary provisions and policies.
- (c) *Personnel data management*: This database contains information about the personnel working within their region or zone. The personnel database may include information like educational qualifications, age, seniority details, various posts held, training programmes attended, transfer details, etc. Analysis of this database helps to decide workforce requirements, planning, deployment, promotions, transfers, career planning, and performance evaluation.

Computerisation at Head Office Level:

The head office of a bank is responsible for bank-level planning, control functions, policy decisions. The head office activities are divided into different functional areas like:

- | | |
|---------------------------------|-----------------------------|
| (a) Operations, | (b) planning, |
| (c) human resource development, | (d) International business, |
| (e) services | |

The computerisation at various functional areas may include application areas like:

- | | |
|-------------------------------------|----------------------|
| (a) HRD and Administrative support | (b) Funds management |
| (c) Investment Portfolio management | (d) Branch profiles |
| (e) Credit information system | |

The information generated from various functional areas is essential for the top management to make various strategic decisions.

- (a) *HRD and Administrative support*:

The database contains details of bank employees posted in the head office. The administrative support includes computerisation of various office activities like payrolls (includes calculation of monthly salaries, printing pay sheets/slips, generation of various salary reports), recovery reports, provident fund management, loans and advances to employees.

- (b) *Funds management*: Banks should limit their balances with RBI and investments in Government securities to the minimum stipulated in the regulations. The fund management task is very complicated due to day-to-day variations in withdrawals and deposits. Most of the time, a few branches account for a large portion of day-to-day variations. The communication network connecting such branches to the head office computer plays a crucial role in providing online information about the business position of such branches for better fund management. Availability of quick and accurate information about the advances and deposits from the branches enables the head office to manage the funds effectively.
- (c) *Investment portfolio management*: Banks invest a substantial portion of their assets in approved securities in meeting liquidity and current liabilities. The average yield from such investments is always lower than other investments like commercial lending and personal loans. Before an investment is made, several parameters need to be analysed. Various analytical tools are used to analyse the investments. The target is to increase the yield on any investment. Various software packages are available that help build mathematical and analytical models to solve the problems and are used to select and manage the investment portfolios and thereby maximise the return on investment.
- (d) *Branch profiles for HO*: Most banking business is carried out at the branches. The authorities at the head office level control and support the branch activities. The head office requirements are proper flow of information from the branches to the head office. To accomplish it branches provide this information through various reports sent at regular intervals.
- (e) *Credit information system*: The purpose of the computerised credit information system is to provide comprehensive credit information that is used for credit planning and monitoring. The major objectives are:
 - (a) to have up-to-date information on all borrower accounts for the entire Bank,
 - (b) to generate various statutory statistical reports and control returns,
 - (c) to reduce the drudgery of work at all levels,
 - (d) to ensure timely and accurate availability of data and to generate exceptional reports for management information,
 - (e) to facilitate the review and renewals of borrowal accounts,
 - (f) to make available consolidated information of borrower accounts as one entity.

42.3 NETWORKING TECHNOLOGIES IN BANKS

Network infrastructure is the backbone of any financial institution for uninterrupted service delivery. It is essential to have a high-performance computer network that is secure, reliable, scalable and optimized for maximum speed and efficiency.

42.3.1 Local Area Network (LAN)

A computer network is an interconnected system of autonomous computers. Each system is capable of independent operation and communication with other systems. Thus, a computer network is a data communication network mainly used to share data, hardware and software resources and improve the flow of information within an organisation or beyond.

The computer network that links computers, network devices and peripherals within a localized area, say, within a building, is known as LAN. Computers and related equipment can be connected through nodes placed anywhere in the network.

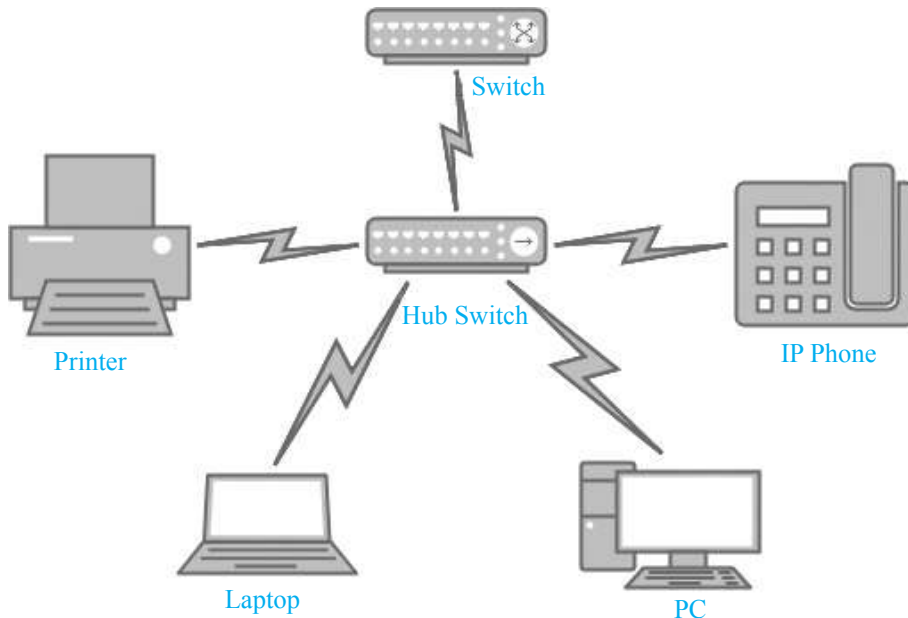


Figure 42.1 Local Area Network

Generally, LAN will not extend beyond 100 meters for Cat5e cables. However, the distance and the number of nodes supported vary depending on the medium used to establish the network.

In LANs, each independent system is known as a node, and when such nodes are interconnected, it is known as a LAN. Usually, there will be one central node (Server) providing and controlling all the network services. The client nodes route their requests to the server and obtain the necessary services. The server that handles these services differ depending upon the topology and protocols.

A LAN distinguishably uses network adapters that employ special techniques to share a common medium (such as a cable or a radio or light wave) between the connected nodes. A LAN also uses some software to deal with simultaneous requests for services from many client stations. Sharing common cabling and pooling resources within a workgroup are the key elements of LAN operation.

42.3.2 Network Topology (Layout)

A network topology is the physical and logical arrangement of nodes and connections in a network. Nodes usually include devices such as switches, routers and software with switch and router features. The two basic forms of local area network designs used in information transmission are centralised control and distributed control. The popular centralised control networks are based on *star* and *tree* topologies, while the distributed controls are based on *ring* and *bus* topologies. Each topology has its advantages and disadvantages. Before we get into the details of topologies, let us understand how the data transmission takes place in a network. The method of operation for transferring data over networks is called packet switching. The data a user wishes to send, commonly referred to as a message, is broken down into smaller units called packets. Each packet consists of some data bits and a header containing its source and destination address. The packets are passed one by one by the switching exchange (device) to another until they reach their destination.

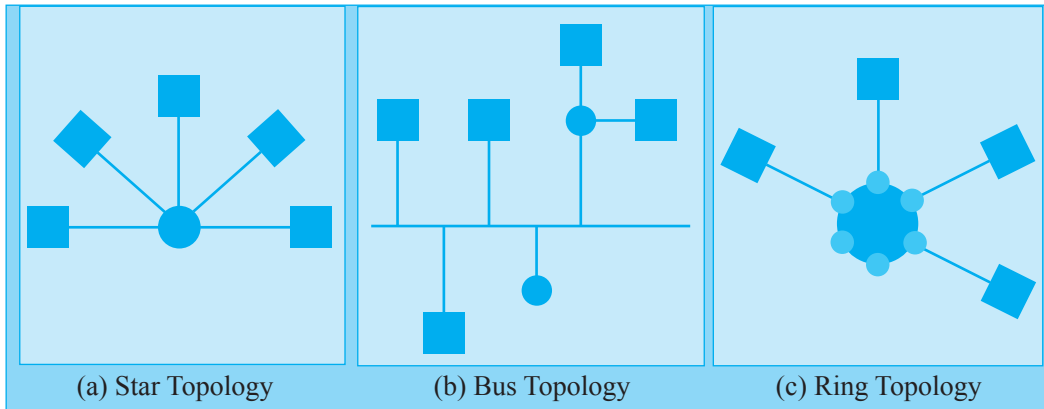


Figure 42.2 Topology (Layout)

Bus Topology: All devices in the network are connected to a single continuous cable. Transmission from any workstation travels the entire length of the cable in both directions and is received by all other workstations. The main advantage of bus topology is that it is quite easy to set up. Further, if one workstation on the LAN fails, it will not affect the rest of the network. The disadvantage is that it not only limits the geographic spread but also offers limited flexibility for change.

Ring Topology: All the devices are connected in a closed-loop and information is passed from one node to the other in series. Data transmission is possible in one direction only. As the packet circulates, the destination recognizes its address and copies the packet contents onto it. The breakdown of any one station on the ring can disable the entire LAN.

Star Topology: Central node often acts as the master. All the other nodes are connected to the master by a separate medium (cable). While this topology gives the advantage of maximum ability to change and if one node fails, it will not affect the entire network. Disadvantages are it cannot handle large traffic, as every transaction has to pass through the central node.

Tree Topology: It resembles a tree in the real world. This topology has a root node, intermediate nodes and leaves nodes. The root node is the head node of this structure. The leave nodes are the last nodes and do not have any child nodes. This structure is constructed in a hierarchical form, and any node can have any number of child nodes.

42.3.3 Network Protocols

Protocol, in computer science is a set of rules or procedures for transmitting data between electronic devices, such as computers. When any two pieces of equipment are connected, effective communication will only occur when they ‘talk’ and ‘understand’ the same language. In other words, there should be a standard communication protocol. There are protocols for all aspects of communication links like cables, connectors, etc., including the software running on the connected devices which control the data transmission over the network. The protocols are the set of rules for communication between similar modules of processes, usually in different nodes. Protocols define message formats and the rules for message exchange. It controls priority and sequence of transmission, errors in transmission, and the process of beginning and concluding communication.

The network protocols depend on the adapters. Some of the commonly used types of adapters are Ethernet and Token-RING.

Ethernet is technology for connecting devices in LAN or WAN. It enables devices to communicate with each other via a protocol, which is a set of rules or common network language.

In the Ethernet system, the listen-before-transmit media sharing system is called Carrier-Sense Multiple Access with Collision Detection (CSMA/CD) system. Ethernet cards share the common wire by transmitting only when the channel is clear. If two stations try to transmit simultaneously, a collision occurs. The stations halt transmission and wait for a random period before retransmitting.

A token-ring sends data in one direction by using a token. This arrangement is used in LAN. The tokens are the symbol of authority for control of the transmission line. Token-ring system uses what is termed as a deterministic media-access control system. The 'token' in token-ring is a special frame, passed from node to node, that permits a node to enter a frame into the ring. In the 'token-ring, the token circulates when all stations are idle. When a station wants to transmit data, it must wait until it detects a token passing by. It seizes the token and transforms it into a start-of-packet sequence for its data packet. The data packet on the ring makes a round in the ring. On seeing the data pass-by, the destination station copies data bits from this packet onto it. When the data packet returns to the source station, it removes the data bits from the packet, and the token is set free.

Network Devices: Various network devices used in a LAN are:

- (i) **Network Interface Cards (NIC):** It is also called Network Interface Controller or Network Adapter, it is a hardware component used to connect a computer to computer network.
- (ii) **Hub:** It is a hardware device helps to connect several devices to a single network and also connects segments of LAN. It broadcasts data to every computer or Ethernet-based device connected to it. It is less sophisticated than a switch
- (iii) **Switch:** It is a hardware component. It connects multiple devices together on a single network and routes the information.
- (iv) **Bridge:** It is a hardware device that creates a single, aggregate network from multiple networks. Function of Bridge is different than that of Router. Routing allows multiple networks to communicate independently and yet remain separate, whereas bridging connects two separate networks as if they were a single network.
- (v) **Routers:** A router is a networking device, it forwards data packets between computer networks. Routers perform the traffic directing functions on the Internet. Data sent through the internet, such as a web page or email, is in the form of data packets. A packet is typically forwarded from one router to another router through the networks that constitute an internet until it reaches its destination node.
- (vi) **Gateways:** It is a hardware component that acts as a gate among various available networks. It also acts as a node that serves as an entry point for various other networks. It acts as a connection between two very dissimilar networks, while router routes various data packets via a similar set of networks.
- (vii) **Firewall:** It is a network security system that monitors and controls incoming and outgoing network traffic based on predetermined security rules. A firewall typically establishes a barrier between a trusted network and an untrusted network, such as the Internet.
- (viii) **WAP:** Wireless Application Protocol (WAP) is a specification for a set of communication protocols to standardize the way wireless devices, such as mobile phones and radio transceivers, can be used for internet access, including email, the web, newsgroups and instant messaging.
- (ix) **Repeaters:** These are network devices, that amplify or regenerate an incoming signal before retransmitting it. They are incorporated in networks to expand its coverage area. They are also known as signal boosters.

- (x) **Modems:** A modulator-demodulator or modem is a computer hardware device that converts data from a digital format into a format suitable for an analog transmission medium such as telephone or radio.
- (xi) **Multiplexer:** Multiplexer is abbreviated as MUX, it sends digital or analog signals at higher speed on a single line in one shared device. It recovers the separate signals at the receiving end. The Multiplexer boosts or amplifies the information that later transferred over network within a particular bandwidth and time.

Network Operating System: The function of the network operating system is to set up some computers as hosts or servers and some computers as clients to those hosts. The servers manage the printer sharing, file sharing and communications link sharing to their clients. These services may run on a single server or be distributed to several servers. The network operating system software can run over any standard network.

Branch-level Computerisation: The concept of LANs is very important for branch computerisation in banks. This is especially so where front-office computerisation is concerned.

The front-office computerisation task includes installing several client machines with online data entry and updates. These client machines are connected via a LAN, thus giving each machine access to the database hosted on a server. The customer willing to withdraw money may go to any front office counters and present their cheque. The teller after checking the account number and availability of sufficient balance issues token to the customer. The teller enters the withdrawal details and amount into the computer, and the balance of the account holder is reduced to that extent.

The advantages of using LANs in banks are that:

- (a) Single window concept became reality
- (b) Allows sharing of resources, such as printers, scanners and storage devices
- (c) The information stored on the central server is available to all system users. Therefore, there is no necessity for duplication of databases.
- (d) Since all the machines are intelligent, the processing load is shared among the machines, hence there is no overloading on any single machine.

Disadvantages of LAN are:

- (a) Complicated software required for data management.
- (b) Security risks are higher since each user access the host computer independently.
- (c) The maintenance cost is high.

42.3.4 Wide Area Network (WAN)

A Wide Area Network (WAN) is defined as a large-scale computer network spread over a span of sizeable geographic area, normally utilising the telecommunication network. In the banking sector, the WANs are generally used to interconnect branches with the regional/zonal offices and those offices onward are connected to head office. Generally, the transmission speed and capacity are limited, and the data transfer rates are very low in WANs compared to LANs.

How a WAN Works

The wide area networks are formed based on the telecommunication network, and hence the type of network will differ on the basis of the method of telecommunication used. When separate dedicated data lines are used between two or more computers, such a network is called the **leased line network**.

Computers can also be linked by using ordinary telephone lines, called **dial-up networks**. Connectivity can also be established by using **satellite links** or **microwave links**. There could also be a combination of all these methods in a single network.

Microwave systems are capable of broadband transmission. The signals in a microwave system are transmitted directly from a dish antenna to a receiving dish antenna at the next microwave station, located in a direct line of sight not more than about 40 kms away. Each relay station can catch and 'boost' the data signals, passing them to other receiving stations.

A satellite communications network is an alternative to wired telecommunications. Text, data, voice and video information are converted to radio waves at Earth stations and are beamed up over a broadband transmission channel to a satellite. The satellite relays the data back to an Earth station or an antenna atop a tall building at the receiving location across the country or around the world. Transmission takes only a fraction of a second.

Each of the computers connected in a WAN requires connectivity to a telecommunication line, a modem and communication software that will ensure the transmission and receipt of data. Logically, any two computers connected through a telephone line need a modem at each end. These modems convert the computer's digital signals into analogue signals at the transmitting end and reconverts analogue signals into digital signals at the receiving end. Depending upon the geographical location of the computers that are being connected, the type of telecommunication media could be chosen.

42.4 UNINTERRUPTED POWER SYSTEM (UPS)

A UPS is essentially used to protect an organisation's IT assets, such as computer servers, electrical equipment and Network equipment at branches and data centres, from damage due to unexpected power disruption, which can cause serious business disruption, data loss, damages to the equipment etc..

Uninterrupted power system provides clean and reliable AC power to the computer systems protecting them from power blackouts, brownouts (voltage drops from its normal level to a lower level and then returns), swells (oversupply of voltage from power company that can last seconds or minutes), sags (short drop in voltage of 10% or more below the nominal main supply level), surges (flow of electricity is interrupted then started again), and interface (open standard that OS can use to discover and configure computer hardware components to perform power management).

In case of a power failure, the UPS attached with the server automatically takes over the power supply to the server to eliminate the chances of data loss. The workstations and other terminals are also attached with the UPS.

The general feature of a UPS system is an inverter and battery charger with an option of automatic changeover of power supply from battery to mains or vice-versa. The UPS are of two types:

Online UPS: In an online UPS, the main 230 V input AC is converted into DC and from the battery charger-cum-rectifier is then converted to a 230 V AC, even in the case of main supply available and the power is supplied to the computer systems. In case of power failure, the Data Centre is supplied power by the batteries. It comes back automatically to the normal status when the main supply recovers. In bank computerisation, online UPS is used.

Offline UPS: In offline UPS, the battery charger and inverter are two separate parts for doing their jobs independently. When the power is available through the main, the battery charger is only charging, and

the inverter is on stand-by. In case of a mains power supply interruption, the batteries are connected to the inverter through an electronic changeover, and the current is supplied to the computer systems. It supplies raw power and does not regulate the input voltage. In this system, changeover time is very low (in the order of a few milliseconds).

42.5 CORE BANKING

Core banking has a centralised branch computerisation model. The branches are connected to a central host, which incorporates branch automation modules and online multiple delivery channels like ATM, Debit Card, Tele-banking/mobile banking, internet banking, etc., under one roof. There is a central database for the Bank in core banking, and transactions are done online centrally. It offers integrated products and services to customers round the clock. The modern banking services are integrated with CBS. One banking software for all the branches is operated on the Bank's intranet infrastructure using a WAN.

42.5.1 Business Components of CBS

- (a) Retail customer banking modules
- (b) Deposits, loans, bills, remittances, locker, clearing, etc.
- (c) Trade finance/forex modules
- (d) Government business modules
- (e) Corporate finance and service branch modules
- (f) Enhanced MIS modules
- (g) Modules for business intelligence
- (h) Integration with ATMs, POS terminals, telebanking, Internet Banking, mobile banking, debit card, kiosks and other delivery channels
- (i) Any branch banking, Internet banking and call centre
- (j) Interface with existing corporate systems like treasury, IBR, centralised accounting system, HRMS, ALM, credit appraisal and management, credit monitoring and NPA management, etc.
- (k) Interface with various payment systems like SFMS, RTGS, NEFT, CTS, NACH, IMPS, UPI, etc.

42.5.2 Benefits of CBS

- (a) Provides new and innovative banking products and services;
Enables customer services 24*7 from any branch/delivery channel
Establishes a reliable centralised data repository for the Bank
- (b) Facilitates data warehousing and data mining technologies for business intelligence
- (c) Eases the implementation of integrated customer-centric services like online ATMs, telebanking, internet banking, mobile banking, any-branch banking, kiosk banking, cash management services, etc.
- (d) Enables centralised Management Information, Decision Support and Executive Information systems, ALM, Risk Management.
- (e) Standardisation of the branch automation software using a single version. Quick adoption of software changes as changes are done only at the central level
- (f) Facilitates business process re-engineering (BPR) to streamline the existing processes
- (g) Relieves branch officers from tedious jobs like data backup, MIS generation, etc.
- (h) Servers are not mandatory at branch locations

- (i) Attracts higher investment in the beginning but the cost of implementation for further branches and delivery channels are relatively cheaper
- (j) Core infrastructure can be used for future expansions

42.5.3 Essential Requirements

Creation of Primary Data Centre

- (a) For housing the central servers for online transactions.
- (b) Redundant power backup systems like Generators/UPS.
- (c) Communication Network for connecting all branches.
- (d) The central database is to be used for all customer-centric delivery channel services integrated with the CBS and for the Bank's various corporate business requirements
- (e) To be manned round the clock to offer 24×7 services to customers
- (f) A pool of skilled personnel is required for handling activities such as software development, database administration, system administration, network monitoring, backups, on-call support, troubleshooting, parameterization, customization, support of delivery channels at the data centre.

Disaster Recovery Site (DRS)

Objective of Disaster Recovery Sites (DRS) are:

- (a) To maintain continuity of the business activities of CBS branches due to central system or network failures
- (b) To ensure non-stop functioning of branches and online delivery channels integrated with CBS
- (c) To act as a backup for providing a reliable and continuous processing environment

These technologically advanced centres have the presence of various multinational IT companies too.

Business Process Re-engineering (BPR)

Business Process Re-engineering (BPR) helps Banks to achieve the following tasks:

- (a) To help the Bank to realign the existing business processes in tune with benefits provided by the new technology platform
- (b) To help the Bank in taking advantage of the best business practices available in the technology Platform to provide more efficient services
- (c) Processes aligned with the technology platforms provide the Bank with the capability to deliver enhanced value to their customers and gain from the changed processes.

Infrastructure

Software: The software comprises:

- (a) Branch functional modules
- (b) Delivery channel software like ATMs, telebanking, internet banking, mobile banking and information kiosks etc.
- (c) Interfaces with systems like PDO/NDS, SFMS, RTGS, NEFT, IMPS, and UPI etc.
- (d) Tools for business intelligence and management information.

Hardware: The hardware at the data centre and disaster recovery site (DR Site) should be procured and 'configured' based on the transaction volume of branches to be connected to a Data Centre.

Networking:

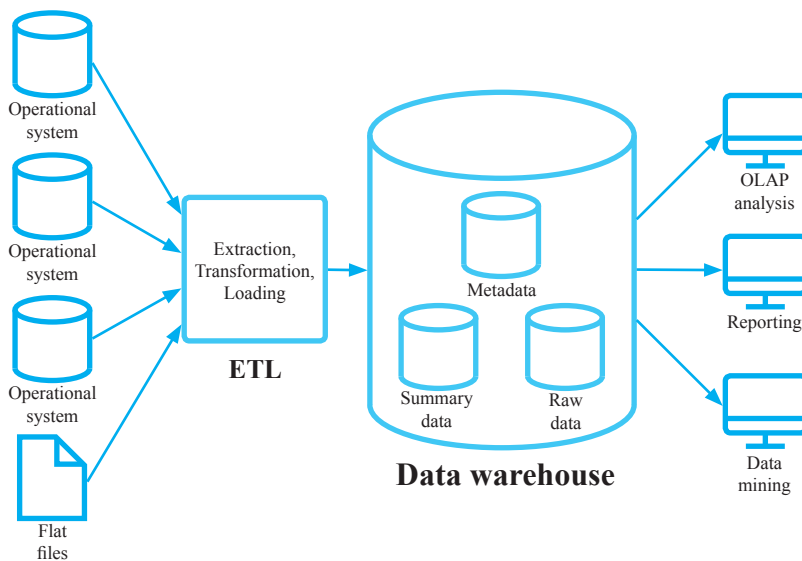
- (a) Leased lines/MPLS links for a WAN should be used as a primary communication channel for CBS.
- (b) Adequate redundancies should be built-in to address any network failures.
- (c) Backup lines like Leased Lines, VSAT, RF from a different vendor
- (d) Multi-protocol label switching (MPLS) cloud should be used for efficiency and redundancy

42.6 DATA WAREHOUSING AND DATA MINING**Data Warehousing**

After implementing Core Banking for a few years, Banks realised that they are sitting on valuable historical data, centrally available for analytics and reporting. CBS solution of Banks is more focussed on the availability of Banking services with quick transaction processing. It has a typical OLTP (On-line Transaction Processing) environment involving inserting, updating, deleting small amounts of data in a database. OLTP caters to a large number of users doing large number of transactions.

Banks' Data warehouses are more suited for OLAP (online analytical processing) environments where databases are queried for analytical purposes. OLAP helps Banks extract insights from their transaction data to use it for making more informed decisions. In a Datawarehouse, historical data of Core Banking is stored in a subject-oriented manner, which is conducive for queries and analytics. Data warehouses are designed to store data from heterogeneous sources to generate critical information for the decision support systems.

A data warehouse is a data management system designed to support business intelligence and analytics for an entire organisation. A data warehouse stores structured data whose purpose is usually well-defined. The data within a data warehouse is usually derived from a wide range of sources, such as application log files and transactional applications. Data warehouses often contains large amount of data, including historical data.



Block diagram of a Data warehouse. (Courtesy IBM)

The main characteristics of the data stored in a data warehouse are:

- It is subject-oriented, e.g. in a banking environment, it may be customer-oriented, storing all Information, including transactions of all types pertaining to the customer.
- It is integrated, and there are no inconsistencies.
- The data in a data warehouse is non-volatile. In simple terms, in a transaction processing system like Core Banking, the data is constantly updated and dynamic. In a data warehouse, the instances of data at various points of time (say daily) can be stored statically.
- It is a time-variant. The time zone for data in a data warehouse is significantly longer, say five to ten years.
- Various regulatory and internal reports can be quickly generated with ease from a single source of data avoiding inconsistencies among different reports.

Data warehouses can be established even across multiple computer platforms as long as the transaction details are made available to the data warehouse in a standardized format.

Data Mart: A data mart is a simple form of a data warehouse that is focused on a single subject or line of business, such as sales, finance, or marketing. Given their focus, data marts draw data from fewer sources than data warehouses. Datamart sources can include internal operational systems, a central data warehouse, and external data.

Data Lake: A data lake allows organisations to store large amount of structured and unstructured data (for example, from social media or clickstream data) and immediately make it available for real-time analytics, data science, and machine learning use cases. With a data lake, data is ingested in its original form, without alteration.

Data marts, Data lakes, and Data warehouses serve different purposes and needs. The key difference between a data lake and a data warehouse is that data lakes store vast amounts of raw data without a predefined structure. Organisations need not know how the data will be used in advance.

Data Mining

Data mining is a technique to reveal the strategic information hidden in the data warehouse(s). It is the Process of automatically finding patterns and relations in large databases. The patterns and relations can be:

- Organised into a concise model
- Used to refine a previously existing model
- Provide summaries of large quantities of data

It helps in exposing the patterns that are critical to business and provide an advantage through insight and knowledge of:

- Sound predictions of customer behaviour
- Highly targeted market focus
- Maximized operational effectiveness
- Optimal return on investment

Properly applied data mining techniques allow banks to capitalize on the investments made in constructing and managing data warehouses.

Storage of data in data warehouses and their extraction through data mining techniques can be applied in:

1. Loan risk analysis: To analyse the performance of a set of loans that the Bank has previously issued.
2. Credit risk analysis, by the issuer of credit cards using database mining to:
 - determine whom to solicit as a client, possibly with pre-approved credit limits
 - determine whether to approve each particular credit card transaction.
3. Stock portfolio creation to analyse the performance of a set of securities and fundamental data of the companies that issue the securities.
4. Analysis of the customers' demographic information to help banks focus on particular segments.
5. Risk analysis by insurance companies and banks.

42.7 LET US SUM UP

The objective of computerisation in India is not to replace men with machines. Rather, the objective is to make work-life more meaningful for both employees and customers. As we deal in an industry, the largest processor of information and data, reliance on technology is inevitable. Needless to say, absorption and effective utilisation of the new technology will involve a change in structure, organisation and systems and attitudes of those working in the banking industry.

Banks have grown much beyond Core Banking by integrating CBS with many Payment systems, Third-party service providers, Billers, e-commerce providers. Many alternative delivery channels like ATMs, Mobiles, and the Internet have been integrated with Core Banking. This has led to increased business volumes and led to customers' delight with anywhere any-time banking. Centralised data is helping Banks to sanitize, warehouse and analyse for various purposes. The opening of Alternative Delivery Channels for conducting transactions away from the Branches has increased the associated risk and threats. Alternate delivery channels are dealt in detail in the ensuing chapter.

42.8 KEYWORDS

Channel, Disk mirroring, Disk duplexing, Dumb terminals, Server, LAN, WAN, CBS, UPS, Topology, Protocols, Data Warehouse, Data Lake, Data Mart, Data Mining, Alternate Delivery Channels

42.9 CHECK YOUR PROGRESS

1. Which of the following is not a necessary component for a Standalone computer system?

(a) Hard Disk	(b) Operating System
(c) Memory	(d) Network card
(e) All of the above	
2. Terminals connected to a server are known as _____.

(a) Clients	(b) Nodes
(c) CPU	(d) Both (a) and (b)
(e) None of these	
3. For uninterrupted power supply used in branch computerisation, the following device is used _____.

(a) Online UPS	(b) Offline UPS
(c) Convertor	(d) Generator
(e) All of the above	

4. Which of the following is not an important objective of computerisation in banking
 - (a) customer service
 - (b) Reduction of Manpower
 - (c) decision-making
 - (d) productivity and profitability
5. In multi-user computer networking _____.
 - (a) Computers are based on a centralised processing concept
 - (b) Various terminals are attached to the central computer
 - (c) All data and information is kept on the central computer
 - (d) A large number of users can be connected to a central computer
 - (e) All of the above
6. In star topology _____.
 - (a) Each node is joined to the central node by a separate medium
 - (b) Devices are connected in a closed-loop
 - (c) Information is passed from one node to another in series
 - (d) Devices on the network are connected to a single continuous cable
 - (e) All of the above
7. In bus topology _____.
 - (a) Each node is joined to the central node by a separate medium
 - (b) Devices are connected in a closed-loop
 - (c) Information is passed to central node
 - (d) Devices on the network are connected to a single continuous cable
 - (e) All of above
8. In ring topology _____.
 - (a) Data transmission is possible in only one direction.
 - (b) Devices are connected in a closed-loop
 - (c) Information is passed from one node to the other in series
 - (d) All of the above
9. Which of the following statements is not true about the Core banking system?
 - (a) Branches are interconnected only to share customer data among them
 - (b) Customer need not necessarily transact only from the home branch
 - (c) Data of a customer is not lost when his home branch is down
 - (d) A Customer can access his banking A/C related information through multiple ways
 - (e) online, mobile, and other banking services can be provided
10. Which of the following is the advantage of adopting Core Banking?
 - (a) Reliable centralised data recovery
 - (b) Enables Data warehousing and data mining technologies
 - (c) Integrated customer-centric services
 - (d) Core infrastructure can be used for future expansion
 - (e) All of the above

42.10 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (d), 3. (a), 4. (b), 5. (e), 6. (a), 7. (d), 8. (d), 9. (a), 10. (e).

UNIT 43

OPERATIONAL ASPECTS OF CBS ENVIRONMENT

STRUCTURE

- 43.0 Objectives
- 43.1 Introduction
- 43.2 Functions Performed by CBS
- 43.3 Flow of Transactions in CBS
- 43.4 The Accounting of Transactions in CBS
- 43.5 End of Day (EOD) And Begin of Day (BOD) Operations
- 43.6 End of Day (EOD) Operations
- 43.7 Password Control
- 43.8 Parameter/Master File
- 43.9 Logical Access Control
- 43.10 Operational Aspects of Security Control in CBS
- 43.11 Role and Responsibilities of the Bank Under CBS
- 43.12 Let Us Sum Up
- 43.13 Keywords
- 43.14 Terminal Questions

43.0 OBJECTIVES

After studying this unit, you will have a better understanding of:

- (1) The functions performed by CBS software
- (2) The flow of transactions in CBS
- (3) Operations under CBS
- (4) Importance of Logical and Physical controls
- (5) Day end and Day begin operation processes in CBS.

43.1 INTRODUCTION

Based on the level of computerisation, banks may be categorised as non-computerised, partially computerised, or fully computerised. The requirement of one Bank's information systems may be different from that of the other banks. Core Banking Solutions (CBS) is a platform where Communication Technology and Information Technology merge to suit core banking needs (information technology is all about how computers work and what they can do, while communication technology is about facilitating communication between people. Communication technology includes not only computers, but also telephones, radios, faxes and other devices).

Core banking functions differ depending on the specific type of Bank. Under CBS, the client software is installed at different branches of the Bank to connect to the central Server for accessing and updating the customer information and their transactions. Branches are connected to the central server through lease lines, MPLS, VSAT, RF, 3G/4G and other networking technologies. Examples of core banking software are: Finacle (Infosys), BaNCS(TCS), and Flexcube (Oracle's).

43.2 FUNCTIONS PERFORMED BY CBS

CBS has evolved over the past few years to such an extent that almost every Banking transaction can be recorded in CBS. CBS's common features or capabilities are given below among the popular Core Banking Solutions.

- (a) Customer accounts management
- (b) Office account management
- (c) Loans disbursal and management
- (d) Cash deposits and withdrawals
- (e) Transactions management (online and History)
- (f) Inward/Outward clearing process
- (g) Calculation of Interest on Advances and deposits
- (h) Charges/Fees Application
- (i) Application of minimum balance charges, transaction charges, cheque book charges etc.
- (j) Asset Classification and Income recognition, NPA Management
- (k) Non-Performing Assets Management (NPA)
- (l) Customer relationship management (CRM) activities
- (m) Interfaces with payment systems, Regulators, Third-party service providers
- (n) Interfaces with Alternate delivery channels
- (o) Generation of Reports, multi-currency Balance sheets, P&L statements

One of the prime features of CBS is that it facilitates online banking operations through digital channels like ATMs, mobile/internet banking etc. It also helps in making cheque clearings faster. CBS has resulted in improved housekeeping and the prevention of income leakages. Inter-branch reconciliations have become faster, more accurate and automated.

43.3 FLOW OF TRANSACTIONS IN CBS

In any Core banking Solution, there are three types of Transactions:

- Cash,
- Clearing and
- Transfer

Transactions made by Users at Branches, Customers through Alternate Deliver channels or Third Party trusted vendors are ultimately reflected in the Central Database of the Bank. The transaction workflows are different for different channels of Banking.

The branch user has to log in to the system with his user id and password along with biometric authentication at the CBS terminal. Customers log in through various delivery channels using their credentials. Transactions are usually committed at the Central Database after all the legs of the transaction are completed.

Transactions at branches follow maker checker functionality. Transactions through alternative delivery channels passes through multifactor authentication. Transactions also include many non-financial transactions like updating account parameters, Stock maintenance register, balance enquiry, alerts etc.

Once the transaction hits the Central Data Base, the system will validate the transaction and debit or credit the particular account, and a message is sent back to the user at the Branch as to whether the transaction is complete or not. The system validates the account Number, balance in the account, the authority of the teller (Maker) who does the transaction, authority of the officer (Checker) who authorizes the transaction, and other validations parameterised at the product level if required to be done. Apart from this, transactions also flow from various alternate delivery channels, Treasury systems etc., into the core banking system.

43.4 THE ACCOUNTING OF TRANSACTIONS IN CBS

Core banking solutions are Online Transaction Processing Systems on a real-time basis, where the transactions are effected in all the sub-systems, including customer accounts ledgers, general ledger and any other books of the accounts simultaneously doing the necessary debits and credits.

43.5 END OF DAY (EOD) AND BEGIN OF DAY (BOD) OPERATIONS

End of Day and Beginning of day operations are very critical in core banking operations. These operations need to be performed diligently on time. While these operations may vary from one CBS to another CBS software, some usual activities carried out during BOD, and EOD processes are given below.

Typical Operations in CBS:

- (1) Begin of the day by Data Centre
- (2) Transactions input and Authorisation by Branches

- (3) Closure of Branch Operations by Branches
- (4) End of Day Operations by Data Centre
- (5) Reports Checking by Branches
- (6) Back up Operations by Data Centre and Branches.
- (7) Application of Interest and services charges – Data Centre
- (8) Execution of standing instructions by data Centre
- (9) Generate various reports, including Exceptional Reports

Beginning of the Day operations

BOD process opens a new transaction day for the Bank. BOD depends on the EOD process for the previous working day. If the EOD is not completed for a day BOD can not be done. Days are always business days specified in Branch Calendars, therefore even if one branch functions on a particular day, BOD will have to be run for that day.

Following functions are carried in BOD operations:

- (a) Starts a new day
- (b) Time Deposit processing related to interest and maturity
- (c) Standing instructions execution
- (d) Value date processing of cheques (Based on the set-up)
- (e) Salary Processing
- (f) Expiry of Overdraft Limits.

43.6 END OF DAY (EOD) OPERATIONS

The Bank/Branch should ensure that the following activities are carried out regularly and documented: Most of the following activities are carried out at the Data Centre or Branch, depending on the architecture of the Core Banking Solution.

- i. Day-end activities carried out by the authorised personnel are properly documented and monitored through a checklist.
- ii. Minimum balances are calculated.
- iii. Products are calculated for the Current Account (Debit balances).
- iv. Mandatory reports are generated.
- v. Fallback procedures activated.
- vi. Day end back up is taken.
- vii. Recording of entries in the Backup Register.
- viii. Recording in Log Books.
- ix. Filing of reports.
- x. Shutting down of complete computer system.
- xi. The data back-ups taken are properly documented and kept in safe custody.
- xii. The Server Room is properly locked, and the keys are kept only with an authorised person.
- xiii. The following documents are generated:
 - a. Access log
 - b. Supplementary
 - c. Audit Trail
 - d. A transaction number is given for each transaction entered.

- xiv. After business hours of the Bank, the following functions are performed:
 - a. Supplementary Report is printed by either Branch Manager or System Administrators and filed.
 - b. Cash Denomination Report is printed and filed.
 - c. Vouchers are tallied and signed by either the Branch Manager or System Administrator.

If there is no Branch Server and branch terminals directly connected to the Central Server, most of the Server related activities, like Fall-back procedures, Central EOD, Back-ups, shutting down of services and restarting of services upon Central SOD procedures, posting of ATM transactions on hold, and all other services starting up are being carried out at Central Data-Centre as per the procedures laid down for the Bank and the CBS Solution deployment.

43.7 PASSWORD CONTROL

Basic Operational Controls in Core Banking operations include:

- (A) Segregation of Duties
- (B) Four Eye Principle/Maker Checker
- (C) Rotation of Duties
- (D) Ownership of systems for granting accesses rights.

Core banking solutions supports strong passwords access control mechanisms by enforcing the following controls in Password:

- (a) Minimum length eight characters—the more characters, the better
- (b) Should contain both uppercase and lowercase letters
- (c) Must be a mixture of letters and numbers.
- (d) The password must include at least one special character.
- (e) Dictionary word avoided
- (f) Prevent reusing of previous Password/s.
- (g) Enforce periodical password changes.
- (h) Passwords are disabled during the employees' leave of absence.
- (i) For certain critical modules, enforce multi-user or multi-factor authentication.
- (j) Passwords are stored in the system in encrypted form only.

The operational staff should ensure the following practices to establish the integrity of the Password:

- i. All the employees and Users should maintain password secrecy in the system/s.
- ii. The critical passwords for accepting sensitive jobs should be known only to the Branch Manager or System Administrator. Sensitive jobs include entering operating systems, taking local back-ups, monitoring disk space, creating/editing Master Records.
- iii. The Operating System Password should be kept under Dual Control of Branch Manager and System Administrator. The Password should be protected in a sealed cover and opened in the presence of at least two persons. It should be changed at once on being opened.

43.8 PARAMETER/MASTER FILES

In a Parameter/Master File, all the relevant information related to a particular account should be fed and stored. The information may relate to the Rate of Interest to be applied, Penal Interest to be charged,

Commission Rates, Operation Limits in case of loans, nature of account operation, single/jointly etc. This exercise is carried out at the first stage of the implementation of the computerisation of the Branch. After that, the system software operates according to the Parameters enforced.

It is important to check that the Parameter/Master File accessible to the operators should only be read-only. Otherwise, it would invite undesirable modifications, which would lead to revenue leakage and misuse of funds. Whenever any alterations are to be made in the Parameter/Master File, printouts of the file before and after the changes should be taken and documented in the safe custody of the Branch Manager. The Bank should ensure the following:

- (a) Authorised personnel mark all the Bank Holidays into the software before the beginning of the Financial Year.
- (b) Operation limits and authorisation levels are defined clearly for the operators and supervisors.
- (c) The parameters for Interest and Bank Charges are defined in accordance with the applicable rates and guidelines. The file is updated as and when changes are announced.
- (d) Parameter files are printed before and after changes are given effect and documented.
- (e) The safe custody of the printouts should be ensured, and alterations are captured into the “Parameter Register”.

Some important Master files for a core banking solution are.

- (a) Master Data of Accounts
- (b) General-purpose parameter files
- (c) Account types and structure for the General Ledger
- (d) Advances interest rates applicable for various schemes.
- (e) Deposit interest rates applicable for various tenors
- (f) List of holidays
- (g) Authorization rights for exceptional transactions
- (h) Types of users and their work classes

43.9 LOGICAL ACCESS CONTROL

To safeguard the assets and the computer system and to maintain data integrity, the following should be ensured:

- (a) The security policy addresses specific capabilities of operating systems and ensure that the available security features are implemented.
- (b) The Chief information security officer should ensure that available features have been implemented.
- (c) Process for granting access levels.
- (d) Users should have the minimum access level needed to do their job.
- (e) Users’ access should be restricted to specific applications, menus within applications, files, and Servers.
- (f) File maintenance should be a separate access privilege.
- (g) Maintenance should be restricted to a minimum number of persons, and it should be properly approved and reviewed.
- (h) The password file should be encrypted.
- (i) Methods to detect security violations.
- (j) Access levels should be periodically reviewed by the internal auditor.

- (k) Procedures to limit access to workstations after normal working hours.
- (l) Modem access should be restricted.
- (m) Modem passwords should be changed periodically.

43.10 OPERATIONAL ASPECTS OF SECURITY CONTROL IN CBS

The key security control aspects in a computerised bank include:

- (a) Ensure that authorised, accurate and complete data are made available for processing.
- (b) Ensure that in case of interruption due to power, mechanical or processing failures, the system restarts without distorting the completion of the records.
- (c) Ensure that the system prevents unauthorised amendments to the programmes.
- (d) Ensure that the “access controls” assigned to the staff-working matches with the responsibilities, as per manual.
- (e) Ensure the segregation of duties while granting system access to users and monitor user activities by reviewing Logs.
- (f) Ensure that changes made in the parameters or user levels are authenticated.
- (g) Ensure that charges calculated manually for accounts when a function is not regulated through parameters are properly accounted for and authorised.
- (h) Ensure that all modules in the software are implemented.
- (i) Ensure that the exceptional transaction reports are being authorised and verified regularly by the officials concerned.
- (j) Ensure that the account master and balance cannot be modified/amended/alterd except by the authorised personnel.
- (k) Ensure that all the general ledger accounts codes authorised by Head Office exist in the system.
- (l) Ensure that balance in general ledger tallies with the balance in the subsidiary book.
- (m) Ensure that important passwords, like database administrator and branch manager’s Passwords, are kept in a sealed cover with the branch manager so that in case of emergency and the absence of any of them, the passwords could be used to run the system properly.
- (n) Ensure that the Bank takes daily and monthly backups. The backup media should be duly labelled, properly indexed and maintained under joint custody.
- (o) Ideally, a daily backup should be taken in 6 sets, one for each weekday and 12 sets for each month. The backup Register should be maintained and updated.
- (p) Ensure that the backup media is stored in a fireproof cabinet secured with lock and key and that the off-site backups are preserved for an emergency.
- (q) Ensure that the anti-virus software of the latest version is installed in servers/PCs of branches to prevent data corruption and is regularly updated for new viruses.
- (r) Ensure that security patches are applied to systems as and when released by the vendors/ developers.
- (s) Ensure that access to the computer room is restricted to authorised persons only.

43.11 ROLE AND RESPONSIBILITIES OF THE BANK UNDER CBS

To deal with the increasing incidences of cyber-attacks and misuse of the electronic payment system, the banks must introduce certain minimum checks and balances to minimise the impact of such attacks and to arrest/minimise the damage. RBI has issued guidelines on information security, electronic banking, technology risk management, and cyber frauds vide its circular ref.: BI/2010-11/494 DBS. CO.ITC.

BC.No. 6/31.02.008/2010-11 dated April 29, 2011, and circular RBI/2012-13/424 DPSS (CO) PD No.1462/02.14.003/2012-13 dated February 28, 2013. Considering the importance of IT systems, the Bank must have:

- (1) IT Policy
- (2) Data processing and data interface under various systems.
- (3) Data integrity and data security.
- (4) Business Continuity Plans and Disaster Recovery Plans.
- (5) Accounting manual and critical accounting entries (including month-end and year-end) and the processes and involvement of IT Controls over key aspects, such as account codes and mapping thereof, use of various account heads including other assets and other liabilities, income recognition, expense booking, overdue identification, month-end and year-end procedures, valuation and re-valuation of various items of the financial statements, KYC/AML, ALM, etc.
- (6) Documentation of Controls and various e-banking and internet banking products.
- (7) Manual processing of key transactions.
- (8) MIS reports being generated and the periodicity thereof.
- (9) Hard copies being generated and the periodicity thereof.
- (10) Process of generating information related to various disclosures in the financial statements and the involvement of the IT systems.
- (11) Generation of major exceptional reports and the actionable.
- (12) Major IT related issues (including frauds and failures) faced and resolved/unresolved during the year, such as data/system corruption, system break-down, etc., having a bearing on the preparation and presentation of financial statements.
- (13) Significant observations of internal auditors, concurrent auditors, system auditors, RBI inspection and internal inspection, etc., related to computerised accounting and overall IT systems.
- (14) Customer complaints related to errors in transactions (interest application, balances, etc.).

In order to ensure that the technology deployed to operate the payment system/s authorised is being operated in a safe, secure, sound and efficient manner and as per the process flow submitted by the Bank for which authorisation has been issued; banks are required to get a System Audit done by a firm of Chartered Accountants.

The scope of the System audit would include evaluation of the hardware structure, operating systems and critical applications, security and controls in place, including access controls on key applications, disaster recovery plans, training of personnel managing systems and applications, documentation, etc. The system auditor must also comment on the deviations in the processes followed from the process flow submitted to RBI while seeking authorisation.

43.12 LET US SUM UP

Implementation of CBS in banks has numerous benefits for the banks and their customers. New products have been introduced by using the technology. Nevertheless, this has also thrown up new challenges in preventing cyber frauds and misuse of the system by unscrupulous persons. RBI has issued extensive guidelines to the banks to ensure that proper checks, controls and processes are put in place to prevent/minimise misuse of computerisation. Accordingly, each Bank has issued operational guidelines for its staff. Day to day verification of exceptional transactions, good password practices, running checks

for consistency of data, periodical audits at Branch and Data Centre are some important examples of operational controls in CBS operations. Data Centre operations should be carried out with utmost care, as any lapses can cause a huge impact on the entire Bank. Day end and Day begin operations involve many time-consuming batch processes, and timely completion of these operations are very important for commencing the branch operations.

43.13 KEYWORDS

Parameter/Master file, Logical access control, cyber-attack, Password. EOD, BOD, Exceptional Transactions, Audit Trails

43.14 TERMINAL QUESTIONS

- (1) What is meant by Password protection in CBS?
- (2) What precautions should be taken by the Branch regarding the Master file in CBS?
- (3) What are the roles and responsibilities of the Bank in the CBS environment?
- (4) What are the operational aspects of Day End activities under CBS?

UNIT 44

ALTERNATE DELIVERY CHANNELS – DIGITAL BANKING

STRUCTURE

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- 44.6 Customer Protection—Limiting Liability of Customers in Unauthorised Electronic Banking Transactions**
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- 44.10 Check Your Progress**
- 44.11 Answers to ‘Check Your Progress’**

44.0 OBJECTIVES

After reading this unit, you should be able to:

- Define and describe various Alternate Delivery Channels.
- Understand various models of ATMs.
- Describe the various electromagnetic cards.
- Describe Internet and Mobile Banking and their uses
- Explain electronic banking in terms of the process and types.
- Identify the use of other electronic devices.
- Customer protection and complaint redressal.

44.1 INTRODUCTION

The growth of technology has changed payment systems and methods worldwide during the past decade. More and more innovations are being introduced in cash and non-cash payment channels. Cash in the form of notes and coins was the principal method of payment before the introduction of the ‘Banking’ paper instruments such as ‘Cheques’ and ‘Credit Transfer’ dominating the payment systems. With the introduction and implementation of the latest technology in banking, electronic devices are making the job of cash and non-cash payments easy and efficient. Earlier the introduction of automated teller machines (ATMs), plastic cards and later the delivery channels like Internet banking and mobile banking, e-wallets have given the banking customers the facility anytime, anywhere and anyhow banking.

44.2 ALTERNATE DELIVERY CHANNELS

Core banking technology paved the way for handling large volumes of transactions that were not possible through traditional brick and mortar banking. This has led to Banks offering many innovative products like customized accounts. With the continuous shrinking of prices of technology and communications, banks started providing financial services using multiple delivery channels like ATMs, mobile phones, Internet, Kiosks, POS, prepaid instruments, contactless cards, etc. These innovations have widened the Bank’s geographical area of operations and increased the customer base and volume of transactions. This has led to sustainable financial inclusion providing banking in the un-banked areas. All these innovations and their success can be attributed to the initiatives of all the stakeholders. Some popular alternate delivery channels are ATMs, Tele-Banking, Mobile Banking, Online Banking, E-Wallets including m-wallets, prepaid cards, Bulk Note Acceptors (BNAs), Cash Deposit Machines (CDM), Pass Book printers, E-Kiosks, Mobile Branches, and Point of Sale (PoS) terminals. We shall learn more about these channels in detail in this chapter.

44.3 AUTOMATED TELLER MACHINES (ATMs)

Automated Teller Machines (ATMs) are primarily used to perform some banking functions such as the withdrawal of cash or deposit of cash/cheque, etc., using an ATM/ATM cum debit cards, credit cards and prepaid cards, as permitted by the issuer. The committee headed by Dr. C. Rangarajan recommended setting up ATMs in India. These machines should be strategically located at airports, railway stations, hospitals, important commercial centres, and bank branches for use by the customers.

Stand-alone ATMs made their appearance in India in the early 1990s. For facilitating the operations through these ATMs, a customer is provided with an ATM card with a personal identification number (PIN), which can be changed at any time by the customer. Whenever a customer performs a transaction, he/she has to key in the PIN, which is validated by the ATM switch, before the machine permits any transaction. The PIN has to be kept secret by the customer to prevent any misuse or fraudulent transactions in the event of loss of the card.

The convenience of ATMs To the Customers:

- (a) 24 × 7 access availability
- (b) Less time for transactions (less queue)
- (c) Privacy in transactions
- (d) Any branch/anywhere banking enabled
- (e) Acceptability of debit/credit cards across multiple bank ATMs; even foreign tourists can use their International Maestro/VISA cards.
- (f) Other services enabled in ATMs in addition to cash dispensing includes clearing cheques deposits, balance enquiry, cheque book requisition, details of recent transactions, utility bill payments, etc.

To the Bank:

- (a) The cost of setting up ATMs is lower than setting up a branch. The cost of the transaction is also less.
- (b) The routine transactions through ATMs relieves the bank staff for more productive work.
- (c) ATMs serve as the crucial touchpoint for cross-selling of banks' products.
- (d) Enables a bank to display products on the screen and serves as a medium for publicity of the bank.
- (e) Less hassle in handling cash.

ATM Models in India

Online: When an ATM is connected to a bank's database and provides online access to the customers' accounts, it is said to be 'online.' Normally, there is a daily withdrawal limit set by the bank for each account. The ATM switch monitors this limit.

Offline: When an ATM is not connected to a bank's database, it is stated to be 'offline.' In this mode, withdrawals are permitted up to a pre-fixed limit only, irrespective of the balance available in customers' accounts.

Networked: When ATMs are connected to an ATM network, they are said to be 'networked'. The advantage of networked ATMs is that cardholders can use their ATM cards at any of the networked ATMs. This, in effect, permits 'anywhere anytime' banking. The majority of the ATMs in India are networked through National Financial Switch (NFS) operated by NPCI.

Cash Dispenser (CD)

A cash dispenser (CD) is a pruned down version of the ATM. CD is an ATM without a depository and intended to serve the customers for making cash withdrawals only.

Networking of ATMs

For optimizing the cost of investments in ATMs, banks joined in small clusters to share their ATM networks. There are many such ATM network clusters functioning in India. Indian Banks' Association (IBA) was

the first organisation to set up a shared payment network system (SPNS) or SWADHAN network of ATMs of its member banks in Mumbai. The network went live on 1 February 1997.

The Objective behind the SWADHAN network is to provide 24 hours, 7 days a week electronic banking service to the customer of a member bank anywhere in the city of Mumbai. The customer is free to carry transactions at the ATMs of any of the member banks located in the neighborhood. To facilitate interoperability among these clusters at the national level, IDRBT initiated the process of setting up a 'National Financial Switch' (NFS) to facilitate apex level connectivity of other switches established by banks. IDRBT had been providing ATM switch services to banks in India through NFS. NPCI (National Payment Corporation of India) took over NFS operations from IDRBT on December 14, 2009.

Banks have delivered exceptional customer convenience in deploying ATMs as a self-service channel. In the Indian situation, the public sector banks have implemented technology blueprint by networking their branches. Their customers are experiencing the transition from being a branch customer to a bank customer due to core banking solutions. Customers have the advantage of using the ATM set up by any bank in India, irrespective of the bank with which they have the account. Thus, ATMs in India have become a key component of the retail channel strategy adopted by banks worldwide.

Services provided by ATMs

- (a) Cash Withdrawal
- (b) Balance Enquiry
- (c) Statement Enquiry
- (d) PIN Change
- (e) Cash Deposit
- (f) Cheque Deposit
- (g) Funds Transfer
- (h) Credit Card Payment
- (i) Utility Bill Payment
- (j) Cheque Book Request
- (k) Insurance Premium Payment
- (l) Recharge/top-up of Mobile, DTH, etc.
- (m) Term deposit opening
- (n) User details updation
- (o) Aadhaar Updation

ATMs Customer Interface

The following components of the ATM provide the customer interface:

- (a) Video Display Monitor
- (b) Keyboard/Keypad
- (c) Touch Screen
- (d) Slots: There are various slots in an ATM for different purposes, as detailed below:
 - (i) Card Reader
 - (ii) Cash Dispenser
 - (iii) Envelope Dispenser
 - (iv) Deposit Slot

44.3.1 White Label ATMs (WLA)

ATMs, which are set up, owned, and operated by non-banks, are called White Label ATMs (WLAs). As of 1 Jan 2022, Four Non-bank ATM operators (India1 Payments (formerly known as BTI Payment), Tata Communications Payment Solutions, Hitachi Payment Services, and Vakrangee. 10) (other licenses issued were surrendered or cancelled) are authorised to install and operate WLAs.

Under the Payment & Settlement Systems Act, 2007 by the Reserve Bank of India. The Reserve Bank of India (RBI) released the first guidelines in June 2012 to introduce “White Label ATMs” to expand banking services in the country. White label ATMs (WLAs) do not display any bank’s branding/signage, and hence they are called White Label ATMs. They serve all banks’ customers and will be interconnected with the entire ATM network in the country. Customers from any bank can transact on such White Label ATM’s, which is comparable to non-home bank ATMs. This initiative is aimed at Financial Inclusion for the country with aiding the ATM penetration in Tier 1 to Tier 6 cities, towns and villages.

General Criteria for non-bank entities authorised by RBI to set up and operate WLAs

- (a) The authorised non-bank entity (henceforth referred to as WLA Operator) would have the freedom to choose the location of the WLA. However, it has to adhere to annual targets and the ratio of WLA between Tier I & II and Tier III-VI centres that may be stipulated by the Reserve Bank of India.
- (b) Only the Cards issued by banks and cards of other institutions approved by RBI would be permitted to at the WLAs.
- (c) Acceptance of deposits at the WLA site into the account of the WLA operator or in any other account indicated by it shall not be permitted.
- (d) The WLA Operator will be the “acquirer” for all transactions at the WLA and earn his fee accordingly.
- (e) The WLA Operator would be permitted to earn extra revenue through advertisement and by offering value-added services. Advertisements on such ATMs would be subject to Advertising Standards Council of India (ASCI) codes and other regulations.
- (f) WLAs are non-bank owned ATMs, and hence the guidelines on five free transactions in a month for using other bank ATMs would not be applicable for transactions effected on the WLAs. The charges for the transactions should be displayed on the screen before the customer initiates the transaction.
- (g) The WLA Operator would not be entitled to any other fee from the issuer bank other than the “Interchange” fee payable to the “acquirer” bank under the present bank-owned ATM scenario. The WLA Operator shall also not be permitted to charge any fee from the customers to use the ATM resources.
- (h) Regulatory guidelines relating to compensation for failed ATM transactions would apply to transactions at WLAs.
- (i) General guidelines governing the operations of the bank operated ATMs would apply mutatis mutandis to WLAs.

44.3.2 Brown Label ATMs

‘Brown label’ ATMs are those Automated Teller Machines where a service provider owns the hardware and lease the ATM to banks, cash management and connectivity to banking networks is the responsibility of sponsor bank whose brand is used on the ATM. Thus, the service provider takes the responsibility of maintenance of the ATM, whereas the sponsor bank takes the responsibility of cash management and connectivity of ATM to the banking network.

Future Perspectives of ATMs

The Reserve Bank instructed banks in August 2015 to replace all magnetic stripe cards with Europay, Mastercard and Visa (EMV) Chip and PIN-based cards by end of December 2018. Later in May 2016, Banks were instructed to enable EMV Chip based processing at ATMs/micro-ATMs.

These measures have been prescribed for enhancing the safety and security of card transactions. Banks reported significant progress in replacing the magnetic stripe cards. ATMs/micro-ATMs are also being enabled for processing EMV Chip based transactions.

The number of ATMs worldwide fell for the first time in 2018 as banks closed branches and diverted resources toward digital payments. The role of ATMs is evolving from being a primary banking customer touchpoint to a channel complementary to branch, mobile and internet banking. ATM services are

- (a) Cardless cash withdrawal
- (b) Withdraw money using smartphones
- (c) Multi-currency cash dispensing.
- (d) Loan repayment.
- (e) Bill pay.
- (f) Ticket dispensing.
- (g) Account opening.

Bank customers increasingly turn to their mobile phones or Credit and Debit card for routine financial services. ATM operations are being achieved by using Smartphones, online banking, PPIs. ATMs can also be interfaced with CRM systems of the Banks to display personalised messages and focussed seasonal and location-based marketing. These improvements bring ATMs closer to functioning as complete, automated bank branches. However, ATMs need to evolve and offer more innovative services and become a Branch in Box over time.

44.3.3 Cash Recyclers

Cash Recycler machine is a self-service terminal that lets one deposit and withdraws cash. The customer's account is immediately credited or debited in real-time on a successful transaction, and an acknowledgement slip is issued confirming the transaction. Transactions can be done through Debit Card for cash withdrawal, and a transaction receipt is given with an updated account balance. Some features of Cash Recyclers are:

- (1) Cash recyclers can accept cash from customers and dispense it as well.
- (2) They ensure the genuineness of currency.
- (3) Counterfeit notes are recognised.
- (4) Cash deposit is made with debit card
- (5) Cardless transaction up to ₹ 20,000/- per day.

Worldwide, more and more banks are deploying ATMs that can accept deposits and reuse the cash for dispensing. A sizeable percentage of the world's ATMs are now capable of cash recycling. Cash recycling reduces cash management costs for banks and provides ATM users with valuable functionality.

Perhaps the most significant impact of Cash Recyclers is their capabilities of sorting out damaged, soiled and counterfeit notes. Over a period of time, and with enough machines deployed, they will improve the quality of the currency in circulation, which will go a long way in helping RBI maintain a steady supply of fresh banknotes under its clean note policy.

44.3.4 Kiosk Banking

An electronic kiosk in a Bank is a small electronic/computerised Box/structure that helps users inquire, print, transact. These kiosks are deployed in places with high foot traffic like airports, malls, etc. These kiosks are essentially unmanned.



When an Electronic kiosk is built with artificial intelligence, it can provide customers with an experience similar to that of a manned kiosk. The purpose of introducing Kiosk banking was to facilitate primary banking services at strategic locations depending on the services offered. Apart from helping the customers to transact without visiting the branch, Kiosks also help those living in remote villages/locations who are deprived of banking services due to the non-availability of a bank branch in the vicinity. There are many types of kiosks offering financial as well as non-financial services. These Kiosks are also used for marketing Bank products. Kiosks in Banks can be multi-functional. Banks can offer hassle-free and customer-friendly banking services through Kiosks by leveraging Technology. Banks have been launching variants of innovative Self Service kiosks offering a number of customer-centric services from a single kiosk.

Services offered through Kiosk banking are:

- (1) Balance enquiry
- (2) Cheque Deposit Facility
- (3) Cheque Deposit facility with CTS interface
- (4) Opening of no-frill account
- (5) Cash Deposit
- (6) Cash withdrawal
- (7) Bill payment facility using a Debit card and Net banking
- (8) Browser-based Internet Banking
- (9) Non-cash/Enquiry services like Balance Enquiry and Mini Statement
- (10) Bill payment facility using a Debit card and Net banking

A kiosk banking machine distinguishes itself from the traditional ATMs by offering different services. They are often equipped with a full-fledged keyboard with a trackball, a bar code scanner, a cash acceptor, touch or non-touchscreen display, a video camera, thermal printer, speaker, etc.

44.3.5 Pass Book Printing Kiosks (PBK)

A Passbook Printing Kiosk is an automated kiosk wherein a customer can print his passbook independently. Normally these passbook printers are of self-service in nature. PBK fetches the account details from the magnetic strip placed on the Passbook. PBK fetches the transaction details through this magnetic strip and prints them on the passbook. Customers can use this facility at any time of the day on a 24×7 basis. These PBKs are installed in E-lobbies along with ATM, BNA, and Internet banking Kiosk etc. Some of the salient features of PBK services are:

- (a) It is a fully automated machine having the ability to auto flip, auto-align and updates the customer passbook without any intervention from branch staff or the customer.
- (b) It is a specialised machine, where the customer has to insert a passbook with the only cover page opened and thus it is very convenient for all strata of customers.
- (c) Pages are automatically flipped, and pages are aligned to print on appropriate pages/locations.
- (d) Passbook used in PBKs is usually magnetic stripe based. It will bear a unique pre-printed number, which is mapped with the customer's account.
- (e) It is simple, convenient and easy to operate by the customer without any help of branch officials
- (f) Passbook printing services are available throughout the day.
- (g) These PBKs can be used for displaying banking products and requesting for issuance of a new passbook.

PBKs are installed by many banks, which was beneficial to both customers and banks. Banks are also benefited by reducing the drudgery and cost of printing the passbook at the branch.

44.3.6 Cash Deposit Machine (CDM)

A Cash Deposit Machine (CDM) allows customers to deposit money using a debit card or account number. One of the remarkable features of CDM is that the Account is credited instantly at any time of the day on all days of the year.

Some major benefits of Cash Deposit machines are:

- (1) It is a Self-service terminal and doesn't require the help of any bank official.
- (2) Hassle-free money deposit process.
- (3) Instant money credit to the bank account.
- (4) Time is saved by avoiding queues and filling deposit slips.
- (5) Receive deposit receipt immediately.
- (6) Not necessary to segregate denominations.

As per RBI guidelines, customers can deposit only up to ₹ 49,950 per account per day if the PAN number is not recorded with the Bank. To deposit cash for more than ₹ 49,950 per account per day, the PAN number should be registered with the Bank.

44.3.7 Bulk Note Acceptors (BNAs)

The initial models of ATMs allowed users to deposit cash via envelopes. The money would then be collected, counted, verified and credited later to the customer's account. Customers did not have a sense of security regarding this process.

With the invention of Bulk Note Acceptor (BNA), customers could deposit the amount in their account at any time without going to the bank. BNA will work round the clock and accept bulk deposits, sort, count,

and instantly credit the amount to the depositors' account. BNAs are installed on-site as well as off-site. After the successful launch of BNA, banks have come up with the requirement of BNA recyclers. One can use BNA machines for cash deposits and withdrawal of cash. BNA machines helped banks to ease the pressure with queues at the teller.

BNAs have the multifunctional ability to offer deposits or dispense transactions of bundles notes up to 200 mixed notes. The deposited amount is credited into his/her account immediately. The impact of deploying BNAs by Banks on currency circulation and customer service was so critical that the Reserve Bank of India subsidized the cost of BNAs up to 50 per cent in urban areas and 75 per cent in semi-urban areas.

Security controls for ATMs/Cash Recyclers

RBI prescribed baseline Cyber Security Controls for ATM Switch application service providers to all regulated entities. Many commercial banks, urban cooperative banks, and other regulated entities depend upon third-party application service providers for shared services for ATM Switch applications. Since these service providers also have exposure to the payment system landscape, they are exposed to the associated cyber threats. RBI has instructed that certain baseline cyber security controls shall be mandated by the regulated entities in their contractual agreements with these service providers. Detailed guidelines in this regard were issued on December 31, 2019. The guidelines would require implementing several measures to strengthen the deployment process and changes in application software in the ecosystem; continuous surveillance; implementation of controls on storage, processing and transmission of sensitive data; building capacity for forensic examination; and making the incident response mechanism more robust.

Other Control Measures prescribed for securing the ATMs

RBI also mandated the regulated entities to implement the following control measures for securing the ATMs.

- (a) Implementing security measures such as BIOS password, disabling USB ports, disabling auto-run facility, applying the latest patches of operating system and other software, terminal security solution, time-based admin access, etc.
- (b) Implementing the anti-skimming and whitelisting solution.
- (c) Upgrading all the ATMs with supported versions of the operating system.

Personal Identification Number (PIN)

In a debit/credit card, a magnetic strip is fixed on the back of the card. This strip holds certain information about a customer, such as his card number, cardholder's name, etc. After the card insertion into an appropriate slot, the ATM or POS device reads the card number and checks the number with the information stored into the database available to it through an attached computer. Once the card is authenticated, the ATM/POS terminal prompts the cardholder to enter his/her PIN. Once the cardholder enters this PIN, the ATM/POS terminal checks whether it is correct or not. If the PIN matches with the PIN details stored in the switch, the cardholders will be allowed to proceed with their transaction on the ATM/POS terminal. A PIN is similar to the password that a computer user enters when he/she wants to use it. Unfortunately, in an ATM or a POS terminal, the PIN can be a combination of numerical digits only as it uses a limited number of keys to operate.

Banks, which issue cards for use on ATMs, POS terminals, etc., also give a PIN along with the card. The PIN is a randomly generated sequence of digits, which is printed on paper and is automatically folded

and sealed before it even reaches the bank's officials. The seal is to be opened only by the cardholder and has to be kept secure. It is generally suggested that the card and the sheet of paper containing the PIN be kept in separate pouches so that the chances of it being lost or stolen together are rare.

Banks are offering a Green Pin generation facility. Green PIN is an easy and convenient way to generate a Debit card PIN through various channels like ATM, Internet Banking, IVR and SMS. Green PIN is instant PIN generation/regeneration functionality available for Debit Card with One Time Password (OTP) sent to the customer's mobile number registered with the bank. Using the OTP, customers can set debit card PIN through various channels. The Green initiative is a step towards paperless banking, which will benefit both customers and the bank. Branches will not be required to maintain physical custody of ATM PIN. It will benefit the customers with more convenience by avoiding delays and visits to the branch for submitting regeneration ATM PIN requests. Green PIN also reduces the carbon footprint of the Bank and saves substantial costs on stationery and courier.

44.4 ELECTROMAGNETIC CARDS

There are different types of electromagnetic cards which serve as plastic money. Some of which are discussed below:

- | | | |
|-----------------------------|---------------------------------|-----------------|
| (a) Charge card | (b) Debit card | (c) Credit card |
| (d) Smart card or Chip card | (e) Restricted card/Member card | |

44.4.1 Credit Card

Generally, a bank enters into an agreement with its customer and issues to the customer a credit card. A credit card is a small plastic card around 8.5 cm by 5.5 cm. It contains the name and the account number of the holder embossed on it. In addition, the date up to which the card is valid will also be embossed and a specimen signature panel on the reverse side.

Many card issuers banks also allow cash withdrawals for emergency purposes and levy a service fee for such withdrawals. Many banks also have credit cards, which double up as ATM cards.

This is the same as a charge card, where the transactions are charged to the account with the total value of transactions debited to the card holder's account once a month. The difference between the credit and charge card is that in the case of a charge card, the amount becomes payable immediately on the debit to the account. In the case of credit cards, the cardholder has the option to pay the entire amount as soon as the card account is debited, or he may choose to pay only a certain percentage of the amount debited, and he gets a credit to the extent of rest, i.e. he can pay it in monthly instalments later. However, a service fee is charged on the amount, payment of which is deferred

44.4.2 Charge Card

A charge card is an electronic payment card where the cardholder is not charged interest but needs the user to pay the balance due in full upon receipt of the statement, usually every month. Holders of these cards may have to pay a high annual fee. There are very few issuers of Charge cards. Charge Card transactions are charged to the account with the total value of transactions debited to the cardholder's account once a month. The holder is given about 25 to 50 days to credit his account if there are insufficient funds in his account at the time of debit. Since the transactions are accumulated, it is only Charged, i.e. not debited to the account immediately.

44.4.3 Debit Cards

A bank-issued card allows users to access their funds to pay for merchandise. A debit card acts like a credit card, the difference being that funds are immediately debited to the cardholders' accounts.

44.4.4 Smart Cards

The Smart Card looks exactly like any other plastic card or an ATM card with an integrated circuit (IC Chip) installed. The IC chip contains memory, may contain a processor and communicates with the external world through contacts on the card's surface. The size, position and utility of the contacts are specified by an international standard (ISO 7816), so that cards can interact with a variety of equipment.

There are two types of smart cards: Intelligent memory chips and microprocessor cards. Memory smart cards have been around for several years. They are being used in payphones, identification, access control, voting and other applications.

The microprocessor smart cards are the most advanced and are ideally suited for banking and financial applications where reuse of the card is allowed. These cards have built-in memory and a processor along with an operating system. As intelligence is built-in, they can protect themselves against fraudulent operations. This protection is based on the data encryption standard (DES), which is accepted by the International Standard Organisation as safe enough for protecting electronic funds transfer (EFT) transactions. For smart cards, ISO 7816 defines the physical features and the communication protocols. ISO 10202 defines the security features.

Card Reader Terminal Requirements: A special terminal is used to read and update a smart card, with the following features:

A smart card reader must be available that meets ISO specifications and can read and write the card.

A secure pin pad must be provided to allow the user to enter the PIN and have it checked by the smart card. The pin pad would have to store the secret keys for the application and must be designed so that it is impossible to extract these keys under any circumstances.

Security Features: The security level should be certified by independent and competent authorities. Unlike a conventional magnetic stripe card, which can be easily erased or copied, a smart card has a protected and much larger memory. Smart cards also have confidential memory zones holding secret user information.

EMV Cards: EMV stands for '*Europay, MasterCard and Visa*', a global standard for inter-operation of *integrated circuit cards* (IC cards or "chip cards") for authenticating *credit* and *debit card* transactions.

It is a joint effort initially conceived between Europay, MasterCard and Visa to ensure the security and global interoperability of chip-based payment cards. EMV chip cards are payment cards carrying an embedded microchip. The computing power of the chip enables smart cards to offer new payment options and services, additional levels of security, and more convenience and choice.

Chip cards used with PIN are a solution to counterfeit, lost and stolen card fraud. The chip prevents the card from being counterfeited, and the PIN uniquely identifies the owner of the card and prevents it from being used by someone else if lost or stolen.

When a chip card is used at the point of sale, the transaction message is sent by the chip card to the switch to authorize the transaction. This message does not contain any data that can be used to counterfeit a chip or conduct an unauthorised chip transaction reusing the data from a previous transaction.

The EMV standards define the interaction at the physical, data and application levels between IC cards and IC card processing devices for financial transactions. There are standards based on **ISO/IEC 7816** for contact cards and standards based on **ISO/IEC 14443** for contactless cards (**PayPass**, **payWave**, **ExpressPay**).

44.4.5 NFC based Contactless/Tap & Go Cards

While making payments through cards, a card can be swiped (Magnetic-Stripe card), dipped (Chip based card) or tapped (Contactless Near Field Communication NFC Card) at a POS terminal or ATM.

Near Field Communication technology supports electronic data exchanges for short distances of about 10 cm. An NFC enabled smart card can transact wirelessly with an NFC enabled POS. These cards, known as contactless or Tap and Go cards, can be used at POS terminals of merchant establishments ATMs by simply tapping the card. Contactless cards and terminals have  symbol displayed on them. Transactions made through contactless cards are faster and more secure. As the cardholder need not part with the card, the chances of misuse are less.

44.4.6 Member Card

This is used exclusively by the members of a club or a chain of hotels. For example, the Taj Card is a card issued by the Management of Taj Group of Hotels to be used by patrons. The cards are for use in their hotels only. Similarly, there are many other types of cards where the usage is exclusive to the members of a group or establishment.

Advantages of a credit card:

To the Cardholder:

- (a) It is convenient for him to carry a credit card in his wallet and make trouble-free travel or purchase. It allows him to draw cash too
- (b) It inculcates a sense of financial discipline in him
- (c) It provides proof of purchase through banking channels to strengthen his position in case of disputes with sellers.
- (d) It also gives him exposure to banking
- (e) It allows him to delegate spending power to add-on members
- (f) It extends additional facilities like insurance cover/discount, etc.

To the Merchant:

- (a) Increase in sales because of increased purchasing power of the cardholder
- (b) Preferred locations by a cardholder
- (c) Systematic accounting since sale receipts are routed through banking channels
- (d) Advertising and promotional support on a national scale
- (e) Development of a prestigious clientele base
- (f) Assured and immediate settlement/payment
- (g) Avoids all the cost and security problems involved in handling cash.

To Banks:

- (a) Scope and potential for better profitability out of share earned from the traders' turnover
- (b) Helps in establishing a banking relationship with new customers
- (c) This also provides additional customer service to the existing clients. Better network spread of cardholders and their increased use means higher popularity and image for the banks
- (d) Saving expenses on cash holding/stationery printing and workforce to handle clearing transactions.

Modes of Acceptance of Card*Manual mode.*

- (a) In this mode, the merchant has to verify the genuineness of the card from the warning bulletin, which is supplied regularly.
- (b) After ascertaining the genuineness of the card, the merchant has to take the imprint of the card on charge slips supplied for the purpose.
- (c) Interchange fee: This is the percentage of the total value of a transaction that goes to the bank. In the case of manual acceptance, it is as decided by the Bank.
- (d) Manual acceptance is recommended at merchant establishments with low-ticket size (average value of the transaction) except jewellery, electronic goods, handicraft, hotels and air tickets, where chances of fraudulent transactions are high.

Electronic mode.

- (a) The card is accepted through EDC (Electronic Data Capture) machines. Validity of the card and the credit limit is verified online, and approval is by the merchant online.
- (b) The Bank decides the interchange fee in this mode. Here, the merchant should have a telephone facility.

44.4.7 Biometric Security Features for Cards

One of the primary features of the smart card is security to prevent card-related crimes and frauds. Chips for smart cards are not publicly available. The smart card has different pockets of storage of cash for different types of transactions. Personal identification security concerns linking the card to its rightful owner, which is the most commonly used identification method. There may be a unique PIN for each pocket, meaning that a smart card may have multiple PINs.

Apart from multiple PIN facility, there are other Biometric security features available with the smart card, which are as under:

Dynamic signature verification: It traces the way in which a signature is written – the dynamic signature tablet automatically verifies whether the signature is genuine or not.

Fingerprint verification: It is used to identify whether the user of the smart card is genuine or not by electronically scanning fingerprint ridges.

Voice recognition system: It uses a computer programmed to recognize different voices and compares the voice with the recorded original.

Hand geometry: Research has shown that individual hands have unique features such as finger lengths, skin web opacity and radius of curvature of fingerprints. Systems are available to measure hand geometries by scanning them.

Retinal pattern verification: The pattern of the blood vessels on the retina of the human eye is a unique physical characteristic; the retina is scanned using a low-intensity infrared beam, and the person's identification is thereby ascertained.

Vein recognition: This method, like retinal pattern identification, uses the unique vein structure of the human body to identify individuals. The 'vein check' system uses a simple infrared scanning and encoding technique to locate the number, position and size of subcutaneous vessels.

Visual recognition: It is possible to digitize a person's picture and store it in smart card memory. The picture, usually obtained by a scanning video camera, is digitised and then compressed to be stored in the smart card. These days, this system is becoming very popular.

44.4.8 Digital wallet/e-Wallet

In recent years, the payments industry has witnessed many innovations in payment systems, especially in Mobile Payments. With the increase in mobile subscriber base and mobile internet usage in India, opportunities have created for new business line. One of these has been the Mobile Wallet.

The advent of a handful of new players, PayTM, Mobikwik, PhonePe, etc., the introduction of UPI, BHIM etc., and Government push after demonetization, are the major drivers of this high growth.

What is mobile wallet, and how does it work?

A mobile wallet or an e-wallet is nothing but a digital version of a physical wallet.

It uses a bank account, debit or **credit card** information to process payments and the payment details are stored in a secure and encoded format. These wallets help lower the payment processing time, reduce fraud and are economical. It is very easy to use a mobile wallet- all you need to do is install the app on your smartphone and register for the service.

User can spend it at online and offline merchants listed with the mobile wallet service provider. For example, if the user goes to a coffee shop A, which is listed with XYZ mobile wallet, user can pay for the coffee through the phone. Depending on the service provider, one can also pay through an App, text message, social media account or website. For example, companies like PayTM, MobiKwik, Freecharge etc., have tied up with various merchants for accepting their payments, through their Mobile Wallets, from the customers.

Mobile wallets can either be bank-owned or non-bank owned. For non-bank wallets, the provider should have a PPI license from RBI before launching a mobile wallet. Using mobile wallets, customers can make any type of transaction, right from utility payments to e-tailing (online purchases) and offline payments.

There are separate guidelines issued by RBI for the issuance of Prepaid Payment Instruments (PPIs); mobile wallet is one such instrument.

Merits and Demerits of Mobile Wallets:

Merits:

- While a physical wallet can be snatched, misplaced or pickpocketed, a mobile wallet, like any other virtual wallet, cannot be.
- Secondly, virtual payments are easy, as one need not carry an exact change of currency,
- Mobile wallets allow the user to pay in one tap, unlike net banking, which is time consuming.

Demerits:

- One needs a smart mobile with a dependable and fast internet connection.
- Different e-wallet players provide different services. To manage number of wallets is a challenge for user.
- Mobile wallets are not useful for high-value payments as there is a limit to the amount one can deposit in mobile wallets and spend daily.

44.4.9 Electronic/Digital Payments

Digital Payment Systems, covering various payment channels/ payment products have been discussed in detail in Unit 46. Details of Pre-paid Instruments are discussed here.

44.4.9.1 Pre-paid Payment Instruments (PPI)

Pre-paid payment instruments facilitate purchase of goods and services, including funds transfer, against the value stored on such instruments. They can be issued as smart cards, magnetic stripe cards, internet accounts, internet wallets, mobile accounts, mobile wallets, and any such instrument which can be used to access the pre-paid amount.

- Closed System Prepaid Instruments:** These are issued by an entity for facilitating the purchase of goods and services from that entity only and do not permit cash withdrawal. These instruments cannot be used for payment or settlement for third party services. Such instruments are not classified as payment systems requiring approval by RBI. Example: a prepaid card/wallet issued by a particular book store or restaurant for use only at its outlet(s).
- Prepaid Payment Instruments:** These require RBI approval / authorisation prior to issuance. These can be issued by banks and non-banks.
 - **Issuer:** Entities operating the payment systems issuing PPIs to individuals/ organisations.
 - **Holder:** Individuals / organisations who obtain/ purchase PPIs from the issuer.
 - **Merchants:** Establishments who contract to accept the PPIs of the issuer (or contract through a payment aggregator/ payment gateway) against goods, services, financial services, etc.

44.4.9.1.1 Types of PPIs

- Small PPIs (Minimum-detail PPIs):**

These are issued after obtaining minimum details of the PPI holder. These include a mobile number verified with One Time Password (OTP) and a self-declaration of name and unique identity/ identification number of any 'mandatory document' or OVD. These shall be reloadable, only in electronic form, and used only for purchase of goods and services at those merchant establishments that have specific contract with the issuer or through a payment gateway/ aggregator. Funds transfer or cash withdrawal are not permitted. These PPIs can be closed at any time at the holder's option, and the balance transferred back to source account or to the holder's bank account, after completing KYC process.

- PPIs with cash loading facility**

- Maximum loaded amount: ₹10,000/- in a month, and ₹1,20,000/- in a FY.
- Maximum outstanding: ₹10,000/-; Maximum debits: ₹10,000/- in a month.
- PPI issuer can stipulate separate limits for goods and services.
- To be converted to fully KYC-compliant PPI within 24 months of date of issue.
- If not converted – no further credits allowed, existing balance allowed to be used.
- Cannot be issued to the same holder for the second time.

(b) **PPIs with no cash loading facility**

- Loading/ reloading to be from a bank account/ credit card/ full-KYC PPI.
- Maximum loaded amount: ₹10,000/- in a month, and ₹1,20,000/- in a FY.
- Maximum outstanding amount: ₹10,000/-.
- PPIs with cash loading facility can be converted to with no cash loading facility.
- Holder to be allowed to close the account at any time.

(ii) **Full-KYC PPIs**

- To be reloadable and only in electronic form.
- To be issued after completing KYC of the holder.
- Video-based Customer Identification Process (V-CIP) can be used.
- Maximum outstanding: ₹2,00,000/-.
- Funds can be transferred to ‘source account’ or ‘bank account of the holder’ (duly verified by the issuer). Issuer must set the limits as per the risk profile of the holders, other operational risks, etc.
- To provide facility of ‘pre-registered beneficiaries’ by providing details of their bank account, PPIs of same issuer (or different issuer as and when permitted), etc.
- Issuer must set limits for transfers to these beneficiaries as per the risk profile of the holder, but not exceeding ₹2,00,000/- per month per beneficiary.
- Limits for other funds transfer: Maximum ₹10,000/- per month; PPI issuer can stipulate separate limits for goods and services, within this.
- Funds transfers permitted: to other PPIs, debit cards and credit cards, subject to ceilings.
- Options to PPI holders: To set their own fund transfer limits, within the prescribed ceilings.
- Holder can close the account at any time, and transfer the balance, as per applicable limits, back to the source account or to own account of the card holder.
- On bank issued PPIs cash withdrawal is permitted across all channels (agents, ATMs, PoS devices, etc.), subject to maximum ₹2,000/- per transaction, and maximum ₹10,000/- per month for each PPI.

(ii) **Specific Categories of PPIs**

(a) **Gift PPIs**

- Maximum value: ₹10,000/- each Gift PPI.
- Shall not be reloadable.
- Cash-out or funds transfer are not be permitted.
- Funds may be transferred ‘back to source account’ with consent of the PPI holder.
- KYC details of the purchaser to be maintained, but separate KYC is not required if Gift PPI is issued against debit to their bank accounts and/ or credit cards in India.
- Adopt a risk-based approach to fix limit on number of instruments, transaction amount, etc.
- Can be revalidated (including issuance of new instrument) at the request of the holder;
- Provisions of validity and redemption in respect of PPIs will apply.

(b) **PPIs for Mass Transit Systems (PPI-MTS)**

- To be issued by MTS operators after RBI authorization.
- Should contain Automated Fare Collection application related to transit service.
- Apart from MTS these can be used only at those merchant outlets whose activities are allied / related to or are carried on within premises of the MTS.

- Issuer may decide about customer details, if any, to be obtained.
- It shall be reloadable.
- Maximum outstanding at any point of time shall be ₹.3,000/-.
- Cash-out or refund or funds transfer can not be permitted;
- Requirement of escrow arrangement is applicable.
- Can be revalidated (also issuance of new instrument) at the request of the holder.
- Provisions of validity and redemption in respect of PPIs shall be adhered to.

44.4.9.1.2 Key Operational Regulations

(i) *Issuing/ Loading/ Reloading*

- PPIs may be issued as cards, wallets, and any other form/instrument for access and use the amount. Paper vouchers are not permitted.
- PPIs issued in India and shall be in INR only and no interest can be paid on balances.
- PPIs can be reloadable or non-reloadable depending upon the permissible type. They can be loaded/ reloaded by cash, debit to a bank account, credit/debit cards. Cash loading is limited to ₹50,000/- per month subject to overall limit.
- Can be loaded / reloaded through authorised outlets/ agents/ BCs of issuers.

(ii) *Validity and Redemption*

- Validity: Minimum one year from the date of loading/ last reloading.
- Card PPIs with validity mentioned on the card may be replaced at customer's request.
- To inform customer by SMS, e-mail, etc. recurringly during 45 days window before expiry.
- PPIs with no transaction for one year to be inactivated, and informed to RBI. To be reactivated on customer's request after due diligence.
- On discontinuation of the scheme, the holders to be allowed to redeem the balance.

(iii) *Deployment of money collected – Non-bank Issuer*

- Outstanding balances to be in an escrow account with one or two scheduled commercial banks.
- Issuer that is member of Centralised Payment Systems of RBI shall maintain a Current Account with RBI.
- The day-end balance in the escrow account shall not be less than the value of outstanding PPIs and payments due to merchants. Credit to escrow on issue, load / reload must be latest by day-end of the transaction. Inter-escrow accounts transactions are avoidable and subject to audit.
- Credits: Amounts received for issue/ load/ reload; Refunds of transactions; Payments from sponsor bank for settlement; Transfers from current account with RBI.
- Debits: Claims from merchants/ service providers; Payment to sponsor bank for settlement obligations; Transfers to current account with RBI; Payment of Govt. taxes included in issue/ reload amounts; Refunds for transactions; Any payment due to the issuer (service charges, forfeited amount, commission, etc.), Any payment as directed by the regulator/ courts/ law enforcement agencies.
- Issuer to give list of merchants acquired by them to the bank for ensuring payments are made only to these. A copy of the agreement with payment aggregators regarding using funds only to pay the acquired merchants to be given to the escrow bank.
- No interest can be paid on the Escrow Account, However, 'core portion', of the balance can be transferred to an interest bearing account.

44.4.9.1.3 Other Aspects

(i) *PPIs under co-branding arrangements*

- Non-bank PPI issuer to seek on-time RBI approval for issuing co-branded PPIs.
- Co-branding partner: Indian company, Government department / ministry, a bank.
- Can put name/ logo of the company for whom the instruments are issued. Name of PPI issuer shall be prominently put.
- To indicate clearly the PPI issuer in the agreement between two non-bank PPI issuers.
- Between a bank and non-bank, role of the non-bank entity to be limited to marketing/ distribution/ providing access to services.
- PPI issuer to do due diligence of the co-branding partner.
- Tie up with a financial entity to be with approval of co-branding partner's regulator.
- PPI issuer is liable for acts of the co-branding partner, and all customer-related aspects.
- No remittance to be permitted without compliance with KYC requirements.
- New PPIs not to be issued every time for cash-based remittances to other PPIs/ bank accounts.

(ii) *Cross-border transactions*

(a) *For cross-border outward transactions*

- Full-KYC PPIs issued by AD-I banks can be used in cross-border outward transactions (as per FEMA for permitted purchase of goods and services).
- Remittances under LRS and pre-funding of online merchant's account are not permitted.
- Cross-border facility to be activated only on explicit request of the holder.
- Ceiling: ₹10,000/- per transaction; ₹50,000/- in a month.
- If in card form, these should be EMV Chip and PIN compliant.

(b) *For credit from cross-border inward remittances*

- Issuer, Indian agent of authorised overseas principals, can issue full-KYC PPIs to beneficiaries of inward remittances under MTSS, within norms of MTSS.
- Ceiling: Upto ₹50,000/- for a remittance, balance to be credited to bank account.

44.4.10 Prepaid Instruments (PPIs)

Prepaid Payment Instruments (PPIs) are instruments that facilitate the purchase of goods and services, including financial services, remittance facilities, etc., against the value stored on such instruments. PPI issuer is an entity operating/participating in a payment system for issuing PPIs to individuals/organisations. The money so collected is used by the entity to make payments to the merchants who are part of the acceptance arrangement and facilitate funds transfer/remittance services. The prepaid payment instruments permitted in India are classified under three categories, viz.

1. Closed system payment instruments
2. Small Prepaid Payment Instruments or Minimum Details Prepaid Payment Instruments
3. Full-KYC Prepaid Payment instruments.

1. Closed System Payment Instruments: These PPIs are issued by an entity for facilitating the purchase of goods and services from that entity only and do not permit cash withdrawal. These instruments cannot be used for payment or settlement for third party services. The issuance or operation of such instruments is not classified as a payment system requiring approval/authorisation by RBI and are, therefore, not regulated or supervised by RBI. E.g., a prepaid card/wallet issued by a particular book store or restaurant for use only at its outlet(s).

2. Small Prepaid Payment Instruments (Minimum Details Prepaid Payment Instruments):

These are issued by banks and non-banks after obtaining minimum details of the PPI holder. These are used only for purchase of goods and services. Funds transfer or cash withdrawal from such PPIs shall not be permitted. Small PPIs can be used at a group of identified merchant locations/establishments which have a specific contract with the issuer (or contract through a payment aggregator/payment gateway) to accept the PPIs as payment instruments. The features of these instruments are:

(i) PPIs upto Rs.10,000/- (with cash loading facility)

- (a) Bank and non-banks shall be permitted to issue such PPIs after obtaining minimum details of the PPI holder;
- (b) Minimum details shall necessarily include a mobile number verified with One Time Password (OTP) and a self-declaration of name and unique identity/identification number of any 'mandatory document' or 'Officially Valid Document (OVD)' or any such document with any name listed for this purpose in the Master Direction on KYC, as amended from time to time;
- (c) Such PPIs shall be reloadable in nature;
- (d) Amount loaded in such PPIs during any month shall not exceed Rs.10,000/- and the total amount loaded during the financial year shall not exceed Rs.1,20,000/-;
- (e) Amount outstanding at any point of time in such PPIs shall not exceed Rs.10,000/-;
- (f) Total amount debited from such PPIs during any month shall not exceed Rs.10,000/-;
- (g) These PPIs shall be used only for purchase of goods and services. Cash withdrawal or funds transfer from such PPIs shall not be permitted;
- (h) There shall be no separate limit for purchase of goods and services using PPIs; PPI issuer may decide limit for these purposes within the overall PPI limit;
- (i) These PPIs shall be converted into full-KYC PPIs within a period of 24 months from the date of issue of the PPI, failing which no further credit shall be allowed in such PPIs. However, the PPI holder shall be allowed to use the balance available in the PPI;
- (j) This category of PPI shall not be issued to the same user in future using the same mobile number and same minimum details;
- (k) PPI issuer shall give an option to close the PPI at any time. The closure proceeds can be transferred 'back to source account' (payment source from where the PPI was loaded). Alternatively, the closure proceeds can be transferred to a bank account after complying with KYC requirements of PPI holder; and
- (l) The features of such PPIs shall be clearly communicated to the PPI holder by SMS/e-mail/any other means at the time of issuance of the PPI/before the first loading of funds.

(ii) PPIs upto Rs.10,000/- (with no cash loading facility)

- (a) Banks and non-banks shall be permitted to issue such PPIs after obtaining minimum details of the PPI holder;
- (b) Minimum details shall necessarily include a mobile number verified with OTP and a self-declaration of name and unique identity/identification number of any 'mandatory document' or OVD or any such document with any name listed for this purpose in the Master Direction on KYC, as amended from time to time;
- (c) Such PPIs shall be reloadable in nature. Loading / Reloading shall be from a bank account / credit card / full-KYC PPI;

- (d) The amount loaded in such PPIs during any month shall not exceed Rs.10,000 and the total amount loaded during the financial year shall not exceed Rs.1,20,000;
- (e) The amount outstanding at any point of time in such PPIs shall not exceed Rs.10,000;
- (f) These PPIs shall be used only for purchase of goods and services. Cash withdrawal or funds transfer from such PPIs shall not be permitted;
- (g) PPI issuer shall give an option to close the PPI at any time. The closure proceeds can be transferred 'back to source account' (payment source from where the PPI was loaded). Alternatively, the closure proceeds can be transferred to a bank account after complying with KYC requirements of PPI holder;
- (h) The features of such PPIs shall be clearly communicated to the PPI holder by SMS / e-mail / any other means at the time of issuance of the PPI/before the first loading of funds; and

3. Full-KYC PPIs: These are issued by banks and non-banks after completing Know Your Customer (KYC) of the PPI holder. These PPIs shall be used for purchase of goods and services, funds transfer or cash withdrawal. The features of these instruments are:

Banks and non-banks shall be permitted to issue such PPIs after completing KYC of the PPI holder;

- (a) The Video-based Customer Identification Process (V-CIP), as detailed in Department of Regulation's Master Direction on KYC dated February 25, 2016 (as amended from time to time), can be used to open full-KYC PPIs as well as to convert Small PPIs of paragraph 9.1 into full-KYC PPIs;
- (b) Such PPIs shall be reloadable in nature;
- (c) The amount outstanding shall not exceed Rs.2,00,000/- at any point of time;
- (d) The funds can be transferred 'back to source account' (payment source from where the PPI was loaded) or 'own bank account of the PPI holder' (duly verified by the PPI issuer). However, PPI issuer shall set the limits considering the risk profile of the PPI holders, other operational risks, etc.;
- (e) PPI issuer shall provide the facility of 'pre-registered beneficiaries' whereby the PPI holder can register the beneficiaries by providing their bank account details, details of PPIs issued by same issuer (or different issuer as and when permitted), etc.;
- (f) In case of such pre-registered beneficiaries, the funds transfer limit shall not exceed Rs.2,00,000/- per month per beneficiary. PPI issuer shall set the limits within this ceiling considering the risk profile of the PPI holders, other operational risks, etc.;
- (g) Funds transfer limits for all other cases shall be restricted to Rs.10,000/- per month;
- (h) Funds transfer from such PPIs shall also be permitted to other PPIs, debit cards and credit cards as per the limits given above;
- (i) There is no separate limit on purchase of goods and services using PPIs and PPI issuer may decide limit for these purposes within the overall PPI limit;
- (j) PPI issuer shall clearly indicate these limits to the PPI holders and provide necessary options to PPI holders to set their own fund transfer limits;
- (k) PPI issuer shall also give an option to close the PPI and transfer the balance as per the applicable limits of this type of PPI. For this purpose, the issuer shall provide an option, including at the time of issuing the PPI, to the holder to provide details of pre-designated bank account or other PPIs of same issuer (or other issuer as and when permitted) to which the balance amount available in the PPI shall be transferred in the event of closure of PPI, expiry of validity period of such PPIs, etc.;

- (l) In case of bank issued PPIs, cash withdrawal shall be permitted. However, cash withdrawal at PoS devices shall be subjected to a limit of Rs.2,000/- per transaction within an overall monthly limit of Rs.10,000/- across all locations (Tier 1 to 6 centres), subject to conditions stipulated in [RBI circular DPSS.CO.PD.No.449/02.14.003/2015-16 dated August 27, 2015](#);
- (m) In case of non-bank issued PPIs, cash withdrawal shall be permitted upto a maximum limit of Rs.2,000/- per transaction within an overall monthly limit of Rs.10,000/- per PPI across all channels (agents, ATMs, PoS devices, etc.); and
- (n) Features of such PPIs shall be clearly communicated to the PPI holder by SMS/e-mail/any other means at the time of issuance of the PPI/before the first loading of funds.

44.5 ELECTRONIC BANKING

With the introduction of computers in Indian banks and with the advent of ATMs, banking services are provided across the banks. Customers need not necessarily visit a branch to do banking transactions when they provide them with telebanking or remote-banking facilities. This type of banking is called electronic banking, and this banking channel is becoming popular with individuals as well as corporate entities in India.

44.5.1 Anytime/Anywhere Banking

Alternate delivery channels have eliminated the time limitations of customer service. They offer a host of banking services, including deposits, withdrawals, requisitions, instructions and transfers. Access to the account through the Alternate delivery channels is secured through measures like Password, PIN, OTP, Biometric authentication etc. With the introduction of payment systems like IMPS UPI and making NEFT/RTGS 24 × 7, any time banking payments across Banks also became a reality. Introduction of Core banking, interoperability of ATMs, services through Internet Banking, Mobile Banking, e-wallets made conducting Banking operations from anywhere easy and convenient for the customers. Banks, while implementing any new product, are thinking of delivering first through digital channels. Customers are no more much concerned about the Branch business hours of Banks.

Corporate Banking

Remote banking has become very popular among corporate customers, especially big business/industrial houses that are already automated. More and more banks are providing customer terminals right in the customer's office, which facilitates the customers to operate the account without physically coming to the bank. To avail these services from the banks which have this facility, the customer requires a computer, an Internet connection through Broadband, Fibre or LAN connectivity or a telephone connection and a modem. Moreover, any of these items need not be dedicated for this purpose and could be utilised only at the time of performing banking transactions, thereby do not involve any additional investments.

At present, by utilising remote banking facility, corporate customers will be able to get the following services:

- (a) Getting their current balance or getting their statement of accounts for any pre-defined period
- (b) Ordering cheque books
- (c) Ordering/transferring intra-bank and inter-bank fund transfers
- (d) Instructing stop payments of cheques
- (e) International remittances

- (f) Opening letter of credits
- (g) Treasury services to manage their working capital requirements
- (h) Customized loans and lease agreements for the purchase of equipment, machinery, etc.
- (i) Portfolio analysis, leverage analysis, debt and equity restructuring, analyses of real assets, asset management services and underwriters for initial public offering (IPOs), etc.

CBS is being customized by Banks to cater to the specific needs of corporates, and arrangements are made through CBS the Internet to collect various receivables like Insurance premiums, School fees, Dealer remittances etc. Banks are also customizing their CBS for the bulk posting of NEFT RTGS remittances and, in some cases facilitating simultaneous flow copy of transactions directly to the Customers ERP Platforms.

Tele Banking

By using a telebanking facility, customers can dial up the Bank's designated telephone number, which is connected to the Bank's server. By dialing his identification number, the customer will be able to avail of some banking services using a secure PIN. The Telebanking software will be interactive with the customer asking him to dial the code number of the service required by him and suitably answer him. A customer can access his balance and place an order for the statement of accounts, cheque books and a few selected services through this tele(phone) banking. Some of the services that can be availed with telebanking facility are:

- (i) Balance Inquiry,
- (ii) Last few transaction details
- (iii) Request for a cheque book online
- (iv) Stop payment of any cheque
- (v) Initiate fund transfers to self-account
- (vi) Generate ATM PIN
- (vii) Get the interest certificate
- (viii) Get the Deposit Interest Certificate
- (ix) Update mobile information or mail ID

This facility is now being served through Voice assistants/Bots using Artificial Intelligence to help the Customer in availing banking services.

44.5.2 Internet Banking

Banks have traditionally been at the forefront of harnessing technology to improve their products, services and efficiency. Over a long time, they have been using electronic and telecommunication networks for delivering a wide range of value-added products and services. The delivery channels include direct dial-up connections, private networks, public networks, etc. The devices include telephones, mobile phones, personal computers, Laptops, Tablets etc., including ATMs. With the popularity of Mobile phones, Laptops, Tablets, Wearables, PCs, and easy access to the Internet and the World Wide Web (WWW), banks are increasingly using the internet as a channel for receiving instructions and delivering their products and services to their customers. This form of banking is referred to as Internet Banking, although the range of products and services offered by different banks vary widely in their content and sophistication.

Broadly, the levels of banking services offered through the internet can be categorised into three types:

- (a) The Basic Level Service is the banks' websites, which disseminate information on different products and services offered to customers and members of the public in general. It may receive and reply to customers' queries through e-mail.
- (b) The next level is Simple. Transactional Websites allow customers to submit their instructions, applications for different services, queries on their account balances, etc. but do not permit any fund-based transactions on their accounts.
- (c) The third level of Internet banking services offered by Fully Transactional Websites allows the customers to operate their accounts for the transfer of funds, payment of utility bills, subscription to other products of the bank and to transact purchase and sale of securities, etc. The above forms of Internet banking services are offered by traditional banks, as an additional method of serving the customer or by new banks, who deliver banking services primarily through the Internet or other electronic delivery channels as the value-added services. Some of these banks are known as 'virtual' banks or 'Internet-only' banks and may not have any physical presence in a country despite offering different banking services. The majority of the Banking services provided at the Bank's branch can be delivered through the internet to the customers.

From the perspective of banking products and services being offered through the Internet, Internet banking is nothing more than traditional banking services delivered through an electronic communication backbone, viz., Internet. But, in the process, it has thrown open issues which have ramifications beyond what a new delivery channel would normally envisage and hence, has compelled regulators world over to take note of this emerging channel. Some of the distinctive features of Internet banking are:

- (i) It removes the traditional geographical barriers as it could reach out to customers of different countries/legal jurisdictions. This has raised the question of jurisdiction of law/supervisory system to which such transactions should be subjected.
- (ii) It has added a new dimension to different kinds of risks traditionally associated with banking, heightening some of them and throwing new risk control challenges and risk perceptions.
- (iii) Security of banking transactions, validity of the electronic contract, customers' privacy, etc., have always been matters of concern, given that the Internet is a public domain, not subject to control by any single authority or group of users.
- (iv) It poses a strategic risk of loss of business to those banks who do not respond in time to this new technology efficient and cost-effective delivery mechanism of banking services.
- (v) Internet is the Backbone for popular Social Networking Sites like Facebook, WhatsApp, WeChat, Twitter, YouTube, Instagram, Skype, Viber Etc. Nowadays Banks are using these Social media networks for customer engagement through advertisements, quizzes and offers, apart from offering banking services.

44.5.3 Mobile Banking in India

Mobile phones, as a medium for extending banking services, have attained greater significance because of their ubiquitous nature. Wider coverage of mobile phone networks, has made this medium an important platform for extending banking services to every segment especially unbanked segment. Banks are permitted to offer mobile banking services (through SMS, USSD or mobile banking application) after obtaining necessary permission from the Department of Payment and Settlement Systems, RBI. Use of mobile banking services for cross border inward and outward transfers is strictly prohibited.

44.5.3.1 Registration of Customers for Mobile Services

Banks should provide easy options of multiple channels to register for mobile banking. The time required for this should be minimal. These should include: (a) *New Customer* - at account opening time: Clear and distinct option in the account opening form for mobile number also indicating that alerts (if sent through SMS) will be sent to the mobile number registered for mobile banking; (b) *Existing Customer – with mobile number registered with the bank but not activated for mobile banking*: To provide options for activation through ATMs, Kiosks, IVR/ Phone banking, Net banking, etc.; (c) *Existing Customer – mobile number not registered with the bank*: Banks should obtain through various modes the mobile numbers of the account holders first for registration in their database and subsequently for mobile banking registration. On registration of the customer, full details of the Terms and Conditions of the service offered by the bank shall be communicated to the customer.

44.5.3.2 Facility for Generation of MPIN

MPIN are critical for use of mobile banking services. For MPIN generation several modes should be provided through: an option in own ATMs; an option in the USSD menu; internet banking; MPIN mailers; and Industry level common website.

44.5.3.3 Mobile Banking Transactions and Interoperability

Banks can offer mobile banking facility without any daily cap for transactions for purchase of goods/ services. Banks may put in place limits based on their own risk perceptions.

Fund transfer services from the accounts of their customers can be provided for delivery in cash to the recipients, including non-account holders. The disbursement of cash can be facilitated at ATMs or through any agent(s) appointed by the bank as business correspondents. The conditions for this are:

- Cash out: Maximum amount - ₹10,000/- per transaction.
- Velocity cap to be decided by banks with Maximum amount - ₹25,000/- per month, per beneficiary.
- Disbursement of funds at the agent/ATM: Only after identification of the recipient.

Banks must ensure that customers having mobile phones of any network operator are in a position to avail of the service. To ensure inter-operability between banks, and between their mobile banking service providers, banks shall adopt the message formats like ISO 8583, with suitable modification to address specific needs.

Some of the common services offered through mobile banking are:

Account Balance Enquiry, Account Statement Enquiries, Cheque Status Enquiry, Cheque Book Requests, Fund Transfer between Accounts, Fund transfer across Banks through IMPS/UPI etc, Credit/Debit Alerts, Utility Bill Payments like Electricity/Water/Mobile, Recent Transaction History Requests, Various other transaction Alerts, Train/Bus/Flight Bookings, Demat portfolio Management, Tax payments, Buy Life Insurance and General Insurance.

USSD based mobile banking service (*99#)

USSD (*99#) based mobile banking service was introduced by NPCI to take the banking services to every common man across the country. NPCI later launched Unified Payments Interface (UPI) with member banks. UPI allows customers to send and receive money using a unique ID (UPI ID) or payment address. UPI is now available for non-internet based mobile devices (smartphone as well as basic phones) in the

form of dialing option (*99#) as USSD 2.0. It does not require a smartphone or data connection and is available round the clock, even on holidays.

Key services: Sending and Receiving account to account funds across any bank, balance enquiry, setting/changing UPI PIN. It facilitates funds transfer using mobile number/ UPI ID/ Aadhaar Number/ Account No. & IFSC/ UPI ID & Mobile No. Non-financial transactions - getting account balance/ last 5 transactions, setting/changing UPI PIN, and knowing Aadhaar linking status/ PMJDY account overdraft Status – are also provided.

44.5.4 Mobile Banking

Banks that are licensed supervised, and have a physical presence in India are permitted to offer mobile banking services. Only banks that have implemented core banking solutions are permitted to provide mobile banking services. The guidelines issued by Reserve Bank on “Know Your Customer (KYC)”, “Anti Money Laundering (AML)”, and “Combating the Financing of Terrorism (CFT)” from time to time would be applicable to mobile-based banking services also.

Mobile Banking transaction means undertaking banking transactions using mobile phones by bank customers that involve accessing/credit/debit to their accounts. Banks are permitted to offer mobile banking services (through SMS, Unstructured Supplementary Service Data (USSD) or mobile banking application) after obtaining necessary permission from the Department of Payment & Settlement Systems, Reserve Bank of India. Mobile Banking services must be made available to bank customers irrespective of the mobile network. Mobile Banking service is offered free of charge. Mobile Banking technologies have evolved a lot in the last few years, and they are capable of offering a majority of the Banking services through customer’s Mobile set. Some of the common services offered are:

- (a) Account Balance Enquiry.
- (b) Account Statement Enquiries.
- (c) Cheque Status Enquiry.
- (d) Cheque Book Requests.
- (e) Fund Transfer between Accounts.
- (f) Fund transfer across Banks through IMPS/UPI etc.
- (g) Credit/Debit Alerts.
- (h) Utility Bill Payments like Electricity/Water/Mobile.
- (i) Recent Transaction History Requests.
- (j) Various other transaction Alerts.
- (k) Train/Bus/Flight Bookings.
- (l) Demat portfolio Management.
- (m) Tax payments.
- (n) Buy Life Insurance and General Insurance.

Banks shall put in place a system of registration of customers for mobile banking. Banks should strive to provide options for easy registration for mobile banking services to their customers through multiple channels, thus minimizing the need for the customer to visit the branch to register for mobile banking services. The time taken between the registration of customers for mobile banking services and activation of the service should also be minimal.

All mobile transactions should be encrypted end-to-end except transactions up to ₹ 5000/-, which can be facilitated by banks without end-to-end encryption. Banks are permitted to offer mobile banking facilities

to their customers without any daily cap for transactions involving the purchase of goods/services. However, banks may put in place per transaction limit depending on the bank's own risk perception, with the approval of its Board. Of late, Banks are providing Customers with the facility of fixing/ modifying/ disabling the transaction limits for various delivery channels.

Information Security is most critical to the business of mobile banking services and their underlying operations. Therefore, the technology used for mobile banking must be secure and should ensure confidentiality, integrity, authenticity and be non-repudiation.

44.5.5 Electronic Commerce (E-Commerce)

E-commerce is a digital parlance. If you think that e-commerce is limited only to a niche segment of business-to-business (B2B) transactions, think twice! No doubt, the bulk of the business done on the net would be in the business-to-business category, but business-to-customer transactions will generate this bulk.

E-commerce translates your otherwise intangible benefits. Other exciting developments springing from e-commerce include a higher degree of personalization, round-the-clock advantage, fast and flexible execution, immediate customer reaction, and reduction in operating cost.

E-commerce poses new challenges for all market participants. Banks face competition from non-banks and near banks, which because of the low barrier to market entry, can play much more easily in the electronic payment services market than in the markets for traditional bank services.

44.5.6 Neo-Banking

A Neo-Bank is a digital bank that does not have any branches. Instead of having a physical presence at a set location, Neo-Banking is entirely online. A broad collection of financial service providers, who primarily target tech-savvy customers, comes under the umbrella of Neo-Banking. Basically, a Neo-Bank is a Fintech firm that provides digital and mobile-first services like payments, debit cards, money transfers, lending, and more.

Neo-Banks bridge the gap between the services that traditional banks offer and the evolving expectations of new-age customers. Neo-Banks leverage its modern digital platforms to analyse customer data and make data-driven decisions to offer a value-added experience, at an affordable cost.

Since Neo-Banks don't have physical branches, consumers can create their accounts from their mobile devices from the comfort of their home in a matter of minutes, by accessing the designated mobile application. In India, Neo-Banks partner with Banks to provide a gamut of banking services. The likes of Jupiter, Fi, Niyo, and RazorpayX are currently working in partnerships with traditional banks.

44.6 CUSTOMER PROTECTION – LIMITING LIABILITY OF CUSTOMERS IN UNAUTHORISED ELECTRONIC BANKING TRANSACTIONS

With the increased thrust on financial inclusion and customer protection and considering the recent surge in customer grievances relating to unauthorised transactions resulting in debits to their accounts/cards, the criteria for determining the customer liability in these circumstances have been detailed by RBI vide their notification dated 6th July 2017.

44.7 HARMONIZATION OF TURN AROUND TIME (TAT) AND CUSTOMER COMPENSATION FOR FAILED TRANSACTIONS USING AUTHORISED PAYMENT SYSTEMS

A large number of customer complaints emanate on account of unsuccessful or 'failed' transactions. Failure could be due to various factors not directly attributable to the customer, such as disruption of communication links, non-availability of cash in ATMs, time-out of sessions, non-credit to beneficiary's account due to various causes etc. Rectification/Compensation paid to the customer for these 'failed' transactions is not uniform.

RBI has therefore laid down the framework for TAT for failed transactions, and compensation, therefore, has been finalized, which will result in customer confidence and bring in uniformity in the processing of the failed transactions, vide notification RBI/2019-20/67/DPSS.CO.PD No.629/02.01.014/2019-20 dated 20 Sept 2019.

44.8 LET US SUM UP

With the development of modern communication facilities, electronic payment systems and channels have grown phenomenally, and electronic or digital banking has become very popular. Bank customers can carry out transactions within the bank and outside the bank premises through various alternate delivery channels.

Interoperable ATMs, which are spread across the country, provide customers with many banking services, including cash payments round the clock. Customers need not necessarily visit the bank to do banking transactions as major types of services are provided by Banks through Mobile and Internet. As these services are unmanned and of a self-help nature, there are fewer customer footfalls at branches and hence cost of transactions is reduced.

The latest innovations in Banking technology help the banker to reduce drudgery and at the same time efficiently discharge his functions. We have also seen that the various electronic devices help the modern banker to render innovative and novel customer services efficiently. These technological aids take care of some of the routine physical tasks and contribute substantially to efficient housekeeping functions and render services that are in tune with the customer needs and satisfaction.

Policy initiatives of the Reserve Bank and the Government of India helped payment systems in India to take long strides towards digitization and Financial Inclusion. The push towards digital infrastructure has been complemented by the greater acceptance of digital modes of transaction among the public. Transactions through the PPI, UPI, IMPS, RTGS and NEFT systems are rising. Some noteworthy features of the Indian digital revolution are CTS, IMPS, UPI, POS, etc. According to the Report on Benchmarking India's Payment Systems 2019 by RBI, India has a leading/strong position in terms of several parameters pertaining to the digital transaction, technology infrastructure, and payment and settlement laws and regulations. At the same time, there exists a vast potential for growth of digital transactions in India owing to the low per capita quantum currently. The Indian payment system is poised to fulfil the goals envisaged in the Reserve Bank's Vision Document 2019-21.

44.9 KEYWORDS

Offline ATMs, Recyclers, Host, WAP, CD, CDM, BNA, PBK, WLA, BLA, PIN, E-commerce, IMPS, UPI, PPI, e-Wallet, POS.

44.10 CHECK YOUR PROGRESS

1. From the bank point of view, the advantages of ATMs are _____.
 - (a) Alternative to expand banking hours
 - (b) Cash handling and cash transportation is avoided
 - (c) Alternative to new branches
 - (d) All of the above
 - (e) None of these
2. PIN is
 - (a) Personal Identification Number
 - (b) Postal index number.
 - (c) Stored in the magnetic stripe of the card
 - (d) Both (a) and (c)
 - (e) None of these
3. The advantages of the processor smart cards are _____.
 - (a) Security
 - (b) Cheaper than MagStripe cards
 - (c) GPS enabled
 - (d) All of the above
 - (e) None of these
4. If you are able to make a card transaction by waving a smart card at a POS, what type of smart card are you using?
 - (a) Credit card
 - (b) Purchase card
 - (c) Contact card
 - (d) Contactless card
 - (e) None of the above
5. The Credit card offers _____.
 - (a) Revolving credit for a certain period
 - (b) Payoff the entire amount of card usage
 - (c) On-line recovery of the amount of card usage
 - (d) All of the above
 - (e) None of the above
6. The Debit card offers _____.
 - (a) Revolving credit for a certain period
 - (b) Payoff the entire amount later
 - (c) Instant recovery of the amount of card usage
 - (d) All of the above
 - (e) None of these
7. Transactions of Internet Banking excludes _____.
 - (a) Withdrawal of cash anywhere in India
 - (b) Statement of account for a specific period.
 - (c) Transfer of funds from one account to another account
 - (d) Balance enquiry
 - (e) None of these
8. Which of the following is not a digital alternate delivery channel?
 - (a) ATM
 - (b) E-Kiosk
 - (c) Branch Teller
 - (d) Internet banking
 - (e) All of the above

44.11 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (a), 3. (a), 4. (d), 5. (a), 6. (c), 7. (a), 8. (c).

UNIT 45

DATA COMMUNICATION NETWORK AND EFT SYSTEMS

STRUCTURE

- 45.0 Objectives**
- 45.1 Introduction**
- 45.2 Data Communications Networks**
 - 45.2.1 Components of Data Communications Networks
 - 45.2.2 Modes of Transmission
- 45.3 Network Scenario in India: Major Networks**
 - 45.3.1 INAS/INET/BANKNET
 - 45.3.2 NICNET
 - 45.3.3 RBINet
- 45.4 Emerging Trends in Communications Networks for Banking**
 - 45.4.1 INFINET
 - 45.4.2 Internet
- 45.5 Evolution of EFT Systems**
- 45.6 Structured Message Transfer System Using SWIFT**
 - 45.6.1 Security in SWIFT
 - 45.6.2 Developments in SWIFT
- 45.7 Automated Clearing Systems**
 - 45.7.1 Clearing House Inter-Bank Payment System (CHIPS)
 - 45.7.2 Clearing House Automated Payment System (CHAPS)
 - 45.7.3 Clearing House Automated Transfer System (CHATS)
- 45.8 Two-Level Funds Transfer System**
 - 45.8.1 Fedwire
 - 45.8.2 Bankwire
 - 45.8.3 Point of Sale (POS) Systems
- 45.9 Emergence of Electronic Payment Systems in India**
 - 45.9.1 Electronic Clearing System in India
 - 45.9.2 National Electronic Fund Transfer (NEFT) System
 - 45.9.3 Real-Time Gross Settlement (RTGS) System
 - 45.9.4 Cheque Truncation System (CTS)
- 45.10 Let Us Sum Up**
- 45.11 Keywords**
- 45.12 Check Your Progress**
- 45.13 Answers to 'Check Your Progress'**

45.0 OBJECTIVES

After studying this unit, you should be able to:

- Describe the essential components of data communication networks and major data communication Networks in India.
- Explain the emerging trends in data communication networks.
- Describe the concept of Electronic Payment systems, their evolution and the essential characteristics of the fund transfer mechanism.
- Describe the SWIFT operations for structured message transfer.
- Explain the various automated payment systems the world over.
- Describe the electronic clearing systems in India.

45.1 INTRODUCTION

The past few years have witnessed a phenomenal advancement in computers and telecommunication technologies, and their fusion has led to data communication networks. This has largely changed the bankers' strategy towards technology absorption.

Processing and execution of payment instructions are some of the statutory obligations of the banks. Conventionally, paper-based instruments like cheques, drafts, dividend and interest warrants, refund orders, gift cheques, traveller cheques, etc., have been the modes of settling payment transactions. However, computers and communications have changed the whole mechanism of funds transfer and the settlement process into fast and automated EFT systems. An electronic funds transfer differs from a conventional transfer in that the information is processed and transmitted electronically. Interestingly many of these electronic fund transfer systems are made available online for customers to transfer funds from anywhere.

The introduction of MICR technology for speedy clearance of cheques ₹in the four metropolitan cities was a major step towards automated clearinghouses. On the communication front, Banknet and SWIFT for transmission of messages were commissioned in India in the year 1991. Payment systems like Electronic Funds Transfer (EFT) system now renamed as National Electronic Funds Transfer (NEFT) system, Electronic Clearing System (ECS), Real-time Gross Settlement (RTGS), Immediate Payment System (IMPS), National Automatic Clearing House NACH and Unified Payment Interface (UPI) etc. have also been introduced. Thus information technology is helping the banks to cross the geographical barriers and take banking to the doorstep of the customers.

45.2 DATA COMMUNICATIONS NETWORKS

Data communication Networks help banks drastically cut costs and the time involved in transferring data from the point of origin to the computer and information from the computer to the point of use.

This brought about the concept of distributed data communications networks, wherein computer systems with the aid of telecommunications links share resources at reduced costs. The data communication networks have become an integral part of present-day banking. Data communication provides connections to computers that may be located in geographically dispersed locations all over the world.

45.2.1 Components of Data Communications Networks

Data communications typically consist of various data communication components. When the components operate together to share resources, they are said to form a network. It has three basic components.

I. Transmission Devices and Interface Equipment

The data is transmitted along the communications path between computer devices using electrical signals and bit sequences to represent numbers and characters. If digital signals are to be transmitted over long distances, then the signals are attenuated, and data reliability deteriorates. The digital signals are converted into analogue signals for transmission over telephone lines to overcome this problem. This conversion between the digital and analogue forms is carried out by an interface device called 'Modem' (Modulator demodulator).

Modem: This is a conversion device installed in pairs at each end of an analogue communications line (i.e. telephone line). The modem at the transmitting end modulates the digital signals received locally from a computer or a terminal into analogue signals. It sends the analogue signals over standard phone lines as modulated tones.

The modem at the receiving end demodulates the incoming analogue signals converting these back to the original, i.e. the digital format. Modems come in two types, one which can be installed in the computer and one connected externally to the computer.

II. Transmission Medium

The data has to travel through some medium during its transmission for communications between computers. The prevalent technologies for media data are terrestrial, microwave, and satellites.

- (a) **Terrestrial cables:** Three of the most commonly used wiring techniques are the twisted pair, coaxial Cables and fibre optics.
 - (i) **Twisted pair:** A twisted pair consists of two insulated copper wires. It is widely used in place of parallel wires to minimise the risk of cross-talk, i.e. mixing and distortion of signals. These are useful for connecting terminals to computers up to a distance of 150 metres. Because of the low cost and ease of convenience, these are the most popular cables currently in use.
 - (ii) **Coaxial cable:** The coaxial cables consist of an inner copper core held in position by circular spacers. The inner wire is surrounded by insulation and covered by a protective sheath. The covering protects the core and prevents interference of signals. The cable can carry digital signals at very high rates of 500 megabits per second.
 - (iii) **Optical fibre:** Optical fibre has been a technological breakthrough in communication technology. It supports a data rate of 2 gigabits/sec. Fibre optics provide high quality (low error rate) transmission of signals at very high speeds. The fibre optics transmissions are not affected by electromagnetic interference. The data transfer is through very thin glass or plastic fibres with a beam of light. The light source is a laser beam driven by a high-speed, high current driver. These days, for security reasons, light-emitting diodes are used.
- (b) **Microwave systems:** These systems use high-frequency radio signals used in telephone and television transmissions. The radio waves are modulated to carry information. Antennae are mounted on towers to send wave beams from one antenna. along the route, the received data is amplified and retransmitted. The microwave signals may also be passed on to the communication Satellites.
- (c) **Communication satellites:** Communication satellites are becoming very popular for data communication between computers. The speed of the satellite in orbit equals the speed of rotation of the earth, and thus, the satellite is stationary relative to the earth. The satellite is fitted with transmitters and receiving antennas called transponders. It links two or more microwave transmitters/receivers

on earth (known as earth stations). The main advantage of the satellite is that it is a single microwave relay station that can send signals to a wide geographical area. Applications such as electronic mail, distributed processing, Internet are ideally implemented using satellite communication media. Moreover, the broadcast is independent of the distance between the earth stations.

The satellite medium networks are the fastest and have no limitation of distance. In India, Government agencies like NIC and some private operators offer satellite-based communication services.

III. Transmission Processors

Data Communication involves transmitting data across transmission lines and often involves noise or electrical distortion. Data communication signals can be strengthened or repeated to improve signal quality and increase communication distance. Signal repeaters can provide isolation and extend the communication transmission beyond the standard communication distance. The purpose of communication processors is to enhance data communication between two points. Communication processors can be broadly categorised as:

- (i) Message Switches (ii) Multiplexers (iii) Front end processors.

Message switch. It is used for storing and forwarding data to a large number of terminals over a single communication channel. A message switches received data from all the terminals, stores them in a queue and routes them, one at a time, to the CPU during transmission. It also distributes messages from the CPU to appropriate terminals during the reception.

Multiplexer. It is a device that enables more than one signal to be sent simultaneously over one physical channel. It combines inputs from two or more terminals, computer ports or other multiplexers and transmits the combined data stream over a single high-speed channel. The high-speed channel is demultiplexed at the receiving end, either by another multiplexer or by software.

Front-end processor. A front end processor (FEP) also known as a communications processor. It is a small-sized computer which interfaces to the host computer or a number of peripheral devices, such as terminals, disk units, printers and tape units. Data is transferred between the host computer and the front end processor using a high-speed parallel interface. The front end processor communicates with peripheral devices using slower serial interfaces. The purpose is to off-load from the host computer the work of managing the peripheral devices, transmitting and receiving messages, packet assembly and disassembly, error detection, and error correction. It thus free the host computer to devote its CPU to processing application programs.

45.2.2 Modes of Transmission

Transmission mode defines the direction of signal flow between two connected devices. The methods of data transmission for communications purposes are classified as follows:

Simplex: A simplex transmission can transmit data in only one direction. The sender cannot receive, and the receiver cannot send. Commercial radio broadcast is a simplex type of transmission. This type of transmission is useful in analogue sampling.

Half-duplex: A half-duplex transmission allows data movement in both directions but only one direction at a time. Modems, on a line, are a good example of a half-duplex. The transmitting end waits for the response from the receiving end before sending another message. Walkie-talkie is another example of half-duplex.

Full duplex: A full-duplex commonly called 'Duplex' provides simultaneous two-way transmission. The transmission is faster because it avoids the delay that occurs in a half-duplex circuit each time direction of transmission is changed. Examples are the four-wire full-duplex modems used on telephone lines.

45.3 NETWORK SCENARIO IN INDIA: MAJOR NETWORKS

The committees on communication networks for banks, set up in 1987 under the chairmanship of Shri T.N. Anantharam Iyer, the executive director, Reserve Bank of India, had strongly recommended the establishment of a cooperative communication network, especially for the banking industry.

Commissioned in 1991, BANKNET is a packet switched X.25 based network with nodes at Mumbai, Delhi, Chennai and Kolkata, and a switching centre at Nagpur with a mesh topology. In addition, Bangalore and Hyderabad are connected to Chennai through remote PADs. BANKNET uses a store-and-collect transmission logic, provided by the Message Transfer Utility(MTU), in the systems.

User banks access BANKNET through leased lines at the respective local centres with COMET (Computerised Message Transfer and File Transfer) software, developed in 'C'. The Message Transfer Utility enables 400 users to login at a time at each IBM node.

COMET has facilities for message creation, deletion, editing, ascertaining status of messages, listing and receiving acknowledgement etc. Various message format templates, similar to SWIFT formats are available in COMET. Message formats for funds transfer applications such as TT issue, TT Purchase and TT Confirmation, Bank transfer on own account, Bank transfer in favour of a third party, etc. are available.

BANKNET usage, however, fell far below expectations. The main reason for this was that BANKNET was far ahead of its time. Coupled with this was the high rate of leased line failure of both the inter-city and intra-city data circuits. The limitations of the COMET application software, which did not permit file transfer was yet another factor.

In the meantime, the second Rangarajan Committee recommended interconnecting of branches and interfacing them with the public data networks.

Here, we discuss some of the public data networks developed for information processing; however, these networks were not developed for the exclusive use of the banking industry. Banknet and SWIFT are the two networks designed exclusively for the banks and other financial institutions for their communication needs.

45.3.1 INAS/INET/BANKNET

Interbank National Authorization System (INAS) was the first component of MasterCard's global telecommunications network, providing electronic authorization to replace earlier phone authorization technology.

Interbank Network for Electronic Transfer (INET) followed later, offering electronic settlement services to replace the previous system in which banks sent each other paperwork. INET was set up by the department of telephones in the year 1991. It is a fast, reliable, flexible and cost-effective data communication network. It is an X.25 data network based on the Packet Switched Public Data (PSPD) technology with error detection and correction techniques. In the PSPD technology, data from each one of the sources is fragmented into packets. These packets are first stored in packet switches called nodes which are nothing but computers that buffer the packets. These packet switches also route the packets onto the appropriate physical links. They also have built-in logic to detect congestion or failure of links

and to establish alternate routes for the packets. Packet switching allows for dynamic rerouting of the calls (in case of route failure and congestion on a particular route) and connecting computers/terminals at different speeds and protocols.

INET allows both way connectivity to:

- Remote Area Business Message Network (RABMN)
- High speed VSAT Network (HVNET)
- Gateway packet switching system (GPSS) of VSNL at Mumbai

Typical Applications: INET is useful for the following applications:

- | | |
|-------------------------------|-----------------------------|
| • Electronic Mail Services | • Corporate Communications |
| • Information Retrieval | • Database Services |
| • Remote Login | • Credit Card Verifications |
| • Electronic Funds Transfers. | |

Interbank Network for Electronic Transfer (INET) and Interbank National Authorization System (INAS) were combined into a single entity named BANKNET.

BANKNET

Banknet, established in 1997, is one of the world's largest global telecommunications networks. It is operated by MasterCard, enabling authorization of credit card transactions throughout the world. It links all MasterCard members and data processing centres into a single financial network.

Banknet operates as a virtual private network, or VPN that all of its nodes are linked into. In this way, the network is capable of completing over two million transactions per hour while keeping information secure.

The network relies on over 1,000 data centers located throughout the world that function as endpoints in the network.

Unlike Banknet's peer-to-peer (P2P) network, Visa handles transactions through a centralized, or "star-based/hub & spoke" system. This type of network connects its many endpoints to only a few main data centers. In this way, Banknet functions more efficiently, with greater flexibility and less risk of failure. If one of Banknet's data centers fails, there remain many others still online and functional, taking over the functionality of the crippled node. If, however, one of the data centers on Visa's network fails, a larger portion of its transactions will be adversely affected.

45.3.2 NICNET

NICNET was set up in the year 1976 by the National Informatics Centre (NIC), a Government of India organisation. NICNET is a satellite-based nation-wide computer-communication network, that is a type of Wide Area Network (WAN). Secure through VPN and secure WIFI services.

It is India's largest Wide Area Network (WAN). National Informatics Centre (NIC) provides ICT and eGovernance support to the Government for the last four decades. NIC facilitates electronic delivery of services to the government (G2G), business (G2B), citizen (G2C) and government employee (G2E). It has institutional linkages with all the Ministries/Departments of the Central Government, State Governments/ Union Territories, and about 720+ District Administrations of India.

Though it has mainly been set up to serve the communication needs of the Central/State Governments, banks in India have also been allowed connectivity to NICNET for e-mail services. It operates on various backbones, viz., Packet Switched networks, LANs and ISDNs.

Through NICNET, NIC has been instrumental in steering e-Governance applications in Government Ministries/ Departments at the Centre, States, Districts and Block level, facilitating improvement in Government services, wider transparency, promoting decentralized planning and management, resulting in better efficiency and accountability to the people of India.

45.3.3 RBINet

RBI Net, a communication software, developed in 'C' and available for both DOS and UNIX machines. Allows for free format messaging and file transfer on the existing BANKNET infrastructure with the help of servers installed at the four metros. Each RBI Net user interacts with the local server connected to the X.25 switch. The UNIX servers, in turn communicate with each other using TCP/IP over the X.25 protocol. The software allows free format messaging without any restrictions on the length of the message, enables file transfer of both ASCII-text and Binary files (spreadsheets, databases, programs, etc.), facilitates dial-up access, and has security features, such as end-to-end encryption audit trail, etc.

Several departments of banks are also using RBI Net for various applications such as:

- (i) Transmission of Sec. 42(2) of the RBI Act, 1934, data by commercial banks to regional offices of the department of banking operations and development (DBOD) and furnishing consolidated data by the regional offices of DBOD to central DBOD.
- (ii) Press relations division daily news summary of important financial matters.
- (iii) Department of economic analysis and policy macroeconomic indicators on a weekly basis.

45.4 EMERGING TRENDS IN COMMUNICATIONS NETWORKS FOR BANKING

With the availability of more reliable communications media like satellites, the financial sector is making more and more use of the networks for real-time online applications. In this context, the advent of wide area networks like the RBI's VSAT network and the banks' own networks will play a major role in changing the delivery systems for the banking sector. Another significant development is the use of the Internet for marketing financial products and services, which still has to impact Indian banking.

45.4.1 INFINET

As per the recommendations of the Saraf Committee, the Reserve Bank of India decided to set up a countrywide data communication network for banks linking major centres of the country. This network, christened as the INFINET (Indian Financial Network), has been set up in Hyderabad.

Because of the prevailing poor quality of the terrestrial communication lines in the country, this network was using satellite communication with very small aperture terminals (VSATs) as earth stations to ensure a reliable infrastructure. This network has paved the way for a new era of banking services through technological advent cutting across the geographical limitations of distances. Indian Financial Network (INFINET) is a closed user group MPLS network for the banking and financial sector. Some activities are Structured Financial Messaging System (SFMS), a messaging system facilitating RTGS, NEFT, Government payments and receipts, etc. It is now being managed by Indian Financial Technology and Allied Services (IFTAS), a wholly owned subsidiary of Reserve Bank of India is registered under the Companies Act, 2013. IFTAS provides critical infrastructure services to RBI, banks, cooperative societies and other financial institutions. IFTAS was established in February 2015 by the Institute for Development and Research in Banking Technology (IDRBT), an autonomous organization funded by the Reserve Bank of India, in pursuance of the recommendation of the Rangarajan Committee (2009).

45.4.2 Internet

The Internet is a global network of networks. It is a system of computers that allows user computers to exchange data, messages, files, etc., with any of the millions of computers the world has connectivity to the Internet.

The Internet has been around in different forms since the late 1960s. Its precursor, ARPANET, was originally designed by the US Department of Defence in association with universities and research facilities. In 1989, these networks created for military purposes were dismantled and were replaced by NSFNET, the network of National Science Foundation Network and the infrastructure for these networks was made available to the public at large. Now, the Internet is available around the globe to almost everybody. There are backbone computer networks worldwide, which operate at very high speeds and carry the bulk of the traffic. Other smaller networks are connected to these backbone systems. Therefore, the Internet is not a physical place of brick and mortar but is an electronic link to the world of information through computers communicating with one another throughout the world.

The information on the internet and the opportunities to use these are growing at a very fast rate. The last few years have witnessed phenomenal growth in its use.

The connection to the host computer of the Internet Service Provider (ISP) is established through the interface protocol software.

An (ISP) is a company such as MTNL, BSNL, Reliance Jio Infocomm limited, Bharti Airtel Limited, Tata communications limited etc. that provides individuals and organizations access to the internet and other related services such as email, etc.

In India, the following two protocols are available:

- Serial Line Protocol (SLIP)
- Point to Point Protocol (PPP)

To browse through the Internet, web browser software is required.

A web browser is application software for accessing websites. When a user requests a web page from a particular website, the browser retrieves its files from a web server and then displays the page on the user's screen.

Some of the popular browsers are:

- Google Chrome
- Microsoft Edge
- Microsoft Internet Explorer
- Mozilla Firefox.
- Safari.
- Opera.

Broadband

Broadband Internet service truly is the most used form of Internet access because of its high speed of data transmission; it is offered in different forms such as Digital Subscriber Line (DSL), Cable Modem, Optical Fiber, Wireless, Satellite and Broadband over Power lines (BPL).

Internet Access Services

The Internet provides access to a huge amount of information such as text, graphics, sound and software over the internet. The internet services can be classified into the following four different categories:

- (a) **Communication Services:** Electronic Mail (E-mail), Telnet, Internet Telephony (VoIP), etc.
- (b) **Information Retrieval Services:** File Transfer Protocol (FTP), Archie, Gopher
- (c) **Web Services:** World Wide Web (WWW)
- (d) **Video Conferencing:** Point to point and multi-point.

E-mail: Electronic mail is a method of exchanging messages between people using electronic devices. This is one of the most widely used applications. Messages can be sent to any remote location. Messages travel in a matter of no time, without any extra charges.

Telnet: A network protocol that allows a user on one computer to log into another computer that is part of the same network.

Internet Telephony or Voice Over Internet Protocol (VoIP): Voice over Internet Protocol, also called IP telephony, is a method and group of technologies for the delivery of voice communications and multimedia sessions over Internet Protocol networks, such as the Internet.

File Transfer Protocol (FTP): It is a standard communication protocol used for the transfer of computer files from a server to a client on a computer network.

Archie: It is a tool for indexing FTP archives, allowing users to more easily identify specific files. It is considered the first Internet search engine.

Gopher: It is an application-layer protocol that provides the ability to extract and view Web documents stored on remote Web servers.

SSH File Transfer Protocol (SFTP): SFTP is a secure file transfer protocol. It runs over the SSH protocol. It supports the full security and authentication functionality of SSH. SFTP also protects against password sniffing and man-in-the-middle attacks. It protects the integrity of the data using encryption and cryptographic hash functions and authenticates both the server and the user.

Internet Relay Chats (IRC): It allows access to forums where users can have real-time online discussions across the globe.

World Wide Web (www): This facility organises Internet-related resources, which makes information access quite easy. The documents are linked together. Anyone wishing to put certain information on Internet can do so by creating his own web page(s).

45.5 EVOLUTION OF EFT SYSTEMS

A committee on mechanisation of cheque handling, constituted by the 'American Bankers Association', introduced MICR in the year 1954. The use of MICR technology to process cheques was the first step towards the mechanisation of the cheque clearing system, which later paved the way for the introduction of EFT systems.

In 1968, the Special Committee on Paperless Entries (SCOPE) was set up in the USA to examine the concept of an automated clearinghouse. As a result, in 1972, the first Automated Clearing House (ACH) started operating. Since then, there have been rapid strides in automated clearinghouse operations.

worldwide. With the extensive expansion of reliable communication systems, POS systems also came into existence in the 1970s. Another significant development during the period was the introduction of SWIFT. By this time, banks started using networked systems and ATMs. Another development in the EFT system has been the private card systems like Visa, Mastercard, American Express networks, which evolved as alternative payment systems. The widely adopted definition of EFT is given by Section 105(5) of Article 4A of the Uniform Commercial Code (UCC) of the USA. Funds transfer systems can be a wire transfer network, automated clearing house and other communication systems of clearing house or other association of banks through which payment order by a bank may be transmitted to the bank to which the order is addressed.

In this context, the EFT takes two forms – credit transfer or debit transfer. EFT system, as a means of real-time funds transfer mechanism, is now a well-established concept in all the developed countries.

In the USA, interbank payments are processed and settled primarily through

- (1) Cheque clearing
- (2) ACH
- (3) Card networks
- (4) Fedwire, CHIPS
- (5) National Settlement Service (NSS).

In India, ATMs, POS, NEFT, RTGS, Cards, NACH, Cheque Truncation System (CTS), IMPS and UPI are some important facilitators of EFT.

45.6 STRUCTURED MESSAGE TRANSFER SYSTEM USING SWIFT

Society for Worldwide Inter-bank Financial Telecommunications (SWIFTs) was founded in 1973 by 239 banks spread over fifteen countries with the objective of creating a unified international transaction processing and transmission system to meet the ever-growing telecommunication requirement of the banking industry. It is a cooperative non-profit organisation established under Belgian law with its headquarters in Brussels. SWIFT operates a financial messaging platform that brings together more than 11,000 financial institutions and corporations across 215 countries. It facilitates a variety of financial applications, business intelligence, reference data and most recently, compliance services. The network and its members exchange more than 22 million payments, securities, trade finance and treasury messages daily in a highly reliable, secure and resilient manner.

SWIFT is wholly owned by its member banks/financial institutions. Swift is basically a message transmission system. All the transactions are processed without the exchange of paper, banknotes, cheque, draft, etc., and as such is a true epitome of paperless banking. In India, all nationalised banks are members of SWIFT. Bank locations are connected to the SWIFT Regional Processor at Mumbai.

Main Features of SWIFT

- It is operational throughout the year, twenty-four hours a day.
- Transmission of the messages to any part of the world is almost immediate.
- All the message formats for inter-bank transactions are standardised. At present, about 400 different Standardised formats are used by SWIFT for message transmission.
- All messages are acknowledged (either accepted or rejected).

- Information is confidential and is protected against unauthorised disclosure and tampering.
- SWIFT assumes financial liability for the accuracy and timely delivery of all validated messages from the point they enter the SWIFT network to the point they leave the SWIFT network.
- The method of transmission is cost-effective.

Major Message Types

SWIFT has developed standard message formats to handle the following business areas:

- | | |
|---------------------------------------|------------------------------------|
| • Customer payments and cheques, | • Financial institution transfers, |
| • Financial trading, | • Collections and cash letters, |
| • Documentary credits and guarantees, | • Securities |
| • Precious metals and syndications, | • Traveller cheques, |
| • Cash management and customer status | • Supporting system messages. |

In addition, free format messages are also permitted, enabling any sort of message.

45.6.1 Security in SWIFT

The security features in SWIFT protect the network against unauthorised access and protection of transmission against loss or mutilation of messages, errors in transmission, loss of privacy and fraudulent change. The responsibility of SWIFT with respect to the security of data messages is between the regional processors. SWIFT does not assume any responsibility for the messages between the regional processor and the banks.

Key authentication mechanism: The SWIFT authentication mechanism is an improved and automated version of the telegraphic test keys, traditionally used to authentic and confirm amounts in messages between banks. It is automatically calculated on the entire message text. This ensures that any change in the message text will be detected.

Encryption: Encryption is a security control to ensure data confidentiality. It is done on the SWIFT network and is available to the users.

Checksum: It is a security control to prevent automatic changes during transmission. It uses, as a part of the mechanism, both the text and the address of the receiver.

45.6.2 Developments in SWIFT

SWIFT has helped in standardising and automating the international payments messaging. SWIFT has also allowed its facilities to non-banking financial institutions. After the \$81 million SWIFT fraud attack on Bangladesh Bank in 2016 and frauds in two Indian Banks, the SWIFT interbank messaging platform immediately put new safeguards in place in order to neutralize risk. Banks were also advised by RBI to put security measures in place to avoid frauds and crimes through SWIFT. SWIFT announced a new “Payments Controls” feature in October 2018, which could be used to monitor and protect core payments across the global financial system. SWIFT “GPI” (Global Payments Innovation), a new standard in global payments, was announced to enable financial institutions to send and receive funds quickly and securely to anyone, anywhere in the world, with full transparency of the message throughout its cycle. SWIFT GPI dramatically improves cross-border payments across the correspondent banking network. Another important feature of SWIFT GPI is the ability to immediately stop payment at any point in the payment chain. Banks will be able to stop a payment instantly, regardless of where it is in the payment

chain. In addition, every bank in the payment chain would be notified simultaneously. This feature will help to reduce cross-border fraud.

45.7 AUTOMATED CLEARING SYSTEMS

Most of the large banks in the European countries and the USA have independent communication networks. Other banks are also members of some of the networks on a sharing basis. These banks use distributed data processing techniques with a central system acting as the main database server. This has helped them to provide certain specialised functions like transfer of funds, automated teller systems, and credit card systems in an online mode. CHIPS, CHAPS, CHATS are some of these networked systems which allow direct funds transfer facilities in the USA, UK and Hong Kong, respectively and are largely responsible for bringing about the true concept of Electronic Funds Transfer in these countries.

45.7.1 Clearing House Inter-Bank Payment System (CHIPS)

The CHIPS started operating in 1970, run by a New York clearing house, the world's premier system for transfer of payments internationally. Settlement failures in the history of CHIPS operation have never been reported, and the operational time is claimed to be 99.9 to 100 per cent. Most of the international fund transfers go through CHIPS, as most of the international trade is transacted in US dollars. Financial transactions such as – foreign and domestic trade services, international loans, syndicate loans, foreign exchange sales and purchases, Eurodollar placements, sale of short-term funds, etc., are done through CHIPS. Domestic EFT payments are also made on CHIPS. The settlement of payments carried on CHIPS is done through Federal Reserve Bank. CHIPS has dual systems at two sites with a high-speed communication line link. The participating banks must also maintain a dual system with a dual-link channel. To protect from fraud, full payment-message authentication has been implemented. The CHIPS have a direct interface with the SWIFT system.

45.7.2 Clearing House Automated Payment System (CHAPS)

CHAPS is a sterling same-day system that is used to settle high-value wholesale payments as well as time-critical, lower-value payments. The CHAPS system set-up in the UK provides almost instantaneous service for the settlement of payments, and the payments are guaranteed on receipt and cannot be recalled. CHAPS is one of the largest high-value payment systems in the world, providing efficient, settlement risk-free and irrevocable payments. There are over 30 direct participants and over five thousand financial institutions that make CHAPS payments through one of the direct participants. The network has been built around the most advanced computer and communication systems and offers a guaranteed payment system. Major clearing branches are equipped with CHAPS terminals, which allow payments to be sent to the system through several diverse locations. Its format has been devised from SWIFT, and the system allows direct transmission from the SWIFT system. The main system of the participating banks is connected to the CHAPS, which uses the packet-switched stream (PSS) for the communication network. CHAPS network protects the high-value payments and the messages by passing them through encryption and authentications techniques.

45.7.3 Clearing House Automated Transfer System (CHATS)

CHATS provide inter-bank funds' transfer facilities in Hong Kong, which has long been regarded as the hub of financial activities the world over. The success of this system depends largely on reliable

communication networks. CHATS provide the same day inter-bank settlement, instant online confirmation and enquiry facilities. All the inter-bank entries are first validated at entry before transmission to the CHATS central system for settlement. All POS transactions are also supported and settled over this network. The network can be switched fully to alternate routes for transmission in case of failure of a particular route. The integrity of messages travelling over the network is ensured through authentication and encryption techniques.

45.8 TWO-LEVEL FUNDS TRANSFER SYSTEM

In USA, Fedwire, Bankwire and POS have established themselves as some of the major systems for electronic funds transfer and settlement facilities as well.

45.8.1 Fedwire

The Federal Reserve Wire System, in operation since 1956, is used by the member banks for EFT and is the main funds transfer system in the USA. Presently, about 800 banks are linked together over computer-based telecommunications networks to transmit funds and statements. It is used primarily for transferring reserve account balances of depository institutions and Government securities, high-value domestic payments, bank to bank and third-party transfers and corporate-to-corporate payments made through banks.

To carry out the functions of the Federal Reserve System, the country has been divided into twelve districts/regions, each served by a Federal Reserve Bank and its twenty-five branches. All the twelve banks put together constitute the Federal Reserve System in the USA. Each of these Federal Reserve Bank controls the commercial banks in its region. The inter-region funds are transferred through FEDWIRE access is made through three modes:

- Direct access computer-to-computer connectivity for major banks.
- Direct terminal access through leased lines for online transmissions.
- Dial-up terminal facility for transmission as per requirements and needs.

The Fedwire is an X.25 protocol-based packet-switched network and has a large number of alternative routes for the transmission of messages. Fedwire makes use of CHIPS also. Authentication and encryption procedures are implemented over the network to check fraudulent activity.

45.8.2 Bankwire

Bankwire is the pioneer private sector electronic telecommunication network owned by an association of banks in the USA and used to transfer messages between the subscribing banks. It was originally conceived for reducing the cost of transmitting messages between participating banks. It supports standard message formats through the telex network. Bankwire also allows connectivity to its network to the non-member banks. The transmission pertains to both funds transfer as well as administrative messages. It has started providing a clearing facility known as 'CASHWIRE' that also undertakes settlement facility.

45.8.3 Point of Sale (POS) Systems

The POS system allows payments to be made at the point of sales through EFT. With the advent of cards, the concept of POS has become synonymous with the EFT Point of Sales (EFTPOS). The system

can handle not only the records of the sales, inventory level, accounting entries and related functions of the retailers but also are connected to the financial institution for effecting a transfer of funds to make payments. In POS, the retailer's terminal is directly connected to the bank's network, and the transaction can be communicated online. The transactions can be processed in two ways:

Where both the retailer and the customer has an account with the same bank; first, the verification of PIN and available balance is done, then the transaction is processed.

When different financial institutions share the POS network, the transaction first travels to a switching centre, which directs it to the right bank, and the information is processed.

The EFTPOS system is very beneficial. It benefits the retailers by reducing the cash handling cost and an instant credit settlement to their accounts. Banks get an excellent customer base.

45.9 EMERGENCE OF ELECTRONIC PAYMENT SYSTEMS IN INDIA

The introduction of MICR clearing was the first step towards the process of automated settlement. The use of electronic media is one of the prerequisites for a true EFT system. Phenomenal progress has been made with the introduction of various EFT systems in the country, as described below.

Select Payment Services in India

Payment Service	Description	Launch Date	Operator
Electronic Funds Transfer	One to one fund transfer facility. This system has been replaced by a more efficient NEFT system for use by the general public.	1997	RBI
Real-Time Gross Settlement (RTGS)	Settlement of fund transfer orders occurs individually on a continuous and real-time basis. The minimum amount for customer transactions is ₹2 lakh. No upper limit. The RTGS system is available 24 × 7 on all days. There is a real-time transfer of funds to the beneficiary account.	2004	RBI
National Electronic Fund Transfer (NEFT)	One to one fund transfer with a half-hourly net settlement. No minimum or maximum limit. Available 24 × 7 on all days, including holidays.	November 2005	RBI
National Electronic Clearing Service (NECS)	NECS (Credit) facilitates multiple credits to beneficiary accounts with destination branches across the country against a single debit of the account of the sponsor bank.	October 2008	RBI
Credit & Debit Cards	PoS terminals, which enable customers to make payments for purchases of goods and services by means of credit/debit cards. To facilitate customer convenience, the Reserve Bank has also permitted cash withdrawal using debit cards issued by the banks at PoS terminals and ATMs.	November 2009	Banks

(Contd.)

Payment Service	Description	Launch Date	Operator
PPIs (Cards & Wallets)	Pre-paid instruments are payment instruments that facilitate the purchase of goods and services against the value stored on these instruments. The value stored on such instruments represents the value paid for by the holders by cash, by debit to a bank account, or by credit card. The pre-paid payment instruments can be issued in the form of smart cards, magnetic stripe cards, internet accounts, internet wallets, mobile accounts, mobile wallets, paper vouchers, etc.	2009	PPI Operators
IMPS	Round the clock peer-to-peer fund transfer facility with immediate money transfer through multiple channels like Mobile, Internet, ATM, SMS, Branch and USSD.	November 2010	NPCI
NACH	Web-based solution to facilitate interbank, high volume, electronic transactions which are repetitive and periodic in nature.	2011	NPCI
Cheque Truncation System (CTS)	CTS is the process of stopping the physical movement of cheques. As per the amended Negotiable Instruments Act 1881, in cheque truncation, the movement of the physical instrument is stopped and replaced by electronic images and associated MICR line of the cheque.	February 2008	NPCI
Aadhaar-enabled Payment System	Basic banking transactions can be done at the Micro ATM of the Business Correspondent of any bank using Aadhaar authentication.	January 2016	NPCI
UPI	Peer-to-peer fund transfer facility with immediate money transfer through mobile device round the clock 24*7 and 365 days. BHIM app supports multiple bank accounts into a single mobile application. The upper limit is ₹2,00,000.	August 2016	NPCI
National Electronic Toll Collection	NPCI has developed the National Electronic Toll Collection (NETC) programme to meet the electronic tolling requirements of the Indian market. It offers an interoperable nationwide toll payment solution, including clearing house services for settlement and dispute management.	2016	NPCI
Bharat Bill Payment System	Umbrella system for payment of all bills.	July 2017	NPCI

45.9.1 Electronic Clearing System in India

The RBI introduced ECS in 1995, which is an up-gradation of the paper-based payment system. The objective was to provide an alternative method of effecting bulk and repetitive payment transactions, which would obviate the need for issuing and handling paper instruments and thereby improve payment efficiency and also facilitate better customer service by banks/companies/corporations/Government departments affecting the payments. ECS included:

Electronic credit clearing: It was launched to provide an alternative to bulk payment transactions passing through the clearing houses, which has greatly obviated the need for issuing a large number of paper-based instruments. This system facilitates transactions that have a single debit and multiple credits. The details

of the transactions are furnished on magnetic media for processing, and the banks are getting credit data on magnetic media duly encrypted.

Electronic debit clearing: This payment system works on the principle of multiple debits and single credits. The consumers willing to participate in the scheme are given the mandate to debit their account on receipt of debit clearing advice from the debit clearing system, and the subscriber has an option to indicate a maximum limit for each debit entry. In February 1997, the RBI introduced the ECS-RAPID (Receipt and Payment of Instrument/Document) in Mumbai for payment of service charges to the service provider from the consumers. In this system, a MICR reader captures the details of payments from a specially designed bill, and the schedules are prepared on magnetic media for onward processing.

Floppy input clearing: This is another mode of electronic clearing introduced by RBI in 1995 for the clearing house managed by it. The participating banks submit their inter-bank claim statement in electronic format on floppies. At the clearing house, this data is consolidated, and the settlement statements are generated. This is a more accurate and fast settlement process. With the advancement in technology, floppy disks have become obsolete today.

45.9.2 National Electronic Fund Transfer (NEFT) System

With the availability of integrated technology consisting of computers and communication facilities, distances no longer remain a constraint in providing better customer service and expediting the funds transfer mechanism. EFT facilitates the quick movement of funds through electronic media. EFT mechanism involving inter-bank funds settlement at the national level has come up as an aftermath of the recommendations of the Saraf Committee on technology issues in the payment and settlement system constituted by the RBI in 1994. The basic infrastructure at various branches/offices was not capable of supporting such a system, which is dependent upon sophisticated communication systems integrated with computers. Due to these factors, the EFT system introduced by RBI was largely built around the existing infrastructure for cheque clearing. The Saraf Committee had suggested a hybrid system, both paper and electronic media, for message transmission. It had suggested that high-value institutional funds transfer should be batched every hour. The batch system has since been implemented in 1996. The RBI acts as the service provider as well as the system regulator.

In November 2005 Reserve Bank of India has introduced a system called ‘The Reserve Bank of India National Electronic Funds Transfer System’, which may be referred to as ‘NEFT System’, for the participating banks and institutions.

Coverage

To facilitate the quick transfer of NEFT messages, it is essential that only networked branches of banks are part of the systems. Banks’ own networks could be used for inter-branch communication. Now, as per the mandate of RBI, all Bank branches need to be enabled for NEFT and RTGS.

NEFT Characteristics

NEFT transactions may be made for amounts inclusive of the paisa component. There is no upper-value limit for putting through an individual NEFT transaction.

NEFT – Process Flow

The parties to a fund transfer under the NEFT system are the Sending Bank's Branch, the Sending Bank's NEFT Service Centre, the NEFT Clearing Centre, the Receiving Bank's NEFT Service Centre and the Beneficiary Branch.

Role of Customer

A bank customer (i.e. sender or originator) willing to avail of the remittance facilities offered by a sending bank shall submit an NEFT application form authorising the sending bank to debit the sender's account and transfer funds to the beneficiary specified in the NEFT application form. Now customers can send money through NEFT using various alternate delivery channels.

Role of Sending Bank

The sending bank shall prominently display at its premises the cut-off time schedules up to which it shall receive the NEFT application forms from its customers. The sending bank branch would prepare the 'Structured Financial Messaging System' (SFMS) message as and when the application for the fund transfer is received and forward the message to sending service centre for processing/data upload.

The sending service centre shall transmit the NEFT SFMS message to the NEFT clearing centre by using the communication network designated by the Reserve Bank of India. The SFMS messages would be transmitted to the national clearing centre, which is in Mumbai.

Role of Clearing Centre

The National Clearing Cell (NCC) of the RBI will be the data processing NEFT clearing centre. SFMS messages generated for the banks will be transmitted to the receiving service centre of each of the receiving banks using SFMS after data validation at receiving NEFT Clearing Centre.

Role of Receiving Bank

On receipt of the NCC SFMS message, the receiving NEFT service centre shall process these files and forward them to the destination branches using SFMS. Alternatively, the receiving NEFT service centre may use the 'Straight through Processing Interface' (STPI) available in SFMS and upload these SFMS messages to their internal banking solution directly, to give the credits to the beneficiary account centrally. The beneficiary branches would make payment to the beneficiaries instantly on the same day by crediting the specified account of the beneficiary or otherwise placing funds at the disposal of the beneficiary. The remitting bank receives a message from the Reserve Bank that money has been credited to the receiving bank. Based on this, the remitting bank can advise the remitting customer that money has been delivered to the receiving bank. On receipt of NEFT acknowledgement from the beneficiary bank, an SMS/Email is being sent to inform the remitting customer that NEFT Credit has been delivered to the receiving Bank.

Sender to be Advised in Case of Refund

If the beneficiary specified in the sender's payment order fails to get payment through the NEFT system for some valid reason, the sender shall be informed immediately after the sending bank gets the returned NEFT. The sending bank shall also arrange to make payment to the sender by crediting the account of the sender or otherwise placing funds at the disposal of the sender.

Beneficiary Bank to Advise the Beneficiary of the Payment

After crediting the account of the beneficiary, the beneficiary bank shall advise the beneficiary of the payments made. The statement of account, pass book entry or any online messaging system shall indicate the source of funds briefly as well. In case of a holiday at the beneficiary branch, they have to effect the credit as on the same day or latest at the commencement of business on the next working day.

Settlements for NEFT Transactions

Every participating bank shall open and maintain in the NEFT centre, Mumbai, a settlement account for the settlement of payment obligations arising under the funds transfer executed under the NEFT system. Earlier, the NEFT payment system operated for customers from 8:00 AM to 7:00 PM on all working days except on the 2nd and 4th Saturday, as banks remain closed on that day. From December 16 2019, NEFT services were made available by RBI on a 24×7 basis. Hence bank customers will be able to transfer funds through NEFT around the clock on all days, including weekends and holidays from December 16, 2019. In this context, the following changes were advised to Member banks:

- NEFT will have 48 half-hourly batches every day. The settlement of the first batch will commence after 00:30 hours, and the last batch will end at 00:00 hours.
- The system will be available on all days of the year, including holidays.
- NEFT transactions after usual banking hours of banks are expected to be automated transactions initiated using ‘Straight Through Processing (STP)’ modes by the banks.
- The existing discipline for crediting the beneficiary’s account or returning the transaction (within 2 hours of settlement of the respective batch) to the originating bank will continue.
- Member banks will ensure sending of a positive confirmation message (N10) for all NEFT credits.

Advantages of the NEFT

1. NEFT facilitates an efficient, secure, economic, reliable and expeditious system of funds transfer and clearing in the banking sector throughout India, and
2. NEFT relieves the stress on the existing paper-based funds transfer and clearing system.
3. NEFT enables the transfer of Funds on a 24×7 basis across Banks.
4. NEFT transfer can happen through various delivery channels.

45.9.3 Real-Time Gross Settlement (RTGS) System

- RTGS is an electronic payment system where Payment instructions are processed on a ‘continuous’ and ‘REAL-TIME’ basis and settled on a GROSS or Individual basis without netting the debits against credits. Payments so effected are ‘final’ and ‘irrevocable’ settlement is done in the books of RBI– the ultimate liquidity depository of the country. For many years, the Structured Financial Messaging System (SFMS) was used in RTGS and NEFT systems. However, in the year 2013, Next Generation Real-time Gross Settlement (NG-RTGS) system was introduced, which uses the ISO 20022 messaging standard.
- Each bank will have a single gateway interface called Participant Interface or PI for the RTGS System. The payment message/enquiry/clearing settlement originates from the participant’s host system (Branch/Treasury).
- On receipt of the subset, RBI checks whether the sending bank has sufficient covering funds in its account and informs the PI of the status of the transfer, queued or settled.

Based on the response, PI enriches the message received from the RTGS system by adding back the corporate details and sends settlement advice to both the originating and beneficiary participant in case of a successful settlement or failure advice to the originating participant in case of failed settlement.

- Thus, the business information, which is exchanged between sending and receiving banks, is not known by the settlement agent.
- The RBI acts as only a settlement agent.

RTGS Business Day

The RTGS business day is divided into the following phases:

Start of Day (SOD): This is the first event that triggers basic functions of the system, viz., advancing of system's business date; loading the updated code files; accepting payment instructions from the internal systems of the Bank. Payments sent by the participants are not accepted for settlement at the time of SOD. If submitted, the payments are kept in the queues, waiting for the next event to be executed.

Open for Business (OFB): This event marks the moment when all the functionality of the RTGS system is fully available to the participants. The system starts processing all types of messages. Intra-day Liquidity (IDL) is provided by RBI during an RTGS business day to the members against eligible collateral.

1.1.3. Initial Cut-off (ICO): This event triggers restriction of submission of a certain type of transactions viz. customer transactions. After ICO time, participants cannot submit the customer transactions for settlement. Transactions submitted before ICO time pending for settlement will not be cancelled. However, some specific types of transactions, viz., inter-institutional/inter-bank, return payments, MNSB, etc., will be accepted for settlement after this cut-off.

1.1.4. Final Cut-off (FCO): This cut-off represents the end of all the normal operations conducted by a participant for the business day, with the exception of those payments that credit a participant with additional liquidity to repay the outstanding IDL loans. No further IDL requests will be accepted after this point. Any other pending transactions will be automatically cancelled by the RTGS system, and the sending participants will be notified accordingly.

1.1.5. IDL Reversal Session: This session is available only to the participants having outstanding IDL positions after Final Cut-off to receive funds from any other bank/own account transfer purpose.

1.1.6. End of Day (EOD): This is the last event of every business day. There will either be a positive or zero balance in the settlement accounts. The balances of settlement accounts will be swept back to the current accounts of respective banks maintained in EKuber. MNSB files and MNSB Return files are permitted to be posted from the moment of Open for Business and before End of Day of the RTGS system. The Bank may, at its discretion, prescribe specific time windows for MNSB settlement from ancillary payment systems.

RBI may permanently or temporarily change the timings of the various business phases during the day at its discretion. The change in the hours will be notified by RBI to the participants through a broadcast message or publication on their website or both.

Real-Time Gross Settlement (RTGS), a systemically significant payment system and critical Financial Market Infrastructure (FMI), has exponentially grown in terms of the number of participants and the volume of transactions. RTGS was migrated to the latest technology platform along with a state-of-the-art software stack to be in sync with the change in business needs and to equip the system with up-to-

date technology. This has ensured future-proofing of the application in the form of higher scalability, performance and security.

Benefits of RTGS:

- (1) It is a safe and secure system for funds transfer.
- (2) RTGS transactions/transfers have no maximum amount cap.
- (3) The system is available on all days on a $24 \times 7 \times 365$ basis. There is a real-time transfer of funds to the beneficiary account.
- (4) The remitter need not use a physical cheque or a demand draft.
- (5) The beneficiary need not visit a bank branch for depositing the paper instruments.
- (6) The beneficiary need not be apprehensive about loss/theft of physical instruments or the likelihood of fraudulent encashment thereof.
- (7) Remitter can initiate the remittances from his/her home/place of work using internet banking if his/her bank offers such service.
- (8) The transaction charges have been capped by RBI.
- (9) The transaction has legal backing.

45.9.4 Cheque Truncation System (CTS)

Prior to CTS clearing, payment instruments used to be settled through MICR clearing. There were a total of 66 MICR centres across India. These MICR centres used to undertake clearing & settlement in their local geography. The intra MICR clearing was considered outstation clearing. During MICR clearing, physical instruments were travelling for clearing to respective MICR centres.

MICR clearing process

In MICR clearing customer deposits cheques in a drop box/collection point/Bank-Branch. All instruments received before a cut-off time are collected & physically transported to the service branch of the presenting bank. The instruments would get sorted as per MICR clearing centres & would physically travel to the corresponding MICR clearing centre, i.e. Local or outstation clearing. At MICR centres, the respective bank would present and collect their instruments. These would be taken through the same route to the respective bank branch for processing. The rejected instruments would traverse the same route back to presenting bank-branch. The return cycle of rejected instruments would be completed the next day & settlement is completed on the completion of the return cycle. The customer would get funds on completion of the settlement process.

Cheque truncation system (CTS)

Reserve Bank of India decided to introduce Cheque Truncation System (CTS) in India to improve the efficiency of the Cheque Clearing Cycle. In the CTS scenario, the physical instrument is truncated at presenting bank end (either at branch level or service branch level). The images & data of collected instruments captured at presenting bank would travel electronically to the drawee bank for processing on the same day. The return cycle would be completed on the next day & settlement is completed on the completion of the return cycle. The customer would get funds on completion of the settlement process. Further, all clearing locations are divided into three regional grids. All Clearing locations are of a grid are settled together on a T+1 basis.

Cheque Truncation – Definition

- (a) Originally, Section 6 of the Negotiable Instruments Act defined a cheque as ‘a bill of exchange drawn on a specified banker and not expressed to be payable otherwise than on demand’. This section was amended in September 2002 to include cheque truncations and electronic cheques within the definition of a cheque.
- (b) Cheque truncation is defined by the new Section 6(b) of Negotiable Instruments Act, as ‘a cheque which is truncated during the course of a clearing cycle, either by the Clearing House or by the bank, whether paying or receiving payment, immediately on the generation of an electronic image for transmission, substituting the further physical movement of the cheque in writing.’

Characteristics of a Cheque Truncation

- (c) It is an electronic image of a paper cheque.
- (d) Only the banks involved and the Clearing House can truncate a cheque (i.e. create an electronic image of a cheque). The drawer/holder of a cheque cannot truncate a cheque.
- (e) The electronic image of the ‘cheque truncation’ will substitute the physical cheque from the point and time of truncation onwards.
- (f) Truncation is to be done only during the course of a clearing cycle to reduce the time taken for realisation.
- (g) The paper cheque, after truncation, is to be kept in the custody of the bank/clearing house that truncated the cheque.
- (h) The addition of the digital signature of the truncating Bank/Clearing House to the electronic image of the cheque truncation is optional.

Ways in which truncation can be done

1. **Using MICR data:** MICR cheques have the cheque number, city, bank and branch numbers, and transaction code pre-coded. Abroad, even the account number of the customer is pre-coded. During Encoding at the collecting bank, the amount is inserted in the MICR line. The entire MICR line is then captured electronically. The electronic information is then exchanged with others for clearing (Inter-Bank Data Exchange or IBDE). The cheques do not move any further.
2. **Using image processing:** Image processing, as we have seen earlier, is the latest document handling system. Cheque image processing involves scanning both sides of the cheque and storing the image in digital form. The cheque itself is moved to some offsite storage, and the image is used for further processing.

Advantages

There are many advantages to Customers as well as Banks through the implementation of CTS Clearing

(a) Customer Service

- Extended cut off time for acceptance of Customer Cheques by banks
- Easy retrieval of information
- Reduced timelines for clearing

(b) Operational Benefit

- MICR amount encoding not required
- Reconciliation difference eliminated - MICR and Image data travel together
- No cheques being lost/tampered/pilfered

No risk of any manipulation of data and image during transit
 CTS 2010 standards leading to enhanced security and automation

(c) Commercial Benefit

The cost involved in paper movement eliminated
 Grid implementation allows better liquidity management for banks

(d) Fraud Prevention Mechanism Provided

Manipulation of data and images during transit is prevented by digital signature/encryption.

45.10 LET US SUM UP

The computerisation efforts in the banking industry started in the early eighties. Back office functions and batch processes involving voluminous data were the first activities wherein computers found their application. The developments in communication technologies and their application in data communication networks have changed the whole concept of information generation and its use for banking services.

Wire cables, fibre cables and satellites are the major media for data communication. Fibre optics is a fast and reliable terrestrial but costly medium. Some of the public sector communication networks like INDONET, INET and NICNET have also not found favour with the banking industry for its financial applications.

RBI's countrywide communications network INFINET is exclusively for the financial institutions and shall be used as a carrier for NEFT, EDI, interactive transaction-oriented applications, etc. Internet is the global network affording newer opportunities to the banks to market their products and services in addition to other wider applications for general users.

There have been great strides in the field of EFT, and the last three decades have revolutionised the total concept of banking. Starting with the computerisation of clearing houses, instant fund transfers have now become possible due to the globally networked systems. SWIFT, with its well-standardised and structured message formats, have become the undisputedly most reliable system of message transmission for foreign exchange business.

CHIPS, CHAPS and CHATS are the automated clearing houses in the USA, UK and Hong Kong, respectively. The bulk of the funds transfers is taking place through these clearing houses.

In India, Electronic payment systems under the supervision of RBI have emerged, evolved and grown in the last two decades in an incredible manner, paving the way for numerous online banking products and payment methods. Some of the important electronic clearing systems are NEFT, RTGS, CTS, IMPS, UPI etc. The Government of India has been promoting and encouraging electronic payments in the country. The government's Digital India campaign envisages creating a 'digitally empowered' economy that is 'Faceless, Paperless, Cashless'. National Payment Corporation of India, under the guidance of the Government and RBI, brought a revolution in the retail electronic payment systems, which will be discussed in the ensuing chapter.

45.11 KEYWORDS

Authentication, Data Communication, EFT (Electronic Funds Transfer), Electronic Clearing House, Encryption, Front End Processor (FEP), Funds Transfer, Gateway, Packet Assembler/Disassembler (PAD), Packet Switched Network, Payment Order.

45.12 CHECK YOUR PROGRESS

1. MODEM does the following:

(a) Modulates digital signals into analogue	(b) Demodulates analogue signals into digital
(c) Converts data into image	(d) Both (a) and (b)
(e) None of these	
2. A twisted pair cable consists of, _____.

(a) Two insulated copper wire	(b) An inner copper conductor held in position by circular spacers
(c) Single copper wire	(d) All of the above
(e) None of these	
3. A coaxial cable consists of _____.

(a) Two insulated copper wire	(b) An inner copper conductor held in position by circular spacers
(c) Single copper wire	(d) All of the above
(e) None of these	
4. Which of the following is not a social networking site? _____.

(a) Facebook	(b) Instagram
(c) LinkedIn	(d) WhatsApp
(e) DevOps	
5. In a microwave system _____.

(a) Radio waves are modulated to carry information	(b) Wave beams are sent from one antenna to another
(c) Along the route, the received data is amplified and retransmitted	(d) Microwave signals may be passed on to the satellite
(e) All of the above	
6. A simplex transmission is capable of _____.

(a) Transmitting data only in one direction	(b) Data movement in both the direction but only in one direction at a time
(c) Providing a simultaneous two-way communication	(d) Data communication only
(e) None of these	
7. IMPS (Immediate Payment Service) platform provides real-time fund transfers, which can be accessed on multiple channels. Which of the following is not an IMPS channel?

(a) PBP	(b) Mobile
(c) Internet	(d) Branch
(e) ATM	
8. The multiplexer is used to _____.

(a) Store data from large number of terminals	(b) Send more than one signal simultaneously over a single communication channel
(c) Enables more than one signal to be sent simultaneously over one physical channel All of the above	(d) None of these

9. Which following are electronic clearing systems in India are systemically important financial market infrastructures _____.
- (a) UPI (b) NACH
(c) IMPS (d) CTS
(e) All of the above
10. National Electronic Fund Transfer (NEFT) System has batches for settlement. _____ me
- (a) 23 (b) 24
(c) 13 (d) 48
(e) 34
11. The Minimum amount for customer transactions for RTGS is _____.
- (a) Rs 20000 (b) Rs 50000
(c) Rs 200000 (d) Rs 10000
(e) None of the above

45.13 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (a), 3. (b), 4. (e), 5. (e), 6. (a), 7. (a), 8. (c), 9. (e), 10. (d), 11. (c).

UNIT 46

DIGITAL PAYMENT SYSTEMS – NPCI

STRUCTURE

- 46.0 Objectives
- 46.1 Introduction
- 46.2 Electronic Clearing Systems in India
- 46.3 National Payment Corporation of India (NPCI)
 - 46.3.1 National Financial Switch (NFS)
 - 46.3.2 National Automated Clearing House (NACH)
 - 46.3.3 IMPS (Immediate Payment System)
 - 46.3.4 Unified Payments Interface (UPI)
 - 46.3.5 Bharat Interface for Money (BHIM)
 - 46.3.6 Bharat Bill Payment System (BBPS)
 - 46.3.7 Bharat QR
 - 46.3.8 RuPay
 - 46.3.9 Payment Vision 2025
- 46.4 Digital Initiatives by the Government of India
- 46.5 Let Us Sum Up
- 46.6 Keywords
- 46.7 Check Your Progress
- 46.8 Answers to 'Check Your Progress'

46.0 OBJECTIVES

After studying this unit, you will:

- Understand the concept of electronic clearing
- Know various clearing systems in India
- Learn the role of National Payment Corporation of India in Clearing systems
- Understand in detail various electronic payment systems and products

46.1 INTRODUCTION

The RBI has been playing a vital role in the development and conducting of India's payment and settlement systems for both large-value and retail payments. The central bank played a pioneering role in setting up various clearing systems like ECS, National Electronic Fund Transfer (NEFT), Real-Time Gross Settlement (RTGS) system.

After setting up the Board for Payment and Settlement Systems in 2005, the Reserve Bank of India has released a vision document incorporating a proposal to set up an umbrella institution for all the Retail Payment Systems in the country. The core objective was to consolidate and integrate the multiple systems with varying service levels into a nationwide uniform and standard business process for all retail payment systems. This led to the formation of the National Payments Corporation of India (NPCI).

46.2 ELECTRONIC CLEARING SYSTEMS IN INDIA

The following are some of the electronic clearing systems in India which are systemically important financial market infrastructures (SIFMIs).

- | | |
|---------|------------------------------------|
| 1. ECS | 7. NACH |
| 2. NEFT | 8. Credit Cards |
| 3. RTGS | 9. Debit Cards |
| 4. CTS | 10. PPIs |
| 5. IMPS | 11. Government Securities Clearing |
| 6. UPI | 12. Forex Clearing |

46.3 NATIONAL PAYMENT CORPORATION OF INDIA (NPCI)

The National Payments Corporation of India (NPCI) is a pioneer organization in the field of retail payments in India. Founded in December 2008, the NPCI is a not-for-profit organization, established by the Reserve Bank of India and Indian Banks' Association. The organisation presently have ten core promoter banks (State Bank of India, Punjab National Bank, Canara Bank, Bank of Baroda, Union Bank of India, Bank of India, ICICI Bank, HDFC Bank, Citibank and HSBC). The vision of NPCI is being able to provide citizens of our country anytime, anywhere payment services that are simple, easy to use, safe, secure, fast and also cost-effective. NPCI aims to operate for the benefit of all the member banks and the common man at large.

NPCI, during its journey in the last few years, has made a significant impact on the retail payment systems in the country. With Immediate Payment Service (IMPS), India has become the leading country in the world in real-time payments in the retail sector. Needless to say, National Financial Switch (NFS)

and Cheque Truncation System (CTS) continues to be the flagship products of NPCI. Unified Payments Interface (UPI) has been termed as the revolutionary product in the payment system. The other products include RuPay Credit Card, National Common Mobility Card (NCCM) and National Electronic Toll Collection (NETC). With these products, the aim is to transform India into a 'less-cash' society by touching every Indian with one or other payment services. Some payment systems/products managed by NPCI are detailed here.

- (i) National Financial Switch (NFS)
- (ii) NACH
- (iii) Rupay Cards
- (iv) Immediate Payment Service (IMPS)
- (v) Aadhaar Enabled Payment System (AEPS)
- (vi) Bharat Interface for Money (BHIM)
- (vii) Unified Payments Interface (UPI)
- (viii) Bharat Bill Payment System (BBPS)
- (ix) Bharat QR
- (x) National Common Mobility Card (NCCM)
- (xi) National Electronic Toll Collection (NETC)

46.3.1 National Financial Switch (NFS)

It is the largest network of shared ATMs in India. It was developed and deployed by the IDRBT in 2004, with the goal of inter-connecting the ATMs in the country and facilitating convenience banking. It is taken over by NPCI from IDRBT on December 14, 2009. As on 31st January' 22, there were 1,203 members using NFS network connected to more than 2.55 Lac ATM. NFS has established a strong and sustainable operational model with in-house capabilities and today can be compared at par with other major and well-established switch networks. The operational functions and services are at par with most of the global ATM networks.

NFS offers the following basic services to the member like Cash Withdrawal, Balance Enquiry, PIN Change and Mini Statement.

NFS also offers value-added services on ATMs/CDMs to cardholders of participating member banks like:

- (a) Interoperable Cash Deposit (ICD)
- (b) Mobile Banking Registration (MBR)
- (c) Card-to-Card Fund Transfer (C2C)
- (d) Cheque Book Request (CBR)
- (e) Statement Request (SR)
- (f) Aadhaar Number Seeding (ANS)

Above listed value added services can be utilized by the cardholders by using any other participating member bank's ATM/infrastructure.

46.3.2 National Automated Clearing House (NACH)

National Automated Clearing House (NACH) was implemented by NPCI for Banks, Financial Institutions, Corporates and Government as a web-based solution to facilitate interbank, high volume, electronic transactions which are repetitive and periodic in nature. NACH System can be used for making bulk

transactions towards the distribution of subsidies, dividends, interest, salary, pension etc. and also for bulk transactions towards the collection of payments pertaining to telephone, electricity, water, loans, investments in mutual funds, insurance premium, etc.

NACH was launched with an aim to consolidate multiple ECS systems in the country and to provide a framework for the harmonization of standards & practices and remove local barriers/inhibitors.

Implementation of the NACH system provides a common single set of operating and business rules, open standards and best industry practices for electronic transactions, which are common across all the participants, service providers and users. NACH system supports Aadhaar based transactions which support Financial Inclusion measures initiated by Government, Government Agencies and Banks. NACH's Aadhaar Payment Bridge (APB) System, developed by NPCI, has been helping the Government and Government Agencies in making the Direct Benefit Transfer scheme a success. APB System has been successfully channelizing the Government subsidies and benefits to the intended beneficiaries using the Aadhaar numbers. The APB System links the Government Departments and their sponsor banks on one side and beneficiary banks and beneficiaries on the other hand.

46.3.3 IMPS (Immediate Payment System)

IMPS is an instant payment inter-bank robust electronic funds transfer system in India. IMPS offers an inter-bank electronic fund transfer service that could be accessed on multiple channels like Mobile, Internet, ATM, SMS. The service is available 24x7 throughout the year including bank holidays.

It is managed by the National Payments Corporation of India (NPCI) and is built upon the existing National Financial Switch (NFS) network.

The eligible criteria for the Banks who can participate in IMPS is that the entity should have valid banking or prepaid payment instrument license from Reserve Bank of India to participate in IMPS.

The IMPS procedural guidelines are framed under the provisions of the Payment and Settlement System Act 2007 and are binding on all members of IMPS. IMPS provides a robust & real-time fund transfer that offers an instant, 24×7 , interbank electronic fund transfer service that could be accessed on multiple channels like Mobile, Internet, ATM, SMS, Branch and USSD (*99#). IMPS allows transferring of funds instantly within banks across India. Transactions made through IMPS are not only safe but also economical. Currently, on IMPS, over 666 members are live, which includes banks & PPIs.

The objectives of IMPS are:

- (a) To facilitate mobile payment systems to be inter-operable across banks and mobile operators in a safe and secured manner
- (b) Enable customers to use mobile devices as a channel for accessing their bank accounts and remitting funds
- (c) To make payment simpler just with the mobile number of the beneficiary
- (d) To sub-serve the goal of the Reserve Bank of India (RBI) in the digitization of retail payments
- (e) To build the foundation for a full range of mobile-based Banking services.

Registration for Remitter/Receiver:

Register for the mobile banking service of the bank.

Get Mobile Money Identifier (MMID) (7 digit code) and MPIN from the bank

Download Software (Application) for mobile banking

Each MMID is linked to a unique Mobile Number. However, different MMIDs can be linked to the same Mobile Number. There may be cases where Remitter is enabled on Mobile Banking, but Beneficiary mobile number is not registered with any bank account. In such cases, IMPS funds transfer has been made possible using Beneficiary account number and IFS code as well, in addition to Beneficiary mobile number and MMID. Interbank settlement of IMPS transactions is done through settlement cycles.

The salient features of IMPS are:

1. Funds can be instantly transferred across accounts of member banks
2. It is available 24×7 on all days, including bank holidays
3. It is safe and secure, easily accessible and cost-effective
4. It is Channel independent and can be initiated from Branch, Mobile/Internet/ATM/channels
5. On a successful transaction, both sender and receiver receive confirmation through SMS.

Authentication of IMPS transactions:

For transactions initiated using Mobile, transactions will be authenticated using mobile number & MPIN.

IMPS transactions can also be initiated from ATMs and Internet banking channels.

Authentication will be done for remitting customers while using the ATM channel using a Card and ATM PIN.

Authentication will be done for remitting customers while using the Internet banking channel using the User ID, Internet Banking Password and Transaction Password

An appropriate existing two-factor authentication method would be used for all the channels. The limit as prescribed by the bank for these channels would apply while transferring money using either of these channels.

While initiating an IMPS transaction using either ATM or an Internet channel, mobile banking registration for a remitting customer is not mandatory. Similarly, for customers receiving money using an account number/IFSC or using the AADHAAR number, mobile banking registration is not mandatory.

46.3.4 Unified Payments Interface (UPI)

Unified Payments Interface (UPI) is a system that powers multiple bank accounts into a single mobile application (of any participating bank), merging several banking features, seamless fund routing & merchant payments into one hood. It also caters to the “Peer to Peer” collect request, which can be scheduled and paid as per requirement and convenience.

UPI enables immediate money transfer through mobile devices round the clock 24×7 and 365 days, using a single mobile application for accessing different bank accounts. Authentication of transactions happens through single Click, two-factor authentications, which is strong yet seamless. The virtual address of the customer for Pull & Push provides for incremental security with the customer not required to enter the details such as Card no, Account number; IFSC etc. Bills can be paid and also be shared with friends. Many payments like Merchant Payments, Utility Bill Payments, Over Counter Payments, Barcode (Scan and Pay) based payments can be made using a single application. Customers can also raise complaints from Mobile App directly. The main stakeholders/participants of the UPI system are the Bank account holders, Merchants, Payment Service Providers (PSP), Banks and NPCI.

Mobile Banking Registration is possible only if the mobile number (which is to be registered) is registered with the Issuer Bank for SMS Alerts/mobile alerts. UPI can be accessed on all platforms viz, Android/iOS –

The Apps have been developed by members on Android 4.2.2 and above/iOS 8.1 and above platforms. For registering with the UPI platform, customers need to

- (1) Download the UPI application from the App Store/Play Store/Banks website
- (2) Create his/her profile by entering details like name, virtual id (payment address), password etc.
- (3) Link his/her Bank Account and account number with the virtual id
- (4) Generate UPI PIN for the selected bank account using OTP, last six digits of Debit card number, and expiry date of debit card.

UPI supports the following types of financial and non-financial transactions:

(A) Financial Transactions:

Pay Request: A Pay Request is a transaction where the initiating customer is pushing funds to the intended beneficiary. Payment Addresses include Mobile Number & MMID, Account Number & IFSC and Virtual ID.

Collect Request: A Collect Request is a transaction where the customer is pulling funds from the intended remitter by using a Virtual ID.

(B) Non-Financial Transactions: UPI will support the following types of non-financial transactions on anyPSPApp viz.

- Mobile Banking Registration
- Generate One Time Password (OTP)
- Set/Change PIN
- Check Transaction Status
- Raise Dispute/Raise query

As mentioned above, customers can send money (PUSH) and receive money (PULL) money using the UPI application. The following channels are available for transferring funds using UPI:

- (a) Virtual ID
- (b) Account Number and IFSC
- (c) Aadhaar Number.

The process to be followed by any user for pull transactions (Requesting money) is:

- log in to the bank's UPI application
- select the option of collecting money (request for payment)
- enter remitters/payers virtual id, amount, and account to be credited
- The user gets a confirmation screen to review the payment details, including the name associated with Virtual id.
- The payer will get a notification on his mobile to request money.
- The payer clicks on the notification and opens his bank UPI app, where he reviews payment requests which he can accept or decline.
- In case of accepting payment, the payer will enter UPI PIN to authorize the transaction.
- Payer gets successful or declined transaction notification, and Payee/requester gets notification and SMS from the bank for credit of his bank account.

UPI-PIN (UPI Personal Identification Number) is a 4-6 digit pass code created during first time registration with this App. UPI-PIN is mandatory to authorize all bank transactions.

Advantages of UPI over IMPS:

1. Provides Pull functionality to request money
2. Simplifies Merchant Payments through virtual id, QR Code
3. Single APP for money transfer
4. Facilitates transactions through single-click two-factor authentication

Several bank accounts can be linked to the same virtual address depending on the functionalities being made available by the respective PSPs.

UPI 2.0

New features:

1. One time mandate with block functionality:

With this feature, the consumer can pre-authorise a transaction and block the funds in his account for a debit to be initiated later. UPI Mandate can be used in scenarios where money is to be paid later after obtaining the service; however, the money in the account is blocked instantaneously. The customer's account shall be debited when the UPI Mandate is executed by the merchant or the payee. The mandate is digitally signed and stored at the customer's account holding bank and also with the customer's PSP bank (app providing bank). During the debit, the customer's account-holding bank and the customer's PSP bank need to validate the digital signature and verify the parameters.

2. Over-Draft (OD) account as an underlying account in UPI

Currently, the addition of savings and Current accounts is permissible in UPI. Now, with this additional feature, the user can also link an overdraft account provided he/she is found eligible to avail an OD by his/her bank. For any OD accounts, whenever a customer needs to check the balance of his OD account, the customer's bank shall return two balances, i.e. available & actual/usable

3. Invoice in the Inbox (View attachment & pay)

Using this feature, customers can check/verify the invoice or attachment prior to authorizing the payment via a secure link received in the collect/intent message. To start with, the facility can be availed by verified merchants. This creates a provision by which the merchants can share Invoices with customers before the transaction is authorized.

4. Signed Intent & QR

Signed Intent & QR provides more security while making payment by the customer.

With this option, while making payment using the intent or through scanning QR, the user will get additional security in the form of signed QR/intent. With the signed QR, issues related to tampering QR as well as having non-verified entities shall be reduced.

46.3.5 Bharat Interface for Money (BHIM)

Bharat Interface for Money (BHIM) is an app that enables the user to make simple, easy and quick payment transactions using Unified Payments Interface (UPI). One can make instant bank-to-bank payments and pay and collect money using just a Mobile number (Registered on UPI), Virtual Payment Address (UPI ID) or Account Number and IFS code of the beneficiary.

Features of BHIM:

1. Send Money: User can send money using a Virtual Payment Address (VPA), Account Number & IFSC, Aadhaar Number or QR code.

2. Request Money: The user can collect money by entering the Virtual Payment Address (VPA). Additionally, through BHIM App, one can also transfer money using Mobile No. (Mobile No should be registered with BHIM or *99# and account should be linked)
3. Scan & Pay: User can pay by scanning the QR code through Scan & Pay & generate your QR option is also present.
4. Transactions: The user can check transaction history and also pending UPI collect requests (if any) and approve or reject. Users can also raise a complaint about the declined transactions by clicking on Report issue in transactions.
5. Profile: The user can view the static QR code, and Payment addresses created or also share the QR code through various messenger applications like WhatsApp, Email etc., available on the phone and download the QR code.
6. Bank Account: The user can see the bank account linked with his/her BHIM App and set/change the UPI PIN. Using this app one can change their bank account linked with the BHIM App and can check their balance.
7. Language: Supports 20 regional languages (Hindi, English, Tamil, Telugu, Malayalam, Bengali, Odia, Kannada, Gujarati, Marathi, Assamese, Bengali, Bhojpuri, Haryanvi, Marwari, Konkani, Manipuri, Khasi, Mizo and Urdu.) to improve user experience.
8. Block User: Block/Spam users who are sending you to collect requests from illicit sources.
9. Privacy: Allow a user to disable and enable mobilenumber@upi in the profile if a secondary VPA is created (QR for the disabled VPA is also disabled).
10. Payment Reminders: Schedule payments at your convenience.
11. Split Bill: Splitting bills with multiple UPI users at a click of a button.
12. IPO using BHIM: Application for any IPO can be made.
13. UPI Autopay: Recurring e-mandates can be enabled using any UPI enabled app for recurring payments such as mobile bills, electricity bills, EMI payments, entertainment/OTT subscriptions, insurance, mutual funds, among others.

Transfer Limits:

A user can send up to Rs 1,00,000 per transaction and a maximum of Rs 1,00,000 per day for one bank account. This limit is available per bank account linked on BHIM.

46.3.6 Bharat Bill Payment System (BBPS)

The Bharat bill payment system is a Reserve Bank of India (RBI) conceptualised system driven by the National Payments Corporation of India (NPCI). It is a one-stop ecosystem for payment of all bills providing an interoperable and accessible “Anytime Anywhere” bill payment service to all customers across India with certainty, reliability and safety of transactions.

Bharat BillPay has multiple modes of payment and provides instant confirmation of payment via an SMS or receipt.

It offers numerous bill collection categories like electricity, telecom, DTH, gas, water bills etc., through a single window. In future, biller categories may be expanded. An effective mechanism for handling consumer complaints has also been put in place to support consumers regarding any bill related problems in Bharat BillPay.

Bharat Billpay transactions can be made through various Payment Channels in different payment modes.

Key Participants

BBCPU: National Payments Corporation of India (NPCI) has been authorized by RBI as the Bharat Bill Payment Central Unit (BBPCU) and is responsible for setting business standards, rules and procedures for technical and business requirements for all participants. The BBPCU undertakes clearing and settlement activities related to transactions routed through Bharat BillPay.

BBPOU: Bharat Bill Payment Operating Unit is the entity that is authorized by the Reserve Bank of India. It can be a Bank or a Non-Bank. BBPOU may choose to integrate either with the customers (COU: Customer OU) or with the billers (Biller OU) or may wish to participate as both – which means such BBPOU will be integrated with customers as well as billers.

Agent Institutions: Eligible Entities who wish to offer or those who are currently in bill payment, collection and aggregation business would operate under a COU (Customer BBPOU) on receiving authorisation from RBI.

Customer BBPOU will onboard Agent institutions, which may further onboard agents and/ or set up customer service points in various regions and locations.

Agents

Agents are the customer touch points and service points in the Bharat BillPay ecosystem available in the form of agent outlets, Business Correspondent outlets, Bank branches, collection centres, retail outlets.

Biller/Utility Company

Service providers, who shall receive payments from customers for services rendered. By participating in the Bharat BillPay scheme, the biller will be able to receive payments from third party channels for the services provided to the customer. A biller may tie-up with up to two BBPOUs to access the entire universe of its consumers and all payment channels.

46.3.7 Bharat QR

A QR code consists of black squares arranged in a square grid on a white background, which can be read by an imaging device such as a camera. QR contains information about the item to which it is attached.

Bharat QR is P2M (Person to Merchant) Mobile payment solution which is mutually derived among NPCI, Visa and MasterCard payment networks. Users can pay the utility bills at BQR registered Merchant locations using BQR enabled mobile banking apps without sharing any user credentials with the merchant. It is a quick method of payment.

Bharat QR works as an alternate channel of payment, where the cardholder has to download his/her bank's Bharat QR enabled mobile banking app. The user has to scan the Bharat QR code at the Merchant store and select a card to make payment. Once the payment is successful, both cardholder and merchant receive notification in the mobile application for a successful transaction.

Bharat QR code has lots of additional data elements like merchant name, address, Merchant Bank information, etc. Bharat QR code widely accepted and secure than other QR codes. Users can pay using any card scheme such as – RuPay, Visa, MasterCard and Amex.

46.3.8 RuPay

RuPay is a card payment scheme launched by the National Payments Corporation of India (NPCI). It has been conceived to fulfil RBI's vision to offer a domestic, open-loop, multilateral system that will

allow all Indian banks and financial institutions in India to participate in electronic payments. “RuPay”, the word itself, has a sense of nationality in it. “RuPay” is the coinage of two terms Rupee and Payment.

NPCI has launched various card variants catering to the different segments of society. In addition to the Government scheme cards, RuPay Classic, Platinum & Select variant cards are designed for the masses and affluent customers. RuPay offers excellent privileges and benefits such as International Acceptance, Domestic and International Airport Lounge Access, free personal accidental death and permanent total disability insurance coverage, various merchant offers, different Cashback scheme, Health and Wellness benefits to appeal to the mass and affluent customers.

Benefits:

- *Lower cost and affordability:* Since the transaction processing will happen domestically, it would lead to a lower cost of clearing and settlement for each transaction. This will make the transaction cost affordable and will drive the usage of cards in the industry.
- *Customized product offering:* RuPay, being a domestic scheme, is committed to the development of customized product and service offerings for Indian consumers.
- *Protection of information related to Indian consumers:* Transaction and customer data related to RuPay card transactions will reside in India.
- *Provide electronic product options to untapped/unexplored consumer segments:* There are under-penetrated/untapped consumers segments in rural areas that do not have access to banking and financial services. Right pricing of RuPay products would make the RuPay cards more economically feasible for banks to offer to their customers. In addition, relevant product variants would ensure that banks can target the hitherto untapped consumer segments.
- *Inter-operability between payment channels and products:* RuPay card is uniquely positioned to offer complete inter-operability between various payments channels and products. NPCI currently offers varied solutions across platforms, including ATMs, mobile technology, cheques etc. and is extremely well placed in nurturing RuPay cards across these platforms.

RuPay Contactless – Tokenization

NPCI has invested in offering next-generation solutions like tokenization and mobile-based PoS. These technologies enable Indian consumers to securely use their phones to make card payments without disclosing their sensitive card details. It will allow cards to be tokenized on smartwatches, and other wearables, including many IoT, enabled devices allowing them to conduct card payments.

Bharat Ecommerce Payment Gateway (BEPG)

BEPG is the new e-commerce system to enhance the current e-commerce experience for the RuPay Cardholders. RuPay card aims to deliver a convenient and easy e-commerce experience without compromising on security and risk.

RuPay PaySecure

The RuPay Debit Cards can be used for online transactions and payments through “RuPayPaySecure”, an e-Commerce solution of the National Payments Corporation of India (NPCI). “RuPayPaySecure” not only provides a platform for e-transactions but also gives the customers a completely unique shopping experience. The RuPay Card can be used at all ATMs merchant establishments in India for online transactions and payments.

Google Pay (Android-based payment platform)

Google Pay is a digital wallet and payment platform from Google. It enables users to pay for transactions with Android devices in-store and on supported websites, mobile apps and Google services. Users link credit or debit cards to their Google Pay account, which is used for making the transactions for in-store or online purchases. On Android devices, Google Pay uses near field communication (NFC) to interact with payment terminals. When signed in to one's Google account in the Chrome browser, users can conduct transactions with Google Pay on sites that support the service.

The Google Pay service works with hundreds of banks and payment providers across the globe. Google Pay user website maintains a list of supported banks by country.

46.4 DIGITAL INITIATIVES BY THE GOVERNMENT OF INDIA

Digital India, the Government of India's flagship programme, aims to turn India into a digitally empowered society and a knowledge-based economy by 2030.

The vision of Digital India:

The Indian government initiated the Digital India programme to ensure that all citizens have access to the government's electronic services. Strengthening the internet infrastructure and improving internet connectivity, or making India more technologically savvy, is the best way to attain this goal.

Vision of Digital India programme is to transform India into a digitally empowered society and knowledge economy.

The three key vision areas are:

1. Digital Infrastructure as a basic utility to Every Citizen
2. Governance & Services on Demand
3. Digital Empowerment of Citizens

1. Digital Infrastructure as a basic utility to Every Citizen:

The key component under this vision is high-speed internet as a core utility to facilitate the provision of numerous services via the internet. It is envisioned that infrastructure for digital identity, financial inclusion, and easy access to common service centres will be established. In addition, "digital lockers" which would be sharable private spaces on a public cloud, and where documents issued by Government departments and agencies could be stored for easy online access. It is also planned to ensure that the cyberspace is made safe and secure

The digital infrastructure should facilitate:

- (a) Availability of high-speed internet as a tool for delivery of services to citizens
- (b) A lifelong digital identity that is unique to every citizen
- (c) Mobile phone and bank account for enabling citizen participation in digital & financial space
- (d) Easy access to Common Service Centres.
- (e) Shareable private space on a public cloud.

2. Governance & Services on Demand:

Over the years, a large number of initiatives have been undertaken by various State Governments and Central Ministries to usher in an era of e-governance. Sustained efforts have been made at multiple levels

to improve the delivery of public services and simplify the process of accessing them. E-governance in India has steadily evolved from computerization of Government Departments to initiatives that encapsulate the finer points of Governance, such as citizen centricity, service orientation and transparency.

The National e-Governance Plan (NeGP) 2006 envisages comprehensively examining e-governance efforts across the country and integrating them into a unified vision. The eventual goal was to make all government services available to the common man in his neighbourhood through common service delivery outlets and ensure the efficiency, transparency, and dependability of such services at reasonable costs to meet the basic needs of the common man.” A major countrywide infrastructure reaching down to the most remote communities is being built around this concept, and large-scale digitalization of documents is under place to enable easy and dependable access over the internet.

Six factors are critical for ensuring that governance and services are available to all people and other stakeholders in the country on demand.

1. Seamlessly integrated services across departments or jurisdictions
2. Availability of services in real-time on the web as well as mobiles.
3. The entitlements of all citizens to be portable and available on the cloud
4. Digitally transformed services to improve the convenience of doing business.
5. Making financial transactions cashless and digital.
6. Geospatial Information Systems(GIS) to be leveraged for decision support systems and development.

3. Digital Empowerment of Citizens:

The Digital India initiative seeks to convert India into a digitally empowered society by emphasising digital literacy, digital resources, and collaborative digital platforms. This also emphasizes universal digital literacy and the availability of digital resources/services in Indian languages.

Five factors ensuring the Digital Empowerment of Citizens are:

1. Universal digital literacy
2. Universally accessible digital resources
3. Digital resources/services to be made available in Indian languages
4. Collaborative digital platforms for participative Governance
5. Citizens are not required to submit Govt. documents/certificates physically

Some important initiatives under Digital India:

Aadhar: 12-digit Aadhar number provided by the UIDAI (Unique IDentification Authority of India) to Indian individuals.

Uniqueness is achieved through the process of demographic and biometric de-duplication. The de-duplication process compares the resident’s demographic and biometric information, collected during the process of enrolment, with the records in the UIDAI database to verify if the resident is already in the database or not.

Aadhaar number is a random number devoid of any intelligence. Person willing to enrol has to provide minimal demographic along with biometric information during the enrolment process.

Pradhan Mantri Jan Dhan Yojana (PMJDY): PMJDY is a nationwide scheme launched by the Government of India to ensure the financial inclusion of every individual who does not have a bank account in India

PMJDY is a national mission for Financial Inclusion that aims to provide affordable access to financial services, including basic savings and deposit accounts, remittance, credit, insurance, and pension.

An individual who does not have any bank account can open a basic savings bank deposit (BSBD) account through the scheme at any bank branch or through Business Correspondent (Bank Mitra) outlet.

This scheme intends to provide everyone with affordable access to financial services such as banking/savings/deposit accounts, remittance, credit, insurance, and pension. As of August 2022, it was reported that more than 46 crore bank accounts had been opened under the Government's flagship financial inclusion drive.

Advantages of PMJDY

- (a) Not a necessity to keep a minimum balance.
- (b) Rupay Debit card provided to account holders.
- (c) Accident Insurance Coverage is available.
- (d) An overdraft (OD) facility of up to Rs. 10,000 is available to qualifying account holders.
- (e) PMJDY accounts holders avail the benefits under Direct Benefit Transfer (DBT), Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY), Atal Pension Yojana (APY), Pradhan Mantri Suraksha Bima Yojana (PMSBY), and (MUDRA) schemes etc.

JAM (Jan Dhan Yojana, Aadhaar, and Mobile Number)

JAM is an acronym that stands for Jan Dhan Yojana, Aadhaar, and Mobile Number. The government intends to employ these three ways of identification to secure direct payments of subsidies to the poor. Subsidy systems now in place employ an indirect approach to reaching the country's underprivileged. Public Distribution System (PDS), Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), and other programmes are examples.

Because there are many intermediaries before the actual benefit reaches the poor, these types of subsidies are more costly to the exchequer and involve a lot of corruption. With Aadhaar assisting in direct biometric identification of disadvantaged persons and Jan Dhan bank accounts and mobile phones allowing direct payments of cash into their accounts, all intermediaries are eliminated.

Key benefits of JAM are:

The JAM trinity has boosted the DBT programme and expanded its coverage from partial to ubiquitous. Aadhaar has facilitated legitimate databases while Jan-Dhan has offered bank accounts for all. JAM has helped minimize avenues of corruption, irregularities, wrong-doings, and pilferages by eliminating the need for middlemen or conduits. It has also, therefore, promoted the ease of doing business.

JAM promotes online transactions among the beneficiaries, using ATMs and payment cards instead of physical visits to the banks. In the longer run, DBT schemes like JAM will make the rural population acquainted with the concept of 'saving', thus contributing to the country's GDP as a whole.

Digidhan Abhiyaan

DBT was established to overhaul the government delivery system by, re-engineering the existing process in welfare schemes, to facilitate an easier and quicker flow of information/funds and to assure accurate beneficiary targeting, de-duplication, and fraud reduction. DBT will improve the efficiency, effectiveness, transparency, and accountability of the government system and instil citizens' trust in the government. The use of contemporary technologies and information technology instruments will help to realise the aim of Maximum Governance Minimum Government.

Bharat Broadband Network (BBNL)

Bharat Broadband Network Limited is a Special Purpose Vehicle established by the Government of India under the Companies Act with an authorised capital of Rs. 1000 Cr. It has been tasked with developing India's National Optical Fiber Network (NOFN). By installing incremental fibre, about 2,50,000 Gram Panchayats spread across 6,600 Blocks, and 641 Districts will be covered.

Centre for Excellence for Internet of Things (CoE-IT)

The centre's primary goal is to develop domain capability and new applications. The CoE-IT was announced as part of the Digital India Initiative to jumpstart the IOT ecosystem by using India's IT assets and assisting the country in achieving leadership in the convergent field of hardware and software. The primary objective of CoE-IT is to develop novel applications and domain capability. Furthermore, the centre will aid in the development of industry-ready people, a start-up community, and an entrepreneurial ecosystem for IOT.

Indian Computer Emergency Response Team (CERT-IN)

CERT-IN or ICERT is an office within the Ministry of Electronics and Information Technology of the Government of India. It is the nodal agency to deal with cyber security threats like hacking and phishing. It strengthens security-related defence of the Indian Internet domain.

It offers incident prevention and response services and security quality management services. It has been established under Section 70B of the Information Technology (Amendment) Act 2008, as the national agency to conduct the following cyber security functions:

- Information collection, analysis, and dissemination on cyber incidents;
- Cyber security incident forecasting and alerts; and
- Emergency response to cyber security issues.
- Disseminate guidelines, advisories, vulnerability notes, and whitepapers on information security practices, processes, prevention, response, and reporting.

DigiLocker

DigiLocker platform supports paperless governance, and it is meant for issuing and verifying papers digitally and certifications, eliminating the necessity of physical documents. DigiLocker fits into Digital India's aim of providing citizens with a shared private space on a public cloud and storing all documents/certificates on this cloud. When Indian individuals join up for a DigiLocker account, they receive a dedicated cloud storage space linked to their Aadhaar (UIDAI) number. Organizations that have signed up for Digital Locker can send electronic versions of documents and certifications (such as a driver's licence, a voter ID, or a school certificate) straight to residents' lockers. Citizens can also use their accounts to upload scanned copies of their legacy papers. These legacy papers can be signed electronically using the eSign service.

DigiLocker is a Digital Wallet that aims to digitally empower citizens. It is a safe cloud-based platform for creating, sharing, and validating crucial everlasting documents or certificates. By encouraging the use of digital records, it has established a new paradigm for real paperless governance. Currently, DigiLocker allows access to legitimate digital documents issued by over 100 issuers, including Central and State authorities such as the Transportation Department, Income Tax Department, Revenue Department, State & Central Education Boards, and so on.

DigiLocker provides the following advantages:

- (a) Citizens can view and share their digital papers at any time and from any location. This is convenient and saves time.
- (b) It minimises administrative costs for government agencies by reducing the use of paper.
- (c) Because documents are issued directly by registered issuers, Digital Locker makes it easy to confirm their authenticity.
- (d) Documents that are self-uploaded can be digitally signed using the eSign service (which is similar to the process of self-attestation).

eSign

eSign is one of the main components of the Paperless Revolution. Under the Government of India's Digital India Initiative, eMudhra has created eSignature services - a new and revolutionary electronic signature service (eSign) that allows a PAN Card/Aadhaar Holder to sign a document digitally quickly from anywhere and at any time.

eSign is a web-based electronic signature service that can be integrated with service delivery applications via an open API to allow an Aadhaar holder to sign a document digitally. Online electronic signature service is made possible by authenticating the Aadhaar holder via the Aadhaar e-KYC service.

eSign Online Electronic Signature Service will benefit those organisations which requires submission of large number of signed papers from users to provide services like:

Digital Locker

Income Tax

Financial Sector

Passport office

Telecommunication sector

Education Institutes etc.

In India, eMudhra is a registered Certifying Authority. "eMudhra" is a brand that offers Digital Signature Certificates (DSC), Encryption, and other services. eMudhra works with governments and banks worldwide to help them in transition to a paperless environment. It has issued more than 50 million digital identities and has enterprise customers in more than 50 countries who utilise its identification, authentication, and paperless systems.

Government e Marketplace (GeM)

GeM is a one-stop-shop for the online procurement of common-use goods and services required by numerous government departments, organisations, and public sector units. GeM intends to improve openness, efficiency, and speed in government procurement. It also includes facilities for direct purchase, e-bidding, and reverse e-auction to help government users get the most bang for their buck. The portal allows all parties to register online, including government users, product sellers, and service providers.

GeM is a cashless, contactless, and paperless online marketplace that took the position of the Directorate General of Supplies and Disposals (DGS&D) in 2016. GeM has increased transparency and visibility in public procurement since its start. By focusing on its 3 pillars of Inclusiveness, Usability and Openness,

and Efficiency and Cost savings, the portal has revolutionised public procurement in India[1]. The Indian government has made it necessary for merchants to display the ‘country of origin’ on products sold through the GeM site. According to an independent World Bank study, the average savings for buyers in the Government e-Marketplace portal are approximately 9.75 per cent off the median price.

Advantages for buyers on GeM

- Rich listing of products for individual categories of Goods/Services
- Search, Compare, Select and Buy facility
- Buying Goods and Services online, as and when required.
- Transparent and ease of buying
- Continuous vendor rating system
- User-friendly dash board for Buying and monitoring supplies and payments
- Easy Return policy

Advantages of GeM for sellers

- Direct access to all Government departments.
- One stop shop for marketing with minimal efforts.
- One stop shop for bids / reverse auction on products / services
- New Product Suggestion facility available to Sellers
- Dynamic pricing: Price can be changed based on market conditions
- Seller friendly dashboard for selling and monitoring of supplies and payments
- Consistent and uniform purchase procedures

Source: <https://gem.gov.in/>

MEGHRAJ

To leverage and reap the benefits of cloud computing, the Government of India has launched an ambitious effort called “GI Cloud,” which has been dubbed “MeghRaj.” This programme aims to speed the delivery of e-services in the country while also optimising the government’s ICT budget. The GI Cloud architectural vision includes a set of discrete cloud computing environments dispersed across different locations, existing or new (augmented) infrastructure and adhering to a set of common protocols, norms, and standards established by the Government of India. This will ensure optimal infrastructure use while also hastening the development and implementation of eGov apps. Meity has developed two policy publications, “GI Cloud Strategic Direction Paper” and “GI Cloud Adoption and Implementation Roadmap.” NIC Cloud Services offers a variety of Cloud services to cater to the user requirements like:

- (a) Platform as a Service (PaaS),
- (b) Infrastructure as a Service (IaaS)
- (c) Software as a Service (SaaS).
- (d) Load Balancer as a Service:
- (e) Resource Monitoring as a Service:
- (f) Vulnerability Assessment Service:
- (g) Backup Service:
- (h) Application Performance Management (APM) Service
- (i) Antivirus Service:
- (j) Web Application Firewall (WAF) Service:

NIC provides Cloud services to Government Departments, State Government Departments and District Administrations. To avail of these services, one should have a Government Email account with the domain names Gov. in/Nic.in. They should be registered with NIC Cloud Services, and access should be having NIC's private, secure network (Virtual Private Network). The government department can approach NIC Cloud Coordinators.

Payments Vision 2025

The Reserve Bank of India (RBI) has published the “Payments Vision 2025” on June 17, 2022. The Payments Vision 2025 has the core theme of ‘E-Payments for Everyone, Everywhere, Everytime’ (4Es) and aims to provide every user with safe, secure, fast, convenient, accessible and affordable e-payment options.

The Payments Vision 2025 document is presented across the five main pillars: Integrity, Inclusion, Innovation, Institutionalisation and Internationalisation.

Resilience to operational and security concerns would continue to be at the heart to withstand and recover from the evolving threat landscape. Integrity of payment systems shall be non-negotiable for buttressing customer confidence. With the change/shift in customer behaviour towards embracing digital and touchless modes of payments, development of convenient and tailored payment solutions would be pursued.

As for the expected outcomes, the Payments Vision 2025 targets to achieve the following:

- More than 3-times increase in the number of digital transactions.
- Increase in PPI transactions by 150%.
- UPI to register an average annualised growth rate of more than 50%. IMPS and NEFT to show proportionate growth.
- Increase in the turnover of payment transactions vis-à-vis GDP to 8%.
- Volume of cheque-based payments to be less than 0.25% of total retail payments.

46.5 LET US SUM UP

The National Payments Corporation of India (NPCI) is on a mission to reach out to every Indian through its diverse range of digital payment products such as UPI, BHIM, RuPay, NETC, AePS, BHIM Aadhaar, Bharat BillPay, NFS, NACH, CTS, and IMPS, as well as to facilitate safe and secure digital payments. These goods are useful in the following situations: Person to Person money transactions. Person to Business, and Business to Person are all possible. Person to Government, Government to Person, and Person to Government

The Indian government initiated the Digital India programme to ensure that all government services are made available online to all of the country's people. This goal is reached by the development of online infrastructure, the improvement of internet connectivity, and the empowerment of Indians in technology through digitalization.

The Digitize India initiative includes efforts to connect rural areas to high-speed internet networks and increase digital literacy among the population. The campaign's objective is for inclusive growth to occur across all industries.

India's dream of Governance to offer mobile phone services and ensure access to online services to all is a reality today. India is now a country where technology improves access to education, health care, and agriculture while promoting transparency and accountability. **Implementing measures such as Aadhaar, UPI, and Digi locker enabled faceless, cashless, and paperless governance**, laying the groundwork for a strong, robust, and secure Digital India.

46.6 KEYWORDS

RuPay, Interoperability, NFS, NACH, CTS, BHIM, UPI, Virtual Id, BHARAT QR, BBCPU, BBPOU, JAM, AePS, Gem portal, Meghraj, Esign

46.7 CHECK YOUR PROGRESS

1. National Automated Clearing House (NACH) was implemented by NPCI for
 - (a) Clearing normal cheques
 - (b) Clearing MICR cheques
 - (c) High volume electronic transactions
 - (d) Clearing Prepaid instruments
 - (e) None of the above
2. What is Gem Portal?
 - (a) It is a centralised online trading platform for precious stones.
 - (b) It is a Government e-Marketplace for the procurement of goods and services.
 - (c) It is a Government portal for emerging technologies
 - (d) All of the above.
3. Which of the following is not true about Immediate Payment Service (IMPS)?
 - (a) IMPS allows electronic fund transfer only through mobile phones
 - (b) The facility is provided by NPCI
 - (c) IMPS allows instant money transfer
 - (d) IMPS allows transferring of money to an account with another Bank.
 - (e) IMPS transactions can be done through Bank Branch.
4. A QR code consists of?
 - (a) Black squares
 - (b) a square grid
 - (c) white background
 - (d) information about the item to which it is attached.
 - (e) All of the above
5. BHIM stands for _____.
 - (a) Banking Interface for Money
 - (b) Bharat Immediate Money transfer
 - (c) Bharat Instant Money transfer
 - (d) Banking Interface for Marketing
 - (e) Bharat Intelligent Money Transfer
6. Which of the following are 24×7 Payment systems.
 - (a) UPI
 - (b) IMPS
 - (c) NEFT
 - (d) RTGS
 - (e) All of the above

7. RuPay Debit Cards can be used for online transactions and payments through?
 - (a) Rupay 2factor
 - (b) Rupay online
 - (c) Rupay paysecure
 - (d) Rupay commerce
 - (e) None of the above
8. Which of the following is true for an e-payment system?
 - (a) E-payment system requires only a messaging system
 - (b) E-payment system requires physical exchange of money
 - (c) E-payment system involves messaging as well as a settlement system
 - (d) E-payment requires only a settlement system
 - (e) None of the above
9. The Bharat bill payment system is a one-stop ecosystem for payment of bills to _____ providers.
 - (a) Electricity
 - (b) Telecom (Mobile Post-paid, Landline Post-paid and Broadband)
 - (c) DTH
 - (d) Gas
 - (e) All of the above
10. Which of the following is a distinct advantage with UPI as compared to IMPS?.
 - (a) UPI is a mobile-based payment system.
 - (b) Branches can remit up to a maximum of 2 crores using UPI.
 - (c) We can send a pull request to receive money.
 - (d) We can send money using IFSC code and account number

46.8 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c), 2. (b), 3. (a), 4. (e), 5. (a), 6. (e), 7. (c), 8. (c), 9. (e), 10. (c).

UNIT 47

IMPACT OF TECHNOLOGY ADOPTION AND TRENDS IN BANKING TECHNOLOGY

STRUCTURE

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47.0 OBJECTIVES

After studying this unit, you will:

- Know the trends in information technology
- Learn the new delivery systems of banking products and services
- Understand the concepts of electronic data interchange
- Know the impact of technology on banking systems globally
- Learn the impact of IT on data privacy.

47.1 INTRODUCTION

Technology has, in fact, given new dimensions to the banks' service delivery mechanism, and the banks are enthusiastically absorbing the latest technological innovations for devising new products and services. It is in this context that the conventional brick-mortar banks are giving way to virtual banks from customers' perspective.

47.2 TRENDS IN TECHNOLOGY DEVELOPMENTS

Globally, technology is changing at a great pace driving many organizations, especially Banks, to rush to embrace state-of-the-art technologies. For the past few years, Indian banks have been aggressively investing in digital technologies to promote digital banking, offering innovative, robust and secure solutions optimized to meet the expectations of tech-savvy customers and deliver enhanced customer experience. Digitalization led to branch-less banking through Internet banking, Digital wallets, Mobile banking, Chatbots etc. While some technologies enhance the customer experience, other technologies intelligently analyse the customer behaviour and requirements for the banks, enabling the focused development of business and products.

Broadband internet became cheaper and more affordable to customers, and also the cost of bandwidth of leased lines, MPLS, VSAT etc., is reduced drastically. This is enabling Banks to rollout many banking services through mobile banking and internet banking. There is a marked shift in the technology, which has transformed the concept of branch banking to anytime, anywhere, anyhow banking, changing the way the banks are delivering services to their customers. However, any technology comes at a cost, and implementing new technologies has been expensive, but the benefits are numerous.

Banks used to develop products targeting demographic-based clusters such as young people, Millennials or senior people. However, now banks are making use of CRM tools, Data Analytics and Artificial Intelligence to target customers based on their lifestyles, mindsets, and aspirations leading to the ultimate level of innovative personalization.

47.3 ROLE AND USES OF TECHNOLOGY UPGRADATION

Technology has allowed banks to offer much more to their customers like the facilities of card and telephone access, anytime and anywhere banking through twenty-four hours Automated Teller Machines (ATMs), credit cards, debit cards and POS (Point of Sale) access. In fact, the technology has made it possible for customers to have fingertip access to their accounts worldwide.

The current trend is towards home banking, fully exploiting the technological innovations in the field of communications. Cyberbanking is leading to a cashless society.

The computers and particularly the networks are finding their application in the fund transfer/payment messages, inter-bank settlements, netting of foreign exchange payments, inter-branch reconciliations, quick disposal of loan/investment proposals, FOREX information among branches and offices, e-mail services, design of organisational/customer databases, MIS systems and decision support systems.

47.3.1 Data and Message Transferring

The transmission of data and messages is one of the fundamental activities of any business system. While the computers facilitate the processing of data, communication technology helps in the transmission of the data. With the combined application of the two, embodied as information technology, the banks are able to reduce the operational time in data and information communications. A personal computer, a telephone line, a modem and interface software is all that is required for breaking the distance barriers. Whereas **e-mail** has found its application in sending **unstructured** free format messages, the newer concept of **Electronic Data Interchange (EDI)** refers to the transmission of **structured** and formatted messages for further analysis and use in business applications.

Electronic Data Interchange (EDI)

Electronic data interchange is the inter-organisational exchange of business documentation, which can be processed by computers. It takes the form of interchange of standard formatted data between the computer application systems of the trading partners with minimal manual intervention. Banks have been using EDI in the form of SWIFT messages.

EDI is usually referred to as electronic funds transfer (EFT). Credit clearing and debit clearing are different forms of EDI for making the transfer of funds electronically. The credit card network is another EFT system using EDI standards. Because the EDI is designed to allow processing by the receiver without human interpretation and rekeying, the information must be in a format that is readable and understandable by the computer. Electronic data interchange for the administration of commerce and transport (EDIFACT) is the universal set of standards and guidelines for communication by EDI.

EDI Formatting Standard Guidelines Cover

- Documents which can be communicated electronically.
- Information to be included in each electronic document.
- Sequence in which the information should follow.
- Meaning of individual pieces of information.

Communication Standards

The EDI guidelines are called communication standards and addresses Type of electronic envelope to be used.

- Transmission speed and the protocols.
- Time slots during the day are acceptable for sending and receiving messages.

e-mail (Electronic Mail)

It provides nearly instantaneous communication between different users, regardless of the system they are using at their location, for any type of information. e-mail has made the concept of the paperless office a reality, and many offices now use it extensively for inter-office and intra-office correspondence.

In banks, e-mail is used for correspondence between departments and offices and has dramatically reduced the time taken from the use of the previous physical delivery methods. Standard e-mail software packages also offer additional facilities like sending the same copy to different offices with a single command only. E-mail is basically used for transmitting unstructured messages. Banks are also using the e-mail facility to transmit important data files.

47.3.2 Corporate Websites

The Internet has opened new avenues for banks to market their products and services. Many banks now have their own websites on the internet as a platform for service delivery. Banks use the website for:

1. *Dissemination of information:* About their products and services. Common information includes highlights of the banks' financial statements, descriptions of account products, loan products, card products, etc.
2. *Financial advice:* Some banks use the web to offer more general financial advice interactively.
3. *Highlighting non-banking activities:* Some banks use their site for giving details of charitable or community aid endeavours or the events that they sponsor.
4. *A node for commerce:* Some of the virtual shopping malls on the Internet are run by banking institutions. One such site is that of Barclaycard, the largest Visa issuer in the UK.
5. *Selling financial products:* Some banks are using websites to sell financial products through the Internet. The common strategy is to allow customers to fill in online application form for credit card etc.
6. *Account services:* The banks use the net to offer internet banking services, including routine transactions such as balance enquiry, transfer between accounts and bill payments and many other services which were hitherto offered at bank branches. This is also one of the most important areas in which banks are using online delivery to serve their customers.

47.3.3 Management Information Systems (MIS)

The concept of MIS places particular emphasis on the availability of data and the ease with which it can be analysed and turned into meaningful information for managerial decision making. Thus, the key element in any MIS is the transformation of data into information. Another factor that assumes significance is the timeliness of information, so as not to lose its significance. The system has to be such that, which can provide latest information to the management.

Computer-based Information Systems

As a control mechanism, the banks, including (RBI), require extensive information covering varied types of activities under various parameters. Computerised systems have the advantages of fast and accurate processing, here the data is recorded and processed expeditiously for operational and control purposes. Problems are highlighted and referred to the management for decision making.

The computer-based information systems offer the following advantages:

1. Data is consistent, and hence, the processed information is more accurate and relevant for decision making.
2. Data redundancy is minimised, reducing a lot of labour in data reporting.
3. The computer-based information systems are more flexible and can suitably be modified with ease to match the changing requirements.

These computerised systems not only help in the generation of a large number of statutory and control returns but also help in generating a wealth of information to aid in decision making.

MIS helps in analysing the customer and assist management in making decisions scientifically in areas such as marketing and product development. Customer demographics, spending habits and savings patterns helps managers to understand customer's financial requirements.

RBI relies on data submitted by banks hence quality of data is of great importance. In order to meet the need for correct and consistent data, RBI has initiated a project called Automated Data Flow (ADF). ADF ensures submission of correct and consistent data from banks to RBI without any manual intervention.

Decision Support Systems (DSS)

DSS are easy to use, flexible and interactive computer-based systems designed to facilitate decision making. These systems allow for the creation of simulations under various conditions and help the management in analysing situations under different conditions.

DSS provides the management use of query languages, ad hoc reports, statistical analysers, graphics, etc. They also provide tools that can test what-if situations to pre-test the potential outcome of different decisions. In simulations, the DSS make use of complex mathematical models to aid decision making.

For example, the impact of any change in CRR/SLR requirements can be easily ascertained to help the management decide on different investment options for available funds. Similarly, in the competitive market, DSS helps bank in generating precise information for pricing their products and services.

47.4 GLOBAL TRENDS IN BANKING SYSTEMS

Globally, the banks recognise the need to embrace technology in the area of products and services to compete successfully in the years ahead. In fact, commercial banks the world over are among the largest consumers of information technology. The banks perceive the future of the financial services industry as becoming heavily dependent on the electronic delivery mechanism and are working towards bringing banking right into their customer's homes.

At the global level and in India, many electronic payment systems are offered through various delivery channels. There has been a noticeable tilt towards technology-driven products and services. Following trends are visible in the banking systems:

1. Banks are installing more and more ATMs for banking transactions.
2. Customers are provided more choices to collect their cash like non- branches such as supermarkets and video kiosks.
3. Mobile banking , Debit cards, an Credit cards, Smart cards
4. Internet banking
5. Banks are tapping new sources of revenue and finding ways to differentiate themselves from other banks and non-banks and are increasingly venturing into fee-based services like the following:
 - marketing of insurance and annuity sales
 - mutual funds
 - financial planning
 - trusteeship services

Additionally, the following activities are also finding technology as an able ally:

1. Automated clearing systems

2. Customer information databases
3. Imaging of paper documents
4. On-line access to regulatory agencies
5. Use of the Internet and mobile for customer services
6. RTGS
7. Cheque truncation
8. Customised solutions for corporates

Another impact of technology is globalisation of banking services. Large banks are shifting their focus from domestic market to global arena, pursuing global expansion and emphasising their products and services that are globally oriented.

Technologies currently being developed and tested range from a new generation of more sophisticated EMV and NFC cards to providing services through mobiles, wearables and Social media Networks. Cryptocurrencies and alternative forms of e-cash are emerging, which does not require a traditional paper-oriented payments system by using technologies that enable such smart cards to transfer value through the Internet.

The advances in technology will have intense effects on the payment systems. Globally, the banks are poised to use technology that will gradually give new dimensions to the banking products, services and delivery systems.

47.5 IMPACT OF INFORMATION TECHNOLOGY ON BANKS

Under the impact of technology, the organisation structure of the banks, the role of various functionaries and the approach of banks to customer needs have gone remarkable change. Staff productivity and business per staff have increased phenomenally. Technologies are helping the banks expand their business and coverage and strategically look at customer needs to offer newer and more efficient, and customised banking services.

Here, at length, we discuss the impact of information technology on the important components of banking, viz., the organisation, the customers, the personnel, and lastly, the data. Data privacy, involving individuals' rights and privileges about personnel information, is a very sensitive issue being debated and examined worldwide.

47.5.1 Changes in Organisational Structure and Orientation

Information technology is a means for increasing organisational productivity. IT, in fact, is much more than a series of new machines for organisational efficiency since it brings about a new concept of self-regulating systems and principles in the organisation.

Some of the usual changes brought about under the impact of IT relating to organisational structure and orientation of the banking sector are illustrated as follows:

- (i) The need for faster information and better control directly impacts reducing the hierarchical tier systems in the banks. This has resulted in establishing a direct liaison between the top management and the field functionaries.
- (ii) As the technology helps collect, interpret, and transmit information, the need for middle tiers of management vanishes and more self-managing groups with autonomy and access to information emerge strongly.

- (iii) The management processes and the controlling mechanism characteristics also undergo a change. The decision-maker needs to be vested with greater powers to cope with the stresses of the time factor. Several traditional jobs no longer remain relevant, and several new jobs come up.
- (iv) IT helps in engineering a change of mechanism in the overall orientation of the management. Managerial attitudes also undergo a change under the impact of IT. This is reflected in the way the top executives look at IT as a functional requirement and apply it for improving organisational efficiency and effectiveness.
- (v) The organisational change can facilitate the increased involvement of information systems in the mainstream product offerings in the banking and financial sector. In addition, to these technical and organisational changes, a psychological repositioning of the information technology function takes place.
- (vi) In addition to the changes in organisational structure and orientation, the operating procedures also witness a direct impact of IT. The systems and procedures within banks have to adapt themselves in accordance with the IT needs without sacrificing privacy and security.

47.5.2 Impact on Service Quality

Banking, which is primarily a service industry, has been, over the years, becoming more and more technology-dependent. The most visible impact of technology is reflected in the way the banks respond strategically for making its effective use for efficient service delivery. This impact on service quality can be summed up as follows:

1. Small and relatively new banks without any legacy of IT infrastructure and a limited network of branches become better placed to compete with the established banks by starting their operations with digitised products using state of the art technologies. Technology is helping the banks, irrespective of their size, to have a level playing field for pricing their products.
2. Technology has helped in commoditising some of the financial services. The technology is forcing the banks to develop a strategy for an online delivery system to broaden the customer relationship and to retain customer loyalty.
3. Depersonalization can have a negative effect on relationship banking. Offering almost every banking service online reduces the personal interaction with the bank staff. This greatly reduces the personal element in the services. It is an established fact that the human interface is the most vital aspect of any service industry, irrespective of how advanced the adopted technology is. A decade of computerisation can probably never substitute a simple smile or a warm handshake.
4. The advent of IT democratizes the information in the sense that bank customers, particularly corporate customers, have access to the same real-time information over which the banks earlier had control. This results in greater competition among banks. Another competition to the banks stems from the advent of non-banking financial institutions armed with technological capabilities and are vying with the banks to capture their retail customer base. The advent of virtual banking in the form of Internet banking and mobile banking has removed the barriers for entry of these non-banking financial institutions to compete with conventional banks.
5. In banks, the technology pushes the delivery of services out of the bank and the focus shifts from cost reduction to the maintenance of market position. However, when properly adopted, the technology helps in accelerating the service delivery to customers providing control over account relationships.

EASE 5.0:

The Enhanced Access and Service Excellence (EASE) program, driven by Indian Banks' Association (IBA), stresses on data analytics, automation, and digitization, to foster new-age reforms in Public sector banks (PSBs) to improve profitability, asset quality, customer service and digital capabilities.

Under the Ease Next Programme's 5.0 version launched in June '22, PSBs will aim at leveraging new-age capabilities to respond to evolving customer needs, changing competition, and the technological environment. EASE 5.0 would prioritise digital customer experience and integrated and inclusive banking, focusing on small businesses and agriculture.

Simultaneously, each PSB is expected to develop a bank-specific three-year strategic road-map, focusing on business growth, profitability, risk, customer service, operations, and capability development.

Changes in Customer Aspirations

Today, the customers are demanding fast, accurate and reliable services. The customers expect a reasonably high standard of services. The absorption of technology, therefore, becomes inevitable for the banks to enable them to respond to customers' needs at all times and at competitive prices.

In the changed socio-economic conditions, the customers, individuals or corporate no longer want to be restrained by the physical place where their funds and information are stored and wish the banking facility to come to their home/business place rather than in branches of banks. This has given rise to the concept of the 'Anytime, Anywhere and Anyhow Banking' facility, which offers access to banking services at a place and time convenient to the customers.

The ever-evolving and disruptive technologies coupled with cheaper and faster telecommunication technology (MPLS, RF, 4G etc.), has made it possible to offer innovative customer-centric banking services in real-time, online, and 24 × 7.

However, as the facilities provided by the banks increase, so does an increase in the demands of the customers. The business compulsions, steered by telecommunications breakthroughs, are putting tremendous pressure on individual banks to continuously evolve newer techniques to make business transactions better, faster, and more efficient than others. In fact, the technological prowess of the banks and other financial institutions are likely to determine the future of how money and financial information will be transmitted for the satisfaction of customer needs.

47.5.3 Impact on Human Resources

Information technology has resulted in improved efficiency, innovative products and effective delivery systems for the banks to help them succeed in the marketplace.

As the new generation of tech-savvy personnel is being recruited by the banks, the banks are better placed to leverage their skills in the use of technology for maximizing productivity and excellence in customer service.

1. When introduced in a planned manner, technology results in enhanced productivity with better placement of employees. With the increased use of information technology, there is an ever-increasing demand for specialised personnel in the fields of IT management.
2. Another impact of IT on human resources is the high turnover rate of computer-skilled manpower. This may necessitate the banks to formulate their own manpower policies to retain these professionals within the organisations.

3. Initially, Banks have groomed their existing staff to handle IT operations. Now with ever-evolving technologies banks are recruiting skilled personnel in various specialised areas of Information Technology.

Role Transition

Information technology is a self-regulating system, and its use entails a redefinition of work which manifests itself in the following areas:

1. With the application of IT, the job profiles and role definitions undergo a complete transformation.
2. With the shift of decision making powers to the point of information, there is also a visible change in the responsibility structure in banks.
3. The increased competition, stemmed by the use of IT in banks, has underlined the need for technically literate and managerially competent persons to help the line management understand their own needs and build their own systems.

Training Needs

The most important element in this process involves the organisation-wise training for attitudinal changes and skill developments, commensurate with the requirements of the changed role of individuals. Dissemination of knowledge about the new developments in technology and its application is also required for the up-gradation of skill levels. For successful integration of information technology by the banks as a business strategy, the training of staff and the continuous up-gradation of their skills is of paramount importance.

The staff for some of these specialised activities may have to be pooled from outside the banking area. Some of the IT duties require domain expertise also. Most of the banks have gone in for grooming their own staff for performing the different roles in the IT environment. Banks are recruiting personnel on a contractual basis for senior positions like Chief Technology Officer, Computer Information Security Officer, Chief Risk Officer, etc.

At the systems level, extensive training is required for persons performing the duties of specialised positions like Data Scientists, Data Analysts, DataBase administrators, Network administrators, Cyber Security professionals, Ethical Hackers, Information system auditors, etc.

Some banks have formulated long-term training plans to meet the challenges of intense competition triggered by the technological invasion of the banks. Some banks have already established their own training institutes with the twin objective of designing training to meet specific end-user requirements and also to involve their staff in developmental software activities.

For the learning and development function to be effective, Banks should have a method of tracking the competency mix for jobs/benchmarking, training needs assessment, post-training evaluation and return on training initiatives. Above all, supervisors/managers should be coaches and, in turn, be trained and coached as part of their development.

Training programs should be conceived with the prime objective of enhancing effectiveness & productivity through continuous self-awareness and learning. Banks must offer structured e-learning with courses targeted at larger groups of staff members.

47.5.4 Impact on Privacy and Confidentiality of Data

The concern for the misuse of the stored data becomes more profound when the stored data pertains to the financial transactions of individuals. Customers feel threatened about the inadequacy of privacy being maintained by the banks with regard to their transactions and look at computerised systems with suspicion. Whereas inadvertent disclosure may occur when a system crashes and the contents of a user's files get publicly displayed at a terminal, the serious problem is that of unauthorised disclosures when a person having access rights uses the data for unintended purposes.

Therefore, data privacy assumes two significant dimensions, viz.:

- Authority to access data
- Authority to use data for specified purposes only.

Following principles are common in the privacy laws:

1. Individuals should be able to discover the existence and ownership of automated personal data systems and infer whether information about them exists in a system.
2. The data about individuals which is held for processing must have been obtained fairly for a specific lawful purpose only.
3. The data must be accurate, up-to-date and kept no longer than necessary.
4. The data collection on some individual attributes like racial origin, political philosophy, religious views, sex life details, etc., should be prohibited.
5. Special measures over and above the normal computer security procedures should be taken to preserve the privacy of personal data.
6. Data must be used only for the specific purpose and may be disclosed in accordance with the specific purpose only.

With the adoption of information technology and the availability of banking anywhere, the issue of data privacy and security became more relevant, particularly in the context of transactions carried through online digital delivery channels. Banks have been implementing various security measures like Data Encryption, Data Checksum, Data Leakage prevention, Database Monitoring, Privilege User monitoring etc., to protect the customer data and to ensure the privacy of data.

47.6 EMERGING TECHNOLOGY TRENDS IN BANKING

The advancements in technology and shift in consumer preferences driven by (SMAC – social media, mobility – mobile computing, analytics – big data, cloud computing) have brought on opportunities and challenges in terms of their utility/efficiency, the complexity of products, deployment architecture. Some the emerging technologies in Banking are:

47.6.1 Artificial Intelligence (AI)

Artificial intelligence (AI) is an area of computer science that emphasizes the creation of intelligent machines, software that work and react like humans. Some of the focused areas in the use of artificial intelligence are speech recognition, cognitive analytics, deep learning, planning and problem-solving. AI has the potential of transforming customer experiences and establishing entirely new business models in banking. To achieve the highest level of results, there needs to be a collaboration between humans and machines that will provide a humanized experience that is customized to the individual customer.

Artificial Intelligence can be used to learn from customer behaviour and offer personalized services for each customer focused on their specific requirements. The key components of AI are machine learning, computer vision, natural language progression and natural language generation. AI can also be deployed to enhance data security, decision-making speed and accuracy, and employee output. Banks can also use machine learning to re-engineer back-office processes.

AI is being used in Banks for predictive analysis, voice recognition., risk management, fraud prevention, wealth management etc. AI-driven banking mobile apps are being used to meet the user's expectations with personal, contextual, and predictive services.

47.6.2 Robotic process automation (RPA)

Robotic process automation is the practice of automating routine business practices with software robots. These tasks include transaction processing, IT management and automated online assistants. Robotic process automation uses artificial intelligence to build software robots that automate tasks that once required human intervention, such as customer service and IT management.

Robotic Process Automation (RPA) is often applied to repetitive and mundane tasks so that employees can focus on more complex banking operations that require human interaction and decision-making. For example, we can train a robot by building rules to read mails and send routine replies or generate purchase orders.

Some of the major advantages of RPA are 24 × 7 working without fatigue, time and cost savings, zero typos or copy/paste mistakes, compliance. Banks can build a Virtual Workforce by adopting RPA integrated with artificial intelligence to automate processes through the deployment of custom applications. The use of AI is about leveraging intelligent algorithms to resolve inefficiencies and drive enhanced customer experience at every point of interaction. RPA is being used in banking activities like KYC, customer onboarding, Loan origination, etc.

47.6.3 Chatbots

Chatbots are software applications that mimic written or spoken human speech for the purposes of simulating a conversation or interaction with a real person. A Chabot can be deployed for customer service, as a standalone application or on a website. Conversational agents are becoming much more common partly due to the fact that barriers to entry in creating chatbots (i.e. sophisticated programming knowledge and other highly specialized technical skills) are becoming increasingly unnecessary.

Chatbots are driven by artificial intelligence, voice recognition, natural language processing etc. Some real-life examples are virtual assistants such as Google Now, Apple's Siri, and Microsoft's Cortana.

While Chatbots can process the voice/text of the user and can decipher what the user says, there are some challenges in the ability of chatbots to parse human speech having inherent complexities in elements of speech such as metaphors and similes.

Despite these considerable limitations, chatbots are becoming increasingly sophisticated, responsive, and more natural.

47.6.4 5G Network

5G is the fifth-generation cellular network technology. 5G networks are digital cellular networks, in which the service area covered by providers is divided into small geographical areas called cells. They

use millimetre waves using multiple-input multiple-output (MIMO) technology. Ideally, the new 5G wireless devices also have 4G LTE capability, as the new networks use 4G for initially establishing the connection with the cell, as well as in locations where 5G access is not available. 5G networks drastically enhance our ability to move, manipulate, and analyze data on the fly.

5G technology is characterized by low latency, high data capacity, and reliability. This will eventually help Banks create new ways to deliver mobile, online and in-branch services. Combining 5G with new technologies like edge computing and software-defined networking will ultimately give businesses the flexibility to customize their networks for optimum performance.

Some areas where 5G can be useful are Gigabit broadband to the home, Next-generation mobile user experience, IOT, facial recognition for identity authentication, Video chatbots, Remote troubleshooting for IT personnel, Real-time fraud detection/analytics and Customer profiling.

47.6.5 Blockchain Technology

Blockchain is a distributed ledger technology (DLT) that stores groups of transactions known as “blocks” and then links and sequences the list of transactions using cryptography. Blockchain is distributed across a peer-to-peer network, with redundancies in the blocks and consensus mechanisms to ensure that no one can manipulate the transactions. With blockchain, every transaction is trackable, and relationships are established with the network of peers rather than one to one. DLTs provide a path to access irrefutable information in real-time from any point in the network.

Blockchain technology involves cryptographically signed, immutable/irrevocable transactional records shared by all participants in a network using distributed ledger technology with shared control. Blockchain enables legitimate and extremely secure immutable transactions to take place by means of a point-to-point network. Some use cases for blockchain are invoice checking, smart contracts, asset ownership, intellectual property tracking, audits, and compliance.

Banks are exploring and implementing blockchain to solve the increased need to secure and manage transactions across the internet. Blockchain technology can be used in banking activities like secure document management, reporting, payments, treasury & securities and trade finance. The banking industry can benefit from blockchain technology as it helps in fraud prevention, increases the resilience of the bank’s IT infrastructure and also increases the transparency of processes.

47.6.6 Digital currency/Crypto Currency

The term digital currency, also known as digital money, electronic money or electronic currency, is a type of currency available in digital form instead of banknotes and coins. The functionality of digital currency is similar to physical currencies but can be exchanged remotely with instantaneous transactions across the world. Some examples of digital currencies are virtual currencies, cryptocurrencies, and central bank digital currency. Digital currencies may be used to buy physical goods and services and may also be restricted to certain communities. Digital money can either be centralized, where there is a central point of control over the money supply, or decentralized, where the control over the money supply can come from various sources. Digital currency can be stored in a stored-value card or other devices. Network money is another form of electronic money that allows the transfer of value on the Internet.

Cryptocurrencies are a type of digital currencies. Cryptocurrency is an asset used as a means of exchange. Some of the popular cryptocurrencies are Bitcoin (BCH), Ethereum (ETH), Litecoin (LTC), Ripple

(XRP) etc. Cryptocurrencies are based on cryptography and is considered reliable and secure. However, these currencies are very volatile. Cryptocurrencies use Blockchain and a decentralized ledger. There is no supervisory authority that controls all the actions in the cryptocurrency network. Cryptocurrencies issued by some central Banks are universally acceptable, backed by the Central Bank and which can be used for peer to peer transactions.

Even though cryptocurrency is a variant of digital currency, there are some key differences between digital currency and virtual currency, like in their structure, anonymity, transparency and legal aspects.

While Digital currencies are centralized and a group of people regulate the state of the transactions in the network, Cryptocurrencies are decentralized, and the regulations are made by the majority of the Community. Digital currencies require the user to be identified, while cryptocurrencies are partially anonymous, protecting the identity. Digital currencies are not transparent, and the wallet transactions are confidential. Cryptocurrencies are transparent as everyone can see any transactions of any user as all the revenue streams are placed in a public chain. Many countries have some legal framework for digital currencies, while it is not so about cryptocurrencies at present. While some countries have legally recognized, in many other countries, their official status is yet to be defined.

A central bank digital currency (CBDC) which is also known as digital fiat currency, is a digital currency issued and guaranteed by a central bank, which can be used to make digital payments. Hence CBDC can be described as a digital currency issued and controlled by the central bank, which is virtually stored and easily accessible to everyone.

The CBDC, as well as physical cash, would be concurrently and legally considered as legal currencies and have a claim on the central bank or government. CBDC increases the safety and efficiency of payment systems by helping quick settlement of retail payments and increasing the efficiency of making payments at the point of sale or between two parties (P2P).

RBI announced the launch of the first pilot for retail digital rupee on December 1, 2022. The pilot would cover select locations in closed user group, comprising of participating customers and merchants. Transaction can be both P2P (Person-to-Person) & P2M (Person-to-Merchant).

47.6.7 Virtual Reality (VR)/Augmented Reality (AR)

Augmented reality (AR) is an interactive experience of a real-world environment where the objects that reside in the real world are enhanced by computer-generated perceptual information, sometimes across multiple sensory modalities, including visual, auditory, haptic, somatosensory and olfactory. This experience is seamlessly interwoven with the physical world such that it is perceived as an immersive aspect of the real environment. Augmented reality alters one's ongoing perception of a real-world environment, whereas virtual reality completely replaces the user's real-world environment with a simulated one. Augmented reality is related to two largely synonymous terms: mixed reality and computer-mediated reality.

With the usage of VR, AR, AI, and sensor technologies, Banks can improve operational efficiency and individual productivity. To create new, winning business models, Banks need to create a strong application programming interfaces (API) strategy to deliver relevant data in real-time to the various service layers that connect ecosystem players.

47.6.8 Wearables

Wearable technology involves the usage of wearable gadgets that can be comfortably worn by a person on his body for the purpose of recording tracking information for personal or business usage related to health and fitness. Other wearable tech gadgets include devices that have small motion sensors to take photos and sync with your mobile devices.

Wearable services can help banking and financial services to bring enhanced value to customers and bring engaged technology. Banks can provide banking services through Wearables like smartwatches, Google Glass, Wrist Bands, etc.

CommBadge is an example of a wearable Bluetooth personal communicator for iPhone and Android. Google Goggles is an image recognition application from Google, used for searches based on images taken by handheld devices.

There are some unique challenges banks are facing as they strive to attract, engage, retain, and grow with millennial customers. The future will bring incredible changes to banking, and banks need to be prepared to evolve to grow and prosper. These new technologies will change the Banking industry in ways that we can't even imagine.

47.6.9 Digital Lending and Relevant Regulations in India

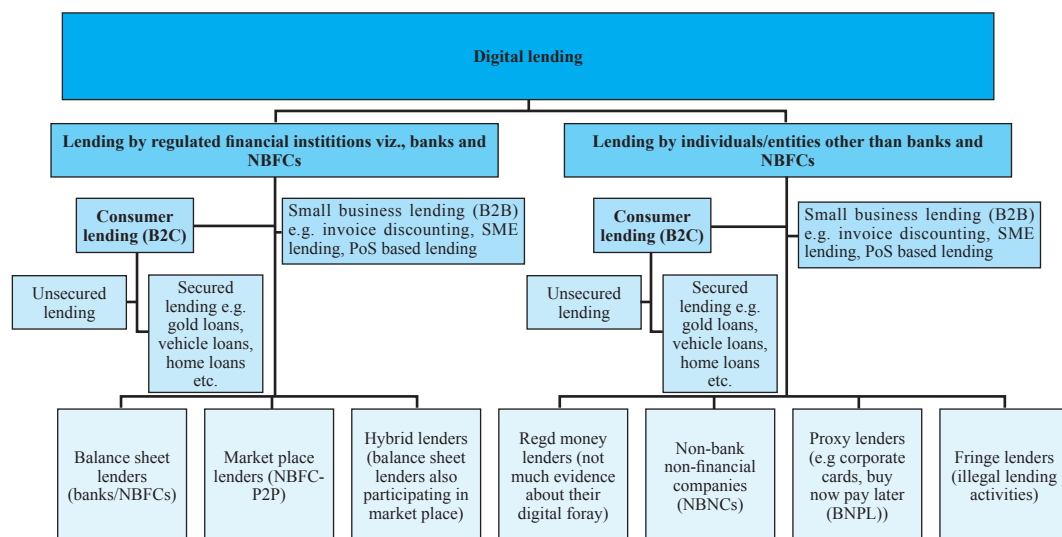
Meaning: Digital Lending

Financial Stability Board (FSB) has defined FinTech as “technologically enabled innovation in financial services that could result in new business models, applications, processes or products with an associated material effect on financial markets and institutions and the provision of financial services”. In the absence of a universally acceptable definition of the term ‘digital lending’, FSB definition of the term ‘FinTech credit’ as all credit activity facilitated by electronic platforms whereby borrowers are matched directly with lenders comes close. This definition has been loosely explained by FSB to include market place lending i.e., lending financed mostly from wholesale sources and non-loan obligations, such as, invoice trading. FSB has also classified ‘peer-to-peer lending’ and ‘loan-based crowdfunding’ as the main components of FinTech credit.

Digital Lending Eco-System

In India, digital lending ecosystem is still evolving. While banks have been increasingly adopting innovative approaches in digital processes, NBFCs have been at the forefront of partnered digital lending. From the digital lending perspectives, such lending takes two forms, viz. balance sheet lending (BSL) and market place lending (MPL), aka platform lending. The difference between BSL and MPL lies where the lending capital comes from and where the credit risks of such loans reside. Balance Sheet Lenders are in the business of lending who carry the credit risk in their balance sheet and provide capital for such assets and associated credit risk, generated organically or non-organically. Market Place Lenders (MPLs) or Market Place Aggregators (MPAs) are those who essentially perform the role of matching the needs of a lender and borrower without any intention to carry the loans in their balance sheet. While P2P lending in India is a clear example of MPL, many other players who are in the business of originating digital loans, (e.g., MPAs, FinTech platforms or the so called ‘neo banks’ or BNPL players) with the intention of transferring such digital loans to BSLs, can also be bracketed with MPLs/MPAs. These categories of market players form part of the broader class of Lending Service Providers (LSPs).

An illustration of digital lending taxonomy in a universal context is provided in the figure below.



Source: RBI Report of the Working Group on Digital Lending including Lending through Online Platforms and Mobile Apps – November 18, 2021

Digital Lending Products

The major products disbursed digitally by banks are personal loans followed by SME loans. A few private sector banks and foreign banks are also offering Buy Now Pay Later (BNPL) loans. Loans under ‘others’ category for banks comprise mostly of small business and trade loans, home loans and education loans. Majority of loans disbursed digitally by NBFCs are personal loans followed by ‘others’ loans. In case of NBFCs, ‘others’ loans primarily include consumer finance loans.

Need for Regulations and recent regulatory initiatives

Digital Lending involves lending through web platforms or mobile apps, utilizing technology for authentication and credit evaluation. Using the power of machine learning, financial institutions can now make quicker and more accurate decisions by shifting from a document-based credit analysis of individuals and companies, to an algorithm-based analysis of patterns and trends. The global market for digital lending platforms is anticipated to reach \$20 billion by 2026, representing a compound annual growth rate of 19.6 per cent over the previous seven years. As a result of the advantages of a transformed lending process, such as improved decision-making, happier customers, cost optimization, etc., machine learning provides lenders with a variety of ancillary leverage points, such as -Enhanced operational effectiveness, Improved precision, simplified compliance, and Effective analysis of large volumes of data. However, certain concerns have also emerged which, if not mitigated, may erode the confidence of members of public in the digital lending ecosystem. The concerns primarily relate to unbridled engagement of third parties, mis-selling, breach of data privacy, unfair business conduct, charging of exorbitant interest rates, and unethical recovery practices.

In view of that, Reserve Bank of India has published a discussion paper on August 10, 2022, classifying the universe of digital lenders into three groups:

- (a) Entities regulated by the RBI and permitted to carry out lending business;
- (b) Entities authorized to carry out lending as per other statutory/regulatory provisions but not regulated by RBI;
- (c) Entities lending outside the purview of any statutory/regulatory provisions.

In order to ensure customer protection, conduct issues and transparency in lending ecosystem, Reserve Bank of India has introduced the following major guidelines:

- i. All loan disbursements and repayments are required to be executed only between the bank accounts of borrower and the Regulated Entities (RE) without any passthrough/pool account of the Lending Service Providers (LSP) or any third party.
- ii. Any fees, charges, etc., payable to LSPs in the credit intermediation process shall be paid directly by RE and not by the borrower.
- iii. A standardized Key Fact Statement (KFS) must be provided to the borrower before executing the loan contract.
- iv. All-inclusive cost of digital loans in the form of Annual Percentage Rate (APR) is required to be disclosed to the borrowers. APR shall also form part of KFS.
- v. Automatic increase in credit limit without explicit consent of borrower is prohibited.
- vi. A cooling-off/look-up period during which the borrowers can exit digital loans by paying the principal and the proportionate APR without any penalty shall be provided as part of the loan contract.
- vii. REs shall ensure that they and the LSPs engaged by them shall have a suitable nodal grievance redressal officer to deal with FinTech/digital lending related complaints. Such grievance redressal officer shall also deal with complaints against their respective DLAs. The details of the Grievance redressal officer shall be prominently indicated on the website of the RE, its LSPs and on DLAs, as applicable.
- viii. As per extant RBI guidelines, if any complaint lodged by the borrower is not resolved by the RE within the stipulated period (currently 30 days), he/she can lodge a complaint under the Reserve Bank – Integrated Ombudsman Scheme (RB-IOS).

47.7 LET US SUM UP

Information technology has not only increased the competition among the financial institutions in general and the banks in particular but have also opened new vistas for them to innovate themselves and come up with newer products and services. Globally, the trend is towards using information technology for designing customer need-based products and services.

Information technology has a direct impact on the vital aspects of banks. All the major components of a bank, viz., its organisational structure, the customers, the personnel and the data, evolve under the impact of the technology and react to the changes it brings about. Information technology has stiffened the competition, and the banks have come out with newer products and service delivery systems. Training and retraining of staff and retention of highly specialised staff have become critical factors for banks for the successful utilisation of IT.

Any technology implemented in a Bank should be secure, affordable and resilient culminating in better customer service and experience. Technologies once considered emergent become current technologies.

For example, after the implementation of Core Banking, which was once emerging technology, banks have various modes of banking like Online Banking, Mobile Banking, Tele Banking, Video banking, SMS banking etc. customized business solutions can be provided by Banks by integrating the futuristic technologies like AR, VR, AI, and Blockchain.

There are many initiatives from the government and regulators, like extending support to Fintech companies, awards for innovative technologies, establishing a regulatory sandbox. Payment system vision 2019 by Reserve bank of India envisages empowering all Indians with access to a bouquet of e-payment options that is safe, secure, convenient, quick and affordable.

Any organization adopting new emergent or convergent technology will have in mind many of the considerations like customer centricity, customer retention, decreasing costs, providing a seamless hand-off between channels or future-readiness. Banks should only stay invested in emerging technologies that are more relevant to them, to remain contemporary, and to be competitive. Also, Banks must acquire new personnel with appropriate skill sets or upgrade the skill sets of the existing personnel.

Emerging technologies are disruptively changing the way we live, work and play. Technologies like blockchain, AI, RPA and VR are being experimented with in some banks. Technologies like Blockchain need the participation of organizations to build an ecosystem. Also, challenges like the security of distributed data and transaction speeds need to be addressed. AI and RPA are being tested and implemented by Banks in their own ways. However, building common solutions using emerging technologies with Banks as a community through knowledge sharing will yield better results and use of the latest technologies. Current banking trends. With the necessity to adapt to ever-evolving technologies and shifting global regulatory landscape, technology upgradation and compliance costs are rising.

47.8 KEYWORDS

Database, Fault-tolerant computer systems, Graphical user interface (GUI), Leased lines, Static data, 5G Network, Blockchain, Artificial Intelligence, Robotic process automation, AR – Augmented Reality, VR - Virtual Reality, Wearables.

47.9 CHECK YOUR PROGRESS

1. What are the uses of hosting a Bank's website on the Internet?
 - (a) Dissemination of information
 - (b) Financial advice
 - (c) To highlight non-banking activities
 - (d) Selling financial products
 - (e) All of the above
2. Which of the following is associated with Distributed Ledger technology?
 - (a) Blockchain
 - (b) 5G Networks
 - (c) ATMs
 - (d) RPA
 - (e) All of the above
3. Communication technology _____.
 - (a) facilitates the processing of data
 - (b) helps in the transmission of data
 - (c) enables decision support system
 - (d) is a tool for data mining
 - (e) All of the above

4. Which of the following payment systems is not a payment system?
 - (a) RTGS
 - (b) Fedwire
 - (c) NEFT
 - (d) SWIFT
 - (e) All of the above
5. The universal set of standards for EDI is known as _____.
 - (a) EDIFACT
 - (b) EDI
 - (c) ISO
 - (d) BIS
 - (e) None of these
6. Which one of the following statements best describes RPA?
 - (a) RPA is a rapid method of developing applications.
 - (b) RPA is guided by RBI's Cyber security guidelines.
 - (c) RPA is aimed at automating business processes
 - (d) All of the above
7. Which one of the following is the capability of Chatbots?
 - (a) Chatbots can mimic speech for simulating interaction with humans.
 - (b) Chatbots can be deployed for data mining.
 - (c) Chat Bots are used for orchestrating DDOS attacks
 - (d) None of the above.
8. 5G network technology uses _____.
 - (a) Micro waves
 - (b) Nano waves
 - (c) Centimetre waves
 - (d) millimetre waves
 - (e) All of the above
9. An example of cryptocurrency is _____.
 - (a) Bitcoin
 - (b) Ethereum
 - (c) Ripple
 - (d) Litecoin
 - (e) All of the above
10. Blockchain technology is used in _____.
 - (a) Cryptocurrency
 - (b) Physical Currency
 - (c) NACH
 - (d) CTS
 - (e) All of the above

47.10 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (e), 2. (a), 3. (b), 4. (d), 5. (a), 6. (c), 7. (a), 8. (d), 9. (e), 10. (a).

UNIT 48

SECURITY CONSIDERATIONS AND MITIGATION MEASURES IN BANKS

STRUCTURE

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48.14 Integrated Ombudsman Scheme, 2021 by RBI

48.15 Let Us Sum Up

48.16 Keywords

48.17 Check Your Progress

48.18 Answers to ‘Check Your Progress’

48.0 OBJECTIVES

After studying this unit, you will:

- Know the risks in a computerised environment
- Understand the effects of these risks on banking operations
- Know the various controls to prevent and contain these risks
- Know the concept of computer audit and IS audit
- Understand the need for evaluation of various components in IT-based banking operations

48.1 INTRODUCTION

Banking operations are prone to various risks and online frauds. It is certain that the deployment of information technology has changed the scale of these risks. However, the nature of risks has certainly undergone a change. So is the case with the types of security and control procedures necessary to contain these risks to acceptable levels. The successful management of information technology risks requires the deployment of an effective system of controls within the banking operations.

Cyber security in Banks has gained paramount importance as Banks have opened up their IT platforms to customers in the name of digitization, competition from peers, customer experience, reduction of the transaction cost. Banks exchange and transmit sensitive data across networks and to other devices in the course of businesses, and cyber security describes the discipline dedicated to protecting that information and the systems used to process or store it.

Securing technology systems and protecting the data and assets of customers remains one of the highest priorities for any financial institution. The unprecedented growth in digital payments in India and the Government's push towards a cashless economy has added many new customers to digital Banking, which in turn brought renewed focus on the need to strengthen financial cybersecurity. Banks have scrambled to implement various new mobile banking technologies like Wallets, Utility Bill Payments, 24 × 7 money transfers, etc.

As Cyberattacks are carried out continuously on various organisations, it is banks who are under the focus of the increasing threat. The volume and sophistication of cyber-attacks are ever-increasing and evolving. Innovation, Sophistication, Organization of Cybercriminals are Producing Ominous Results for Banks. This has led to catapulting of cybersecurity to the top agenda for boards of Banks.

This unit discusses at length various types of risks in the computerised environments, controls available to prevent and contain these risks and the approaches for evaluation of these controls within an organisation. Lastly, the chapter discusses various components requiring special evaluation as a part of computer audit for ensuring compliance to management objectives related to the application of information technology in banking applications.

48.2 RISK CONCERN AREAS

The customer demands have triggered fierce competition among banks and financial companies for the application of information technology in their operations to help them offer innovative products and services at reduced costs. IT also helps those entering new geographical areas. The technology itself is highly self-evolving, leading to periodic inventions. Competition has driven banks to experiment with

technology, thus, increasing their dependence upon it. The quality of information technology comprising computers and telecommunication systems their application to evolving business and customer needs determines the productivity of a bank. However, the risks associated with the use of IT and the deficiencies in security and controls within the banking procedures may pose a significant threat to banking operations.

A typical computerised environment constitutes three interdependent but separate components, viz., Software, Data and Hardware. Computer operators, programmers, customers and even the public continuously uses all these three components. The nature of financial transactions is such that banking operations may become vulnerable and pose risks of errors, omissions and frauds.

In addition to the above, with the advancement in communications technology, all the banking systems are interlinked. Communication happens through various networks, using the Internet. Hence the systems are also vulnerable to threats via the communications links.

These risks are not specific to banking but are encountered in all types of business activities. The risks broadly lead to:

1. Incorrect decision making, which leads to a setback to the business.
2. Interruption in activities due to the loss of data, hardware, software, peopleware.
3. Violation of privacy.
4. Direct financial loss due to computer frauds.

We discuss below the major components in computerised environments which require special concern.

48.2.1 Data and Software

Data is a critical resource necessary for an organisation's continuing operations. Incorrect data can have serious implications in decision making, as well. The increasing availability and use of expert systems and the potential impact of erroneous data can result in playing havoc with an organisation's business. For example, at the operational level, an incorrect interest calculation may result in overpayments leading to financial loss.

A lack of control over data can lead to fraud by unscrupulous elements. Inadequate control over data is the single largest factor, which promotes the scope of the fraud. Since the data is usually stored on magnetic media, in the absence of adequate controls, any tampering with the data cannot be detected easily.

Much of the information stored in a bank's computer systems or passed over the communication lines are confidential. In case it falls into the wrong hands, it can damage the customer relations the reputation of the bank and also can give rise to claims for damages.

In computerised systems, a person may not have to move from his or her normal place of work to access the information, and there may be no trace of unauthorised access has occurred. Similarly, unauthorised changes and modifications in the application software can directly lead to fraud. The availability of utility software on operational systems can bypass many controls in affecting modifications in the programmes as well as in data. The errors due to modifications in software cannot be detected easily.

48.2.2 Infrastructure

Banks have to invest heavily in implementing technology-based tools and solutions. In addition to software and data, some hardware components are required for the operations of the computer and communication systems. Following are the major components of infrastructure in a computerised environment.

- (i) *Computer hardware*: Computer servers, terminals/workstations, disk/tape/cartridge drives, printers, controllers, modems, switches/multiplexers, routers, etc.
- (ii) Power supply and other related equipment like uninterruptible power system (UPS), constant voltage stabilisers (CVT), generators, etc.
- (iii) Precision ACs, fire extinguishers, smoke detectors, etc.

Equipment are required to be in the proper condition for efficient utilisation of information technology for banking operations. If these equipment are not maintained regularly, they are prone to malfunctioning which may lead to interruption in services and/or loss of assets/data.

48.2.3 Peopleware

Peopleware refers to the role played by a group of person(s) directly or indirectly involved in managing and running the computerised systems. The risks associated with peopleware are as under:

- (a) Stagnation in knowledge and skill levels affects the efficiency of the newer systems.
- (b) High turnover due to attrition. It affects the operations of the systems, and banks may find it increasingly difficult to get suitable replacements.

It is not necessary that a turnover of persons from within only may affect the organisation. The banks are concerned with all persons associated with them in IT-related critical processes. These persons may be the trained staff from within the banks or from the software houses supplying software solutions to the banks. However, the direct impact is usually felt in case of the above risks to the technical staff, handling highly specialised functions, whereas in other cases, there may be a short-lived slow down of services.

48.3 DIFFERENT TYPES OF THREATS

A threat refers to anything that has the potential to cause serious harm to a computer system, which may or may not happen. A threat can be in the form of an attack on software, stealing of data, theft of identity credentials, sabotage, manual errors etc. Damages caused due to malicious intentions and human errors are of a very serious nature. Threats can lead to financial loss, data loss, loss of productivity due to business disruption, compensation to customers, reputational damage, regulatory penalties, costs of recovering from disruptions, etc.

48.3.1 Accidental Damages

Computers and communications systems have found their applications to be quite extensive in banking and other financial organisations. However, at the same time, these systems are vulnerable to damages caused accidentally, both due to human failures and natural calamities. In the long run, the systems which have not been properly tested also lead to a higher failure rate and errors in their processing and operations.

Environmental Hazards

Following are the major environmental hazards to computerised systems:

- Fire
- Unstabilised power supply
- Spikes in power and improper grounding (earthling)
- Excessive humidity, water seepage and floods
- Radio transmissions affect data transmissions.

Human Errors and Omissions

Errors creeping into computerised systems may result in affecting the customer service and operational efficiency drastically. Errors also dilute the management control of the systems. Errors in a computerised environment may occur at the time of:

- Systems design and process development
- Programme maintenance and while carrying out correction procedures
- Data entry at the time of terminal operations.

The cause in most of these cases is human failure. Machine failure is the secondary cause of errors in computer data.

The complexity of computer systems significantly contributes to the incidence of errors. Even when programmes are well tested, errors can lie dormant for months or years until a particular set of circumstances occur. When this happens, the results may be unpredictable. Often new errors are introduced during successive system changes.

Errors may also be introduced into standard software packages when these are customised, i.e. adapted to meet the needs of a particular user. Appropriate standards of error controls are required to maintain the accuracy of transactions, balances and management information.

Unreliable Systems

The quality and the efficiency of banking operations are heavily depend on the application of information technology. Any failure in the planning or development of the IT system may have significant commercial consequences. To avoid these situations, banks are required to pay close attention during the planning phase of computerised systems.

Another aspect related to this issue is the opportunity of fraud which may arise because of a poor system design. At the time of designing a system, the potential user frequently defines only half the problem, as he believes that the computer will do everything for him. Particularly in a multi-programming or multi-user environment, it is very difficult to ascertain what the system is doing. These types of systems are, therefore, prone to risks of error, as well as intentional frauds.

48.3.2 Malicious Damages

Risks of malicious damage to computerised systems can be from disgruntled employees who wish to disrupt the services or from individuals with mala fide intentions, using the technology for perpetrating fraud for financial gains. The systems are exposed to greater risks from computer professionals, and any unauthorised act committed by them may be very difficult to detect. Controls are required to limit computer professionals access to operational programmes and sensitive data.

Interruption in Services

Malicious damage to computer systems can cause an interruption in banking services. These systems may consist of a large number of hardware components and software programmes working in unison. Damages to any one of these may bring down the system partially or completely.

In most banks, a considerable proportion of IT systems are concentrated in one place, like Data Centres. Any disruptions at such places will have a huge impact on Banking services and shake the confidence of

the customers leading to business loss as well as reputation loss. Also, as the branches and all delivery channels are networked, building redundancy for the network to make them available 24×7 is very critical for uninterrupted banking operations. Banks build redundancy for critical infrastructures like power, servers, and network infrastructure to avoid costs of a serious systems failure, which may far exceed the costs of replacing damaged equipment, data or software.

Frauds

Fraudulent transactions in computerised systems may be carried out by unscrupulous elements in several ways. For example:

1. Special programmes such as utility programmes may be used to make unauthorised changes to computerised records in a way that bypasses the validation controls built into the computer systems.
2. Unauthorised manipulation in the important files by bypassing the security controls.
3. Unauthorised amendments made to the payment instructions prior to their entry into the computer system.
4. Unauthorised changes to programmes may be made during normal development or maintenance, which may cause the programme to generate fraudulent transactions automatically, ignoring control checks on selected accounts or by removing records of specified transactions.
5. In networked systems, frauds may be carried out during transactions by intercepting data while in transit.

The causes that facilitate computer fraud are due to inadequate control over data/media, easy access mechanism of systems, and inadequate control over outputs. Most of the banking systems have control facilities and produce reports designed to assist in the prevention or detection of fraud. These controls can be implemented to prevent loopholes in each system.

48.4 CONTROL MECHANISM

Implementation of an effective control mechanism is required for the successful management of risks associated with the use of IT tools. Preventive controls eliminate errors or irregularities from reoccurring; for example, good user interface (with required validations) design reduces the likelihood of occurring errors while entering data. Detective controls identify errors and irregularities after they occur, e.g. an input validation programme checks the boundary limits of data entered. Corrective controls remove or reduce the effects of errors and irregularities after they have been identified, e.g. communications software may request that data be retransmitted if it has been corrupted during transmission. In fact, the objective of applying these controls always remains that in the first place, errors and irregularities should be prevented from occurring. But given that these do occur, then there should be a mechanism to detect and eliminate the errors.

It is, however, to be noted that security and control procedures cannot be expected to provide absolute protection irrespective of their quality. There is always a residual risk of problems that occur affecting banking operations and their competitive performance. The nature of controls also depends upon the timing as to when these are exercised during data flow through the computer system and can be categorised as physical, internal and operational controls.

48.4.1 Physical Controls

In computerised systems, the control of access becomes very critical in view of the concentration of information at the site of data processing.

1. Control over access to assets, i.e. only authorised persons are allowed entry to a computer room and allowed access to computer media, documentation and other computer components. Protection should be provided against unlimited attempts through software techniques. Only authorised persons should be allowed to undertake repairs/maintenance of computer hardware with a proper log and without any access to data or software. Access to the system and a particular application can be controlled through a mechanism of passwords, Personal identification numbers (PIN) or fingertip image verification depending upon the system. Access log should be maintained to keep a record of system access by various users. Controls should be placed to prohibit any development work on the system earmarked for regular operational work.
2. Control over outputs, i.e. hard copies of all important reports generated on a periodic basis, should be preserved properly and access available to authorised persons only.
3. Routine checks should be carried out to ensure that all protections, like smoke detectors fire extinguishers, are effective and operational. Wherever necessary, appropriate steps should be taken. Similarly, protection against hardware failures should be ensured.
4. The source code of a running system should not be available on the system to avoid tampering.

48.4.2 Logical Controls

All information systems involve two basic softwares called an operating system and a database. Both have the ability to control access to the data and applications. The operating system controls access at the directory and file level, while the database controls access at the record and field level. In this section, we discuss the capabilities of the operating systems to implement security.

Logical controls are implemented using the access control facilities of operating systems and database systems. Both provide an interface between the application controls and general IS controls. To ensure data integrity, it is necessary to control access to the data, applications and other resources. There are two types of logical access controls, namely, authentication and authorization. Authentication allows only authorized users to access the systems. Authorization allows just-minimum access to the files and directory. To manage both these facilities in all operating systems, there is a facility called systems Administration. The first thing the auditors should do when they start working under the new operating system is to get to know the authorization, authentication and system administration functions relating to these facilities. Fortunately, all operating systems have more or less the same type of facilities.

48.4.3 Internal Controls

In order to check the accuracy and reliability of accounting data, ensure operational efficiency, and safeguard assets, a system of internal controls should be built in the computerised systems. These controls also encourage adherence to bank policies, systems and procedures.

Primarily, there are two types of internal controls:

- Accounting controls
- Administrative controls

Accounting controls are introduced in the application software and take the form of:

- Dual controls and authorisations
- Validation checks on data
- Numerical sequencing, etc.

Administrative controls could be on the well-defined lines of responsibility, and formal policies and procedures.

Some of the other controls applicable to customer accounting are:

- Validation of each transaction against limits and balances and its authorisation before affecting it.
- Validations on stop payments, post-dated cheques, stale cheques and cheques with invalid dates.
- Verification of sensitive parameters such as due dates, maximum/minimum days allowed, maximum/minimum rates, drawing limits, stop instructions, etc., before feeding into the system.

48.4.4 Operational Controls

These controls are embedded in software, whereas access controls may be enforced by both the system software as well as application software at different levels. The application software usually provides operational controls to ensure data integrity, consistency, and processing. For example, verification of checksum and checking of file/database integrity as part of day-begin functions are usually built in all banking applications software.

Audit Trails

An audit trail is a chronological record of all events occurring in a system. This record is maintained to trace the irregularities and identify the consequences of the error. It also facilitates the monitoring of the system. There are two types of audit trails.

- *Accounting audit trail*: It maintains a record of processes that update the data and information.
- *Operations audit trail*: It maintains a record of attempted or actual consumption of resources within a system.

Usual audit trails containing details of both the successful and unsuccessful transactions with a terminal number, user-id, transaction details, timestamp and authentication particulars are generated by the system. As a security measure, this audit trail should be properly monitored.

Checksum

The checksum is generated to ensure the integrity of data stored in a computer file. A checksum is a number calculated on the basis of certain key data items of the file. In a branch banking environment, the checksum generated at the time of closing of an application on the previous day is tallied with that generated at the time of day-begin function on the next day. Checksum usually involves at least the account number, balances and names of the account holders or account number.

Data Encryption

Data encryption is the process of systematically converting data into ciphertext or in the non-readable form before transmission so that any unauthorised person cannot decipher it. The process employs an algorithm, which remains fixed and a key, which is usually changed periodically. To protect the integrity of a message transmitted, a suitable hash value or message digest is used. At the receiving end, the data

is decrypted. End-to-end encryption protects the integrity of data passing between a sender and receiver, independent of the nodes that the data traverses. Important information may be transmitted at random intervals between common nodes.

In the electronic fund transfer systems, a control mechanism, which applies a message authentication code (MAC), is used to determine the integrity of a message in transit. MAC is a secret key applied to selected data items in a part or whole of the message. MAC is recalculated by a receiver based on the message received. In case the calculated code and the received code are not equal, it signifies that the message has been altered in transit.

Data Masking

Data masking is a useful tool for enhancing security and privacy. When it comes to security and privacy, data masking is a huge assist in ensuring that organisations are in line with government and auditor-recommended guidelines such as PCI DSS. Masking personal data, such as credit card information, Social Security numbers, names and addresses and phone numbers to limit the risk of data breaches, is the goal of data masking. Data breaches are minimised by masking test and development environments created from production data, regardless of the database, platform or location. Data masking is becoming an increasingly important aspect of government entities' security compliance operations.

48.5 COMPUTER AUDIT

Banks can achieve effective, secure and reliable computer systems only by using the appropriate control techniques discussed above. The control techniques selected varies from bank to bank, reflecting the particular risks within each bank and the costs of related security and control procedures. The objective is to safeguard assets and use them effectively.

A regular programme of independent tests of security and control procedures by auditors help in identifying lapses before the banking operations land at serious risk. The generic organisational function aimed at evaluation of the asset safeguarding, data integrity, system effectiveness, and system efficiency in computerised systems is termed as 'Computer Audit'.

48.5.1 Scope of Computer Audit

The computer audit covers:

1. Review of operations to establish if there is compliance to the established policies, standards and procedures.
2. Review of the quality of formal policies, standards, procedures and efficiency of operations and the adequacy of procedures and controls.
3. Integrity review focused on fraud detection/prevention, application programme and operating system integrity, system design and implementation strategy and monitoring of employees activities.

48.5.2 Audit Approaches

Auditors are required to perform a review of computer applications to evaluate the accuracy of IT processing. Computer audit approaches depend upon the technical skills of the auditor and the sophistication of the computer system being audited. The audit procedures may consist of manual testing processes or computer audit programmes. There are basically three approaches to computer auditing.

Audit around the Computer

In this approach, the auditor examines the internal controls of a computer installation and the input and output of an application system. Based on the above, the auditor infers about the processing carried out. The auditor does not do a direct examination of the application software. The normal assumption is that if the output generated from a given input is correct, and other physical controls are properly implemented, then the processing through the computer is taken as correct. However, the systems under scrutiny in these cases have to be simple, and:

- The systems should be using well-tested software,
- there should be a clear audit trail generated by the system,
- there should be proper physical controls and segregation of duties.

The auditors who have little technical expertise can be trained easily for performing an audit around a computer. However, this approach does not gel well with systems that are complex in terms of size and volumes, and auditors cannot anticipate any problems that may come up in future due to deficiencies of software.

Audit through the Computer

This approach involves the use of computers for testing of:

1. Logic and controls existing within a system, and
2. Records produced by a system.

For adopting this approach, the auditors require technical competence. The level of the examination depends upon the complexity of an application system being audited. In the following situations, auditing through the computer is quite useful:

- Where an application system is complex and handles large volumes of data.
- Where an audit trail has substantial gaps due to cost considerations.

Usually, auditing gathers evidence after an application has processed the data. However, there may be a need for the collection of evidence on a still more timely basis. In some of the computerised financial systems, it may be necessary to take up computer auditing at the time of processing for faster identification of errors than through the post auditing techniques. The method involves capturing an image of a transaction as it traces through the different logic parts within a system. The technique collects evidence as follows:

1. Special audit modules are embedded in application systems or system software to generate audit evidence.
2. Special audit records are tagged, and the processing is examined from an audit angle.

Audit with the Computer

The auditors also make use of an audit software consisting of computer programmes as part of auditing. Computer-Aided Audit Tools and Techniques' (CAATTs) have evolved as one of the more efficient and effective ways to audit computer-generated files, records and documents and to evaluate internal controls over the processing in a computerised environment.

48.6 INFORMATION SYSTEM AUDIT (IS AUDIT)

48.6.1 Introduction

Information technology is changing the nature of accounting activities. The replacement of manual operations by automated systems has brought out drastic changes in banking operations. It has largely influenced the banks, whose activities are largely in the nature of financial transactions. While computerisation brings in the advantages of efficiency, speed and economy in transaction processing and minimises the risks and the opportunities of frauds, it places new challenges before auditors in the era of the paperless online transaction processing environment.

IS audit is carried out through IT systems with the help of ‘Computer Aided Audit Tools and Techniques’ (CAATs). This is a readily available user-friendly software having various features and functions, with relevance to the purpose of IS audit. Implementation of core Banking made the audit less cumbersome and meaningful, as most of the auditing can be carried out centrally.

48.6.2 Objective

The objective of an audit does not change depending on whether it is a manual or a computerised environment, and only the approach of audit changes. IS audit is a process of collecting and evaluating evidence to determine whether a computer system could safeguard its assets (hardware, software, and data) by adopting adequate security and control measures, maintaining data integrity, achieving goals of an organisation effectively and resulting in the efficient use of resources. Control is defined as a system that prevents, detects or corrects undesirable events. An undesirable event is an incident that arises if unauthorised, inaccurate, incomplete, ineffective or inefficient input enters into a system.

48.6.3 Controls to be Looked into IS Audit

Controls consist of a set of interrelated components that function together to achieve the overall purpose. Controls can be defined as the policies, procedures, practices and organisational structures designed to provide reasonable assurance that business objectives will be achieved and undesired events would be prevented or detected and corrected. Consider an example of access control. Here, access control itself is not a control. It becomes a control only if a system ensures that an unauthorised person is prevented from accessing the system by means of physical and logical controls such as the use of user ID and password and permissions to access a particular database or application or part of it. All these components of access control should be in place and active. Thus, we must consider the reliability of control from a system’s point of view. Hence, it is of utmost importance for IS auditors to understand the nature of the controls.

48.6.4 Controls to be Evaluated in IS Audit

Each organisation should identify the events and circumstances that could result in a loss to an organisation. These are called exposures. Controls are those acts that an organisation should implement to minimise exposures. There are four types of controls:

- (a) **Deterrent controls:** Deterrent controls are designed to discourage people, internal as well as external, from doing undesirable activities. For example, written policies, including punitive measures, may deter people from doing undesired activities.
- (b) **Preventive controls:** Preventive controls prevent the event/incident from occurring or at least minimise the probability of an undesirable event taking place. Examples of preventative controls are policies, standards, processes, procedures, encryption, firewalls, and physical barriers.

- (c) *Detective controls*: Detective controls report/records the occurrence of undesired events/incidents. Thus, detective controls limit the losses if an unlawful event has occurred. Certain precautions like smoke detectors and heat detectors fall into this category. Honeypots and IDSs are examples of technical detective controls. Even an IS auditing function can be treated as a detective control.
- (d) *Corrective controls*: Corrective controls are designed for recovery from a loss situation. For example, business continuity planning is a corrective control. Without corrective controls in place, a bank may risk its business disruption and will not be able to recover essential IT-based services, information and other resources after a disaster that may take place. Examples of technical corrective controls are patching a system, quarantining a virus, terminating a process, or rebooting a system

48.6.5 Benefits of IS Audit

IS audit assesses the strengths and weaknesses of an information system. It also assesses if an information system actually translates itself into an effective tool to meet business goals. Major benefits of IS audits are as under:

- It would identify the risks of exposure to an existing computerised environment. After identification of the risks, remedial measures must be taken to protect the interests of the organisation.
- It would deter people/employees/users from indulging in corruption/manipulation of data, frauds, etc. Any undesired activity will be detected through the implementation of IS audit.
- IS audit may verify whether the controls are adequate to safeguard the assets of a bank.
- It provides to the management reasonable assurance regarding functionality, security and performance of the system.
- It indicates the health of an information system.
- IS audit reports helps to strengthen the system.
- Promote best practices for controls
- Ensure compliance with policies and regulations
- Review IT projects, systems, and technology

Security features and controls in computerised information systems could be improved based on the suggestions made during the course of an IS audit.

48.7 INFORMATION SYSTEM SECURITY (IS SECURITY)

48.7.1 Introduction

Computer systems are the hallmark of an organisation's information base. The computation power provided by these systems allows organisations more flexibility and processing capability than ever before. The complex array of computer capabilities offers operational advantages and, at the same time, raises security concerns as well. Controls will require to be implemented to maintain the confidentiality, integrity and availability of the information system.

48.7.2 The Need for IS Security

- (a) To comply with the law of the land and regulator's guidelines.
- (b) To comply with business policy.
- (c) to protect confidential data of banks and customers
- (d) to ensure business continuity

48.7.3 Objectives of IS Security Policy

In view of the need for IS security, any organisation, the banking sector, in particular, requires a well-documented IS security policy has the following objectives:

- Disclosure of information stored or processed on the bank's information systems should be made available to authorized users only. (CONFIDENTIALITY)
- Modification to information should happen by a n authorized user and in an authorized manner (INTEGRITY)
- To ensure that information is available to authorised persons when required (AVAILABILITY).

48.7.4 Controls Required for IS Security

Identification: It is the means by which a user provides a claimed identity to a system.

Authentication: It is the means of establishing the validity of this claim. Computer systems recognize people based on the authentication data the systems receive. Authentication presents several challenges: collecting authentication data, transmitting the data securely, and knowing whether the person who was originally authenticated is the same person using the computer system. For example, a user may walk away from a terminal while still logged on, and another person may start using it. There are three means of authenticating a user's identity, which can be used alone or in combination:

- something the individual *knows* (a secret — e.g., a password, Personal Identification Number (PIN), or cryptographic key);
- something the individual *possesses* (a token — e.g., an ATM card or a smart card); and
- something the individual *is* (a biometric — e.g., biometric characteristics such as fingerprint, iris or retinal scanning, palm vein recognition, facial recognition, voice pattern, etc.).

Authorization: It is the function of specifying access rights to resources

Non-repudiation: It is the ability to prove that an operation or event has taken place so that this cannot be repudiated later. For e-mails, for example, non-repudiation is used to guarantee that the recipient cannot deny receiving the message and that the sender cannot deny sending it.

Access control: It is a way of limiting access to a system or to physical or virtual resources. In computing, access control is a process by which users are granted access and certain privileges to systems, resources or information. In access control systems, users must present credentials before they can be granted access. In physical systems, these credentials may come in many forms, but credentials that can't be transferred provide the most security.

48.7.5 IS Security in Banking

Banks must meet their customers' requirements for security aspects in a special way on many levels. Whether it is with their savings, taking advantage of over-the-counter services at a branch office, withdrawing money from the teller machines, making deposits via the cash recycling system, online banking, etc. – for a long-lasting, trusting cooperation with a bank, customers demand the highest possible level of security. In order to fulfil these demands, banks rely on sophisticated hardware and software solutions.

48.7.6 Threats to IS Security

The following are some of the common cyber security threats to the Banking Industry.

1. **Viruses:** Viruses are a common form of threat to computers. A computer virus is a software program written with a malicious intent to harm the computers. It is loaded onto the computers without the user's knowledge and performs various malicious actions depending on the type of virus. Often after entering a computer, a virus attaches itself to another program in such a way that execution of the host program triggers the action of the virus simultaneously. All computer viruses are not necessarily destructive. However, most of them are malicious in nature and perform actions like stealing data like user credentials destroying data. Some viruses wreak havoc as soon as their code is executed, while other viruses remain dormant until a particular event occurs or on a particular date and run their malicious code to do the damage. Viruses spread from one computer to another through a network, a disk or through infected e-mail attachments.
2. **Distributed denial of service (DDoS):** A denial-of-service attack (DoS attack) generally consists of the concerted efforts of a person/persons to prevent an internet site or service from functioning efficiently. A DoS attack is an incident in which a user or organization is deprived of the services of a resource they would normally expect to have. In a distributed denial-of-service (DDoS) attack, large numbers of compromised systems (sometimes called a Botnet) attack a single target, thereby causing a denial of service for users of the targeted system. The flood of incoming messages to the target system essentially forces it to shut down, thereby denying the service of the system to legitimate users.
3. **Ransomware:** Ransomware is a type of malicious software from crypto virology that threatens to publish the victim's data or perpetually block access to it unless a ransom is paid.
4. **Malware:** Malware is the term for **maliciously** crafted **software** code. Special computer programmes now exist that enable intruders to fool an individual into believing that traditional security is protecting him during online banking transactions. Attacks involving malware are a factor in online financial crime.
5. **Phishing:** Phishing is the fraudulent attempt to obtain sensitive information such as usernames, passwords and credit card details, often for malicious reasons, by disguising as a trustworthy entity in an electronic communication.
6. **Spear phishing:** Phishing attempts directed at specific individuals or companies have been termed spear phishing. In contrast to bulk phishing, spear phishing attackers often gather and use personal information about their target to increase their probability of success.
7. **Whaling:** The term whaling has been coined for spear phishing attacks directed specifically at senior executives and other high-profile targets. In these cases, the content will be crafted to target an upper manager and the person's role in the company. The content of a whaling attack email may be an executive issue such as a subpoena or customer complaint.
8. **Vishing:** Vishing is the illegal access of data via voice over Internet Protocol (VoIP). Vishing is IP telephony's version of phishing and uses voice messages to steal identities and financial resources. The term is a combination of 'voice' and 'phishing'.

Some common security threats and precautions:

Phishing

Hackers devise numerous ways to steal important data, which is put to misuse. Generic greeting. Phishing emails are usually sent in large batches in different methods like

- (a) a generic greeting from a Bank,
- (b) a forged link that leads to a fake website a request seeking personal information.
- (c) A message was sent showing some sense of urgency to get the personal information.

The intention of sending phishing emails is to trick you into providing your personal information. In a typical phishing attack, a customer receives an e-mail asking him to visit Bank's website or provide his/her personal information such as – Account Number, Card Number, PIN, etc., which signifies the beginning of a Phishing Attack. The e-mail would usually provide a link to Bank's website and ask the customer to click the link. It would ask him to provide certain confidential Banking information like his account number, credit card number, etc., failing which his account would be de-activated. There would be a sense of urgency and panic in the e-mail.

Vishing

If you receive an e-mail or phone call asking you to call and you suspect it might be a fraudulent request. Mostly vishing scammer calls you and asks for your personal details by saying that they are in the process of updating their customer database, failing which may cause the suspension of your account.

Security Tips to Avoid Vishing Attacks

Always remember you have submitted the KYC form, so never respond to that call and look up the Bank's customer service number and call that number rather than the number provided in the solicitation e-mail or phone call.

Smishing

Just like phishing, smishing uses cell phone text messages to lure consumers into a trap. Often the text will contain an URL or phone number. The phone number often has an automated voice response system. And again, just like phishing, the smishing message usually asks for your immediate attention. Smishing artists can ask for a return SMS containing their User ID, Password, ATM/Debit/Credit Card PIN. Simply ignore this kind of SMS. Even if you have any doubt just call your Branch or customer service number.

To ensure safety against Phishing/Vishing/Smishing and duplicate SIM (Subscriber Identity Module) issuances, please take the following step:

- Ensure and verify that you get regular alerts. If you don't, please contact your home Branch.
- Review your account regularly.
- Please don't accept unknown Bluetooth and Wi-Fi requests.
- Please keep Bluetooth in the off state if not in use.
- Please do not respond to suspicious e-mails asking for your account details.
- In case of suspicious e-mails/calls, please contact your home Branch/Helpdesk.
- Please do not respond to any unknown SMS informing you about the lottery and nominee for some fundtransfer.

Safe Online Banking Tips

Financial institutions are taking measures to ensure the safety of online banking transactions. When a case of fraud is detected, it often becomes clear that the customer's PC is the weak link. Consequently, it is not only up to the financial institutions to take all safety measures necessary, but also by the customer. Following are the safe online Banking tips:

- **Change your password regularly**
- **Create a strong password**
- **Do not use public computers to log in**

- **Do not share your details with anyone**
- **Disable the remember password option**
- **Always use licensed software, including anti-virus software**
- **Disconnect the internet connection when not in use**
- **Don't click on any link/image/icon in the e-mail from unknown sources**
- **Type your Internet banking URL**
- **Monitor your accounts regularly**
- **Choose an account with two-factor authentication**
- **Secure your computer and keep it up-to-date**
- **Always log out when you are done**
- **Set up account notifications (if available)**
- **Educate customers on cyber security.**

Threat Management

The threats may be avoided/ mitigated by maintaining an ongoing study of IS security requirements like hardware/software/communication equipment deployment.

1. ***IS security assessment:*** The IS security assessment must include the following points at the time of preparing a comprehensive policy document:
 - (i) To analyze threats and vulnerabilities to mitigate the risk through audits, vulnerability assessment and penetration tests.
 - (ii) To understand access control systems and methodology, telecommunication and network security, and security management practice.
 - (iii) To deploy personnel well-versed in application and systems development security, cryptology, operations security, and physical security.
2. ***Perimeter protection:*** Apart from physical security, to secure the critical systems of banks from cyber threats, one should have Firewalls, Intruder detection systems, Intrusion preventive systems, and Virus and DDOS solutions installed. They should provide online access to customers only through web servers so that there is no direct connection between the Internet and intranet. It facilitates a high level of control and in-depth monitoring using logging and auditing tools.
3. ***Change management of computer hardware and software:*** Change management like adding / removing/changing software or hardware is associated with risks. This is another aspect that needs to be viewed from the security angle. Any hardware before installation should be configured with standard security parameters. Software undergoes frequent updating and version control and levels of software in use across offices. Software installation/change should be assessed for vulnerabilities and threats and deployed only after approval. A policy and process for change management for software and hardware should be put in place and be adhered to.

48.8 MODUS OPERANDI OF ONLINE FRAUDS AND CYBER SECURITY AWARENESS

48.8.1 Introduction to Cyber Fraud

The goal of cybercriminals is to steal user credentials and introduce fraudulent transactions into back-office systems. Criminals hide their tracks and destroy any proof they may have left behind after sending

fraudulent funds. Doing so, they erase or alter records and disrupt computer systems to thwart investigators. This puts the back office at risk and undermines the very business controls that are supposed to keep fraud at bay.

Every day unscrupulous elements are defrauding and misleading customers by using innovative modus operandi, including social media techniques, mobile phone calls, etc. And therefore, customers and employees should be made aware of common fraud methods, such as sending fraudulent messages or calls, clicking on suspicious URLs or links, or using unauthorized QR Codes to receive assistance from banks and financial service providers in obtaining concessions or expediting responses.

Modus operandi is the principle that a criminal is likely to use the same technique repeatedly, and any analysis or record of that technique used in every serious crime will provide a means of identification in a particular crime. In the context of Cyber Fraud, it is the act of creating, distributing, altering, stealing, misusing and destroying information through the computer manipulation of cyber space; without the use of physical force and against the will or the interests of the victim.

48.8.2 Modus Operandi of a Cyber-Attack

The modus operandi of Cyber fraud comprises the following steps.

1. Reconnaissance and Compromise

Before an attack, criminals conduct research and gather information about the target organization during the early reconnaissance period. IP addresses and domain names are among the things they search for. Attackers also use phishing emails to find the email addresses of high-ranking members of an organization or weak employees. They also check for security holes in the network. The attackers are patient enough to wait for months to complete these tasks.

2. Obtain credentials

After gaining access to the network, hackers aim to gain further access privileges to penetrate the network. Attackers can gain administrator-level access by using numerous tools that assist them in stealing credentials.

3. Send fraudulent messages

Malicious programmes allow attackers to access the network and implant malware into vital systems. They can now begin submitting fraudulent payment instructions using a fake operator or approver.

4. Hide/cover up evidence

To hide their conduct after fraudulent payments have been made, attackers must first hide their tracks by destroying proof of their operations. They employ a variety of tools and strategies to remove or change records, as well as corrupt systems, to confound forensic investigators.

48.8.3 Modus Operandi of Cyberattacks

The common modus Operandi followed by cyber attackers are;

1. ATM card skimming

It has been observed that fraudsters install skimming devices in ATM machines and steal data from your card. The PIN is also captured by installing a dummy keypad small/pinhole camera, which is well-hidden

from plain sight. Sometimes, fraudsters pretend to be other customers standing nearby and gain access to your PIN while you enter it. This data is then used to create a duplicate card and withdraw cash from the customer's account.

2. Phishing/Vishing/Smishing Payment Fraud

Phishing involves sending spoofed emails and/or SMSs designed to dupe customers thinking that the communication has originated from their bank/e-wallet provider and contains links to extract confidential details.

Vishing involves making phone calls pretending to be from bank/non-bank e-wallet providers/telecom service providers to lure customers into sharing confidential details in the pretext of KYC-updation, unblocking of account/SIM-card, crediting debited amount, etc.

Smishing involves sending mobile phone text messages to lure consumers into a trap. The text generally will contain an URL or phone number. Usually, the phone call is answered by an automated voice response system. The smishing message usually requests your immediate attention. Smishing artists can ask for a return SMS containing their User ID, Password, ATM/Debit/Credit Card PIN. Simply ignore this kind of SMS.

The imposters contact or approach the customers via telephone call or social media in the role of bankers, company executives, insurance agents, government officials, and so on, and ask for confirmation of the secure credentials by sharing a few details such as name or date of birth to gain confidence.

In some instances, imposters pressurize or deceive clients into revealing sensitive information quickly / immediately, stating an emergency, details required to halt a transaction, payment required to avoid a penalty, receiving an attractive discount, or other compelling reasons. Customer information is obtained and utilized to deceive the customers.

3. Lottery Fraud/Fake Prize Fraud

Fraudsters send an email or telephone you to the victim informing that he has won a large lottery prize. The money may only be received if a bank account or credit card has verified a person's identity on their website, where the information is collected.

Sometimes, fraudsters demand that you pay taxes or shipping charges, processing fees, and other fees up in advance before you can receive the service or product you ordered.

Because the requested money represents a relatively small percentage of the lottery/prize money, the victim may fall prey to the fraudster's trap and make a payment.

4. Frauds due to using Unknown/Unverified Mobile Apps

Fraudsters obtain access to the mobile device, laptop, or desktop computer when the victim downloads unfamiliar or unverified mobile applications.

These programme links are typically distributed via SMS, social media, instant messaging, and similar methods. The links are disguised as legitimate-sounding names, but in reality, the user is sent to a website to download an unknown application. Once the infected programme has been downloaded, the fraudster can take complete control over the mobile device.

5. Account takeover Fraud

Account takeover occurs when a criminal obtains access to another person's legitimate account through deception. Fraudsters can impersonate legitimate cardholders and request a replacement card by falsely reporting card theft or loss using the personal information collected through data breaches received from customers.

Customers who do not actively check their transaction history may not know that their accounts have been taken over for an extended period. Automated transaction monitoring solutions can detect this form of fraud in real-time, potentially preventing significant financial loss.

6. Online Marketplaces Fraud

Classified advertisements are among the most popular places for different scammers to discover potential victims, as fraudsters can act as both buyers and sellers in the same ad. Scammers pose as buyers and send Money Requests through the UPI Mobile App, instructing the recipient to enter his or her MPIN to get the money. The sum is transferred to the fraudster's account as soon as the victim inputs his or her MPIN. A typical example of this form of fraud is when scammers acting as sellers request payment in advance to deliver things but do not deliver those items.

Remote access - by luring customers to download an application on their mobile phone/computer to access all the customers' data on that customer device.

7. Card fraud

Fraud involving cards that are not present (CNP) and those that are present (CP) are the two primary types of card fraud, each requiring a unique set of detection and prevention techniques.

In Card-not-present (CNP) payment transactions, the buyer and seller do not physically meet. Because of the anonymous nature of CNP payments, they are far more vulnerable than payment methods in which both the card and the buyer are present in person. Unauthorized use of specific credit or debit card numbers, security codes, expiration dates and billing addresses to purchase products and services through e-commerce websites or over the phone is called CNP fraud.

It is referred to as card-presence (CP) fraud when card data is stolen in the presence of payment cards (for example, on ATMs or mobile POS devices), and it is a type of identity theft. It is not until the victim checks their periodic statements that they discover that their cards have been used without permission. Fraudsters can use this to their advantage.

The majority of our account information and authentication is tied to our registered mobile number, and fraudsters attempt to gain access to your SIM card or obtain a duplicate SIM card to conduct digital transactions using the OTP obtained on the duplicate SIM card.

Customers are typically contacted by fraudsters acting as telephone or mobile network personnel, who ask them for information to provide a free SIM card upgrade from 3G to 4G or provide them with an additional benefit on their SIM card.

8. Sim Swapping

Cybercriminals can access your financial accounts through your mobile phone, associated with your cell number. SIM switching is a type of fraud that can be used to steal your financial information and access your accounts

Fraudsters first collect personal information about the client through phishing or social engineering to access a subscriber's account. Fraudsters build a phoney ID that is based on an existing one. Fraudsters contact the cell operator under false pretences, such as having misplaced their phone or robbed. Once the customer's identity is done, the cell operator deactivates the existing SIM card in the customer's possession and issues a new SIM card to the fraudster. Criminals acquire authentication codes for banking and social media accounts using a new SIM card and the same cellphone number. As soon as the account takeover procedure is done, fraudsters can use the legitimate customer account to conduct financial transactions or post fictitious information on social media sites.

9. Business Email Compromise (BEC)

Business Email Compromise (BEC) tricks people into transferring money to criminal bank accounts. In a BEC scam, the attacker usually impersonates someone on a business network to fool the target or targets into sending money to the attacker's account. Companies that make cross-border payments are the most prevalent victims of BEC.

Some techniques used for BEC perpetrators include:

1. Spoofing email accounts and websites where Slight variations on legitimate addresses trick victims into believing fake accounts are authentic.
2. Spear-phishing is sending bogus emails appearing to be from a trusted sender prompting victims to reveal confidential information to the perpetrators.
3. Malware is used to penetrate networks to gain access to internal data and systems to view legitimate emails regarding the company's finances.

48.8.4 What Is Cybersecurity Awareness?

Cybersecurity awareness requires one to be alert of cybersecurity in day-to-day operations. Employees, Customers and outsourced vendors must be aware of the dangers of browsing the web, checking email and interacting online. Organizations need to ensure that all stakeholders recognize cybersecurity as an essential part of their role.

Educating each employee with information relevant to their position at work and home helps them stay safe online. Non-technical workers and technical staff should be trained on cybersecurity dangers in a role-based manner.

The general workforce may have a different definition of cybersecurity knowledge than your technical staff. Information technology (IT) professionals should be familiar with data management, permissions, and regulations; however, the rest of your organization may not find these issues useful. Developing a cybersecurity awareness programme that inspires long-term behaviour change requires delivering the right training to each team.

48.8.5 Importance of Cyber Security Awareness

Identity theft and network hacks happen when an employee unintentionally downloads malicious code or clicks dubious links. Organizations implement firewalls, IPS, IDS comprehensive IT defence systems and IT policies and protocols to keep themselves safe from online threats.

Social engineering like phishing is the most common cause of Cybercrime, which leads victims to unintentionally share private data, compromise their devices or provide network access to hackers.

Data breach costs increased significantly year-over-year. The average cost of a data breach has increased from \$3.86 million in 2020 to \$4.24 million in 2021. The fact is that the opportunity cost of not training employees is too high to ignore.

It is a well-known fact that the employees of an organization are the first and primary line of defence against online crime. It is observed that firms with strong cybersecurity cultures are better equipped to identify and respond to potential threats, reduce cyber incidents, and improve their ability to recover from a cyber attack.

Comprehensive, hands-on training may help the employees of an organization to become more aware of potential hazards while also providing them with the knowledge they need to prevent and manage significant incidents. It can establish excellent cybersecurity hygiene—habits that will make it easier for employees to avoid future security threats—and support an organizational culture centred on threat prevention and mitigation. Employees will also understand what defines a security issue and how to report one, resulting in a quicker response time and, as a result, less effect.

Any cybersecurity awareness and training, from a formal security awareness training programme to a weekly email with cybersecurity tips and tricks, can dramatically impact employee behaviour and even spark a cultural change in how your employees approach cybersecurity. The most effective security education initiatives put people first. This entails tailoring training to specific jobs, departments, and cultures to increase participation, training relevance, and, eventually, long-term behaviour change. A basic training session or a monthly email can help avert a cyber catastrophe.

Reference: RBI Kehta Hai: <https://www.rbi.org.in/commonman/English/Scripts/rbikehtahai.aspx>

Tips for Management of Mobiles and Tablet Devices:

- ✓ Secure your mobile/tablet by enabling the lock screen and security function, which could be a pattern password or fingerprint screen lock.
- ✓ As far as possible, do not save any sensitive personal information or bank account details on your electronic devices.
- ✓ Think twice before downloading apps to your mobile or tablet devices. Download mobile apps only from secured and trusted sources.
- ✓ Install mobile security and antivirus software only from a trusted security vendor.
- ✓ Disable the “Sharing” function on your mobile device when not required.
- ✓ Enable the settings to remotely locate and restore factory defaults on your electronic devices.
- ✓ Keep your device secure by applying the latest system and antivirus software patches.
- ✓ Where ever possible, encrypt the data on the device.
- ✓ After changing the settings, create a new password, and add your secondary email account as your alternative address.

48.9 IT RESOURCES EVALUATION REQUIREMENTS

The IT resources continuously undergo changes in the form of development of new applications, acquisition of new hardware, turnover of trained employees, etc. Therefore, there is a need for a standard plan of evaluation of various IT components, viz., feasibility studies, specification of systems requirements, selection of equipment, software development/acquisitions and project controls, etc., on a continuous basis. Lack of attention to one or more of these aspects may lead to serious developmental delays, increased costs and failures in computer projects.

Apart from regular audit checks on existing systems, auditors' involvement at an early stage in the specification and design of new systems may lead to efficiency and effectiveness of security and control facilities.

48.9.1 Computer Hardware

Obsolescence of computer hardware is a major problem with IT users. Acquisition and replacement costs are quite high. Therefore, the banks need to have proper hardware purchase policies directed at a balance between technology and the cost of acquiring it. Moreover, the competition may drive the banks to adopt the latest technology and reap benefits from it. All this requires a long-term plan and budget for hardware replacements. It is to be noted that in case it is difficult to replace some hardware, the losses due to denial/delay of services to customers may lead to loss of goodwill and reputation. In the case where the hardware may be replaced immediately, and the loss may be in terms of the cost of replacement. Therefore, an evaluation of various assets and the manner in which these are being used should be done on a periodic basis.

48.9.2 Computer Software

Software, comprising both the application and system softwares, are vital to the operations of a computerised system. The system softwares, such as operating systems, compilers, utilities, etc., have to be objectively procured to drive the applications for meeting banking needs. Innovations of technological organisations and technological breakthroughs result in the efficient and effective use of software and hardware. It changes the quality of banking products and methods of service delivery. For example, the banks have made a shift from TBA to online, centralised banking solutions (CBS).

Application software also undergoes a change with the passage of time to meet the changing banking requirements. Frequent changes of an application software result in its patching, which makes the system less efficient, requiring a new development. All this requires a proper change management policy.

48.9.3 Data

Information is the power source of the banking business. The data in its various forms is one of the most critical assets of a bank. Accidental loss of data may be less serious than loss due to irregularities. Whereas a customer file destructed accidentally may still be recovered, the problem assumes seriousness if it is stolen by a competitor and may be used against it. The application of technology has also changed the concept of data storage and data retrieval techniques. Any changes to the banking data stored on magnetic media may not be easily detected. This underlines the need for proper management policies for data storage and the archival methods for ensuring protection, security, and privacy of data.

48.9.4 Communication Channels

Banking operations now make extensive use of communications channels for data transmission. The banking framework has geographically spread out, with linkages being established through communication lines. In fact, the communications systems are the backbone of electronic banking, which is spreading at enormous speed. It calls for a well-defined technological competence and clear policies for absorption of the right type of communications systems for individual banks' needs. Associated with it is the risk of the tapping of data over the telecommunications channels as well the need of building secured methods of transmitting financial transactions.

48.10 DISASTER RECOVERY MANAGEMENT OBJECTIVE

- The main objective of the disaster recovery policy is to safeguard Information and System assets with the least damage in case of any disaster and to maintain business continuity at the optimum level within the shortest possible time.

Disaster – Definition

In simple terms, any event which results in direct denial or stoppage of essential business functions for a considerable period of time may be defined as a disaster.

Before defining and declaring any event as a disaster, it must be ensured that the event results in an immediate stoppage of business, resulting in a loss that can be quantified in terms of either money or time. For instance, disruption in services for short intervals, etc., that do not result in denial of service need not be considered as a disaster, and it can be considered as disruption. Thus, a prudent decision must be arrived at in this regard.

Business Impact Analysis

Before devising any disaster recovery plan, a complete business impact analysis (BIA) must be carried out by the functional units to identify the critical areas and systems affecting the business based broadly on the lines of the business continuity plan. The minimum time within which the services can be restored either directly or through backup mechanisms, the lead time between complaint and response with vendors etc. Wherever the loss can be quantified, the value of the impact may be calculated, and a comparison with past occurrences/standards and recovery time objective and recovery point objective may be arrived at.

Disaster Recovery Planning

Information is a crucial aspect of businesses all over the world. However, organisations are vulnerable to threats of different kinds that can destroy information and sever links of communication. The following are some such threats:

- (i) Natural disasters, such as fire and earthquake (External factors)
- (ii) Hardware and software failures
- (iii) Virus attack
- (iv) Acts of terrorism

To mitigate the risk of disruption of business operations and loss of valuable data, organisations must plan beforehand. In addition, an organisation must constantly monitor the environment for threats to the assets of the organisation. After these potential threats are identified, the organisation must analyse whether the safeguards currently in place are sufficient to mitigate the risk posed by the threats. If the safeguards are insufficient, the organisation must consider implementing additional safeguards.

Need for Disaster Recovery Planning

Disasters arising out of external factors such as earthquakes can significantly damage the equipment, systems, and data of an organisation and inflict huge financial losses. Therefore, organisations must plan for disasters to ensure

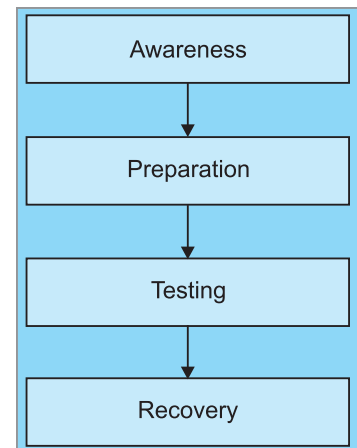


Figure 48.1 Phases of Disaster Recovery Planning

that they can successfully recover from them. The process of planning for disaster recovery is divided into four phases, as shown in Figure 48.1.

Awareness

To develop a disaster recovery plan, an awareness about critical activities, systems and processes of an organisation must be of the highest order. Financial services-oriented organisations like banks must sustain critical business activities and systems even at the cost of less important activities. The back-end processes in banks may be put in the second priority while the front-end operations must be identified as the critical business activities. Then the resources, viz., trained manpower, infrastructure like electricity, furniture, computer hardware, communication equipments and links etc., that are necessary for sustaining these activities must be identified and kept ready for commissioning at very short notice.

Financial and Legal Issues

All the information assets carry a monetary value, and any loss to these assets will, in turn, influence the profit and loss of an institution. Thus, it becomes mandatory for any unit holding Information assets to maintain;

- (a) A proper inventory of all the hardware, software and other equipments, data storage devices, etc., and to insure against any loss to these assets.
- (b) The warranty AMC terms and conditions must be properly documented, filed and secured in safe custody with due knowledge of the persons concerned.
- (c) Only licensed versions of the software should be used.
- (d) All the licensed versions of the software, like CD, floppy, etc., should be recorded and stored.

Preparation

To ensure full preparedness to carry out the critical activities and processes, the following are necessary:

- (i) Core and support teams consisting of skilled and trained personnel.
Human resources are the most valuable assets of information systems. They are equally vulnerable. Proper and adequate training at the field level functionaries in their respective fields apart from general computing techniques will go a long way in avoiding disaster situations and maintaining business continuity.
- (ii) Alternate recovery sites or ‘disaster recovery sites’ to take over in case of a need. Financial service organisations like banks must strive for business continuity at all times. Hence, they must have in place requisite outsourcing arrangements wherever it is applicable. An organisation, as the first line of defence, must be clear in its objectives and enter service level agreements (SLAs). In any such contravening situation, the impacts and the responsibilities of service providers must be foreseen, and SLAs must be arrived at to ensure complete security to the organisation interests.
- (iii) Back up of data on a daily basis and kept in a different location.
- (iv) Documentation for disaster recovery plan and sharing relevant information and contact details with the concerned officials.

Testing

Different types of exercises like Table Top Exercises, mock testing (simulating a disaster condition), planned Migration of live operations to Disaster Recovery Site etc., are carried out to check the efficacy of the. The disaster recovery plan must be carried out periodically on an ongoing basis.

Recovery

There are two critical objectives, RTO and RPO, in the context of disaster recovery. Ideally, for a Bank, the RPO should be zero.

Recovery Point Objective (RPO): RPO refers to the point in time in the past to which you will recover. The RPO is the point up to which the Bank data can be recovered. The gap between the disaster and the RPO is the data lost as a result of the disaster.

Recovery Time Objective (RTO): RTO refers to the point in time in the future at which you will be up and running again. RTO is the time required for the Bank to be up and running. The gap between the disaster and the RTO is the timeframe for which the Bank's services will be down and non-functioning.

Disaster or work disruption can generally happen due to the following factors, and the recovery steps to be taken are mentioned against each scenario.

A. Disasters arising out of external factors	
1. (a) Disaster due to break-down or fire	The possible causes of fire in and around the location must be analysed in detail, and all preventive measures are required to be taken for the protection of assets from fire.
(b) Disaster due to floods/tsunami	In a flood/tsunami-prone area, adequate care has to be taken for the location of the building and for proper structural design to avoid damage due to flooding.
(c) Disaster due to earthquake	An earthquake can cause considerable damage to assets, resulting in the loss of data. Adequate safety measures suggested by the local authorities must be adhered to. The disaster recovery Centre must be located in a different Seismic Zone.
2. Disaster due to power failure	Suitable alternate arrangements like UPS, Generators, Power Supply from a different provider to overcome the disaster due to power failure are to be made.
3. Disaster due to communication/connectivity failure	Redundancy measures must be made available at Branches as well as Data Centres and periodically checked to ensure that there is no interruption in connectivity.
B. Disasters arising out of data corruption/non-availability/unauthorised access of data	
1. Disaster due to lack of data access control mechanism	Proper logical access controls and user-level privileges must be established and documented.
2. Disaster due to lack of data consistency	Direct modification/updating of data must be prevented. In case of exigency, such modification/updating of data must be done with proper authorisations only and must be documented. Logs must be made available.
3. Failure of regular data backup and verification of backed up data periodically	Any disaster recovery plan may be effective only with a sound backup procedure adopted and meticulously followed by the institution. While an active Disaster Recovery Centre at a different location updates the data regularly, Near Site Data Centres are being commissioned to ensure Zero Data Loss.
4. Use of unauthorised programmes to access data	Authorised programmes only must be used by branches/offices, and they must be suitably protected from unauthorised access, alteration and misuse.

C. Disasters arising out of the failure of hardware and networking (LAN)	
1. Disaster due to breakdown of file server and damage to nodes and other hardware peripherals, connectivity equipment, communication channels.	To obviate work disruption due to total damage to the file server, nodes and other systems suitable backup measures are to be adopted.
2. Non-availability of hardware components compatible with the available systems due to obsolescence, mismatch of specifications, etc.	Hardware requirements in the changing environment, at all levels, must be periodically reassessed, and the required upgrades/add-on components/replacements must be taken up.
3. Loss of connectivity/ unauthorised connectivity in LAN environment	The LAN environment must be optimally utilised multi-LAN, and the inter-LAN environment must be monitored properly with adequate security controls.
D. Disasters arising out of technology changes in software including operating system, application software, executables and packages	
1. Change in the operating system, network operating system architecture due to upgrade/development	Periodical upgrades/patches released by operating system/network operating system vendors must be procured and loaded into all the systems as a first-line security measure, and such actions must be properly documented. Any such changes are reviewed for risks and often tested on the Disaster Recovery Site before implementation.
2. Lack of version control in application packages/ programmes	Any change effected in the application package or programme must be done with proper change management process End-users must be made aware of functional changes, if any.
3. Exposure of software to the external environment	All executable application programme files must be secured from exposure to the external environment. The use of external programmes to penetrate such executables must be totally curtailed. User rights must be properly defined on such executable files with access restrictions.
4. Lack of backup and library of programmes/data	Proper backup and library of source codes and executables with compatible operating system versions must be recorded and maintained and recorded.
5. Non-availability/inadequate documentation	Documentation for all application packages/programmes must be complete and available.
6. Corruption/collision/conflict of executable programme files resulting in system hanging, denial of service	Due care must be exercised when changing the programmes/over-writing the executables. It must be ensured that whenever new executables are loaded, they are compatible with the earlier version and all the executables are compatible with a single version.
E. Disasters arising out of human factors	
1. Lack of knowledgeable and trained professional	Adequate training has to be given to all personnel involved to ensure business continuity, and their knowledge must be refreshed periodically.
2. Sabotage created out of intentional or unintentional acts	Access to a computer room/site must be strictly controlled. Proper vigilance measures must be in place to prevent network intrusions, hacking, etc.

3. Disaster due to virus attacks	All computer systems in use must be loaded with authorised 'Anti Virus' software and must be kept updated and operational always.
4. Instances relating to lack of physical access control, piggybacking, social engineering, etc.	Prudence in handling human ware must be undertaken, and staff integrity must be encouraged.
5. Other risks such as burglary, fraud, etc.	All safety and security measures are required to safeguard the assets against burglary, and preventive measures should be in place.

The above-mentioned recovery measures should come into action after a disaster has been declared. During this phase, activities such as damage assessment and salvaging take place. Depending upon the impact of the disaster, critical activities are shifted to an alternate location or disaster recovery site, which is kept ready always for resuming business activities at short notice.

Thus, a well-documented disaster recovery plan, as outlined above, may guide an organisation to overcome Disaster with confidence.

48.11 LEGAL FRAMEWORK FOR ELECTRONIC TRANSACTIONS INFORMATION TECHNOLOGY ACT

At present, many legal provisions recognise paper-based records and documents that should bear signatures. Since electronic commerce eliminates the need for paper-based transactions; therefore, to facilitate e-commerce, there was a need for enactment/amendment of necessary Laws. With the increased use of electronic means, it is imperative that evidence of these activities should be available to demonstrate the legal rights and obligations that flow from them. Taking cognition of these, the United Nations Commission on International Trade Law (UNCITRAL) adopted, in 1996, the 'Model Law on Electronic Commerce'. India is a signatory to the Model Law. In its endeavour to give thrust to the Government's IT Policy, the Indian Parliament enacted a comprehensive Information Technology Bill, which received the President's assent on 9 June 2000. This IT Act, 2000 provides legal recognition for transactions carried out by means of electronic communication.

The act inter-alia deals with the following issues:

1. The Act provides a legal framework by validating and authorising the use of 'Electronic Data Interchange' (EDI), 'Electronic Records', and 'Electronic Signatures'. It further provides that once a message leaves the information system of the originator of the message, it is attributed to him. Thus, non-repudiation of a secured electronic message has been ensured.
2. The Act identifies a new set of information technology offences, which are delineated in the Chapter XI of the Act. These offences have been listed as follows:
 - Knowingly or intentionally concealing, tampering, destroying or altering or causing another to conceal, destroy or alter any computer source code used for a computer/network when the computer source code is required to be kept or maintained by law for the time being in force.
 - Hacking, i.e. destroying, deleting or altering any information residing in a computer resource or diminishing its value or utility by any means, with the intent to cause wrongful loss or damage to the public or any person.

- Obscenity, i.e. publishing or transmitting or causing to be published in electronic form, any material which is lascivious or if its effect is such, as to tend to deprave and corrupt persons who are likely to read, see or hear the matter contained or embodied in it.
 - The Government of India, by notification, can declare any computer system or computer network as a protected system. Only authorised persons can have access to the protected system. Any access or attempt to secure access to a protected system in contravention to the provisions of IT Act 2000 shall be construed as an offence.
 - Any misrepresentation or suppression of facts for the purpose of obtaining any license or digital signature certificate.
 - Breach of confidentiality and privacy, i.e. disclosure of any electronic record, book, register, correspondence, information, document or other material accessed/obtained without the consent of the person concerned.
 - The Act describes a special procedure for investigation and further proceedings in respect of information technology offences and provides that a police officer not below the rank of Deputy Superintendent of Police can investigate any offence under the Act.
3. Consequent upon the recognition given to the electronic records, electronic documents and electronic signatures, incidental amendments have also been made in the following Acts:
- (i) The Indian Penal Code, 1860
 - (ii) The Indian Evidence Act, 1872
 - (iii) The Banker's Books Evidence Act, 1891
 - (iv) The Reserve Bank of India Act, 1934
 - The Act purports to include the word 'electronic record' along with the word 'record'/'document' generally appearing in various sections of these acts. The amendments also purport to include electronic records for the purpose of evidence and impart credence to digital signatures and digital certificates.
 - The amendment to the Indian Penal Code, 1860, also states that for the purpose of Section 466 (dealing with forgery of records), a 'register' shall include any list, data or record of any entries maintained in the electronic form as defined in the IT Act 2000.
 - Similarly, the Bankers Books Evidence Act, 1891, redefines banker's books as ledgers, daybooks, cash books and account books, and all other books used in the ordinary business of the bank, whether kept in written form or as printouts of data stored in a floppy, disk, tape or in any other form of electromagnetic data- storage device.
 - The RBI Act, 1934 has been amended by the IT Act, 2000, empowering the central board to make regulations for fund transfers through electronic means between the banks or between the banks and other financial institutions.

Further, there was an amendment in the IT Act 2000 in the year 2008. It will be seen that this enactment of the Information Technology Act, 2000 shall usher in a new era for e-governance and e-commerce as it provides rules for validation and recognition of contracts formed through electronic means and also supports the admissibility of digital evidence in the courts of law. The act will also facilitate the electronic filing of documents with government agencies.

48.11.1 Digital Signature

The digital signature is a new concept brought under the ambit of legislation in India with the enactment of the Information Technology Act, 2000, which comprehensively addresses the legal issues concerning electronic messaging and the electronic payment system. The role of digital signature is going to be important for e-commerce because e-commerce heavily relies on the electronic transmission of messages carrying digital signatures. It is a common belief that a digital signature is just a digital image of a signature (hand-drawn). In fact, a digital signature is not the replica of the manual signature captured through a scanner or otherwise. A digital signature is a key and must be applied in a manner to satisfy the following critical features of any digitally signed electronic message.

Authenticity: The validity of the source of an electronic message should be ascertained through the digital signature by verifying the source or the originator of the message.

Integrity: The integrity of a message transmitted electronically is of paramount importance. The message has to be received intact and should not have been altered in any way during transmission.

Non-repudiation

From the bankers' point of view, non-repudiation is very important to act upon a fund transfer message. There should not be an opportunity for a sender of the message to deny that he has sent the message at all and in the form in which it has been received.

The digital signature is unique to each message, and any change to the message changes the digital signature.

The most common manner of signing electronically is with the help of public-key cryptography as contemplated by the Information Technology Act, 2000. Cryptography is usually based on the use of algorithmic functions to generate two different but mathematically related keys (i.e. large numbers produced, using a series of mathematical formulae applied to prime numbers).

There are two parts of the keys:

- (i) Public key
- (ii) Private Key.

Both keys are issued to the user by the designated authorities of the Government. Before a sender can digitally sign an electronic message, the sender must first get a public-private key pair. The 'Private Key' is kept confidential and is used only by the signer to create the digital signature. The 'public key' is used by a relying party to verify the digital signature.

Private Key is used for creating a digital signature or transforming data into a seemingly unintelligible form, and public for verifying a digital signature or converting the message back to the original form. A digital signature does not necessarily imply to make any information confidential; the digital signature is affixed to the message.

To sign an electronic message:

- The sender first delimits precisely the borders of what is to be signed. In other words, hash value or message digest is created with the help of hashing algorithm.
- A hash function in the signer's software should compute a hash result, which is for all practical purposes is, unique to the message.
- The signer's software should then transform the hash result into a digital signature using signer's private key.
- The resulting digital signature is, thus, unique to both the message and the private key used to create it.

48.12 G. GOPALAKRISHANA COMMITTEE REPORT

Keeping in view the changing threat milieu and the latest international standards, it was felt that there was a need to enhance RBI guidelines relating to the governance of IT information security measures to tackle cyber fraud apart from enhancing independent assurance about the effectiveness of IT controls. To consider these and related issues, RBI announced the creation of a Working Group on Information Security, Electronic Banking, Technology Risk Management and Tackling Cyber Fraud in April 2010. The Working Group was set up under the Chairmanship of Executive Director Shri. G. Gopalakrishna. The Working Group submitted the draft report in January 2011. On 29th April 2011, the final report was released as “Working group on information security, electronic banking, technology risk management and cyber frauds” by RBI. Banks are required to adhere to the Committee’s recommendations.

The guideline is divided into nine chapters. Chapter-wise, key recommendations are as under:

Chapter 1: IT Governance

Introduction

IT Governance is an integral part of corporate governance involves leadership support, organizational structure and processes to ensure that a bank’s IT sustains and extends business strategies and objectives. Effective IT Governance is the responsibility of the Board of Directors and Executive Management.

Key Recommendations:

- Approving IT strategy and policy documents, Ensuring that the IT organizational structure complements the business model and its direction etc.
- Promoting an enterprise risk management competence throughout the bank, including facilitating the development of IT-related enterprise risk management expertise
- Among executives, the responsibility of the Senior Executive in charge of IT operations/Chief Information Officer (CIO) is to ensure implementation from policy to operational level involving IT strategy, value delivery, risk management, IT resource and performance management.
- CIO’s role is to assist the Executive Management in implementing an IT strategy that has been approved by the Board. An IT Steering Committee needs to be created with representatives from the IT, HR, legal and business sectors.
- The bank should have IT-related strategies and policies duly approved by the Board
- Detailed operational procedures may be formulated in relevant areas, including for data centre operations.
- There needs to be an annual review of IT strategy and policies taking into account the changes to the organization’s business plans and IT environment.
- Banks need to establish and maintain an enterprise architecture framework or enterprise information model to enable applications development and decision-supporting activities consistent with IT strategy.
- Banks need to establish a classification scheme that applies throughout the enterprise, based on the criticality and sensitivity (e.g. public, confidential, or top secret) of enterprise data.

Chapter 2: Information Security

Introduction

This section addresses Confidentiality, Integrity and availability of the information. It deals with information in various channels like spoken, written, printed, electronic, or any other medium and information handling in terms of creation, viewing, transportation, storage or destruction. In order to achieve effective information security governance, bank management must establish and maintain a framework to guide the development and maintenance of a comprehensive information security programme.

Key Recommendations

- **Alignment of information security with business strategy** to support organizational objectives
- Management and mitigation of risks and reduction of potential impacts on information resources to an acceptable level
- Management of the performance of information security by measuring, monitoring and reporting information security governance metrics to ensure that organizational objectives are achieved
- Optimization of information security investments in support of organizational objectives
- The Board of Directors is ultimately responsible for information security. Senior Management is responsible for understanding risks to the bank to ensure that they are adequately addressed from a governance perspective.
- Banks should form a separate information security function/group to focus exclusively on information security management.
- A sufficiently senior-level official of the rank of GM/DGM/AGM needs to be designated as the Chief Information Security Officer (CISO) responsible for articulating and enforcing the policies that a bank uses to protect its information assets. The CISO needs to report directly to the Head of the Risk Management function and should not have a direct reporting relationship with the CIO.
- A Board-approved Information security policy needs to be in place and reviewed at least annually.
- The risk assessment must, for each asset within its scope, identify the threat/vulnerability combinations that have a likelihood of affecting the confidentiality, availability or integrity of that asset - from a business, compliance and/or contractual perspective.
- Maintaining a detailed inventory of information assets and classification of information/data are among the key components of information security management.
- Management can communicate general and specific security roles and responsibilities for all employees based on their job descriptions. Management should expect all employees, officers, and contractors to comply with information security and/or acceptable-use policies and protect the institution's assets, including information.
- Banks need to grant authorization for access to information assets only where a valid business need exists and only for a definite time period for which the access is required
- Information security needs to be considered at all stages of an information asset's (like hardware, software) life-cycle, which typically includes: planning and design; acquisition and implementation; maintenance and support; and disposal so as to minimize exposure of vulnerabilities.
- Banks should have a process in place to verify job application information on all new employees. The sensitivity of a particular job or access level may warrant additional background and credit checks.
- Banks should implement appropriate physical and environmental controls taking into consideration threats and based on the entity's unique geographical location, building configuration, neighbouring entities, etc.

- There is a vital need for initial, and ongoing, training/awareness programs on information security for employees and vendor personnel.
- A robust incident management process needs to be in place to maintain the capability to manage incidents within an enterprise, to enable containment of exposures and to achieve recovery within a specified time period.
- There should be documented standards/procedures for administering an application system, which is approved by the application owner and kept up-to-date. Access to the application should be based on the principle of least privilege and “need to know” commensurate with the job responsibilities
- There needs to be a documented Migration Policy indicating the requirement of road-map/migration plan/methodology for data migration (which includes verification of completeness, consistency and integrity of the migration activity and pre and post-migration activities along with responsibilities and timelines for completion of same).
- Banks need to carry out due diligence with regard to new technologies/systems since they can potentially introduce additional risk exposures
- Banks should only select encryption algorithms that are well established international standards and which have been subjected to rigorous scrutiny by an international community of cryptographers or approved by authoritative professional bodies, reputable security vendors or government agencies.
- Data security measures need to be in place. Banks need to define and implement procedures to ensure the integrity and consistency of all critical data stored in electronic forms, such as databases, data warehouses and data archives.
- A robust process needs to be in place for “effective malware control”. The controls should be preventive, detective and corrective in nature.
- A Patch Management process needs to be in place in order to reduce the likelihood of a serious business impact.
- The change management process should be documented and include approving and testing changes to ensure that they do not compromise security controls, performing changes and signing them off to ensure they are made correctly and securely, reviewing completed changes to ensure that no unauthorized changes have been made.
- Banks need to ensure that audit trails exist for IT assets satisfying the banks business requirements, including regulatory and legal requirements, facilitating audit, serving as forensic evidence when required and assisting in dispute resolution.
- As part of the defence strategy, banks should install and configure network security devices for reasonable preventive/detective capability.
- Commercial banks should implement ISO 27001 based Information Security Management System (ISMS) best practices for their critical functions.
- Information security assurance needs to be obtained through periodic penetration testing exercises, audits and vulnerability assessments.
- Provision of various electronic banking channels like ATM/debit cards/internet banking/phone banking should be issued only at the option of the customers based on specific written or authenticated electronic requisition along with a positive acknowledgement of the terms and conditions from the customer.

Chapter 3: IT Operations

Introduction

For banks in which information technology (IT) systems are used to manage information, IT Operations should support processing and storage of information, such that the required information is available in a timely, reliable, secure and resilient manner. Functions covered as a part of IT Operations should be IT Service Management, Infrastructure Management, Application Lifecycle Management, and IT Operations Risk Framework

Key Recommendations

- As part of risk identification and assessment, banks should identify events or activities that could disrupt operations or negatively affect reputation or earnings and assess compliance to regulatory requirements.
- A well-defined IT strategy framework will assist IT operations in supporting IT services as required by the business and defined in SLAs.
- The components which should be considered when designing a new IT service or making a change to the existing IT service include business processes, service level agreements, IT infrastructure, IT environment, etc.
- The transition phase provides frameworks and processes that may be utilized by banks to:
 - Evaluate service capabilities and risk profile of new or changed service before it is released into production environment
 - Evaluate and maintain the integrity of all identified service assets and configuration items required to support the service
- The various aspects that banks need to consider include event management, incident management, problem management and access management.

Chapter 4: IT Services Outsourcing

Introduction

Outsourcing may be defined as a bank's use of a third party to perform activities on a continuing basis. The benefits of outsourcing include efficiencies in operations, increased ability to acquire and support current technology and tide over the risk of obsolescence, increased time availability for management to focus on key management functions, shorter lead time in delivering services to customers, a better quality of services, and stronger controls among others.

RBI guidelines on outsourcing indicate activities that cannot be outsourced and need to be carried out by the bank. These include Internal Audit, Compliance function, and decision making functions like KYC compliance, loan sanctioning, and managing investment portfolio.

Key Recommendations

- The Board and senior management are ultimately responsible for outsourced operations and for managing risks inherent in such outsourcing relationships. Responsibilities for due diligence, oversight and management of outsourcing and accountability for all outsourcing decisions continue to rest with the bank, Board and senior management.
- Banks need to assess the degree of 'materiality' inherent in the outsourced functions. Outsourcing of non-financial processes, such as technical operations, is 'material' and, if disrupted, has the potential to significantly impact the business operations, reputation and stability of a Bank.

- Risk evaluation should be performed prior to entering into an outsourcing agreement and reviewed periodically in light of known and expected changes as part of the strategic planning or review processes.
- Management should identify functions to be outsourced along with necessary controls and solicit responses from prospective bidders via an RFP process. While negotiating/renewing an outsourcing arrangement, appropriate diligence should be performed to assess the capability of the technology service provider to comply with obligations in the outsourcing agreement. Due diligence should involve an evaluation of all information about the service provider, including qualitative, quantitative, operational and reputational factors.
- The terms and conditions governing the contract between the bank and the service provider should be carefully defined in written agreements and vetted by the bank's legal counsel on their legal effect and enforceability.
- Banks should establish a structure for management and control of outsourcing based on the nature, scope, complexity and inherent risk of the outsourced activity.
- Banks should also periodically commission independent audits and expert assessments on the security and control environment of the service provider. The evaluation can be done based on performance matrices.
- Banks should be proactive to identify and specify the minimum security baselines to be adhered to by the service providers to ensure confidentiality and security of data.
- Outsourcing outside India should be agreed, in a manner that does not obstruct or hinder the ability of the bank or regulatory authorities to perform periodic audits/inspections and assessments, supervise or reconstruct activities of the bank based on books, records and necessary documentation, in a timely manner.
- Due diligence on an intra-group service provider may take the form of evaluating qualitative aspects on the ability of the service provider to address risks specific to the institution, particularly those relating to business continuity management, monitoring and control, and audit and inspection, including confirmation on the right of access to be provided to RBI to retain effective supervision over the institution, and compliance with local regulatory standards.
- Generally, a time limit of 30 days may be given to the customers for forwarding their complaints/grievances. The grievance redressal procedure of the bank and the time frame fixed for responding to the complaints should be placed on the bank's website.

Chapter 5: IS Audit

The chapter includes audit charter/policy. It also includes various stages like planning, execution, Reporting, Follow-up, and quality review of an IS audit.

Key Recommendations

- To meet the responsibility to provide an independent audit function with sufficient resources to ensure adequate IT coverage, the board of directors or its audit committee should provide an internal audit function which is capable of evaluating IT controls adequately.
- The Audit Committee should devote appropriate and sufficient time to IS audit findings identified during IS Audits, and members of the Audit Committee would need to review critical issues highlighted and provide appropriate guidance to the bank's management.

- Banks should have a separate IS Audit function within the Internal Audit department led by an IS Audit Head, assuming responsibility and accountability of the IS audit function, reporting to the Chief Audit Executive (CAE) or Head of Internal Audit.
- Because the IS Audit is an integral part of the Internal Auditors, auditors will also be required to be independent, competent and exercise due professional care.
- An Audit Charter/Audit Policy is a document that guides and directs the activities of the Internal Audit function. IS Audit, being an integral part of the Internal Audit function, should also be governed by the same Audit Charter/Audit Policy. The document should be approved by the Board of Directors. IS Audit policy/charter should be subjected to an annual review to ensure its continued relevance and effectiveness.
- Banks need to carry out IS Audit planning using the Risk-Based Audit Approach. The approach involves aspects like IT risk assessment methodology, defining the IS Audit Universe, scoping and planning the IS audit, execution and follow up activities.

Chapter 6: Cyber Fraud

Introduction

Fraud can be defined as “A deliberate act of omission or commission by any person, carried out in the course of a banking transaction or in the books of accounts maintained manually or under computer system in banks, resulting into wrongful gain to any person for a temporary period or otherwise, with or without any monetary loss to the bank.”

Key Recommendations

- Indian banks follow the RBI guideline of reporting all frauds above one crore to their respective Audit Committee of the Board.
- Banks are required to constitute a special committee for monitoring and follow up of cases of frauds involving amounts of 1 crore and above exclusively, while the Audit Committee of the Board (ACB) may continue to monitor all the cases of fraud in general.
- The activities of fraud prevention, monitoring, investigation, reporting and awareness creation should be owned and carried out by an independent group in the bank.
- The council should comprise of the head of the business, head of the fraud risk management department, the head of operations supporting that particular business function and the head of information technology supporting that business function.
- Various fraud prevention practices need to be followed by banks. These include fraud vulnerability assessments(for business functions and also delivery channels), review of new products and processes, putting in place fraud loss limits, root cause analysis for actual fraud cases above ₹ ten lakhs, reviewing cases where a unique modus operandi is involved, ensuring adequate data/information security measures, following KYC and Know your employee/vendor procedures, ensuring adequate physical security, sharing of best practices of fraud prevention and creation of fraud awareness among staff and customers.
- Quick fraud detection capability would enable a bank to reduce losses and also serve as a deterrent to fraudsters. Various important requirements recommended in this regard include setting up a transaction monitoring group within the fraud risk management group, alert generation and redressal mechanisms, dedicated e-mail id and phone number for reporting suspected frauds, mystery shopping and reviews.

- The examination of suspected fraud or an exceptional transaction, or a customer dispute/alert in a bank shall be undertaken by the Fraud risk management group & special committee.
- As per the guidelines on reporting of frauds as indicated in the RBI circular, dated July 1, 2010, fraud reports should be submitted in all cases of fraud of 1 lakh and above perpetrated through misrepresentation, breach of trust, manipulation of books of account, fraudulent encashment of instruments like cheques, drafts and bills of exchange, unauthorized handling of securities charged to the bank, misfeasance, embezzlement, misappropriation of funds, conversion of property, cheating, shortages, irregularities, etc.
- Banks should thus aim at continuously educating their customers and solicit their participation in various preventive/detective measures.
- Employee awareness is crucial to fraud prevention. Training on fraud prevention practices should be provided by the fraud risk management group at various forums.

Chapter 7: Business Continuity Planning

Introduction

BCP forms a part of an organization's overall Business Continuity Management (BCM) plan, which is the "preparedness of an organization", which includes policies, standards and procedures to ensure continuity, resumption and recovery of critical business processes at an agreed level and limit the impact of the disaster on people, processes and infrastructure (includes IT); or to minimize the operational, financial, legal, reputational and other material consequences arising from such a disaster.

Key Recommendations

- A senior official needs to be designated as the Head of BCP activity or function Present in each department to implement BCP department wise.
- There need to be adequate teams for various aspects of BCP at the central office, as well as individual controlling offices or at a branch level, as required.
- Banks should consider various BCP methodologies and standards, like BS 25999, as inputs for their BCP framework.
- Banks must regularly test BCP to ensure that they are up to date and effective. Testing of BCP should include all aspects and constituents of a bank, i.e. people, processes and resources (including technology).
- Banks should consider having unplanned BCP drills, and Banks should involve their Internal Auditors (including IS Auditors) to audit the effectiveness of BCP etc. Various other techniques shall be used for testing the effectiveness of BCP.
- BCPs should be maintained by annual reviews and updates to ensure their continued effectiveness. Changes should follow the bank's formal change management process in place for its policy or procedure documents. A copy of the BCP, approved by the Board, should be forwarded for perusal to the RBI on an annual basis.
- Banks should also consider the need to put in place necessary backup sites for their critical payment systems, which interact with the systems at the Data centres of the Reserve Bank of India.
- Banks should consider paying special attention to the availability of basic amenities such as electricity, water and first-aid box in all offices.
- Banks must consider training more than one individual staff for specific critical jobs. They must consider cross-training employees for critical functions and document operating procedures.

- Applications and services in the banking system are highly mission-critical in nature and therefore requires high availability and fault tolerance to be considered while designing and implementing the solution.

Chapter 8: Customer Education

Introduction

Banks regularly run campaigns to raise consumer awareness on a variety of fraud-related issues. However, to generate a common understanding of the evolving fraud scenarios, a combined effort could proliferate the information to a larger customer base. It is also important to educate the other stakeholders, including bank employees, who can then act as resource persons for customer queries, law enforcement personnel for more understanding response to customer complaints and media for dissemination of accurate and timely information.

Key Recommendations

- The Board of Directors/Senior Management needs to be committed to the process of consumer education initiatives by providing adequate resources, evaluating the effectiveness of the process and fine-tuning and improving customer education measures on an ongoing basis.
- To get desired support for the programme, it is important to identify and involve key stakeholders in decision-making, planning, implementation and evaluation.
- Banks need to follow a systematic process to develop an awareness programme through the stages of planning and design, execution and management, and evaluation and course correction.
- Awareness programs should be customized for the specific audience like bank customers, employees, Law enforcement personnel, fraud risk professionals, media partners, etc.
- Since the target groups obtain information from a variety of sources, more than one communication channel could be used to engage them successfully.
- A research group should be formed to continually update the communications team with the latest trends and evolving modus operandi.
- Evaluation of the effects of various campaigns for specific target groups can be measured through qualitative (e.g. focus groups, interviews) and/or quantitative (e.g. questionnaires, omnibus surveys) research.
- Each bank should have a documented policy, training mechanisms, and research units at the industry level. Material can be pooled from these units to be used on a larger platform towards a common goal.

Chapter 9: Legal Issues

Introduction

There are various laws and requirements with which the banks should comply with. It is critical that the impact of cyber laws like IT ACT 2000 (as amended in 2008) is taken into consideration by banks to obviate any risk arising therefrom.

Key Recommendations

- The Risk Management Committee at the Board-level needs to put in place the processes to ensure that legal risks arising from cyber laws are identified and addressed. It also needs to ensure that the concerned functions are adequately staffed and that the human resources are trained to carry out the relevant tasks in this regard

- This group needs to incorporate legal risks as part of the operational risk framework and take steps to mitigate the risks involved in consultation with its legal functions within the bank.
- The legal function within the bank needs to advise the business groups on the legal issues arising out of the use of Information Technology with respect to the legal risk identified and referred to it by the Operational Risk Group.
- Legal risks need to be incorporated as part of operational risks, and the position needs to be periodically communicated to the top management and Board/Risk Management Committee of the Board.
- As the law on data protection and privacy in the Indian context is in an evolving stage, banks have to keep in view the specific provisions of the IT Act, 2000 (as amended in 2008), various judicial and quasi-judicial pronouncements and related developments in the Cyber laws in India as part of legal risk mitigation measures.
- Banks are also required to keep abreast of the latest developments in the IT Act, 2000 and the rules, regulations, notifications and orders issued there pertaining to bank transactions and emerging legal standards on the digital signature, electronic signature, data protection, cheque truncation, electronic fund transfer etc. as part of the overall operational risk management process.
- Even though Gopalkrishnan committee laid down comprehensive guidelines on information security, electronic banking, technology risk management and cyber frauds, they were followed by many other directions and guidelines later. Two important such guidelines are:
 1. Cyber Security Framework in Banks vide RBI notification. RBI/2015-16/418DBS.CO/CSITE/BC.11/33.01.001/2015-16 Dt. 02.02.2016.
 2. Master Direction on Digital Payment Security Controls vide RBI notification number RBI/2020-21/74 DoS.CO.CSITE.SEC.No.1852/31.01.015/2020-21 Dt. 18.02.2021

48.13 CYBER SECURITY FRAMEWORK IN BANKS

In order to address the need for the entire bank to contribute to a cyber-safe environment, RBI has advised that banks should put in place a cyber-security policy elucidating the strategy containing an appropriate approach to combat cyber threats given the level of complexity of business and acceptable levels of risk, duly approved by their Board. The strategy should deal with the following broad aspects:

1. Cyber Security Policy should be distinct from the broader IT policy/IS Security Policy of a bank so that it can highlight the risks from cyber threats and the measures to address/mitigate these risks.
2. Arrangement for continuous surveillance mandates that a SOC (Security Operations Centre) be set up. It is also essential that this Centre ensures continuous surveillance and keeps itself regularly updated on the latest nature of emerging cyber threats.
3. IT architecture should be conducive to security; The IT architecture should be designed so that it takes care of facilitating the security measures to be in place at all times.
4. Comprehensively address network and database security; unauthorized access to networks and databases must not be allowed, and wherever permitted, these are through well-defined processes which are invariably followed.
5. Ensuring Protection of customer information; the confidentiality of such custodial information should not be compromised in any situation, and to this end, suitable systems and processes across the data/information lifecycle need to be put in place by banks.
6. Cyber Crisis Management Plan; A Cyber Crisis Management Plan (CCMP) should be immediately evolved and should be a part of the overall Board approved strategy.

7. Cyber security preparedness indicators; The adequacy of and adherence to the cyber resilience framework should be assessed and measured by developing indicators to assess the level of risk/preparedness.
8. Sharing of information on cyber-security incidents with RBI; banks need to report all unusual cyber-security incidents (whether they were successful or attempted that did not fructify) to the RBI.
9. Supervisory Reporting framework: An immediate assessment of gaps in preparedness to be reported to RBI.
10. Organisational arrangements: Cyber-security awareness among stakeholders/Top Management/Board.

48.14 INTEGRATED OMBUDSMAN SCHEME, 2021 BY RBI

Reserve Bank of India's Integrated Ombudsman Scheme, 2021, is a Scheme for resolving customer grievances concerning services provided by entities regulated by the Reserve Bank of India expeditiously and cost-effectively.

The scheme integrates and supersedes the existing three Ombudsman schemes of RBI, namely,

- (i) the Banking Ombudsman Scheme, 2006
- (ii) the Ombudsman Scheme for Non-Banking Financial Companies, 2018
- (iii) the Ombudsman Scheme for Digital Transactions, 2019.

The scheme applies to the services provided by the following regulated entities are covered under the scheme:

- i. All Commercial Banks, Regional Rural Banks, Scheduled and Non-Scheduled Primary (Urban) Co-operative Banks, with deposits of Rupees 50 crore or more as of the date of the previous fiscal year's audited balance sheet.
- ii. All Non-Banking Financial Companies other than Housing Finance Companies, that (a) are authorised to accept deposits; or (b) have customer interface, with assets of Rupees 100 crore or more as of the date of the previous fiscal year's audited balance sheet; and
- iii. all System Participants as defined by the scheme.

Some definitions:

The “**Appellate Authority**” shall be the Executive Director-in-Charge of the Department of the Reserve Bank administering the scheme.

An “**Authorised Representative**” is a person, other than an advocate, duly appointed and authorised in writing to represent the complainant in the proceedings before the Ombudsman.

The “**Complaint**” can be a representation in writing or through other modes alleging deficiency in service on the part of a Regulated Entity and seeking relief under the scheme.

“**Deficiency in service**” is a shortcoming or an inadequacy in any financial service, which the Regulated Entity is required to provide statutorily or otherwise, which may or may not result in financial loss or damage to the customer;

Appointment of Officials:

The Reserve Bank may nominate one or more of its officers as Ombudsman and Deputy Ombudsman to carry out the scheme's powers.

The Ombudsman or Deputy Ombudsman, as the case may be, shall be appointed for a period of no more than three years at a time.

The Reserve Bank shall build the Centralised Receipt and Processing Centre in any location appropriate to receive and handle complaints filed under the system.

Complaints made online under the plan must be registered on the portal (<https://cms.rbi.org.in>). Complaints in electronic (E-mail) and physical form, including postal and hand-delivered complaints, must be addressed and sent to the Reserve Bank's Centralised Receipt and Processing Centre for review and initial processing.

Powers for awarding compensation by the Ombudsman;

The Ombudsman/Deputy Ombudsman shall consider complaints from Regulated Entities' consumers regarding service deficiencies.

There is **no limit** on the amount of a dispute that can be filed before the Ombudsman and for which the Ombudsman can issue an Award.

However, for any subsequent loss experienced by the complainant, the Ombudsman has the authority to award compensation of up to Rupees 20 lakh, in addition to compensation of up to Rupees One lakh for the complainant's lost time, expenditures incurred, and harassment/mental anguish.

Procedure for Filing a Complaint:

A complaint in paper form must be signed by the complainant or an authorised agent. The complaint must be sent in electronic or physical form, in the manner and with the information prescribed by the Reserve Bank. The complaint may also be sent electronically or physically to the Reserve Bank's Centralised Receipt and Processing Centre.

Resolution of Complaints:

- ✓ The Ombudsman or the Deputy Ombudsman shall endeavour to settle a complaint by agreement between the complainant and the Regulated Entity through facilitation, conciliation, or mediation.
- ✓ The procedures before the Ombudsman must be brief and not subject to any rules of proof. The Ombudsman may interview and record either party to the complaint.
- ✓ Within 15 days of receiving the complaint, the Regulated Entity shall file its written version in response to the averments in the complaint, with copies of the documents relied on, before the Ombudsman for resolution.
- ✓ The Ombudsman may, at the Regulated Entity's written request and to the satisfaction of the Ombudsman, give such additional time as may be deemed necessary to file its written version and documentation.
- ✓ Suppose the Regulated Entity fails to file its written version and documents within the time frame. In that case, The Ombudsman may proceed ex parte based on the material on file and pass an appropriate Order or Award an Award. There shall be no right of appeal to the Regulated Entity concerning the Award made due to non-response or non-furnishing of information sought within the time frame specified.

Award by the Ombudsman:

The Ombudsman shall not have the authority to issue an award directing payment of compensation in an amount greater than the complainant's consequential loss or Rupees 20 lakh, whichever is less. The Ombudsman may award compensation in addition to the amount at issue in the dispute.

The complainant and the Regulated Entity will each receive a copy of the Award. Unless it has filed an appeal, the Regulated Entity must comply with the Award and notify the Ombudsman of its compliance within 30 days of receiving the letter of acceptance from the complainant. The Ombudsman may also award the complainant compensation of up to one lakh rupees, considering the complainant's lost time, expenses incurred, harassment, and mental anguish.

Appeal before the Appellate Authority

The Regulated Entity, aggrieved by an Award or closure of a complaint, may prefer an appeal before the Appellate Authority within 30 days of the date of receipt of communication of Award or closure of the complaint.

- (a) In the instance of an appeal by a Regulated Entity, the time of 30 days for filing an appeal begins on the date the Regulated Entity receives the complainant's letter of acceptance of the Award.
- (b) Only the Chairman or the Managing Director/Chief Executive Officer, or in their absence, the Executive Director/Official of equal rank, may file an appeal on behalf of a Regulated Entity.
- (c) However, the Appellate Authority may grant a longer period of not more than 30 days if he is convinced that the Regulated Entity had reasonable cause for failing to file the appeal within the time limit.

Suppose the complainant is dissatisfied with an Award made or the rejection of a complaint made, in that case, he or she may file an appeal with the Appellate Authority within 30 days of receiving the Award or the rejection of the complaint.

However, the Appellate Authority may grant an additional term of not more than 30 days if he is persuaded that the complainant had reasonable grounds for failing to file the appeal within the time limit.

The settlement of pending complaints, appeals, and execution of previously issued Awards shall be governed by the provisions of the corresponding Ombudsman Schemes and Reserve Bank instructions issued thereunder as of the date of commencement of the Integrated Ombudsman Scheme, 2021. The scheme abolished the jurisdiction of each ombudsman office. It is no longer required for a complainant to specify which scheme he or she should register a complaint with the Ombudsman under.

48.15 LET US SUM UP

Computer installations in banks represent assets valuable to banking operations. Data, hardware, software and manpower are the vital components. The technological breakthroughs and their application to banking operations have greatly affected the security considerations. To counter the threats to these assets, computer security and control procedures must, therefore, form an integral part of the system of internal controls within a bank.

Most of the physical, operational and internal controls are designed to prevent events that may threaten banking operations. Due to the complex nature of the banking operations, even properly designed security and control systems may fail and leave a bank exposed to losses if the laid down procedures are not followed in practice. Therefore, containment controls are designed to detect and limit the effect on the business. Contingency plans are provided to minimise the losses in case the preventive controls fail in preventing the threats.

As increasing dependence on information systems is taking place, the need for such systems to be reliable and secure also becomes essential. As growing numbers of ordinary citizens use computer and mobile networks for banking, shopping, etc., network security is potentially a massive problem. Over the last few years, the need for computer and information system security has become increasingly evident.

- (a) Web sites are being defaced with greater frequency,
- (b) more and more denial-of-service attacks are being reported slowing down or bringing down websites.
- (c) Very sophisticated hacking tools, including Malware, are openly available from the Internet and Dark web to the public for a small price.
- (d) There is increasing damage being caused by malware to critical information system resources.

It would be helpful if the threat intelligence is democratised and organisations share information about threats and vulnerabilities and implement procedures for rapid and effective cooperation to prevent, detect and respond to security incidents. As new threats and vulnerabilities are continuously discovered, there is a strong need for cooperation among organisations and, if necessary, to consider cross-border information sharing.

A regular programme of audits may help identify lapses before the banking operations are seriously put at risk. It requires a proper audit strategy by the banks. Banks have been focusing on implementing the latest technology solutions with speed and agility. However, they should not forget to assess the risk associated with such adoption. Banks must identify and responsibly manage the risks associated with the new technologies adopted as management of tech risk has a positive impact on business revenue. Technology risk management should involve strategic business planning, embedding risks and adding value upfront, rather than treating it as a cost.

Because of the increasing complaints regarding digital transactions, in the interest of conduct of business relating to payment systems, RBI felt it necessary to provide a mechanism of Ombudsman for redressal of complaints against deficiency in services related to digital transactions

48.16 KEYWORDS

Data, Access Control Systems, Algorithm, Online, Password, Real-time, Disaster, Malware, DDOS, Phishing, Vishing, Smishing, Ombudsman for Digital Transactions.

48.17 CHECK YOUR PROGRESS

1. Which of the following is one of the risks of online banking by banks?
 - (a) Low profitability
 - (b) Increased Manpower
 - (c) Exposure to cyber attacks
 - (d) All of the above
 - (e) None of the above
2. The risks broadly lead to:
 - (a) Incorrect decision making leads to setbacks to the business
 - (b) Interruption in activities due to loss of data, hardware, software, peopleware
 - (c) Violation of privacy
 - (d) Direct financial loss due to computer frauds
 - (e) All of the above
3. The phases of disaster recovery planning do not include:
 - (a) Awareness
 - (b) Preparation
 - (c) Testing
 - (d) Recovery
 - (e) statutory audit

4. The consequences of errors in computerised systems are more serious than in manual systems because:
 - (a) Computer systems process huge amounts of data.
 - (b) Errors in computer systems are generated at high speed, and the cost to correct may be high
 - (c) Users of computer systems perceive the computer outputs to be always correct
 - (d) All of the above
 - (e) Both (a) and (c)
5. Which of the following is not a cyber threat?
 - (a) Phishing
 - (b) Malware
 - (c) Floods
 - (d) DDOS
 - (e) Ransomware
6. IS audit for the software used is carried out by CAATT. This type is known as:
 - (a) The audit around the computer
 - (b) The audit through the computer
 - (c) The audit with the computer
 - (d) All of the above
 - (e) None of these
7. Which of the following is not among the recommendations in the Gopalakrishna Committee report?
 - (a) IT Services Outsourcing
 - (b) Cyber Fraud
 - (c) Customer Education
 - (d) IT Governance
 - (e) None of the above
8. Effective control mechanism(s) in a computerised environment are:
 - (a) Preventive
 - (b) Detective
 - (c) Corrective
 - (d) All of above
 - (e) Both (a) and (c)
9. The objective of IS security is to ensure:
 - (a) Confidentiality
 - (b) Integrity
 - (c) Availability
 - (d) All of the above
 - (e) None of these
10. An audit trail is:
 - (a) A chronological record of all events occurring in a system is:
 - (b) Report submitted by auditors
 - (c) A collection of records generated by the database administrator
 - (d) All of the above
 - (e) None of these

48.18 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c), 2. (e), 3. (e), 4. (d), 5. (c), 6. (c), 7. (e), 8. (d), 9. (d), 10. (a).

UNIT 49

OPERATIONAL ASPECTS OF CYBER CRIMES/FRAUD RISK MANAGEMENT IN CYBER TECH

STRUCTURE

49.0 Objectives

49.1 Introduction

49.2 Fraud vs Crime

49.2.1 Risks for Banks fFrom Cyber Attacks

49.2.2 Who are the Threat Actors?

49.2.3 Various Cyber Threats

49.2.4 Cyber Risk Mitigation Strategies

49.2.5 Defense in Depth

49.2.6 Handling Cyber Risk by Banks

49.2.7 Some Common Measures Adopted by Banks Against Cyber Threats

49.2.8 Security Operations Centre (SOC)

49.2.9 Cyber SOC or Cyber Security Operation Centre

49.2.10 Security Information and Event Management (SIEM)

49.2.11 VAPT (Vulnerability Assessment and Penetration Testing)

49.2.12 NBAD

49.3 Phases of an Effective Incident Response Plan

49.4 Let Us Sum Up

49.5 Keywords

49.6 Check Your Progress

49.7 Answers to ‘Check Your Progress.’

49.0 OBJECTIVES

After studying this unit, you will:

- Understand the difference between cybercrime and cyber Fraud
- Appreciate risks for Banks from cyber attacks
- Understand various cyber threats to Banks
- Know the risk mitigation strategies for Cyber attacks/Fraud.
- Know the concept of Cyber SOC, SIEM etc.
- Understand the concept of defence-in-depth.
- Understand various defences built in Banks to secure the IT assets.

49.1 INTRODUCTION.

Because of the virtual presence of Banks, cybercrime is growing at an alarming rate and may soon replace many “conventional” financial crimes. In addition, threat actors can easily commit these offences, thanks to the internet’s anonymity and ease of use. Unauthorized access to devices, identity theft and online bank information theft are among the most common types of cyberattacks. Furthermore, its ability to enter networks and cause massive data breaches is much more worrisome.

The complexity of cyber attacks, as well as the financial impact of these attacks, is always rising. Because of these new dangers, conventional security solutions such as intrusion prevention systems and log analyzers are no longer adequate defences.

In banking, as more and more transactions are conducted online, financial institutions must not only combat the fraud schemes, but also protect their customer-facing portals from Man-in-the-Middle and Distributed Denial of Service attacks as online banking model continues to evolve. Insider Fraud, Check Fraud, and Web Fraud & Security products, which are specifically designed for financial institutions, can assist in the detection of these scams.

Under the guidance of Regulators, to counter cyber attacks and Fraud, Banks and Financial institutions have put in place some best security practices and procedures to protect their IT infrastructure and data. In this chapter, we shall discuss various cyber threats and mitigation measures adopted in Banks.

49.2 FRAUD VS CRIME

Fraud is a type of crime committed for the purpose of gaining financial gain. As opposed to traditional criminal activity, cybercrime can be perpetrated for a variety of reasons, such as political motivation, personal passion, or even just because a vulnerability was discovered. Aside from the causes and motivations, two other significant differences are the skill set required to manage such threats and the means by which the event is delivered.

Fraud is defined as the intentional use of deception to acquire an unfair advantage over another individual, most typically in the form of money. Cybercrime is defined as any criminal act that involves the use of computers or networks. Fraud can be conducted against individuals as well as against corporations.

Fraud is described in a variety of ways, including scam, con, swindle, extortion, sham, double-cross, hoax, cheat, ploy, ruse, hoodwink, and confidence trick, among others.

Importance of cybersecurity in banking:

49.2.1 Risks for Banks from cyber attacks

Cyber risk continues to be a top concern for banks and regulators, with the evolving focus to include both systemic and idiosyncratic risks. The focus on systemic risk is to build better industry preparedness and cyber resiliency, mitigate single points of failure and ultimately lessen any negative effects of cyberattacks. Growing geopolitical tensions are an added motivating factor for regulators, as a global cyberattack on the financial system could have cascading effects.

The following are the risks that can arise from cyber attacks.

- ✓ Financial loss
- ✓ Critical Data loss/breach,
- ✓ loss of productivity due to business disruption,
- ✓ Cost of investigation,
- ✓ Compensation to customers
- ✓ Reputational damage
- ✓ Regulatory penalties.
- ✓ Costs of recovering from disruptions
- ✓ Investment loss.

49.2.2 Who are the threat actors?

A threat actor is an individual or a group of people that take part in a malicious act that is intended to cause harm to the IT assets, including computers, devices, systems, or networks. Threat actors can be broadly classified as:

Cybercriminals: Who may be individuals or a group of people that cause a malicious cyber attack on the business. Cybercriminals who can threaten your technology or data could include:

Criminals: out for financial gain or information, to illegally access your hardware and data or disrupt your business with Clients to compromise your information with malicious intent

Business competitors: Your competitors who are in the same line of business.

Current or former employees: Who accidentally or intentionally compromise your information or data.

49.2.3 Various Cyber Threats

Globally the most significant security concerns for the banking sectors arise in the form of online threats. Banks and other financial institutions process billions of transactions daily, with the majority of the transactions done via digital payment transfer platforms. Hence banks have become enticing targets for cybercriminals.

Organizations need to monitor user activity proactively, react to alerts in real-time, and remediate threats initiated by external hackers and malicious insiders. The combination of capabilities provides a vital line of defence for a stronger security posture. The common threats to the bank are given below.

1. Identity Theft
2. Data Breach/Theft
3. Hacking
4. Malware
5. Viruses

- 6. Ransomware
- 7. Phishing/Vishing/smishing/Pharming
- 8. Distributed Denial-of-Service (DDoS)
- 9. Cyber Squatting/bullying/warfare

49.2.4 Cyber Risk Mitigation Strategies

Cybersecurity risk mitigation is the practice of implementing security policies and procedures in order to lower the total risk or impact of a cybersecurity threat. Risk mitigation can be divided into three categories in the context of cybersecurity: prevention, detection, and remedy. To mitigate the cyber threats by cybercriminals, Banks must take cybersecurity risk mitigation tactics that will need to evolve to keep pace with the evolving techniques of Threat actors.

Essential mitigation strategies for business continuity:

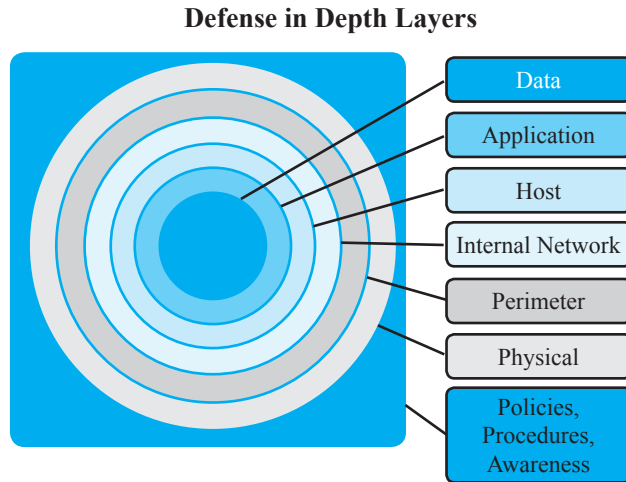
1. Application whitelisting	to control the execution of unauthorized software
2. Patching applications	to remediate known security vulnerabilities
3. Configuring Microsoft Office macro settings	to block untrusted macros
4. Application hardening	to protect against vulnerable functionality
5. Restricting administrative privileges	to limit powerful access to systems
6. Patching operating systems	to remediate known security vulnerabilities
7. Multifactor authentication	to protect against risky activities and credential theft
8. Daily backups	to maintain the availability of uninfected critical data.

49.4.5 Defense in Depth

Defence-in-Depth security strategy is in which a succession of security procedures and controls are carefully placed throughout a computer network in order to safeguard the network and the information contained within it.

While no single mitigation can prevent all cyber dangers from occurring, when they work together, they can provide protection against a variety of threats while also providing redundancy if one method fails. When successful, this strategy can dramatically improve network security by protecting against a wide range of attack vectors. These (and other) security best practices, tools, and policies may be included in an effective Defensive Information and Defense plan.

Defence-in-depth strategy prevents any single point of failure and significantly increases the time and complexity required to compromise a network successfully. This further necessitates more effort and resources by the threat actors and improves the chances of identifying and mitigating the attack before it succeeds.



49.2.6 Handling Cyber Risk by Banks

Banks have developed individual security operations centres (SOCs). These centres house an information security team that is responsible for continuously monitoring and assessing an organization's security posture. The purpose of the SOC team is to detect, analyse, and respond to cybersecurity issues using a combination of technology solutions and a robust set of policies and procedures. SOC personnel collaborate closely with organisational incident response teams to ensure that security issues are addressed as soon as they are identified.

Security operations centres are responsible for identifying and responding to security incidents and compromises. Security operations centres continuously look for anomalous activity that could indicate a security incident or compromise. This is done by monitoring and analysing activity on networks, servers, endpoints, databases, applications, websites, and other systems. In addition, the SOC is in charge of ensuring that possible security events are accurately recognised and investigated before they are reported to the appropriate authorities.

The majority of the security operations centre's workforce are security analysts who collaborate to detect, evaluate, respond to, report on, and prevent cybersecurity problems from occurring. Advanced forensic analysis, cryptanalysis, and malware reverse engineering are some of the additional capabilities that some SOC's can offer in order to evaluate occurrences.

49.2.7 Some Common Measures Adopted by Banks Against Cyber Threats

Security of Bank's digital assets are governed by RBI's Security Framework for baseline guidelines dt.02.06.2016 and Master Direction on Digital Payment Security Controls vide Dt. 18.02.2021.

Banks are protecting their assets in various ways from cyber threats by deploying Next-Generation Firewalls, Intruder detection Systems, Intruder Protection systems etc. Also, Banks have established Security Operation Centres (SOC) to monitor threats and protect the systems. Some of the commonly deployed tools/measures are:

- (a) SIEM (Security Information and Event Management)
- (b) Vulnerability Assessment/Management

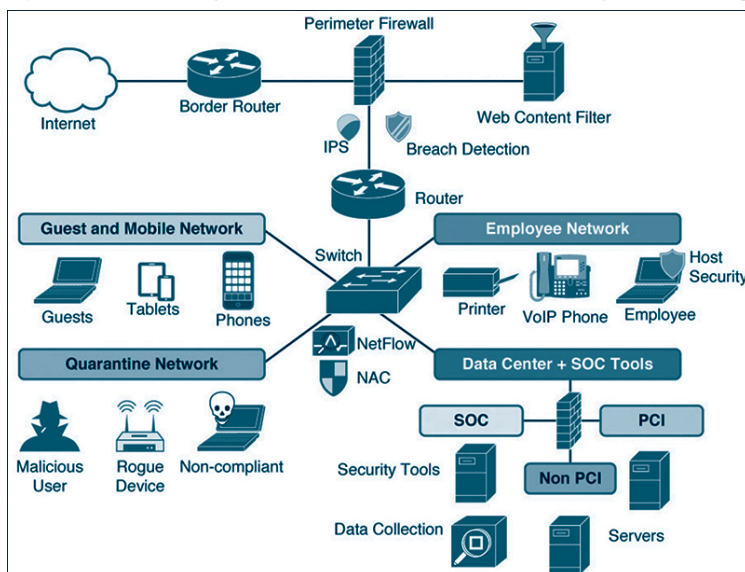
- (c) NBAD (Network behaviour anomaly detection)
- (d) Anti-APT (Anti Advanced persistent Threat)
- (e) Anti-DDoS (Anti Distributed Denial of Service)
- (f) Anti-Phishing, Malware Monitoring
- (g) PIM (Privileged Identity Management)
- (h) FIM (File Integrity Management)
- (i) WAF (Web Application Filtering)
- (j) Cyber Insurance
- (k) Involvement of Top Management
- (l) Staff/customer awareness of cyber security
- (m) Vulnerability/Penetration Testing
- (n) Adopting Best Practices and Frameworks

In spite of all these arrangements being implemented by Banks, cybercriminals still pose a great threat as they are evolving faster and find various new ways of inflicting damage.

49.2.8 Security Operations Centre (SOC)

A security operations centre (SOC) consists of an information security team that is in charge of continuously monitoring and assessing an organization's security posture. Typically, the Chief Information Security Officer heads the operations of the SOC. The purpose of the SOC team is to detect, analyse, and respond to cybersecurity issues using a combination of technical solutions and a solid set of processes. Security operations centres are often staffed with security analysts and engineers, and managers in charge of security operations. SOC personnel collaborate closely with organisational incident response teams to ensure that security vulnerabilities are addressed as soon as they are discovered.

Security operations centres monitor and analyse network, server, endpoint, database, application, website, and other system activities for anomalies that could indicate a security event or breach. The SOC guarantees that possible security issues are recognised, assessed, defended, investigated, and reported accurately.



Indicative diagram of a Security Operations Centre (SOC)

49.2.9 Cyber SOC or Cyber Security Operation Centre

Banks need to Set up and Operationalize (C-SOC) as per the RBI guidelines.

The systems that need to be put in place as a part of the Cyber SOC requires the following aspects to be addressed.

- (a) Top Management/Board Briefing on Threat Intelligence.
- (b) Dashboards and oversight.
- (c) Policy, measurement and enforcement (key metrics, reporting structure
- (d) Informing stakeholders, stakeholder participation.
- (a) Methods to identify the root cause of attacks, classify them into identified categories and come out with solutions to contain further attacks of similar types.
- (b) Incident investigation, forensics and deep packet analysis need to be in place to achieve the above.
- (c) Dynamic Behaviour Analysis. – preliminary static & dynamic analysis and collecting Indicators of Compromise (IOC).
- (d) Analytics with good dashboard, showing the Geo-location of the IP's.
- (e) Counter response and Honeypot services.

49.2.10 Security Information and Event Management (SIEM)

SIEM is a platform for detecting, analysing, and responding to security threats of the next generation. Applications and network hardware security alarms may be analysed in real-time using SIEM software, which combines SIM and SEM technologies. Using information acquired from around the world, SIEM software analyses events against rules and analytics engines and indexes them for search in milliseconds. Data analysis, event correlation, aggregation, reporting, and log management provide security teams with both insight into and a record of the events taking place in an IT environment.

SIEM software can have many features and benefits, including:

Consolidation of multiple data points.

Custom dashboards and alert workflow management.

Integration with other products.

49.2.11 VAPT (Vulnerability Assessment and Penetration Testing)

VAPT aims at Identifying vulnerabilities in the network, server, and system infrastructure is the objective of both Vulnerability Assessment and Penetration Testing (VAPT), which are security services that are offered by several companies. Both services have a distinct purpose and are carried out in order to attain goals that are distinct but complementary to one another.

Vulnerability assessment focuses on internal organisational security, whereas penetration testing focuses on the external real-world threat.

Banks conduct periodical VAPT exercises through approved third-party vendors, and the observations are classified into High, Medium and Low risks. It is mandatory to mitigate these vulnerabilities and report to the top management.

49.2.12 NBAD

Network behaviour anomaly detection (NBAD) provides one approach to network security threat detection. It is a complementary technology to systems that detect security threats based on packet signatures.

Most security monitoring systems utilize a signature-based approach to detect threats. They generally monitor packets on the network and look for patterns in the packets which match their database of signatures representing pre-identified known security threats. NBAD-based systems are particularly helpful in detecting security threat vectors in two instances where signature-based systems cannot: (i) new zero-day attacks, and (ii) when the threat traffic is encrypted such as the command and control channel for certain Botnets.

An NBAD program tracks critical network characteristics in real time and generates an alarm if a strange event or trend is detected that could indicate the presence of a threat. Large-scale examples of such characteristics include traffic volume, bandwidth use and protocol use.

NBAD solutions can also monitor the behavior of individual network subscribers. In order for NBAD to be optimally effective, a baseline of normal network or user behavior must be established over a period of time. Once certain parameters have been defined as normal, any departure from one or more of them is flagged as anomalous.

NBAD technology/techniques are applied in a number of network and security monitoring domains including: (i) Log analysis (ii) Packet inspection systems (iii) Flow monitoring systems and (iv) Route analytics.

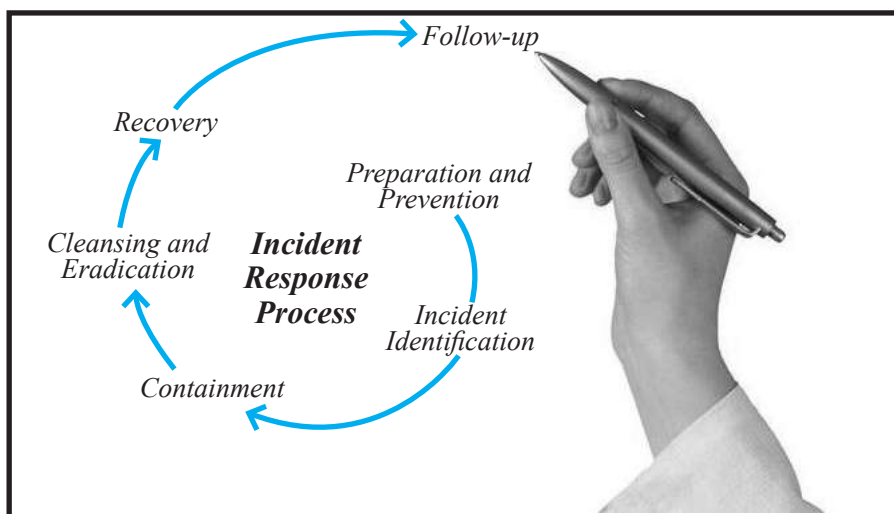
49.3 PHASES OF AN EFFECTIVE INCIDENT RESPONSE PLAN

As cyber-attacks are increasing, taking a toll on business operations and reputation, Banks must develop a robust Cyber Incident Response (CIR) plan to stay ahead of the cybersecurity curve.

Banks must develop a proactive as well as a responsive set of capabilities as part of their incident response plan, which can rapidly adapt and respond to cyber incidents.

Proactive Capabilities: Preparation, Detection Analysis

Responsive Capabilities: Containment, Eradication, Recovery



Phases of an Effective Incident Response Plan:
Courtesy: Villanova University

49.4 LET US SUM UP

Adoption of a Cyber Security Framework enables banks to better identify, assess, manage, and reduce their exposures to cyber risks, including those emanating from third-party service providers. Applying such cyber risk management methodologies provides a solid foundation for banks' attempts to address cyber security threats and incidents. Furthermore, applying such methodologies can aid in the facilitation of supervisory monitoring and the promotion of greater consistency in supervisory assessments across jurisdictions.

Banks have deployed various Hardware and Software based Security mitigation and monitoring tools. An indicative but not exhaustive list of requirements to be put in place by banks to achieve baseline cyber-security/resilience mandated by RBI. This may be evaluated periodically to integrate risks that arise due to newer threats, products or processes. Important security controls for effective cyber security as may be articulated by CERT-In also may be referred.

In view of the growing technology adoption and potential threats, Board level involvement and guidance would set the right tone at the top. It is important to endeavour to stay ahead of the adversary. Cyber Security Operations Centre should monitor various logs/incidents in real-time/near real-time. Proper configuring of hardware devices and software applications is essential to derive optimum protection. Staff should be provided with appropriate training, and the security policy of the bank should be communicated to staff periodically.

49.5 KEYWORDS

SIEM, SOC, C-SOC, NBAD, PIM, WAF, VAPT, Defense-in-Depth

49.6 CHECK YOUR PROGRESS

1. Patching operating systems is done to remediate against _____.
 - (a) known security vulnerabilities.
 - (b) Unknown macros.
 - (c) execution of unauthorized software
 - (d) DDoS attacks.
2. In cyberspace, a threat actor can be _____.
 - (a) Cybercriminal
 - (b) Business competitors
 - (c) Present or former employee
 - (d) All of the above
3. Which of the following is used for detecting, analysing, and responding to security threats
 - (a) Firewall
 - (b) IDS
 - (c) SIEM
 - (d) IPS

4. Which one of the following aspects is not the requirement of a Cyber-SOC?
- (a) Forensic investigation of financial frauds.
 - (b) Dashboards and oversight.
 - (c) Policy, measurement and enforcement (key metrics, reporting structure)
 - (d) Dynamic Behaviour Analysis – preliminary static & dynamic analysis and collecting Indicators of Compromise (IOC).
5. Which of the following is the objective of conducting VAPT to identify vulnerabilities in the _____.
- (a) network,
 - (b) server,
 - (c) system infrastructure
 - (d) All of the above.

49.7 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (a), 2. (d), 3. (c), 4. (a), 5. (d).



TECHNOLOGY TRENDS IN BANKING, e-RUPI, FINTECH - REGTECH, SUPTECH, HASHTAG BANKING ETC.

STRUCTURE

- 50.0 Objectives**
- 50.1 Introduction**
- 50.2 e-RUPI**
- 50.3 Fintech/Reg Tech/Sup Tech**
 - 50.3.1 What is Fintech?
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- 50.5 Hashtag Banking**
- 50.6 Account Aggregators**
- 50.7 Open Banking**
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- 50.11 Answers to 'Check Your Progress'**

50.0 OBJECTIVES

After studying this unit, you will:

- Know the salient features of e-RUPI and the Benefits.
- Know the concepts of Fintech RegTech and Sup Tech.
- Understand the need and role of Fintech and Regtech.
- Know the importance and methods of Social Banking.
- Understand what Open Banking is and How It Works.

50.1 INTRODUCTION

The collaboration between technology and finance has constantly been evolving. So far. Growing smartphone penetration, inefficient, traditional financial systems, and consumer behavioural shifts are all factors that are presenting fertile ground for Fintech development in both emerging and developed economies. Fintech is also showing great promise in developed economies, where current investment in Fintech is increasing at an alarming rate.

Regulations will need to collaborate with Fintech and RegTech players. As a result of the rapid development of Fintech, the rapid development of RegTech is also required.

Banking innovations like open Banking, Social Banking are gaining momentum to enhance the customer experience, using simple and existing technologies. Products like e-RUPI offer contactless, easy, safe and secure payments to the beneficiaries in remote and rural areas, with a large section of people without smartphones.

Let us understand these banking trends and innovations in this section.

50.2 e-RUPI

What is e-RUPI?

e-RUPI was launched on 2nd August 2021 by the National Payments Corporation of India (NPCI) e_RUPI is an innovative digital solution, and ‘e-RUPI’ is a seamless one-time payment mechanism.

e-RUPI is a QR code or an SMS string-based e-Voucher delivered to the beneficiaries’ mobile.

The users of the e-voucher can redeem the voucher at the merchants accepting e-RUPI without using a digital payments app, card or internet banking.

e-RUPI would be shared by organizations or Governments to the beneficiaries for a specific purpose or activity through SMS or QR code.

The e-RUPI is contactless, easy, safe and secure as the details of the beneficiaries are kept confidential. This e-voucher transaction process is relatively faster and reliable, as the required amount is already stored in the voucher.

As of 31st January 2022, there are 16 Banks live on e-RUPI. Even users without a smartphone can use e-RUPI because of its offline transaction feature. e-RUPI can especially be used in remote and rural areas, with a large section of people without smartphones. To date, over 1600 hospitals and 11 banks have started using e-RUPI.

Stakeholders in an e-RUPI Ecosystem.

e-RUPI may be issued in two core categories, ie. Person-to-Person (P2P) and Business to Consumer (B2C). The circular outlines the scope and rules only for the B2C vouchers.

The end to end transaction involves the following entities.

1. Issuer Bank (Issuer): Bank who shall initiate the request to create e-RUPI
2. The sponsor shall be a Corporate, State and Union Government department, a business customer of the Bank who shall request the Bank to create e-RUPIS.
3. The e-RUPI beneficiary shall be the person for whom the e-RUPI is issued. An e-RUPI Beneficiary may not be a bank account holder.
4. Designated Merchant. These are specific voucher acceptance points where e-RUPI can be redeemed/ used
5. Acquiring Bank (Acquirer): Bank providing facility/capability to the designated merchants to accept the e-RUPI (String/QR) for redemption.

Salient Features of e-RUPI.

The e-RUPI can be issued only by banks authorized by the Reserve Bank of India to issue PPIs and who are participating as Payment Service Providers (PSP) in the UPI ecosystem.

e-RUPI shall be authorized for redemption only to purchase goods and services from a designated merchant, as defined by the Issuer at the time of issuance of e-RUPI. e-RUPI can not be used for cash out or cashback on redemption.

Up to 10 e-RUPI vouchers can be issued for one programme on a single mobile number/per individual beneficiary. However, the requirement shall be configurable as per the Scheme requirements

e-RUPI prepaid gift vouchers can be used without credit or debit cards, mobile apps, or internet banking.

Sponsors of e-RUPI services will not need to physically interface with anyone to send this app to every mobile in the country. You can use it as a prepaid gift voucher.

e-RUPI can be issued upto INR 10,000 per voucher.

No charges are payable by e-RUPI beneficiaries for using e-RUPI.

e-RUPI is distributed only in digital form.

Benefits for Corporates

1. Corporates can enable the well-being of their employees.
2. End to end digital transaction without human intervention which leads to cost reduction.
3. The Issuer can track the voucher redemption.
4. Quick, safe & contactless voucher distribution.

Benefits for Merchants

1. Easy & Secure - The voucher is authorized through a verification code.
2. Hassle-free & Contactless payment collection - Cash handling is not required.
3. Quick redemption - The voucher can be redeemed in a few steps. There are lesser declines due to the pre-blocked amount.

Benefits to the Consumer

- 1. Contactless - Beneficiary need not carry a printout of the voucher
- 2. Easy redemption – 2-step easy redemption process.
- 3. Safe and Secure - Beneficiary need not share personal details while redemption; hence privacy is maintained.
- 4. No digital or bank presence is required - Consumers redeeming the voucher need not have a digital payment app or a bank account.

How e-RUPI is different from UPI.

Difference between e-RUPI and UPI	
e-RUPI	UPI
e-RUPI is one time cashless and contactless payment mechanism.	UPI is an application used for receipt or payment of money
e-RUPI is an e-voucher.	UPI is an application used for receipt or payment of money.
The Reserve Bank of India operates e-RUPI.	The National Payments Corporation of India operates UPI.
e-RUPI vouchers can be redeemed at service providers counters.	UPI is used for receipt or payment of money.

50.3 FINTECH/REG TECH/SUP TECH

50.3.1 What is Fintech?

Fintech or Financial technology can be described as the use of technology to deliver financial solutions. Fintech refers to technologically enabled financial innovations. Fintechs include ‘start-ups’ to ‘big-techs,’ and established financial institutions.

Financial technology (Fintech) is any new technology that aims to improve and automate the delivery and utilization of financial services. Fintech, at its core, is used to help corporations, business owners, and consumers better manage their financial operations, procedures, and lives by utilizing specialized software and algorithms used on computers and smartphones.

Fintech simplifies financial transactions for consumers or businesses, making them more accessible and affordable.

The Fintech ecosystem (FE) consists of five elements that synergise to stimulate the economy, enhance customer experience and promote social inclusion: start-ups, technology firms, government, customers and traditional financial institutions like banks.

Peer-to-peer (P2P) lending platforms, crowdfunding, blockchain technology, distributed ledgers technology, Big Data, smart contracts, Robo advisors, E-aggregators, and other major Fintech products and services are currently in use. These Fintech products are currently used to connect lenders and borrowers, information seekers and providers, with or without a nodal intermediation agency.

Fintech can alter India's financial services and financial inclusion landscape fundamentally. It can lower costs while also improving access and quality of financial services. We can contribute to the creation of a new financial system that is more inclusive, cost-effective, and robust by enabling innovations and controlling risks. We must strike a delicate balance between maximizing Fintech's benefits while minimizing its systemic consequences.

The Fintech movement can transform the financial landscape, allowing consumers to choose from a broader range of options at competitive prices while also allowing financial institutions to improve efficiency through lower operational costs. Technological advancements fundamentally alter people's access to financial services and increase financial inclusion. Financial institutions are attempting to expand their knowledge of technological innovation through partnerships with technology companies and also as investments in or acquisitions of such companies

How can Banks benefit from Fintech?

Fintech (Financial Technology) is advancing at incredible speeds. Advanced technologies have taken over the finance world, improving total financial services while also being very valuable for retail investors in the management of the stock market, small enterprises and financial systems. These technologies are also very useful in the insurance industry. Custom software development approaches are the most effective means of meeting the most prevalent requirement. Some benefits of fintech products that are helping Banks are given below.

- (a) Reduced Costs
- (b) Reduced time to market
- (c) Customer Services and Revenue
- (d) World-class compliance and security
- (e) Greater speed and convenience
- (f) Innovative products.
- (g) Transparency of products

50.3.2 RegTech:

What is RegTech?

RegTech or regulatory technology refers to technological solutions that streamline and improve regulatory processes. RegTech is a technology system that assists a bank or any financial institution in managing regulatory compliance. Financial institutions are often overwhelmed by the number of laws, rules, and regulations they need to implement, execute, and monitor. RegTech helps to make the compliance process more efficient. RegTech products are available in a wide range of shapes and sizes. Fintechs and regulators are currently using RegTech to address increasingly cumbersome compliance processes.

RegTech can be used for the following broad purposes.

- (a) Regulatory Monitoring.
- (b) Regulatory Obligations.
- (c) Compliance Management.
- (d) Execution of Compliance.

RegTech makes use of a wide range of cutting-edge technologies, including artificial intelligence, big data, cloud computing, and machine learning, among others, to help businesses better comply with regulatory requirements and standards. With RegTech, human error has been minimised through automation.

RegTech facilitates Fintechs to monitor regulatory developments in real-time and allows them to adapt to new regulations more quickly. RegTech can completely transform the regulatory landscape by providing technologically superior solutions to the ever-increasing needs of compliance in the financial industry, according to the industry. RegTech companies are delivering solutions in Regulatory Reporting, Risk Management, Identity Management & Control, Compliance, and Transaction Monitoring.

50.3.3 SupTech

What Is SupTech?

Supervisory technology or SupTech offers technological solutions that assist financial supervisory authorities in managing regulatory compliance. Supervisory agencies manage risk in the financial sector and also implement regulations.

Financial institutions are responsible for adhering to many rules and regulations. Supervisory agencies must ensure that all such rules and regulations are complied with by financial institutions. SupTech provides technological tools to regulatory authorities to improve their supervisory efficiency through automation.

Reserve Bank of India has been using SupTech to collect and analyse data. Some examples are Import Data Processing and Monitoring System (IDPMS), Export Data Processing and Monitoring System (EDPMS) and Central Repository of Information of Large Credits (CRILC). The future of RegTech and SupTech technologies depends largely on big data analytics, artificial intelligence, machine learning, cloud computing, etc.

50.4 SOCIAL MEDIA BANKING

The use of social media in the recent past by billions of people around the world has caused modern society to focus on various types of media, which has resulted in a major increase in popularity, particularly among the younger generation. Social networking has become a new and crucial ability for everyone these days, including for those who don't know much about technology. Knowledge of various media allows users to make better use of these tools.

The phenomenal growth of Social Media across the globe is an unquestionable reality. Today's consumers are highly reliant on social media platforms such as Instagram, Facebook, LinkedIn, and Snapchat. Hence Banks must be active across accounts. Consider these statistics about social media:

1. More than half of the world now uses social media (58.4%)
2. As of 31.01.2022 there are, more than 4.62 billion people in the world use social media of which Facebook has 2.91 Billion Active Users, YouTube has 2.56 Billion Active Users, WhatsApp has 2.0 Billion Active Users, and Instagram has 1.47 Billion Active Users.
3. On average, users have about eight social media accounts.
4. An average of 2 hours and 27 minutes are spent on social media per person per day.
5. People spend about 1/7th of their waking time on social platforms.

Customers nowadays expect to be heard and answered through social media and receive the services they require. Instead of dealing with officials or bank managers directly, they should raise their expectations of banks via social media platforms like Facebook, Twitter, WhatsApp and other social media platforms.

50.5 HASHTAG BANKING

The hashtag is used on social media sites, majorly on Twitter, to identify messages on a specific topic. A Hashtag is a word or phrase which is always preceded by a hash sign (#),

Indian banks have started using the hashtag to provide services such as fund transfer, balance inquiry, prepaid mobile recharges etc., to their customers. To participate in Hashtag Banking, the customer has to follow his Bank on Twitter. Customers can send messages to the Bank, which are passed on to the Bank, to act on the hashtags sent by the customer. Banks realise that youngsters who are socially active on Twitter and Facebook would prefer a bank account that can be combined with social media.

However, it may be noted that social Media contain risks for both managers or directors and customers.

Some examples of services offered using Hashtag banking are:

1. Banking services
2. Credit card services
3. FASTag services
4. Loan Services
5. Fixed Deposit services
6. Block/Unblock card

The customer register and then send Tweets with designated hashtags through Twitter to perform a range of banking transactions. Users could use a Tweet to transfer money, locate the nearest ATM recharge mobile or a DTH.

The moment a user sends a Tweet, the Bank's listening server parses it instantly and passes it securely to the messaging server, and then onwards to the bank's core system. Once the request was authenticated and processed, the response or confirmation was tweeted to the user using a direct message.

Banks look at hashtag banking in two ways to provide basic banking services and to give information. Basic banking services include fund transfer, prepaid mobile recharge, checking account balance and requesting bank statements.

Customer has to 'follow' the Bank on Twitter to use this facility. He will have to send direct or private messages to the Bank, which is only possible if the customer and his Bank follow each other. For the facility, banks have a format for every service. Whatever be the social media platform is being used, the ultimate transfer of funds happens through the usual payment system channels like NEFT, IMPS etc.

More banks will launch Banking services on Social Media platforms like Twitter, WhatsApp, Facebook etc

50.6 ACCOUNT AGGREGATORS

An Account Aggregator (AA) is a type of RBI regulated entity (with an NBFC-AA license) that helps an individual securely and digitally access and share information from one financial institution they have an account with to any other regulated financial institution in the AA network. Data cannot be shared

without the consent of the individual. The individual's bank just needs to join the Account Aggregator network. Some of major banks in India, across public and private sector, have already joined the network.

Account Aggregator retrieves or collects information related to financial assets of a customer from the holders of such information (termed as Financial Information Providers (FIPs)) and aggregates, consolidates and presents it to the customers or specified users (termed as Financial Information Users (FIUs)). The transfer of such information is based on an explicit consent of the customer and the response is envisaged to occur in real time. Data cannot be stored by the aggregator or used by it for any other purpose and shall be shared only with the regulated financial entities. The Directions require robust data security and customer grievance redressal mechanism to be in place. The AA should have proper consent architecture and audit trails should be available. The directions require Financial Information Providers (FIPs) to implement interfaces that will allow an Account Aggregator to submit consent artefacts and authenticate each other, to enable secure flow of financial information to the Account Aggregator.

AA framework assists in decision making required for provision of various financial services viz., lending, loan monitoring, wealth management, personal finance management, etc., by eliminating paper trails. Needless to mention that it is not an exhaustive list. Further, AAs can facilitate the access to financial services and credit to earlier underserved and unserved segments by reducing information asymmetry.

50.7 OPEN BANKING

Open banking is rapidly emerging as a significant source of innovation that can alter the financial industry. Banks and non-bank financial institutions use application programming interfaces (APIs), to provide third-party financial service providers with open access to consumer banking, transactional, and other financial data from banks and non-bank financial organisations (APIs). Consumers, financial institutions, and third-party service providers will be able to connect their accounts and data across institutions, making it easier for them to do business. Open banking is also referred to as “open bank data”.

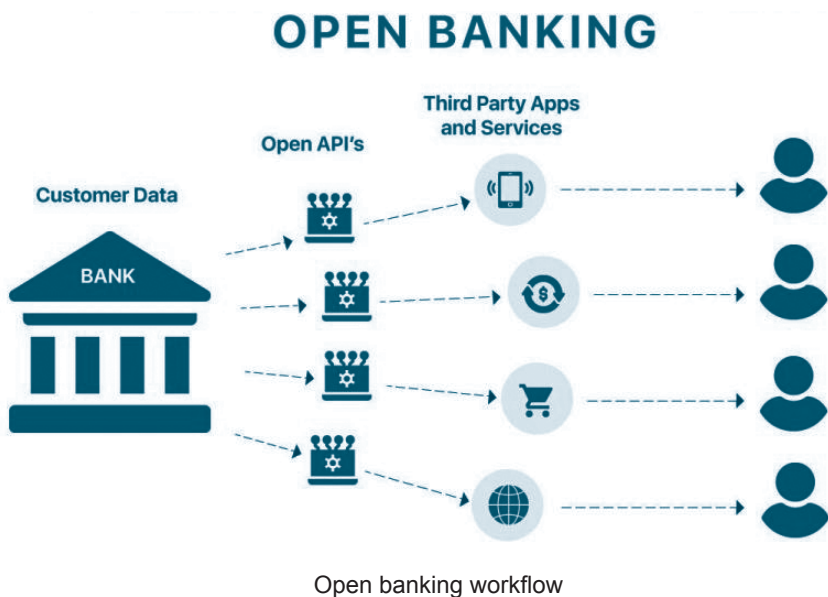
Open banking is a major driver of innovation and change in the banking business. Open banking uses networks rather than centralisation to securely assist financial services consumers in sharing their financial information with other financial organisations.

Application programming interface (API)

Application programming interface, or API, enables businesses to make the specific data and functionality of their applications available to external third-party developers, business partners, and internal departments in their own organisations. This enables services and products to communicate with one another and benefit from one another's data and capabilities through a specified interface. APIs allow developers to communicate with other goods and services without understanding how the API is implemented. API usage has increased dramatically over the past decade, to the point that many of the most popular web apps today would not be viable without the use of RESTful web services APIs.

How does open banking work?

In Open banking, banks grant access to and control over their customers' personal and financial data to third-party service providers, often software startups and online financial service suppliers, under certain conditions. The third-party providers that provide APIs can then use the shared data. Customers typically need to provide consent before a bank allows its stakeholders to access their accounts.



Risks of Open Banking

Consumers can profit from open banking in the form of more convenient access to financial data and services, while financial organisations can benefit from reducing some costs associated with open banking. The potential for severe hazards to financial privacy and the security of consumers' funds, as well as ensuing liabilities to financial institutions, exist because of this. Open banking APIs are not without their security hazards, such as the possibility that a malicious third-party app will empty a customer's bank account without their knowledge. This would be a severe (and unlikely) threat to the system. Significantly, concerns that are more widespread would be data breaches caused by inadequate security, hacking, or insider threats, which have become relatively common in the modern era, including at financial institutions, and will likely continue to be commonplace as more data is interconnected in more ways.

With the advent of open banking, the competitive landscape and consumer experience in the banking business can be drastically altered. Open banking is a system that allows third-party applications to have access to and control over consumer banking and financial accounts.

Open banking also assists consumers in obtaining a more accurate picture of their personal financial situation before taking on debt. By utilising online accounting, open banking may assist small businesses in saving time while also assisting fraud detection organisations in better monitoring customer accounts and identifying problems sooner.

50.8 LET US SUM UP

Two critical points that need focus are, improving the accessibility of financial platforms using Fintech and analyzing potential risks that may arise from Fintech adoption. There is a need for developing a robust new framework by regulators, which promotes innovation and market confidence, supported by the use of regulatory "sandboxes."

RegTech's genuinely disruptive potential resides in its ability to provide real-time surveillance of financial markets, thereby facilitating a rethinking of how financial regulation is thought about. Markets are changing and becoming increasingly reliant on data. As a result, huge digital corporations and retail conglomerates operating customer loyalty programmes are gradually replacing traditional financial institutions as the best-positioned institutions to analyse borrowers' credit risks and grant them credit. Some of the possible benefits of open banking are improved client experience, additional revenue streams, and a sustainable service model for underdeveloped markets.

"APIs are garnering fresh attention as a means of improving the delivery of financial services to both retail consumers and commercial customers, thanks to advancements in advanced analytics and the market traction of various nonbank fintech companies.

The increased sharing of consumer data in open banking opens the door to both promising benefits and catastrophic concerns boost the possibility of positive and negative consequences for consumers. Open Banking holds out the prospect of Saving Time and Money. It is possible that open banking will assist lenders in gaining a better understanding of a consumer's financial status and risk level, allowing them to provide more profitable loan terms to that consumer.

50.9 KEYWORDS

Fintech, RegTech, SuppTech, e-RUPI, API, Open Banking, Hashtag Banking

50.10 CHECK YOUR PROGRESS

1. e-RUPI can not be issued for the _____ category.
 - (a) Person-to-Person (P2P).
 - (b) Business to Consumer (B2C).
 - (c) Business to Business (B2B).
 - (d) None of the above.
2. Benefits of fintech products for Banks include _____.
 - (a) Reduced time to market for products.
 - (b) Customer Services and Revenue.
 - (c) Reduced Costs.
 - (d) All of the above.
3. SupTech services are used by _____.
 - (a) Suppliers of Hardware.
 - (b) Third-Party vendors.
 - (c) Emerging technology vendors.
 - (d) Financial supervisory authorities.
4. API in terms of open banking refers to _____.
 - (a) Application programming interface.
 - (b) Advanced persistent innovation.
 - (c) Advanced Programming interface
 - (d) All-purpose interface.

5. Which one of the following statements is not true about Open banking?

- (a) It is the practice of enabling secure interoperability in the banking industry
- (b) It allows third-party payment service providers to access banking transactions and other data from banks and financial institutions.
- (c) Being open in nature, open banking facilitates the opening of accounts to foster financial inclusion,
- (d) APIs play a greater role in sharing customer data in Open banking.

50.11 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (c), 2. (d), 3. (d), 4. (a), 5. (c).

Acknowledgements

<https://www.oracle.com/autonomous-database/what-is-data-mart/>

<https://docs.oracle.com/>

MODULE D

ETHICS IN BANKS AND FINANCIAL INSTITUTIONS

Unit 51. Ethics, Business Ethics & Banking: An Integrated Perspective

Unit 52. Ethics at the Individual Level

Unit 53. Ethical Dimensions: Employees

Unit 54. Work Ethic and the Workplace

Unit 55. Banking Ethics: Changing Dynamics

UNIT 51

ETHICS, BUSINESS ETHICS & BANKING: AN INTEGRATED PERSPECTIVE

STRUCTURE

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51.0 OBJECTIVES

After studying this Unit, you will:

- Know about the concepts of ethics and values
- Learn the difference between business ethics and values
- Know the myths and reality regarding business ethics
- Learn the principles and practices of business ethics
- Understand the ethical crisis in business
- Learn to prevent and overcome ethical crisis

51.1 INTRODUCTION

By following ethical practices business can overcome ethical crisis situations and maintain the resilience of the business. Ethical practices are extremely important for banking industry which is the backbone of every economy. The banking sector functions on one of the key principles of ethics, viz. trustworthiness. Therefore, for banking professionals, it is important to be honest, responsible and have excellent leadership qualities. Failure to abide by ethical conduct can affect the entire global economy.

51.2 VALUES AND ETHICS

Basic values are those which are at the core of being human. Values are stable long- lasting beliefs about what is important to someone. These are qualities one chooses to embody to guide one's actions and conduct.

Merriam-Webster defines 'Ethics' as:

- "the discipline dealing with what is good and bad and with moral duty and obligation".
- "a set of moral principles : a theory or system of moral values".
- "the principles of conduct governing an individual or a group".
- "a set of moral issues or aspects (such as rightness)".

So, ethics is a set of moral standards and values acceptable in a society and guides human behaviour. It holds people from taking decisions that may be harmful to others or the society. Ethical principles are universal in nature. Ethics is prescriptive in nature - deals with what must be or ought to be done.

51.3 ETHICS AND BUSINESS VALUES

'Business values' is an informal term and explains the core principles or standards that guide the way business is done. They sum up what your business stands for. They are the core values or standards that influence the organisational culture and drive how and why of the organisation's actions. Business plans and strategies may change, the core values of a business will usually remain the same. Values help businesses grow and evolve without losing focus on what is important to them.

'Business ethics' means established principles that guide behaviour in the world of business. Investors, employees, customers, interest groups, legal system, and the community often determine whether a specific action is right or wrong, ethical or unethical. Although these groups are not necessarily right, their judgments influence society's acceptance or rejection of a business and its activities.

<i>Business Ethics</i>	<i>Business Values</i>
Ethics refers to the guidelines for conduct, that address questions about morality	Values refers to the principles and ideals, which help in making judgment of what is more important.
Moral principle system	Induce thinking
Define - What is morally correct or incorrect in the given situation?	Determine - What we want to do or achieve?
Indicate - Magnitude of rightness or wrongness of one's options.	Indicate - Level of significance.

Table 51.1 Difference between Business Ethics and Business Values

51.3.1 Business Ethics: Myths and Reality

Business ethics aids in prioritizing moral values in the firm and also ensures that behaviours are aligned with those values. Myths about business ethics arise from general scepticism about ethics or from elementary views on ethical dilemmas.

1. **Myth 1:** A common myth is that business ethics modifies peoples' behaviours – they cease to be what they are, obstructing realization of their full potential. In reality, business ethics is about managing values and conflict resolution. Divergence between individual and organizational ethics can be resolved.
2. **Myth 2:** Many organizations believe that their people are already ethical and do not need to be trained. In reality, when faced with complex ethical dilemmas, managers often find it hard to resolve them. Organizational ethics challenges equally logical choices and help in navigating grey areas.
3. **Myth 3:** Some deny that business ethics can determine how organizations should do their routine activities. It is considered as a fad. These views are due to lack of interest and involvement of managers in ethical decision-making. In reality, business ethics has a lot to do with daily operations of an organisation.
4. **Myth 4:** There is nothing novel about business ethics is a common belief. It is considered to be only affirming what we all already know and naturally aspire for. This view ignores that business ethics safeguards the interest of the stakeholders. In the absence of ethics and values, an organization cannot ensure there is no violation of a code of conduct.
5. **Myth 5:** Business ethics is all about good guys sermonizing the bad guys is a general perception. Good managers might make wrong decisions in a scenario full of scepticism and apprehensions. Ethical culture requires contribution of all the individuals working together and helping everyone to adhere to ethical course of action through ambiguous and stressful ethical dilemmas.
6. **Myth 6:** Ethics cannot be managed, is another myth. In reality it can be managed though mostly indirectly. Priorities of an organization can indicate the ethics of the organization.
7. **Myth 7:** Business ethics are deemed as social responsibility. The two are not same. Corporate social responsibility (CSR) is just one aspect driven by business ethics.

51.4 BUSINESS ETHICS – DEFINITION, PRINCIPLES AND PRACTICE

According to Adam Smith, in a capitalist economy, both customer and industry co-exist for the benefit of each other. Ethics involves both internal stakeholders (employees) as well as the external stakeholders (investors, lenders, and customers). Ethics in business also covers inter-corporate relationships. Business is a part of society and business firms affect everyday human life. So, a business organization cannot estrange itself from the principles of good and bad in society. Ethics covers each and every aspect of business and applies to all decision-making and operational activities.

51.4.1 Principles of Business Ethics

An organization following dubious and unethical business practices might tarnish its reputation, and experience failures in long- term. Thus, an organization should have a standard code of ethics. Principles of ethics are universal and express the highest level of generality of standards and act as the first reference point. From the very beginning, a firm must recognize business ethics as a tool for attainment of desired results. Strong business ethics will lead to a profitable and successful business firm. Undenoted business principles will result in business success:

- (i) **Dignity:** An important principle is to treat others with utmost respect regardless of differences. All people should be treated with equal respect and dignity regardless of sex, race or national origin. Employees should not be considered just as a means to an end. In dealing with customers the ultimate objective should be the customers' interest and not just profit making. The simple rule is to treat others the way you would like to be treated.
- (ii) **Fairness:** Fairness is about concern with actions, processes, and consequences that are morally right, honourable, and equitable. Fairness establishes moral standards for decisions affecting others. It does not mean that everybody gets what they want, but everybody has an equal opportunity to benefit. Fairness is when everyone is treated equally and no one is left out. Fairness in competition provides level playing field to all the firms in the industry. A company should not conspire with anyone to lessen fair competition or engage in anti-competitive practices such as price-fixing or bid rigging.
- (iii) **Honesty:** Honesty means being truthful and straightforward. It is largely linked to an individual rather than a situation. Integrity is linked to honesty - to have consistency of honesty. That is, being honest is generalized to all situations. A person of integrity does not wear the hat of honesty in one forum and the hat of dishonesty in another. Honesty in business practices rewards the businesses, as it builds foundations of trust with employees, customers and other stakeholders. A firm needs to be truthful in various situations such as publishing financials to investors, filing tax returns, marketing its products and services, etc. For the customers, a business should pledge to offer good quality products and services. For the investors, if a business reports its earnings truthfully, investors, and financiers will express confidence in the business by offering funding solutions to the firm.
- (iv) **Openness:** The concept of openness is that things should be as they are supposed to be, and not concealed in some manner. That is not concealing that which should be revealed.
- (v) **Reputation/goodwill:** Goodwill is one of the most important assets of a business, and also one of the most difficult to rebuild should it be lost. Business should work on building a good reputation, along with high morale for its staff.
- (vi) **Prudence:** It is the ability of a business to make right decision, which is gained over a period of time from experiences and knowledge. Business requires prudence to exercise a degree of judgment that makes the situation no worse, but rather improves the circumstances.

- (vii) **Concern for Others:** Every business takes birth, survives and grows with the consent and co-operation of the society. Being an integral part of the society, it makes the business morally responsible towards the society. It has to fulfil its responsibility towards both **internal groups** and **external groups**.

51.4.2 Philosophy of 'Trusteeship'

Mahatma Gandhi explained that the capitalist should realise that the wealth in their hands is the fruit of hard work, toil, efforts and sacrifice of the workers and other sections of the society. The capitalist, therefore, should act as "trustee". Peter Singer has strongly espoused a similar view that each of us with wealth surplus to his or her essential needs should be giving most of it to the people suffering from poverty so dire as to be life threatening'. This philosophy of trusteeship has its origin in "Bhagwat Gita", which tells about 'Aparigraha' (non-possession) and 'Nishkam Karmyoga' (selfless work). Trustees have to create, preserve and increase wealth without expecting the enjoyment of wealth.

51.4.3 Business Ethics Practices in India – Corporate Governance

Ethics as a concept in the Indian business evolved during the 1980s, following rise of corrupt business practices. Major unethical issues were also on rise such as bribery, deceptive advertising, price collusion, product hazards, and environment degradation. Business confidence started to decline.

Directors of a firm are responsible for creating wealth and happiness for all the stakeholders of an organization and improvising by using corporate governance. It is their duty to avoid ethical misconduct and also to provide leadership to prevent ethical misconduct in the organization. For this, most companies have developed formal systems of accountability, oversight, and control- known as corporate governance.

In India, with the formation of SEBI in 1992, and addition of clause 49 (listing agreements) in 2005, business ethics gained the centre stage of business operations. Several Committees have been set up, the latest was the Uday Kotak Committee set up by SEBI.

51.5 AN ETHICAL CRISIS: IS BUSINESS ETHICS AN OXYMORON?

Crisis is a situation of extreme difficulty or danger. For a business, an event which is unforeseen and poses a major threat is a crisis. Incidents like fraud, computer – data theft, terrorist attacks, bankruptcy, economic/political instability, natural calamities etc. can severely affect survival of a company. In case of any event of crisis an organization passes through three stages: Pre-crisis Stage, Crisis Situation and Post-crisis Stage.

51.5.1 Pre-Crisis Stage

It is the situation where the company feels that everything is under their control. The key focus is on making profits. An organization should take steps for prevention of crisis during this stage itself.

- (i) **Prevention of crisis** – The most important question for a manager is how to identify a crisis in time and to prevent it. For preventing an ethical crisis due to internal reasons, ethical audits at regular intervals is useful. It helps in identifying the weak ethical areas. *Screening internally* covers areas like relationship with stakeholders, complaints about products/ service quality, that can jeopardise reputation of a company following unethical practices. *External screening* of threats or a crisis in

the making by monitoring the factors which are beyond a firm's control helps a firm for preparing for such events. These could be threats arising from fraudsters, weak market conditions, etc.

- (ii) **Whistle-blower policy** – Organisations have Whistle-blower Policy that can help in avoiding a bigger crisis situation. The objective is to encourage employees, customers or general public to come forward with any information pertaining to illegal or unethical activities (bribe, fraud, etc.) or actions violating company policy or legal regulations. The policy assures to protect the interest of a person who signals such wrongdoing.

51.5.2 Crisis Situation

It is the event that triggers the crisis. A bank, when a major borrower (example Kingfisher Airlines) declares failure of business should recognise it as a crisis event. Ethical leaders play a critical role since they are the first ones to recognize the crisis, and caution others that the organization is in danger. After recognizing the crisis situation, the leader must start implementation of crisis management plans, bring in the crisis management team and focus on controlling the damage. The prime responsibility of communication with various stakeholders in crisis situation lies with the CEO.

51.5.3 Post-Crisis Stage

Even while the organisation is trying to overcome the crisis, it starts analyzing the situation. Investigation for identification of the key reasons is also carried out during the recovery phase. Reputation or the goodwill of the organisation is the most impacted, hence an effective leadership is vital for rebuilding the image. The organisation tries to prove to its stakeholders that it has legitimate reasons to exist and it can be trusted. There could be situations requiring change of its top leadership team in order to signal the sincerity of its endeavors and to regain the trust of the stakeholders.

51.5.4 Is Business Ethics an Oxymoron?

Many a times questions arise – How can a business follow ethical practices and still remain successful?

On occasions, a business might have to adopt practices that are unpopular and sometimes unethical. For instance, layoffs negatively affect many people, however not an immoral act. Closing down a manufacturing unit or hiving off unprofitable businesses may be essential for survival of business. An ethical organization would compensate redundant staff and assist them in finding new jobs to earn living. Doing rightful thing may be costly for an ethical organisation as compared to unethical one. However, it benefits in the long run and provides significant competitive advantage.

Issues like bribery, corruption, theft, fraud, insider- trading, etc. are clearly wrongful acts. An organisation should eliminate such practices and build strong ethical business standards. In fact, an ethical organization will also not adopt unethical practices like corruption, misleading consumers, etc. prevalent externally in the society/ the industry. Some changes arise from integration of ethics in business. After a significant number of entry- level cars failed the collision test in India, several producers stopped making cars without airbags.

A business manager's ultimate objective is to create value for business and build trust with the society. This can be achieved only through ethical practices. Hence, business ethics is not an oxymoron.

51.6 ETHICAL FOUNDATION OF BANKING: FINANCE DEPENDS ON TRUST

Banks play a vital role in a country's economy, and banking is based on being just and truthful. Banking business depends on various moral codes like truthfulness, honesty, integrity, transparency etc. that are vital given the nature of basic banking business of accepting deposits for lending.

51.6.1 Need and Importance of Ethics in Banking

Ethics in banking is an echo of the ethical norms that are pervasive in society. Ethics is moral dependability, punctuality of fulfilling obligations and honouring the terms of contracts. It creates **credibility** for the banks.

Banks need to deliver high quality services, driven by high ethical standards, and maintain the same in its work culture, management, and the quality of its employees. Banks can only work well when the public trusts them. Warranting safety of banking activities is certainly a challenging task.

Along with global integration, the ongoing financial innovations have brought the possibilities of minimum direct intervention of governments and regulators on banking operations. Therefore, the safety of banking activity is largely dependent on the attitude and confidence of market players.

- (i) **Ethics helps in dealing with dilemmas** – A bank, at times, may have to confront with moral dilemmas in course of business. Banks have to deal with complex dilemmas of distinguishing between not right and wrong, but between right versus less right. Hence the need for a set of strong moral principles, to enable employees navigating through complex ethical choices.
- (ii) **Guards Reputation/Goodwill** – Banks' ethical practices aid in safeguarding depositors' interest, thus, maintain stability of the system and preserve the reputation of the bank. Ethical practices prevent legal breaches and corrupt activities, protects other stakeholders' interest and enhances brand image.
- (iii) **Helps avoid risk** – A well-defined code of ethics followed by the superiors ensures high ethical standards and preventive and corrective measures against unethical practices by staff. This will refrain the staff members from committing an offence due to temptation of some gratification, like approving unqualified loan application, granting credit at unjustifiable terms and delaying the process of loan application deliberately, etc.

51.6.2 Principles of Ethical Banking

The first and the foremost principle of ethical banking is **Trust**:

- **Principle of Trust** – Trust is the confidence in quality or attribute of a person or a thing or an organization, and includes truth of a statement. In business, trust means trustworthiness—established by truthfulness. It inspires customers, investors, regulators and lenders to feel confident in an individual, a product or an organization. It is mutual between the two participants.
- **Significance of Trust** – Trust is a vital factor in successful leadership and management. Mutual trust has significant importance for successful functioning of any business. In present times, when vital and substantial deals are often undertaken, in the absence of any witnesses, the relationship between the two participants is often dictated by the resilient principle of mutual trust.

The standard banking code of conduct includes following factors also—

- **Integrity** – means that there is no intention to treat the business partner in an immoral way.
- **Neutrality** – means refrain from any kind of biased behaviour.

- **Reliability** – means to provide information to its customers that is understandable, clear and accurate. It should perform customer service in minimum time frame and impeccably – without a glitch.
- **Transparency** – means to keep its customers clearly updated about their rights and obligations and all aspects of the products and services offered to them. Also, banks must offer customers a particular product or service suitable to their requirement and profile.

51.7 ETHICAL FOUNDATION OF BEING A PROFESSIONAL

Professionals have a certain set of acquired skills and specific qualifications. For a professional, the most valuable virtue is ethical decision-making with moral judgment. Professionals have to prescribe standards for themselves, but they are accountable to the overall society.

Duties of a professional include – Integrity in dealing, Honesty in actions along with being truthful, Humane values, Thoughtfulness in decision making, Objectiveness in actions, Responsibility towards employer and customer, and Leadership qualities at the work place.

- Professionals must possess knowledge of law and comply with these, even in the event of conflict.
- Professionals must take reasonable care and judgment in maintaining independence and objectivity.
- Professionals must not engage in a conduct, which might affect reputation and integrity.
- Professionals must not make any misrepresentation regarding the product or service.

Professionalism in Banking – The image and reputation of a bank as well as people's confidence in a bank depends heavily on the behaviour of its employees, their ability to interact and show attention to their co-workers and clients. It is important to understand what qualities a banking professional should possess to be able to maintain ethics in the relationship with his customers, check the relevance and fairness of information disclosed and also protect the confidential information of the banks.

51.7.1 Ethical Issue for Professionals

Strong moral values help professionals in crisis situation. It helps them in coming up with suitable solutions when they are facing ethical dilemmas. Practicing high ethical standards are essential elements of professionalism. An ethical dilemma is a situation, which requires an individual to choose among actions that may need evaluation as just or unjust.

Dilemma arises either due to conflict between the personal values and the organizational values or conflict with the social values. For instance, (a) an issue that might impair independence and objectivity or (b) priority of transaction, for example customer over employer, (c) monetary benefits received following completion of a deal.

51.8 BANKING ETHICS IN GLOBAL CONTEXT: ENRON AND IT'S LESSON

Enron: Company Background

Enron, a major gas pipeline company in the United States of America, capitalised on the opportunities by privatisation of natural gas and electricity. It became the seventh largest Fortune 500 Company with revenue of \$100bn. The company's management and top executives were extremely aggressive, authority was centralized in few with poor managerial accountability.

The Crisis Situation

The problems started to reveal, when a senior executive highlighted accounting discrepancies, inflated financial statements, frauds and other unethical practices. He indicated large liabilities were managed in an off-the-book entity by creating a special purpose vehicle, backed by Enron's stocks. CEO of the company resigned and also sold his shareholding in the company.

Towards the end of 2001, the company defaulted on large liabilities, and in due course filed for bankruptcy. Its stock price, plunged from \$90 to nil in a year.

Following the Enron episode, the auditors Arthur Anderson, lost their professional credibility impacting their clientele.

Reasons for the Crisis

Highly ambitious promoters targeted to achieve fast pace growth for the business. Significant and rapid diversification of business was undertaken into non-core business like broadband network and bandwidth trading company.

Learnings from the Case

- Unethical accounting policies and misrepresenting financial statements should not be used to project better business performance.
- Excessive performance pressure to achieve higher business goals leads to wrongful practices.
- Unfair practices and poor transparency in business dealings do not, only good corporate strategies help achieve success in the long run.
- Pre-crisis preventive measure by way of proper audits can help nip the problem at the very beginning.

51.9 GLOBAL FINANCIAL CRISIS

The global financial crisis of 2007-08, is considered as the worst after the great depression of 1930. It surfaced in September 2008, when major banks in the USA ended up in an immense financial upheaval.

51.9.1 What really happened?

It started a decade before the crisis became evident, as real estate became very lucrative investment in America as the property prices were on an upward trajectory. Lower interest rates gave a thrust to mortgage loans. Fannie Mae and Freddie Mac, two quasi-public corporations, were focused on growth at any cost, and abandoned prudent risk management.

Large amount of mortgage loans was the key ingredient, as it jacked up the real estate prices in America. It encouraged homeowners to borrow more against their home, and banks were lending to a large number of subprime borrowers. These loans were pooled together, securitized and sold to hedge funds, banks and financial institutions to raise funds for further mortgage lending. This vicious cycle led to an expanding bubble. Soon the subprime mortgages started to default leading to the financial crisis.

51.9.2 How unethical practices triggered the crisis?

The global financial crisis had an ethical dimension too. Many researchers concluded – failure to adhere to the principles of ethics coupled with absence of transparency were few of the reasons. It was an illustration of failure of corporate governance and risk management at many systemically important

financial institutions. The implied guarantee by the US Federal government created a moral hazard and contributed to a glut of risky lending:

- Firstly, the mortgage brokers whose ultimate objective was business acquisition and building a loan book, never bothered about the quality of borrowers they were targeting.
- Secondly, the banks wanted to build their mortgage books aggressively, and also sold the pool of loans, despite knowing that they were subprime.
- Lastly and most importantly, top-rating agencies gave a biased rating that were not genuine following conflict of interest. They played a critical role in the making of risky mortgaged-backed securities. For instance – Lehman brothers continued to enjoy an “investment grade” rating even after it had filed for bankruptcy protection.

51.10 ETHICS IN INDIAN CONTEXT: SATYAM AND ITS LESSONS

Background – Satyam Computer Services Ltd. (Satyam) incorporated in 1987 for software development and consultancy services, was listed in 1991. In 1996 it promoted four subsidiaries. Satyam Infoway, one of the subsidiaries, was the first Indian IT company listed on the NASDAQ. Global Institutional Investors Survey of 2005 ranked it as 3rd in Corporate Governance.

Crisis Event – In December 2008, it announced acquisition of significant stake in Maytas Infrastructure Ltd. (an infrastructure development company) and Maytas Properties Ltd (a real estate company) both promoted by the promoter family of Satyam. The shareholders and the market reacted negatively resulting in the plans being called off immediately. Within a week, the World Bank announced a bar of 8 years on the company for data theft and bribing the staff. Share prices crashed to the lowest in four years. In the following week, four independent Directors resigned.

Whistle-blower – A whistle-blower alerted a board member about financial misrepresentation.

Confession and the Effect – On January 7, 2009 Mr. B. Ramalinga Raju declared that over Rs.7800 crores were diverted from Satyam, and the said acquisition proposals were intended to “fill fictitious assets with real ones”. He resigned as the Chairman of the company. The two brothers Mr. B. Ramalinga Raju and Mr. B. Rama Raju were arrested and the Central Government appointed new Board of Directors. A week later, the statutory auditors admitted their audit reports being incorrect and based on the wrong financial statements as provided by the management. The incident raised questions about the corporate governance practices followed at the company. Leading clients ended their contract with the company, which was followed by resignation of independent directors and sale of stake in open market by key stakeholders.

What went wrong – The company had diverted huge amount of funds. SFIO investigations brought out revealing facts. A conspiracy was hatched, since 2000, at the top management level to artificially increase the revenues and profits in the books. Falsification was done by deliberately leaving loopholes in the Computerized Accounting System. Fictitious invoices, fictitious bank transactions, and fictitious bank fixed deposits were created in the systems. With financial statements showing inflated revenues and false profits coupled with brand building measures the market price of the stock was jacked up. The promoters encashed their shareholdings and made substantial gains.

Independent Directors’ Role – They could not discover the fraud and financial statements manipulation of huge magnitude and even ignored the significant amount of cash component in the books.

Auditor's Role – Even the auditors ignored the financial irregularities and manipulations. In spite of auditing the books for nine years continuously they could not detect large number of false invoices, fictitious bank fixed deposits, fake cash and bank balances.

Senior Management's Role – The senior management functionaries had active role in the conspiracy. They disregarded their responsibilities as professionals as also various legal violations.

Employees' Role – Such huge manipulation in financials was carried out through various types and large number of accounting and financial transactions. These would have been executed by a team of several employees over a period of long time. Either they did not realize the gravity of their acts or they were not aware of their responsibilities in such situations or they chose to remain silent for self-interest.

Post-Crisis Developments – Government of India swiftly appointed chosen professionals from diverse fields as the Directors of Satyam. Professional leadership helped in immediate control over the company's finances and also continuity of its operations. It acted as a major damage control in stemming the loss of customers and arresting the exit of investors. In due course, but swiftly, the take over of the company by Tech Mahindra took place. This helped in salvaging the company's business and assets and the business strengths of the company were leveraged to regain its business levels.

Learnings from the case study –

- *Top Management Actions are Crucial* – Major unethical acts are either initiated or actively supported by the top management. In such situations, oversight of the independent Directors and scrutiny by the Auditors assume crucial importance in early detection of unethical practices.
- *Employees are a Party for Some Reasons* – The execution of acts involving numerous transactions invariably needs a set of employees. These persons for various reasons yield to be a party knowingly to the unethical acts. This makes internal checks and controls ineffective.
- *Reputation is adversely affected* – Reputation not only of one company but also of the entire industry is tarnished. After the crisis became public, all the other players were placed under scrutiny by the regulators and scepticism grew among the investor groups.
- *Professional Ethics of Directors Matter* – Directors, both independent as well as non-independent, have an important role in ensuring ethical values of a company. Ethics of these persons determine how they discharge their responsibilities.
- *Auditors must have Professional Ethics* – Best of the auditors with strong audit skills proved to be totally ineffective in detecting unethical or downright fraudulent practices, nay they might have been complicit in these. The result is adverse fallouts for both the auditee firm and the audit firm.
- *Ensuring Good Corporate Governance* – There is a need for strong corporate governance practices across industries. Also, selection of top managers and executives must be done carefully, individuals with high level of credibility and credentials will bring high moral values and standards to the organization.
- *Post-crisis Handling* – Actions taken soon after the crisis event is known are very important and crucial in as much as the future course of the organisation depends entirely on these. If proper actions are taken swiftly, the organisation can not only be salvaged but also revived to its pre-event levels. However, if there is lethargy and the actions and the decisions focus only on post-mortem and investigations, the organisation may cease to exist.

51.11 AN INDIAN BANK CASE STUDY

A Bank that went bust

Background – A Private Sector bank with state-of-the art technology was among the first new generation private sector banks in India that opened its first branch in Secunderabad. The bank collected ₹1 bn in deposits on the first day of its operations and reached a deposit of ₹27 bn in a span of 3 years. The bank landed with NPA of ₹15 bn, mainly non-priority sector loans, and failed to maintain the minimum statutory capital requirements. RBI put a moratorium on the bank's operations.

The promoters sold their stake and exited. Both RBI and SEBI probed, and their findings were shocking and revealing. The promoters were close allies of the individuals involved in insider trading and were part of the stock market scam, and the capital of the bank was completely wiped out. Accounts were misrepresented. Exposure to capital markets, a substantial portion of the bank's loans, was much beyond the regulatory limit. The collapse of capital market eroded substantially the value of investments held as collateral. The bank's financial statements were manipulated to cover up.

RBI promulgated a scheme of its merger with a public sector bank to protect the interest of its employees and the depositors.

Reasons for failure – The massive collapse of the bank was caused by unethical and irresponsible practices of the promoters. The bank management misled the Board also by mis-reporting its exposure to the capital market. The audited figures and the figures worked out by the regulator showed significant divergences. Action by the regulators were too less and too late.

Lessons learnt –

- **Unethical practices followed** – Special favours were given to a specific customer, without evaluating his ability to service the borrowings.
- **Overlooking Regulatory Stipulations** – Assuming, that things will not change and everything will remain constant, overlooked the potential risks involved, in giving special favours to a specific customer.
- **Violation of principle of trust** – Poor corporate governance followed by the promoters' group- none of the promoters was worried about the interest of the depositors.

51.12 LET US SUM UP

Values are stable long-lasting beliefs about what is important to someone. Ethics is a set of moral standards and values acceptable in a society and guides human conduct or behaviour. 'Business values' are the core values or standards that guide the way business is done by an organisation. They influence the organisational culture and drive how and why of the organisation's actions. It covers each and every aspect of business and applies to all decision-making and operational activities.

Business principles essentially include: dignity, fairness, honesty, openness, reputation/ goodwill, prudence and concern for others.

To remove the opportunity for employees to make unethical decisions, most companies have developed formal systems of accountability, oversight, and control – known as corporate governance. For a manager, it is significantly important to adhere to ethical behaviour in every kind of crisis situation – in all three stages viz. Pre-crisis Stage, Crisis Situation, Post-crisis Stage.

Ethics creates credibility for the banks. Standard banking code of conduct includes: Integrity, Neutrality, Reliability and Transparency. For a professional, the most valuable virtue is ethical decision-making with moral judgment. The image and reputation of a bank as well as people's confidence in a bank depends heavily on the behaviour of its employees.

51.13 KEYWORDS

Business values, Business ethics, Myths Vs reality, Principles of Business ethics, Ethics in banking and Principles, Enron Case, Global Financial crisis, Satyam Case.

51.14 CHECK YOUR PROGRESS

1. Which one of the following statements is true?
 - (a) Business ethics modifies people's behaviour.
 - (b) Objective of ethics is managing values and conflict resolution.
 - (c) Business ethics and corporate social responsibilities are the same.
 - (d) Ethics cannot be managed.
2. Which one of the following is not a principle of ethics?
 - (a) Fairness
 - (b) Dignity
 - (c) Goodwill
 - (d) Remaining conscious for profits at all costs
3. Whistle blower protection Act _____, in India, protects people who provide information about wrongdoing.
 - (a) 2009
 - (b) 2010
 - (c) 2005
 - (d) 2011
4. Which one of the following is NOT included in a Standard banking code of conduct?
 - (a) Profitability
 - (b) Neutrality
 - (c) Reliability
 - (d) Integrity
5. Business Ethics is helpful in –
 - (a) Dealing with dilemma
 - (b) Guards reputation
 - (c) Helps in avoiding future risk
 - (d) All the above
6. The US-based natural gas and electricity company, ENRON, by financial year 2000 with revenue of \$100bn, became the
 - (a) 21st largest Fortune 500 Company
 - (b) 74th largest Fortune 500 Company
 - (c) 9th largest Fortune 500 Company
 - (d) 7th largest Fortune 500 Company

51.15 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (b), 2. (d), 3. (d), 4. (a), 5. (d), 6. (d)

UNIT 52

ETHICS AT THE INDIVIDUAL LEVEL

STRUCTURE

52.0 Objectives

52.1 Values, Norms, Beliefs and Their Role

52.1.1 Values

52.1.2 Norms

52.1.3 Beliefs

52.1.4 Role of Norms, Beliefs and Values in Management

52.2 Core Values: The Value of a Value

52.2.1 Business Ethics: Myths & Reality

52.3 Morality and Personal Values

52.3.1 Morality

52.3.2 Personal Values

52.4 Value – Conflicts: How Should I Live?

52.4.1 Value – Conflict in an Organization

52.5 Personal Ethics and Business Ethics: Individual Integrity and Responsibility

52.5.1 Conflict between Personal Ethics and Business Ethics

52.5.2 Individual Integrity

52.5.3 Individual Responsibility

52.6 The Golden Rule

52.7 Understanding Right and Wrong: Doing the Right Thing

52.8 Ethical Reasoning and Real-World Application

52.8.1 Application of Business Ethics

52.9 Ethical Dilemmas: Resolving Ethical Dilemmas

52.9.1 Resolving Dilemmas

52.10 A Framework of Ethical Decision-Making

52.11 Let Us Sum Up

52.12 Keywords

52.13 Check Your Progress

52.14 Answers to ‘Check Your Progress’

52.0 OBJECTIVES

After studying this Unit, you will:

- Understand concepts of Values, Norms, and Beliefs
- Know the significance of these for both individuals and businesses
- Understand how values can help resolve conflicts
- Know the need for aligning personal ethics and values with that of the enterprise
- Learn resolving ethical dilemmas.

52.1 VALUES, NORMS, BELIEF AND THEIR ROLE

52.1.1 Values

Values are concept of desirable behavior. These are internalized standards or principles, which evaluate—what is embraced by an individual. As values describe what is desirable, it must be desirable for all and not just for selected few. Such standards are relatively few. These influence an individual's evaluation of many objectives encountered in everyday life. Values are derived from moral principles determining individuals' judgment about good, right or desirable. Also, the true values must have universal command and acceptability.

Values are internalized as our core beliefs; this is because right from our childhood, we are continuously taught certain values by our parents, family members, teachers, etc. and the rest of the society. Values are derived from norms in our society, religion and culture. We continue to learn values even subconsciously, and these get imbibed in our personality. Our individual perceptions influence our attitudes, which guide our behavior. Thus, whatever we think and act is in synchronization with our value system. Values are beliefs that people use to give meaning to their lives.

(a) Characteristics of values

- Values provide standards of competence and morality.
- Values are not large in number and we have a few selective values.
- Values outdo specific objects situation or persons: are measure of evaluation applicable to all.
- Values are relatively perpetual and resilient to change, and changes happen over a long time.
- Values are at the core of a personality, steering decisions and actions that direct human behaviour.
- Values have content along with strength and distinctive features that make each individual distinctive.

(b) Values Classification

- **Terminal Value** – A terminal value is an ultimate goal, which we desire to achieve in our lifetime. It is enduring belief that a certain end-state of existence is worth striving for and attaining.
- **Instrumental Values** – It is a tool or means for acquiring a terminal value. Thus, instrumental values are, in the simplest words, the modes of behaviour. These are the core values and permanent in nature.

52.1.2 Norms

Norms are expectations of proper behaviour and not the requirements of that behaviour. Norms are the ways an individual expects all the people to act in a given situation. They are inconsistent but universal. Norms are not published, may not be obeyed and cannot be made obligatory except by sanctions (penalties, condemnation or exclusion) of a group.

Norms are informal guidelines for behaviour and actions considered normal (as correct and incorrect) social behaviour in a particular group or social unit. They play a key role in social control and social harmony. Even though norms influence every aspect of our lives, we are many a times unaware of it.

52.1.3 Beliefs

A belief is some thought considered to be true by a person. Beliefs could arise out of some certainties of life, or some probable events or consequences, or simply out of faith in some ideas. Beliefs in the ethical code of an organisation are standards of thoughts.

Beliefs are basic to our understanding of a wide range of phenomena. Our beliefs are the key constituents of our personalities and senses of individuality. Our expressions of beliefs often define us to others, and our internal reactions to others are based on our beliefs and perceptions.

52.1.4 Role of Norms, Beliefs and Values in Management

A corporate culture is a set of values, beliefs, and norms and ways of solving problems, which is shared by the employees of an organization. Another important component of an organization is the ethical culture. It is the ethical culture that represents the ethical principles of the organization as a whole, incorporating the corporate policies on ethics and views of its management leadership on ethical issues. Ethical culture of an organization also exhibits the influence of its co-workers and opportunities for unethical behaviour.

Ethical culture forms part of corporate culture and facilitates ethical decisions within the organization. Organisations, therefore, should develop and promote ethical values to enhance employees' commitment to the enterprise and their sense that they fit into the organisation.

52.2 CORE VALUES: THE VALUE OF A VALUE

Core values are the fundamental beliefs of a person or an organization. These guiding principles dictate behaviour and can help people understand the difference between right and wrong. Core values also help companies to determine if they are on the right path.

An organization's values are based on human values. We should understand the value system of individuals and organizations and then develop a suitable practice based on alignment of both of these. This is management by values, comprising - Identifying core values, Communicating core values and Aligning values and practices

- (i) **Identifying core values** – By corporate values, the enterprises know what they stand for and what principles they should follow. Once the values and mission of the organization are clear, its management practices can be evaluated objectively. An organization can protect its survival in the most competitive business world only by determining its core values, and following these consistently in all its decisions and actions. Following are few core values practiced by companies: Customer service; Employee care; Quality; Ethics; Integrity; Growth and Stability; Innovation; Flexibility; and Social Responsibility.
- (ii) **Communicating core values** – A company should effectively and properly communicate its core values to all the stakeholders, especially to its employees. The employees should know fully, what the company stands for, what is its mission and core values, what are the do's and don'ts in the company.

(iii) Aligning values and practices – In order to make management by values successful, there is a need to put the core values into actual practice. There must be an alignment between values and practice.

52.3 MORALITY AND PERSONAL VALUES

52.3.1 Morality

Morals are an individual's guiding principles. Morals are those principles that have internalized automatic response to the situations. They are part of who we are and our unique personality. Moral standards are first absorbed as a child through family, friends and various social influences.

Different moral standards emerge from the different value systems which people and society hold. Moral standards include the norms we have about the kinds of actions we believe are morally right and wrong. Values are at the heart of all kinds of morality.

Moral norms are expressed as general rules or statements: 'Always tell the truth'. Moral Values are expressed as statements describing objects or features of objects that have worth like – 'Honesty is good' and 'Anger is bad'.

52.3.2 Personal Values

An individual's value-system is unique for each individual like a fingerprint. Because it is in the form of a combination of different instrumental and terminal values. And this combination varies from person to person. Therefore, in the context of an organization when different business managers come across similar ethical dilemma, their interpretation of the situation and responsive actions may differ significantly.

Personal values provide an internal reference for what is good, beneficial, important, useful, beautiful, desirable and constructive. Values generate behaviour and influence the choices made by an individual.

Personal values denote a sense of right or wrong, good or bad, and other judgmental criteria based on one's strong sense of what the ideal ought to be.

52.4 VALUE – CONFLICT: HOW SHOULD I LIVE?

Moral code of conduct is developed on the grounds of individual value-systems. The moral code guides and directs a person's decisions and action in his/her personal life along with work life. Likewise, every organization also has its own corporate code, which is a set of values, beliefs, goals, norms and ways of solving problems that its employees have.

Values are equally important in an organization, their rationale being they energize people as they motivate them to work collectively as a group. The higher the values, more the energy and effort required to achieve and sustain them. The more you pursue these, the greater the energy they release and put into action. Improving corporate performance on a single value can virtually transform the way a company functions.

52.4.1 Value – Conflict in an Organization

Value differences and conflicts are caused by two discrete, whether perceived or actual, incompatible belief systems. Values explain what is "good" or "bad," "right" or "wrong," "just" or "unjust." Differing values need not cause conflict, though these would create divergence. For instance, if any discrepancy occurs between the individual values and corporate culture, then the friction between the individual and organization where he works is inevitable. However, if the divergence is managed it can be resolved.

Values are considered as the common characteristics of both individuals and organizations. The extent to which personal values match with the values prevailing in an organization is considered to be an indicator of the “fit” between the organization and the individual. This concept of person-organization fit focuses on how the constituents and sculpting of an individual’s values, when compared with the organizational values prevalent in an organization, affect the individual’s approach and behaviour.

52.5 PERSONAL ETHICS AND BUSINESS ETHICS: INDIVIDUAL INTEGRITY AND RESPONSIBILITY

Personal ethics – Personal ethics is a class of philosophy that governs an individual’s beliefs about morality and correct and incorrect behaviours. Personal ethics is determined by an individual’s conscience.

Business ethics – Business ethics are moral principles that are set by the business entity for conducting business and its transactions. These determine what is right and wrong in businesses. These are often guided by legal and regulatory requirements, apart from the moral principles. These are expressed as either written or unwritten codes of guidelines. In the business world, the organization’s culture sets standards for determining the difference between good and bad decision-making and behaviour.

Ethics, which concerns with right and wrong conduct, is totally dependent upon the value-system. When a crisis comes, ethics conflicts with the firm’s interest. Any ethics program that has not already envisaged this possibility will undercut the rationale of the program itself. An ethical code of conduct must define the guidelines for stakeholders carefully aligning the personal ethics with business ethics.

It is the ethical responsibility of a business to become more active partner in dealing with social concerns. Rather than being a part of problem, a business must creatively find ways to become a part of solution.

52.5.1 Conflict between Personal Ethics and Business Ethics

The organization’s ethical dilemmas are often resolved and decisions taken by committees and formal and informal group and not by an individual. Moreover, the decisions that are taken are based on business goals and exclude individual goals. Sometimes, ethical clashes or dilemmas may arise:

1. The individual ethics may clash with the group ethics predominant in the organization.
2. The individual ethics of a single powerful person may be pre-dominant in the organization. Depending on that person being ethical or unethical the impact on organization may be positive or negative.
3. Employees may be expected to ignore an issue, they think to be unethical.

Although it is important to resolve these ethical dilemmas, the solution is not in compromising and going along with management or the group on business ethics issues.

52.5.2 Individual Integrity

Integrity is explained as firm adherence to a code of values. For an Individual or for a Business, integrity is the quality or state of being complete or undivided. It means being true to our values and ourselves and also keeping our commitments not only towards others but to ourselves also. In the individual value-set, integrity is the core value, which makes an individual complete or undivided.

When an individual/business fails to keep his commitment, he gets out of integrity.

For restoration of integrity, it is essential that an individual/firm: first acknowledges that he/they have failed to keep a commitment, no alibi is required here; second completes the commitment –by recommitting or by altering the commitment.

Why is it important to restore integrity? It gives one the ability to powerfully deal with not only specific situations but also in other areas of one's life.

52.5.3 Individual Responsibility

Responsibility is defined as a moral, legal or mental accountability. This makes an individual a cause of doing something with a motive or an agent of some action.

An individual's responsibility is taking on accountability for one's personal situation. Suppose an organization declares that we are responsible for what we do and what we have, who we are and for all the conversations we have and the situation we are in. Then individual responsibility is the commitment one makes to oneself for being an agent in the world, i.e. the cause of who we are and what we have.

For an individual, it is important to be responsible for self, as thereafter one does not blame anyone else or feel guilty about it.

When we fail to take responsibility or onus of a situation, we look for an alibi and give explanations for non-fulfilment of results. It is concluded that the situation was not under control and the results were impacted by uncontrollable factors. However, when working as a team member, the responsibility of the teams' failure to perform lies on the whole team. A manager needs to be supportive towards his team members, and also assist them if need be. Also, a manager must give the team members equal opportunity to contribute.

Apologies are important but not sufficient. Often, the first thing we do is apologizing when we've missed a commitment. Apology should be followed by a commitment. Most important thing is to declare what you're committed to. So re-commit to do whatever you didn't do (by a specific date and time), or else let your team mates know that you aren't going to do it!

52.6 THE GOLDEN RULE

The moral principle known as the 'The Golden Rule' has been espoused by many humanists, which otherwise is also known as the *ethic of reciprocity*. Reciprocity is an interchange of giving and receiving in social relationships. Reciprocity occurs when an action that has effect upon another is reciprocated with an action that has an approximately equal effect upon the other. In other words, it is like the return of favours that are almost equal in value.

The Golden rule suggests that people should aspire to treat each other as they would like to be treated themselves – with tolerance, consideration and compassion. It suggests that one should treat inferiors, as you would want superiors to treat you.

There are three Golden rules of ethics, which establish the foundation of human moral values.

- Everything you want others to do to you, you should do to others.
- Do not do to others that you do not wish them to do to you.
- Do not do anything to others, which, if done to you can cause harm to you.

These rules provide us a screening test for finding out the validity of what we decide as core values.

52.7 UNDERSTANDING RIGHT AND WRONG: DOING THE RIGHT THING

Morality is the system to determine right and wrong conduct. Right actions are those which take into account the rules that define our duty and rights of others. Individual's passion to do right is the bond that holds ethical concepts together. Leaders tend to develop this quality relatively early while others develop it over time through experience, reason or spiritual growth. They often state familiar points of view for doing right, namely, (i) to prevent the society from disintegrating and also relieve all human suffering, (ii) to advance human prosperity, etc. Having a passion to do right indicates a personal characteristic - recognizing the importance of ethical behaviour, and willingness to face challenges and make tough choices.

52.8 ETHICAL REASONING AND REAL-WORLD APPLICATION

Ethical reasoning is the process of recognizing, which decisions require ethical judgments, determining potential reasonable course of action, finding support for potential course of action, and then selecting the course of action best supported.

Ethical reasoning has the same basic structures that underlie all reasoning. If we are to reason well ethically, we must learn to identify and assess our use of these basic intellectual structures in ethical reasoning. Here is the basic idea: We think for a purpose; Within a point of view, Based on assumptions leading to implications and consequences. We use ideas and theories to interpret data, facts, and experiences in order to answer questions, solve problems, and resolve issues.

Theory of moral judgment: Lawrence Kohlberg, in his theory of moral judgement, explained that moral judgment is based on the concept of objectivity, justice and fairness.

52.8.1 Application of Business Ethics

- **Ethics of human resource management** – In human resource management ethics is significantly important since it is concerned with human issues (health and safety at work place, skill enhancement and development, compensation), and overall employee-employer relationship.
- **Ethics of sales and marketing** – Ethics in marketing is a philosophy that promotes honesty, fairness and responsibility. Advertising is a mode of communication and should not be misleading and manipulative.
- **Ethics of production** – Manufacturing ethically is holistic approach of business that includes focus on well-being of consumer and society as a whole.
- **Ethics of finance** – Professionals in financial services business have to serve both their customers and company with honesty and integrity. They must avoid conflict of interest and provide information to its customers in full-accurate, fair, timely and understandable manner; and respect the confidentiality of information.

52.9 ETHICAL DILEMMAS: RESOLVING ETHICAL DILEMMAS

Everyone wishes to follow the right conduct always. When actions are overtly right or wrong, it is easier to make choices. For example, to choose between lie and truth, arrogance and modesty, etc. is simple

Ethical dilemma occurs when there is a clash between the two rights. The problem is how to decide which right is more right than the other right. Say, if a particular product division of a company has become unprofitable - If the unit is continued, losses will mount up and it may become a burden on other units. If the unit is closed, the people working in it will lose their jobs. Both the rival actions seem as right.

A more complex ethical dilemma is faced by organization when there is conflict between economic goals or economic performance and social performance.

1. Significant value – conflicts among differing interests.
2. Real alternatives that are equally justifiable.
3. Significant consequences on stakeholders in situation.

52.9.1 Resolving Dilemmas

Ethical dilemmas are required to be thought about and analyzed in a broader perspective. The decision-maker needs to identify and understand the multiple alternative solution-options. It is better resolved with use of ingenious thinking and studying different alternatives, and not merely analysing from a win-lose position. One has to make a complete and comprehensive understanding of the problem-situation in the most objective and factual way. Ethical dilemmas are resolved by searching out innovative solutions.

- Work through all three approaches to resolve the dilemma, namely:
 - End-result based thinking – do what gives the greatest good for maximum people.
 - Rule based thinking – follow the rule strictly.
 - Care based thinking – treat others with love and compassion. Do to others, you would like them do to you.
- Approach must be seen as reasonable and persuasive.
- Investigate, if there is any third way out of the situation.
- Make decision and take action.
- Revisit and reflect on the decision.

Factors influencing the management of dilemma can be broadly classified into two categories such as organizational factors and individual factors.

Following are the organization factors –

- The company policies, rules, work-procedures and systems.
- The organizational culture and shared values.
- The organizational structure, authority-orientation and hierarchy in the organization.
- The attitude of top management and the precedents developed in this respect.

Following are the individual factors:

- The manager's perception of the job.
- The personal background and characteristic influencing his/her approach.
- The personal value system and code of ethics defining what is right or wrong.

52.10 A FRAMEWORK FOR ETHICAL DECISION-MAKING

It is important to recognise the ethical elements that are embedded in daily activities in a bank. Our decisions have implications on the bank's revenues, cost, profitability, etc. and would sometimes naturally attract everyone's attention. It is, therefore, imperative, for the employees to not only remain ethical while

making such decisions, but ensure that they are perceived by all others also – internally or externally – as ethical in their decision-making.

Traditionally, ethical decision-making has involved weighing of four factors as under:

- The desired outcome of a decision;
- The means used to achieve the desired outcome;
- The motivation behind the decision; and
- The possible consequences of decision.

In this framework, if even a single factor is not acceptable, the decision is unethical.

Some decisions will require one to prioritize and to choose between competing ethical values and principles, because the only viable options require the sacrifice of one ethical value over another ethical value. Here, the decision maker should act in a way that will create the greatest amount of good and the least amount of harm to the greatest number of people.

(Source: <https://blink.ucsd.edu> & Josephson Institute of Ethics)

Step-by-step procedures can ensure that a manager identifies and defines a problem, assesses the available options, thinks about the implications of the choices, and arrives at a decision by applying ethical principles. In this direction, Harvard Ethics Professor, Lynn Paine offers a four-part ‘moral compass’ approach for guiding ethical decision-making. Lynn suggests four frames or lenses for the purpose. Each frame highlights certain elements of the situation so that they can be carefully examined and thought of. Taken together, the lenses make it easier to evaluate the ethical content of even routine decisions:

1. Purpose – Will this action serve a worthwhile purpose?
2. Principle – Is this action consistent with relevant principles?
3. People – Does this action respect the legitimate claims of the people likely to be affected?
4. Power – Do we have power to take this decision?

(Source: *Organisational Ethics: A Practical Approach* by Craig E Johnson)

Three more undermentioned lenses can be added to make decision-making even easier:

5. Prescription – Does the action violate any of the Bank’s policy, regulation or law?
6. Public – Can I share the action with media tomorrow?
7. Person – Am I setting a good example for others?

These are simple and effective tools to integrate ethical aspects in daily decision-making and reframe an ethics-laden situation in which all parties can benefit – that is, a win-win situation for everyone. Irrespective of the framework applied - the approach to the decision-making should be thorough and systematic within the organization, and that the action taken is truly ethically the optimal alternative available.

52.11 LET US SUM UP

Values are internalized standards or principles, which evaluate – what is embraced by an individual-for making a judgment regarding right and wrong things. The true values must have universal command and acceptability. Norms are expectations of proper behaviour and not the requirements of that behaviour. They are inconsistent but universal. A belief is some thought considered to be true by a person. A corporate culture is a set of values, beliefs, and norms and ways of solving problems, which is shared by the employees of an organization. Another important component of an organization is the ethical

culture. Ethical culture of an organization exhibits the influence of its co-workers and opportunities for unethical behaviour.

Managing by values has three basic steps: Identifying core values, Communicating core values and Aligning values and practices. Values generate behaviour and influence the choices made by an individual. Value differences and conflicts are caused by two discrete, whether perceived or actual, incompatible belief systems. Building high levels of alignment between personal values and those of the organization is a great challenge.

Ethical clashes or dilemmas may arise in several situations. An individual's responsibility is taking on accountability for one's personal situation.

Ethics of reciprocity (the Golden Rule) suggests that people should aspire to treat each other as they would like to be treated. Ethical reasoning is a process for selecting the course of action best supported by ethics. Ethical dilemmas are appropriately resolved by searching out innovative solutions and adopting an analytical process.

There are certain frameworks for ethical decision making. One traditional approach is based on weighing the desired outcome, the means used, the motivation, and the consequences. Another model viz. a 'Character-Based Decision-making Model' has three steps. A third model viz. 'Moral Compass' recommends the use of four lenses; that can be supplemented by three more lenses. Putting in place a framework for ethical decision making is desirable for an organisation.

52.12 KEYWORDS

Beliefs, Core values, Ethical Conflict, Ethical dilemma, Moral Compass, Norms, Personal Ethics, Values, Value conflict.

52.13 CHECK YOUR PROGRESS

- Managing by values in an organization has few basic elements, which include _____.
 - identifying core values
 - communicating core values
 - aligning values and practices
 - All of the above
- Which of the following is a feature of values?
 - Values provide standards of competence and morality
 - Values are very large in number
 - Values are relatively temporary and vulnerable to change
 - None of the above
- The Golden Rule says: _____.
 - Don't react to others
 - Do as you want others to do to you
 - Do as you wish to behave
 - None of the above
- Corporate culture is explained as: _____.
 - Set of values, beliefs, goals & norms
 - Ways of looking at problems
 - Maximizing profitability
 - Targeting bigger market share
- Ethical dilemma occurs when there is a _____.
 - clash between the two rights
 - conflict between a right and less right
 - disagreement between right and wrong
 - All of the above

6. Integrity is the core value, which _____.
- (a) makes an individual complete
 - (b) makes an individual partial
 - (c) makes an individual extensive
 - (d) None of the above

52.14 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (a), 3. (b), 4. (a), 5. (a), 6. (a).



ETHICAL DIMENSIONS: EMPLOYEES

STRUCTURE

- 53.0 Objectives
- 53.1 Introduction
- 53.2 Abuse of Official Position: Insider Trading, Proprietary Data, Bribes, etc.
- 53.3 Obligations to Third Parties
- 53.4 Job Discrimination
- 53.5 Sexual Harassment
- 53.6 Managing Conflict of Interests
- 53.7 Fair Accounting Practices: Related Party Transactions
- 53.8 HRM Ethics
- 53.9 Principles of Representation and Work Environment
- 53.10 Employees as Ethics Ambassadors & Managers as Ethical Leaders
- 53.11 Let Us Sum Up
- 53.12 Keywords
- 53.13 Check Your Progress
- 53.14 Answers to 'Check Your Progress'

53.0 OBJECTIVES

After studying this Unit, you will:

- Know about certain abuses of power by employees.
- Learn about job discrimination.
- Understand the acts that constitute sexual harassment.
- Know about managing conflicts of interest.
- Know fair accounting practices.

53.1 INTRODUCTION

Ethical dimensions of employees encompass person – situation interactions, unethical tendencies of employees for selfish motives, and role of managerial ethical leadership. Profit at any cost – a capitalist tendency – leads to selfish behaviour of adopting any means for short term gains. In an attempt to accomplish performance and get incentives based on traditional key performance indicators (KPIs) could be the root cause of the unethical behaviour of some of the employees both at top or bottom of the pyramid. The quantitative targets attached to the KPIs make employees just focus on the targets regardless of whether means used are ethical or unethical.

53.2 ABUSE OF OFFICIAL POSITION: INSIDER TRADING, PROPRIETARY DATA, BRIBES, ETC.

Employees are required to follow Code of Conduct laid down by the bank. Abuse of official position for personal gains or providing gains to friends, family members and others with selfish motive is unethical and would be violation of the Code of Conduct of the bank. Examples of abuse of power can be:

- Bank employee goes for a personal travel and claims reimbursement of expenses as official travel
- Showing preference to customers based on proximity to the employee (relatives, friends, etc)
- Use of official resources for personal use
- False claims beyond the fixed perquisites

(a) Insider Trading

Employees trading based on the internal information of the client which is not available to public amounts to insider trading. Say, just before a specific bank account of a large company is going to become NPA that is not announced officially, an employee knowing this sells the stocks of the company or advises friends to sell and get out of the stock, amounts to insider trading. Also, dealing in the stock of the bank where one is employed based on significant information that is not available to the public amounts to insider trading. SEBI has issued Insider trading rules which also include provisions regarding consequences of violation of the rules and declarations to be made by the employees on a quarterly basis.

(b) Dealing with Proprietary Data

Proprietary data refers to the information relating to the intellectual property rights and trade secrets of any company. All employees are expected to keep confidentiality of the data relating to all stakeholders, customers, vendors, promoters, investors and others who are associated with the bank. Key strategies and sensitive data are to be kept confidential and should not be revealed to competitors through unfair means.

(c) Bribes

Bribes refer to paying money or gift to a person with a motive of getting some favour done. Bank employees conduct various operations of credit appraisals, loan disbursements, monitoring, recovery, marketing of bank products and services where element of bribery may appear. Similarly, bank employees deal with many agencies for official purposes, any act of getting favorable treatment in such transactions by offering bribes to the concerned officials is an offence related to bribery. Taking or giving bribes both amount to unlawful activity and is punishable.

53.3 OBLIGATIONS TO THIRD PARTIES

When a bank outsources its functions to certain third parties, it needs to have clear, transparent contracts and agreements with all terms & conditions incorporated. Especially in service contracts, the service level agreements (SLAs) have to be defined minutely and ensure that the third party does not cause any inconvenience to the customer.

53.4 JOB DISCRIMINATION

Job discrimination refers to differentiating employees based on religion, caste, sex or race. Right from the entry into the job, working conditions, emoluments and promotions, one may observe certain instances of discrimination, though there are laid down Rules and regulations that there should be no discrimination among employees. One needs to ensure proper HR practices and also employee conduct in inter-personal behaviours.

53.5 SEXUAL HARASSMENT

Indian banks have implemented elaborate system of handling the sexual harassment cases. One can observe increasing number of cases have been reported in the larger society in recent years. This can be attributed to the transparency in dealing with cases, and also awareness of the legal recourse amongst the employees.

About two decades ago, in February 1998 the RBI advised all commercial banks to implement the Guidelines given by the Hon'ble Supreme Court of India titled *Sexual Harassment in Work Places – Guidelines by Supreme Court To Prevent Such Harassment*.

Employees are to be made aware of the definition of sexual harassment and its express prohibition. The conduct rules governing the employees should cover these aspects, and provide for appropriate penalties against the offender. Banks need to ensure that appropriate work conditions are provided in respect of work, leisure, health and hygiene, and there is no hostile environment towards women at work places. A woman employee should not have grounds to believe that she is disadvantaged in connection with her employment. Banks should set up a mechanism in the entire bank to deal with complaints of sexual harassment.

Sexual harassment includes unwelcome sexually determined behaviour (whether directly or by implication) as:

- (a) Physical contact;
- (b) A demand or request for sexual favours;

- (c) Sexually coloured remarks;
- (d) Showing pornography; and
- (e) Any other unwelcome physical, verbal or non-verbal conduct of sexual nature.

Where any of these Acts is committed in circumstances where the victim of such conduct has a reasonable apprehension that such conduct can be humiliating and may constitute a health and safety problem. It is discriminatory for instance when the woman has reasonable grounds to believe that her objection would disadvantage her in connection with her employment or work including recruiting or promotion or when it creates a hostile work environment.

53.6 MANAGING CONFLICT OF INTERESTS

The dictionary meaning of conflict of interest is “a situation in which a person is in a position to derive personal benefit from actions or decisions made in their official capacity”. It is expected that the top management recognises such conflicts of interests and take some definite pre-emptive measures so that they do not result in inappropriate or adverse consequences on the banks and some or all stakeholders.

Conflict of interests may occur between: A bank and its client/clients; Among the employees of a bank; Employee of a bank and a client; Between a given bank and one or more of its clients; Provision of bank’s services to two or more clients.

Many of these conflicts can be resolved internally by the banks. Some options available to deal with the conflicts are: Identifying and preventing such conflicts; Setting up institutional controls and mechanisms for handling these as per the degree of potential risks; full disclosures to the affected parties so that they are aware of the potential impact.

53.7 FAIR ACCOUNTING PRACTICES: RELATED PARTY TRANSACTIONS

RBI has issued instructions regarding presentation of financial statements and disclosures required to be made. These are in addition to the statutory disclosure requirements. Banks also have to comply with various Accounting Standards notified under the Companies (Accounting Standards) Rules, 2021.

(a) Minimum Disclosures: Notes to Accounts

At a minimum, the items listed in the RBI Guidelines should be disclosed in the ‘Notes to Accounts’. Banks may make more comprehensive disclosures than the minimum required if they become significant and aid in the understanding of the financial position and performance of the bank. Banks shall disclose comparative financial information of the previous period, and also for narrative and descriptive information.

(b) Summary of Significant Accounting Policies

Banks should disclose various accounting policies regarding key areas of operations at one place along with Notes to Accounts in their financial statements.

(c) Disclosure Requirements

In order to encourage market discipline, RBI has developed a set of disclosure requirements which allow the market participants to assess key pieces of information on capital adequacy, risk exposures, risk assessment processes and key business parameters which provide a consistent and understandable disclosure framework that enhances comparability.

(d) Accounting Standard 18 – Related Party Disclosures

This Standard is applied in reporting related party relationships, and transactions between a reporting enterprise and its related parties. The illustrative disclosure format recommended by the ICAI as a part of General Clarification (GC) 2/2002 has been suitably modified to suit banks. An illustrative format of disclosure by banks for the AS 18 is suggested by RBI.

53.8 HRM ETHICS

Human Resource Management refers to designing and managing formal systems to optimally utilise the people as human resources. With satisfied employees in a bank, the bank tends to optimise their utilisation with greater employee engagement. Unless the employees are satisfied with their conditions at work and compensation, recognition, promotion, etc., they are not fully motivated in performing their duties. This leads to a compromise of customer satisfaction, which would in turn affects the business for banks.

Retention of young qualified talent depends not merely on the compensation but also on work environment, ethics, governance, scope to enhance knowledge, etc. In the absence of nurturing the talent, there is a danger of the talent migrating to the competitors. There should be fairness in all aspects.

53.9 PRINCIPLES OF REPRESENTATION AND WORK ENVIRONMENT

A well laid down process of representation of any concern or whistle blower policy helps employees to work fearlessly. Work environment that is based on ethical principles makes employees more motivated and confident in delivering their duties and responsibilities.

53.10 EMPLOYEES AS ETHICS AMBASSADORS & MANAGERS AS ETHICAL LEADERS

The ethical culture from the senior leadership percolates down in the bank. However, the employees do not personally know the senior leaders. They form their opinions based on what they come to know through others or when they listen to the top leaders. Therefore, the senior leadership should convey the importance of ethics in a variety of ways and in such a manner as to reach to every employee in the organisation. If senior managers talk about ethics regularly and also walk their talk without exception, they will develop a reputation for their ethical leadership. Leading by example, they shall become role models for others. The employees, in turn, will also practice ethics in letter & spirit and turn into ethics ambassadors in their own ways.

53.11 LET US SUM UP

Employees are required to follow Code of Conduct laid down by the bank. Abuse of official position for personal gains or providing gains to friends, family members and others with selfish motive is unethical. There are several other unethical conducts. There is therefore need to ensure proper HR practices and also employee conduct in inter-personal behaviours. Indian banks have implemented elaborate system of handling the sexual harassment cases. Given the nature of banking business, conflicts of interest are inevitable. Hence it is important for the top management to take definite pre-emptive measures so that these do not result in inappropriate or adverse consequences. RBI has issued instructions regarding presentation

of financial statements and disclosures required to be made. These are in addition to the Companies Act 2013 and SEBI regulations. In this context, the disclosure of related party transactions as per AS 18 and AS 19 assumes special significance. Human resources practices go a long way in enhancing employee satisfaction. An environment of proper ethics, good governance, and scope to enhance knowledge helps in attracting and retaining good resources. The ethical culture from the senior leadership percolates down in the bank. The employees, in turn, will also practice and turn into ethics ambassadors in their own ways.

53.12 KEYWORDS

Obligations of banks, Obligations to third parties, Job discrimination, Sexual harassment, Managing conflict of interest, HRM Ethics, Fair accounting practices

53.13 CHECK YOUR PROGRESS

1. Insider trading refers to:
 - (a) Employee making use of confidential information
 - (b) Passing on confidential information to relatives, friends
 - (c) Trading in the stock market without informing the bank
 - (d) All of the above
2. Job discrimination means an employee being denied opportunity based on ____:
 - (a) race/Religion
 - (b) caste
 - (c) sex
 - (d) All of the above
3. Bank employees are expected not to accept bribes while:
 - (a) Credit appraisals & loan disbursements
 - (b) Monitoring and recovery of loans
 - (c) Marketing of bank products and services
 - (d) All of the above

53.14 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (d), 3. (d).



WORK ETHICS AND THE WORKPLACE

STRUCTURE

- 54.0 Objectives**
- 54.1 What Is Work Ethics? Something Bigger Than the Self**
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54.0 OBJECTIVES

After studying this Unit, you will:

- Know the meaning, identification and significance of work ethics
- Understand the importance of thinking beyond self-growth
- Learn the ways of recognizing ethical workplaces
- Understand situational analysis for identifying causes of and solutions for unethical behaviour
- Know the need for whistle blower policy and measures to protect all genuine complainants

54.1 WHAT IS WORK ETHICS? SOMETHING BIGGER THAN THE SELF

54.1.1 Work Ethics

It is tough to identify whether or not some employees are following work ethics. Work ethics does not have universally similar connotations across countries, religions, organizations, departments, etc. yet there is substantially common agreement on this aspect.

One can understand an employee's work ethics by observing and analysing: the way employee feels about the job (and thereby the responsibilities and authority), is engaged with the current organization, gets along with subordinates and superiors in work matters, values the tasks, communicates with the external stakeholders, etc.

It is important in distinguishing a person with high level of work ethics from the rest. Some treat themselves as merely out-of-the-way or detached employees who eventually, would move to some other organization for a better designation or pay or comfort such as lesser commuting. This type of employees is low on work ethic.

Some of these characteristics of individuals are innate and some people believe these characteristics cannot be developed through training, or other initiatives. Experience in other areas show it is possible to develop work ethics through appropriate interventions and proper work environment.

54.1.2 Something Bigger Than the Self

There is a hierarchy in which human beings generally think about the purpose of one's life. The hierarchy can be as under: Self; Family; Community; Religion; Society; Global causes

- Self:** Individuals generally are busy with their personal and professional achievements. They keep revising their goals like salary, assets, promotion, etc. till the active part of their life has ended.
- Family:** Members of the core family like spouse, sons or daughters – their education, health, upbringing, etc. also take away significant part of one's time in life. The settlement of the offspring after education and marriage is also undertaken by the parents themselves.
- Community:** A person is associated for decades with others in the community, there are natural expectations of relatives, friends, etc. This social pressure is more on those who achieve significant positions in various occupations. One has to be helpful, but remain ethically conscious.
- Religion:** Those persons who have faith in any religion render some free service in the place of worship. These matters need not be talked about at the workplace.
- Society:** Larger social issues like dealing with the underprivileged, physically challenged, mentally retarded and other backward members, rural poverty, rural unemployment, women oppression, etc.

are some national-level challenges which cannot be tackled by the government alone. Individuals who have reasonably settled in their work and personal lives, can contribute, financially or otherwise.

- (f) *Global Causes:* Beyond the national boundary, are issues of global purview. These include issues like the environmental problems, international child trafficking, money laundering, ensuring sustainable development and global ethics, etc. This would require individuals and organisations to use the existing laws and rules already put in place. For instance, polluting industries or industries using outdated technologies should not be encouraged through bank loans.

54.2 ETHICAL BEHAVIOUR AT THE WORKPLACE: BENEFITS

Actions that are warranted and are appreciated not just by the internal management and colleagues but even by external stakeholders can be considered as ethical behaviour. Each employee, irrespective of position or tenor in an organization, can realize whether his actions augur well for the organization or not. One is not required to spend much time on reflecting about ethicality of routine transactions that have already been determined to be ethical behavior.

Certain situations in which routine transactions are to be undertaken, or certain peculiar type of transactions would require decision making with ethics.

An acceptable ethical behaviour involves an employee's general set of beliefs, values and behaviour that he/she shapes up for the regular day-to-day method of service delivery to the customers and treatment of other co-employees. Customers, who are semi-literate or illiterate, who come to the bank requiring some help in filling up a form should be helped by the staff. Similarly, customers with challenges related to eyesight or hearing need to be given extra help. Communicating the bank's policies of customer service, assuring the customers of help relating to the work, etc. are part of ethical behaviour by the employees at the workplace.

There could be instances when an employee gets annoyed with a suggestion or directions by another colleague. Such differences or disputes should not be debated in public, especially in the presence of outsiders. These should be dealt with in private, may be with the help of some senior, if required. Further, an employee must be vigilant about not discussing about the problems of the bank or one's own grievances with the bank, in the presence of outsiders or when in a public place. Executing the lawful instructions of superior officers constitutes ethical behaviour, and non-compliance with it is unethical. However, acting upon instructions from a superior that are violative of a law/regulation or that would be harmful to the customer or the society is unethical.

54.3 RECOGNISING ETHICAL WORKPLACES

An ethical workplace can be identified easily by even ordinary persons who may not have any expertise in fields like organization theories, philosophy, law, communication, etc. Some of the indicators of an ethical workplace are:

- Respectful treatment of all categories of customers by the front-office personnel;
- Employees' awareness of the business processes and quick and to-the-point clear answers to queries;
- Giving correct and authentic information to customers on bank's products and practices;
- Acceptable body language of the employees at the workplace;
- High degree of energy level and commitment to work, and going the extra mile to help customers;

- Confining to work-related talks and avoiding other matters not relating to the work directly;
- No direct or indirect hints to customers to meet the employees outside the workplace;
- No expectations or acceptance of gifts/favours (irrespective of the amount);
- Fair and appropriate treatment given to co-employees;
- Wherever necessary, parsing and defending the policies and decisions of the employer;

54.4 UNETHICAL BEHAVIOURS: CAUSES AND REMEDIES

54.4.1 Causes of Unethical Behaviours

The major causes for unethical behaviour at workplace are as follows:

Non-availability of Code of Ethics Manual; Lack of fear of Action; Unrealistic Targets; Influence of Co-employees; Unprincipled Leadership; Means are not appreciated

- Code of Ethics Manual:* Some organizations keep a formal code of conduct manual. However, it does not take the shape of the Code of Ethics.
- Fear of Action:* Employees may behave differently if they find that the management practices ethics very seriously and even take actions against them if things go unethical.
- Unrealistic Targets:* Due to competition, employees are pressurized to meet unrealistic targets. Some employees resort to short cuts by claiming work which was never done, etc. The cause is the pressure (external or self-created) to achieve unreasonably high targets.
- Influence of Co-employees:* In some departments or even entire organizations, few of the employees may resort to corrupt or unethical behaviour at workplace. Like focus on personal work during office hours, leave workplace several times during the day, etc. This kind of behaviour has a bearing on the new recruits, who will be learning this from their superiors or colleagues.
- Unprincipled Leadership:* If the regulators or investigating agencies enquire top managements of an organization and media reports poorly about their involvement the middle and junior level employees lose respect towards such leaders.
- Means are not appreciated:* Let us take two situations where a sales department is dealing with two employees in comparable position with similar experience. Of the two, one employee A has achieved lesser sales target but has not violated any ethical principle. His style of selling a product was well received. On the other hand, second employee, B, has achieved a greater sales target but only by using some unethical methods. If B is applauded and A is not encouraged, it will emit signals that the organisation does not visibly believe in appreciating the ethicality of means.

54.4.2 Remedies for Unethical Behaviours

The following measures can be tried as some of the remedies:

Developing Ethics Manual; Having conversations about ethics in the organization; Nipping of unethical behaviour in the bud; Frequent utilization of the Manual; Imitable behaviour by the Top Management; Appreciation and Rewards for ethical behaviour; Encouragement of counter viewpoints and discussions in meetings; Care for reputation rather than results

Some of the following practices give a perception about some of the common unethical practices found at the workplace:

Abuse of the official email; Pre-employment Tests; Personal Habits; Data Leakage; Helping Friends in Social Decisions

(a) Abuse of the official email

Mr. RK has been working with a private bank for nearly three years. Soon after a Board meeting, he sent an email from his official email ID to the official IDs of three of his team members.

The contents of the mail were highly critical and ridiculed the functioning of select internal top management and even alleged “lack of basic knowledge and awareness on the part of the board members who announced bonus to the top most official”. It also contained allegations against a top executive of the bank of having siphoned the bank’s funds. One of the recipient of RK’s mail brought this to the notice of his Head of Department, who arranged for setting up of an inquiry against RK’s action. RK could not provide any evidence supporting his allegations, except vaguely asserting that at least a quarter of the bank knows about this.

The committee, after detailed inquiry and deliberations, recommended the most exemplary punishment for RK so that others would refrain from repeating the same act in future. Management, based on the enquiry committee report and recommendation, asked RK to submit his resignation seeking to be relieved on personal reasons and that if he failed to do so in the next three working days, he would be terminated on the grounds of his unacceptable behaviour and conduct at workplace. RK quit the bank.

Management of the bank promptly acted on the advice of the committee and the existing Code of Ethics was revised by incorporating a half a page on the email norms.

(b) Pre-employment Tests

Many of the career-oriented young women face this peculiar issue during pre-employment medical tests – pregnancy is considered a disqualification.

In formal sector employers pay their employees’ medical insurance and it would cost hefty sums as premiums in case of recruiting women who are pregnant owing to the risks the insurer may require to cover. These risks are absent for the male counterparts or those women who already have 2–3 kids and others who crossed a particular age. Also, organisations will lose out due to maternity-related leave from such employees as they cannot stay for longer hours at the workplace and frequently seek special permissions to come late or leave early on account of childcare/child health.

- Should organizations avoid one or two maternity leaves of an employee with career spanning 30–35 years?
- Does this amount to gender discrimination, which is unethical and illegal?
- Should a pregnant woman at the time of joining, be asked by the recruiters to bear extra premium for the year by themselves?
- If the males spend longer time at workplace (compared to female counterparts), should the entire service duration by the former be considered to be relatively more productive and more valuable?

(c) Personal Habits

Suddenly, there was a lunch-hour protest in a company by a group of employees protesting against the decision of their HR department to carry out routine checks for their employees to know whether or not they have alcoholism and smoking as habits. Medical examination, carried out by a local unit of a renowned pathological hospital chain, had been conducted and employees’ personal habits were shared with the HR department, who in turn passed this employee-wise information of close to 200 employees to the insurance company, which was providing Group Mediclaim Service to the Company.

The reasoning given by the employer is that the insurance companies need to spend huge medical expenses in reimbursing employees covered under the Group Health Insurance schemes. Many of the fresh graduates and post-graduates, according to HR department, selected from campuses each year, somehow restrain smoking and or drinking till such time they get into an organization of repute. Once they settle down in a job, they start getting addicted to certain habits that are not acceptable to insurance companies. Diseases like kidney failures, lung or throat cancer, for instance require huge sums to be reimbursed to the affected persons who are insured subject to conditions. If these conditions are violated, the employee is at fault and cannot blame the employer.

The issue here is why an employer should be concerned with the social and personal lives of its employees. So long as the employees resist pursuing their habits at the workplace, the employer need not have any objection. The stance of the employer in this case is that even it does not wish to disturb its own employees if the insurers permitted this. When premium details are shared on intranet, other persons get to know the personal habits of individuals, which some feel is a matter of privacy.

(d) Data Leakage

A prominent hotel provides discount to individuals who spend a select number of days in their chain of hotels across India. Mr. KRR developed a bonding with this chain way back 15 years ago. One day, he learnt that his wife got to know specific details about his stay, type of food consumed, quantity and brands of alcoholic drinks consumed, details of places visited during each stay at various places. She is also a working woman and incidentally stayed at one of the hotels owned by the same Group. The means used by her for obtaining this information is not known.

Usually for convenience, guests take food from the same hotel's restaurant, and use its travel desk service. This information is analysed by the hotel to retain esteemed clients, who can also provide them additional business by recommending the hotel to their friends or relatives.

Hotel authorities may initiate some action on the employee who leaked the information about a guest, but if the person/s who worked for the central billing section or information technology section has left the hotel what can be done.

One option for the guest is to lodge a complaint with the police and then keep visiting the courts till the matter is disposed. Another way to deal with this situation is to demand some compensation to settle the matter mutually with the hotel. The third option is to stop visiting the hotel and inform as many friends and relatives as possible about his experience.

- What suggestion/s do you have for the employees, internal management and members of the board of the hotel, which is a listed entity on two stock exchanges, for improving the situation at this chain of hotels?
- Is lack of ethics involved here? If so, who is unethical and why?

(e) Helping Friends in Social Decisions

Ms. BD is a studious student and just succeeded in joining as a probationary officer with a famous bank. She was helped in this by her classmate's mother. The classmate was a close friend of four years of their engineering degree. Both her classmate and her mother complimented BD. Then a few years lapsed with no contact between them.

After nearly five years, suddenly Ms. BD gets a phone call from her friend, after office hours for a "small" help. Her mother was looking for some suitable bridegroom for her daughter. Two of the shortlisted men

have their salary accounts with the same bank BD works for. BD was requested to inform about habits of these persons based on their debit and credit card transactions. Some of the card payments by typical youth may be for settling bills at bars, pubs, etc., which her friend's mother was eager to know.

- How should BD deal with this situation? Should she flatly explain her inability or help?
- If the bank authorities find BD sharing specific customer information with others, they will treat it as a serious breach of trust the customers have on the bank for confidentiality of their financial details. Does this action really violate the trust?
- There is no quid pro quo which Ms. BD gets in this entire episode. Can this action still be justified?

54.5 CONDUCTING PERSONAL BUSINESS DURING OFFICE TIME

As organisations become large with more employees, some decentralization of work becomes necessary. Each individual employee cannot be monitored on a day-to-day and hour by hour basis. Organisations, would review the tasks assigned to individual employees in weekly meetings. For experienced employees who may not be seriously involved in the assigned tasks during the week, some little preparatory work just before such meetings would suffice.

What makes some employees indulge in personal work? Many a time, it is not for just one reason. There can be several reasons behind such activities. Some types of unrelated tasks done by employees at workplace are:

Taking up preparation/filing of tax-returns for self, spouse and relatives; Taking up assignments for clients; Searching and comparing the products for online shopping; Guiding employees of small businesses owned by them; Completing the school assignments for their kids; Working for other organisations on informally agreed assignments like feasibility reports.

The reasons for doing so could be as under:

Low work ethic and no respect for customers; Greed to earn more money; Unquestioned job security; Not believing in family members' abilities to do their own tasks; Demotivated and distracted due to denial of promotion; Not given adequate workload; Unassertive reporting officer/management; Fear of management to face litigations in courts

54.6 TAKING CREDIT FOR OTHERS' WORK

This problem is often seen in many organisations, which demotivates sincere workers/employees. The root cause is inappropriate ways of mixing individual responsibilities with so-called team work. There can be shared responsibility in case of some tasks while individuals are and should be made capable of handling some tasks independently. The problem arises where the individual tasks are mixed with the team-based work. Some members in a team are inherently weak and incompetent, while some are low on work ethic, who find out ways and means to evade the assigned work. They make some rehearsed statements that convince the manager undertaking the review. Others who have genuinely worked will remain quiet or just wait for their turn, which never comes in a routine meeting.

Some employees are introvert, come from rural or economically humble background, had education in regional languages, lack public-speaking skill, lack articulation in expressing one's own work, etc. The other set of employees have a contrast in their background – extrovert, affluent socio-economic background, convent-educated, exposure to various international cultures, socially articulate, clever

in claiming others' work as their own without working sincerely. Both types of employees coexist in a typical organization. It is the responsibility of the top management to factor in this aspect and value the work by appreciating and discounting the claims appropriately.

54.7 ETHICAL LAPSES AND ORGANIZATIONAL CULTURE

The typical codes of conduct, guidelines and regulatory guidance focus on preventing unethical practices by employees and staff of various organizations. There has to be constant tracking, monitoring, review, analysis and assessment of each individual, departments, divisions, regions, zones which is a time-consuming and costly exercise. Often the morale of employees and staff at workplace towards surveillance is not positive. It is considered as invasive, interference and presumptive untrustworthiness to the employees of the organization by its senior management.

Should a peon spending some of his office time talking pleasantries with a few customers in a branch be treated at par with frauds involving thousands of crores of rupees of bank money? May be, in an absolute sense, both are wrong deeds and should not be overlooked. Is it worth taking action on one or two such instances of wasting time by watching a week-long video footage in a branch as compared to a few passwords and codes stolen by a person from some colleague? There must be more stringent (ideally fool-proof) controls for high-value frauds (which originate from unethical individual behaviour). So grade-wise segregation of unethical practices be done, and dealt with appropriately.

An ethical recovery paradox may exist if firms go the extra mile to deal with an ethical violation in a highly effective way. Such actions could, therefore, restore and enhance employee confidence and support.

54.8 ETHICS OF A BANKER

A banker can be evaluated for the ethical commitment at three stages of his/her career –

- i. at the initial stage (up to first 5–7 years of entry in banking),
- ii. at the middle management stage (7–15 years into banking), and
- iii. at the senior management level (normally after 15 years into banking)

Banks need to groom an employee into an ethical professional during the first phase through adequate training and informal interactions and as part of off-site get-togethers. At this stage employees form an opinion about their career in banking and they should not be left unengaged in the field of ethical behavior. Persons in the middle management may be deployed as trainers and coaches, as they have lesser gap with the new recruits than the senior management executives. The younger employees open up to these coaches and confide in them some of their dilemmas relating to ethics and may follow their advice more as a college senior guiding the junior batch students. The executives at the third stage, can try to resolve inter-personal issues at workplace, create an environment of free and open talks with seniors, encourage openly employees with honest behaviour, etc. They may familiarise the employees with the pressures faced by senior management/ board members and guide their subordinates in taking decisions so as to help the top brass in preserving and enhancing the reputation of their bank.

There have been serious scandals too, such as when traders from 20 banks across three continents colluded to manipulate LIBOR rates that determine the rates millions of people pay on their mortgages and the interest they receive on their savings. A participant at a recent OECD financial round table pointed out that too many actions by the financial sector have been destructive, even cynical, leading to negative

returns for pension funds, misallocation of resources, and scandals.

Employees with highest ethical conduct never would fall prey to any amount of attractions of money, material and other forms of unacceptable inducements. Some of the major ethical qualities expected of a banker throughout his/her career are:

Honesty and Integrity; Commitment to Customers; Confidentiality; Fair treatment; Transparency; Duty-mindedness

54.9 WHISTLEBLOWING IN BANKS

Whistle-blower policy for the public sector banks and RBI was brought under the purview of the Central Vigilance Commission (CVC) with effect from April 21, 2004. On April 18, 2007, the Reserve Bank of India brought out the '*Protected Disclosures Scheme for Private Sector and Foreign Banks*' in the context of whistle-blower mechanism in these two categories of banks.

Following are some aspects of the Scheme:

- (a) **Scope and Coverage:** The Scheme covers complaints of corruption, misuse of office, criminal offences, suspected/actual fraud, non-compliances with regulations etc., acts resulting in financial loss/operational risk, loss of reputation, and acts detrimental to depositors' interest/ public interest.
 - Employees of the bank, customers, stakeholders, NGOs and members of public can lodge complaints.
 - Anonymous/pseudonymous complaints will not be entertained.
 - RBI is the Nodal Agency to receive complaints under the Scheme. The identity of the complainant is kept secret, except if complaint turns out to be vexatious or frivolous and action has to be initiated against the complainant.
 - The institution against which complaint has been made can take action against complainants for motivated/vexatious complaints, after being advised by RBI. An opportunity of hearing will, however, be given by the concerned bank to the complainant before taking such action.
 - Final action taken by RBI on the complaint will be intimated to the complainant.
- (b) **Procedure for lodging the complaint:** The complaint in a sealed envelope superscribed as "Complaint under Protected Disclosures Scheme for Banks" is addressed to Department of Supervision. Name, designation and address of the complainant must be given in the covering note. Complaints may also be made in the email form. The complainant should ensure that the issue raised by him involves dishonest intention/ moral angle. The details of the complaint should be specific and verifiable.
- (c) **Handling of complaints by RBI:** In order to protect the identity of the complainant, RBI will not issue any acknowledgement of receipt of the complaint and the complainants are advised not to enter into any further correspondence with the RBI in their own interest. If any further clarification is required, RBI will get in touch with the complainant.

Most Indian banks are subject to the Companies Act, 2013 having been incorporated under the Act or listed on a stock exchange. The Act and the rules framed thereunder contain certain provisions requiring specified categories of companies to have a vigil mechanism.

Most private sector and foreign banks have adopted whistle-blower policy that go beyond the legal/ regulatory requirements.

54.10 WHISTLEBLOWING LAW IN INDIA

Those officers and staff who attempted in the past to expose the corruption and wrongdoings by some unscrupulous employees or other stakeholders like contractors/operators empanelled with their organisation were killed or injured or faced life threats. Many incidents took place in public works of government of India, public sector enterprises, cooperatives and police departments to name a few.

Whistle Blowers Protection Act, 2011 received the assent from the President of India in May 2014. It provides a mechanism to investigate alleged corruption and misuse of power by public servants and also protect the complainant who exposes alleged wrongdoing in government bodies, projects and offices. The wrongdoing might take the form of fraud, corruption or mismanagement. The Act provides punishment for false or frivolous complaints. The protection of genuine complainant is the responsibility of the CVC.

54.11 LET US SUM UP

Work ethics does not have universally similar connotations across countries, religions, organizations, departments but there is a great amount of common agreement on the aspect called the work ethic. It is the manner in which a person gets along with his subordinates and superiors in matters relating to execution of work, how he values the tasks associated with the job and the way he communicates with the external stakeholders. An ethical workplace can be identified easily by even ordinary persons who may not have any expertise in fields like organization theories, philosophy, law, communication, etc.

The major causes for unethical behaviour at workplace are: Non-availability of Code of Ethics Manual; Lack of fear of Action; Unrealistic Targets; Influence of Co-employees; Unprincipled Leadership; Means are not appreciated. Having an Ethics Manual in the organization and its effective implementation is the key to prevention of unethical practices and development of a great ethical culture in the organization.

Banks need to groom an employee into an ethical professional through adequate training and through informal interactions from the beginning of their career. Whistle-blower policy for the public sector banks and the RBI is under the purview of the Central Vigilance Commission (CVC). Whistle Blowers Protection Act, 2011 provides a mechanism to investigate alleged corruption and misuse of power by public servants and also protect the complainant.

54.12 KEYWORDS

Self, Something bigger than the Self, Code of Ethics Manual, OECD Survey of bank employees, Major ethical qualities of a banker, Whistle-blower Policy of RBI

54.13 CHECK YOUR PROGRESS

1. If a banker strives towards *ensuring sustainable development*, which of the following hierarchies of 'bigger than self' can this be attributed?

(a) Community	(b) Religion
(c) Society at large	(d) Global causes

2. An acceptable ethical behaviour involves an employees' general set of beliefs, values and behaviour that he/she shapes up for the regular day-to-day method of service delivery dealing with _____.
 - (a) superior officers and board members
 - (b) all categories of the customers and to the other co-employees of the own organization
 - (c) customers
 - (d) high net worth individuals
3. Of the following, which one is NOT a remedy for unethical behaviour?
 - (a) Developing Ethics Manual
 - (b) Nip unethical behaviour in the bud
 - (c) Means are not appreciated
 - (d) Annual Performance Appraisals
4. Of the following, which does NOT amount to conducting personal work during business hours?
 - (a) Searching and comparing the products for online shopping
 - (b) Searching content and comparing corporate governance models to help the superior to deliver a speech in a bank's meeting
 - (c) Guiding employees of small businesses owned by the employee
 - (d) Completing the school assignments for kids
5. Whistle-blower Policy for the Public Sector Banks and the RBI has been brought under the purview of _____ with effect from April 21, 2004:
 - (a) Serious Fraud Investigation Office (SFIO)
 - (b) Comptroller and Auditor General of India (CAG)
 - (c) Central Vigilance Commission (CVC)
 - (d) Chief Information Commissioner (CIC)

54.14 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (b), 3. (d), 4. (b), 5. (c).



BANKING ETHICS: CHANGING DYNAMICS

STRUCTURE

55.0 Objectives

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55.2 Ethics and Technology

55.2.1 Role of Information Technology in Banks

55.2.2 Role of Ethics in Technology

55.3 Data Security and Privacy

55.3.1 Data Security

55.3.2 Data Privacy

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55.9 Answers to ‘Check Your Progress’

55.0 OBJECTIVES

After studying this Unit, you will:

- Know the impact of Information Technology on banking and financial services
- Understand the role of ethics in technology based services
- Learn the data security related aspects
- Know the issues related to data privacy

55.1 INTRODUCTION

Globalization has led to integration of economies as well as societies. The global connection through electronic communication and technologies has resulted in exchange of diverse cultural ideas and practices. This exponentially changing dynamics of technology has increased the complexity of banking and financial services. The business environment is far too challenging and competitive with multiplying risk factors.

55.2 ETHICS AND TECHNOLOGY

55.2.1 Role of Information Technology in Banking

Banking and financial services sector has been witnessing unprecedented changes and improvements with increasing use of Information Technology (IT). In fact, IT is driving financial services business. Now it is no more a matter of *choice*, but a matter of compulsion for banks and financial institutions to use state-of-the-art technology for survival and growth. Be it the highly educated and tech-savvy urban Indians or not so technology-familiar semi-urban or rural Indians, almost all bank customers today are open to taking the benefit of technology.

Mergers of banks have given rise to certain challenges due to different technological frameworks of the merging banks.

IT has been used in two avenues in banking: communication and connectivity, and business process reengineering (BPR). IT enables sophisticated product development, better market infrastructure, reliable techniques for risks control and helps the financial intermediaries to reach geographically distant and diversified markets. The contours of three major functions of banks have changed viz. access to liquidity, transformation of assets and monitoring of risks. Further, there has been crucial bearing on the efficiency of money, capital and foreign exchange markets.

In the previous millennium, a bank would be considered customer-friendly based on the courtesy and quality of services at its branches - on the basis of efficiency of service in the branches, resolution of issues by the branches, if required by the branch manager or the available senior-most employee. With spread of electronic channels, banking services are also rated through these channels, a customer instantly expresses her satisfaction or otherwise from her mobile screen.

IT has changed significantly the way organizations communicate and maintain relationships with internal and external customers. It leads to increased customer satisfaction and profitability. Several IT-based tools and applications like the Internet, email, mobile phones, digital channels, etc. offer excellent opportunities for a cost-effective, personalized and interactive communication between a bank and its customers. Using IT, customers can be provided with newsletters, reminders, interactive games, interactive training, etc.

Banks are offering more and more services through “Online Banking” channel. Further, this channel is now accessible not only through personal computers but also through smartphones. The customer now can literally use banking services any time any where, even when walking on the road!

The focus has thus shifted to adoption of latest technologies in banking, revolving around analytics and business intelligence to enhance their Customer Relationship Management (CRM). Similarly, improving internal effectiveness includes Management Information Systems (MIS) and managing risks arising out of IT implementation are also key focus areas.

55.2.2 Role of Ethics in Technology

Each second, billions of data gets captured and transmitted in public domains, while some data remain accessible to a few authorised persons. Some of the data captured by a bank may be pure banking-related data (like opening or renewal of a term deposit, receipt of interest, salary or rental income credited to one’s account, etc.) and other data could be pertaining to the services (like air ticket booking, hotel payment, online payment of insurance premium, mutual fund investment, etc.) for which bank’s payment services are used..

As banks collect, store and access such customer data and information on a continuous basis, they have a primary moral obligation to prevent data leaks and data misuse. Customers must be assured that their data and information are handled in a secured and confidential manner for their trust and faith in the banking system.

Bank customers receive unsolicited marketing phone calls from various business enterprises like resort operators, club houses, etc. The IT department personnel should be monitored to ensure that they do not leak bank customers’ data to outsiders, whether or not for a reward. Periodical training should be held to impress that data leakage is unethical, and guilty employee should be severely dealt with.

Two terms FinTech and the Regtech have been coined. FinTech refers to technology for delivery/facilitation of financial services. RegTech refers to technology facilitating regulatory compliance.

Banks and financial institutions are realising the value addition in adopting and/or adapting various FinTech innovations. Such collaborations are an great opportunity to increase revenues and to bring about innovation to benefit the customers.

Based on the recommendation of the Working Group on Fintech and Digital Banking, RBI put in place an ‘Enabling Framework for Regulatory Sandbox’. The objective is to foster responsible innovation in financial services, promote efficiency and bring benefit to consumers. It is a formal regulatory programme for market participants to test new products, services or business models with customers in a live environment, subject to certain safeguards and oversight.

55.3 DATA SECURITY AND PRIVACY

Online banking transactions on various digital platforms mean risks related to data security and privacy are much more critical. As technology based activities are outsourced to FinTech companies to a greater extent, banks need to have strict internal control system to ensure that FinTech companies adhere to the established internal procedures and compliance of the bank.

The banks need to ensure that the staff/personnel of the bank and FinTech service provider have appropriate level of integrity, awareness and capability to ensure the compliance and privacy of banking data. Data

privacy rules may vary from bank to bank and also geography to geography. Each bank needs to develop strong internal awareness, processes and capability to ensure data privacy.

55.3.1 Data Security

RBI provided “Guidelines on Information security, Electronic Banking, Technology Risk Management and Cyber Frauds” to all commercial banks.

- i. To define and implement procedures to ensure integrity and consistency of all data electronic form (databases, data warehouses and data archives).
- ii. To ensure uniform data protection within and outside the institution.
- iii. There should be secure storage of media. Controls could include physical and environmental controls such as fire and flood protection, limiting access by means like physical locks, keypad, passwords, biometrics, etc., labelling, and logged access.
- iv. Banks need appropriate disposal procedures for both electronic and paper based media.
- v. Banks should maintain security of media while in transit or when shared with third parties.
- vi. Banks should encrypt customer account and transaction data which is transmitted, transported, delivered or couriered to external parties or other locations.
- vii. A few other aspects include blocking, filtering and monitoring of electronic mechanisms like e-mail, printing, monitoring for unauthorised software and hardware like password cracking software, key loggers, wireless access points, etc.

55.3.2 Data Privacy

Some studies show that it is easier to track frauds undertaken through electronic means than physical fraud. FinTech companies can use technology and analytics to prevent and predict frauds. The onus could be on the FinTech players to utilize their technological expertise, and assist/ engage with regulators to draft appropriate guidelines to prevent fraud.

The report of a Committee headed by Retd. Justice B.N. Srikrishna (2018) identifies seven principles for the data protection laws: Technology agnosticism – data protection law must be flexible to include the changing technologies; Data minimisation-data sought and processed should be minimal and as necessary; Informed consent – consent is an expression of human autonomy; Accountability of data controller; Penalties for wrongful processing and Enforcement of data protection framework by a statutory authority. Measures are underway for approval of Data Privacy Bill by the Parliament during 2022 -2023.

55.4 INTELLECTUAL PROPERTY RIGHTS, PATENTS AND PROPRIETARY RIGHTS

Intellectual property refers to creation of an asset by any individual or anyone using his or her creativity, innovation. Such intellectual property (IP) belongs to that individual and any unauthorised use of such IP is strictly prohibited under the applicable law of the land. Some examples of IP are artistic works; and symbols, innovative process, method, etc.

Intellectual property is divided into two categories:

- Patents: inventions, trademarks, industrial designs and geographical indications.
- Copyright: literary works, films, music, artistic works, and architectural design.

Rights related to copyright include those of performing artists in their performances, producers of phonograms in their recordings, and broadcasters in their radio and television programs.

Intellectual Property Rights (IPRs) are formal mechanisms by which the asset or the property is established in intellectual assets. IPR allows its creator/innovator to use the IP for his or her own benefit and prohibits any third party to use such work.

What is a Patent?

A patent is an exclusive right granted for an invention a product or process that provides a new way of doing something or that offers a new technical solution to a problem. A patent provides patent owners with protection for a limited period, generally 20 years for their inventions.

55.5 ETHICS OF INFORMATION SECURITY

The IT team of the bank or financial institution is the custodian of the information of its customers/dealings/activities. Their work conduct and ethical conduct is of paramount importance for the organisation. Any failure of professionals handling the IT desk and data can result in major leakages of sensitive information, with huge losses to the banks, reputation risk, and expensive legal battles.

Hence awareness of ethical conduct has become very important with every technological advancement. There should be proper training - orientation and refresher course for all employees to make them understand the importance and criticality of ethical behaviour. This applies to the employees posted not only in the IT department, but also in operations and various support functions..

The following aspects relating to information security need particular attention:

- Employees made aware of the professional obligations relating to information security
- Advising about various types of prevalent cybercrimes.
- Making the employees (especially the IT employees) aware of the patterns of IT attacks on bank customers/servers/other assets like ATMs, etc. and to familiarise with the profiles of attackers and patterns of thefts and modus operandi.

55.6 LET US SUM UP

Globalization has led to integration of economies as well as societies. Increasing use of Information Technology in the banking and financial services sector has resulted in the toughest competition and banks are now compelled to use the state-of-the-art technology.

Hence risks related to data security and privacy are that much more critical. Any lapse in the security can lead to catastrophic consequences and may well lead to failure of the bank. Banks also have to ensure that there is no unauthorised use of intellectual property rights.

The IT team becomes the custodian of the information and eventually their work conduct and ethical conduct are of paramount importance. Banks are making their sincere efforts to educate and bring in awareness among their customers.

55.7 KEYWORDS

Operational Efficiency, Online banking, Customer Relationship Management (CRM), Fintech, Regtech, Information Security, Technology risk management.

55.8 CHECK YOUR PROGRESS

1. Banking Operations in recent years are becoming increasingly customer-focused and, in a way, getting attuned to the ever-growing _____.
(a) regulatory prescriptions (b) IT challenges
(c) customers' incomes (d) customers' preferences
2. Information Technology (IT) has broadly been used under two different avenues in banking. One is communication and connectivity, and the other is _____.
(a) Digital Rights Management (DRM) (b) Business Process Re-engineering (BPR)
(c) Intellectual Property Rights (IPR) (d) Data Leak Prevention (DLP)
3. RBI's Committees on Mechanisation in the Banking Industry (1984) and on Computerisation in Banks (1988) were headed by _____.
(a) Shri YH Malegam (b) Dr. C. Rangarajan
(c) Shri WS Saraf (d) Shri M. Narasimham
4. Intellectual Property Right (IPR) allows its creator/innovator to use the IP for his or her own benefit and _____.
(a) allows the government also to use such work
(b) prohibits any third party use of such work
(c) anyone else only for non-prohibited use
(d) dilutes the credibility and confidence in business space

55.9 ANSWERS TO 'CHECK YOUR PROGRESS'

1. (d), 2. (b), 3. (b), 4. (b).